Taxation (Income Tax & GST)

Concept-First Notes + Exam Q&A + MCQ Bank + Mock Test — CA Intermediate

One complete file: concepts, worked Q&A, revision cheat-sheet, MCQs & a full mock test

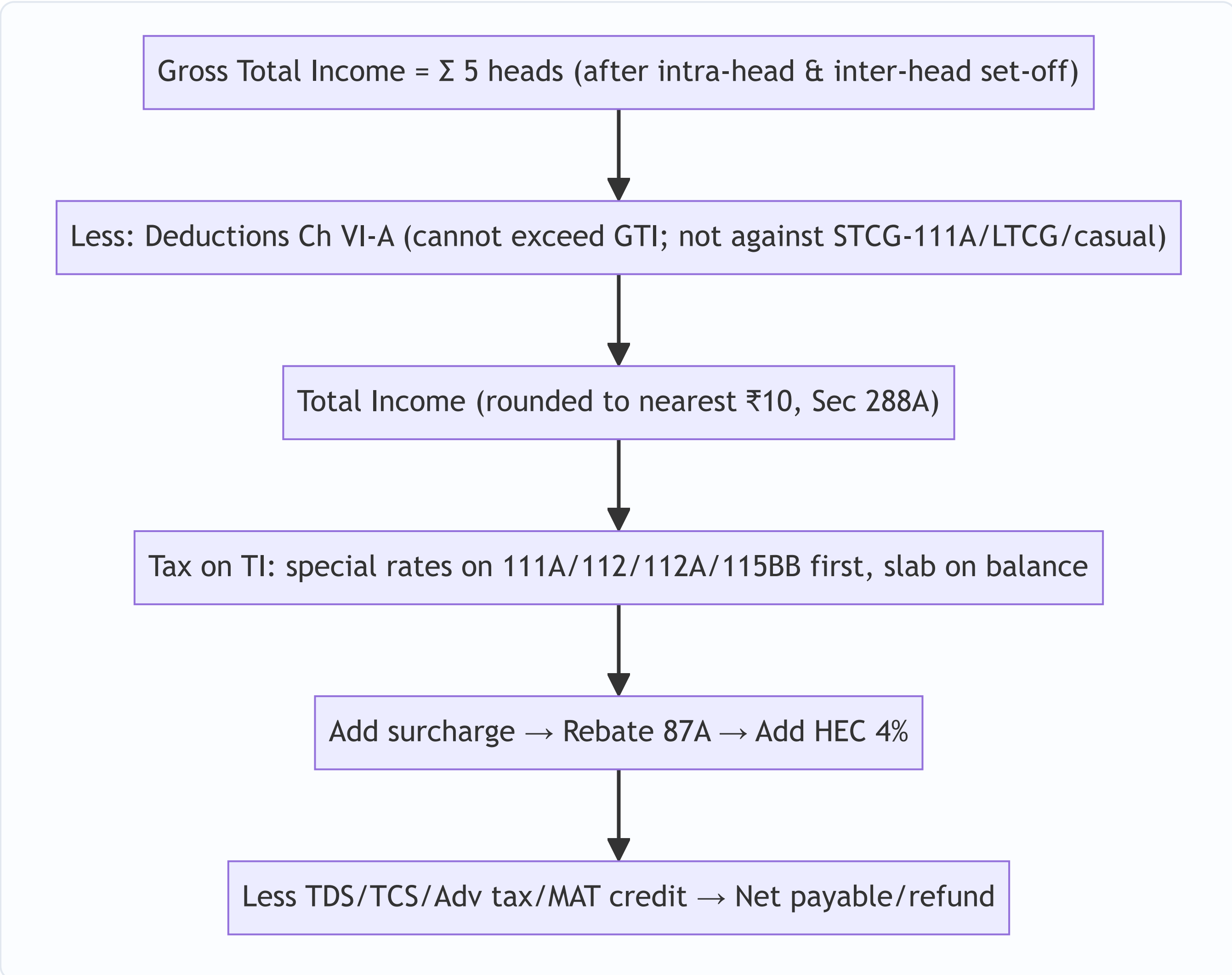
Contents

Taxation (Income Tax & GST) — Quick-Revision Cheat-Sheet

> **CA Intermediate — last-mile scan.** Terse, understanding-first. ⚠ **All rates/limits/slabs are AY-specific — verify against current ICAI Study Material / Finance Act applicable to your attempt.** Default framing below is the *current* AY under the Finance Act in force; treat every ₹ figure as "confirm before exam."

PART A — INCOME TAX

A1. The Master Flow (why order matters)



Residential status drives scope (Sec 5–6). ROR: global income. RNOR & NR: Indian-source + received-in-India; NR excludes foreign business controlled from abroad. Basic conditions Sec 6(1): 182 days OR 60+365(prev 4 yrs). RNOR test Sec 6(6): NR in 9/10 PY **or** ≤729 days in 7 PY.

A2. Five Heads — computation skeletons

1. Salary (Sec 15–17) | Item | Rule | |---|---| | Basis | Due **or** receipt, whichever earlier | | Std deduction 16(ia) | Fixed ₹ cap (regime-dependent — verify) | | Entertainment 16(ii) | Govt employees only: least of ⅕ salary / stated cap / actual | | Prof tax 16(iii) | Actual paid | | HRA 10(13A) | Least of: actual HRA / rent−10% salary / 50%(metro) or 40% salary | | Gratuity 10(10) | Govt exempt; covered Act: least of 15/26×last sal×yrs, cap, actual | | Perquisites 17(2) | RFA, car, ESOP, interest-free loan (SBI rate), etc. |

2. House Property (Sec 22–27) — taxed on *annual value*, not receipt. - GAV = higher of (Expected rent = higher of MV/FR, capped at SR) vs Actual rent; if vacancy loss, actual may be lower. - NAV = GAV − Municipal tax **paid by owner**. - Deductions **30% std (24a)** on NAV + **Interest 24(b)**: let-out full; **self-occupied cap ₹2,00,000** (₹30k if not fulfilling conditions). Pre-construction interest: 1/5th over 5 yrs. - Loss from HP set-off vs other heads capped **₹2,00,000/yr**; balance c/f 8 yrs (only vs HP).

3. PGBP (Sec 28–44) — start from book profit, then adjust. - Disallow: 40(a) TDS defaults, 40A(3) cash >₹10,000/day, 40A(2) related-party excess, 43B (pay-before-due-date items: tax, interest to bank/**NBFC**, PF, leave, bonus, MSME 43B(h)). - Depreciation 32: **block of assets, WDV, half-rate if used <180 days**; additional depr 20% on new P&M. - Presumptive: **44AD** 8%/6% (turnover ≤ threshold), **44ADA** 50% (professionals), **44AE** per-vehicle.

4. Capital Gains (Sec 45–55) | | STCG | LTCG | |---|---|---| | Holding | ≤ threshold | > threshold | | Listed equity/eq-MF | ≤12m | >12m | | Immovable/unlisted | ≤24m | >24m | | Other | ≤36m | >36m | - **Full value − (cost + improvement + transfer exp)**; LTCG indexation (CII) where allowed (verify post-amendment position; equity 112A no index). - **Rates:** 111A STCG (STT equity) & 112A LTCG equity (exempt up to threshold) — **verify AY rate**; 112 other LTCG. - Exemptions: **54** (residential→residential), **54F** (any LTA→house), **54EC** (bonds NHAI/REC, ₹50L cap, 6m), **54B** (agri land). CG deposit scheme if not reinvested by due date.

5. Other Sources (Sec 56–59) — residual. - 56(2)(x): gifts >₹50,000 aggregate taxable (relatives/marriage/will exempt). Dividends taxable; casual income (lottery) **115BB flat rate, no deduction, no basic exemption benefit**. Interest, family pension (std ded 1/3 or cap).

A3. Clubbing & Set-off — the trap zone

- **Clubbing (60–64):** spouse remuneration (no tech qual), transfer w/o adequate consideration, minor child income (exempt ₹1,500/child, clubbed with higher-income parent), revocable transfer, 64(2) HUF conversion.
- **Set-off order:** intra-head → inter-head → carry forward.

Loss	Set-off vs	C/F yrs	On C/F, only vs
House property	any head (cap ₹2L)	8	HP
Non-spec business	any except salary	8	business
Speculation	speculation only	4	speculation
STCL	STCG or LTCG	8	CG
LTCL	**LTCG only**	8	LTCG
Sec 35AD	35AD only	∞	35AD
Owning/maint. racehorses	same only	4	same
- **Return-filing (139(1)) mandatory to c/f** business/CG/spec losses (HP loss exempt from this rule).			

A4. Deductions Ch VI-A (only vs GTI, not special-rate income)

Sec	Item (verify caps/regime availability)
80C	LIC, PF, PPF, ELSS, tuition, principal repay — ₹1,50,000
80CCC / 80CCD(1)	Pension fund / NPS employee — within 80CCE ₹1.5L
80CCD(1B)	NPS extra **₹50,000** (over & above 1.5L)
80CCD(2)	Employer NPS — % of salary, **outside** 1.5L; allowed even in new regime
80D	Medical insurance ₹25k (₹50k senior) + preventive ₹5k
80DD/80U	Disability — fixed ₹75k / ₹1.25L
80DDB	Specified disease — capped
80E	Education loan **interest**, no cap, 8 yrs
80EEA/80EEB	Housing / EV loan interest (conditions)
80G	Donations 50%/100%, some with 10%-of-AGTI ceiling
80GG	Rent (no HRA) — least of ₹5,000/m, 25% TI, rent−10%TI
80TTA / 80TTB	Savings int ₹10k / senior ₹50k (all interest)

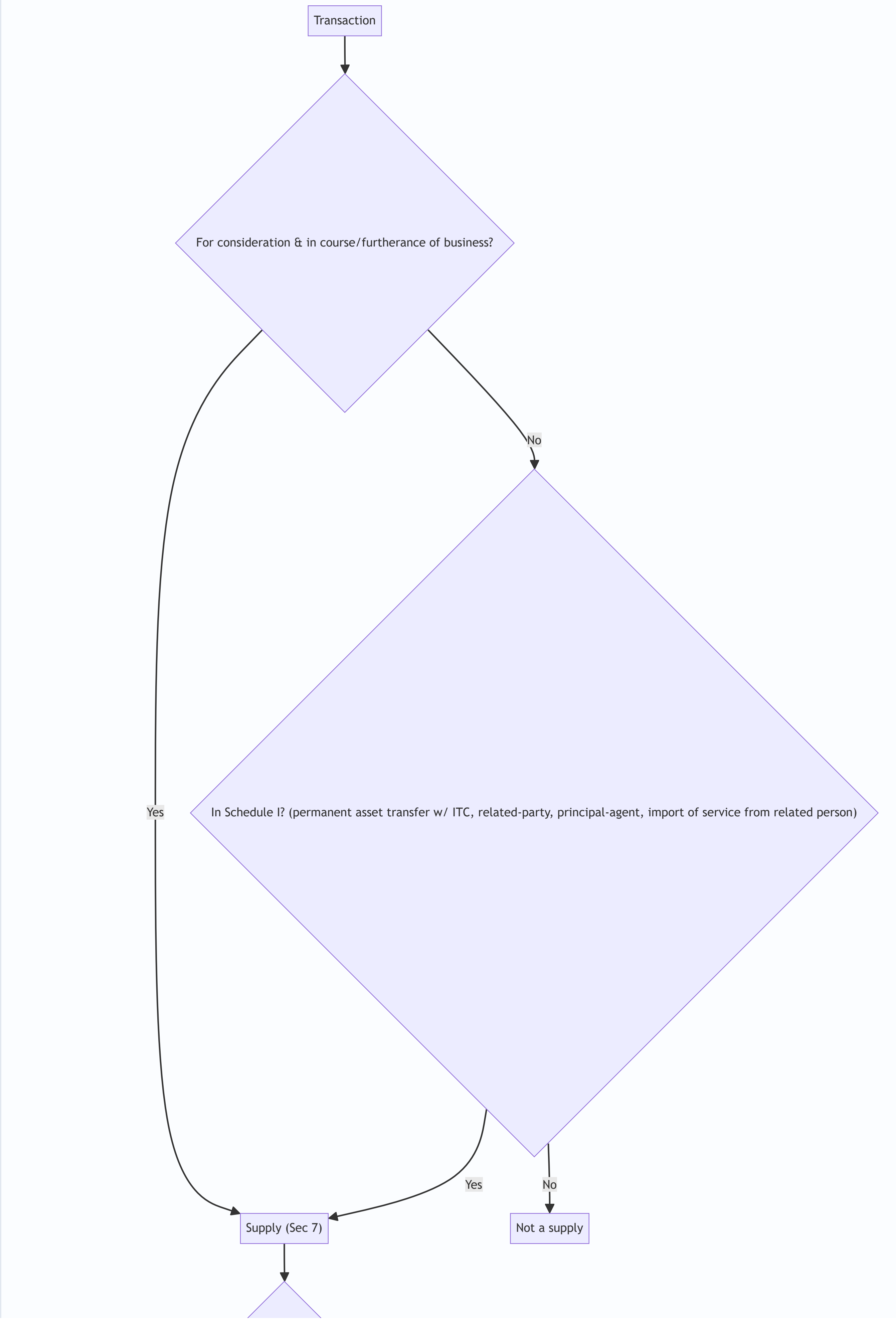
New regime 115BAC (default): lower slabs, **most Ch VI-A & exemptions disallowed** (80CCD(2), std deduction retained; verify list). Old regime by opt-out — compare before choosing.

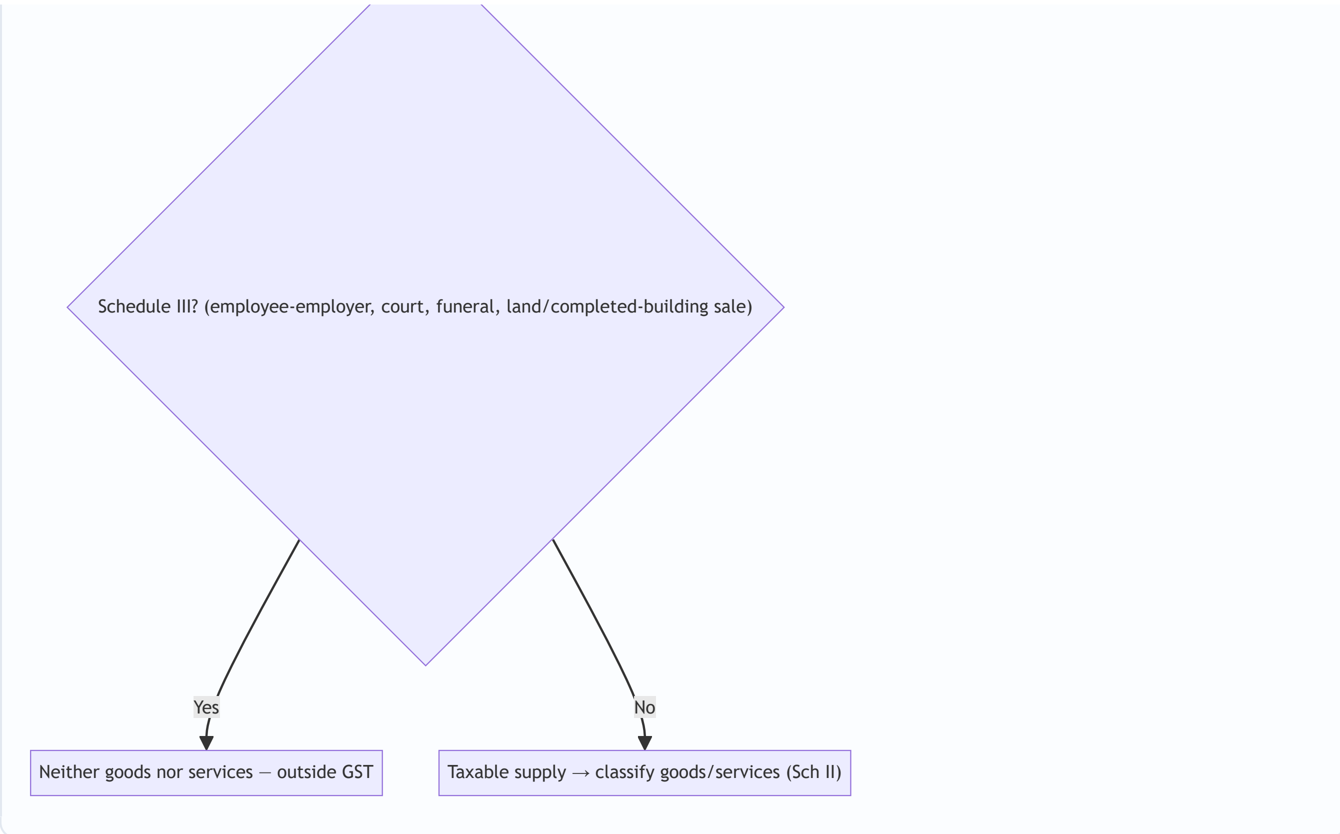
A5. Rebate, Surcharge, Advance Tax, TDS

- **87A rebate** — resident individual, TI ≤ threshold (higher & marginal relief under new regime — **verify AY**).
- **Surcharge slabs** on income >₹50L/1cr/2cr/5cr (+ marginal relief); capped rate on 111A/112A/dividend.
- **Advance tax:** liability ≥₹10,000; 15/45/75/100% by 15 Jun/Sep/Dec/Mar (234C); 234A late filing, 234B <90% paid.
- **TDS quick:** 194A interest, 194C contractor (1%/2%), 194H commission, 194I rent (2%/10%), 194J prof/tech (2%/10%), 194Q purchase >₹50L, 194IA immovable ≥₹50L (1%). Thresholds AY-specific.

PART B — GST

B1. Is it a supply? (Sec 7 + Sch I/II/III)


Transaction
For consideration & in course/furtherance of business?
Yes
No
In Schedule I? (permanent asset transfer w/ ITC, related-party, principal-agent, import of service from related person)
Yes
No
Supply (Sec 7)
Not a supply



- **Composite supply:** naturally bundled → rate of **principal** supply. **Mixed supply:** not natural → **highest** rate.

B2. Charge & RCM (Sec 9 CGST / 5 IGST)

- Forward charge default. **RCM = recipient pays** (must be registered; ITC available if eligible; self-invoice + pay in cash, cannot use ITC to discharge RCM).
- Common RCM: GTA, legal (advocate), director services, sponsorship, import of service, govt services (some), specified goods (cashew, tobacco leaves, etc.).
- **9(5)/ECO:** e-commerce operator pays for notified services (passenger transport, accommodation, restaurant-via-app).

B3. Time of Supply (Sec 12/13)

	Goods (12)	Services (13)
Forward	Earlier of invoice (or due date u/s 31) **or** payment*	Earlier of invoice (if within 30d) **or** payment*; else completion
RCM	Earlier of receipt of goods / payment / 30d from invoice	Earlier of payment / **60d** from invoice
> *For goods, advance is not taxed (TOS = invoice); advances taxable only for services*.		

B4. Value of Supply (Sec 15)

- **Transaction value** when supplier & recipient **unrelated + price sole consideration**.

- **Include:** taxes (other than GST), incidental exp, packing, commission, interest/late fee for delay, subsidies (non-govt), reimbursements not as pure agent.
- **Exclude:** GST itself; discounts — **pre-supply** (on invoice) always; **post-supply** only if agreed pre-supply + linked to invoice + recipient reverses ITC.

B5. Input Tax Credit — the 4 gates (Sec 16)

1. **Possession** of tax invoice/debit note.
2. **Receipt** of goods/services (bill-to-ship-to deemed receipt).
3. Tax **actually paid** to govt by supplier; **invoice appears in GSTR-2B** (16(2)(aa)) & 38.
4. **Return filed** (GSTR-3B). - **Pay supplier within 180 days** else reverse ITC (re-avail on payment). - **Time limit:** earlier of 30 Nov following FY or annual return. - **Blocked ITC (Sec 17(5)):** motor vehicles (≤13 seats, exceptions), food/beverage/health/club, works contract & construction of immovable (own account), personal consumption, goods lost/stolen/gifted/free samples, CSR (verify), tax paid u/s 74 (verify). - **17(2) reversal:** common credits apportioned exempt vs taxable (Rule 42/43).

B6. Registration (Sec 22–25)

Trigger	Threshold (verify AY/state)
Goods (normal states)	₹40 lakh
Goods (special-category states)	₹20 lakh
Services	₹20 lakh (₹10 lakh special)
- **Compulsory (Sec 24) — no threshold:** inter-state supply of goods, casual/non-resident taxable person, RCM liability, ECO & suppliers via ECO, agents, ISD, TDS/TCS deductors.	
- **Composition (Sec 10):** turnover ≤ ₹1.5 cr (₹75L special); rates **1%** trader/manufacturer, **5%** restaurant, **6%** services (≤₹50L). **No ITC, no inter-state outward, no tax collection on invoice, bill of supply.** Reg within 30 days of becoming liable.	

B7. Place of Supply (quick logic)

- **Goods (IGST 10/11):** location where movement terminates for delivery; no movement → location at delivery time.
- **Services default (12/13):** B2B → recipient's location; B2C → supplier's (if address unavailable). Special: immovable property → property location; events, restaurant, transport → performance/where done.
- **Nature:** supplier & PoS same state → **CGST+SGST**; different states / export-import → **IGST**.

B8. Returns & Payments (snapshot)

- **GSTR-1** (outward, 11th/quarterly QRMP), **GSTR-3B** (summary + pay, 20th/22-24th), **2B** auto ITC statement, **9** annual, **9C** reconciliation (turnover > threshold).
- **E-invoice** above turnover limit; **E-way bill** consignment >₹50,000.

- **Interest** 18% on delayed tax (on net cash portion), 24% on excess/undue ITC. **Electronic cash vs credit ledger** — RCM & interest/penalty from **cash** only.

One-line memory hooks

- **IT order:** heads → set-off → Ch VI-A → special-rate tax → surcharge → 87A → HEC → prepaid taxes.
- **ITC:** *Invoice, Receipt, Paid-to-govt (2B), Return* + pay in 180d.
- **RCM:** recipient registered, cash payment, self-invoice, no advance issue for goods.
- **Supply test:** consideration+business → Sch I override → Sch III exclusion → composite(principal)/mixed(highest).
- **Set-off:** LTCL only↔LTCG; speculation↔speculation; HP loss cap ₹2L then only↔HP.

> ⚠ **Final reminder:** every slab, surcharge %, rebate ceiling, threshold and holding period above is **AY/Finance-Act specific**. Cross-check with the ICAI material for your exact attempt before relying on any number.

Chapter 01 — Basic Concepts of Income Tax

> **Applicable-AY flag:** This chapter teaches the *structure and logic* that almost never change. The *numbers* (slab rates, surcharge thresholds, rebate ceilings, cess rate) DO change with every Finance Act. The figures used below are drawn from recent Finance Acts and are illustrative of the mechanism. **Before your attempt, verify the exact rates, limits, and the applicable Assessment Year in the current ICAI Study Material / RTP for your exam sitting.** If you learn *why* a slab or surcharge exists, plugging in the year's actual number is trivial.

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1. The Problem — why does an income tax exist at all, and why is it so complicated?

A government must pay for things nobody buys individually: national defence, courts, highways, public health, the tax administration itself. It needs a steady, large, recurring pool of money. Where does it come from?

Three broad options exist:

1. **Tax what people *own*** (wealth tax, property tax) — but wealth is hard to value every year and taxing a static stock discourages saving.
2. **Tax what people *spend*** (GST, customs) — good, but it hits the poor proportionally harder because they spend nearly all they earn.
3. **Tax what people *earn*** — income. This is the sweet spot: income is a *flow* that recurs every year, it can be measured reasonably objectively, and — critically — it can be made to rise *more than proportionally* with the earner's capacity to pay.

That last point is the entire moral engine of an income tax. A person earning ₹5,00,000 and a person earning ₹5,00,00,000 both need food and shelter; the second person's *surplus* capacity to contribute is vastly larger. So the state says: **tax should rise with ability to pay** — the principle of *progressivity*. This single idea forces almost every structural feature you are about to learn (slabs, surcharge, rebate, exemption limit).

But now three hard sub-problems appear, and the Income-tax Act, 1961 is essentially a giant machine built to answer them:

- **WHO do we tax?** (Every human? Companies? Foreigners? Trusts?) → gives us *person*, *assessee*, *residential status*.
- **WHAT exactly is "income"?** (Salary obviously — but a lottery win? A gift? A capital gain? Agricultural produce?) → gives us the *definition of income* and the *5 heads*.
- **WHEN and HOW MUCH?** (Earned continuously — when do we cut the year and compute? At what rate?) → gives us *previous year vs assessment year*, *charge of tax (Sec 4)*, *rates/surcharge/cess*.

Everything in this chapter is one of those three questions being answered.

Why is the law layered — Act, Rules, Finance Act, notifications, circulars, case law? Because each layer solves a different speed problem. The **Income-tax Act, 1961** is the *permanent skeleton* (definitions, charge, machinery) — Parliament changes it deliberately and rarely. The **Finance Act** (passed each year with the Union Budget) is the *annual dial* that sets rates and tweaks provisions — it must move yearly because economic conditions and revenue targets move yearly. The **Income-tax Rules, 1962** give *procedural detail* (how to value a perquisite, which form to file) that is too granular for the Act. **CBDT circulars** bind the *department* (not the taxpayer or courts) and explain administrative stance; **notifications** exercise powers the Act delegates. **Judicial precedent** fills gaps the words leave open. The exam almost always tests the first three; know which layer supplies rates (Finance Act) versus definitions (the Act itself) — that distinction is exactly what Sec 4 hinges on.

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2. The Core Idea

> **Income tax = a progressive, annual charge on the total income of a "person," computed by first classifying income into heads, aggregating it for a defined "previous year," and taxing it in the following "assessment year" at rates that climb with ability to pay.**

Read that sentence again — it contains, in order, every keyword of the chapter:

- *progressive* → slabs, surcharge, marginal relief
- *annual* → previous year / assessment year split
- *person* → the taxable unit
- *total income* → the aggregate after heads + set-off + deductions
- *classifying into heads* → the 5 heads and why
- *charge* → Section 4, the switch that turns the machine on
- *rates that climb* → the rate schedule, regimes (old vs new / Sec 115BAC)

The Act is not a random pile of sections. It is a **pipeline**:

Person → determine residential status → identify income under each of 5 heads → aggregate (Gross Total Income) → subtract Chapter VI-A deductions → Total Income → apply rate schedule → add surcharge → subtract rebate → add cess → Tax Payable.

Hold that pipeline in your head. Every later chapter is a zoom-in on one pipe segment.

A one-sentence test of understanding: if you can answer "which *person*'s income, of which *previous year*, under which *head*, at which *year*'s rate, in which *regime*" for any receipt thrown at you, you have understood this chapter. Every worked example below is that five-part question in disguise.

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3. Why it's built this way

Why an *Act* and not just a rate card? Because "income" is slippery. Tax the naive way ("pay 20% of what you earn") and every taxpayer will argue their receipt isn't income, or is income of a different year, or of a different person. The Act exists to **remove discretion and disputes** by defining terms precisely, fixing timing rules, and prescribing computation for each type of income. Complexity is the price of *fairness + certainty*.

Why classify income into heads instead of one big pot? Because *different kinds of income behave differently* and deserve different rules:

- A salary is a near-certain periodic receipt with almost no expenses — so it's taxed on a near-gross basis with a flat standard deduction.

- A business income is volatile and needs you to spend money (rent, salaries, raw material) to earn it — so it's taxed on *net profit* after allowing those expenses.
- A capital gain is a *one-time* accretion on an asset held for years — taxing it at full slab rates in the year of sale would be brutally unfair (the gain accrued over many years but lands in one), so it gets *special rates* and indexation logic.

If you dumped all these into one formula you couldn't give each the deduction/rate logic it deserves. **Heads = specialised sub-machines, each with its own computation.** (Detailed in §4.)

Why a separate "previous year" and "assessment year"? Because income is earned *over* a year, but you can only *know* the full year's income *after* the year ends. You cannot assess income that hasn't finished happening. So the law fixes: earn in Year 1 (previous year), declare-and-assess in Year 2 (assessment year). More on the elegance of this in §4.

Why progressive rates + surcharge + rebate? Ability-to-pay. But pure progressivity creates edge-effects (a rupee more of income pushing you into a higher bracket could cost more than a rupee of tax) — hence *marginal relief* and *slab-wise* (not flat) taxation. Each corrective exists to smooth an unfairness the previous rule created.

Why is income tax a *direct* tax, and why does that word matter? A tax is *direct* when the person who legally pays it is the same person who economically bears it — you cannot pass your income tax on to someone else. Contrast GST: the shopkeeper *pays* it to government but *you*, the consumer, bear it in the price. This "incidence sticks to the earner" property is *what makes progressivity possible* — you can only tax someone by ability-to-pay if you can be sure the burden lands on *them*. A tax you could shift would defeat the whole moral engine of §1. That is the deep reason income tax, not GST, carries the slab structure.

Why does the same government run both a direct and an indirect tax? Diversification of the revenue base. Income tax is *elastic and progressive* but volatile (falls hard in a recession when profits vanish). GST is *broad and stable* (people keep consuming even in a downturn) but regressive. Running both lets the state be fair (via income tax) *and* funded reliably (via GST). Understanding this pairing is why the "Connections" section contrasts the two.

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4. Full Technical Content — every provision, wrapped in its reason

4.1 The taxable unit — "Person" [Sec 2(31)] and "Assessee" [Sec 2(7)]

The problem: "Tax people" is too narrow — a company is not a "person" in ordinary English, yet it clearly earns and must be taxed. A partnership firm, a temple trust, a club, the local municipality — all handle money. The law needs a *bucket wide enough to catch every money-handling entity*.

Sec 2(31) — "Person" includes SEVEN categories:

#	Category	Memory hook / why separate
1	**I**ndividual	A natural human being
2	**H**UF (Hindu Undivided Family)	A uniquely Indian joint-family entity — taxed separately from its members
3	**C**ompany	Separate legal person; different rate structure
4	**F**irm (incl. LLP)	Partnership as a unit
5	**A**OP / **B**OI (Association of Persons / Body of Individuals)	People who band together for a common income-earning purpose but aren't a firm
6	**L**ocal authority	Municipality, panchayat, cantonment board
7	**A**JP (Artificial Juridical Person)	Catch-all for entities that fit none above — e.g., a deity, a university, an idol

> **Memory hook:** "**I HFC A B — LA, AJP**" or simply remember the sweep: *humans → families → companies → firms → groups → government bodies → everything-else*. The 7th category (AJP) exists precisely so **nothing escapes**.

Finer distinctions the examiner tests inside Sec 2(31):

- **AOP vs BOI — the one-line difference.** An **AOP** can include *any* person (an individual, a company, a firm can all be members); a **BOI** is a body of **individuals only**. Also, an AOP implies a *common purpose / joint venture to produce income* (there's *volition* to associate); a BOI can be a mere collection of individuals (e.g., co-heirs receiving property) without a business objective. Trap: two companies coming together form an **AOP**, never a BOI.
- **"Even if not incorporated."** The definition's Explanation says an AOP/BOI/local authority/AJP is a person "whether or not [it] was formed or established with the object of deriving income, profits or gains." Reason: the state won't let an entity escape merely by claiming it wasn't set up to make money — if income arises, there is a person to tax.
- **A single individual is a "person"; so is a one-person entity.** You don't need plurality — one human is an Individual.
- **HUF is not a "firm" and not a "company"** — it is its own bucket. Its income is taxed in the HUF's own hands at individual-type slab rates, *separately* from the members. This is *why* HUFs exist as a tax-planning vehicle: they create an extra taxable "person" with its own basic exemption.
- **Company includes a foreign company** and any body corporate; but a **firm includes an LLP** — a limited liability partnership is taxed *as a firm*, not as a company, despite the word "limited." Classic trap.

Sec 2(7) — "Assessee": a person *by whom any tax or any other sum (interest, penalty) is payable*, OR against whom any proceeding has been taken, OR who is deemed to be an assessee, OR an assessee-in-default (e.g., an employer who failed to deduct TDS).

The definition actually stitches together **three sub-species** — know them by name because questions ask "state the category of assessee":

1. **Ordinary assessee** — a person by whom tax/interest/penalty is payable, or against whom any proceeding has been taken (whether or not any tax is ultimately due — a person filing a *loss return* or

claiming a *refund* is still an assessee because a proceeding concerns them).

2. **Deemed assessee (representative assessee)** — a person made responsible for *another's* tax: the legal heir of a deceased, the guardian of a minor, the agent of a non-resident, the trustee of a trust. Reason: tax the person who can actually pay/answer when the real earner cannot.
3. **Assessee-in-default** — a person who *fails to do a duty* the Act casts on them, typically the payer who was required to deduct TDS and didn't, or deducted but didn't deposit it. Reason: the collection mechanism (Sec 4(2) pay-as-you-earn) needs teeth.

> **Why the distinction between "person" and "assessee"?** *Person* is the universe of potential taxpayers (a definitional category). *Assessee* is a person who has actually entered the tax machinery — owes something or is under proceedings. Every assessee is a person; not every person is an assessee in a given year.
>
> **Micro-trap:** a person claiming a **refund** is an assessee (a proceeding is taken to determine the refund) — students wrongly think only those who *owe* money are assessees. Also, a person filing a return of **loss** is an assessee.

4.2 "Income" [Sec 2(24)] — an *inclusive*, not exhaustive, definition

The problem: if the law lists income exhaustively, the first clever taxpayer invents a receipt not on the list and pays nothing. So Sec 2(24) says income "**includes**" — an open-ended list that can stretch.

Key inclusions worth knowing (each is there because it was once argued *not* to be income):

- profits and gains of business/profession;
- dividends;
- **voluntary contributions** received by a charitable trust (else trusts would claim donations aren't income);
- the value of **perquisites / profits in lieu of salary**;
- any **capital gains** chargeable u/s 45;
- **winnings** from lotteries, crosswords, races, card games, gambling, betting (taxed at a flat high rate — see §4.7);
- any sum received under a **Keyman insurance policy**;
- **gifts** — money/property received without consideration exceeding the threshold u/s 56(2)(x).

Core characteristics of income (conceptual tests examiners love):

1. **Regular or one-time — both can be income.** Salary recurs; a lottery win is once — both taxed.
2. **Cash or kind.** A rent-free flat (perquisite) is income though no cash changes hands.
3. **Legal or illegal source is irrelevant.** Smuggling profits are still income — the taxman doesn't bless the source, he taxes the gain.
4. **Temporary or permanent — irrelevant.**
5. **Received or accrued — either triggers tax** (see PY discussion).
6. **Application vs diversion of income:** if income is diverted *before it reaches you* by an overriding legal obligation (diversion at source by *overriding title*) it's not your income; if it reaches you and you then *spend/apply* it toward an obligation, it *is* your income first, then spent. (A recurring exam trap — see §8.)
7. **Income must come from *outside*** — you cannot earn taxable income by trading with yourself (mutuality).

Deeper first-principles tests the examiner slips into MCQs and short problems:

- **Capital vs revenue receipt.** The single most litigated distinction in tax. A *revenue* receipt is a fruit of the tree (rent, interest, salary, trading profit) — recurring, arising from *using* an income-earning apparatus — and is generally income. A *capital* receipt is a slice of the tree itself (sale of a machine, of the business, of a capital asset) — and is *not* income *unless* the Act specially deems it so (which it does for capital gains u/s 45, and for a few others). Reason for taxing capital gains despite being "capital": the accretion is real economic gain, so the law *expressly* pulls it in — but only because a specific charging section says so. **Rule to carry:** a capital receipt is taxable only if a section specifically brings it to charge; a revenue receipt is taxable unless a section specifically exempts it.
- **Compensation — is it income?** Compensation for loss of a *source* (e.g., termination of an agency that was the whole business) tends to be capital; compensation for loss of *profits* or for a passing injury to trading is revenue. The examiner probes whether you can spot which "tree" was hurt.
- **Contingent vs accrued.** Income accrues only when a *right to receive* it arises (a debt owed to you), not when it is merely *anticipated*. A bonus not yet declared, a claim still disputed, has not accrued.
- **Diversion by overriding title — the precise test.** The obligation must attach to the *source* of the income and divert it *before* it becomes the assessee's, by a *title superior* to the assessee's own (a charge created by will, decree, or statute). A self-created contractual promise to pay someone is mere *application*. (Leading idea from *CIT v. Sitaldas Tirathdas*: personal obligations discharged out of income are application, not diversion.)
- **Pin money, gifts within exempt limits, agricultural income** — flagged as either *not income* or *exempt income*; distinguish (a) receipts that are *not income at all*, (b) income that is *exempt* (Sec 10 — e.g., agricultural income), and (c) income that is *taxable*. All three feel similar but sit at different points in the pipeline.

> **Diminishing distinction: "income" vs "exempt income" vs "not income."** *Not income* never enters the computation (e.g., a pure capital receipt with no charging section, a personal gift below the 56(2)(x) threshold). *Exempt income* IS income but the Act (mainly Sec 10) frees it from tax and it usually stays out of Total Income (e.g., agricultural income — though it is *aggregated* for rate purposes, taught in the rates chapter). *Taxable income* flows through to Total Income. Examiners deliberately mix all three in a list and ask for Total Income.
>
> **Reason for the inclusive definition:** the state wants a *net* wide enough to catch tomorrow's cleverness, not just today's known receipts.

4.3 Gross Total Income vs Total Income [Sec 2(45), Sec 80B(5)] — and why two levels

- **Gross Total Income (GTI)** = sum of income under all 5 heads *after* intra/inter-head set-off, but *before* Chapter VI-A deductions.
- **Total Income (TI)** = GTI **minus** deductions under Chapter VI-A (80C, 80D, 80G, etc.). This is the figure on which tax is finally computed.

Why two levels? Because the *heads* answer "what did you earn?" while *Chapter VI-A* answers "what socially-desirable things did you do with it (save, insure, donate, repay an education loan)?" The state first measures your economic income (GTI), then rewards chosen behaviours with deductions to arrive at the amount it will actually tax (TI). Keeping them separate keeps *measurement* and *policy incentive* cleanly distinguishable.

Two rules about GTI/TI that exams exploit:

- **Chapter VI-A deductions can never exceed GTI.** Total Income cannot go below nil via these deductions — you cannot create or increase a *loss* using 80C/80D/80G. Reason: these are *incentives to give back part of income*, not a source of refunds. (Business/house-property *losses*, by contrast, arise *within* the head computation and *can* pull GTI down — that happens at an earlier pipe segment, in set-off.)
- **The order is fixed and one-directional:** heads → set-off of current & brought-forward losses → **GTI** → Chapter VI-A → **TI** → tax. You cannot deduct 80C *before* aggregating heads, and you cannot set off a loss *after* GTI. Getting the sequence wrong is a method-mark loss.

4.4 Previous Year [Sec 3] and Assessment Year [Sec 2(9)] — WHY two years

Assessment Year (AY) [Sec 2(9)]: the period of 12 months commencing on **1st April** every year, in which income of the previous year is *assessed to tax*.

Previous Year (PY) [Sec 3]: the financial year (1 April – 31 March) *immediately preceding* the assessment year — the year in which the income is actually *earned*.

So income earned in **PY 2025-26 (1 Apr 2025 – 31 Mar 2026)** is taxed in **AY 2026-27 (1 Apr 2026 – 31 Mar 2027)**.

> **Why can't earning-year and tax-year be the same?** You can't compute a full year's income until the year is over. Salary of March, business profit of the last quarter, a capital gain on 31 March — all belong to the year and must be counted. Assessing *during* the year would mean guessing. So: **earn fully first (PY), then declare-and-assess (AY).** The one-year lag is the price of accuracy.

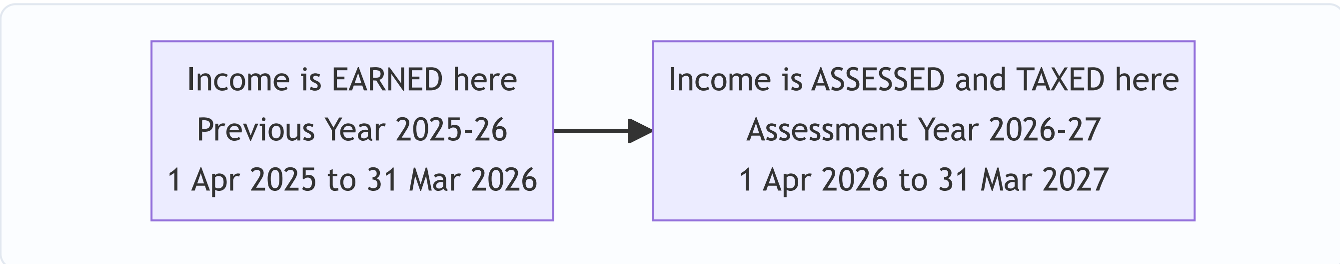

Figure 4.4 — The one-year lag: you finish earning, then you compute and pay. PY is always the FY immediately before the AY.

Uniform PY for everyone [Sec 3]: every taxpayer's PY is the *financial year* (Apr–Mar), regardless of when they keep their books. Reason: a single national tax calendar makes filing, TDS, and administration uniform — no chaos of a million different accounting periods.

The first previous year of a NEW source / new business — a favourite trap. When a business is *newly set up* or a source *newly comes into existence* during a financial year, its first previous year is *shorter than 12 months*: it runs from the **date of setting up / coming into existence** to the **following 31 March**. Thereafter it is always the full Apr–Mar year. So a business started on 1 December 2025 has a first PY of 1 Dec 2025 – 31 Mar 2026 (4 months), assessed in AY 2026-27. Reason: you cannot have a previous year for a source that did not yet exist; the year "begins" only when the source does. *(A full 12-month PY can never be exceeded — the first one can only be shorter, never longer.)*

Exceptions — when income of a PY is taxed *in the same year* (why the lag is dropped): if the state waited a full year, the money might vanish (person leaving India, a one-off venture, a body about to dissolve). The Act therefore taxes *immediately* in five situations:

Sec	Situation	Why taxed in same year
172	Non-resident's **shipping** business	Ship may sail away; collect before it leaves
174	Persons **leaving India** likely permanently	May not return to be assessed next year
174A	**AOP/BOI/AJP formed for a particular event/purpose**, likely to dissolve	Entity may cease to exist by next AY
175	Person likely to **transfer assets to avoid tax**	Prevent asset-stripping before assessment
176	**Discontinued business**	Business gone; assess the final stretch now

> **Memory hook — "Ships Leaving Are Transferring & Discontinuing" (172, 174, 174A, 175, 176).** All five share one logic: *the taxpayer or the income might not be around next year, so tax now.*

Deeper reasoning on the exceptions — what actually happens mechanically. In each case the income of the *part-year up to the triggering event* (or the whole special venture) is assessed *in the same financial year*, either at the rates in force or, where the rates for that year aren't yet enacted, at the rates of the *preceding* year (the section says so). The unifying principle is **risk of loss of revenue**: the ordinary one-year lag is a *convenience*, and the law withdraws that convenience the moment the lag would let tax escape. Note Sec 172 is a *self-contained* code for the ad-hoc levy on a non-resident's ship at an Indian port (a percentage of freight is deemed income) — a common MCQ is "which section deals with non-resident shipping" → **172**, not 174.

4.5 Charge of Income Tax [Sec 4] — the master switch

The problem: you can define income, persons, and years perfectly, but *nothing is taxable until a law says "charge it."* Sec 4 is that command.

Sec 4(1) — where any Central Act (the annual Finance Act) enacts that income tax shall be charged for any assessment year at the specified rate(s), tax shall be charged **for that AY** on the **total income of the previous year** of every person, at those rates.

Unpack the four things Sec 4 stitches together (notice it *references everything above*):

1. **Charge is created by the annual Finance Act** — that's *why* rates change yearly and *why* you must verify the AY's rates. The Income-tax Act provides the *machinery*; the Finance Act provides the *rate*.
2. **Charged for the assessment year** — ties to Sec 2(9).
3. **On total income of the previous year** — ties to Sec 3 and Sec 2(45).
4. **Of every person** — ties to Sec 2(31).

Sec 4(2) — income tax is *deducted at source (TDS)* or *paid in advance* where the Act so requires, even though the final charge is by reference to the AY. Reason: the government can't wait a year for cash flow; **pay-as-you-earn** (TDS/advance tax) funds the state through the year, and it's all reconciled at assessment.

A subtle but heavily-tested point — "subject to the provisions of this Act." Sec 4(1) charges tax *subject to* the rest of the Act. This little phrase is what lets *specific* provisions **override** the general charge. So:

- **Deeming provisions** (e.g., clubbing u/s 60–64, deemed dividend, Sec 68–69 unexplained cash credits/investments) can tax income in the hands of someone *other* than the apparent earner, or tax something *as* income, *because* Sec 4 bows to "the provisions of this Act."
- **Same-year assessment sections (172/174/174A/175/176)** override the general "previous year → next AY" rule for the same reason.
- **Exemptions (Sec 10)** carve income *out* of the charge.

> **Why Sec 4 is called the "charging section" while everything else is "machinery."** A charging section *creates liability*; a machinery/computation section *quantifies* it. If a receipt is income but no charging section catches it, it is not taxed no matter how much the computation sections say. Sec 4 is the *general* charge; Sec 15 (salary), 22 (house property), 28 (business), 45 (capital gains), 56 (other sources) are the *head-level* charging sections that Sec 4 orchestrates. This is why capital gains — a capital receipt — is nevertheless taxed: Sec 45 is an *express charging section* that Sec 4 activates.
>
> **One-line intuition for Sec 4:** "*For each year Parliament announces, tax every person on last year's total income at this year's rates — and collect some of it in advance.*" It is the constitutional-style trigger the whole Act hangs on.

4.6 The Five Heads of Income [Sec 14] — and WHY exactly five

The problem (restated): different income *types* need different computation and rate logic (§3). But how many buckets? Too few and you can't tailor rules; too many and it's chaos. The Act settles on **five**, each defined by *the source/nature of the income*:

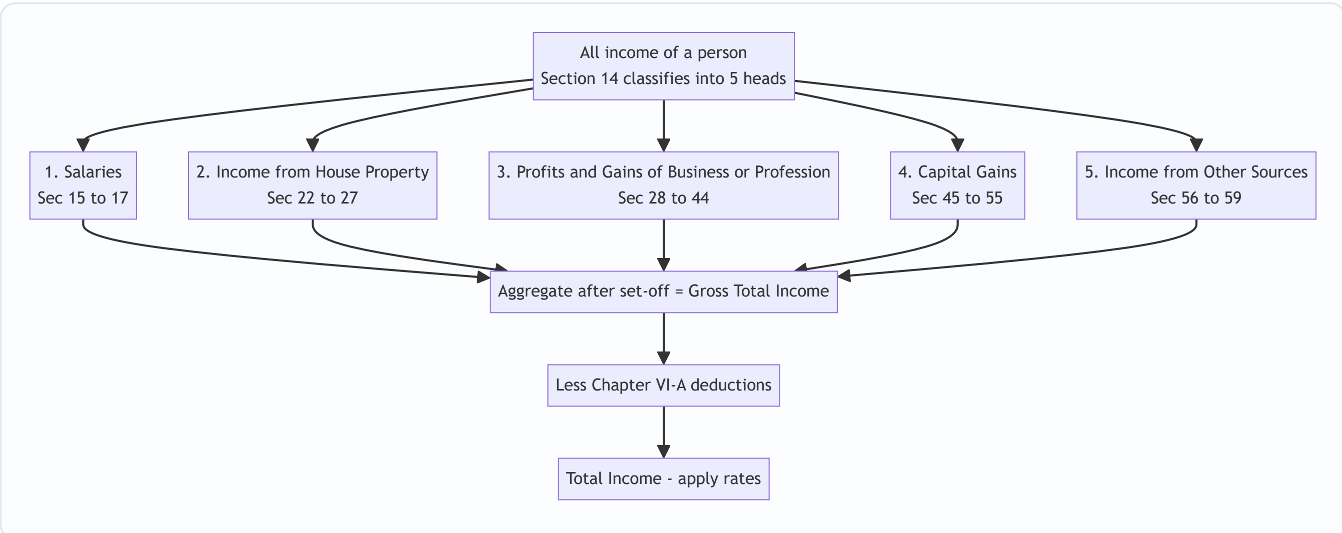

Figure 4.6 — Section 14's five heads funnel into GTI, then deductions give Total Income. Head 5 is the residuary catch-all.

#	Head	Sections	Why it deserves its own machine (the logic)
1	**Salaries**	15–17	Employer–employee relationship; near-certain periodic pay, minimal expenses → taxed near-gross with a **standard deduction** instead of itemising expenses
2	**House Property**	22–27	Tax on the *inherent earning capacity* of owned property (annual value), not actual rent alone → needs a **notional-income** concept and a standard 30% deduction for upkeep
3	**Profits & Gains of Business/Profession (PGBP)**	28–44	You spend money to make money; profit is volatile → taxed on **net** profit after allowing genuine business expenses/depreciation
4	**Capital Gains**	45–55	*One-time* accretion on a capital asset accrued over years → needs **special rates**, holding-period rules (short vs long term) and indexation to avoid bunching injustice
5	**Income from Other Sources**	56–59	The **residuary** head — anything that is income but fits none of the above (interest, dividends, lottery, gifts, family pension). Reason: guarantees *no income falls through the cracks*

> **Why classification matters practically:** the *same* rupee can be taxed differently depending on its head. Interest on a business's idle funds may be PGBP or Other Sources; rent may be House Property or PGBP (if letting is the business). The head decides the deductions and sometimes the rate — hence exams test *head identification* relentlessly.

The two governing principles of head classification (know both names):

1. **A head, once it applies, is mandatory — you cannot choose a more convenient head.** The heads are *mutually exclusive and specific*. Rent from a building you *own* is House Property even if you'd rather call it business; salary from an *employer* cannot be re-labelled "professional fees" to grab expense deductions. The nature of the source fixes the head. (Only where a genuine ambiguity exists — e.g., is this a business of letting? — does judgement enter.)
2. **The residuary head is a true last resort.** Sec 56 catches an item *only if* (a) it is income, and (b) it is not chargeable under any of heads 1–4. If it fits an earlier head, it *must* go there. So "interest on securities held as stock-in-trade of a money-lending business" is PGBP, not Other Sources.

Classic re-classification traps:

- **Rent of a house let out** → House Property. **Rent of a house that is the *business asset* of a person whose business is letting/complex management, or composite letting of building + plant** → may be PGBP. **Sub-letting** by a *tenant* (who is not the owner) → Other Sources (not House Property, because House Property needs *ownership*).
- **Interest on a delayed refund, on a fixed deposit, on securities (not held as business stock)** → Other Sources. **Interest earned by a bank / money-lender in the course of business** → PGBP.
- **A director's sitting fee** → Other Sources; **a whole-time director's remuneration under an employment** → Salaries. The test is the *employer–employee relationship*.

> **Why does head choice sometimes change the tax and not just the label?** Because each head carries its *own* deduction menu and occasionally its *own* rate. Casual income landing in Other Sources under Sec 115BB is taxed flat with *no* deductions; the *same* amount as business receipts would allow expense set-off. That is why examiners hide a mis-classifiable receipt in nearly every problem.

Memory hook: "**S**he **H**as **B**ig **C**apital **O**utflows" → Salaries, House property, Business, Capital gains, Other sources. Head 5 (Other Sources) is always the *last resort residuary* — if it's income and homeless, it lives here.

4.7 Rates of Tax — the progressive schedule (VERIFY the year's figures)

The logic first. Ability-to-pay demands rates that *rise* with income. The Act achieves this with **slabs** — not a single flat rate on the whole income, but *marginal* rates applied slice-by-slice. Crucially:

> **A higher slab rate applies only to the income *within* that slab, never to your whole income.** Crossing into the 30% bracket does *not* tax your entire income at 30% — only the rupees above the threshold. This is *why* "I don't want a raise, it'll push me into a higher bracket and I'll take home less" is (almost always) a myth.

There are now **two regimes** (see §4.9). Illustrative slab schedules:

Old regime — resident individual < 60 yrs (illustrative):

Total Income slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

(Basic exemption is higher for senior citizens — ₹3,00,000 for 60–80 yrs, ₹5,00,000 for 80+ — because earning capacity falls with age: ability-to-pay again.)

New regime u/s 115BAC (illustrative, per recent Finance Act):

Total Income slab	Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

> ⚠ **Verify these slabs, the exemption limit, and the AY against current ICAI material — they were revised by recent Finance Acts and change often. Learn the *shape* (more, finer slabs + higher entry threshold in the new regime), not the digits.**

Who gets slabs and who gets a flat rate — the taxpayer-type map. Slabs are for *individuals, HUFs, AOP/BOI, and AJP*. Other persons are taxed at **flat rates** because the ability-to-pay/subsistence logic that justifies a tax-free basic slab is a *human* concern:

- **Firms & LLPs** — flat 30% (illustrative) on total income; no basic exemption. Reason: a firm has no "subsistence needs"; the partners' personal circumstances are dealt with in *their* returns.
- **Companies** — flat rates that differ for domestic vs foreign and by turnover/regime (e.g., concessional 22% u/s 115BAA, 15% for new manufacturing u/s 115BAB — verify). Reason: a company is an artificial person; policy (not subsistence) drives its rate.
- **Local authorities** — flat 30% (illustrative).
- **Co-operative societies** — their own slab/concessional-regime structure.

> **Why no basic exemption for firms/companies?** The tax-free slab exists to spare *human* subsistence income; an artificial person needs no bread. This is the ability-to-pay principle drawing a line between natural and artificial persons.

Rebate u/s 87A — why the "zero-tax up to X" headline exists. A resident *individual* whose total income is up to a ceiling gets a rebate that wipes out the tax up to a cap. Purpose: **relieve small taxpayers entirely** — collecting tiny amounts from low earners costs more in administration/hardship than it's worth. The ceiling and cap differ by regime and change yearly (e.g., historically ₹5,00,000 income / ₹12,500 rebate under old regime; a substantially higher income ceiling and rebate under the new regime). **Verify current figures.** Note: 87A rebate does *not* apply to income taxed at *special rates* (like lottery winnings).

Two finer 87A rules exams love:

- **Only a *resident individual* gets 87A** — *not* an HUF, *not* a firm, *not* a non-resident individual. A non-resident with ₹4,00,000 income does *not* get the rebate.
- **The rebate equals the *lower* of (the actual tax on non-special-rate income) or (the statutory cap).** Under the new regime a *marginal relief on the 87A edge* also exists so that someone whose income just crosses the 87A ceiling is not worse off — the extra tax cannot exceed the extra income beyond the ceiling. **(Verify the current mechanics; this marginal-relief-on-rebate feature has been introduced/tweaked in recent Finance Acts.)**

Special (non-slab) rates — some income bypasses slabs entirely because of its nature:

- **Winnings from lottery/betting/gambling [Sec 115BB]** — flat high rate (e.g., 30% + surcharge + cess), *no basic exemption, no deductions, no 87A*. Reason: windfall, no effort, no expenses — the state taxes it hard and clean.
- **Long-term capital gains** and certain **short-term capital gains on listed securities** — concessional special rates (learnt in the Capital Gains chapter).

How special-rate income interacts with the basic exemption — a resident-only relief. A *resident individual/HUF* whose *other* income is below the basic exemption limit may use the *unexhausted* basic exemption to reduce *certain* special-rate incomes (notably LTCG u/s 112 and some STCG) — the shortfall in the basic exemption is first adjusted against such gains. This relief is **not** available to a **non-resident**, and is **never** available against **casual winnings u/s 115BB** (those are taxed rupee-one at the flat rate). Reason: the basic exemption is a subsistence shield for residents; a pure windfall gets no shield. **(Verify the exact list of gains eligible for this adjustment for your AY.)**

4.8 Surcharge, Marginal Relief, and Health & Education Cess — why three add-ons stack on top

The base slab rate isn't the end. Three layers sit above it, each solving a distinct problem:

(a) Surcharge — extra progressivity for the very rich. Slabs top out at 30%. But should someone earning ₹6 crore pay the same *marginal* rate as someone earning ₹11 lakh? Ability-to-pay says no. **Surcharge is a % *of the tax*** (not of income) levied once income crosses high thresholds — pushing the effective rate higher for the wealthy. Illustrative individual surcharge slabs:

Total Income exceeds	Surcharge rate (on tax)
₹50 lakh	10%
₹1 crore	15%
₹2 crore	25%
₹5 crore	37% (capped lower — e.g., 25% — under the new regime)

> **Verify the thresholds, rates, and the new-regime cap for your AY.** Logic to remember: *surcharge = a surtax on the tax of the rich, in bands.*

A crucial surcharge carve-out — the 15% cap on certain incomes. Surcharge on the portion of tax relating to **dividend income and to capital gains taxed u/s 111A / 112 / 112A** is *capped at 15%*, even if total income is above ₹2 crore or ₹5 crore. Reason: these incomes are volatile/mobile (equity investors and FIIs can shift capital abroad), so the state deliberately restrains the top surcharge on them to avoid driving investment away. Trap: students apply 25%/37% to the whole tax including the capital-gains portion — you must *split* the tax and cap the surcharge on the gains part at 15%. **(Verify the covered sections for your AY.)**

(b) Marginal Relief — the fairness patch on surcharge (and on the exemption edge).

The problem it fixes: surcharge kicks in the moment income *crosses* ₹50 lakh. Without a patch, earning ₹1 more than ₹50,00,000 could trigger surcharge on the *entire* tax — so a ₹1 extra of income could cost you thousands of extra rupees of tax. That's absurd (you'd be worse off for earning more).

Marginal relief rule: the **extra tax (including surcharge)** payable on crossing the threshold **cannot exceed the extra income** earned above that threshold. In effect, surcharge is trimmed so that *income above ₹50 lakh is never taxed at more than ~100% at the margin.*

Marginal relief exists at *every* surcharge threshold, not just ₹50 lakh. The same "extra tax ≤ extra income above the threshold" test is applied afresh at ₹1 crore, ₹2 crore and ₹5 crore, each time comparing tax at the just-crossed income with tax at exactly the threshold below it. So a person at ₹1.02 crore gets marginal relief measured against the tax at ₹1 crore (jump from 10% to 15% surcharge), *not* against ₹50 lakh. Method to carry: **always benchmark against the immediately-lower threshold that was just crossed.**

> **Intuition:** marginal relief guarantees "*a rupee more of income never costs you more than a rupee more of tax.*" It smooths the cliff created by surcharge. (Worked in Example 3.)

(c) Health & Education Cess — earmarked top-up. After surcharge, a **cess (illustratively 4%) is levied on (income tax + surcharge)**. Reason: it *earmarks* revenue for health and education — a small, universal, ability-neutral top-up on everyone who pays tax. It applies to *all* taxpayers who have a tax liability, rich or modest.

Order of stacking (memorise the sequence):

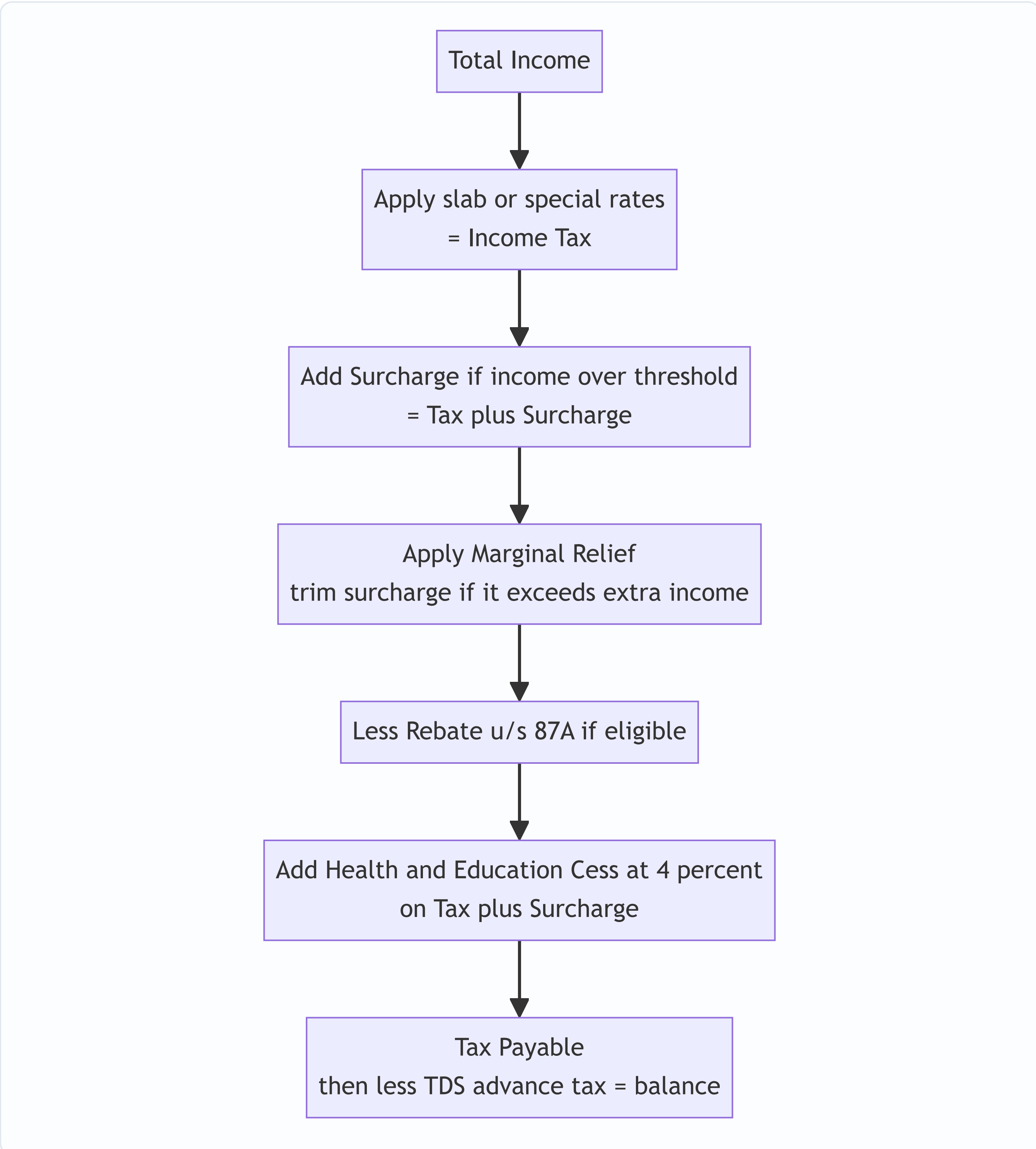

Figure 4.8 — The stacking order: rate → surcharge → marginal relief → rebate → cess. Cess is always LAST and computed on tax-plus-surcharge.

> **Where does rebate 87A sit relative to surcharge?** 87A applies to *small* taxpayers (income within a modest ceiling) who by definition never reach surcharge thresholds — so in practice 87A and surcharge never appear in the *same* computation. The stacking diagram shows the *general* order, but never expect to trim surcharge *and* grant 87A to one person. If a problem gives income within the 87A ceiling, forget surcharge; if it gives crores, forget 87A.

4.9 Old vs New Regime — Section 115BAC

The policy problem: the old regime is riddled with *dozens* of exemptions and deductions (HRA, LTA, 80C, 80D, home-loan interest...). This is great for tax-planning but (a) complex to comply with, (b) distorts choices (people invest to save tax, not because it's a good investment), and (c) benefits mostly those who can afford advisers. The government's response: offer a **simpler, lower-rate regime with *most* deductions stripped away** — you choose lower rates *or* the deductions, not both.

Sec 115BAC — the "new regime":

- **Now the *default* regime.** If you do nothing, you're taxed under the new regime. (Reason: nudge the nation toward simplicity.)
- **Lower slab rates + higher basic exemption** (see §4.7), **but most exemptions/deductions are forgone** — no 80C, 80D (largely), HRA, LTA, etc. A limited **standard deduction on salary** and **employer's NPS contribution (80CCD(2))** are still allowed. *(Verify the exact allowed/disallowed list for your AY — it has been loosened over time.)*
- **Opting out (choosing the old regime):** a salaried person with no business income can choose each year. A person with **business/professional income** who opts out can generally switch back to the new regime **only once** — reason: businesses shouldn't flip-flop yearly to game rates; the law wants a stable, considered choice.

The opt-out mechanics — a heavily tested procedural point:

- **No business income (e.g., salaried/pension/only house-property/other-sources person):** may choose old or new **every single year**, simply by indicating in the return. Maximum flexibility because there's no gaming risk.
- **Has business/professional income:** to opt *out* of the new regime into the old, must file **Form 10-IEA** on or before the due date of return. Having opted out, they may switch **back** to the new regime *once*; once they return to the new regime they *cannot* go to the old again (so long as they have business income). Reason: a one-way ratchet prevents rate-arbitrage year to year.
- **The choice must be exercised by the *due date of filing the return* (Sec 139(1)).** Miss the due date and, generally, the old-regime option (which requires the form) is lost for that year — you're stuck with the default new regime. **(Verify current procedure and form numbers for your AY.)**

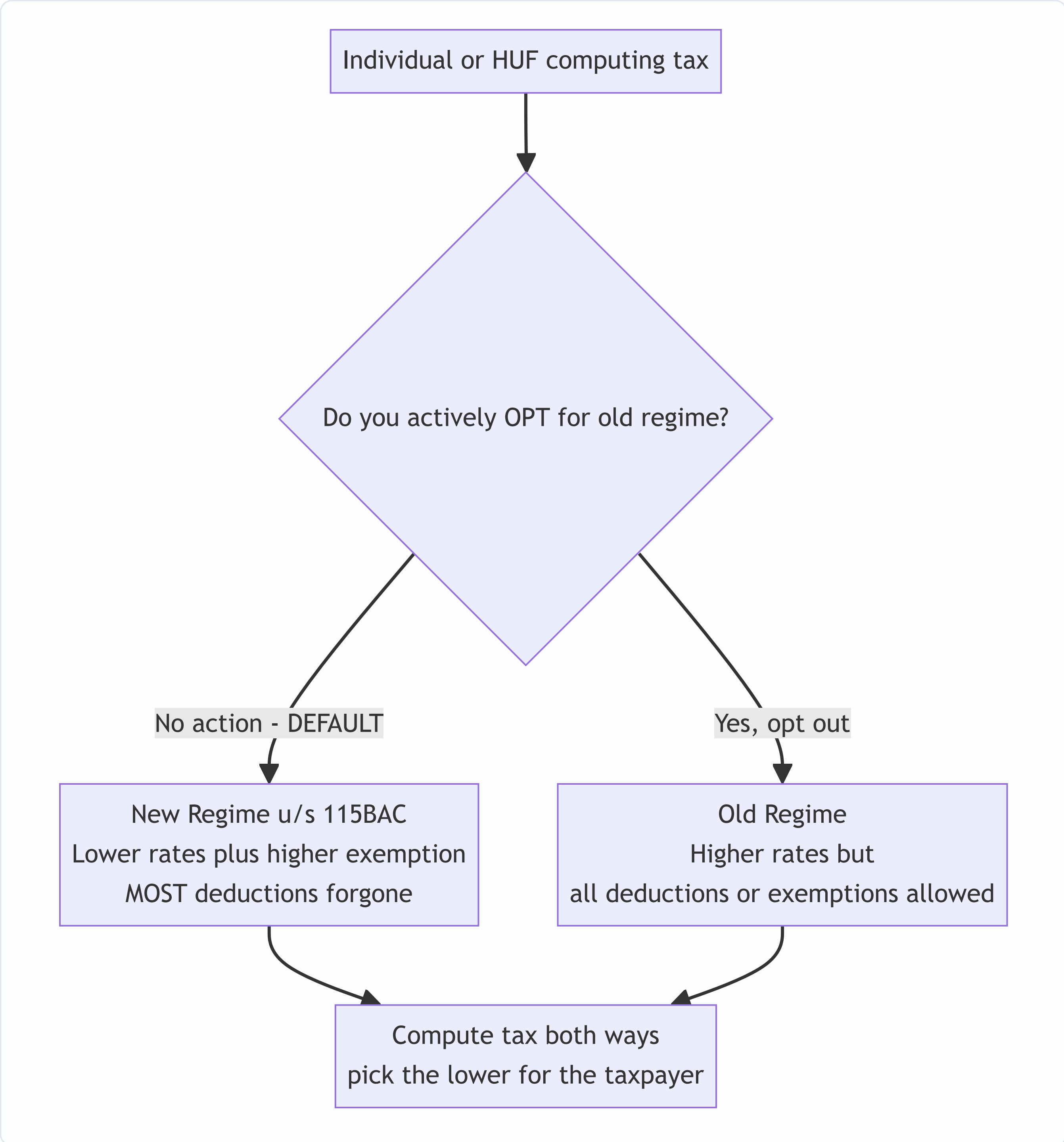

Figure 4.9 — 115BAC decision tree. New regime is the default; you must actively opt out to claim the old regime's deductions. In practice you compute both and choose the lower.

> **How to reason about it, not memorise it:** the new regime wins for people who *don't* have big deductions (little 80C investment, no home loan, no HRA). The old regime wins for people *loaded* with deductions. The exam-and-life skill is to **compute both and compare.**

The break-even way of thinking (deeper than "compute both"). Conceptually, the old regime is worth choosing only if *the tax saved by your deductions* exceeds *the tax saved by the new regime's lower rates + higher exemption*. There is a **break-even level of total deductions** at each income: below it, new wins; above it, old wins. You don't memorise a number — you *see* that a person with, say, only ₹50,000 of deductions almost never beats the new regime, while a person maxing 80C + 80D + home-loan-interest + HRA often does. This turns a rote comparison into an intuition. **(Verify the actual break-even for your AY's numbers.)**

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5. Worked Examples — full step-by-step computations

> All examples use illustrative slab/surcharge/rebate/cess figures. **Verify the AY's actual numbers.** The *method* is what transfers.

Example 1 (Easy) — Identify person, PY, AY, and the head

Mr. A, aged 35, resident, earns during 1 Apr 2025 – 31 Mar 2026: salary ₹8,00,000; interest on savings bank ₹6,000; rent from a let-out flat ₹1,20,000; profit from his part-time trading business ₹40,000; and ₹10,000 winnings from an online quiz. Classify each and state PY and AY.

Solution. - **Person:** Individual [Sec 2(31)(i)]. He is an **assessee** as tax is payable by him [Sec 2(7)]. - **Previous Year [Sec 3]:** 2025-26 (1 Apr 2025 – 31 Mar 2026). - **Assessment Year [Sec 2(9)]:** 2026-27. - **Head classification [Sec 14]:**

Receipt	Head	Section family
Salary ₹8,00,000	Salaries	15–17
Rent ₹1,20,000	Income from House Property	22–27
Business profit ₹40,000	PGBP	28–44
SB interest ₹6,000	Income from Other Sources	56
Quiz winnings ₹10,000	Income from Other Sources (special rate, Sec 115BB)	56 / 115BB

Reconciliation check: every receipt has found exactly one head; the residuary head (Other Sources) absorbed the two that fit nowhere else. ✓

Example 2 (Moderate) — Full tax computation, new vs old regime, with rebate

Ms. B, aged 40, resident. For PY 2025-26: salary income ₹9,50,000 (before standard deduction). She has 80C investments of ₹1,50,000 and 80D medical insurance of ₹25,000. Standard deduction on salary is ₹50,000 (old) / ₹75,000 (new) — illustrative. Compute tax under BOTH regimes and advise. Use illustrative slabs from §4.7; 87A rebate: old regime nil-tax up to TI ₹5,00,000; new regime nil-tax up to TI ₹12,00,000. Cess 4%.

Solution.

Old regime:

Step	₹
Gross salary	9,50,000
Less: Standard deduction	(50,000)
Income under Salaries = GTI	9,00,000
Less: 80C	(1,50,000)
Less: 80D	(25,000)
Total Income	**7,25,000**

Tax on ₹7,25,000 (old slabs): - 0–2,50,000 → Nil - 2,50,001–5,00,000 → 5% × 2,50,000 = 12,500 - 5,00,001–7,25,000 → 20% × 2,25,000 = 45,000 - **Tax = 57,500** - 87A rebate? TI ₹7,25,000 > ₹5,00,000 → **not eligible**. - Add cess 4% × 57,500 = 2,300 - **Tax payable (old) = ₹59,800**

New regime:

Step	₹
Gross salary	9,50,000
Less: Standard deduction (new)	(75,000)
Total Income (80C & 80D NOT allowed)	**8,75,000**

Tax on ₹8,75,000 (new slabs): - 0–4,00,000 → Nil - 4,00,001–8,00,000 → 5% × 4,00,000 = 20,000 - 8,00,001–8,75,000 → 10% × 75,000 = 7,500 - **Tax before rebate = 27,500** - 87A rebate? TI ₹8,75,000 ≤ ₹12,00,000 → **eligible → rebate wipes out the ₹27,500.** - Tax after rebate = **Nil**; cess on nil = nil. - **Tax payable (new) = ₹0**

Advice: New regime → **₹0** vs Old regime → **₹59,800**. Choose the **new regime**; the generous 87A ceiling makes her tax-free despite losing 80C/80D.

Reconciliation/insight: the deductions she loses (₹1,75,000) are worth *less* to her than the new regime's higher exemption + huge rebate. This is exactly the "compute both, compare" skill. ✓

What if the examiner tweaks it? Suppose Ms. B also has **home-loan interest of ₹2,00,000** (deductible under the *old* regime's House Property head, but *not* under the new regime). Re-run: old-regime TI falls to ₹7,25,000 − 2,00,000 = ₹5,25,000, tax ≈ 12,500 + 20% × 25,000 = ₹17,500 + cess ₹700 = **₹18,200**; new regime is unchanged at **₹0** (home-loan interest on a self-occupied house is not allowed there). *New still wins.* Now push the deductions harder — give her 80C ₹1,50,000 + 80D ₹25,000 + home-loan interest ₹2,00,000 + HRA exemption ₹1,50,000. The old-regime deductions may now shrink TI below the old ₹5,00,000 rebate ceiling, making *both* regimes ₹0 — at which point you choose old only if it also gives a lower *cess-inclusive* figure or better loss carry-forward. **Lesson:** the regime verdict flips as deductions grow past the break-even (§4.9); never assume "new always wins."

Example 3 (Exam-hard) — Surcharge + Marginal Relief

Mr. C, resident individual, aged 45, PY 2025-26, Total Income = ₹51,00,000 (all normal-rate income, old regime). Illustrative: surcharge 10% once TI exceeds ₹50,00,000; cess 4%; old slabs from §4.7. Compute tax payable, demonstrating marginal relief.

Solution.

Step 1 — Income tax on ₹51,00,000 (old slabs): - 0–2,50,000 → Nil - 2,50,001–5,00,000 → 5% × 2,50,000 = 12,500 - 5,00,001–10,00,000 → 20% × 5,00,000 = 1,00,000 - 10,00,001–51,00,000 → 30% × 41,00,000 = 12,30,000 - **Income tax = ₹13,42,500**

Step 2 — Surcharge @10% (TI > ₹50 lakh): - 10% × 13,42,500 = **₹1,34,250** - Tax + surcharge = 13,42,500 + 1,34,250 = **₹14,76,750**

Step 3 — Marginal Relief test. Compare with the tax on exactly ₹50,00,000 (no surcharge there):

Tax on ₹50,00,000: - Nil + 12,500 + 1,00,000 + (30% × 40,00,000 = 12,00,000) = **₹13,12,500** (no surcharge).

- **Extra income** above ₹50,00,000 = ₹1,00,000.
- **Extra tax (with surcharge)** = 14,76,750 − 13,12,500 = ₹1,64,250.
- Since extra tax (₹1,64,250) **exceeds** extra income (₹1,00,000), **marginal relief applies.**
- Relief = 1,64,250 − 1,00,000 = **₹64,250.**
- Surcharge after relief = 1,34,250 − 64,250 = **₹70,000.**

Step 4 — Recompute: - Tax + surcharge after relief = 13,42,500 + 70,000 = 14,12,500 - Add cess 4% × 14,12,500 = 56,500 - **Tax payable = ₹14,69,000**

Reconciliation/insight: without marginal relief the tax-plus-surcharge was ₹14,76,750; the earner's *extra* ₹1,00,000 of income should never cost more than ₹1,00,000 of extra tax. After relief, tax-plus-surcharge (₹14,12,500) − tax at ₹50L (₹13,12,500) = exactly **₹1,00,000**. Marginal relief did precisely its job. ✓

Example 4 (Exam-hard) — Casual winnings mixed with normal income (the 115BB trap)

Mr. D, resident individual, aged 50, PY 2025-26, old regime. Normal business income ₹2,00,000; winnings from a TV game show ₹6,00,000 (gross, before the show deducted TDS). No Chapter VI-A investments. Illustrative: old slabs §4.7; 87A nil-tax up to TI ₹5,00,000; lottery/winnings taxed flat 30% u/s 115BB; cess 4%. Compute tax payable.

Solution. The examiner's bait: total income is ₹8,00,000 — a careless student taxes the whole thing on the slab, or grants 87A because "it's under some ceiling." Both are wrong. **Winnings must be segregated and taxed at the special flat rate with no exemption, no deduction, no 87A.**

Step 1 — Split the income:

Component	₹	Rate
Winnings (special, Sec 115BB)	6,00,000	Flat 30%
Normal income (business)	2,00,000	Slab
Total Income	**8,00,000**	—

Step 2 — Tax on winnings (115BB): 30% × 6,00,000 = **₹1,80,000** (no basic exemption is set off against winnings; the flat rate hits rupee one).

Step 3 — Tax on normal income: normal income ₹2,00,000 is *below* the ₹2,50,000 basic exemption → **Nil**. (The basic exemption shelters only the *normal* income, never the winnings.)

Step 4 — Rebate 87A? Even though *total* income (₹8,00,000) exceeds ₹5,00,000 so 87A fails anyway here, note the deeper rule: **87A can never reduce the tax on the ₹6,00,000 winnings** even if total income were within the ceiling. So rebate = **Nil**.

Step 5 — Aggregate and add cess: - Tax before cess = 1,80,000 + 0 = ₹1,80,000 - Cess 4% × 1,80,000 = ₹7,200 - **Tax payable = ₹1,87,200** (against which the TDS the show already deducted is credited).

Reconciliation/insight: the flat-rate income (₹1,80,000 tax) dwarfs what a naive slab computation on ₹8,00,000 would give (≈ ₹72,500), *proving* why segregation matters — the special rate is *harsher*, not softer, and the basic exemption/87A shields cannot touch it. **Contrast trap:** had the ₹6,00,000 been *interest income* (ordinary Other Sources, not winnings), the whole ₹8,00,000 would be slab-taxed and 87A logic re-examined. The single word "winnings" changes the entire answer. ✓

Example 5 (Moderate) — First previous year of a new business + same-year assessment

Mr. E sets up a manufacturing business on 1 August 2025. Separately, Mr. F, a resident who has no intention of returning, is leaving India permanently on 15 October 2025; his income from 1 April 2025 to 15 October 2025 is ₹7,00,000. State (a) Mr. E's first previous year and assessment year, and (b) how and when Mr. F's income is charged.

Solution.

(a) Mr. E — new business [Sec 3]. A newly set-up source's first previous year runs from the date of setting up to the following 31 March. So: - **First Previous Year:** 1 August 2025 – 31 March 2026 (8 months — shorter than 12, which is permitted only for a *first* PY). - **Assessment Year:** 2026-27. - From the next year it reverts to a full Apr–Mar previous year.

(b) Mr. F — leaving India [Sec 174]. Because he is unlikely to return, waiting for AY 2026-27 risks losing the tax. Sec 174 allows **same-year assessment**: his income from 1 April 2025 up to the *probable date of departure* is assessed **in AY 2025-26 itself**, at the rates in force (or the immediately preceding year's rates where the current year's are not yet enacted). So his ₹7,00,000 is taxed *now*, not next year.

Reconciliation/insight: both parts hinge on the *same* structural idea — the PY/AY machinery bends to reality. It *shortens* the first year when a source is *born* mid-year (E), and it *collapses the lag* when the taxpayer is about to *disappear* (F). Memory anchor: "Ships Leaving Are Transferring & Discontinuing" (172/174/174A/175/176) — F falls under **174**. ✓

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6. Computation Format / Presentation (memorise this skeleton)

Every income-tax answer follows this master format. Reproduce it exactly in exams — examiners award method marks for the structure itself.

```
Computation of Total Income of <Assessee> for AY 20XX-XX
(Residential status: ______;  Regime: Old / New u/s 115BAC)

1. Income from Salaries                          xxxxx
2. Income from House Property                    xxxxx
3. Profits & Gains of Business or Profession     xxxxx
4. Capital Gains (short-term / long-term shown separately)  xxxxx
5. Income from Other Sources                     xxxxx
                                                 ______
   Gross Total Income                            xxxxx
   Less: Deductions under Chapter VI-A           (xxxx)
                                                 ______
   TOTAL INCOME (rounded to nearest ₹10, Sec 288A)  xxxxx
                                                 ══════

Computation of Tax Liability
   Tax on Total Income (slab / special rates, shown separately)   xxxx
   Add: Surcharge (if applicable)                                 xxxx
   Less: Marginal Relief (if applicable)                          (xx)
   Less: Rebate u/s 87A (if eligible)                             (xx)
                                                                  ____
   Tax + Surcharge                                                xxxx
   Add: Health & Education Cess @ 4%                              xxxx
                                                                  ____
   Gross Tax Liability                                            xxxx
   Less: TDS / TCS / Advance Tax / Relief 89/90/91                (xx)
                                                                  ____
   Tax Payable / (Refund) (rounded, Sec 288B)                     xxxx
                                                                  ════
```

Presentation rules (each with its reason): - **Special-rate income (lottery, LTCG) is shown and taxed *separately*** from slab income — because 87A/basic-exemption don't apply to it. - **Round Total Income to nearest ₹10 [Sec 288A]** and **tax payable to nearest ₹10 [Sec 288B]** — administrative simplicity. - **State residential status and regime at the top** — because both change the very numbers you compute.

Rounding — the exact mechanics students fumble. Under **Sec 288A**, *Total Income* is rounded to the nearest multiple of ₹10: ignore any paise, then if the last figure is ₹5 or more round *up*, else *down* (e.g., ₹7,25,246 → ₹7,25,250; ₹7,25,244 → ₹7,25,240). Under **Sec 288B**, the *final tax payable* is rounded the same way. Do **not** round after every intermediate step — round *Total Income once* and the *final tax once*. Rounding surcharge, cess and sub-totals individually accumulates error and can cost a mark.

Where each add-on physically sits — a presentation reminder. Show *tax on normal income* and *tax on special-rate income* on separate lines, sum them, *then* apply surcharge on the aggregate (capping the surcharge on the capital-gains/dividend portion at 15% per §4.8), *then* marginal relief, *then* cess. Writing cess before surcharge, or netting winnings into the slab, are the two most common structure errors and both are visible to the examiner at a glance.

7. Connections — how this chapter wires into the rest of the syllabus

- → **Residential Status (next chapter):** Sec 4 taxes the *total income* — but *scope* of total income (Sec 5) depends on whether the person is Resident/Not-Ordinarily-Resident/Non-Resident. This chapter defines *what* and *when*; residence defines *how much of the world's income* India can tax.
- → **Each of the 5 head chapters:** Salaries, House Property, PGBP, Capital Gains, Other Sources are each a deep-dive into one bucket of §4.6.
- → **Clubbing & Set-off:** the "aggregate the heads" step hides two sub-rules — clubbing others' income into yours, and setting off losses across heads — done *before* GTI.
- → **Chapter VI-A deductions:** the GTI → TI step (80C, 80D, 80G...).
- → **Advance tax / TDS / Return filing:** Sec 4(2)'s pay-as-you-earn promise is operationalised there.
- → **Agricultural income & partial integration:** Sec 4's charge excludes agricultural income (a State subject, exempt u/s 10(1)), but the rates chapter *aggregates* it with non-agricultural income to fix the *rate* on the taxable slice — a direct sequel to §4.7.
- → **Assessment procedure & PAN/AY machinery:** the "assessee" definition of §4.1 is the doorway to the return-filing, assessment, appeals and penalty chapters — every "assessee-in-default" and "representative assessee" idea recurs there.
- → **GST/indirect tax:** contrast — income tax is *direct* (borne by the earner, progressive); GST is *indirect* (borne by the consumer, on spending). Same government, opposite base.

8. Traps & Examiner Tricks

1. **"Higher slab taxes all income" myth.** Only the *slice* in a slab is taxed at that slab's rate. Never apply 30% to the whole income.
2. **87A on special-rate income.** Rebate u/s 87A does **not** reduce tax on lottery/casual winnings (Sec 115BB) or (generally) on special-rate capital gains. Examiners plant a small lottery win to see if you wrongly zero-out the tax.
3. **Cess is on (tax + surcharge), not on income, and comes AFTER marginal relief and after rebate.** Order matters — compute cess last.
4. **Marginal relief direction.** It only *reduces* surcharge (or tax at the exemption edge); it never increases tax. Apply the "extra tax ≤ extra income" test only when income just crosses a threshold — and benchmark against the *immediately-lower* threshold, not always ₹50 lakh.
5. **Default regime is NEW.** If the question says nothing, tax under **115BAC (new)**. A candidate who defaults to the old regime out of habit loses marks. Business-income assessees who opt out get *one* switch back (Form 10-IEA by the due date).
6. **PY = same-year taxation exceptions (172/174/174A/175/176).** A question about "a person leaving India permanently in Oct 2025" wants same-year assessment (Sec 174), not next-year.
7. **Application vs diversion of income.** "Mr. X's income is paid, under a court decree, directly to his ex-wife before it reaches him" = **diversion by overriding title → not X's income.** "Mr. X earns income and then pays his ex-wife maintenance out of it" = **application → fully X's income first.** The trigger word is *before it reaches him*.
8. **Illegal income is still taxable.** Don't exclude smuggling/bribe income.

9. **Rounding.** Round Total Income and tax to nearest ₹10 (Sec 288A/288B), *once each* — small marks, easy to bag; don't round every intermediate line.
10. **HUF/AOP are separate persons.** Income of an HUF is taxed in the HUF's hands, *not* the karta's — a classic "who is the assessee" trap.
11. **Senior/super-senior higher exemption applies only in the OLD regime** (the new regime's exemption is uniform regardless of age). Verify current stance.
12. **"Person" ≠ "assessee".** A person with only exempt/agricultural income below limits may not be an assessee at all; but a person claiming a *refund* or filing a *loss* return IS an assessee.
13. **Capital receipt vs revenue receipt.** A capital receipt is taxable *only* if a charging section (like Sec 45) specifically brings it in; a revenue receipt is taxable *unless* specifically exempted. Don't tax a pure capital receipt that no section charges, and don't exempt a revenue receipt just because it's irregular.
14. **AOP vs BOI, firm vs company mix-ups.** Two *companies* joining form an **AOP** (never a BOI, which is individuals only); an **LLP is taxed as a firm**, not a company, despite "Limited."
15. **First previous year can be *shorter* than 12 months but never longer.** New business/source started mid-year → PY from set-up date to 31 March.
16. **Surcharge cap of 15% on capital-gains/dividend portion.** At incomes above ₹2 crore, don't blindly apply 25%/37% to the *whole* tax — split out the tax on 111A/112/112A/dividends and cap its surcharge at 15%.
17. **Basic-exemption adjustment against special-rate gains is resident-only and never against 115BB winnings.** A non-resident cannot shelter LTCG with an unused basic exemption; no one can shelter lottery winnings.
18. **Firms/companies have no basic exemption and no slabs.** Applying individual slabs to a firm is a structural error.

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9. First-Principles Recap

Rebuild the whole chapter from one seed idea: **a state needs recurring revenue and should collect it in proportion to ability to pay.** From that alone:

- To tax *ability to pay*, tax **income** (a recurring flow), progressively → **slabs, surcharge, rebate**. And tax it *directly* (incidence sticks to the earner) so progressivity actually reaches the person meant to bear it.
- To tax fairly you must know *whom* → **person [2(31)]** (seven buckets so nothing escapes; artificial persons get flat rates, humans get slabs) and *who's in the machine* → **assessee [2(7)]** (ordinary, representative/deemed, assessee-in-default).
- You must know *what counts* → **income [2(24)]**, defined *inclusively* so cleverness can't dodge it; distinguish capital vs revenue receipts, and diversion vs application.
- You can only measure income *after* the year ends → split **previous year [Sec 3]** from **assessment year [2(9)]**; shorten the *first* PY when a source is born mid-year; drop the lag when the taxpayer might vanish (172/174/174A/175/176).
- A law must *command* the tax → **Sec 4**, which ties the Finance Act's *rates* to the *AY* on the *PY's total income* of *every person*, "subject to the provisions of this Act" (so deeming/override sections work), and lets the state collect early via TDS/advance tax.

- Different income types need different treatment → **5 heads [Sec 14]** (mutually exclusive, residuary head last), aggregating into **GTI**, less **Chapter VI-A** (which can't create a loss) = **Total Income**.
- Apply the climbing rate schedule → slab/special rate → **surcharge** (extra progressivity, 15% cap on gains/dividends) → **marginal relief** (patch the cliff at every threshold) → **rebate 87A** (spare the small, resident individuals only) → **cess** (earmark for health/education).
- Simplify the whole thing → **new regime u/s 115BAC** (default; low rates, few deductions) vs **old regime** (high rates, many deductions) → *compute both, choose lower*, understanding the break-even.

If you can narrate that chain aloud, you never have to memorise the chapter — you can *derive* it.

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10. Quick-Revision Sheet

Key sections & definitions:

Section	Concept	One-line why
2(7)	Assessee	Person who owes tax / is under proceeding / deemed / in-default
2(9)	Assessment Year	12 months from 1 Apr; year of assessment
2(24)	Income	*Inclusive* definition — nets future cleverness
2(31)	Person (7 categories)	Wide net so nothing escapes
2(45)	Total Income	GTI minus Chapter VI-A; base for tax
3	Previous Year	FY in which income is earned; first PY can be shorter
4	**Charge of tax**	Master switch: FA rates × AY × PY's TI × every person; "subject to the Act"
5	Scope of total income	(Next ch.) depends on residence
14	Heads of income	5 buckets — S/H/B/C/O; mutually exclusive
15–17	Salaries	Head 1
22–27	House Property	Head 2
28–44	PGBP	Head 3
45–55	Capital Gains	Head 4
56–59	Other Sources	Head 5 (residuary)
80B(5)	Gross Total Income	Pre-deduction aggregate
87A	Rebate	Spare small taxpayers; resident individual only; not on special rates
111A/112/112A	Special-rate capital gains	Surcharge capped at 15%
115BB	Winnings — flat rate	No exemption/deduction/87A
115BAC	New (default) regime	Low rates, few deductions; Form 10-IEA to opt out
172/174/174A/175/176	PY = AY exceptions	Taxpayer/income may vanish
288A / 288B	Rounding TI / tax	Nearest ₹10, once each

Same-year taxation (memory hook): *Ships(172) Leaving(174) Associations-for-an-event(174A) Transferring(175) Discontinuing(176).*

Heads memory hook: She **H**as **B**ig **C**apital **O**utflows.

Persons memory hook: Individual, HUF, Company, Firm, AOP/BOI, Local authority, AJP — *humans → families → companies → firms → groups → govt bodies → everything else.*

Assessee sub-types: Ordinary · Representative/Deemed · Assessee-in-default.

Stacking order of tax: Slab/special rate → **+Surcharge** (15% cap on gains/dividends) → **−Marginal relief → −87A rebate → +4% Cess** → −TDS/Advance tax = **Tax payable.**

Persons that get SLABS vs FLAT rates: Individual/HUF/AOP-BOI/AJP → slabs (+basic exemption). Firm/LLP, Company, Local authority, Co-op → flat (no basic exemption).

Illustrative limits to VERIFY each year:

Item	Illustrative figure	⚠ Verify
Basic exemption (old, <60)	₹2,50,000	Yes
Basic exemption (new)	₹4,00,000	Yes
Senior / super-senior exemption (old)	₹3,00,000 / ₹5,00,000	Yes
87A ceiling (old / new)	TI ₹5,00,000 / ₹12,00,000	Yes
Surcharge bands	10/15/25/37% (new-regime cap lower; 15% cap on gains/dividends)	Yes
Health & Education Cess	4%	Yes
Lottery rate (115BB)	30% flat	Yes
Firm / company flat rate	30% / varies (22%, 15% concessional)	Yes

> **Final reminder:** every number above is *illustrative of the mechanism*. Rates, thresholds, exemption limits, the 87A ceiling, surcharge bands and the list of deductions allowed under 115BAC are amended almost every Finance Act. **Confirm the exact figures and the applicable Assessment Year from current ICAI Study Material / RTP / Finance Act for your attempt.** Master the *structure* here; slot in the year's digits at revision time.

Q&A — Basic Concepts of Income Tax

> **Scope note:** All rates, surcharge thresholds, rebate limits and slab figures below are illustrated for **AY 2025-26 (PY 2024-25)** under the Income-tax Act, 1961. **Rates and limits change every Finance Act — always re-verify against the ICAI Study Material / RTP applicable to your attempt before the exam.** Section numbers are stable; numbers are not.

Section A — Concept-Check (short questions + answers)

A1. Define "person" and list the seven categories under section 2(31). Ans. Under **Sec 2(31)**, "person" includes: (i) an Individual, (ii) a Hindu Undivided Family (HUF), (iii) a Company, (iv) a Firm, (v) an Association of Persons (AOP) or Body of Individuals (BOI), (vi) a Local Authority, and (vii) every Artificial Juridical Person not falling in the above. Explanation: an entity need not be formed for profit to be a "person" (e.g., a club or deity). This matters because tax is charged *on a person* — no person, no charge.

A2. Distinguish "assessee" [Sec 2(7)] from "person". Ans. Every assessee is a person, but not every person is an assessee. **Sec 2(7)** "assessee" = a person by whom any tax **or any other sum** (interest/penalty) is payable, OR against whom any proceeding has been taken, OR a *deemed assessee* (e.g., legal representative u/s 159), OR an *assessee-in-default* (e.g., failure to deduct/pay TDS). So "assessee" is a person *connected to a proceeding or liability*.

A3. Why does income tax use two years — Previous Year and Assessment Year? Ans. Sec 3 defines Previous Year (PY) = the financial year in which income is *earned*. **Sec 2(9)** defines Assessment Year (AY) = the financial year immediately following the PY, in which income is *assessed and taxed*. Income can only be measured *after* the year ends (you cannot total a year's income mid-year), so a following year is needed to file, assess and pay. Both are always 1 April–31 March.

A4. State the charging section and its four ingredients. Ans. Sec 4 is the charging section: (1) tax is charged for *every assessment year* (2) at rates fixed by the *annual Finance Act* (3) on the *total income* (4) of *every person*. Without Sec 4 the Act has no operative force — it is the section that actually imposes the tax.

A5. Differentiate Gross Total Income (GTI) from Total Income (TI). Ans. GTI [Sec 80B(5)] = aggregate of income computed under the five heads (Sec 14) *after* inter-head/intra-head set-off but *before* Chapter VI-A deductions. **TI** [Sec 2(45)] = GTI **minus** deductions under Chapter VI-A (Sec 80C to 80U). Tax is levied on TI, not GTI.

A6. Name the five heads of income (Sec 14) and explain why five. Ans. Sec 14: (A) Salaries, (B) Income from House Property, (C) Profits & Gains of Business or Profession, (D) Capital Gains, (E) Income from Other Sources. Five heads exist because each income *type* has a different economic character and therefore needs its own computation rules (e.g., standard deduction for salary, 30% flat deduction for house property, indexation for capital gains). The residuary head (E) ensures *no income escapes* charge.

A7. What is a "casual" appearance of the AY-before-PY rule? Give one exception. Ans. Normally income of PY is taxed in the *next* AY. **Exceptions** (Sec 172, 174, 174A, 175, 176) tax income *in the PY itself* — e.g., shipping business of non-residents (Sec 172), persons likely to leave India (Sec 174), or a discontinued business (Sec 176) — to protect revenue collection.

A8. What is "marginal relief"? Ans. Where income marginally crosses a surcharge threshold, marginal relief caps the surcharge so that the *extra tax + surcharge* does not exceed the *income earned above the threshold*. It prevents a small rise in income from causing a disproportionately large jump in tax.

A9. Under the default regime, which section governs the new tax regime for individuals/HUF? Ans. Sec 115BAC. From AY 2024-25 the new regime is the **default**; the assessee may *opt out* to the old regime. Salaried persons without business income can switch each year; those with business/professional income can revert to old regime only *once*.

Section B — Graded Computational Problems (easy → exam-hard)

B1 (Easy) — GTI to Total Income

Mr. A (age 40, resident) for PY 2024-25: Salary income ₹6,00,000; House property income ₹1,20,000; Interest on savings ₹15,000. Chapter VI-A: 80C ₹1,00,000; 80TTA ₹10,000. Compute GTI and TI.

Solution. | Head | ₹ | |---|---| | Salaries (Sec 15) | 6,00,000 | | House Property (Sec 22) | 1,20,000 | | Other Sources (Sec 56) | 15,000 | | **GTI (Sec 80B(5))** | **7,35,000** | | Less: 80C | (1,00,000) | | Less: 80TTA | (10,000) | | **Total Income (Sec 2(45))** | **6,25,000** |

Check: 7,35,000 − 1,10,000 = 6,25,000. ✓

B2 (Moderate) — Old regime tax with rebate 87A

Using B1's **TI = ₹6,25,000** (old regime, individual < 60). Compute tax.

Solution. Old-regime slabs (resident individual < 60): nil up to 2,50,000; 5% on 2,50,001–5,00,000; 20% on 5,00,001–10,00,000. - 5% × (5,00,000 − 2,50,000) = 5% × 2,50,000 = **12,500** - 20% × (6,25,000 − 5,00,000) = 20% × 1,25,000 = **25,000** - Tax before rebate = 12,500 + 25,000 = **37,500** - Rebate u/s 87A: available only if TI ≤ ₹5,00,000 (old regime). TI = 6,25,000 > 5,00,000 → **no rebate**. - Add Health & Education Cess (HEC) @ 4% = 4% × 37,500 = **1,500** - **Total tax = ₹39,000. ✓**

B3 (Exam-level) — New regime 115BAC vs Old regime comparison

Ms. R (age 45, resident, salaried, no business income) PY 2024-25: Gross salary ₹12,00,000. She has 80C investments ₹1,50,000 and 80D ₹25,000. Standard deduction ₹50,000 available under **both** regimes for salary. Determine which regime is cheaper.

Solution — Old Regime. | Item | ₹ | |---|---| | Gross salary | 12,00,000 | | Less: Std deduction (Sec 16(ia)) | (50,000) | | Salary income = GTI | 11,50,000 | | Less: 80C | (1,50,000) | | Less: 80D | (25,000) | | **Total Income** | **9,75,000** |

Old-regime tax: 12,500 (up to 5L) + 20% × (9,75,000 − 5,00,000) = 12,500 + 20% × 4,75,000 = 12,500 + 95,000 = **1,07,500**. Cess 4% = 4,300. **Total = ₹1,11,800.**

Solution — New Regime (Sec 115BAC), AY 2025-26 slabs. Chapter VI-A (80C/80D) **not allowed**; standard deduction ₹50,000 **is** allowed. - Total Income = 12,00,000 − 50,000 = **11,50,000**. - Slabs (AY 25-26): 0–3L nil; 3–7L @5%; 7–10L @10%; 10–12L @15%; 12–15L @20%; >15L @30%. - 5% × (7,00,000 − 3,00,000) = 20,000 - 10% × (10,00,000 − 7,00,000) = 30,000 - 15% × (11,50,000 − 10,00,000) = 22,500 - Tax = 20,000 + 30,000 + 22,500 = **72,500**. Cess 4% = 2,900. **Total = ₹75,400.**

Conclusion: New regime (₹75,400) is cheaper than old (₹1,11,800) by **₹36,400**. *Even though old regime allows ₹1,75,000 of deductions, the lower/ wider new-regime slabs win here.* ✓

B4 (Exam-hard) — Surcharge + Marginal Relief

Mr. K (individual, old regime) has **Total Income = ₹51,00,000** for PY 2024-25. Compute tax including surcharge and marginal relief. (Surcharge @10% applies where TI > ₹50,00,000.)

Solution. Step 1 — Tax on ₹51,00,000 (old slabs): 12,500 + 1,00,000 (20% of 5L) + 30% × (51,00,000 − 10,00,000). - 30% × 41,00,000 = 12,30,000 - Tax before surcharge = 12,500 + 1,00,000 + 12,30,000 = **13,42,500**. Step 2 — Surcharge @10% = 1,34,250. Tax + SC = **14,76,750**.

Step 3 — **Marginal relief** check. Tax on ₹50,00,000 (threshold) = 12,500 + 1,00,000 + 30% × 40,00,000 = 12,500 + 1,00,000 + 12,00,000 = **13,12,500** (no surcharge at exactly 50L). - Income above threshold = 51,00,000 − 50,00,000 = **1,00,000**. - Tax+SC at 51L (14,76,750) exceeds [tax at 50L + excess income] = 13,12,500 + 1,00,000 = 14,12,500 by **64,250**. - Marginal relief = **₹64,250**. Surcharge is reduced from 1,34,250 to (1,34,250 − 64,250) = **70,000**. Step 4 — Tax + reduced SC = 13,42,500 + 70,000 = **14,12,500**. Add HEC 4% = 56,500. - **Total tax = ₹14,69,000.** ✓

Logic check: after marginal relief, total tax before cess (14,12,500) − tax at 50L (13,12,500) = 1,00,000 = exactly the extra income. Marginal relief worked. ✓

Section C — Past-Paper-Style Full Questions

C1. "Explain the concept of Previous Year and Assessment Year with the rationale for the two-year system. Also state the exceptions where income of a PY is taxed in the PY itself." (6 marks)

Model Answer. As per **Sec 3**, "Previous Year" is the financial year in which income is *earned/accrued/received*; the first PY of a newly set-up business begins on the date of set-up and ends on the following 31 March. As per **Sec 2(9)**, "Assessment Year" is the financial year immediately following the PY, running 1 April to 31 March, in which the income of the PY is *charged to tax* (Sec 4).

Rationale: income of a year can be aggregated, quantified and assessed only *after* the year has ended. A separate following year is therefore necessary for return filing, verification and assessment. This gives certainty and prevents part-year estimation.

Exceptions (PY taxed in PY itself) to protect revenue where the assessee/income may not be traceable in the next AY: - **Sec 172** — shipping business of non-residents; - **Sec 174** — persons likely to leave India permanently/for long; - **Sec 174A** — AOP/BOI/AJP formed for a particular event likely to dissolve; - **Sec 175** — persons likely to transfer property to avoid tax; - **Sec 176** — discontinued business/profession.

C2. "Discuss the scheme of charge of income tax under section 4 and how total income is arrived at from the five heads." (5 marks)

Model Answer. Sec 4 is the charging section. Its scheme: income tax *shall be charged* for every assessment year, at the rate(s) prescribed by the **annual Finance Act**, in respect of the **total income** of the previous year of **every person**. Where the Act so provides, tax is also deducted at source or paid in advance.

Route from raw income to total income: 1. Classify each income into one of the **five heads (Sec 14)** — Salaries, House Property, PGBP, Capital Gains, Other Sources. 2. Compute income under each head per its own provisions. 3. Apply **intra-head and inter-head set-off** (Sec 70–71). 4. Aggregate → **Gross Total Income** [Sec 80B(5)]. 5. Deduct **Chapter VI-A** (Sec 80C–80U) → **Total Income** [Sec 2(45)]. 6. Apply Finance Act rates + surcharge (with marginal relief) + rebate (Sec 87A) + HEC 4% → tax payable.

C3. "State whether the following are 'persons' u/s 2(31): (a) a partnership firm, (b) a minor child, (c) Delhi Municipal Corporation, (d) an idol/deity in a temple." (4 marks)

Model Answer. (a) **Firm** — yes, expressly listed [Sec 2(31)(iv)]. (b) **Minor child** — yes, an *individual*; but minor's income is generally clubbed with a parent u/s 64(1A). (c) **Delhi Municipal Corporation** — yes, a *local authority* [Sec 2(31)(vi)]. (d) **Idol/deity** — yes, an *artificial juridical person* [Sec 2(31)(vii)] (settled by judicial precedent). All four are "persons."

Section D — MCQs / Case Scenarios

D1. Total Income is defined in which section? (a) 2(24) (b) 2(45) (c) 2(31) (d) 80B(5) **Ans: (b).** Sec 2(45) defines "total income"; Sec 80B(5) defines GTI.

D2. For AY 2025-26, the *default* tax regime for an individual is: (a) Old regime (b) New regime u/s 115BAC (c) Optional either (d) 115BAB **Ans: (b).** From AY 2024-25 the new regime u/s 115BAC is the default; the old regime must be opted for.

D3. Rebate u/s 87A under the **old regime** is available where total income does not exceed: (a) ₹5,00,000 (b) ₹7,00,000 (c) ₹2,50,000 (d) ₹3,00,000 **Ans: (a).** Old regime 87A limit is ₹5,00,000 (rebate up to ₹12,500). *New-regime 87A limit is higher — verify current figure.*

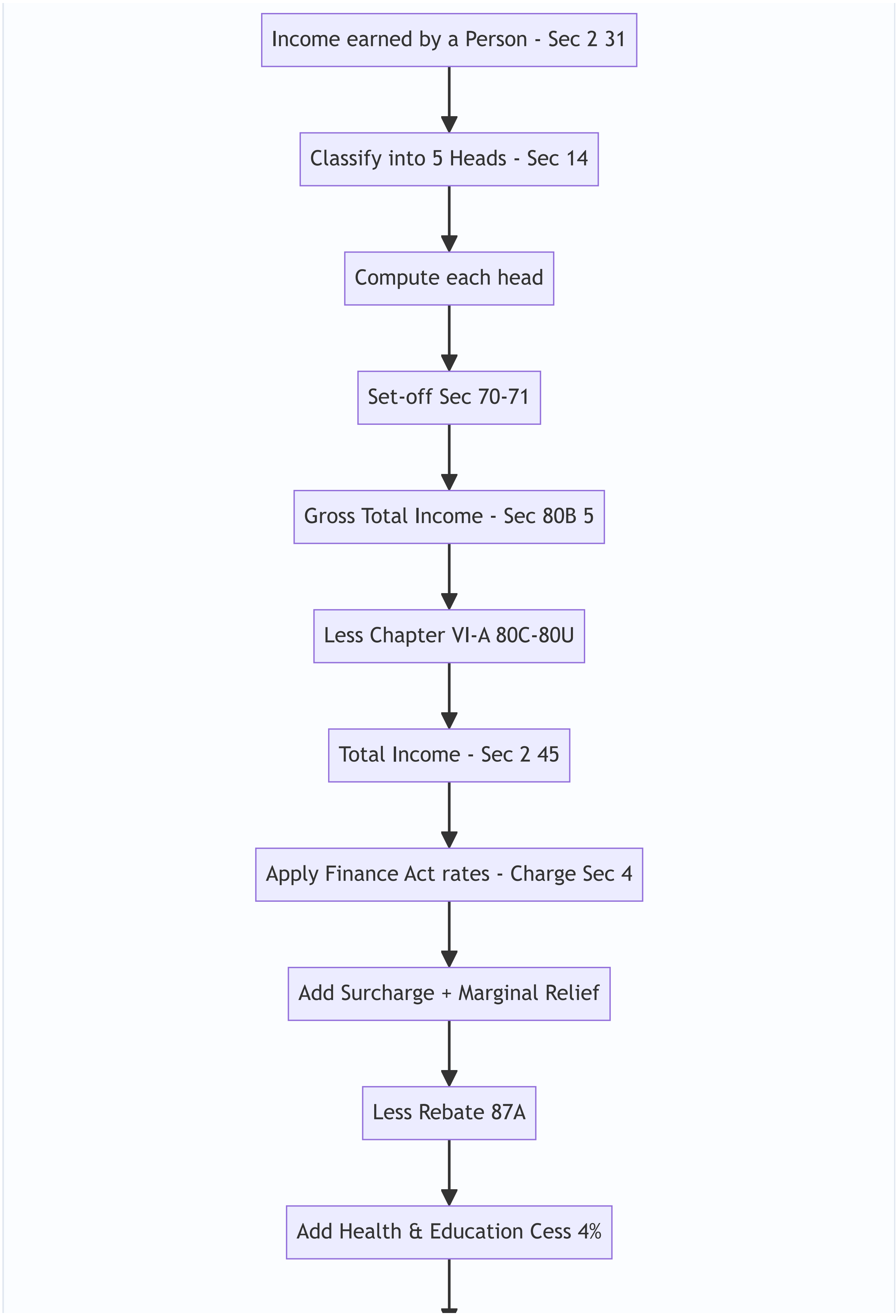
D4. "Income" under Sec 2(24) is: (a) an exhaustive list (b) an inclusive definition (c) only monetary receipts (d) only revenue receipts **Ans: (b).** Sec 2(24) is *inclusive* ("income includes…"), so the term is wide and open-ended, catching profits, dividends, capital gains, winnings, gifts, etc.

D5 (Case). A non-resident earns freight from shipping cargo at an Indian port and the ship is about to leave India. When is this taxed? (a) Next AY (b) In the PY itself u/s 172 (c) Exempt (d) Only on filing return **Ans: (b).** Sec 172 charges the shipping income of non-residents in the PY itself, as an exception to the normal PY→AY rule.

D6 (Case). Mr. X failed to deduct TDS on a payment. He is best described as: (a) Deemed assessee (b) Representative assessee (c) Assessee-in-default [Sec 2(7)] (d) Not an assessee **Ans: (c).** Failure to deduct/pay TDS makes him an *assessee-in-default*, covered within Sec 2(7).

D7 (Case). Marginal relief primarily prevents: (a) double taxation (b) surcharge exceeding the incremental income above the threshold (c) cess (d) slab jump **Ans: (b).** Marginal relief limits surcharge so incremental tax does not exceed incremental income beyond the surcharge threshold.

Flow Diagram — From Income to Tax Payable


Income earned by a Person - Sec 2 31
Classify into 5 Heads - Sec 14
Compute each head
Set-off Sec 70-71
Gross Total Income - Sec 80B 5
Less Chapter VI-A 80C-80U
Total Income - Sec 2 45
Apply Finance Act rates - Charge Sec 4
Add Surcharge + Marginal Relief
Less Rebate 87A
Add Health & Education Cess 4%

Tax Payable by Assessee - Sec 2 7

Quick-Revision Sheet — Sections & Limits

Concept	Section	Key point
Person	2(31)	7 categories; need not be profit-seeking
Assessee	2(7)	Includes deemed / representative / in-default
Income	2(24)	Inclusive (open) definition
Previous Year	3	Year income earned; FY basis
Assessment Year	2(9)	Following FY; year of assessment
Charge of tax	4	Every AY, Finance Act rates, on TI, every person
Heads of income	14	Salaries, HP, PGBP, Cap Gains, Other Sources
Gross Total Income	80B(5)	After set-off, before Chapter VI-A
Total Income	2(45)	GTI − Chapter VI-A
Rebate	87A	Old regime TI ≤ ₹5,00,000 → up to ₹12,500
New regime	115BAC	Default from AY 2024-25; opt-out to old
PY-taxed-in-PY exceptions	172,174,174A,175,176	Shipping NR, leaving India, AOP event, transfer to avoid tax, discontinuance

Slab quick-recall (AY 2025-26 — VERIFY): - *Old regime (individual <60):* Nil ≤2.5L; 5% 2.5–5L; 20% 5–10L; 30% >10L. - *New regime 115BAC:* Nil ≤3L; 5% 3–7L; 10% 7–10L; 15% 10–12L; 20% 12–15L; 30% >15L. Std deduction ₹50,000 for salary allowed; most Chapter VI-A deductions not allowed. - *Surcharge (illustrative):* 10% >50L, 15% >1cr, 25% >2cr, 37% >5cr (37% capped at 25% under new regime); **HEC 4%** on tax + surcharge for all.

> **Final reminder:** confirm every rate, slab, surcharge rate and rebate limit against the ICAI material for *your* attempt's AY — the Finance Act revises them annually.

Chapter 02 — Residential Status & Scope of Total Income

Rates & limits change every year. This chapter teaches the *structure and logic* of residence and the scope of income — which almost never changes. The day-count numbers (182, 60, 365, 730) and the ₹15 lakh threshold are stable but **always verify the exact figures, provisos, and the applicable Assessment Year against current ICAI study material before your attempt.**

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1. The Problem — Who does a country get to tax, and on what?

Imagine you are the Government of India designing an income-tax. You immediately hit a boundary question that comes *before* any rate, any head of income, any deduction:

Whose income can I legitimately tax, and how much of it — only the income that arose inside my borders, or their worldwide income?

This is not a trivia question. Consider four people, all earning income in the same year:

- **A** — born, lives, works, and earns entirely in Mumbai.
- **B** — an Indian citizen who took a job in Dubai on 1 April and will live there for years, but still earns rent from a flat in Pune.
- **C** — a British consultant who flew into India for a 3-week project, earned a fee here, and flew home.
- **D** — a returning NRI who came back to India permanently after 20 years abroad and still has a US bank account earning interest.

If India taxes **worldwide income of everyone physically present**, then C — here for 3 weeks — would have to disclose and pay Indian tax on his UK salary, his UK house, his UK dividends. That is absurd and unenforceable; no country would accept it, and no professional would ever visit India. If instead India taxes **only income arising in India, for everyone**, then B could shift his entire economic life offshore, keep deep roots in India, and pay India almost nothing — a giant leak.

So a flat rule fails at both ends. The tax base must depend on **how strongly a person is connected to India** — and that connection must be measured by something *objective, verifiable, and hard to game*, not by a subjective "does he feel Indian?" test.

That measuring device is **residential status**. It is the gatekeeper of the entire Income-tax Act: before you can compute a single rupee of tax, you must know *which basket of income is even taxable* — and that depends on residence, not on citizenship, not on domicile, not on where the person banks.

Where this sits in the computation pipeline. The Act is applied in a fixed order and residence is the *very first substantive gate*: (1) identify the **person** [Ch.1] → (2) fix the **previous year** [Ch.1] → (3) determine **residential status** [this chapter, Sec 6] → (4) draw the **scope of total income** [Sec 5] → (5) classify each item under the **five heads** → (6) apply exemptions, deductions, set-off → (7) apply **rates**. If you get Step 3 wrong, every rupee downstream is potentially mis-taxed. That is why the exam loads marks onto this chapter far beyond its page-count: it is a *foundation* skill that gates the whole paper.

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2. The Core Idea — Tax follows *economic allegiance* (nexus), measured by presence

The organising principle behind residence is called **economic allegiance** or, in modern terms, **nexus**: a country may tax income to the extent a person *benefits from and is connected to* that country's economy, infrastructure, legal protection, and markets.

There are two natural nexuses:

Nexus	Question it asks	Who it should catch
Source nexus	Did the income *arise here*?	Everyone, regardless of where they live — India built the road, the market, the court that made the income possible.
Residence nexus	Does the person *live here* / have their economic home here?	Residents — India provides them ongoing protection and services, so it can reach their *global* income.

India's design decision, embodied in **Section 5**, is:

- **Everyone** pays tax on **India-source income** (source nexus is universal — you can't escape it by living abroad).
- **Residents additionally** pay tax on **foreign income** (residence nexus is the "extra reach" that only applies once you're economically anchored here).

The crucial insight your notes should burn in:

> **Residential status does NOT decide the *rate* of tax. It decides the *SCOPE* — the size of the net, i.e. *which* income falls into the taxable basket.** Two people with identical incomes but different residential statuses can owe very different tax, purely because one basket includes foreign income and the other doesn't.

And how do we *measure* residence objectively? Not by intention (unprovable), not by citizenship (a person can be a citizen yet live abroad for decades). We measure it by **physical presence in India, counted in days.** Days are on the passport, on immigration records, on flight tickets — hard to fake, easy to verify. That is *why* the whole test is a day-count test.

Two more distinctions the exam expects you to hold firmly:

- **Residence is not domicile, and not nationality.** *Domicile* is a private-law concept about your permanent home for succession/personal law; *nationality/citizenship* is a political bond; *residence* under the Act is a purely mechanical, year-by-year, day-count (or control) determination. A person can be an Indian domiciliary, an Indian citizen, and still be a **Non-Resident** for a given previous year. Never let one leak into the reasoning for another.
- **Residence is tested afresh every previous year.** There is no "once a resident, always a resident." A globe-trotting individual can be ROR in Year 1, NR in Year 2, RNOR in Year 3 — you re-run Sec 6 from scratch each year. The *additional* conditions look back at prior years, but the *test itself* is annual.

3. Why it's built this way — the logic behind every design choice

Before the sections, understand the five design decisions. Once these click, the rules feel inevitable rather than arbitrary.

(a) Why citizenship is irrelevant. Citizenship is a legal/political bond; income tax is about *economic* connection. A US citizen running a factory in India for 5 years is economically Indian; an Indian citizen who has settled in Canada is not. Taxing by citizenship would tax the wrong people. (The USA is a rare exception that taxes citizens worldwide — India deliberately does not.)

(b) Why days, not intention. Intention ("I meant to leave permanently") is unverifiable and manipulable. Days present are objective. So residence = a function of *days in India during the previous year* (and, for one category, prior years too).

(c) Why there are TWO layers of conditions (basic + additional). A simple resident/non-resident split is too blunt. Consider the returning NRI (D above): the day he lands permanently, he becomes a resident — but is it *fair* to instantly tax his foreign pension, foreign interest, foreign business built up over 20 years, the moment he steps off the plane? He hasn't re-integrated yet; taxing his global income immediately would punish return and encourage people to stay away. So India inserts a **middle, transitional category** — *Resident but Not Ordinarily Resident (RNOR)* — a soft-landing status. To sort people into ROR / RNOR / NR you need a *second* test measuring **depth and continuity** of connection, not just presence this year. Hence **additional conditions**.

(d) Why 182 / 60 / 365 days. These thresholds encode "roughly half the year, OR here-this-year-plus-substantial-recent-history." 182 ≈ half of 365 (majority of the year → clearly resident). The 60-days-this-year *plus* 365-days-in-4-prior-years combination catches someone who spends part of every year in India — no single year hits 182, but the *pattern* shows a real, recurring connection. The **relaxations** to 60→182 exist to *not punish* Indians who leave for employment or come home to visit.

(e) Why RNOR is a shield only for *foreign* income. RNOR still lives in India this year, so India's *source* nexus is full — all Indian income is taxed. What RNOR shields is *foreign* income (except foreign income from a business *controlled from* India). The logic: give the returnee time to repatriate/settle before the global net closes on him.

(f) Why the ₹15 lakh / "stateless" bolt-on exists (added later). The original architecture had a hole: a wealthy Indian could tune his days to be resident *nowhere on earth* and thus tax-resident nowhere, paying almost no income tax while enjoying Indian markets. This is not "planning" in the source-vs-residence sense — it is the *absence* of any residence. The 2020 amendments (Sec 6(1A) deemed residence + the 120-day sub-rule) plug this by saying: a high-income Indian citizen with no tax home elsewhere is deemed to have his residence *default back to India*. This is the newest piece of the logic and the one examiners love because it is where students' mental model breaks.

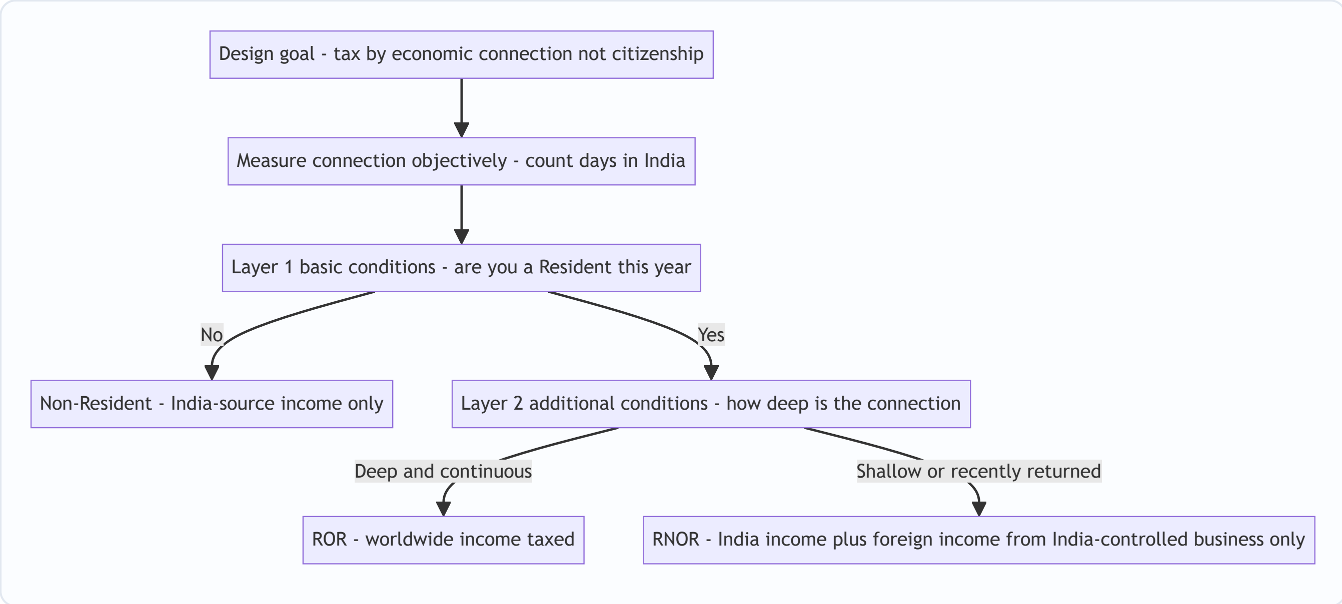

Figure 1 — The policy logic: two layers of tests sort people into three baskets of scope.

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4. Full Technical Content — sections, definitions, tests, and their "why"

4.1 The statutory map

Section	Deals with	One-line "why"
Sec 6	*How* residential status is determined (individuals, HUF, firm, company)	The measuring device (day-count / control tests)
Sec 5	*Scope* of total income for each status	The gatekeeper — which income basket is taxable
Sec 7	Income *deemed to be received* in India	Plug a timing/location loophole
Sec 9	Income *deemed to accrue or arise* in India	Plug a "where did it arise?" loophole

Memory hook: "*6 decides WHO you are; 5 decides WHAT is caught; 7 & 9 stop you from arguing your way out.*"

4.2 Residential status of an INDIVIDUAL — Section 6(1)

Everything starts with **Previous Year (PY)** presence. (Recall Ch.1: PY = the year income is earned; AY = the following year it is taxed.) You test residence *for each PY separately* — a person can be resident one year, NR the next.

The five possible labels for an individual (fix these before anything else):

1. **Non-Resident (NR)** — fails both basic conditions.
2. **Resident and Ordinarily Resident (ROR)** — passes a basic condition *and* both additional conditions.
3. **Resident but Not Ordinarily Resident (RNOR)** — passes a basic condition but fails an additional condition (or is pulled in by a special rule).

There is *no fourth or fifth* — but note that RNOR can be reached by **four different routes** (fail additional (i); fail additional (ii); the 120-day high-income visitor; the 6(1A) deemed resident). Students who think RNOR has only one route mis-handle the amendment cases.

Step 1 — Basic Conditions [Sec 6(1)]: Are you a RESIDENT at all?

An individual is **Resident** in India for a PY if he satisfies **at least ONE** of these:

- **(a)** In India for **≥ 182 days** during the PY; **OR**
- **(b)** In India for **≥ 60 days** during the PY **AND ≥ 365 days** during the **4 years immediately preceding** the PY.

If he satisfies **neither**, he is a **Non-Resident (NR)**.

> **Why "at least one"?** Either you're here most of the year (182), or you're here a chunk this year *and* have a clear recent pattern of coming (60 + 365). Both signal a real connection.

Memory hook for the numbers: "*182 = half a year. 60-this-year + 365-over-4-years = a habit, not a visit.*"

Subtlety — the two limbs of (b) are cumulative, not alternative. Condition (b) needs BOTH the 60-days-this-year AND the 365-days-in-4-years. A person here 200 days this year but who never set foot in India in the prior 4 years still becomes resident — but via condition **(a)**, not (b). Conversely, someone here 70 days this year with 400 days across the prior 4 years is resident via **(b)**. Always name *which* limb you used; examiners deduct for a bare "resident" with no condition cited.

The relaxations to condition (b) — 60 days becomes 182 days [Explanation 1 to Sec 6(1)]

Condition (b)'s 60-day trigger is *harsh* for two sympathetic groups. So the law **replaces 60 with 182** (i.e. only condition (a) can make them resident) in these cases:

1. **An Indian citizen who leaves India during the PY for the purpose of employment outside India** (or as a member of the crew of an Indian ship). — *Why:* We should not tax the global salary of Indians going abroad to work merely because they were physically here for the first two months before departing. Punishing labour export makes no policy sense.
2. **An Indian citizen or Person of Indian Origin (PIO)** who, being outside India, **comes on a visit to India** during the PY. — *Why:* NRIs visiting family should not risk becoming residents (and exposing worldwide income) just for a long holiday.

> **PIO definition (remember it):** A person is of Indian origin if **he, or either of his parents, or any of his grandparents, was born in undivided India** (i.e. India as it existed before Partition — includes present-day Pakistan and Bangladesh territory). *Why grandparents?* To keep the diaspora connection meaningful across generations without being infinite.

Two razor-fine points on the "employment abroad" relaxation the examiner tests:

- **"For the purpose of employment" is read widely.** It is not limited to salaried jobs; ICAI accepts that leaving India to *start or carry on a business/profession/vocation* abroad also qualifies. A doctor leaving to set up practice abroad gets the relaxation. But merely leaving India for a *holiday, medical treatment, or study* is **not** "for employment" — those keep the ordinary 60-day rule.

- **The relaxation only applies in the year of *leaving*.** It attaches to the citizen who *departs during the PY* for employment. In *later* years, once he is settled abroad and only *visits* India, he falls under relaxation (2) (citizen/PIO on a visit) instead. Match the person's situation to the right limb.

The high-income NRI carve-back — the ₹15 lakh rule [Explanation 1(b) proviso & Sec 6(1A)]

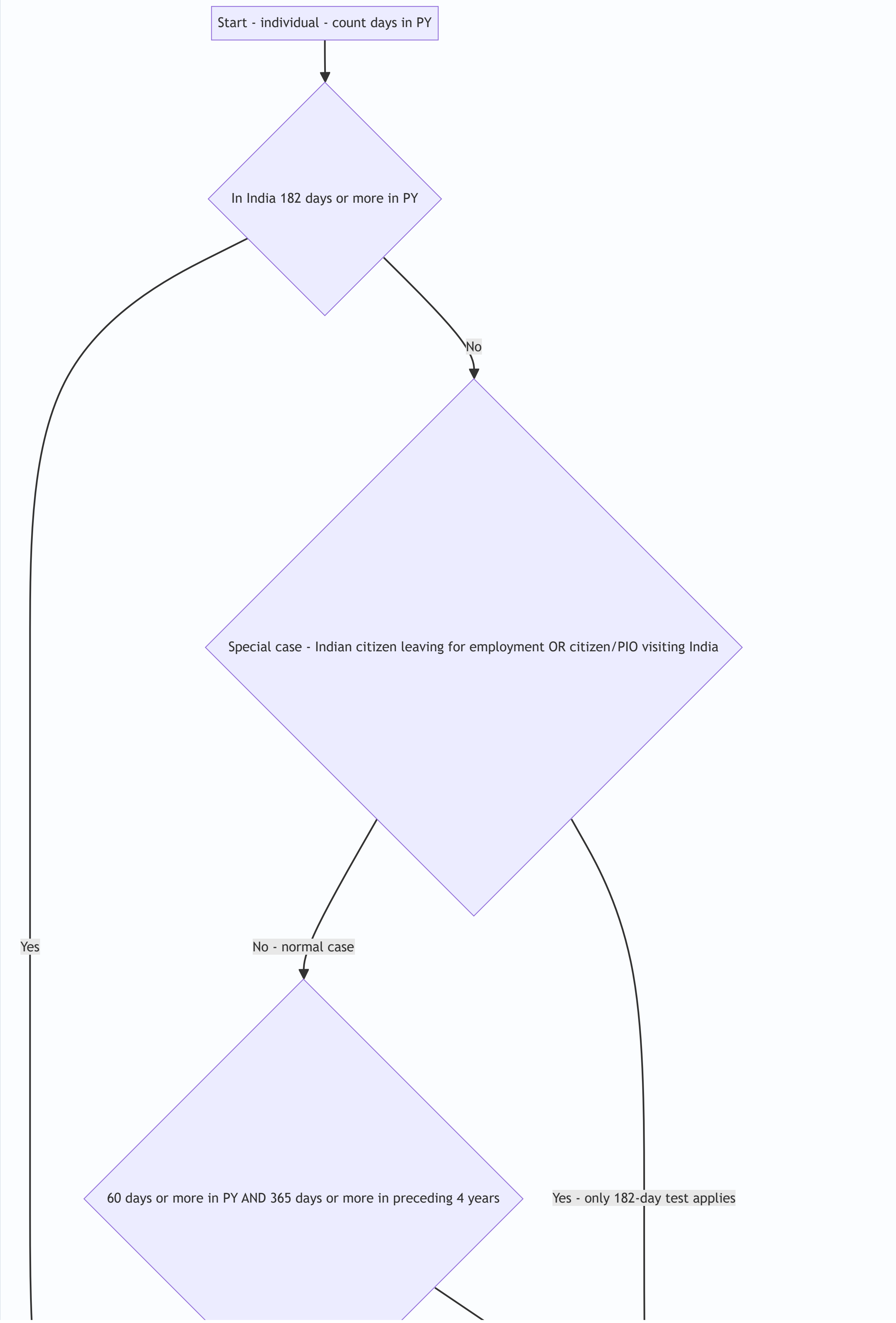
A modern anti-abuse layer. Wealthy Indians were arranging their days to be resident *nowhere* ("stateless" for tax) and paying tax in no country. Two responses:

- **Modified visit relaxation:** For the PIO/citizen *visiting* India whose **total income (other than foreign-source income) exceeds ₹15,00,000** in the PY, the 60-day limit is relaxed only to **120 days** (not 182). So a high-earning visitor who stays 120+ days can become resident. *Why:* the relaxation was meant to protect ordinary NRIs, not high-income individuals gaming presence.
- **Deemed resident [Sec 6(1A)]:** An **Indian citizen** with **total income (other than foreign source) > ₹15,00,000** who is **not liable to tax in any other country** by reason of domicile/residence → **deemed to be resident in India** regardless of days. *Why:* to end "stateless" tax residency for high-income Indian citizens. Such a person is always classified **RNOR** (see below) — India gets its source income but doesn't overreach on genuine foreign income.

> **Verify:** the ₹15,00,000 figure and the 120-day figure — confirm both in the current AY's ICAI material.

The four preconditions of Sec 6(1A) — ALL must hold (a favourite "spot the missing element" question): 1. The person is an **Indian citizen** (a PIO is *not* covered — 6(1A) is citizen-only). 2. **Total income other than foreign-source income > ₹15,00,000.** 3. He is **not liable to tax in any other country** by reason of domicile/residence/similar criterion. 4. **Order of priority:** 6(1A) is a *fallback* — it applies **only if the person is not already a resident under 6(1)** on the ordinary day-count. If he is already resident under 6(1), you never reach 6(1A). So the logical sequence is: test 6(1) first; only if NR under 6(1) do you ask whether 6(1A) deems him resident.

> **"Not liable to tax" nuance:** "Liable to tax" means there is a *right* of the other country to tax him — not that he actually paid tax there. A person can be "liable to tax" in a country that happens to levy zero on his income. Conversely, a UAE resident with no personal income tax and no tax treaty coverage may be "not liable to tax" — the exact fact pattern 6(1A) targets. Read the words carefully.


Start - individual - count days in PY
In India 182 days or more in PY
No
Special case - Indian citizen leaving for employment OR citizen/PIO visiting India
Yes
No - normal case
60 days or more in PY AND 365 days or more in preceding 4 years
Yes - only 182-day test applies

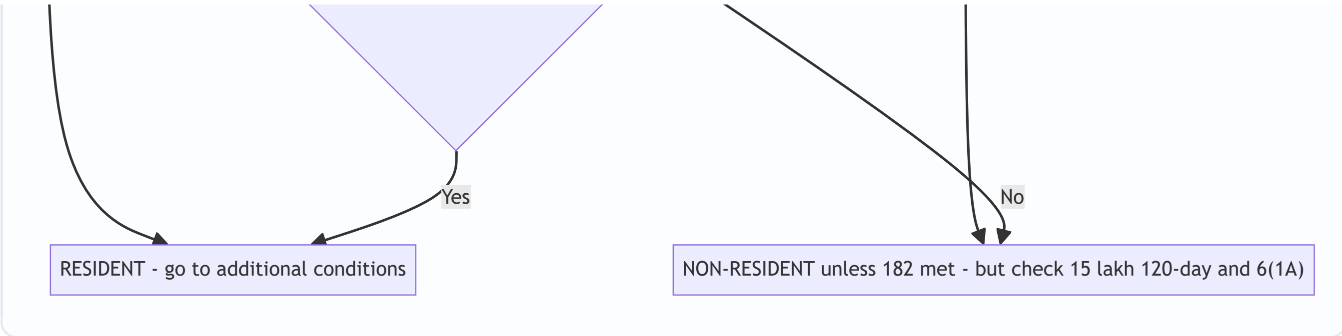


Figure 2 — Step 1 decision tree: are you a Resident (basic conditions and their relaxations)?

Step 2 — Additional Conditions [Sec 6(6)]: ROR or RNOR?

Only if Step 1 made you a Resident. Now measure **depth/continuity** of the connection. A resident is **Resident and Ordinarily Resident (ROR)** only if he satisfies **BOTH** additional conditions:

- **(i)** He has been **Resident in India in at least 2 out of the 10** previous years immediately preceding the PY; **AND**
- **(ii)** He has been in India for **≥ 730 days in the 7** previous years immediately preceding the PY.

If a resident **fails either** of these → he is **Resident but Not Ordinarily Resident (RNOR)**.

> **Why "2 out of 10" and "730 in 7"?** Both encode *established, long-term* presence. "Resident in 2 of last 10 years" screens out someone only recently connected. "730 days in 7 years" ≈ an average of ~104 days/year — a genuine, sustained physical footprint. Fail either → you're too new (or too intermittent) to have your *global* income taxed → the softer RNOR basket.

Memory hook: "*To be ORDINARY (ROR) you need HISTORY: 2/10 and 730/7. Miss the history → you're 'not ordinarily' (RNOR).*"

Two things students get wrong on the additional conditions:

- **Condition (i) counts RESIDENT-years, condition (ii) counts DAYS.** They are different units. (i) asks "*in how many of the last 10 years were you a resident?*" — you must, in principle, re-run the basic-condition test for each of those years (though the question usually tells you). (ii) asks "*add up your actual days present across the last 7 years — is the total ≥ 730?*" Mixing these up (e.g. counting resident-years for the 730 test) is a classic slip.
- **The look-back windows differ: 10 years for (i), 7 years for (ii).** Do not use 10 for both.

Additional RNOR triggers (attach to the same test): - The **120-day visitor** (₹15L case) who becomes resident is treated as **RNOR**. - The **Sec 6(1A) deemed resident** is treated as **RNOR**. - A person who is resident this year but was NR in 9 of the last 10 years, or here <730 days in last 7, is the classic *returning NRI* → RNOR for a couple of years until history builds up.

How long does a returning NRI stay RNOR? (the "soft-landing window"). Work it from first principles rather than memorising. Suppose a genuine NRI of 20 years returns permanently and stays every day thereafter. In the *first* return year he fails (i) (not resident in 2 of prior 10). He typically continues to fail (i) until he has accumulated 2 resident years, and fails (ii) until his day-total over the trailing 7 years crosses 730. In practice this makes him RNOR for roughly the **first two previous years** after permanent return, becoming

ROR from the third — but always *derive* it from the numbers in the question, because a person who visited India in some of the earlier years can cross the thresholds sooner.

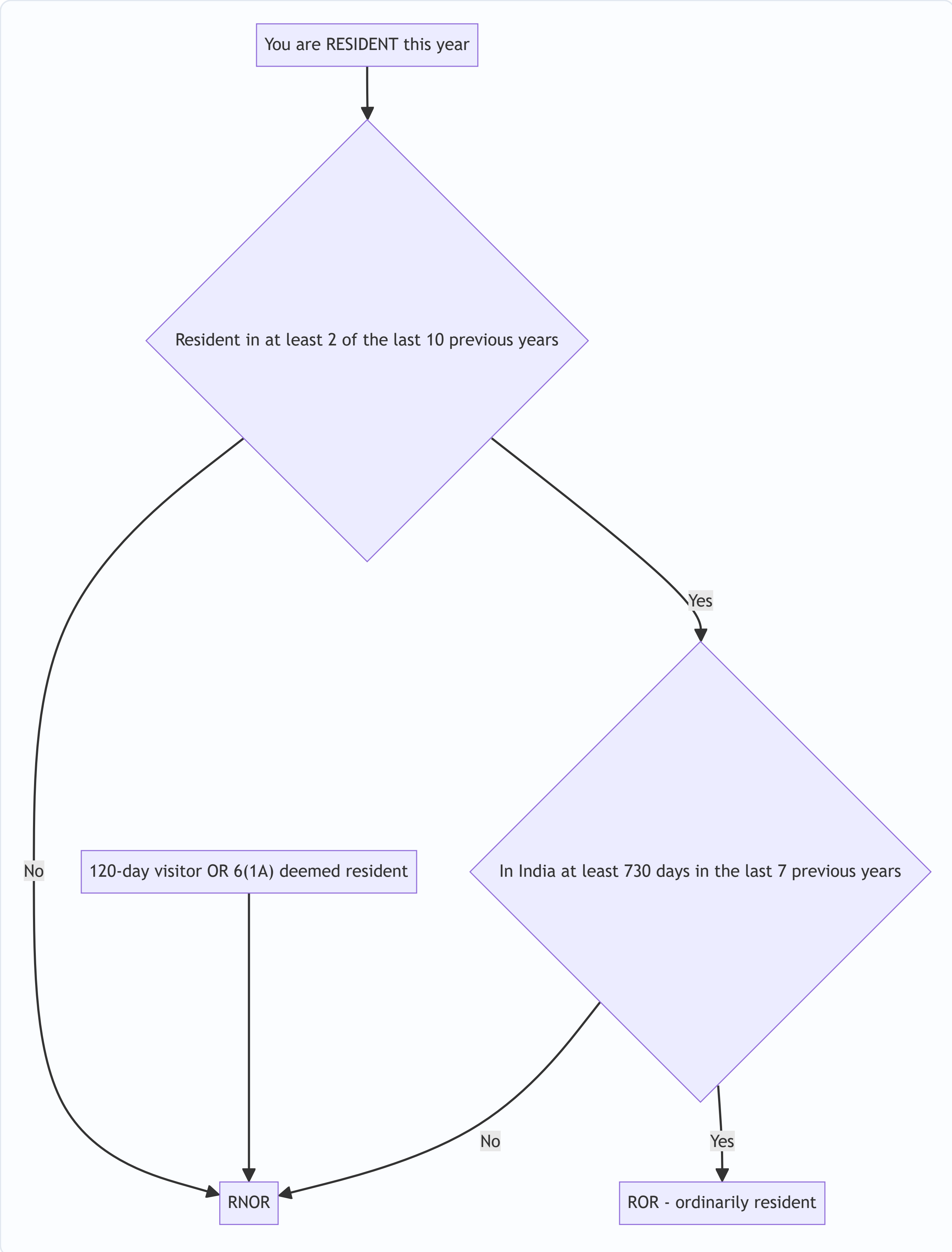


Figure 3 — Step 2: ROR needs BOTH additional conditions; failing either (or being a special-case resident) means RNOR.

4.3 Residential status of an HUF — Section 6(2)

An HUF (Hindu Undivided Family) is a person too, but it can't "be present" in days. So the test shifts to **where the family's decisions are made**:

- **Resident:** an HUF is resident if the **control and management of its affairs is situated wholly or partly IN India** during the PY.
- **Non-Resident:** only if control & management is situated **wholly OUTSIDE** India.

> **Why "wholly or partly in India" for resident, but "wholly outside" for NR?** The bar to be resident is *low* (even partial Indian control ⇒ resident) and the bar to escape is *high* (must be **entirely** offshore). This reflects source-country protection of the tax base — it's easy to be caught, hard to slip out.

ROR vs RNOR for HUF: determined by testing the **KARTA** (manager) against the *individual additional conditions* [Sec 6(6)(b)]. If the karta satisfies both additional conditions → HUF is ROR; else RNOR. *Why the karta?* He is the mind and will of the family; his depth of Indian connection stands in for the family's.

The two-layer trap for HUF (test the *right* person at the *right* layer): - **Layer 1 (Resident vs NR):** look at *control and management* — an attribute of the **family/affairs**, not any one person's days. - **Layer 2 (ROR vs RNOR):** now look at the **karta's** personal additional conditions (2/10 resident-years and 730/7 days). If mid-year the karta changes, ICAI's position is to apply the conditions to the karta; where a question gives a successor karta, test the karta who managed during the PY. Verify the exact treatment in current material if a question hinges on a karta change.

4.4 Residential status of a FIRM / AOP / other persons — Section 6(2) & 6(4)

Same **control-and-management** logic as HUF, but no ROR/RNOR sub-split (that split exists only for individuals and HUFs):

- **Resident** if control & management is **wholly or partly in India**.
- **Non-Resident** only if **wholly outside** India.

> **"Control and management" = the head-and-brain, not day-to-day operations.** It means the *controlling and directive power* — where the policy decisions are taken (typically where the partners meet and decide) — not where clerks process paperwork or where the business physically trades. A firm trading entirely abroad but whose partners meet and decide policy in Chennai is **resident**. This "central control" idea comes from the classic *De Beers* principle and is worth a line in your answer.

4.5 Residential status of a COMPANY — Section 6(3)

A company is resident in India in a PY if **either**:

- **(a)** it is an **Indian company** (incorporated in India) — *always resident*, no matter where managed; **OR**
- **(b)** its **Place of Effective Management (POEM)** is **in India** in that year.

> **Why two tests?** (a) Incorporation is a bright-line: if you chose to register under Indian law and enjoy its corporate personality, you're in. (b) **POEM** — "the place where key management and commercial decisions necessary for the conduct of the business as a whole are, in substance, made" — is a *substance-over-form* test to stop a foreign-incorporated shell that is really run from a Mumbai boardroom from claiming NR status. It replaced the older, easily-gamed "control and management *wholly* in India" test. *Memory hook:* **"Indian company = always resident; foreign company = resident only if the real brain (POEM) sits in India."**

POEM finer points the exam may probe: - A company has **no ROR/RNOR split** — it is simply Resident or Non-Resident. Applying "ordinarily resident" language to a company is wrong. - POEM is assessed on **substance**, looking at where the *board* actually decides in reality, not where board meetings are formally minuted. A board that rubber-stamps decisions really made by an Indian parent has its POEM in India. - POEM is generally **not triggered** merely because a foreign company has some Indian shareholders, some Indian directors, or a local support office — the test is *effective* management of the business *as a whole*. - There is a de-minimis relief: companies with turnover below a notified threshold (verify current figure) are outside the POEM regime for practical purposes — check current ICAI/CBDT guidance before relying on it.

4.6 SCOPE OF TOTAL INCOME — Section 5 (the payoff)

Now that Sec 6 has labelled the person, **Sec 5 tells us which income basket is taxable.** Build it from three raw types of income:

1. **Income received or deemed to be received in India** (Sec 7 handles the "deemed received").
2. **Income which accrues or arises, or is deemed to accrue or arise, in India** (Sec 9 handles the "deemed").
3. **Income which accrues or arises AND is received OUTSIDE India** (pure foreign income).

The scope table — the single most important table in this chapter:

Type of income	ROR	RNOR	NR
Received / deemed received **in India**	✓ Taxable	✓ Taxable	✓ Taxable
Accrues / deemed to accrue **in India**	✓ Taxable	✓ Taxable	✓ Taxable
Accrues **AND** received **outside India**, from a **business controlled from / profession set up in India**	✓ Taxable	✓ Taxable	✗ Not taxable
Accrues **AND** received **outside India**, **any other** foreign income	✓ Taxable	✗ Not taxable	✗ Not taxable

Read the pattern, don't memorise the grid:

- **All three statuses** pay on **anything connected to India** (received in India or accruing in India). That's the *universal source nexus* — nobody escapes India-source income.
- **ROR** additionally pays on **all foreign income** — full *residence nexus*, worldwide.

- **RNOR** is ROR *minus* passive foreign income — it pays foreign income **only if it flows from a business controlled from India / profession set up in India.** *Why that one exception?* Because a business run *from* India is really an extension of Indian economic activity; only genuinely detached foreign income gets the shield.
- **NR** pays on **India-connected income only** — nothing foreign.

The "two-question" reduction (carry this into the hall). For *any* income item, you only ever ask two questions in order: 1. **Is it India-connected?** (received/deemed-received in India OR accrues/deemed-to-accrue in India). If **yes → taxable for everyone (ROR, RNOR, NR).** Stop. 2. If it is *foreign* income (accrues *and* received outside India), ask: **does it flow from a business controlled from India / profession set up in India?** If **yes → taxable for ROR and RNOR, not NR.** If **no (passive foreign) → taxable for ROR only.**

That is the whole grid rebuilt from two questions. Memorising the grid is fragile; re-deriving it is bomb-proof.

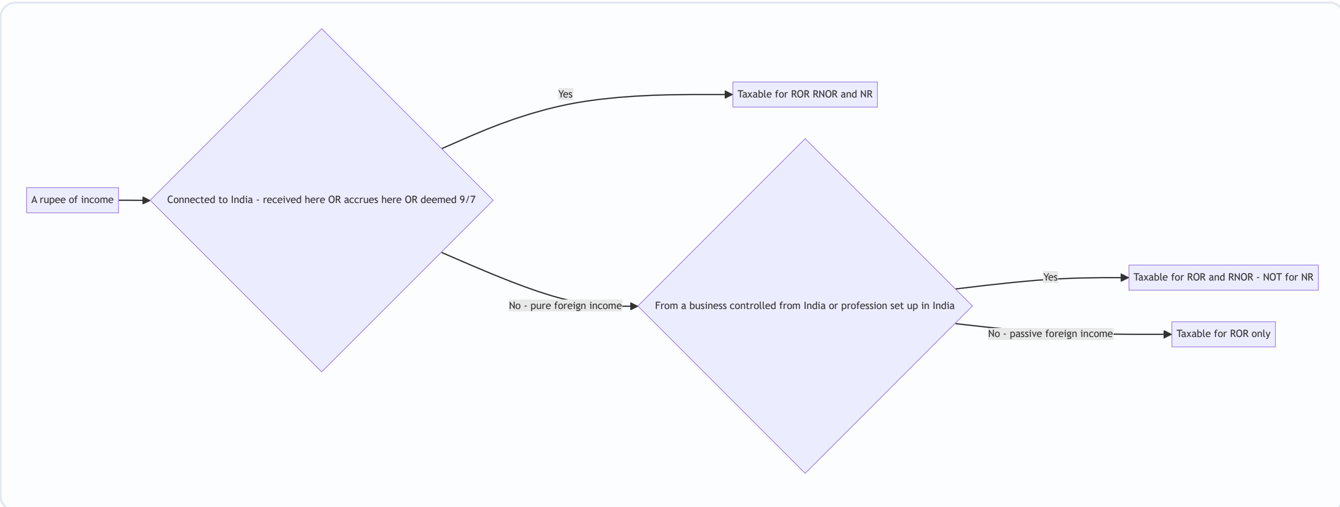


Figure 4 — Scope of income as a flow: follow the rupee and ask "how connected to India is it?"

> **Trap on "received":** *Received* means **first receipt**. If salary is *first received* in India and then remitted abroad, it was received in India. But **remittance to India of income already received abroad is NOT "received in India"** — it was received the first time, abroad. Re-bringing money to India does not create fresh taxability. *Why:* to tax it again on remittance would be double-counting the same receipt event.

The "past untaxed foreign income brought into India" corollary. A closely related favourite: income that *accrued in an earlier year abroad* and is **brought into India in a later year** is **not** taxable in the later year for anyone — it is neither "received in India" (first receipt was abroad) nor "accruing in India". The word "**income**" in Sec 5 refers to the income *of the previous year*; a mere later remittance of old savings is capital movement, not fresh income. Examiners plant a line like "he remitted ₹10 lakh of his past US savings to India" precisely to see if you wrongly tax it.

Distinguish "accrue/arise" from "receive" — they are separate events. *Accrual* is when the *right to receive* the income arises (you have earned it and it is due). *Receipt* is when it actually comes into your hands. The same income can accrue in one place and be received in another; Sec 5 catches it if *either* event is (or is deemed to be) in India. This is why "salary earned in India but paid into a foreign account" is still Indian-source: it *accrued* in India (services rendered here) regardless of where it was received.

4.7 Income *deemed to accrue or arise* in India — Section 9 (why it exists)

Left alone, "accrues in India" could be argued away. Sec 9 **defines** certain incomes as arising in India *by law*, closing the argument. Know the main heads and each rationale:

Sec 9(1) item	Deemed to arise in India because...
(i) Income from any **business connection** in India, **property/asset/source** in India, or **transfer of a capital asset situate in India**	The economic root is Indian soil/market. Includes **indirect transfer** of shares deriving substantial value from Indian assets — *anti-avoidance so you can't sell "the Indian business" by selling an offshore holding company.*
(ii) Salary for services **rendered in India**	Work physically done here → India-source, even if paid abroad.
(iii) Salary paid by the **Government of India** to an **Indian citizen** for services **outside India**	India is the paymaster of its own citizen-servants; a sovereign taxing its diplomats' pay is fair. *(The allowances/perks abroad are separately exempt u/s 10 — different chapter.)*
(iv) & (v) Dividend paid by an **Indian company**; **Interest** payable by Govt / by a resident (with exceptions) / by an NR on money used for a business in India	The payer is Indian / the funds fuel Indian business → Indian source.
(vi) & (vii) Royalty and **Fees for Technical Services (FTS)** payable by Govt / by a resident / by an NR for use in a business in India	The IP or service is *consumed* in India → India taxes the source.

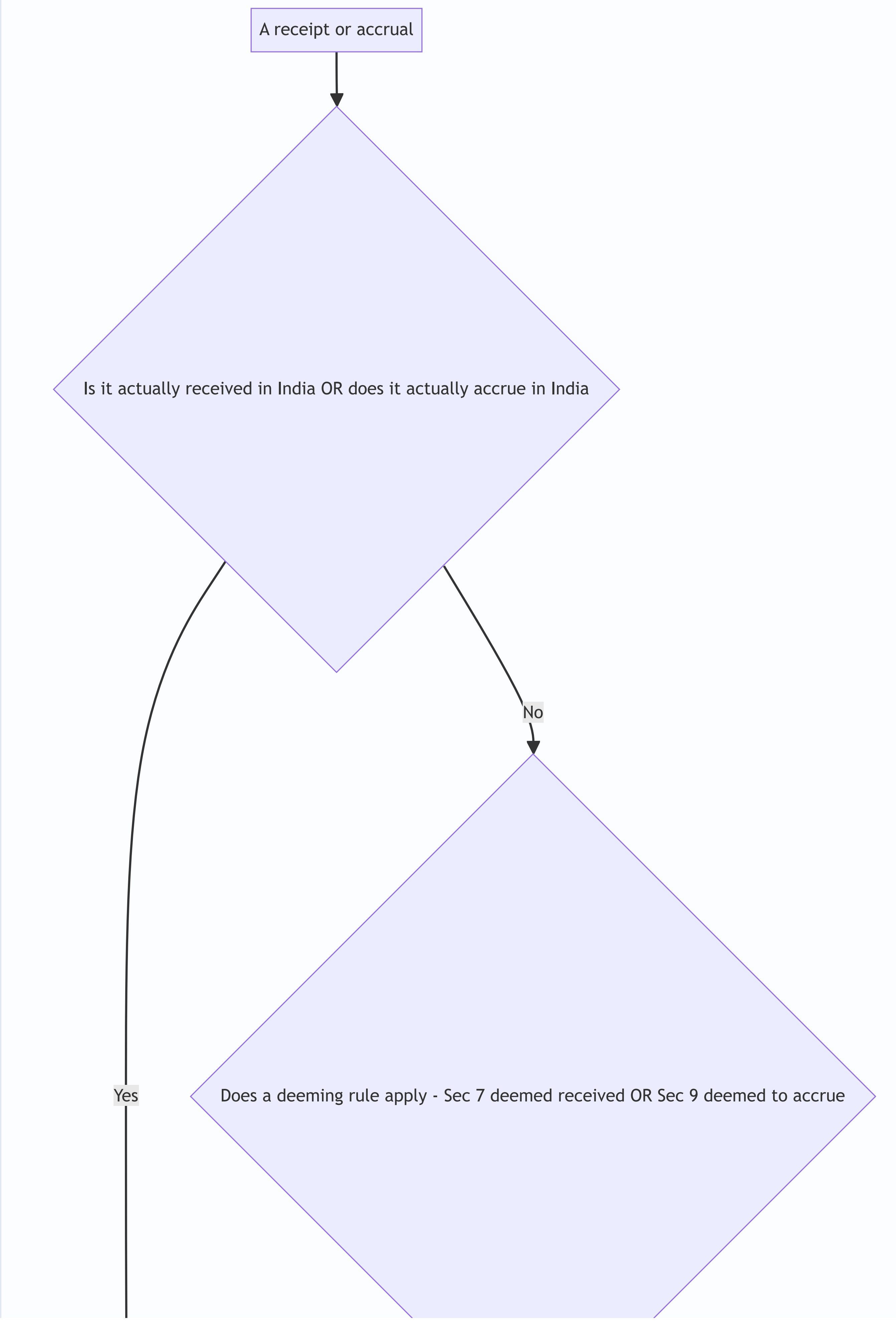
Memory hook for Sec 9: "*Business connection, Indian property, salary-for-work-here, Govt-salary-to-citizens, and India-sourced dividend/interest/royalty/FTS — the law refuses to let you pretend these arose abroad.*"

The "source rule" symmetry for interest/royalty/FTS. Notice items (v), (vi), (vii) share one structure: the income is Indian-source if the **payer is a resident** (the money leaves India), *except* when the resident payer uses it for a business/profession carried on *outside* India or for earning income from a source *outside* India — then it is *not* Indian-source. Conversely, even a *non-resident* payer creates Indian-source income if the borrowing/IP/service is used for a business *in* India. So the test is genuinely "**where is the money/IP/service put to work**", not merely "who paid". This "payer-residence with a used-abroad exception" pattern is examinable in one-liners.

Business connection & the "only the India-attributable part" rule. Where a non-resident has a *business connection* in India, only **so much of the income as is reasonably attributable to the operations carried out in India** is deemed to arise in India [Explanation to Sec 9(1)(i)]. So a foreign manufacturer who merely *sells* into India, with all manufacturing abroad, is taxed only on the profit attributable to Indian operations — not the whole global profit. Purchase of goods in India purely for export, and a few other carve-outs, are specifically *excluded* from "business connection". Know that attribution exists; the detailed computation is an advanced topic.

Section 7 — income deemed to be *received*: e.g. the **employer's contribution to a recognised provident fund** in excess of limits, and **interest credited** to RPF beyond the notified rate, and **transferred balance** — treated as received even though not paid out in cash. *Why:* prevents disguising real receipts as untouchable fund entries. **Key exam point:** because these are *deemed received in India*, they are taxable for **all three**

statuses (ROR, RNOR, NR) under the first row of the Sec 5 grid — the deeming drags them into the universal "received in India" basket.


A receipt or accrual
Is it actually received in India OR does it actually accrue in India
No
Yes
Does a deeming rule apply - Sec 7 deemed received OR Sec 9 deemed to accrue

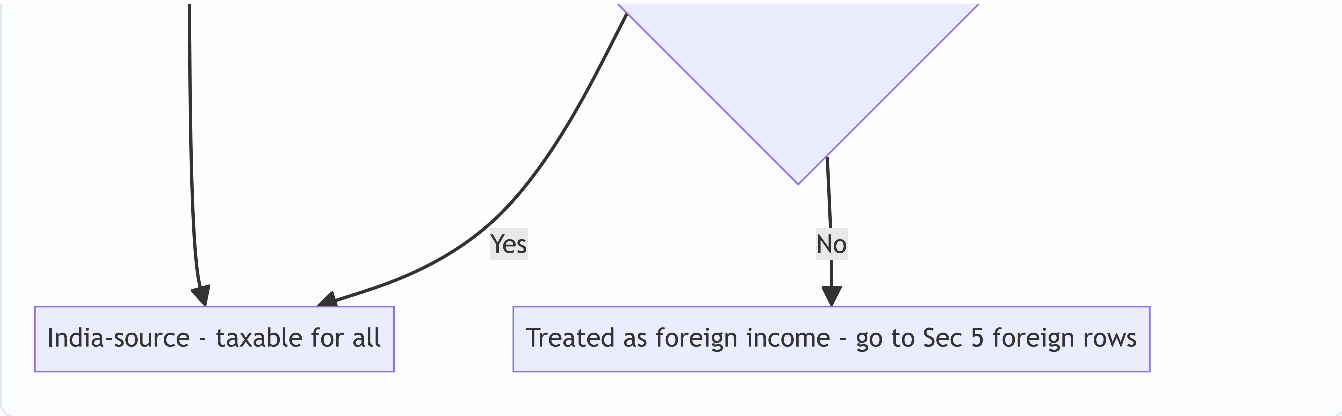


Figure 5 — Sections 7 and 9 exist to convert "arguably foreign" income into India-source income by legal deeming.

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5. Worked Examples — full, reconciling computations

> These illustrate *classification* (the exam's favourite) and then *scope application*. Use the figures as method, not as current-year law.

Example 1 (Easy) — plain individual, both basic conditions in play

Facts: Mr. Arun stayed in India **65 days** in PY 2025-26. In the **4 preceding years** he was present **100 + 90 + 95 + 120 = 405 days**. He is an ordinary Indian resident (no employment-abroad, not a visitor). Classify him.

Solution — Step 1 (basic): - Condition (a): 65 days ≥ 182? **No.** - Condition (b): 65 days ≥ 60? **Yes.** AND 405 days ≥ 365 in prior 4 years? **Yes.** → Condition (b) **satisfied.** - Satisfies at least one basic condition ⇒ **RESIDENT.**

Step 2 (additional) — assume he has lived in India every year for the last decade, so easily: resident in ≥2 of last 10 (yes) and ≥730 days in last 7 (yes). ⇒ Both satisfied ⇒ **Resident and Ordinarily Resident (ROR).**

Reconciliation: He was here only 65 days this year, but the *recurring pattern* (405 days across 4 years) plus deep history makes him ROR — exactly the "habit, not a visit" logic. **His worldwide income is taxable.**

Example 2 (Moderate) — the employment-abroad relaxation

Facts: Mr. Bhaskar, an **Indian citizen**, left India for the **first time on 15 September 2025** to take up employment in Singapore. He had lived in India all his life before that. Days in India in PY 2025-26 = 1 April to 15 September = **168 days** (assume). His non-foreign total income is ₹8 lakh. Classify.

Solution — Step 1: - Because he is an Indian citizen **leaving for employment abroad**, the relaxation applies: condition (b)'s 60-day trigger is **replaced by 182 days** → *only* condition (a) can make him resident. - Condition (a): 168 days ≥ 182? **No.** - (₹15L rule doesn't bite: this relaxation is the pure "employment abroad" one under 6(1A)/Expl.1(a); his income ₹8L < ₹15L anyway, and the 120-day variant is for *visitors*, not those leaving for employment.) - ⇒ **NON-RESIDENT** for PY 2025-26.

Scope consequence (Sec 5): As NR, **only his India-connected income is taxable** — his Indian salary for 1 April–15 Sept (services rendered in India, Sec 9(1)(ii)) and any Indian rent/interest. His **Singapore salary from 16 Sept onwards is foreign income → NOT taxable in India.**

Reconciliation: The relaxation did its job — India isn't taxing the global salary of a citizen who left to work abroad merely because he was here for the first 168 days. Note the knife-edge: had he stayed **182+ days** before leaving, condition (a) alone would make him resident.

Example 3 (Exam-hard) — returning NRI, RNOR, and full scope computation

Facts: Ms. Chandni, an Indian citizen, had lived in the **USA for 20 years** (NR throughout). She returned to India **permanently on 1 April 2025**, so she is present in India the **entire PY 2025-26 (365 days)**. During PY 2025-26 she earned:

1. Salary for consultancy performed in India — **₹18,00,000** (received in India).
2. Rent from her flat in Bengaluru — **₹3,00,000** (received in India).
3. Interest on her US bank deposits — **₹4,00,000** (accrued and received in USA; a passive foreign source).
4. Profit from a **software business she controls from India**, operations in USA, income received in USA — **₹6,00,000**.
5. Dividend from a US company, received in USA — **₹1,00,000** (passive foreign).

Determine her residential status and her **total income taxable in India.**

Step 1 — basic conditions: Present 365 days ≥ 182 ⇒ **RESIDENT.**

Step 2 — additional conditions: - (i) Resident in ≥ 2 of the **last 10** previous years? She was **NR in all 10** prior years (20 years abroad). **Fails.** - Failing even one ⇒ **Resident but Not Ordinarily Resident (RNOR).**

Step 3 — apply the Sec 5 scope grid to each item:

#	Income	Nature	Taxable for RNOR?	Amount ₹
1	Consultancy salary, services in India, received in India	India-source (received + accrues here)	✓	18,00,000
2	Bengaluru rent, received in India	India-source	✓	3,00,000
3	US bank interest, accrues + received in USA	Passive foreign	✗	—
4	Business income received in USA but **controlled from India**	Foreign income from India-controlled business	✓	6,00,000
5	US dividend, received in USA	Passive foreign	✗	—
	Total income taxable in India			**27,00,000**

Reconciliation & the teaching point: Items 3 and 5 (₹5,00,000 of passive foreign income) escape *only because* she is RNOR, not ROR. The RNOR shield protects **passive** foreign income but **not** item 4 — a business **controlled from India** is treated as economically Indian, so ₹6,00,000 is caught. This is exactly the design in Section 4.6.

Contrast — if she had been ROR (say she'd returned years earlier and built the required history): items 3 and 5 would *also* be taxable, giving total income of **₹32,00,000**. Same person, same money — **₹5,00,000 difference in the tax base created purely by residential status.** That is Section 2's core idea made numerical.

Contrast — if she were NR: item 4 would *also* fall out (NR is never taxed on foreign income, even from an India-controlled business), leaving only items 1 + 2 = **₹21,00,000**.

Status	Items taxed	Total income ₹
ROR	1,2,3,4,5	32,00,000
RNOR	1,2,4	27,00,000
NR	1,2	21,00,000

One set of facts, three baskets — the entire chapter in one table.

Example 4 (Exam-hard) — the ₹15 lakh high-income visitor and the 120-day line

Facts: Mr. Dev, a **Person of Indian Origin** settled in Dubai (UAE has no personal income tax; assume he is *not liable to tax* there), came **on a visit to India** in PY 2025-26 and stayed **130 days**. In the **4 preceding years** he was in India **400 days** in total. His income comprises: Indian-source income (rent + interest + capital gains) of **₹22,00,000**, and foreign-source income of ₹50,00,000. Classify him and note the twist if he were instead an *Indian citizen*.

Solution — Step 1 (basic), applying the visit relaxation with the ₹15L modification: - He is a **PIO on a visit** → the ordinary 60-day trigger is relaxed. But his **non-foreign total income = ₹22,00,000 > ₹15,00,000**, so the relaxation is only up to **120 days**, not 182. - Condition (a): 130 days ≥ 182? **No.** - Modified condition (b): 130 days ≥ **120**? **Yes.** AND 400 days ≥ 365 in prior 4 years? **Yes.** ⇒ Condition (b) **satisfied** ⇒ **RESIDENT.**

Step 2 (additional): Being a long-settled NRI, he was NR in most/all of the last 10 years and is well under 730 days in the last 7 → **fails** the additional conditions ⇒ **RNOR.**

Scope: As RNOR, his ₹22,00,000 Indian income is fully taxable; his ₹50,00,000 foreign income is **not** taxable (assume none of it is from a business controlled from India).

The twist (why 6(1A) does NOT apply here): Sec 6(1A) is **citizen-only**. Mr. Dev is a **PIO, not a citizen**, so even though he is high-income and not-liable-to-tax-in-UAE, 6(1A) cannot deem him resident. He became RNOR *only because he actually crossed 120 days*. Had he stayed just **119 days**, condition (b) would fail (119 < 120), condition (a) fails, and — being a PIO — 6(1A) is unavailable → he would be **Non-Resident**, and even his classification changes the exposure of any India-controlled foreign business.

Reconciliation: This example isolates the two 2020 amendments and shows they are *different tools*: the **120-day rule** turns a high-income *visitor* (citizen OR PIO) into a resident once he crosses 120 days with the 4-year history; **6(1A)** deems a high-income *citizen* resident irrespective of days *only when he is tax-resident nowhere*. Mismatching who each rule covers is the single most common amendment-era error.

Example 5 (Exam-hard) — HUF control test + karta's ordinary-residence, with a scope wrinkle

Facts: The *Ramanujam HUF* carries on a trading business. During PY 2025-26 its affairs were controlled **partly from Chennai and partly from Colombo**. Its karta, Mr. R, is an Indian citizen who has been **resident in India in 6 of the last 10 years and present 900 days in the last 7 years**. The HUF earned: (a) trading profit from India-managed operations **₹12,00,000** (received in India); (b) profit from a Sri Lanka branch,

controlled from Colombo, received in Colombo **₹8,00,000**; (c) interest on a Chennai bank FD **₹2,00,000**. Classify the HUF and compute its taxable income.

Solution — Layer 1 (Resident vs NR): Control and management is **partly in India** (Chennai) ⇒ HUF is **RESIDENT** (it would be NR only if control were *wholly* outside India).

Layer 2 (ROR vs RNOR) — test the KARTA on the individual additional conditions: - (i) Karta resident in ≥ 2 of last 10 years? 6 ≥ 2 → **Yes.** - (ii) Karta present ≥ 730 days in last 7 years? 900 ≥ 730 → **Yes.** - Both satisfied ⇒ HUF is **Resident and Ordinarily Resident (ROR).**

Scope (Sec 5) for an ROR: worldwide income is taxable, so all three items are caught:

#	Income	Nature	ROR taxable?	₹
a	India-managed trading profit, received in India	India-source	✓	12,00,000
b	Sri Lanka branch profit, controlled from Colombo, received abroad	Foreign income	✓ (because ROR)	8,00,000
c	Chennai FD interest	India-source	✓	2,00,000
	Total taxable			**22,00,000**

The wrinkle — why the status of the karta flips the answer. Suppose instead the karta had been **RNOR** (say resident in only 1 of the last 10 years). The HUF would then be **RNOR**, and item (b) — foreign income from a branch **controlled from *Colombo*, not from India** — would become **non-taxable**, dropping total income to **₹14,00,000**. Contrast this with Example 3 item 4: there the foreign business was *controlled from India*, so it stayed taxable for RNOR. The deciding phrase is always **"is the foreign business controlled *from India*?"** — the location of *control*, not the location of *operations* or *receipt*.

Reconciliation: This example forces you to (1) test the *family's control* for Layer 1, (2) test the *karta's personal history* for Layer 2, and (3) apply the RNOR business-control exception correctly at the scope stage — three distinct skills the examiner bundles into one question.

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6. Computation Format / Presentation (how to write it in the exam)

Examiners award marks for a **clean, staged layout.** Use this skeleton:

Part A — Determination of Residential Status

```
Step 1  Basic conditions [Sec 6(1)]
        (a) Days in PY .......... = XX  → ≥182 ?  Yes/No
        (b) Days in PY ≥ 60 ?  Yes/No
            Days in preceding 4 yrs = XXX → ≥365 ?  Yes/No
        [Note any relaxation: Indian citizen employment abroad / PIO visit → 60 replaced by 18
        [If NR under 6(1): check deemed residence u/s 6(1A) — citizen + non-foreign income > ₹
        Conclusion: Resident / Non-Resident

Step 2  (only if Resident) Additional conditions [Sec 6(6)]
        (i)  Resident in ≥2 of last 10 PYs ?  Yes/No
        (ii) In India ≥730 days in last 7 PYs ?  Yes/No
        Conclusion: ROR (both satisfied) / RNOR (either failed / special-case resident)
```

Part B — Scope of Total Income [Sec 5] — one row per income item, a column of "Taxable? (reason)", and a total. Always **state the reason** (received in India / accrues in India / deemed u/s 9 / foreign income from India-controlled business / passive foreign). The reason column is where the marks live.

Golden rules: - Determine status **first, completely**, then apply scope. Never mix. - **Count days carefully** — day of arrival and day of departure are *both* counted as days in India (a standard ICAI convention). Verify the convention in your material. - Quote the **section** beside each conclusion. - For **day counting across a stay that straddles the year-end**, count only days *within the previous year* (1 April–31 March). A stay from 20 March to 20 April contributes only 12 days (20–31 March) to that PY; the April days belong to the *next* PY. Splitting a continuous stay across two previous years is a frequent slip. - **When the question gives a leap-year PY**, 182 still governs — but total days available are 366, so "182" is a hair under half. Do not "adjust" the threshold; it is fixed by statute. - **Show the arithmetic of the 4-year and 7-year windows explicitly** (list each year's days and sum) — the examiner is checking you used the right *number of years* (4 vs 10 vs 7), which is where most marks are lost.

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7. Connections — where this plugs into the rest of the syllabus

- **Chapter 1 (Basic Concepts):** *Previous Year* and *Assessment Year* — residence is tested **per previous year**. *Person* — each type of person has its own Sec 6 test.
- **Salary head:** Sec 9(1)(ii)/(iii) decide when foreign-earned salary is Indian-source; the RNOR/NR shield decides whether foreign salary is taxed at all.
- **Capital Gains:** Sec 9(1)(i) + **indirect transfer** rule decides when a non-resident's sale of shares is taxed in India.
- **Deductions & DTAA / Sec 90/91 (relief from double taxation):** an ROR taxed on worldwide income may have *already* paid foreign tax — hence **foreign tax credit / double-tax relief**. Residence is the *reason* double taxation arises. DTAAs also contain their own "tie-breaker" residence rules (permanent home → centre of vital interests → habitual abode → nationality → mutual agreement) that override the Act when a person is resident in two countries — worth knowing exists.
- **TDS (Sec 195):** payments to non-residents are the trigger for withholding — you must know NR status to apply it.

- **Exempt incomes (Sec 10):** several exemptions (e.g. for non-residents, for Govt employees abroad) interact with the deeming rules.
- **Special rates for NRs (Chapter XII / Sec 115A–115H etc.):** once classified NR, certain investment incomes are taxed at concessional flat rates — status is the entry ticket to those regimes.
- **Return filing & residential status disclosure:** the ITR requires you to declare status and, for RNOR/NR, schedule foreign assets differently — a downstream compliance consequence of this chapter.

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8. Traps & Examiner Tricks

1. **Citizenship ≠ residence.** A foreign citizen present 182+ days is a *resident*; an Indian citizen abroad can be *NR*. The exam plants this constantly.
2. **"Received in India" vs "remitted to India."** Foreign income *remitted* to India stays foreign — remittance is **not** first receipt. Don't tax NR/RNOR on money they merely bring home. Same for **past-year foreign income later brought in** — never taxable.
3. **Forgetting the relaxation.** For an Indian citizen *leaving for employment* or a *citizen/PIO visiting*, the 60-day condition is **inoperative (raised to 182, or 120 if non-foreign income > ₹15L)**. Students wrongly apply 60 and mis-classify.
4. **The RNOR business exception.** Foreign income from a **business controlled from India / profession set up in India** *is* taxable for RNOR. Students often exempt all foreign income for RNOR — wrong. The deciding word is the location of **control**, not of operations or receipt.
5. **Day counting.** Both arrival and departure days count as in-India days. Off-by-one errors flip 182/60/730 thresholds. Count only days *within the PY* when a stay straddles 31 March.
6. **"2 out of 10" tests RESIDENT-years, not presence-years.** Condition 6(6)(i) asks in how many of the last 10 years he was a *resident*, not how many days. And it uses a **10-year** window while (ii) uses **7 years** and **730 days** — never swap the windows.
7. **HUF/firm/company use CONTROL, not days.** Applying the day-count to an HUF or company is a classic error. And: **Indian company is *always* resident** regardless of POEM.
8. **RNOR only exists for individuals & HUFs.** Firms/AOP/companies are just Resident or NR — no "ordinarily" split.
9. **Sec 6(1A) deemed resident** applies only to **Indian citizens** (not PIOs) with non-foreign income > ₹15L who are **not liable to tax anywhere** — and they are **RNOR**, not ROR. It is a *fallback* used only if the person is NR under the ordinary 6(1) test.
10. **Salary by Govt to citizen abroad** is deemed to arise in India [Sec 9(1)(iii)] — taxable even for an NR, because the source is Indian. But a *non-Government* employer paying an NR for services rendered *abroad* is foreign income — not taxable for the NR.
11. **The 120-day rule vs 6(1A) mix-up.** 120-day rule = high-income *visitor* (citizen OR PIO) who *actually crosses 120 days*; 6(1A) = high-income *citizen* deemed resident *regardless of days* only when tax-resident nowhere. Different triggers, different persons.
12. **"Business connection" ≠ whole global profit.** For an NR with an Indian business connection, only the part **attributable to Indian operations** is deemed to arise in India.
13. **Testing the wrong person for an HUF.** Layer 1 uses the *family's* control; Layer 2 uses the *karta's* personal additional conditions. Don't test the karta's *days* for Layer 1, or the family's control for Layer 2.

14. **Assuming an NRI is automatically RNOR on return.** He may be ROR immediately if his prior visits already satisfy 2/10 and 730/7 — always *check the numbers*, never assume the soft-landing applies.

9. First-Principles Recap

Strip everything away and one chain remains:

> A country taxes income to the extent it has an **economic claim (nexus)** on it. India has a **source claim** on all income arising here — so *everyone* pays on India-connected income. India has a **residence claim** on those economically anchored here — so *residents* additionally pay on foreign income. Because "anchored" is a matter of degree, India uses **objective day-counts** (Sec 6) to sort people into **NR** (no anchor → source income only), **RNOR** (new/shallow anchor → source income + India-controlled foreign business, a soft landing), and **ROR** (deep anchor → worldwide). **Section 5** is just this logic written as a grid; **Sections 7 & 9** stop taxpayers from arguing that Indian-source income arose or was received abroad; **Sec 6(1A)** stops the wealthy from anchoring *nowhere*.

If you can re-derive Figure 4 and the Sec 5 grid from "source nexus is universal, residence nexus is the extra reach," you never need to memorise the grid — you can *rebuild* it. And if you can re-derive the *classification* from "182 = half the year; 60+365 = a habit; relaxations protect genuine NRIs; 2/10 & 730/7 = the history needed to be *ordinarily* resident," you never need to memorise Sec 6 either — the numbers become consequences of the ideas.

10. Quick-Revision Sheet

Sections at a glance

Section	Content
6(1)	Basic conditions for individual — Resident or NR
6(1A)	Deemed resident — Indian citizen, non-foreign income > ₹15L, not taxable anywhere → RNOR
6(2)	HUF / firm / AOP — control & management test
6(3)	Company — Indian company OR POEM in India
6(6)	Additional conditions — ROR vs RNOR (individual & HUF)
Expl. 1 to 6(1)	Relaxations: 60→182 (employment abroad / citizen-PIO visit); 60→120 if visitor's non-foreign income > ₹15L
5	Scope of total income by status
7	Income deemed to be received (e.g. excess RPF employer contribution/interest)
9	Income deemed to accrue/arise in India

Day-count / threshold table (VERIFY current AY)

Test	Threshold	Meaning
Basic (a)	**182 days** in PY	Majority of year → resident
Basic (b)	**60 days** in PY **+ 365 days** in prior 4 yrs	Recurring pattern → resident
Relaxation	60 → **182**	Citizen leaving for employment / citizen-PIO visiting
Relaxation (high income)	60 → **120**	Visitor with non-foreign income **> ₹15,00,000**
Deemed resident 6(1A)	non-foreign income **> ₹15,00,000**, stateless	Indian citizen (not PIO) → RNOR
Additional (i)	Resident in ≥ **2 of last 10** PYs	Long-term connection (resident-*years*)
Additional (ii)	**≥ 730 days in last 7** PYs	Sustained presence (actual *days*)

Status → scope (the grid to reproduce)

Income	ROR	RNOR	NR
Received / accrues **in India** (incl. deemed 7 & 9)	✓	✓	✓
Foreign income from **business controlled from / profession set up in India**	✓	✓	✗
Other (passive) **foreign** income	✓	✗	✗

The four routes into RNOR (don't forget the last two)

1. Resident this year but **fails additional condition (i)** (not resident in 2 of last 10).
2. Resident this year but **fails additional condition (ii)** (< 730 days in last 7).
3. **120-day high-income visitor** (citizen or PIO) who becomes resident.
4. **Sec 6(1A) deemed resident** (high-income citizen, tax-resident nowhere).

Non-individual persons

Person	Resident if...	ROR/RNOR split?
HUF	control & mgmt **wholly or partly in India**; ROR/RNOR by testing **karta** on 6(6)	Yes
Firm / AOP	control & mgmt wholly or partly in India	No
Company	**Indian company (always)** OR **POEM in India**	No

Three memory hooks

- **"6 = WHO, 5 = WHAT, 7 & 9 = no escape."**
- **"182 half-a-year; 60+365 a habit; 2/10 & 730/7 = history for ROR."**
- **"Source nexus catches everyone; residence nexus is the extra reach that only closes fully on ROR."**

Final reminder: confirm the ₹15,00,000 threshold, the 120-day figure, day-counting convention, POEM turnover threshold, and every numeric limit against **current ICAI study material for your applicable Assessment Year** before the exam.

Q&A — Residential Status & Scope of Total Income

CA Intermediate · Taxation (Income Tax) · Income-tax Act, 1961 · Currency: Rupees (₹) Every question is immediately followed by a complete model answer citing the relevant Section. **Rates, thresholds and provisos change with the Assessment Year.** The day-counts (182 / 60 / 365 / 730), the ₹15,00,000 limit and the 120-day figure are used here for method — **verify the exact numbers and the applicable AY against current ICAI study material before your attempt.**

SECTION A — Concept-Check (Short Answer)

A1. What does residential status decide — the *rate* of tax or the *scope* of income? Which section governs scope? Answer. It decides the **scope** (which basket of income is taxable), **not the rate**. Two people with identical incomes but different statuses can owe very different tax because one basket includes foreign income and the other does not. Scope is governed by **Section 5**; status itself is determined under **Section 6**. Memory hook: "*Sec 6 = WHO you are; Sec 5 = WHAT is caught.*"

A2. State the two Basic Conditions under Section 6(1) for an individual. Answer. An individual is **Resident** if he satisfies **at least one**: **(a)** in India for **≥ 182 days** in the previous year (PY); **OR (b)** in India for **≥ 60 days** in the PY **AND ≥ 365 days** in the **4 years immediately preceding** the PY. Satisfying neither → **Non-Resident**.

A3. State the two Additional Conditions under Section 6(6) and what failing them means. Answer. A resident is **Ordinarily Resident (ROR)** only if he satisfies **both**: **(i)** resident in India in **≥ 2 of the 10** preceding PYs; **AND (ii)** in India for **≥ 730 days in the 7** preceding PYs. Failing **either** → **Resident but Not Ordinarily Resident (RNOR)**. These test depth/continuity of connection: "*2/10 and 730/7 = history for ROR.*"

A4. Explain the two relaxations that replace "60 days" with "182 days" [Explanation 1 to Sec 6(1)]. Answer. For **(a)** an **Indian citizen leaving India for employment abroad** (or as a crew member of an Indian ship), and **(b)** an **Indian citizen or Person of Indian Origin (PIO) coming on a visit** to India, condition (b)'s 60-day trigger is inoperative — only the 182-day test can make them resident. Rationale: do not penalise Indians who export their labour or NRIs who visit family.

A5. Who is a "Person of Indian Origin" (PIO)? Answer. A person is of Indian origin if **he, or either of his parents, or any of his grandparents, was born in undivided India** (India as it existed before Partition, including present-day Pakistan and Bangladesh territory).

A6. What is the ₹15 lakh / 120-day rule and Section 6(1A) deemed residence? Answer. (i) For a **citizen/PIO visiting India** whose **total income other than foreign-source income exceeds ₹15,00,000**, the 60-day limit is relaxed only to **120 days** (not 182). (ii) **Sec 6(1A):** an **Indian citizen** with non-foreign total income **> ₹15,00,000** who is **not liable to tax in any other country** (by domicile/residence) is **deemed resident** regardless of days. Both anti-abuse measures target "stateless" tax residency; such deemed residents / 120-day visitors are classified **RNOR**.

A7. How is residence of an HUF, firm and company determined? Which of these have an ROR/RNOR split? Answer. HUF, firm/AOP [Sec 6(2)]: resident if **control and management is wholly or partly in India**; NR only if **wholly outside** India. **Company [Sec 6(3)]:** resident if it is an **Indian company (always)** OR its **Place of Effective Management (POEM) is in India**. Only **individuals and HUFs** have the

ROR/RNOR split; firms and companies are simply Resident or NR. For an HUF the ROR/RNOR test is applied to the **karta** under Sec 6(6)(b).

A8. Distinguish "received in India" from "remitted to India." Answer. *Received* means **first receipt**. Income first received abroad and later **remitted** to India was already received abroad — remittance does **not** create fresh taxability. Only income *first* received (or deemed received u/s 7) in India is "received in India."

A9. What do Sections 7 and 9 do, and why are they needed? Answer. Sec 7 deems certain amounts *received* in India (e.g., excess employer contribution to a recognised provident fund and interest credited beyond notified rate). **Sec 9** deems certain incomes to *accrue or arise* in India (business connection, Indian property, salary for services rendered in India, Govt salary to citizens abroad, dividend from an Indian company, and certain interest/royalty/FTS). They close the loophole of arguing that Indian-source income arose or was received abroad. "*7 & 9 = no escape.*"

SECTION B — Graded Computational Problems (Easy → Exam-Hard)

B1 (Easy) — Basic condition (b) with a recurring pattern

Mr. Arun (ordinary Indian resident, no relaxation applies) stayed in India **65 days** in PY 2025-26. In the 4 preceding years he was present **100 + 90 + 95 + 120 = 405 days**. He has lived in India throughout the last decade. Classify him.

Answer. Step 1 — Basic [Sec 6(1)]: (a) 65 ≥ 182? No. (b) 65 ≥ 60? **Yes** AND 405 ≥ 365? **Yes** → condition (b) satisfied → **Resident**. **Step 2 — Additional [Sec 6(6)]:** resident in ≥ 2 of last 10 PYs — Yes; ≥ 730 days in last 7 — Yes (lived here throughout). Both satisfied → **ROR**. **Conclusion: Resident and Ordinarily Resident.** His **worldwide income** is taxable. The recurring 405-day pattern is the "habit, not a visit" logic.

B2 (Easy-Moderate) — Employment-abroad relaxation

Mr. Bhaskar, an **Indian citizen**, left India for the **first time on 15 September 2025** to take up employment in Singapore, having lived here all his life. Days in India in PY 2025-26 (1 Apr – 15 Sep) = **168 days**. Non-foreign total income ₹8,00,000. Classify and state the scope consequence.

Answer. Step 1: He is an Indian citizen **leaving for employment abroad** → Explanation 1(a) relaxation applies → only the **182-day** test operates. 168 ≥ 182? **No.** (₹15L rule irrelevant — his income is ₹8L and the 120-day variant is for *visitors*, not those leaving to work.) → **Non-Resident**. **Scope [Sec 5]:** As NR, only **India-connected income** is taxable — Indian salary for 1 Apr–15 Sep (services rendered in India, Sec 9(1)(ii)) plus any Indian rent/interest. **Singapore salary from 16 Sep is foreign income → not taxable in India. Knife-edge:** had he stayed **182+ days** before leaving, condition (a) alone would make him resident.

B3 (Moderate) — The 120-day high-income visitor

Mr. Charan, a **PIO** settled in Dubai, visited India in PY 2025-26 and stayed **135 days**. In the 4 preceding years he was in India **400 days** in total. His **total income other than foreign-source income is ₹22,00,000**. He is not covered by Sec 6(1A). Classify.

Answer. Step 1: He is a PIO **on a visit**, so normally 60 → 182. But his non-foreign income **> ₹15,00,000**, so the relaxation is only to **120 days** (proviso to Explanation 1). Test: 135 ≥ 182? No. Modified condition: 135 ≥

120 AND 400 ≥ 365 in prior 4 years? **Yes and Yes → Resident**. **Step 2 [Sec 6(6)]:** A PIO visitor who becomes resident via the 120-day route is treated as **RNOR** (he also fails the history conditions after years abroad). **Conclusion: RNOR.** Taxable: all Indian income + foreign income only from a business controlled from India; passive foreign income (Dubai) is shielded. Had he stayed **119 days**, he would have been **NR**.

B4 (Moderate-Hard) — Section 6(1A) deemed resident

Ms. Divya, an **Indian citizen**, spent only **90 days** in India in PY 2025-26 and the rest travelling; she is **not liable to tax in any country** (arranged to be tax-resident nowhere). Her total income other than foreign-source income is **₹40,00,000** (Indian dividends and Indian consultancy). Classify and state scope.

Answer. Step 1 — normal test: 90 ≥ 182? No. She left neither for employment nor is a mere visitor, but her days fail both basic conditions on their own. **Sec 6(1A):** Indian citizen + non-foreign income **> ₹15,00,000** + **not liable to tax anywhere** → **deemed resident** regardless of days. **Step 2:** A Sec 6(1A) deemed resident is always classified **RNOR**. **Scope [Sec 5]:** taxable on all Indian-source income (dividends + consultancy = ₹40,00,000) and on foreign income only if from a business controlled from India; genuine passive foreign income is shielded. The rule ends "stateless" residency without overreaching on real foreign income.

B5 (Exam-Hard) — Returning NRI: ROR / RNOR / NR scope contrast (full computation)

Ms. Chandni, an Indian citizen, lived in the **USA for 20 years** (NR throughout) and returned to India **permanently on 1 April 2025**, present the **entire PY 2025-26 (365 days)**. During PY 2025-26: 1. Consultancy performed in India — **₹18,00,000** (received in India) 2. Rent from her Bengaluru flat — **₹3,00,000** (received in India) 3. Interest on US bank deposits — **₹4,00,000** (accrued and received in USA; passive) 4. Profit from a **software business she controls from India**, operations in USA, income received in USA — **₹6,00,000** 5. Dividend from a US company, received in USA — **₹1,00,000** (passive)

Determine her status and total income taxable in India; contrast with ROR and NR.

Answer. Step 1 — Basic [Sec 6(1)]: 365 ≥ 182 → **Resident**. **Step 2 — Additional [Sec 6(6)]:** (i) resident in ≥ 2 of last 10 PYs? She was **NR in all 10** → **Fails**. Failing one condition → **RNOR**.

Step 3 — Scope grid [Sec 5]:

#	Income	Nature	Taxable for RNOR?	Amount ₹
1	Consultancy, services in India, received in India	India-source (Sec 9(1)(ii))	✓	18,00,000
2	Bengaluru rent, received in India	India-source	✓	3,00,000
3	US bank interest, accrues + received in USA	Passive foreign	✗	—
4	Business income received in USA but **controlled from India**	Foreign income from India-controlled business	✓	6,00,000
5	US dividend, received in USA	Passive foreign	✗	—
	Total income taxable in India (RNOR)			**27,00,000**

The three-status contrast (same facts):

Status	Items taxed	Total income ₹
ROR	1,2,3,4,5	**32,00,000**
RNOR	1,2,4	**27,00,000**
NR	1,2	**21,00,000**

Reconciliation: Items 3 + 5 (₹5,00,000 passive foreign) escape *only because* she is RNOR — the soft-landing shield. But item 4 (₹6,00,000) is caught even for RNOR because a **business controlled from India** is economically Indian. If NR, item 4 would also fall out (NR is never taxed on foreign income). **One set of facts → ₹11,00,000 spread in the tax base created purely by residential status** — Section 5's core idea made numerical.

SECTION C — Past-Paper-Style Full Questions

C1. Full determination + scope (individual)

Mr. Ravi, an Indian citizen, went to Germany on 20 August 2025 for the first time for employment and did not return during PY 2025-26 (days in India = 142). In PY 2025-26 he earned: (i) Indian salary up to departure ₹5,00,000; (ii) German salary (received in Germany) ₹12,00,000; (iii) interest on Indian savings account ₹40,000; (iv) rent from a house in Germany, received there ₹2,00,000. Determine his residential status and total income taxable in India. Cite sections.

Answer. Residential status [Sec 6(1)]: Indian citizen **leaving for employment abroad** → Explanation 1(a): 60 → 182. Days = 142 ≥ 182? **No** → **Non-Resident** for PY 2025-26. **Scope [Sec 5], NR — only India-connected income:**

Income	Reason	Taxable?	₹
Indian salary ₹5,00,000	Services rendered in India, Sec 9(1)(ii)	✓	5,00,000
German salary ₹12,00,000	Services rendered abroad, received abroad → foreign	✗	—
Indian savings interest ₹40,000	Accrues in India	✓	40,000
German house rent ₹2,00,000	Foreign income	✗	—
Total taxable in India			**₹5,40,000**

Conclusion: Total income taxable in India = **₹5,40,000**. His German salary and rent escape because an NR is taxed only on India-source income.

C2. HUF residence and the karta test

The Sharma HUF's business is managed partly from Mumbai and partly from Dubai during PY 2025-26. The karta, Mr. Sharma, has been resident in India in 7 of the last 10 years and was in India for 900 days in the last 7 years. Determine the residential status of the HUF. Cite sections.

Answer. Step 1 — HUF residence [Sec 6(2)]: control and management is **partly in India** (Mumbai) → an HUF is resident if control is **wholly or partly in India** → **Resident**. **Step 2 — ROR/RNOR [Sec 6(6)(b)]:** test the **karta** on the individual additional conditions — resident in ≥ 2 of 10 years (7 ✓) and ≥ 730 days in last 7 years (900 ✓). **Both satisfied → HUF is Resident and Ordinarily Resident. Note:** the bar to be resident is low (partial Indian control suffices); the bar to escape is high (control must be *wholly outside* India). The karta stands in for the family's depth of connection.

C3. Company residence and POEM

BetaTech Inc. is incorporated in Singapore. During PY 2025-26 all its board meetings, and the key management and commercial decisions for the business as a whole, are in substance taken from its Bengaluru office. AlphaSoft Ltd is incorporated in India but its entire operations and management are in the UK. Determine the residential status of each company. Cite sections.

Answer. AlphaSoft Ltd [Sec 6(3)(a)]: an **Indian company** (incorporated in India) is **always resident**, regardless of where it is managed → **Resident**. **BetaTech Inc. [Sec 6(3)(b)]:** a foreign company is resident if its **Place of Effective Management (POEM)** — where key management and commercial decisions are *in substance* made — is in India. Its decisions are made from Bengaluru → **POEM in India → Resident**. **Principle:** "*Indian company = always resident; foreign company = resident only if the real brain (POEM) sits in India.*" POEM is a substance-over-form anti-avoidance test; companies have **no** ROR/RNOR split.

C4. Deeming under Section 9 for a non-resident

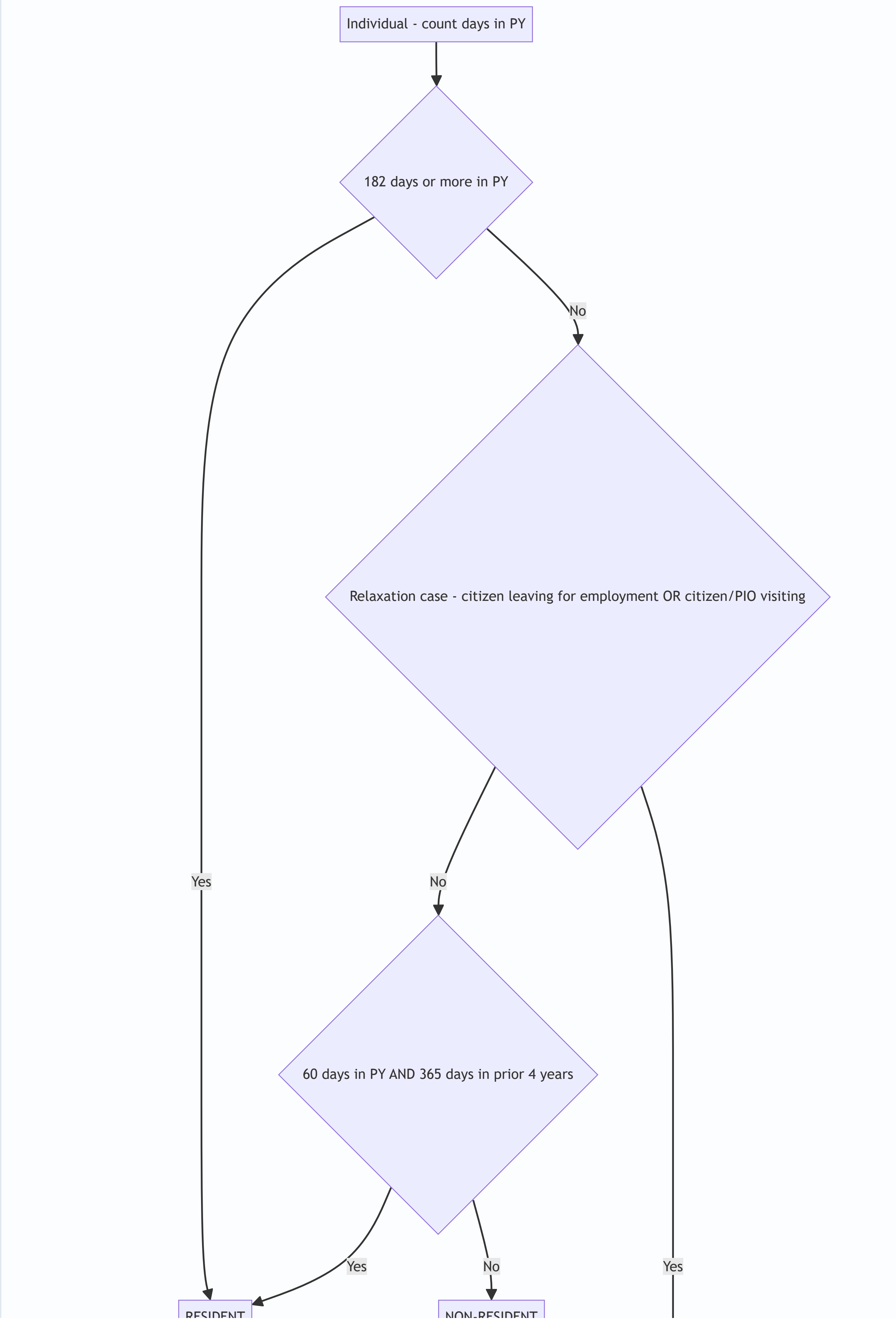
Mr. Lee, a resident of Korea and an NR for Indian tax, receives in PY 2025-26: (i) salary from the Government of India for services rendered in Korea ₹6,00,000 (he is an Indian citizen); (ii) dividend from an Indian company ₹1,00,000 received in Korea; (iii) fee for technical services rendered to and paid by a Korean company for its Korean business ₹3,00,000; (iv) royalty from an Indian resident for a patent used in India ₹2,00,000. State what is taxable in India. Cite sections.

Answer.

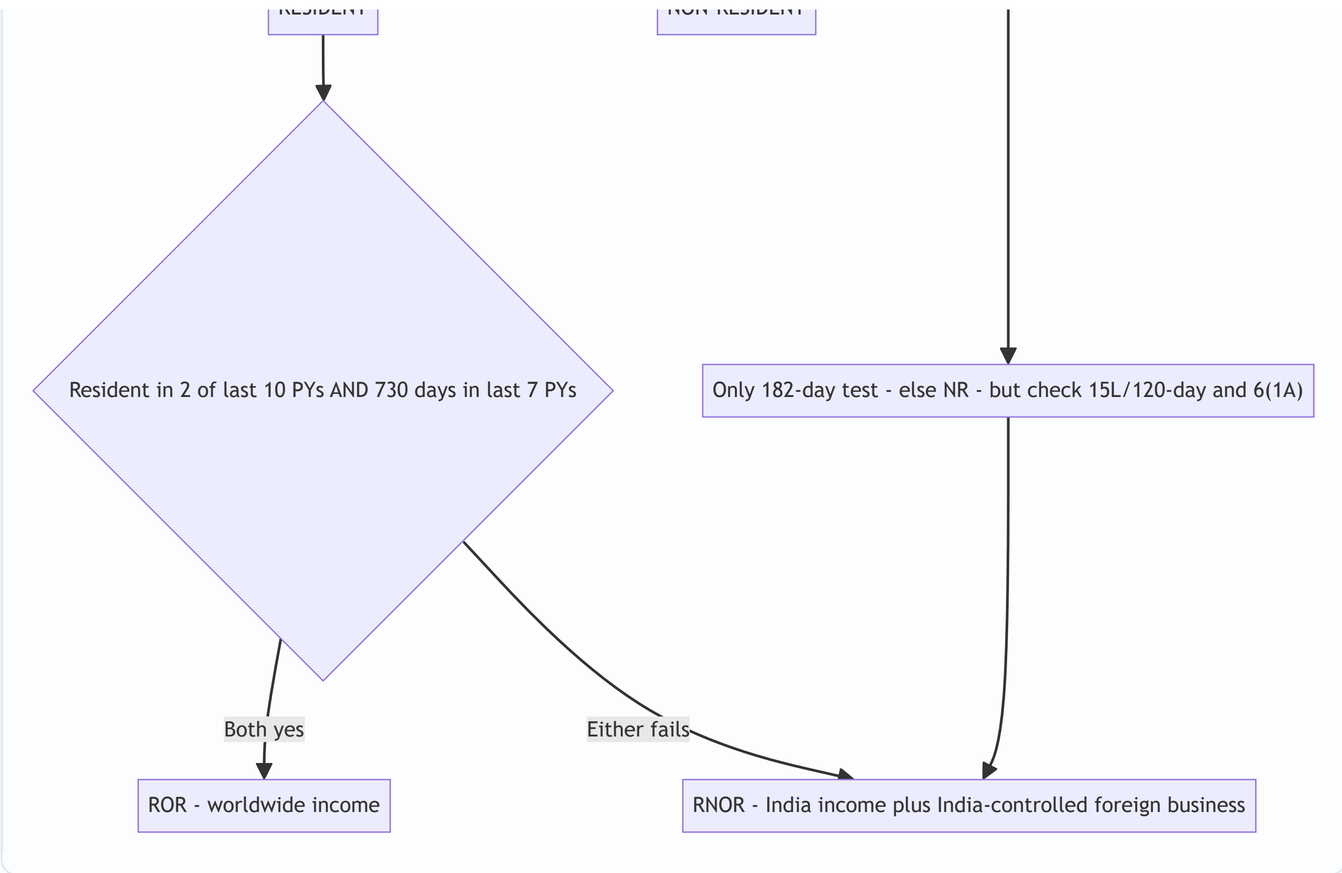
Income	Deeming provision	Taxable in India?	₹
Govt salary to Indian citizen for service abroad	**Sec 9(1)(iii)** — deemed to arise in India	✓	6,00,000
Dividend from Indian company (received abroad)	**Sec 9(1)(iv)** — payer is Indian	✓	1,00,000
FTS paid by a Korean company for its Korean business	Not covered by Sec 9(1)(vii) — used abroad	✗	—
Royalty from Indian resident for patent used in India	**Sec 9(1)(vi)** — IP used in India	✓	2,00,000
Total taxable in India			**₹9,00,000**

Point: even a non-resident is taxed on Indian-*source* income. Note item (i): Government salary to a citizen for services abroad is deemed Indian-source — a classic trap. The Korean-business FTS has no Indian nexus and escapes.

Quick-Reference Decision Flow



Individual - count days in PY
182 days or more in PY
Yes
No
Relaxation case - citizen leaving for employment OR citizen/PIO visiting
No
Yes
60 days in PY AND 365 days in prior 4 years
Yes
No
RESIDENT
NON-RESIDENT



SECTION D — MCQs & Case Scenarios

D1. Residential status determines the ___ of tax. (a) rate (b) **scope** (c) rebate (d) surcharge **Answer: (b)** — Sec 5 fixes which income basket is taxable, not the rate.

D2. An Indian citizen leaving India for employment abroad is tested using — (a) 60-day condition (b) **only the 182-day condition** (c) 120-day condition (d) POEM **Answer: (b)** — Explanation 1(a) to Sec 6(1) makes the 60-day trigger inoperative.

D3. Which is **NOT** an additional condition under Sec 6(6)? (a) Resident in ≥ 2 of last 10 PYs (b) ≥ 730 days in last 7 PYs (c) **≥ 182 days in current PY** (d) both (a) and (b) must be met for ROR **Answer: (c)** — 182 days is a *basic* condition [Sec 6(1)], not an additional one.

D4. An Indian company is — (a) resident only if POEM in India (b) **always resident** (c) NR if managed abroad (d) RNOR if managed abroad **Answer: (b)** — Sec 6(3)(a): incorporation in India makes it resident regardless of management.

D5. Foreign income already received abroad and later remitted to India is — (a) taxable on remittance for all (b) **not taxable merely on remittance** (c) taxable only for NR (d) deemed received in India **Answer: (b)** — Remittance is not "first receipt"; only NR/RNOR foreign income stays outside scope.

D6. RNOR is taxed on foreign income if it is — (a) any foreign income (b) **from a business controlled from / profession set up in India** (c) foreign dividend (d) foreign salary **Answer: (b)** — Sec 5(1) proviso; passive foreign income is shielded for RNOR.

D7. The ROR/RNOR distinction exists for — (a) all persons (b) companies only (c) **individuals and HUFs only** (d) firms only **Answer: (c)** — Firms/AOP/companies are simply Resident or NR.

D8. Salary paid by the Government of India to an Indian citizen for services rendered abroad is — (a) exempt for all (b) taxable only for ROR (c) **deemed to accrue in India [Sec 9(1)(iii)]** (d) foreign income **Answer: (c)** — Indian source; taxable even for an NR.

D9 (Case). *Mr. Y, an Indian citizen, is not liable to tax in any country and has non-foreign income of ₹18,00,000; he was in India only 50 days this year.* His status is — (a) NR (b) ROR (c) **RNOR (deemed resident u/s 6(1A))** (d) not chargeable **Answer: (c)** — Sec 6(1A) deems him resident; such deemed residents are RNOR.

D10 (Case). *A PIO visits India for 130 days; his non-foreign total income is ₹10,00,000 (< ₹15L); he was in India 380 days in the prior 4 years.* His status (assume no ROR history) is — (a) **NR** (b) RNOR (c) ROR (d) deemed resident **Answer: (a)** — Income ≤ ₹15L, so the ordinary visitor relaxation (60 → 182) applies; 130 < 182 and the 120-day rule does not bite → NR.

D11 (Case). *Ms. Z was in India 190 days this PY, was resident in 6 of the last 10 PYs, but in India only 500 days in the last 7 PYs.* Her status is — (a) NR (b) ROR (c) **RNOR** (d) deemed resident **Answer: (c)** — Basic condition (a) met (Resident), but additional condition (ii) fails (500 < 730) → RNOR.

One-Line Quick-Revision Recap

- **Sec 6 = WHO** (status), **Sec 5 = WHAT** (scope), **Sec 7 & 9 = no escape** (deeming).
- **Basic [6(1)]:** 182 days, OR 60 + 365. **Additional [6(6)]:** 2/10 **and** 730/7 for ROR.
- **Relaxations:** citizen leaving for employment / citizen-PIO visiting → 60 becomes **182** (or **120** if non-foreign income > ₹15L). **Sec 6(1A):** stateless Indian citizen with >₹15L non-foreign income → deemed resident → **RNOR**.
- **Non-individuals:** HUF/firm by **control & management**; company by **Indian incorporation OR POEM**. ROR/RNOR split only for **individuals & HUFs**.
- **Scope:** everyone pays on India-connected income; **RNOR** adds India-controlled foreign business; **ROR** adds all foreign income.
- **Verify** ₹15,00,000, 120-day, day-count convention and every limit against **current ICAI material for your AY**.

Chapter 03 — Income under the Head "Salaries"

> **A note on rates and limits before we begin.** This chapter teaches the *structure and logic* of salary taxation, which is stable across decades. The exact monetary limits (HRA caps, gratuity ceiling, standard deduction amount, perquisite valuation rates) are tuned by Parliament almost every year. **Always verify the exact rates, limits and the applicable Assessment Year in current ICAI study material for your attempt.** The reasoning below tells you *why* a limit exists; that never changes.

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1. The Problem — Why "Salaries" Needs Its Own Rulebook

Imagine you are the tax department. A country has crores of earners, and by far the largest, most disciplined, most *visible* group is salaried employees. Their income arrives monthly, from an identifiable payer (the employer), through a bank, on a fixed contract. This is the easiest income in the entire economy to see and to tax.

But "salary" is deceptively messy. An employer rarely pays a clean single number. She pays:

- a **basic** amount, plus
- a **house rent allowance**, a **transport allowance**, a **medical reimbursement**,
- a **car** the employee drives home, a **flat** the company owns, **subsidised** canteen food,
- an interest-free **loan**, **stock options**, a **club membership**,
- and at the end — **gratuity, pension, leave encashment, provident fund**.

Every one of these is a *benefit flowing from employer to employee*. If the law taxed only the word "salary" printed on the payslip, every clever employer would relabel pay as "reimbursement" or "perquisite" and the largest tax base in the country would evaporate.

So the problem is threefold:

1. **Scope** — how do we capture *every* form of value an employee receives, not just the cash line?
2. **Timing** — salary is promised, then paid, sometimes in advance, sometimes in arrears. *When* do we tax it?
3. **Fairness** — some receipts (a retirement gratuity after 30 years, rent paid out of a city allowance) aren't really "surplus income" — they replace a genuine cost or a lifetime of service. Taxing them fully would be unjust.

The head "Salaries" (Sections **15 to 17** of the Income-tax Act, 1961) is the machinery built to solve exactly these three problems.

A fourth, quieter problem — the regime split. Since the arrival of the **optional new regime (Section 115BAC)**, the *same* salary can produce two different taxable figures depending on which regime the employee is in. The new regime buys lower slab rates by *withdrawing* most exemptions and deductions (HRA, LTC, most Sec 10(14) allowances, entertainment allowance, professional-tax deduction under one reading — verify). So a modern salary problem is really *two* computations, and the very first thing an examiner tests is whether you noticed which regime applies. Keep this in view through every section below; §7 and §8 return to it.

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2. The Core Idea — Tax the *Total Employment Reward*, on the Earlier of Due or Receipt

Strip away the detail and the head "Salaries" rests on one sentence:

> **Everything of value that flows to you *because* an employer-employee relationship exists is salary, and it is taxed the moment you become *entitled* to it or actually *receive* it — whichever happens first.**

Two design choices are packed into that sentence:

(a) The relationship is the trigger, not the label. The law does not ask "is this called salary?" It asks "does a master–servant (employer–employee) relationship exist, and did this benefit arise from it?" If yes → head Salaries. If the same work were done by an independent professional, the *identical* payment would fall under "Profits and Gains of Business or Profession". The relationship is the dividing line (we return to this in §4).

(b) Due-or-receipt, whichever is earlier (Section 15). Most heads of income tax you when money arrives. Salary is special: it is taxed on **accrual (due) OR receipt, whichever is earlier** — so you cannot dodge tax by asking your employer to *hold* your March salary, and you cannot be taxed twice when the held amount is finally paid.

That single "whichever is earlier, but never twice" rule is the spine of §3.

Why "total reward" and not "net gain"? A subtle first-principles point: the head taxes the *gross reward* of employment, and then hands back only a short, closed list of deductions (Section 16). It deliberately refuses to let an employee net off his personal costs of earning (commuting, clothes, a home office) the way a businessman nets off expenses. The justification is that (i) the employer already bore and deducted the genuine business costs, and (ii) an employee's costs are hopelessly entangled with private consumption. So "salary income" is closer to *gross receipts* than to *profit* — a structural feature that explains why §16 is so stingy.

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3. Why It's Built This Way — The Design Logic

3.1 Why "due or receipt, whichever is earlier"?

Consider three timing games an employee (or a colluding employer) might play:

Game	What they'd try	How the rule blocks it
Defer	"Don't pay my bonus this year; pay it next year when I'll be in a lower slab."	If it became **due** this year, it is taxed this year even if received later.
Advance	"Pay me next year's salary now."	**Advance salary** is taxed on **receipt** now (received before due).
Double-count	Tax authorities try to tax the *arrear* both when it accrued and again when paid.	Section 15's proviso: salary already taxed on due basis is **not** taxed again on receipt.

The rule is therefore an **anti-timing-arbitrage** device. Notice the asymmetry with other heads — this exists precisely because salary is contractual and predictable, so the accrual date is *knowable*, unlike (say) a business windfall.

> **Memory hook — "Section 15 = the 1-5 gate."** Salary passes through a gate that opens on the *earlier* of two dates, and the gate lets each rupee through *only once*.

A refinement examiners exploit — bonus and commission. Salary generally accrues *month by month*, but a **bonus** usually does not become "due" until it is declared/sanctioned. So a bonus is often taxed on **receipt** even though the effort relates to an earlier year — because there was no enforceable "due" date before declaration. Contrast **contractual commission** payable on a fixed date: that accrues on its due date. The lesson: "due" means *legally enforceable entitlement*, not "morally earned". When the problem is silent on a bonus's due date, tax it when received.

Arrears and Section 89(1) relief. When an arrear or advance bunches into one year and pushes the employee into a higher slab, **Section 89(1)** grants relief by re-spreading the arrear to the years it relates to and taxing at those years' rates. This does *not* change the *head* or the year of charge under Section 15 — the amount is still taxed in the year of receipt/due — it only recomputes the *tax*. Keep the two ideas separate: Section 15 fixes the *year*; Section 89(1) softens the *rate impact*. (Section 89 relief is generally *not* available under the new regime for certain items — verify current position.)

3.2 Why does the employer-employee relationship matter so much?

Because the *same rupee* is taxed under different rules depending on the relationship, and taxpayers will always route income to the cheapest head. A director's *sitting fee* (no master-servant control) is "Other Sources"; a director who is also a whole-time *employee* earns "Salary". A partner's remuneration from his firm is **business income**, not salary, because a person cannot be his own employee. The law needs a bright-line concept — **control and supervision** — to sort receipts into the right head with the right deductions.

The four boundary cases you must be able to place instantly:

Receipt	Correct head	Reason
Director who is a **whole-time employee** — remuneration	**Salaries**	Master-servant control exists
Non-executive director — sitting fees / commission	**Other Sources**	No employment; independent office
Partner's salary/remuneration from firm	**PGBP**	You cannot employ yourself; firm ≠ separate master
MP / MLA salary and allowances	**Other Sources**	Constitutional office, not employment
Pension to a **widow/legal heir** (family pension)	**Other Sources** (with a Sec 57 standard deduction)	No employment relationship survives the deceased

That last row is a favourite trap: **the employee's own pension is Salary; family pension to the heir is Other Sources.** Same word, different head, different deduction.

3.3 Why exempt parts of allowances and retirement benefits?

Here the policy is **"tax surplus, spare cost-recovery and reward-for-life-of-service."**

- An allowance given to *meet an expense* (rent in an expensive city, travel on tour) is not really surplus — so the law exempts it **to the extent it is actually spent / capped**. Beyond the cap, it *is* surplus → taxable.
- Retirement benefits (gratuity, pension, leave encashment, PF) represent **decades of deferred reward and social security**. Fully taxing a lump sum received once, at retirement, in the year's slab, would be brutal and would discourage saving. So the law grants **structured exemptions** — always the *least of* a few figures, so the relief is real but not unlimited.

Every exemption you will memorise is an instance of one of these two ideas. If you understand the idea, you can *reconstruct* the "least of the following" formula rather than recall it blindly.

Why "least of", specifically — the anti-abuse geometry. Notice that a "least of the following" cap is a device with two jaws. One jaw is the **actual amount** (you can never exempt more than you received — no phantom relief). The other jaws are **objective ceilings** (a statutory rupee cap, a formula tied to salary and service). Together they guarantee the relief tracks *genuine* burden and *cannot be inflated* by a co-operating employer paying an absurd gratuity. Once you see that every retirement exemption is "actual, bounded above by objective ceilings", you never have to memorise which figure wins — you compute all of them and take the smallest.

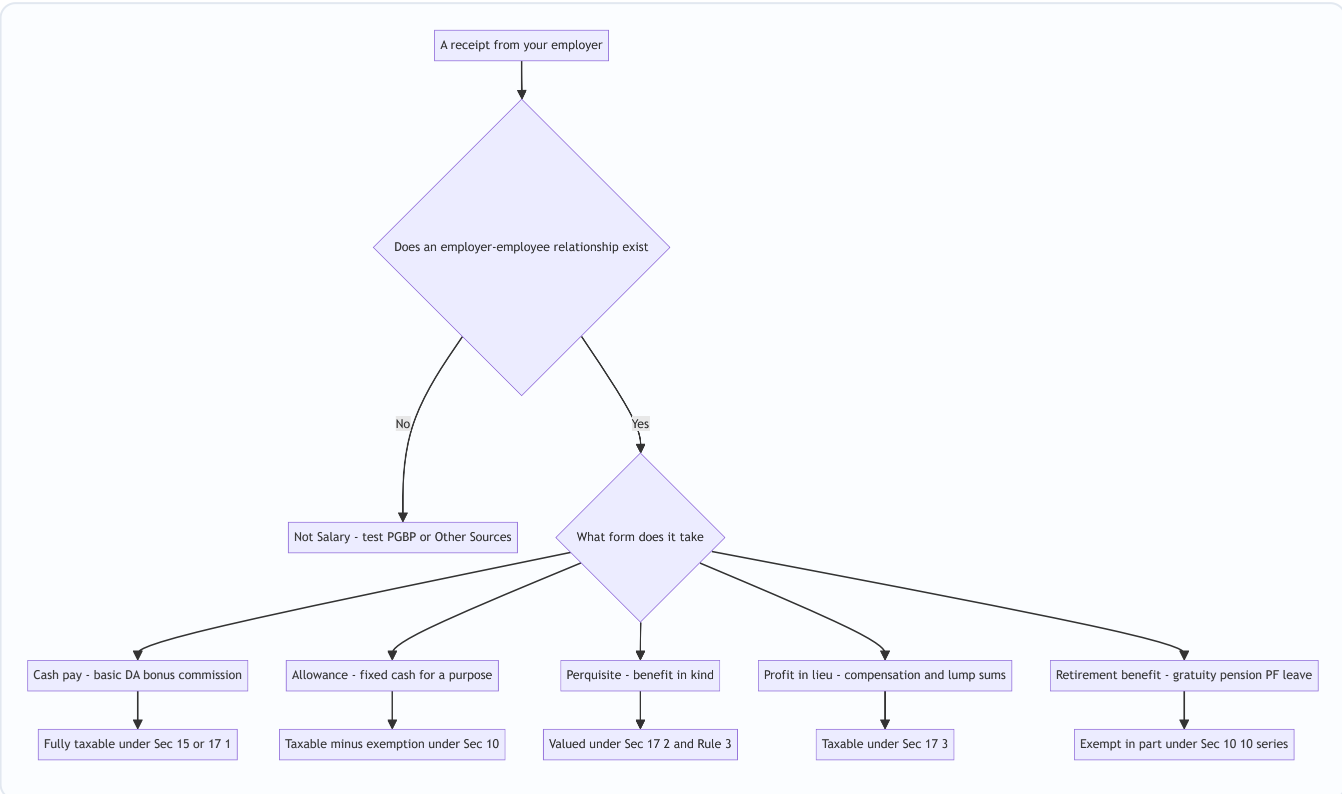

Figure 3.1 — The master decision tree for any employer receipt. Every later section is just a branch of this tree.

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4. Full Technical Content — Sections, Definitions, Format (each with its "why")

4.1 The charging section — Section 15

Section 15 charges to tax: 1. Salary **due** from an employer (whether paid or not), 2. Salary **paid or allowed** before it became due (advance salary), 3. **Arrears** of salary paid/allowed and not taxed in any earlier year.

Why the three limbs? Limbs (1) and (2) are the "earlier of due/receipt" rule split into its two triggers. Limb (3) is the safety net catching anything that slipped through. The **proviso** prevents double taxation.

> ⚠️ **Advance salary vs. Advance *against* salary (loan).** A genuine loan later adjusted against salary is **not** taxed on receipt — it is a loan, not salary due. Examiners love this distinction.

Two more distinctions hiding in Section 15:

- **Advance salary vs. arrears of salary.** *Advance* salary is next period's pay received early → taxed **now** (limb 2). *Arrears* are past pay received late → taxed **now** as well (limb 3) *if not already taxed on due basis*. The proviso ensures neither is taxed twice. So both accelerate/catch tax to the year of receipt, but for opposite time directions.
- **"Salary" vs. "Profit in lieu".** Section 15 charges salary *and* profits in lieu (via 17(1)(iv) → 17(3)). A signing bonus received *before* joining is a profit in lieu but is still salary of the year of receipt. There is no "gap year" where employment income falls out of the head just because the employment hadn't started or had ended.

4.2 What "Salary" includes — Section 17(1)

Section 17(1) defines *salary* inclusively. Memory hook: **"WAGP-F-PL"** — Wages, Annuity/pension, Gratuity, fees/commission/**Perquisites**, **Profits in lieu**, advance salary, leave encashment, employer's PF contribution & interest beyond limits, and the transferred NPS/pension-scheme contributions.

The definition is deliberately **inclusive ("includes")**, not exhaustive — so nothing escapes by not being listed.

The full statutory list (17(1) sub-clauses), for completeness: (i) wages; (ii) any annuity or pension; (iii) any gratuity; (iv) any fees, commission, perquisites or profits in lieu of or in addition to salary/wages; (v) any advance of salary; (vi) leave encashment; (vii) the taxable transferred balance in a recognised PF; (viii) the employer's contribution to the notified pension scheme (Sec 80CCD/NPS) to the extent taxable. You do not need to recite the numbering, but you must recognise each of these as *salary* rather than another head — that recognition is the whole point of an inclusive definition.

4.3 Basis of charge & other structural rules

- **No deduction for expenses** (except those specifically allowed — see §4.7). Because employment costs are personal, and the employer already bears business costs.
- **Salary from more than one employer** in a year → aggregate all. (Practical corollary: if two employers each give a standard deduction / each stop TDS at the basic exemption, the employee will be under-deducted — hence Section 192(2) lets an employee report prior-employer salary to the current one so TDS is computed on the *aggregate*.)
- **Foregone salary** is still taxable (you can't escape tax by *surrendering* salary already due) — but salary *surrendered to the Central Government* under the Voluntary Surrender of Salaries Act is not taxed.
- **Place of accrual**: salary for services rendered in India is deemed to accrue in India (links to residential status, Chapter 02). *Leave salary* paid abroad for service rendered in India is likewise deemed to accrue in India.
- **Salary vs. reimbursement.** A true reimbursement of an employer's own expense incurred by the employee (e.g., the employee buys stationery for the office and is repaid) is not income at all — there is

no benefit, only a wash. But a fixed *allowance* labelled "reimbursement" that is not tied to actual vouched spend is salary. Substance over label.

- **Tax-free / net-of-tax salary (grossing up).** If the employer agrees to pay salary "free of tax" and bear the employee's tax, the **tax borne by the employer is itself a perquisite/monetary benefit** added to the employee's income; the salary must be *grossed up*. This is a favourite twist — the employee's taxable salary is higher than the cash he pockets.

4.4 Allowances — the "spare the cost, tax the surplus" family (Section 10)

An **allowance** is a *fixed sum in cash* given to meet a particular requirement. The taxability spectrum:

Type	Examples	Rule	Why
Fully taxable	Dearness allowance, City compensatory, Overtime, Servant, Warden, Non-practising	Whole amount is salary	Pure cash surplus — no cost being reimbursed
Exempt up to a limit (Sec 10(14))	Children education allowance, Hostel allowance, Transport for the disabled, Tour/travel/daily allowances	Exempt = amount spent or notified cap, whichever lower	Meant to meet a real expense — relief only to that extent
House Rent Allowance — Sec 10(13A)	HRA	Least-of-three formula (below)	Reimburses genuine rent cost in excess of a baseline
Fully exempt	Allowances to High Court/Supreme Court judges, UN employees	Whole amount exempt	Special policy/constitutional reasons

Two families inside Sec 10(14) — don't merge them. The section has two distinct sub-clauses with different logic:

- **10(14)(i) — expense-linked, "spend to save".** Allowances for performing duties (travelling/tour, daily allowance on tour, conveyance in duty, helper for duty, research/academic, uniform). Exempt = **actual amount spent** for the purpose (capped at the amount received). If you don't spend, you don't save. *No fixed rupee cap; the cap is your spending.*
- **10(14)(ii) — flat notified caps, spending irrelevant.** Personal allowances with fixed statutory exemptions regardless of spend: **Children Education Allowance** (₹100 per child per month, max 2 children — verify), **Hostel Expenditure Allowance** (₹300 per child per month, max 2 children — verify), **Transport Allowance for a disabled employee**, and special-area/border/tribal allowances. Here you get the cap even if you spent nothing.

> **Trap:** Children education *allowance* (a cash allowance, 10(14)(ii), ₹100/child cap) is different from the education *perquisite* of a free school run by the employer (Rule 3, ₹1,000/month per child cost benchmark). Same theme, two different provisions and two different numbers. Read whether the problem gives *cash* or a *facility*.

Transport allowance nuance: for the general employee, the earlier blanket transport-allowance exemption was largely **subsumed into the standard deduction** — a plain transport allowance to commute is now generally fully taxable, *except* the higher exemption still available to an employee who is **blind/deaf-and-**

dumb/orthopaedically disabled. Verify the current figure and eligibility, and do not reflexively exempt transport allowance.

The HRA logic — Section 10(13A) read with Rule 2A

The problem HRA solves: Two employees earn the same. One owns her home; one rents in Mumbai. The renter has a genuine, unavoidable cost the owner doesn't. HRA exemption equalises them — but only for *rent actually paid above a reasonable share of salary*, and only *up to a city-linked cap*.

Exempt HRA = LEAST of the following three:

1. **Actual HRA** received;
2. **Rent paid − 10% of salary** (the "excess over a reasonable self-share" — the logic core);
3. **50%** of salary (metro cities) **/ 40%** of salary (non-metro) — the city cap.

"Salary" here = Basic + Dearness Allowance (if it enters retirement benefits) + commission as a fixed % of turnover.

> **Why "rent − 10% of salary"?** The law assumes you'd spend *at least* 10% of salary on housing anyway (that's not a special cost of the job). Only the *excess* is the reimbursable burden. **Why the 50/40 cap?** To stop high earners in cheap housing from claiming huge exemptions — the relief is tied to city cost norms, not personal extravagance.
>
> **If you pay no rent, limb 2 = 0, so exemption = 0 — HRA is fully taxable.** This is the single most common HRA trap.

The "period-wise" subtlety — HRA must be computed for the exact months the facts hold. If salary, rent, HRA, or city changes mid-year (a raise in October, a move from Chennai to a non-metro in January, a period of no rent while staying with parents), you **cannot** use annual totals. You must slice the year into homogeneous periods, apply the least-of-three *within each period*, and sum the exempt amounts. Blindly annualising is the error the examiner is fishing for when the problem mentions any mid-year change.

The four "metro" cities for the 50% limb are **Delhi, Mumbai, Kolkata, Chennai** — and only these four. Bengaluru, Hyderabad, Pune, etc. take **40%** despite being large. Do not be seduced by city size.

HRA and Section 80GG. An employee who receives *no* HRA (or a self-employed person) can instead claim a deduction for rent under **Section 80GG** (least of ₹5,000/month, 25% of total income, or rent − 10% of total income — verify). You cannot claim both 10(13A) and 80GG. This is the fallback when there is no HRA to exempt.

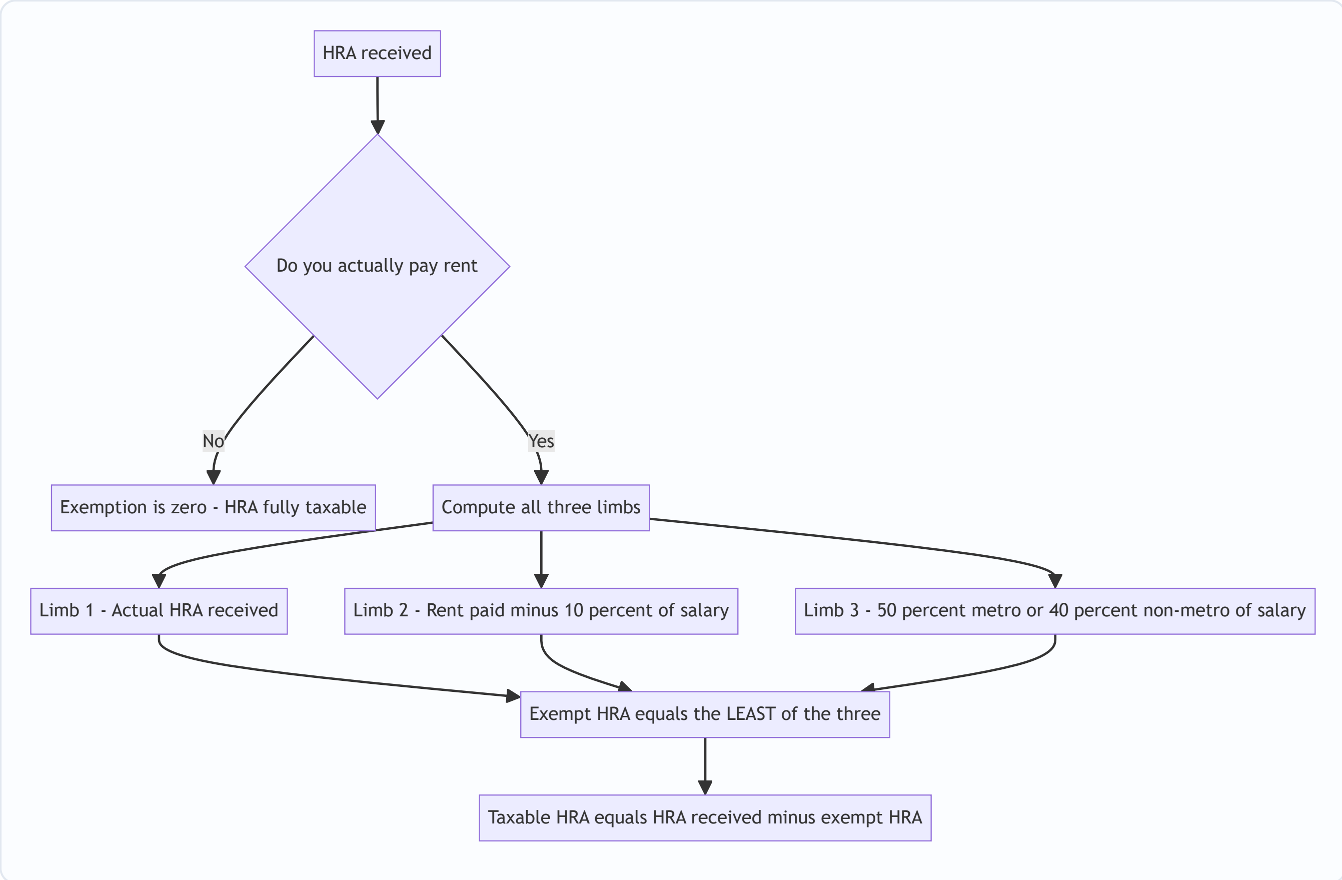

Figure 4.1 — HRA exemption is always the least of three. Note limb 2 collapses to zero when no rent is paid.

4.5 Perquisites — benefits in kind — Section 17(2), valued by Rule 3

A **perquisite** ("perk") is any *benefit or amenity* granted by reason of employment, in a form other than plain cash. The definition problem: if a benefit is a car, a flat, a subsidised loan — *what rupee value* do we tax? The answer is **Rule 3**, which converts each perk into a taxable money value using a fixed formula, so two employees with the same real benefit are taxed the same regardless of the employer's actual cost.

Three tiers of perquisites (why the split matters):

Tier	Taxable in whose hands	Logic
Taxable for all employees	Everyone	Genuine personal benefit e.g. rent-free house, interest-free loan, ESOP, employer paying employee's obligation
Taxable only for "specified" employees	Directors, >20% shareholders, or salary (excl. non-monetary perks) above the threshold	Car, free/subsidised services, gardener/sweeper/watchman — historically these were hard to value, so limited to higher earners
Exempt perquisites	None	Medical facilities within limits, telephone, employer contribution to recognised funds, refreshments, LTC within limits — because they are welfare/tools of trade, not surplus

Who is a "specified employee" — the three-gate test (Sec 17(2)(iii)). An employee is *specified* if **any** of these is true: 1. He is a **director** of the employer company; **or** 2. He holds (with relatives, beneficially) **more than 20% of voting power**; **or** 3. His **monetary salary** (from all employers, after Sec 16 deductions, and *excluding non-monetary perquisites*) **exceeds ₹50,000** (verify current threshold).

Why exclude non-monetary perks from the gate-3 test? Otherwise the very perk whose taxability you're deciding would push the employee over the threshold — circular. So gate 3 counts only cash-equivalent salary. Note gates 1 and 2 have **no monetary floor**: a director earning ₹40,000 is still specified.

The "employer's obligation paid by employer" perquisite (17(2)(iv)) — taxable for ALL. If the employer discharges a liability that was legally the *employee's* (his income-tax, his club bill in his own name, his child's school fee billed to him), the amount is a perquisite for **every** employee, not just specified ones. Contrast a facility the *employer* contracts for and provides (a company club membership, a company car): that is a *facility*, often specified-employee-only. The dividing question: *whose bill was it?* If the employee's own legal liability was met, it's taxable to all.

Exempt perquisites you must be able to list (welfare / tools of trade, not surplus): telephone/mobile reimbursement; employer's contribution to recognised PF/approved superannuation within limits; free refreshments during office hours; recreational/club facilities available to all staff; use of laptop/computer owned by employer; medical facilities within prescribed limits; goods sold to employees at wholesale/concessional trade price; interest-free loan up to a small ceiling or for specified medical treatment; and LTC within Sec 10(5) limits. Each is exempt because it is a tool of the job or a bounded welfare measure — not disposable surplus.

Key valuation rules (Rule 3) — learn the *principle*, verify the *rate*:

- **Rent-free / concessional accommodation:** valued as a % of salary (govt vs. non-govt, population-slab based) less rent recovered. *Why a % of salary?* Because the benefit's worth scales with the standard of living the job supports; verify current % slabs.
- **Motor car:** value depends on *who owns* the car, *who pays* running costs, and *engine capacity* (fixed monthly figures). *Why fixed figures?* Splitting official vs. personal use exactly is impossible, so the law uses a standardised assumed personal-use value.
- **Interest-free/concessional loan:** taxable value = interest at the **SBI rate** on the outstanding balance *minus* interest actually charged. Small loans and medical-treatment loans are exempt. *Why SBI rate?* A neutral market benchmark for the benefit of cheap money.
- **ESOP / sweat equity:** taxable = **FMV on date of exercise − price paid**, taxed as a perquisite (then FMV becomes cost for future capital gains). *Why on exercise?* That's when the benefit crystallises.
- **Free education, domestic servants, gas/electricity, gifts (above a small limit), credit card & club expenses:** each has its own Rule 3 valuation, always "cost/value to employer less amount recovered from employee."

Deeper on the three headline perks (the ones exams weight):

(1) Accommodation. Three variables move the number: **(a) government vs private** employer; **(b) whether the employer owns the house or leases it**; **(c) population** of the city (the % slab rises with population, because the benefit is worth more in a bigger city). If the house is **leased** by the employer, the value is generally the **lower of lease rent paid by employer and the percentage-of-salary figure**. If **furnished**, add **10% p.a. of the cost of furniture** (or actual hire charges). Then subtract **rent recovered** from the employee. A *hotel* stay (except brief on-transfer stays within limits) has its own percentage. **"Salary" for accommodation** = basic + DA (if in retirement benefits) + bonus + commission + all taxable allowances + any monetary payment — but **excludes** perquisites and employer's PF contribution. This "salary" is *not* the same as the HRA "salary" — a classic base-mismatch trap.

(2) Motor car — the decision grid. Ask three questions: **owned by whom? costs borne by whom? used for what?**

Scenario	Taxable perquisite
Employer's car, **wholly official**, logbook maintained	**Nil** (with proper records)
Employer's car, **wholly personal**	Actual running + driver + 10% p.a. of car cost (or hire) − amount recovered
Employer's car, **both** uses, employer bears costs	Fixed monthly figure by engine cc (≤1.6L vs >1.6L) + driver figure — *verify*
Employer's car, **both** uses, **employee** bears running costs	Lower fixed monthly figure + driver — *verify*
Employee's own car, employer reimburses running for both uses	Reimbursement − fixed official portion (by cc) − amount recovered

Why fixed slabs? Exact official/personal apportionment is unverifiable, so the law legislates an assumed personal-use value; only a maintained logbook proving *wholly official* use escapes it.

(3) Interest-free/concessional loan. Value = (**SBI lending rate for that type of loan as on the first day of the FY**, applied to the **maximum monthly outstanding balance**) **minus interest actually recovered**. **Exempt** if (a) the aggregate original loan does not exceed ₹20,000 (verify), or (b) it is a loan for **medical treatment of specified diseases** (to the extent not reimbursed by insurance). *Why "first day SBI rate on max monthly balance"?* A single fixed benchmark and a mechanical balance rule avoid daily interest computation disputes.

> **Memory hook for the perk universe: "HALE-CG"** — Housing, Automobile, Loans, ESOP, Concessional services, Gifts. Every Rule 3 item is one of these.

4.6 Profits in lieu of salary — Section 17(3)

These are **lump sums that stand in place of salary** — the law taxes them so that "compensation" cannot be used as a tax-free wrapper for what is really pay. Includes: **terminal compensation** on termination/modification of employment, payments from an **unrecognised** PF (employer's share + interest), **keyman insurance** proceeds, and any amount received *before joining* or *after leaving* employment.

Why tax these? Without §17(3), an employer could label a golden handshake as non-salary "compensation." The section closes that door — while genuine hardship relief flows through the **Section 10(10B) retrenchment / VRS** exemptions instead.

The two escape valves that sit alongside 17(3):

- **Section 10(10B) — retrenchment compensation.** Exempt = least of (i) actual, (ii) amount under the Industrial Disputes Act, (iii) a notified ceiling — verify. Beyond that, taxable as profit in lieu.
- **Section 10(10C) — Voluntary Retirement Scheme (VRS).** Exempt up to a ceiling (commonly ₹5,00,000 — verify) if the scheme satisfies the prescribed conditions (offered broadly, economic-viability driven, etc.). **Once 10(10C) is claimed, Section 89(1) relief cannot also be claimed on the same amount** — a deliberate anti-double-relief bar examiners test.

What is NOT a profit in lieu: payments that are already specifically exempt (an exempt gratuity portion, the exempt commuted pension, house-rent allowance) are carved out of 17(3) — the section catches only what would otherwise slip the net, not what another provision already handled.

4.7 Deductions from salary — Section 16

Because salary is otherwise taxed gross, §16 gives back three specific deductions:

Sec	Deduction	Why it exists
16(ia)	**Standard deduction** — a flat amount (verify current figure), no proof needed	Replaces the old ad-hoc expense claims; a simple, universal recognition that earning salary has *some* cost. Capped at the flat figure or salary, whichever is lower.
16(ii)	**Entertainment allowance** — deduction only for **government** employees (least of: 1/5 of basic salary, statutory cap, or actual allowance)	A narrow historical relic; private employees get *no* deduction, only the government cap.
16(iii)	**Professional tax / tax on employment** actually paid	It's a state levy on the very act of employment — taxing salary on money already taken as tax would be double taxation. If the *employer* pays it, it's first added as a perquisite, then deducted.

> **The standard deduction differs under the old vs. new tax regime — verify the current AY figure for each regime in ICAI material.**

Three fine points on Section 16 that decide marks:

- **Standard deduction is a flat figure, not per-employer.** With two employers, you still get one standard deduction on the *aggregate* salary — not one per job.
- **Entertainment allowance (16(ii)) — the mechanics.** For a **government** employee, deduction = **least of** (a) actual entertainment allowance received, (b) ₹5,000 (verify), (c) **20% of basic salary** (basic only — *exclude* DA, allowances, perks). Crucially, the allowance is **first fully added** to salary, then this deduction is given — so a government employee is not fully relieved. A **non-government** employee gets **no deduction at all** — the allowance is simply taxable.
- **Professional tax (16(iii)) — deduct on payment, not accrual.** Only PT *actually paid during the year* is deductible; unpaid arrears of PT are not. If the **employer pays** the employee's PT, that payment is (i) first added as a perquisite [employer discharging employee's obligation], then (ii) deducted under 16(iii) — but because the addition inflates percentage-based valuations and the base salary, the round trip is **not** a perfect wash.

> **Under the new regime (115BAC), the standard deduction generally survives, but the entertainment-allowance and professional-tax deductions under 16(ii)/16(iii) are generally NOT available — verify the exact position for your AY and regime.**

4.8 Retirement benefits — the "reward for a life of service" family

Here is the deepest exemption logic. Each benefit answers: "*How do we relieve a once-in-a-lifetime lump sum from a full slab hit, without letting it become a tax shelter?*" The answer is always **"exempt the least of the**

following."

(a) Gratuity — Section 10(10)

A thank-you for long service, paid on retirement/death.

Employee type	Exemption = LEAST of
Government employee	**Fully exempt**
Covered by Payment of Gratuity Act	(i) Actual gratuity; (ii) statutory ceiling (verify); (iii) 15/26 × last drawn salary × years of service (part-year > 6 months rounds up)
Other employees	(i) Actual; (ii) statutory ceiling; (iii) ½ month **average** salary (last 10 months) × completed years (ignore part-year)

Why "15/26" for Act-covered? The Act deems a month = 26 working days and grants 15 days' wages per year — that fraction is the statutory formula, not arbitrary.

The three definitional differences that cause 90% of gratuity errors:

Feature	Act-covered	Non-Act
"Salary"	**Last drawn** = Basic + **full DA** (DA always counts under the Act)	**Average of last 10 months** = Basic + DA-in-retirement + commission-on-turnover
Days/months per year	**15/26** (26-day month)	**½ month** (i.e., 15/30)
Part-year rounding	> 6 months **rounds up** to a full year	Part-year **ignored** (count only completed years)

So for the *same* facts the two formulae give *different* numbers — the examiner picks whichever employee category exposes the difference. **The statutory monetary ceiling is shared across all gratuities received in a lifetime** — if an employee received an exempt gratuity earlier, the current exemption is reduced by what was already used (verify).

Gratuity on death received by the legal heir has its own treatment; broadly the exemption logic applies, but confirm the current position for death-cum-retirement gratuity.

(b) Pension — Section 10(10A)

- **Uncommuted** (monthly) pension → **fully taxable** as salary (it's just deferred monthly pay).
- **Commuted** (lump-sum) pension → exempt:
- Government employees: **fully exempt**.
- Others: **1/3** of full value if they *also* receive gratuity; **1/2** if they *don't*. *Why the ½ vs ⅓?* If you got no gratuity, the law is more generous with the pension lump sum to compensate.

Computing "full value of commuted pension" from a partial commutation. Problems usually say "commuted 40% of pension for ₹X". You must first **gross up** to the full value: full value = X ÷ 0.40. Then apply ⅓ or ½ to that full value. Forgetting to gross up is a standard slip.

Family pension is not here. Pension received by the **employee** is Salary (this section). Pension received by the **family** after the employee's death is **Other Sources**, with a **Section 57** standard deduction of ⅓ or ₹15,000, whichever lower (verify). Do not apply 10(10A) to family pension.

(c) Leave encashment — Section 10(10AA)

Encashing unused earned leave.

When	Rule
During service	Fully taxable
On retirement — Government employee	Fully exempt
On retirement — Other	LEAST of: (i) actual; (ii) notified ceiling (verify — raised substantially in recent years); (iii) 10 months' average salary; (iv) cash equivalent of leave (max 30 days per completed year)

The two computations inside limb (iv): "Leave to the credit at retirement" is first *capped* at **30 days per completed year of service** (i.e., the law disregards any leave accrual policy more generous than 30 days/year), then whichever is *lower* — the credited leave or the 30-day-cap leave — is converted at the **average of last 10 months' salary**. So limb (iv) has its own internal min *before* it competes with the other three limbs. The lifetime ceiling in limb (ii) is **aggregate across employers over a lifetime** — reduce by exemption already availed.

(d) Provident Fund — the four-fund logic

A PF has **four money streams**: employee's contribution, employer's contribution, interest on each. Tax treatment depends on *which fund*:

Fund type	Employer contribution	Interest credited	Lump sum at retirement
Statutory PF (SPF)	Exempt	Exempt	Fully exempt
Recognised PF (RPF)	Exempt up to 12% of salary (excess taxable); *plus* contributions above the annual PF-cap and interest thereon are taxable	Exempt up to a notified rate; excess taxable	Exempt if 5 yrs continuous service (else taxable)
Unrecognised PF (URPF)	Not taxed yearly	Not taxed yearly	Employer's share + interest → **taxed as "profits in lieu"**; employee's own interest → "Other Sources"; own contribution → not taxed
Public PF (PPF)	N/A (self)	Exempt	Fully exempt

Why does RPF cap the employer's contribution at 12% and interest at a notified rate? Because contributions are **deferred salary**. Below the cap, the state is subsidising retirement saving (good policy). Above it, the "fund" is being used to park excess pay tax-free — so the excess is pulled back into salary. **Employee's own**

contribution to RPF qualifies for **Section 80C** deduction (Chapter on deductions) — the fund is thus **EEE** (Exempt-Exempt-Exempt) within limits.

The modern aggregate caps (post-2020) — often tested now. Two newer limits sit *on top of* the classic 12% rule and apply to RPF/NPS/superannuation collectively: - **Employer's aggregate contribution** to RPF + NPS + approved superannuation exceeding **₹7,50,000 in a year** is a **taxable perquisite** (17(2)(vii)); and - **Annual accretion (interest/return)** on that excess is itself taxable (17(2)(viia)). - Separately, **interest on the employee's *own* RPF contribution beyond ₹2,50,000 in a year** (₹5,00,000 where there is no employer contribution) is taxable. *Why?* High earners were routing large sums into PF to enjoy tax-free interest; these caps restore the "deferred-salary, bounded-subsidy" logic.

URPF at maturity — the split you must show line by line. When an URPF is paid out (URPF becomes recognised, or is paid on retirement), decompose the lump sum: (i) **employee's own contribution** → not taxed (already-taxed salary); (ii) **interest on employee's contribution** → **Other Sources**; (iii) **employer's contribution** and (iv) **interest on employer's contribution** → **Salary, as profit in lieu**. Four buckets, three different treatments.

> **Memory hook — retirement exemptions are all "LEAST OF."** Gratuity, leave encashment, commuted pension all follow *actual / statutory cap / formula*. If you remember "the law wants relief to be *real but bounded*," you can rebuild every table.

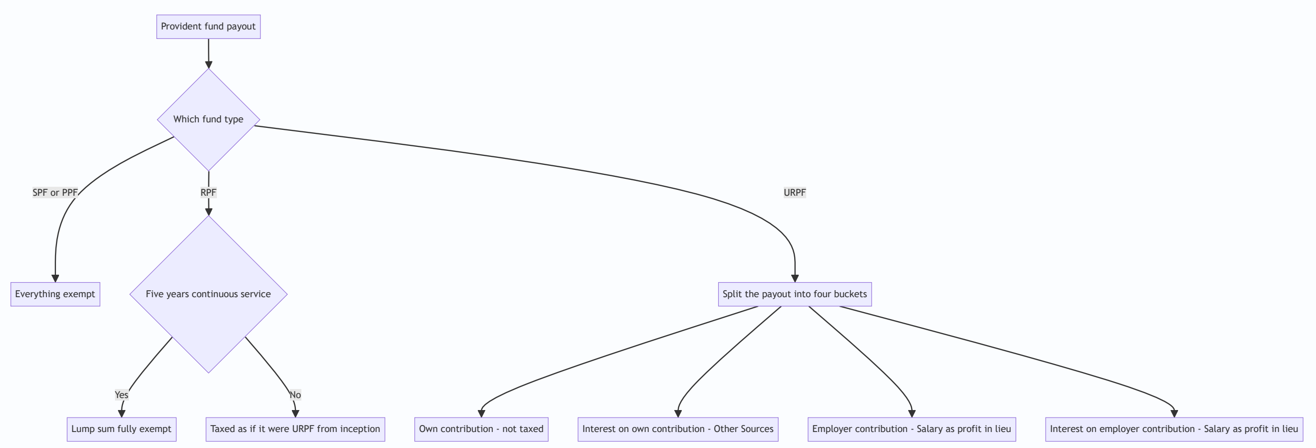

Figure 4.2 — Provident fund at payout. Only URPF and a short-service RPF force the four-bucket split.

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5. Worked Examples (full step-by-step, easy → exam-hard)

> All figures are illustrative. **Confirm the exact caps (HRA metro %, gratuity ceiling, standard deduction) for your AY.** The *method* is what these examples lock in.

Example 1 — Warm-up: HRA exemption

Facts. Ms A works in Mumbai (metro). Basic salary ₹40,000/month, DA ₹10,000/month (enters retirement benefits), HRA received ₹18,000/month. She pays rent of ₹22,000/month. Compute taxable HRA for the year.

Step 1 — Annualise and define "salary." Salary for HRA = Basic + DA (as it enters retirement benefits) = (40,000 + 10,000) × 12 = **₹6,00,000**. HRA received = 18,000 × 12 = **₹2,16,000**. Rent paid = 22,000 × 12 = **₹2,64,000**.

Step 2 — The three limbs.

Limb	Computation	Amount
1. Actual HRA	—	2,16,000
2. Rent − 10% of salary	2,64,000 − 60,000	2,04,000
3. 50% of salary (metro)	50% × 6,00,000	3,00,000

Step 3 — Least of three = ₹2,04,000 (exempt). Taxable HRA = 2,16,000 − 2,04,000 = ₹12,000.

Reconciliation check: limb 2 (the "genuine excess cost") binds, which is typical when rent is high but not extreme — logic confirms the number.

Example 2 — Retirement benefits: gratuity + leave encashment

Facts. Mr B, a *non-government* employee **not covered** by the Gratuity Act, retires after **26 years 8 months**. Last-drawn salary is ₹50,000/month (Basic ₹40,000 + DA ₹10,000, DA fully enters retirement benefits). Average salary of the **last 10 months** = ₹48,000/month. He receives **gratuity of ₹9,00,000** and **leave encashment of ₹3,00,000** (leave standing to credit = 240 days; leave entitlement was 30 days per year of service). Assume gratuity ceiling ₹20,00,000 and leave-encashment ceiling ₹25,00,000 (verify current figures).

Part A — Gratuity (non-Act employee, so ignore part-year → 26 completed years).

Limb	Computation	Amount
(i) Actual	—	9,00,000
(ii) Statutory ceiling	—	20,00,000
(iii) ½ month avg salary × completed years	½ × 48,000 × 26	6,24,000

Exempt = least = ₹6,24,000. Taxable gratuity = 9,00,000 − 6,24,000 = ₹2,76,000.

Part B — Leave encashment (non-govt). "Salary" = average of last 10 months = ₹48,000. Cash equivalent of leave allowed = **max 30 days per completed year** = 30 × 26 = 780 days entitlement; leave *actually standing* = 240 days, so use the lower actual credit → 240 days = 240/30 = 8 months.

Limb	Computation	Amount
(i) Actual	—	3,00,000
(ii) Statutory ceiling	—	25,00,000
(iii) 10 months' avg salary	10 × 48,000	4,80,000
(iv) Cash equiv of leave (max 30 days/yr)	8 × 48,000	3,84,000

Exempt = least = ₹3,00,000. Taxable leave encashment = 3,00,000 − 3,00,000 = ₹0.

Reconciliation: the *actual* amount is the smallest, so the entire receipt is exempt — sensible, because he encashed less than the formula ceilings allow.

Examiner tweak — what if Mr B were covered by the Gratuity Act? Then Part A changes on all three definitional axes: use **last-drawn** salary (Basic + **full DA** = ₹50,000), the **15/26** fraction, and **round 26y 8m up to 27 years**. Limb (iii) = 15/26 × 50,000 × 27 = **₹7,78,846**. New exempt = least of (9,00,000; 20,00,000; 7,78,846) = **₹7,78,846**; taxable gratuity falls to **₹1,21,154**. Same facts, a very different answer — proof that "which category?" must be your first question.

Example 3 — Exam-hard: full salary computation with perquisites, allowances and PF

Facts (Assessment Year — verify current figures). Mr C is employed in **Delhi (metro)** by XYZ Ltd. For the year:

- Basic salary: ₹80,000/month.
- Dearness allowance: ₹20,000/month (**50% enters retirement benefits**).
- Bonus: ₹1,20,000.
- HRA received: ₹30,000/month; rent paid: ₹28,000/month.
- Children education allowance: ₹1,000/month for 2 children (assume exemption ₹100/child/month).
- Transport/car: employer provides a **1.8-litre company car** with driver, for **both official and personal** use; employer meets all running costs. (Assume Rule 3 value: ₹2,400 + ₹900 driver = ₹3,300/month — *verify current figures*.)
- **Rent-free unfurnished accommodation** owned by employer in Delhi (population > 40 lakh). (Assume valuation = 10% of salary — *verify current % under Rule 3*.)
- Employer contributes **14% of (Basic+DA)** to a **Recognised PF**; Mr C contributes an equal amount.
- Interest credited on RPF at **11%** (assume notified exempt rate = 9.5%): interest credited ₹66,000.
- Professional tax paid: ₹2,400. Standard deduction: assume ₹50,000 (**verify current figure and regime**).

> **Order of operations (this is the reusable format).** Compute (1) cash pay, (2) taxable allowances, (3) perquisites, (4) taxable PF/interest, gross it up, then subtract §16 deductions.

Step 1 — Cash components. Basic = 80,000 × 12 = **9,60,000** DA = 20,000 × 12 = **2,40,000** Bonus = **1,20,000**

Step 2 — "Salary" for HRA & for accommodation. Salary for HRA = Basic + DA-in-retirement (50% of DA) + commission = 9,60,000 + 1,20,000 = **₹10,80,000**. HRA received = 30,000 × 12 = 3,60,000. Rent = 28,000 × 12 = 3,36,000.

HRA limb	Computation	Amount
Actual HRA	—	3,60,000
Rent − 10% salary	3,36,000 − 1,08,000	2,28,000
50% of salary (metro)	50% × 10,80,000	5,40,000

Exempt = **2,28,000**. **Taxable HRA = 3,60,000 − 2,28,000 = ₹1,32,000.**

Step 3 — Children education allowance. Received = 1,000 × 12 = 12,000. Exempt = ₹100 × 2 children × 12 = 2,400. **Taxable CEA = 12,000 − 2,400 = ₹9,600.**

Step 4 — Motor car perquisite. Car used for both purposes, employer bears all costs, >1.6 L engine, with driver. Perquisite = 3,300 × 12 = **₹39,600** (verify current per-month values).

Step 5 — Rent-free accommodation. Valuation base "salary" for accommodation = Basic + DA(in retirement) + bonus + taxable allowances + CEA taxable etc. For this illustration take salary = Basic + DA-in-retirement + Bonus + taxable HRA + taxable CEA = 9,60,000 + 1,20,000 + 1,20,000 + 1,32,000 + 9,600 = **13,41,600**. Perquisite at assumed 10% = **₹1,34,160** (verify current % / population slab).

Step 6 — Recognised PF. Employer contribution = 14% of (Basic + full DA? — only DA in retirement counts as "salary" for the 12% test; here DA-in-retirement = ₹1,20,000, Basic = ₹9,60,000, so salary for PF = ₹10,80,000). Employer contributed 14% × 10,80,000 = 1,51,200. **Exempt only up to 12%** = 1,29,600. **Taxable employer PF = 1,51,200 − 1,29,600 = ₹21,600.** Interest: credited at 11%, exempt at 9.5%. Taxable interest = 66,000 × (11 − 9.5)/11 = **₹9,000.**

Step 7 — Assemble Gross Salary.

Component	₹
Basic salary	9,60,000
Dearness allowance	2,40,000
Bonus	1,20,000
Taxable HRA	1,32,000
Taxable children education allowance	9,600
Motor car perquisite	39,600
Rent-free accommodation perquisite	1,34,160
Taxable employer RPF contribution	21,600
Taxable interest on RPF	9,000
Gross Salary	**16,65,960**

Step 8 — Section 16 deductions.

Deduction	₹
Standard deduction (16(ia)) — assumed	50,000
Entertainment allowance (16(ii)) — private employee	Nil
Professional tax (16(iii))	2,400
Total deductions	**52,400**

Step 9 — Income under the head "Salaries".

> **Gross Salary 16,65,960 − Deductions 52,400 = ₹16,13,560.**

Reconciliation: every taxable line is a benefit exceeding its exemption cap, every exempt slice was subtracted before it entered gross — the figure is internally consistent. Mr C's own PF contribution (₹1,51,200) does **not** appear here; it is a **Section 80C** deduction claimed later from *Gross Total Income*, not from salary.

> **Examiner tweak — new regime.** If Mr C had opted for the **new regime**, the HRA exemption (₹2,28,000) and the CEA exemption (₹2,400) would **vanish** — the *full* HRA (₹3,60,000) and *full* CEA (₹12,000) become taxable, and the 16(iii) professional-tax deduction generally disappears. Gross salary would rise, but he would pay tax at the lower 115BAC slabs. The whole point of the two-regime exam question is to make you *not* reflexively apply exemptions. Verify exactly which items are withdrawn for your AY.

Example 4 — Timing trap: advance salary, arrears, and the Section 15 proviso

Facts. Mr D's employer, short of cash in FY 2024-25, did not pay his **March 2025 salary of ₹1,00,000** (which was *due* on 31 March 2025); it was actually paid in **April 2025**. Separately, in **February 2025** the employer paid Mr D **₹2,00,000 as advance salary** for April–May 2025. In **May 2025** an **arrear of ₹50,000** relating to a FY 2023-24 pay revision was received (never taxed before). Determine the year of taxability of each amount.

Reasoning — apply "earlier of due or receipt, once only":

Amount	Due date	Receipt date	Taxed in	Why
March salary ₹1,00,000	31-Mar-2025 (FY 24-25)	Apr-2025 (FY 25-26)	**FY 24-25**	Due is earlier; taxed on accrual even though received later
Advance salary ₹2,00,000	Apr–May 2025 (FY 25-26)	Feb-2025 (FY 24-25)	**FY 24-25**	Receipt is earlier; advance taxed on receipt
Arrear ₹50,000	FY 23-24	May-2025 (FY 25-26)	**FY 25-26**	Never taxed earlier → limb 3 catches it on receipt

The proviso check: when the March salary (already taxed FY 24-25 on due basis) is *received* in April 2025, it is **not taxed again** in FY 25-26. Likewise the ₹2,00,000 advance, taxed on receipt in FY 24-25, will **not** be taxed again when it becomes "due" in April–May 2025.

Reconciliation: FY 24-25 picks up ₹1,00,000 + ₹2,00,000 = ₹3,00,000 of these items; FY 25-26 picks up only the ₹50,000 arrear. Nothing is taxed twice, nothing escapes — exactly what Section 15 is engineered to guarantee. Mr D may additionally claim **Section 89(1)** relief on the ₹50,000 arrear (spreading it back to FY 23-24 rates) — that changes the *tax*, not the *year*.

Example 5 — Concessional loan + net-of-tax salary (two under-tested perks)

Facts. Mr E receives a **cash salary of ₹8,00,000** (fully taxable, all other exemptions ignored) which the employer has agreed to pay **"free of tax"** — the employer will bear Mr E's income tax of **₹72,000**. Separately, the employer gave Mr E an **interest-free housing loan** whose **maximum monthly outstanding balance during the year was ₹6,00,000**; assume the SBI rate for such a loan as on the first day of the year is

9%; Mr E paid no interest. Compute the salary impact of these two items (ignore standard deduction for clarity).

Item 1 — Concessional (here, interest-free) loan perquisite. Value = SBI rate × max monthly outstanding − interest recovered = 9% × 6,00,000 − 0 = **₹54,000**. (The loan exceeds the ₹20,000 exemption floor and is not for specified medical treatment, so it is taxable — verify current floor.)

Item 2 — Tax borne by employer (grossing up). The ₹72,000 tax the employer pays *on Mr E's behalf* is a **monetary perquisite — employer discharging the employee's own liability** — so it is added to salary:

Component	₹
Cash salary	8,00,000
Add: tax borne by employer (perquisite)	72,000
Add: interest-free loan perquisite	54,000
Salary impact	**9,26,000**

Reconciliation: Mr E pockets ₹8,00,000 cash and a free loan, yet is taxed on ₹9,26,000 — because a "tax-free salary" simply shifts the tax into the taxable base, and cheap money is a measurable benefit valued at the SBI benchmark. The two items are exactly the pair students most often *forget to add*, so the reconciled total is higher than the cash the employee sees — the intended lesson.

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6. The Reusable Salary Computation Format

Commit this skeleton to memory — every exam salary problem is filling in these rows.

#	Particulars	₹	₹
1	Basic salary	XXX	
2	Dearness allowance / pay	XXX	
3	Bonus, commission, fees	XXX	
4	Allowances (gross) less exempt portion (Sec 10)	XXX	
5	Taxable value of perquisites (Sec 17(2), Rule 3)	XXX	
6	Profits in lieu of salary (Sec 17(3))	XXX	
7	Taxable retirement receipts (gratuity/pension/leave/PF over limits)	XXX	
	Gross Salary		**XXX**
	Less: Deductions u/s 16 — Standard (16(ia))	(XXX)	
	Less: Entertainment allowance (16(ii)) — govt only	(XXX)	
	Less: Professional tax (16(iii))	(XXX)	
	Income under the head "Salaries"		**XXX**

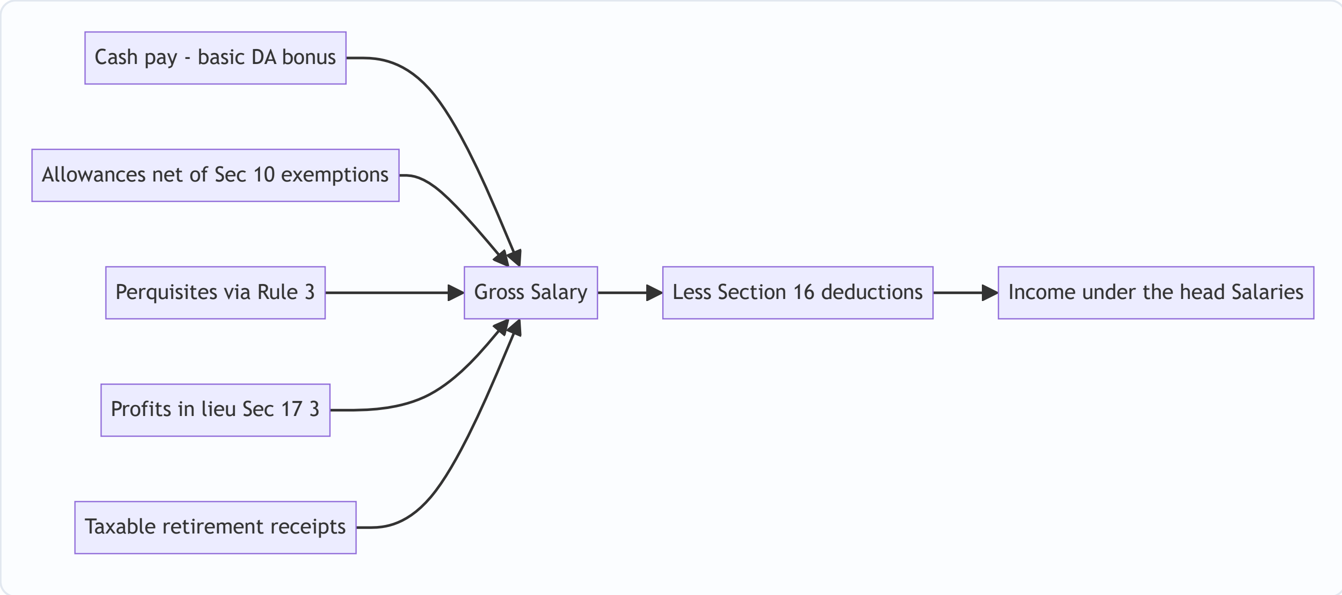

Figure 6.1 — The computation flow: five inflows build Gross Salary; one deduction block converts it to taxable salary.

Six discipline habits that turn this skeleton into full marks: 1. **State the regime first**, in one line, before any exemption — it decides which of rows 4, and the 16(ii)/16(iii) deductions, survive. 2. **Write the "salary" definition you are using** next to each of HRA, accommodation, gratuity, and PF — they differ, and showing the base earns method marks even if a rate is stale. 3. **Slice into periods** whenever anything changes mid-year (raise, city move, rent gap) and compute row 4 period-wise. 4. **Never net the employee's own PF/LIC/NPS inside the head** — those are Chapter VI-A (80C/80CCD) deductions from Gross Total Income, shown *after* leaving the salary head. 5. **Add before you deduct** for employer-borne items (professional tax, income tax) — perquisite first, deduction (if any) second. 6. **Reconcile the sign of every line**: exempt slices are *subtracted before* entering Gross; taxable excesses are *added*. If a "benefit" reduced Gross Salary, you have an error.

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7. Connections — How This Head Links to the Rest of the Act

- **Residential status (Chapter 02):** whether foreign salary is taxable in India depends on residence *and* on where services were rendered (salary for services in India is deemed to accrue here regardless of residence).
- **Deductions Chapter 80C–80U:** employee's PF/PPF contribution, life insurance and NPS feed **Section 80C/80CCD** — claimed from Gross Total Income, *not* inside the salary head. Don't double-count. Note **80CCD(2)** — the *employer*'s NPS contribution — is a deduction that **survives under the new regime** (within limits), a rare exception worth flagging.
- **Capital Gains:** ESOP shares taxed as a perquisite on exercise take their **FMV as cost of acquisition**; later sale is capital gains — the two heads hand off cleanly.
- **Income from House Property:** if the employee *owns* the house whose HRA she claims, or lets out a second house, that's a *different* head — HRA exemption and house-property income can coexist.
- **Income from Other Sources:** the boundary cases (family pension, MP/MLA salary, non-executive director fees) fall here, not in Salaries — see §3.2.

- **TDS (Section 192):** the employer deducts tax on estimated salary monthly — the practical reason your salary computation matters in real life. Under 192, the employee may declare *other-head income and prior-employer salary* so TDS is right; and from AY where the new regime is default, the employer deducts under the **new regime unless the employee opts out** — verify.
- **Relief under Section 89(1):** softens the rate impact of arrears/advance/commuted-pension bunching without changing the head or year — see §3.1 and Example 4.
- **Old vs. New Regime (115BAC):** many salary *exemptions* (HRA, LTC, most allowances) and the entertainment-allowance / professional-tax deductions are **not available under the new regime**; standard deduction and employer-NPS (80CCD(2)) survive. This changes which lines survive — *verify per regime for your AY.*

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8. Traps & Examiner Tricks

1. **HRA with no rent paid → exemption is NIL** (limb 2 = 0). Fully taxable. The classic trap.
2. **"Salary" is not one number.** For HRA it's Basic + DA(in retirement) + turnover-commission; for gratuity (non-Act) it's the *last-10-months average*; for Act-gratuity it's *last-drawn with full DA*; for RFA it's yet another base. **Read which definition each provision uses.**
3. **DA "enters retirement benefits" or not** — if it does, it counts in the HRA/PF/gratuity "salary"; if it doesn't, exclude it. The problem always tells you; students skip the phrase.
4. **Advance salary is taxed on receipt; a loan against salary is not.** And an advance already taxed is not taxed again when it becomes due (Sec 15 proviso). *Advance* salary ≠ *arrears* of salary — opposite time directions, both land in the year of receipt.
5. **Uncommuted pension is fully taxable** — only *commuted* pension gets the ⅓/½ exemption. And you must **gross up** a partial commutation to the full value before applying ⅓ or ½.
6. **Gratuity part-year rounding:** *Act-covered* employees round > 6 months up to a full year; *non-Act* employees **ignore** the part-year entirely. Different rules — examiners test both. (And Act uses 15/26 + full DA; non-Act uses ½-month + 10-month average.)
7. **Employee's own PF contribution is NOT a salary deduction** — it's an 80C item. Employer's *excess* contribution (over 12%, or over the ₹7.5 lakh aggregate cap) *is* added to salary.
8. **Entertainment allowance deduction is for government employees only** — and even then it is *first added* to salary, then a capped deduction (least of ₹5,000 / 20% of *basic* / actual) is given. Private-sector: add fully, deduct nothing.
9. **Professional tax paid by the employer** is first *added* as a perquisite, then *deducted* under 16(iii) — net effect isn't zero because it inflates other percentage-based valuations first. Also: PT is deductible only **on actual payment**, not on accrual.
10. **Foregone/surrendered salary is still taxable** (unless surrendered to the Central Government under the specific Act).
11. **Specified vs. non-specified employee** decides whether car/servant-type perks are taxable — check the ₹50,000 monetary-salary threshold **and** director/>20%-shareholder status (either of the latter makes you specified with no floor).
12. **Regime mismatch:** applying old-regime HRA exemption while computing under the new regime — a costly, common error. Confirm the regime first.

13. **Family pension is Other Sources, not Salary** — with a Section 57 deduction, not Section 16. The employee's *own* pension is Salary.
14. **"Tax-free" salary must be grossed up** — the employer-borne tax is itself a perquisite added to income.
15. **Period-wise HRA:** any mid-year change (raise, city move, rent gap) forces per-period computation; annualising the totals gives the wrong exemption.
16. **RFA "salary" excludes perquisites and employer PF** but includes taxable allowances — a base different from both HRA-salary and gratuity-salary. Don't reuse one base for all three.

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9. First-Principles Recap

- The head "Salaries" exists to capture **the total reward of an employer-employee relationship**, in every form — cash, allowance, kind, or deferred — because that reward is the most visible tax base in the economy.
- **Timing (Sec 15):** tax on the **earlier of due or receipt**, **once only** — an anti-arbitrage rule made possible because salary accrual is knowable; **Section 89(1)** then softens the rate shock of bunched arrears without disturbing the year.
- **Scope (Sec 17):** an **inclusive** definition so nothing escapes by relabelling; perquisites are **standard-valued (Rule 3)** so equal benefits bear equal tax; profits in lieu (17(3)) stop "compensation" being a tax-free wrapper.
- **Fairness through exemptions:** allowances are exempt **to the extent they meet a real cost** (spare-the-cost); retirement benefits are exempt as the **least of actual / statutory cap / formula** (reward-for-service, but bounded) — the "least of" being a two-jawed anti-abuse device (never more than actual, never more than an objective ceiling).
- **Deductions (Sec 16)** give back a flat standard amount, professional tax, and (for government staff) entertainment allowance — modest, because salary is taxed close to *gross receipts*, not profit.
- **The regime overlay:** the new regime buys lower rates by withdrawing most of the above reliefs — so the first analytical act is always to fix the regime, then decide which lines survive.
- If you internalise **"tax the surplus, spare the cost, reward a life of service — but bound every relief,"** you can *derive* nearly every formula in this chapter instead of memorising it.

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10. Quick-Revision Sheet

Sections at a glance

Section	Governs	One-line memory hook
15	Charge — due or receipt, whichever earlier, once only	"The 1-5 gate opens on the earlier date"
16(ia)	Standard deduction (flat)	Universal cost recognition
16(ii)	Entertainment allowance	Government employees only; add first, then cap
16(iii)	Professional tax	State levy → deductible on payment
17(1)	Definition of "salary" (inclusive)	"WAGP-F-PL"
17(2)	Perquisites (valued by Rule 3)	"HALE-CG"
17(3)	Profits in lieu of salary	Compensation ≠ tax-free
10(5)	Leave travel concession	Exempt within notified limits
10(10)	Gratuity	Least of three (govt fully exempt)
10(10A)	Pension (commuted)	⅓ if gratuity, ½ if not
10(10AA)	Leave encashment	Least of four (govt fully exempt)
10(10B)/(10C)	Retrenchment / VRS	Bounded relief; VRS bars Sec 89
10(13A)	HRA exemption	Least of three
10(14)	Special allowances (education, travel etc.)	(i) spend-to-save; (ii) flat notified caps
89(1)	Relief for arrears/advance	Re-spread to earlier years' rates
115BAC	New regime	Lower rates, most exemptions withdrawn

Exemption formulae (least of…) — *verify caps for your AY*

Benefit	Exempt = LEAST of
HRA (10(13A))	Actual HRA / (Rent − 10% salary) / 50% (metro) or 40% (non-metro) of salary
Gratuity — Act-covered (10(10))	Actual / statutory ceiling / (15/26 × last salary × years, >6m rounds up); salary = last-drawn Basic + full DA
Gratuity — non-Act (10(10))	Actual / statutory ceiling / (½ × 10-month avg salary × completed years, ignore part-year)
Commuted pension (10(10A))	Govt: full. Others: ⅓ of full value (if gratuity received) or ½ (if not) — gross up partial commutation first
Leave encashment — non-govt (10(10AA))	Actual / notified ceiling / 10-month avg salary / cash equiv (max 30 days per completed year)
VRS (10(10C))	Actual scheme amount / notified ceiling (commonly ₹5,00,000) — bars Sec 89(1)

Provident fund treatment

Fund	Employer contribution	Interest	Lump sum
SPF	Exempt	Exempt	Fully exempt
RPF	Exempt ≤12% of salary; excess taxable (plus aggregate >₹7.5L cap)	Exempt ≤ notified rate; excess taxable (plus own-contribution >₹2.5L interest cap)	Exempt if ≥5 yrs service
URPF	Not taxed yearly	Not taxed yearly	Four-bucket split: own contrib nil; own interest → Other Sources; employer share + its interest → profit in lieu
PPF	Self-contribution	Exempt	Fully exempt

Allowance quick-sort

- **Fully taxable:** DA, CCA, overtime, servant, warden, non-practising, plain transport (general employee).
- **Exempt up to spent (10(14)(i)):** tour/travel, daily allowance on tour, conveyance in duty, uniform, helper, research.
- **Exempt up to flat cap (10(14)(ii)):** children education (₹100/child ×2), hostel (₹300/child ×2), disabled transport, border/tribal.
- **Formula-exempt:** HRA (least of three).
- **Fully exempt:** allowances to HC/SC judges, UN employees.

The four things to check first in any problem

1. **Which regime** (old vs new) — decides which exemptions survive.
2. **Does DA enter retirement benefits?** — changes every "salary" base.
3. **Government or non-government employee?** — flips gratuity/pension/leave/entertainment rules. (And, for gratuity, **Act-covered or not?**)

4. **Specified vs non-specified employee?** — decides car/servant perquisite taxability.

> **Final reminder:** the *logic* above is durable; the *numbers* (standard deduction, HRA %, gratuity ceiling, car values, PF caps, notified interest rate, ₹7.5L/₹2.5L aggregate caps, VRS ceiling) are revised frequently. **Before your attempt, reconcile every limit and rate in this chapter against the current ICAI Study Material for your Assessment Year.**

Q&A — Income under the Head Salaries

> **Rates/limits caveat.** Every monetary cap below (standard deduction, HRA %, gratuity ceiling, car values, PF caps, notified PF interest rate) is tuned by Parliament and depends on the **applicable Assessment Year**. The *method and section logic* are durable; **verify every figure against current ICAI Study Material for your AY.** All computations assume the **old regime** unless stated, because most salary exemptions are withdrawn under the new regime (Sec 115BAC).

Section A — Concept Checks (with answers)

A1. On what basis is salary charged to tax, and under which section? Salary is charged under **Section 15** on the **earlier of "due" or "receipt"**, and each rupee is taxed **only once** (proviso to Sec 15 prevents double taxation of an arrear already taxed on due basis). This anti-timing-arbitrage rule blocks both *deferral* (taxed when due even if received later) and *advance* games (advance salary taxed on receipt).

A2. Distinguish "advance salary" from "advance against salary (loan)." Advance salary is salary paid before it is due — taxable **on receipt** under Sec 15. An **advance against salary** is a **loan** later adjusted from pay — **not** salary due, hence **not** taxed on receipt (only the perquisite value of any interest concession, if applicable, is taxed). Classic examiner distinction.

A3. Why is the employer–employee relationship the trigger for this head? Because the same rupee falls under different heads depending on the relationship. A director's **sitting fee** (no master–servant control) is **Other Sources**; a whole-time director's pay is **Salary**; a **partner's remuneration** is **business income** (Sec 28) — a person cannot employ himself. The **control-and-supervision** test sorts receipts into the right head.

A4. What is the taxability of the three limbs of DA and of "salary" for different provisions? "Salary" is **not one number**. For **HRA (Rule 2A)** and **gratuity/PF**, salary = **Basic + DA (only if it enters retirement benefits) + commission as a fixed % of turnover**. If DA does **not** enter retirement benefits, exclude it. Always read the phrase in the problem.

A5. Is foregone or surrendered salary taxable? Yes — salary once *due* cannot escape tax by being surrendered/foregone. The **only** exception: salary surrendered to the **Central Government** under the Voluntary Surrender of Salaries Act.

A6. Uncommuted vs commuted pension — treatment under Sec 10(10A)? Uncommuted (monthly) pension is fully taxable as salary. **Commuted (lump-sum) pension** is exempt: **fully** for government employees; for others **1/3** of full value if gratuity is also received, **1/2** if not.

A7. Is an employee's own PF contribution deductible from salary? No. It is a **Section 80C** deduction claimed from Gross Total Income — never from the salary head. Only the **employer's excess** contribution to RPF (over 12% of salary) is *added* to salary.

A8. Which Section 16 deductions exist, and which is government-only? 16(ia) standard deduction (flat, universal), **16(ii)** entertainment allowance (**government employees only** — least of 1/5 of basic, statutory cap, actual), **16(iii)** professional tax actually paid.

Section B — Graded Computational Problems (full step-by-step; figures self-reconcile)

B1 (Easy) — HRA, no rent paid

Facts. Basic ₹30,000/month, HRA received ₹12,000/month, employee **pays no rent** (stays in own house). Compute taxable HRA.

Solution. Sec 10(13A) exemption = least of three; **limb 2 = Rent − 10% salary = 0 − … = negative → nil**. Since one limb is nil, exemption = **₹0**. **Entire HRA = 12,000 × 12 = ₹1,44,000 is taxable.** *Check:* no rent = no reimbursable cost = no relief. The most common HRA trap.

B2 (Easy) — HRA, metro, rent paid

Facts. Chennai (metro). Basic ₹50,000/month, DA ₹10,000/month (enters retirement benefits), HRA ₹20,000/month, rent ₹18,000/month.

Solution. Salary = (50,000 + 10,000) × 12 = **₹7,20,000**. HRA received = 2,40,000; Rent = 2,16,000.

Limb	Computation	₹
Actual HRA	—	2,40,000
Rent − 10% salary	2,16,000 − 72,000	1,44,000
50% of salary (metro)	50% × 7,20,000	3,60,000

Exempt = least = **₹1,44,000**. **Taxable HRA = 2,40,000 − 1,44,000 = ₹96,000.**

B3 (Medium) — Gratuity, non-Act employee

Facts. Non-government employee **not covered** by the Gratuity Act, retires after **24 years 7 months**. Average salary of last 10 months = ₹42,000/month. Gratuity received = ₹7,00,000. Ceiling ₹20,00,000 (verify).

Solution. Sec 10(10): non-Act → **ignore part-year → 24 completed years**; formula = ½ × avg salary × completed years.

Limb	Computation	₹
Actual	—	7,00,000
Statutory ceiling	—	20,00,000
½ × 42,000 × 24	½ month avg × years	5,04,000

Exempt = least = **₹5,04,000**. **Taxable gratuity = 7,00,000 − 5,04,000 = ₹1,96,000.** *Trap check:* had he been **Act-covered**, the 7-month part rounds **up to 25 years** and the formula is **15/26 × last-drawn salary × years** — a different answer. Read which applies.

B4 (Medium) — Recognised PF: employer contribution + interest

Facts. Basic ₹60,000/month, DA ₹15,000/month (enters retirement benefits). Employer contributes **14%** of (Basic + DA) to RPF. Interest credited at **11%** = ₹55,000; notified exempt rate **9.5%**.

Solution. Salary for PF = (60,000 + 15,000) × 12 = **₹9,00,000**. Employer contribution = 14% × 9,00,000 = ₹1,26,000. **Exempt only up to 12%** = 12% × 9,00,000 = ₹1,08,000. **Taxable employer PF = 1,26,000 − 1,08,000 = ₹18,000.** Taxable interest = 55,000 × (11 − 9.5)/11 = 55,000 × 1.5/11 = **₹7,500. Total taxable from RPF = 18,000 + 7,500 = ₹25,500** (added to gross salary). Employee's own contribution → **80C**, not here.

B5 (Hard) — Full salary computation with perquisites, allowances, RPF

Facts (old regime; verify all caps for your AY). Mr X, employed in **Delhi (metro)** by ABC Ltd: - Basic ₹70,000/month; DA ₹20,000/month (**100% enters retirement benefits**); Bonus ₹1,00,000. - HRA ₹25,000/month; rent paid ₹24,000/month. - Children education allowance ₹800/month for 2 children (exempt ₹100/child/month). - **1.8-litre company car** with driver, official + personal use, employer bears all costs. Assume Rule 3 value ₹2,400 + ₹900 driver = ₹3,300/month (verify). - Employer RPF contribution **13%** of (Basic + DA); employee contributes equal. - Professional tax paid ₹2,500. Standard deduction assume ₹50,000 (verify AY/regime).

Step 1 — Cash. Basic = 8,40,000; DA = 2,40,000; Bonus = 1,00,000.

Step 2 — HRA (Sec 10(13A)). Salary = Basic + DA(in retirement) = 8,40,000 + 2,40,000 = **₹10,80,000**. HRA received = 3,00,000; Rent = 2,88,000.

Limb	Computation	₹
Actual HRA	—	3,00,000
Rent − 10% salary	2,88,000 − 1,08,000	1,80,000
50% of salary (metro)	50% × 10,80,000	5,40,000

Exempt = **1,80,000**. **Taxable HRA = 3,00,000 − 1,80,000 = ₹1,20,000.**

Step 3 — CEA (Sec 10(14)). Received = 800 × 12 = 9,600. Exempt = ₹100 × 2 × 12 = 2,400. **Taxable = ₹7,200.**

Step 4 — Car perquisite (Rule 3). 3,300 × 12 = **₹39,600.**

Step 5 — RPF (Sec 17(1)). Salary for PF = ₹10,80,000. Employer = 13% × 10,80,000 = 1,40,400; exempt up to 12% = 1,29,600. **Taxable = ₹10,800.**

Step 6 — Gross Salary.

Component	₹
Basic	8,40,000
DA	2,40,000
Bonus	1,00,000
Taxable HRA	1,20,000
Taxable CEA	7,200
Car perquisite	39,600
Taxable employer RPF	10,800
Gross Salary	**13,57,600**

Step 7 — Section 16 deductions. Standard 16(ia) 50,000 + Prof tax 16(iii) 2,500 = **52,500**. (Entertainment allowance 16(ii) = **Nil**, private employee.)

Step 8 — Income under head Salaries = 13,57,600 − 52,500 = ₹13,05,100. *Reconciliation:* every taxable line exceeds its exemption cap; employee's own PF (₹1,40,400) is excluded here and goes to 80C. Internally consistent.

Section C — Past-Paper-Style Full Questions (model answers)

C1. Gratuity + commuted pension + leave encashment (retirement bundle)

Facts. Mr P, **non-government** employee **covered by the Gratuity Act**, retires after **30 years 8 months**. Last-drawn salary ₹52,000/month (Basic ₹40,000 + DA ₹12,000, DA enters retirement benefits). He receives: Gratuity ₹12,00,000; **commuted pension** ₹4,00,000 being **60% commuted** of full pension (he **also received gratuity**); leave encashment ₹2,00,000 (leave standing 300 days; entitlement 30 days/year; avg salary last 10 months ₹50,000). Ceilings: gratuity ₹20,00,000, leave ₹25,00,000 (verify).

Gratuity — Sec 10(10), Act-covered. 8 months > 6 → **31 years**. Formula = 15/26 × last-drawn salary × years = 15/26 × 52,000 × 31 = ₹9,30,000 (15/26 × 52,000 = 30,000; × 31 = 9,30,000).

Limb	₹
Actual	12,00,000
Ceiling	20,00,000
15/26 × 52,000 × 31	9,30,000

Exempt = **9,30,000**. **Taxable gratuity = 12,00,000 − 9,30,000 = ₹2,70,000.**

Commuted pension — Sec 10(10A). He received gratuity → exempt = **1/3 of full value**. 60% commuted = ₹4,00,000 → full value = 4,00,000 / 0.60 = ₹6,66,667. Exempt = 1/3 × 6,66,667 = **₹2,22,222. Taxable = 4,00,000 − 2,22,222 = ₹1,77,778.**

Leave encashment — Sec 10(10AA), non-govt. Salary = ₹50,000. Cash-equiv leave: max 30 days/completed year = 30 × 30 = 900 days entitlement; actual standing 300 days (lower) = 300/30 = 10 months.

Limb	Computation	₹
Actual	—	2,00,000
Ceiling	—	25,00,000
10 months' avg salary	10 × 50,000	5,00,000
Cash equiv (max 30/yr)	10 × 50,000	5,00,000

Exempt = least = **₹2,00,000**. **Taxable leave encashment = ₹0.**

Taxable retirement receipts = 2,70,000 + 1,77,778 + 0 = ₹4,47,778.

C2. Perquisites — rent-free accommodation and interest-free loan

Facts. Employer-owned **unfurnished** accommodation in a city with population > 40 lakh; salary for RFA purpose ₹9,00,000. Assume Rule 3 valuation 10% of salary (verify current % / population slab). Also an **interest-free loan** of ₹4,00,000 outstanding all year for buying a car; SBI rate assumed 10%; employer charged nil.

RFA — Sec 17(2)(i)/(ii), Rule 3. Value = 10% × 9,00,000 = **₹90,000** (less rent recovered = nil). **Interest-free loan — Rule 3(7)(i).** Value = SBI rate on outstanding − interest charged = 10% × 4,00,000 − 0 = **₹40,000**. (Loans ≤ ₹20,000, or for specified medical treatment, are exempt — not applicable here.) **Total perquisite = 90,000 + 40,000 = ₹1,30,000** added to gross salary.

C3. Concept question — "Explain the tax treatment of the four types of Provident Fund."

Model answer. Sec 17(1) read with the funds' rules:

Fund	Employer contribution	Interest	Lump sum
SPF	Exempt	Exempt	Fully exempt
RPF	Exempt ≤12% of salary; excess taxable	Exempt ≤ notified rate; excess taxable	Exempt if ≥5 yrs continuous service
URPF	Not taxed yearly	Not taxed yearly	At retirement: employer share + interest → **profits in lieu (Sec 17(3))**; employee's own interest → **Other Sources**; own contribution → not taxed
PPF	Self (N/A)	Exempt	Fully exempt

Why RPF caps at 12%? Contributions are **deferred salary**; below the cap the state subsidises retirement saving, above it the fund becomes a tax shelter, so the excess is pulled back into salary. Employee's own RPF contribution qualifies for **80C** — the fund is **EEE** within limits.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. Salary is chargeable to tax on the basis of — (a) Receipt only (b) Accrual only (c) **Earlier of due or receipt** (d) Later of due or receipt **Answer: (c).** Sec 15 — anti-timing-arbitrage; taxed once only.

D2. An employee pays no rent but receives HRA. The exempt HRA is — (a) 50% of salary (b) Actual HRA (c) **Nil** (d) Rent − 10% salary **Answer: (c).** Sec 10(13A) — limb 2 becomes nil, so least = nil; HRA fully taxable.

D3. Entertainment allowance deduction under Sec 16(ii) is available to — (a) All employees (b) **Government employees only** (c) Private employees only (d) Directors **Answer: (b).** A historical relic; private staff get no deduction.

D4. Uncommuted pension received monthly by a non-government employee is — (a) Fully exempt (b) 1/3 exempt (c) 1/2 exempt (d) **Fully taxable Answer: (d).** Sec 10(10A) — only *commuted* pension gets the 1/3 or 1/2 exemption.

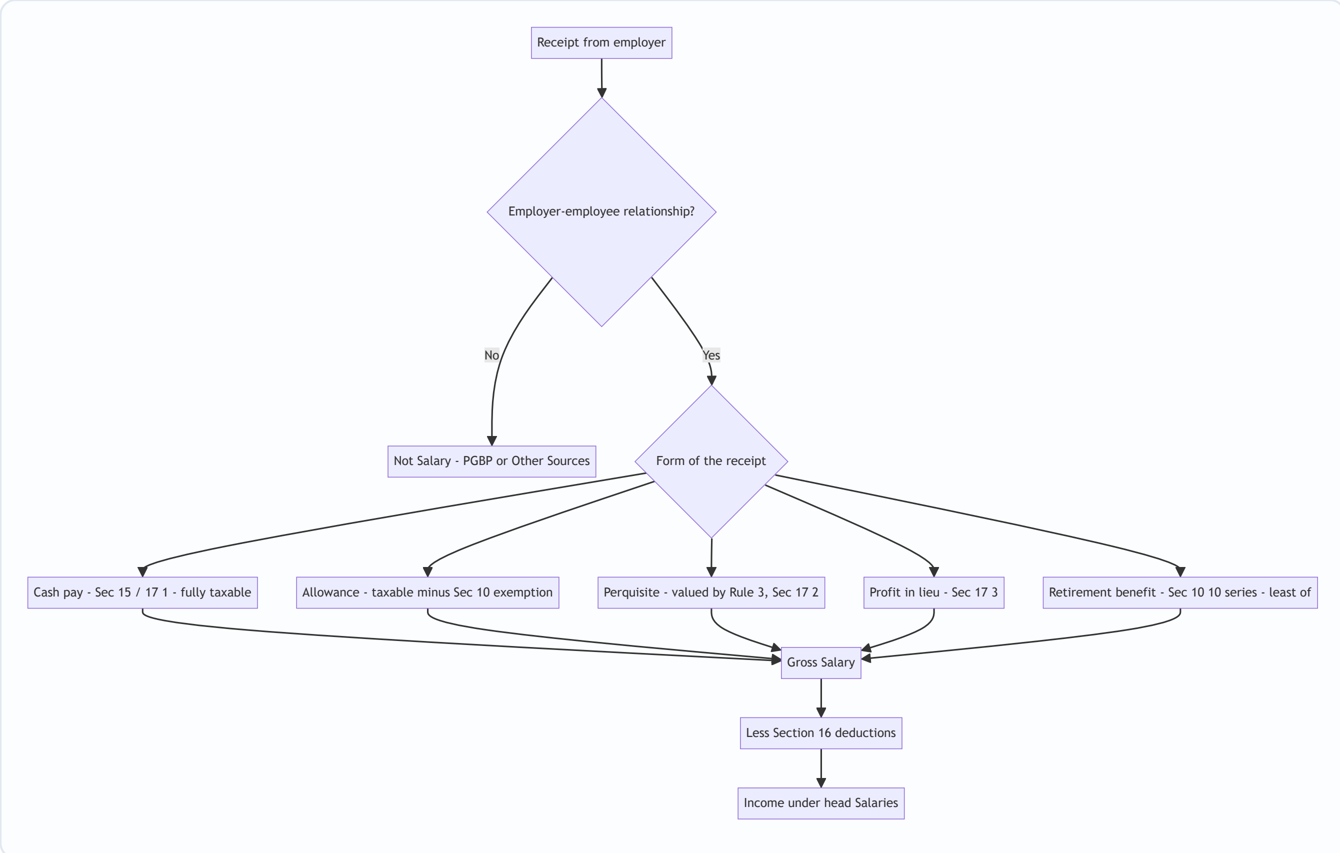
D5. For a non-Act-covered employee, part-year service for gratuity is — (a) Rounded up if > 6 months (b) **Ignored entirely** (c) Rounded to nearest year (d) Pro-rated **Answer: (b).** Sec 10(10) — Act-covered round > 6 months up; non-Act ignore the part.

D6. Case scenario. Mr Q's employer pays his professional tax of ₹2,400. Treatment? (a) Ignored (b) Only deducted (c) **Added as perquisite, then deducted u/s 16(iii)** (d) Only added **Answer: (c).** Employer discharging employee's obligation = perquisite; then 16(iii) allows the deduction. Net is not zero because the added perquisite can inflate other %-based valuations first.

D7. Case scenario. ESOP shares: FMV on exercise ₹500, exercise price ₹200, later sold at ₹700. On exercise — (a) Nothing taxable (b) **₹300 taxed as perquisite; ₹500 becomes cost for capital gains** (c) ₹500 as salary (d) ₹700 as capital gain now **Answer: (b).** Sec 17(2)(vi) — perquisite = FMV − price paid on exercise; FMV then becomes cost of acquisition for later capital gains (₹700 − ₹500 = ₹200 gain on sale).

D8. Under the new regime (Sec 115BAC), which survives? (a) HRA exemption (b) Most Sec 10(14) allowances (c) Entertainment allowance deduction (d) **Standard deduction u/s 16(ia) Answer: (d).** HRA and most allowances/entertainment deduction are withdrawn; standard deduction is retained (verify AY figure).

Master decision diagram



One-page recall

- **Charge (Sec 15):** earlier of due/receipt, once only.
- **Definition (Sec 17(1)):** inclusive — nothing escapes by relabelling. Memory: WAGP-F-PL.
- **Perquisites (Sec 17(2), Rule 3):** standard-valued so equal benefits bear equal tax. Memory: HALE-CG.
- **Profits in lieu (Sec 17(3)):** compensation is not a tax-free wrapper.
- **Deductions (Sec 16):** standard (ia), entertainment — govt only (ii), professional tax (iii).
- **Exemptions are always "least of":** HRA 10(13A), gratuity 10(10), pension 10(10A), leave 10(10AA).
- **Four things to check first:** regime? DA in retirement? govt or non-govt? specified employee?

> **Final reminder:** the logic is durable; the numbers (standard deduction, HRA %, gratuity/leave ceilings, car values, PF caps, notified interest rate) change frequently — **reconcile every limit against current ICAI Study Material for your AY before the exam.**

Chapter 04 — Income from House Property

A note on rates & years: This chapter teaches the *structure and logic* of house property taxation, which is remarkably stable. But the standard deduction percentage, the interest ceiling for self-occupied property, and the treatment of set-off change by amendment. **Always verify the exact limits and the Assessment Year applicable to your attempt against current ICAI study material.** The reasoning below will still hold; only the numbers may shift.

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1. The Problem

Imagine two people. Anil owns a shop and rents it out for ₹40,000 a month. The rent lands in his bank account — clearly income, clearly taxable. Nobody argues.

Now meet Bina. Bina owns an identical shop next door. She *could* rent it out for ₹40,000 a month too. But she chooses to keep it locked and empty because she doesn't feel like dealing with tenants. She earns nothing in cash from it.

Here is the uncomfortable question the tax system must answer: **Should Bina pay less tax than Anil purely because she chose not to exploit an asset that is obviously capable of producing income?**

If your answer is "yes, tax only actual cash received," you have just created a giant loophole. Every wealthy person would hold property, declare it "not let out," collect rent quietly in cash or in the form of favours, and pay nothing. The property's *earning capacity* — its ability to throw off rent — would escape tax entirely, simply by the owner refusing to formally rent it.

There is a second problem hiding underneath. Suppose Chandan rents out a building, but he *also* runs a hotel business inside another building he owns. Both involve buildings. Both produce income. Should they be taxed the same way? If we lump them together, we destroy the ability to give property owners simple, predictable treatment while giving businesspeople the messy, expense-heavy treatment their operations require.

There is even a *third* problem, subtler still. Suppose Deepa owns a building but has quietly gifted it "on paper" to her minor son, or sold it under an unregistered agreement while continuing to pocket the rent herself. Who is the "owner" the law should chase — the name on the municipal register, or the person actually enjoying the income? If the law fixates on paper title, every rent stream can be laundered through a relative or a half-completed sale deed.

So the tax system faces three design challenges: 1. **How do we tax the earning capacity of property, not just the cash it happens to produce?** 2. **How do we separate "I own a building and let it earn passively" from "I run a business that happens to use a building"?** 3. **How do we make sure the *real* economic owner is taxed, even when paper title has been shuffled to a spouse, a minor, or a not-yet-registered buyer?**

Income from House Property is the head of income built to solve exactly these three problems — and once you see them as three problems rather than a pile of sections, the chapter organises itself.

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2. The Core Idea

The central, almost philosophical decision of this head is this:

> **We tax the *inherent earning capacity* of a building — its "annual value" — not merely the rent that actually changed hands.**

This is why the tax base is called the **Annual Value**: a *notional* figure representing what the property is inherently capable of earning in a year. Anil (who rents) and Bina (who keeps it empty) both own an asset with the same earning power, so the law's instinct is to tax that power.

Two crucial softening decisions make this fair rather than brutal:

- **The family home is spared.** Taxing someone on the "notional rent" of the house they actually live in would be politically and morally absurd — you'd be taxing people for the sin of having a roof. So a **self-occupied residential house** is given an Annual Value of **NIL**. The earning-capacity principle bends here for a home you live in.
- **Only two deductions are allowed, both flat or structural.** Because the income is *notional*, the law refuses to get dragged into verifying thousands of small repair and maintenance bills. Instead it gives a single **flat standard deduction** (a fixed percentage) to cover *all* such costs, plus a deduction for **interest on money borrowed to acquire the property** (because that's a real, large, verifiable financing cost). Nothing else. This flat treatment is the signature of the head.

And the separation problem is solved by a simple ownership-and-use test: this head captures income from **buildings/land owned by you and NOT used for your own business or profession**. If the building feeds your business, its income belongs to "Profits and Gains of Business or Profession," not here.

So the mental model is: **House Property = tax on the passive rent-earning power of buildings you own but don't use in your own trade, softened by a NIL value for your own home and a generous flat deduction.**

A distinction worth burning in early: the *label* on income (rent) does not decide the *head*. The head is decided by the **source** (a building) and the **relationship** (ownership, non-business use). Rent from a bare plot is still rent, but it is **not** house property income because there is no building. Rent you earn as a *sub-tenant* is still rent, but it is not house property income because you are not the owner. Keep asking "building? owner? not own business?" — not "is it called rent?"

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3. Why It's Built This Way

Let's justify each design choice, because once you see the *why*, the sections stop being arbitrary.

Why tax notional value at all? Because the alternative — taxing only received rent — is trivially gamed. The law taxes *ability to earn*, using the reasonable market rent as the yardstick. This is the single most counter-intuitive idea in the head, and every downstream rule flows from it.

Why require ownership? Because the earning capacity of a building belongs to whoever owns it. A tenant who sub-lets doesn't own the earning power of the *building* — his profit from sub-letting is business/other income, not house property income. Tying the charge to ownership keeps the right person taxed.

Why exclude property used in one's own business? Because a factory or a shop you operate from isn't earning *rent* — it's an input into a business that's taxed under its own head, where you already deduct depreciation, actual repairs, electricity, everything. Taxing its "notional rent" as well would double-count. So the law says: if the building serves your own business/profession, it exits this head entirely.

Why a flat 30% standard deduction instead of actual expenses? Two reasons. First, administrative simplicity — the income is already notional, so verifying every collection charge, insurance premium, and repair invoice would be a nightmare for both taxpayer and department. Second, certainty — the owner knows in advance exactly what he can deduct. The flat percentage is a rough-justice proxy for "the costs of holding and maintaining a rented building." You get it *whether or not* you actually spent anything, and you get *only* it, no matter how much you actually spent. That's the deal.

Why allow interest on borrowed capital separately? Because financing a property is a genuine, large, and verifiable cost, and it's not the kind of thing a flat maintenance percentage is meant to cover. If the law didn't allow interest, buying property on a loan would be brutally taxed — you'd pay tax on rent while also servicing a loan out of the same money. Allowing interest recognises the real economics of leveraged property ownership.

Why give the self-occupied home a NIL value but *still* allow interest? The NIL value spares you from being taxed on your own roof. But the government *also* wants to encourage home ownership, so it lets you deduct home-loan interest even on the house you live in — creating a genuine *loss* under this head that can shelter your other income. That's a deliberate housing-policy subsidy embedded in the tax code.

Why deduct municipal taxes only when *paid*, but interest when *payable*? These look inconsistent until you see their different natures. The municipal-tax deduction is a **specific statutory concession** — the law didn't have to allow it at all (it's a personal civic levy on the owner, not strictly a cost of *earning* rent), so it attaches a strict condition: you get it only when you have actually parted with the cash. Interest, by contrast, is a **genuine cost of producing the income**, and Indian income tax generally allows real income-earning expenses on **accrual**. So the mismatch isn't an accident — it reflects that one is a grudging concession and the other is a normal expense.

Why cap self-occupied interest but not let-out interest? A let-out property produces taxable income, so its full financing cost should logically be set against that income — no ceiling needed. A self-occupied home produces *no* taxable income (NIL AV), so allowing unlimited interest there would be a bottomless subsidy that the richest borrowers (with the biggest loans) would exploit most. The ceiling caps the housing subsidy at a socially sensible amount.

Why cap the *inter-head set-off* of house property loss at ₹2,00,000? Because self-occupied interest deliberately creates a loss, and without a cap a wealthy taxpayer with a huge home loan could wipe out large amounts of salary or business income. The ₹2,00,000 inter-head ceiling (with the balance carried forward) keeps the shelter from becoming a general tax-avoidance device while still delivering the housing incentive to ordinary borrowers. **Verify the current cap for your AY.**

Everything else in this chapter is mechanics serving these ideas.

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4. Full Technical Content

4.1 The Charging Section — Section 22

> **Section 22:** The **annual value** of **property consisting of any buildings or lands appurtenant thereto** of which the assessee is the **owner**, *other than* such portions of the property as he may occupy for the purposes of any **business or profession carried on by him**, the profits of which are chargeable to income-tax, shall be chargeable to income-tax under the head **"Income from house property."**

Break Section 22 into its three load-bearing conditions — **all three must be satisfied**:

#	Condition	The "why"	Memory hook
1	There must be a **building or land appurtenant to a building**	The head taxes *buildings*, not bare land. Rent from a vacant plot (with no building) is taxed under "Other Sources," not here. "Appurtenant" land = the courtyard, garden, garage attached to the building.	"**B**uilding, not bare land"
2	The assessee must be the **owner**	Earning capacity belongs to the owner.	"**O**wner"
3	The property must **NOT be used by the owner for his own business/profession** whose profits are taxable	If it feeds his own taxed business, it exits this head (avoids double-counting).	"**N**ot own business"

Memory hook for all three: "B-O-N" — Building, Owner, Not-own-business. Fail any one and the income leaves this head.

Key consequence of condition 1: Rent from a *vacant plot of land* → **Income from Other Sources**. Rent from a building → House Property. This is a classic exam trap (see §8).

Key consequence of condition 3: A doctor who owns a building and runs her clinic from it earns *no* house property income on it — the building is absorbed into her profession. But if she rents out the top floor to a chemist, that floor's rent *is* house property income.

Finer point — what counts as a "building"? A building means any structure with a roof, and the head is not limited to residential houses. **Shops, offices, godowns, factory sheds, cinema halls, auditoriums, and even a residential-cum-commercial complex** are "buildings." What is *not* a building: an **open plot, a swimming pool, or open land used as a stadium/parking** with no structure. If a question gives you "rent of open land for a circus / car park," reach for Other Sources unless a building is involved.

Finer point — "appurtenant" land. Land *appurtenant* to a building (the garden, drive-way, garage, playground of a school) is taxed *with* the building under this head. But land let out on its own, unconnected to any building, is not. The word "appurtenant" is what pulls the garden into house property; without a building to be appurtenant *to*, land falls out of the head.

Finer point — ownership of the *building* even if the *land* belongs to someone else. A person can be taxed on house property income for a **building he owns that stands on land owned by another** (e.g., a superstructure on leased land). Ownership of the building, not the land, is the trigger for the building's annual value.

A subtle but heavily-tested exception — property situated *outside* India. House property income arises regardless of where the building is located. For a **resident and ordinarily resident**, rent from a property abroad is taxable in India under this head (subject to relief for foreign tax). The *computation* mechanics (GAV, 30%, interest) are identical; only chargeability depends on residential status. Examiners slip a "flat in London" into a resident's computation to see if you drop it.

4.2 Who is the "Owner"? — the deeming provisions

"Owner" means the person entitled to receive income *in his own right*, and it's broader than the person whose name is on the municipal register. **Section 27** *deems* certain persons to be owners so that clever arrangements can't dodge the charge:

Deemed owner (Sec. 27)	Why the law deems it
An individual who **transfers house property to spouse** (not for adequate consideration, not under an agreement to live apart) or to a **minor child** (other than a married daughter)	Prevents dodging tax by gifting the property to family while still effectively enjoying it
Holder of an impartible estate	Treated as owner of all properties in the estate
A **member of a co-operative society / company / AOP** to whom a building is allotted under a house-building scheme	The member, not the society, enjoys the property
A person who acquires property under a **power of attorney** transaction / **Section 53A** part-performance (possession taken, consideration paid, though legal title not yet transferred)	Substance over form — the real enjoyer is taxed
A person holding a **lease of ≥ 12 years** (excluding month-to-month or ≤1-year leases)	A long lease is economically like ownership

Composite point — "deemed owner" exists because the law taxes economic reality, not paper title.

Distinctions the examiner probes inside Section 27: - **Transfer to a *married daughter* is NOT caught.** A gift of house property to a married daughter genuinely leaves the family unit, so the transferor is *not* deemed owner — she is. Contrast this with transfer to a *minor child* (deemed-owner trap) or to a *spouse* (deemed-owner trap). "Married daughter escapes" is a favourite one-mark distinction. - **Transfer to spouse under an agreement to live apart is NOT caught.** The anti-avoidance concern (still enjoying the property via the family) is absent in a separation settlement, so the transferee spouse is the owner. - **"Adequate consideration" defeats deeming.** If the spouse actually *bought* the property at full value, there's no gifting-to-dodge, so no deeming. - **The ≥12-year lease rule** treats a long lessee as owner; but a lease renewable **month-to-month** or for **a term not exceeding one year** does *not* make the lessee a deemed owner, however many times it is actually renewed.

Legal owner vs beneficial receipt. Where the registered owner has genuinely transferred beneficial enjoyment (e.g., a valid trust for beneficiaries), the person entitled to the income *in his own right* is assessed. The theme is constant: **the person who really owns the earning capacity pays the tax.**

4.3 Property held as stock-in-trade / income from house property vs. business

- If a builder holds flats as **stock-in-trade** (unsold inventory), the annual value of such property is treated specially: it is generally taken as **NIL for a specified period from the end of the financial year in which**

the completion certificate is obtained (verify the current number of years — this limit has been amended and differs by AY). After that period, notional annual value applies. *Rationale:* don't punish a builder with notional rent on unsold stock right after completion, but don't let inventory sit tax-free forever either.

- If the letting is *inseparable* from letting of plant/machinery, or the property is exploited *commercially* as a business, the income can fall under **Business** or **Other Sources** instead. The dividing question is always: *is this passive rent, or an active business?*

Three practical dividing-line situations to recognise: 1. **Letting is subservient to a business.** A company that lets out staff quarters to its own workers, or a mill that lets out shops within its compound *as part of running the mill*, may have that rent treated as **business income** because letting is incidental to the trade. Passive rent → house property; letting that is a limb of the business → PGBP. 2. **The taxpayer's *business itself is* letting.** A person whose business is systematically acquiring properties and letting them, providing services, may still be taxed under house property for the *bare* rent — Indian jurisprudence has generally held that mere ownership-and-letting yields house property income even for a company whose object is letting, unless there is a clear commercial exploitation with services. Where the facts show **complex, service-heavy commercial exploitation** (e.g., running a fully-serviced business centre), income can shift to PGBP. *For exams, state the test and apply the facts given; ICAI usually signals which way to go.* 3. **Composite letting of building + plant/machinery/furniture.** Covered in §4.10 — if inseparable, the whole goes to Business/Other Sources; the building never touches this head.

4.4 The computation skeleton (learn this cold)

Every let-out property is computed on this exact ladder. Understand each rung by its logic:

```
      Gross Annual Value (GAV)                       [the earning capacity]
(-)   Municipal taxes actually PAID by owner         [a real civic cost]
──────────────────────────────────────────

=     Net Annual Value (NAV)                          [capacity net of civic dues]
(-)   Standard deduction @ 30% of NAV   [Sec. 24(a)]    [flat proxy for all upkeep]
(-)   Interest on borrowed capital      [Sec. 24(b)]    [real financing cost]
──────────────────────────────────────────

=     Income from House Property
```

Only **two** deductions after NAV — that's the whole of Section 24. Memorise: **"24 = a + b = 30% + interest."**

Why the order is non-negotiable. Municipal taxes come off *GAV* (they are a civic outgo on the gross earning capacity), producing NAV. The 30% is then taken on *NAV*, **not** GAV — because the standard deduction is a proxy for upkeep *after* the property has already borne its civic levy. Take 30% of GAV and you over-deduct; every mark of the answer keys checks that the 30% base is NAV.

4.5 Step 1 — Gross Annual Value (Section 23)

GAV answers: *what is this property capable of earning, tested against what it actually earned?* The law compares a notional yardstick with the real rent and, broadly, takes the **higher**, then adjusts for vacancy.

The building blocks:

Term	Meaning	Why it exists
Municipal Value (MV)	Value fixed by the local authority for levying municipal tax	An official estimate of rental worth
Fair Rent (FR)	Rent a similar property in a similar locality would fetch	Market yardstick
Standard Rent (SR)	Maximum rent legally chargeable under Rent Control Act (if applicable)	The law can't tax you on rent you're legally forbidden to charge
Actual Rent Received/Receivable (AR)	Rent actually charged for the let-out period (after excluding unrealised rent, subject to conditions)	The real-world figure

The GAV logic in three moves:

Move 1 — Compute "Expected Rent" (ER): the property's notional earning capacity. - ER = **higher of** Municipal Value and Fair Rent… - …**but capped at Standard Rent** (if a Rent Control Act applies). *Why the cap? Because it's unjust to tax notional rent higher than the maximum the law lets you legally collect.*

> ER = **[higher of (MV, FR)] but restricted to SR**

Move 2 — Compare Expected Rent with Actual Rent: - Broadly, **GAV = higher of ER and Actual Rent Received/Receivable.** - *Why higher?* Because if you actually got *more* than the notional estimate, that higher real figure is clearly your earning capacity realised; if you got *less* (e.g., a below-market family arrangement), the law falls back on notional ER so you can't under-report by charging a sweetheart rent.

Move 3 — Adjust for vacancy (the important exception): - If the property was **vacant for part of the year** and, *owing to that vacancy*, the actual rent received is **lower than the Expected Rent**, then the **actual rent received (for the let-out period) becomes the GAV** — i.e., you are not taxed on rent for months the property genuinely stood empty. - *Why?* Vacancy is a real loss of earning capacity. Taxing notional rent for months no tenant existed would tax phantom income. So genuine vacancy pulls GAV *down* to the actual rent.

The practical order (a clean algorithm): 1. Compute ER = higher of (MV, FR), capped at SR. 2. Compute Actual Rent for the let-out period (Rent per month × months let, less unrealised rent if conditions met). 3. If **no vacancy** → GAV = higher of (ER, Actual Rent). 4. If **vacancy caused AR < ER** → GAV = Actual Rent (the vacancy-reduced figure).

(ICAI presents a step-wise comparison; the safest exam approach is: first find ER; then find AR; then compare, and finally apply the vacancy rule. Worked Example 3 shows every branch.)

Two finer distinctions inside the GAV rule that separate a 6-mark answer from a 4-mark one:

- **Unrealised rent vs vacancy are handled at *different points and for different reasons. Unrealised rent (a defaulting tenant) is deducted while computing Actual Rent, before the ER-vs-AR comparison. Vacancy (no tenant at all) is a downward pull applied after*** you would otherwise have taken the higher of ER and AR. Compute AR net of unrealised rent first; only then bring in the vacancy adjustment. (Different ICAI illustrations sequence the arithmetic slightly differently but always reach the same GAV — see Example 3 and Example 5.)

- **The "owing to vacancy" causation test.** The vacancy rule only pulls GAV below ER when the *shortfall was caused by the vacancy*. If actual rent for the let period is *already* above ER even after knocking out the vacant months, the property still earned more than its notional yardstick, and GAV is that higher actual figure — vacancy did not "cause" AR to dip below ER. Example 3 hits exactly this branch (GAV lands at the vacancy-reduced actual rent, which is still meaningful) and Example 4 shows the branch where ER wins.

Special GAV situations: - **Property let *and* used for own residence at different times in the year** (e.g., let for 8 months, self-occupied for 4): the property is treated as **let-out for the whole year**; actual rent is taken only for the let months, and there is **no** separate self-occupied NIL benefit for the residence months. Only *genuine vacancy* (available to let but no tenant) reduces GAV — self-residence months do not. - **Municipal value / fair rent given for the whole year** must **not** be pro-rated for vacancy; only the *actual rent* is time-apportioned. The ER stays annual; the vacancy adjustment does the pro-rating.

4.6 Step 2 — Municipal Taxes (deduct from GAV to get NAV)

- Municipal/local taxes (house tax, water tax, etc.) are deductible **only if (a) borne by the owner AND (b) actually PAID during the previous year.**
- *Why "paid," not "payable"?* Because it's a *cash civic outgo* the law lets you net off — but only when you've actually parted with the money. Taxes merely due but unpaid get no deduction. This is a favourite trap.
- Taxes paid by the *tenant* are **not** deductible (the owner didn't bear them).

> **NAV = GAV − Municipal taxes actually paid by owner**

Finer distinctions on municipal taxes: - **Year of payment, not year of levy, governs.** If the owner pays *this year* an arrear of municipal tax that related to an *earlier* year, it is still deductible **this year** (the year of actual payment). Conversely, tax pertaining to this year but paid *next* year gets no deduction this year. The deduction rides entirely on the date the cash leaves the owner's hands. - **Foreign local taxes** on a foreign property, if borne and paid by the owner, are deductible on the same principle when that property's income is taxed in India. - **On a self-occupied property, municipal taxes give no benefit** — the AV is already NIL, so there is nothing to net them against. Students reflexively deduct them; there is no NAV to reduce.

4.7 Step 3 — Deductions under Section 24

Only two, and *only* these two:

(a) Standard Deduction — Section 24(a): 30% of NAV. - A **flat 30% of NAV**, allowed *irrespective* of actual expenditure. - *Why flat?* Administrative simplicity + certainty (see §3). You get it even if you spent nothing on repairs; you get *only* it even if you spent 50%. - **Not available** where NAV is nil (e.g., self-occupied), because 30% of nil is nil. - **It also swallows expenses students want to deduct separately** — insurance, ground rent, collection charges, land revenue, repairs, painting. *All* of these are inside the 30%. If a question lists them, they are distractors; do **not** deduct them again.

(b) Interest on Borrowed Capital — Section 24(b). - Interest payable on money **borrowed to acquire, construct, repair, renew or reconstruct** the property is deductible. - Deductible on an **accrual (payable) basis** — you don't need to have actually paid it, unlike municipal taxes. *Why the difference?* Municipal tax deduction is a specific statutory concession tied to payment; interest is a normal income-earning expense allowed as it accrues. - **Let-out property:** the *entire* interest is deductible (no ceiling). This can create a **loss** from house property. - **Self-occupied property:** interest is capped (a specified ceiling — commonly

₹2,00,000 for a loan taken for acquisition/construction that is completed within the prescribed period, and a lower ₹30,000 ceiling in other cases such as repair loans or where the completion/loan conditions aren't met). **Verify the current ceilings and completion-period conditions for your AY.** - *Why cap it for self-occupied but not let-out?* A let-out property produces taxable income against which its full financing cost should logically be set. A self-occupied home produces *no* taxable income (NIL AV), so allowing unlimited interest there would be a bottomless subsidy — the ceiling limits the housing subsidy to a sensible amount.

Interest — the finer points that get tested: - **"Interest on interest" is not allowed.** If you fail to pay interest and the lender charges interest on that unpaid interest, the *penal interest on interest* is **not** deductible — only interest on the *borrowed capital* is. - **Fresh loan taken to repay the original loan.** Interest on a *second* loan taken *to repay the original* acquisition/construction loan **is** deductible — it stands in the shoes of the original borrowing. But interest on a loan taken to *pay municipal taxes* or for a personal purpose is not. - **Brokerage / processing commission** paid to arrange the loan is **not** interest and is **not** deductible under 24(b). - **Loan must fund the property, not something else.** If borrowed money is diverted to a non-property use, the interest is disallowed to that extent. - **Interest to a resident payee may require TDS.** Where interest is paid without deducting tax at source where required, disallowance provisions of the Act can bite — flag it, but the core house-property computation assumes the interest is otherwise allowable.

4.8 Pre-construction interest — the timing fix

The problem: You take a loan and start paying interest *while the house is being built* — but there's no income and often no "property" to compute income against yet, in the years *before* completion. Do you lose that interest?

The solution: Interest for the **pre-construction period** is not lost — it is **aggregated and allowed in 5 equal annual instalments**, starting from the **year in which the construction is completed / property is acquired**.

- **Pre-construction period** = from the **date of borrowing** up to **31st March immediately preceding** the year of completion/acquisition (or the date of repayment of loan, if earlier).
- So each year after completion you deduct: **(current year's interest) + (1/5 of the accumulated pre-construction interest)**, for five years.
- *Why 5 instalments rather than all at once?* Spreading prevents a single huge deduction in year one and matches the deduction roughly to the years the property is generating benefit. For self-occupied property, the pre-construction instalment still counts *within* the overall ₹2,00,000 / ₹30,000 ceiling — verify.

Memory hook: "Pre-con = 5 slices, served from completion year."

The three sub-traps inside pre-construction interest: 1. **The cut-off is 31 March *before* completion, not the completion date itself.** Interest of the *year of completion* (from 1 April of that FY up to completion, and beyond) is **current-year interest**, deducted in full (subject to any ceiling), *not* part of the pre-construction pool. The pre-construction pool stops on the 31 March that immediately precedes the completion year. 2. **"5 slices" is 1/5 of the *total* pre-construction interest — the same rupee amount each year for five years**, added on top of that year's current interest. It is not re-computed each year. 3. **For a self-occupied property, current interest + pre-construction instalment together must fit inside the ₹2,00,000 (or ₹30,000) ceiling.** For a let-out property there is no ceiling, so both flow in fully. Example 6 drills the self-occupied squeeze; Example 3 drills the let-out (uncapped) case.

4.9 Self-occupied vs. Let-out — the two regimes

Feature	Self-Occupied Property (SOP)	Let-Out Property (LOP)
Governing idea	Don't tax your own roof	Tax the earning capacity
Annual Value	**NIL** (Sec. 23(2))	GAV per Sec. 23(1)
Municipal taxes	No deduction (NAV already nil)	Deductible if paid by owner
Standard deduction 24(a)	Nil (30% of nil)	30% of NAV
Interest 24(b)	Allowed **up to ceiling** (₹2,00,000 / ₹30,000 — verify)	**Full**, no ceiling
Resulting figure	Usually a **loss** (0 − interest)	Income or loss

How many houses can be self-occupied? An individual/HUF may treat **up to two** houses as self-occupied (AV nil). *Why the "two"?* Recognises real families keep a home in the home town and another where they work. If you own more houses that are neither let nor used for business, the extra ones are treated as **"Deemed Let Out" (DLO)** — you're taxed on their notional expected rent as if let, because you can't have unlimited tax-free homes. **The aggregate self-occupied interest ceiling (₹2,00,000) applies across the SOP houses combined, not per house — verify current rule.**

Deemed Let Out (DLO): compute GAV as the Expected Rent (there's no actual rent), then proceed exactly like a let-out property (30% standard deduction, full interest).

Two heavily-tested wrinkles in choosing which house is self-occupied: - **When you own 3+ eligible houses, YOU choose which (up to) two are self-occupied.** The optimal choice is the one that **minimises total taxable income** — usually keep as SOP the houses with the **highest Expected Rent** (so the largest notional rents are shielded to NIL) and treat the lower-value ones as DLO. Examiners award marks for *stating* that the choice is the assessee's and picking the tax-minimising combination. - **A house that could not actually be self-occupied because the owner lives elsewhere for employment/business** is still eligible for NIL AV as self-occupied under **Section 23(2)(b)**, *provided* it is not actually let and no other benefit is derived from it. This is the "I work in another city and my home town house lies vacant" concession — treat it as SOP with NIL AV even though nobody lives in it.

The "part of the year let, part self-occupied" clarification (bears repeating). If a *single* house is let for part of the year and self-occupied for the rest, it is treated as a **let-out property for the whole year** — you do *not* split it into a SOP portion and a LOP portion. Contrast this with a house that is *physically* split — part let, part self-occupied *simultaneously* — where you *do* apportion by area (§4.10).

4.10 Special situations (know the treatment)

Situation	Treatment	Logic
Unrealised rent later **recovered**	Taxable in the year of recovery under house property, even if you no longer own the property; **30% standard deduction** is still allowed on it	It's realised earning capacity, finally received
Arrears of rent received	Taxable in year of receipt; **30% standard deduction** allowed	Same logic
Property owned by co-owners with **definite shares**	Each co-owner taxed on his share; each individually gets the SOP benefit/ceiling	Tax each real owner separately
Composite rent (building + amenities/plant)	If separable → building portion under House Property, rest under Other Sources/Business. If inseparable → whole under Business/Other Sources	Match the substance
Part let, part self-occupied (physically divided)	Compute each portion separately; apportion MV/FR/SR/taxes/interest by area	Different regimes for different uses
House Property loss set-off	Loss can be set off against other heads in the same year up to **₹2,00,000**; unabsorbed loss **carried forward up to 8 years** (set off only against house property income thereafter)	Limits the shelter home-loan interest can give against, say, salary

Unrealised rent — the Rule 4 conditions (all must be met before you may exclude it from Actual Rent): 1. The tenancy is **bona fide**; 2. The defaulting tenant has **vacated**, or steps have been taken to compel him to vacate; 3. The defaulting tenant is **not in occupation of any other property** of the assessee; 4. The assessee has **taken all reasonable steps** to institute legal proceedings for recovery (or satisfies the AO that legal proceedings would be useless).

If these are satisfied, unrealised rent is knocked out of Actual Rent (Example 3, Example 5). If *not* satisfied, the full rent is taxed as though received — you cannot exclude a default just because the tenant didn't pay.

Unrealised rent *recovered* later (Section 25A) — the finer mechanics: - Taxed in the **year of recovery**, under house property, **whether or not** you still own that property. - A flat **30% deduction** is allowed on the recovered amount — even though no fresh 30% "upkeep" is really incurred, the law gives it for consistency. - The same 25A treatment applies to **arrears of rent** (a subsequent rent increase, e.g., under a revised agreement or court order, received later). Both get the 30% deduction and both are taxed on receipt.

Co-ownership — the sharp distinction: - **Definite and ascertainable shares** → each co-owner is assessed **separately** on his share, and each independently enjoys the self-occupied NIL benefit and his own interest ceiling. This can be tax-efficient (two ceilings instead of one). - **Shares NOT definite** → the property is assessed as an **Association of Persons (AOP)**, losing the individual concessions. "Definite shares" is the switch.

Composite rent — the two-branch test in detail: - **Separable** (letting the building and letting the amenities/plant/furniture are two independent lettings, either could survive without the other): split the rent. The **building** portion → House Property; the **amenities/plant/furniture** portion → Other Sources (or Business, if it's a business). - **Inseparable** (the two lettings are so intertwined that one could not be let without the other — e.g., a fully-fitted factory let with its machinery, or a furnished hall let with sound/lighting as one package): the **whole** rent → **Business or Other Sources**, and the building **never**

enters this head. Note the striking result: a building can be entirely absent from "House Property" simply because it was let inseparably with plant.

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5. Worked Examples

Example 1 — A clean let-out property (build the reflex)

Facts: Mr. Rao owns a house, let out for the whole year at ₹25,000/month. Municipal Value ₹2,40,000; Fair Rent ₹2,80,000; no Rent Control Act applies. Municipal taxes ₹30,000, fully paid by Mr. Rao during the year. He borrowed ₹20,00,000 for construction; interest for the year ₹1,50,000. Compute his income from house property.

Step 1 — Expected Rent (ER): - Higher of (MV ₹2,40,000, FR ₹2,80,000) = **₹2,80,000**. No SR (no Rent Control) → ER = ₹2,80,000.

Step 2 — Actual Rent (AR): ₹25,000 × 12 = **₹3,00,000.** No vacancy.

Step 3 — GAV: higher of (ER ₹2,80,000, AR ₹3,00,000) = **₹3,00,000.**

Computation:

Particulars	₹
Gross Annual Value	3,00,000
Less: Municipal taxes paid	(30,000)
Net Annual Value (NAV)	**2,70,000**
Less: Standard deduction @ 30% of NAV [24(a)]	(81,000)
Less: Interest on borrowed capital [24(b)]	(1,50,000)
Income from House Property	**39,000**

Check: 2,70,000 − 81,000 − 1,50,000 = 39,000. ✓

Example 2 — Self-occupied home with a home loan (see the loss)

Facts: Ms. Iyer lives in her own house all year (self-occupied). Home loan taken in FY 2018-19 for acquisition; construction completed FY 2019-20. Interest during the current previous year: ₹2,30,000. She has salary income of ₹9,00,000. Assume the ₹2,00,000 self-occupied ceiling applies (verify for your AY).

Step 1 — Annual Value: Self-occupied → **NIL.**

Step 2 — Deductions: - 30% standard deduction = 30% of NIL = **NIL.** - Interest ₹2,30,000, but **capped at ₹2,00,000** for a self-occupied acquisition loan.

Computation:

Particulars	₹
Annual Value (self-occupied)	Nil
Less: Standard deduction 24(a)	Nil
Less: Interest 24(b), restricted to ceiling	(2,00,000)
Income / (Loss) from House Property	**(2,00,000)**

Set-off: This ₹2,00,000 loss is set off against salary (within the ₹2,00,000 aggregate limit), reducing taxable salary from ₹9,00,000 to **₹7,00,000.** The ₹30,000 interest above the ceiling is simply lost (not carried forward).

Insight: the NIL annual value + capped interest is precisely the housing subsidy of §3 in action.

Example 3 — The exam-hard one: vacancy, unrealised rent, standard rent, and pre-construction interest all together

Facts: Mr. Sharma owns a house. - Municipal Value ₹3,00,000; Fair Rent ₹3,60,000; **Standard Rent ₹3,30,000** (Rent Control applies). - Let out at ₹32,000/month. It remained **vacant for 2 months**; let out for the other 10 months. - **Unrealised rent** ₹32,000 (one month's rent, all conditions of Rule 4 satisfied). - Municipal taxes ₹36,000; Mr. Sharma paid ₹24,000 this year, the tenant paid ₹12,000. - Loan of ₹15,00,000 taken on **1 July 2019** for construction; construction **completed 31 March 2023**. Interest is ₹1,20,000 per year. (Assume current previous year is FY 2023-24 for the pre-construction spread; verify the AY for your attempt.)

Step 1 — Expected Rent (ER): - Higher of (MV ₹3,00,000, FR ₹3,60,000) = ₹3,60,000. - Capped at Standard Rent ₹3,30,000 → **ER = ₹3,30,000.**

Step 2 — Actual Rent for the let-out period: - Rent = ₹32,000 × 12 = ₹3,84,000 would be full-year; but let for 10 months. - Rent for let-out period = ₹32,000 × 10 = ₹3,20,000. - Less unrealised rent ₹32,000 → **AR (received/receivable) = ₹2,88,000.**

(Note: the 2 months' vacancy loss is ₹64,000; the 1 month unrealised rent ₹32,000 is deducted separately as it satisfies the conditions.)

Step 3 — GAV using the vacancy rule: - Compare ER ₹3,30,000 with the rent that *would have been received had there been no vacancy*: ₹32,000 × 11 months (12 less the 1 month unrealised) = ₹3,52,000. Since ₹3,52,000 > ER ₹3,30,000, we start from the higher, ₹3,52,000. - Now **reduce for the 2 months' vacancy**: ₹3,52,000 − ₹64,000 (2 × ₹32,000) = **GAV ₹2,88,000.** - *Interpretation:* because the property was vacant and, owing to that vacancy, actual rent fell below ER, the vacancy-adjusted actual rent (₹2,88,000) becomes the GAV. The tenant genuinely wasn't there for 2 months, so you aren't taxed on those.

Step 4 — Municipal taxes: only the ₹24,000 **paid by the owner** is deductible; the ₹12,000 paid by the tenant is not.

Step 5 — Pre-construction interest: - Loan taken 1 July 2019; completion 31 March 2023. - Pre-construction period = 1 July 2019 to **31 March 2022** (the 31st March immediately preceding the year of completion FY 2022-23... note: since completion is on the last day 31 Mar 2023, i.e., FY 2022-23, pre-construction period runs up to 31 March 2022). - Interest ₹1,20,000/yr. From 1 July 2019 to 31 March 2020 = 9 months = ₹90,000; FY 2020-21 = ₹1,20,000; FY 2021-22 = ₹1,20,000. **Total pre-construction interest = ₹90,000 + ₹1,20,000 + ₹1,20,000 = ₹3,30,000.** - Allowed in **5 equal instalments** from FY 2022-23 onwards: ₹3,30,000 / 5 = **₹66,000 per year.** - Current year (FY 2023-24) is the 2nd instalment year, so allow ₹66,000. - **Current year interest** (FY 2023-24, post-completion) = ₹1,20,000. - **Total interest deduction this year = ₹1,20,000 + ₹66,000 = ₹1,86,000.**

Computation:

Particulars	₹
Gross Annual Value (vacancy-adjusted)	2,88,000
Less: Municipal taxes paid by owner	(24,000)
Net Annual Value (NAV)	**2,64,000**
Less: Standard deduction @ 30% of NAV [24(a)]	(79,200)
Less: Interest 24(b): current ₹1,20,000 + pre-con ₹66,000	(1,86,000)
Income / (Loss) from House Property	**(1,200)**

Check: 2,64,000 − 79,200 − 1,86,000 = **−1,200.** A small loss. ✓ (This ₹1,200 loss is eligible for set-off against other heads within the ₹2,00,000 limit.)

This single example exercises: MV/FR/SR cap, vacancy adjustment, unrealised rent, owner-vs-tenant municipal tax, and the pre-construction 5-instalment spread — the exact combination examiners love.

Example 4 — Below-market "sweetheart" rent (why the law takes the *higher*)

Facts: Mr. Verma lets his flat to his cousin for ₹8,000/month for the whole year — well below market. Municipal Value ₹1,80,000; Fair Rent ₹2,10,000; no Standard Rent. Municipal taxes ₹18,000 paid by the owner. No loan. Compute income from house property.

Reasoning first (the point of the example): the cousin pays only ₹96,000 a year, but the flat is *capable* of earning ₹2,10,000. If the law taxed only actual rent, every landlord would "let to a cousin" cheaply and pocket the difference off the books. So the notional ER wins whenever actual rent is lower for a non-vacancy reason.

Step 1 — ER: higher of (MV ₹1,80,000, FR ₹2,10,000) = **₹2,10,000** (no SR). **Step 2 — AR:** ₹8,000 × 12 = **₹96,000.** No vacancy. **Step 3 — GAV:** higher of (ER ₹2,10,000, AR ₹96,000) = **₹2,10,000** (ER wins; the low rent is ignored because there was no vacancy).

Computation:

Particulars	₹
Gross Annual Value	2,10,000
Less: Municipal taxes paid	(18,000)
Net Annual Value	**1,92,000**
Less: Standard deduction @ 30% [24(a)]	(57,600)
Less: Interest 24(b)	(0)
Income from House Property	**1,34,400**

Check: 1,92,000 − 57,600 = 1,34,400. ✓ *Trap defused:* Mr. Verma is taxed on ₹2,10,000 of capacity even though he pocketed only ₹96,000. Contrast this squarely with Example 3, where a *genuine vacancy* — not a cheap deal — was allowed to pull GAV below ER.

Example 5 — Two-house planning: which to keep self-occupied, plus a Deemed-Let-Out

Facts: Mr. Nair owns **three** residential houses, none let out, all used by his family at various times (so all could be self-occupied). Expected Rents (already computed, higher of MV/FR capped at SR) are: - House A: ER ₹4,80,000; municipal taxes paid ₹40,000; interest on loan ₹2,20,000. - House B: ER ₹3,00,000; municipal taxes paid ₹25,000; interest ₹90,000. - House C: ER ₹1,50,000; municipal taxes paid ₹10,000; interest nil.

Only **two** houses can be self-occupied (NIL AV); the third is **Deemed Let Out**. Which combination minimises income? (Assume ₹2,00,000 aggregate SOP interest ceiling; verify for your AY.)

Reasoning: shielding the two *highest* Expected Rents to NIL removes the most notional income, so treat **A and B as self-occupied** and **C as DLO**. (For SOP, municipal taxes give no benefit and only interest — capped in aggregate at ₹2,00,000 — is deductible.)

Self-occupied A + B:

Particulars	₹
Annual Value (A and B, self-occupied)	Nil
Less: Interest 24(b) — A ₹2,20,000 + B ₹90,000 = ₹3,10,000, restricted to aggregate ceiling	(2,00,000)
Loss from self-occupied houses	**(2,00,000)**

(₹1,10,000 of interest above the ceiling is lost.)

Deemed-Let-Out C:

Particulars	₹
GAV (= Expected Rent, no actual rent)	1,50,000
Less: Municipal taxes paid	(10,000)
NAV	**1,40,000**
Less: Standard deduction @ 30%	(42,000)
Less: Interest 24(b)	(0)
Income from House C	**98,000**

Total income from house property = (2,00,000) + 98,000 = (1,02,000) loss.

Check the plan: had he instead kept **C** self-occupied and made **A** (ER ₹4,80,000) Deemed-Let-Out, A's DLO income would be roughly 4,80,000 − 40,000 = 4,40,000 NAV, less 30% (₹1,32,000), less full interest ₹2,20,000 = ₹88,000 income — *plus* only B and C's interest (₹90,000) would shelter the SOP side, capped anyway. The A-and-B-as-SOP choice clearly gives the lower (indeed negative) figure. ✓ *Lesson:* state that the **choice belongs to the assessee** and pick the combination that shields the **largest Expected Rents**; for a DLO there is no actual rent, so **GAV = Expected Rent**, then normal let-out mechanics follow.

Example 6 — Self-occupied with pre-construction interest squeezed under the ceiling

Facts: Ms. Rao occupies her own house all year. Loan ₹25,00,000 taken **1 October 2020** for construction; construction **completed 15 June 2023** (FY 2023-24). Interest ₹1,80,000 per year throughout. Current previous year is **FY 2023-24**. Compute income from house property (assume ₹2,00,000 SOP ceiling; verify for your AY).

Step 1 — Annual Value: Self-occupied → **NIL.**

Step 2 — Pre-construction interest: - Pre-construction period = **1 Oct 2020 to 31 March 2023** (31 March immediately preceding completion year FY 2023-24). - FY 2020-21: 1 Oct 2020 – 31 Mar 2021 = 6 months = ₹90,000. - FY 2021-22: ₹1,80,000. FY 2022-23: ₹1,80,000. - **Total pre-construction interest = 90,000 + 1,80,000 + 1,80,000 = ₹4,50,000.** - Instalment = ₹4,50,000 / 5 = **₹90,000 per year** for FY 2023-24 to FY 2027-28.

Step 3 — Current-year interest (FY 2023-24): completion 15 June 2023, so interest for the *whole* FY 2023-24 (₹1,80,000) is **current** interest (the year of completion's interest is never pre-construction).

Step 4 — Total interest before ceiling: current ₹1,80,000 + pre-con instalment ₹90,000 = ₹2,70,000.

Step 5 — Apply the self-occupied ceiling: ₹2,70,000 is **restricted to ₹2,00,000**.

Computation:

Particulars	₹
Annual Value (self-occupied)	Nil
Less: Standard deduction 24(a)	Nil
Less: Interest 24(b): (current 1,80,000 + pre-con 90,000 = 2,70,000), restricted	(2,00,000)
Loss from House Property	**(2,00,000)**

Check: the ₹70,000 excess is **lost**, not carried forward — the ceiling is absolute for a self-occupied house. ✓ *Contrast with Example 3:* there, the identical ₹1,20,000 + ₹66,000 interest flowed in **fully** because the property was **let out** (no ceiling). Same interest arithmetic, opposite outcome — the regime, not the arithmetic, decides.

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6. Computation Format / Presentation

Present *every* house property answer on this template. Examiners award method marks for the ladder even if a number slips.

```
Computation of Income from House Property — Mr./Ms. X, A.Y. 20XX-XX

Step A: Expected Rent (ER)
        = Higher of (Municipal Value, Fair Rent), restricted to Standard Rent

Step B: Actual Rent received/receivable
        = (Rent p.m. × months let)  −  Unrealised rent (if Rule 4 conditions met)

Step C: Gross Annual Value (GAV)
        = Higher of (ER, Actual Rent)          [if no vacancy]
        = Vacancy-adjusted actual rent          [if vacancy pulled AR below ER]

  ─────────────────────────────────────────────
  Gross Annual Value (GAV)                             XXX
  Less: Municipal taxes ACTUALLY PAID by owner        (XX)
  ─────────────────────────────────────────────
  Net Annual Value (NAV)                              XXX
  Less: Standard deduction @ 30% of NAV  [Sec 24(a)]   (XX)
  Less: Interest on borrowed capital     [Sec 24(b)]   (XX)
        = Current-year interest + 1/5 pre-construction
  ─────────────────────────────────────────────
  Income / (Loss) from House Property                 XXX
  ─────────────────────────────────────────────
```

Presentation rules that earn marks: - Always show ER, AR, and GAV as *separate working notes* — don't jump straight to a number. - State the SR cap and the vacancy rule *explicitly* when relevant. - Show pre-construction interest as its own working note (period → total → ÷5). - Label each property; total multiple properties at the end. - For SOP, write "Annual Value — NIL (self-occupied, Sec 23(2))" so the examiner sees you *know* why. - When a house is **part let / part self-occupied by area**, present **two separate columns** and apportion MV, FR, SR, municipal taxes, and interest in the area ratio — then total. - When the assessee owns **3+ houses**, add a one-line note: "*Assessee has opted Houses ___ as self-occupied being the combination that minimises total income; remaining house treated as Deemed Let Out.*" That sentence itself carries marks.

Decision tree — which regime applies?

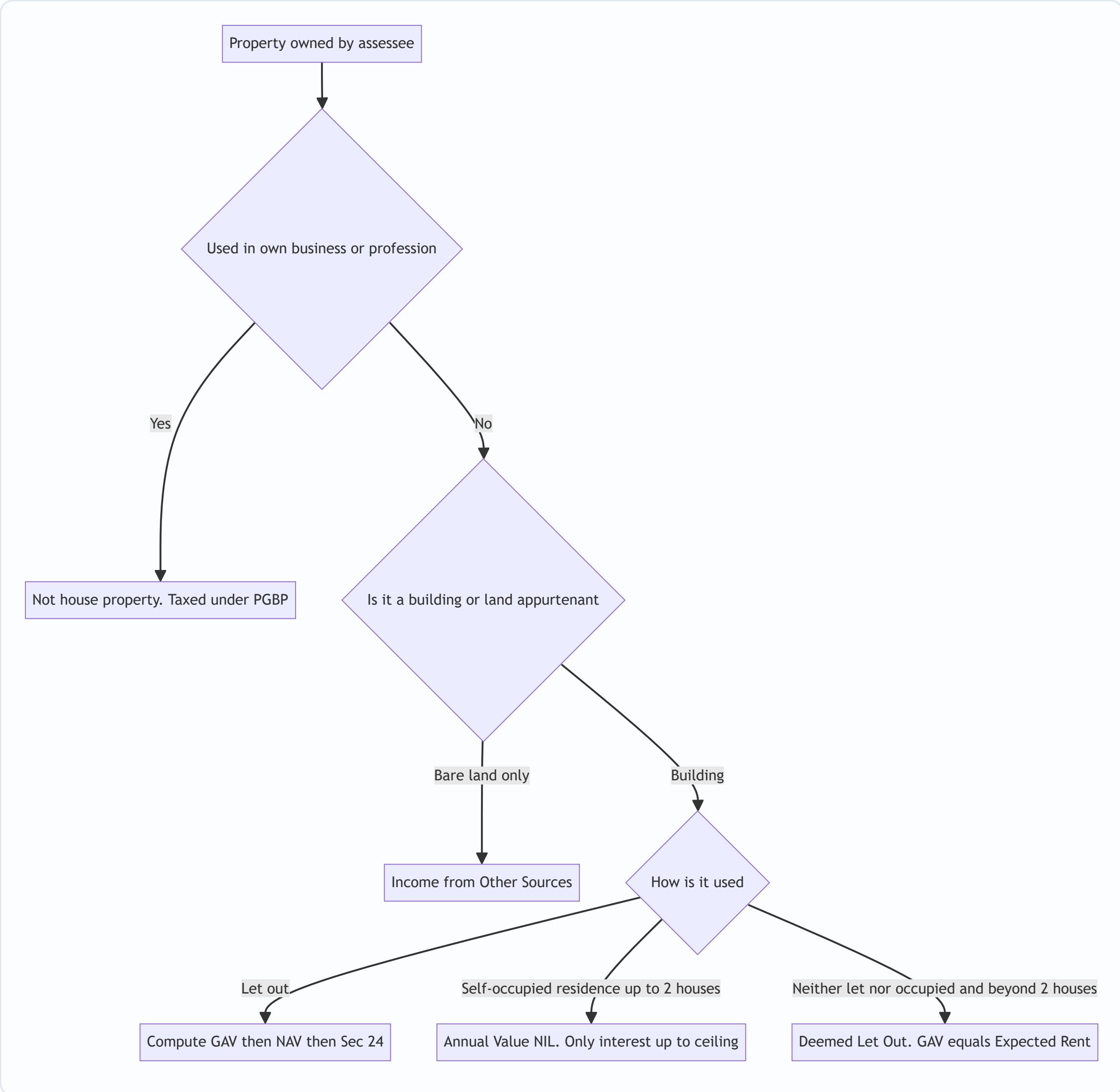
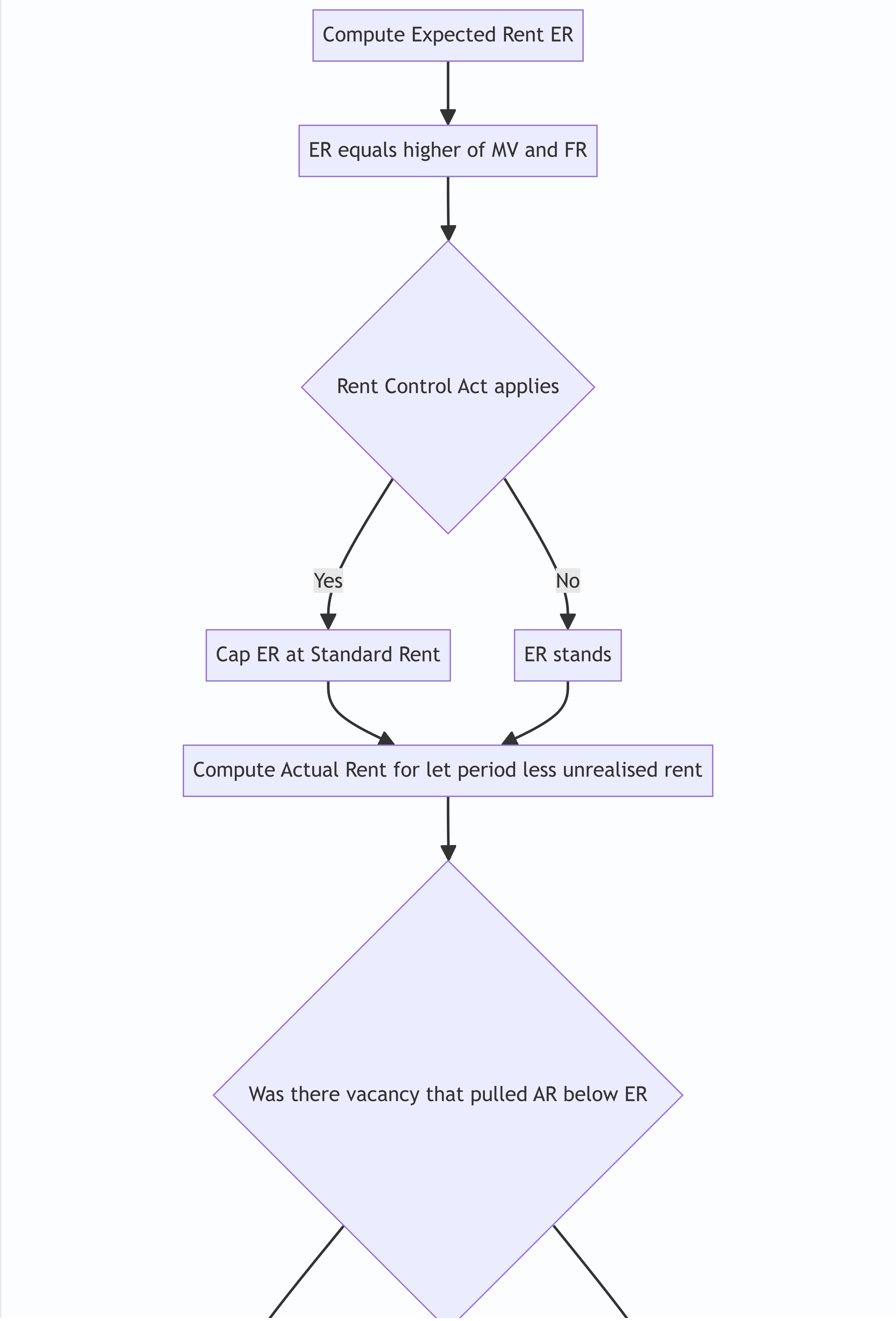


Figure 1 — The B-O-N gate decides entry to the head; use decides the regime.

Flow — computing Gross Annual Value


Compute Expected Rent ER
ER equals higher of MV and FR
Rent Control Act applies
Yes
No
Cap ER at Standard Rent
ER stands
Compute Actual Rent for let period less unrealised rent
Was there vacancy that pulled AR below ER

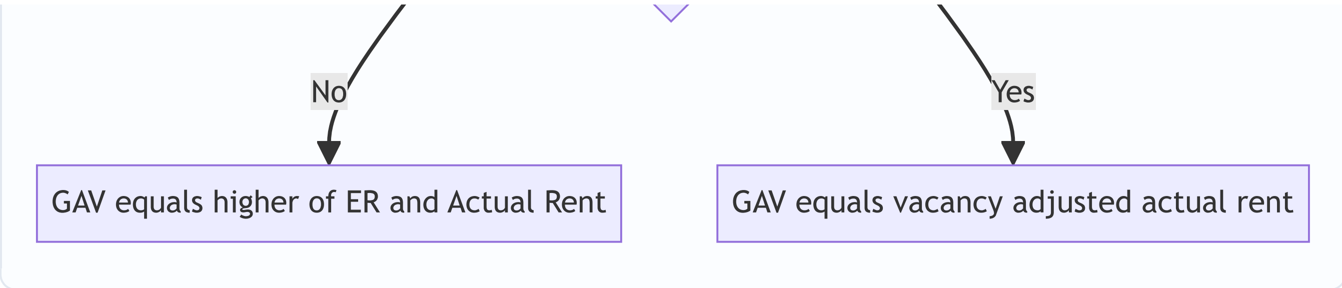


Figure 2 — The GAV algorithm: build ER, compare with AR, then let genuine vacancy pull it down.

Interest under Section 24(b) — which cap and how pre-construction fits

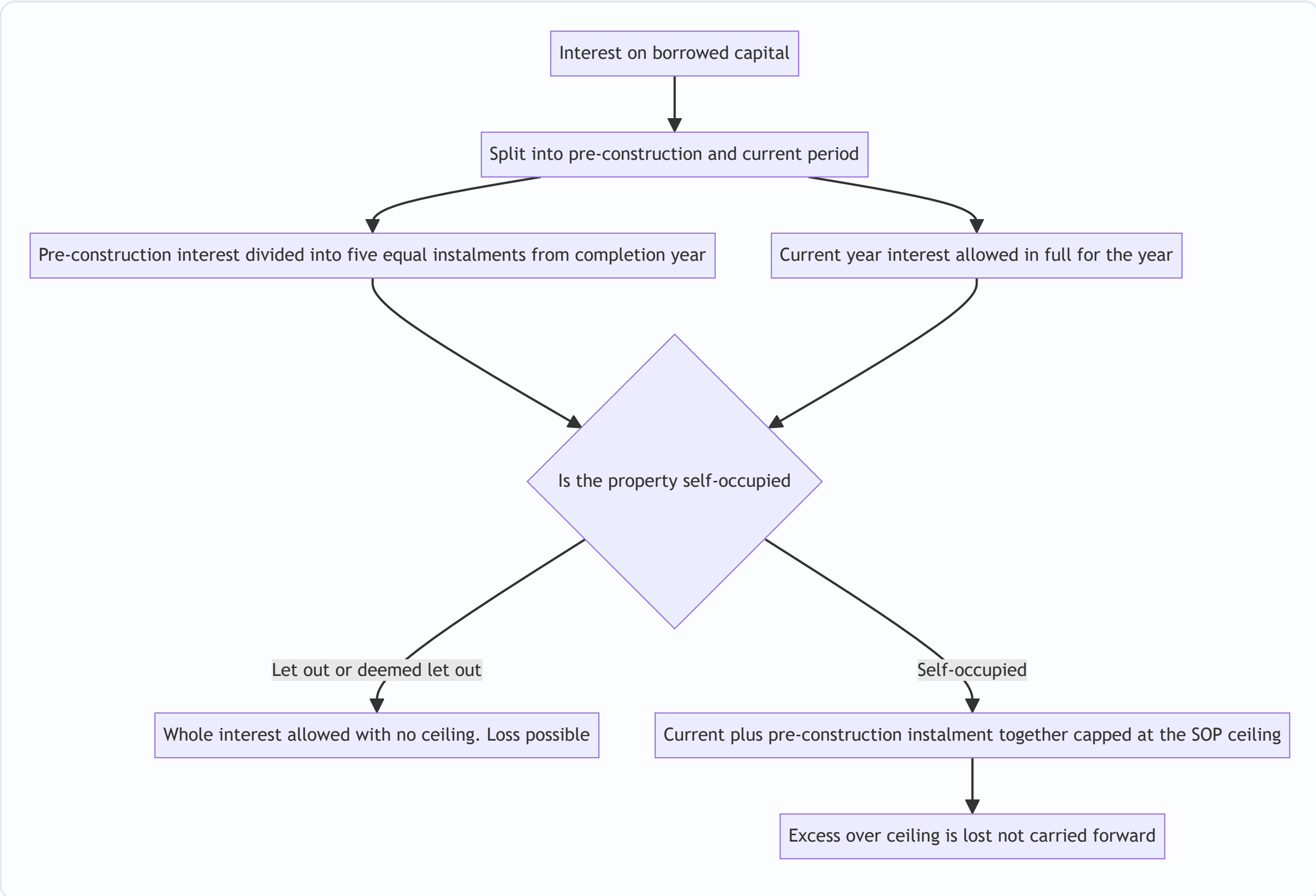


Figure 3 — Interest routing: pre-construction is spread, then the self-occupied ceiling squeezes the total while let-out flows freely.

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7. Connections

- **→ Deemed owner (Sec 27) links to Clubbing of Income:** transferring property to spouse/minor child is caught both here (deemed owner) and in the clubbing provisions — the law plugs the same leak twice. Note the mirror-image exceptions (married daughter; agreement to live apart; adequate consideration) appear in both chapters.
- **→ Set-off & Carry-forward chapter:** the ₹2,00,000 inter-head set-off cap and 8-year carry-forward of house property loss are examined jointly with this head. A capped self-occupied interest loss is the classic

feeder. The *carried-forward* HP loss can thereafter be set off **only against house property income**, not other heads.

- **→ PGBP:** the *dividing line* — building used in own business exits to PGBP; a builder's stock-in-trade flats have a special NIL-for-a-period rule. Composite/inseparable letting can be business income; letting that is *incidental* to a trade (staff quarters, mill shops) can also be PGBP.
- **→ Income from Other Sources:** bare land rent, separable composite-rent amenity charges, and sub-letting profit of a non-owner land here.
- **→ Deductions under Chapter VI-A:** home-loan *principal* repayment is a **Section 80C** deduction (not a house-property deduction) — don't confuse it with the 24(b) *interest*. Additional interest deductions (e.g., 80EE/80EEA for specified affordable-housing loans) sit in Chapter VI-A, not Section 24 — verify availability for your AY.
- **→ Capital Gains:** when the house is sold, gains are taxed under Capital Gains; the *annual value* concept stops and the *sale* concept begins.
- **→ Residential status:** chargeability of a *foreign* property's rent depends on residential status (ROR taxed on global house property income); the computation mechanics are unchanged.
- **→ Alternative tax regime (Sec 115BAC):** under the concessional/default regime, the **self-occupied interest deduction and the set-off of house-property loss against other heads are curtailed** — flag this if a question specifies the regime, and **verify the exact restriction for your AY.**

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8. Traps & Examiner Tricks

1. **Municipal tax — "paid" vs "payable."** Only taxes *actually paid by the owner during the year* are deductible from GAV. Taxes merely *due*, or taxes *paid by the tenant*, get **nothing.** Watch for split payments (Example 3). Arrears of municipal tax paid this year for an earlier year *are* deductible this year.
2. **Interest is "payable," municipal tax is "paid."** Interest under 24(b) is on **accrual** — deductible even if unpaid. Reversing these two is the most common slip.
3. **Standard deduction is 30% of NAV, not of GAV, not of rent.** And it's **flat** — actual repair bills, insurance, ground rent, collection charges are irrelevant *and already inside the 30%.* If the question lists them, they're distractors; ignore them, take 30% of NAV.
4. **Bare land rent is NOT house property.** No building ⇒ Other Sources. A vacant-plot rent, open-parking rent, or swimming-pool rent slipped into a house-property sum is a classic misdirection.
5. **Vacancy vs. unrealised rent are different reductions at different points.** Vacancy adjusts the *GAV* (no tenant existed) *after* the ER-vs-AR comparison; unrealised rent reduces *actual rent* (tenant existed but defaulted, subject to Rule 4) *before* the comparison. Don't merge them.
6. **Self-occupied: 30% standard deduction is NIL and municipal taxes give nothing.** Because NAV is nil. Students reflexively deduct 30% and municipal taxes — there's nothing to take them *from*.
7. **Self-occupied interest ceiling is aggregate across the (up to two) self-occupied houses, not per house** — and interest above the ceiling is *lost*, not carried forward (Examples 2 and 6). Verify current ceiling.
8. **Pre-construction interest instalments start from the completion year, not the borrowing year**, the cut-off is **31 March *before* completion**, and each instalment is 1/5 of the *accumulated* pre-construction interest, added on top of current-year interest. The completion-year's own interest is *current*, never pre-construction.

9. **80C (principal) ≠ 24(b) (interest).** Principal repayment is a Chapter VI-A deduction; don't deduct it under this head. Brokerage/processing fee on the loan is *neither* — not deductible under 24(b) at all.
10. **Deemed Let Out property** (3rd+ house) is taxed on *Expected Rent* even though it earns nothing — students wrongly treat it as self-occupied. And *you choose* which houses are SOP: shield the highest ERs (Example 5).
11. **Composite rent** must be split (separable → building to HP, amenities to Other Sources) or fully diverted (inseparable → whole to Business/Other Sources, building never enters HP). Don't tax amenity charges as house property when separable.
12. **Unrealised/arrears rent recovered later** is taxable *when received*, still with a 30% deduction, *even if the property has since been sold.* Easy to miss the 30%.
13. **Part-year let, part-year self-occupied (one house)** = treated as **let-out for the whole year**; there is **no** NIL benefit for the self-residence months. Only genuine vacancy reduces GAV. Don't split it — contrast with a *physically* divided house, which you *do* apportion by area.
14. **Married daughter / agreement to live apart / adequate consideration** each *defeat* Section 27 deeming — the transferor is **not** deemed owner. Examiners insert one of these to see if you blindly deem.
15. **Co-owners with definite shares are assessed separately** (two SOP benefits, two ceilings); indefinite shares → assessed as an **AOP** (concessions lost). The word "definite" is the switch.
16. **Foreign property of a resident (ROR)** is taxable here — don't drop the "London flat." Non-resident: only Indian-situated property.

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9. First-Principles Recap

Reconstruct the whole head from one sentence: **tax the earning capacity of owned buildings, softened for the home you live in.**

- Because we tax **capacity, not cash**, the base is a *notional* **Annual Value**, benchmarked against market rent (Sec 22, 23) — which is why a below-market "sweetheart" rent still gets taxed on the higher Expected Rent (Example 4).
- Because capacity belongs to the **owner**, ownership is the trigger — and **Sec 27 deems** the real economic owner where paper title lies elsewhere, *unless* the transfer genuinely left the family (married daughter, living-apart settlement, full-value sale).
- Because a building used in **your own business** is already taxed there, it **exits** this head (the "N" of B-O-N); and letting that is merely *incidental* to a trade can likewise be business income.
- Because you shouldn't be taxed on **your own roof**, up to **two** self-occupied homes get **NIL** value — but to *encourage ownership*, home-loan **interest** is still allowed up to a ceiling, deliberately creating a shelter-loss (with the excess simply lost).
- Because the income is **notional**, upkeep is covered by a **flat 30%** deduction (no bill-checking, and it swallows insurance/repairs/collection charges), and only the large, real **financing cost (interest)** is separately allowed. **Two deductions, full stop.**
- Because **vacancy** and **default** are real losses of capacity, the law lets genuine vacancy pull GAV down *after* the ER-vs-AR test, and lets qualifying unrealised rent reduce actual rent *before* it.
- Because **construction takes years** before any income, pre-construction interest isn't lost — it's **spread over 5 years** from completion (with the completion year's own interest treated as current).

- Because an unlimited interest shelter would be abused, the **inter-head set-off of house-property loss is capped at ₹2,00,000**, the balance carried forward 8 years against house-property income only.

If you can derive each rule from "capacity, not cash, with the home spared," you never need to memorise the sections — they *fall out* of the logic.

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10. Quick-Revision Sheet

Sections at a glance

Section	What it does	One-line why
22	Charging section — annual value of owned buildings, not used in own business	Taxes passive rent-earning power
23(1)	How to compute GAV (ER vs AR, vacancy)	Notional capacity vs actual rent
23(2)	Self-occupied → Annual Value NIL (incl. 23(2)(b): home vacant due to employment elsewhere)	Don't tax your own roof
23(4)	More than two houses → extra ones Deemed Let Out	No unlimited tax-free homes
23(5)	Stock-in-trade flats — AV NIL for a specified period	Don't punish unsold builder inventory immediately
24(a)	Standard deduction **30% of NAV**	Flat proxy for all upkeep
24(b)	Interest on borrowed capital (incl. pre-construction in 5 slices)	Real financing cost
25A	Unrealised rent / arrears recovered — taxable, 30% deduction	Realised capacity, finally received
26	Co-owners with definite shares taxed separately	Tax each real owner
27	Deemed owner	Substance over paper title

Limits & rules table (**verify all figures for your AY**)

Item	Rule / Limit	Basis
Standard deduction 24(a)	**30% of NAV**	Flat, regardless of actual spend
Interest 24(b) — **let-out**	**No ceiling** (full interest)	Income exists to absorb it
Interest 24(b) — **self-occupied**, qualifying acquisition/construction loan	Ceiling **₹2,00,000** (aggregate, ≤2 SOP houses)	Limits housing subsidy
Interest 24(b) — **self-occupied**, other cases (e.g., repair loan / conditions not met)	Ceiling **₹30,000**	Lower subsidy for non-acquisition
Pre-construction interest	Accumulate from borrowing to 31 March before completion; deduct in **5 equal annual instalments** from completion year	Spread, match to benefit
Municipal taxes	Deductible only if **actually paid by owner** in the year (year of payment governs)	Cash civic outgo
Number of self-occupied houses	Up to **2** (individual/HUF); extra = Deemed Let Out; assessee chooses which	Real families keep two homes
House property **loss set-off**	Against other heads up to **₹2,00,000** per year	Caps the interest shelter
Carry forward of HP loss	**8 assessment years** (vs HP income only)	Standard loss carry rule
Principal repayment	**Sec 80C** (Chapter VI-A), NOT Sec 24	Different head of relief
Unrealised rent exclusion	Only if **Rule 4** conditions (bona fide, vacated, no other property, legal steps) met	Genuine default, not sweetheart deal

The two-line computation you must be able to write blind

```
GAV → (− municipal tax paid) → NAV → (− 30% of NAV) → (− interest 24b) → Income/Loss
ER = higher(MV, FR) capped at SR;  GAV = higher(ER, AR), reduced for genuine vacancy
```

Memory hooks

- **B-O-N** — Building, Owner, Not-own-business (the three Sec 22 gates).
- **"24 = a + b = 30% + interest"** — the only two deductions.
- **"Tax paid, interest payable"** — municipal tax on payment; interest on accrual.
- **"Pre-con = 5 slices from completion year."**
- **"NIL roof, capped interest, excess lost"** — the self-occupied regime.
- **"Higher for cheap rent, lower for genuine vacancy"** — the two GAV branches (Examples 4 vs 3).

- **"Married daughter escapes; cousin's cheap rent doesn't"** — the two anti-avoidance edges.

> **Final reminder:** the *logic* above is durable; the *numbers* (30%, ₹2,00,000, ₹30,000, 5 instalments, set-off cap, self-occupied count, stock-in-trade period, and the 115BAC restrictions) are amendment-prone. **Confirm every figure against current ICAI material for your Assessment Year before the exam.**

Q&A — Income from House Property

> **AY note:** All rates and monetary limits below reflect the position generally applicable for recent assessment years (e.g., standard deduction 30%, self-occupied interest cap Rs. 2,00,000, Sec 71 set-off cap Rs. 2,00,000). **Always re-verify the exact caps for your applicable AY against current ICAI study material**, especially the interaction with the default new regime under Sec 115BAC where the SOP interest deduction and house-property loss set-off are restricted.

Section A — Concept Check (with answers)

A1. What are the three cumulative conditions in Sec 22 for an income to be taxed under "Income from House Property"? Answer: (i) The property must consist of **buildings or lands appurtenant thereto**; (ii) the assessee must be the **owner** (Sec 27 deemed-owner cases included); (iii) the property must **not be used** by the owner for his own **business or profession** whose profits are taxable. If all three hold, the *annual value* is chargeable — even if no actual rent is received. Vacant land alone (no building) is taxed under "Other Sources," not house property.

A2. Why is house property taxed on "annual value" (a notional earning capacity) rather than actual rent? Answer: Sec 22 taxes the **inherent income-earning potential** of the building, not the cash flow. This prevents avoidance by owners who keep property idle or let it to relatives at nominal rent. Hence Sec 23 builds GAV from *expected rent* (municipal value / fair rent / standard rent) and only substitutes actual rent when it is higher.

A3. Distinguish Gross Annual Value (GAV) and Net Annual Value (NAV). Answer: GAV (Sec 23) is the higher of expected rent and actual rent received/receivable (adjusted for vacancy/unrealised rent). **NAV = GAV − municipal taxes actually paid by the owner during the year.** Deductions under Sec 24 (30% + interest) are applied on NAV, not GAV.

A4. State the two deductions allowable under Sec 24 and note that no other expense is deductible. Answer: (a) **Sec 24(a):** flat **30% of NAV** — a standard deduction covering repairs, collection, insurance etc. (allowed even if actual repairs are nil or higher). (b) **Sec 24(b): interest on borrowed capital** for acquisition/construction/repair/renewal. Actual repairs, ground rent, and collection charges are **not** separately deductible — the 30% is exhaustive.

A5. What is "pre-construction interest" and how is it deducted? Answer: Interest for the period **from the date of borrowing to 31 March preceding the year in which construction/acquisition is completed**. It is aggregated and deducted in **five equal annual instalments** starting from the year of completion, under Sec 24(b), **in addition** to current-year interest — subject to the overall Rs. 2,00,000 cap for a self-occupied property.

A6. Under Sec 25A, how is unrealised rent later recovered and arrears of rent taxed? Answer: Amounts received as **arrears of rent or recovered unrealised rent** are taxable in the year of receipt under Sec 25A, **even if the assessee no longer owns** the property. A **30% standard deduction** is allowed on such amount; no other deduction.

A7. When does Sec 27 deem a person to be "owner" though not the legal titleholder? Answer: Key deemed owners: (i) transfer to **spouse** (not under agreement to live apart) or to a **minor child** (not married daughter) without adequate consideration; (ii) **holder of an impartible estate**; (iii) **member of a co-operative society/company** to whom a building is allotted; (iv) person in possession under **Sec 53A of Transfer of Property Act** (part performance); (v) lessee under a lease **exceeding 12 years**.

A8. How is co-owned property (Sec 26) assessed? Answer: Where shares are **definite and ascertainable**, each co-owner is taxed on **his share** of the income, not as an AOP. For a self-occupied share, each co-owner separately gets the SOP benefit (nil GAV) and his own interest cap.

Section B — Graded Computational Problems (full working)

B1 (Easy) — Let-out property, single tenant, no complications

Municipal value Rs. 1,20,000; Fair rent Rs. 1,40,000; Actual rent Rs. 15,000 p.m.; Municipal taxes paid Rs. 12,000; Interest on loan Rs. 40,000. Compute income.

Solution (Sec 23/24): | Step | Rs. | |---|---| | Municipal value | 1,20,000 | | Fair rent | 1,40,000 | | Expected rent = higher of MV, FR (no standard rent) | 1,40,000 | | Actual rent (15,000 × 12) | 1,80,000 | | **GAV = higher of expected rent & actual rent | 1,80,000 |** | Less: Municipal taxes paid | (12,000) | | **NAV | 1,68,000 |** | Less: Sec 24(a) 30% of NAV | (50,400) | | Less: Sec 24(b) interest | (40,000) | | **Income from house property | 77,600 |**

Self-verify: 1,68,000 − 50,400 − 40,000 = 77,600. ✓

B2 (Moderate) — Standard rent + vacancy

Municipal value Rs. 2,00,000; Fair rent Rs. 2,20,000; Standard rent Rs. 1,90,000; Actual rent Rs. 20,000 p.m.; property vacant for 2 months; municipal taxes Rs. 20,000 paid by owner; interest Rs. 1,50,000.

Solution: - Expected rent = higher of MV (2,00,000) and FR (2,20,000), **capped at standard rent 1,90,000 → 1,90,000.** - Actual rent received = 20,000 × 10 (vacant 2 months) = **2,00,000.** - Rent for full year would be 20,000 × 12 = 2,40,000. Because actual rent (2,40,000) *would have* exceeded expected rent but for vacancy, apply Sec 23(1)(c): **GAV = actual rent received = 2,00,000** (vacancy allowance applies since actual-would-exceed-expected).

	Rs.
GAV	2,00,000
Less: Municipal taxes	(20,000)
NAV	**1,80,000**
Less: 30% of NAV	(54,000)
Less: Interest Sec 24(b)	(1,50,000)
Income (Loss)	**(24,000)**

Self-verify: 1,80,000 − 54,000 − 1,50,000 = −24,000 (loss). ✓ This loss is set off against other heads up to Rs. 2,00,000 (Sec 71).

B3 (Exam-hard) — SOP + LOP, pre-construction interest, deemed let-out logic

Mr. A owns two houses. **House 1 (self-occupied):** loan taken 1 July 2019 Rs. 20,00,000 @ 10% p.a.; construction completed 31 March 2023; used for own residence from 1 April 2023. **House 2 (let-out):** actual rent Rs. 25,000 p.m., municipal value Rs. 2,80,000, fair rent Rs. 3,00,000, municipal taxes paid Rs. 30,000, current interest Rs. 1,80,000. Compute income for the relevant PY (assume completion enables full-year benefit).

House 1 — pre-construction interest (Sec 24(b)): - Pre-construction period: 1 July 2019 → 31 March 2022 (year *before* completion year 2022-23). - Interest p.a. = 20,00,000 × 10% = 2,00,000. Period = 1 Jul 2019 to 31 Mar 2022 = 2 years 9 months. - 2019-20 (Jul–Mar, 9 mo): 1,50,000; 2020-21: 2,00,000; 2021-22: 2,00,000. Total = **5,50,000.** - Deduct in 5 equal instalments = 5,50,000 / 5 = **1,10,000 per year.** - Current-year interest (year of occupation) = 2,00,000. - Total interest claimed for House 1 = 1,10,000 + 2,00,000 = 3,10,000, **capped at Rs. 2,00,000** (self-occupied).

House 1 (SOP)	Rs.
GAV (self-occupied)	Nil
Less: Interest (capped)	(2,00,000)
Income House 1	**(2,00,000)**

House 2 (LOP): | | Rs. | |---|---| | Expected rent (higher of MV 2,80,000 / FR 3,00,000) | 3,00,000 | | Actual rent (25,000 × 12) | 3,00,000 | | GAV (higher) | 3,00,000 | | Less: Municipal taxes | (30,000) | | **NAV** | **2,70,000** | | Less: 30% | (81,000) | | Less: Interest | (1,80,000) | | **Income House 2** | **9,000** |

Aggregate income from house property = (2,00,000) + 9,000 = (1,91,000) loss. Set-off against other heads limited to **Rs. 2,00,000** under Sec 71 — full 1,91,000 is within cap, so entire loss set off; nil carried forward.

Self-verify: House 2: 2,70,000 − 81,000 − 1,80,000 = 9,000 ✓. Aggregate −2,00,000 + 9,000 = −1,91,000 ✓.

Section C — Past-Paper-Style Full Questions

C1. *Mr. Rao owns a house let out at Rs. 18,000 p.m. Municipal value Rs. 2,00,000, fair rent Rs. 2,10,000, standard rent Rs. 1,95,000. He could not realise rent for 2 months (conditions of Rule 4 satisfied). Municipal taxes Rs. 22,000, of which Rs. 8,000 paid by tenant. Interest on loan Rs. 90,000. Compute income. (Cite sections.)*

Model answer: - Expected rent = higher of MV (2,00,000)/FR (2,10,000) restricted to standard rent → **1,95,000** (Sec 23(1)(a)). - Actual rent receivable = 18,000 × 12 = 2,16,000; **less unrealised rent** (2 months, Rule 4 satisfied) 36,000 = 1,80,000 (Sec 23(1)(b)/(c)). - GAV = higher of expected rent (1,95,000) and actual rent after unrealised deduction (1,80,000) = **1,95,000.** - Municipal taxes deductible = **only those paid by owner** = 22,000 − 8,000 = **14,000** (Sec 23).

	Rs.
GAV	1,95,000
Less: Municipal taxes (owner)	(14,000)
NAV	**1,81,000**
Less: 30% (Sec 24a)	(54,300)
Less: Interest (Sec 24b)	(90,000)
Income from house property	**36,700**

Self-verify: 1,81,000 − 54,300 − 90,000 = 36,700 ✓.

C2. *Mrs. Sen transferred a house to her minor son without consideration; the house is let out (net income Rs. 1,20,000). She also received Rs. 60,000 arrears of rent in the year for a property she sold two years ago. Explain the tax treatment.*

Model answer: - **Deemed ownership (Sec 27):** transfer to a minor child without adequate consideration makes Mrs. Sen the deemed owner; the Rs. 1,20,000 is taxable **in her hands** under house property (not clubbed under Sec 64 — Sec 27 overrides). - **Arrears of rent (Sec 25A):** Rs. 60,000 taxable in the year of receipt though she no longer owns the property; **30% standard deduction** = 18,000; taxable arrears = **42,000.** - Total house property income = 1,20,000 + 42,000 = **1,62,000.**

Section D — MCQs / Case Scenarios

D1. Standard deduction under Sec 24(a) is computed on — A) GAV B) NAV C) Municipal value D) Actual rent **Answer: B (NAV).** *30% is always on Net Annual Value, after municipal taxes.*

D2. For a self-occupied property with a housing loan taken in FY 2015-16, the maximum interest deduction (loan for acquisition, construction completed within 5 years) is — A) Rs. 30,000 B) Rs. 1,50,000 C) Rs. 2,00,000 D) No limit **Answer: C (Rs. 2,00,000).** *Sec 24(b) cap; falls to Rs. 30,000 if completion delayed beyond 5 years or loan for repair.*

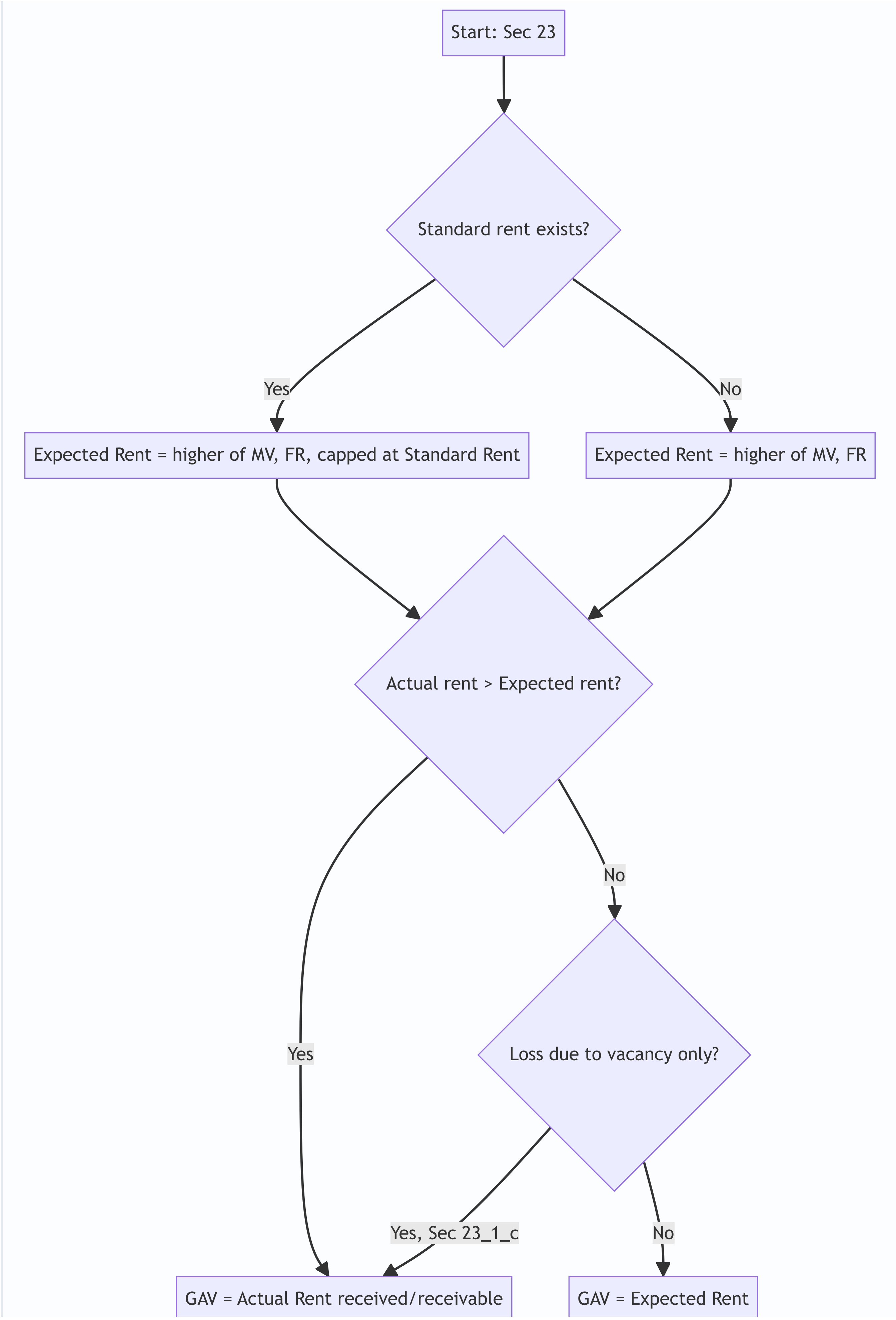
D3. Municipal taxes are deductible from GAV only if — A) Due during the year B) Paid by the owner during the year C) Paid by tenant D) Assessed **Answer: B.** *Deduction on payment basis and only the owner's payment (Sec 23).*

D4. A property let out for 8 months and self-occupied for 4 months is treated as — A) SOP for 4 months B) Let-out for whole year with proportionate GAV C) Deemed let-out D) Exempt **Answer: B.** *A single house partly let/partly SOP in the same year is treated as let-out; expected rent for full year, actual rent for let period.*

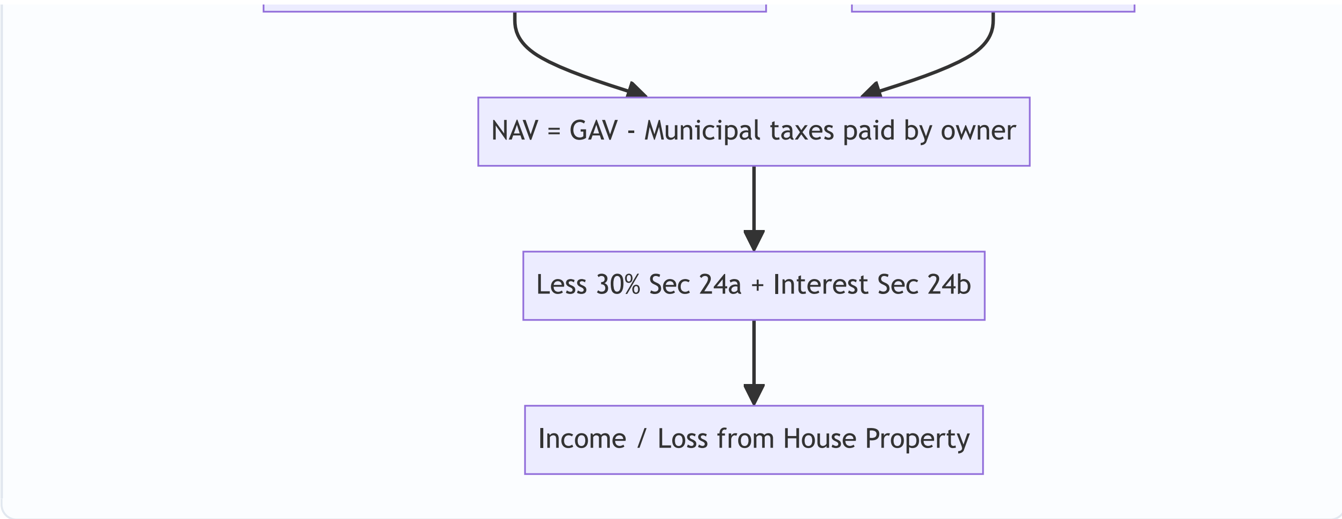
D5. Loss under house property can be set off against other heads in the same year up to — A) Rs. 1,50,000 B) Rs. 2,00,000 C) Unlimited D) Nil **Answer: B (Rs. 2,00,000).** *Sec 71 cap; balance carried forward 8 years (set off only vs house property income).*

D6. Which is NOT taxable under house property? A) Rent of building B) Composite letting inseparable from plant C) Deemed-owner's let-out flat D) Arrears of rent **Answer: B.** *Inseparable composite letting → PGBP/Other Sources, not house property.*

Mermaid — GAV Determination Flow



Start: Sec 23
Standard rent exists?
Yes
No
Expected Rent = higher of MV, FR, capped at Standard Rent
Expected Rent = higher of MV, FR
Actual rent > Expected rent?
Yes
No
Loss due to vacancy only?
Yes, Sec 23_1_c
No
GAV = Actual Rent received/receivable
GAV = Expected Rent



Quick-Revision Ready-Reckoner

- **Sec 22:** charge on annual value of building + appurtenant land; owner; not used for own business.
- **Sec 23 GAV:** higher of expected rent (MV/FR, ≤ standard rent) and actual rent; vacancy relief Sec 23(1)(c).
- **NAV** = GAV − municipal taxes **paid by owner**.
- **Sec 24(a):** 30% of NAV (flat). **Sec 24(b):** interest; SOP cap **Rs. 2,00,000** (Rs. 30,000 if loan pre-1999-type conditions / delayed completion / repair loan). LOP interest: no cap.
- **Pre-construction interest:** borrowing date → 31 March before completion year; 1/5th for 5 years.
- **Sec 25A:** arrears/unrealised rent recovered taxable on receipt, less 30%.
- **Sec 26:** co-owners with definite shares taxed separately.
- **Sec 27:** deemed owners (spouse/minor transfer, impartible estate, co-op allottee, Sec 53A possession, lease > 12 yrs).
- **Sec 71:** house-property loss set-off vs other heads capped **Rs. 2,00,000**; carry forward 8 yrs (Sec 71B).
- **New regime (Sec 115BAC):** SOP interest not deductible; HP loss not allowed to be set off against other heads — **verify for your AY.**

Chapter 05 — Profits & Gains of Business or Profession (PGBP)

> **Rates & limits caveat:** Tax law changes every Finance Act. This chapter teaches the *structure and logic* of PGBP so you can reason from first principles. Always **verify the exact rates, limits, thresholds and the applicable Assessment Year in current ICAI material for your attempt.** Where a number is given, treat it as an illustrative anchor for the concept, not gospel.

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1. The Problem

Suppose Ramesh runs a garment shop. Over the year his till records ₹80,00,000 of sales. Is Ramesh's *income* ₹80,00,000?

Obviously not. To earn that ₹80 lakh he had to *buy* the garments (₹52 lakh), pay shop rent (₹6 lakh), pay two salesmen (₹4.8 lakh), pay electricity, GST filing fees, the interest on a business loan, and the depreciation on his billing computer and shelves. The ₹80 lakh is **turnover**, not income. What the tax system wants to tax is the *net gain* left over after the costs incurred to produce that turnover.

Now contrast this with Ramesh's neighbour, a salaried manager. The manager's employer pays him ₹80 lakh, and the manager did *not* have to buy inventory or hire staff to earn it. For salary, the gross receipt is very close to the income. For business, the gross receipt is wildly different from income.

This is the core problem PGBP solves. **Business income is fundamentally a *net* concept — a residue after subtracting the expenses genuinely incurred to earn it.** A head of income built for salary (gross-minus-a-few-standard-deductions) cannot handle a business, where the deductions *are* the whole story. Two businesses with identical ₹80 lakh turnover can have profits of ₹15 lakh and ₹2 lakh depending on how efficiently they spend. Tax must follow the profit, not the turnover.

But "let the businessman deduct his expenses" opens three dangerous doors:

1. **The disguise door.** If any expense reduces tax, every rupee the owner spends on himself — his personal car, his son's wedding, a "consultancy fee" to his wife — will be dressed up as a business expense.
2. **The timing door.** A business keeps books on the *accrual* (mercantile) basis: it claims an expense the moment it becomes *due*, even if not yet paid. So a firm could book a ₹10 lakh interest expense to a bank on 31 March, take the deduction this year, and then never actually pay — or pay years later. The deduction and the cash outflow drift apart.
3. **The capital-vs-revenue door.** If Ramesh buys a new delivery van for ₹10 lakh, is that a ₹10 lakh expense this year? The van will earn income for the next eight years. Charging the whole cost to one year would understate this year's profit and overstate the next seven years'.

There is a fourth, subtler door too — **the reversal door**. A business gets a deduction for a liability (say, a supplier bill or a bad debt), reducing its tax. Years later the supplier *waives* the bill, or the "bad" debt is *recovered*. The money the assessee saved on tax must be clawed back, or the deduction becomes a permanent, unearned windfall. Section 41 is the lock on this fourth door (see 4.9).

PGBP is the elaborate machinery the Income-tax Act, 1961 builds to say **"yes, deduct your genuine business costs" while slamming each of those doors shut.** Every rule you are about to learn — "wholly and exclusively", Section 40A, Section 43B, depreciation, blocks of assets, Section 41 — is a lock on one of these doors.

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2. The Core Idea

> **Business income = Revenue earned, minus revenue expenses genuinely and exclusively incurred to earn it, computed on the accounting basis the business regularly follows — but subject to statutory overrides that stop abuse of the "deduct my costs" privilege.**

Three ideas are fused here:

- **Net, not gross.** The taxable figure is *profit*, i.e. income after allowable expenditure. (Sections 30–37 tell you what is allowable.)
- **Nexus.** Only expenditure *connected to the business* — laid out "wholly and exclusively" for it — is deductible. Personal and capital expenditure are filtered out.
- **Statutory override of accounting.** The Act starts from the profit shown in the assessee's own books (usually accrual-based), then *adds back* disallowed items and *deducts* items the books missed or treated differently. **Book profit ≠ taxable profit.** The bridge between them is the heart of every PGBP exam question.

The practical consequence: you almost never compute PGBP from scratch by listing every receipt and payment. Instead you **start from the Net Profit as per the Profit & Loss Account** and *reconcile* it to taxable profit by adjusting only the items where tax law disagrees with accounting. This is the single most important exam technique in this chapter.

A structural warning about direction. Every adjustment in PGBP is either an **add-back** (something wrongly reduced book profit) or a **deduction** (something wrongly inflated book profit, or a genuine allowance the books omitted). The commonest careless error in the exam is getting the *direction* wrong — adding what should be subtracted. Before writing any adjustment, silently ask: "*Did this item make the P&L profit too low or too high?*" If too low (an over-claimed or disallowed expense), add it back. If too high (income of another head parked here, or an allowance not yet taken), deduct it. Master the direction and the arithmetic follows.

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3. Why It's Built This Way

Why a separate head at all? Because the *measurement rule* for business is uniquely "net of costs incurred". Salary is taxed near-gross; house property uses a notional standard deduction; capital gains net sale price against cost of one asset. Only business/profession needs a full expense-matching engine, running-account of assets, and anti-abuse machinery. It earns its own head (Sections 28–44DB) because no other head's logic fits.

Why "business" *and* "profession"? A *business* is trade/commerce/manufacture with a profit motive (Ramesh's shop). A *profession* is the application of intellectual or manual skill (a CA, doctor, lawyer, architect). *Vocation* (e.g. a religious teacher living on offerings) is treated alongside. The Act lumps them under one head [Sec 28] because the *measurement principle is identical* — tax the net gain — even though the activities differ. The distinction matters later only for a few specifics (e.g. which presumptive scheme applies, whether 44ADA vs 44AD, or the books-of-account thresholds under 44AA which are stricter for professionals).

Why start from book profit and adjust? Because forcing every business to maintain a *second* set of "tax books" would be absurd and unverifiable. The assessee already prepares audited financial statements under accounting standards. Tax law respects those books as the *starting point* (Sec 145 — income computed per the method regularly employed, cash or mercantile) and then intervenes *only where policy demands*. This is efficient (one set of books) and auditable (the reconciliation is transparent).

Why the anti-abuse overrides (40, 40A, 43B)? Because the "deduct your costs" rule, left unpoliced, is the most gameable rule in the entire Act. The overrides are surgical: they don't deny genuine expense, they deny *specific abuse patterns* — payments in cash (untraceable), payments to relatives at inflated rates (profit-shifting), deductions claimed on accrual but never actually paid to the government (timing games), and payments where tax wasn't deducted at source (breaking the TDS chain).

Why depreciation instead of full write-off? Because of the *matching principle* dressed in policy clothes. A capital asset earns income over many years; its cost must be spread over those years so each year's profit reflects the asset's contribution *that* year. Depreciation is how the cost of a long-lived asset is rationed out as an annual expense.

Why is depreciation *compulsory*, not optional? Historically assessees could *skip* depreciation in loss years to keep more loss to carry forward and set off against the higher-taxed future income. The law now *mandates* depreciation (Explanation 5 to Sec 32) — it is deemed allowed whether or not claimed — precisely to stop this timing arbitrage. You cannot cherry-pick the year in which an asset's cost helps you most. This is the same anti-manipulation instinct that drives 43B and the 44AD lock-in: the Act repeatedly refuses to let the assessee choose *when* a genuine item bites.

Why claw back reversed deductions (Sec 41)? Because a deduction is a *promise about reality* — "I owe this, I lost this." If reality later contradicts the promise (the liability is waived, the loss is recouped), the earlier tax saving was, in hindsight, unearned. Section 41 exists so the benefit is *symmetric*: what the deduction gave, the reversal takes back. Without it, a taxpayer could deliberately book liabilities, take deductions, and quietly let them lapse.

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4. Full Technical Content

4.1 The charging section — what is taxable [Sec 28]

Section 28 lists what is chargeable under PGBP. The intuition: **anything arising *from* carrying on a business or profession is business income.** Key inclusions:

- Profits and gains of any business/profession carried on during the year.
- Any compensation on termination/modification of a business contract or managing agency.
- Income of trade/professional associations from specific services to members.
- Export incentives (duty drawback, etc.).
- Value of any **benefit or perquisite** (whether convertible into money or not) arising from business or the exercise of a profession — *e.g. a doctor gifted a car by a pharma company*. (This closes the "take it in kind, not cash" dodge.)
- Any sum received under a **Keyman insurance policy** (including bonus).
- Interest, salary, bonus, commission or remuneration received by a **partner from a firm** (to the extent allowed to the firm as deduction).

- Any sum received (or receivable) for **not carrying out any activity** in relation to a business, or **not sharing any know-how, patent, trademark, etc.** — i.e. *non-compete fees*. (Once a capital receipt escaping tax; now expressly charged.)
- Sum received (or receivable) in cash or kind on account of any capital asset (other than land/goodwill/financial instrument) whose expenditure was fully allowed under Sec 35AD.

The threshold questions Sec 28 forces you to answer first:

1. *Is there a business at all?* An isolated, one-off transaction may be a capital transaction (taxed under Capital Gains), not business income — unless it bears the "badges of trade" (frequency, profit motive, nature of the asset, dealing-like conduct). A single purchase-and-resale of a plot may be capital gain; systematic land dealing is business.
2. *Is the receipt revenue or capital?* Compensation for loss of a *source of income* (e.g. sterilisation of a profit-making apparatus, cancellation of an agency that was the assessee's entire business) tends to be capital; compensation for loss of *stock-in-trade or ordinary trading contracts* is revenue. This capital-vs-revenue *receipt* distinction mirrors the capital-vs-revenue *expenditure* distinction — the two run through the whole chapter.
3. *Did the income arise during the business, or after it ceased?* Post-cessation recoveries are caught by Sec 176(3A)/41, not Sec 28.

> **Memory hook — Sec *28* = the "*2 activities, 8* streams" gate.** It's the *turnstile*: if income didn't come *through* the business turnstile, it belongs to another head.

Speculation business [Explanation 2 to Sec 28]. A *speculative transaction* is one settled otherwise than by actual delivery (e.g. squared-off commodity/share contracts). Where speculative transactions constitute a business, it is treated as a **distinct and separate business**. *Why segregate it?* So its losses can be ring-fenced — a **speculation loss can be set off only against speculation profit** (carried forward 4 years). This prevents a real business from absorbing paper-trading losses. (Derivatives on a recognised stock exchange and certain hedging transactions are carved *out* of "speculative" — verify the current exclusions.)

4.2 Income computed under other sections / the "deemed income" catch [Sec 29]

Section 29 says PGBP income is computed *in accordance with* Sections 30 to 43D. So Sec 28 opens the head; Sec 29 points to the rulebook (30–43D) for *how* to compute it. Crucially, this rulebook includes the *deeming* sections (41, 43B, 40, 40A) — so "computed in accordance with 30–43D" means computed *after* every add-back and clawback those sections mandate.

4.3 The general scheme of deductions [Sec 30–37]

Think of Sections 30–37 as a funnel that gets **wider** as you go:

Section	Deduction	The "why"
30	Rent, rates, taxes, repairs & insurance of **buildings** used for business	Premises are a running cost of trading; carve them out explicitly.
31	Repairs & insurance of **plant, machinery, furniture**	Same logic for equipment. *Only repairs* — not replacement (that's capital → depreciation).
32	**Depreciation** on tangible & intangible assets (block system)	Spread capital cost over useful life (see 4.6).
35	**Scientific research** expenditure (often weighted deduction)	Policy *incentive* — encourage R&D by allowing more than ₹1 spent.
35D	Amortisation of **preliminary expenses**	Startup/pre-commencement costs benefit many years; spread them (e.g. over 5 years).
35DDA	Amortisation of **VRS (voluntary retirement) payments** over 5 years	A lumpy one-time payment benefits future years of lower wage cost; spread it.
36	A **specified list** of deductions (insurance premia, employer's PF/gratuity contributions, bad debts written off, interest on borrowed capital, employer's contribution to recognised funds, etc.)	Named, common business costs given certainty.
37(1)	**The residuary / general deduction**	The catch-all safety net (below).
37(2B)	**Advertisement in a political party's publication** — expressly disallowed	Plug a specific route of disguised political funding.

A key ordering rule — specific overrides general. Sections 30–36 are *specific*; Section 37 is *residuary*. If an item is *dealt with* by a specific section (even if the specific section then *restricts or disallows* it), you cannot fall back on 37 to rescue it. Example: repairs to a building are governed by Sec 30; a *capital* renovation is not "repairs", so it is denied under 30 — and you *cannot* re-route it through 37 because 37 excludes capital expenditure too. The specific/general hierarchy is a favourite trap.

Section 30 & 31 — the "repairs" fault line

Both sections allow **repairs but not renewal/replacement**. The exam-critical distinction:

- **Current repairs** (patching a roof, servicing a machine) = revenue = deductible.
- **Replacement / substantial improvement** (a new roof, replacing an entire machine, an enduring improvement) = capital = *not* deductible under 30/31; goes into the depreciation block instead.
- A tenant carrying out repairs (as opposed to the owner) can claim even *capital* repairs to a building he does not own under a specific limb — but a *structural* addition by a tenant may be treated as a deemed building he owns (Explanation 1 to Sec 32) and depreciated. Watch the owner-vs-tenant wrinkle.

Section 36 — the named list you must know cold

The most examined limbs of Sec 36(1):

- **(i) Insurance** of stocks/stores against risk of damage/destruction; insurance on the life/health of employees; cattle insurance for certain federal societies.
- **(ib) Health insurance of employees** paid by any mode *other than cash*.
- **(ii) Bonus or commission** to employees — allowed if it would not otherwise have been payable as profit/dividend (i.e. not a disguised dividend). Also subject to **43B** (actual payment).
- **(iii) Interest on borrowed capital** used for business — but interest on capital borrowed to *acquire an asset* until the asset is *first put to use* must be **capitalised** (proviso), not expensed.
- **(iv) Employer's contribution** to a recognised provident fund / approved superannuation fund; **(iva)** contribution to a notified pension scheme (NPS) within limits.
- **(v) Employer's contribution** to an approved gratuity fund.
- **(va)** ***Employee's contribution to PF/ESI etc. — deductible only if credited to the employee's account in the relevant fund on or before the due date under the respective Act*** (the PF/ESI Act), *not* the income-tax return due date. This is a razor-sharp distinction (see below).
- **(vii) Bad debts** *actually written off* in the books — provided the debt was earlier taken into income (nexus). You cannot deduct a mere *provision* for doubtful debts; it must be *written off*.
- **(viia) Provision for bad debts** — a *special* concession available only to banks/certain financial institutions, up to a % of total income and rural advances. General businesses do **not** get this.

> **The employer-vs-employee PF trap — memorise this cold.** *Employer's* contribution [36(1)(iv)/(v)] is governed by **Sec 43B** — allowed if paid by the *income-tax return due date* under Sec 139(1). *Employee's* contribution recovered from salary [36(1)(va)] is governed by the **due date under the PF/ESI Act** (e.g. 15th of next month) — and if the employer deposits it even one day late, it is **disallowed permanently** (it is *not* rescued by paying before the ITR due date). The Supreme Court in **Checkmate Services** settled this: the two contributions run on two different clocks. Examiners love a question mixing a late employee-share deposit (disallowed) with a late employer-share deposit paid before ITR filing (allowed).

Section 37(1) — the general (residuary) deduction. *Any* expenditure (not being 30–36, not capital, not personal) laid out **wholly and exclusively** for the purposes of the business/profession is allowed. The conditions, each a lock:

1. **Not covered by 30–36** — 37 is residuary; specific sections take priority.
2. **Not capital in nature** — capital goes through depreciation, not straight deduction.
3. **Not personal expenditure** — the disguise door.
4. **Wholly & exclusively for the business** — the nexus test.
5. (Explanation 1) **Not incurred for any purpose which is an offence or prohibited by law** — e.g. bribes, protection money, penalties/fines for law-breaking are *never* deductible. (Explanation 3 extends this to expenditure that is an offence under *foreign* law or that provides a benefit/perquisite in violation of any law — e.g. freebies to doctors banned by the Medical Council regulations.)
6. (Explanation 2) **CSR expenditure** (Companies Act §135 mandated) is expressly deemed *not* to be for the purposes of business — so it is **not a Sec 37 deduction** (though a slice may qualify separately under Chapter VI-A, e.g. 80G).

> **The "wholly & exclusively" logic — read carefully.** It does **not** mean "necessarily" or "reasonably". The businessman is the best judge of what his business needs; the taxman does not sit in the manager's chair. The test is only: *was the whole of this outlay directed to business purposes, with no personal element?* A lavish but genuine business lunch is allowed; a family holiday billed to the firm is not. "Wholly" = the *quantum* is all for business; "exclusively" = the *purpose* is only business. (Contrast Sec 40A(2), which *does* import a reasonableness test — but only for *related-party* payments.)
>
> **Distinguish penalty from compensation.** A payment for *breach of law* (a fine for overloading a truck, a penalty for selling adulterated goods) is disallowed. But a payment that is *compensatory* — liquidated damages for late delivery, interest for delayed *commercial* payment, a payment to settle a purely contractual dispute — is a normal business cost and *is* allowed. The examiner tests whether you can tell a *punitive* levy from a *compensatory* one.
>
> **Memory hook — Sec *37* = "3 nots + 1 test = 7 letters of W-H-O-L-L-Y".** Not-specific, not-capital, not-personal; then *wholly & exclusively*.

4.4 Disallowances — the anti-abuse locks [Sec 40, 40A, 43B]

Even a genuine, wholly-and-exclusively expense can be *disallowed* if it trips an anti-abuse rule. These sit *on top* of 30–37.

Section 40 — disallowances for specific defaults (mainly TDS and specific payees).

- **40(a)(i)/(ia): TDS default.** If tax was deductible at source on a payment (interest, commission, rent, professional fees, payment to contractor, or payments to non-residents) and the assessee *failed to deduct or deposit* it, the expense is disallowed — **100% for payments to non-residents [40(a)(i)]; 30% for specified resident payments [40(a)(ia)]**. *Why:* the deduction is the government's *lever* to enforce TDS. Break the TDS chain and you lose the deduction (restored in the year TDS is finally paid). It makes the payer the tax system's enforcement agent. *Relief:* if the payee has himself paid the tax and filed his return (a certificate is furnished), the payer is deemed to have deducted — no disallowance.
- **40(a)(ii): income-tax itself** (and any cess/surcharge on it) is not deductible. *Why:* tax is an *appropriation of profit*, not a cost of earning it — allowing it would be circular. Note: this covers *Indian* income-tax; certain *foreign* taxes may be treated differently — check the specific provision.
- **40(a)(iii): salary paid *outside India* or to a non-resident** without TDS is disallowed.
- **40(a)(iib): certain state levies** (royalty, licence fee, etc.) exclusively levied on a State Government undertaking by the State — disallowed, to stop states siphoning profit out of PSUs pre-tax.
- **40(b): excess partner remuneration/interest in a firm.** Salary/interest paid by a firm to its partners is deductible only within statutory ceilings (interest ≤ 12% p.a. simple; remuneration within a slab of book profit, and only to *working* partners, only if *authorised by and quantified in the partnership deed*). *Why:* partners *are* the firm; without a cap they'd convert taxable firm profit into (differently taxed) partner payments at will. **The mirror rule:** whatever is *allowed* to the firm under 40(b) is *taxable in the partner's hands* under Sec 28; whatever is *disallowed* as excess is *not* taxed again in the partner's hands (no double tax).
- **40(ba): payments by an AOP/BOI** to its members (interest/salary) — disallowed, the AOP analogue of 40(b).

The 40(b) remuneration ceiling (structure to know; verify the exact slab for your AY):

Remuneration to all working partners together is capped at a slab of **book profit** — historically "*on the first ₹3,00,000 of book profit (or loss): ₹1,50,000 or 90% of book profit, whichever is higher; on the balance: 60%.*" "Book profit" here = the profit computed under the PGBP head *before* deducting partner remuneration but *after* deducting partner interest allowed under 40(b). **Verify the current slab figures and percentages against current ICAI material — the Finance Act periodically revises them.**

Section 40A — payments that shift profit or evade traceability. *(40A opens with a non-obstante clause — it overrides every other provision, so a payment allowed under 30–37 can still be knifed by 40A.)*

- **40A(2): excessive/unreasonable payments to related parties.** Payment to a *specified person* (relative, partner, director, substantial shareholder, or an associated concern), to the *extent it is excessive/unreasonable* having regard to fair market value / legitimate business need, is disallowed. *Why:* the classic profit-shifting door — pay your wife ₹50 lakh "salary" for token work to drain profit. **Only the *excess over fair value* is disallowed, not the fair portion.** (Contrast 40A(3), where the *whole* payment dies.)
- **40A(3): cash payments above the threshold.** If a *payment (or aggregate of payments to one person in a single day)* is made **otherwise than by account-payee cheque/draft/electronic mode** and exceeds the limit (commonly **₹10,000** per person per day; **₹35,000 for transporters** — plying/hiring/leasing goods carriages), the *entire* payment is disallowed (not just the excess). **40A(3A)** does the same for a *liability booked earlier* on accrual and later paid in cash above the limit — that earlier-allowed deduction is *reversed* as income. *Why:* cash is untraceable — it fuels black money and fake vouchers. Forcing banking-channel payments creates an audit trail. *Note the cliff:* ₹10,001 in cash → 100% disallowed; the rule punishes the *mode*, not the amount. **Exceptions (Rule 6DD):** payments where banking was impossible (village with no bank, payment on a bank holiday), payments to producers of agricultural/dairy produce, retirement payments to low-paid employees, etc. — a defined list; genuine hardship is spared.
- **40A(7): provision for gratuity** — only *actual* contributions to an **approved** gratuity fund (or actual gratuity *paid*) are allowed, not a mere *provision*. **40A(9):** contributions to *non-statutory/unapproved* welfare funds/trusts are disallowed. *Why:* stops deduction for money that never actually leaves for the employees' benefit.

Section 43B — the "actually paid" override (the timing door).

Certain expenses — though accrued and otherwise allowable — are deductible **only in the year they are *actually paid***, regardless of the accrual/mercantile method. The list (mnemonic to build below):

- Any **tax, duty, cess, fee** payable to government (GST, customs, etc.) — **(a)**.
- **(b)** Employer's contribution to **PF, ESI, superannuation, gratuity** funds *(employer share; the employee share is 36(1)(va), a different clock)*.
- **(c) Bonus or commission** to employees.
- **(d)/(da) Interest on loans/advances from banks, financial institutions and NBFCs / deposit-taking NBFCs.**
- **(e)** *(historically also railways / leave encashment)* — **Leave encashment (f)**.
- **(f) Leave encashment** payable to employees.
- **(g)** Sum payable to **Indian Railways** for use of assets.
- **(h) Sum payable to a *micro or small enterprise*** beyond the time limit under the MSMED Act, 2006.

The safety valve (proviso): if the amount is *actually paid on or before the due date of filing the return* under Sec 139(1), it is allowed in the year of accrual. *Why 43B exists:* on pure accrual, a firm could book (and deduct) statutory dues and bank interest year after year while never paying the government or the bank — enjoying the deduction indefinitely. 43B says: *no cash to the exchequer/bank, no deduction*. It aligns the tax break with the actual outflow.

Two 43B sub-rules that are pure exam gold:

1. **Converting interest into a fresh loan is NOT "payment".** If you owe a bank ₹90,000 interest and the bank "funds" it by adding it to your loan (a funded interest term loan), an Explanation to 43B says this is *deemed not paid* — you can't deduct it until you actually *pay* the converted amount. This closes the "roll it into fresh debt to claim the deduction" dodge.
2. **43B(h) MSE payments get NO grace period.** Payments to *micro/small* enterprises must be *actually paid within the MSMED time limit (15 days without a written agreement / up to 45 days with one)*. The return-filing safety valve does **not** apply to clause (h). If unpaid within that window at year-end, it is disallowed *this* year and allowed only in the year of actual payment — a deliberate lever to force large buyers to pay small suppliers on time.

> **Memory hook — *43B* = "Duty, Dues, Debt-interest — paid, or *3* letters D-U-E withheld."** If it's owed to the government, employees' funds, or lenders, *pay it or lose it*. Sub-hook for the list: **"Tax, PF, Bonus, Bank-interest, Leave, Railways, MSE."**

4.5 Other important computational provisions

- **Sec 35 — scientific research (know the tiers):**
- **35(1)(i):** *revenue* expenditure on in-house scientific research related to the business — 100%.
- **35(1)(iv) r/w 35(2):** *capital* expenditure on scientific research (except land) — **100% in the year incurred** (not depreciated). *Even pre-commencement* research capex (incurred within 3 years before business starts) is allowed on commencement.
- **35(1)(ii)/(iia)/(iii):** contributions to approved research associations / companies / universities / IITs for scientific, social or statistical research — a *weighted* deduction historically (e.g. 150% or 100% — the weighting has been progressively **phased down to 100%**; **verify current rate**).
- **35(2AB):** in-house R&D by a company in specified industries in an *approved* facility — historically a **weighted 150%/200%** deduction, now typically **100%** — **verify current AY.** *Why weighting existed:* to make R&D "cheaper than free" and pull private investment into innovation; the phase-down reflects a policy shift toward lower rates / fewer incentives.
- **Sec 35AD:** 100% deduction of *capital* expenditure (excluding land, goodwill, financial instruments) for **specified businesses** (cold-chain, warehousing for agri produce, hospitals ≥100 beds, fertiliser plants, etc.) — a targeted investment incentive. Trade-off: such an asset gets *no depreciation*, and if sold or the deduction was claimed, Sec 28/Sec 35AD recapture rules bite.
- **Sec 35D:** *preliminary* expenditure (before commencement, or on extension) — feasibility reports, project reports, legal/registration charges — amortised over **5 years**, subject to an overall ceiling (a % of cost of project / capital employed). *Why:* these costs birth the whole enterprise, so their benefit is spread.
- **Sec 35DDA:** *VRS* payments amortised over **5 years**.
- **Sec 36(1)(iii):** interest on **borrowed capital** used for business is deductible — but interest on capital borrowed for *acquiring an asset* until it is *first put to use* must be **capitalised** (added to asset cost), not expensed. *Why:* pre-use interest is part of getting the asset ready.

- **Sec 36(1)(vii) + 41(4): bad debts** actually *written off* are deductible (if earlier offered to income); if later *recovered*, the recovery is taxed under 41(4).
- **Sec 43(1) — "actual cost":** the cost of an asset *less* any portion met by another person, government or subsidy — the base for depreciation. Several **Explanations** adjust "actual cost": asset acquired for personal use then brought into business (actual cost = cost less notional depreciation), second-hand asset bought to inflate depreciation (AO may fix a lower actual cost), asset re-acquired after sale-and-lease-back (cost frozen at pre-sale WDV) — anti-abuse fine print.
- **Sec 43(2)/(3)/(4):** definitions of "paid", "plant" (includes books, vehicles, scientific apparatus — *not* buildings/furniture), etc.
- **Sec 145 & 145A:** income computed per the method of accounting (cash or mercantile) *regularly* followed, subject to notified **ICDS**. **Sec 145A** mandates the *inclusive method* for inventory valuation and requires taxes (like GST) to be *included* in the valuation of purchase, sale and inventory — a common tax-audit adjustment.

4.6 Depreciation — Section 32 and the Block of Assets

The deduction. Sec 32 allows depreciation on **tangible assets** (building, plant & machinery, furniture) and **intangible assets** (patents, copyrights, trademarks, licences, franchises, know-how — *goodwill of a business/profession is now expressly excluded*), *owned* (wholly or partly) by the assessee and *used* for business, on the **written-down value (WDV)** of the **block**, at prescribed rates.

Four conditions for depreciation — all must hold: 1. **Ownership** (registered or *beneficial*; a hire-purchaser using the asset is treated as owner even before title passes; Explanation 1 makes a lessee who builds on leased premises the "owner" of that structure for depreciation). 2. **Used for the business** during the year — *including passive/ready-to-use* in some judicial views, but ICAI expects "put to use". 3. Asset falls in a **block** with a prescribed rate. 4. The **WDV of the block is positive and the block subsists**.

What is a "block of assets"? [Sec 2(11)] A block is a *group of assets of the same class* (tangible: buildings / machinery / plant / furniture; or intangibles) carrying the *same rate of depreciation*, pooled together. You do **not** depreciate each machine individually — you depreciate the *pool*.

WHY blocks? (This is the classic exam "why".) Before the block concept, every single asset was tracked individually, and *selling* an asset triggered a fiddly "balancing charge/allowance" and often a capital-gains computation on each item. Imagine a factory with 400 machines buying and scrapping dozens each year — an administrative nightmare. The **block system pools same-rate assets so that:**

1. **Individual assets lose identity.** You only track the *block*'s WDV.
2. **Purchases** during the year are *added* to the block; **sales** are *reduced* (money received deducted) from the block.
3. **No capital gain / balancing charge** arises on an ordinary sale as long as the block *survives* (WDV positive and at least one asset remains). The gain/loss is simply absorbed into the pool — self-correcting over time.
4. Only in two edge cases does a capital gain arise (below).

This trades a tiny bit of theoretical accuracy for an enormous gain in simplicity — pure administrative-efficiency policy.

Computing depreciation on a block:

```
Opening WDV of block
(+) Actual cost of assets ACQUIRED during the year
(−) Money receivable on assets SOLD/discarded during the year
= WDV before depreciation
(×) Depreciation rate  →  Depreciation for the year
= Closing WDV (carried forward)
```

Half-depreciation rule: an asset *acquired AND put to use* for **less than 180 days** in the year gets **only 50%** of the normal rate that year. *Why:* an asset used for two months shouldn't get a full year's write-off — rough justice for part-year use, applied via a simple 180-day switch rather than day-counting. **Subtleties:** (a) the half-rate applies *only in the year of acquisition* — from the next year the asset's cost is fully in the block and gets the full rate; (b) the test is *acquired AND put to use* — an asset bought in February but first used in April gets **zero** depreciation this year (not even half); (c) the half-rate attaches to the *asset*, so in a mixed block you effectively split the block into a full-rate slice and a half-rate slice (see Example 2).

Depreciation rate (a cap of 40%). The general rates are prescribed (e.g. buildings 10%, furniture 10%, general P&M 15%). Some assets (computers, certain pollution-control equipment, energy-saving devices, books for a professional) attract higher rates, but the *maximum* rate is now **40%** — the old 60%/80%/100% categories were compressed to a 40% ceiling. **Verify current rate schedule.**

Additional depreciation [Sec 32(1)(iia)]: an extra **20%** (10% if the new asset is used <180 days) on the actual cost of *new* plant & machinery acquired and installed by an assessee engaged in **manufacture/production of an article** (and certain power businesses) — a one-time investment incentive over and above normal depreciation. **Not available** on: ships/aircraft, office appliances, second-hand machinery, road transport vehicles, or any machinery whose whole cost is allowed as a deduction. **Carry-forward wrinkle:** if the asset was used <180 days, the *remaining 10%* additional depreciation is allowed in the *immediately succeeding year* — a rare instance of depreciation "spilling over" to the next year. *(Verify current availability, as incentives get sunset.)*

Power sector SLM option [Sec 32(1)(i)]. Undertakings engaged in *generation / generation-and-distribution of power* may opt for the **straight-line method on each asset** (not the block/WDV method) — because their tariff regulation and asset-by-asset accounting suit SLM. On sale, such assets trigger **terminal depreciation / balancing charge** on an individual basis. A niche but examinable exception to "everything is a block".

Two situations where a block *does* trigger capital gains [Sec 50 — deemed *short-term*]:

- **(a) Block ceases to exist:** all assets in the block are sold/transferred — nothing left to depreciate. If sale money < WDV → *short-term capital loss*; if sale money > WDV → *short-term capital gain*. (No depreciation is charged in the year the block empties.)
- **(b) Sale money exceeds (opening WDV + additions):** the block's WDV goes *negative* → the excess is a *short-term capital gain* and closing WDV is nil. (Again, no depreciation that year on that block.)

Otherwise, no capital gain — the block just keeps depreciating. *Why "short-term" even for a 20-year-old building?* Because the block system already gave you depreciation over the years; Sec 50 recaptures the excess relief as **short-term** by legal fiction, denying the softer long-term rate/indexation. This is a policy choice, not an accident.

Unabsorbed depreciation [Sec 32(2)]: if profits are insufficient to absorb depreciation, the unabsorbed portion is **carried forward indefinitely** and can be set off against *any* head (except **salary**) in future years. It has *no time limit* (unlike business loss, 8 years) and does *not* require the return to be filed on time and does *not* require the business to continue. *Why the generous treatment?* Depreciation is a real, non-cash decline in the asset's value; denying its relief merely because a year was loss-making would be arbitrary — so the Act lets it wait indefinitely for future income.

Order of set-off (examinable): in a year, set off first **current depreciation**, then **brought-forward business loss** (8-year limit — use it before it expires), then **brought-forward unabsorbed depreciation** (no limit — use it last). Getting this priority right maximises the assessee's relief and is a favourite MCQ.

4.7 Presumptive Taxation — 44AD, 44ADA, 44AE

The problem it solves. Ramesh the shopkeeper, a plumber, a small transporter — millions of small assessees genuinely cannot maintain proper double-entry books, hire auditors, or fight over every ₹10,000 cash disallowance. Forcing full PGBP computation on them costs *them* more in compliance than the tax is worth, and costs the *department* more to scrutinise than it collects. **Presumptive taxation is a bargain:** *declare a fixed presumed % of turnover as income, and we won't make you keep detailed books or get audited.* It trades precision for simplicity — for both sides.

Section	Who	Presumed income	Key conditions & "why"
44AD	Resident **individual/HUF/firm** (not LLP) in *any eligible business* (not plying/hiring goods carriages under 44AE, not agency business, not commission/brokerage, not profession)	**8%** of turnover; **6%** for receipts via banking/digital channel *(received by the due date of return)*	Turnover limit ~₹2 crore (raised to **₹3 cr** if cash receipts ≤ 5%). The 6% vs 8% gap is a deliberate *nudge to go digital*.
44ADA	Resident **individual/firm (not LLP)** in a *specified profession* (legal, medical, engineering, architecture, accountancy, technical consultancy, interior decoration, and other notified)	**50%** of gross receipts	Receipts limit ~₹50 lakh (₹75 lakh if cash ≤ 5%). Professionals have low input costs, so half is presumed profit.
44AE	Assessee (any) owning ≤ **10 goods carriages** at any time in the year	Per-vehicle per-month: **heavy goods vehicle (>12,000 kg): ₹1,000 per tonne of gross vehicle weight per month**; **other than heavy: ₹7,500** per vehicle per month	No turnover test — income scales with *capacity/months held*, which is easy to verify from the RC book.

Common logic across all three:

- Once you opt in, *all* deductions under **Sec 30–38** are **deemed already allowed** — you cannot separately claim any expense or depreciation. **WDV is *notionally* reduced** as if depreciation had been claimed each year (so a later sale computes gains off the reduced WDV). This "deemed depreciation" is a classic trap: the asset is *not* frozen at cost.
- **44AE part-month rule:** a part of a month counts as a **full month** — a vehicle held from 10 December counts December fully.
- **44AE ownership:** includes vehicles held on **hire-purchase / instalments**; the ≤10 limit is tested *at any time during the year*, so owning an 11th vehicle even briefly *ousts* 44AE entirely.

- **Partner's remuneration/interest under 44AD/44ADA:** older law allowed a *further* deduction of 40(b) partner salary/interest from the presumed income; the **Finance Act (2016 onwards) withdrew this** — the presumed % is now the *final* PGBP figure with *no* further deduction for partner salary/interest. **Verify the current AY position** — this exact point flips in exam papers.
- **The 44AD "lock-in" anti-abuse rule:** if you opt into 44AD and then *opt out* (declare actual, lower profit) in any of the *next 5 years*, you are *barred from 44AD for 5 assessment years* from that year of opting out, AND must maintain books + get audited (if total income exceeds the basic exemption limit). *Why:* stops assessees from cherry-picking — presumptive in good years, actual (to claim losses) in bad years. **(Note: this lock-in applies to 44AD; 44ADA has *no* such 5-year lock-in — a subtle distinction.)**
- You may **declare *higher*** than the presumed %; you may declare *lower* only by maintaining books and getting a Sec 44AB audit (defeating the purpose).
- **Advance tax:** a 44AD assessee pays advance tax in a *single instalment by 15 March* (relaxation), not four instalments.

> **Memory hook: 44AD** = *"ADinary business, 8/6%"*; **44ADA** = *"Adds an A for professions, 50%"*; **44AE** = *"Engines/vehicles, per-vehicle."*

4.8 Compulsory audit & books [Sec 44AA, 44AB]

- **44AA — books of account:**
- *Specified professions* (legal, medical, engineering, architecture, accountancy, technical consultancy, interior decoration, film artists, company secretary, authorised representative): must keep *prescribed* books if gross receipts exceed a threshold (~₹1,50,000 in all 3 preceding years / since setup).
- *Other businesses/professions:* keep books enabling income computation if income exceeds ~₹1,20,000 **or** turnover/receipts exceed ~₹10,00,000 (higher thresholds for individuals/HUF — verify). Also required where a presumptive assessee declares income *below* the presumed rate and it exceeds the basic exemption limit.
- **44AB — tax audit:** business turnover > **₹1 crore** (raised to **₹10 crore** if *both* cash receipts *and* cash payments ≤ 5% of the respective totals), or profession receipts > **₹50 lakh**, or a presumptive assessee (44AD/44ADA/44AE) declaring *lower* than presumed income *and* exceeding the exemption limit. *Why:* audit is the department's assurance mechanism where stakes are high enough to justify the cost. **The ₹5% digital test is the modern lever** — go substantially cashless and the audit threshold rockets from ₹1 cr to ₹10 cr, a huge compliance saving that (like 44AD's 6%) nudges the economy toward traceable payments.

4.9 Recovery of deductions — the clawback [Sec 41]

Section 41 is the mirror image of the deduction sections: it taxes, as *deemed business income*, amounts where an earlier deduction/loss is later *reversed by reality* — **even if the business no longer exists** in the year of recovery.

- **41(1) — remission or cessation of a trading liability.** If an allowance/deduction was made for a *loss, expenditure or trading liability*, and later the assessee *obtains* the amount (in cash or benefit) or the liability *ceases* (is written back, waived, or becomes unenforceable), the amount is taxed in the year of recovery/cessation. *Classic case:* a sundry creditor of ₹2,00,000 (for which purchases were deducted) is written back to the P&L after the creditor disappears — that ₹2,00,000 is taxable under 41(1). *Unilateral write-back* in the assessee's own books is expressly deemed a cessation.

- **41(2) — balancing charge (for SLM-depreciated assets, e.g. power sector):** on sale of such an asset, the excess of sale price over WDV, up to the depreciation earlier allowed, is taxed as business income.
- **41(3) — sale of a scientific-research asset** whose cost was allowed under Sec 35: the sale proceeds, to the extent of the deduction earlier allowed, are taxed as business income.
- **41(4) — recovery of a bad debt** earlier allowed under 36(1)(vii): the recovered amount is business income of the year of recovery (even if the business is defunct).
- **41(5):** a *loss* of the discontinued business may be set off against such deemed 41 income — a small fairness valve.

Why 41 reaches beyond the life of the business: the benefit was taken *while* the business ran; letting the reversal escape merely because the business later closed would reward closure. So the fiction "deemed business income" survives the business's death.

4.10 Non-resident presumptive & special rates (awareness level)

For completeness (lightly examined at Inter): **44B** (shipping, non-resident — 7.5% of freight), **44BB** (oil exploration services — 10%), **44BBA** (aircraft operation — 5%), **44BBB** (turnkey power projects). These are *non-resident* presumptive rates; know they *exist* and that they operate like 44AE (a fixed % of receipts, no books battle) — the *why* is identical: a hard-to-audit non-resident is easier to tax on a rule-of-thumb margin. **Verify rates/current provisions.**

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5. Worked Examples

Example 1 (Easy) — Net-profit reconciliation, the core skill

Ramesh's P&L shows **Net Profit ₹8,00,000** after debiting/crediting the following. Compute PGBP income.

Items debited to P&L: - Income-tax paid ₹1,20,000 - Donation to a local temple (personal) ₹40,000 - Depreciation as per Companies Act ₹1,50,000 - Rent, salaries, genuine business repairs (all allowable) — no adjustment

Other facts: Depreciation allowable under Sec 32 (Income-tax) = ₹1,80,000. Interest on savings bank ₹15,000 was credited to this P&L (it's income of *another head*).

Solution — start from book profit, add back tax-disallowed debits, remove non-business credits, adjust depreciation:

Particulars	₹	₹
Net Profit as per P&L		8,00,000
Add: Items debited but *not* allowable		
Income-tax [40(a)(ii) — appropriation of profit]	1,20,000	
Personal donation [not wholly & exclusively; Sec 37]	40,000	
Depreciation as per books (reverse it)	1,50,000	3,10,000
		11,10,000
Less: Depreciation allowable u/s 32	1,80,000	
Less: Interest on savings bank (income of "Other Sources")	15,000	(1,95,000)
Profits & Gains of Business or Profession		**9,15,000**

Reconciliation logic: we reverse book depreciation (₹1,50,000) and substitute tax depreciation (₹1,80,000) — net effect −₹30,000. We add back the two disallowed debits (they had wrongly reduced book profit) and remove the SB interest (it belongs to Other Sources, taxed there). **PGBP = ₹9,15,000.**

Example 2 (Medium) — Depreciation on a block, with the 180-day and sale rules

XYZ Ltd's **Plant & Machinery block** (rate 15%) had **Opening WDV ₹20,00,000** on 01.04. During the year: - Bought Machine A for ₹5,00,000 on 10.05 (used same day — held > 180 days). - Bought Machine B for ₹4,00,000 on 01.12 (used same day — held < 180 days). - Sold an old machine for ₹3,00,000 on 15.09.

Compute depreciation and closing WDV.

Solution — split the block by 180-day eligibility:

Step 1 — Assets eligible for **full** rate (opening WDV + additions ≥180 days − sales):

	₹
Opening WDV	20,00,000
Add: Machine A (≥180 days)	5,00,000
Less: Sale proceeds	(3,00,000)
Base for full-rate depreciation	**22,00,000**

Depreciation @ 15% = ₹3,30,000.

Step 2 — Asset eligible for **half** rate:

	₹
Machine B (<180 days)	4,00,000

Depreciation @ 7.5% (half of 15%) = ₹30,000.

Step 3 — Totals:

	₹
Total depreciation (3,30,000 + 30,000)	**3,60,000**
Closing WDV = (22,00,000 + 4,00,000) − 3,60,000	**22,40,000**

Note: the sale of the old machine created **no capital gain** — the block survives, so ₹3,00,000 is simply netted off. This is the block system doing its job.

> **Examiner tweak — "what if the sale proceeds were ₹28,00,000?"** Then base = 20,00,000 + 5,00,000 − 28,00,000 = **negative ₹3,00,000**. The block goes negative → **no depreciation**; the ₹3,00,000 excess is a **short-term capital gain u/s 50**, and closing WDV = nil. (Machine B's ₹4,00,000, added *after* the block was exhausted by the sale, is caught in the same block computation — first net the sale against opening WDV + all additions; here 20,00,000 + 5,00,000 + 4,00,000 − 28,00,000 = ₹1,00,000 positive, so actually the block *survives* with WDV ₹1,00,000 and STCG does *not* arise. **Always add ALL the year's additions before testing for negativity.**) This tweak tests whether you net *before* or *after* including every addition — do it after.

Example 3 (Exam-hard) — Full computation with 40A(3), 43B, 40(a)(ia), 40(b)

ABC & Co. (a partnership firm) reports **Net Profit ₹12,50,000** as per P&L. Examine the following and compute taxable PGBP. Assume mercantile basis and that the return is filed by the Sec 139(1) due date.

Debited to P&L: 1. Machinery purchased ₹2,00,000 (wrongly charged to P&L as "repairs"). 2. Cash payment of ₹45,000 to a supplier for goods, paid in a single day in cash. 3. GST of ₹1,10,000 payable — of which ₹80,000 paid before the return due date, ₹30,000 still unpaid. 4. Interest of ₹90,000 payable to a bank — unpaid as on the return due date. 5. Salary to partners ₹6,00,000 — of which ₹1,00,000 is *in excess* of the Sec 40(b) ceiling. 6. Commission ₹50,000 to a resident contractor — **no TDS deducted**. 7. Provision for gratuity (mere provision, unapproved) ₹70,000. 8. Depreciation debited ₹1,00,000; depreciation allowable u/s 32 = ₹1,45,000 (₹45,000 more, allowing for the machinery in item 1).

Solution:

Particulars	Add (₹)	Less (₹)
Net Profit as per P&L		**12,50,000** (base)
1. Machinery wrongly debited as repairs — capital item, disallow the ₹2,00,000 (add back); depreciation on it captured in item 8	2,00,000	
2. Cash payment ₹45,000 > ₹10,000 limit → **fully** disallowed [40A(3)]	45,000	
3. GST ₹30,000 unpaid by return due date → disallowed [43B]; ₹80,000 paid → allowed (no add-back)	30,000	
4. Bank interest ₹90,000 unpaid by due date → disallowed [43B]	90,000	
5. Excess partner salary ₹1,00,000 over 40(b) ceiling → disallowed	1,00,000	
6. Commission ₹50,000 without TDS → **30%** disallowed [40(a)(ia)] = ₹15,000	15,000	
7. Provision for gratuity (unapproved, mere provision) → disallowed [40A(7)]	70,000	
8. Book depreciation ₹1,00,000 reversed; allowable ₹1,45,000 claimed → net extra deduction ₹45,000		45,000

Computation:

	₹
Net Profit as per P&L	12,50,000
Add: disallowances (2,00,000 + 45,000 + 30,000 + 90,000 + 1,00,000 + 15,000 + 70,000)	5,50,000
	18,00,000
Less: extra depreciation allowable	(45,000)
Profits & Gains of Business or Profession	**17,55,000**

Key reconciling checks: item 2 disallows the **whole** ₹45,000 (mode-based cliff, not just excess); item 6 disallows only **30%** of the resident payment (not 100% — that's for non-residents); items 3 & 4 turn on *actual payment vs the return due date* (the 43B safety valve); item 1 removes a capital item from revenue expense but its cost re-enters through depreciation (item 8). Every rupee is accounted for → **PGBP = ₹17,55,000.**

Example 4 (Concept) — Presumptive vs actual, and the "why declare higher"

A retail trader (individual) has turnover ₹1,80,00,000, of which ₹1,50,00,000 received digitally and ₹30,00,000 in cash. Actual profit per rough books ≈ ₹9,00,000. Should he use 44AD?

Presumptive income u/s 44AD:

Receipts	Rate	Presumed income (₹)
Digital ₹1,50,00,000	6%	9,00,000
Cash ₹30,00,000	8%	2,40,000
Total presumed		**11,40,000**

Here presumptive income (₹11.40 lakh) *exceeds* his actual (₹9 lakh) — so opting into 44AD would tax him *more*. He may instead **maintain books, get a 44AB audit, and declare the actual ₹9,00,000** (lower than presumed) — the law *permits* declaring lower only with books + audit. *Trade-off:* he pays tax on ₹2.4 lakh less, but bears audit cost and loses the compliance simplicity. Presumptive taxation is a *convenience*, not always the cheapest — the assessee weighs simplicity against the tax on the gap.

> **Examiner tweak — the lock-in bite.** Suppose he *had* used 44AD last year, and now opts out to declare the lower ₹9 lakh. Then the **5-year lock-in** triggers: he is barred from 44AD for the next 5 AYs and must maintain books + audit throughout. The one-year saving of tax on ₹2.4 lakh may be dwarfed by five years of audit fees and lost flexibility. The "declare lower" decision is not a single-year calculation.

Example 5 (Exam-hard) — The employee vs employer PF trap [36(1)(va) vs 43B]

A company's P&L for the year debits the following (all otherwise genuine). Determine the deductible amount. The PF Act due date is the 15th of the following month; the income-tax return due date under Sec 139(1) is 31 October of the AY.

Item	Amount (₹)	Deposited on
A. Employer's PF contribution (accrued March)	2,00,000	20 October (before ITR due date)
B. Employees' PF contribution recovered (March salary)	1,50,000	20 October (after the PF-Act 15 April due date)
C. Employees' ESI recovered (Feb salary)	40,000	12 March (before the PF/ESI-Act due date)
D. Employer's ESI contribution (Feb)	60,000	25 October (before ITR due date)

Solution — apply two different clocks:

- **A (Employer PF, ₹2,00,000):** governed by **43B** → allowed if paid by the *ITR due date*. Paid 20 Oct, before 31 Oct → **allowed.**
- **B (Employee PF, ₹1,50,000):** governed by **36(1)(va)** → allowed only if credited to the fund by the *PF-Act due date* (15 April). Paid 20 October → **late** → **disallowed permanently.** (The ITR-due-date grace of 43B does *not* rescue employee contributions — *Checkmate Services*.) The ₹1,50,000 is *also* treated as income under 2(24)(x) when recovered, but no matching deduction is allowed since it was deposited late.
- **C (Employee ESI, ₹40,000):** 36(1)(va) → paid 12 March, before the ESI-Act due date → **allowed.**
- **D (Employer ESI, ₹60,000):** 43B → paid before ITR due date → **allowed.**

	₹
A Employer PF — allowed	2,00,000
B Employee PF — **disallowed** (late)	0
C Employee ESI — allowed	40,000
D Employer ESI — allowed	60,000
Total deductible	**3,00,000**

Only item B is lost — precisely because it is an *employee* contribution deposited after its *own Act's* due date. Had the examiner instead made item B an *employer* PF paid on 20 October, it would be allowed. **The trap is entirely in reading "whose" contribution it is and "which due date" applies.**

Example 6 (Medium) — Presumptive transport income [44AE], heavy vs light

Mr. Verma is in the business of plying goods carriages and owns the following vehicles during the year. Compute his presumptive income under Sec 44AE.

Vehicle	Type / GVW	Held during the year
Truck 1	Heavy — 15 tonnes GVW	Whole year (12 months)
Truck 2	Heavy — 20 tonnes GVW	Acquired 10 September (part-month → counts from Sep)
Van 3	Light (not heavy)	Whole year
Van 4	Light (not heavy)	Sold on 5 July

Rates (verify AY): heavy = ₹1,000 per tonne of GVW per month; other = ₹7,500 per vehicle per month.

Solution — count each *part month as a full month*:

- **Truck 1 (heavy, 15 t):** 15 t × ₹1,000 × 12 months = **₹1,80,000**
- **Truck 2 (heavy, 20 t):** held Sep–Mar = **7 months** (Sep counts fully despite 10 Sep). 20 t × ₹1,000 × 7 = **₹1,40,000**
- **Van 3 (light):** ₹7,500 × 12 = **₹90,000**
- **Van 4 (light):** held Apr–Jul (5 Jul counts July fully) = **4 months**. ₹7,500 × 4 = **₹30,000**

Vehicle	Presumed income (₹)
Truck 1	1,80,000
Truck 2	1,40,000
Van 3	90,000
Van 4	30,000
Total 44AE income	**4,40,000**

Checks: he owns at most 4 carriages at any time (≤10 → 44AE available); heavy vehicles are taxed **per tonne** (so a 20-t truck earns more presumed income than a 15-t one), light vehicles at a **flat ₹7,500**; every *part month is a full month* (Trucks 2 and Van 4). **Examiner tweak:** if Mr. Verma owned an 11th vehicle even for one day, 44AE is *entirely unavailable* and he must compute actual income with books.

Example 7 (Exam-hard) — Section 41(1) recovery, with a defunct business twist

Sunrise Traders had, in an earlier year, claimed deductions for the following. In the current year the events below occur. Determine the amount taxable under Sec 41, and note the head.

1. A sundry creditor of ₹3,00,000 (against which purchases were deducted earlier) is *unilaterally written back* to the P&L this year, the creditor being untraceable.
2. A bad debt of ₹1,20,000, written off and allowed under 36(1)(vii) two years ago, is *recovered* ₹80,000 this year.

3. GST of ₹50,000, deducted last year under 43B on actual payment, is *refunded* by the department this year (the levy was found excessive).
4. The firm had *discontinued* its earlier "textile division" three years ago; the ₹3,00,000 creditor above relates to that discontinued division.

Solution:

Item	Section	Taxable as deemed business income (₹)	Reason
1. Creditor written back	41(1)	3,00,000	Cessation of a *trading liability* earlier allowed; unilateral write-back = deemed cessation.
2. Bad debt recovered	41(4)	80,000	Recovery of a debt earlier allowed under 36(1)(vii); only the *amount recovered* is taxed.
3. GST refund	41(1)	50,000	Recovery of an expenditure/loss earlier allowed; the refund reverses the deduction.
Total deemed PGBP income u/s 41		**4,30,000**	Chargeable **even though** the textile division is defunct (Sec 41 survives discontinuance).

Key points: (a) item 1 shows that a *unilateral write-back* in the assessee's own books is enough — the creditor need not formally waive; (b) item 2 taxes only the **₹80,000 recovered**, not the full ₹1,20,000 originally written off — the unrecovered ₹40,000 stays a genuine loss; (c) item 4 is the trap — the fact that the business is *discontinued* does **not** save the assessee: Sec 41 expressly reaches deemed income even where the business no longer exists in the year of recovery. **Total ₹4,30,000 is taxed under PGBP by fiction.**

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6. Computation Format / Presentation

The universal PGBP working the examiner expects:

```
Net Profit as per Profit & Loss Account                             XXX
ADD:  Expenses debited to P&L but DISALLOWED / not allowable
        • Capital & personal expenditure
        • Income-tax, disallowed provisions [40, 40A]
        • Sec 43B items unpaid by return due date
        • Sec 40(a) TDS-default disallowances (30% / 100%)
        • Employee PF/ESI deposited late [36(1)(va)]
        • Book depreciation (to be reversed)                        XXX
ADD:  Deemed incomes NOT already credited to P&L
        • Sec 41(1) liability written back / recovered
        • Sec 41(4) bad debt recovered                             XXX
                                                                  ─────
                                                                    XXX
LESS: • Income credited to P&L but taxable under ANOTHER head
        (e.g. rent → House Property, interest → Other Sources)
      • Income exempt / not taxable
      • Expenses allowable but NOT debited in books
      • Depreciation allowable u/s 32                               (XX)
                                                                  ─────
Profits & Gains of Business or Profession                           XXX
                                                                  ═════
```

Golden rules of presentation: - Always **start from Net Profit as per P&L** unless the question gives only receipts/payments (then build a Receipts–Payments/Income–Expenditure statement instead). - **Add back** what wrongly *reduced* book profit (disallowed expenses, book depreciation) **and** deemed incomes (Sec 41) that the P&L did *not* already credit. *(If a written-back creditor is* already *credited in the P&L, do NOT add it again — check whether the item is already in the ₹ base.)* - **Deduct** what wrongly *increased* book profit (income of other heads, allowable-but-omitted expenses, tax depreciation). - **Do nothing** for items that are *correctly* treated in the books (a genuine, fully-allowable, already-debited expense needs *no* adjustment — writing "nil adjustment" against it earns the mark for recognising it). - Show a **narration** (section) against each adjustment — the examiner awards marks for the *reason*, not just the number.

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7. Connections

- → **Depreciation ↔ Capital Gains [Sec 50].** When a block ceases or goes negative, the *short-term capital gain* is computed and taxed under the **Capital Gains** head — PGBP and CG share the block. Understand 32 before 50. Sec 50 forces STCG treatment (no indexation) precisely because depreciation relief was already enjoyed.
- → **Other Sources / House Property.** Interest/rent/dividends *credited* to a business P&L are routinely *removed* from PGBP and taxed under **Income from Other Sources** or **House Property** — the head-of-income boundary is a constant exam theme. Conversely, a letting that is *itself* the business (a warehousing company) stays in PGBP.
- → **Set-off & Carry-forward.** Business *loss* carries forward **8 years** (set off only against business income, and requires timely filing u/s 139(1)); **unabsorbed depreciation** carries forward *indefinitely* against any

head (except salary), *without* the timely-filing condition; **speculation loss** only 4 years against speculation profit. The distinctions are heavily examined, including the set-off *order* (current dep → b/f business loss → b/f unabsorbed dep).

- → **Firm assessment.** Sec 40(b) links to how a *partnership firm's* income is computed before partners are taxed on their share — connects to the "Assessment of Firms" chapter; the firm's allowed remuneration is the partner's Sec 28 income (mirror rule).
- → **TDS chapter.** Sec 40(a) is the *enforcement teeth* of the TDS provisions — the two chapters are two sides of one coin; the disallowance is *restored* in the year TDS is finally deposited.
- → **Sec 2(24)(x) & PF.** Employee contributions recovered are *income* (2(24)(x)); the matching deduction lives in 36(1)(va) — link the "income" side to the "deduction" side.
- → **Income Computation & Disclosure Standards (ICDS)** under Sec 145 modify how certain PGBP items (construction contracts, inventory, forex, government grants, borrowing costs) are computed — and Sec 145A forces GST-inclusive inventory valuation.
- → **MSMED Act.** Sec 43B(h) imports a *non-tax* statute's payment timelines into income-tax — a cross-statutory hook worth flagging.

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8. Traps & Examiner Tricks

1. **40A(3) is a *cliff*, not a slab.** A ₹10,001 cash payment disallows the *entire* ₹10,001 — not ₹1. Watch for the ₹35,000 transporter limit as a distractor, and the "aggregate to one person in one day" test (three ₹4,000 cash payments to the same party on the same day = ₹12,000 → disallowed).
2. **40(a)(ia) = 30%, 40(a)(i) = 100%.** Resident payment without TDS → only **30%** disallowed; non-resident → **100%**. Examiners plant both to see if you differentiate.
3. **43B turns on the *return-filing due date*, not 31 March.** If a statutory due/bank interest is *paid before the Sec 139(1) due date*, it IS allowed in the accrual year. Only the *unpaid* portion is disallowed. **Exception: 43B(h) MSE payments** get *no* such grace — different rule. **Also: converting interest into a fresh loan is *not* payment** for 43B.
4. **Employee PF (36(1)(va)) ≠ Employer PF (43B).** Employee share runs on the *PF/ESI Act* due date and is *permanently* lost if late; employer share runs on the *ITR* due date. Mixing them up is the single most common 43B error (Example 5).
5. **Income-tax is disallowed; GST/other duties are 43B items (allowed if paid).** Don't lump them together. Also, *interest on late payment of income-tax* is disallowed, but *interest on late GST* is often allowed as business expenditure — check the specific item.
6. **Book depreciation vs tax depreciation.** Always *reverse* the depreciation in the books and substitute Sec 32 depreciation. Forgetting to reverse the book figure double-counts. And **depreciation is compulsory** — you cannot "skip" it to preserve loss.
7. **Capital vs revenue disguise.** "Repairs" that are actually a new asset (Example 3, item 1) must be added back — but remember its cost re-enters via *depreciation*. Only genuine *current repairs* are deductible under 30/31.
8. **The 180-day rule needs *acquired AND put to use*.** An asset bought in February but not used until April gets *no* depreciation this year (not even half) — "put to use" is essential. And add **all** additions before testing a block for negativity (Example 2 tweak).

9. **Goodwill is no longer a depreciable intangible.** A once-standard exam point has flipped — goodwill of a business/profession is *excluded* from Sec 32. Verify current law.
10. **44AD lock-in exists; 44ADA lock-in does not.** Opting out of 44AD within 5 years bars re-entry for 5 years *and* triggers audit; 44ADA has no such lock-in. A favourite conceptual MCQ.
11. **Presumptive ≠ automatically lower tax.** As Example 4 shows, presumptive can *exceed* actual profit; the choice is a trade-off, not a free lunch. And under presumptive, **WDV is notionally reduced** as if depreciation were claimed — the asset is not frozen at cost.
12. **CSR expenditure** (Companies Act) is *not* deductible under Sec 37 — but donations qualifying under Sec 80G may get a separate Chapter VI-A deduction. Don't allow it as a business expense.
13. **Sec 41 survives the business's death.** A creditor written back, or a bad debt recovered, is taxed even if that division/business no longer exists. Discontinuance is *not* a defence.
14. **Only the *excess* is disallowed under 40A(2); the *whole* under 40A(3).** Related-party over-payment → cut the excess over fair value; cash over-limit → cut the entire payment. Don't apply one section's logic to the other.
15. **40(b) needs authorisation in the deed and only *working* partners.** Remuneration to a non-working (sleeping) partner is fully disallowed regardless of the ceiling; and interest/salary not *authorised and quantified in the partnership deed* is disallowed even if within the ceiling.
16. **Speculation loss is ring-fenced.** Don't set it off against normal business profit; only against speculation profit, and only for 4 years c/f.

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9. First-Principles Recap

Reason it out, don't recall it:

- Business income is **net** because turnover isn't gain — so we must subtract the costs of earning it. *(The reason the head exists.)*
- We start from **book profit** because businesses already keep books; tax merely *corrects* those books where policy demands. *(Why we reconcile.)*
- Every adjustment is either an **add-back** (something wrongly lowered book profit) or a **deduction** (something wrongly raised it, or an allowance the books omitted). *(Why the direction test.)*
- We allow only **wholly & exclusively business** expenditure because otherwise every personal rupee becomes a "deduction"; and we deny outlays that are **offences/prohibited by law** because the state won't subsidise law-breaking. *(Why Sec 37's filters.)*
- We disallow **cash payments (40A(3))** to force a traceable banking trail; **excess related-party payments (40A(2))** to stop profit-shifting; **TDS-default payments (40)** to enforce the tax-collection chain; **unpaid statutory dues/bank interest (43B)** to align the deduction with actual outflow; and we run **employee PF (36(1)(va))** on a stricter clock because that money belongs to the worker, not the employer. *(Why the anti-abuse locks — each shuts one specific door.)*
- We **spread capital cost via depreciation**, **pool same-rate assets into blocks**, and make depreciation **compulsory**, because assets earn over years (matching), per-asset tracking is administratively hopeless (simplicity), and letting assessees *choose the year* to claim would invite manipulation. *(Why Sec 32 + block.)*

- We **claw back reversed deductions (Sec 41)** — written-back liabilities, recovered bad debts — because a deduction is a promise about reality; if reality reverses, so must the tax relief, even after the business closes. *(Why the fourth door.)*
- We offer **presumptive taxation** because for tiny assessees the cost of precise computation exceeds its value to both sides — a simplicity-for-precision bargain — with a **lock-in** so the choice can't be gamed year to year. *(Why 44AD/ADA/AE.)*

If you can regenerate the *reasons* above, you can re-derive nearly every rule in this chapter under exam pressure.

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10. Quick-Revision Sheet

Section map (with hooks)

Section	Content	Hook
28	Charging section — what's taxable as PGBP (incl. non-compete fees, Keyman, benefits)	The turnstile
29	Compute per Sec 30–43D (incl. deeming sections)	The rulebook pointer
30 / 31	Rent/repairs/insurance — buildings / P&M-furniture (repairs not replacement)	Premises & equipment
32	Depreciation (block, WDV, compulsory)	Spread the cost
32(1)(iia)	Additional depreciation 20% (new P&M, manufacturer)	Investment nudge
35 / 35AD / 35D / 35DDA	R&D / specified-business capex / preliminary / VRS	Incentives & spreads
36	Named deductions (insurance, PF, bad debts, interest, bonus)	The named list
36(1)(va)	Employee PF/ESI — pay by *Act* due date or lose permanently	The worker's clock
37(1)	Residuary — wholly & exclusively, not capital/personal/illegal/CSR	The safety net
40(a)(i)/(ia)	TDS default — 100% (NR) / 30% (resident)	TDS teeth
40(a)(ii)	Income-tax not deductible	Tax ≠ cost
40(b)	Excess/unauthorised partner interest/remuneration	Firm cap
40A(2)	Excessive related-party payment — *excess* disallowed	Anti profit-shift
40A(3)	Cash payment > limit → **100%** disallowed	The cash cliff
40A(7)/(9)	Unpaid gratuity provision / unapproved fund	No-outflow, no-deduction
41	Recovery/write-back of earlier deduction — deemed income	The clawback
43(1)	Actual cost (less subsidy/contribution)	Depreciation base
43B	Statutory dues, PF-employer, bonus, bank interest, leave, MSE — *actually paid*	Pay or lose
44AA/44AB	Books / tax audit thresholds	Record & assure
44AD/ADA/AE	Presumptive — business / profession / vehicles	Simplicity bargain
50	Capital gain on depreciable block (STCG)	Block ↔ CG bridge
145 / 145A	Method of accounting / ICDS / GST-inclusive inventory	Books respected, adjusted

Key limits (VERIFY for your AY)

Item	Anchor value
40A(3) cash payment limit	₹10,000/person/day (₹35,000 transporters)
40(a)(ia) disallowance (resident, no TDS)	30%
40(a)(i) disallowance (non-resident)	100%
40(b) interest to partners ceiling	12% p.a. simple
40(b) remuneration ceiling	Slab of book profit (verify current slab) — working partners only, deed-authorised
Depreciation half-rate trigger	asset acquired & put to use < 180 days
Depreciation maximum rate	40% (verify schedule)
Additional depreciation	20% (10% if <180 days; balance 10% next year)
36(1)(va) employee PF/ESI	Pay by *PF/ESI Act* due date (no ITR-date grace)
44AD presumed income	8% (cash) / 6% (digital); turnover ≤ ₹2 cr (₹3 cr if cash ≤ 5%)
44ADA presumed income	50%; receipts ≤ ₹50 L (₹75 L if cash ≤ 5%)
44AE presumed income	Heavy ₹1,000/tonne/month; other ₹7,500/vehicle/month; ≤ 10 vehicles
44AB tax-audit threshold	Turnover > ₹1 cr (₹10 cr if cash ≤ 5% both ways); profession > ₹50 L
43B safety valve	Pay by Sec 139(1) return due date (except 43B(h) MSE — no grace)
Unabsorbed depreciation c/f	Indefinite, any head except salary
Business loss c/f	8 years, business income only
Speculation loss c/f	4 years, speculation income only

Diagram 1 — Bridge from book profit to taxable PGBP

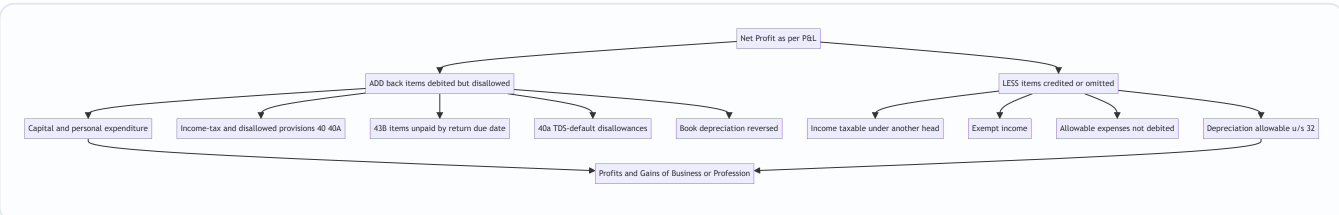
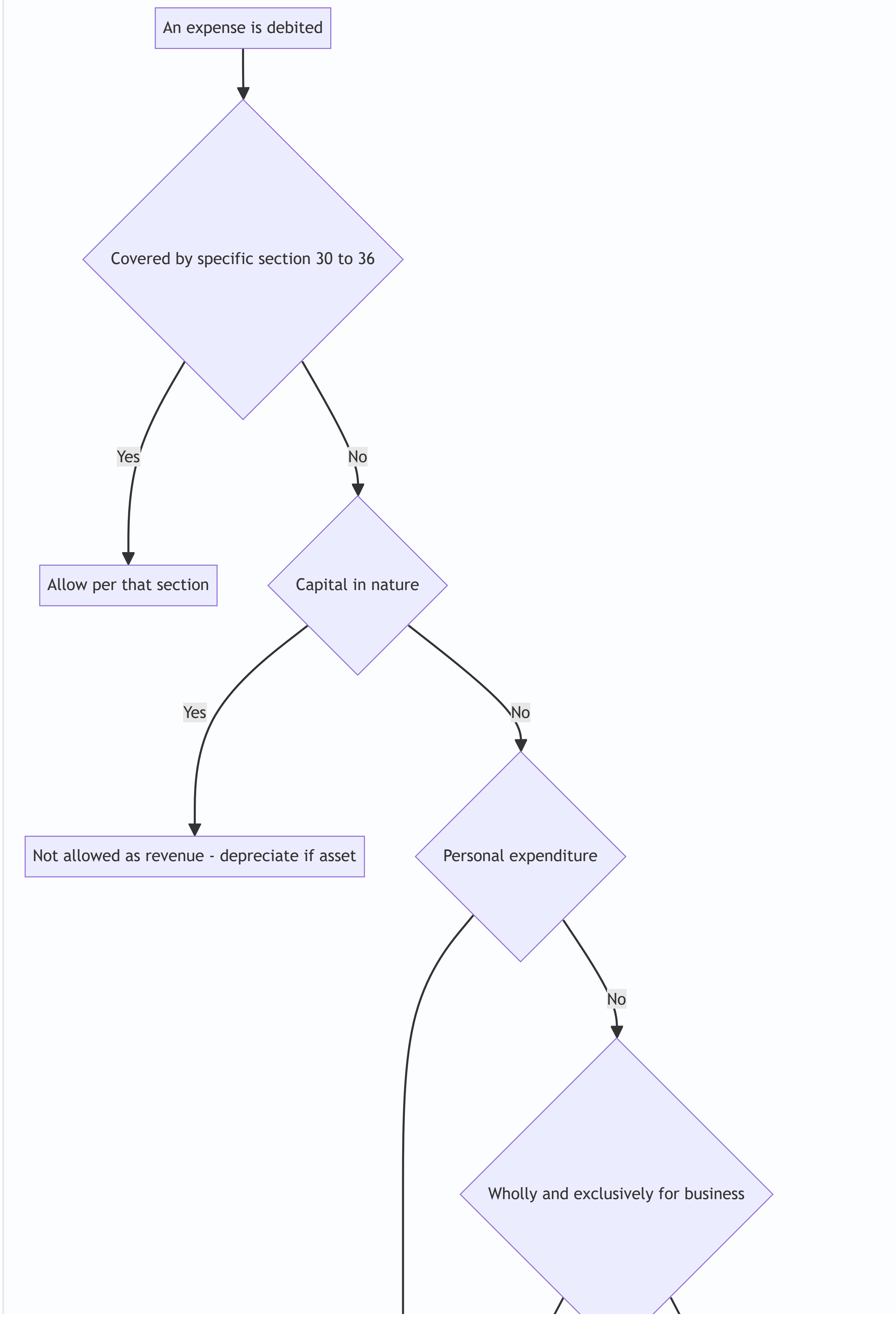


Fig 1 — the reconciliation engine: start from book profit, add back what wrongly reduced it, subtract what wrongly inflated it.

Diagram 2 — Is an expense deductible? The Sec 37 decision tree


An expense is debited
Covered by specific section 30 to 36
Yes
No
Allow per that section
Capital in nature
Yes
No
Not allowed as revenue - depreciate if asset
Personal expenditure
No
Wholly and exclusively for business

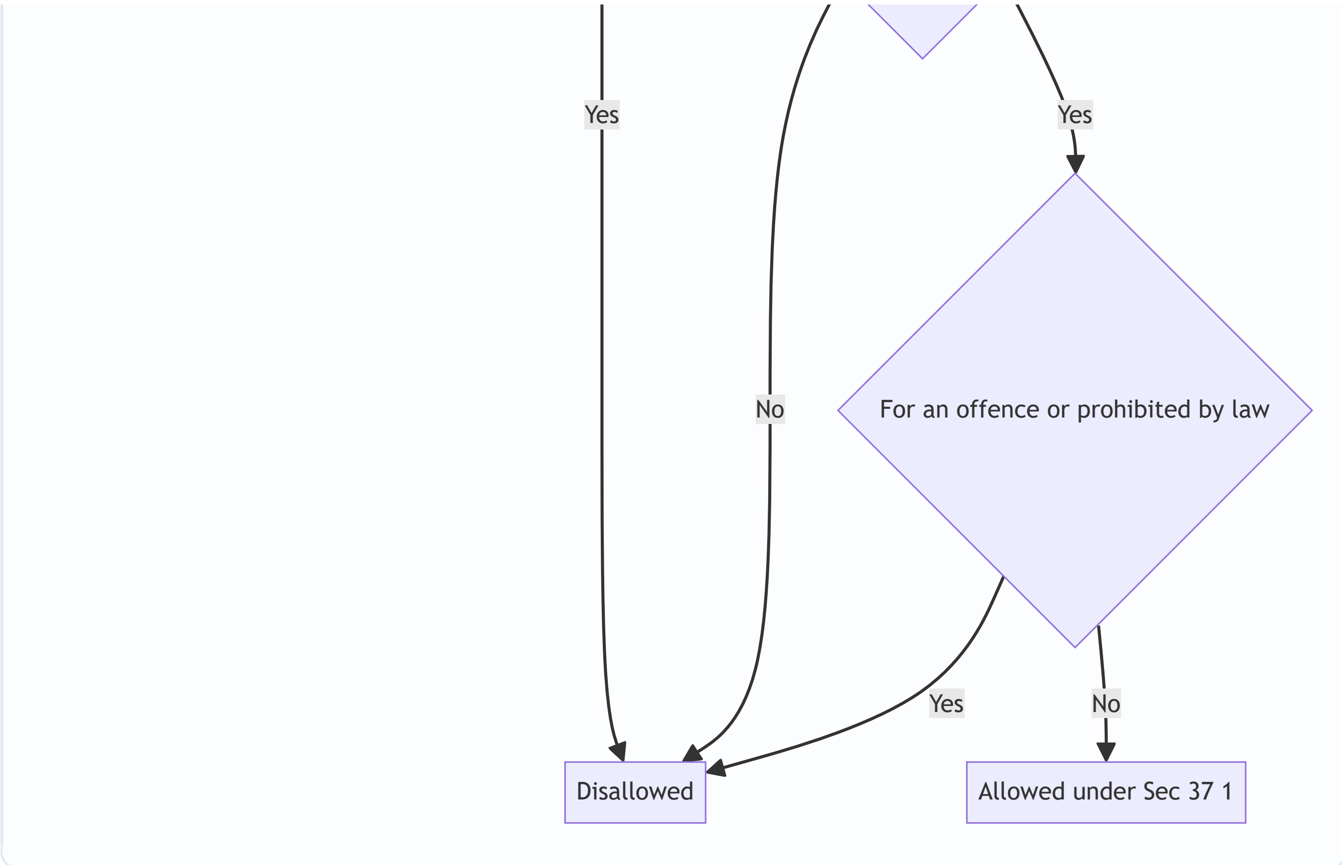


Fig 2 — Sec 37 is residuary and gated: pass all four locks or be disallowed.

Diagram 3 — Depreciation block and when a capital gain arises

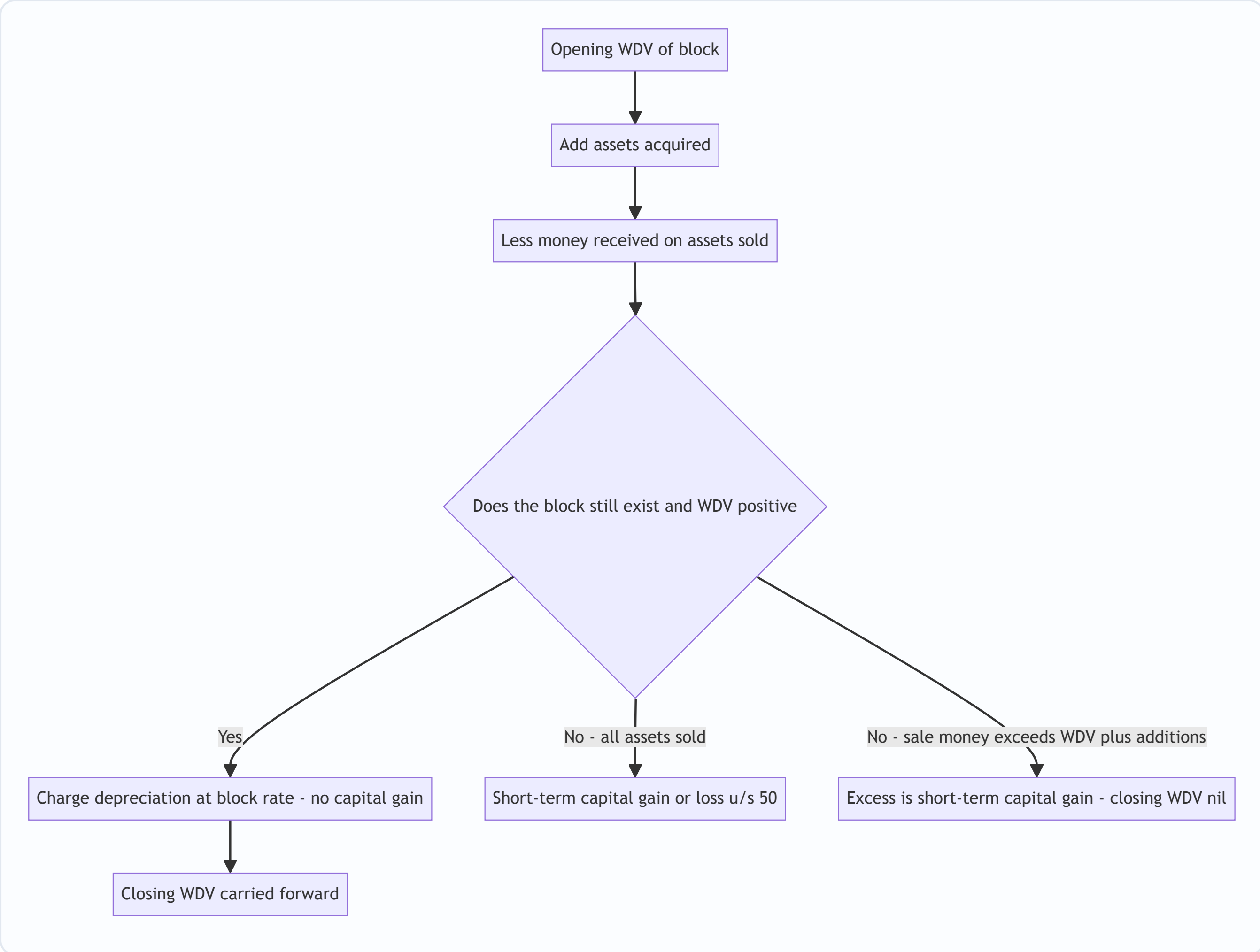


Fig 3 — the block self-absorbs ordinary sales; capital gain arises only if the block dies or goes negative.

Diagram 4 — Choosing a presumptive scheme

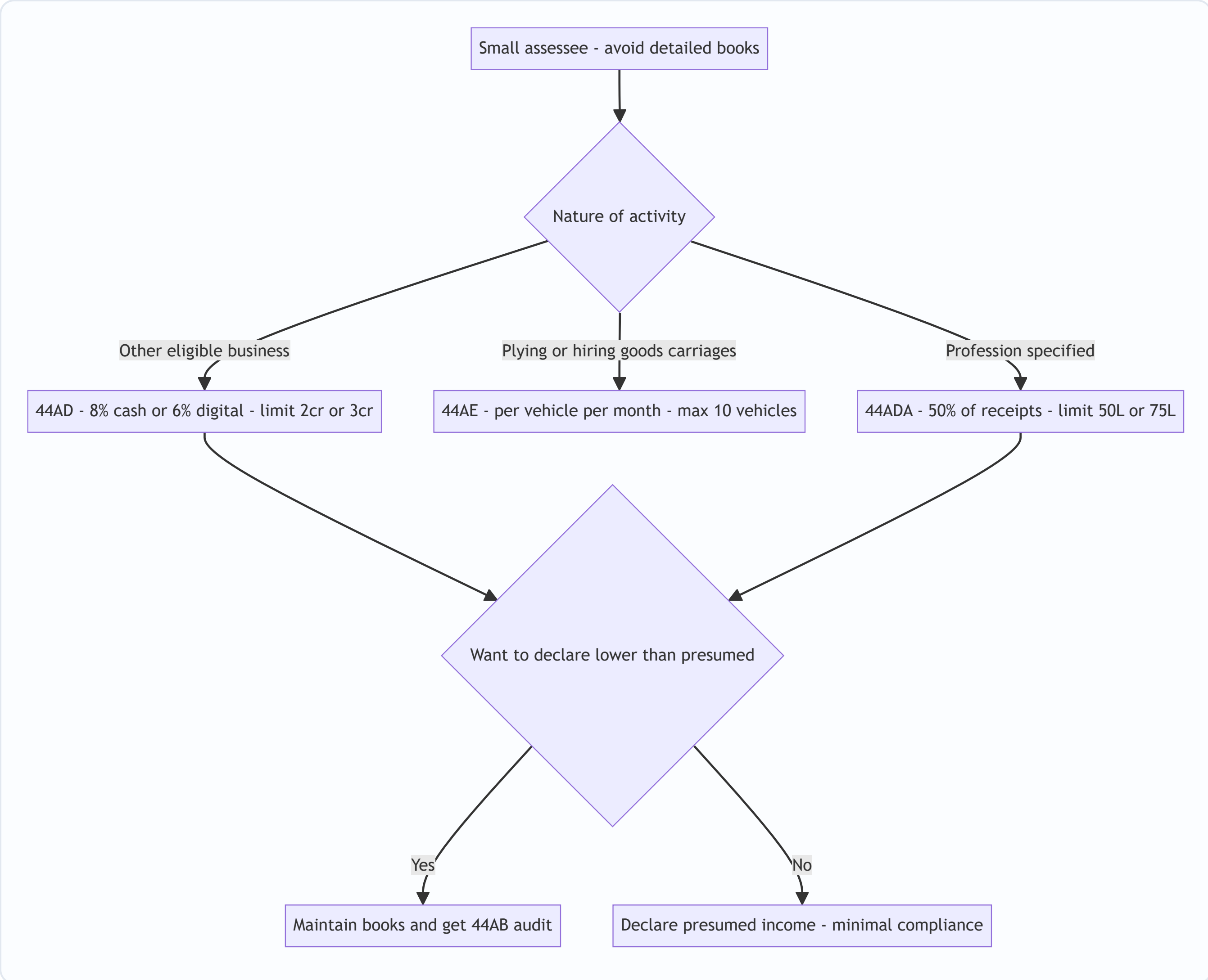


Fig 4 — presumptive routing by activity, with the "declare lower needs books + audit" fork.

Diagram 5 — Two clocks for provident-fund contributions

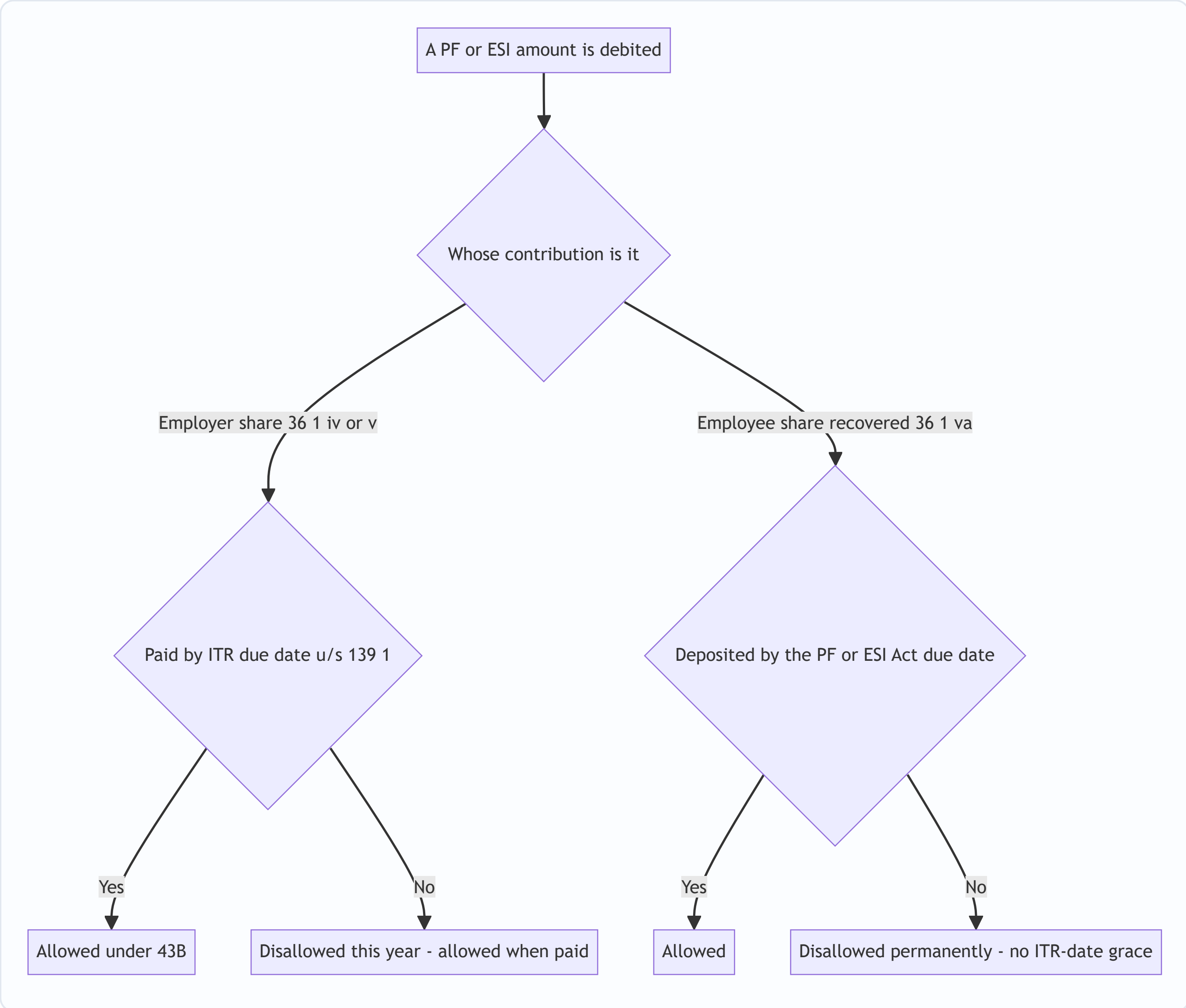


Fig 5 — employer contributions run on the return-filing clock; employee contributions run on the stricter labour-law clock and are lost forever if late.

Diagram 6 — Section 41 clawback of earlier relief

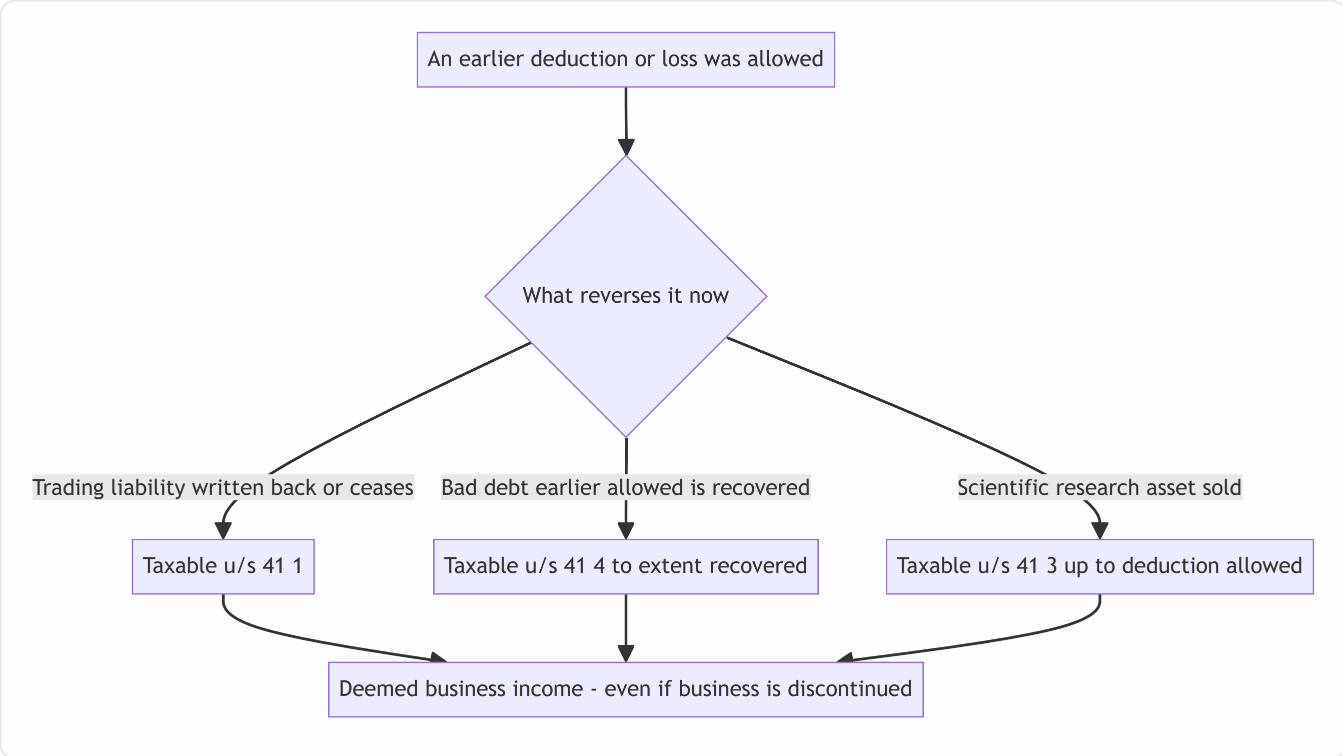


Fig 6 — the clawback: what a deduction gave, a later reversal takes back, surviving even the closure of the business.

One-line takeaway: *PGBP taxes the net gain of a business by starting from its own book profit and correcting that figure — locking out disguised, cash, related-party, TDS-defaulting and unpaid expenses, running employee-fund dues on a stricter clock, spreading capital cost through compulsory depreciation blocks, clawing back reversed deductions under Sec 41, and offering the small assessee a presumptive shortcut — so that genuine cost is deducted but abuse is not.*

> Reminder: every rate, limit and threshold above is an anchor for the *logic*. **Confirm the exact figures and the applicable Assessment Year in current ICAI study material before your attempt.**

Q&A — Profits & Gains of Business or Profession (PGBP)

> **Scope note:** This bank tests the ICAI CA Intermediate "Income Tax" chapter on PGBP. All section references are to the **Income-tax Act, 1961**. Numerical limits, depreciation rates, presumptive-scheme thresholds and turnover ceilings **change with the applicable Assessment Year** — figures here reflect commonly examined AY 2024-25 / AY 2025-26 positions. **Always verify current limits against the ICAI Study Material / Finance Act for your attempt.**

SECTION A — Concept Checks (short-answer, with answers)

A1. What is the charging section for PGBP and what four heads of income does it broadly cover? Ans. Sec 28 is the charging section. It brings to tax: (i) profits of any business/profession carried on during the PY; (ii) compensation on termination/modification of agency or management; (iii) income of trade/professional associations from services to members; (iv) export incentives, keyman insurance receipts, non-compete fees, and value of any benefit/perquisite (whether convertible into money or not) arising from business/profession — the last being **Sec 28(iv)**.

A2. Distinguish Sec 30, 31 and 37(1). Ans. Sec 30 — rent, rates, repairs, insurance of *buildings*. **Sec 31** — repairs & insurance of *plant, machinery, furniture*. **Sec 37(1)** — the **residuary/general deduction**: any expense not covered by Sec 30-36, not capital, not personal, laid out **wholly and exclusively** for business, and not an offence/prohibited-by-law expense (Explanation 1), is deductible.

A3. Why does Sec 37(1) exist if Sec 30-36 already list deductions? Ans. Sec 30-36 are *specific* allowances; business throws up countless legitimate expenses no statute can list exhaustively. Sec 37(1) is the **safety-net** that catches genuine revenue business expenditure falling outside the enumerated sections, subject to guardrails (capital/personal/illegal exclusions).

A4. State the "block of assets" concept under Sec 2(11) and why depreciation is computed block-wise. Ans. A **block** = group of assets of the *same class* (building/machinery/furniture/intangibles) carrying the **same depreciation rate**. Depreciation under **Sec 32** is charged on the **WDV of the block**, not asset-wise. Rationale: eliminates gain/loss computation on every individual asset sale — sale proceeds simply reduce the block's WDV; individual identity is lost once assets pool.

A5. When is depreciation restricted to 50%? Ans. Under **Sec 32**, if an asset is **put to use for less than 180 days** in the PY of acquisition, depreciation is **half the normal rate** for that year. Full rate applies from the next year.

A6. What is "additional depreciation" and its rate? Ans. Sec 32(1)(iia) — a manufacturing/production undertaking (and power generation/distribution) gets **20% additional depreciation** on the actual cost of **new plant & machinery** (not second-hand, not office/vehicles/ships/aircraft). If put to use <180 days, only 10% now and the balance 10% next year.

A7. Explain Sec 43B in one line and give its core disallowance rule. Ans. Sec 43B — certain expenses (statutory dues: tax, duty, cess, PF/ESI employer contribution, bonus, interest to banks/NBFCs, leave encashment) are deductible **only in the year of actual payment**, regardless of accrual — *unless* paid on or before the **due date of filing the return u/s 139(1)**. A newer clause (**43B(h)**) disallows sums payable to **micro & small enterprises** beyond the MSMED Act time limit until actually paid (no return-filing relaxation).

A8. Contrast Sec 40A(2) and 40A(3). Ans. 40A(2) — expenditure to *related parties* disallowed to the extent it is **excessive/unreasonable**. **40A(3)** — any expenditure paid **otherwise than by account-payee cheque/draft/electronic mode exceeding ₹10,000** (₹35,000 for transport operators) in a day to a single person is **100% disallowed**.

A9. Which disallowances arise under Sec 40(a)(i)/(ia) and 40(a)(ii)? Ans. 40(a)(i)/(ia) — failure to deduct/deposit **TDS**: 100% disallowance for payments to non-residents; **30% disallowance** for specified resident payments (allowed later when TDS is paid). **40(a)(ii)** — **income-tax itself** is not deductible.

A10. What is presumptive taxation and name the three CA-Inter schemes. Ans. Presumptive schemes deem a fixed % of turnover as profit, freeing small assessees from books. **Sec 44AD** — eligible business (turnover ≤ ₹2 cr; ₹3 cr if cash receipts ≤5%): 8% of turnover (6% for banking-mode receipts). **Sec 44ADA** — specified professionals (gross receipts ≤ ₹50 lakh; ₹75 lakh if cash ≤5%): 50%. **Sec 44AE** — goods carriage (≤10 vehicles): fixed ₹1,000/ton/month for heavy vehicles, ₹7,500/month otherwise.

A11. Sec 44AA and 44AB — what do they mandate? Ans. 44AA — compulsory **maintenance of books** for specified professions and where business income/turnover crosses prescribed limits. **44AB** — compulsory **tax audit** where turnover > ₹1 cr (business; raised to ₹10 cr if cash ≤5% of receipts and payments) or gross receipts > ₹50 lakh (profession), or where a presumptive assessee declares lower profit than deemed and total income exceeds the basic exemption.

A12. Why can't an assessee claim depreciation on the same machinery under both Sec 32 and Sec 44AD? Ans. In **Sec 44AD**, deductions u/s 30-38 (including depreciation u/s 32) are **deemed already allowed**; WDV is notionally reduced. So depreciation is *not* separately claimable — this prevents double-counting.

SECTION B — Graded Computational Problems (full workings)

B1 (Easy) — Basic net profit adjustment

Q. A trader's P&L shows net profit ₹5,00,000 after debiting: (a) income-tax ₹40,000, (b) donation to a charitable trust ₹10,000, (c) depreciation as per books ₹60,000. Depreciation allowable u/s 32 is ₹75,000. Compute PGBP.

Ans. | Particulars | ₹ | |---|---| | Net profit as per P&L | 5,00,000 | | **Add:** Income-tax (not deductible, Sec 40(a)(ii)) | 40,000 | | **Add:** Donation (not wholly & exclusively for business, Sec 37) | 10,000 | | **Add:** Depreciation as per books (disallow, add back) | 60,000 | | **Less:** Depreciation as per Sec 32 | (75,000) | | **PGBP** | **5,35,000** |

(Donation may qualify separately for Sec 80G deduction, but not under PGBP.)

B2 (Easy-Moderate) — Depreciation with 180-day rule

Q. Machinery block (rate 15%) opening WDV ₹10,00,000. New machinery bought and put to use on 1 Nov 2024 (i.e., <180 days) for ₹4,00,000. No sales. Compute depreciation for the block for PY 2024-25.

Ans. - Asset used ≥180 days: opening WDV ₹10,00,000 × 15% = **₹1,50,000** - Asset used <180 days: ₹4,00,000 × 15% × ½ = **₹30,000** - **Total depreciation = ₹1,80,000** - Closing WDV = 10,00,000 + 4,00,000 −

1,80,000 = **₹12,20,000**

Sec 32 second proviso — half depreciation on the ₹4,00,000 addition only.

B3 (Moderate) — Block with sale + additional depreciation

Q. A manufacturer's plant & machinery block (15%) opening WDV ₹20,00,000. During PY 2024-25 he: (i) bought new machinery ₹8,00,000 put to use on 5 May 2024 (≥180 days); (ii) sold old machinery for ₹3,00,000. Compute normal + additional depreciation and closing WDV.

Ans. Step 1 — WDV of block for normal depreciation: | | ₹ | |---|---| | Opening WDV | 20,00,000 | | Add: new machinery | 8,00,000 | | Less: sale proceeds | (3,00,000) | | **WDV for depreciation | 25,00,000** |

Step 2 — Normal depreciation @15% = 25,00,000 × 15% = **₹3,75,000** Step 3 — Additional depreciation (Sec 32(1)(iia)) on new machinery ₹8,00,000, used ≥180 days, @20% = **₹1,60,000** Step 4 — Total depreciation = 3,75,000 + 1,60,000 = **₹5,35,000** Step 5 — Closing WDV = 25,00,000 − 5,35,000 = **₹19,65,000**

Additional depreciation is on new P&M only; the block-level 15% is on the whole net WDV.

B4 (Moderate) — Sec 40A(3) & 43B

Q. Net profit ₹8,00,000 after these debits: (a) ₹50,000 cash payment to a supplier in one day (single bill); (b) GST ₹1,20,000 accrued, of which ₹90,000 paid before the return due date, ₹30,000 paid after; (c) employer PF ₹40,000 deposited after the return filing date. Compute PGBP.

Ans. | Particulars | ₹ | |---|---| | Net profit | 8,00,000 | | Add: Cash payment >₹10,000 disallowed (Sec 40A(3)) | 50,000 | | Add: GST portion unpaid by return due date (Sec 43B) | 30,000 | | Add: Employer PF paid after due date (Sec 43B) | 40,000 | | **PGBP | 9,20,000** |

The ₹90,000 GST paid on time and the ₹90,000 balance are fine; only the late/unpaid statutory dues are added back. PF paid late u/s 43B is disallowed this year (employer contribution — note employees' contribution is even stricter under Sec 36(1)(va)/43B jurisprudence).

B5 (Exam-hard) — Full computation from Trial-Balance-style data

Q. Mr. X, running a manufacturing business, reports net profit ₹12,00,000. On scrutiny: 1. Debited depreciation (books) ₹2,00,000; depreciation u/s 32 = ₹2,60,000 (includes additional depreciation). 2. Debited ₹60,000 salary paid in cash in a single day. 3. Debited ₹1,00,000 provision for bad debts (not actual write-off). 4. Debited ₹45,000 interest to a bank, unpaid till the return due date. 5. Included in P&L credit: ₹1,50,000 rent from letting a vacant plot (not business asset). 6. Debited ₹80,000 penalty for GST law violation. 7. Debited ₹30,000 preliminary expenditure — only 1/5th allowable u/s 35D. Compute PGBP.

Ans. | Particulars | ₹ | ₹ | |---|---|---| | Net profit as per P&L | | 12,00,000 | | **Add — inadmissible/adjustments:** | | | | Depreciation as per books (add back) | 2,00,000 | | | Cash salary >₹10,000 (Sec 40A(3)) | 60,000 | | | Provision for bad debts (only actual write-off allowed, Sec 36(1)(vii)) | 1,00,000 | | | Bank interest unpaid by due date (Sec 43B) | 45,000 | | | Penalty for law violation (Sec 37(1) Expl.) | 80,000 | | | Preliminary exp. debited in full | 30,000 | 5,15,000 | | | | 17,15,000 | | **Less — allowable/exclusions:** | | | | Depreciation u/s 32 | 2,60,000 | | | Rent from vacant plot (taxable under House Property/Other Sources, not PGBP) | 1,50,000 | | | Preliminary exp. allowed 1/5 u/s 35D (30,000 ÷ 5) | 6,000 | (4,16,000) | | **PGBP** | | **12,99,000** |

Self-check: 12,00,000 + 5,15,000 − 4,16,000 = 12,99,000. The ₹1,50,000 plot rent is removed from PGBP because it is not business income; it will be assessed under its proper head. Only ₹6,000 of preliminary expenditure is a genuine PGBP deduction.

B6 (Exam-hard) — Presumptive 44AD vs normal

Q. Ms. Y (retailer, individual) has turnover ₹1,50,00,000 for PY 2024-25, of which ₹1,20,00,000 received through banking channels and ₹30,00,000 in cash. She opts for Sec 44AD. Compute presumptive income. If her actual profit as per books is ₹6,00,000, can she declare that instead?

Ans. Turnover ≤ ₹2 cr → eligible for 44AD. - On digital receipts ₹1,20,00,000 × **6%** = ₹7,20,000 - On cash receipts ₹30,00,000 × **8%** = ₹2,40,000 - **Presumptive income = ₹9,60,000**

She may declare a *higher* figure, but to declare a **lower** figure (e.g. ₹6,00,000) she must **maintain books u/s 44AA and get audited u/s 44AB**, and can then be denied 44AD for the next 5 AYs (Sec 44AD(4)/(5)). Under 44AD no separate depreciation is allowed — it is deemed given.

SECTION C — Past-Paper-Style Full Questions

C1. (Explain-type) "Discuss the admissibility of the following under PGBP." (8 marks)

Q. State with reasons whether deductible: (a) Interest on capital borrowed for business ₹2,00,000. (b) Expenditure on advertisement in a political party's souvenir ₹50,000. (c) Contribution to a scientific research association ₹1,00,000. (d) Speed money / illegal gratification ₹20,000.

Ans. (a) **Deductible** u/s **36(1)(iii)** — interest on capital borrowed for business purposes (if for acquiring a capital asset, interest till the asset is first put to use is capitalised — proviso). (b) **Not deductible under PGBP** — Sec **37(2B)** bars advertisement in a political party's publication; however it may qualify u/s **80GGB/80GGC** as a deduction from GTI. (c) Deductible u/s **35** — weighted/100% deduction for contributions to approved scientific research associations (verify current weighted-deduction % for the AY; many weighted rates were phased to 100%). (d) **Not deductible** — Explanation 1 to **Sec 37(1)** disallows any expense that is an offence or prohibited by law; illegal payments are never allowed.

C2. (Computation) Computation of business income of a professional (10 marks)

Q. Dr. A, a physician, Receipts & Payments show: professional receipts ₹40,00,000; consumables ₹3,00,000; staff salary ₹6,00,000; clinic rent ₹4,00,000; depreciation on equipment (Sec 32) ₹1,50,000; car expenses ₹2,00,000 (30% personal); interest on loan for clinic ₹1,00,000; income-tax paid ₹2,50,000; life-insurance premium ₹80,000. Compute PGBP. Is 44ADA available?

Ans. | Particulars | ₹ | |---|---| | Professional receipts | 40,00,000 | | Less: Consumables | (3,00,000) | | Less: Staff salary | (6,00,000) | | Less: Clinic rent (Sec 30) | (4,00,000) | | Less: Depreciation (Sec 32) | (1,50,000) | | Less: Car expenses (70% business only; 30% personal disallowed) | (1,40,000) | | Less: Interest on clinic loan (Sec 36(1)(iii)) | (1,00,000) | | **PGBP** | **22,10,000** |

Not deductible: income-tax ₹2,50,000 (Sec 40(a)(ii)); LIC premium ₹80,000 (personal — but eligible u/s 80C from GTI). Car personal portion ₹60,000 disallowed under Sec 38. **44ADA:** Gross receipts ₹40,00,000 ≤ ₹50,00,000 → **eligible**. Under it, deemed income = 50% × 40,00,000 = ₹20,00,000. Since actual income

₹22,10,000 > presumptive, and she'd need audit to declare lower, opting into 44ADA (₹20,00,000) is actually beneficial here.

C3. (Adjustment statement) Reconcile book profit to PGBP (12 marks)

Q. XYZ & Co. net profit ₹15,00,000 after: donation ₹25,000; provision for income-tax ₹3,00,000; depreciation (books) ₹1,80,000 (Sec 32 = ₹2,20,000); ₹60,000 paid in cash to a contractor without TDS (contractor is resident, TDS applicable); ₹1,00,000 partner's salary (within Sec 40(b) limit); ₹40,000 fine for late statutory filing. Compute PGBP.

Ans. | Particulars | ₹ | |---|---| | Net profit | 15,00,000 | | Add: Donation (Sec 37) | 25,000 | | Add: Provision for income-tax (Sec 40(a)(ii)) | 3,00,000 | | Add: Book depreciation | 1,80,000 | | Add: 30% of ₹60,000 for TDS default (Sec 40(a)(ia)) | 18,000 | | Add: Fine for legal default (Sec 37(1) Expl.) | 40,000 | | Subtotal | 20,63,000 | | Less: Depreciation u/s 32 | (2,20,000) | | **PGBP** | **18,43,000** |

Partner's salary within Sec 40(b) limits is allowed → no adjustment. The contractor payment: only 30% disallowed (resident payee) under Sec 40(a)(ia), not 100%; the 30% is allowed in the year TDS is deposited.

SECTION D — MCQs & Case Scenarios

D1. The residuary deduction section for business expenditure is: A) Sec 30 B) Sec 36 C) **Sec 37(1)** ✓ D) Sec 40 *Reasoning: Sec 37(1) allows revenue expense wholly & exclusively for business not otherwise covered.*

D2. Depreciation under the Act is computed on: A) each asset individually B) **block of assets (Sec 2(11)/Sec 32)** ✓ C) straight-line only D) at the assessee's option *Reasoning: Income-tax uses WDV block method.*

D3. Cash expenditure of ₹15,000 to one person in a day (not transport) is: A) fully allowed B) 30% disallowed C) **100% disallowed (Sec 40A(3))** ✓ D) allowed if urgent *Reasoning: Exceeds ₹10,000 non-banking limit → entire sum disallowed.*

D4. GST collected but unpaid till the due date of return filing is: A) always deductible B) **disallowed u/s 43B until paid** ✓ C) capital expenditure D) deductible next year automatically *Reasoning: Sec 43B — statutory dues deductible only on actual payment by 139(1) due date.*

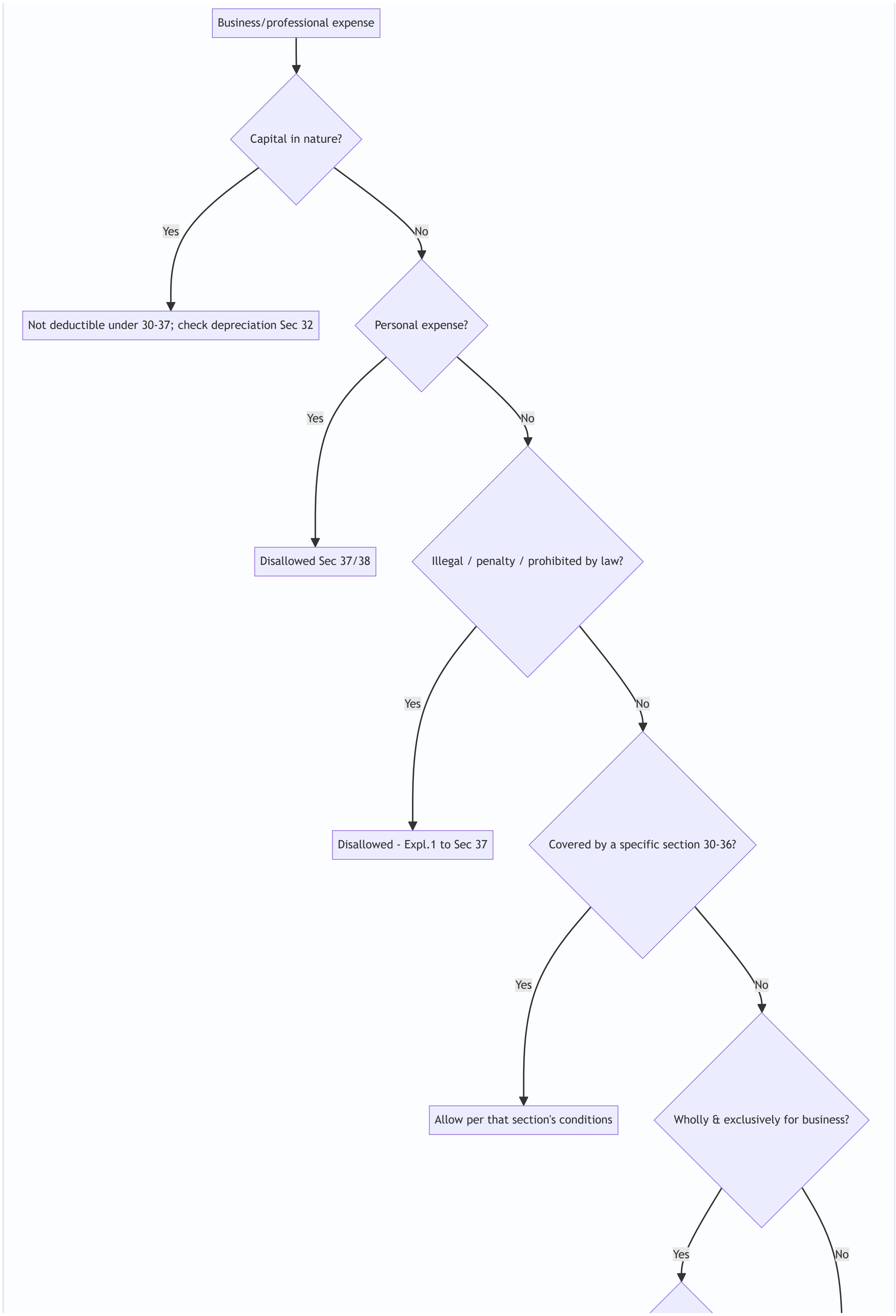
D5. For Sec 44AD, presumptive rate on turnover received via banking channels is: A) 8% B) 50% C) **6%** ✓ D) 10% *Reasoning: 6% on digital/banking receipts; 8% on cash.*

D6. Additional depreciation u/s 32(1)(iia) applies to: A) all assets B) **new plant & machinery of a manufacturer** ✓ C) second-hand machinery D) office equipment *Reasoning: Only new P&M in manufacturing/production (and specified power sector); excludes second-hand, office appliances, vehicles.*

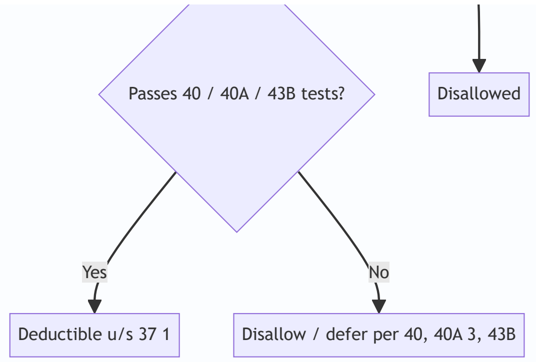
D7. Case scenario: A firm pays ₹5,00,000 rent to a partner's wife; fair rent is ₹3,00,000. Consequence? A) fully allowed B) fully disallowed C) **₹2,00,000 excess disallowed (Sec 40A(2))** ✓ D) 30% disallowed *Reasoning: Payment to related party disallowed to the extent excessive/unreasonable.*

D8. Case scenario: A specified professional has gross receipts ₹52,00,000, cash receipts nil. Can he use Sec 44ADA? A) Yes at 50% B) **No — exceeds ₹50 lakh (but check ₹75 lakh raised limit where cash ≤5%)** ✓ C) at 8% D) at 6% *Reasoning: Base 44ADA ceiling is ₹50 lakh; the enhanced ₹75 lakh applies only if cash receipts ≤5%. Here receipts are cash-free so the ₹75 lakh limit would actually apply — verify the AY's exact wording; classic exam trap on the two thresholds.*

Mermaid — Decision flow: is a business expense deductible?



Business/professional expense
Capital in nature?
Yes
No
Not deductible under 30-37; check depreciation Sec 32
Personal expense?
Yes
No
Disallowed Sec 37/38
Illegal / penalty / prohibited by law?
Yes
No
Disallowed - Expl.1 to Sec 37
Covered by a specific section 30-36?
Yes
No
Allow per that section's conditions
Wholly & exclusively for business?
Yes
No



Quick-Revision Trap List

- **43B(h)** MSME payments — **no** return-due-date relaxation (unlike other 43B dues). Common exam trap.
- **40A(3)** limit is **₹10,000** (₹35,000 transport) — *per person per day*, not per bill.
- **Additional depreciation** — NOT on second-hand machinery, vehicles, office appliances, or by traders.
- **180-day rule** halves depreciation only in the **year of acquisition**.
- **44AD/44ADA lower profit** → triggers **44AA + 44AB** obligations; 44AD lock-in of 5 years.
- Income-tax, wealth-related levies and provisions (not actual write-offs) are **never** deductible.
- Rent/interest income unrelated to business is **removed** from PGBP and taxed under its own head.

All rates/limits are AY-sensitive — reconfirm with current ICAI Study Material and the latest Finance Act before your exam.

Chapter 06 — Capital Gains

Rates / limits / indexation flag: The concessional rates, the base year for indexation, the exemption ceilings (₹50 lakh under 54EC, ₹10 crore caps under 54/54F), and even *whether indexation survives at all* have all been moved by recent Finance Acts. This chapter teaches the **structure and logic** so the mechanism is permanent knowledge. **Always verify the exact rates, indexation availability, ceilings, and the applicable Assessment Year against current ICAI study material for your attempt.**

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1. The Problem — Why ordinary income tax breaks down for asset sales

Imagine you buy a plot of land in 2005 for ₹5 lakh and sell it in 2024 for ₹50 lakh. You have ₹45 lakh of "profit." Should the whole ₹45 lakh be taxed like a salary of ₹45 lakh earned this year?

If you say yes, three problems immediately appear, and each one is a genuine injustice — not a loophole:

Problem 1 — The gain isn't income of *one* year, but tax is annual. That ₹45 lakh accumulated silently over 19 years. Income tax is an **annual** levy on an **annual** slab system. Dumping 19 years of accretion into a single year artificially rockets you into the top slab, so you pay a top-slab rate on gains that, spread over 19 years, might never have touched the top slab. This is the **"bunching" problem.**

Problem 2 — Part of the "gain" is fake; it's just inflation. Prices roughly quadrupled between 2005 and 2024. A part of your ₹45 lakh is not real enrichment — it is the rupee losing value. Taxing inflation is taxing a phantom; the taxpayer is poorer in real terms than the nominal number suggests.

Problem 3 — Nothing was "earned" until you sold. Your salary is a *flow* — money keeps arriving. An asset's appreciation is a *stock* that just sits there, unrealised, until the day you convert it to cash. Taxing paper appreciation every year would force people to sell assets just to pay tax. So gain must be recognised only at a single **realisation event.**

Ordinary "income" — salary, interest, rent, business profit — has none of these features. It arrives yearly, it is real, and it is realised as it accrues. **Capital gains behave fundamentally differently, so the Act gives them their own head, their own timing rule, their own inflation adjustment, and their own concessional treatment.** That is the entire reason Capital Gains (Sections 45 to 55A) exists as a *separate* head under Section 14.

A fourth, quieter problem — double counting across heads. The same rupee must not be taxed twice, nor must a genuine wealth accretion escape entirely. If "asset sale" and "business sale" were not sharply separated, a trader could dress business profit as capital gain to grab the concessional rate, and an investor could dress a capital gain as "casual income" to duck it. The whole architecture below is an exercise in *drawing clean boundaries* so each rupee lands in exactly one head, once. Keep this boundary-policing instinct alive — it explains Sec 2(14)'s exclusion of stock-in-trade, Sec 50's forced-STCG rule, and the 56(2) forfeiture re-routing later on.

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2. The Core Idea

> **A capital gain is taxed only when a capital asset is *transferred* (realised), and because the gain has silently accumulated over the holding period, the law softens the blow the longer you held it — through indexation and/or a lower rate — and lets you defer tax entirely if you plough the money back into another approved capital asset.**

Four load-bearing words fall out of that sentence, and the whole chapter is just these four unpacked:

1. **Capital asset** — *what* is being sold (Sec 2(14)).
2. **Transfer** — the *trigger* event that makes gain taxable (Sec 2(47)).
3. **Holding period** — *how long* you held it, which decides short-term vs long-term.
4. **Reinvestment exemptions** — a *deferral* mechanism (Sec 54 family) that says "if you didn't really cash out — you rolled into another asset — we'll wait."

The charging section, **Sec 45(1)**, ties them together: "*Any profits or gains arising from the transfer of a capital asset shall be chargeable to tax under the head Capital Gains in the previous year in which the transfer took place.*" Notice the timing — the year of **transfer**, not the year of accretion. That single clause solves Problem 3 above.

The three non-negotiable conditions of Sec 45(1) — a checklist the examiner hides. For a charge to arise, ALL of the following must be present simultaneously: (a) there must be a **capital asset**; (b) it must be **transferred**; (c) that transfer must have happened in the **previous year**; and (d) a **profit or gain** must arise. Knock out any one and the charge collapses. This is why the exam loves to hand you a "sale" of *rural agricultural land* (fails (a) — not a capital asset) or a *partition of HUF* (fails (b) — not a transfer): the moment one leg breaks, you stop computing and simply write "no capital gain arises." Training yourself to run this four-point gate first saves you from computing tax on transactions that were never chargeable.

The special sub-charges of Sec 45. Sec 45(1) is the mother charge, but the section has children for tricky timing situations. Know at least that these exist, because examiners cite the sub-section number:

Sub-section	Situation	Timing / special rule
45(1A)	Money/asset received under **insurance** on damage or destruction of a capital asset (flood, fire, riot, etc.)	Charged in the year compensation is *received*; FVC = value of money/asset received
45(2)	**Conversion of capital asset into stock-in-trade**	Charged in the year the *converted stock is sold*; FVC = FMV on date of conversion
45(3)	Partner/member **introduces a capital asset into a firm/AOP** as capital contribution	FVC = amount *recorded in the firm's books*
45(4)	**Reconstitution** of a firm/specified entity — asset/money to a retiring or continuing partner (post-2021 rule)	Charged in the firm's hands; **verify current mechanics**
45(5)	**Compulsory acquisition** with compensation, incl. enhanced compensation	Initial compensation taxed in year *first received*; enhanced compensation taxed in year of *receipt*, cost of enhancement taken as nil

The three most examined are 45(2), 45(5) and the newer 45(4). Do not memorise the wording — memorise the *timing hook* in the last column, because each one exists to answer the question "the transfer and the receipt of money fall in different years — which year taxes it?"

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3. Why It's Built This Way — the design logic behind each feature

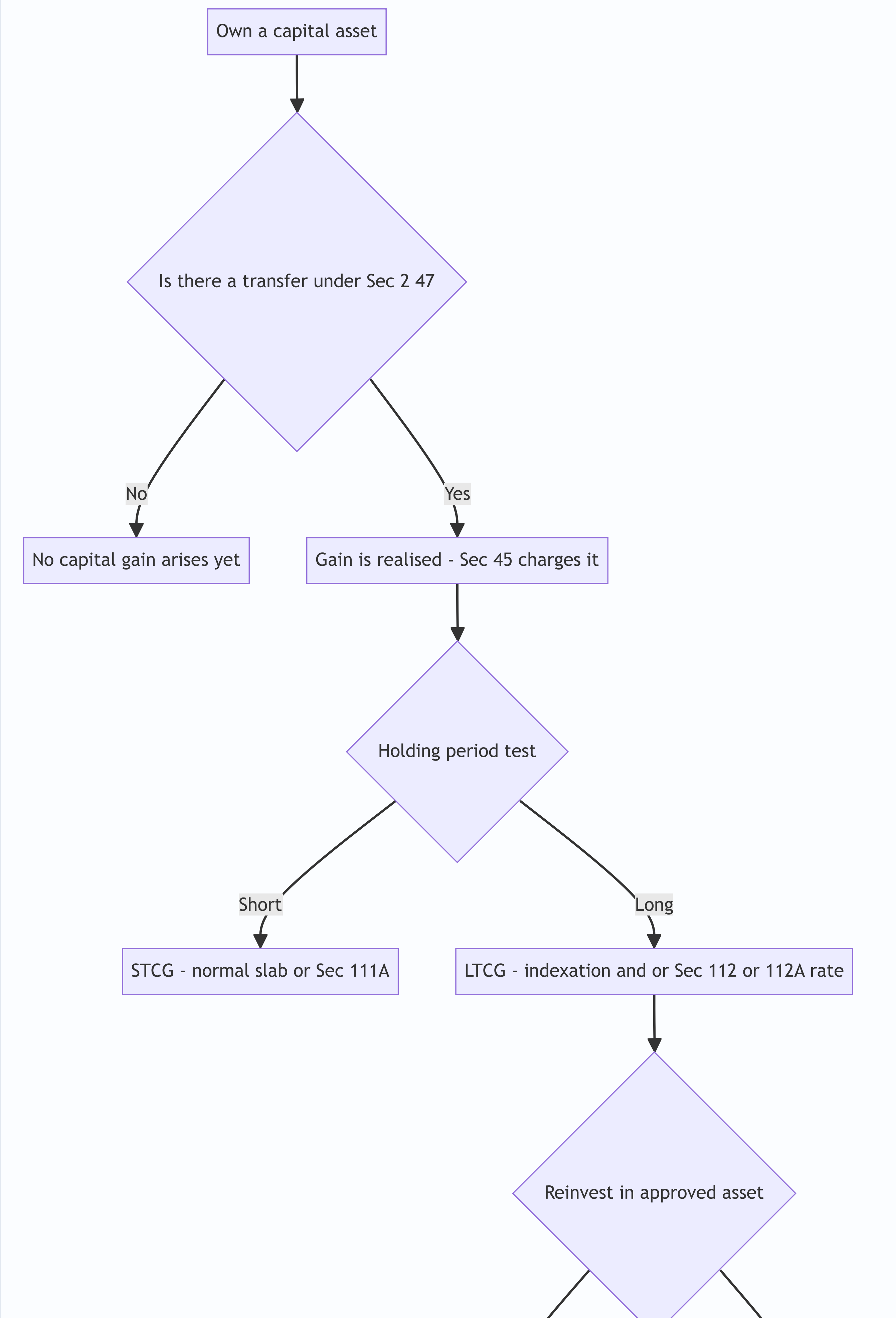
Before any section, understand the *design choices* the legislature made, because every rule below is one of these choices in disguise:

Design choice	The problem it solves	How the Act implements it
Separate head of income	Bunching + realisation timing	Sec 45 charges only on transfer
Distinguish short vs long holding	Long holders suffer more inflation + more bunching	Holding-period test → STCG vs LTCG
Indexation of cost	Inflation is not real gain	Cost Inflation Index (CII), Sec 48 2nd proviso
Concessional LTCG rate	Long gains deserve gentler treatment	Sec 112 / 112A special rates
Reinvestment exemptions	Person hasn't truly consumed the gain	Sec 54, 54B, 54D, 54EC, 54F etc.
Deemed full value (Sec 50C, 50CA)	Under-reporting of sale price	Substitute stamp value / FMV
Deemed short-term (Sec 50)	Depreciation already given real-terms relief	Block-of-assets gain forced to STCG
No-cost assets taxed at nil cost	Self-generated goodwill etc. has no purchase price	Sec 55 fixes COA = nil for listed items

The elegance: **the longer you hold, the more inflation and bunching hurt you, so the more relief the law gives you.** Short-term gains get neither indexation nor a special rate (with narrow exceptions) —

because over a few months, inflation and bunching are trivial, so ordinary treatment is fair. That single principle — *relief scales with holding period* — is the spine of the whole chapter. Memorise the principle, and every rule becomes predictable.

A second organising principle — "substance over form, in both directions." The Act reaches *beyond* the paper wherever form and substance diverge. It **expands** the charge where a taxpayer disguises a real cash-out as a non-sale (Sec 2(47) catches exchange, relinquishment, extinguishment; Sec 50C catches under-pricing). It **contracts** the charge where a paper "transfer" hides the absence of a real cash-out (Sec 47 spares gifts, partitions, group restructurings). So whenever a fact pattern feels artificial, ask: *did real economic value actually change hands and get realised?* The answer predicts whether the Act taxes it, almost every time.



Own a capital asset
Is there a transfer under Sec 2 47
No
Yes
No capital gain arises yet
Gain is realised - Sec 45 charges it
Holding period test
Short
Long
STCG - normal slab or Sec 111A
LTCG - indexation and or Sec 112 or 112A rate
Reinvest in approved asset

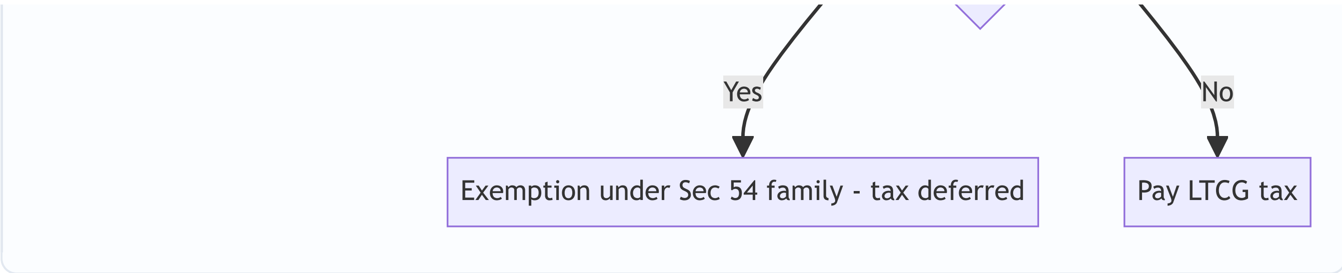


Figure 1 — The master decision path of every capital gains problem: asset → transfer → holding period → rate → possible exemption.

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4. Full Technical Content

4.1 Capital Asset — Sec 2(14)

Why a definition at all? Because "asset" is enormous. The law wants to tax *investment/wealth* accretion, not the ordinary tools and stock of daily life or livelihood. So Sec 2(14) starts wide ("property of any kind") and then *carves out* things that logically belong to *other* heads or shouldn't be taxed as wealth appreciation.

Definition: A capital asset means **property of any kind held by an assessee**, whether or not connected with business or profession, **and includes** securities held by an FII, and certain unit-linked insurance policies — **but excludes** the following:

Exclusion	Why it is excluded (the logic)
Stock-in-trade, raw material, consumables	Selling these is *business*, taxed under PGBP — not wealth appreciation
Personal effects — movable property for personal use (clothes, furniture, car, mobile)	Household items depreciate; taxing their "gain" is pointless. **But** jewellery, archaeological collections, drawings, paintings, sculptures, art works are **NOT** personal effects — they are investments, so they ARE capital assets
Rural agricultural land in India	Meant to shield genuine farmers; farming is separately exempt. **Urban** agricultural land IS a capital asset
Specified Gold Bonds / Gold Deposit Bonds / Gold Monetisation Scheme deposits	Policy incentive to draw idle gold into the economy

"Property of any kind" is genuinely vast. The phrase has been read to include not just tangible assets but **rights** — a right to sue, tenancy rights, a manufacturing licence/quota, route permits, a partner's interest in a firm, a right to obtain a house under a booking, and even **goodwill**. The examiner exploits this width: "surrender of tenancy right for ₹X" is a transfer of a capital asset, taxable — not tax-free "compensation." If it is a *right that can be transferred or extinguished*, presume it is a capital asset unless it falls in an exclusion.

Memory hook — "SPRAG" for the exclusions: **S**tock-in-trade, **P**ersonal effects, **R**ural agricultural land, **A**gricultural (rural) — **G**old bonds/schemes. (Personal effects and jewellery is the examiner's favourite trap — see §8.)

Two finer distinctions the exam tests inside "personal effects": - The test is **actual personal use**, not merely *capability* of personal use. A set of gold sovereigns and silver bars used for *puja* was held (Maharaja

Rana Hemant Singhji) NOT to be personal effects — they were not articles of *personal wear or ordinary household use*, so they remained capital assets. Utensils of gold/silver used daily may qualify as personal effects; bullion never does. - The exclusion covers only **movable** property held for personal use. A house you live in is **immovable** and therefore fully a capital asset — self-occupation does not turn it into a "personal effect."

The rural agricultural land test deserves its own diagram because it is heavily examined:

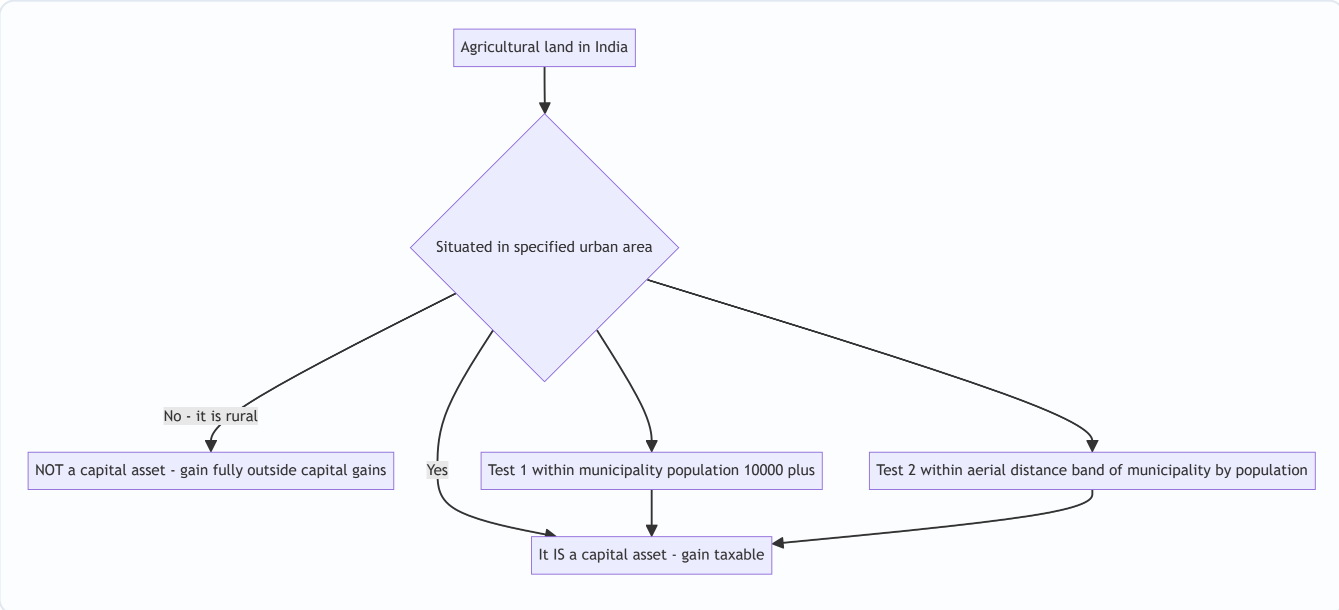

Figure 2 — Only RURAL agricultural land escapes; urban agricultural land is a normal capital asset. Verify the population/distance bands in current material.

The population-distance bands (broadly: within 2 km if population 10,000–1,00,000; 6 km if 1,00,000–10,00,000; 8 km if above 10,00,000) are a classic memorised table — **verify current bands in ICAI material.** Three refinements the examiner layers on top: - The distance is measured **aerially** (straight-line), not by road — a deliberate anti-avoidance clarification. A plot 5 km by road but 3 km aerially from a 5-lakh-population town is *urban*. - **Agricultural land situated OUTSIDE India is always a capital asset** — the rural exclusion is expressly "in India." A resident selling farm land in another country computes capital gains normally. - If land is *agricultural in records* but *no agricultural operations are actually carried on* and it is plotted for sale, courts may treat it as a capital asset / business asset — substance again beats the revenue-record label.

4.2 Transfer — Sec 2(47)

Why define "transfer" so exhaustively? Because Sec 45 only bites on transfer. If "transfer" meant only "sale," people would dodge tax by "exchanging," "extinguishing rights," giving up possession under an agreement, etc. So Sec 2(47) is deliberately wide to catch every substance-of-sale event.

Transfer includes: sale, **exchange**, **relinquishment** of the asset, **extinguishment of any rights** in it, **compulsory acquisition** under law, **conversion of a capital asset into stock-in-trade** (deemed transfer — taxed when the converted stock is sold, using FMV on conversion date as full value), and **allowing possession of immovable property** under a part-performance contract (Sec 53A of Transfer of Property Act), and transactions transferring enjoyment via membership/shares.

Distinguishing the four "sale-like" verbs — an exam favourite: - **Sale** — ownership passes for a price. - **Exchange** — two assets swap owners; *each side* is a transfer, and FVC on each side is the *market value of the* *asset received*. Barter of a flat for a plot triggers capital gains for both parties. - **Relinquishment** — you *give up your rights* in an asset **but the asset continues to exist** and someone else takes it (e.g. one co-owner releasing his share to the others). You surrender *to another*. - **Extinguishment of rights** — the *rights themselves are destroyed* (e.g. shares of a company that is liquidated; cancellation of a right). Nothing passes to a transferee necessarily — the bundle of rights simply ceases.

The **part-performance** limb (clause (v), read with Sec 53A of the Transfer of Property Act) is a classic trap: handing over **possession** of immovable property under a written, part-performed agreement is a "transfer" *even though the sale deed is not yet registered*. So a builder who takes the full price and gives possession in Year 1 but registers the conveyance in Year 3 has *transferred* in **Year 1**. The examiner sets the possession date and the registration date in different years precisely to test this.

Transactions NOT regarded as transfer — Sec 47 (why: no real change of beneficial ownership, so no realisation). Key ones:

- Distribution of assets on **partition of a HUF** — the family already owned it collectively.
- Transfer under a **gift, will, or irrevocable trust** — no consideration flows; instead the *donee* inherits the previous owner's cost and holding period (see §4.6), so tax is only deferred, not forgiven.
- Transfer of a capital asset by a **holding company to its 100% subsidiary** (or vice versa), subject to conditions — group is economically one entity.
- Transfers under **amalgamation / demerger** to the resulting Indian company, subject to conditions.
- **Conversion of bonds/debentures into shares** of the same company — you have merely changed the form of your investment, not exited it.
- Transfer of a capital asset on **conversion of a firm/sole proprietorship into a company**, or of a private company into an LLP, subject to strict conditions.

Watch the "subject to conditions" tail on Sec 47. These exemptions are *conditional deferrals*, not gifts. If the condition is later broken — e.g. the holding company ceases to hold 100% of the subsidiary within the specified period, or the amalgamated company disposes of the asset in breach — **Sec 47A claws the gain back** and taxes the *transferor* in the year the condition fails. Same philosophy as the Sec 54 clawback: relief survives only while the substance (single economic ownership) survives.

Memory hook: Sec 4**7** = the "**not**-a-transfer" list (7 looks like an inverted "not"/exemption gate). Its logic is always "*beneficial ownership didn't really change, or consideration didn't flow — so defer, don't tax now.*"

4.3 Short-term vs Long-term — the holding-period test (Sec 2(42A) / 2(29A))

Why the distinction is the heart of the chapter: it decides whether you get indexation and a concessional rate (long-term) or ordinary treatment (short-term). Recall §3 — relief scales with holding period.

Rule: compute the period from **date of acquisition to date of transfer.** If it exceeds the threshold → **long-term capital asset (LTCA)** → gain is **LTCG**. Otherwise **short-term (STCA/STCG).**

But the threshold is not one number — it depends on the asset, because different assets appreciate and are held over different natural horizons:

Asset class	Long-term if held for MORE than	Logic
Listed equity shares, equity-oriented units, units of business trust	12 months	Liquid, standardised markets; policy pushes retail equity investing
Unlisted shares, immovable property (land/building)	24 months	Less liquid than listed equity, more liquid than "everything else"
Any other asset (gold, debt funds pre-rule-change, unlisted debentures, etc.)	36 months	Default residual horizon

Memory hook — "12 / 24 / 36 ladder": the more liquid and market-traded the asset, the *shorter* the road to "long-term." Listed equity = 12; unlisted shares & real estate = 24; the residual "everything else" = 36.

"More than," not "equal to" — the boundary-date trap. The asset becomes long-term only if held for a period **exceeding** the threshold. An asset bought on 1-Apr-2022 and sold on **1-Apr-2023** has been held for *exactly* 12 months — that is **not more than** 12 months, so it is still **short-term**; it turns long-term only from 2-Apr-2023. The date of acquisition is *included* and the date of transfer is *excluded* when counting. Examiners set the two dates precisely one threshold apart to catch the careless.

Special "date of acquisition" rules the exam hides inside the holding period: - **Shares in a company in liquidation** — the period *after* the date of liquidation is excluded. - **Bonus shares / rights shares** — the holding period runs from the **date of allotment**, not from the date the original shares were bought. Bonus shares issued last month are short-term even if the underlying shares are decades old. (And their **cost** is separately governed — see §4.4.) - **Right entitlement (the renounced right)** — period runs from the offer date to the renunciation date. - **Property acquired under gift/will/inheritance/partition** — include the previous owner's period (§4.6). - **Flat/house acquired from a developer / co-operative society** — usually reckoned from the date of allotment letter (subject to case law) rather than final possession — a genuinely litigated point; **note it, verify current ICAI stance.**

> **Flag:** The holding-period slabs and the treatment of debt mutual funds / market-linked debentures were changed by recent Finance Acts (some now always short-term regardless of period). **Verify the current classification table for your AY.**

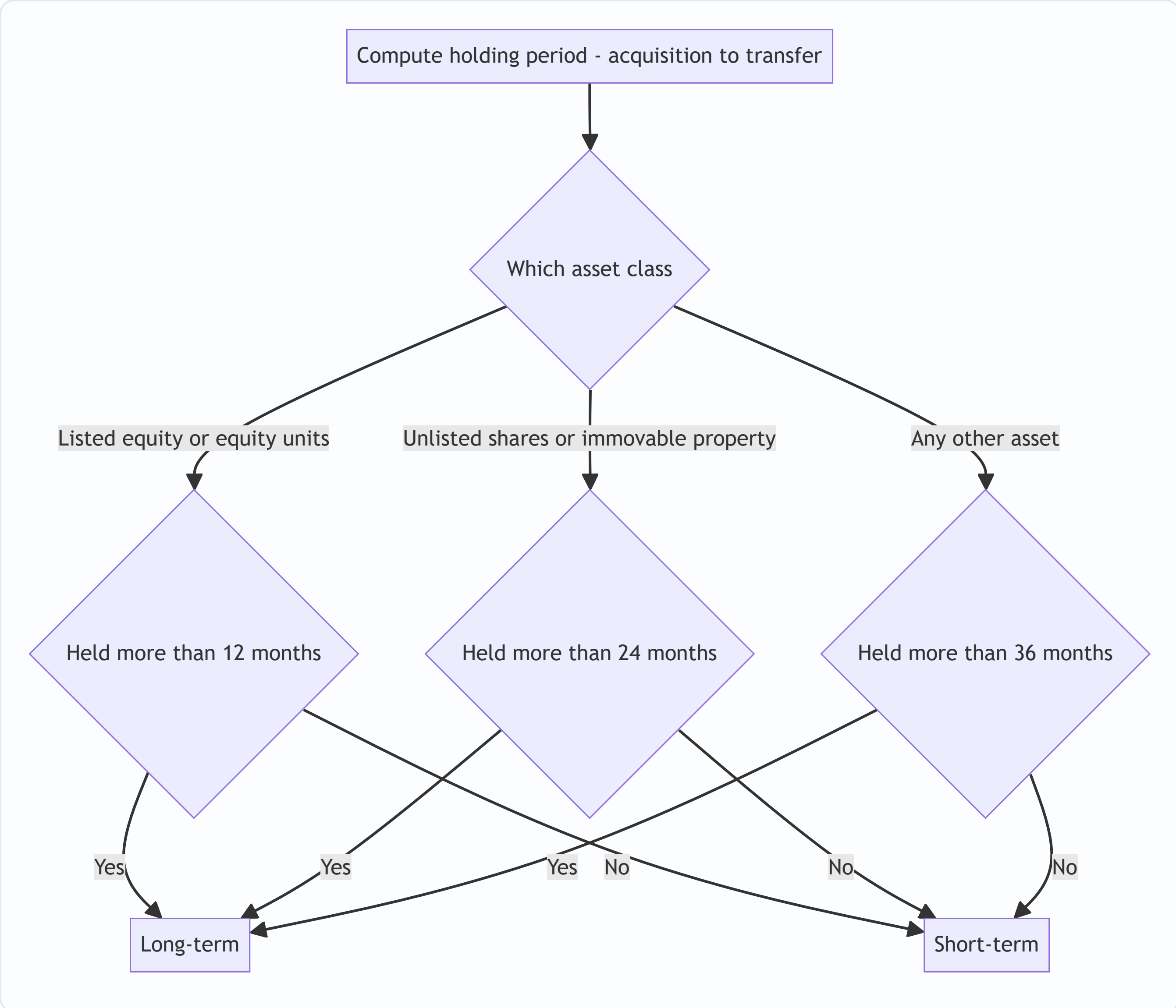

Figure 3 — The 12/24/36 holding-period ladder. Verify current thresholds and any asset-specific overrides.

4.4 The computation engine — Sec 48

Sec 48 gives the **universal formula.** Everything else is a variation on it.

For SHORT-TERM capital gain:

```
Full value of consideration received/accruing on transfer
LESS: Expenditure incurred wholly and exclusively in connection with transfer
LESS: Cost of acquisition
LESS: Cost of improvement
= Short-Term Capital Gain (STCG)
```

For LONG-TERM capital gain (where indexation applies):

```
Full value of consideration
LESS: Expenditure in connection with transfer
LESS: INDEXED cost of acquisition
LESS: INDEXED cost of improvement
= Long-Term Capital Gain (LTCG)  [before exemptions]
```

Why the two versions differ — this is the whole point of §1 Problem 2. Short-term holders barely suffer inflation, so their cost stays at historical value. Long-term holders held through years of inflation, so their cost is *inflated up* (indexed) to today's rupees — removing the phantom inflationary gain before tax.

The building blocks, each with its logic:

- **Full value of consideration (FVC):** what you actually receive (cash or the value of what you exchange). *Anti-abuse override:* where immovable property is sold below stamp-duty value, **Sec 50C** deems the stamp value to be the FVC (with a tolerance band, verify current %). For unquoted shares, **Sec 50CA** substitutes FMV. *Why:* stops parties from writing a fake low price on paper.
- **Expenditure on transfer:** brokerage, legal fees, stamp duty on sale, advertisement to find a buyer — costs *of selling*. *Why:* only the *net* enrichment should be taxed. **Not deductible:** any expenditure already claimed under another head, and — critically — **Securities Transaction Tax (STT) is expressly NOT deductible** in computing capital gains (its trade-off is the concessional 111A/112A rate). Deducting STT is a guaranteed mark-loss.
- **Cost of acquisition (COA) — Sec 55:** what you paid to get the asset. Special rules where you didn't pay (gift/inheritance — you take the *previous owner*'s cost, §4.6) or where the asset has no cost (self-generated goodwill etc. → cost taken as nil, subject to current law).
- **Cost of improvement — Sec 55:** capital additions after acquisition (building a floor, boundary wall). *Excludes* routine repairs (those are revenue). Improvements *before 1-4-2001* are ignored — see the FMV option below.

Cost of acquisition — the special Sec 55 cases the exam mines:

Asset	Cost of acquisition rule
Bonus shares allotted on/after 1-4-2001	**Nil** — you paid nothing for them (their value came out of the original shares)
Bonus shares allotted before 1-4-2001	FMV as on 1-4-2001
Rights shares subscribed by the shareholder	The **amount actually paid** to the company
Right entitlement (the renounced right sold to a third party)	Cost = **nil** in the renouncer's hands; buyer's cost = amount paid to renouncer + amount paid to company
Self-generated goodwill, tenancy right, route permit, loom hours, brand, trademark	Cost = **nil** (no acquisition price), so the *entire* consideration is the gain — but note recent law has altered goodwill/depreciable-intangible treatment; **verify current position**
Asset acquired before 1-4-2001	Higher of actual cost or **FMV on 1-4-2001**, at assessee's option

Indexed Cost formula (Sec 48, 2nd proviso):

$$\text{Indexed COA} = \text{COA} \times \frac{\text{CII of year of transfer}}{\text{CII of year of acquisition (or 2001-02 if earlier)}}$$

The **Cost Inflation Index (CII)** is a government-notified inflation multiplier with a **base year 2001-02 = 100** (base year may be revised — verify). If you acquired *before* 1-4-2001, you may substitute the **Fair Market Value as on 1-4-2001** for cost (Sec 55) — because tracing a 1970s cost is impractical and unfair, so the law lets you "restart the clock" at 2001 value.

Three indexation subtleties that separate top answers: - Indexation of **cost of improvement** uses the CII of the year the improvement was *incurred*, not the year of acquisition — each improvement is indexed on its own timeline (see Example 2). - The **FMV-on-1-4-2001** substitution and indexation interact: if you elect FMV on 1-4-2001 as cost, the *indexation denominator* is the CII of 2001-02 (=100), because that is your deemed year of acquisition for cost purposes. - **No indexation is available to non-residents** on the sale of shares/debentures of an Indian company acquired in foreign currency — instead the **first proviso to Sec 48** gives a *forex-fluctuation* computation (convert cost, expenses and consideration into the same foreign currency, compute the gain, reconvert). Indexation and the forex method are **mutually exclusive**. Note this exists; **verify mechanics/current AY.**

> **Big flag:** Whether indexation is *available at all* on various long-term assets has been curtailed by recent Finance Acts (some LTCG now taxed at a flat lower rate *without* indexation, sometimes with a taxpayer option). The *concept* — remove inflation before taxing long gains — is what you must own; the *mechanics* (rate vs indexation) **must be checked in current ICAI material for your AY.**

4.5 The special rates — Sec 111A, 112, 112A

Why special rates exist: ordinary slab rates (up to ~30%+) applied to bunched long gains would be punitive (Problem 1). So the Act carves out flat, gentler rates for specified gains. Note the pattern below — **listed-equity gains get their own regime (STT-paid) separate from everything else.**

Section	Applies to	Nature	Rate (verify current %)	Logic
111A	STCG on listed equity shares / equity-oriented units where **STT paid**	Short-term	Flat concessional (historically 15%, revised recently)	Encourage equity market participation; STT already collected
112A	LTCG on listed equity / equity units where STT paid	Long-term	Flat concessional above an annual exemption threshold (historically ₹1 lakh, revised); **no indexation**	Reward long equity holding; the exemption threshold protects small investors
112	LTCG on **all other** long-term assets (land, building, unlisted shares, gold, debt)	Long-term	Flat rate (historically 20% with indexation; recent law introduced lower flat rate without indexation / option)	General concessional LTCG treatment

Memory hook: 111A = Short equity, **112A = Long equity** (the "A" pair are the *equity + STT* twins), **112 (no A) = Long everything-else.**

Finer points on 112A that examiners test: - The annual exemption (historically ₹1 lakh, revised — verify) is a **per-year, per-assessee** slice of 112A gains that bears **nil** tax; the concessional rate applies only to the *excess*. It is NOT a deduction from total income and cannot shelter any other gain. - 112A requires STT paid

both on acquisition and on transfer for listed shares (with notified exceptions such as IPO/bonus/rights acquisitions where STT-on-purchase could not have been paid). If STT was not paid, the gain falls under **Sec 112** (unlisted-style treatment), not 112A. - A **grandfathering** rule protects gains accrued up to 31-Jan-2018 for assets held on that date: cost is taken as the *higher of* actual cost and the *lower of* (FMV on 31-Jan-2018, and actual sale consideration). This exists because 112A newly taxed long equity that was previously exempt; **note it, verify.**

Two protective rules that flow from *fairness*, not memorisation:

- **Chapter VI-A deductions (80C etc.) are NOT allowed against 111A/112/112A special-rate income.** *Why:* those deductions are meant to shelter ordinary income; letting them also erase already-concessional capital gains would be double relief. **Exception nuance:** deductions under 80C etc. can still be claimed against *other* (slab) income; they are merely barred from being set against these special-rate gains.
- **Basic exemption limit adjustment (residents):** if a resident individual's *other* income is below the basic exemption limit, the shortfall can be set off against LTCG/STCG-111A first. *Why:* the basic exemption belongs to every resident; it shouldn't be lost merely because income happens to be capital gain. (Available to residents only — a non-resident cannot claim it against these special-rate gains.) **Ordering subtlety:** the shortfall is first adjusted against **112A** gains only to the limited extent the law permits and after the annual 112A exemption — the intended reading is that the basic-exemption shortfall soaks up special-rate gains to minimise tax, but the ₹1-lakh 112A relief is applied first. **Verify the exact ordering in current ICAI material** — it is a common computation-marks battleground.

Rebate and surcharge interactions (know they exist): - The **surcharge on 111A/112A gains is capped** (historically at 15%) even for very high incomes — a deliberate concession to markets. Surcharge on *other* LTCG (Sec 112) under the old regime could be higher; the newer regime altered this. **Verify current caps.** - Whether the **rebate (87A)** is available against 111A/112A tax has itself been a moving target across Finance Acts — **do not assert a number; flag and verify.**

4.6 Cost & period when you didn't buy it — Sec 49 & Explanation to 2(42A)

The logic: In Sec 47 "not-a-transfer" cases (gift, inheritance, partition), no tax was charged on the giver *because* the tax is merely **deferred to the eventual sale by the receiver.** For that deferral to work, the receiver must **step into the giver's shoes**:

- **Cost of acquisition = cost to the previous owner** (Sec 49(1)).
- **Holding period includes the previous owner's holding period** (Explanation to Sec 2(42A)) — so an asset inherited yesterday but bought by grandfather in 1990 is long-term.
- For **indexation**, the year of *the previous owner's acquisition* is generally used for the CII (subject to case law / current position — verify).

"Previous owner" can be a chain. Sec 49(1) says cost is that of the **last previous owner who actually paid for the asset** (i.e. who acquired it by a mode *other* than the Sec 47 gift/inheritance modes). So if grandfather bought it, gifted to father, who gifted to son, the son's cost is *grandfather's* cost — you trace back through every gratuitous link until you reach a purchase. The holding period, likewise, aggregates every owner's period in the chain.

The indexation-year controversy (worth one clean sentence in the exam). The *statutory* wording indexes from the year *the current assessee* first held the asset, but courts (e.g. *Manjula Shah*) held indexation should run from the year the *previous owner* acquired it — which is more favourable and the position ICAI generally follows. **State the previous-owner year but flag that this rests on case law; verify current ICAI treatment.** For holding-period classification (short vs long) there is no controversy — the previous owner's period always counts.

This is a favourite exam theme: a gifted asset sold within months is **still long-term** if the donor held it long. Never test the holding period from the gift date alone.

4.7 Advance money forfeited & other adjustments — Sec 51 / 56(2)(ix) interaction

If you received advance money and the deal fell through and you **forfeited** it, historically it reduced your cost of acquisition; under current law such forfeited advance is instead taxed as **Income from Other Sources under Sec 56(2)(ix)** and does **not** reduce cost. *Why the change:* to tax the forfeiture in the year it happens rather than defer it. **Verify current treatment.**

The timing dividing line (Sec 51): advance forfeited on or after **1-Apr-2014** → taxed immediately under **56(2)(ix)** as IFOS, and does *not* touch cost. Advance forfeited **before** that date and still lying against the asset → the old rule applies: it is **deducted from the cost of acquisition** in the year the asset is eventually sold. A question that gives a forfeiture in, say, 2012 and a sale in 2024 is testing whether you reduce the cost by that old forfeiture (you do), while a fresh forfeiture is straight IFOS. **Verify the cut-off date for your AY.**

Sister provision — Sec 50C for the buyer's side is Sec 56(2)(x). When immovable property is *bought* for less than stamp value beyond the tolerance band, the *buyer* is taxed under **56(2)(x)** on the shortfall as IFOS. So under-pricing is attacked from both ends: seller via 50C (deemed higher FVC), buyer via 56(2)(x) (deemed income). Recognising this symmetry helps you spot which party the examiner is taxing.

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5. Worked Examples

> Every figure below reconciles line-by-line. **Rates and CII values used are illustrative** — plug in the notified CII and current rates for your AY.

Example 1 (Easy) — Short-term capital gain on listed shares (Sec 111A)

Facts: Mr A buys 1,000 listed equity shares on 10-May-2023 at ₹200 each (STT paid). Brokerage on purchase ₹500. He sells all on 1-Feb-2024 at ₹350 each; brokerage on sale ₹700. He has no other income.

Step 1 — Holding period. 10-May-2023 to 1-Feb-2024 ≈ 9 months. Listed equity threshold = 12 months. **≤ 12 months → Short-term.**

Step 2 — Full value of consideration. 1,000 × ₹350 = **₹3,50,000.**

Step 3 — Cost of acquisition. 1,000 × ₹200 = ₹2,00,000, **plus** purchase brokerage ₹500 (part of cost) = **₹2,00,500.**

Step 4 — Expenditure on transfer. Sale brokerage = **₹700.**

Step 5 — STCG.

Particulars	₹
Full value of consideration	3,50,000
Less: Expenditure on transfer (sale brokerage)	(700)
Less: Cost of acquisition (incl. purchase brokerage)	(2,00,500)
Short-Term Capital Gain	**1,48,800**

Step 6 — Tax. STT-paid listed-equity STCG → **Sec 111A flat concessional rate** (verify %), **not** slab. No 80C deduction against it. (Illustratively at 15%: tax ≈ ₹22,320 + cess, before basic-exemption adjustment.)

Reconciliation: Bought for ₹2,00,500, sold net of ₹700 = received ₹3,49,300; ₹3,49,300 − ₹2,00,500 = ₹1,48,800. ✓

Example 2 (Moderate) — Long-term capital gain on land with indexation

Facts: Ms B purchased a plot on 5-June-2010 for ₹8,00,000; registration & stamp duty on purchase ₹40,000. She built a boundary wall in FY 2015-16 for ₹1,00,000. She sells the plot on 20-Dec-2023 for ₹60,00,000; brokerage 1% of sale price. Illustrative CII: 2010-11 = 167, 2015-16 = 254, 2023-24 = 348.

Step 1 — Holding period. June-2010 to Dec-2023 ≈ 13.5 years. Immovable property threshold = 24 months. **Long-term.** Indexation applies (per illustrative pre-change law — verify current position).

Step 2 — Full value of consideration = ₹60,00,000. (Assume this equals/exceeds stamp value, so Sec 50C doesn't override.)

Step 3 — Expenditure on transfer. Brokerage 1% × 60,00,000 = **₹60,000.**

Step 4 — Indexed cost of acquisition. COA = ₹8,00,000 + ₹40,000 stamp duty = ₹8,40,000.

$$\text{Indexed COA} = 8,40,000 \times \frac{348}{167} = 8,40,000 \times 2.0838 = \mathbf{₹17,50,395}$$

Step 5 — Indexed cost of improvement. ₹1,00,000 × (348 / 254) = 1,00,000 × 1.3701 = **₹1,37,008.**

Step 6 — LTCG.

Particulars	₹
Full value of consideration	60,00,000
Less: Expenditure on transfer (brokerage)	(60,000)
Less: Indexed cost of acquisition	(17,50,395)
Less: Indexed cost of improvement	(1,37,008)
Long-Term Capital Gain	**40,52,597**

Step 7 — Tax. Land is *not* listed equity → **Sec 112** (illustratively 20% with indexation → ≈ ₹8,10,519 + cess; or the newer flat rate without indexation if opted — **verify which regime applies for your AY**).

Reconciliation: Nominal gain = 60,00,000 − 60,000 − 8,40,000 − 1,00,000 = ₹49,00,000. Indexation converts ₹9,40,000 of historical cost into ₹18,87,403 of today's rupees, shaving ₹9,47,403 of *inflationary* gain off the taxable figure → ₹49,00,000 − ₹8,47,403 = ₹40,52,597. ✓ (This ₹8.47 lakh reduction is exactly the "phantom inflation" from §1 Problem 2, made concrete.)

Examiner tweak — what if the sale price was below stamp value? Suppose the stamp-duty value was ₹66,00,000 while she sold for ₹60,00,000. Gap = 6/60 = 10%. If the tolerance band is (say) 10%, the gap does **not exceed** the band → actual ₹60,00,000 still stands. But if stamp value were ₹68,00,000 (gap 13.3% > band), **Sec 50C deems FVC = ₹68,00,000**, adding ₹8,00,000 straight to the taxable gain — with no extra cash actually received. **Verify the current tolerance %** — it is the pivot of this whole variation.

Example 3 (Exam-hard) — LTCG on a *gifted* residential house, with a Sec 54 reinvestment exemption

Facts: Mr C received a residential house **as a gift from his father on 1-July-2022.** His father had purchased it on 10-Aug-2005 for ₹12,00,000. Mr C sells the house on 15-Jan-2024 for ₹90,00,000 (stamp value ₹92,00,000). Selling expenses ₹90,000. On 1-Sept-2024 he buys a new residential house for ₹35,00,000. Illustrative CII: 2005-06 = 117, 2023-24 = 348.

Step 1 — Is it a transfer / a capital asset? Yes, a sale of a house = transfer of a capital asset. The *gift* to Mr C was NOT a transfer (Sec 47) — so no tax then; tax is deferred to this sale.

Step 2 — Holding period (the trap). Do **not** count from 1-July-2022 (gift date). Under Explanation to Sec 2(42A), include the **previous owner's** holding. Father held from Aug-2005; total ≈ 18 years → **Long-term.** (If you wrongly counted from the gift, you'd get ~18 months and mislabel it — the classic examiner trap.)

Step 3 — Full value of consideration — Sec 50C check. Actual price ₹90,00,000 < stamp value ₹92,00,000. If the gap exceeds the tolerance band (verify current %, e.g. 10%): here gap = 2/90 ≈ 2.2%, **within** the band → actual ₹90,00,000 stands. FVC = **₹90,00,000.** (If it had exceeded the band, FVC would be deemed ₹92,00,000.)

Step 4 — Cost of acquisition — Sec 49(1). Take the **father's cost = ₹12,00,000.**

Step 5 — Indexed cost. Using the previous owner's year of acquisition (2005-06):

$$\text{Indexed COA} = 12,00,000 \times \frac{348}{117} = 12,00,000 \times 2.9744 = \mathbf{₹35,69,231}$$

Step 6 — LTCG before exemption.

Particulars	₹
Full value of consideration	90,00,000
Less: Expenditure on transfer	(90,000)
Less: Indexed cost of acquisition	(35,69,231)
LTCG before exemption	**53,40,769**

Step 7 — Sec 54 exemption (reinvestment in a residential house). A LTCG on a residential house reinvested in another residential house is exempt to the **lower of (a) the capital gain or (b) the amount invested in the new house.** Here gain ₹53,40,769 vs investment ₹35,00,000 → exemption = **₹35,00,000** (the lower).

Step 8 — Taxable LTCG.

Particulars	₹
LTCG before exemption	53,40,769
Less: Exemption under Sec 54	(35,00,000)
Taxable LTCG (Sec 112)	**18,40,769**

Reconciliation: Father's ₹12,00,000 grew to a nominal ₹90,00,000 (net ₹89,10,000 after selling cost); indexation lifts cost to ₹35,69,231, giving ₹53,40,769 real gain; reinvesting ₹35 lakh defers tax on that slice, leaving ₹18,40,769 taxable. ✓ Every rupee accounted for.

Learning: had Mr C invested ₹55,00,000+ (≥ the whole gain), taxable LTCG would be **nil** — full deferral. This is the reinvestment logic of §4.8 below in action.

Example 4 (Exam-hard) — Sec 54F proportionate exemption on sale of gold, with the CGAS twist

Facts: Ms D sells **gold jewellery** (held 6 years, so long-term) on 10-June-2023 for **net sale consideration ₹40,00,000** (after transfer expenses). Indexed cost of the jewellery is ₹10,00,000, giving an **LTCG of ₹30,00,000**. On 20-Mar-2024 she invests **₹24,00,000** in constructing one residential house (she owns no other house). By the return due date (say 31-Jul-2024) construction is incomplete and only ₹24,00,000 has been spent; she deposits the balance she intends to use, **₹6,00,000**, in a Capital Gains Account Scheme account.

Step 1 — Which section? She sold a **non-house LTCA** (gold) and is buying a **residential house** → **Sec 54F**, not Sec 54. She owns no other house, so the eligibility condition is met.

Step 2 — Amount treated as "invested" for 54F. Actual construction spend ₹24,00,000 + CGAS deposit ₹6,00,000 (deemed invested if used within the window) = **₹30,00,000.**

Step 3 — 54F is PROPORTIONATE. Exemption = LTCG × (Amount invested in house ÷ Net sale consideration):

$$\text{Exemption} = 30,00,000 \times \frac{30,00,000}{40,00,000} = 30,00,000 \times 0.75 = \mathbf{₹22,50,000}$$

Step 4 — Taxable LTCG.

Particulars	₹
LTCG	30,00,000
Less: Exemption u/s 54F (proportionate)	(22,50,000)
Taxable LTCG (Sec 112)	**7,50,000**

Reconciliation & the 54F lesson: She reinvested ₹30 lakh of a ₹40 lakh *sale consideration* = 75% of the pot, so **75% of the gain** (₹22.5 lakh) is spared and 25% (₹7.5 lakh) is taxed. Note the contrast with Sec 54: under Sec 54 (source = house) reinvesting the *gain* is enough; under 54F (source ≠ house) you must reinvest the *whole net consideration* for full exemption — investing only part scales the relief down proportionately. **The CGAS twist:** if the ₹6,00,000 parked in CGAS is *not* actually used for construction within the statutory window (3 years to construct), that ₹6,00,000 slice is **withdrawn from exemption and taxed as LTCG in the year the**

window expires. Had she wanted the whole ₹30 lakh exempt, she needed to route the *entire* ₹40 lakh net consideration into the house.

Examiner tweak — "she already owned two houses": Sec 54F is denied outright if the assessee owns **more than one** residential house (other than the new one) on the date of transfer. One trap-line in the facts flips the entire answer to "54F not available → full ₹30 lakh taxable."

Example 5 (Moderate) — Sec 50: depreciable business asset, gain forced to short-term

Facts: XYZ Ltd owns a block of **plant & machinery** (only asset in the block). WDV of the block on 1-Apr-2023 = ₹8,00,000. No additions during the year. On 5-Jan-2024 it sells the **entire** plant in the block for ₹11,00,000. The plant was originally bought 7 years ago.

Step 1 — Spot Sec 50. Depreciation was claimed on this asset (it sits in a block). Even though it was held 7 years (which "feels" long-term), **Sec 50 deems any gain on a depreciable block asset to be SHORT-TERM.** *Why:* the taxpayer already enjoyed real-terms relief through annual depreciation; granting indexation on top would be a double benefit. No indexation, no LTCG rate.

Step 2 — Block-cease computation. Because the *whole* block is sold and the block ceases to exist, the short-term capital gain = Sale consideration − (opening WDV + cost of any additions):

Particulars	₹
Sale consideration	11,00,000
Less: WDV of block at start + additions	(8,00,000)
Short-Term Capital Gain (Sec 50)	**3,00,000**

Step 3 — Tax. ₹3,00,000 is **STCG taxed at normal slab/corporate rate** (Sec 50 STCG does **not** get 111A's concessional rate — that is only for STT-paid listed equity). No indexation.

Reconciliation & the finer rule: Sec 50 STCG arises in only two situations — (i) the *sale value exceeds the entire block's WDV plus additions* (excess = STCG, as here), or (ii) the *block ceases to exist* because every asset in it is sold (any positive/negative balance is STCG/STCL). If even one asset remained in the block and the sale value were less than the block WDV, **no capital gain arises at all** — you simply reduce the block and continue claiming depreciation. **Examiner tweak:** add a second machine still held in the block and make the sale value ₹6,00,000 — now the block survives, WDV becomes ₹2,00,000, **no capital gain**, depreciation continues. Recognising when Sec 50 does *not* fire is as important as knowing when it does.

4.8 (Technical, placed here to feed Example 3) — The reinvestment exemptions: Sec 54, 54F, 54EC

The unifying logic — "you didn't really cash out." If you sell your house and immediately buy another house to live in, you haven't *consumed* the gain — you've merely swapped one roof for another. Taxing you would force a sale of the new home to pay tax. So the Act says: *reinvest into an approved capital asset within a time window, and we'll exempt (defer) the gain to the extent reinvested.* Every exemption in this family is the **same idea with different asset pairs.**

Section	Sell WHAT (source)	Buy WHAT (reinvest)	Who	Exemption = lower of
54	LTCG on a **residential house**	Another **residential house** (in India)	Individual / HUF	Capital gain OR cost of new house
54F	LTCG on **any LTCA other than a house** (e.g. shares, gold, plot)	A **residential house**	Individual / HUF (must not own >1 other house)	*Proportionate* — gain × (investment ÷ net sale consideration)
54EC	LTCG on **land or building**	**Specified bonds** (NHAI/REC etc.), redeemable, 5-yr lock-in	Any assessee	Capital gain OR amount invested, **capped at ₹50 lakh**
54B	Capital gain (ST or LT) on **agricultural land** used for agriculture for 2 yrs prior	**Other agricultural land**	Individual / HUF	Capital gain OR cost of new agricultural land
54D	Capital gain on **compulsory acquisition** of land/building of an industrial undertaking	Land/building for shifting/re-establishing the undertaking	Any assessee	Capital gain OR cost of new asset
54G / 54GA	Gain on shifting an industrial undertaking from **urban area** (54G) or to a **SEZ** (54GA)	New assets at the shifted/SEZ location	Any assessee	Capital gain OR cost of new assets

Why 54 vs 54F differ in the exemption formula — a beautiful piece of logic: - Under **Sec 54** the source is *itself* a house, so reinvesting the *gain* is enough → exemption capped at gain or new-house cost. - Under **Sec 54F** the source is *not* a house (say shares). Parliament worries you might sell shares, buy a house partly with the gain and partly pocket cash. So it demands you invest the **entire net sale consideration** to get full exemption; invest only part, and you get a **proportionate** exemption: `Exemption = LTCG × (Amount invested in house ÷ Net sale consideration)`. *This proportionality is the single most tested feature of 54F.*

Two extra 54F-only conditions the exam plants in the facts: - The assessee must **not own more than one** residential house (other than the new one) on the date of transfer — own two already, and 54F is barred entirely. - The assessee must **not** purchase another new house within 2 years, or construct one within 3 years, *other than* the one on which exemption is claimed — a second new house within the window triggers a **withdrawal** of the earlier exemption. Sec 54 has no such "don't buy a further house" restriction.

Sec 54 now allows *one house* only, with a limited two-house window. Under current law the reinvestment under Sec 54 must generally be in **one** residential house; a *once-in-a-lifetime* option to buy **two** houses is available only where the capital gain does **not exceed** a specified limit (historically ₹2 crore). **Verify the ceiling and whether it still applies for your AY** — examiners love the "gain is ₹2.5 crore, can she still split into two houses?" trap (answer: no, exceeds the limit → one house only).

Why 54EC caps at ₹50 lakh and locks in 5 years: these are subsidised government infrastructure bonds. An uncapped exemption would let the ultra-rich park unlimited gains tax-free, so ₹50 lakh is the ceiling; the lock-in ensures the money genuinely funds infrastructure. Investment must be made **within 6 months** of transfer. Note two sharp edges: **54EC applies only to land or building** (not to shares, gold, or other assets — a frequent trap), and the ₹50 lakh cap is an **aggregate across the year of transfer and the immediately following year**, killing the old "₹50 lakh in March + ₹50 lakh in April = ₹1 crore" straddle.

Capital Gains Account Scheme (CGAS): if you haven't reinvested by the **due date of filing your return**, you must **deposit the unutilised gain in a CGAS account** with a bank to still claim 54/54F, and then use it within the statutory window (2 years to buy / 3 years to construct). *Why:* it stops taxpayers from *claiming* an exemption they only *intend* to fulfil — the money must be ring-fenced. **CGAS applies to 54, 54B, 54D, 54F, 54G/54GA — but NOT to 54EC** (54EC requires actual bond investment within 6 months; there is nothing to "park"). If a CGAS balance is left **unutilised** at the end of the window, that unutilised amount becomes **taxable as capital gain in the year the window expires** — long-term or short-term matching the original gain.

Clawback (why exemptions aren't permanent gifts): if the **new house is sold within 3 years** (54/54F) or the **54EC bonds are transferred/loaned against within 5 years**, the exemption is **withdrawn** — the earlier-exempt gain becomes taxable in the year of the breach. *Why:* the relief was for *genuine* long-term reinvestment, not a quick round-trip. **The clawback mechanics differ between 54 and 54F, and the exam tests the difference:** - Under **Sec 54**: if the new house is sold within 3 years, its **cost of acquisition is reduced** by the exempted gain when computing the (short-term) gain on that new-house sale — so the earlier relief is effectively recaptured. - Under **Sec 54F**: if the new house is sold within 3 years, the **earlier-exempted LTCG is itself deemed to be LTCG of the year of that sale** — a cleaner "revive the old gain" mechanism.

Recent law also **caps the cost of the new house eligible under 54/54F at ₹10 crore** — investment above ₹10 crore is ignored for the exemption. Verify.

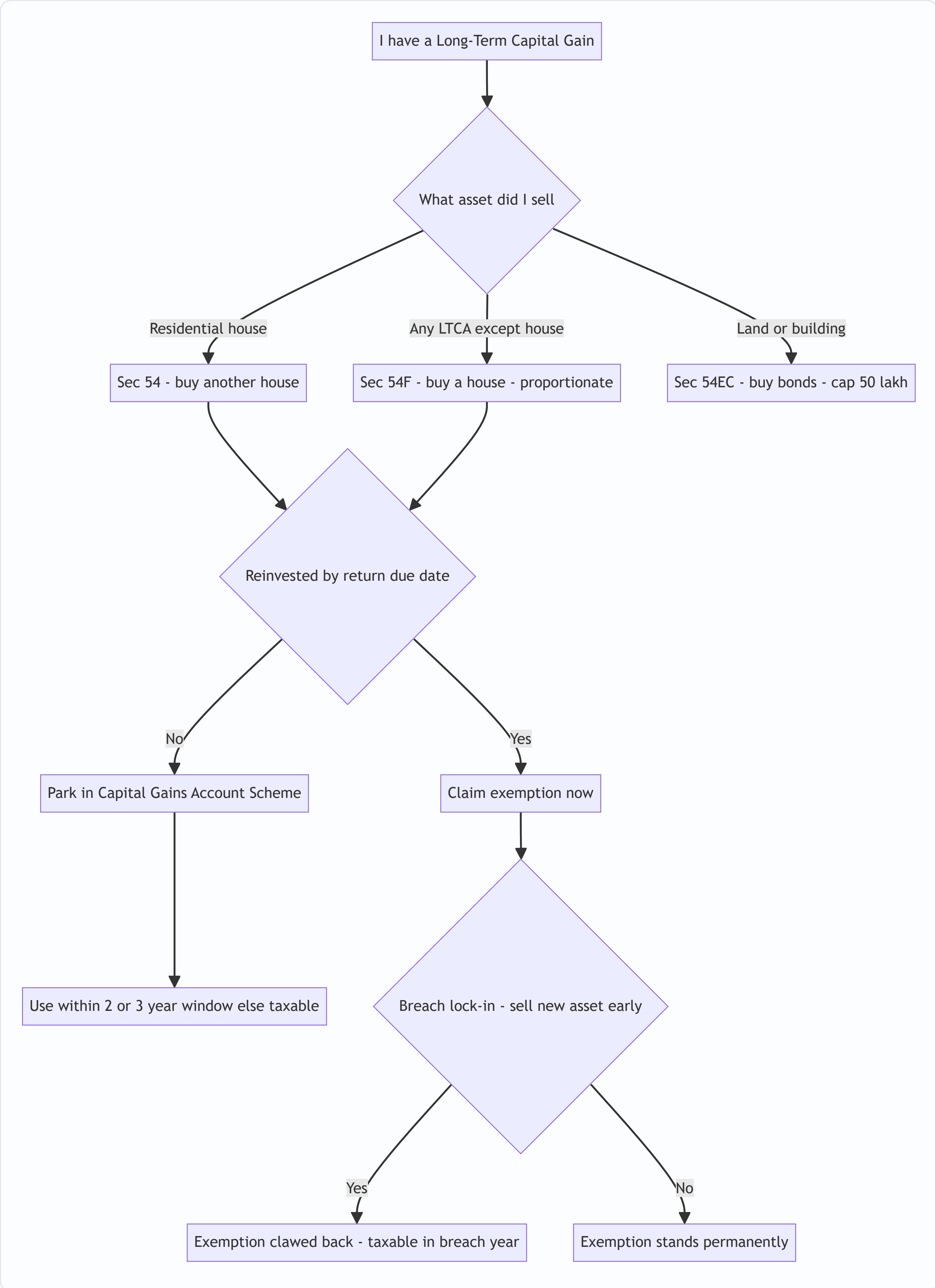

Figure 4 — The reinvestment-exemption family: same logic (defer tax on money ploughed back), different asset pairs, with CGAS parking and clawback guardrails. Verify ceilings and windows.

A decision map for "which reinvestment section applies" — because picking the wrong one is an automatic mark-loss:

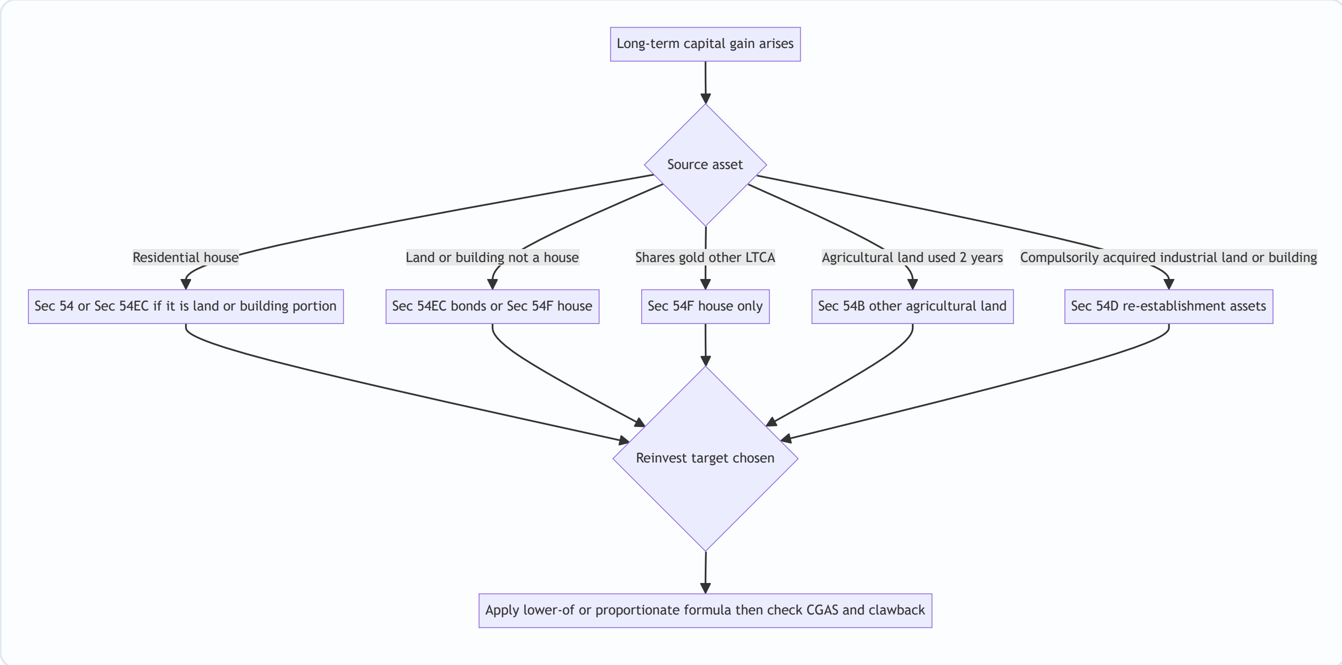

Figure 5 — Route the gain by SOURCE asset first; the source decides which reinvestment sections are even available before any formula is applied.

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6. Computation Format / Presentation (use this exact ladder in the exam)

Present **each capital asset separately**, then aggregate. Marks are awarded for the disciplined ladder — show every line even if nil.

```
Computation of Capital Gains for A.Y. 20XX-XX

A) Short-Term Capital Gain – [Asset name]
   Full value of consideration                         XXX
   Less: Expenditure on transfer                      (XXX)
   Less: Cost of acquisition                           (XXX)
   Less: Cost of improvement                           (XXX)
                                                       ─────
   Short-Term Capital Gain                              XXX
                                                       ═════

B) Long-Term Capital Gain – [Asset name]
   Full value of consideration                         XXX
   Less: Expenditure on transfer                      (XXX)
   Less: Indexed cost of acquisition                   (XXX)
   Less: Indexed cost of improvement                   (XXX)
                                                       ─────
   Gross Long-Term Capital Gain                         XXX
   Less: Exemption u/s 54 / 54F / 54EC                 (XXX)
                                                       ─────
   Taxable Long-Term Capital Gain                       XXX
                                                       ═════

Note: STCG u/s 111A and LTCG u/s 112 / 112A are taxed at
special rates and are shown separately from slab income.
Chapter VI-A deductions NOT allowed against them.
```

Presentation rules examiners reward: 1. Always **state the section** for the rate (111A / 112 / 112A) beside the figure. 2. Always **show the holding-period working** (dates + threshold) — that one line justifies STCG vs LTCG. 3. Show the **indexation fraction explicitly** (CII_transfer / CII_acquisition). 4. **Round** as per current rules; **carry set-off/exemptions on separate lines.** 5. Where **Sec 50C / 50CA** could apply, add a one-line "FVC = higher of actual and stamp/FMV" note *even when* the actual price wins — it shows the examiner you checked. 6. For **54F**, write the proportionate formula in full before plugging numbers; for **54**, write "lower of gain or investment." The visible formula earns method marks even if arithmetic slips.

The recommended order of attack for any capital-gains question (internalise this sequence): 1. Identify the **asset** → is it even a capital asset (Sec 2(14))? If excluded, stop. 2. Confirm a **transfer** (Sec 2(47)); rule out Sec 47 non-transfers. 3. Compute the **holding period** (bring in previous owner's period if gifted/inherited) → STCG or LTCG. 4. Fix **FVC** (apply 50C/50CA overrides), then subtract expenses, (indexed) cost, (indexed) improvement. 5. Apply **reinvestment exemptions** (right section by source asset; right formula). 6. **Classify for rate** (111A / 112 / 112A / slab), block Chapter VI-A, apply basic-exemption adjustment for residents. 7. Do **inter-head/intra-head set-off** of capital losses last.

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7. Connections

- **Head interaction (Sec 14):** Capital Gains is head #4. Selling *stock-in-trade* falls under **PGBP**, not here (that's why Sec 2(14) excludes it). Forfeited advance now lands in **Income from Other Sources (Sec 56)**.
- **Conversion into stock-in-trade — the two-head split:** on conversion, the *appreciation up to the conversion date* is **capital gain** (taxed when the stock is later sold), while any *further appreciation from conversion date to actual sale* is **business income (PGBP)**. One transaction, two heads, two computations — a genuinely testable overlap.
- **Set-off & carry-forward (Chapter VI): Short-term capital loss** can be set off against *both* STCG and LTCG; **Long-term capital loss** can be set off *only against LTCG* (logic: don't let a concessionally-taxed long loss wipe out fully-taxed short income). Capital losses **cannot** be set off against income under any *other* head. Both carry forward **8 years** — verify. Note you can carry forward a capital loss only if the **return was filed within the due date** (Sec 139(1)).
- **Clubbing & Sec 49:** gifted-asset gains connect to the "step-into-shoes" cost rule; watch clubbing where a spouse/minor's asset is transferred without consideration — the *capital gain* on later sale may be **clubbed** in the transferor's hands even though the asset stands in the transferee's name.
- **Sec 50 (depreciable assets):** gain on a business asset in a block on which depreciation was claimed is **deemed short-term** regardless of holding period — because you already got depreciation relief; giving indexation too would be double benefit. (Detailed in the PGBP/Depreciation chapter, and Example 5 above.)
- **Sec 50CA / 56(2)(x) pairing:** anti-underpricing on *both* sides of a deal (seller deemed higher FVC; buyer taxed on the bargain element as IFOS).
- **TDS:** Sec 194-IA (1% TDS on immovable property ≥ ₹50 lakh) and 195 (TDS on non-resident's gains) connect the computation to collection.
- **Advance tax:** capital gain is often unforeseeable, so advance-tax instalment shortfalls attributable to a capital gain that *arose after* an instalment date are generally relieved from interest under Sec 234C — a link to the advance-tax chapter.
- **Residential status (Chapter 02):** the basic-exemption-limit adjustment against 111A/112/112A gains is a **resident-only** benefit — non-residents lose it, and non-residents get the **forex** computation / no indexation under the first proviso to Sec 48. This is where residence feeds back into capital gains.

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8. Traps & Examiner Tricks

1. **Jewellery is NOT a personal effect.** "Sale of gold jewellery" → capital asset, gain taxable. Only *ordinary* personal movables (car, furniture, wearing apparel) are excluded. Paintings/sculptures/art likewise taxable. Silver utensils/bullion used for puja are also NOT personal effects.
2. **Gifted/inherited asset — count the previous owner's holding period AND cost.** The single biggest trick (Example 3). Never start the clock at the gift/inheritance date; trace the "previous owner" chain back to the last purchaser.
3. **Rural vs urban agricultural land.** Rural = not a capital asset (gain fully outside tax); urban = fully taxable. Apply the population/**aerial**-distance test. Agricultural land **outside India** is always a capital asset.
4. **Sec 50C tolerance band.** Only substitute stamp value if the gap *exceeds* the permitted % — a small gap keeps the actual price. And it applies to **land/building** only.

5. **54F is proportionate; 54 is not.** Applying the 54 formula to a 54F situation (or vice versa) is a guaranteed mark loss. 54F also requires you *not own more than one other residential house*, and denominator is **net sale consideration**, not the gain.
6. **54EC ₹50 lakh cap, land/building only, and the year-straddle trick.** Examiners set the transfer near a financial-year-end so a naive student invests ₹50 lakh in two years to get ₹1 crore exemption — current law caps the *aggregate* at ₹50 lakh across the two years. Also 54EC does **not** cover shares/gold. Verify.
7. **Chapter VI-A (80C etc.) NOT deductible against special-rate gains.** Students reflexively subtract 80C — wrong against 111A/112/112A income.
8. **CGAS deadline is the return due date, not the reinvestment window's end.** If not reinvested by the *filing due date*, the money must already be parked in CGAS to preserve the exemption. And CGAS does **not** apply to 54EC.
9. **Indexation only for long-term** (and only where current law still allows it) — never index a short-term cost. Also never index the cost when computing a **Sec 50** depreciable-asset STCG.
10. **Clawback on early sale of the new asset** — if the question sells the new house within 3 years, revive the exempt gain in the breach year (54: reduce new-house cost; 54F: revive old LTCG).
11. **Conversion of capital asset into stock-in-trade** is a *deemed* transfer but the gain is taxed in the year the *converted stock is sold*, using FMV on conversion date as the capital-gains full value (the excess over FMV is business income). Two-stage — easy to compress wrongly.
12. **STT is not a deductible transfer expense.** Deducting STT from FVC on listed-equity gains is a classic slip; it is the price paid for the 111A/112A concessional rate.
13. **Bonus shares carry NIL cost (post-1-4-2001) but their own holding period from allotment.** Students wrongly assign them a share of the original cost or the original purchase date — both wrong.
14. **"More than," not "at least," 12/24/36 months.** An asset held for exactly the threshold is still short-term. Count acquisition date in, transfer date out.
15. **Sec 45(5) compulsory acquisition timing.** Initial compensation is taxed in the year *first received* (not the year of acquisition order); *enhanced* compensation is taxed in the year of *receipt* with cost of enhancement taken as nil and litigation costs deductible.
16. **Sec 50 does not always fire.** If the block survives (some asset remains) and sale value is less than block WDV, there is **no capital gain** — just a reduced block that keeps depreciating. Test both directions.

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9. First-Principles Recap

Rebuild the whole chapter from one sentence: **"Wealth appreciation is different from ordinary income, so tax it only when realised, adjust for the years and inflation it accumulated over, and don't tax it at all if it was merely rolled into another asset."**

- *Only when realised* → charge on **transfer** (Sec 45), and define both **capital asset** (Sec 2(14)) and **transfer** (Sec 2(47)) precisely so nothing escapes and nothing wrong is caught. The Sec 45 sub-charges (1A/2/3/4/5) exist purely to answer "which year?" when the transfer and the receipt of money fall apart in time.
- *Adjust for years* → the **holding-period test** (12/24/36) splits short from long; long gains get a **special concessional rate** (Sec 111A / 112 / 112A) to defuse bunching.

- *Adjust for inflation* → **indexation** (Sec 48 + CII) inflates the historical cost so only *real* gain is taxed — where current law still permits it.
- *Rolled into another asset* → **reinvestment exemptions** (Sec 54 / 54F / 54EC and the 54B/54D/54G family) defer tax on the ploughed-back amount, guarded by **CGAS parking** and **clawback** so the relief stays genuine.
- *Don't be fooled by paper* → **substance over form runs both ways**: the Act expands the charge to catch disguised cash-outs (2(47), 50C, 50CA) and contracts it to spare disguised non-events (Sec 47), always asking whether real value truly changed hands.

If you can derive each section from the *reason*, you never need to memorise it. The reasons are permanent; the numbers are not — **so verify every rate, threshold, CII value, ceiling, and the applicable AY in current ICAI material before your attempt.**

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10. Quick-Revision Sheet

Sections at a glance

Section	What it governs	One-line hook
45(1)	Charging section — gain taxed in year of transfer	"Realisation = the trigger"
45(1A)/(2)/(3)/(4)/(5)	Timing sub-charges — insurance, conversion, firm intro, reconstitution, compulsory acquisition	"Which year taxes it"
2(14)	Capital asset definition + exclusions	"SPRAG excluded"
2(47)	Transfer definition (wide)	"Every substance-of-sale event"
47	NOT-a-transfer list (gift, will, HUF partition, holding-subsidiary)	"Sec 47 = the 'not' gate"
47A	Clawback of Sec 47 relief on breach	"Conditional deferral"
2(42A)/2(29A)	Short vs long-term; incl. previous owner's period	"12 / 24 / 36 ladder"
48	Computation formula + indexation	"FVC − expenses − (indexed) cost − improvement"
49(1)	Cost = previous owner's cost (gift/inheritance)	"Step into the shoes"
50	Depreciable block asset gain deemed short-term	"Depreciated → always STCG"
50C / 50CA	Deemed FVC = stamp value / FMV	"Anti-underpricing (seller)"
51 / 56(2)(ix)	Forfeited advance — old: reduce cost; new: IFOS	"Post-2014 → IFOS"
55	Cost of acquisition / improvement; FMV-on-1-4-2001; nil-cost assets	"Restart clock at 2001"
111A	STCG on STT-paid listed equity — flat rate	"Short equity"
112	LTCG on all other assets	"Long everything-else"
112A	LTCG on STT-paid listed equity, over threshold, no indexation	"Long equity"
54	House → house exemption	"Roof for roof"
54F	Any LTCA (non-house) → house, proportionate	"Invest full net consideration"
54EC	Land/building → bonds, ₹50 lakh cap, 5-yr lock	"Bonds, capped"
54B / 54D / 54G / 54GA	Agri land / compulsory acq. of industrial land / shifting undertaking	"Special reinvestments"

Limits & thresholds (VERIFY current values for your AY)

Item	Illustrative value — CONFIRM
Long-term threshold — listed equity/units	> 12 months
Long-term threshold — unlisted shares & immovable property	> 24 months
Long-term threshold — other assets	> 36 months
CII base year	2001-02 = 100
FMV substitution option	Assets acquired before 1-4-2001
111A STCG rate	historically 15% (revised)
112 LTCG rate	historically 20% with indexation / newer flat rate
112A LTCG rate + annual exemption	above ₹1 lakh threshold (revised); no indexation
112A grandfathering date	FMV as on 31-Jan-2018
54EC cap / lock-in / investment window / eligible asset	₹50 lakh / 5 years / within 6 months / land or building only
54 & 54F new-asset cost cap	₹10 crore
54 two-house option ceiling	gain up to ₹2 crore (once in a lifetime)
54/54F reinvestment window	buy: 1 yr before–2 yrs after; construct: 3 yrs
CGAS deposit deadline / non-applicability	return filing due date / NOT for 54EC
Clawback period — 54/54F new house	3 years
Set-off: STCL	against STCG & LTCG
Set-off: LTCL	against LTCG only
Capital loss carry-forward	8 years (return filed in time)
STT	NOT a deductible transfer expense
Sec 50C tolerance band	verify current % (e.g. 10%)

The one principle to carry into the hall: *relief scales with holding period* — short-term = ordinary treatment; long-term = indexation + concessional rate + reinvestment deferral. Everything else is detail hanging off that spine.

> **Final reminder:** Every rate, limit, CII figure, holding-period slab, and the very availability of indexation are subject to annual Finance Act changes. **Confirm each against current ICAI study material and the Assessment Year applicable to your exam before relying on a number.**

Q&A — Capital Gains

> **AY flag:** Rates, monetary limits and the CII table below are as generally applicable for **AY 2025-26** (and the position after the Finance (No.2) Act, 2024 changes effective **23 July 2024**). Capital-gains law saw a major re-write in July 2024 (holding-period simplification, 12.5% LTCG, removal of indexation for most assets). **Always re-verify the exact rate, holding period and CII number against the current ICAI Study Material / RTP for your attempt.** Section references are to the **Income-tax Act, 1961**.

Section A — Concept Check (short Q&A with section citation)

A1. What are the four conditions for a charge under "Capital Gains"? There must be (i) a **capital asset** [Sec 2(14)], (ii) a **transfer** [Sec 2(47)], (iii) the transfer takes place during the previous year, and (iv) profit/gain arises. Charge is under **Sec 45(1)**; gain is chargeable in the year of transfer.

A2. Give two items expressly excluded from "capital asset" under Sec 2(14). (i) **Stock-in-trade** (taxed as business income), and (ii) **rural agricultural land** in India. Also excluded: personal movable effects (except jewellery, art, drawings, paintings, sculptures, archaeological collections).

A3. Why does the law tax gains only on "transfer" and not on mere appreciation? Because of the **realisation principle** — unrealised paper gains are not income until converted through a transfer event. This is the "realisation" pillar; tax follows the cash-generating event, not annual mark-to-market.

A4. Name three transactions that are "not regarded as transfer" under Sec 47. (i) Distribution of capital asset on **total partition of an HUF** [47(i)]; (ii) transfer under a **gift or will** [47(iii)]; (iii) transfer of a capital asset by a **holding company to its 100% subsidiary** (or vice versa) [47(iv)/(v)]. These break the charge — no capital gain arises.

A5. State the holding-period thresholds for long-term status (post 23-07-2024). Two buckets only: **listed securities & units** — long-term if held **> 12 months**; **all other assets** (including unlisted shares and immovable property) — long-term if held **> 24 months**. (The old 36-month category for other assets is gone.)

A6. What is the purpose of the Cost Inflation Index (CII) under Sec 48? It **neutralises inflation** so that only the real gain is taxed, by grossing up cost: *Indexed cost = Cost × (CII of year of transfer ÷ CII of year of acquisition)*. Post-July 2024, indexation is **withdrawn** for most assets under the new 12.5% regime (with a grandfathering/relief option for resident individuals/HUF on land & building acquired before 23-07-2024).

A7. Distinguish Sec 111A, 112 and 112A rates. - **111A** — STCG on listed equity/units (STT paid): **20%** (raised from 15% w.e.f. 23-07-2024). - **112A** — LTCG on listed equity/units (STT paid) above ₹1.25 lakh: **12.5%**, no indexation. - **112** — LTCG on other assets: **12.5%** without indexation (post 23-07-2024).

A8. What does Sec 55 supply that Sec 48 needs? Sec 55 defines **"cost of acquisition" and "cost of improvement"**, including the **Fair Market Value as on 01-04-2001** option for assets acquired before that date, and treats cost of self-generated goodwill etc. as **nil**.

A9. Why does Sec 49(1) matter for gifted/inherited assets? It provides **cost stepping-through**: the previous owner's cost becomes the assessee's cost, and Explanation to Sec 2(42A) makes the **previous owner's holding period** count. This prevents a gift/inheritance from resetting the tax clock.

A10. What is the anti-avoidance role of Sec 50C? For land/building, if actual consideration is **below stamp-duty value**, the **stamp-duty value** is deemed to be the full value of consideration (subject to a **safe-harbour tolerance band of 10%**). Sec 50CA does the same for **unquoted shares** using FMV.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — STCG under Sec 111A

Ms. R sold 1,000 listed equity shares (STT paid) on 10-05-2024, holding period 8 months. Sale ₹4,20,000; cost ₹3,00,000; brokerage on sale ₹2,000. Compute tax on this gain (ignore other income; she is a resident individual, opts out is irrelevant).

Answer. Holding ≤ 12 months → **STCG**, and STT-paid listed equity → **Sec 111A**. - Full value of consideration = 4,20,000 - Less: expenses on transfer (brokerage) = 2,000 - Net consideration = 4,18,000 - Less: cost of acquisition = 3,00,000 - **STCG = ₹1,18,000** - Tax @ **20%** (111A, post 23-07-2024) = **₹23,600** (+ cess). *Check: 1,18,000 × 20% = 23,600.* ✓

B2 (Easy-Moderate) — LTCG on listed equity, Sec 112A

Mr. S sold listed shares (STT paid) held 3 years on 01-02-2025. Net LTCG computed = ₹3,00,000. No other capital gains. Compute tax.

Answer. Sec 112A: exemption of first **₹1,25,000**, balance @ **12.5%** (no indexation). - Taxable LTCG = 3,00,000 − 1,25,000 = 1,75,000 - Tax = 1,75,000 × 12.5% = **₹21,875** (+ cess). *Check: 1,75,000 × 0.125 = 21,875.* ✓

B3 (Moderate) — LTCG on land WITH indexation (pre-23-07-2024 sale)

Mr. T sold land on **15-06-2023** for ₹80,00,000 (brokerage ₹80,000). Purchased in **FY 2005-06** for ₹8,00,000. CII: 2005-06 = **117**, 2023-24 = **348**. Compute LTCG.

Answer. Held > 24 months → LTCG; sale before 23-07-2024 → **indexation available**. - Indexed cost = 8,00,000 × (348 ÷ 117) = 8,00,000 × 2.97436 = **₹23,79,487** - Net consideration = 80,00,000 − 80,000 = 79,20,000 - **LTCG = 79,20,000 − 23,79,487 = ₹55,40,513** - Tax @ 20% (Sec 112, old regime for this date) = ₹11,08,103 (+ cess). *Check: 348/117 = 2.974358…; ×8,00,000 = 23,79,487.* ✓

B4 (Moderate-Hard) — Gifted house: Sec 49(1) + 2(42A) + Sec 54

Mr. V received a residential house as a **gift from his father** on 01-07-2023. Father had **purchased it in FY 2014-15 for ₹20,00,000**. V sold it on **10-08-2024 for ₹95,00,000** (transfer expenses ₹1,00,000). V bought a new residential house for ₹40,00,000 on 01-12-2024. Compute taxable capital gain. (Sale is after 23-07-2024 → **no indexation**; new 12.5% regime.)

Answer. Cost & holding step through from father [Sec 49(1) + Expln to 2(42A)]. Father held from FY 2014-15 → holding **> 24 months** → **LTCG**. - Cost of acquisition (previous owner) = 20,00,000 (no indexation — sale after 23-07-2024) - Net consideration = 95,00,000 − 1,00,000 = 94,00,000 - LTCG before exemption = 94,00,000 − 20,00,000 = **₹74,00,000** - **Sec 54** exemption (residential house → residential house) = lower of (a) LTCG ₹74,00,000 or (b) amount invested ₹40,00,000 = **₹40,00,000** - **Taxable LTCG = 74,00,000 − 40,00,000 = ₹34,00,000** - Tax @ 12.5% (Sec 112) = ₹4,25,000 (+ cess). *Check: 94L−1L expenses−20L cost = 74L; −40L Sec 54 = 34L; ×0.125 = 4,25,000.* ✓

B5 (Exam-Hard) — Sec 50C + Sec 54F + CGAS clawback

Mr. K, resident, sold a **plot of land** (long-term, acquired FY 2016-17 for ₹15,00,000) on **05-09-2024** for a stated consideration of **₹60,00,000**; **stamp-duty value ₹68,00,000**. Transfer expenses ₹50,000. He does **not own more than one residential house**. He invested ₹30,00,000 in a new residential house and deposited ₹10,00,000 in the **Capital Gains Account Scheme** before the return due date; the CGAS amount was **not utilised** within the 3-year window. Compute LTCG for the year of sale and the amount taxable on clawback. (No indexation — post 23-07-2024.)

Answer. Step 1 — Full value of consideration [Sec 50C]. Stamp value 68,00,000 vs stated 60,00,000. Variation = 8,00,000 = 13.3% of stated, which **exceeds the 10% tolerance band** → adopt **stamp value ₹68,00,000**. Step 2 — LTCG before exemption: - 68,00,000 − 50,000 (expenses) − 15,00,000 (cost, no indexation) = **₹52,50,000** Step 3 — Sec 54F (transfer of a non-residential LTCA + investment in one residential house). Exemption is **proportionate to net consideration**: - Net consideration for 54F = 68,00,000 − 50,000 = 67,50,000 - Amount invested/deposited = 30,00,000 + 10,00,000 = 40,00,000 - Exemption = LTCG × (Investment ÷ Net consideration) = 52,50,000 × (40,00,000 ÷ 67,50,000) = 52,50,000 × 0.592593 = **₹31,11,111** - **Taxable LTCG in year of sale = 52,50,000 − 31,11,111 = ₹21,38,889** Step 4 — Clawback of unutilised CGAS. The ₹10,00,000 not utilised is proportionately withdrawn from exemption and **taxed as LTCG in the year the 3-year period expires**: - Reversed exemption = 52,50,000 × (10,00,000 ÷ 67,50,000) = 52,50,000 × 0.148148 = **₹7,77,778** *Check: exemption used only for ₹30L actual house = 52,50,000 × (30,00,000/67,50,000) = 23,33,333; original exemption 31,11,111 − 23,33,333 = 7,77,778.* ✓ **Result:** Year-of-sale taxable LTCG **₹21,38,889** (tax @12.5% Sec 112); clawed-back LTCG **₹7,77,778** taxed in the year the CGAS period lapses.

Section C — Past-Paper-Style Full Questions

C1. "Compute the income under the head Capital Gains" (mixed portfolio)

Mr. A, resident individual, during **FY 2024-25** had: (i) STCG on listed shares STT-paid ₹2,00,000 [111A]; (ii) LTCG on listed shares STT-paid ₹2,00,000 [112A]; (iii) LTCG on sale of gold (bought FY 2019-20 ₹5,00,000, sold 01-01-2025 ₹9,00,000, no indexation post-July-2024) [112]. State the head income and tax on each stream.

Model answer. | Stream | Section | Amount | Rate | Tax | |---|---|---|---|---| | STCG listed equity | 111A | 2,00,000 | 20% | 40,000 | | LTCG listed equity | 112A | 2,00,000 − 1,25,000 = 75,000 | 12.5% | 9,375 | | LTCG gold | 112 | 9,00,000 − 5,00,000 = 4,00,000 | 12.5% | 50,000 |

- Income under head Capital Gains = 2,00,000 + 2,00,000 + 4,00,000 = **₹8,00,000**.
- Total CG tax = 40,000 + 9,375 + 50,000 = **₹99,375** (+ cess). *Checks: 112A exempts first 1.25L; gold LTCG 4L×12.5%=50,000.* ✓
- **Note:** Special-rate incomes (111A/112/112A) are **excluded** when checking the basic-exemption-adjustment and the deductions under Chapter VI-A cannot be set against them.

C2. Interplay of set-off (Sec 70/74) with capital gains

Mr. B has **STCL ₹3,00,000** (non-111A), **STCG ₹1,00,000** (111A), and **LTCG ₹4,00,000** (112). Show set-off.

Model answer. - **STCL can be set off against BOTH STCG and LTCG** [Sec 70(2)/71 rule]. **LTCL can be set off only against LTCG.** - Set STCL 3,00,000: first against STCG 1,00,000 (balance loss 2,00,000), then against LTCG → LTCG 4,00,000 − 2,00,000 = **₹2,00,000**. - Net taxable: STCG 111A = **Nil**; LTCG 112 = **₹2,00,000**

@12.5% = **₹25,000**. - *Check: total loss 3,00,000 fully absorbed (1,00,000 + 2,00,000).* ✓ Unabsorbed capital loss carries forward **8 assessment years** [Sec 74].

C3. Depreciable asset — Sec 50

X Ltd sold the **only asset** in its plant block. Opening WDV ₹6,00,000; additions ₹1,00,000; sale consideration ₹9,00,000. Compute gain and its character.

Model answer. Under **Sec 50**, when the block ceases to exist (or sale exceeds WDV), the excess is **deemed Short-Term Capital Gain** irrespective of actual holding period. - Block value = WDV 6,00,000 + additions 1,00,000 = 7,00,000 - STCG = 9,00,000 − 7,00,000 = **₹3,00,000**, taxed as STCG at **normal slab rates** (Sec 50 gain is STCG but not 111A). *Check: 9L−7L=3L.* ✓

Section D — MCQs / Case Scenarios

D1. Post 23-07-2024, an unlisted equity share is long-term if held for more than: (a) 12 months (b) 24 months (c) 36 months (d) 48 months **Ans: (b).** Sec 2(42A) — non-listed assets now use the 24-month line.

D2. LTCG on STT-paid listed equity above the ₹1.25 lakh threshold is taxed at: (a) 10% (b) 12.5% (c) 15% (d) 20% **Ans: (b).** Sec 112A rate raised to 12.5% w.e.f. 23-07-2024.

D3. Sec 50C tolerance band (stamp value vs consideration) is: (a) 5% (b) 10% (c) 15% (d) 20% **Ans: (b).** If variation ≤ 10%, actual consideration is accepted.

D4. Exemption under Sec 54EC (investment in NHAI/REC bonds) is capped at: (a) ₹25 lakh (b) ₹50 lakh (c) ₹1 crore (d) no cap **Ans: (b).** Max ₹50 lakh, within 6 months, 5-year lock-in.

D5 (Scenario). A gifts jewellery to B; B sells it after 6 months (A had held it 10 years). Character of gain in B's hands? (a) STCG (b) LTCG (c) Exempt (d) Business income **Ans: (b) LTCG.** Sec 49(1) + Expln to 2(42A) — previous owner's holding period is included, so total > 24 months.

D6 (Scenario). Rural agricultural land in India is sold at a large profit. Taxable as capital gain? (a) Yes, STCG (b) Yes, LTCG (c) No — not a capital asset (d) Only if > ₹50 lakh **Ans: (c).** Sec 2(14) excludes rural agricultural land from "capital asset".

D7. Cost of a **self-generated goodwill** of a business, for capital-gains computation, is taken as: (a) FMV (b) Nil (c) Book value (d) Indexed cost **Ans: (b).** Sec 55 — cost of self-generated goodwill/right etc. is nil.

Decision Map (which rate/section applies)

Syntax error in text
mermaid version 10.9.6

Quick-Revision Trigger Sheet

Item	Section	Key number (AY 25-26)
Charge	45(1)	Year of transfer
Capital asset / exclusions	2(14)	rural agri land, stock, personal effects
Transfer	2(47)	includes extinguishment
Not transfer	47	partition, gift/will, holding↔subsidiary
Holding period	2(42A)	12m listed / 24m others
Computation	48	FVC − expenses − cost − improvement
STCG listed	111A	20%
LTCG listed	112A	12.5% > ₹1.25L
LTCG other	112	12.5%, no indexation
Prev-owner cost	49(1)	cost + holding step-through
Stamp value / FMV deeming	50C / 50CA	10% band
Cost / FMV 01-04-2001	55	goodwill nil
House→House	54	LTCG or reinvest, lower
Any LTCA→House	54F	proportionate to net consideration
Bonds	54EC	max ₹50L, 6 months, 5-yr lock
Depreciable block	50	deemed STCG

First-principles recap: capital gains tax exists to catch *realised, real* appreciation — hence the transfer trigger (realisation), historical indexation / lower flat rate (inflation), and rollover exemptions 54/54F/54EC (deferral where the taxpayer merely re-invests, not consumes). Every rule maps to one of those three problems.

> Re-confirm all rates, the ₹1.25 lakh/₹50 lakh limits, holding periods and CII figures against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam.

Chapter 07 — Income from Other Sources

> *Flag:* All rates, monetary limits and threshold figures below are stated for a recent assessment year to build understanding. **Always re-verify the exact rates, limits and the applicable AY against current ICAI study material before your attempt.** The *logic* of each provision, which is what this chapter teaches, does not change year to year.

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1. The Problem — income that belongs nowhere else

The Income-tax Act, 1961 does not tax "income" as one undifferentiated pool. Section 14 splits total income into **five heads**:

1. Salaries
2. Income from House Property
3. Profits and Gains of Business or Profession (PGBP)
4. Capital Gains
5. **Income from Other Sources (IFOS)**

Each of the first four heads has its own machinery: its own charging section, its own rules for what is taxable, when it accrues, and what you can deduct. That specialisation is useful — salary is computed very differently from a capital gain.

But specialisation creates a gap. What happens to income that is genuinely income, yet does not fit the definition of *any* of the first four heads?

Consider:

- You win ₹10 lakh in a game show. It is not salary (no employer), not house property, not business (you are not a professional gambler), and not a capital gain (no capital asset was transferred). Should it escape tax simply because the drafters did not foresee your good luck?
- Your uncle's friend gifts you ₹5 lakh in cash for no reason. Not a capital gain (no transfer), not business income. Tax-free windfall?
- You hold a fixed deposit and earn interest. You are not in the business of lending. Where does it sit?
- A company pays you a dividend. You did not sell the share, so it is not a capital gain.

If the law had **only** four specific heads, all of this would fall through the cracks, and tax planning would degenerate into "structure your income so it fits no head." The tax base would leak badly.

The problem: a specific-head system inevitably leaves residual income uncovered, and any uncovered income is, in effect, exempt by accident.

Sharpen the problem — two kinds of "orphan" income. It helps to see that IFOS actually catches *two logically different* orphans, and the exam tests both:

- **Genuine income with no natural head** — interest, dividend, family pension, sub-letting. These *are* income on first principles (they are a recurring return or reward); they simply do not fit the four specialised definitions.

- **Capital-type windfalls that would otherwise be non-income** — gifts, share premium above fair value. On first principles these are *not* income at all (a windfall is not the fruit of any activity). The Act must first **deem** them to be income and *then* park them in IFOS. If you keep these two categories separate in your head, you will never confuse "why is a gift taxed?" (because it is deemed income) with "why is interest taxed?" (because it always was income).

This distinction also explains why some IFOS items allow rich deductions (real income, real costs) while others allow none (deemed windfalls, no real cost) — a theme that recurs throughout the chapter.

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2. The Core Idea — a residual, catch-all head

The solution is elegant and is the single idea that explains everything in this chapter:

> **Income from Other Sources is the residual head. If something is *income* under the Act, and it is not exempt, and it does not fall under any of the other four heads, then it is *automatically* taxed here.**

This is the meaning of **Section 56(1)**: income of every kind which is not to be excluded from total income and is not chargeable under heads 1–4 is chargeable under "Income from Other Sources."

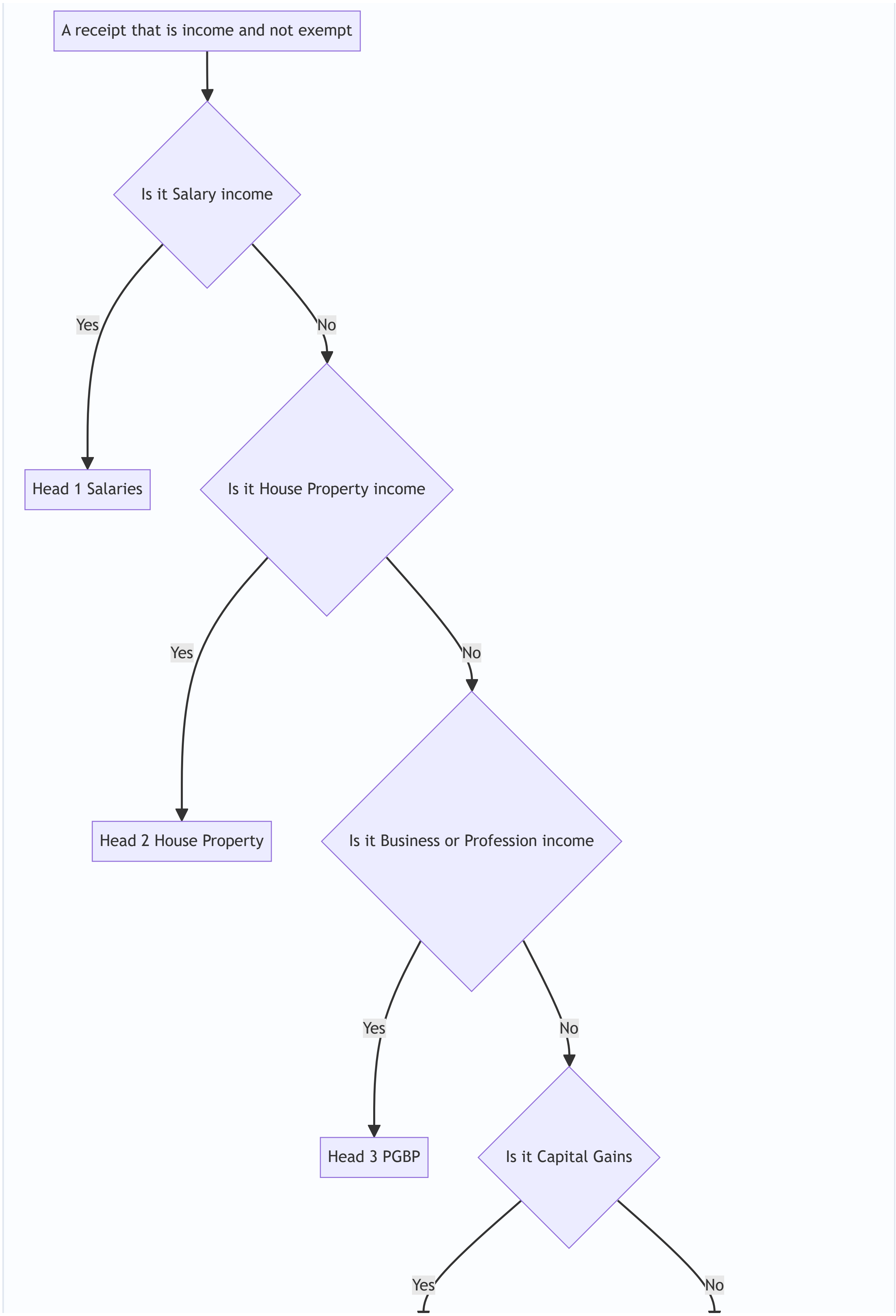
Think of IFOS as the **safety net stretched under the other four heads**. Anything that slips past them lands here. Because of this net, the Act can confidently say: *all income is taxed somewhere.*

Two consequences flow immediately from "residual":

- **IFOS is the head of last resort.** You only reach it after checking that the income is not covered by Salaries, House Property, PGBP or Capital Gains. This ordering is not decorative — it decides which set of computation rules and deductions apply.
- **IFOS is deliberately open-ended.** Section 56(1) uses "income of every kind." The drafters could not list every conceivable source, so they wrote a general sweep and then *illustrated* it with a list of common items in **Section 56(2)**.

A precondition students skip: it must be "income" first. Section 56(1) only catches a receipt that is already *income* (or is *deemed* income by some provision). A pure capital receipt that is neither income by nature nor deemed to be income is **not** dragged into IFOS at all. This is exactly why gifts needed a separate deeming clause (56(2)(x)) — without it, a gift is a capital receipt and 56(1) alone could not reach it. So the residual net is powerful, but it is a net *for income*, not for every rupee that arrives in your bank account. Keep this precondition in mind whenever an examiner describes an unusual receipt: first ask "is this income or deemed income at all?" before asking "which head?"

Figure 1 — the residual logic: an item is tested against the four specific heads first, and only lands in IFOS if none of them claims it.


A receipt that is income and not exempt
Is it Salary income
Yes
No
Head 1 Salaries
Is it House Property income
Yes
No
Head 2 House Property
Is it Business or Profession income
Yes
No
Head 3 PGBP
Is it Capital Gains
Yes
No

3. Why it's built this way — residual sweep plus a named list

If IFOS is purely residual, why does the Act bother to *list* specific items in Section 56(2) — dividends, casual income, gifts, interest on securities? A residual clause would catch them anyway.

Three reasons, and understanding them removes most of the "why is this here?" confusion:

(a) Certainty for common cases. Rather than argue every year whether dividend is "income of every kind," the Act names it. The list in 56(2) is *illustrative, not exhaustive* — the word used is "in particular, and without prejudice to the generality" of 56(1). So the list does not shrink the net; it just marks the fish that are caught most often.

(b) Some items need *special treatment* that only makes sense once the item is pinned to this head. For example:

- **Gifts** (56(2)(x)) are, in ordinary logic, *capital receipts* — a windfall, not the fruit of any activity. Left alone they would be non-taxable capital receipts. The Act had to *deem* them income and park them in IFOS to tax them at all. This is the classic "the WHY": gifts are taxed here because they had no natural home, and untaxed gifting was a huge route for laundering money and dodging tax.
- **Casual income / lottery** (56(2)(ib)) needs a special flat rate and a *no-deduction, no-set-off* regime. That regime is bolted on precisely because these are IFOS.

(c) To close specific abuse channels as they were discovered. Sections like 56(2)(viib) (premium on shares issued above fair value — the "angel tax" logic) were inserted over time as anti-avoidance patches. They are residual by nature but named because they target a precise mischief.

So the architecture is: **one broad residual charge (56(1)) + a growing, illustrative list of named inclusions (56(2)) that either give certainty, deem capital receipts to be income, or plug avoidance.** Keep that framing and you never have to memorise the list as random facts — each entry answers "what gap or abuse does this close?"

A useful mental sort of every 56(2) clause into three buckets:

Bucket	Purpose	Representative clauses	What the deduction regime looks like
"Certainty" inclusions	Name common real income to avoid annual argument	Dividend 56(2)(i); interest on securities 56(2)(id); letting of machinery 56(2)(ii)/(iii)	Normal Sec 57 costs allowed
"Deeming" inclusions	Turn a capital-type receipt into income	Gifts 56(2)(x); interest on compensation 56(2)(viii)	Restricted — flat/proxy deductions only
"Anti-abuse" inclusions	Plug a discovered avoidance route	Angel-tax premium 56(2)(viib); deemed dividend via 2(22)(e)	Charge only; little or no deduction

Notice the pattern: the *more artificial* the inclusion (deemed income, anti-abuse), the *stingier* the deduction rules. That is not coincidence — you cannot claim the "cost of earning" income that you never actually earned.

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4. Full Technical Content — sections, formats, rates and limits (each wrapped in its reason)

4.1 The charging section — Section 56

- **Sec 56(1):** the general residual charge (explained above).
- **Sec 56(2):** the illustrative list of specific inclusions.

The most exam-relevant items of 56(2):

Clause	Item	One-line "why it's listed"
56(2)(i)	Dividends	Return on shareholding; not a transfer, so not capital gains
56(2)(id)	Interest on securities	Return on debt investment, when not business income
56(2)(ib)	Winnings from lotteries, crossword puzzles, races, card games, gambling, betting, TV game shows	Pure windfall; special flat-rate regime
56(2)(x)	Money/property received without or for inadequate consideration (gifts)	Deems capital-type windfalls to be income; anti-laundering
56(2)(viib)	Consideration for shares exceeding fair market value ("angel tax")	Anti-avoidance on inflated share premium
56(2)(ii)/(iii)	Income from letting of machinery, plant, furniture; and buildings let *along with* such assets where letting is inseparable	Not house property or business — a composite letting
56(2)(viii)	Interest on compensation / enhanced compensation	Certainty on when and how such interest is taxed

4.2 Two default residual items (always IFOS unless business)

Family pension — pension received by the *legal heirs* of a deceased employee. The employee's own pension is *salary*; but once he dies, there is no employer-employee relationship with the heir, so it cannot be salary. It lands in IFOS. A **standard deduction under Sec 57(iia)** of 1/3 of the pension or ₹15,000, **whichever is lower**, is allowed — the *reason* being a rough proxy for collection/related costs, mirroring the old salary standard deduction logic. *(Verify the ₹15,000 figure and any updated limit.)*

Exam nuance on family pension: certain family pensions are **fully exempt** and never reach IFOS at all — for example, family pension received by the family of a member of the armed forces (including para-military) who died in the course of operational duty, and family pension of a gallantry-award winner's family. When such an exemption applies, you do *not* compute the 1/3-or-₹15,000 deduction — the whole receipt is out of the total income. *(Verify the exact exempt categories under Sec 10 for your AY.)* Examiners like to slip "widow of an army officer killed in action" into a family-pension sum to see if you wrongly apply the standard deduction instead of full exemption.

Interest income (bank/FD/others), **director's sitting fees**, **income from sub-letting**, **casual income**, **royalty where not a business** — all default to IFOS.

Two boundary cases worth pinning down: - **Sub-letting.** If *you own* a house and let it out, the rent is **House Property**. If you are a *tenant* who sub-lets, you have no ownership, so the *definition* of house property income (which requires ownership) is not met — the sub-letting surplus is **IFOS**. Ownership is the switch. - **Director's remuneration vs sitting fees.** A *whole-time/managing* director is an employee → his remuneration is **Salary**. A *non-executive* director who only attends board meetings is not an employee → his **sitting fees** are **IFOS**. The presence or absence of an employer-employee relationship decides the head.

4.3 Dividends — Sec 56(2)(i)

Why the current design exists: historically dividends were taxed in the company's hands via Dividend Distribution Tax (DDT), so shareholders got them tax-free. DDT was **abolished** (w.e.f. FY 2020-21) because it taxed everyone at the same DDT rate regardless of the shareholder's slab — unfair to small investors. The system reverted to **classical taxation**: dividend is now taxable **in the shareholder's hands under IFOS at slab rates**.

- **Deduction (Sec 57):** only **interest expense** incurred to earn the dividend is allowed, and it is **capped at 20% of the dividend income**. *Why the cap?* To stop taxpayers from wiping out dividend income (or creating a loss) by claiming heavy borrowing costs against a modest dividend. No other expense (e.g., collection charges, portfolio-management fees, demat charges) is allowed.
- **TDS:** the company deducts TDS on dividend above a threshold (commonly ₹5,000 per year per shareholder) — *verify the threshold.*
- **Deemed dividend Sec 2(22)(e):** loans/advances by a closely-held company to a substantial shareholder are treated as dividend, to stop owners extracting profits disguised as "loans."

Timing — when is dividend taxable? A **final dividend** is income of the year in which it is *declared, distributed or paid* — precisely, it is taxable when the company in general meeting declares it (that is when the shareholder gets an enforceable right). An **interim dividend** is taxable when it is *unconditionally made available* to the shareholder (broadly, on payment), because the board can rescind it until then. This receipt-oriented timing is one of the forced exceptions to the assessee's regular accounting method (see §4.9).

Deemed dividend — the finer contours of 2(22): the clause 2(22) has several limbs, and the exam usually tests (a) and (e): - **2(22)(a)** — distribution of accumulated profits entailing release of company assets. - **2(22)(e)** — the big one: a loan/advance by a *closely-held* company to a shareholder holding **≥10% voting power**, or to a concern in which such a shareholder has a *substantial interest*, is deemed dividend **to the extent of the company's accumulated profits.** *Why 10% and accumulated profits?* The mischief is a controlling owner pulling out distributable profits dressed as a repayable "loan"; the deeming bites only up to the profits actually available to distribute, and only where the borrower has enough control to orchestrate it. A genuine loan by a company *whose business is money-lending* is carved out. Note deemed dividend is taxed in the *recipient shareholder's* hands and, unlike a normal dividend, historically was excluded from the DDT net for a reason — always read the facts for "closely-held" and the 10% test.

4.4 Interest on securities — Sec 56(2)(id)

Interest on government securities, debentures, bonds. Taxable under IFOS **unless** the securities are held as **stock-in-trade** of a business (then PGBP). **Grossing up** is required when interest is received net of TDS — you add back the TDS to arrive at gross income, because the *income* is the gross amount; the TDS is merely tax already paid on your behalf.

Grossing-up mechanics (a frequent 2-mark trap). If you are told the *net* amount received and the TDS rate, gross up as:

> Gross interest = Net received ÷ (1 − TDS rate).

For example, net ₹9,000 received after 10% TDS → gross = 9,000 ÷ 0.90 = **₹10,000**; the ₹1,000 TDS is your prepaid tax credit. If instead you are told the *coupon* (say 8% debentures of face value ₹1,00,000), the gross income is simply the coupon (₹8,000) and TDS is computed *on* it — no grossing up needed because you already have the gross figure. Read carefully whether the number given is "received" (net) or "interest on securities" (gross).

Timing: interest on securities is generally taxable on the basis regularly employed, but for *securities with fixed due dates* it is often taxed on the **due date** whether or not received, because the right to it crystallises on that date. Accrued interest on securities bought/sold cum-interest can require apportionment — but that detail is usually beyond Intermediate; verify against your module.

4.5 Casual income — Sec 56(2)(ib) read with Sec 115BB

This is the most rule-heavy item, and every rule has a reason rooted in "this is an unearned windfall, and we do not want it gamed."

- **Rate:** taxed at a **flat 30%** (plus surcharge and cess) under **Sec 115BB** — *not* at slab rates. *Why flat and high?* A windfall carries no productive effort and no cost; the state takes a fixed large share, and a flat rate stops high winnings from being sheltered by low slabs.
- **No deduction of any expense** (Sec 58(4)) — the ticket cost, entry fee, travel to the casino: none allowed. *Why?* There is no "cost of earning" a lottery in any real sense, and allowing costs invites fabricated expenses.
- **No basic exemption limit benefit** and **no Chapter VI-A deductions** against it. *Why?* The 30% is meant to be a clean, un-erodable levy.
- **No set-off of losses** against casual income; and **losses from these activities cannot be set off** either. *Why?* Gambling losses are personal; letting them reduce other income would subsidise gambling.
- **TDS Sec 194B / 194BB:** tax deducted at source on winnings above a threshold (e.g., ₹10,000 — *verify; recent law aggregates winnings over the year*). Winnings in kind require the payer to ensure tax is paid before releasing the prize.

Winnings in kind — the mechanics examiners love. If you win a *car* or a *gold coin* (a prize wholly in kind), or a prize that is *part cash, part kind*, the payer must ensure tax is paid on the FMV of the prize **before releasing it**. Where the cash part is insufficient to cover the TDS on the whole (cash + kind), the winner must deposit the shortfall with the payer. The **amount taxable in the winner's hands is the FMV of the prize** (grossed to include the tax borne, if the payer bears it). Do not net off the TDS from the value when reporting income — the FMV is the income; TDS is a credit.

What counts as "casual" — and what does not. The clause covers lotteries, crossword puzzles, races **including horse races**, card games, gambling and betting of *any form*, and TV/electronic game-show winnings. But note the special carve-out: **income from the activity of owning and maintaining race horses** is *not* pure casual income — it is a quasi-business, so its *expenses are allowed* and it has its own loss-set-off/carry-forward rules (loss can be carried forward up to 4 years and set off only against the same activity). Do not confuse *winnings from betting on a horse race* (pure 115BB casual income, no expense) with *income from owning race horses* (expenses allowed). Also, a genuinely *skill-based* recurring receipt (e.g., a professional bridge player earning a living) can be **business income**, not casual — but at Intermediate, treat game-show/lottery-type receipts as casual unless the facts scream "business."

Newer digital-age wrinkle: winnings from **online games** have been carved into their own regime (a dedicated section, taxed at a flat rate on *net winnings* with its own TDS) separate from the classic 115BB lottery bucket. *Verify the exact section, rate and computation for your AY* — ICAI has been updating this; do not conflate it with 194B lottery TDS in an answer.

4.6 Gifts — Sec 56(2)(x) — the crown jewel of this chapter

The WHY, in full. A gift is a capital receipt — a windfall with no earning activity behind it. Under first principles a capital receipt is not income and not taxable. That created a gaping hole: unaccounted money could be routed as "gifts," and wealth could be transferred to family members in low slabs, all tax-free. Parliament first tried a separate Gift Tax Act (on the *donor*), repealed it, and finally settled on the current design: **tax the recipient by deeming certain gifts to be income under IFOS.** Taxing the receiver, at the receiver's slab, plugs the laundering route and the slab-shifting route at once.

But a blanket tax on every gift would be absurd — birthday cash from your mother, a wedding gift, an inheritance. So the section is built as **a charge with carefully reasoned carve-outs and thresholds.**

Scope: Sec 56(2)(x) applies to any person (individual, HUF, firm, company — the earlier versions were limited to individuals/HUF). Three categories:

(A) Money (any sum of money) without consideration - If **aggregate** money received without consideration during the year **exceeds ₹50,000**, the **whole amount** is taxable (not just the excess over ₹50,000). - *Why "aggregate" and "whole amount"?* Aggregation stops splitting one gift into many small ones. Taxing the whole (once you cross ₹50,000) rather than the excess makes ₹50,000 a genuine *threshold*, not an exemption slab — this is the classic trap (see §8).

(B) Immovable property - *Without consideration:* if **stamp duty value (SDV) > ₹50,000**, the whole SDV is taxable. - *For inadequate consideration:* taxable if **(SDV − consideration) exceeds the higher of ₹50,000 or 10% of consideration**. *Why the 10% tolerance band?* Because SDV is a government estimate that can genuinely differ from a fair negotiated price; a small gap should not be punished as a "gift." The 10% safe harbour absorbs honest valuation differences. *(Verify the current tolerance percentage — it has been revised.)* - **SDV on date of agreement** may be used (instead of date of registration) if part of the consideration was paid by a non-cash mode on or before the agreement date — *why?* to protect buyers from SDV rising between booking and registration.

(C) Movable property (shares, securities, jewellery, bullion, art, drawings, paintings, sculptures, archaeological collections — a *defined* list; note that a car is **not** in this list, so gifting a car is outside 56(2)(x)) - *Without consideration:* if **aggregate FMV > ₹50,000**, whole FMV taxable. - *For inadequate consideration:* if **(FMV − consideration) > ₹50,000**, the difference is taxable.

Three separate ₹50,000 baskets — do not merge them. The threshold is applied *category-wise*, not to a grand total. Money is one basket, immovable property is another, movable property is a third. ₹40,000 cash + a ₹40,000 painting from friends is **not** taxable (each basket is below ₹50,000), even though the total is ₹80,000. Examiners deliberately arrange facts so the grand total crosses ₹50,000 while each basket stays below — the careless student taxes the lot. Also, *within* a basket the test differs: money and movable use a flat ₹50,000; immovable-inadequate uses the higher-of-₹50,000-or-10% band.

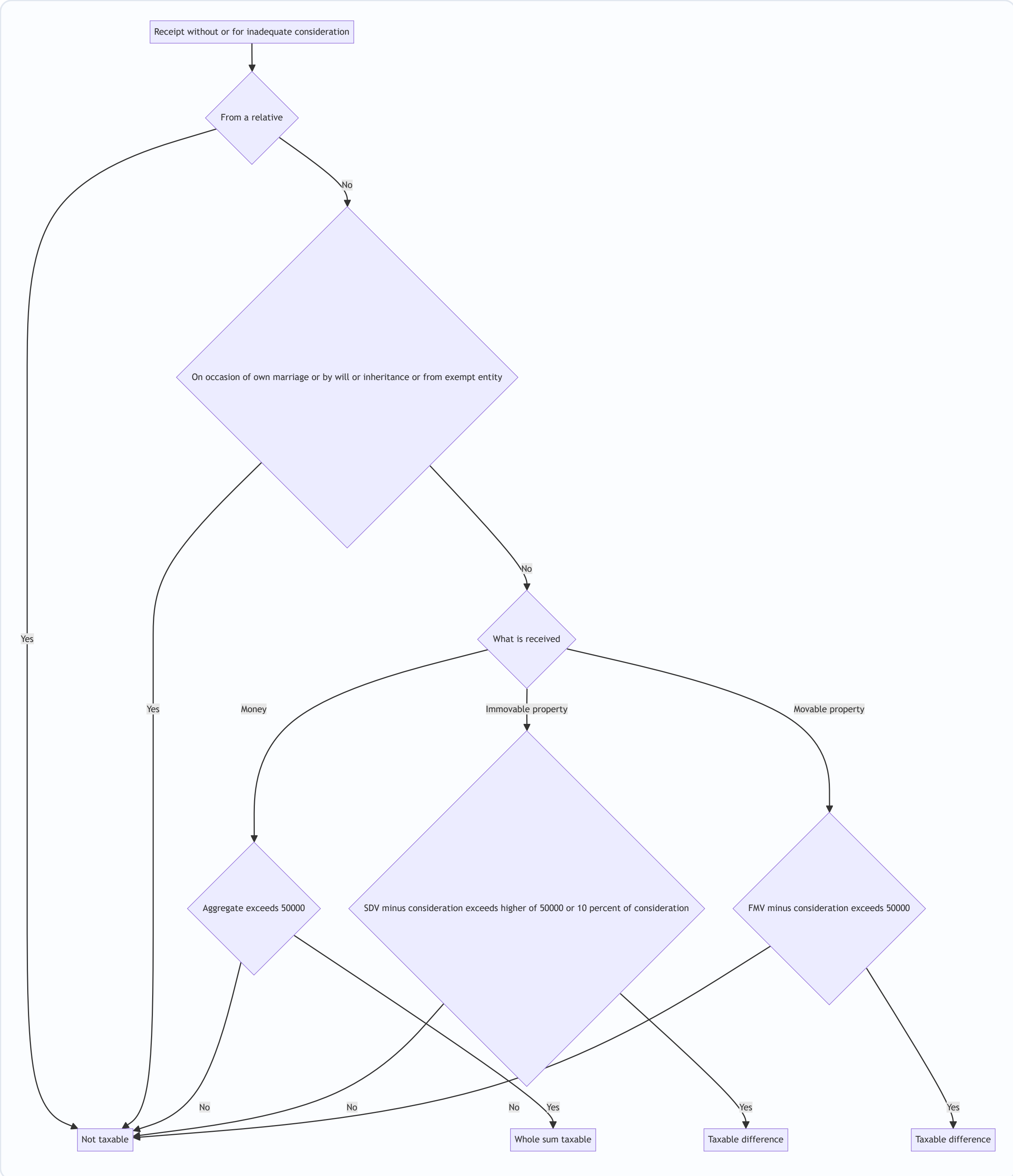
The exemptions — and their logic (very frequently tested):

Gifts are **NOT taxed** if received: 1. **From a relative** — *why?* Intra-family transfers are natural provisioning, not income; but "relative" is *defined narrowly* (spouse; brother/sister of self, spouse, or either parent; lineal ascendants/descendants of self or spouse; and spouses of all these) to stop the exemption being abused. A cousin, friend, or uncle's friend is **not** a relative. 2. **On the occasion of marriage of the individual** — *why?* Wedding gifts are a social custom; note it is the *individual's own* marriage, not a child's or sibling's. 3. **Under a will or by inheritance** — *why?* Inheritance is already a distinct transfer of a decedent's estate; taxing it here would be double counting and socially unacceptable. 4. **In contemplation of death of the payer** (donatio mortis causa). 5. **From a local authority, specified fund/foundation/trust/institution, registered charitable trust**, etc. — *why?* These are already regulated/exempt entities; the receipt is not a disguised private windfall.

The "relative" definition, decoded for an individual (learn it as a picture, not a list). Starting from *you* (the recipient): - your **spouse**; - your **brother or sister**, and your spouse's **brother or sister**; - the **brother or sister of either of your parents** (i.e., your uncles/aunts on both sides); - any **lineal ascendant or descendant** of *you* (parents, grandparents, children, grandchildren); - any **lineal ascendant or descendant** of *your spouse* (parents-in-law, etc.); - the **spouse of each** of the persons above (so your sister's husband, your uncle's wife, etc.).

Two asymmetries the examiner exploits: - **Uncle → nephew is exempt, but nephew → uncle is NOT.** Why? Because "brother/sister of a parent" is listed from the recipient's viewpoint. When the *nephew* receives from his uncle, the uncle is "brother of his parent" → relative → exempt. When the *uncle* receives from his nephew, the nephew is **not** "brother/sister of the uncle's parent" and is **not** a lineal descendant of the uncle — so the nephew is *not* the uncle's relative → taxable. Always test the relationship **from the receiver looking outward.** - **HUF as recipient:** for an HUF, "relative" means **any member of the HUF.** So a gift from a member to the HUF is exempt; but the reverse (HUF to a member) and gifts from non-members are tested normally. *(Also keep the clubbing provisions in mind — see §7.)*

Figure 2 — decision tree for taxing a gift under Sec 56(2)(x).



A subtle "double-tax" guard. When a gifted asset is later **sold**, its **cost of acquisition** for capital-gains purposes is taken as the value that was **charged to tax under 56(2)(x)** (via Sec 49(4)), and the *holding period/cost* rules bridge back to the previous owner for inheritances. *Why?* To avoid taxing the same value twice — once as a gift and again as gain on sale. This is a cross-chapter link (Capital Gains) that IFOS questions sometimes tail with "if he sells it next year, what is his cost?"

Angel tax — 56(2)(viib) in one paragraph. When a *closely-held company* issues shares to a resident for a price **above the fair market value** of those shares, the **excess of issue price over FMV** is taxed as the *company's* IFOS. *Why?* Inflated share premium was a channel to introduce unaccounted money as "capital."

This is the mirror image of 56(2)(x): there the *receiver of a bargain* is taxed; here the *company receiving excess premium* is taxed. Recognised start-ups meeting prescribed conditions are exempt. *(This provision's scope — including whether non-resident investors are covered — has changed; verify for your AY.)*

4.7 Deductions — Section 57 (expenses allowed)

The governing principle mirrors the whole Act: **you may deduct an expense laid out *wholly and exclusively* for the *purpose of earning* that income** (Sec 57(iii)). Specific clauses:

Sec 57 clause	Allowed deduction	The reason
57(i)/(ia)	For dividends & interest on securities: collection charges and interest on money borrowed to invest	Cost of producing the income — but for dividends, interest is **capped at 20%** of dividend (anti-erosion)
57(ii)/(iia)	For family pension: standard deduction of 1/3 or ₹15,000, whichever lower	Proxy for costs, since no actual bills exist
57(iii)	Any other expense wholly & exclusively to earn the income	The general "cost of earning" rule
57(iv)	On interest on compensation/enhanced compensation: a flat **50%** deduction, no other expense allowed	Rough-and-ready allowance because litigation costs are hard to prove
—	Depreciation / current repairs on let-out machinery, plant, furniture, building (56(2)(ii)/(iii))	Wear and tear is a genuine cost of the letting

The deep principle in 57(iii) — "purpose", not "result". The expense must be laid out *to earn* the income; it is **not** required that the expense *actually produced* income. A cost incurred with the genuine object of earning income is deductible even if, in the event, no income arose. *Why does this matter in the exam?* An examiner may say "he borrowed to buy shares but the company declared *no* dividend this year." The interest is *still* deductible under 57(iii)/57(i) (subject to the 20% cap when there *is* dividend) because the *purpose* test — not a *results* test — governs. Contrast this with the *personal-expense* bar (§4.8): the moment the purpose is personal, no deduction, regardless of any incidental income.

Standard deduction on family pension — mechanics. It is the **lower** of (i) 1/3 of the pension, or (ii) ₹15,000. Because it is "lower of," the deduction is capped at ₹15,000 once the pension exceeds ₹45,000 (since 1/3 of ₹45,000 = ₹15,000). Below ₹45,000 pension, the 1/3 figure bites. Sketch it: pension ₹30,000 → 1/3 = ₹10,000 (lower) → deduct ₹10,000; pension ₹90,000 → 1/3 = ₹30,000 vs ₹15,000 → deduct ₹15,000.

4.8 Disallowances — Section 58 (expenses NOT allowed)

Section 58 lists what you can never deduct, and each is a mirror of a general anti-abuse principle:

- **Personal expenses** — not incurred to earn income.
- **Interest or salary payable *outside India*** without TDS (Sec 58(1)(a)) — enforces the withholding-tax discipline.
- **"Wealth tax"** and tax on income — a tax is not a cost of earning.
- **Sec 58(1A):** amounts disallowed under **40A** (e.g., excessive payments to relatives, cash payments over the limit) apply to IFOS too — consistency with PGBP.

- **Sec 58(4): No deduction whatsoever against casual/lottery income** — the un-erodable-windfall rule. *(Exception: expenses of the* activity of owning and maintaining race horses *are allowed against income from that activity — because that is treated as a quasi-business, not a pure windfall.)*

Why import PGBP disallowances (58(1A)) into IFOS? Because otherwise a taxpayer could dress a business-type expense as an "other sources" expense to escape the 40A(3) cash-payment cap or the 40A(2) excessive-related-party cap. Section 58(1A) closes that arbitrage — the *same* anti-abuse discipline follows the *expense*, not the head. The examiner tests this by giving an IFOS expense paid in cash above the prescribed limit and expecting you to disallow it under 58 read with 40A(3).

4.9 Method of accounting — Section 145

- Income under IFOS (and PGBP) is computed **either on cash or on mercantile (accrual) basis, as regularly employed** by the assessee (Sec 145(1)).
- *Why the choice?* A small investor keeps no books and is naturally on cash basis; a company on accrual. The Act lets you use your regular method, but you must be **consistent**.
- **Exceptions where the method is *forced*:** dividends are taxed when *declared/paid* (broadly, on receipt); interest on compensation/enhanced compensation is taxed **on receipt** (Sec 145B), *why?* because until the court finally awards it, the right is contingent — taxing accrual would tax income that might vanish on appeal.

The unifying idea behind the forced-receipt exceptions. Both dividend and compensation-interest share one feature: the *right to the income is not final until an external event occurs* (declaration by the company; a court's final award). Accrual accounting would recognise income the moment a *legal claim* exists — but a contingent claim can evaporate (dividend can be not declared; enhanced compensation can be reversed on appeal). Taxing on **receipt** avoids taxing income that might never materialise, and spares the assessee from claiming refunds later. Whenever you see "contingent until an outside event," expect a receipt-basis rule.

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5. Worked Examples (full step-by-step)

> All examples use illustrative figures. Reconcile each total yourself.

Example 1 — Foundational: interest, dividend and the 20% cap

Mr. A (individual, no business) for the year has: - Bank FD interest (gross) ₹80,000; TDS deducted ₹8,000. - Dividend from an Indian company ₹1,00,000. - Interest on a loan taken specifically to buy those dividend-paying shares: ₹30,000. - Bank locker/collection charges for the FD: ₹1,000.

Step 1 — classify. No business; all of this is IFOS.

Step 2 — interest income. Taxable amount is the **gross** ₹80,000 (the ₹8,000 TDS is tax paid, not a reduction of income). Collection charge ₹1,000 is deductible under 57(iii). Net FD income = 80,000 − 1,000 = **₹79,000**.

Step 3 — dividend. Gross ₹1,00,000. Interest on borrowing is deductible under 57(i) **but capped at 20% of dividend** = 20% × 1,00,000 = **₹20,000** (even though ₹30,000 was actually paid; the extra ₹10,000 is lost). Net dividend = 1,00,000 − 20,000 = **₹80,000**.

Step 4 — IFOS total. 79,000 + 80,000 = **₹1,59,000.**

Step 5 — tax credit. The ₹8,000 TDS is claimed as a **prepaid tax** against the final liability (it does *not* change the ₹1,59,000).

Reconciliation: the only "leakage" is the disallowed ₹10,000 of excess interest — exactly what the anti-erosion cap intends.

Example 2 — Casual income and why it stands apart

Ms. B, salaried, has salary income (net) ₹4,00,000. During the year she also: - Won ₹2,00,000 (gross) in a TV game show; TDS ₹60,000 was deducted (30%). - Spent ₹5,000 travelling to the studio. - Has a short-term capital **loss** of ₹50,000 from shares.

Step 1 — classify winnings. Casual income under 56(2)(ib), IFOS, taxed under **Sec 115BB at flat 30%.**

Step 2 — deductions? The ₹5,000 travel is **disallowed** (Sec 58(4)). Winnings taxable = **₹2,00,000**.

Step 3 — set-off? The ₹50,000 capital loss **cannot** be set off against winnings — casual income cannot be reduced by any loss. (The capital loss is carried forward under its own rules.)

Step 4 — tax computation (illustrative, old-regime slab logic for the salary part): - Tax on winnings = 30% × 2,00,000 = **₹60,000** (flat, ignoring slab, ignoring basic exemption). - Tax on salary ₹4,00,000 is computed at slab rates *separately* — the winnings do **not** get the benefit of, nor consume, the basic exemption limit. - Add health & education cess 4% on total tax. *(Verify current cess/surcharge.)*

Step 5 — TDS credit. ₹60,000 already deducted is set off against liability; here it exactly covers the tax on winnings.

Reconciliation: the flat 30% (₹60,000) equals the TDS, illustrating why 115BB and 194B are designed to move in lockstep — the windfall is taxed at source, cleanly, with nothing deductible or set-off-able.

Example 2A — Winnings in kind, and the shortfall deposit

Mr. K wins a **motorbike** in a lucky draw. FMV of the bike ₹1,20,000. There is no cash component. Applicable TDS rate 30%.

Step 1 — income. The income taxable in Mr. K's hands is the **FMV ₹1,20,000** (casual income, 115BB, flat 30%).

Step 2 — TDS mechanics. TDS required = 30% × 1,20,000 = **₹36,000.** Because the prize is *wholly in kind*, there is no cash out of which the payer can withhold. The law requires the payer to **release the prize only after** either (a) the winner pays ₹36,000 to the payer for onward deposit, or (b) the payer itself pays the tax. Here Mr. K must hand over **₹36,000** before collecting the bike.

Step 3 — in Mr. K's return. Income ₹1,20,000 taxed at 30% = ₹36,000 tax (plus cess); the ₹36,000 already deposited is his TDS credit. No expense, no set-off, no basic-exemption benefit.

Examiner tweak — "part cash, part kind". Suppose he won ₹40,000 cash **plus** the ₹1,20,000 bike. Total prize ₹1,60,000; TDS at 30% = ₹48,000. The cash ₹40,000 is not enough to cover ₹48,000, so the payer withholds the entire ₹40,000 cash and the winner must deposit the **₹8,000 shortfall** before the bike is released. Taxable income = **₹1,60,000** (do not net the TDS off the income).

Reconciliation: the value received, not the cash received, is the income — the whole point of the in-kind TDS rule is that a purely non-cash windfall cannot escape tax merely because there is no cash to withhold from.

Example 3 — Exam-hard: comprehensive gift computation under 56(2)(x)

Mr. C, an individual, received the following during the previous year. Determine the amount taxable under IFOS.

1. Cash gift of ₹40,000 from a friend on his birthday.
2. Cash gift of ₹30,000 from his father's brother (uncle).
3. ₹1,00,000 received from his employer as a festival bonus.
4. On his marriage, gifts worth ₹3,00,000 (cash and articles) from friends.
5. A plot of land (SDV ₹6,00,000) gifted by his elder brother.
6. A plot of land purchased from a friend for ₹18,00,000; SDV ₹20,00,000.
7. Shares (FMV ₹2,00,000) received free from a friend.
8. Jewellery (FMV ₹1,50,000) purchased from a friend for ₹1,10,000.
9. A painting (FMV ₹80,000) inherited under his late grandmother's will.
10. A car (FMV ₹5,00,000) gifted by a friend.

Work through each, applying the tree in Figure 2.

- **Items 1 + 2 — money without consideration, from non-relatives.** Friend: not a relative. Uncle (father's brother) is **not** a "relative" as defined (a *father's brother* is not in the list — the list gives brother/sister of the *parent*, i.e., your uncle **is** a brother of your parent, so an uncle *is* covered).

Careful — resolve this precisely: the definition of "relative" for an individual **includes brother or sister of either of the parents of the individual.** Your father's brother is a brother of your parent, hence a **relative**. So item 2 (₹30,000 from uncle) is **exempt**. Item 1 (₹40,000 from a friend) is a non-relative money gift. Aggregate taxable money gifts from non-relatives = ₹40,000. **This does not exceed ₹50,000, so it is NOT taxable.**

- **Item 3 — ₹1,00,000 festival bonus from employer.** This is **not** a gift under 56(2)(x); a receipt from an employer is a *perquisite/profit in lieu of salary* taxable under **Salaries**, not IFOS. (56(2)(x) itself excludes such employer receipts.) So — not IFOS. *(It is taxable, but under Salaries.)*
- **Item 4 — ₹3,00,000 on the occasion of his own marriage. Exempt** (gifts on the occasion of the individual's own marriage), regardless of who gave them.
- **Item 5 — land SDV ₹6,00,000 from elder brother.** Brother is a **relative**. **Exempt.**
- **Item 6 — land bought for ₹18,00,000, SDV ₹20,00,000 (inadequate consideration).** Difference = 20,00,000 − 18,00,000 = ₹2,00,000. Compare with the higher of ₹50,000 or 10% of consideration (10% × 18,00,000 = ₹1,80,000). Higher = ₹1,80,000. Difference ₹2,00,000 **exceeds** ₹1,80,000, so the **entire difference ₹2,00,000 is taxable.**
- **Item 7 — shares FMV ₹2,00,000, free, from a friend.** Movable property without consideration; aggregate FMV ₹2,00,000 **> ₹50,000**, so **whole ₹2,00,000 taxable.**
- **Item 8 — jewellery FMV ₹1,50,000 bought for ₹1,10,000.** Movable property for inadequate consideration; difference = 1,50,000 − 1,10,000 = ₹40,000. This **does not exceed ₹50,000**, so **not taxable.** (Note: for movable property the test is a flat ₹50,000; there is no 10% band — that band is only for immovable property.)
- **Item 9 — painting inherited under a will. Exempt** (received under a will/inheritance).

- **Item 10 — car FMV ₹5,00,000 from a friend.** A motor car is **not** in the defined list of "property" (shares, jewellery, bullion, art, etc.) for movable property. Therefore **outside 56(2)(x) — not taxable** at all under this head.

Total taxable under IFOS from gifts:

Item	Taxable amount
6 — land (inadequate consideration)	2,00,000
7 — shares (free)	2,00,000
Total	**₹4,00,000**

Reconciliation: every exempt item traces to a *reasoned* carve-out (relative, own marriage, will, employer→salary, below-threshold, or asset-not-listed). The two taxable items are precisely the arm's-length windfalls the section targets. Total taxable **₹4,00,000.**

Examiner tweaks to rehearse: - **If item 6's SDV were ₹19,50,000** (difference ₹1,50,000): now compare with the higher of ₹50,000 or 10% × 18,00,000 = ₹1,80,000. Difference ₹1,50,000 does **not** exceed ₹1,80,000 → **nothing taxable** on item 6. This single change flips ₹2,00,000 to nil — the 10% band is decisive. - **If item 1 were ₹60,000** from the friend: money-gift basket now ₹60,000 > ₹50,000 → the **whole ₹60,000** becomes taxable (not just ₹10,000). One rupee over the line pulls the entire sum in. - **If item 7's shares were instead a ₹2,00,000 second-hand car** from the friend: still outside 56(2)(x) (car not listed) → nil — reinforcing that the *nature of the asset*, not its value, is the gate for movables.

Example 4 — Composite IFOS with family pension and let-out assets

Mrs. D (whose husband, a former employee, died) has for the year: - Family pension received ₹1,80,000. - Let out machinery with a building (letting inseparable, not a business): rent ₹3,00,000; depreciation on the assets ₹40,000; repairs ₹20,000. - Interest on enhanced compensation received from government ₹2,00,000.

Family pension (57(iia)): standard deduction = lower of 1/3 × 1,80,000 = ₹60,000, or ₹15,000. Lower = **₹15,000.** Net = 1,80,000 − 15,000 = **₹1,65,000.**

Composite letting (56(2)(iii)): rent ₹3,00,000 less depreciation ₹40,000 and repairs ₹20,000 = **₹2,40,000.**

Interest on enhanced compensation (56(2)(viii), 57(iv), 145B): taxable **on receipt**; flat **50% deduction**. Taxable = 2,00,000 − 1,00,000 = **₹1,00,000.**

IFOS total = 1,65,000 + 2,40,000 + 1,00,000 = **₹5,05,000.**

Reconciliation: each component uses its *own* deduction rule — a proxy standard deduction for pension, real costs for the letting, and a rough 50% for litigation-type interest. That variety is the whole point of §4.7.

Examiner tweak — the "war widow" swap. If Mrs. D's husband had died **in operational service of the armed forces**, her family pension may be **fully exempt** under Sec 10, not merely eligible for the ₹15,000 standard deduction. In that case the family-pension line becomes **nil taxable** and the IFOS total falls to 2,40,000 + 1,00,000 = **₹3,40,000.** Watch the *identity of the deceased*, not just the word "pension."

Example 5 — Grossing up, deemed dividend and the interest cap together

Mr. E (no business) reports: - Interest on listed debentures, **received net ₹18,000** after 10% TDS. - A **loan of ₹4,00,000** taken from XYZ Pvt. Ltd. (a closely-held company) in which he holds **15% of the voting power**; the company's accumulated profits on that date were ₹2,50,000. - Dividend (gross) ₹50,000 from equity shares; interest of ₹15,000 paid on money borrowed to buy those shares; ₹2,000 of demat/PMS charges relating to the shares.

Compute IFOS.

Step 1 — debenture interest, gross it up. Net ₹18,000 after 10% TDS → gross = 18,000 ÷ 0.90 = **₹20,000.** Taxable interest on securities = ₹20,000; TDS ₹2,000 is a credit. No expense claimed here.

Step 2 — deemed dividend, Sec 2(22)(e). A loan by a closely-held company to a ≥10% shareholder is deemed dividend **to the extent of accumulated profits.** Loan ₹4,00,000 but accumulated profits only ₹2,50,000 → deemed dividend = **₹2,50,000** (capped at accumulated profits; the balance ₹1,50,000 is not deemed dividend). Taxed as IFOS.

Step 3 — dividend and the 20% cap. Gross dividend ₹50,000. Interest deductible under 57(i) but **capped at 20% × 50,000 = ₹10,000** (of the ₹15,000 actually paid, ₹5,000 is lost). Demat/PMS charges ₹2,000 are **not** allowed (only *interest* is deductible against dividend). Net dividend = 50,000 − 10,000 = **₹40,000.**

Does the 20% cap apply to the deemed dividend too? The ₹10,000 cap here is measured against the ₹50,000 *actual* dividend that the borrowing financed. The deemed dividend of ₹2,50,000 arose from a *loan*, not from money he *borrowed to invest*, so no interest deduction attaches to it. Keep the two dividends separate.

Step 4 — IFOS total. Debenture interest 20,000 + deemed dividend 2,50,000 + net dividend 40,000 = **₹3,10,000.**

Reconciliation: three distinct mechanics in one sum — gross-up (income is the pre-TDS figure), the accumulated-profits ceiling on deemed dividend (only distributable profits can be "dividend"), and the anti-erosion 20% interest cap with all other share expenses barred. Each rupee disallowed or capped maps to a specific anti-abuse reason.

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6. Computation Format — Income from Other Sources

Use this skeleton in the exam; show every line even if nil.

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Computation of Income from Other Sources for AY ____

A. Dividends (gross)                                        xxx
   Less: interest on borrowing (max 20% of dividend) 57(i)   (xx)      xxx

B. Interest income  (grossed up where TDS deducted)         xxx
   Less: collection charges 57(iii)                         (xx)      xxx

C. Winnings from lotteries/games etc. (Sec 115BB, no ded.)            xxx
   [taxed separately at flat 30%; no expense, no set-off]

D. Family pension                                           xxx
   Less: std deduction u/s 57(iia) [1/3 or 15,000, lower]    (xx)      xxx

E. Income from letting of machinery/plant/furniture (+bldg)  xxx
   Less: repairs, depreciation, insurance 57(ii)/(iii)       (xx)      xxx

F. Interest on compensation/enhanced compensation (on receipt) xxx
   Less: 50% deduction u/s 57(iv)                            (xx)      xxx

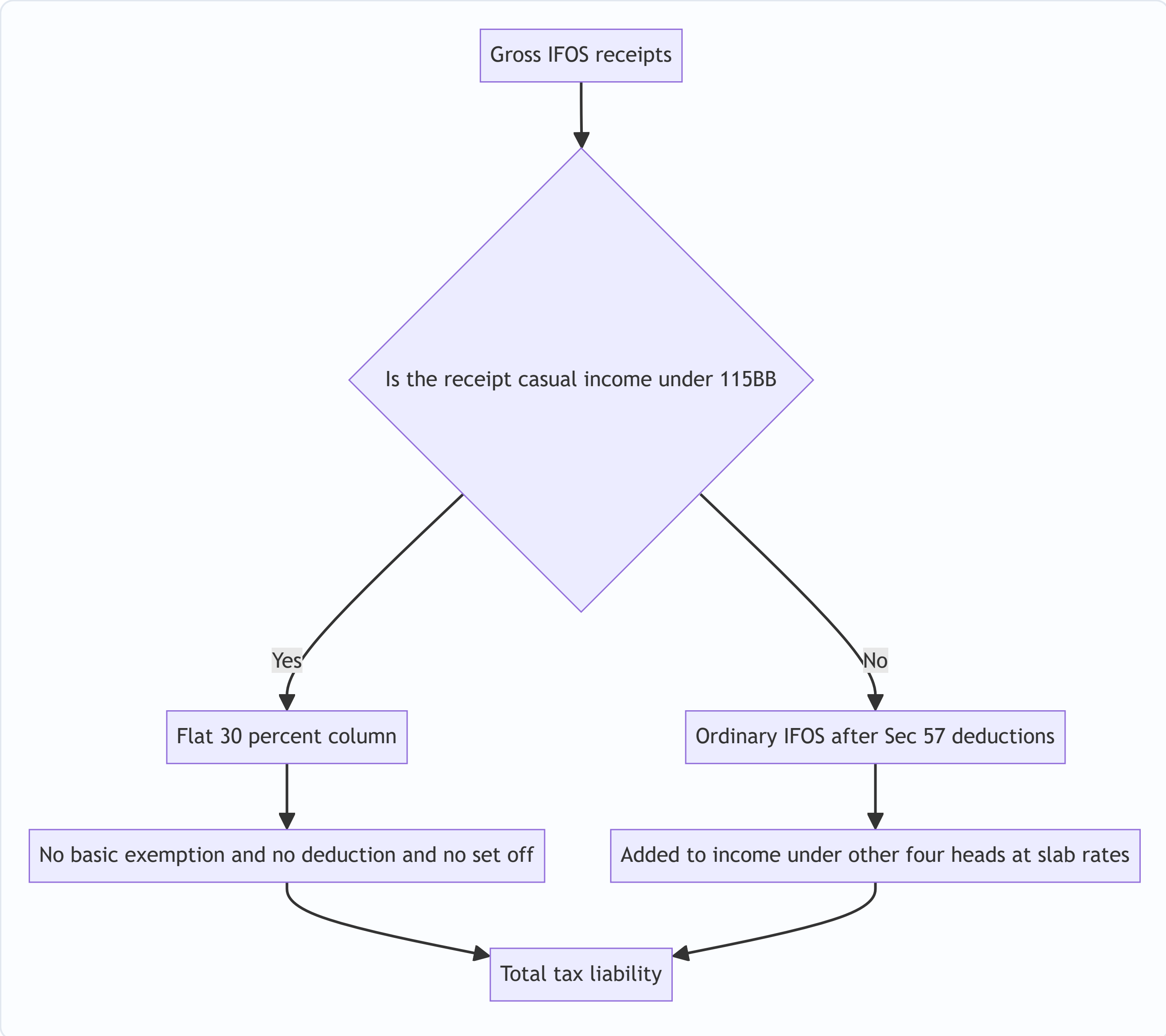
G. Gifts taxable u/s 56(2)(x)
   - money (whole, if aggregate > 50,000)                   xxx
   - immovable prop (if diff > higher of 50,000 or 10% cons.) xxx
   - movable prop (if diff/FMV > 50,000)                    xxx        xxx

H. Any other income (sub-letting, royalty, sitting fees…)   xxx
   Less: allowable expenses 57(iii)                         (xx)      xxx
                                                            ______________
   INCOME FROM OTHER SOURCES                                          XXX
                                                            ==============
```

Note: item C is kept apart because it is taxed at a special flat rate and is not eligible for basic exemption, deductions or set-off — it flows into the tax computation, not into slab income.

Presentation discipline that earns marks: - Always **gross up** interest/winnings first, then show TDS *below the line* as a tax credit — never inside the income figure. - For gifts, apply the ₹50,000 test **basket by basket** and write a one-line reason for each exempt item ("from relative", "own marriage", "asset not listed") — narration fetches step marks even if a number slips. - Keep **casual income physically separate** from the slab-income subtotal, with a note that it is charged at 30% under 115BB. Merging it into slab income is a substantive error, not a cosmetic one.

Figure 3 — how the IFOS subtotal splits before it reaches the tax computation: ordinary IFOS joins slab income while casual income branches off to the flat 30% column.



7. Connections — how IFOS links to the rest of the Act

- **Ordering with the four heads (Sec 14):** always eliminate the other four heads first. A let-out *building alone* is House Property; the *same building let inseparably with machinery* is IFOS. A share *sold* is Capital Gains; the *dividend* on it is IFOS.
- **Clubbing (Sec 60–64):** income clubbed in your hands (e.g., interest earned by your spouse on money you gifted) is often computed and taxed under IFOS.
- **Set-off & carry forward (Sec 70–80):** ordinary IFOS losses (e.g., loss on letting) can be set off against other heads, **but** casual-income losses and race-horse losses have special ring-fenced rules; casual income cannot be reduced by any loss.
- **Deemed income / Sec 2(22):** deemed dividend from closely-held companies feeds into IFOS.
- **TDS chapter:** 194B (winnings), 194 (dividend), 194A (interest) all key off IFOS receipts; TDS is a *credit*, never a reduction of gross income — hence **grossing up**.
- **PGBP boundary:** the *same* item (interest, letting, royalty) becomes PGBP the moment it is part of a business; the phrase "not chargeable under PGBP" in many 56(2) clauses is the switch.

The gift → capital-gains bridge (Sec 49(4)). When property that was taxed under 56(2)(x) is later sold, the value **already charged to tax** becomes its **cost of acquisition** for computing capital gains — preventing the same value from being taxed twice. And an *inherited/gifted-from-relative* asset (exempt under 56(2)(x)) carries the **previous owner's cost and holding period** into the capital-gains computation (Sec 49(1)/2(42A)). So an IFOS gift question can legitimately continue into a Capital Gains sub-part.

The clubbing overlap — do not double-count. If a husband gifts cash to his wife (exempt under 56(2)(x) as a relative gift), the *income* she later earns on that cash (say FD interest) is **clubbed** back in the husband's hands under Sec 64 and taxed as *his* IFOS. So the *gift* escapes 56(2)(x), but the *income from the gift* is caught by clubbing — a favourite two-step examiner construction. IFOS and clubbing must be read together.

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8. Traps & Examiner Tricks

1. **Threshold vs exemption (money gifts).** ₹50,000 is a **threshold, not an exemption**. Cross it and the **whole** amount is taxable, not the excess. Aggregate of ₹51,000 → ₹51,000 taxable, not ₹1,000.
2. **Movable vs immovable test differs.** Immovable property inadequate-consideration test uses the **higher of ₹50,000 or 10% of consideration**; movable property uses a **flat ₹50,000** with **no 10% band.** Examiners plant both in one question (Example 3, items 6 and 8).
3. **"Relative" is narrowly defined.** Friend, cousin, and (importantly) a *nephew/niece giving to uncle* differ from *uncle giving to nephew*. The definition is asymmetric in some directions — read it from the *recipient*'s viewpoint. A brother of a parent (uncle/aunt) **is** a relative; a parent's *cousin* is not.
4. **Own marriage only.** Gift on the occasion of your *child*'s or *sibling*'s marriage is **not** exempt — only the individual's *own* marriage.
5. **Employer gifts are Salary, not IFOS.** 56(2)(x) expressly excludes them.
6. **Car (and other unlisted movable assets) are outside 56(2)(x).** Only the *defined list* (shares/securities, jewellery, bullion, art, drawings, paintings, sculptures, archaeological collections) counts as "property."
7. **Casual income: gross it, flat-rate it, deduct nothing, set off nothing, no basic exemption.** Every one of these is separately tested. TDS on winnings is often *not* the full tax after surcharge — do not assume TDS = final tax when surcharge applies.
8. **Grossing up interest/winnings received net of TDS.** Students forget to add back TDS to reach gross income.
9. **Dividend interest cap.** Interest deduction is capped at **20% of dividend**; any excess actually paid is simply lost — do not deduct the full interest.
10. **Family pension standard deduction is the *lower* of 1/3 or ₹15,000** — students often take the *higher*.
11. **Interest on enhanced compensation is taxed on receipt (Sec 145B) with a flat 50% deduction (57(iv))** — not on accrual, and no other expense is allowed.
12. **Three separate ₹50,000 baskets.** Money, immovable and movable each have their *own* ₹50,000 threshold; do not add them into one grand total. Below-threshold in each basket = nil, even if the sum of baskets exceeds ₹50,000.
13. **Only *interest* is deductible against dividend — not demat/PMS/collection charges.** Under classical taxation the sole allowed deduction is interest (capped at 20%); every other share-related expense is barred (contrast interest income, where collection charges *are* allowed).

14. **Deemed dividend 2(22)(e) is capped at accumulated profits.** A ₹10-lakh loan with only ₹3-lakh accumulated profits gives ₹3-lakh deemed dividend, not ₹10 lakh — and only when the company is *closely-held* and the borrower holds ≥10% voting power.
15. **Race-horse income vs betting on races.** Owning-and-maintaining race horses is a quasi-business (expenses allowed, special loss carry-forward up to 4 years); *betting* on a race is pure 115BB casual income (nothing allowed). The examiner blurs the two deliberately.
16. **War-widow / gallantry family pension may be fully exempt** under Sec 10 — do not mechanically apply the ₹15,000 standard deduction to *every* family pension.
17. **"Purpose not result" for 57(iii).** An expense to earn income is deductible even if no income actually resulted that year (e.g., interest on a share loan in a year of no dividend) — subject to any specific cap.
18. **Online-gaming winnings** now sit in their own section on *net winnings* with their own TDS — do not force-fit them into the classic 194B/115BB lottery mould without checking the current provision.

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9. First-Principles Recap

- The Act taxes all income under five heads; a specific-head system **must** have a residual head or income leaks out. That residual is **IFOS (Sec 56(1)).**
- IFOS is reached **only after** the other four heads are ruled out — it is the head of *last resort* — and only for something that is *income or deemed income* in the first place.
- **Sec 56(2)** lists common inclusions not to shrink the net but to give certainty, to **deem** capital-type windfalls (gifts) to be income, and to plug avoidance. The more *artificial* the inclusion, the *stingier* the deductions attached.
- **Deductions (Sec 57)** follow the universal rule — costs *wholly and exclusively* to earn the income, judged by *purpose not result* — with special proxies (family pension 1/3-or-15k, enhanced-compensation 50%) and one anti-erosion cap (dividend interest 20%).
- **Disallowances (Sec 58)** mirror general anti-abuse: no personal expense, no cross-border payment without TDS, 40A discipline imported, and above all **nothing against casual income.**
- **Windfalls** (casual income) are taxed at a **flat 30% (115BB)** precisely because they carry no effort and no cost; **gifts** are taxed at slab in the recipient's hands to close laundering and slab-shifting, softened only by *reasoned* carve-outs (relative, own marriage, inheritance) and *basket-wise* thresholds.
- **Method of accounting** (Sec 145) is the assessee's regular method, overridden to *receipt* basis where the income is contingent on an outside event (compensation interest, dividend).
- IFOS never stands alone: it **feeds** clubbing (income on gifted funds), **hands off** to capital gains (Sec 49(4) cost), and **switches** to PGBP the moment a business exists.

If you can reconstruct each provision from its *reason*, you never need to memorise the list.

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10. Quick-Revision Sheet

Topic	Key rule	Section
Residual charge	Income not under other 4 heads, not exempt → IFOS	56(1)
Specific inclusions	Illustrative list (dividend, interest, winnings, gifts…)	56(2)
Dividend	Slab rate; interest deduction capped at 20% of dividend; no other expense	56(2)(i), 57(i)
Deemed dividend	Loan by closely-held co. to ≥10% shareholder, capped at accumulated profits	2(22)(e)
Interest on securities	Gross up for TDS; IFOS unless stock-in-trade	56(2)(id)
Casual income / lottery	Flat **30%**, no deduction, no set-off, no basic exemption	56(2)(ib), 115BB, 58(4)
Winnings in kind	Payer releases prize only after tax on FMV is paid; income = FMV	194B
Money gift	Aggregate **> ₹50,000** → **whole** sum taxable	56(2)(x)(a)
Immovable gift (inadequate)	Taxable if diff **> higher of ₹50,000 or 10% of consideration**	56(2)(x)(b)
Movable gift (inadequate)	Taxable if diff **> ₹50,000** (flat, no 10% band)	56(2)(x)(c)
Three baskets	Money / immovable / movable each get a *separate* ₹50,000 test	56(2)(x)
Gift exemptions	Relative; own marriage; will/inheritance; from exempt entity	proviso to 56(2)(x)
"Relative"	Spouse, siblings of self/spouse/parents, lineal ascend./descend. & their spouses	Explanation to 56(2)(x)
Angel tax	Excess of share issue price over FMV taxed in *company's* hands	56(2)(viib)
Cost of gifted asset on later sale	Value charged u/s 56(2)(x) becomes cost of acquisition	49(4)
Family pension	Std deduction = lower of 1/3 or **₹15,000**; some fully exempt u/s 10	57(iia), 10
Enhanced compensation interest	On **receipt**; flat **50%** deduction	56(2)(viii), 57(iv), 145B
Let-out machinery/plant/furniture	Rent less repairs, depreciation, insurance	56(2)(ii)/(iii), 57(ii)
General deduction rule	Expense wholly & exclusively to earn income (purpose, not result)	57(iii)
Disallowances	Personal exp.; foreign payment w/o TDS; 40A discipline; nothing vs casual income	58

Topic	Key rule	Section
Method of accounting	Regular cash/mercantile; receipt basis for compensation interest & dividend	145, 145B

Memory hooks - **"Last net catches all fish"** → IFOS is the residual net (56(1)), but only for *income or deemed income*. - **"₹50,000 is a cliff, not a step"** → cross it on money gifts and the *whole* amount falls in. - **"Three baskets, three cliffs"** → money, immovable, movable each get their own ₹50,000 test. - **"Immovable gets a 10% cushion; movable gets none."** - **"Windfall = 30 flat, zero off"** → 30% rate, zero deductions, zero set-off, zero basic exemption. - **"Pension: take the LOWER; compensation: take HALF; dividend interest: cap at a FIFTH."** - **"Uncle to nephew yes, nephew to uncle no"** → read 'relative' from the *receiver* outward. - **"Deemed dividend stops at accumulated profits."**

> *Reminder:* confirm every ₹ figure, %, threshold and the flat rate against the **current ICAI module for your applicable AY** before the exam. The reasoning here is durable; the numbers drift.

Q&A — Income from Other Sources

> **AY flag:** Rates, monetary limits and thresholds below are stated as generally applicable for **AY 2025-26** to build working fluency. The **flat 30% on casual income (Sec 115BB)**, the **₹50,000 gift threshold**, the **10% immovable-property tolerance band**, the **₹15,000 family-pension standard deduction** and TDS thresholds can drift with each Finance Act. **Always re-verify the exact figure, %, threshold and applicable AY against the current ICAI Study Material / RTP before your attempt.** All section references are to the **Income-tax Act, 1961**. The *logic* is durable; the numbers move.

Section A — Concept Check (short Q&A with section citation)

A1. What makes Income from Other Sources a "residual" head, and which section creates the charge? **Sec 56(1)** charges income *of every kind* that is (a) not excluded from total income, and (b) not chargeable under the other four heads. IFOS is therefore the **safety net of last resort** — an item lands here only after Salaries, House Property, PGBP and Capital Gains have each been ruled out. This guarantees no income leaks out of the tax base.

A2. Is the list in Sec 56(2) exhaustive? No. Sec 56(2) is **illustrative, not exhaustive** — introduced with "in particular, and without prejudice to the generality of Sec 56(1)." The named items (dividend, interest on securities, winnings, gifts) merely give certainty for common cases; the general residual charge still catches anything unnamed.

A3. After abolition of DDT, how is dividend taxed and what deduction is allowed? Dividend is taxable **in the shareholder's hands at slab rates** under **Sec 56(2)(i)** (classical system, w.e.f. FY 2020-21). Under **Sec 57(i)** only **interest on money borrowed** to earn the dividend is deductible, **capped at 20% of the dividend income**. No collection charges or other expense are allowed against dividend.

A4. At what rate is casual income taxed, and what may be deducted? Winnings from lotteries, crossword puzzles, races, card games, gambling, betting and TV game shows [**Sec 56(2)(ib)**] are taxed at a **flat 30%** (plus surcharge and cess) under **Sec 115BB** — not at slab rates. **No expense, no deduction, no basic-exemption benefit, no Chapter VI-A deduction and no set-off of any loss** is permitted [**Sec 58(4)**].

A5. When money is gifted, why is the ₹50,000 figure a "threshold" and not an "exemption"? Under **Sec 56(2)(x)(a)**, if the **aggregate** sum of money received without consideration in the year **exceeds ₹50,000**, the **whole amount** (not merely the excess) is taxable. Crossing ₹50,000 pulls the entire sum in — it is a cliff, not a step. Aggregation prevents splitting one gift into many small ones.

A6. How does the taxability test differ between immovable and movable gifted property for inadequate consideration? - **Immovable property [56(2)(x)(b)]:** taxable if (SDV − consideration) **exceeds the higher of ₹50,000 or 10% of consideration** — the 10% band absorbs honest valuation gaps. - **Movable property [56(2)(x)(c)]:** taxable if (FMV − consideration) **exceeds ₹50,000 flat** — there is **no 10% band**.

A7. Who counts as a "relative" so that a gift is exempt? Per the Explanation to **Sec 56(2)(x)**: spouse; brother/sister of the individual; brother/sister of the spouse; brother/sister of either parent; any lineal ascendant or descendant of the individual or of the spouse; and the spouse of all the persons above. A

friend, cousin, or a parent's cousin is NOT a relative. (A parent's *brother/sister* — your uncle/aunt — **is** a relative.)

A8. Why is family pension taxed under IFOS and not Salaries, and what deduction applies? The employee's own pension is Salary, but on his death there is **no employer-employee relationship with the legal heir**, so the pension received by the heir cannot be salary — it defaults to IFOS. **Sec 57(iia)** grants a standard deduction of **1/3 of the pension or ₹15,000, whichever is LOWER**.

A9. How is interest on enhanced compensation taxed? Under **Sec 56(2)(viii)** read with **Sec 145B**, it is taxable **on receipt** (not accrual — the right is contingent until finally awarded). **Sec 57(iv)** allows a flat **50% deduction**, and no other expense is permitted.

A10. What is "grossing up" and why is it needed? When interest (or winnings) is received *net* of TDS, the taxable **income is the gross amount** — TDS is merely tax already paid on the assessee's behalf. So the TDS is **added back** to reach gross income, and separately claimed as a **prepaid tax credit**. TDS never reduces gross income.

A11. Is a car gifted by a friend taxable under Sec 56(2)(x)? No. A motor car is **not** within the *defined list* of movable "property" (shares/securities, jewellery, bullion, archaeological collections, art, drawings, paintings, sculptures). Gifting an unlisted asset like a car falls **outside 56(2)(x)** entirely.

A12. On what basis is IFOS income computed? Under **Sec 145(1)**, on the **cash or mercantile basis regularly employed** by the assessee — provided it is applied consistently. Overridden to **receipt basis** for dividend and for interest on compensation/enhanced compensation [Sec 145B].

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Dividend and the 20% interest cap

Mr. P received dividend of **₹1,50,000** from Indian companies. He had borrowed money to buy those shares and paid interest of **₹40,000**. He also paid ₹3,000 as portfolio collection charges. Compute income under IFOS.

Answer. Dividend → **Sec 56(2)(i)**, slab rate. - Interest deductible under **57(i)** is capped at **20% of dividend** = 20% × 1,50,000 = **₹30,000** (though ₹40,000 was paid; the extra ₹10,000 is lost). - Collection charges of ₹3,000 are **not allowed** against dividend (only interest is deductible). - **IFOS = 1,50,000 − 30,000 = ₹1,20,000.** *Check: 20% × 1,50,000 = 30,000; 1,50,000 − 30,000 = 1,20,000.* ✓

B2 (Easy) — Casual income, no deduction, no set-off

Ms. Q won **₹3,00,000** (gross) in a TV game show. She spent ₹8,000 on travel to the studio and has a business loss of ₹1,00,000. Compute the taxable winnings and tax on them.

Answer. Winnings → **Sec 56(2)(ib)**, taxed at **flat 30% under Sec 115BB**. - Travel ₹8,000 is **disallowed** [Sec 58(4)]. - Business loss **cannot be set off** against winnings. - Taxable winnings = **₹3,00,000**. - Tax = 30% × 3,00,000 = **₹90,000** (+ surcharge, if any, and 4% cess). *Check: 3,00,000 × 0.30 = 90,000; no deduction, no set-off applied.* ✓

B3 (Moderate) — Family pension + interest, with grossing up

Mrs. R (widow of a former employee) received: family pension **₹2,40,000**; and bank FD interest received **net ₹36,000** after TDS of **₹4,000**. Compute IFOS.

Answer. - **Family pension [57(iia)]:** deduction = lower of (1/3 × 2,40,000 = ₹80,000) or ₹15,000 = **₹15,000**. Net pension = 2,40,000 − 15,000 = **₹2,25,000**. - **Interest:** gross up = 36,000 + 4,000 = **₹40,000** taxable. - **IFOS = 2,25,000 + 40,000 = ₹2,65,000.** - The ₹4,000 TDS is claimed separately as prepaid tax. *Check: lower of 80,000/15,000 = 15,000; 40,000 gross interest; total 2,65,000.* ✓

B4 (Moderate-Hard) — Gift computation across all three categories

Mr. S, an individual, received during the previous year: 1. Cash gift ₹45,000 from a friend; ₹20,000 from another friend. 2. A plot of land, SDV ₹4,00,000, gifted free by a friend. 3. A flat purchased from a friend for ₹25,00,000; SDV ₹28,00,000. 4. Shares (FMV ₹90,000) purchased from a friend for ₹50,000. Compute the amount taxable under IFOS.

Answer. Apply **Sec 56(2)(x)**; all donors are friends (non-relatives), so no exemption.

- **Item 1 — money, aggregate:** 45,000 + 20,000 = **₹65,000 > ₹50,000** → **whole ₹65,000 taxable** (threshold, not exemption).
- **Item 2 — immovable, free:** SDV ₹4,00,000 > ₹50,000 → **whole ₹4,00,000 taxable**.
- **Item 3 — immovable, inadequate consideration:** diff = 28,00,000 − 25,00,000 = ₹3,00,000. Higher of ₹50,000 or 10% of 25,00,000 (= ₹2,50,000) → ₹2,50,000. Diff ₹3,00,000 **> ₹2,50,000** → **entire ₹3,00,000 taxable**.
- **Item 4 — movable, inadequate consideration:** diff = 90,000 − 50,000 = ₹40,000. Flat test ₹50,000 (no 10% band). ₹40,000 **≤ ₹50,000** → **not taxable**.

Item	Taxable
1 money	65,000
2 land free	4,00,000
3 flat (inadequate)	3,00,000
4 shares	Nil
Total IFOS	**₹7,65,000**

Check: 65,000 + 4,00,000 + 3,00,000 = 7,65,000. ✓

B5 (Exam-Hard) — Comprehensive IFOS with every item type

Mr. T (individual, no business), for the year: - Dividend from Indian company ₹80,000; interest on loan to buy those shares ₹25,000. - FD interest received net ₹45,000 (TDS ₹5,000). - Won a lottery ₹5,00,000 (gross); TDS ₹1,50,000 deducted; bought tickets worth ₹6,000. - Family pension ₹3,60,000. - Let out machinery with building (inseparable letting, not business): rent ₹4,00,000; depreciation ₹60,000; repairs ₹25,000; insurance ₹5,000. - Interest on enhanced compensation received ₹1,20,000. - Cash gift ₹51,000 from a cousin. Compute income under IFOS (segregating the specially-taxed items).

Answer.

Slab-rate IFOS stream: - **Dividend [56(2)(i), 57(i)]:** interest capped at 20% × 80,000 = ₹16,000. Net = 80,000 − 16,000 = **₹64,000**. - **FD interest:** gross up = 45,000 + 5,000 = **₹50,000**. - **Family pension [57(iia)]:** deduction = lower of (1/3 × 3,60,000 = ₹1,20,000) or ₹15,000 = ₹15,000. Net = 3,60,000 − 15,000 = **₹3,45,000**. - **Let-out machinery+building [56(2)(iii), 57(ii)/(iii)]:** 4,00,000 − 60,000 − 25,000 − 5,000 = **₹3,10,000**. - **Interest on enhanced compensation [56(2)(viii), 57(iv), 145B]:** on receipt; 50% deduction. 1,20,000 − 60,000 = **₹60,000**. - **Gift from cousin:** a **cousin is NOT a relative** → money gift ₹51,000 **> ₹50,000 → whole ₹51,000 taxable**.

Slab-rate IFOS = 64,000 + 50,000 + 3,45,000 + 3,10,000 + 60,000 + 51,000 = **₹9,80,000**.

Special-rate stream (kept apart): - **Lottery [56(2)(ib), 115BB]:** ₹6,000 ticket cost **disallowed** [58(4)]. Taxable = **₹5,00,000** at **flat 30%** = ₹1,50,000. TDS ₹1,50,000 exactly covers it.

Total income under IFOS = 9,80,000 + 5,00,000 = ₹14,80,000 (of which ₹5,00,000 is taxed at flat 30%, the remaining ₹9,80,000 at slab rates). - Prepaid TDS credit = 5,000 + 1,50,000 = ₹1,55,000.

Check: slab stream 64,000+50,000+3,45,000+3,10,000+60,000+51,000 = 9,80,000; +5,00,000 lottery = 14,80,000; lottery tax 5,00,000×0.30 = 1,50,000 = TDS. ✓

Section C — Past-Paper-Style Full Questions

C1. "Discuss taxability of each receipt under Sec 56(2)(x)"

Mr. A, an individual, received: (i) ₹1,00,000 on the occasion of his own marriage from friends; (ii) ₹75,000 cash from his elder brother; (iii) a diamond ring (FMV ₹2,00,000) from his fiancée (not yet married); (iv) ₹60,000 festival gift from his employer; (v) a house (SDV ₹15,00,000) inherited under his late father's will. State the taxability with reasons.

Model answer. | Receipt | Taxable? | Reason (section) | |---|---|---| | (i) ₹1,00,000 on own marriage | **Exempt** | Gift on the occasion of the individual's *own* marriage — proviso to 56(2)(x) | | (ii) ₹75,000 from elder brother | **Exempt** | Brother is a "relative" — Explanation to 56(2)(x) | | (iii) Ring FMV ₹2,00,000 from fiancée | **Taxable ₹2,00,000** | Fiancée is **not** a relative; movable property (jewellery) free, FMV > ₹50,000 | | (iv) ₹60,000 from employer | **Not IFOS** | Employer receipt → taxable as **Salary/perquisite**, expressly excluded from 56(2)(x) | | (v) House by will | **Exempt** | Received under a will / inheritance — proviso to 56(2)(x) |

Taxable under IFOS = ₹2,00,000 (item iii only). *(Item iv is taxable, but under Salaries.)*

C2. Interest on securities, grossing up and stock-in-trade boundary

Mr. B holds 10% debentures of a listed company of face value ₹5,00,000, receiving interest **net of TDS**. TDS deducted was ₹5,000. He also holds government securities on which interest of ₹20,000 accrued. He is **not** a securities dealer. Compute IFOS. What changes if the debentures were his business stock-in-trade?

Model answer. - Debenture interest is taxable under **Sec 56(2)(id)** (interest on securities), as he is not a dealer. - Interest received net of TDS must be **grossed up**: gross debenture interest = net received + TDS. Coupon = 10% × 5,00,000 = ₹50,000 (this is the gross); TDS ₹5,000 is added back to the net to reconcile to ₹50,000. - Government securities interest = ₹20,000. - **IFOS = 50,000 + 20,000 = ₹70,000.** TDS ₹5,000 claimed as prepaid tax. - **If held as stock-in-trade:** the interest becomes **business income under PGBP**, not IFOS — the phrase "not chargeable under PGBP" in 56(2) is the switch. IFOS from securities would then be Nil.

C3. Composite letting versus house property

Mr. C lets out a factory building **together with** the plant and machinery installed in it under a single inseparable lease at ₹6,00,000 p.a. Repairs ₹40,000, depreciation ₹1,10,000, insurance ₹10,000. It is not a business activity. Where and how is this taxed?

Model answer. - Because the building is let **inseparably along with** plant and machinery and the two lettings cannot be split, it is **not** House Property income; it is taxed under **Sec 56(2)(iii)** as IFOS (a composite letting). - Deductions under **Sec 57(ii)/(iii)** — current repairs, depreciation and insurance on the let-out assets — are allowed as genuine costs of the letting. - Income = 6,00,000 − 40,000 − 1,10,000 − 10,000 = **₹4,40,000** under IFOS. - **Contrast:** had the building been let *alone*, it would be **House Property** (with 30% standard deduction u/s 24), and the machinery let alone (as a business) would be PGBP. The *inseparability* is what forces IFOS.

Section D — MCQs / Case Scenarios

D1. Aggregate money gifts (from non-relatives, no occasion) of ₹55,000 in a year are taxable to the extent of: (a) Nil (b) ₹5,000 (c) ₹50,000 (d) ₹55,000 **Ans: (d).** Sec 56(2)(x)(a) — once ₹50,000 is crossed, the **whole** sum is taxable (threshold, not exemption).

D2. Casual income (lottery winnings) is taxed under: (a) slab rates (b) flat 20% (c) flat 30% (d) 12.5% **Ans: (c).** Sec 115BB — flat 30%, with no deduction or set-off [Sec 58(4)].

D3. Interest deduction against dividend income is capped at: (a) 10% of dividend (b) 20% of dividend (c) 30% of dividend (d) no cap **Ans: (b).** Sec 57(i) — anti-erosion cap of 20% of the dividend.

D4. For a gift of immovable property for inadequate consideration, the tolerance band is the higher of ₹50,000 or: (a) 5% of consideration (b) 10% of consideration (c) 15% (d) 20% **Ans: (b).** Sec 56(2)(x)(b). Movable property has no such band — flat ₹50,000.

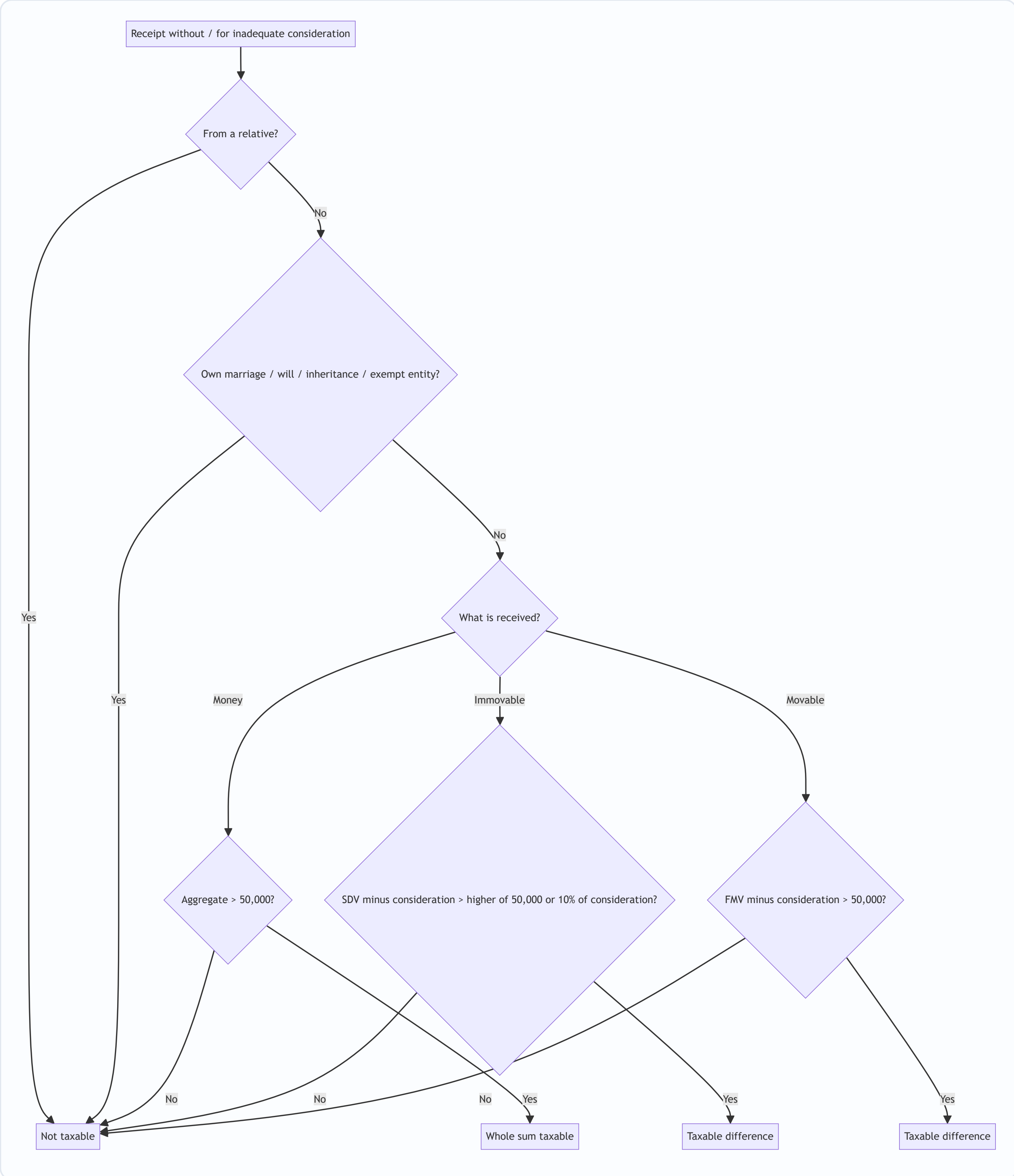
D5. Standard deduction on family pension under Sec 57(iia) is: (a) higher of 1/3 or ₹15,000 (b) lower of 1/3 or ₹15,000 (c) flat 30% (d) ₹50,000 **Ans: (b).** Lower of one-third of the pension or ₹15,000.

D6 (Scenario). Mr. X received ₹1,00,000 from his father's brother (uncle). Taxable under Sec 56(2)(x)? (a) Yes, whole amount (b) Yes, excess over ₹50,000 (c) No — uncle is a relative (d) No — below limit **Ans: (c).** A brother of either parent (uncle/aunt) is a "relative" — exempt regardless of amount.

D7 (Scenario). Interest on enhanced compensation of ₹4,00,000 is received during the year. Amount taxable under IFOS: (a) ₹4,00,000 (b) ₹2,00,000 (c) Nil (d) ₹3,20,000 **Ans: (b).** Sec 56(2)(viii)/57(iv)/145B — taxed on receipt with flat 50% deduction → 4,00,000 − 2,00,000 = ₹2,00,000.

D8 (Scenario). A friend gifts Mr. Y a car (FMV ₹6,00,000) free of cost. Taxable under Sec 56(2)(x)? (a) Yes, ₹6,00,000 (b) Yes, ₹5,50,000 (c) No — car not a listed "property" (d) No — from a friend **Ans: (c).** A motor car is outside the defined list of movable property; the gift is not chargeable under 56(2)(x).

Decision Map (is a gift taxable under Sec 56(2)(x)?)



Quick-Revision Trigger Sheet

Item	Section	Key rule (AY 25-26)
Residual charge	56(1)	Income not under other 4 heads, not exempt → IFOS
Illustrative inclusions	56(2)	Not exhaustive
Dividend	56(2)(i), 57(i)	Slab rate; interest deduction capped at 20%
Interest on securities	56(2)(id)	Gross up for TDS; PGBP if stock-in-trade
Casual income	56(2)(ib), 115BB, 58(4)	Flat 30%; no deduction, set-off, or basic exemption
Money gift	56(2)(x)(a)	Aggregate > ₹50,000 → whole sum taxable
Immovable gift (inadequate)	56(2)(x)(b)	Diff > higher of ₹50,000 or 10% of consideration
Movable gift (inadequate)	56(2)(x)(c)	Diff > ₹50,000 (flat, no band)
Gift exemptions	proviso to 56(2)(x)	Relative; own marriage; will/inheritance; exempt entity
"Relative"	Explanation to 56(2)(x)	Spouse; siblings of self/spouse/parents; lineal ascend./descend. & spouses
Family pension	57(iia)	Lower of 1/3 or ₹15,000
Enhanced-compensation interest	56(2)(viii), 57(iv), 145B	On receipt; flat 50% deduction
Composite letting	56(2)(ii)/(iii), 57(ii)	Rent less repairs, depreciation, insurance
General deduction	57(iii)	Wholly & exclusively to earn the income
Disallowances	58	Personal exp.; foreign payment w/o TDS; nothing vs casual income
Method of accounting	145, 145B	Regular cash/mercantile; receipt basis for dividend & compensation interest

Memory hooks - "Last net catches all fish" → IFOS is the residual charge (56(1)). - "₹50,000 is a cliff, not a step" → cross it on money gifts and the *whole* sum falls in. - "Immovable gets a 10% cushion; movable gets none." - "Windfall = 30 flat, zero off" → 30% rate, zero deductions, zero set-off. - "Pension: take the LOWER; compensation: take HALF; dividend interest: cap at a FIFTH."

First-principles recap: IFOS exists because a specific-head system *must* have a residual net, or income leaks out (56(1)). Named items in 56(2) give certainty, **deem** capital-type windfalls (gifts) to be income, and plug avoidance. Deductions (57) follow the universal "cost of earning" rule with special proxies; disallowances (58) mirror anti-abuse. Windfalls are flat-rated because they carry no effort or cost; gifts are slab-taxed in the recipient's hands to stop laundering and slab-shifting, softened only by reasoned carve-outs.

> Re-confirm every ₹ figure, %, threshold, the flat 30% rate and all TDS limits against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam. The reasoning is durable; the numbers drift.

Chapter 08 — Clubbing of Income & Set-off/Carry-forward of Losses

> *Flag: All rates, monetary limits, exemption thresholds and carry-forward periods below reflect the Income-tax Act, 1961 as commonly examined. Always re-confirm the exact figures and the applicable Assessment Year against the current ICAI Study Material / RTP / Finance Act before the exam.*

Part 1 — The Problem

India taxes income using **slab rates that rise with income** (progressive taxation). That single design choice creates a temptation. If I earn ₹20,00,000, a slice of it is taxed at 30%. But my spouse earns nothing and my minor child earns nothing. What if I could *legally re-label* some of my income as "theirs"? Their slabs are empty; the first few lakhs would be taxed at 0%, 5%, 10% instead of my top 30%. By splitting one large income across several "persons," the family's *total* tax bill shrinks even though the *family's* spending power is unchanged.

Two classic dodges:

1. **Gift-and-earn.** I gift ₹50,00,000 to my non-earning spouse. She invests it in an FD earning ₹3,50,000 interest. On paper that interest is *her* income, taxed in *her* empty slab. But economically nothing left the household — I still control and benefit from the money.
2. **Divert the source.** Instead of gifting cash, I transfer only the *income stream* (e.g., assign the right to receive rent) while keeping ownership of the asset. The asset is still mine; only the fruit is re-labelled.

Notice the deeper structural point: **the taxpayer is the "individual," but the economic unit is the family.** The Act deliberately taxes each person separately (there is no joint "family return" for a nuclear family in India). That gap between the *legal person* taxed and the *economic unit* spending is precisely the crack that income-splitting exploits. Clubbing is the cement Parliament poured into that crack — but only into the specific channels where splitting is artificial, never into genuine intra-family generosity. The whole art of the chapter is learning **where the cement was poured and where it was deliberately left open.**

There is a second, unrelated problem in the same chapter. Income tax is computed **head by head** (Salary, House Property, Business, Capital Gains, Other Sources). A taxpayer can have a *profit* under one head and a *loss* under another — or even a loss within the same head (one house rented at a loss, another at a profit). If losses vanished the moment the year ended, the tax system would be brutally unfair to businesses and investors whose fortunes swing year to year. But if *every* loss could be freely used against *every* income forever, that too would be gamed. So the Act needs rules deciding **which loss can wipe out which income, in what order, and for how many years.**

A subtle third pressure hides inside the second: **timing arbitrage.** Because losses can be carried *forward* but (mostly) not *back*, and because concessional-rate income (LTCG) sits beside full-rate income (salary), a taxpayer who could freely mix losses could engineer *when* and *against what rate* a loss lands. The fences you will learn are as much about protecting the **rate structure** as about protecting the **year-of-taxation**.

This chapter solves both problems. They sit together because both are about **matching income to the right person and the right income**, and both are pure tax-avoidance-versus-fairness balancing acts.

Part 2 — The Core Idea

Clubbing (Sections 60–64): *Substance over form.* If you keep the real economic benefit but shift the paper income to a family member or an entity you control, the law ignores the paper and taxes the income **in the hands of the person who really enjoys/controls it** (the "transferor" or the higher-earning relative). Income is "clubbed" — added back — into the real owner's total income.

Set-off & carry-forward (Sections 70–80): *A loss is a negative income and deserves relief — but relief is rationed.* You may first cancel losses against income of the **same head** (intra-head, s.70), then against **other heads** (inter-head, s.71), and whatever survives may be **carried to future years** (s.72–74A) to cancel future income — but with **head-specific fences and time limits** that stop the relief from becoming a permanent tax shelter.

Two sentences to hold the whole chapter:

> **Clubbing decides *whose* income it is; set-off decides *how a loss travels* through heads and years.**
>
> **Clubbing works "sideways" (person to person); set-off works "downward and forward" (head to head, year to year).**

A third framing worth internalising: both halves of the chapter are answers to the same question — "*How far may the taxpayer stretch the definition of a taxable unit before the law snaps it back?*" Clubbing snaps back an over-stretched **person**; set-off fences snap back an over-stretched **loss**.

Part 3 — Why It's Built This Way

Why clubbing exists at all

Progressive slabs mean the *marginal* rupee of a rich person is taxed far higher than the *first* rupee of a poor person. Splitting income is therefore always tempting. Rather than police every transaction, Parliament drew a **bright-line rule**: certain relationships (spouse, minor child, daughter-in-law, HUF) and certain arrangements (transfer of income without the asset, revocable transfers) are treated as **presumptively artificial**. Income arising from them is pulled back to the real earner.

The genius (and the exam trap) is that clubbing is **targeted, not total.** It does *not* say "all family income is one." It surgically catches only the specific channels that split income *without* a genuine, arm's-length transfer of economic ownership. A real gift to an adult son, or a genuine sale for full value, escapes — because there the benefit *actually* moved.

Why these *particular* relatives? Follow the logic of **control retained despite transfer**: - **Spouse** — you live in one household and pool consumption, so a gift to a spouse leaves the money inside your economic reach. Caught. - **Minor child** — a minor cannot legally manage assets alone; the parent controls them *de facto*. Caught. - **Son's wife (daughter-in-law)** — the obvious "one step further" route once spouse and minor were fenced; catching it kills the workaround. Caught. - **Adult son / adult daughter / parents / siblings** — an adult relative controls their own money; a genuine gift really transfers the benefit. **Not** caught. This is why "gift ₹10 lakh to my adult son" is a legitimate (though other provisions like s.56(2)(x) exemptions for relatives interact) way that clubbing simply does not touch.

The pattern: **clubbing tracks retained control, not blood relationship.** The relatives named are just those where control is presumed to survive the transfer.

Why losses are allowed to be set off — but fenced

Three competing values:

- **Ability to pay.** Tax should track real net income. A trader who loses ₹5 lakh this year and makes ₹5 lakh next year has zero *net* income across two years; taxing the profit while ignoring the loss overstates ability to pay. → *Allow carry-forward.*
- **Anti-abuse.** If a "hobby" or engineered loss could cancel salary income indefinitely, high earners would manufacture paper losses. → *Fence certain losses (they can only shelter income of the same kind).*
- **Administrability & finality.** The government cannot keep tax years open forever. → *Time-limit carry-forwards (mostly 8 years).*

Every head-specific rule you'll memorise is just one of these three dials turned. Once you see *which* dial explains a rule, you never have to rote-learn it.

A fourth, quieter dial — rate integrity. The Act taxes different incomes at different rates: LTCG at concessional rates (s.112/112A), lottery at a flat high 30% (s.115BB), ordinary income at slab. A loss is worth *more* to the taxpayer when it cancels **high-rate** income. So the fences are also drawn to stop a loss generated in a low-rate world from crossing into and eroding high-rate collections, and vice-versa. When you cannot explain a fence by the three main dials, ask "is this protecting a *rate*?" — usually it is (that is the real reason LTCL is locked to LTCG, and lottery income cannot be reduced by anything).

Why the *order* (intra → inter → carry-forward) is fixed

The sequence is not arbitrary bureaucracy; it maximises the taxpayer's *legitimate* relief while minimising leakage. Same-head set-off is the least controversial (like income, like loss), so it goes first and is nearly unfenced. Cross-head is more aggressive, so it comes second and carries fences. Carry-forward is the most aggressive (it reaches into *future* collections), so it comes last, is the most heavily fenced, and is conditioned on compliance (timely return). **The relief gets progressively harder to obtain the further the loss travels — because the further it travels, the more it looks like avoidance rather than fairness.**

Part 4 — Full Technical Content

4A. Clubbing provisions (Sections 60–65)

Section 60 — Transfer of income without transfer of asset

Logic: You cannot give away the *fruit* while keeping the *tree*. If you assign the right to income but retain ownership of the asset, the income is **still yours**, whether the transfer is revocable or not. **Rule:** Income is clubbed with the transferor. *Hook:* "*Tree stays → fruit stays (with you).*" **Finer point:** s.60 does **not** require any relationship at all — you could assign rent to a friend or a charity and it would still be clubbed with you, because the *asset* never moved. This is the purest "substance over form" section: relationship is irrelevant, only asset-retention matters.

Section 61 — Revocable transfer of assets

Logic: If you can take the asset *back* whenever you like, you never really parted with it. The transfer is a facade. **Rule:** Income from a **revocable** transfer of an asset is taxed in the **transferor's** hands. **Section 62 exception — when it is *not* clubbed:** if the transfer is **irrevocable during the transferee's lifetime** *or* for a **specified period** and you have no power to re-derive benefit during that period and no reassumption of power → not clubbed (until the power to revoke arises). *Hook: "Take-back power = still yours."* **Meaning of "revocable" (frequently tested):** a transfer is deemed revocable if it contains **any provision to re-transfer** the asset/income (directly or indirectly) to the transferor, or gives the transferor **any right to re-assume power** over the asset/income. Even a *contingent* or *future* right to revoke taints the whole arrangement. Note the timing subtlety in s.62(2): where an irrevocable transfer later becomes revocable, clubbing starts **from the year the power to revoke arises**, not retrospectively.

Section 64(1)(ii) — Remuneration to spouse from a concern in which the individual has substantial interest

Logic: A no-show or padded "salary" to a spouse is disguised income-splitting. **Rule:** Salary/commission/fees/any remuneration paid by a concern to the **spouse** is clubbed with the individual **if** the individual has **substantial interest** (≥ 20% of shares/voting power in a company, or ≥ 20% share of profits in any other concern — held individually or with relatives) in that concern. **Exception (the fairness valve):** if the spouse earns it through **technical or professional qualifications** *and* the income is *solely attributable to* that knowledge/experience, it is **genuine** — not clubbed. Both limbs must be satisfied: (a) a qualification, and (b) the remuneration is *because of* that qualification. **Both spouses caught?** Where both husband and wife have substantial interest and both draw remuneration, club **both** remunerations in the hands of the spouse whose **total income (excluding this remuneration) is higher.** In a *later* year, once fixed, it continues with that spouse unless the AO, being satisfied and after hearing, decides otherwise. *Hook: "20% interest + no skill = club."*

Section 64(1)(iv) — Income from assets transferred to spouse

Logic: The gift-and-earn dodge. Transfer an asset to your spouse for **inadequate consideration** and the income it throws off is really yours. **Rule:** Income from assets transferred (directly/indirectly) to the spouse **otherwise than for adequate consideration** or not in connection with an agreement to live apart → clubbed with the transferor. **Not clubbed:** (a) adequate consideration paid; (b) transfer under agreement to live apart; (c) relationship did not exist when asset transferred *and* when income arose. **Adequate vs partial consideration (fine distinction):** if part consideration is paid, only the *proportionate* income attributable to the gifted portion is clubbed. Example: asset worth ₹10,00,000 transferred for ₹4,00,000 → 60% is "gift" → 60% of the income is clubbed. **Cross-provision link — s.27 & capital gains:** where the transferred asset is a **house property**, s.27(i) deems the transferor to be the "owner" so the *rental income* is taxed under House Property directly in the transferor's hands (not merely clubbed). And on a later *sale* of the clubbed asset, the **capital gain is also clubbed** with the transferor — clubbing is not limited to recurring income; it follows the asset into a capital gain too.

Section 64(1)(vi) — Income from assets transferred to son's wife (daughter-in-law)

Logic: Same dodge, one relative further out. Closes the "gift to daughter-in-law" loophole. Clubbed with the transferor (father-in-law/mother-in-law) if transferred for inadequate consideration. Same proportionate-consideration and "relationship must exist at transfer date" principles apply.

Section 64(1)(vii) & (viii) — Transfers to a person/AOP *for the benefit of* spouse / son's wife

Logic: Plugs the indirect route — routing through a trust or third party for the eventual benefit of spouse or daughter-in-law. Clubbed with the transferor to the extent the income is **for the immediate or deferred benefit** of that spouse or son's wife. **Trap:** the benefit need not be *immediate*. A trust that accumulates income now and pays the spouse later still triggers clubbing — "immediate or deferred benefit" is the statutory phrase.

Section 64(1A) — Income of a minor child

Logic: A minor cannot earn investment income through their own effort; income on assets gifted to a minor is really the parents' income-splitting. **Rule:** *All* income of a **minor child** (including step/adopted; and includes a minor married daughter) is clubbed with the **parent whose total income (before this clubbing) is higher.** Once clubbed with one parent, it stays there in later years unless the AO, after hearing, decides otherwise. **Whose hands when parents' marriage does not subsist:** club with the parent who **maintains** the minor child. **Exceptions (genuine child effort / helpless child):** - Income from the minor's **manual work** or activity involving **skill/talent/specialised knowledge and experience** (e.g., a child actor, chess prodigy, singer) → **not clubbed** (it's the child's own effort). - Income of a **minor with disability** specified under section 80U → **not clubbed** (taxed in the child's own hands). **Exemption relief — section 10(32):** where a minor's income *is* clubbed, the parent gets an exemption of **₹1,500 per minor child** (or the actual income clubbed, if less) *per child*. This is **per child, not per parent** and applies each time a child's income is clubbed. *Hook: "Minor's money → higher-earning parent, minus ₹1,500."* **Important layering trap:** income *earned* by the child's own skill is exempt from clubbing — but if that skill-income is then **invested** and earns interest, that *investment income* IS clubbed (because the accretion is passive, not skill-based). So a child-actor's fee is the child's, but interest on the fee deposited in an FD is clubbed with the higher-earning parent.

Section 64(2) — Conversion of individual property into HUF property

Logic: A member "throws" his self-acquired asset into the family common pool (converts to HUF property, or transfers it to the HUF) for inadequate consideration to split income across the joint family. **Rule:** Income from such converted property is clubbed with the **individual** (transferor). On a subsequent **partition** of the HUF, the share of the converted property going to the **spouse** of the transferer continues to be clubbed with the individual (via the s.64(1)(iv) route); income enjoyed by the individual's own share obviously remains his. *Hook: "You can't launder your income through the HUF."*

Section 65 — Liability of transferee for tax on clubbed income

Logic: Since the income is *taxed* in the transferor's hands but the *asset/income* physically sits with the transferee, the Act gives the department a recovery route. **Rule:** the transferee is **jointly and severally liable** (to the extent of the asset held) for the tax attributable to the clubbed income, if the AO so serves notice. Rarely numerically examined but a favourite one-liner in theory/MCQ.

4B. The "income on income" rule / accretion (critical, heavily tested)

Clubbing catches income from the **transferred asset**. But what about income earned by **re-investing that clubbed income** (accretion)?

Rule (settled position): Income from the **original transferred asset is clubbed.** But income arising from the **accretion** — i.e., income earned by investing the *clubbed income* — is **NOT clubbed**; it is taxed in the transferee's own hands.

Example intuition: Gift ₹10,00,000 to spouse → she earns ₹70,000 interest → that ₹70,000 is **clubbed** with you. She reinvests that ₹70,000 and earns ₹5,000 → that ₹5,000 is **her** income, **not clubbed.** *Hook: "First-generation income clubbed; second-generation income free."*

Why? The clubbed ₹70,000 has *already suffered tax in your hands*. Once taxed, it is legitimately hers to keep and re-invest; taxing its offspring in your hands again would be double-counting. This is the same logic as "you can gift post-tax money freely." **The dividing line is: has the base sum already been taxed to the transferor?** If yes, its further income is the transferee's.

Examiner's three-generation trick: problems often give (i) gifted capital, (ii) income on it, (iii) income on that income. Only (ii) is clubbed. Watch for a *fourth* twist where the transferee gifts *her* accretion onward — trace each rupee to "was this base already taxed to the original transferor?"

4C. Set-off of losses

Section 70 — Intra-head set-off (loss vs income within the SAME head)

First line of relief: a loss under a head cancels income under the **same** head. **Fences inside a head:** - **Speculation-business loss** → only against **speculation-business profit** (s.73). *Why: speculation is high-risk, near-gambling; the law won't let it shelter ordinary business.* - **Long-term capital loss (LTCL)** → only against **long-term capital gain (LTCG)**. **Short-term capital loss (STCL)** → against **STCG or LTCG.** *Why: LTCG enjoys a concessional rate; letting an LTCL cancel high-rate income would be a rate-arbitrage giveaway. STCL is more flexible because STCG is taxed more normally.* - Loss from **owning & maintaining race horses** → only against income from the same activity (s.74A). - **Specified business (s.35AD)** loss → only against another specified-business profit (s.73A). - Losses **cannot** be set off against **casual income** (lottery, card games, gambling, betting — s.58(4)/115BB); that income is taxed **gross** at a flat rate with no deduction and no set-off. - A **loss under "Income from Other Sources"** from an activity of **owning race horses** is silo-ed (above); other OS losses are generally set-off-able within the head and inter-head normally.

Two nuances often missed: 1. **Exempt-income losses don't exist for set-off.** If income from a source is exempt (e.g., agricultural income, or LTCG exempt under a provision), a *loss* from that source cannot be set off against taxable income — you cannot cherry-pick the loss from an otherwise tax-free basket. 2. **Intra-head allows a loss from one source to set against another source in the same head freely** *unless* a specific fence exists (speculation, race horses, 35AD, LTCL). So business loss of Unit A freely cancels business profit of Unit B; house-property loss of House 1 freely cancels house-property income of House 2.

Section 71 — Inter-head set-off (remaining loss vs OTHER heads)

After intra-head, a leftover loss can cross into other heads, **with fences:** - **Business loss** → **cannot** be set off against **Salary** income. *Why: salary is a clean, easily-verified income; letting engineered business losses erase salary invites abuse.* (Business loss *can* still go against House Property, Capital Gains, or Other Sources.) - **Capital-gains loss** → **cannot** be set off against **any other head** (only within Capital Gains). *Why: protects the concessional CG regime from leaking into ordinary income.* - **Speculation / race-horse / specified-business losses** → never leave their silo. - **House-property loss** → can be set off against other heads but only **up to**

₹2,00,000 in a year (s.71(3A)); the excess is carried forward. *Why: caps the interest-on-home-loan shelter that high earners were using to slash salary tax.* - **You cannot set off any loss against "winnings from lotteries/crossword/races/card games/gambling" (casual income).** This is absolute.

Directionality trap: the *fences are on the loss, not the profit.* "Business loss cannot go against salary" — but "salary" is fine as a *target* for a *house-property* loss. Always ask *which head the LOSS is coming from*, then check what it may NOT hit.

Sections 72–74A & 71B — Carry-forward (whatever still survives)

Loss type	Section	Carry-forward against	Years	Return-filing on time mandatory?
House-property loss	71B	Only House-Property income	**8**	No (allowed even if late)
Non-speculation business loss	72	Only Business income (spec + non-spec)	**8**	**Yes** (s.80)
Speculation-business loss	73	Only speculation profit	**4**	**Yes**
Specified-business (35AD) loss	73A	Only specified-business profit	**No limit**	**Yes**
Loss "owning race horses"	74A	Only that same activity	**4**	**Yes**
Long-term capital loss	74	Only LTCG	**8**	**Yes**
Short-term capital loss	74	STCG or LTCG	**8**	**Yes**
Unabsorbed depreciation	32(2)	Any income (except salary)	**No limit**	No

Note on carried-forward business loss (s.72): once *carried forward*, a non-speculation business loss can be set off in a future year against **any business income — including speculation profit** (a b/f non-speculation loss is not itself fenced to non-speculation profit). But a b/f *speculation* loss can only hit speculation profit. Also, to carry a business loss forward the **business need not continue** in the year of set-off (s.72 does not require continuity of the same business — a settled and frequently-tested relaxation).

Why the differences (the WHY table): - **8 years is the "normal" business/investment cycle** the Act treats as a fair window — hence house property, ordinary business and capital losses all get 8. - **Speculation & race-horses get only 4** because they are speculative/quasi-gambling — the law tolerates them less and wants a shorter shelter. - **Specified-business (35AD)** losses have **no time limit** because s.35AD gives a 100% capital deduction to nationally-useful infrastructure businesses (cold chains, warehouses, hospitals) — Parliament *wants* these, so it removes the time pressure. - **Unabsorbed depreciation has no time limit and can hit almost any head** because depreciation is not a "loss" from risk-taking; it's the recognition that a genuine asset is wearing out. Denying it would tax phantom income. But it still **cannot** touch salary (business relief shouldn't erase salary). - **Return-filing discipline (s.80):** to *carry forward* most losses you must file the return by the s.139(1) due date. *Why: carry-forward is a privilege; the state grants it only to compliant taxpayers*. The two exceptions — **house-property loss** and **unabsorbed depreciation** — are allowed even with a late return, because they are seen as structural/automatic rather than discretionary claims. (Note: s.80 governs *carry-forward*, not *current-year* set-off — you can always set off *within the same year* even with a belated return; only the *carrying forward* of the unabsorbed balance is denied.)

Continuity-of-ownership rule for closely-held companies (s.79) — flag for awareness: in a company (other than a company in which the public are substantially interested), a carried-forward loss cannot be set off unless, on the last day of the year, shares carrying **not less than 51%** of the voting power are **beneficially held by the same persons** who held them on the last day of the year the loss was incurred. *Why: stops "loss-company shopping" — buying a shell company purely to inherit its accumulated losses.* (Exact conditions and the start-up carve-outs — verify current ICAI material / AY.)

Order of set-off within carry-forward years: In a later year, **current-year depreciation** is set off first, then **brought-forward business loss (s.72)**, and **unabsorbed depreciation last** (because b/f loss has a time limit and depreciation does not — use the expiring relief first). *Hook: "Use what expires first."* More precisely the statutory priority is: (1) current-year depreciation and current-year capital expenditure on scientific research etc., (2) brought-forward business loss under s.72, (3) unabsorbed depreciation, unabsorbed capital expenditure on scientific research, and family-planning expenditure carried forward.

Part 5 — Worked Examples

Example 1 (Easy) — Spouse gift and the "income on income" trap

Mr. A gifts ₹8,00,000 to his wife (a homemaker with no other income). She invests it in a bank FD @ 7% and earns **₹56,000** interest in FY. She reinvests that ₹56,000 in another FD earning **₹4,000**.

Solve: 1. Asset (cash) transferred to spouse for **no consideration** → s.64(1)(iv) applies. Interest from the *original gifted amount* = **₹56,000 clubbed with Mr. A.** 2. The ₹4,000 is income on the *accretion* (income earned on the clubbed income) → **NOT clubbed** → taxed in **Mrs. A's** hands (and within her basic exemption, so likely nil tax).

Answer: ₹56,000 added to Mr. A's "Income from Other Sources"; ₹4,000 stays with Mrs. A. *Reconciliation: total interest ₹60,000 = ₹56,000 (clubbed) + ₹4,000 (spouse). ✓*

Example 2 (Medium) — Minor children with the s.10(32) exemption

Mr. B's total income (before clubbing) = ₹12,00,000. Mrs. B's = ₹15,00,000. They have: - Minor son C: interest on gifted bonds = **₹40,000**; prize from a TV singing contest (his own talent) = **₹25,000**. - Minor daughter D: interest income = **₹1,000**.

Solve: 1. Whose hands? Minor income clubs with the **higher-earning parent** = **Mrs. B** (₹15,00,000 > ₹12,00,000). 2. Son C's **talent income ₹25,000** → child's own skill → **NOT clubbed** → taxed in C's own return. 3. Son C's bond interest ₹40,000 → clubbed. s.10(32) exemption = ₹1,500 → net **₹38,500.** 4. Daughter D's interest ₹1,000 → clubbed. s.10(32) exemption = **min(₹1,500, ₹1,000) = ₹1,000** → net **₹0.**

Answer — clubbed with Mrs. B: ₹38,500 + ₹0 = **₹38,500.** C's ₹25,000 talent income is C's own. *Reconciliation: gross clubbable ₹41,000 (40,000+1,000); exemptions ₹1,500+₹1,000 = ₹2,500; net ₹38,500. ✓*

Example 2A (Medium, examiner tweak) — Partial consideration + capital gain on the gifted asset

Mr. G transfers to his wife a plot worth **₹20,00,000** in exchange for **₹8,00,000** cash (partial consideration). One year later she sells the plot for **₹26,00,000**. During the holding period the plot earned no income.

Solve: 1. Consideration paid = ₹8,00,000 of ₹20,00,000 → **40% adequate, 60% gift.** Only the **60% "gift" portion** is exposed to clubbing under s.64(1)(iv). 2. Capital gain on sale = ₹26,00,000 − ₹20,00,000 = **₹6,00,000** (ignore indexation nuance for illustration; verify indexation applicability for the AY). 3. **60% of the gain = ₹3,60,000 is clubbed with Mr. G**; the remaining **40% = ₹2,40,000 is Mrs. G's own** capital gain.

Answer: ₹3,60,000 clubbed with Mr. G (Capital Gains); ₹2,40,000 taxed in Mrs. G's hands. *Reconciliation: total gain ₹6,00,000 = ₹3,60,000 (clubbed, 60%) + ₹2,40,000 (own, 40%). ✓ Teaching point: clubbing follows the asset into the CAPITAL GAIN, and partial consideration proportions the clubbing.*

Example 2B (Medium, trap-buster) — Relationship-timing and remuneration skill exception

Mr. H owns 30% of the shares of XYZ Pvt Ltd (substantial interest). Facts: - His wife, a **qualified company secretary**, is the whole-time CS of XYZ drawing **₹9,00,000** p.a. commensurate with the role. - His fiancée (they marry *after* the transfer) received a gift of shares worth ₹5,00,000 from him **before marriage**; those shares pay a **₹30,000** dividend in the year (dividend arises *after* marriage).

Solve: 1. Wife's ₹9,00,000 salary: substantial interest test met (30% ≥ 20%), BUT she holds a **professional qualification (CS)** and the pay is *attributable to that qualification* → **skill exception, s.64(1)(ii) proviso → NOT clubbed.** Taxed as her salary. 2. Shares gifted **before marriage**: for s.64(1)(iv), the husband-wife relationship must exist **both** when the asset was transferred *and* when the income arose. At transfer they were **not** married → condition fails → **dividend ₹30,000 NOT clubbed**, even though the dividend accrues after marriage.

Answer: Nothing is clubbed. ₹9,00,000 is the wife's salary; ₹30,000 dividend is her own income. *Teaching point: two independent exceptions — the "skill" valve and the "relationship must exist at transfer AND at accrual" timing rule — each defeat clubbing on their own.*

Example 3 (Exam-hard) — Full set-off & carry-forward ordering

Mr. E's figures for the year (all after intra-head computation within each source):

Source	Amount
Salary	₹9,00,000
House Property 1 (let-out)	Loss ₹3,50,000
House Property 2 (let-out)	Profit ₹40,000
Business X (non-speculative)	Loss ₹2,00,000
Business Y (non-speculative)	Profit ₹1,20,000
Speculation business	Loss ₹60,000
STCG	₹80,000
LTCL	(₹1,00,000)
Income from Other Sources (interest)	₹50,000

Step 1 — Intra-head set-off (s.70): - House Property: −3,50,000 + 40,000 = **HP net loss ₹3,10,000.** - Business (non-spec): −2,00,000 + 1,20,000 = **Business net loss ₹80,000.** - Speculation loss ₹60,000: no speculation profit → **stays; carried forward (4 yrs).** - Capital Gains: LTCL ₹1,00,000 can offset **only LTCG**. There is none, and it *cannot* touch STCG (LTCL is LT-only). STCG ₹80,000 remains a **gain**; LTCL ₹1,00,000 **carried forward (8 yrs).**

Step 2 — Inter-head set-off (s.71): - **HP loss ₹3,10,000:** capped at **₹2,00,000** against other heads (s.71(3A)). Set ₹2,00,000 against Salary/other income; remaining **₹1,10,000 carried forward (8 yrs, s.71B).** - **Business loss ₹80,000:** cannot go against Salary. Set it against other non-salary income: STCG ₹80,000. → Business loss ₹80,000 vs STCG ₹80,000 = **both nil.**

Step 3 — Compute Gross Total Income: - Salary 9,00,000 − HP set-off 2,00,000 = **7,00,000** - Other Sources = **50,000** - STCG 80,000 − Business loss 80,000 = **0** - **GTI = 7,00,000 + 50,000 = ₹7,50,000.**

Step 4 — Losses carried forward: - House-property loss **₹1,10,000** (8 yrs) - Speculation loss **₹60,000** (4 yrs, vs future speculation profit only) - LTCL **₹1,00,000** (8 yrs, vs future LTCG only)

Reconciliation: Salary 9,00,000 + HP net −3,10,000 (but only 2,00,000 usable now) + Business net −80,000 + STCG 80,000 + OS 50,000. Usable reductions: −2,00,000 (HP cap) and −80,000 (biz vs STCG). 9,00,000+80,000+50,000 = 10,30,000 income; minus 2,00,000 minus 80,000 = 7,50,000. ✓ Carried: 1,10,000 + 60,000 + 1,00,000.

Examiner tweak — what if the HP loss were only ₹1,80,000? Then it is under the ₹2,00,000 cap, fully set off inter-head, nothing carried forward on HP account. Students who blindly write "carry forward HP loss" lose marks — always test against the cap *before* concluding carry-forward.

Second tweak — what if STCG were ₹50,000 (not ₹80,000)? Business loss ₹80,000 would absorb only ₹50,000 of STCG (→ STCG nil), and the **remaining ₹30,000 business loss** — since it cannot touch salary and no other non-salary income remains — would be **carried forward under s.72 (8 yrs), provided the return is filed on time.** This shows the salary fence *forcing* a carry-forward that would otherwise not exist.

Example 4 (Concept check) — Salary fence

Mr. F: Salary ₹6,00,000; Business loss ₹4,00,000; House-property loss ₹1,50,000. - Business loss **cannot** touch salary → carried forward ₹4,00,000 (s.72, 8 yrs, if return timely). - HP loss ₹1,50,000 (under the ₹2,00,000 cap) → set off against salary → Salary taxable = ₹4,50,000. **GTI = ₹4,50,000; c/f business loss ₹4,00,000.** *Reconciliation: the business loss is quarantined from salary by design; only HP loss reaches salary. ✓*

Example 5 (Exam-hard) — Future-year priority: current depreciation vs b/f loss vs unabsorbed depreciation

In AY 2 Mr. J's business shows: **Business profit before depreciation ₹5,00,000; current-year depreciation ₹1,50,000.** Brought forward from AY 1: **business loss (s.72) ₹2,40,000** and **unabsorbed depreciation ₹1,80,000.** He also has **Other Sources income ₹40,000** this year.

Solve (apply "use what expires first"): 1. **Current-year depreciation ₹1,50,000** set off first → 5,00,000 − 1,50,000 = **₹3,50,000** business income. 2. **B/f business loss (s.72) ₹2,40,000** next (it expires; depreciation does not) → 3,50,000 − 2,40,000 = **₹1,10,000** business income. 3. **Unabsorbed depreciation ₹1,80,000** last → it can absorb the ₹1,10,000 business income *and* (being like current depreciation) can also set off against **Other Sources ₹40,000** (any head except salary). - Absorbs 1,10,000 (business) + 40,000 (OS) = **₹1,50,000 used**; **₹30,000 unabsorbed depreciation carried forward** (no time limit).

Answer: GTI = **Nil** (business 1,10,000 and OS 40,000 both wiped by unabsorbed depreciation); carry forward **unabsorbed depreciation ₹30,000**. No business loss remains (fully absorbed). *Reconciliation: total shelter* *available after current dep = b/f loss 2,40,000 + unabs dep 1,80,000 = 4,20,000 against income (3,50,000 business + 40,000 OS = 3,90,000). Used 3,90,000; leftover shelter 30,000 = unabsorbed depreciation c/f. ✓ Teaching point: the ORDER matters — using b/f loss before unabsorbed depreciation preserved the expiring relief and left only the never-expiring relief unused.*

Example 6 (Concept check) — Casual income cannot be sheltered

Mr. K has: **Lottery winnings ₹2,00,000; Business loss ₹1,20,000; STCL ₹50,000.** - Lottery income is taxed **gross** at the flat s.115BB rate — **no set-off** of business loss or capital loss against it, and no expenditure deduction. - Business loss ₹1,20,000 → carried forward (no non-salary, non-lottery income to absorb it) → s.72, 8 yrs (if timely). - STCL ₹50,000 → carried forward (no capital gain) → s.74, 8 yrs. **Answer:** Tax on ₹2,00,000 lottery at flat rate stands in full; ₹1,20,000 business loss and ₹50,000 STCL both carried forward. *Trap: candidates instinctively net the business loss against the lottery — the Act forbids it absolutely.*

Part 6 — Computation Format

Standard order to apply in any set-off problem — memorise the sequence, not the numbers.

```
Step A  Compute income/loss under EACH head separately (after intra-head s.70)
        - apply intra-head fences (spec vs spec, LTCL vs LTCG only, STCL vs STCG/LTCG,
          race-horse silo, 35AD silo)
        - remember: no set-off vs casual/lottery income; no loss from an exempt source
Step B  Inter-head set-off (s.71), respecting fences:
        - Business loss: NOT vs Salary
        - Capital-gains loss: stays within Capital Gains only
        - House-property loss: max Rs 2,00,000 against other heads
        - Speculation / race-horse / 35AD losses: never leave their silo
        - Nothing may be set off against casual/lottery income
Step C  Arrive at Gross Total Income (GTI)
Step D  Carry forward unabsorbed losses head-wise (note year limits & s.80 filing;
        HP loss and unabsorbed depreciation survive a late return)
Step E  In FUTURE years, set-off order:
        current depreciation → b/f business loss (s.72) → unabsorbed depreciation
```

Clubbing format (do this BEFORE Step A, at the source level):

```
For each family transaction:
  1. Identify the section (60 / 61 / 64(1)(ii)/(iv)/(vi)/(vii)/(viii) / 64(1A) / 64(2))
  2. Is there an exception? (skill/qualification, adequate consideration,
     child's own effort, 80U disability, relationship not existing at transfer)
  3. If partial consideration: club only the PROPORTIONATE (gift) share
  4. Club FIRST-generation income only; accretion income stays with transferee
  5. Follow the asset into its CAPITAL GAIN too (gain on gifted asset is clubbed)
  6. If minor: club with higher-earning parent; deduct s.10(32) Rs 1,500 per child
```

Part 7 — Connections

- **Chapter on Heads of Income:** Set-off presupposes you've computed each head. House-property loss usually comes from **interest on borrowed capital** (s.24(b)); that's why the ₹2,00,000 inter-head cap mirrors the self-occupied interest limit.
- **Ownership deeming (s.27):** When you gift a house to a spouse/minor, s.27 deems *you* the owner, so the rental income is taxed under House Property in your hands directly — clubbing and deemed-ownership reinforce each other.
- **Capital Gains chapter:** The LTCL-vs-LTCG-only fence exists because LTCG is taxed at concessional rates (e.g., s.112/112A). Rate concessions must be sealed off from ordinary income. Also, a gain on the *sale of a clubbed asset* is itself clubbed (s.64 read with capital-gains computation).
- **Other Sources / s.56(2)(x):** Gifts between "relatives" are exempt from tax as income under s.56(2)(x), but the *income those gifted assets subsequently generate* can still be clubbed under s.64 — two different provisions, don't conflate "gift not taxed" with "income not clubbed."
- **Return filing (s.139/80):** Carry-forward is the tangible reward for filing on time — connects to procedure/compliance chapters. s.79 (change in shareholding) connects to company taxation.
- **Deductions (Chapter VI-A):** Set-off happens *before* GTI; Chapter VI-A deductions (80C, 80D…) come *after* GTI. You cannot create a loss with Chapter VI-A deductions.
- **Rate/AMT chapters:** Unabsorbed depreciation's "any head except salary, no time limit" treatment interacts with how business income is finally taxed. Under the **default new regime (s.115BAC)**, the treatment of house-property loss set-off and certain carry-forwards differs — *verify the current-AY interaction of s.115BAC with s.71/71B in ICAI material.*

Part 8 — Traps & Examiner Tricks

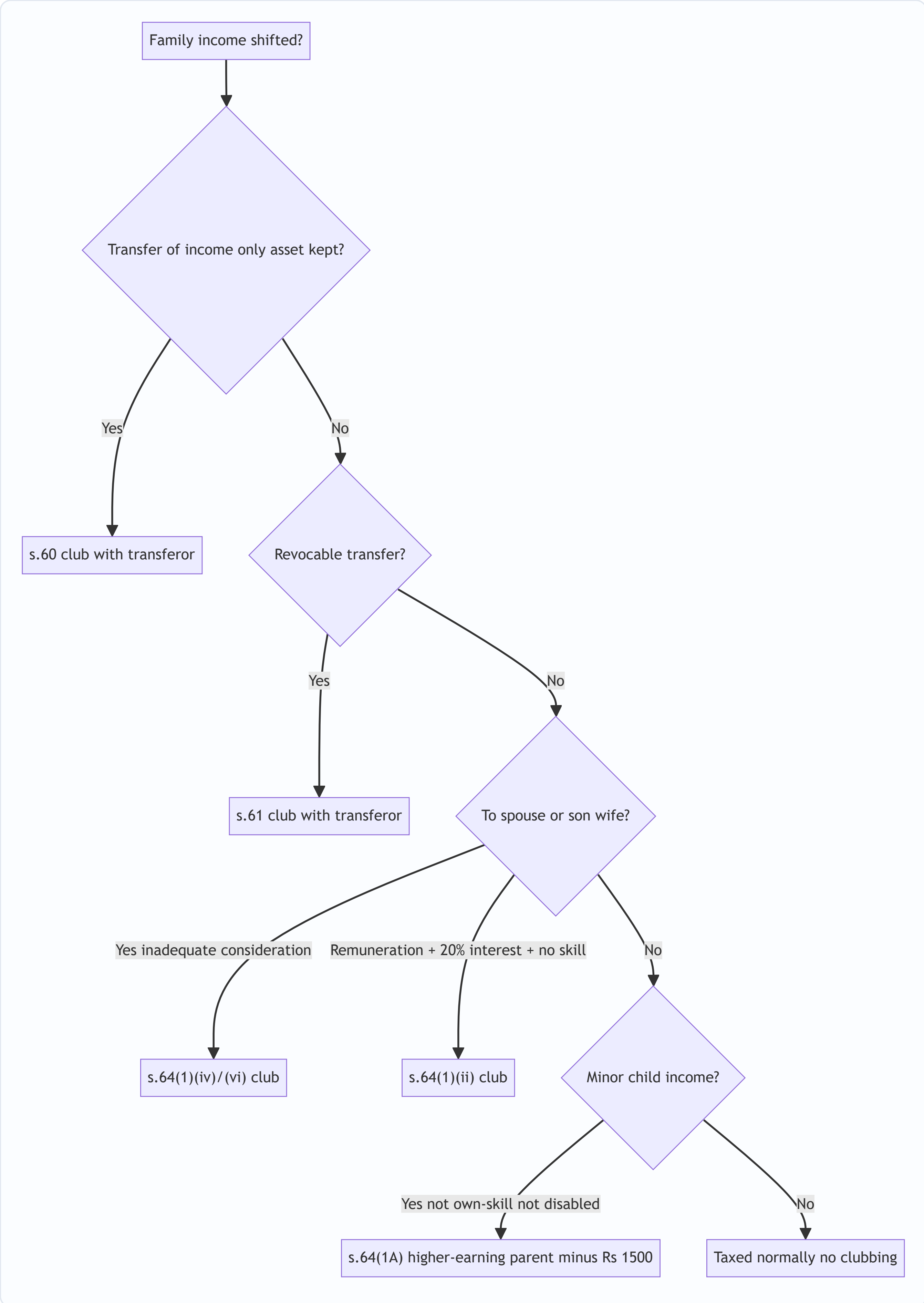


Figure 8.1 — Clubbing decision tree: identify the channel, then check the exception.

Traps: 1. **Accretion trap.** Clubbing is only on income from the *original* asset. Income on re-invested clubbed income is NOT clubbed. Examiners give three "generations" to catch you. 2. **Relationship-timing trap (spouse).** No clubbing if the relationship of husband-wife did **not exist** both when the asset was transferred *and* when income arose (e.g., transfer before marriage). 3. **Skill exception.** Spouse remuneration or minor's income from genuine **professional qualification / personal skill** is NOT clubbed — even if the 20% interest test is met (for spouse) or bonds exist (for minor). 4. **Cross-parent stickiness.** Once a minor's income is clubbed with one parent, it stays with that parent in later years (unless AO orders otherwise) even if incomes reverse. 5. **s.10(32) is per child and capped at actual income.** If a child's clubbed income is ₹1,000, exemption is ₹1,000 (not ₹1,500). 6. **Business-loss-vs-salary.** The single most common set-off error. Business loss **never** cancels salary. But *unabsorbed depreciation* also can't hit salary — students wrongly think depreciation is unrestricted. 7. **LTCL is long-term-only; STCL is flexible.** Reversing these loses marks. 8. **House-property ₹2,00,000 inter-head cap.** Excess is *carried forward* (not lost) but only against future HP income — and always test the loss *against* the cap before writing "carry forward." 9. **Speculation & race-horse = 4 years, not 8.** And they never leave their silo. 10. **Return-filing condition (s.80).** Late return = lose carry-forward — *except* HP loss and unabsorbed depreciation. But note: *current-year* set-off is still allowed with a late return; only *carrying forward* the balance is denied. 11. **Casual income (lottery) — no set-off, no expenditure.** Losses cannot be set off against it, and it can't be reduced. 12. **Order in future years:** current depreciation → b/f business loss → unabsorbed depreciation ("use the expiring relief first"). 13. **Partial-consideration trap.** Inadequate ≠ nil. When part consideration is paid, club only the *proportionate gift portion* of income — not the whole. 14. **Clubbing follows the asset into a capital gain.** Gain on sale of a gifted asset is clubbed too, not just its recurring income. 15. **s.60 needs no relationship.** Transfer of income without the asset is clubbed even to a stranger/charity — relationship is irrelevant here. 16. **Loss from an exempt source is a phantom.** It cannot be set off against taxable income. 17. **B/f business loss can hit speculation profit later** (s.72 loss is not fenced to non-speculation profit), but b/f *speculation* loss cannot hit non-speculation profit. Direction matters. 18. **s.79 (closely-held company).** A change of >49% beneficial shareholding kills the carry-forward of losses (subject to carve-outs) — the "loss-shopping" plug.

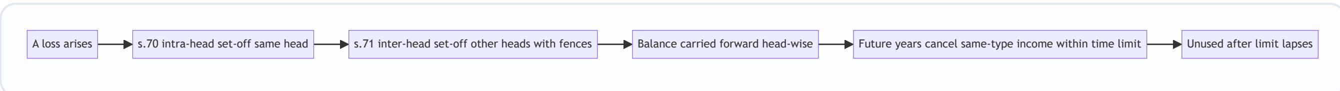


Figure 8.2 — The life-cycle of a loss: same head, then other heads, then future years, then it expires.

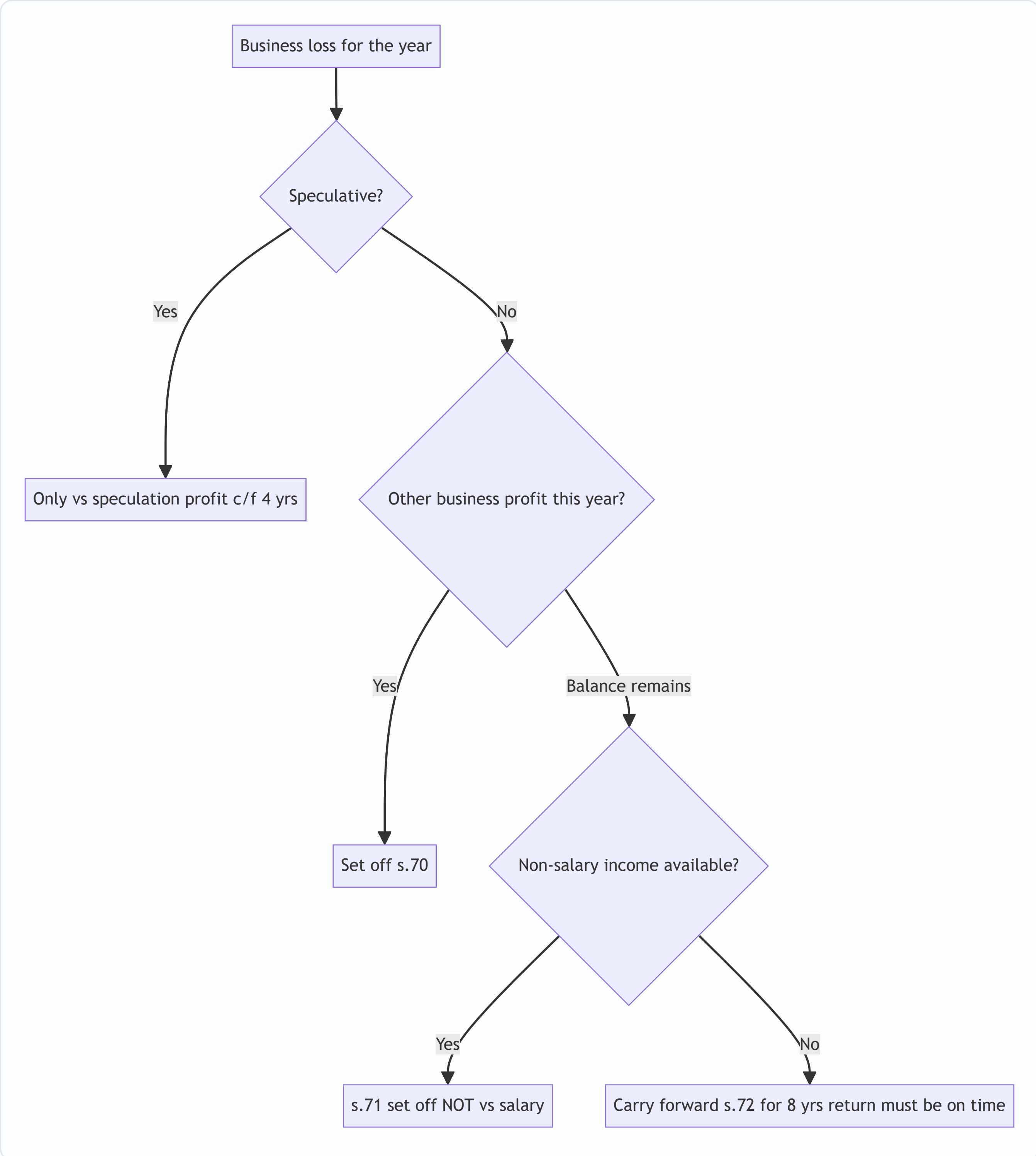


Figure 8.3 — Business loss routing: the salary fence and the speculation silo in one view.

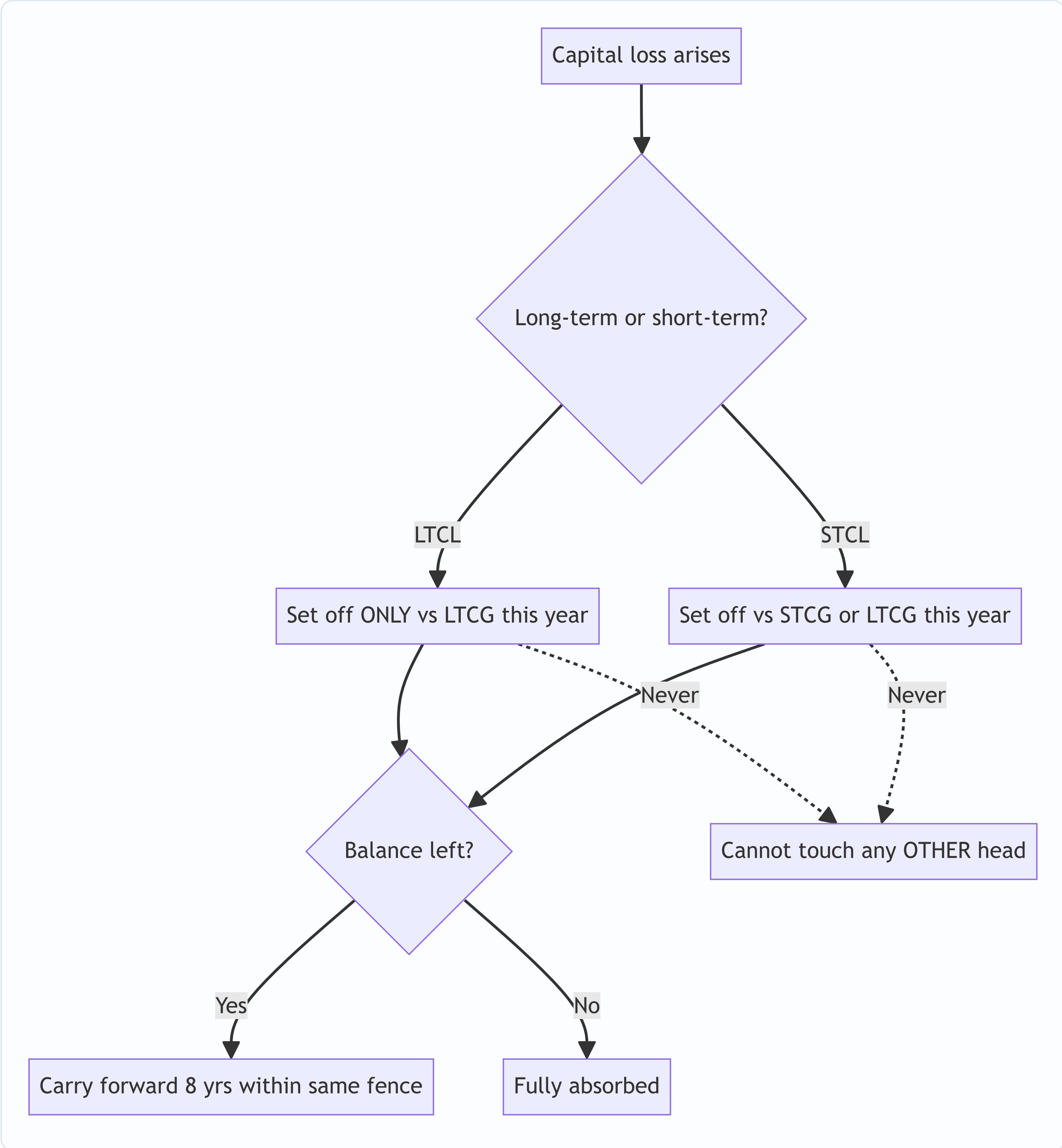


Figure 8.4 — Capital-loss fences: LTCL is long-term-only, STCL is flexible, neither leaves Capital Gains.

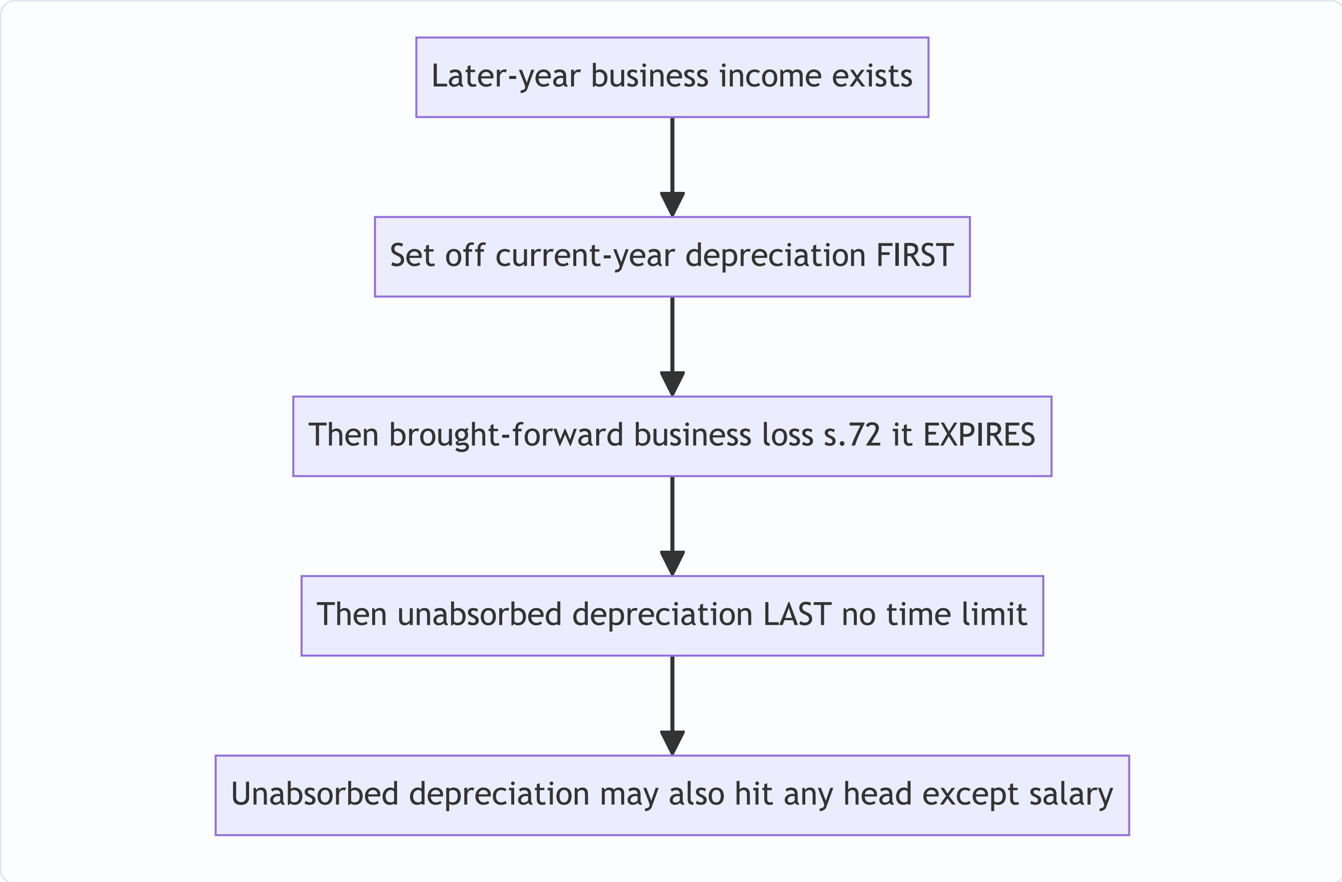


Figure 8.5 — Future-year priority ladder: spend the expiring relief before the never-expiring relief.

Part 9 — First-Principles Recap

Start from one fact — **India uses progressive slabs** — and everything in this chapter regenerates:

1. Progressive slabs → incentive to **split income** across low-income relatives → the law must **club** it back with the real earner.
2. Clubbing must be **surgical** (only fake transfers), so each sub-section targets one channel (income-only transfer, revocable transfer, spouse gift, daughter-in-law, minor, HUF conversion), each with a **genuineness exception** (skill/qualification, adequate consideration, child's own effort, disability, relationship-not-existing).
3. Clubbing tracks **retained control**, not blood — which is why adult sons and genuine full-value sales escape.
4. Clubbing catches the **first fruit only**; second-generation income is genuinely the transferee's (it was already taxed once).
5. Clubbing **follows the asset** — into partial-consideration proportions and into the capital gain on eventual sale.
6. Separately, **fairness (ability to pay)** demands losses get relief → **set-off & carry-forward**.
7. **Anti-abuse + rate-integrity** demand relief be fenced → same-head fences (speculation, LTCL), salary immunity from business loss, the ₹2,00,000 house-property cap, capital-loss quarantine, no shelter for lottery income.

8. **Finality** demands time limits → 8 years normal, 4 for speculative/race-horse, none for 35AD and depreciation.
9. **Compliance discipline** → carry-forward needs a timely return (s.80), except structural items (HP loss, depreciation); and **anti-shopping** (s.79) protects the loss from changing hands with a company.

If you can rebuild the rules from these nine pressures, you never memorised anything — you *understood* it.

Part 10 — Quick-Revision Sheet

CLUBBING (s.60–65) - **s.60** transfer of income, asset kept → transferor (no relationship needed). **s.61** revocable transfer → transferor (**s.62** exception: irrevocable for life/period + no benefit → not clubbed; clubbing begins the year power to revoke arises). - **s.64(1)(ii)** spouse remuneration + **≥20% substantial interest** + **no genuine skill** → club with higher-earning spouse (skill/qualification exception applies). - **s.64(1)(iv)** asset to spouse for inadequate consideration → transferor (partial consideration → proportionate clubbing; relationship must exist at transfer AND accrual; gain on sale also clubbed). **(vi)** to son's wife. **(vii)/(viii)** for immediate or deferred benefit of spouse/son's wife. - **s.64(1A)** minor's income → **higher-earning parent** (or maintaining parent if marriage doesn't subsist); exceptions: own **skill/manual work**, **80U disability**. **s.10(32):** exempt **₹1,500 per child** (or actual income if less). - **s.64(2)** self-property converted to HUF → transferor (spouse's share after partition still clubbed). - **s.65** transferee jointly liable for tax on clubbed income. - **Accretion rule:** first-generation income clubbed; income on clubbed income NOT clubbed.

SET-OFF ORDER - s.70 intra-head → s.71 inter-head → carry forward.

KEY FENCES - Speculation loss ↔ speculation profit only (c/f **4 yrs**). - LTCL ↔ LTCG only; STCL ↔ STCG/LTCG (c/f **8 yrs**). - Business loss ≠ Salary; c/f **8 yrs** (s.72; business need not continue; b/f loss can later hit speculation profit). - Capital-gains loss: within Capital Gains only. - House-property loss: inter-head cap **₹2,00,000** (s.71(3A)); c/f **8 yrs** (s.71B). - Specified business (35AD): silo, **no time limit**. - Race horses (74A): silo, **4 yrs**. - Unabsorbed depreciation (32(2)): any head **except salary**, **no time limit**. - Casual income (lottery): **no set-off**, no expense, taxed gross. - Loss from exempt source: cannot be set off at all.

FILING (s.80): timely return needed to carry forward — **except** HP loss & unabsorbed depreciation. (Current-year set-off still allowed even with a late return.)

COMPANY ANTI-SHOPPING (s.79): closely-held company loses c/f if >49% beneficial shareholding changes (subject to carve-outs — verify AY).

FUTURE-YEAR ORDER: current depreciation → b/f business loss → unabsorbed depreciation.

End of Chapter 08. Re-verify all monetary limits, carry-forward years and the applicable Assessment Year against current ICAI Study Material before the exam.

Q&A — Clubbing of Income & Set-off/Carry-forward of Losses

> Income-tax Act, 1961. All section references below. **Rates/limits (e.g., ₹1,500 exemption u/s 10(32), tax slabs) depend on the applicable Assessment Year — verify against the AY your exam prescribes.** Computations below use ordinary provisions; the analysis is AY-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. What is "clubbing of income" and why does the law need it? Clubbing (ss. 60–65) means the income of one person is legally *added to and taxed in the hands of another*. Without it, a high-slab taxpayer could split income across low/nil-slab family members (spouse, minor child) to escape progressive rates. Clubbing neutralises this tax-arbitrage by taxing the income in the hands of the person who really controls the source.

A2. Distinguish "transfer of income without transfer of asset" (s.60) from "revocable transfer of assets" (s.61). - **s.60** — only the *income stream* is assigned but the *asset* stays with the transferor → income still taxed in transferor's hands. Irrevocability is irrelevant. - **s.61** — the *asset itself* is transferred but the arrangement is *revocable* (transferor can re-acquire asset/income) → income taxed in transferor's hands. Exception: s.62 — a transfer irrevocable during the transferee's lifetime / for > 6 years is *not* clubbed until the power to revoke arises.

A3. State the "income-on-income" rule. Only the *first-degree* income from the transferred/clubbed asset is clubbed. Income earned by the *transferee by reinvesting* that clubbed income (income on income / accretion) is **not** clubbed — it is taxed in the transferee's own hands. (Established principle; e.g., interest on a bank deposit made out of gifted money is clubbed, but income earned by the spouse investing *that interest* is not.)

A4. When is a spouse's remuneration from a concern clubbed u/s 64(1)(ii), and what is the exception? Salary/commission/fee from a concern in which the individual has a *substantial interest* (≥20% voting power/profit share) is clubbed in the hands of the spouse having higher income. **Exception:** if the remuneration is attributable to *technical or professional qualifications and experience*, it is taxed in the earner's own hands (not clubbed).

A5. Minor child's income — rule, exceptions, and exemption. u/s 64(1A) all income of a minor child is clubbed with the parent whose total income (before this clubbing) is higher. **Exceptions:** income from (a) manual work done by the child, or (b) skill/talent/specialised knowledge/experience is *not* clubbed. A **s.10(32) exemption of ₹1,500 per minor child** (or the amount clubbed, if lower) is allowed to the parent. *(₹1,500 limit — confirm for your AY.)*

A6. Give the "same head first" rule of set-off. - **s.70 (intra-head):** loss under a head is first set off against income under the *same head*. - **s.71 (inter-head):** remaining loss is set off against income under *other heads* in the same year (subject to restrictions).

A7. List the key set-off prohibitions. - Speculation loss → only against speculation profit (s.73). - Long-term capital loss → only against LTCG (s.70(3)); short-term capital loss → against STCG or LTCG. - Loss under "Capital Gains" → cannot be set off against any other head (s.71(3)). - Business loss → cannot be set off against salary (s.71(2A)). - House-property loss → inter-head set-off capped at **₹2,00,000** per year (s.71(3A)); balance carried forward. *(Limit — confirm for AY.)* - Loss cannot be set off against income from lotteries/gambling etc. (s.58(4)/s.115BB context).

A8. Match each loss to its carry-forward section and period.

Loss	Section	C/F period	Set off against
House property	71B	8 yrs	Income from HP
Non-speculation business	72	8 yrs	Any business income
Speculation business	73	4 yrs	Speculation income
Specified business u/s 35AD	73A	Indefinite	Specified-business income
Capital loss (ST/LT)	74	8 yrs	ST: STCG/LTCG; LT: LTCG only
Loss from owning/maintaining race horses	74A	4 yrs	Same activity
Unabsorbed depreciation	32(2)	Indefinite	Any income (except salary)

SECTION B — Graded Computational Problems

B1 (Easy) — Interest on gifted money (s.64(1)(iv))

Mr. A gifts ₹5,00,000 to his wife Mrs. A, who deposits it in an FD earning 8% p.a. interest. Mrs. A reinvests the interest in shares earning ₹3,000 dividend. Whose income, and how much is clubbed?

Answer. - FD interest = 5,00,000 × 8% = **₹40,000** → clubbed in Mr. A's hands u/s 64(1)(iv) (asset transferred to spouse without adequate consideration). - Dividend ₹3,000 is *income on income* (earned by Mrs. A on the ₹40,000 interest she reinvested) → **not clubbed**; taxable in Mrs. A's hands. - **Clubbed in Mr. A = ₹40,000.**

B2 (Moderate) — Minor children (s.64(1A), s.10(32))

Mr. B (income ₹9,00,000) and Mrs. B (income ₹6,00,000) have two minor children: - Minor C: bank interest ₹6,000. - Minor D: prize from a singing talent show ₹40,000, and interest on that prize (reinvested) ₹1,200.

Compute income clubbed.

Answer. Clubbed with the parent having higher income = **Mr. B** (₹9,00,000 > ₹6,00,000). - Minor C interest ₹6,000 → clubbed; less s.10(32) exemption ₹1,500 = **₹4,500**. - Minor D's ₹40,000 prize is from *talent/skill* → **not clubbed** (exception to 64(1A)), taxed in D's own hands. - Interest ₹1,200 on that prize is *not* from skill; it is ordinary income of the minor → clubbed; less s.10(32) exemption min(1,500, 1,200)=1,200 → **₹0**. - **Total clubbed with Mr. B = ₹4,500 + ₹0 = ₹4,500.**

(₹1,500 exemption per child — verify for AY.)

B3 (Hard) — Full intra- and inter-head set-off (ss.70, 71, 71(3A))

For AY 2025-26, Mr. E has:

Source	Amount (₹)
Salary income	8,00,000
House Property A income	1,00,000
House Property B loss	(3,50,000)
Business — textile (profit)	2,00,000
Business — trading (loss)	(2,60,000)
STCG	90,000
LTCG	40,000
Short-term capital loss	(1,50,000)

Compute Gross Total Income and losses to be carried forward.

Answer — step by step.

Step 1 — House Property (s.70 intra-head): 1,00,000 − 3,50,000 = **(2,50,000) net HP loss.**

Step 2 — Business (s.70 intra-head): 2,00,000 − 2,60,000 = **(60,000) net business loss.**

Step 3 — Capital Gains (s.70(3)): STCL set off against STCG then LTCG. STCL 1,50,000 → set off ₹90,000 against STCG (→0), then ₹40,000 against LTCG (→0). Remaining STCL = 1,50,000 − 90,000 − 40,000 = **(20,000)** to carry forward u/s 74. Capital Gains head = **Nil.**

Step 4 — Inter-head set-off (s.71): - House-property loss: inter-head set-off capped at **₹2,00,000** (s.71(3A)). Set off ₹2,00,000 against Salary. Balance HP loss ₹50,000 → **c/f u/s 71B.** - Business loss ₹60,000: *cannot* be set off against salary (s.71(2A)). No other head income remains (CG = nil). So full ₹60,000 → **c/f u/s 72.**

Step 5 — Gross Total Income:

Head	₹
Salary (8,00,000 − 2,00,000 HP set-off)	6,00,000
House Property	Nil
Business	Nil
Capital Gains	Nil
GTI	**6,00,000**

Losses carried forward: - HP loss ₹50,000 (s.71B, 8 yrs) - Business loss ₹60,000 (s.72, 8 yrs) - STCL ₹20,000 (s.74, 8 yrs)

Reconciliation: Total losses ₹(2,50,000 HP + 60,000 biz + 20,000 STCL after CG absorption) = adjustments accounted: HP 2,00,000 absorbed + 50,000 c/f; STCG 90,000 + LTCG 40,000 absorbed by STCL, 20,000 c/f; business 60,000 c/f. ✓

B4 (Exam-hard) — Clubbing + set-off combined, cross-year c/f

Mr. F transferred a house to his minor son (from talent-show earnings the son had invested — deemed adequate? No, it was a gift). The house yields net annual value computed as follows and other items for AY 2025-26:

- Minor son's house property: GAV 4,00,000; municipal taxes paid 30,000; standard deduction 30% u/s 24(a); interest on loan u/s 24(b) 2,50,000.
- Mr. F's own business income: 5,00,000.
- Mr. F's brought-forward business loss (AY 2021-22): 1,80,000.
- Mr. F's brought-forward unabsorbed depreciation: 60,000.

Compute Mr. F's Gross Total Income and any c/f.

Answer — step by step.

Step 1 — Minor son's house property income (to be clubbed u/s 64(1A) with Mr. F, higher-income parent):

Item	₹
Gross Annual Value	4,00,000
Less: Municipal taxes	(30,000)
Net Annual Value	3,70,000
Less: Std deduction 30% of NAV	(1,11,000)
Less: Interest u/s 24(b)	(2,50,000)
Income from HP	**9,000**

s.10(32) exemption = min(1,500, 9,000) = **1,500**. **Clubbed HP income = 9,000 − 1,500 = ₹7,500.**

Step 2 — Set off b/f business loss (s.72) against current business income: Business income 5,00,000 − b/f business loss 1,80,000 = **3,20,000.**

Step 3 — Set off unabsorbed depreciation (s.32(2)): 3,20,000 − 60,000 = **2,60,000** business income. *(Order: current depreciation → b/f business loss s.72 → unabsorbed depreciation. Here only b/f items, so s.72 loss first then unabsorbed dep — both fully absorbed.)*

Step 4 — Gross Total Income:

Head	₹
House Property (clubbed)	7,500
Business	2,60,000
GTI	**2,67,500**

Carry-forward: Nil (both b/f loss and depreciation fully absorbed). ✓

SECTION C — Past-Paper-Style Full Questions

C1. (Clubbing — comprehensive; ~8 marks style)

Mr. G furnishes the following for the year. Compute income to be clubbed in his hands and state the section: 1. Interest ₹60,000 on debentures held by Mrs. G, purchased from a gift of ₹6,00,000 by Mr. G. 2. Income ₹80,000 of Mrs. G from a partnership firm where Mr. G holds 30% (Mrs. G has no technical qualification). 3. Salary ₹5,00,000 of Mrs. G from the same firm, earned for her professional (CA) services. 4. Income ₹20,000 of minor daughter from a fixed deposit made from her inheritance. 5. Income ₹50,000 of minor son (disabled, covered u/s 80U) from interest.

Model Answer. 1. **₹60,000 clubbed** u/s 64(1)(iv) — income from asset transferred to spouse without consideration. *(Income-on-income exception noted: any reinvestment income of Mrs. G would not be clubbed.)* 2. **₹80,000 clubbed** u/s 64(1)(ii) — remuneration/share from a concern in which spouse has substantial interest (30% ≥ 20%); no technical qualification exception applies. 3. **Not clubbed** — proviso to s.64(1)(ii): remuneration attributable to professional qualification (CA) is taxed in Mrs. G's own hands. 4. **₹20,000 minus s.10(32) ₹1,500 = ₹18,500 clubbed** u/s 64(1A) — minor's income; source (inheritance) irrelevant, still clubbed as it is not from skill/manual work. 5. **Not clubbed** — s.64(1A) proviso: income of a minor child suffering disability specified u/s 80U is **not** clubbed; taxed in the minor's own hands (return filed by guardian).

Total clubbed = 60,000 + 80,000 + 18,500 = ₹1,58,500.

C2. (Set-off & carry-forward — comprehensive; ~10 marks style)

Ms. H reports for AY 2025-26:

Item	₹
Income from salary	4,00,000
Loss from self-occupied house property (interest)	(1,80,000)
Speculation business profit	70,000
Speculation business loss (another)	(1,10,000)
Non-speculation business loss	(90,000)
LTCG (on listed shares, taxable)	2,00,000
Loss from owning & maintaining race horses	(30,000)
Winnings from lottery (gross)	1,00,000

Compute GTI and losses c/f, citing sections.

Model Answer — step by step.

Step 1 — Speculation (s.73): 70,000 − 1,10,000 = **(40,000)**; speculation loss sets off only against speculation profit → ₹40,000 **c/f u/s 73 (4 yrs).**

Step 2 — House property (s.71(3A)): SOP loss ₹1,80,000. Inter-head set-off allowed up to ₹2,00,000. Set off against salary → within cap → full ₹1,80,000 set off. Salary now 4,00,000 − 1,80,000 = **2,20,000.**

Step 3 — Non-speculation business loss (s.71): ₹90,000. Cannot be set off against salary (s.71(2A)). Can set off against other heads except salary. Available: LTCG ₹2,00,000. Set off ₹90,000 against LTCG → LTCG = 2,00,000 − 90,000 = **1,10,000.** *(Business loss may be set off inter-head against capital gains — permitted.)*

Step 4 — Race-horse loss (s.74A): ₹30,000 — set off *only* against income from same activity. None here → **c/f u/s 74A (4 yrs).**

Step 5 — Lottery winnings: ₹1,00,000 taxed at special rate u/s 115BB; **no loss/expense/set-off allowed** against it (s.58(4)). Stands at ₹1,00,000.

Step 6 — GTI:

Head	₹
Salary	2,20,000
House Property	Nil
Business (speculation nil; non-spec nil after set-off)	Nil
Capital Gains (LTCG)	1,10,000
Other Sources (lottery)	1,00,000
GTI	**4,30,000**

C/f: Speculation loss ₹40,000 (s.73); Race-horse loss ₹30,000 (s.74A). ✓

SECTION D — MCQs & Case Scenarios

D1. Loss from house property can be set off against other heads in the same year up to a maximum of: (a) No limit (b) ₹1,50,000 (c) **₹2,00,000** (d) ₹2,50,000 **Ans: (c)** — s.71(3A); excess is carried forward u/s 71B. *(Confirm limit for AY.)*

D2. A short-term capital loss can be set off against: (a) LTCG only (b) STCG only (c) **Both STCG and LTCG** (d) Any head **Ans: (c)** — s.70(2). (LTCL, by contrast, only against LTCG — s.70(3).)

D3. Business loss carried forward u/s 72 can be set off against: (a) Any head (b) **Any business income (speculative or not)** (c) Only same business (d) Salary **Ans: (b)** — s.72; c/f business loss can be set off against *any* business income, but only business income, for 8 AYs.

D4. Unabsorbed depreciation u/s 32(2) can be carried forward: (a) 8 years (b) 4 years (c) **Indefinitely** (d) 10 years **Ans: (c)** — s.32(2); no time limit, set off against any income except salary.

D5. (Case scenario) Mr. J gifts ₹10 lakh to his son's wife (daughter-in-law), who invests it and earns ₹75,000 interest. Is it clubbed? (a) No, only spouse covered (b) **Yes, in Mr. J's hands u/s 64(1)(vi)** (c) In the son's hands (d) Exempt **Ans: (b)** — s.64(1)(vi) covers assets transferred to *son's wife* without adequate consideration → ₹75,000 clubbed with Mr. J.

D6. (Case scenario) Continuation loss set-off order at return stage. Which sets off first? (a) B/f business loss then current depreciation (b) **Current-year depreciation, then b/f business loss (s.72), then unabsorbed depreciation** (c) Unabsorbed depreciation first (d) Any order **Ans: (b)** — settled order: current-year normal depreciation → brought-forward business loss (s.72) → unabsorbed depreciation (s.32(2)). This maximises the use of time-barred items first.

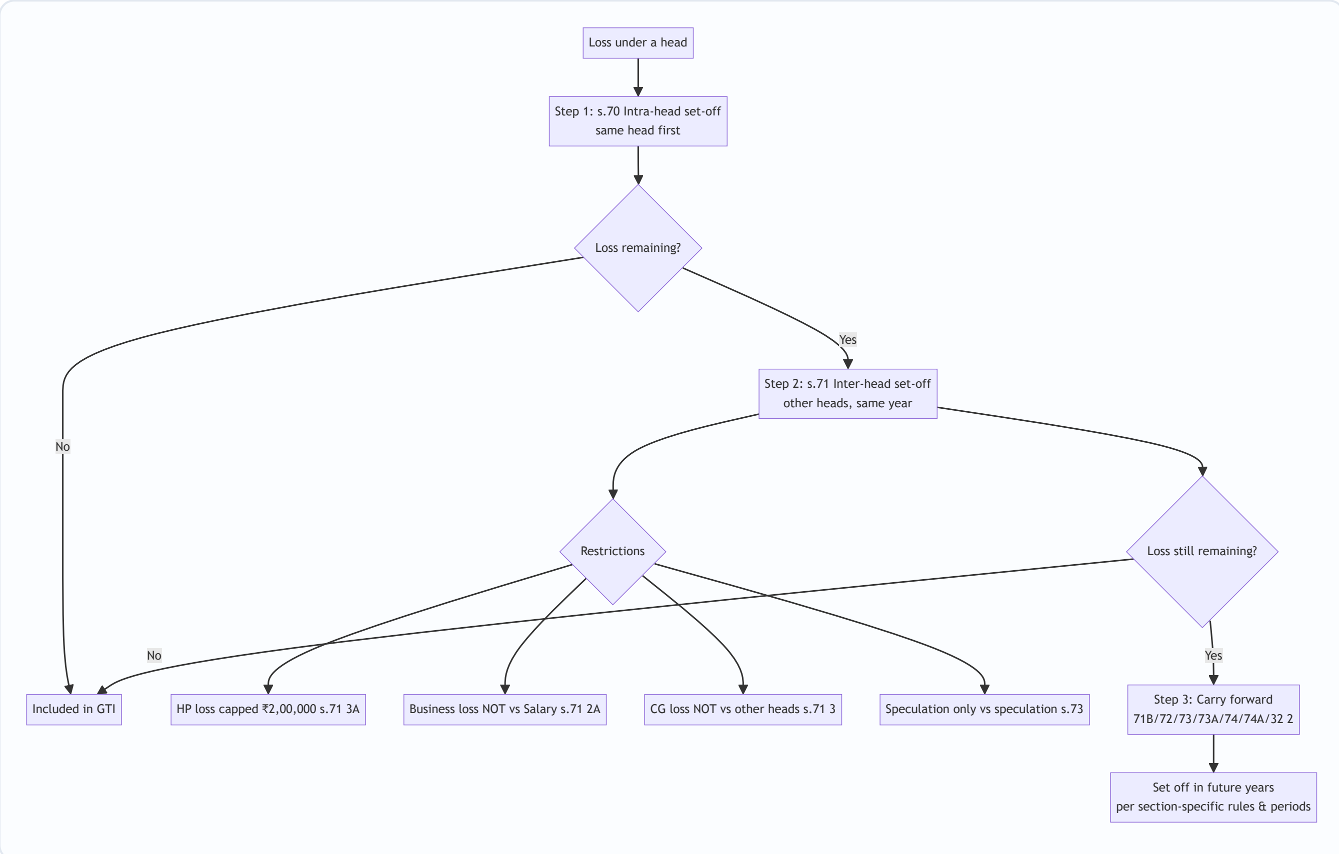
D7. Continuation of C1 fact 3: Mrs. G's CA-fee income is not clubbed because: (a) It exceeds ₹5 lakh (b) **It is attributable to her professional qualification (proviso to s.64(1)(ii))** (c) She has no substantial interest (d) It is exempt **Ans: (b).**

D8. Loss from owning and maintaining race horses is carried forward for: (a) 8 years (b) Indefinitely (c) **4 years** (d) 2 years **Ans: (c)** — s.74A(3); set off only against income from the same activity.

D9. (Case scenario) A revocable transfer of a house to a trust, irrevocable for 7 years and the transferor derives no benefit. Current year rent? (a) Clubbed in transferor (b) **Not clubbed until power to revoke arises (s.62)** (c) Always clubbed (d) Exempt **Ans: (b)** — s.62 exception to s.61 (transfer irrevocable for >6 years / during transferee's lifetime).

D10. Speculation loss (s.73) can be carried forward for ___ and set off only against ___: (a) 8 yrs / any business (b) **4 yrs / speculation profit** (c) 4 yrs / any income (d) indefinite / speculation **Ans: (b).**

Set-off Flow (Mermaid)



One-Line Traps Recap

- Clubbing applies **even if income is negative** — a *clubbed loss* is set off in the transferor/parent's computation.
- Clubbing happens **before** the ₹1,500 s.10(32) exemption and **before** set-off.
- Substantial interest = **≥20%** voting power/profit share; test both spouses — club with the *higher-income* one; once clubbed, stays with that spouse in later years unless AO changes.
- LTCL: **LTCG only.** HP loss inter-head cap: **₹2,00,000.** Business loss: **never vs salary.**

- Return must be filed **within due date u/s 139(1)** to carry forward business/capital/speculation losses (s.80) — but **HP loss (71B) and unabsorbed depreciation (32(2)) can be c/f even with a belated return.**

(All monetary limits and slab rates depend on the applicable Assessment Year — verify before the exam.)

Chapter 09 — Deductions under Chapter VI-A

> **Rates & limits caveat:** Tax law changes with every Finance Act, and Chapter VI-A limits are prime targets for tinkering. This chapter teaches the *logic and architecture* of the deductions so you can reason about any of them. Numbers are illustrative anchors for **AY 2025-26 (PY 2024-25)** unless stated. **Always verify the exact limits, thresholds, sunset dates and the applicable Assessment Year in current ICAI material for your attempt.**

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1. The Problem

Meet two people. Both earn a salary of ₹12,00,000 a year. On paper they are identical taxpayers.

But look closer. Anita pays ₹1,50,000 into a Public Provident Fund and a life-insurance premium for her children, ₹25,000 for a family health-insurance policy, ₹40,000 as interest on an education loan for her sister's engineering degree, and ₹20,000 as a donation to the Prime Minister's National Relief Fund. Every one of those payments is money she *cannot spend on herself* — it is locked into retirement savings, risk cover, human capital, and public good.

Rahul spends his identical ₹12,00,000 exactly as he pleases — dining out, holidays, gadgets. Nothing is set aside, nothing insured, nothing donated.

Now ask the hard question: **should Anita and Rahul pay the same income tax?**

If your instinct says "Anita is doing socially useful things with her money and the tax system ought to notice", you have already discovered the entire logic of Chapter VI-A. The heads of income (Salary, House Property, PGBP, Capital Gains, Other Sources) measure *how much you earned*. They are blind to *what you did with it*. But the government has goals beyond merely collecting revenue — it wants citizens to save for old age (so they don't become a state burden), to insure against medical catastrophe (so hospital bills don't bankrupt families), to invest in education, to give to charity, to fund pensions. The tax code cannot *order* you to do these things, but it can make them *cheaper* by refunding some tax when you do.

Chapter VI-A is that refund machine. It is the point in the tax computation where the state stops asking "what did you earn?" and starts asking **"what did you do with it that we approve of?"** — and rewards the approved behaviour with a deduction.

The problem it must solve carefully, though, is threefold:

1. **Where in the computation do these deductions sit?** They cannot reduce any single head (Anita's PPF has nothing to do with her salary *per se*). They must operate on the aggregate.
2. **How do you stop the incentive from becoming a loophole?** If any donation or "investment" reduced tax, people would route money to fake charities, over-insure to relatives, or claim deductions exceeding their actual income and manufacture refunds.
3. **How do you make the incentive fair and finite?** An unlimited deduction favours the rich (who have surplus to park). Caps and eligibility rules keep the incentive targeted.

A fourth problem the chapter quietly solves: *timing and eligibility of the claimant*. Notice that Anita's ₹40,000 education-loan interest is for her *sister* — will the law allow that? And her ₹1,50,000 PPF may include a contribution made on 5 April, *after* the previous year closed on 31 March — is that this year's deduction or next year's? Chapter VI-A is not just about *how much* you spent on approved ends; it polices *who* the beneficiary may be, *when* the payment counts, *how* it was paid (cash vs cheque), and *whether* you even claimed it in a timely return. A deduction is a bundle of five tests — amount, relationship, timing, mode, and claim — and the examiner can attack any one of them.

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2. The Core Idea

> **Chapter VI-A deductions are subtractions from Gross Total Income, granted as a reward for spending or investing money in ways the government wants to encourage. They convert social/economic policy goals into tax savings — but each is capped, conditioned, and can never, in total, exceed the Gross Total Income.**

Three ideas are fused here:

- **They act on the *aggregate*, not on a head.** You first compute income under all five heads, set off losses, and arrive at **Gross Total Income (GTI)** [Sec 80B(5)]. *Then* Chapter VI-A deductions are applied to GTI to yield **Total Income** — the figure on which tax is actually charged.
- **They are behavioural incentives, not cost recoveries.** Unlike a business expense (money spent to *earn* income), a Chapter VI-A deduction is for money spent *after* earning, on policy-favoured ends. The state is effectively co-paying your PPF contribution or insurance premium by giving back tax.
- **They are bounded by the "cannot exceed GTI" rule** [Sec 80A(2)]. A deduction can wipe your Total Income down to zero, but never below. You cannot use deductions to create a loss or a refund out of thin air. Incentives reward what you *did with income you had* — no income, no reward.

The mental model: **GTI is the pool. Chapter VI-A deductions are approved withdrawals from that pool. Total Income is what remains and gets taxed.**

$$\text{Gross Total Income} - \text{Chapter VI-A deductions} = \text{Total Income}$$

The two shapes every deduction takes. Beneath the fifteen-odd sections there are really only two structural templates, and spotting which one you are in halves the work:

- **Type A — "Deduction in respect of certain *payments*"** (Sections 80C to 80GGC). The reward is for money you *paid out* — premiums, contributions, donations, interest, rent. These come first in the Act and are what most students mean by "Chapter VI-A".
- **Type B — "Deduction in respect of certain *incomes*"** (Sections 80-IA to 80U, e.g. 80JJAA, 80QQB, 80RRB, 80TTA/TTB, and the profit-linked 80-IA/IB family). The reward is for having *earned* a favoured kind of income — royalty, savings interest, profits of a priority undertaking, or simply the taxpayer's own disability status. A vital consequence flows from this: a Type B deduction **can never exceed the amount of that particular income** already included in GTI. You cannot deduct ₹10,000 of savings interest under 80TTA if only ₹6,000 of savings interest sits in your GTI.

This Type A / Type B split is not decoration — it is the reason 80TTA is capped by your actual interest, why 80QQB needs royalty *in* your income, and why the disability sections (80U) sit oddly among the "income" deductions (they reward a *status*, administered like an income deduction).

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3. Why It's Built This Way

Why a separate "Chapter" (Sections 80A to 80U) instead of tucking these into each head? Because these deductions have nothing to do with *earning* — they relate to the *application* of income. A life-insurance premium doesn't help you earn salary; it serves a social goal. Bolting it onto the Salary head would be conceptually wrong and administratively messy (which head would a self-employed person's PPF reduce?). By pooling everything into GTI first and then applying VI-A, the Act keeps head-computation "pure" (measuring earning) and quarantines all the policy-driven incentives in one predictable place at the end.

Why "Gross Total Income" as the base? Because the incentives are about *your overall taxpaying capacity and your overall good behaviour*, both of which are aggregate concepts. Losses under one head reducing income under another (inter-head set-off, Chapter VI) must happen *first* — you incentivise based on real net earning power, not a single inflated head.

Why the "cannot exceed GTI" ceiling [Sec 80A(2)]? Because an incentive is a *discount on tax you would otherwise pay*. If your GTI is ₹1,00,000 and you donated ₹3,00,000, the state will refund tax on the ₹1,00,000 you had — it will not pay you for the extra ₹2,00,000. Otherwise deductions would generate negative income (a loss), which could be carried forward or set off — turning a *reward* into a *subsidy that survives having no income*. The ceiling keeps VI-A a tax-*reducer*, never a loss-*creator*.

Why caps on each deduction (₹1.5 lakh for 80C, etc.)? Two reasons. First, **cost control**: an uncapped incentive is an open-ended drain on the exchequer. Second, **fairness**: without caps, the wealthy (with large surpluses to invest) would harvest disproportionate benefit. A flat cap gives everyone the *same maximum* nudge.

Why conditions (approved funds, mode of payment, relationship rules)? Because an unpoliced incentive is a laundering channel. Requiring donations to *approved* institutions, health-insurance premiums paid by *non-cash* modes, and deductions only for *specified relatives* stops the incentive being abused to shift money to oneself or fake entities while claiming a deduction.

Why did the new tax regime [Sec 115BAC] strip most of them away? This is the deepest "why". The old regime's philosophy was "*we'll keep rates high but reward good behaviour with deductions*" — a paternalistic, nudge-heavy design. The new regime's philosophy is the opposite: "*we'll cut rates for everyone and stop micromanaging your choices*". So the new regime offers lower slab rates but **disallows almost all Chapter VI-A deductions**. Understanding this trade-off — deductions vs. lower rates — is the single most examinable planning decision in modern Indian income tax.

Why does the Act insist on the *timely-filed return* for the profit-linked deductions [Sec 80AC]? Because Type B profit-linked deductions (the 80-IA/IB/IE and 80JJAA family) are large and audit-sensitive; the state wants them claimed on the record, on time, so they can be scrutinised. Miss the return-filing due date under Sec 139(1) and the deduction is **lost entirely** — a harsh, deliberately deterrent rule that does *not* apply to ordinary 80C-type payment deductions. This is the Act saying: the bigger the reward, the stricter the discipline.

Why is *double deduction* forbidden [Sec 80A(3), (4)]? The same rupee cannot be rewarded twice. If a partnership firm claims a deduction on an amount, the partners cannot claim it again on their share; if a deduction is allowed under any 80-IA-family "Part C" section, no other Part-C deduction can be claimed on the same profits. An incentive is priced once — allowing a second bite would double the exchequer's cost for a single unit of good behaviour.

4. Full Technical Content

4.1 The architecture: GTI → deductions → Total Income

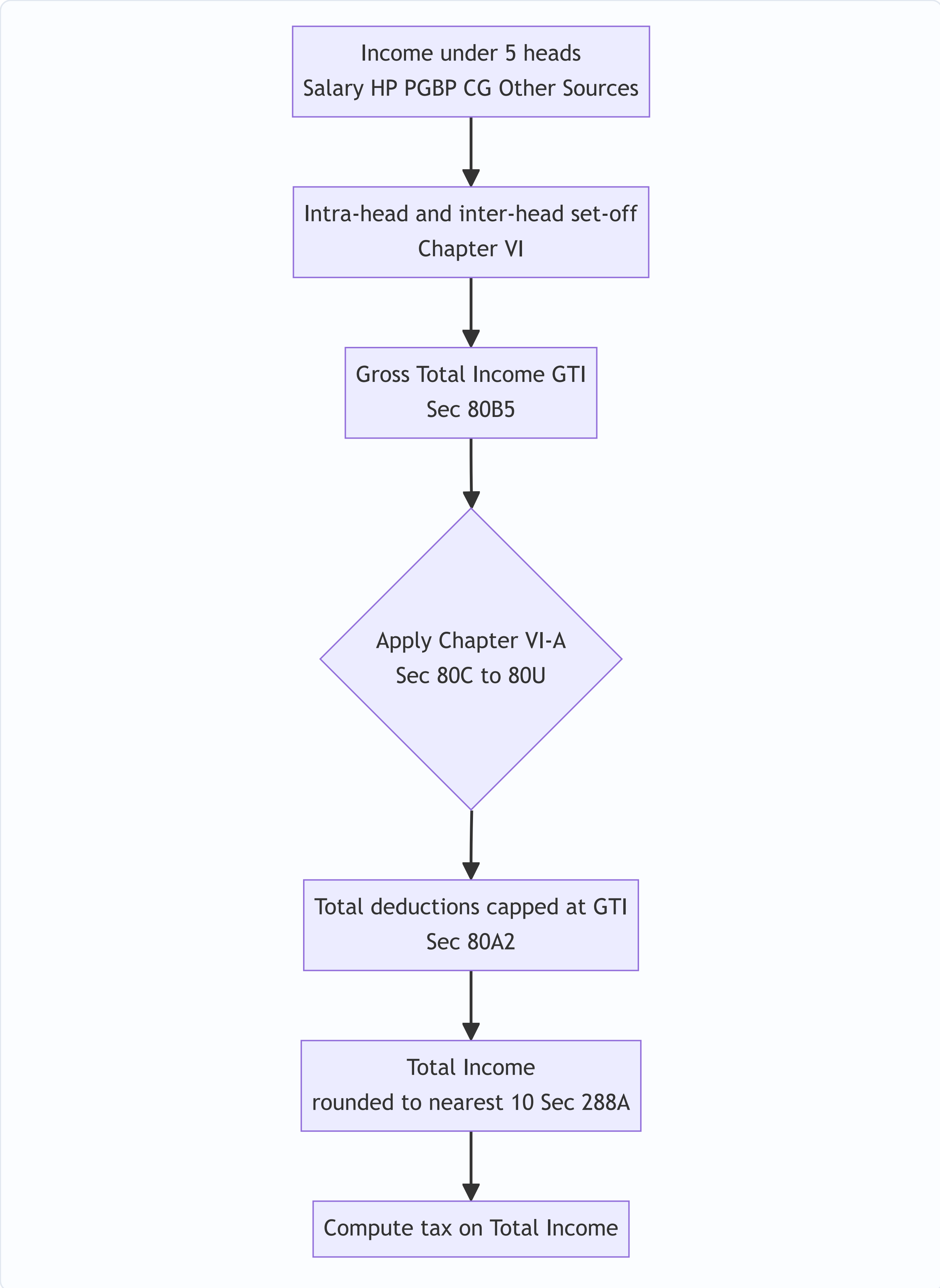

Figure 1 — Chapter VI-A sits between Gross Total Income and Total Income; it can reduce Total Income to zero but never below.

Four structural rules that govern every VI-A deduction [Sec 80A]:

Rule	Section	Plain meaning
Deductions apply to GTI only	80A(1)	Never deducted from a single head
Total VI-A deductions ≤ GTI	80A(2)	Cannot create a loss/refund
No double deduction	80A(3) partner clause	Same amount not deductible twice (e.g. firm and partner)
Must be claimed in the return	80A(5) / 80AC	Certain deductions (80-IA family, etc.) lost if return filed late

A crucial sub-point: certain incomes are **excluded from the GTI base for the *percentage-of-income* deductions**. For example, deductions computed as a % of GTI (like some 80G limits) are worked on GTI *reduced by* long-term capital gains, short-term gains under 111A, and amounts already deducted under other VI-A sections. This prevents stacking a percentage deduction on income that is separately taxed at special rates.

A deeper structural rule — Sec 80A(4) and the "no deduction against special-rate income" principle. Chapter VI-A deductions of the *payment* type (80C, 80D, 80G, etc.) are conceptually a reward carved out of your *ordinary-rate* income. Incomes taxed at *special flat rates* — LTCG u/s 112/112A, STCG u/s 111A, winnings u/s 115BB, and other 115-series incomes — are ring-fenced: **no Chapter VI-A deduction may be set against them.** The mechanism is that when the law needs a "% of income" base (like 80G's 10% or 80GG's 25%), it uses **Adjusted GTI / Adjusted Total Income**, which surgically removes those special-rate incomes. The intuition: the state already gave those incomes a *concession* (a low flat rate), so it will not *also* let you shelter them with deductions — one favour per rupee.

The five-test checklist for any payment deduction. Before granting a single rupee, mentally run:

1. **Amount** — how much was actually paid/incurred?
2. **Ceiling** — the section's own cap, then any shared umbrella (80CCE), then the 80A(2) GTI ceiling.
3. **Eligible person** — is the beneficiary a *permitted* relative (spouse, children, parents — the exact list differs section to section)?
4. **Mode** — cash allowed, or non-cash mandatory (80D premiums, 80G > ₹2,000, all political contributions)?
5. **Claim** — old regime (menu open) or new regime (mostly closed); and, for profit-linked deductions, return filed by the Sec 139(1) due date [80AC]?

4.2 Grouping by POLICY PURPOSE

Do not memorise 15 sections as a flat list. They cluster into **five policy families**. Learn the *purpose*, and the section's shape follows.

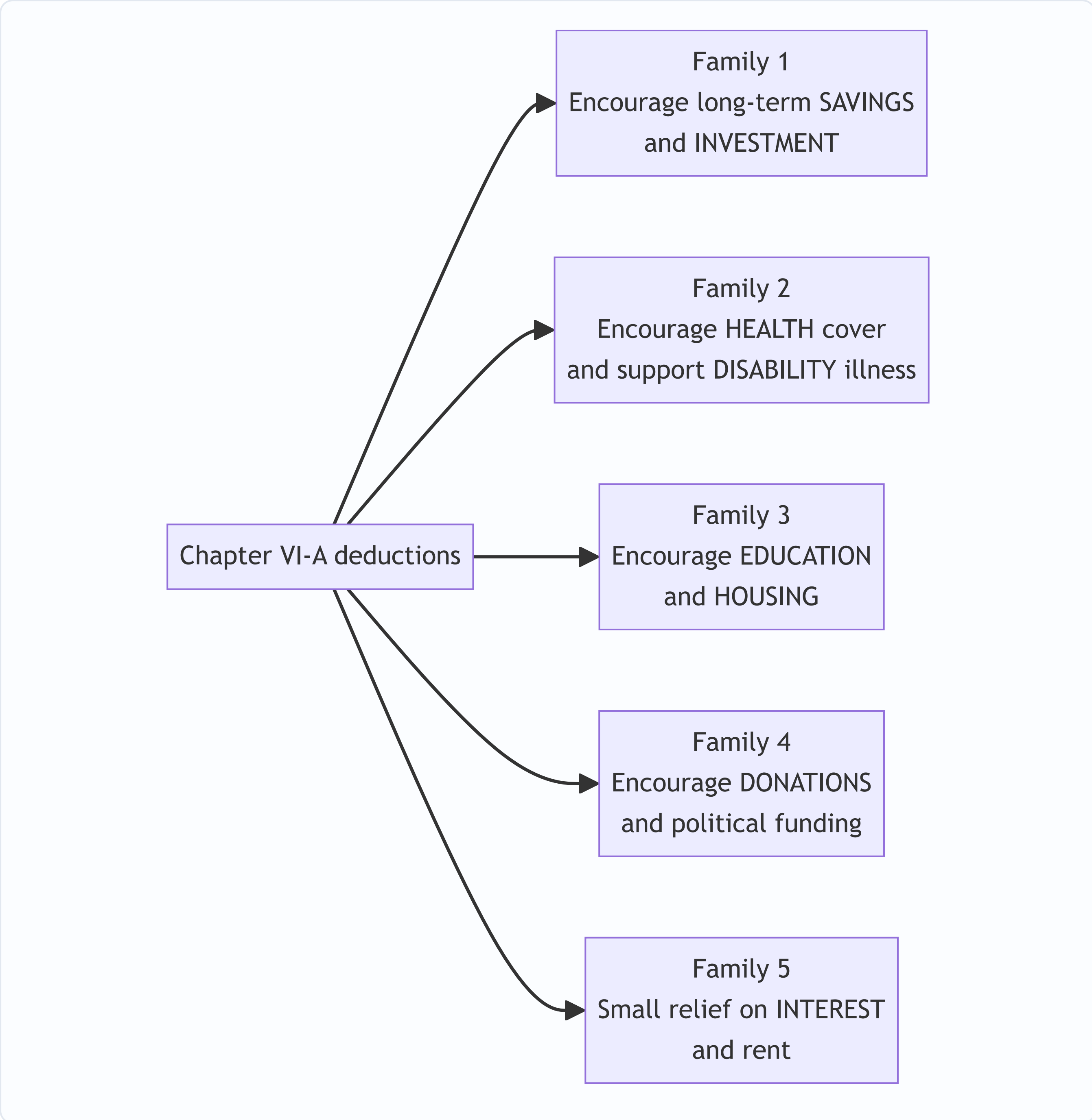

Figure 2 — The five policy families of Chapter VI-A; the government's goal dictates each section's cap and conditions.

FAMILY 1 — Long-term savings & investment (the "80C family")

Policy goal: push households to lock money into retirement/long-horizon instruments so they are self-reliant in old age and so the government has a captive pool of long-term capital.

Section 80C — the workhorse. Deduction for *specified* payments/investments, up to **₹1,50,000**. Eligible items (illustrative, not exhaustive): life-insurance premium (on self, spouse, children), Employees'/Public Provident Fund (EPF/PPF), 5-year tax-saving fixed deposit, National Savings Certificate (NSC), ELSS mutual funds, principal repayment of a housing loan, tuition fees (for max 2 children, in India), Sukanya Samriddhi, contribution to approved superannuation. *Why a mix of insurance, savings and even loan-principal?* All lock money into long-horizon, socially-approved uses. *Why the "tuition fees but not development/donation fees" carve-out?* The incentive targets genuine education cost, not capitation.

The finer distinctions inside 80C that examiners love:

- **Life-insurance premium ceiling relative to sum assured.** Only premium up to a *percentage of the sum assured* qualifies — **10%** for policies issued on/after 1 April 2012 (**15%** where the insured is a person with disability u/s 80U or disease u/s 80DDB). Pay ₹1,00,000 premium on a ₹5,00,000 policy issued in 2015 and only ₹50,000 (10% of ₹5 lakh) is eligible. *Why?* The section rewards *insurance*, not an investment dressed as insurance; a low sum-assured, high-premium policy is really a savings plan, so the excess is denied. *Verify the current percentages for your AY.*
- **Who counts as "children" for LIC / tuition?** For **LIC premium**, "children" includes *married daughters and independent children* — the relationship, not dependency, is what matters. For **tuition fees**, it is restricted to **any two children** and must be *tuition* (not donation, development fees, or private coaching), paid to a school/college/university *in India*.
- **Housing-loan principal** qualifies under 80C, but the **interest** goes to Sec 24(b) under House Property — never confuse the two halves of an EMI. And if the house is **sold within 5 years** of the end of the year of possession, the principal deductions already claimed under 80C are **reversed** — they get *added back* to income in the year of sale. *Why?* The reward was for a *long-term* first-home commitment; a quick flip breaks the bargain.
- **5-year FD, NSC, Sukanya** — the *investment* is rewarded on payment, but note NSC *accrued interest* (except the final year's) is *reinvested* and separately qualifies for 80C — a favourite two-mark point.

Section 80CCC — pension fund premium. Contribution to an annuity/pension plan of an insurer, deductible within the *same* ₹1.5 lakh umbrella. Note the mirror: when the annuity is later *received* (pension, or surrender), it is **taxable** under Other Sources — the deduction defers tax, it doesn't forgive it.

Section 80CCD(1) — employee/self-employed contribution to NPS (National Pension System). Deductible up to **10% of salary** (salaried) or **20% of GTI** (self-employed), again inside the ₹1.5 lakh umbrella. Here "salary" = **basic + dearness allowance** (to the extent DA enters retirement benefits) — *not* gross salary. Choosing the wrong salary base is a classic slip.

The umbrella cap — Section 80CCE. This is the crucial "why they group": **80C + 80CCC + 80CCD(1) together cannot exceed ₹1,50,000.** You cannot get ₹1.5 lakh under *each*; they share one ceiling. *Why?* Because they all serve the identical goal (long-term savings), so the government caps the *goal*, not each instrument.

Section 80CCD(1B) — the extra NPS ₹50,000. An *additional* deduction of **₹50,000** for NPS contributions, **over and above** the ₹1.5 lakh 80CCE cap. *Why an extra window just for NPS?* A deliberate nudge to steer savings specifically into the pension system. So a taxpayer can get ₹1.5 lakh (80C family) + ₹50,000 (80CCD(1B)) = **₹2,00,000**. *Subtle rule:* the **same contribution cannot be claimed under both 80CCD(1) and 80CCD(1B)** — you allocate a given rupee to one window only. The optimiser's move is to fill 80CCD(1B) first (it is standalone) whenever 80C is already saturated by other instruments.

Section 80CCD(2) — employer's NPS contribution. Employer's contribution to the employee's NPS. The ceiling is **regime-dependent, not universal:** under the **old regime** it is **10% of salary** for a private-sector employee and **14% of salary** only for a **Central/State Government** employee; the flat **14% for all employees (including private)** applies **only under the new regime u/s 115BAC(1A)** (raised from 10% w.e.f. AY 2025-26). So do not apply 14% to a private employee in an old-regime computation. *Verify current*

% and category split in ICAI material. Why separate from the caps? This is the employer's money, not the employee's disposable income, so it sits **outside** both the ₹1.5 lakh and the ₹50,000 windows. **Critically, 80CCD(2) is one of the very few deductions still allowed in the NEW regime** — remember this. Note also that the employer contribution is *first added to salary* as a perquisite/inclusion and *then* deducted under 80CCD(2) — it is not a free lunch that skips income; it is included and then removed, netting to nil at 14%.

Memory hook for Family 1: **"1.5 shared, 0.5 solo, employer free."** ₹1.5 lakh is the shared umbrella (80C/CCC/CCD1); ₹0.5 lakh is the solo NPS top-up (CCD1B); the employer's contribution (CCD2) rides free outside both.

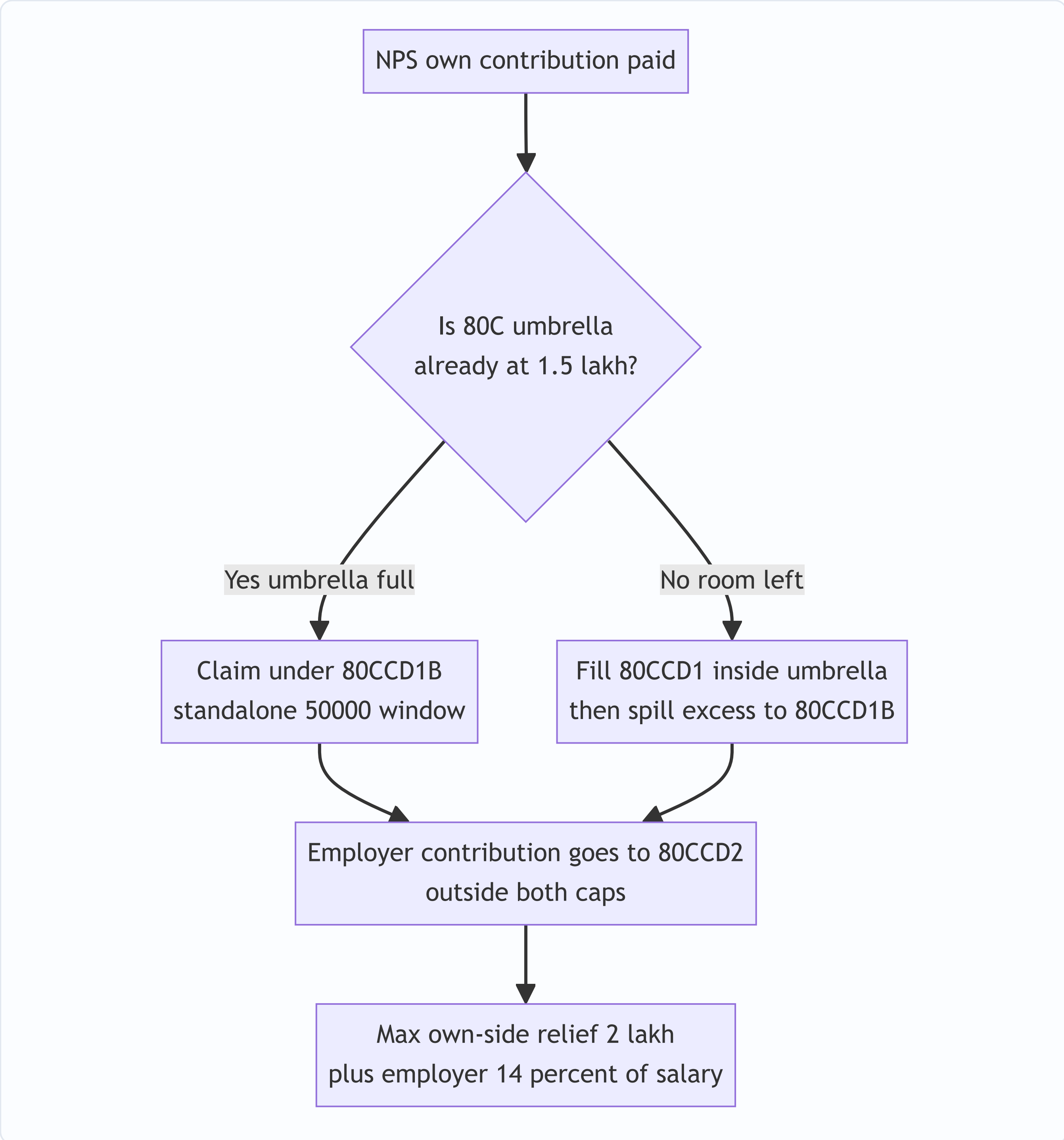

Figure 3 — Optimal routing of NPS money across the three CCD windows so no rupee of relief is wasted.

FAMILY 2 — Health, disability & serious illness

Policy goal: get people insured and support households bearing the cost of disability or grave illness, so a medical shock doesn't push a family into poverty (and onto state support).

Section 80D — medical insurance premium.

Who is covered	Base limit	Extra if senior citizen (60+)
Self, spouse, dependent children	₹25,000	₹50,000 (if self/spouse is senior)
Parents (dependent or not)	₹25,000	₹50,000 (if parents are senior)
Preventive health check-up	Within above, max ₹5,000	—

Maximum possible: **₹1,00,000** (self+family senior ₹50k + parents senior ₹50k). *Why higher limits for seniors?* Their premiums are far higher and their risk greater — the incentive scales with need. *Why must premium be non-cash* (except preventive check-up, which may be cash)? Anti-abuse: forces an auditable payment trail. A senior citizen with no insurance can instead claim actual **medical expenditure up to ₹50,000**.

Finer 80D distinctions the exam probes:

- **The "parents" bucket has no dependency test.** Unlike 80DD, the parents need *not* be dependent on you. But they must be *your* parents — premium for *parents-in-law* does **not** qualify under 80D.
- **Medical expenditure (in lieu of premium) is only for seniors with no insurance.** A **senior citizen (60+)** who has *no* medical insurance can claim actual medical *expenditure* up to the ₹50,000 ceiling. A non-senior cannot use this route at all — for them it is premium-only.
- **The ₹5,000 preventive check-up is a *sub-limit inside* the main limit, and is the only cash-allowed item.** It never sits *on top*; it is carved *within* the ₹25,000/₹50,000. If premium already fills the bucket, the check-up adds nothing.
- **Single-premium multi-year policies are apportioned.** Pay a lump sum covering, say, 3 years, and the deduction each year is the *proportionate* amount (total ÷ number of years), each year still capped by the annual ceiling. *Why?* To match the reward to the period of cover and stop front-loading a huge one-year deduction.

Section 80DD — maintenance of a dependant with disability. *Fixed* deduction: **₹75,000** (disability 40–79%) or **₹1,25,000** (severe, ≥80%), regardless of actual spend. *Why a flat amount, not actual?* Verifying disability-care spend is impractical; a flat sum tied to a medical certificate is administrable. Requires a certificate (Form 10-IA) from a prescribed medical authority. Covers expenditure on medical treatment/nursing/training/rehabilitation of, **or** premium paid to an LIC/insurer scheme for the maintenance of, a *dependant* with disability. "Dependant" = spouse, children, parents, brothers/sisters *wholly or mainly dependent* on the taxpayer.

Section 80DDB — treatment of specified diseases (cancer, chronic renal failure, etc., prescribed in Rule 11DD). Deduction of **actual expenditure or ₹40,000** (₹1,00,000 for a senior citizen patient), *whichever is less*, reduced by any insurance/employer reimbursement. *Why reduce by reimbursement?* You incentivise the *out-of-pocket* burden, not a cost someone else bore. The expense must be for *self or a dependant*, and a prescription from a specialist is required.

Section 80U — self with disability. The mirror of 80DD but for the *taxpayer's own* disability: flat **₹75,000** / **₹1,25,000** (severe). *Why flat and why separate from 80DD?* 80DD is for a *dependant*; 80U is for *yourself*. You cannot claim both for the same person.

The three disability/illness sections contrasted — a table the examiner can flip:

Feature	80DD	80DDB	80U
For whose condition	Dependant's *disability*	Self or dependant's *specified disease*	Taxpayer's *own disability*
Amount	Flat ₹75,000 / ₹1,25,000	Actual or ₹40,000 (₹1,00,000 senior), less reimbursement	Flat ₹75,000 / ₹1,25,000
Based on actual spend?	No (flat)	Yes (lower of actual / cap)	No (flat)
Reduced by reimbursement?	No	**Yes**	No
Certificate	Form 10-IA (disability)	Specialist prescription	Form 10-IA (disability)

Memory hook for Family 2: **80D = the doctor's cover (insurance), 80DD = dependant's disability, 80DDB = the big disease, 80U = you yourself.** The "D-count" rises with the severity/specificity.

FAMILY 3 — Education & housing

Policy goal: subsidise investment in *human capital* (education) and *first homes* (housing) — both long-term national assets.

Section 80E — interest on education loan. Deduction for the **full interest** (no cap) paid on a loan for *higher education* of self, spouse, children, or a student for whom the taxpayer is legal guardian. Available for **8 years** from the year repayment starts (or until interest is fully paid, if earlier). *Why no cap but a time limit?* Education is a priority so interest is fully rewarded, but the 8-year window stops the benefit running indefinitely. *Why interest only, not principal?* Principal is capital repayment (you're getting an asset — education); interest is the real *cost* of financing it.

Finer 80E points: the loan must be from a *bank/notified financial institution or approved charitable institution* (not a friend or employer); "higher education" means *any* course after Senior Secondary (Class 12), including vocational — the field is not restricted. The 8-year clock starts in the year the taxpayer *begins repaying interest*, and runs for that year plus 7, or until the interest is fully paid — whichever is earlier.

Section 80EE / 80EEA — interest on housing loan (first-time buyers). Additional interest deduction (over the ₹2 lakh under "Income from House Property" Sec 24(b)) for affordable first homes, subject to loan-sanction-date windows and value caps. *These are largely sunset/closed for new loans — flag and verify the current-year availability and sanction-date eligibility.* Conceptually: 80EE (₹50,000, sanction FY 2016-17) and 80EEA (up to ₹1,50,000, sanction window FY 2019-20 to 31 Mar 2022, stamp value ≤ ₹45 lakh, no other house owned) *stack on top of* the Sec 24(b) ₹2 lakh — the same interest rupee cannot be double-counted; you exhaust Sec 24(b) first, then claim the balance under the EE/EEA section.

Section 80EEB — interest on electric-vehicle loan. Deduction up to **₹1,50,000** on interest for a loan to buy an electric vehicle (loan sanctioned in the specified window, 1 Apr 2019 – 31 Mar 2023). *Why?* A green-policy nudge — the incentive follows whatever behaviour the government of the day wants to promote. *Verify sanction-date window; closed for loans sanctioned after the window.*

FAMILY 4 — Donations & political/social funding

Policy goal: channel private money into charitable, scientific and democratic-process funding by sharing the cost with the donor.

Section 80G — donations to approved funds and institutions. The structure has **two dimensions**: (a) the *percentage* allowed — **100% or 50%** of the donation — and (b) whether a *qualifying-limit* applies.

Category	Deduction	Qualifying limit?
PM National Relief Fund, National Defence Fund, PM CARES, etc.	100%	No limit
PM's Drought Relief Fund, certain notified funds	50%	No limit
Govt/local authority for family planning, Indian Olympic Assn	100%	Yes — capped at 10% of adjusted GTI
Other approved charitable institutions, any govt for charity	50%	Yes — capped at 10% of adjusted GTI

Why four buckets? The government ranks causes by priority. Its own flagship funds get 100% and no cap (maximum nudge). Ordinary charities get 50% *and* a 10%-of-adjusted-GTI ceiling (moderate nudge, cost-controlled). **Anti-abuse rule:** donations **exceeding ₹2,000 must be non-cash** to qualify. **Adjusted GTI** = GTI minus LTCG, minus STCG u/s 111A, minus other VI-A deductions and certain incomes — so the 10% ceiling is computed on "ordinary" income only.

The exact 4-step 80G algorithm — the single most error-prone computation in the chapter:

1. **Bucket every donation** into one of the four categories (100%/no-limit, 50%/no-limit, 100%/with-limit, 50%/with-limit).
2. **The "no-limit" donations are fully processed first** — apply 100% or 50% and set them aside; they never compete for the 10% cap.
3. **For the "with-limit" donations**, first *pool* them and cap the *pool* at **10% of Adjusted GTI**. Only the amount within this cap is eligible.
4. **Within that capped pool, apply the priority: the 100%-with-limit donations get first claim on the cap, then the 50%-with-limit.** Then apply the 100%/50% percentage to whatever qualifies.

In-kind donations do NOT qualify — 80G requires a donation of *money*. Donating clothes, food, or a laptop earns nothing. *Why?* Valuation of goods invites abuse; cash/cheque is verifiable.

Section 80GGA — donations for scientific research / rural development (for taxpayers with *no* business income — because a business claiming research spend has other routes under Sec 35). Full deduction; cash donations over ₹2,000 disallowed.

Section 80GGB / 80GGC — contributions to political parties / electoral trusts. 80GGB is for **Indian companies**; 80GGC is for **any other person** (individuals etc.). **Full amount** deductible, but **must be non-cash** (no cash contributions at all qualify — the ₹2,000 tolerance of 80G does *not* apply here; *any* cash kills it). *Why 100% and why non-cash only?* Clean political funding is a policy goal, so the reward is generous — but the entire point is transparency, hence zero cash tolerance.

Memory hook for Family 4: **"G = give to charity, GGA = give to research, GGB = give (companies) to politics, GGC = give (citizens) to politics."**

FAMILY 5 — Small reliefs: interest income & rent

Policy goal: small, targeted reliefs for ordinary savers, seniors, and people paying rent without an HRA.

Section 80TTA — interest on *savings* account. Deduction up to **₹10,000** on interest from savings accounts (bank/co-op/post office) — **not** fixed deposits. For individuals/HUF *below* 60. *Why only savings interest and only ₹10k?* A token relief so small savers aren't taxed on trivial bank interest; FDs excluded because they're a deliberate investment choice, not idle balances. Being a *Type B* (income) deduction, it cannot exceed the *actual savings interest* included in GTI — ₹6,000 of interest yields ₹6,000, not ₹10,000.

Section 80TTB — interest for senior citizens. For residents **aged 60+**, a larger **₹50,000** deduction covering interest on savings *and* fixed deposits *and* deposits with post office/co-op. *Why bigger and broader?* Seniors often live off interest income; the relief recognises that. **A senior claims 80TTB, not 80TTA** — the two are mutually exclusive. (An NRI senior does *not* get 80TTB — it requires *resident* senior status.)

Section 80GG — rent paid (no HRA). For those who pay rent but receive **no House Rent Allowance** (and neither the taxpayer, spouse, minor child nor HUF owns a house at the place of work/residence). Deduction = *least of*: (i) ₹5,000 per month (₹60,000/yr); (ii) 25% of adjusted total income; (iii) rent paid minus 10% of adjusted total income. *Why the three-way least-of?* It caps the benefit absolutely (i), proportionally to income (ii), and to the genuine excess rent burden (iii) simultaneously. Here **Adjusted Total Income** = GTI − LTCG − STCG(111A) − all other VI-A deductions (except 80GG itself) − specified incomes. A self-employed person with no HRA (there's no employer) is the archetypal 80GG claimant.

Other examinable specials (know they exist): **80JJAA** — deduction (**30% of additional employee cost for 3 assessment years**) for hiring *new* employees, to incentivise formal job creation (**allowed even in new regime**; conditions on emoluments ≤ ₹25,000/month, minimum days of employment, payment through banking channel); **80QQB / 80RRB** — royalty income of authors / patent-holders, capped at **₹3,00,000** each (Type B — needs the royalty *in* income; for authors, lump-sum vs non-lump-sum royalty has a 15%-of-value restriction); **80CCH** — Agnipath Scheme contribution (**allowed in new regime**).

4.3 Interaction with the New Regime [Sec 115BAC]

This is the highest-yield concept in the chapter. Under the **default new regime** (Sec 115BAC(1A)), **almost every Chapter VI-A deduction is disallowed** in exchange for lower slab rates. The handful that *survive*:

Deduction	Allowed in NEW regime?	Why
80C, 80D, 80E, 80G, 80TTA/TTB, 80GG, 80DD, 80U, 80DDB...	**No**	New regime's bargain: lower rates, no nudges
80CCD(2) — employer NPS contribution	**Yes**	Employer money, promotes pensions
80CCH — Agnipath contribution	**Yes**	Recent policy priority
80JJAA — new-employee cost	**Yes**	Job-creation incentive kept

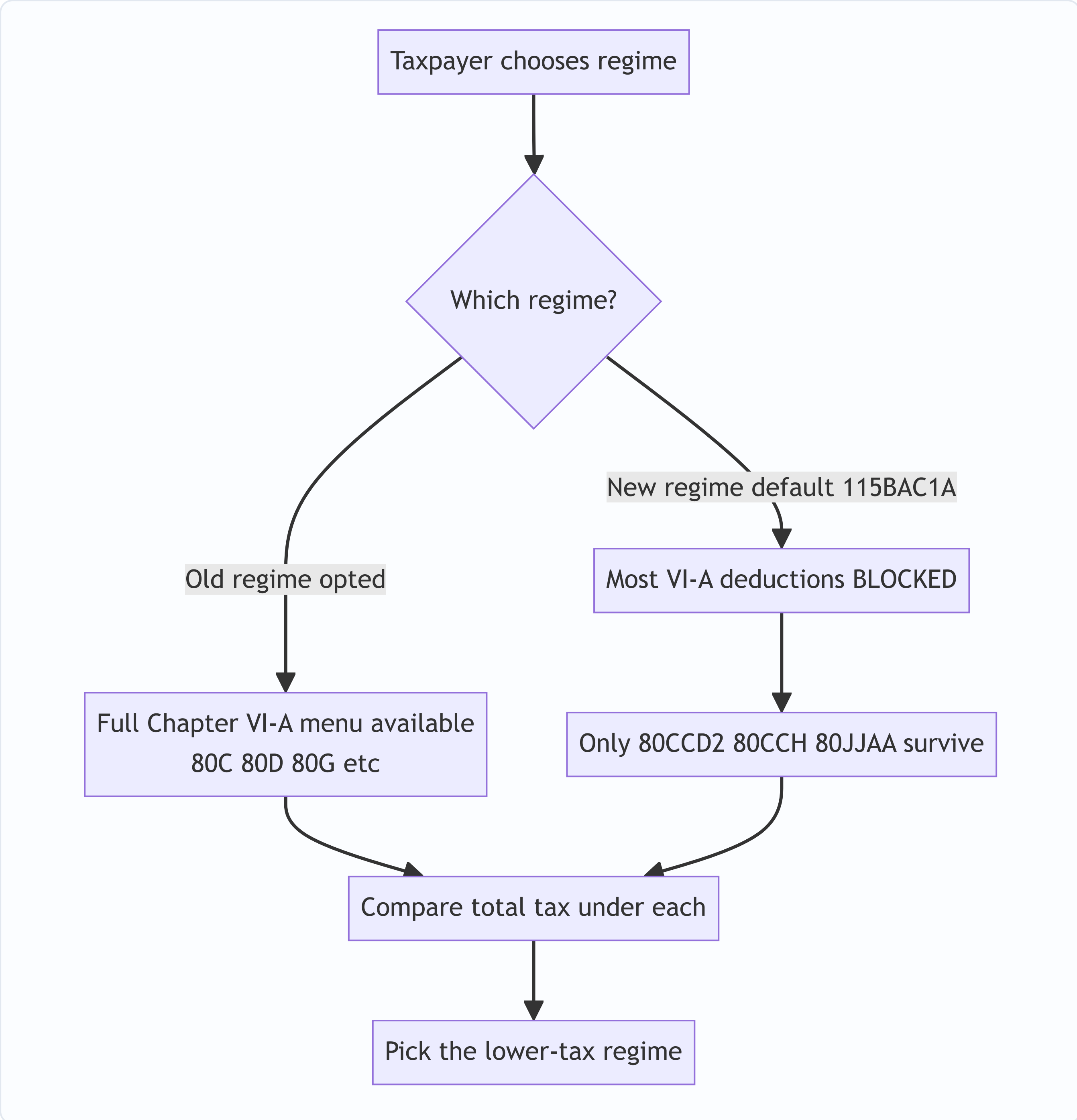

Figure 4 — Regime choice decides whether the Chapter VI-A menu is open; heavy deduction-users often still prefer the old regime.

The examinable subtlety about *how* to opt. The new regime is now the **default**; to use the **old regime** the taxpayer must actively *opt out* by the return-filing due date. A person with **business/professional income** faces a stricter rule — they can switch *once* and, having reverted to the new regime, generally cannot go back to old again (Form 10-IEA mechanics — *verify current-year procedure*). A salaried person with no business income can choose *afresh every year*. This asymmetry (free annual choice vs one-way door) is a favourite conceptual question.

A trap dressed as arithmetic: the standard deduction from *salary* (Sec 16(ia)) is **not** a Chapter VI-A deduction and *is* allowed in the new regime. Students wrongly "add it back" when computing new-regime income. Keep the **head-level** deductions (standard deduction, Sec 24(b) is disallowed on self-occupied in new regime though) separate from the **Chapter VI-A** deductions — the new regime treats them by different rules.

5. Worked Examples

Example 1 (Easy) — The 80C umbrella and its ceiling

Mr. Verma (age 45, **old regime**) has GTI of ₹9,00,000. He pays: LIC premium ₹60,000, PPF ₹80,000, ELSS ₹40,000, and NPS (own) ₹30,000. Compute the deduction under the 80C family.

Item	Section	Amount
LIC premium	80C	60,000
PPF	80C	80,000
ELSS	80C	40,000
NPS own contribution	80CCD(1)	30,000
Raw total		**2,10,000**

80CCE umbrella cap = ₹1,50,000. So 80C + 80CCC + 80CCD(1) is restricted to **₹1,50,000**.

But wait — can the NPS ₹30,000 spill into the separate 80CCD(1B) window? Yes. The optimal claim: put ₹1,50,000 under the 80CCE umbrella (from LIC+PPF+ELSS = ₹1,80,000, of which only ₹1,50,000 counts) and route the ₹30,000 NPS into **80CCD(1B)**.

Total deduction = ₹1,50,000 + ₹30,000 = ₹1,80,000.

Lesson: NPS money is best claimed under 80CCD(1B) first (the exclusive ₹50k window) when 80C is already saturated. Verma's other ₹30,000 of 80C investments (the ₹1,80,000 raw minus ₹1,50,000) is simply wasted for tax purposes.

Example 2 (Moderate) — 80D across a family with seniors

Mrs. Rao (age 52, **old regime**) pays health-insurance premiums: ₹28,000 for herself, spouse and children (all non-senior); ₹52,000 for her mother (age 78); and ₹4,500 cash for a preventive health check-up for herself. Compute 80D.

Self/family bucket (non-senior): limit ₹25,000. Premium ₹28,000 → restricted to ₹25,000. Preventive check-up ₹4,500 is *within* this bucket but the bucket is already full at ₹25,000, and the ₹5,000 preventive sub-limit is *inside* the ₹25,000 — so no extra. **Self bucket = ₹25,000.**

Note the cash issue: premiums must be non-cash; the ₹4,500 preventive check-up is the *only* item allowed in cash — but here it doesn't add anything because the bucket is capped.

Parent bucket (mother is senior, 78): limit ₹50,000. Premium ₹52,000 → restricted to **₹50,000**.

Total 80D = ₹25,000 + ₹50,000 = ₹75,000.

Trap avoided: the two buckets (self-family vs. parents) are **separate ceilings**, not one combined ₹25,000. And the senior-parent limit is ₹50,000, not ₹25,000.

Examiner tweak — "what if her mother had no insurance but Mrs. Rao paid ₹47,000 of her mother's hospital bills in cash?" Then the *medical expenditure* route opens (mother is a senior with no policy): actual expenditure up to ₹50,000 is deductible **and, for the medical-expenditure route, cash is permitted** (unlike premium). So the parent bucket would be ₹47,000. But if the mother *had* a policy, the expenditure route is closed and only premium counts.

Example 3 (Exam-hard) — Full multi-deduction computation with the GTI ceiling and 80G limit

Mr. Iyer (age 40, resident, **old regime**) for PY 2024-25 has:

- Income from Salary: ₹8,00,000
- Income from House Property: ₹1,20,000
- Long-term capital gain (on listed shares, u/s 112A): ₹2,00,000
- Savings-bank interest: ₹14,000

He makes the following payments: - PPF: ₹1,20,000; LIC premium: ₹50,000 - NPS (own): ₹40,000 - Health insurance (self & family, non-senior, by cheque): ₹22,000 - Interest on education loan (own MBA): ₹90,000 - Donation to PM National Relief Fund: ₹30,000 (by cheque) - Donation to a local approved charitable trust: ₹50,000 (by cheque)

Compute Total Income.

Step 1 — Gross Total Income.

Head	Amount (₹)
Salary	8,00,000
House Property	1,20,000
Capital Gains (LTCG 112A)	2,00,000
Other Sources (SB interest)	14,000
Gross Total Income	**11,34,000**

Step 2 — Family 1 (savings/investment). - 80C: PPF ₹1,20,000 + LIC ₹50,000 = ₹1,70,000 → capped at umbrella **₹1,50,000** (80CCE). - 80CCD(1B): NPS ₹40,000 → fully allowed in the exclusive window = **₹40,000**. - Subtotal Family 1 = **₹1,90,000**.

Step 3 — Family 2 (health). - 80D: ₹22,000, within ₹25,000 non-senior limit, paid by cheque = **₹22,000**.

Step 4 — Family 3 (education). - 80E: interest on education loan ₹90,000, **no cap**, fully allowed = **₹90,000**.

Step 5 — Family 5 (interest). - 80TTA: SB interest ₹14,000 → capped at **₹10,000** (below 60, savings only).

Step 6 — Family 4 (donations, Sec 80G). This needs the two-dimension analysis. - PM National Relief Fund: **100%, no qualifying limit** → ₹30,000 fully allowed = **₹30,000**. - Local charitable trust: **50%, subject to qualifying limit** (10% of *adjusted GTI*).

Compute Adjusted GTI = GTI − LTCG (112A) − deductions already claimed under other VI-A sections − (STCG 111A, if any). Adjusted GTI = 11,34,000 − 2,00,000 (LTCG) − [1,90,000 + 22,000 + 90,000 + 10,000] (other VI-A) = 11,34,000 − 2,00,000 − 3,12,000 = **₹6,22,000**.

Qualifying limit = 10% × 6,22,000 = **₹62,200**. The trust donation ₹50,000 is within this. Eligible for 50% deduction: 50% × ₹50,000 = **₹25,000**.

- Total 80G = ₹30,000 + ₹25,000 = **₹55,000**.

Step 7 — Aggregate all deductions.

Section	Deduction (₹)
80C (umbrella)	1,50,000
80CCD(1B)	40,000
80D	22,000
80E	90,000
80TTA	10,000
80G	55,000
Total Chapter VI-A	**3,67,000**

Step 8 — Apply Sec 80A(2) ceiling. Total deductions ₹3,67,000 must not exceed GTI ₹11,34,000. It does not — so the full ₹3,67,000 is allowed.

Step 9 — Total Income = GTI − deductions = 11,34,000 − 3,67,000 = **₹7,67,000**.

Reconciliation check: Salary 8,00,000 + HP 1,20,000 + LTCG 2,00,000 + SB 14,000 = 11,34,000 ✓. Less deductions 3,67,000 = 7,67,000 ✓. Note the ₹2,00,000 LTCG remains inside Total Income but will be taxed at its special 112A rate (10%/12.5% above the ₹1/1.25 lakh exemption — *verify current rate/threshold*); crucially the **80C-family and 80G deductions cannot be set against that LTCG** conceptually, which is exactly why LTCG was stripped out when computing Adjusted GTI for the 80G limit.

Example 4 (Regime comparison) — the strategic "why"

Take Mr. Iyer above. Under the **old regime** his Total Income is ₹7,67,000 (after ₹3,67,000 deductions). Under the **new regime**, of his ₹3,67,000 deductions, **only 80CCD(2) would survive — and he had none** (his NPS was own-contribution 80CCD(1B), not employer). So under the new regime his Total Income ≈ ₹11,34,000 (subject to the LTCG being taxed separately and salary standard deduction, which the new regime *does* allow).

He must compute tax **both ways** and pick the lower. A taxpayer with ₹3.67 lakh of deductions usually finds the **old regime** wins *unless* the new regime's much lower slab rates outweigh the lost deductions. This is the decision Chapter VI-A ultimately forces — and it is why the chapter matters even in a "lower-rate" world.

Example 5 (Exam-hard) — The 80G priority ordering with mixed buckets and the qualifying-limit squeeze

Mr. Khanna (**old regime**) has Adjusted GTI (already computed) of ₹8,00,000. His donations, all by cheque:

- National Defence Fund: ₹40,000 (100%, no limit)
- Jawaharlal Nehru Memorial Fund: ₹20,000 (50%, no limit)

- Donation to Government for *family planning* promotion: ₹70,000 (100%, **with** qualifying limit)
- Donation to an approved local charitable trust: ₹60,000 (50%, **with** qualifying limit)

Compute the 80G deduction.

Step 1 — No-limit donations (processed fully, outside the cap): - National Defence Fund: 100% × 40,000 = **₹40,000** - Nehru Memorial Fund: 50% × 20,000 = **₹10,000** - No-limit subtotal = **₹50,000**

Step 2 — Qualifying limit for the with-limit pool = 10% × Adjusted GTI = 10% × 8,00,000 = **₹80,000**.

Step 3 — The with-limit donations total ₹70,000 (family planning) + ₹60,000 (trust) = ₹1,30,000, but only ₹80,000 fits inside the cap. Apply the **priority rule**: the *100%-with-limit* (family planning) donation gets first claim on the ₹80,000 cap.

- Family planning ₹70,000 is fully within the ₹80,000 cap → eligible ₹70,000; deduction = 100% × 70,000 = **₹70,000**.
- Remaining cap = 80,000 − 70,000 = **₹10,000** available for the 50%-with-limit trust.
- Trust donated ₹60,000 but only ₹10,000 of *donation* can enter the cap → deduction = 50% × 10,000 = **₹5,000**.

Step 4 — Total 80G = 50,000 (no-limit) + 70,000 (100% w/limit) + 5,000 (50% w/limit) = **₹1,25,000**.

Reconciliation / self-check: The with-limit *donations that qualified* were 70,000 + 10,000 = 80,000, exactly the 10%-of-AGTI cap ✓. The deduction on them (70,000 + 5,000 = 75,000) is *less* than the qualifying donations because the trust's slice suffers the 50% haircut. *Lesson:* fill the cap with the **100%** donations first — they convert cap-space into deduction at twice the rate of the 50% donations. Reversing the order (letting the trust eat the cap first) would have cost Khanna real deduction — a deliberate examiner trap.

Example 6 (Moderate–hard) — The 80A(2) ceiling actually biting, plus a senior citizen

Mr. Sethi (age 67, **resident senior**, **old regime**) has a modest year: GTI of ₹2,20,000 comprising pension ₹1,50,000 (Salary), FD interest ₹55,000 and savings interest ₹15,000 (Other Sources). He pays: LIC premium ₹90,000, PPF ₹70,000, health-insurance premium ₹55,000 (own, senior, by cheque), and donates ₹40,000 to PM CARES (cheque). Compute Total Income.

Step 1 — GTI = ₹2,20,000 (given).

Step 2 — 80C = LIC 90,000 + PPF 70,000 = 1,60,000 → capped at **₹1,50,000**.

Step 3 — 80D (senior, own): premium ₹55,000, but senior limit is **₹50,000 → ₹50,000**.

Step 4 — 80TTB (senior; covers savings *and* FD interest): total interest 55,000 + 15,000 = 70,000, capped at **₹50,000**. (He does *not* use 80TTA — senior uses 80TTB, and it swallows FD interest too.)

Step 5 — 80G: PM CARES is 100%, no limit → **₹40,000**.

Step 6 — Raw aggregate of deductions = 1,50,000 + 50,000 + 50,000 + 40,000 = **₹2,90,000**.

Step 7 — Apply Sec 80A(2). Deductions ₹2,90,000 **exceed** GTI ₹2,20,000. The ceiling bites: total Chapter VI-A deduction is **restricted to ₹2,20,000**.

Step 8 — Total Income = ₹2,20,000 − ₹2,20,000 = NIL.

Reconciliation / self-check: Total Income cannot be negative; ₹70,000 of otherwise-eligible deduction (2,90,000 − 2,20,000) is simply **lost** — it is *not* carried forward, *not* refunded (Sec 80A(2)). *Lesson:* a taxpayer with low GTI who over-invests for tax reasons wastes the excess. This is exactly why the "cannot exceed GTI" rule is a *reward*, not a *subsidy*. Note also 87A rebate would separately make tax nil here, but the *deduction* mechanics stop at zero regardless.

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6. Computation Format

The clean exam layout for the Chapter VI-A stage:

```
GROSS TOTAL INCOME (after all set-offs)                       XXX

Less: Deductions under Chapter VI-A
  Family 1 — Savings/Investment
    80C (LIC + PPF + ELSS + … )       capped 1,50,000        XXX
    80CCD(1B) NPS (own)               capped   50,000        XXX
    80CCD(2)  NPS (employer)          % of salary            XXX
  Family 2 — Health/Disability
    80D  (self-family + parents buckets)                      XXX
    80DD / 80DDB / 80U                                        XXX
  Family 3 — Education/Housing
    80E  (education-loan interest, no cap)                    XXX
    80EEB (EV loan interest)                                  XXX
  Family 4 — Donations
    80G  (100%/50%, apply qualifying limit on Adjusted GTI)   XXX
    80GGC (political, non-cash only)                          XXX
  Family 5 — Interest/Rent
    80TTA (₹10,000) OR 80TTB (₹50,000 senior)                 XXX
    80GG  (rent, least-of-three)                              XXX
                                                          ─────────
  Total deductions  (restricted to GTI, Sec 80A(2))           XXX
                                                          ─────────
TOTAL INCOME  (round off to nearest ₹10, Sec 288A)            XXX
```

Golden sequencing rules: 1. Apply each section's *own* cap first. 2. Apply the *shared* 80CCE cap to the 80C family. 3. Compute **Adjusted GTI** before the 80G qualifying-limit deductions (subtract LTCG, STCG-111A, and all *other* VI-A deductions). 4. Within 80G, process no-limit donations fully, then fit with-limit donations into the 10%-of-AGTI cap **100%-first, 50%-second**. 5. Finally test the aggregate against GTI (Sec 80A(2)).

A note on the ordering paradox. Steps 3 and 5 look circular: Adjusted GTI (for 80G) needs "all *other* VI-A deductions", but 80G is itself a VI-A deduction. The Act resolves it cleanly — Adjusted GTI subtracts *only the other* Chapter VI-A deductions (everything **except** 80G's own with-limit part). So compute 80C, 80D, 80E, 80TTA/TTB etc. **first**, use them to size Adjusted GTI, and only *then* do the 80G qualifying-limit arithmetic. Do 80G last among the payment deductions and the circularity vanishes.

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7. Connections

- ← **From the head chapters (03–08):** Chapter VI-A cannot start until the five heads are computed and set-offs (Chapter VI) are done. GTI is the hand-off point.
- ← **Set-off & carry-forward:** because VI-A can't create a loss (80A(2)), it never feeds the carry-forward machinery — deductions simply vanish if unused.
- → **To computation of tax liability:** Total Income (post-VI-A) is what slab rates, rebate u/s 87A, surcharge and cess attach to. A rebate u/s 87A is applied *after* VI-A on the resulting tax.
- → **Special-rate incomes:** LTCG (112A/112), STCG (111A), lottery (115BB) are taxed at flat rates and most VI-A deductions **cannot** be set against them — hence they're pulled out of "Adjusted GTI".
- ↔ **New regime [115BAC]:** the master switch that turns the whole VI-A menu on (old) or mostly off (new).
- ↔ **Salary (Ch 03):** employer NPS (80CCD(2)) and standard deduction interplay; 80GG only if *no* HRA received; the "salary" base for 80CCD is basic + DA, echoing the HRA and gratuity computations.
- ↔ **House Property (Ch 04):** 80EE/80EEA housing-loan interest is *additional* to Sec 24(b)'s ₹2 lakh — you exhaust 24(b) first, then the EE/EEA balance; the 80C principal and the 24(b) interest are the two halves of one home-loan EMI.
- ↔ **PGBP (Ch 05):** 80JJAA (additional-employee cost) and the profit-linked 80-IA/IB family sit atop *business* profits and demand a timely return [80AC]; 80GGA is barred to those *with* business income (they use Sec 35 instead).
- ↔ **Capital Gains (Ch 06):** the 80G qualifying-limit and 80GG both strip out capital gains via Adjusted GTI/ATI — Chapter VI-A and the special-rate CG provisions are deliberately kept from overlapping.

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8. Traps & Examiner Tricks

1. **The ₹1.5 lakh "each" illusion.** 80C, 80CCC and 80CCD(1) do **not** each get ₹1.5 lakh — they *share* one ₹1.5 lakh ceiling (80CCE). Only 80CCD(1B)'s ₹50k is genuinely extra.
2. **Forgetting to route NPS to 80CCD(1B).** When 80C is already ≥₹1.5 lakh, always shift NPS own-contribution into the exclusive ₹50k window — examiners plant "excess" 80C to test this.
3. **80D single-bucket error.** Self-family and parents are **two separate limits**. And senior limit is ₹50,000, not ₹25,000. Preventive check-up (max ₹5,000) is *within*, not on top. Parents-**in-law** do not qualify.
4. **80TTA vs 80TTB confusion.** A senior gets 80TTB (₹50,000, incl. FDs), **not** 80TTA. Never both. FD interest never qualifies for 80TTA. And a Type B deduction cannot exceed the actual interest in GTI.
5. **80G without Adjusted GTI.** Applying the 10% qualifying limit on *plain* GTI instead of *Adjusted* GTI (which strips out LTCG/STCG-111A and other VI-A deductions) — a classic miscalculation.
6. **80G priority-order error.** When the 10% cap can't hold all with-limit donations, the **100%-with-limit** donations must claim the cap *first* — feeding the 50% ones first silently costs deduction (see Example 5).
7. **Cash-donation trap.** Donation > ₹2,000 in **cash** gets **zero** 80G. Political contributions (80GGB/GGC) in **any** cash get zero. In-kind (goods) donations get zero under 80G regardless of mode.
8. **80E "principal" trap.** 80E covers **interest only**, and has **no monetary cap** but an **8-year** limit. Don't cap it at some number; don't include principal. Loan must be from a bank/notified institution, not a relative or employer.
9. **Deductions against special-rate income.** Trying to reduce LTCG/STCG-111A/lottery income using 80C etc. — not allowed.

10. **The 80A(2) ceiling.** If deductions exceed GTI, they're cut to GTI — no negative Total Income, no loss carried forward (see Example 6).
11. **New-regime blindness.** Claiming 80C/80D in a new-regime computation. Only 80CCD(2), 80CCH, 80JJAA survive. But do **not** wrongly disallow the salary *standard deduction* (Sec 16, not VI-A) — it stays.
12. **Rounding.** Total Income rounded to nearest ₹10 (Sec 288A) — after VI-A, not before.
13. **Disabled-person double-claim.** Cannot claim both 80DD (dependant) and 80U (self) for the *same* individual.
14. **LIC premium vs sum-assured cap.** Premium above 10% (or 15%) of the sum assured is *not* eligible under 80C — a plant when the policy details are given.
15. **80C reversal on early house sale.** Selling the house within 5 years reverses (adds back) the 80C principal already claimed — easy to miss when the question mentions a sale.
16. **80CCD(2) double-count.** Remember it is *added* to salary as an inclusion and then *deducted* — a well-set question tests whether you added it to income before deducting.
17. **80DDB reimbursement.** Reduce the claim by any insurance/employer reimbursement; only the net out-of-pocket qualifies.
18. **80AC timely-return trap.** Profit-linked deductions (80-IA/IB/IE, 80JJAA) are **wholly lost** if the return is filed after the Sec 139(1) due date — ordinary 80C-type deductions are not subject to this.

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9. First-Principles Recap

Strip everything away and rebuild:

1. The heads measure **what you earned**; they are silent on **what you did with it**. GTI is the total earning.
2. The state has goals beyond revenue — retirement savings, health cover, education, charity, clean politics, green vehicles. It cannot command these, so it **discounts your tax** when you fund them. That discount is Chapter VI-A.
3. Because the reward relates to *application*, not *earning*, it operates on the **aggregate (GTI)**, after set-offs, not on any one head.
4. Every deduction is (a) tied to a **policy family**, (b) **capped** (cost + fairness), (c) **conditioned** (approved instrument, non-cash mode, specified relative, timely claim) to stop abuse.
5. The two structural templates — **payment** deductions (80C…80GGC) and **income** deductions (80-IA…80U) — explain almost every quirk: an income deduction can never exceed the income it rewards; a payment deduction is tested on the five gates of amount, ceiling, person, mode, and claim.
6. The aggregate can zero out Total Income but **never go below** (Sec 80A(2)) — an incentive, not a subsidy that outlives income.
7. Special-rate incomes (LTCG, STCG-111A, lottery) are already given a *rate* concession, so they are ring-fenced from deductions — hence "Adjusted GTI" surgically removes them before any %-of-income cap.
8. The new regime made the deepest statement of all: **"lower everyone's rate and stop nudging"** — so it disallows nearly all of VI-A. The whole chapter therefore reduces to one planning question: *do my deductions save more than the rate cut?*

If you can derive each section's cap and conditions from its **policy purpose** and its **payment-vs-income template**, you never memorise — you reconstruct.

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10. Quick-Revision Sheet

The equation: `GTI − Chapter VI-A deductions = Total Income` | deductions ≤ GTI [80A(2)] | round to ₹10 [288A].

Two templates: *Payment* deductions (80C–80GGC, reward money paid out) vs *Income* deductions (80-IA–80U, reward favoured income; can't exceed that income).

Family 1 — Savings/Investment - **80C** ₹1,50,000: LIC (premium ≤ 10%/15% of sum assured), PPF, EPF, ELSS, NSC, 5-yr FD, tuition (2 kids, India), housing-loan *principal* (reversed if house sold < 5 yrs), Sukanya. - **80CCC** (pension premium) + **80CCD(1)** (own NPS: 10% salary [basic+DA] / 20% GTI) — all inside **80CCE = ₹1,50,000 umbrella**. - **80CCD(1B)** NPS **extra ₹50,000** (over umbrella; same rupee not in both 1 and 1B). - **80CCD(2)** employer NPS — up to **10% salary (private, old regime)** / **14% (Govt, or any employee under new regime)** — outside caps, added to salary then deducted, **survives new regime**. *Verify % for your AY.*

Family 2 — Health/Disability - **80D**: ₹25,000 self-family (₹50,000 if senior) + ₹25,000 parents (₹50,000 if senior); max ₹1,00,000; preventive ≤ ₹5,000 within (cash OK); premium non-cash; senior-no-policy → medical expenditure route (cash OK); parents-in-law excluded. - **80DD** dependant disability: flat ₹75,000 / ₹1,25,000 (severe ≥80%); Form 10-IA. - **80DDB** specified disease: actual or ₹40,000 (₹1,00,000 senior), less reimbursement. - **80U** self disability: flat ₹75,000 / ₹1,25,000. (Not both 80DD and 80U for same person.)

Family 3 — Education/Housing - **80E** education-loan **interest**: no cap, 8 years, bank/notified institution, higher education of self/spouse/children/ward. - **80EE/80EEA** housing-loan interest (first home), stacks on Sec 24(b) ₹2 lakh — *verify sunset/sanction window*. - **80EEB** EV-loan interest: ₹1,50,000 — *verify sanction window (closed after 31 Mar 2023)*.

Family 4 — Donations - **80G**: 100%/50% × donation; some *no limit*, others capped at **10% of Adjusted GTI**; cash > ₹2,000 disallowed; in-kind disallowed; with-limit pool: 100%-first then 50%. - **80GGA** research/rural (no business income). **80GGB** (companies) / **80GGC** (others) political — **non-cash only, 100%, zero cash tolerance**.

Family 5 — Interest/Rent - **80TTA** savings interest ₹10,000 (< 60, no FD). **80TTB** *resident* seniors ₹50,000 (incl. FD). Mutually exclusive. - **80GG** rent (no HRA, no owned house at workplace): least of ₹5,000/mo, 25% of ATI, rent − 10% ATI.

Others: 80JJAA (30% additional-employee cost × 3 yrs, survives new regime, needs 80AC timely return), 80QQB/80RRB (author/patent royalty, cap ₹3,00,000 each, Type B), 80CCH (Agnipath, survives new regime).

New regime [115BAC(1A)]: almost all VI-A **blocked**; survivors = **80CCD(2), 80CCH, 80JJAA**. Standard deduction (Sec 16) still allowed — it is *not* VI-A. New regime is default; opt-out mechanics differ for business (one-way) vs salaried (annual). Always compute tax both ways.

Adjusted GTI (for 80G qualifying limit) = GTI − LTCG − STCG(111A) − other VI-A deductions − specified incomes. **Adjusted Total Income (for 80GG)** is the analogous base.

> **Verify for your AY:** all rupee limits, 80CCD(2) employer %, LIC sum-assured %, 80D senior thresholds, 80EE/EEA/EEB sunset windows, 80G fund lists & %, 80QQB/RRB caps, 112A LTCG rate/exemption, and the new-regime slab rates. Finance Acts move these frequently.

Q&A — Deductions under Chapter VI-A

Income-tax Act, 1961. Sections 80A–80U. **All monetary ceilings (₹1,50,000 u/s 80C, ₹25,000/₹50,000 u/s 80D, etc.) and the new-regime carve-outs depend on the applicable Assessment Year — verify against the AY your exam prescribes.** Structure and logic below are AY-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. What is the "gate" every Chapter VI-A deduction must pass, and why does it exist? Two gates in **s.80A**: (i) the aggregate of all Chapter VI-A deductions **cannot exceed Gross Total Income (GTI)** — deductions can bring taxable income to nil but never create a loss or refund of tax on income that was never earned; (ii) a deduction is allowed on the **amount actually paid/invested**, and no deduction is given on income already exempt. This preserves the principle that VI-A gives *relief*, not a subsidy.

A2. Distinguish deductions "in respect of certain payments" from those "in respect of certain incomes". - **Payments (80C–80GGC):** reward the *outflow* — savings, insurance, donations, loan interest. Independent of how the income arose. - **Incomes (80JJAA, 80QQB, 80RRB, 80TTA/TTB):** exempt a *slice of specified income already included in GTI* (bank interest, royalty, additional-employment cost). If that income is not in GTI, no deduction.

A3. State the s.80CCE overall cap. Deductions under **80C + 80CCC + 80CCD(1)** together cannot exceed **₹1,50,000**. Crucially, **80CCD(1B)** (extra ₹50,000 NPS) and **80CCD(2)** (employer's NPS contribution) sit *outside* this cap. *(₹1,50,000 / ₹50,000 — confirm for AY.)*

A4. Why is 80CCD(2) treated so differently from 80CCD(1)? 80CCD(1) is the *employee's own* contribution — capped and inside the 80CCE ₹1.5 lakh basket. 80CCD(2) is the *employer's* contribution, treated as deferred remuneration; it is allowed **over and above** ₹1.5 lakh, limited to **10% of salary (14% if a Central/State Government employer)**. Because it is employer-funded, it survives even under the new regime.

A5. 80D — map the ceilings. Health-insurance premium/preventive check-up (check-up sub-limit ₹5,000, within the overall cap): **₹25,000** for self+spouse+children; **₹50,000** if the insured is a **senior citizen (60+)**. A *separate* deduction of ₹25,000 / ₹50,000 for **parents**. Where no policy exists, medical *expenditure* on a senior citizen also qualifies. *(Amounts — confirm for AY.)*

A6. Contrast 80DD, 80DDB and 80U. - **80DD** — expenditure/deposit for a **dependant with disability**: *fixed* deduction **₹75,000** (₹1,25,000 for severe disability, 80%+), irrespective of actual spend. - **80DDB** — actual expenditure on **specified diseases** for self/dependant: up to **₹40,000** (**₹1,00,000** if patient is a senior citizen), reduced by insurance/employer reimbursement. - **80U** — the **assessee himself** has a disability: fixed **₹75,000 / ₹1,25,000**. 80DD and 80U are mutually exclusive by beneficiary (dependant vs self).

A7. 80E vs 80EEB vs 80EEA — the interest-deduction trio. - **80E** — interest on **education loan** (higher studies), *no monetary limit*, for **8 years** from the year repayment begins. - **80EEA** — additional interest on **affordable housing** loan (subject to sanction-date and stamp-value conditions), over the s.24(b) limit. - **80EEB** — interest on loan for **electric vehicle**, up to **₹1,50,000**. Each rewards a policy-favoured borrowing.

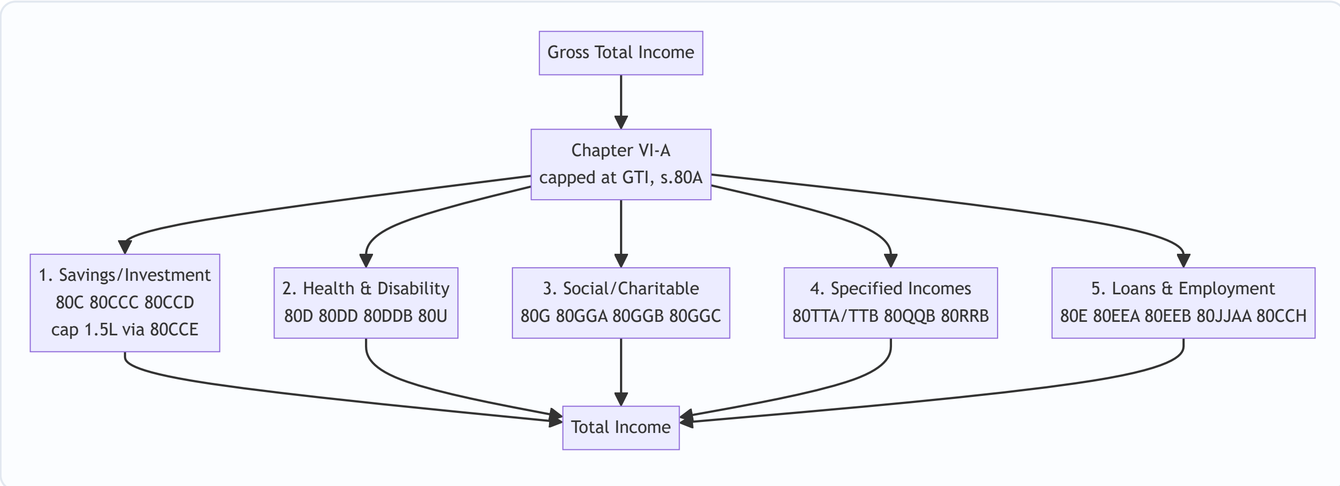
A8. 80G — the four-quadrant logic. Donations fall into: **100% without** qualifying limit (e.g., PM National Relief Fund), **50% without** limit, **100% with** qualifying limit, **50% with** qualifying limit. The "qualifying limit"

= **10% of Adjusted Total Income**. Cash donations **above ₹2,000 are disallowed** — must be by non-cash mode.

A9. 80TTA vs 80TTB — never both. - **80TTA** — **₹10,000** on **savings-account** interest, for non-seniors. - **80TTB** — **₹50,000** on **all deposit** interest (savings + FD/RD), exclusively for **resident senior citizens**. A senior citizen claims 80TTB, not 80TTA.

A10. Which Chapter VI-A deductions survive under the default new regime u/s 115BAC? Almost all VI-A deductions are **forfeited**, with the key exceptions of **80CCD(2)** (employer NPS), **80CCH(2)** (Agnipath Seva Nidhi), and **80JJAA** (additional employee cost). The savings-linked reliefs (80C, 80D, 80G, 80TTA, etc.) are unavailable under the new regime. *(Confirm current carve-outs for AY.)*

Deductions map (5 policy families)



SECTION B — Graded Computational Problems

B1 (Easy) — 80C basket and the 80CCE cap

Mr. Rao (age 45, old regime) pays: LIC premium ₹40,000 (policy sum assured ₹5,00,000), PPF ₹80,000, principal repayment of housing loan ₹60,000, tuition fees for 2 children ₹50,000, ELSS ₹30,000. Compute his 80C deduction.

Answer. | Item | Section | Eligible | |---|---|---| | LIC premium (≤10% of SA, so full ₹40,000 allowed) | 80C | 40,000 | | PPF | 80C | 80,000 | | Housing-loan principal | 80C | 60,000 | | Tuition fees (2 children, actual) | 80C | 50,000 | | ELSS | 80C | 30,000 | | **Gross eligible** | | **2,60,000** |

- 80CCE overall cap = **₹1,50,000**.
- **Deduction u/s 80C = ₹1,50,000** (excess ₹1,10,000 lapses). *(Cap — confirm for AY.)*

B2 (Easy–Moderate) — 80CCD interaction, all three limbs

Ms. Iyer (Central Govt. employee) has salary (Basic+DA) ₹10,00,000. Contributions: her own NPS ₹1,20,000; employer NPS ₹1,40,000; PPF ₹50,000; additional NPS claimed under 80CCD(1B) ₹50,000. Compute total VI-A savings deduction.

Answer. - **80CCD(1)** (own NPS) — limited to 10% of salary = ₹1,00,000; she contributed ₹1,20,000, so ₹1,00,000 counts here (balance ₹20,000 diverted below). - **80C (PPF) + 80CCD(1)** = 50,000 + 1,00,000 = ₹1,50,000 → hits 80CCE cap exactly. - **80CCD(1B)** — extra ₹50,000, outside cap. She has ₹20,000 leftover own-NPS + earmarks; she can claim the full **₹50,000** (she contributed ₹1,20,000 total own; 1,00,000 used in (1), 20,000 spare — plus she designated ₹50,000, but only ₹1,20,000 exists). Available for (1B) = 1,20,000 − 1,00,000 = **₹20,000**. - **80CCD(2)** (employer, Central Govt → 14% of salary = ₹1,40,000 limit) = **₹1,40,000**, fully outside the cap.

Total = 1,50,000 (80CCE) + 20,000 (1B) + 1,40,000 (2) = ₹3,10,000. *(10%/14% and ₹50,000 — confirm for AY.)*

B3 (Moderate) — 80D across generations

Dr. Mehta (age 52) pays: own family floater premium ₹28,000; preventive health check-up for family ₹6,000; premium for parents aged 68 ₹55,000; medical expenditure on the same parents ₹10,000. Compute 80D.

Answer. *Self/family block (non-senior, cap ₹25,000):* - Premium 28,000 + check-up 6,000 = 34,000, but check-up capped at ₹5,000 → 28,000 + 5,000 = 33,000, restricted to **₹25,000**.

Parents block (senior, cap ₹50,000): - Premium 55,000 → restricted to **₹50,000**. (Medical expenditure ₹10,000 not additionally allowed once the ₹50,000 ceiling is exhausted by premium.)

80D deduction = 25,000 + 50,000 = ₹75,000. *(Ceilings — confirm for AY.)*

B4 (Moderate) — 80DD vs 80DDB vs 80U in one return

Mr. Shah (age 40, resident) incurs: ₹90,000 on medical treatment + deposit for his dependant brother with 45% disability; ₹1,20,000 on cancer treatment of his father (age 66), of which ₹30,000 reimbursed by insurer; and Mr. Shah himself has 82% disability. Compute deductions.

Answer. - **80DD** (dependant, 45% = normal disability, ≥40%): *fixed* **₹75,000** (actual ₹90,000 irrelevant). - **80DDB** (father, senior citizen, specified disease): actual ₹1,20,000, cap ₹1,00,000, less reimbursement ₹30,000 = **₹70,000**. - **80U** (assessee, 82% = severe disability, 80%+): *fixed* **₹1,25,000**.

Total = 75,000 + 70,000 + 1,25,000 = ₹2,70,000. *(Fixed amounts and senior cap — confirm for AY.)*

B5 (Exam-hard) — 80G with qualifying limit and cash rule

Mr. Verma's GTI = ₹8,00,000. He also has a short-term capital loss carried into GTI of ₹0 (ignore). Donations: (a) PM National Relief Fund ₹50,000; (b) approved local charity (50%, subject to limit) ₹90,000 by cheque; (c) a temple of national importance (100%, subject to limit) ₹40,000; (d) ₹5,000 cash to a school fund (50%, with limit). Deductions already claimed under other VI-A sections: ₹1,50,000 (80C). Compute 80G.

Answer. Step 1 — Adjusted Total Income (ATI) = GTI − deductions under VI-A *other than 80G* − LTCG/STCG u/s 111A − certain incomes. ATI = 8,00,000 − 1,50,000 = **₹6,50,000**. **Qualifying limit = 10% of ATI = ₹65,000.**

Step 2 — Cash rule: donation (d) ₹5,000 in **cash exceeds ₹2,000 → fully disallowed.**

Step 3 — 100% without limit: PMNRF ₹50,000 → deduction **₹50,000** (no ceiling).

Step 4 — "with qualifying limit" pool (items b and c): - Gross donations subject to limit = 90,000 (50%) + 40,000 (100%) = ₹1,30,000. - Restricted to qualifying limit **₹65,000**. Adjust *100%-category first* to maximise relief: - Temple 100% → ₹40,000 allowed at 100% = **₹40,000** (uses ₹40,000 of the ₹65,000 room). - Remaining room ₹25,000 → charity 50%: eligible amount ₹25,000 × 50% = **₹12,500**.

Step 5 — 80G total = 50,000 + 40,000 + 12,500 = **₹1,02,500.** *(Cash limit ₹2,000, 10% ATI — confirm for AY.)*

B6 (Exam-hard) — 80GG rent, senior-citizen 80TTB, and the GTI ceiling

Mr. Nair (age 63, resident, old regime, self-employed, no HRA) reports: business income ₹4,60,000; savings interest ₹8,000; FD interest ₹70,000. He pays house rent ₹18,000/month and donates ₹20,000 to PMNRF. Compute Total Income.

Answer. - **GTI** = 4,60,000 + 8,000 + 70,000 = **₹5,38,000.**

80GG (rent, no HRA): least of — 1. ₹5,000 × 12 = **₹60,000**; 2. 25% of ATI; ATI for 80GG = GTI − VI-A (except 80GG) − LTCG/STCG-special. VI-A others here = 80TTB + 80G (computed below). Provisionally ATI ≈ 5,38,000 − 50,000 (80TTB) − 20,000 (80G) = 4,68,000 → 25% = **₹1,17,000**; 3. Rent paid − 10% of ATI = 2,16,000 − 46,800 = **₹1,69,200**. Least = **₹60,000**. *(₹5,000/month — confirm for AY.)*

- **80TTB** (senior, all deposit interest, cap ₹50,000): interest 8,000 + 70,000 = 78,000 → **₹50,000**. (80TTA not available to a senior.)
- **80G** (PMNRF, 100%, no limit) = **₹20,000**.

Total deductions = 60,000 + 50,000 + 20,000 = ₹1,30,000 (well within GTI, s.80A satisfied). **Total Income = 5,38,000 − 1,30,000 = ₹4,08,000.** *(All ceilings — confirm for AY.)*

SECTION C — Past-Paper-Style Full Questions

C1. "Compute deductions under Chapter VI-A"

Q. Mr. Kabir (age 35, resident, **old regime**) furnishes for the year: GTI ₹15,00,000 (includes LTCG on listed shares u/s 112A ₹1,00,000). Investments/payments: PPF ₹1,50,000; NPS own ₹60,000; employer NPS ₹80,000 (private employer, salary Basic+DA ₹7,00,000); health insurance self ₹22,000; education-loan interest ₹45,000; donation to a 50%-with-limit charity ₹60,000 (cheque). Compute total deductions and Total Income.

Model Answer. Step 1 — 80C/80CCE: PPF ₹1,50,000 alone hits the ₹1,50,000 cap; own NPS ₹60,000 cannot fit here → its 80CCD(1) portion is fully absorbed, leaving room only in 80CCD(1B). - 80CCD(1B): ₹50,000 of the own NPS → **₹50,000**. (Balance ₹10,000 lapses.) - **80CCD(2)** (private employer, 10% of ₹7,00,000 = ₹70,000): contribution ₹80,000 restricted → **₹70,000** (outside cap).

Step 2 — 80D: ₹22,000 (non-senior, within ₹25,000) → **₹22,000.**

Step 3 — 80E: education-loan interest, no ceiling → **₹45,000.**

Step 4 — 80G: - ATI = GTI − other VI-A − LTCG u/s 112A = 15,00,000 − (1,50,000 + 50,000 + 70,000 + 22,000 + 45,000) − 1,00,000 = 15,00,000 − 3,37,000 − 1,00,000 = **₹10,63,000.** - Qualifying limit = 10% = ₹1,06,300; donation ₹60,000 < limit; 50% allowed = **₹30,000.**

Step 5 — Totals. | Section | Amount | |---|---| | 80C (via 80CCE) | 1,50,000 | | 80CCD(1B) | 50,000 | | 80CCD(2) | 70,000 | | 80D | 22,000 | | 80E | 45,000 | | 80G | 30,000 | | **Total VI-A** | **3,67,000** |

Total Income = 15,00,000 − 3,67,000 = ₹11,33,000 (of which ₹1,00,000 LTCG taxed at the special s.112A rate; note VI-A deductions are **not** allowed against 112A LTCG — the LTCG stays taxed separately). *(Limits/rates — confirm for AY.)*

C2. Theory — "Explain the treatment of Chapter VI-A under the new tax regime."

Model Answer. Under **s.115BAC** (default regime from AY 2024-25), the taxpayer forgoes most exemptions and deductions in exchange for concessional slab rates. **Chapter VI-A deductions are broadly not available**, so the savings-linked reliefs — **80C, 80CCC, 80CCD(1), 80D, 80DD, 80DDB, 80E, 80G, 80GG, 80TTA, 80TTB, 80U** — cannot be claimed. The Act deliberately preserves a short list that reflects *employer-funded or employment-generating* policy goals: **80CCD(2)** (employer NPS), **80CCH(2)** (Agnipath Corpus Fund contribution), and **80JJAA** (deduction for additional employee cost). A taxpayer wanting the full 80C/80D basket must **opt out** into the old regime by the due date (business income cases requiring Form 10-IEA). *(Carve-out list — confirm for AY.)*

C3. Theory — "80DD is a fixed deduction; 80DDB is expenditure-based. Justify."

Model Answer. 80DD rewards maintenance of a dependant with disability. Because ongoing care costs are diffuse and hard to document, the law grants a **flat ₹75,000 (₹1,25,000 severe)** irrespective of actual spend — certainty over precision, requiring only Form 10-IA certification. **80DDB** targets episodic, high-cost **treatment of specified diseases**; here the cost *is* documentable, so the deduction is **actual expenditure capped at ₹40,000 (₹1,00,000 senior), net of reimbursement** to prevent double relief. The design difference mirrors the difference between a recurring status (disability) and a discrete event (treatment). *(Amounts — confirm for AY.)*

SECTION D — MCQs / Case Scenarios

D1. Aggregate Chapter VI-A deduction can, at most, reduce GTI to — (a) a loss (b) nil (c) 50% of GTI (d) basic exemption limit. **Ans: (b).** *Reason:* s.80A — deductions cannot exceed GTI; they never create a loss.

D2. Employer's NPS contribution for a **State Government** employee is deductible u/s 80CCD(2) up to — (a) 10% of salary (b) 14% of salary (c) ₹50,000 (d) ₹1,50,000. **Ans: (b).** *Reason:* Govt-employer contribution limit is 14% of salary; outside the 80CCE cap. *(Confirm for AY.)*

D3. A ₹3,000 **cash** donation to a fund eligible for 50% deduction u/s 80G gives a deduction of — (a) ₹1,500 (b) ₹3,000 (c) ₹0 (d) ₹300. **Ans: (c).** *Reason:* Cash donation exceeding ₹2,000 is wholly disallowed u/s 80G(5D).

D4. A resident senior citizen with savings interest ₹9,000 and FD interest ₹60,000 gets a deduction of — (a) ₹10,000 u/s 80TTA (b) ₹50,000 u/s 80TTB (c) ₹69,000 (d) ₹60,000. **Ans: (b).** *Reason:* Seniors claim 80TTB (cap ₹50,000 on all deposit interest), not 80TTA. *(Confirm for AY.)*

D5. Which survives under the default regime u/s 115BAC? (a) 80C (b) 80D (c) 80CCD(2) (d) 80TTB. **Ans: (c).** *Reason:* Employer NPS contribution is among the few VI-A deductions retained.

D6. Interest on a loan for **higher education** is deductible u/s 80E for — (a) 5 years (b) 7 years (c) 8 years or until interest fully paid, whichever earlier (d) indefinitely. **Ans: (c).** *Reason:* 80E relief runs for a maximum of 8 assessment years from the initial year.

D7. Case scenario. Mrs. Bose (age 61, resident, old regime): GTI ₹6,00,000; pays own mediclaim ₹48,000 and incurs ₹22,000 on preventive check-ups for herself. Her 80D deduction is — (a) ₹70,000 (b) ₹50,000 (c) ₹53,000 (d) ₹25,000. **Ans: (b).** *Reason:* Senior-citizen self ceiling is ₹50,000; premium 48,000 + check-up (capped ₹5,000) = 53,000, restricted to ₹50,000. *(Confirm for AY.)*

D8. For computing the 80G qualifying limit, "Adjusted Total Income" is GTI reduced by — (a) all VI-A deductions including 80G (b) VI-A deductions *except* 80G, and specified special-rate incomes (c) only 80C (d) nothing. **Ans: (b).** *Reason:* ATI excludes 80G itself and incomes like LTCG/111A STCG to prevent circularity.

Quick self-verification

- B1: 80C gross 2.60L → capped 1.50L. ✓
- B5: 50,000 + 40,000 + 12,500 = 1,02,500. ✓
- B6: 60,000 + 50,000 + 20,000 = 1,30,000 < GTI 5,38,000. ✓
- C1: 1,50,000+50,000+70,000+22,000+45,000+30,000 = 3,67,000; TI = 11,33,000. ✓

End of Q&A — Deductions under Chapter VI-A.

Chapter 10 — Advance Tax, TDS & TCS

> *Flag: All rates, thresholds and instalment percentages below reflect the law as commonly examined for AY 2025-26. Always re-verify the exact figures and the applicable Assessment Year against current ICAI study material before the exam, as thresholds (especially in the 194-series) are amended almost every Finance Act. Where a figure is especially volatile it is marked "verify current ICAI material / AY".*

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1. The Problem

Imagine you are the Government of India. Your entire machinery — defence, roads, salaries of civil servants, subsidies — runs on a **daily** cash outflow. Money leaves the treasury every single day.

Now look at how income tax "naturally" arrives. A person earns income throughout the year (April to March). Under the pure structure of the Act, they compute total income *after* the year ends, and file a return by 31st July (or later). Tax would then trickle in as one lump sum, **many months after** the income was earned.

This creates three brutal problems:

1. **A cash-flow mismatch for the State.** The government spends continuously but would receive tax only once a year, in arrears. It would have to borrow to bridge every month — expensive and unstable.
2. **A collection risk.** Give a person 15 months between earning ₹50 lakh and paying tax on it, and a large fraction of that money is gone — spent, invested illiquidly, or deliberately hidden. A promise to pay later is worth far less than money taken today.
3. **An information / evasion problem.** If the *only* touchpoint between the taxpayer and the department is a self-declared return, the department is blind. It has no independent record of who earned what. The informal economy simply never shows up.

So the core problem is this: **How does the State get a steady, reliable, hard-to-evade stream of tax — instead of a delayed, dodgeable lump sum?**

The answer is a philosophy: **do not wait for the year to end and do not rely on the taxpayer alone.** Collect tax *as income arises* (during the year, in instalments), and collect it *where income arises* (at the point a payment is made, from a third party who has no incentive to hide it). This chapter is the machinery of that philosophy: **Advance Tax, TDS, and TCS.**

A fourth, subtler problem the design also solves — the "float" and the behavioural nudge. Money in the taxpayer's pocket is money he is tempted to treat as his own. By skimming tax *before* the income ever reaches him (TDS) or forcing him to part with it *within* the year (advance tax), the law removes the psychological "endowment" — you never feel you own money that was never yours. This is why source collection has near-universal compliance while self-declared income has leakage: the design attacks the *temptation*, not just the *arithmetic*.

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2. The Core Idea

There are exactly three mechanisms, and they differ on **who** pays and **when**:

Mechanism	Who deposits the tax	When	Governing sections
Advance Tax	The **taxpayer himself**, on his *own estimated* income	*During* the year, in 4 instalments	Sec 207–211, 234B, 234C
TDS (Tax Deducted at Source)	The **payer** deducts before paying the recipient	*At the moment of payment/credit*	Sec 192–196, 234E, 271H
TCS (Tax Collected at Source)	The **seller** collects extra from the buyer	*At the moment of sale/receipt*	Sec 206C

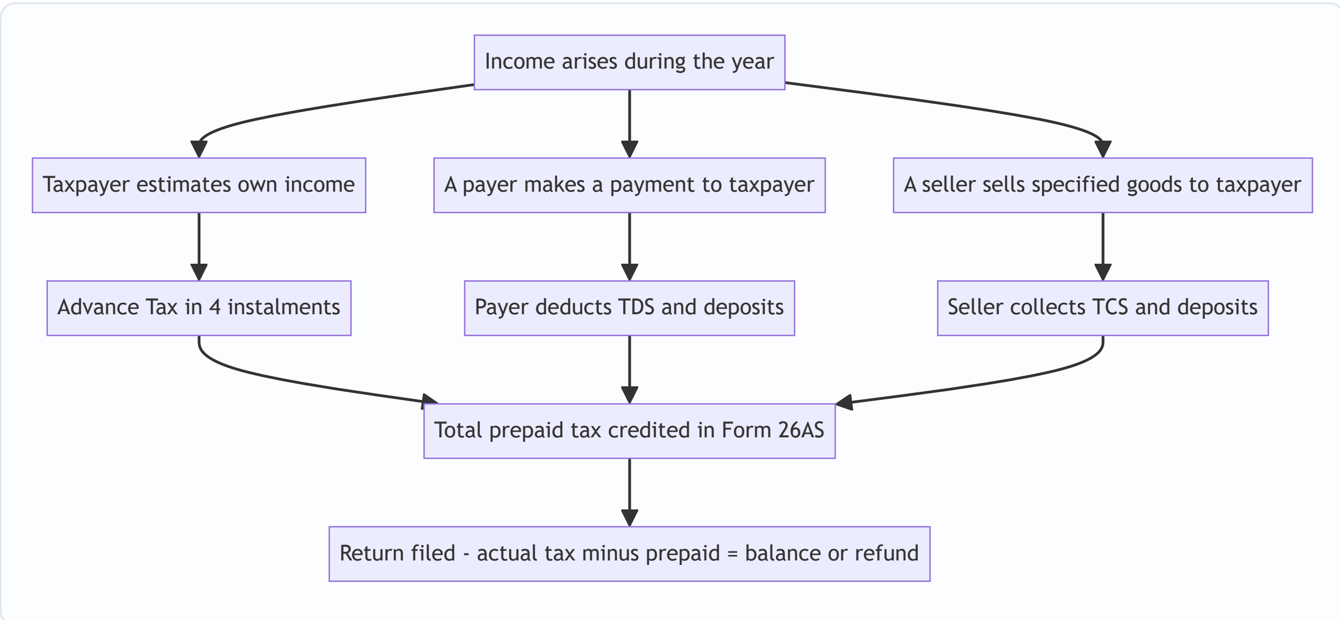
The unifying idea — the one sentence to hold in your head — is:

> **"Pay-as-you-earn" and "pay-where-you-earn."** Advance tax is the taxpayer prepaying on his own estimate; TDS/TCS is a *third party* skimming tax off a transaction and depositing it on the taxpayer's behalf.

Everything else — every rate, every threshold, every due date — is just detail hung on this skeleton. The final settlement happens when the return is filed: the taxpayer computes actual total tax, subtracts everything already paid (advance tax + TDS + TCS, all visible in **Form 26AS / the Annual Information Statement**), and pays the balance (self-assessment tax u/s 140A) or claims a refund.

Three vocabulary distinctions the exam quietly relies on: - **Deductor / Collector** = the person who takes the tax out (payer / seller). **Deductee / Collectee** = the person from whom it is taken (recipient / buyer, i.e. the real taxpayer). - **Deduct vs Deposit** are two separate acts with two separate defaults and two separate interest rates. Keep them apart. - **TAN vs PAN.** A deductor must obtain a **TAN** (Tax Deduction and Collection Account Number, Sec 203A) to deduct/deposit and file returns — distinct from the **PAN** that identifies the taxpayer. Sec 194IA/194IB purchases by individuals are the notable exception where **no TAN is required** (the buyer uses PAN and a challan-cum-statement).

Figure 10.1 — The three streams all feed one reservoir: the taxpayer's final liability.



3. Why It's Built This Way

Before any section numbers, let us derive *why* each design choice exists. If you understand the WHY, the numbers become obvious rather than memorised.

Why instalments for advance tax, and why front-loaded? The government needs steady cash across the year, so one payment won't do. But why is the schedule *back-loaded* toward larger cumulative percentages later (15% → 45% → 75% → 100%)? Because early in the year the taxpayer genuinely *cannot* know his income well — a businessman in June has little idea of his March profit. So the law asks for only 15% by June, then progressively more as the picture clarifies, reaching 100% by 15th March, two weeks before year-end. It balances the State's cash need against the fairness of not demanding tax on income that hasn't crystallised.

Why does TDS exist at all when advance tax already covers "pay as you earn"? Because advance tax relies on the taxpayer's *honesty and diligence*. TDS removes both from the equation. When your employer pays your salary, *he* deducts the tax — you never touch it. The person with the incentive to comply (the payer, who faces penalties and disallowance) is different from the person with the incentive to evade (the recipient). This separation is the genius of source-based collection. It also generates a **paper trail**: every TDS entry tells the department "X paid Y this much," widening the tax net to people who would never have filed.

Why thresholds (e.g., no TDS on rent below a limit)? If every ₹100 payment triggered TDS, the compliance cost (deduct, deposit, file quarterly returns, issue certificates) would crush small payers and clog the system for trivial revenue. Thresholds are a **cost-benefit cutoff**: deduct only where the amount is large enough that the revenue justifies the friction.

Why different rates for different payments (1%, 2%, 5%, 10%, 30%)? TDS is only an *estimate* of final liability, deducted by someone who doesn't know the recipient's full tax position. So the rate roughly tracks the *expected effective tax* on that stream. A contractor's gross receipt is mostly turnover with thin margins → low rate (1–2%). Professional fees are almost pure income → higher rate (10%). Salary → the *actual* slab rate, because the employer *can* compute it precisely. Lottery winnings → flat 30%, because they are taxed at the maximum flat rate anyway.

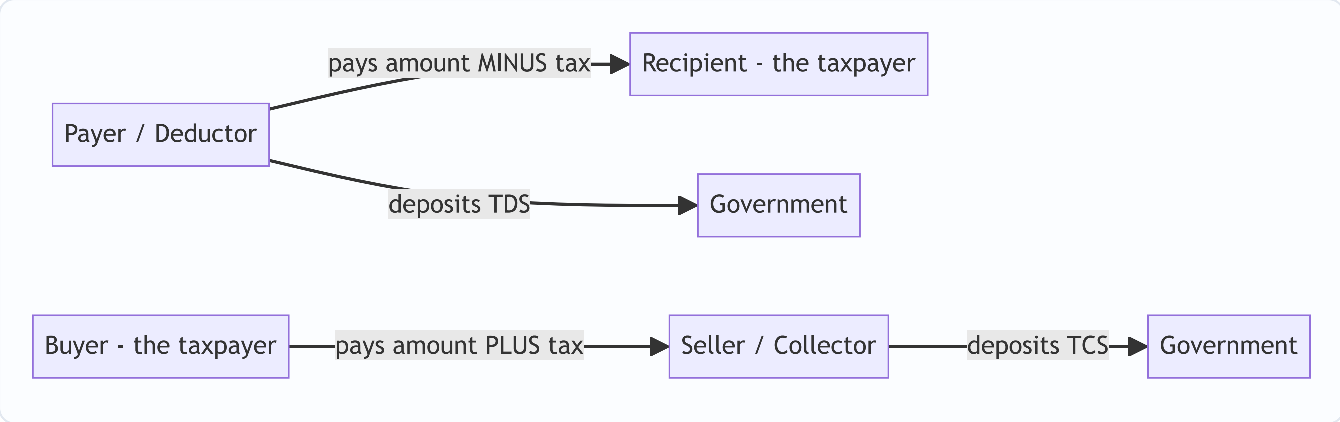
Why is TDS on gross, but the tax is really on net income? Because the deductor cannot possibly know the recipient's expenses, deductions, losses, or other income. So the law deliberately over-collects at a crude gross rate and lets the *taxpayer* reclaim the excess through his return (or pre-empt it via a Sec 197 lower-deduction certificate). TDS is intentionally a blunt instrument that errs on the side of the revenue; the fine-tuning happens at assessment. Understanding this resolves most "but that's too much tax!" confusions — TDS is a *deposit on account*, not the final tax.

Why TCS (collect at source) in addition to TDS (deduct at source)? TDS works when someone *pays* the taxpayer. But what about a person who *spends* big — buying a car, buying liquor-vending rights, remitting money abroad? There is no incoming payment to deduct from. So the mirror-image tool: the **seller collects** an extra slice from the buyer. It catches high-value spenders and traders in sectors historically prone to under-reporting (scrap, minerals, alcohol).

Why does the penalty ladder escalate the way it does? The State cannot audit everyone, so it must make non-compliance *self-defeating* at every level of severity. Merely charging the tax later (with no cost) would make delay free — so **interest** removes the time-value gain. But interest alone is just a loan rate; a payer who profits more than 1–1.5% a month would still default. So the law adds **disallowance** (40(a)(ia)) which strikes the payer's own taxable profit, then **penalty** (271C/271H) which is punitive not compensatory, then

prosecution (276B/276BB) which threatens liberty. Each rung is aimed at a taxpayer who was willing to absorb the rung below it.

Figure 10.2 — TDS vs TCS are mirror images around the transaction.



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4. Full Technical Content

4A. ADVANCE TAX (Sections 207–211, 234B, 234C)

Sec 207 — Liability. Advance tax is payable on the **current income** (income of the year for which it is being computed), estimated by the assessee.

Sec 208 — The threshold (the WHY of ₹10,000). Advance tax is payable only if the **estimated tax liability for the year is ₹10,000 or more**. Reason: for tiny liabilities, the machinery of four instalments is disproportionate; a small taxpayer can settle at return-filing without harming the State's cash flow. Note the ₹10,000 test is on the tax *after* reducing TDS/TCS deductible — i.e., on the amount actually left for the taxpayer to prepay.

The senior-citizen relief (Sec 207(2)). A **resident individual aged 60 or above** who does **NOT** have income under the head "Profits and Gains of Business or Profession (PGBP)" is **exempt from advance tax entirely**. Why? A retired senior's income is mostly interest/pension, on which TDS already applies, and asking a pensioner to run quarterly estimates is an unfair burden. Note the two conditions — *resident + no business income*. A senior with business income is NOT exempt. A **non-resident** senior, however old, is also NOT exempt.

Sec 209 — Computation.

```
Estimated total income  →  Tax on it at applicable rates
+ surcharge + health & education cess (4%)
− relief/rebate (e.g. 87A)
− TDS / TCS deductible on your income
= Advance tax payable
```

The critical logic: you subtract TDS/TCS **that is deductible/collectible** on your income, because that tax is already being handled by someone else. You only prepay the *gap*.

A sharp edge in Sec 209(1) — the proviso on undeducted TDS. You may reduce advance tax by TDS *deductible* on your income — but there is an important exception: where the payer has **paid/credited the income without deducting** the TDS he was liable to deduct, you **cannot** reduce your advance tax by that (un-deducted) amount for certain incomes. The idea: you cannot claim credit for tax that was never actually taken out and use it as a reason to under-pay advance tax. Practically, once you *know* TDS was not deducted, that income must be covered by your own advance tax.

Sec 210 — Payment on the assessee's own account and pursuant to an AO's order. Ordinarily the assessee pays advance tax on his own estimate. But the Assessing Officer can, u/s 210(3)/(4), **issue an order (and a demand notice u/s 156)** requiring advance tax where a person who was *previously assessed* has not paid. The assessee may counter with his own **lower estimate in Form 28A/28** if he believes his current income is lower. This is examined rarely but explains why advance tax is not purely voluntary.

Sec 211 — Instalments and WHY the schedule looks like this.

For **all assessees** (except those covered by presumptive taxation below):

Due date	Cumulative advance tax payable	Logic
On or before **15 June**	**15%**	Barely into the year; only a rough sense of income
On or before **15 September**	**45%**	Half-year visible; catch up
On or before **15 December**	**75%**	Three-quarters clear
On or before **15 March**	**100%**	Full-year estimate; final top-up before 31 March

Presumptive taxpayers (Sec 44AD / 44ADA): they pay **100% in a single instalment by 15 March**. Why the concession? Their income is a fixed presumptive percentage of turnover, knowable only near year-end, and the whole point of presumptive schemes is *reduced compliance*. Splitting into four would defeat that. **Trap:** this single-instalment concession is **only** for income declared under 44AD/44ADA. A presumptive assessee who *also* has salary, capital gains or house-property income must still bring *that* other income into the normal four-instalment schedule — the concession does not blanket his entire total income. (Verify the precise scope against current ICAI material.)

Any advance tax paid on or before 31 March counts as advance tax of that year. A crucial fairness rule: a payment made after 15 March but on/before 31 March is still "advance tax" (it reduces the 234B base), even though it may attract 234C for the March instalment shortfall. So the 15 March deadline governs *234C*, but 31 March governs *whether it is advance tax at all*.

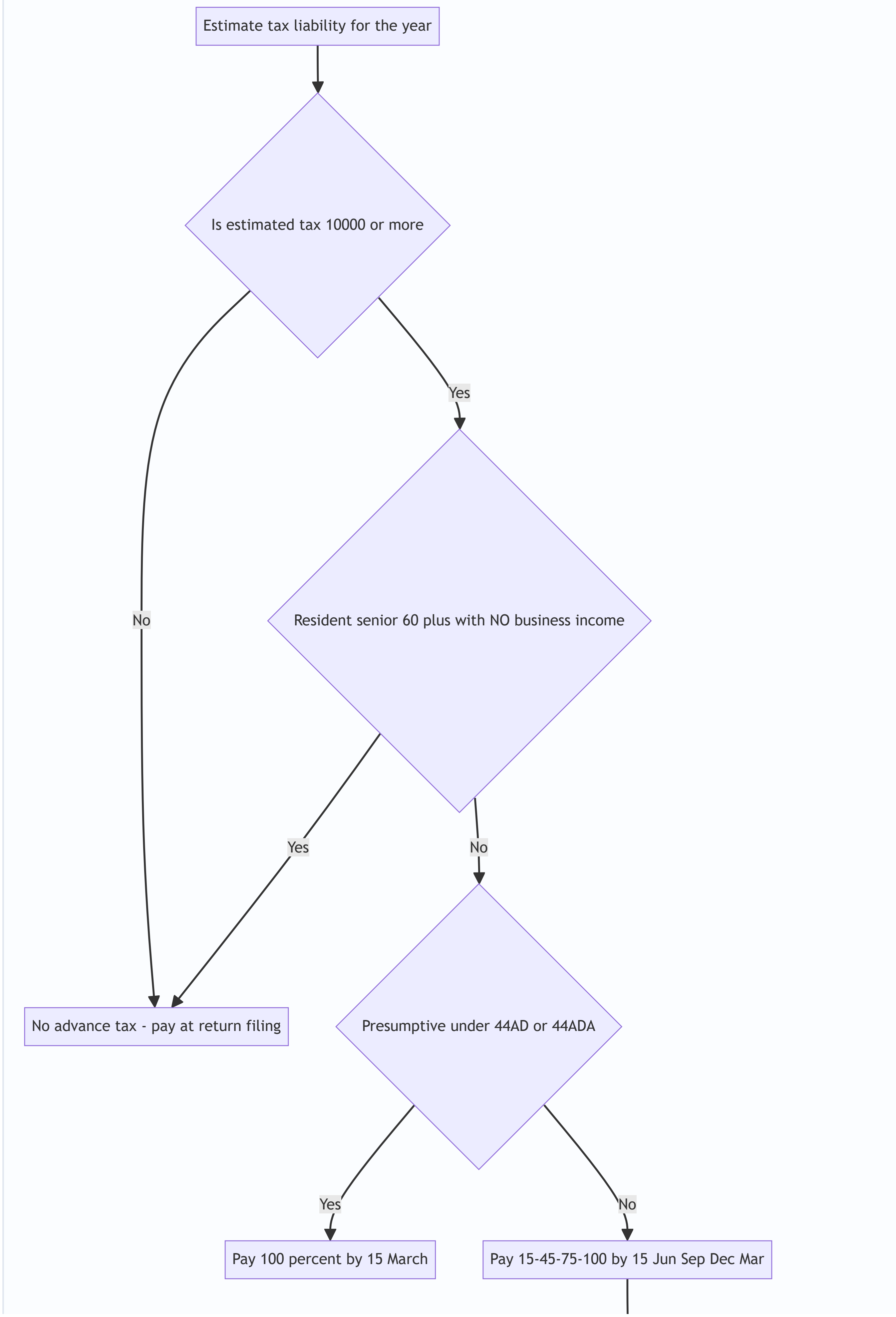
Memory hook — "15-45-75-100 on the 15th of J-S-D-M": every instalment falls on the **15th**, in **June, September, December, March**. The cumulative jumps by **30 percentage points** each time after the first (15, +30=45, +30=75, +25=100 — the last step is only 25 because you're already near the top).

Sec 234B — Interest for default in payment of advance tax. - *Trigger:* advance tax paid is **less than 90%** of assessed tax (or no advance tax paid at all, though liable). - *Rate:* **1% per month or part of a month.** - *Period:* from **1st April** of the AY to the date of determination of income / payment of self-assessment tax. - *Base:* on the **shortfall** (assessed tax minus advance tax paid), **rounded down to the nearest ₹100** (as with all interest under the Act). - "*Assessed tax*" *defined:* tax on total income **as assessed / self-assessed**, minus

TDS/TCS, minus relief u/s 89/90/90A/91, minus AMT/MAT credit u/s 115JAA/115JD. Note: it is **net of TDS**, so TDS the taxpayer *received* protects him from 234B on that slice. - *WHY 90%, not 100%?* Estimating one's own income perfectly is impossible; the law tolerates a 10% margin of error before penalising. - *Interaction with self-assessment tax:* if the taxpayer pays self-assessment tax before the assessment, 234B interest runs only up to the **date of that payment** on the amount paid; a two-stage computation is required if part is paid earlier.

Sec 234C — Interest for deferment (wrong *timing* of instalments). - *Trigger:* an instalment is **short** of the required cumulative percentage on its due date. - *Rate:* **1% per month.** - *Period:* **3 months** for the first three instalments (June, Sept, Dec) and **1 month** for the last (March). - *WHY the tolerance bands?* For the June and September instalments the law only requires you to have paid **12% and 36%** respectively (not 15% and 45%) to escape 234C — because early estimation is hard. No 234C is charged on shortfalls arising from **capital gains, casual income (lottery/betting u/s 2(24)(ix)), dividend income (other than deemed dividend u/s 2(22)(e)), or first-time business income** that could not be foreseen — you compute that portion in the instalment *falling due after* the income arose, and pay the remainder by 31 March. This "unforeseen income" carve-out is a heavily examined point. - *For presumptive 44AD/44ADA assessees:* 234C bites only if the whole 100% is not paid by 15 March.

Figure 10.3 — Advance tax decision flow.


Estimate tax liability for the year
Is estimated tax 10000 or more
No
Yes
Resident senior 60 plus with NO business income
Yes
No
No advance tax - pay at return filing
Presumptive under 44AD or 44ADA
Yes
No
Pay 100 percent by 15 March
Pay 15-45-75-100 by 15 Jun Sep Dec Mar

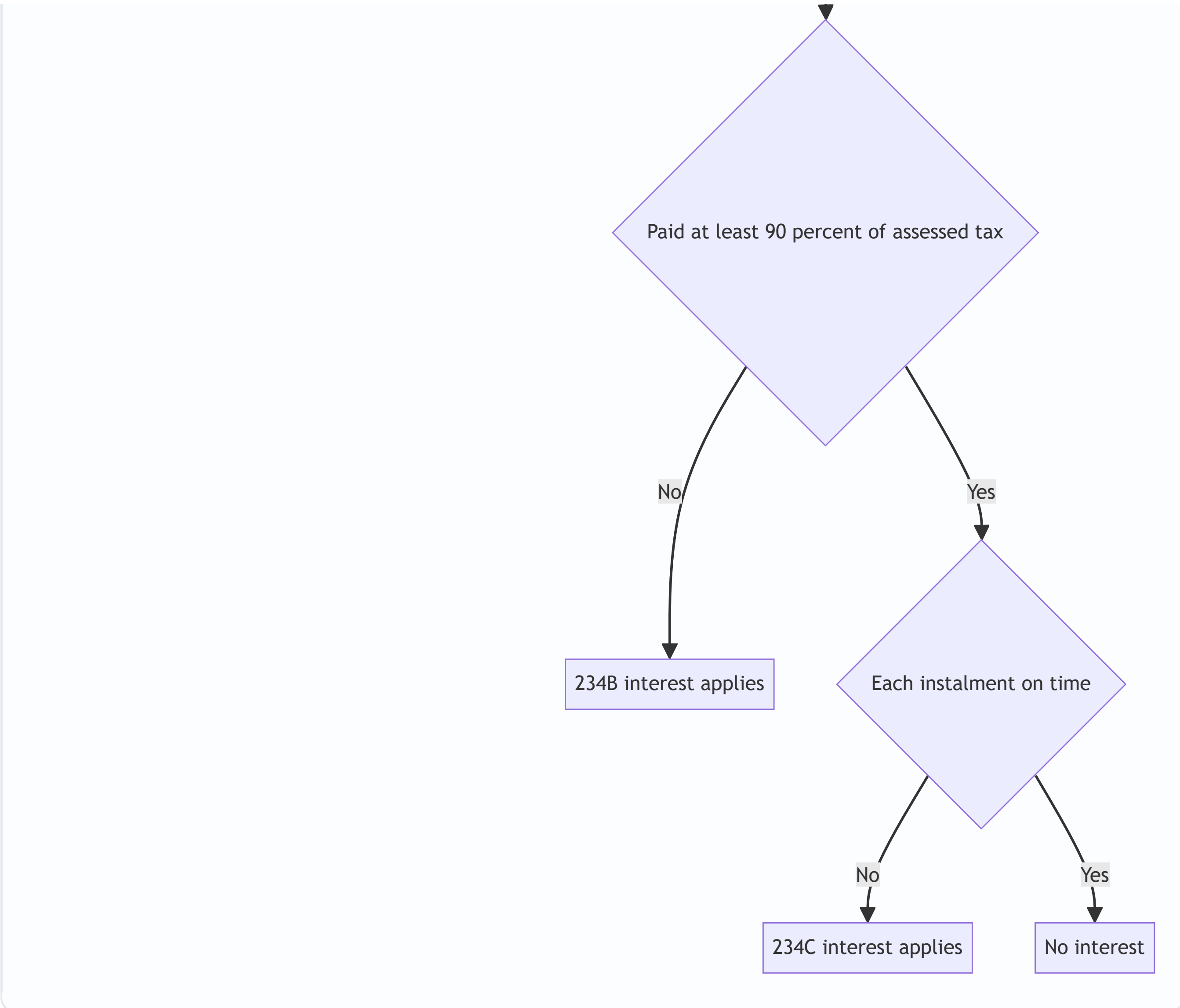
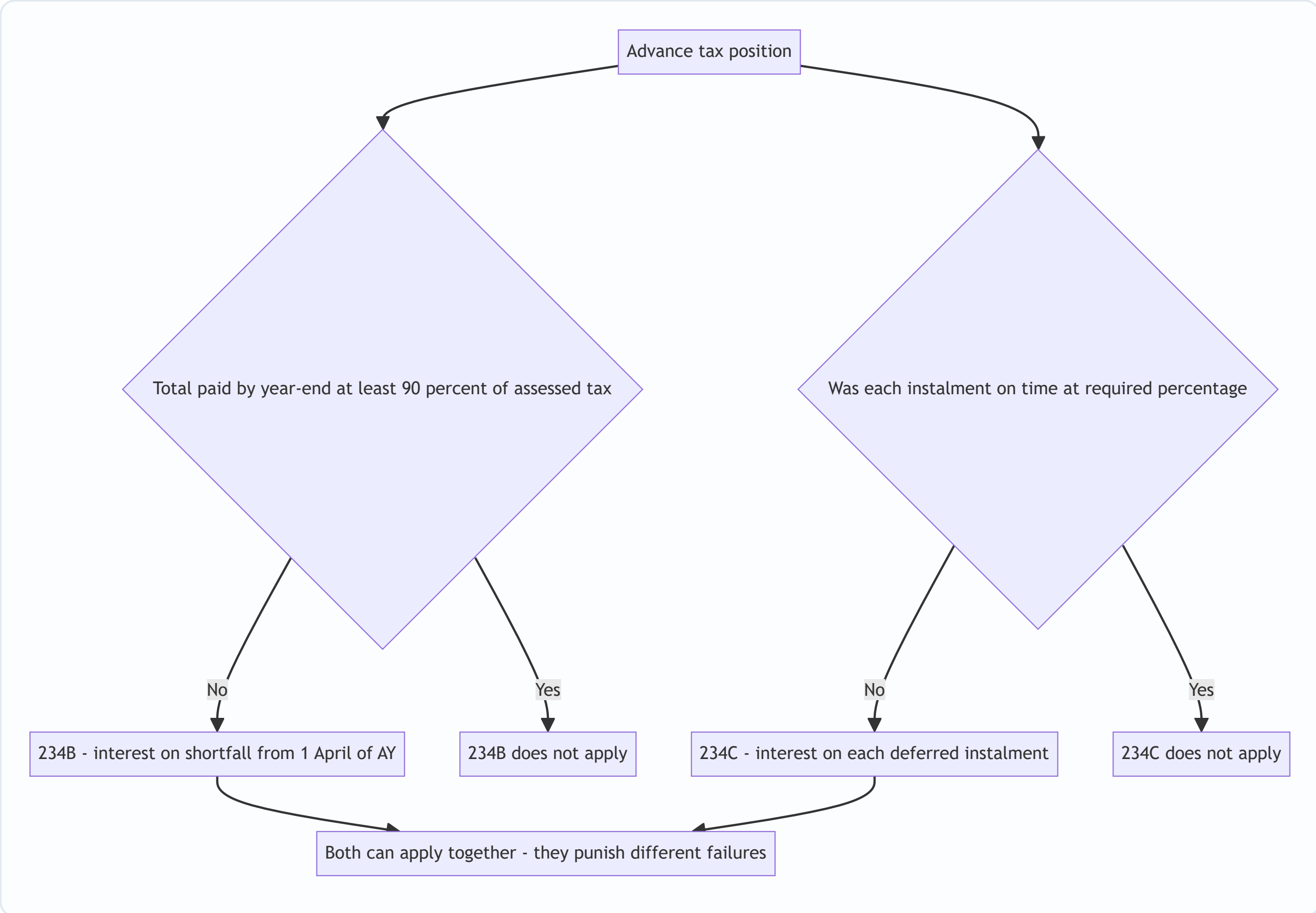


Figure 10.4 — How 234B and 234C divide the labour: one polices the year-end total, the other polices the timing within the year.



4B. TDS — Tax Deducted at Source (Sections 192–196)

The general mechanics (why the timing rule is "payment OR credit, whichever is earlier"): Most non-salary TDS sections say deduct at the time of **credit to the account of the payee OR payment, whichever is earlier**. Reason: to stop a payer from parking a liability in the books (crediting the payee) while indefinitely delaying the actual cash payment — and thereby delaying TDS. The law grabs tax at the *earlier* event. The Act also plugs the obvious dodge: crediting a **"suspense account"** or any other name still counts as credit to the payee.

Salary (Sec 192) is the great exception to the timing rule: it is deducted only at the **time of actual payment**, never on mere credit, and always at the **average rate** on the estimated annual salary. This is because salary tax needs the full-year slab picture, which only crystallises as payments are made.

Key sections you must know (rates for AY 2025-26 — verify against current ICAI):

Section	Nature of payment	Threshold (no TDS below)	Rate	The WHY of the rate
192	**Salary**	Basic exemption / where tax payable	**Average rate** (actual slab)	Employer knows full salary → can compute exact tax
192A	Premature PF withdrawal	₹50,000	10%	Discourages early withdrawal; flat estimate
194A	Interest (other than securities) — banks, etc.	₹40,000 (₹50,000 for seniors); ₹5,000 others	10%	Interest is pure income
194	Dividend	₹5,000	10%	Dividend is pure income (taxable in shareholder's hands)
194C	Payment to contractor/sub-contractor	₹30,000 single / ₹1,00,000 aggregate p.a.	**1%** (individual/HUF payee), **2%** (others)	Mostly turnover, thin margin → low rate
194H	Commission or brokerage	₹15,000	2% (5% up to 30-Sep-2024, **2% from 01-Oct-2024** — for a dated FY 2024-25 problem use 5% on pre-October payments; *verify current AY figure in ICAI material*)	Commission is income but modest margins
194I	Rent	₹2,40,000 p.a.	2% (plant & machinery), 10% (land/building/furniture)	Rent is income; P&M lower as it carries depreciation
194J	Professional / technical fees, royalty	₹30,000	10% (2% for technical services / call-centres)	Professional fee ≈ pure income → higher rate
194IA	Transfer of immovable property (not agri land)	₹50,00,000	1%	High-value asset; catch capital gains
194IB	Rent by individual/HUF (not liable to audit)	₹50,000 **per month**	2% (5% up to 30-Sep-2024, **2% from 01-Oct-2024** — for a dated FY 2024-25 problem use 5% on pre-October payments; *verify current AY figure in ICAI material*)	Brings big personal rents into the net
194Q	Purchase of goods (buyer with turnover > ₹10 cr)	₹50,00,000	0.1%	Mirror of 206C(1H); trade paper trail

Section	Nature of payment	Threshold (no TDS below)	Rate	The WHY of the rate
194O	E-commerce operator to participant	₹5,00,000 (individual/HUF)	0.1% (reduced from 1% w.e.f. 01-10-2024 — *verify current AY figure in ICAI material*)	Captures the gig / online economy
194B / 194BB	Winnings — lottery, crossword, horse races	₹10,000 (aggregate for 194B)	**30%**	Taxed at max flat rate anyway; windfall
195	Payment to non-resident	No threshold	Rates in force / DTAA	Non-resident may vanish; catch tax before it leaves India

More sections that reward exam attention (verify current figures):

Section	Nature	Threshold	Rate	Note
193	Interest on securities	Varies (e.g. ₹5,000 on certain debentures)	10%	The "securities" sibling of 194A
194D	Insurance commission	₹15,000	5% (2% if payee is other than an individual — verify)	Distinguish from 194H
194DA	Payment under a life-insurance policy (taxable portion)	₹1,00,000	5% on income component (2% recently — verify)	TDS only on the *income* part, not principal
194G	Commission on lottery tickets	₹15,000	2% (verify)	Distinct from 194B on winnings
194N	Cash withdrawal from bank	> ₹1 crore (₹20 lakh if non-filer)	2% (5% above ₹1 cr for non-filers)	The odd one — TDS on *your own money* to discourage cash
194IC	Payment under a joint-development agreement	No threshold	10%	Real-estate JDAs
194M	Contract/commission/professional by individual/HUF not covered by 194C/H/J	₹50,00,000	5%	Catches large personal payments; PAN-based, no TAN
194R	Benefit or perquisite in business/profession	₹20,000	10%	On non-cash perks; deductor must ensure tax on benefits-in-kind
194S	Transfer of virtual digital asset (crypto)	₹50,000 / ₹10,000 (specified persons)	1%	The newest source; catches crypto trails

Sec 192 in depth (salary). The employer must estimate the employee's total salary income for the year, allow eligible deductions (if the employee opts for the old regime and submits proofs), compute tax on the estimate, and deduct **1/12th each month** (the "average rate"). This is the *only* TDS section that uses the actual slab rate rather than a flat rate — because the employer has full information. The employee can report **other income and TDS on it** to the employer under Sec 192(2B) so that one consolidated deduction happens (but a *loss* reported can only be **loss from house property**, not other losses, and it cannot reduce salary TDS below the tax on salary less that one loss). If the employee has **two employers** in a year, he may furnish details of the former salary to the current employer (Form 12B) so the second employer deducts on the aggregate — otherwise each deducts on its own slice and the employee under-pays.

Sec 197 — Lower / Nil deduction certificate. If TDS at the normal rate would exceed the recipient's actual liability (e.g., a loss-making company still gets TDS on its interest), it can apply to the AO in **Form 13** for a certificate to deduct at a lower or nil rate. This fixes the over-deduction problem at source rather than through a slow refund.

Sec 197A — Self-declaration (Form 15G / 15H). A resident individual whose total income is below the taxable limit can file a **self-declaration** — **Form 15H** (senior citizen, 60+) or **Form 15G** (others) — so the bank does **not** deduct TDS on interest (194A) etc. Why two forms? Seniors get an easier eligibility test. This is the small-depositor's alternative to Sec 197 for common cases and a frequent MCQ.

Sec 206AA — No PAN, higher TDS. If the deductee does not furnish PAN, TDS is deducted at the **higher of** the normal rate **or 20%** (and for 194-O/194-Q, a specified higher cap — verify). Why? PAN is the thread that links the TDS to a person. No PAN = the department can't trace the credit = it penalises with a punitive rate to force PAN disclosure. **Note:** where Sec 206AA (20%) and the DTAA rate conflict for a non-resident, relief may still be available if the non-resident furnishes prescribed details — verify current position.

Sec 206AB — Higher TDS on non-filers. To punish people who *have* TDS deducted but never file returns, TDS is charged at the **higher of twice the normal rate / 5%** for a "specified person" (broadly, one who has not filed the return for the relevant preceding year and whose aggregate TDS/TCS was ₹50,000+). Where **both 206AA and 206AB** apply (no PAN *and* non-filer), the **higher** of the two results is taken. Scope has been narrowed over time — verify current applicability.

Due dates for depositing TDS. - Tax deducted in **any month (April–February): by the 7th of the next month.** - Tax deducted in **March: by 30th April.** (Extra time given because the year just closed and books are being finalised.) - **194IA / 194IB / 194M / 194S** (individual buyer/tenant/payer): deposit via **challan-cum-statement within 30 days from the end of the month** of deduction — a different, longer window, and no separate return is filed.

TDS certificates (the deductee's proof). - **Form 16** — annual salary certificate (Part A: TDS deposited; Part B: salary computation), issued by **15 June** after the FY. - **Form 16A** — quarterly certificate for non-salary TDS, issued within **15 days** of the due date of the quarterly return. - **Form 16B / 16C / 16D / 16E** — for 194IA / 194IB / 194M / 194S respectively.

Quarterly TDS returns (statements): Form **24Q** (salary), **26Q** (other resident payments), **27Q** (non-residents) — filed quarterly, due generally by the end of the month following the quarter (**Q1 31 Jul, Q2 31 Oct, Q3 31 Jan, Q4 31 May**).

Consequences of TDS default (the enforcement logic — layers of pain):

1. **Interest u/s 201(1A):** - Failure to **deduct**: **1% p.m.** from the date tax was deductible to the date it is actually deducted. - Failure to **deposit** (after deducting): **1.5% p.m.** from the date of deduction to the date of deposit. *Why higher (1.5%)?* Because failing to deposit after deducting means you *held the government's money* — that is far worse than merely failing to deduct, so it is punished harder.
2. **Disallowance u/s 40(a)(ia):** if TDS is not deducted/deposited, **30% of the expenditure is disallowed** while computing the payer's business income (100% for payments to non-residents u/s 40(a)(i)). This is the sharpest teeth — it hits the payer's *own* taxable profit, aligning his incentive with compliance. The disallowance is reversed (allowed) in the year the TDS is finally paid.
3. **Fee u/s 234E and penalty u/s 271H** for late/non-filing of TDS returns: **₹200 per day** (234E, capped at the TDS amount) plus penalty ₹10,000–₹1,00,000 (271H, no penalty if tax + interest + fee paid and return filed within one year).
4. **Penalty u/s 271C** — a separate penalty **equal to the tax not deducted** (distinct from the *interest*), for failure to deduct.

The relief valve — Sec 201(1) proviso / Sec 40(a)(ia) proviso: a payer who fails to deduct is **NOT treated as an assessee-in-default** (and the 30% disallowance is avoided) if the **resident payee has (a) furnished his return, (b) included that income, and (c) paid the tax**, and the payer obtains a **CA certificate in Form 26A**. The logic: if the tax reached the treasury through the recipient anyway, punishing the payer for the *tax* (as opposed to interest for the delay) would be double recovery. **But interest u/s 201(1A) up to the recipient's filing date still runs** — the time-value loss is real even if the tax was ultimately paid.

Additionally, **Sec 201** treats a defaulting deductor as an **"assessee in default"**, and failure to deposit tax deducted can attract **prosecution u/s 276B** (rigorous imprisonment 3 months–7 years). The escalation from interest → disallowance → penalty → prosecution is deliberate: the State makes non-compliance progressively unbearable.

4C. TCS — Tax Collected at Source (Section 206C)

The seller of certain goods/rights collects an *additional* amount from the buyer at the time of **debit of the amount to the buyer's account or receipt, whichever is earlier** and deposits it. Key items and rates (verify current):

Item (Sec 206C)	Rate
Alcoholic liquor for human consumption	1%
Timber / other forest produce	2.5%
Scrap	1%
Tendu leaves	5%
Minerals (coal, lignite, iron ore)	1%
Parking lot / toll plaza / mine or quarry lease	2%
Motor vehicle above ₹10,00,000	1%
206C(1H) — Sale of goods, seller turnover > ₹10 cr, buyer receipts > ₹50 lakh	0.1%
206C(1G) — Remittance under LRS / overseas tour package (above ₹7 lakh)	5% (20% for tour packages / higher LRS as amended)

The logic of the item list: notice these are historically **cash-heavy, under-reported, or high-value discretionary** categories — liquor, scrap, forest produce, luxury cars, foreign travel. TCS drags them into a documented trail. TCS collected is credited to the buyer and adjusted against his final tax, exactly like TDS.

The 194Q vs 206C(1H) overlap (a classic exam trap). A single sale of goods can attract *both* — TDS by the buyer (194Q) and TCS by the seller (206C(1H)). The law resolves it: **if the buyer is liable to deduct under 194Q and does so, the seller need NOT collect under 206C(1H).** In effect **194Q gets priority**; TCS(1H) is the fallback when the buyer is not obliged (e.g. buyer turnover ≤ ₹10 cr). Memorise: *buyer's TDS trumps seller's TCS.*

No TCS where the buyer's item is subject to TDS. 206C(1H) explicitly excludes goods on which TDS is deductible under any other provision and goods covered by 206C(1)/(1F)/(1G) — preventing double collection on the same transaction.

Due date to deposit TCS: within **7 days** from the end of the month of collection. **Quarterly return:** Form **27EQ**; certificate to buyer in **Form 27D**. Interest for late collection/deposit is **1% p.m.** under **Sec 206C(7)**, and non-collection can bring disallowance-style consequences and penalty u/s 271CA.

5. Worked Examples

Example 1 — Advance tax: basic instalment schedule (easy)

Facts: Mr. Arjun (age 40, salaried + FD interest) estimates total tax liability for AY 2025-26 at **₹1,00,000**. TDS already deducted by his bank/employer during the year = **₹40,000**. Compute advance tax and instalments.

Step 1 — Is advance tax payable? Net liability after TDS = 1,00,000 − 40,000 = **₹60,000 ≥ ₹10,000** → Yes, advance tax applies (Sec 208).

Step 2 — Advance tax base (Sec 209). Advance tax payable = ₹60,000 (tax minus TDS deductible on his income).

Step 3 — Instalments (Sec 211):

Due date	Cumulative %	Cumulative amount	Paid this instalment
15 Jun	15%	9,000	9,000
15 Sep	45%	27,000	18,000
15 Dec	75%	45,000	18,000
15 Mar	100%	60,000	15,000

Reconciliation: 9,000 + 18,000 + 18,000 + 15,000 = **₹60,000** ✓ Matches net liability.

Example 2 — 234C interest for deferment (medium)

Facts: Ms. Beena's assessed tax (net of TDS) for AY 2025-26 is **₹2,00,000**. She actually paid advance tax as: 15 Jun — ₹20,000; 15 Sep — ₹60,000; 15 Dec — ₹1,30,000; 15 Mar — ₹2,00,000 (cumulative). No capital gains/casual income. Compute 234C interest.

We test each instalment against the required cumulative amount. (For June/Sept, the 234C "safe harbour" is **12%** and **36%**; if she paid at least that, no interest for that instalment even if below 15%/45%.)

Instalment	Required cumulative	Safe-harbour cumulative	Actually paid (cum.)	Shortfall?	Interest
15 Jun	15% = 30,000	12% = 24,000	20,000	Yes (< 24,000)	1% × 3 months × shortfall
15 Sep	45% = 90,000	36% = 72,000	60,000	Yes (< 72,000)	1% × 3 months × shortfall
15 Dec	75% = 1,50,000	(75% strict)	1,30,000	Yes	1% × 3 months × shortfall
15 Mar	100% = 2,00,000	—	2,00,000	No	Nil

Shortfall computation (234C uses the *required %* as the base once the safe-harbour is failed):

- **June:** required 15% = 30,000; paid 20,000; shortfall = 10,000. Interest = 10,000 × 1% × 3 = **₹300**
- **Sept:** required 45% = 90,000; paid 60,000; shortfall = 30,000. Interest = 30,000 × 1% × 3 = **₹900**
- **Dec:** required 75% = 1,50,000; paid 1,30,000; shortfall = 20,000. Interest = 20,000 × 1% × 3 = **₹600**
- **March:** no shortfall → **Nil**

Total 234C interest = 300 + 900 + 600 = ₹1,800.

Note: Because she paid the full ₹2,00,000 by 15 March, **234B does not apply** (she paid ≥ 90% of assessed tax by year-end). 234C punished only the *timing*.

Example 3 — TDS across multiple sections + 201(1A) interest (exam-hard)

Facts: Zenith Pvt. Ltd. made the following payments during FY 2024-25 (AY 2025-26). Determine TDS in each case, then compute interest where a default occurred.

1. Rent for office building: **₹3,60,000** for the year (paid monthly ₹30,000).
2. Fees to a consultant CA (professional): **₹80,000**.
3. Payment to a contractor (a firm) for civil work: single bill **₹1,50,000**.
4. Commission to an agent: **₹40,000**.
5. Interest on a loan from a resident (non-bank): **₹1,00,000**.

Step 1 — Test each against threshold and apply rate:

Payment	Section	Threshold	Crossed?	Rate	TDS
Rent (building) 3,60,000	194I	2,40,000	Yes	10%	**36,000**
Professional fee 80,000	194J	30,000	Yes	10%	**8,000**
Contractor (firm) 1,50,000	194C	30,000 single	Yes	2% (payee is firm)	**3,000**
Commission 40,000	194H	15,000	Yes	2%	**800**
Interest 1,00,000	194A	5,000 (non-bank)	Yes	10%	**10,000**

Total TDS to be deducted = 36,000 + 8,000 + 3,000 + 800 + 10,000 = ₹57,800.

Step 2 — Default scenario. Suppose Zenith deducted the ₹8,000 (professional fee) on **10 January 2025** but deposited it only on **15 May 2025** (due date was 7 February 2025). Compute 201(1A) interest.

- It *deducted* on time, so the 1% "failure-to-deduct" interest doesn't apply.
- It *failed to deposit* → **1.5% per month** from date of deduction (10 Jan) to date of deposit (15 May).
- Months (part of a month counts as a full month): Jan, Feb, Mar, Apr, May = **5 months**.
- Interest = 8,000 × 1.5% × 5 = **₹600.**

Step 3 — Consequence beyond interest. If Zenith had *not deducted at all* on the ₹80,000 professional fee, then u/s 40(a)(ia), **30% of ₹80,000 = ₹24,000 would be disallowed** as a deduction while computing Zenith's business income — inflating its taxable profit — until the TDS is eventually paid. This shows why deductors comply: the disallowance often hurts far more than the TDS itself.

Example 4 — Advance tax with a senior citizen twist + 234B (reconciling)

Facts: Mr. Rao, **age 67, resident**, has pension income and bank interest only (**no business income**). Estimated tax for AY 2025-26 = ₹35,000, of which TDS on interest = ₹15,000. Is advance tax payable?

Answer: Although net liability (35,000 − 15,000 = 20,000) exceeds ₹10,000, Mr. Rao is a **resident senior citizen (60+) with NO PGBP income → exempt from advance tax u/s 207(2)**. He simply pays ₹20,000 as **self-assessment tax** at return filing, and **no 234B/234C interest** applies to him for non-payment of advance tax.

Contrast: If Mr. Rao *also* ran a small business, the exemption vanishes — he would owe advance tax and face 234B/234C on default. This single condition ("no business income") is a favourite examiner trap.

Example 5 — 234C with unforeseen capital gains (exam-hard, the carve-out in action)

Facts: Mr. Karan estimates regular tax of ₹1,80,000 for AY 2025-26 and pays advance tax exactly on schedule against that estimate. On **20 December 2024** he unexpectedly sells listed shares, generating capital-gains tax of **₹60,000**. He pays this ₹60,000 along with the **15 March** instalment. His total advance tax paid = 1,80,000 + 60,000 = ₹2,40,000; assessed tax = ₹2,40,000. Is any 234C interest payable on the capital-gains portion?

Reasoning: Sec 234C contains a carve-out: where the shortfall is attributable to **capital gains** (or casual income, etc.) that **could not have been estimated earlier**, no 234C interest is charged **provided** the assessee pays the tax on that income in the **remaining instalments falling due after the income arose** (or by 31 March if it arose after the last instalment).

- The capital gain arose on 20 Dec 2024 — *after* the 15 Dec instalment. The next instalments are **15 March** only.
- Karan paid the ₹60,000 tax on the gain with the **15 March instalment** → condition satisfied.

Conclusion: No 234C interest on the ₹60,000 capital-gains tax. He is only tested on the regular ₹1,80,000, which he paid on time → **234C = Nil.**

Examiner tweak: if the gain had arisen on **1 September** (before the 15 Sep instalment) and he still waited till March to pay, the carve-out protects only up to the instalment *after* the income arose. He would have had to include it from the **15 September** instalment onward; paying only in March would attract 234C for Sept and Dec deferment on that slice. *The carve-out excuses ignorance of income that had not yet arisen — never deferment after it has arisen.*

Example 6 — 206AA no-PAN and the 194Q vs 206C(1H) overlap (exam-hard)

Facts (Part A): Orbit Ltd. pays professional fees of ₹2,00,000 to Dr. Sen, who **does not furnish PAN**. Compute TDS.

- Normal 194J rate = 10% → ₹20,000.
- Sec 206AA: no PAN → **higher of normal rate or 20%** → 20%.
- TDS = 2,00,000 × 20% = **₹40,000.** (Not ₹20,000 — the punitive rate overrides.)

Facts (Part B): Alpha Ltd. (turnover ₹80 cr in the preceding year) buys goods worth ₹90,00,000 from Beta Ltd. (turnover ₹15 cr). Both the 194Q (buyer TDS) and 206C(1H) (seller TCS) tests are met. Who acts, and how much?

- Both provisions are triggered, but the tie-break rule gives **194Q priority**: if the buyer (Alpha) is liable to deduct and does so, the seller (Beta) need **not** collect under 206C(1H).
- Buyer's TDS u/s 194Q = 0.1% on value exceeding ₹50 lakh = (90,00,000 − 50,00,000) × 0.1% = 40,00,000 × 0.1% = **₹4,000.**
- Beta collects **nil** TCS on this transaction.

Examiner tweak: if the **buyer's turnover had been ₹8 cr** (below the ₹10 cr 194Q threshold), the buyer is *not* liable to deduct → the fallback kicks in and **Beta must collect TCS u/s 206C(1H)** at 0.1% on (90,00,000 − 50,00,000) = **₹4,000**. Same money, opposite party. Always test the buyer's 194Q liability *first*.

Example 7 — Combined 234B + 234C (reconciling, the two-interest scenario)

Facts: Mr. Verma's assessed tax (net of TDS) for AY 2025-26 = **₹4,00,000**. He paid **no advance tax at all** during the year and paid the entire amount as self-assessment tax on **15 July 2025** (return filed same day). No unforeseen income. Compute 234B and 234C.

234C (deferment of each instalment): Required cumulative amounts were 15%/45%/75%/100% = 60,000 / 1,80,000 / 3,00,000 / 4,00,000; he paid nothing on each date.

Instalment	Shortfall	Months	234C
15 Jun	60,000	3	1,800
15 Sep	1,80,000	3	5,400
15 Dec	3,00,000	3	9,000
15 Mar	4,00,000	1	4,000

234C total = 1,800 + 5,400 + 9,000 + 4,000 = ₹20,200.

234B (shortfall at year-end): He paid **< 90%** of ₹4,00,000 (he paid 0%) → 234B applies on the full ₹4,00,000. - Period: **1 April 2025 → 15 July 2025** = April, May, June, July = **4 months** (part month = full). - 234B = 4,00,000 × 1% × 4 = **₹16,000.**

Total interest = 234C ₹20,200 + 234B ₹16,000 = ₹36,200.

Key learning (why both apply): 234C punished the *four missed instalment dates within the year*; 234B punished *carrying the whole unpaid amount past 31 March into the next year*. They cover different time windows and are **not** mutually exclusive — a nil-advance-tax defaulter pays both. Note 234B stops on 15 July because that is when he cleared the dues.

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6. Computation Format

Advance tax computation (Sec 209) — standard format:

```
Estimated income under each head           XXX
Gross Total Income                         XXX
Less: Chapter VI-A deductions             (XXX)
Total Income                               XXX
────────────────────────────────────────────────
Tax on total income at applicable rates    XXX
Add: Surcharge (if applicable)              XXX
Add: Health & Education Cess @ 4%           XXX
Less: Rebate u/s 87A                       (XXX)
────────────────────────────────────────────────
Tax liability                              XXX
Less: TDS / TCS deductible on income      (XXX)
Less: Relief u/s 89 / 90 / 91             (XXX)
Less: AMT / MAT credit u/s 115JD / 115JAA  (XXX)
────────────────────────────────────────────────
ADVANCE TAX PAYABLE                        XXX
   → split 15% / 45% / 75% / 100%
```

234C interest per instalment:

```
Interest = Shortfall in instalment × 1% × (3 months for Jun/Sep/Dec, 1 month for Mar)
Shortfall = Required cumulative advance tax − Advance tax actually paid up to that date
(Safe harbour: 12% by Jun, 36% by Sep escapes 234C; once failed, base = full required %)
Carve-out: no 234C on unforeseen capital gains / casual / dividend income if paid in the
           instalment(s) after it arose (or by 31 March)
```

234B interest:

```
Interest = (Assessed tax − Advance tax paid) × 1% × months from 1 April of AY to date of payme
Applies only if advance tax paid < 90% of assessed tax
Assessed tax = tax on total income − TDS/TCS − relief 89/90/91 − MAT/AMT credit
Round shortfall down to nearest ₹100
```

201(1A) interest (deductor default):

```
Not deducted:  Amount × 1%   × months (deductible date → actual deduction)
Not deposited: Amount × 1.5% × months (deduction date → deposit date)
Part of a month = full month
```

Priority / tie-break quick rules:

```
194Q vs 206C(1H)  → buyer's TDS (194Q) prevails; seller collects TCS only if buyer not liable
206AA vs 206AB    → if both apply, take the HIGHER resulting rate
Salary (192)      → deduct on PAYMENT only, at AVERAGE (slab) rate
Others            → deduct on CREDIT or PAYMENT, whichever earlier, at flat rate
```

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7. Connections

- **To "Computation of Total Income & Tax Liability":** Advance tax/TDS/TCS are *not* new taxes — they are prepayments of the *same* liability computed in earlier chapters. The final tax (Chapter on tax computation) minus these prepayments = balance payable or refund.
- **To PGBP:** Sec 40(a)(ia) disallowance links TDS default directly into business-income computation. A PGBP question can hide a TDS trap. Sec 44AD/44ADA presumptive schemes also change the advance-tax instalment rule.
- **To "Return Filing & Self-Assessment" (Sec 140A):** self-assessment tax is what remains after advance tax + TDS + TCS. Form 26AS / AIS is the reconciliation ledger.
- **To Interest sections 234A/234B/234C:** 234A (late return filing, 1% p.m. on tax net of prepaid taxes) sits alongside 234B/234C; all are 1% p.m. and often examined together as a combined interest computation.
- **To Assessment / Refunds:** excess TDS is refunded with interest u/s 244A — the mirror of the interest the taxpayer pays.
- **To Non-Resident taxation / DTAA:** Sec 195 and the 206AA-vs-DTAA interaction connect this chapter to residential status and treaty relief.
- **To Capital Gains:** the 234C carve-out for unforeseen capital gains links the two chapters in numerical problems; 194IA TDS attaches to property-sale gains.

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8. Traps & Examiner Tricks

1. **Senior-citizen advance-tax exemption needs BOTH conditions:** resident **and** no business income. Examiners give a senior with a small business and expect you to *not* exempt him. A non-resident senior is never exempt.
2. **234C safe harbour (12%/36%) vs required (15%/45%):** the tolerance applies only to the *first two* instalments and only decides *whether* interest triggers — once triggered, the shortfall is measured against the **full required %**, not the safe-harbour %.
3. **234B base is 90%:** paying 89% triggers 234B on the *entire* shortfall from assessed tax; paying 90%+ escapes it entirely. A one-percent miss is expensive.
4. **194C two rates:** 1% if payee is **individual/HUF**, 2% otherwise. Also two thresholds: ₹30,000 single bill *or* ₹1,00,000 aggregate in the year.
5. **194I two rates:** 2% for plant & machinery, 10% for land/building/furniture. Candidates apply a single rate and lose marks.
6. **"Credit or payment, whichever is earlier":** TDS liability can arise on *crediting* the payee even before cash is paid. Don't wait for payment. Salary (192) is the exception — payment only.

7. **Deduct vs deposit interest (201(1A)):** 1% for not deducting, **1.5%** for deducting-but-not-depositing. Mixing them up is common.
8. **No PAN → 20% (Sec 206AA):** if a question says the payee didn't give PAN, ignore the normal rate and apply the higher of normal or 20%.
9. **Presumptive taxpayers pay 100% by 15 March** — do NOT split them into four instalments; but only their 44AD/44ADA income gets this — other heads follow the normal schedule.
10. **TCS is ADDED to the buyer's price; TDS is DEDUCTED from the recipient's payment.** Direction matters in computation.
11. **March TDS deposit deadline is 30 April** (not 7 April) — a deliberate exception. But 194IA/IB/M/S use a 30-day challan-cum-statement window instead.
12. **Threshold is on the payment stream, not per bill for aggregate limits** — e.g., 194C's ₹1,00,000 aggregate catches many small bills that individually escape ₹30,000.
13. **194Q vs 206C(1H):** buyer's TDS prevails; the seller collects TCS only if the buyer is not liable. Test the buyer *first*.
14. **234C carve-out:** unforeseen capital gains / casual income / dividend escape 234C only if the tax is paid in the instalment(s) *after* the income arose — not if deferred beyond that.
15. **Any advance tax paid up to 31 March** still counts as advance tax (reduces 234B), even though it is late for the 15 March instalment (234C).
16. **Form 15G vs 15H:** 15H is for senior citizens (60+); 15G for others. Swapping them is a common MCQ error.
17. **"Assessed tax" for 234B is NET of TDS** — so TDS the taxpayer received cannot itself create a 234B liability; only the un-prepaid portion does.

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9. First-Principles Recap

Start from the State's need: **steady, reliable, evasion-proof revenue.** From that single need, everything is derivable:

- Waiting until year-end fails → **collect during the year** → *advance tax*, in instalments front-weighted to reality (15-45-75-100).
- Relying on the taxpayer alone fails → **collect from the payer** → *TDS*, at the earlier of credit/payment, at rates approximating each income stream's tax, above thresholds that justify the friction.
- Some big-money flows are *outgoing* (spending), not incoming → **collect from the seller** → *TCS*, on discretionary/under-reported categories.
- Because early income is genuinely unknowable → **tolerances** (90% for 234B, 12%/36% safe harbour for 234C, unforeseen-income carve-outs) so the law penalises *dishonesty and delay*, not *honest uncertainty*.
- To make all three self-enforcing → **interest (234B/C, 201(1A)) + disallowance (40(a)(ia)) + penalty (271C/271H) + prosecution (276B)**, escalating in severity, plus **PAN/TAN linkage (206AA, 203A)** and **non-filer penalties (206AB)** so every rupee is traceable and lands in **Form 26AS/AIS**.
- Because over-collection at a crude gross rate is unfair → **relief valves** (Sec 197 lower-deduction certificate, 197A self-declaration, 201 proviso + Form 26A) that let the honest reclaim or pre-empt the excess.

If you can regenerate the schedule, the rates' logic, the tolerances, and the penalty ladder from "the State needs steady, traceable cash without punishing honest uncertainty," you never have to memorise them.

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10. Quick-Revision Sheet

Advance Tax - Payable if estimated tax **≥ ₹10,000** (Sec 208). - Exempt: **resident senior (60+) with NO business income** (Sec 207(2)). - Instalments (Sec 211): **15% / 45% / 75% / 100%** by **15 Jun / Sep / Dec / Mar**. - Presumptive (44AD/44ADA): **100% by 15 March.** - Any payment up to **31 March** still counts as advance tax (for 234B). - **234B:** paid < 90% of assessed tax → 1% p.m. on shortfall from 1 April of AY to payment. Assessed tax = tax − TDS − relief 89/90/91 − MAT/AMT credit. - **234C:** short instalment → 1% p.m. × 3 (first three) / × 1 (last); safe harbour 12%/36% for Jun/Sep; carve-out for unforeseen CG/casual/dividend income. - Both 234B and 234C can apply together.

TDS — key sections - 192 salary (average slab rate, on payment only); 194A interest (10%, threshold 40k/50k/5k); 194C contractor (1%/2%, 30k/1L); 194H commission (2%, 15k); 194I rent (2% P&M, 10% others, 2.4L); 194J professional (10%, 30k); 194IA property (1%, 50L); 194IB personal rent (2%, 50k/month); 194Q goods (0.1%, 50L, buyer > 10cr); 195 non-resident (rates in force, no threshold). - Also: 193 securities, 194D insurance commission, 194N cash withdrawal, 194R benefits/perquisites, 194S crypto (1%). - Timing: **credit or payment, whichever earlier** (salary = payment only). - No PAN → **higher of normal or 20%** (206AA); non-filer → **2× / 5%** (206AB); both → higher. - Deposit: **7th of next month**; **March by 30 April**; 194IA/IB/M/S = 30-day challan-cum-statement. - Returns: 24Q/26Q/27Q quarterly (Q4 by 31 May); certificates Form 16 / 16A / 16B-E. - Relief valves: 197 (lower/nil certificate, Form 13); 197A (Form 15G/15H); 201 proviso + Form 26A (payee paid the tax).

TDS default - 201(1A): **1%** (not deducted) / **1.5%** (not deposited) p.m. - 40(a)(ia): **30% expense disallowed** (100% for non-resident u/s 40(a)(i)); reversed when TDS paid. - 234E: ₹200/day (capped at TDS); 271H penalty ₹10k–₹1L; 271C penalty = tax not deducted; 276B prosecution.

TCS (206C) - Liquor 1%, scrap 1%, timber 2.5%, tendu 5%, minerals 1%, parking/toll/quarry 2%, motor vehicle > ₹10L 1%. - 206C(1H) sale of goods 0.1% (turnover > 10cr, buyer > 50L); 206C(1G) LRS/tour 5%/20%. - **194Q beats 206C(1H)** — buyer's TDS prevails; seller collects TCS only if buyer not liable. - **Added** to buyer's price; deposit within **7 days** of month-end; return Form 27EQ, certificate 27D; interest 1% p.m. u/s 206C(7).

> *Final reminder: thresholds and 194-series rates change frequently. Before the exam, cross-check every figure here against the ICAI Study Material and the Finance Act applicable to your Assessment Year.*

Q&A — Advance Tax, TDS & TCS

AY flag: All rates, monetary thresholds and instalment percentages below reflect the position generally examined for **AY 2025-26** under the **Income-tax Act, 1961**. The 194-series thresholds and several TDS/TCS rates are amended by almost every Finance Act (e.g., 194H/194-IB rate cuts, revised 194-I(b)/rent limits, LRS/206C(1G) changes). **Re-verify every figure against the current ICAI Study Material / RTP and the Finance Act applicable to your attempt.** All section references are to the Income-tax Act, 1961.

Section A — Concept Check (short Q&A with section citation)

A1. Why does the law collect tax during the year instead of waiting for the return? To give the State a **steady, reliable, hard-to-evade** revenue stream and to cure the cash-flow mismatch of one lump sum in arrears. This "pay-as-you-earn / pay-where-you-earn" philosophy is implemented through **Advance Tax (Sec 207–211)**, **TDS (Sec 192–196)** and **TCS (Sec 206C)**.

A2. When is advance tax payable, and what is the threshold? Advance tax is payable on the **current income** estimated by the assessee [Sec 207] **only if the estimated tax liability for the year is ₹10,000 or more** [Sec 208]. Below ₹10,000 the four-instalment machinery is disproportionate.

A3. Which assessee is fully exempt from advance tax, and on what two conditions? A **resident individual aged 60 or more (senior citizen)** who has **no income under the head PGBP** [Sec 207(2)]. Both conditions — *resident* **and** *no business/professional income* — must hold; a senior with business income is not exempt.

A4. State the instalment schedule under Sec 211 for a normal assessee. Cumulative **15% / 45% / 75% / 100%** by **15 June / 15 September / 15 December / 15 March** respectively. A **presumptive** assessee (Sec 44AD / 44ADA) pays **100% in one instalment by 15 March**.

A5. Distinguish Sec 234B from Sec 234C. - **234B** — default in *payment* of advance tax: triggered when advance tax paid is **< 90% of assessed tax**; interest **1% p.m.** on the shortfall from **1 April of the AY** to date of determination/payment. - **234C** — default in *deferment* (wrong timing of instalments): interest **1% p.m.** on each short instalment, for **3 months** (first three instalments) or **1 month** (last), with a safe-harbour of **12%/36%** for the June/September instalments.

A6. What is the general timing rule for deducting TDS on non-salary payments? Deduct at the time of **credit to the payee's account OR actual payment, whichever is earlier** — to stop a payer parking a liability by crediting the payee while delaying cash.

A7. Why does Sec 192 (salary) use the "average rate" rather than a flat rate? Because the **employer has full information** about the employee's salary and eligible deductions, so it can compute the *exact* slab-based tax and deduct **1/12th each month**. Salary is the only TDS stream deducted at actual slab rate.

A8. What is the consequence of the deductee not furnishing PAN? Under **Sec 206AA**, TDS is deducted at the **higher of the normal rate or 20%**. PAN links the credit to a person; no PAN invites a punitive rate to force disclosure.

A9. Contrast the interest for "failure to deduct" versus "failure to deposit" under Sec 201(1A). Failure to **deduct**: **1% p.m.** (from date deductible to date deducted). Failure to **deposit** after deducting: **1.5% p.m.** (from date of deduction to date of deposit) — higher, because the deductor is holding the government's money.

A10. What non-interest consequence hits a payer who fails to deduct/deposit TDS on business expenditure? Under **Sec 40(a)(ia)**, **30% of the expenditure is disallowed** while computing business income (100% for payments to non-residents u/s 40(a)(i)), reversed in the year the TDS is finally paid.

A11. What is TCS and how does it differ in direction from TDS? Under **Sec 206C** the **seller collects** an extra amount **from the buyer** on specified goods/rights (liquor, scrap, timber, minerals, motor vehicle > ₹10L, etc.) and deposits it. TCS is **added to** the buyer's price; TDS is **deducted from** the recipient's payment.

A12. What are the TDS/TCS deposit deadlines? TDS deducted in **April–February: by the 7th of the next month**; deducted in **March: by 30 April**. TCS: within **7 days from the end of the month** of collection.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Advance tax instalment schedule [Sec 208, 209, 211]

Mr. Arjun (age 40, salaried + FD interest) estimates total tax liability for AY 2025-26 at **₹1,00,000**; TDS deducted by bank/employer = **₹40,000**. Compute advance tax and its instalments.

Answer. - Net liability after TDS = 1,00,000 − 40,000 = **₹60,000 ≥ ₹10,000** → advance tax payable [Sec 208]. - Advance tax base [Sec 209] = ₹60,000 (tax minus TDS deductible on his income).

Due date	Cumulative %	Cumulative amount	Instalment
15 Jun	15%	9,000	9,000
15 Sep	45%	27,000	18,000
15 Dec	75%	45,000	18,000
15 Mar	100%	60,000	15,000

Check: 9,000 + 18,000 + 18,000 + 15,000 = ₹60,000. ✓

B2 (Easy-Moderate) — Senior-citizen exemption [Sec 207(2)]

Mr. Rao, **age 67, resident**, has pension and bank interest only (**no business income**). Estimated tax = ₹35,000; TDS on interest = ₹15,000. Is advance tax payable?

Answer. Net liability = 35,000 − 15,000 = ₹20,000 (> ₹10,000), **but** Mr. Rao is a **resident senior citizen with no PGBP income → exempt from advance tax u/s 207(2)**. He pays ₹20,000 as **self-assessment tax u/s 140A** at filing; **no 234B/234C** applies. *Contrast:* had he any business income, the exemption would vanish and 234B/234C would apply on default. ✓

B3 (Moderate) — Interest u/s 234C for deferment

Ms. Beena's assessed tax net of TDS for AY 2025-26 is **₹2,00,000**. Advance tax actually paid (cumulative): 15 Jun ₹20,000; 15 Sep ₹60,000; 15 Dec ₹1,30,000; 15 Mar ₹2,00,000. No capital gains/casual income. Compute 234C interest.

Answer. Safe harbour is **12%** (Jun) and **36%** (Sep); once failed, shortfall is measured against the **full required %**.

Instalment	Required cum.	Safe harbour	Paid (cum.)	Fails?	Shortfall	Interest = SF × 1% × months
15 Jun	15% = 30,000	12% = 24,000	20,000	Yes	10,000	10,000 × 1% × 3 = **300**
15 Sep	45% = 90,000	36% = 72,000	60,000	Yes	30,000	30,000 × 1% × 3 = **900**
15 Dec	75% = 1,50,000	(strict)	1,30,000	Yes	20,000	20,000 × 1% × 3 = **600**
15 Mar	100% = 2,00,000	—	2,00,000	No	Nil	**Nil**

Total 234C = 300 + 900 + 600 = ₹1,800. Since full ₹2,00,000 was paid by 15 March (≥ 90% of assessed tax), **234B does not apply**. ✓

B4 (Moderate) — TDS across several sections [Sec 194A/C/H/I/J]

Zenith Pvt. Ltd. made the following payments in FY 2024-25. Compute TDS on each. 1. Rent of office building ₹3,60,000 (monthly ₹30,000). 2. Professional fee to a CA ₹80,000. 3. Single bill to a contractor (a firm) ₹1,50,000. 4. Commission to an agent ₹40,000. 5. Interest on a loan from a resident (non-bank) ₹1,00,000.

Answer.

Payment	Section	Threshold	Crossed?	Rate	TDS
Rent (building) 3,60,000	194-I	2,40,000	Yes	10%	**36,000**
Professional fee 80,000	194J	30,000	Yes	10%	**8,000**
Contractor–firm 1,50,000	194C	30,000 single	Yes	2% (payee not indiv/HUF)	**3,000**
Commission 40,000	194H	15,000	Yes	2%	**800**
Interest 1,00,000	194A	5,000 (non-bank)	Yes	10%	**10,000**

Total TDS = 36,000 + 8,000 + 3,000 + 800 + 10,000 = ₹57,800. ✓

B5 (Moderate-Hard) — TDS default interest u/s 201(1A) + disallowance u/s 40(a)(ia)

From B4, suppose Zenith **deducted** the ₹8,000 professional-fee TDS on **10 Jan 2025** but **deposited** it only on **15 May 2025** (due date 7 Feb 2025). Also, it entirely **failed to deduct** on the ₹80,000 professional fee originally. Compute (a) 201(1A) interest on the deposit delay, (b) the 40(a)(ia) disallowance.

Answer. (a) TDS was deducted on time, so only the **1.5% p.m.** "failure-to-deposit" interest applies, from date of deduction (10 Jan) to date of deposit (15 May) — Jan, Feb, Mar, Apr, May = **5 months** (part-month = full month). - Interest = 8,000 × 1.5% × 5 = **₹600**. (b) On non-deduction of the ₹80,000 fee, **30% of ₹80,000 = ₹24,000 disallowed** u/s 40(a)(ia) — added back to Zenith's business income until the TDS is paid, when it is reversed. ✓

B6 (Exam-Hard) — Combined: advance tax + 234B + 234C, capital-gain carve-out

Mr. K, age 45, has assessed tax (net of TDS) of **₹4,00,000** for AY 2025-26, of which **₹1,00,000 arose from a capital gain on 20 December 2024**. Advance tax paid: 15 Jun ₹45,000; 15 Sep ₹1,35,000; 15 Dec ₹2,25,000; 15 Mar ₹2,80,000. Compute 234C and 234B interest. (Ignore cess for interest working.)

Answer. 234C carve-out: the ₹1,00,000 capital-gain tax could not be foreseen before 20 Dec; no 234C on that portion for instalments *falling due before* it arose. Being paid in the **remaining instalment(s) after it arose** (here by 15 March) escapes 234C on that slice. So test the **non-capital-gain tax = ₹3,00,000** for Jun/Sep, and the full ₹4,00,000 only where the CG had already arisen.

Required on ₹3,00,000 base (Jun, Sep):

Instalment	Required cum.	Paid (cum.)	Fails safe harbour?	Shortfall	Interest
15 Jun	15% × 3,00,000 = 45,000 (SH 12% = 36,000)	45,000	No (≥ 45,000)	Nil	**Nil**
15 Sep	45% × 3,00,000 = 1,35,000 (SH 36% = 1,08,000)	1,35,000	No	Nil	**Nil**

Dec instalment — CG has now arisen (20 Dec), so full ₹4,00,000 base: - Required 75% × 4,00,000 = 3,00,000; paid 2,25,000; shortfall 75,000. Interest = 75,000 × 1% × 3 = **₹2,250**.

March instalment (full base): - Required 100% × 4,00,000 = 4,00,000; paid 2,80,000; shortfall 1,20,000. Interest = 1,20,000 × 1% × 1 = **₹1,200**.

Total 234C = 2,250 + 1,200 = ₹3,450.

234B: advance tax paid ₹2,80,000 vs assessed ₹4,00,000. 90% of 4,00,000 = 3,60,000. Since 2,80,000 < 3,60,000, **234B applies** on shortfall = 4,00,000 − 2,80,000 = ₹1,20,000. Assume tax paid on filing 25 July 2025 → Apr, May, Jun, Jul = **4 months**. - Interest = 1,20,000 × 1% × 4 = **₹4,800**.

Check: 234C total ₹3,450; 234B ₹4,800. ✓ (234C punishes timing within the year; 234B punishes the year-end shortfall — both can co-exist.)

Section C — Past-Paper-Style Full Questions

C1. Determine TDS applicability and rate for five transactions

For FY 2024-25 state whether TDS applies, the section, and the amount: (i) Bank pays interest ₹38,000 to a resident (non-senior). (ii) Company pays ₹6,000 dividend to a shareholder. (iii) Payment of ₹28,000 (single) and later ₹80,000 (single) to the same individual contractor. (iv) Rent of plant & machinery ₹5,00,000 to a firm. (v) Winnings from a lottery ₹60,000.

Model answer. - (i) **194A**, bank interest threshold ₹40,000 (non-senior). ₹38,000 **< threshold → no TDS**. - (ii) **194**, dividend threshold ₹5,000. ₹6,000 > 5,000 → TDS @10% = **₹600**. - (iii) **194C**, individual payee → rate **1%**. First bill ₹28,000 < ₹30,000 single limit and aggregate ₹28,000 < ₹1,00,000 → no TDS on it alone; second bill ₹80,000 crosses the ₹30,000 single limit → TDS on ₹80,000 @1% = ₹800. Aggregate now ₹1,08,000 > ₹1,00,000, so TDS also on the earlier ₹28,000 @1% = ₹280. **Total TDS = ₹1,080**. - (iv) **194-I(a)** plant & machinery @ **2%**; ₹5,00,000 > ₹2,40,000 → TDS = **₹10,000**. - (v) **194B**, winnings threshold ₹10,000; @**30%** on ₹60,000 = **₹18,000**. *Checks: 6,000×10%=600; 80,000×1%=800 + 28,000×1%=280 =1,080; 5,00,000×2%=10,000; 60,000×30%=18,000.* ✓

C2. Advance tax for a presumptive assessee [Sec 44AD, 211]

Mr. P runs a business under **presumptive taxation u/s 44AD**. His estimated tax liability for AY 2025-26 is **₹1,20,000** (no TDS). He pays nothing until 15 December and pays ₹1,20,000 on **20 March 2025**. Discuss advance-tax liability and interest.

Model answer. - A 44AD assessee pays **100% of advance tax in a single instalment by 15 March** [Sec 211 proviso]. The Jun/Sep/Dec schedule does **not** apply, so **no 234C** for those dates. - However, he paid on **20 March**, i.e., **after 15 March**. For 234C, the March instalment shortfall is tested at 100%: nothing was paid by 15 March, so shortfall = ₹1,20,000; interest = 1,20,000 × 1% × 1 = **₹1,200** (234C, 1 month for the last instalment). - **234B:** advance tax "paid" for 234B is measured by year-end (31 March); ₹1,20,000 was paid on 20 March, i.e., within the year, ≥ 90% of assessed tax → **no 234B**. *Result: 234C ₹1,200; 234B nil.* ✓

C3. Consequences of TDS default — full enforcement ladder [Sec 201, 40(a)(ia), 234E, 271H]

A firm deducted TDS of ₹50,000 in FY 2024-25 but neither deposited it nor filed the quarterly TDS return. List every consequence with the governing section.

Model answer. 1. **Assessee-in-default** [Sec 201(1)] — the firm is liable to pay the ₹50,000 itself. 2. **Interest u/s 201(1A)** — 1.5% p.m. from date of deduction to date of deposit (deduct-but-not-deposit rate). 3. **Disallowance u/s 40(a)(ia)** — 30% of the underlying expenditure disallowed while computing the firm's business income (reversed when TDS paid). 4. **Fee u/s 234E** — ₹200 per day of delay in filing the TDS statement, capped at the TDS amount (₹50,000). 5. **Penalty u/s 271H** — ₹10,000 to ₹1,00,000 for non-/late filing of the statement. 6. **Prosecution u/s 276B** — rigorous imprisonment for failure to deposit tax deducted. *The escalation interest → disallowance → fee → penalty → prosecution is deliberate: it makes non-compliance progressively unbearable.* ✓

Section D — MCQs / Case Scenarios

D1. Advance tax is payable only if estimated tax liability for the year is at least: (a) ₹5,000 (b) ₹10,000 (c) ₹15,000 (d) ₹50,000 **Ans: (b).** Sec 208 threshold is ₹10,000.

D2. A resident senior citizen is exempt from advance tax provided he has: (a) only pension income (b) no PGBP income (c) income below ₹5 lakh (d) age above 80 **Ans: (b).** Sec 207(2) — resident, 60+, and **no income under PGBP**.

D3. Cumulative advance tax payable by 15 September for a normal assessee is: (a) 15% (b) 30% (c) 45% (d) 75% **Ans: (c).** Sec 211 schedule 15/45/75/100.

D4. Interest u/s 234B is triggered when advance tax paid is less than: (a) 75% (b) 80% (c) 90% (d) 100% of assessed tax **Ans: (c).** A 10% margin of error is tolerated.

D5. The TDS rate on professional fees u/s 194J is: (a) 1% (b) 2% (c) 5% (d) 10% **Ans: (d).** 10% (2% for technical services / call centres). Professional fee ≈ pure income.

D6. For a payment to a contractor who is an individual, TDS u/s 194C is: (a) 1% (b) 2% (c) 5% (d) 10% **Ans: (a).** 1% for individual/HUF payee, 2% for others.

D7. Where the deductee does not furnish PAN, TDS is deducted at: (a) normal rate (b) 20% only (c) higher of normal rate or 20% (d) 30% **Ans: (c).** Sec 206AA.

D8. TDS deducted in March must be deposited by: (a) 7 April (b) 30 April (c) 7 May (d) 31 May **Ans: (b).** March gets the extended 30 April deadline.

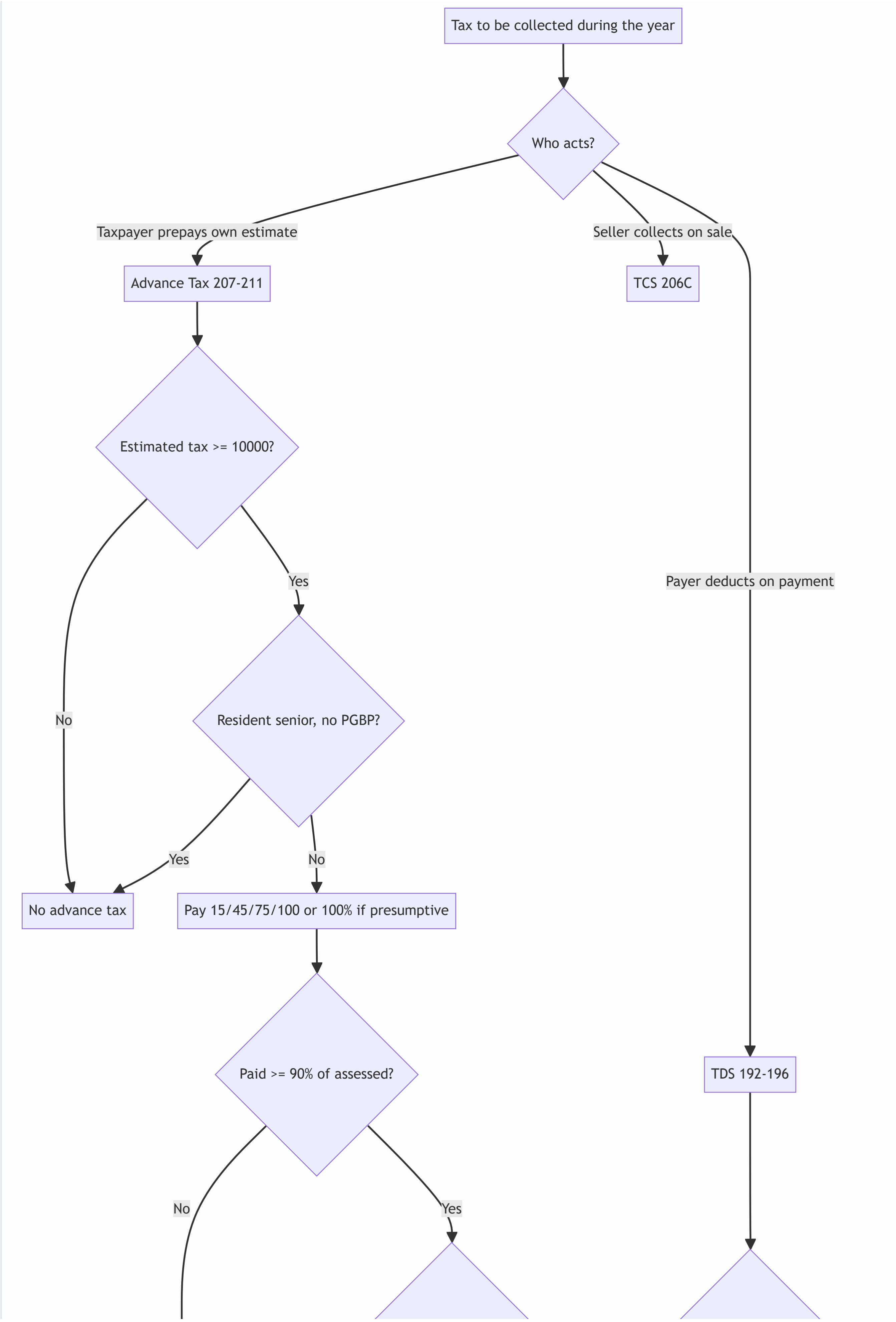
D9 (Scenario). A company credits a consultant's account on 25 March but pays cash on 10 April. TDS liability arises on: (a) 25 March (credit) (b) 10 April (payment) (c) either (d) 31 March **Ans: (a).** "Credit or payment, whichever is earlier" — credit on 25 March triggers it.

D10 (Scenario). Seller with turnover ₹15 crore sells goods worth ₹80 lakh to a buyer; buyer's payment exceeds ₹50 lakh. Applicable provision: (a) 194Q by buyer (b) 206C(1H) by seller (c) both simultaneously (d) neither **Ans: (a)/(b) depending on facts.** Where the buyer is liable to deduct **194Q (0.1%)**, that prevails and the seller's **206C(1H)** does not apply on the same transaction. If 194Q does not apply, seller collects 206C(1H) @0.1% on receipts above ₹50 lakh.

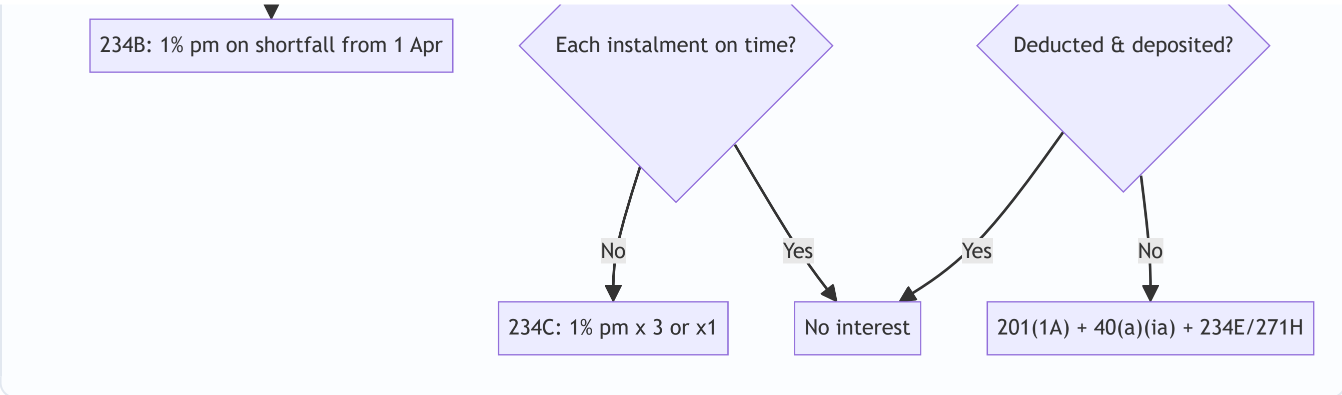
D11 (Scenario). Ms. X, presumptive u/s 44ADA, pays her entire advance tax on 15 March. Interest exposure: (a) 234C on all four instalments (b) no 234C if fully paid by 15 March (c) 234B always (d) 234A **Ans: (b).** Presumptive assessees pay 100% by 15 March; timely full payment escapes 234C.

D12 (Scenario). TCS collected on sale of a motor vehicle of ₹12,00,000: (a) nil (b) 1% = ₹12,000 (c) 5% = ₹60,000 (d) 0.1% = ₹1,200 **Ans: (b).** Sec 206C — motor vehicle above ₹10 lakh attracts 1%.

Decision Map — which mechanism / interest applies



Tax to be collected during the year
Who acts?
Taxpayer prepays own estimate
Seller collects on sale
Payer deducts on payment
Advance Tax 207-211
TCS 206C
TDS 192-196
Estimated tax >= 10000?
No
Yes
Resident senior, no PGBP?
Yes
No
No advance tax
Pay 15/45/75/100 or 100% if presumptive
Paid >= 90% of assessed?
No
Yes



Quick-Revision Trigger Sheet

Item	Section	Key number (AY 25-26)
Advance tax threshold	208	₹10,000
Senior exemption	207(2)	resident 60+, no PGBP
Instalments	211	15/45/75/100 on 15 Jun/Sep/Dec/Mar
Presumptive	44AD/44ADA	100% by 15 Mar
234B	234B	< 90% → 1% pm on shortfall from 1 Apr
234C	234C	1% pm × 3 (first 3) / ×1 (Mar); SH 12%/36%
Salary TDS	192	average slab rate, 1/12 monthly
Interest (non-sec)	194A	10%; 40k/50k(sr)/5k
Contractor	194C	1% indiv-HUF / 2% others; 30k or 1L
Commission	194H	2%; 15k
Rent	194-I	2% P&M / 10% land-building; 2.4L
Professional	194J	10% (2% technical); 30k
Immovable property	194-IA	1%; 50L
Winnings	194B/BB	30%; 10k
Non-resident	195	rates in force / DTAA; no threshold
No PAN	206AA	higher of normal or 20%
Deposit dates	—	7th next month; March by 30 Apr
Deductor default	201(1A)	1% not-deducted / 1.5% not-deposited
Disallowance	40(a)(ia)	30% (100% non-resident)
Late TDS return	234E / 271H	₹200/day / ₹10k-₹1L
TCS	206C	liquor/scrap/minerals 1%, timber 2.5%, tendu 5%, MV>10L 1%
Sale of goods TCS/TDS	206C(1H)/194Q	0.1%; 194Q prevails if applicable

First-principles recap: every rule descends from one need — *steady, traceable, evasion-proof revenue*. Collect during the year (advance tax, front-weighted 15/45/75/100), collect at the source from the party with no incentive to hide (TDS, at rates tracking each stream's tax), mirror it for big *spending* flows (TCS), and make all three self-enforcing through escalating interest (234B/C, 201(1A)), disallowance (40(a)(ia)), penalty and prosecution, with PAN (206AA) threading every rupee into Form 26AS/AIS.

> Re-confirm all thresholds, 194-series rates and the ₹10,000 / 90% / 12%-36% figures against the **current ICAI Study Material and the Finance Act applicable to your attempt** before the exam.

Chapter 11 — Return Filing & Assessment

> **Rates / limits / dates flag:** Due dates, the basic exemption limit, the late-filing fee under Sec 234F, interest rates under Secs 234A/B/C, the additional-tax slabs for updated returns (Sec 139(8A)), and the time limits for issuing notices and completing assessments are all periodically re-set by Finance Acts and CBDT extensions. This chapter teaches the **architecture and the reason for each deadline** so the machinery is permanent knowledge. **Always verify the exact dates, fees, interest rates, and applicable Assessment Year against current ICAI study material for your attempt.**

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1. The Problem — how does a government tax millions of people it has never met?

Imagine you are the tax department. There are crores of taxpayers — salaried people, traders, doctors, companies, freelancers. You cannot send an inspector to every kitchen table to add up each person's income. You do not know what anyone earned last year. You have no way to compute anybody's tax by yourself.

So you face a genuine design problem with two horns:

Horn 1 — You must rely on the taxpayer to *tell* you. Only the taxpayer knows his salary, his rent, his capital gains, his deductions. The only workable system is **self-declaration**: the taxpayer computes his own income and tax and reports it. This is why the Indian system is called a **self-assessment** system. The *return of income* is that declaration.

Horn 2 — If you simply trust every declaration, everyone under-reports. A pure honour system collapses instantly, because the rational taxpayer would declare zero. So self-declaration must be backed by a **credible threat of verification** — a machinery that says "we might check, and if you lied, we will re-compute and penalise you." That verification machinery is **assessment**.

Return filing and assessment are therefore two halves of one bargain:

- **The return** is the taxpayer saying: "*Here is my income, here is my tax, I have paid it.*"
- **The assessment** is the department saying: "*We accept / correct / investigate that declaration.*"

Neither works without the other. A declaration with no possibility of scrutiny is a joke; scrutiny with no declaration to check has nothing to bite on. The whole of Chapter XIV of the Income-tax Act, 1961 (Sections 139 to 158) is the plumbing that makes this two-sided bargain function at national scale.

A third horn the exam loves — the *timing* problem. Even if the taxpayer declares honestly, *when* he declares and *when* he pays matters enormously to a cash-strapped State. A government has salaries, subsidies, and infrastructure to fund *every month*, not once a year in a lump at year-end. If everyone were allowed to pay their whole year's tax on the last day, the State would have to borrow to bridge the gap and the taxpayer would enjoy an interest-free loan of the State's money. This is why the machinery is not just "declare and verify" but "declare, **pre-pay as you earn**, verify, and **charge interest for every day of timing slippage**." Hold this timing lens — it is the single idea that unifies advance tax (234B/C), self-assessment tax (140A), and late-filing interest (234A) into one family instead of four disconnected charges.

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2. The Core Idea

> **The taxpayer first *declares and self-assesses* his income by filing a return (Sec 139). The department then *responds* along a graded ladder of verification — from a silent arithmetic check, to a desk query, to a full investigation, to a punitive estimate when the taxpayer refuses to cooperate. The intensity of the department's response scales with how much cooperation and credibility the taxpayer offers.**

Two load-bearing ideas fall out of this:

1. **The return is a legal self-assessment, not a request.** When you file, you are not asking the department to compute your tax — you have already computed it and (ideally) paid it under Sec 140A (self-assessment tax). The return is the *record* of that computation.
2. **Assessment is a spectrum, not a single act.** There are four flavours, and they are ordered by escalating friction:

Type	Section	Who does the work	Trigger
Self-assessment	140A	The taxpayer	Every return
Summary assessment	143(1)	The computer (CPC)	Every processed return
Scrutiny assessment	143(3)	The Assessing Officer	Selected returns
Best judgment assessment	144	The AO, using estimates	Non-cooperation / non-filing

The genius is that **99%+ of returns never meet a human**. The system is built so that the cheap, automated check (143(1)) handles the vast majority, and the expensive human scrutiny (143(3)) is reserved for a tiny selected sliver. Best judgment (144) is the punishment lane for those who won't play. Understand *why* the ladder is graded this way and you never have to memorise the four types — they simply *are* the four rational responses to four levels of taxpayer behaviour.

A fifth "re-opening" lane you should know exists. Beyond the four core assessments there is a *reassessment* machinery — **income escaping assessment (Sec 147, initiated by a notice under Sec 148)** — which lets the department reopen a case, within limits, when it later has *information* that income escaped tax. For CA Intermediate you mainly need the *idea* (an already-closed assessment is not necessarily final forever; escaped income can be pulled back within statutory time limits after a proper notice), not the fine mechanics. Its purpose fits the same spine: the verification threat must not evaporate the instant an assessment closes, or under-reporting discovered late would go unpunished. **Verify the exact 147/148 time limits and preconditions against current ICAI material** — they have been rewritten heavily in recent Finance Acts.

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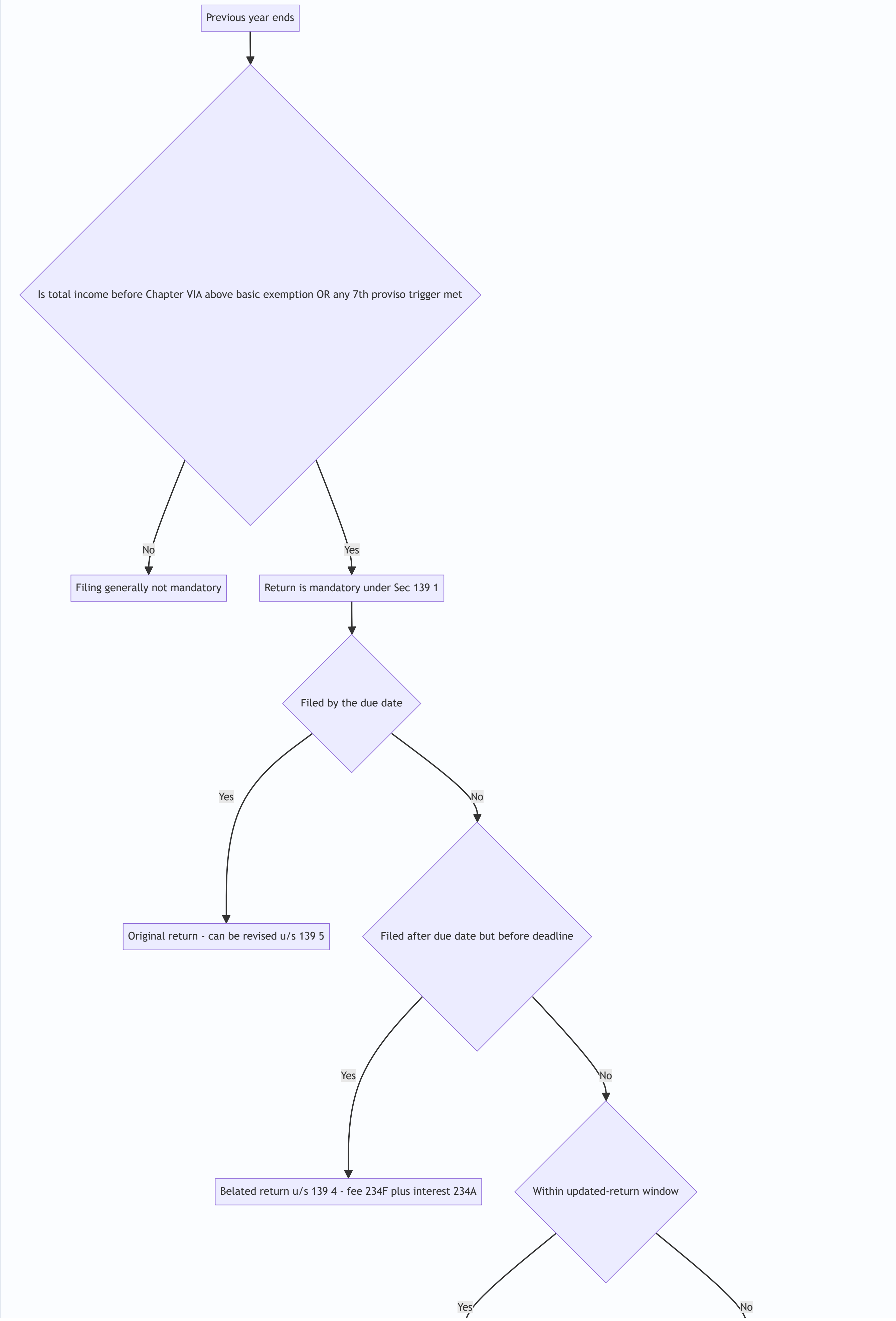
3. Why It's Built This Way — the design logic behind each rule

Before any section, absorb the design choices. Every rule below is one of these choices wearing a section number.

Design choice	The problem it solves	How the Act implements it
Compulsory filing above a threshold	Can't chase everyone; focus on those with taxable capacity	Sec 139(1) — file if income exceeds basic exemption
Filing even when income is below limit, in some cases	High-value activity can hide income	Sec 139(1) 7th proviso — deposits, spends, turnover triggers
Fixed due dates staggered by complexity	Audited/complex cases need more time than salaried	Sec 139(1) — different dates for different classes
Allow late filing, but with a cost	Rigidity would deny relief to genuine latecomers; but no cost = no deadline	Sec 139(4) belated + Sec 234F fee + Sec 234A interest
Allow correction of honest mistakes	Humans err; punishing honest error deters filing	Sec 139(5) revised return
Allow voluntary "coming clean" later	Recover tax from those who under-reported, without a fight	Sec 139(8A) updated return + additional tax
A single lifelong identifier	Link every transaction to one person; stop identity-splitting	PAN (Sec 139A), linked to Aadhaar (Sec 139AA)
Automated arithmetic check	Catch obvious errors cheaply, at scale	Sec 143(1)
Selective human scrutiny	Deep-dive only where risk is high	Sec 143(3) after notice u/s 143(2)
Estimate when taxpayer won't cooperate	Non-cooperation cannot become a shield	Sec 144 best judgment
Reject junk returns early	An incomplete return can't be meaningfully assessed	Sec 139(9) defective return
Bind the department to time limits too	Certainty is a taxpayer right; open-ended threat is oppressive	Time limits on 143(2) notice, 143(1)/143(3) completion, 148 reopening

The spine of the whole chapter: **the law offers escalating carrots for cooperation and escalating sticks for non-cooperation.** File on time → no cost. File late → fee + interest. Don't file at all, or ignore notices → best judgment estimate + penalty + possible prosecution. Every deadline and every fee is calibrated to nudge you one rung toward voluntary compliance.

The symmetry point examiners reward. Notice the last row: the deadlines do not run in only one direction. Just as the *taxpayer* is bound by filing dates, the *department* is bound by time limits to issue the 143(2) notice, to send the 143(1) intimation, to complete a 143(3)/144 assessment, and to reopen under 148. The reason is a first principle of fairness: an open-ended power to reassess would let the State hold a sword over every citizen forever, which is itself a form of oppression. A student who writes "the AO can scrutinise anytime" has missed the deepest structural idea of the chapter — **certainty of assessment is a right, and it is manufactured by putting a clock on the department.**



Previous year ends
Is total income before Chapter VIA above basic exemption OR any 7th proviso trigger met
No
Yes
Filing generally not mandatory
Return is mandatory under Sec 139 1
Filed by the due date
Yes
No
Original return - can be revised u/s 139 5
Filed after due date but before deadline
Yes
No
Belated return u/s 139 4 - fee 234F plus interest 234A
Within updated-return window
Yes
No

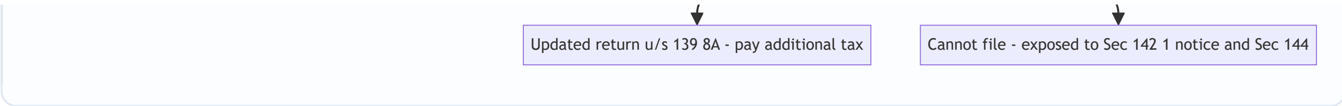


Figure 1 — The filing decision tree: whether you must file, and which door you file through depending on how late you are.

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4. Full Technical Content

4.1 Who must file — Section 139(1)

The default rule: **every person whose total income (before giving effect to Chapter VI-A deductions and certain exemptions) exceeds the basic exemption limit must file a return.** The *reason* is precisely the "focus your effort" design choice — below the exemption limit there is no tax, so there is nothing to verify, so filing is not forced.

Two crucial "why" points examiners love:

1. **"Total income *before* Chapter VI-A deductions."** Suppose your gross total income is ₹4,50,000 and you claim ₹1,50,000 under Sec 80C, bringing taxable income to ₹3,00,000. If the exemption limit were, say, ₹2,50,000, a naive reading says "taxable income ₹3,00,000 > limit, must file" — but the subtle point is that the test is applied on income *before* the 80C deduction. **The logic:** the department wants to see the return precisely *because* you are claiming deductions; letting deductions pull you below the threshold and out of filing would hide the very claims they want to check. So the threshold is measured on the pre-deduction figure.

2. **Companies and firms must file regardless of income (even at a loss).** *Why:* these are formal entities the State has registered; a nil or loss return still carries information the department needs (and losses must be filed on time to be carried forward — see Connections).

The precise "before-deduction" list — a finer distinction the exam tests. The threshold is tested on total income computed *before* giving effect not only to Chapter VI-A (Secs 80C to 80U) but also to certain **exemptions on capital gains** (broadly Secs 54 / 54B / 54D / 54EC / 54F etc.) and the specified proviso exemptions. **Why bundle capital-gains exemptions with 80C for this test?** Same logic: those exemptions are *conditional* (you must reinvest, hold, and not violate lock-ins). The department wants the return on record so it can later check whether the condition was honoured. Letting a rollover exemption push you below the filing line would hide the very claim that needs monitoring for years. **Memory hook:** "*The filing test looks at your income with its make-up removed — strip the deductions and the conditional exemptions, then compare.*"

Categories of "person" — do not equate person with individual. Sec 139(1) speaks of every *person*, and "person" (Sec 2(31)) covers individual, HUF, firm/LLP, company, AOP/BOI, local authority, and artificial juridical person. The filing trigger differs by category: - **Individual / HUF / AOP / BOI / artificial juridical person:** file if total income (pre-deduction) exceeds the basic exemption limit, or a 7th-proviso trigger is met. - **Company and firm/LLP:** file **always** — even nil income, even a loss, even a dormant company. - **Certain persons claiming specified exemptions** (e.g., charitable trusts, political parties, research associations, universities, and similar bodies) must file if their income *before* claiming those exemptions exceeds the limit — otherwise the exemption itself could hide unassessed income. **Verify the exact list for your AY.**

The 7th proviso to Sec 139(1) — mandatory filing even below the limit. The problem this solves: a person can have low *declared* income but obvious high-value activity. So filing is compulsory (irrespective of income) if the person, broadly:

- deposited above a specified amount in current accounts,
- spent above a specified amount on foreign travel,
- paid electricity bills above a specified amount, or
- meets other high-value criteria CBDT notifies (e.g., business turnover, professional gross receipts, or aggregate TDS/TCS above notified thresholds — verify current notified list).

Memory hook: "*If you live large, you must file — even if you claim to earn small.*" The proviso closes the gap between lifestyle and declaration.

Resident holding foreign assets must also file regardless of income (to enforce global-income disclosure for residents — connects to Chapter 2, residential status). This obligation catches a resident and ordinarily resident who **holds any asset located outside India, or has signing authority in any foreign account, or is a beneficiary of any foreign asset** — even with zero Indian income. **Why so strict?** Foreign assets are exactly what the domestic verification machine cannot see; forcing a return is the only hook to bring them onto the record and into the global-income net.

4.2 Due dates — Section 139(1)

The dates are **staggered by how much preparation the taxpayer's affairs require.** More complexity = more time. (Verify exact dates for your AY.)

Class of assessee	Typical due date*
Assessee requiring audit under the Act (e.g. business/profession above turnover limits)	31 October of the AY
A partner of a firm whose accounts are audited (and the spouse, in certain cases)	31 October of the AY
Assessee required to furnish a transfer-pricing report (Sec 92E)	30 November of the AY
Any other assessee (salaried, most individuals, non-audit)	31 July of the AY

**Verify against current ICAI material; CBDT frequently extends.*

The why: an audited business must first get its books audited (the auditor needs months after year-end), so it gets until 31 October. A transfer-pricing case involves cross-border documentation, so it gets the longest runway to 30 November. A salaried person has a Form 16 and little else, so 31 July suffices. The dates are not arbitrary — they track document-readiness.

A subtle sub-rule — the working partner rides on the firm's clock. A *partner* of a firm whose accounts are subject to audit gets **31 October**, even though the partner personally may have only salary/interest from the firm. **Why?** The partner's share of profit cannot be finalised until the firm's audited accounts are done; forcing the partner to file by 31 July while the firm files by 31 October would be logically impossible. The due date follows the *dependency*, not the person. **Trap:** examiners give you "Mr A is a working partner in XYZ & Co, a firm liable to tax audit" and expect **31 October**, not 31 July — many students default to 31 July because Mr A is an individual.

The tax-audit report has its own earlier deadline. Where audit under the Act applies, the **audit report itself (Form 3CA/3CB + 3CD) must be furnished by a date *before* the return due date** (broadly one month before — verify). **Why earlier?** The return due date of 31 October presumes the audit is *already done* *and filed*; the report cannot be an afterthought squeezed in with the return. This is a favourite "sequence" trap: audit report first, then the return.

4.3 The three "second chances" — belated, revised, updated

The Act deliberately builds in three ways to fix a filing situation after the due date, each targeting a different failure:

(a) Belated return — Section 139(4): "I missed the deadline entirely." If you did not file by the due date, you may still file a **belated return** up to **three months before the end of the relevant assessment year, or before completion of assessment, whichever is earlier** (verify the exact cut-off for your AY). *Why allow it?* Rigidly barring late filers would leave genuine latecomers unable to report at all — worse for revenue. But lateness cannot be free, or the deadline means nothing. So belated filing carries a **price tag**: the late-filing fee under **Sec 234F** and interest under **Sec 234A** (both below).

The hidden penalty of belated filing — lost rights, not just a fee. The cash cost (234F + 234A) is the *visible* penalty; the *invisible* and often larger penalty is the **forfeiture of most loss carry-forwards** (business loss, speculation loss, capital loss, loss under "other sources" from owning/maintaining racehorses). File belated and those losses cannot be carried to future years. **The two survivors:** *house-property loss* and *unabsorbed depreciation* can still be carried forward even on a belated return — because their carry-forward flows from different provisions (Sec 71B / Sec 32(2)) not tied to the 139(1) due date. **Memory hook:** "*Belated filing burns your losses — but the house and the depreciation survive the fire.*"

(b) Revised return — Section 139(5): "I filed, but I made a mistake." If, after filing (original *or* belated), you discover an **omission or wrong statement**, you may file a revised return up to the **same cut-off as the belated return** (three months before AY-end or before assessment completion, whichever is earlier). *Why:* honest people make honest errors; punishing correction would deter people from ever fixing mistakes. A revised return **replaces** the original — the original is treated as withdrawn. **Trap:** a revision is for a *bona fide* omission/error, not for laundering a deliberately false original once you sense scrutiny.

Finer points on revision the exam probes: - **You can revise a return any number of times** within the window (each revised return replaces the last), so long as it is bona fide. - **A belated return *can* be revised.** This is current law (the old bar on revising belated returns was removed). If a question is set in an old-style textbook it may say otherwise — go with current ICAI material. - **A revised return substitutes the original *for all purposes* and relates back to the original filing date.** So if the original was on time, the revised one does not attract a 234F fee merely because it is filed later. But — a sharp trap — revision **cannot cure a late original**; if the original was belated, revising it does not retroactively make it on-time, and lost loss-carry-forwards stay lost.

(c) Updated return — Section 139(8A): "I want to come clean, later, and pay more tax." This is the newest and most conceptually interesting door. It lets a person file an **updated return within a specified number of years from the end of the relevant AY** (verify the exact window), **but only to disclose *additional* income and pay *additional* tax.** *The why is pure revenue-collection pragmatism:* the department would rather you voluntarily walk in and pay extra tax than spend years litigating to extract it. To make this worth the State's while (and to ensure it is not cost-free relative to timely filing), the updated return carries **additional tax over and above the normal tax and interest** — a percentage that **increases the longer you wait** (again, cooperation-scales design).

Hard limits on the updated return — you **cannot** file one if it: - results in a **refund or reduces** your tax liability (it is a *pay-more* door, never a *get-back* door), - shows a **loss** (or increases a loss already declared), -

reduces total tax already determined, or - is filed in certain barred cases — where a **search (Sec 132), requisition (Sec 132A), or survey (Sec 133A)** has been initiated against you, where **assessment/reassessment/revision is pending or completed** for that year, or where the department already has information under specified agreements against you (verify the full bar list).

One updated return per year — and only if it results in extra tax to the exchequer. You may file an updated return for a given AY **only once**; there is no serial-updating. And the ironclad test is directional: **the update must leave the government better off** (more tax, or converting a refund/loss claim into a smaller one within the permitted bounds). This single directional idea (money must flow *to* the State) is the master key to every 139(8A) question.

How the additional tax is layered — the concept, not the exact %. On top of the normal tax + interest that a timely filer would have paid, the updater pays an **additional tax computed as a percentage of (that tax + interest)**, and the percentage **steps up by the "band" of lateness** (a lower band for filing sooner after AY-end, a higher band for filing later in the window). **Verify the current bands and percentages for your AY** — they have been revised by Finance Acts. The examinable *concept* is: *the earlier you self-correct, the cheaper the premium; the later, the dearer* — a perfectly rational price schedule for a State trying to pull confessions forward in time.

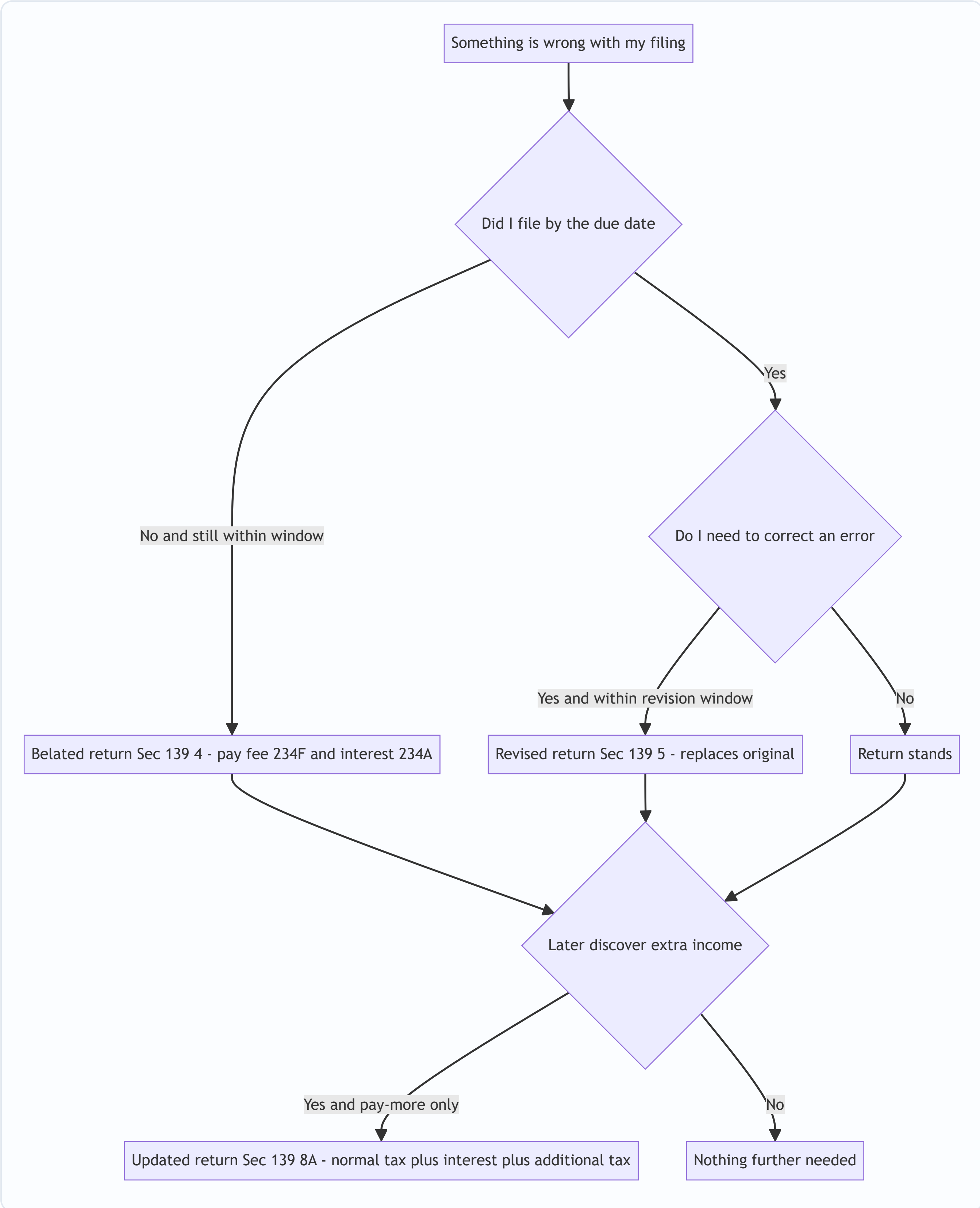

Figure 2 — Choosing between belated, revised, and updated returns based on what went wrong and when you realised.

A one-glance comparison the exam rewards you for reproducing:

Feature	Belated 139(4)	Revised 139(5)	Updated 139(8A)
Purpose	Missed the due date entirely	Fix a bona fide error in a filed return	Voluntarily disclose extra income later
Pre-condition	Did not file on time	Already filed (original or belated)	Filed or not — either way
Direction of tax	Any	Any (up or down)	**Only up** — never a refund/loss
Window (verify)	Up to ~3 months before AY-end / assessment	Same as belated	Multi-year from AY-end
Extra cost	234F fee + 234A interest	None just for revising (relates back)	Normal tax + interest + **rising additional tax**
Loss carry-forward	Most losses **lost**	Follows the original's status	Cannot create/increase a loss

4.4 Defective return — Section 139(9)

The problem: an incomplete return cannot be meaningfully assessed. If key annexures, tax computations, or proof of tax paid are missing, the department has nothing solid to verify. So the AO may declare the return **defective** and issue an intimation giving the assessee **15 days (extendable) to rectify** it.

The consequence with teeth: if you do not fix the defect in time, the return is treated as **invalid** — i.e., as if you **never filed at all**. That is severe: you lose the filing date, become exposed to belated-filing costs, and may lose loss carry-forward. **Memory hook:** "*A defective return is a warning shot; an uncured defect makes the return vanish.*"

What counts as a defect — the finer distinctions. Broadly, a return is defective if it is not accompanied by, or does not contain, the statutorily required particulars — for example, the return is not filled in fully, the required statements/computations are missing, the **self-assessment tax with interest has not been paid before filing** where required, or (for accounts-keeping assessees) the return is unaccompanied by the required copies of accounts / audit report. **Verify the current defect list.**

Two subtleties that separate a top answer: 1. **Defective ≠ invalid ≠ non-est immediately.** The return is *not* dead the moment a defect exists. It becomes invalid **only if the defect is not cured in the allowed time.** During the cure window the return is alive. So a question that says "the AO treated the return as invalid the day he spotted a defect" describes an *improper* action — the AO must first give the 15-day (extendable) opportunity. 2. **AO's discretion to condone.** Even after the period expires, the AO *may* (before assessment) condone the delay and treat a belatedly-cured return as valid. This is a relief valve so an honest but slow taxpayer is not annihilated on a technicality. **The safe exam line:** *cure within 15 days to be safe; the AO's power to condone is a mercy, not a right you should rely on.*

4.5 PAN — Section 139A, and Aadhaar linking — Section 139AA

Why PAN exists: the entire self-assessment-plus-verification bargain depends on being able to **attribute every transaction to one identifiable person.** Without a unique key, a taxpayer could split identities, and the department could never aggregate a person's income across banks, employers, and property registrars. The **Permanent Account Number** is that key — a lifelong, unique 10-character identifier. It is mandatory for those carrying on business/profession above thresholds, for those who must file, and it must be **quoted in specified high-value transactions** (buying property, large cash deposits, etc.) so the department can stitch a person's financial footprint together.

Who must obtain PAN — the layered triggers (Sec 139A). Beyond "anyone with taxable income," PAN is required for, broadly: any person carrying on **business or profession whose total sales/turnover/gross receipts exceed a specified amount** in any year; a person required to file a return (including under the 7th proviso); a **resident (other than an individual) entering into a financial transaction of a specified aggregate amount** in a year, and the persons managing/representing it (directors, partners, trustees, karta, principal officer); and importers/exporters and certain others CBDT notifies. **Why cast the net wider than just taxpayers?** Because the department wants a PAN *before* the transaction, so the footprint is captured in real time — not reconstructed years later.

Interchangeability of PAN and Aadhaar. Where a person has linked the two, the law broadly permits **quoting Aadhaar in place of PAN** (and vice-versa) for filing and specified transactions, and allows a person who has Aadhaar but no PAN to be *allotted* a PAN on the strength of Aadhaar. **Why?** To reduce friction now that identity is welded to a single biometric key — a person should not be blocked merely for carrying one number and not the other.

Why Aadhaar linking (Sec 139AA): PAN alone can be duplicated — a determined evader could hold multiple PANs to fragment income. Aadhaar is biometrically unique, so **linking PAN to Aadhaar de-duplicates PANs and welds the tax identity to a single real human.** Quoting Aadhaar is required when applying for PAN and when filing a return. **Consequence of non-linking:** the PAN becomes **inoperative**, which cascades into higher TDS, inability to file smoothly, and blocked refunds — a deliberately painful nudge to comply.

What "inoperative" actually does — the finer cascade. While a PAN is inoperative, broadly: **no refund is made** for the period it is inoperative; **no interest is payable on such refund**; and **TDS/TCS is deducted/collected at the higher rates** applicable where PAN is not furnished. Crucially, an *inoperative* PAN is **not a cancelled or non-existent PAN** — the person is still treated as *having* a PAN (so, e.g., they are not automatically hit with fresh PAN-application obligations), but its benefits are frozen until relinked. **Trap:** examiners test whether you know the PAN still "exists" (so the higher-TDS regime for *no* PAN is applied by reason of *inoperativeness*, not by treating the person as PAN-less in the literal sense) — read the option wording carefully. **Verify current consequences and any exemptions (certain categories/States) for your AY.**

4.6 The four assessments

(a) Self-assessment — Section 140A. Before filing, the assessee computes tax on the returned income, subtracts TDS/TCS/advance tax already paid, adds interest under 234A/B/C and fee under 234F, and **pays the balance ("self-assessment tax")**. *Why first?* The whole system is self-assessment; the return must arrive already backed by payment, otherwise the department is chasing money on every single return. If you file without paying the self-assessment tax due, you are treated as an **assessee in default** for that amount.

The appropriation rule — a numerical trap under 140A. When the amount you deposit falls short of (tax + interest + fee) due, the law prescribes the **order of appropriation**: the payment is **first adjusted against the fee, then the interest, and the balance against the tax** (verify the current order — recent law places fee first). **Why does the order matter?** Because whatever is *not* covered leaves you an "assessee in default" for *tax*, which triggers further interest and recovery; the appropriation order therefore decides how much unpaid *tax* remains. A careless student assumes the shortfall hits the fee last; the opposite is true — so the leftover default sits on tax. **Watch this in any "he paid ₹X but owed ₹Y" sub-question.**

(b) Summary assessment / processing — Section 143(1). Every return is processed, almost entirely by the **Centralised Processing Centre (CPC)** computer. The system performs only **arithmetic and consistency checks** — no investigation. Specifically it: - corrects arithmetical errors, - disallows **internally inconsistent** claims (e.g., a deduction plainly incorrect from the return itself), - disallows losses/deductions claimed in a **belated return** where the law bars them, - disallows expenditure/deduction indicated in the audit report but not taken in the return, or income appearing in Form 26AS/16/16A not included in the return (broadly, subject to a prior intimation-and-response step), - matches tax credit with Form 26AS / prepaid taxes. It then issues an **intimation** showing tax payable, refund due, or "no change." **Why keep it purely mechanical?** Because it runs on *every* return — it must be cheap, fast, and non-judgmental. Anything requiring judgment is pushed up to scrutiny. An intimation u/s 143(1) is **deemed a notice of demand** where tax is payable, and is **deemed a refund order** where a refund is due. Time limit: it must be sent within **nine months from the end of the financial year in which the return is filed** (verify current limit).

The "no adjustment without a hearing" safeguard. Before making any adjustment that *increases* tax or *reduces* a refund/loss, the CPC must give the assessee an **intimation (in writing/electronic) proposing the adjustment**, and if no response comes within **30 days**, it may proceed. **Why?** Even a "mechanical" adjustment can be wrong (a genuine 26AS mismatch, a timing difference); natural justice needs a chance to explain before money changes hands. **Trap:** a question describing the CPC silently raising a demand with *no* prior proposal describes a *defective* 143(1) action.

(c) Scrutiny assessment — Section 143(3). This is the **human deep-dive**, but the department cannot pick you at will and silently. The gate is a **notice under Sec 143(2)**, which must be served within a **time limit (typically three months from the end of the FY in which the return is filed — verify)**. *Why a strict time limit on the notice?* Because the threat of scrutiny cannot hang over a taxpayer forever; certainty is itself a taxpayer right. **No valid 143(2) notice in time = no scrutiny.** The AO then examines evidence, calls for details (Sec 142(1)), may order a **special audit (Sec 142(2A))** in complex cases, and passes a reasoned assessment order determining the true total income and tax. Modern scrutiny is largely **faceless** (Sec 144B) — allocated to officers anonymously to reduce discretion and corruption. **Memory hook:** "*143(2) is the knock on the door; 143(3) is the interview.*"

Inquiry before assessment — Sec 142(1) is the AO's information subpoena. Distinct from the 143(2) *gateway* notice, a **Sec 142(1) notice** lets the AO **(i) require a person who has not filed to file a return, (ii) require production of specified accounts/documents, and (iii) require any information/statement on the assessee's affairs.** It can be issued whether or not a return was filed. **Why keep it separate from 143(2)?** Because 143(2) merely *opens* the scrutiny gate; 142(1) is the *working tool* that gathers the material inside. A very common trap conflates the two — remember **142(1) = "give me your papers/return"; 143(2) = "I am selecting you for scrutiny."**

Special audit — Sec 142(2A). Where the accounts are complex, voluminous, or the AO doubts their correctness (in the interests of revenue), he may — with prior approval of the higher authority and after giving the assessee an opportunity — direct the assessee to get the accounts **audited by a nominated Chartered Accountant** and furnish that report. **Why give this power?** A regular scrutiny AO may lack the forensic depth to unravel a tangled set of books; the special audit imports expert firepower. The **cost is borne by the department** (per current law — verify). **Trap:** the special audit is *directed by the AO on the assessee*, it is not the assessee's own tax audit and not a favour to the assessee.

Time limit to *complete* scrutiny/best-judgment. Beyond the notice deadline, the *order* under 143(3)/144 must itself be passed within a statutory period from the end of the relevant AY (this outer limit has been compressed by recent Finance Acts — **verify the exact months for your AY**). **Why?** The same certainty principle: an opened scrutiny must also *close* within a bound, or the taxpayer is left in limbo.

(d) Best judgment assessment — Section 144. When the taxpayer **refuses to cooperate**, the department cannot be left helpless. Sec 144 lets the AO **estimate** income to the best of his judgment. It is triggered when the assessee: - fails to file the return (original/belated/in response to Sec 142(1)), - fails to comply with a Sec 142(1) notice or a Sec 142(2A) audit direction, or - fails to comply with a Sec 143(2) scrutiny notice.

Why estimation rather than "give up"? Non-cooperation must not become a shield that pays. But because it is an estimate, natural justice requires the AO to give a **show-cause opportunity** before finalising, and the estimate must be **honest and based on material**, not vindictive or arbitrary. **Memory hook:** "*Won't talk? We'll estimate — and you carry the risk of the estimate.*"

Two finer distinctions on 144: 1. **The show-cause can be dispensed with in one situation** — where a 142(1) notice to *produce documents/information* was already issued and defied; the law does not require a *second* opportunity to be given afresh in that narrow case (verify wording). Otherwise a show-cause is mandatory. 2. **Best judgment is not a penalty computation.** The AO must still *estimate income*, honestly, on available material — he cannot simply pick a punitive figure. An estimate with **no rational basis is bad in law** and gets struck down in appeal. So "best judgment" means *best honest estimate*, not "worst-case punishment."

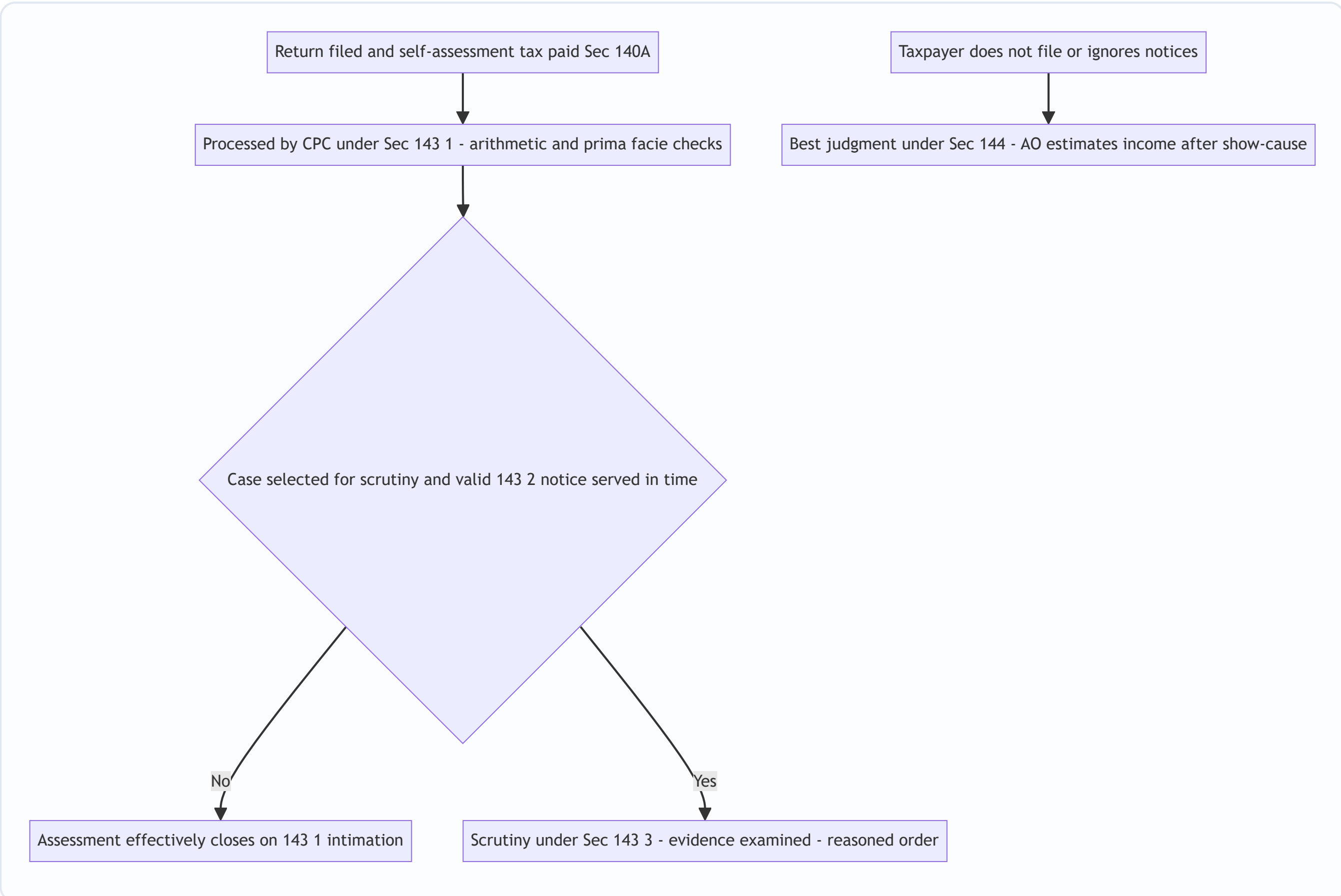

Figure 3 — The assessment ladder: every return is processed (143(1)); a selected few are scrutinised (143(3)); the non-cooperative are estimated (144).

The faceless assessment idea (Sec 144B) — why it exists and what it changes. Traditionally the AO who met the taxpayer also decided his case — a design that invited local pressure, favouritism, and corruption. **Faceless assessment** breaks the case into functions handled by **anonymised, randomly-allocated units** (assessment unit, verification unit, technical unit, review unit) coordinated by a **National Faceless Assessment Centre**, with communication only through the portal and **no physical interface**. The taxpayer does not know *which* officer, and the officer does not know *whom* he is assessing beyond the file. **The first-principles payoff:** removing the human relationship removes the channel for both intimidation and inducement, and the mandatory *review* step adds a second pair of eyes. **Personal hearing** is generally through video-conferencing, on request, in specified circumstances. **Verify current scope/exclusions.**

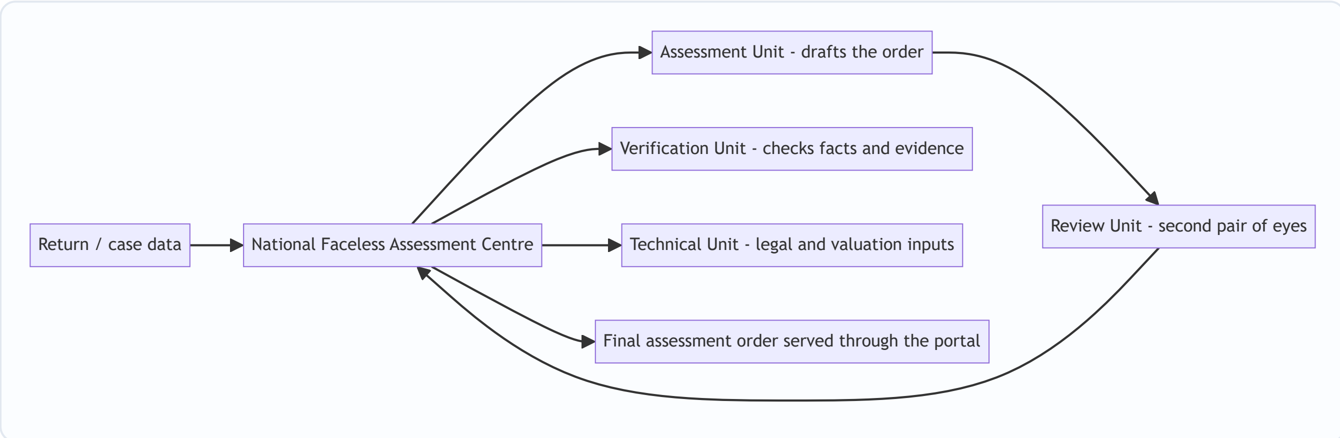

Figure 4 — Faceless assessment splits one officer's job across anonymous units so no single human owns the taxpayer relationship.

4.7 Interest and fee for delay — the "price of lateness"

These are the sticks that make the deadlines real. Learn the *purpose* and the base each is charged on.

Charge	Section	What it punishes	Broadly, how computed
Late-filing fee	234F	Filing the return after the due date	A flat fee (a smaller amount if total income is below a specified level; a larger amount otherwise) — verify amounts
Interest for late filing	234A	Time gap between due date and actual filing, on unpaid tax	1% per month (or part) on tax unpaid, from due date to filing date — verify rate
Interest for default in advance tax	234B	Not paying at least 90% of assessed tax as advance tax	1% per month on shortfall from 1 April of AY — verify
Interest for deferment of advance tax	234C	Not paying advance-tax instalments on the specified dates	1% per month for each shortfall period — verify

The logical distinction (a favourite exam point): 234A punishes *late filing of the return*; **234B and 234C** punish *late payment of tax* (regardless of the return). You can trigger 234B/C even if you file the return on time, because advance-tax obligations run *during* the year, before any return exists. Conversely 234F (a fee, not interest) is a flat charge purely for missing the filing date, independent of any tax due. **Memory hook:** "*F for Filing-late-fee; A for filing After due date; B and C for the Bill you should have paid in advance.*"

Finer mechanics that decide marks in a numerical: - The base for 234A is "tax on total income *less* prepaid taxes" (TDS/TCS/advance tax/relief) — i.e., the *unpaid* tax, not the gross tax. If your tax was fully covered by TDS, 234A interest can be **nil even if you file years late** (the fee 234F still bites). **Trap:** students charge 234A on gross tax and inflate the answer. - **Part of a month = a full month** for 234A, 234B, and 234C. Never pro-rate days. - **234B runs from 1 April of the AY** to the date of determination/payment; **234C runs only for the specified deferment periods** attached to each instalment date and then *stops* — it is not a running charge to year-end. So the same shortfall can attract **234C first (per-instalment) and then 234B** (overall) without double-counting the *periods*. - **234F is capped/tiered by total income** (a smaller fee where total income does not exceed a specified small amount; a larger fee otherwise) and is a **flat fee, never month-wise** — verify current amounts.

Why interest and not just a fee? Interest is *compensatory* — it prices the *time value* of the money the State did not have. That is why 234A/B/C scale with **time and amount**. The 234F *fee* is *regulatory* — it prices the *act* of missing a filing date, independent of any tax, which is why it is flat. Keeping this "compensation vs regulation" distinction straight tells you instantly which charges are month-and-amount driven (A/B/C) and which is not (F).

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5. Worked Examples

Example 1 (Easy) — Is Mr Rao even required to file, and by when?

Mr Rao, a salaried employee (no audit, no foreign assets), has for the previous year: - Gross salary ₹6,20,000 - Deduction claimed u/s 80C ₹1,50,000 - Taxable income after deductions ₹4,70,000

Assume the basic exemption limit is ₹2,50,000.

Step 1 — Apply the correct test. Sec 139(1) tests income **before** Chapter VI-A deductions. Income before 80C = ₹6,20,000. **Step 2 — Compare.** ₹6,20,000 > ₹2,50,000. **Filing is mandatory.** (Note the trap: even if the after-80C figure ₹4,70,000 had been below the limit, he would *still* have to file, because the test uses the pre-deduction figure.) **Step 3 — Due date.** Salaried, non-audit → **31 July of the AY** (verify).

Answer: Mr Rao must file, and by 31 July of the assessment year.

Example 2 (Moderate) — Belated filing: fee under 234F and interest under 234A

Same Mr Rao, but suppose his self-assessment tax still payable (after TDS) is **₹40,000**, and he actually files on **10 November** of the AY, i.e., after the 31 July due date. Assume the 234F fee is ₹5,000 (income above ₹5 lakh slab — verify) and the 234A rate is 1% per month or part of a month.

Step 1 — Confirm it is a belated return. Filed after 31 July, but (assume) within the belated-filing window → valid **belated return u/s 139(4)**. **Step 2 — Late-filing fee, Sec 234F.** Flat **₹5,000** (verify slab). **Step 3 — Interest u/s 234A.** Charged on unpaid tax of ₹40,000 from the due date (1 August) to the date of filing (10 November). - Period: August, September, October, and part of November = **4 months** (part of a month counts as a full month). - Interest = ₹40,000 × 1% × 4 = **₹1,600**. **Step 4 — Total extra cost of lateness** = ₹5,000 (fee) + ₹1,600 (interest) = **₹6,600**, payable *in addition to* the ₹40,000 tax, as self-assessment tax under Sec 140A before filing.

Reconciliation check: Tax ₹40,000 + fee ₹5,000 + interest ₹1,600 = ₹46,600 total to deposit. Had he filed by 31 July with the tax paid, the fee and interest (₹6,600) would both have been zero. The gap is precisely the "price of lateness" — the sticks doing their job.

Examiner-tweak variation — what if TDS had fully covered the tax? Suppose instead Mr Rao's entire tax was already covered by TDS, so unpaid tax = **₹0**, but he still files on 10 November. Now **234A interest = ₹0** (1% of nothing over any number of months is nothing) — but the **234F fee of ₹5,000 still applies**, because the fee is triggered by the *act* of late filing, not by unpaid tax. This is the classic "compensation vs regulation" split: no unpaid tax ⇒ no compensatory interest, but the regulatory fee bites regardless. Students who tie 234F to tax due get this wrong.

Example 3 (Exam-hard) — Revised vs updated, and a defective-return twist

Ms Iyer, a non-audit individual, filed her **original return on 20 July** (before the 31 July due date) declaring total income ₹8,00,000, tax fully paid. Then three things happen in sequence:

(i) In September of the AY she realises she **forgot to include bank interest of ₹30,000.** **(ii)** The CPC, while processing, finds she attached **no computation of income for a claimed deduction** and issues a **Sec 139(9) defective-return intimation** on 5 October, giving 15 days to cure. **(iii)** Two years after the end of the AY, an old **freelance receipt of ₹1,00,000** she genuinely overlooked surfaces.

Advise Ms Iyer on the correct route for each, with reasons.

Part (i) — the ₹30,000 omission discovered in September. - She filed the original *on time*, and the revised-return window (three months before AY-end or before assessment completion, whichever is earlier — verify) is still open in September. - **Correct route: Revised return u/s 139(5).** *Reason:* it is a bona fide omission discovered before the window closes; a revision replaces the original with the corrected figures. She will pay tax on the extra ₹30,000 plus any interest under 234B/C if advance-tax was short — but **no 234F fee**, because the original was filed on time and a revised return relates back to it.

Part (ii) — the defective return. - She must **cure the defect within 15 days** (extendable) by furnishing the missing computation. - *Reason and consequence:* Sec 139(9). If she does **not** cure it, the return is treated as **invalid — as if never filed**, which would demolish her on-time status and expose her to belated costs and possible loss of any carry-forward. **This is the priority action**; a revised return is pointless if the base return is allowed to become invalid.

Part (iii) — the ₹1,00,000 discovered two years after AY-end. - The revised/belated windows are long gone. But she wants to **disclose additional income and pay more tax.** - **Correct route: Updated return u/s 139(8A)**, if she is within the specified multi-year window (verify). - *Computation logic:* she pays **normal tax** on the ₹1,00,000 + **interest** (234A/B/C as applicable) + **additional tax** under Sec 139(8A) that rises the longer she waited. Suppose normal tax + interest on the ₹1,00,000 works out to ₹34,000, and the applicable additional tax is (say) 25% of (tax + interest) for that year's window (verify the rate): additional tax = 25% × ₹34,000 = ₹8,500. **Total payable = ₹34,000 + ₹8,500 = ₹42,500.** - *Reason:* the updated return is a *pay-more-only* door; because it results in extra tax (not a refund or loss), it is permitted, and the additional tax is the price of the delay.

Reconciliation of the whole scenario: three different failures → three different, non-interchangeable remedies. Revise for an in-window bona fide error; cure the defect immediately or the return dies; use the updated return only to voluntarily pay more, later, at a premium. The examiner is testing whether you can *map each failure to its purpose-built door* — which you can, once you see the doors are graded by lateness and by whether tax goes up or down.

Examiner-tweak variation — what if part (iii) were a *loss* she forgot to claim? Suppose instead of extra income, Ms Iyer discovered she had *omitted a business loss of ₹1,00,000* that would have *reduced* her tax. Now the updated return is **not available** — 139(8A) cannot be used to declare/increase a loss or reduce tax.

Her only levers would have been a timely revised return (window closed) or, in a genuine hardship case, a **CBDT condonation-of-delay application (Sec 119(2)(b))** to admit a belated claim (verify). The direction of tax is the switch: money must flow *to* the State for 139(8A) to open.

Example 4 (Assessment scenario) — When does 144 replace 143(3)?

Mr Khanna files no return despite taxable income. The AO issues a **Sec 142(1) notice** requiring him to file; Mr Khanna ignores it. The AO then issues a **Sec 143(2)** notice; Mr Khanna ignores that too and does not respond to any query.

Reasoning: - With **no return and total non-cooperation**, the AO cannot do a normal scrutiny under 143(3) (there is nothing filed to scrutinise and no cooperation to examine evidence). - The AO invokes **Sec 144 — best judgment assessment**: he **estimates** Mr Khanna's income from available material (bank data, 26AS, past records). - **Safeguard:** the AO must issue a **show-cause notice** before finalising, and the estimate must be **reasonable and evidence-based**, not arbitrary.

Answer: Best judgment assessment u/s 144. **Contrast with Example 3's cooperative taxpayer:** cooperation earns you the ordinary 143(3) path with a chance to explain; stonewalling earns you an estimate you may not like — the cooperation-scales principle in action.

Example 5 (Numerical — the 140A appropriation trap)

Mr Sen's return for the AY shows **tax on total income ₹92,000**, against which **TDS ₹50,000** is available. He files on **15 September** (due date was 31 July), so **234F fee ₹5,000** and **234A interest** apply. He deposits only **₹40,000** as self-assessment tax before filing. Compute what remains, and his status.

Step 1 — Establish what was due before appropriation. - Balance tax after TDS = ₹92,000 − ₹50,000 = **₹42,000**. - 234A interest: unpaid tax ₹42,000 × 1% × months. Due date 1 Aug → filed 15 Sep = Aug + part-Sep = **2 months**. Interest = ₹42,000 × 1% × 2 = **₹840**. - 234F fee = **₹5,000**. - Total due before filing = ₹42,000 + ₹840 + ₹5,000 = **₹47,840**.

Step 2 — Apply the appropriation order (fee → interest → tax; verify current order). - He paid **₹40,000**. - First to fee ₹5,000 → ₹35,000 left. - Then to interest ₹840 → ₹34,160 left. - Then to tax: ₹34,160 covers part of the ₹42,000 tax → **unpaid tax remaining = ₹42,000 − ₹34,160 = ₹7,840**.

Step 3 — Status and consequence. Mr Sen is an **assessee in default** for the **₹7,840 of unpaid tax**, which will attract further recovery and continuing 234B-type interest exposure on the shortfall. **Reconciliation:** paid ₹40,000 = fee ₹5,000 + interest ₹840 + tax ₹34,160 = ₹40,000 ✓; still owed = ₹7,840 (tax) which ties to ₹47,840 − ₹40,000 = ₹7,840 ✓.

The lesson: because fee and interest are appropriated *first*, the entire ₹7,840 shortfall lands on *tax* (the worst place for it to land, since only tax default makes him an "assessee in default" and keeps the recovery meter running). Had appropriation hit tax first, the leftover would have been "only" fee/interest — a much softer default. The order is deliberately taxpayer-adverse to push full payment.

Example 6 (Concept check — which second-chance door, and is it even open?)

For each independent situation, name the correct provision (assume standard windows; verify for your AY):

(a) Filed on time; realises 2 months later he double-claimed an 80D deduction that *increases* his tax. → **Revised return 139(5)** (window open; direction of tax is irrelevant for revision). **(b)** Never filed; due date passed 1 month ago; still within the belated window; has unpaid tax. → **Belated return 139(4)** (with 234F +

234A). **(c)** Filed and assessed under 143(3) last year; now wants to add income for that same year. → **Updated return is barred** where assessment is already completed for that year; the escaped income route is **reassessment 147/148 by the department**, not a 139(8A) return by him. **(d)** Filed on time; a **search under Sec 132** was initiated against him this month; he now wants to file an updated return disclosing more income. → **Barred** — 139(8A) is unavailable where a search/survey/requisition has been initiated for that year. **(e)** Return declared **invalid** because he never cured a 139(9) defect; the belated window is still open. → He may **file a fresh belated return u/s 139(4)** (the invalid one is "never filed," so a fresh belated filing is his route), bearing 234F + 234A and the loss-carry-forward consequences.

Why this set is exam-realistic: it forces the two switches that decide every second-chance question — **(1) is the window open?** and **(2) does tax go up (updated OK) or is the department already involved (updated barred)?** Get those two switches right and you never misroute.

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6. Computation Format — cost of a late / updated filing

A clean, reusable template for "how much must I deposit before filing?" questions:

```
A. Tax on returned (or updated) total income            ....
B. Less: TDS / TCS / advance tax already paid           (....)
C. Balance tax (A − B)                                    ....
D. Add: Interest u/s 234A (late filing of return)         ....
        = Balance tax x 1% x months (part = full) from
          due date to date of filing
E. Add: Interest u/s 234B (advance-tax shortfall)         ....
F. Add: Interest u/s 234C (deferment of instalments)      ....
G. Add: Fee u/s 234F (flat, if filed after due date)      ....
H. Add: Additional tax u/s 139(8A) (ONLY for an          ....
        updated return) = specified % of (tax + interest)
────────────────────────────────────────────────────────────
   Self-assessment tax payable u/s 140A (C+D+E+F+G+H)     ════
```

Notes: 234F and 234A apply only if filed after the due date. 234B/234C can apply even to an on-time return. Row H appears **only** for updated returns u/s 139(8A). Always verify current rates and fee amounts.

Appropriation rider (for shortfall questions). If the amount actually deposited is *less* than the total above, appropriate it in the statutory order — **fee (G) first, then interest (D/E/F), then tax (C)** (verify current order). Whatever remains uncovered is treated as unpaid **tax**, making the assessee an **assessee in default** for that balance. Always state the appropriation explicitly in a shortfall answer — markers award the reasoning, not just the final number.

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7. Connections — how this chapter wires into the rest of the syllabus

- **Loss carry-forward (Chapter on set-off, Secs 70–80):** losses under most heads (business loss, capital loss, etc.) can be **carried forward only if the return is filed by the Sec 139(1) due date.** House-property loss and unabsorbed depreciation are exceptions. This is *the* reason on-time filing is not merely a formality — miss the date and you may forfeit years of loss relief. Return filing and loss set-off are joined at the hip.

- **Advance tax (Sec 208–219):** the 234B/234C interest in this chapter is the enforcement arm of the advance-tax obligation — pay-as-you-earn. The return simply reconciles what you pre-paid against what you owe. The advance-tax **instalment dates** (15 Jun / 15 Sep / 15 Dec / 15 Mar, with the specified cumulative percentages — verify) are exactly the dates 234C polices, so this chapter and the advance-tax chapter must be revised together.
- **TDS/TCS (Chapter on deduction at source):** the 143(1) processing **matches your claimed credits against Form 26AS.** A mismatch is the single most common cause of a 143(1) demand or reduced refund — directly linking TDS accuracy to smooth assessment. An **inoperative PAN** pushes TDS to the higher no-PAN rate — connecting 139AA to the TDS machinery.
- **Residential status (Chapter 2):** a resident with foreign assets must file **irrespective of income** — the filing obligation enforces the global-income principle established there.
- **PAN quoting** threads through property (stamp-duty) and high-value transactions, tying capital-gains and other-source reporting back to a single identity.
- **Penalties and prosecution (assessment-procedure chapter):** the sticks in this chapter (234A/B/C/F) are *civil* charges; on top of them sit **penalties for under-reporting/misreporting (Sec 270A)** and, for wilful failure to file or evasion, **prosecution** — the escalation beyond mere interest. Non-cooperation that triggers a 144 estimate often travels with a 270A penalty exposure.
- **Return processing vs assessment finality:** a 143(1) intimation is *not* an assessment; the department can still select the case for 143(3) scrutiny within the notice window, and thereafter reopen under 147/148 for escaped income — so "I got my refund" does *not* mean "my case is closed forever." This defeats a common student assumption.

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8. Traps & Examiner Tricks

1. **The threshold is tested *before* Chapter VI-A deductions.** Students subtract 80C first and wrongly conclude "no need to file." Always compare the **pre-deduction** income to the exemption limit — and remember certain **capital-gains rollover exemptions** are added back too for this test.
2. **234F is a *fee*, not interest, and not tax.** It is a flat amount, does not depend on tax due, and is not deductible or refundable. Do not compute it month-wise. It bites **even when unpaid tax is nil.**
3. **234A vs 234B/234C confusion.** 234A = late *return*; 234B/234C = late *advance-tax payment*. You can owe 234B/C with a perfectly timely return. Part of a month counts as a **whole** month for all three. **234A is charged only on *unpaid* tax** (after TDS/advance tax) — nil if prepaid taxes already covered the bill.
4. **"Revised return" is not for latecomers.** You can revise only if you *filed* (original or belated). A revision replaces the original; it does not create a fresh right to file if you never filed at all — that would be belated (139(4)) or updated (139(8A)). Revision **cannot un-belate** a late original or restore lost loss carry-forwards.
5. **Updated return is pay-more-only.** If the correction reduces tax, produces a refund, or shows/increases a loss, an updated return is **not** available. It is also **barred** where a search/survey has begun or an assessment is pending/complete, and can be filed **only once** per AY. This cluster is the single most tested feature of Sec 139(8A).

6. **An uncured defective return becomes *invalid* — treated as never filed.** Students assume a defect is a minor formality. It can wipe out your filing date and loss carry-forward. Cure it first, before anything else. But note: the return is *not* invalid until the cure period lapses, and the AO may condone a late cure.
7. **No 143(3) scrutiny without a valid, in-time 143(2) notice.** If the department misses the 143(2) time limit, it **cannot** scrutinise — a classic "the AO's order is bad in law" answer. Do not confuse the **143(2) gateway notice** with the **142(1) inquiry notice**.
8. **143(1) is mechanical only — but not lawless.** It cannot make judgmental disallowances or investigate; and even its permitted adjustments require a **prior proposal + 30-day response** before increasing tax/reducing a refund. If a question describes the CPC "examining evidence," "calling for explanation of a transaction," or "silently raising demand with no prior intimation," that is a defective or wrong-lane action.
9. **Best judgment (144) must still be reasonable.** An answer that lets the AO pick any number is wrong — the estimate must rest on material and follow a show-cause opportunity (save the narrow dispensation). It is a *best honest estimate*, not a punishment figure.
10. **PAN inoperative ≠ PAN cancelled.** Non-linking with Aadhaar makes PAN *inoperative* (higher TDS, blocked refunds, no interest on refund), not deleted. The person still "has" a PAN. Watch the wording.
11. **Working partner of an audited firm → 31 October, not 31 July.** The due date follows the *dependency* (the firm's audit), not the individual label.
12. **Audit report has its own earlier deadline** (broadly one month before the return due date). Sequence: audit report → return. A question giving both dates tests whether you keep the order.
13. **140A appropriation order is fee → interest → tax.** A shortfall therefore leaves *tax* unpaid, making the person an assessee-in-default. Do not appropriate to tax first.
14. **A 143(1) intimation/refund is not final.** Scrutiny (143(2)/143(3)) and reassessment (147/148) can still follow within their windows. "Refund received" ≠ "case closed."

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9. First-Principles Recap

Strip everything away and the chapter is one bargain:

> The State cannot compute your tax, so **you declare it (return, Sec 139) and pre-pay it (advance tax during the year + self-assessment tax at filing, Sec 140A)**. To keep the declaration honest, the State keeps a **graded verification machine**: a cheap automated check on every return **(143(1), mechanical but with a prior-proposal safeguard)**, a rare human deep-dive on selected ones **(143(3), gated by a timely 143(2) notice, worked with 142(1) inquiries and — if needed — a 142(2A) special audit, now largely faceless under 144B)**, a punitive estimate for those who won't cooperate **(144)**, and a re-opening lane for income that escaped **(147/148)** — every one of these clocked by time limits so the threat cannot hang forever. Because deadlines mean nothing without a price, lateness costs a **regulatory fee (234F)** and **compensatory interest (234A on unpaid tax; 234B/234C on advance-tax slippage)**; because honesty should be rewarded, the law offers second chances graded by lateness and by the *direction of tax* — **revise** an error either way (139(5)), file **belated** at a cost (139(4)), or voluntarily **come clean and pay more** (139(8A), pay-more-only). Every person is welded to one identity via **PAN (139A) linked to Aadhaar (139AA)** so nothing can be hidden by splitting identities. Get the *purpose* — declare, pre-pay, verify on a clocked ladder, price lateness, reward honest correction, fix identity — and every section number is just a label on a part you already understand.

10. Quick-Revision Sheet

Who files (Sec 139(1)): income **before Chapter VI-A** (and before specified capital-gains rollover exemptions) > basic exemption; companies/firms always; residents with foreign assets always; certain exemption-claiming bodies if pre-exemption income exceeds limit; 7th proviso high-value triggers (big deposits, foreign travel, electricity, turnover, high TDS/TCS) even if income is below the limit.

Due dates (verify): audit cases & partners of audited firms 31 Oct · TP report (92E) 30 Nov · everyone else 31 July. **Audit report itself is due ~1 month earlier than the return.**

Return types: - Original — 139(1), on or before due date; only these can carry forward most losses. - Belated — 139(4), after due date up to the cut-off; costs 234F + 234A; **most losses forfeited** (house-property loss & unabsorbed depreciation survive). - Revised — 139(5), to fix a bona fide error (up or down); replaces original; relates back; same cut-off; can revise a belated return; any number of times. - Updated — 139(8A), multi-year window; **pay-more only** (no refund/loss/reduction); **once per AY**; barred if search/survey/assessment involved; normal tax + interest + rising additional tax. - Defective — 139(9), cure in 15 days (extendable) or return is **invalid** (never filed); AO may condone late cure.

Identity: PAN — 139A (unique lifelong number, quote in high-value deals; wide who-must-obtain list). Aadhaar link — 139AA (non-link → PAN **inoperative**: higher TDS, no refund, no interest on refund — not cancelled).

Assessments: - 140A — self-assessment (pay before filing); shortfall appropriated **fee → interest → tax**; leftover = tax default. - 143(1) — CPC summary/arithmetic; intimation within 9 months of FY-end of filing; **mechanical only**; adjustments need prior proposal + 30-day response; deemed demand/refund order. - 142(1) — inquiry notice (produce return/accounts/information); 142(2A) — AO-directed **special audit** by a CA, department pays. - 143(3) — scrutiny; **needs 143(2) notice in time** (approx. 3 months from FY-end of filing); order within outer time limit; **faceless (144B)** — anonymous units + review + VC hearing. - 144 — best judgment (non-filing / ignoring 142(1)/143(2)/142(2A)); **honest estimate** after show-cause. - 147/148 — reassessment of **escaped income** within statutory limits (idea-level; verify).

Price of lateness: - 234F — flat late-filing **fee** (tiered by total income); bites even if tax nil. - 234A — 1%/month on **unpaid** tax, due date → filing date (late **return**). - 234B — 1%/month, advance-tax shortfall (< 90% paid), from 1 April of AY. - 234C — 1%/month, missed advance-tax **instalments** (per-instalment periods only). (Part month = full month for all three; A/B/C compensatory, F regulatory.)

One-line spine: *Declare and pre-pay; the State verifies on a clocked, graded ladder; lateness is priced by compensation and a flat fee; honest correction is given second chances graded by lateness and direction of tax; identity is fixed by PAN-Aadhaar.*

> **Reminder:** verify all dates, the 234F fee amounts, interest rates, the updated-return window and its additional-tax slabs, the 143(1)/143(2)/143(3)/144 and 147/148 time limits, the 140A appropriation order, and the current 7th-proviso and PAN-inoperative consequences against current ICAI material for your Assessment Year.

Q&A — Return Filing & Assessment

Income-tax Act, 1961. All monetary limits, due dates and rates are AY-specific — **verify against the AY applicable to your attempt** (illustrations use AY 2025-26 unless stated). Rates/limits flagged with ⚠ depend on the applicable AY.

SECTION A — Concept Check (with answers)

A1. What is the "self-declaration + verification bargain" the return system rests on? The taxpayer computes and *declares* his own income and tax (self-assessment, **Sec 140A**); the Department reserves the right to *verify* through a graded scale of assessments (**143(1)** → **143(3)/144**). Trust first, verify later.

A2. Who is *compulsorily* required to file a return under Sec 139(1)? (i) Companies and firms (incl. LLP) — **always**, even at nil/loss income. (ii) Any other person whose total income *before* Chapter VI-A / 54-type exemptions exceeds the basic exemption limit. (iii) Persons hit by the **7th proviso** even if income is below the limit.

A3. State any three triggers under the 7th proviso to Sec 139(1). ⚠ Mandatory filing regardless of income if the person: (a) deposited **> ₹1 crore** in one/more current accounts; (b) spent **> ₹2 lakh** on foreign travel (self/others); (c) paid electricity bills **> ₹1 lakh**; (d) or meets other CBDT-notified high-value criteria (e.g. business turnover > ₹60 lakh, professional receipts > ₹10 lakh, TDS/TCS ≥ ₹25,000 [₹50,000 for senior citizens], savings deposits ≥ ₹50 lakh).

A4. Distinguish belated (139(4)), revised (139(5)) and updated (139(8A)) returns. - **139(4) belated** — return not filed by due date; can be filed up to **31 Dec of AY** or before assessment completion, whichever earlier. Attracts 234A + 234F. - **139(5) revised** — corrects an *omission/wrong statement* in an already-filed return (original or belated); same deadline as belated (31 Dec of AY / before assessment). - **139(8A) updated (ITR-U)** — voluntary return to disclose *additional* income, filed after the 139(4)/(5) window, up to **48 months** ⚠ from end of AY, with additional tax of 25%/50%/60%/70% ⚠ depending on slab of time. Cannot be used to reduce income, claim/increase refund, or report a loss.

A5. When is a return treated as "defective" under Sec 139(9)? When it is incomplete — e.g. annexures/statements missing, tax + interest not paid before filing, accounts not enclosed where required. AO issues notice; assessee gets **15 days** (extendable) to cure; uncured defect → return treated as invalid (as if never filed).

A6. Contrast Sec 143(1), 143(3) and 144. - **143(1)** — *intimation*: automated processing; arithmetic errors, incorrect claims apparent from return adjusted; no discretion, no opinion. - **143(3)** — *scrutiny*: after 143(2) notice; AO examines evidence and passes a reasoned order. - **144** — *best judgment*: AO estimates income when assessee fails to file/comply (with 139/142(1)/143(2)/144 notices).

A7. What links Sec 139A (PAN) and 139AA (Aadhaar)? Every person filing a return must quote **PAN (139A)**; and must quote/link **Aadhaar (139AA)**. An unlinked PAN becomes **inoperative** — return can't be processed, higher TDS applies.

SECTION B — Graded Computational Problems

B1 (Easy) — Section 234F fee + 234A interest ⚠

Q. Mr. A, total income ₹6,80,000 (old regime), self-assessment tax payable after TDS = ₹12,000. Due date 31 Jul 2025; he files on 20 Nov 2025. Compute 234F fee and 234A interest.

Solution. - **234F fee:** Income > ₹5 lakh and return filed after due date → **₹5,000**. *(If total income ≤ ₹5 lakh, capped at ₹1,000.)* - **234A interest:** 1% p.m. / part-month on unpaid self-assessment tax, from day after due date to date of filing. - Period: Aug, Sep, Oct, Nov (part) = **4 months**. - Interest = ₹12,000 × 1% × 4 = **₹480**. - **Total late cost = ₹5,000 + ₹480 = ₹5,480.**

B2 (Moderate) — Belated return: loss carry-forward denial

Q. Firm XYZ has business loss ₹3,00,000 and unabsorbed depreciation ₹1,00,000 for PY 2024-25. Due date 31 Oct 2025; it files belated on 15 Dec 2025. What can be carried forward?

Solution. - **Business loss ₹3,00,000:** Sec 80 requires the return to be filed **within 139(1) due date** for a business loss to be carried forward. Belated filing → **cannot carry forward** the ₹3,00,000. - **Unabsorbed depreciation ₹1,00,000:** Governed by **Sec 32(2)**, *not* Sec 80/139(3). It carries forward **even on a belated return → ₹1,00,000 c/f allowed.** - **Trap:** examiners mix these; only depreciation (and House Property loss u/s 71B) survive a late return.

B3 (Moderate-Hard) — 234A + 234B + 234C interplay

Q. Mr. B, AY 2025-26, assessed tax (tax on total income − TDS) = ₹1,00,000. Advance tax paid: ₹0. Due date 31 Jul 2025; return + full self-assessment tax paid on 10 Oct 2025. Compute 234A, 234B (ignore 234C detail — state treatment).

Solution. - **234B (default in payment of advance tax):** advance tax paid < 90% of ₹1,00,000, so 234B applies. 1% p.m. from **1 Apr 2025** to date of determination/self-assessment payment (Oct 2025). - Apr–Oct = **7 months** × 1% × ₹1,00,000 = **₹7,000.** - **234A (default in furnishing return):** 1% p.m. on unpaid tax from **1 Aug 2025** (day after due date) to 10 Oct 2025. - Aug, Sep, Oct(part) = **3 months** × 1% × ₹1,00,000 = **₹3,000.** - **234C (deferment):** charged on shortfall in each quarterly instalment (15%/45%/75%/100%). Since ₹0 advance tax was paid, 234C is also attracted on each instalment shortfall — computed separately per due date (15 Jun/15 Sep/15 Dec/15 Mar). - **234A + 234B here = ₹3,000 + ₹7,000 = ₹10,000** (plus 234C and 234F ₹5,000).

B4 (Exam-Hard) — Updated return (ITR-U) full cost, reconciled ⚠

Q. Mr. C did not file for AY 2024-25 (due date passed, 139(4) window over). On 5 May 2026 he files an updated return u/s 139(8A) disclosing total income ₹9,00,000 (new regime). Assume tax on ₹9,00,000 = ₹42,500 (incl. cess) ⚠, TDS ₹10,000, no advance tax. Compute total payable.

Solution — step by step. 1. **Tax on total income:** ₹42,500. 2. **Less TDS:** ₹10,000 → balance ₹32,500. 3. **Interest 234A/234B/234C** (advance tax nil, return late): compute on ₹32,500. - 234B: 1 Apr 2024 → May 2026 ≈ 26 months × 1% × ₹32,500 ≈ ₹8,450 (illustrative). - 234A: from day after due date to date of furnishing updated return. - 234C: instalment shortfalls. - *For exam, show the aggregate interest figure; assume total interest ₹12,000.* 4. **234F late fee:** ₹5,000. 5. **Aggregate tax + interest + fee (before additional tax):** ₹32,500 + ₹12,000 + ₹5,000 = **₹49,500.** 6. **Additional tax u/s 140B:** filed within **12 months** ⚠ from end of AY (end of AY = 31 Mar 2025; 5 May 2026 is within 12–24-month band) → **50%** ⚠ of (tax +

interest). - Additional tax = 50% × (₹32,500 + ₹12,000) = 50% × ₹44,500 = **₹22,250.** *(140B additional tax is on tax + interest, not on the late fee.)* 7. **Total payable with ITR-U = ₹32,500 + ₹12,000 + ₹5,000 + ₹22,250 = ₹71,750.**

> Reconciliation check: additional tax band (25% if within 12 months of AY-end; 50% if 12–24 months; 60%/70% for later extended bands ⚠). Confirm the band by counting months from **end of AY**, not from due date.

SECTION C — Past-Paper-Style Full Questions

C1. "Examine with reasons whether the following persons must file a return u/s 139(1) for AY 2025-26." ⚠

(a) A private company with nil income. (b) An individual (age 45) with gross total income ₹2,80,000 before 80C deduction of ₹40,000. (c) A resident individual, income ₹2,00,000, who deposited ₹1.5 crore in a current account.

Model Answer. - **(a)** Company must file **irrespective of income/loss** — Sec 139(1) proviso (clause a/b covers companies & firms). **Return mandatory.** - **(b)** GTI ₹2,80,000 is compared **before** Chapter VI-A deduction. Basic exemption ⚠ ₹2,50,000 (old regime). ₹2,80,000 > ₹2,50,000 → **return mandatory**, even though income after 80C (₹2,40,000) falls below the limit. Classic trap: the limit test is on income *before* deductions. - **(c)** Income ₹2,00,000 < exemption limit, but deposit of ₹1.5 crore (> ₹1 crore) in a current account triggers the **7th proviso** → **return mandatory.**

C2. "Mr. D filed his original return on 25 Jul 2025 (due date 31 Jul 2025) but later found he omitted interest income of ₹50,000. Advise on revising, and till when."

Model Answer. - Omission in a filed return is corrected by a **revised return u/s 139(5)**. Original was filed on time, so revision is available. - Deadline: **31 Dec 2025** (three months before end of AY) or completion of assessment, whichever is **earlier**. - A revised return **substitutes** the original entirely; the original is treated as withdrawn. Multiple revisions are allowed within the time limit. No 234F fee purely for revising (original was timely), but 234B/234C interest on the additional tax on ₹50,000 applies.

C3. "State the consequences of a defective return u/s 139(9) and the assessee's remedy."

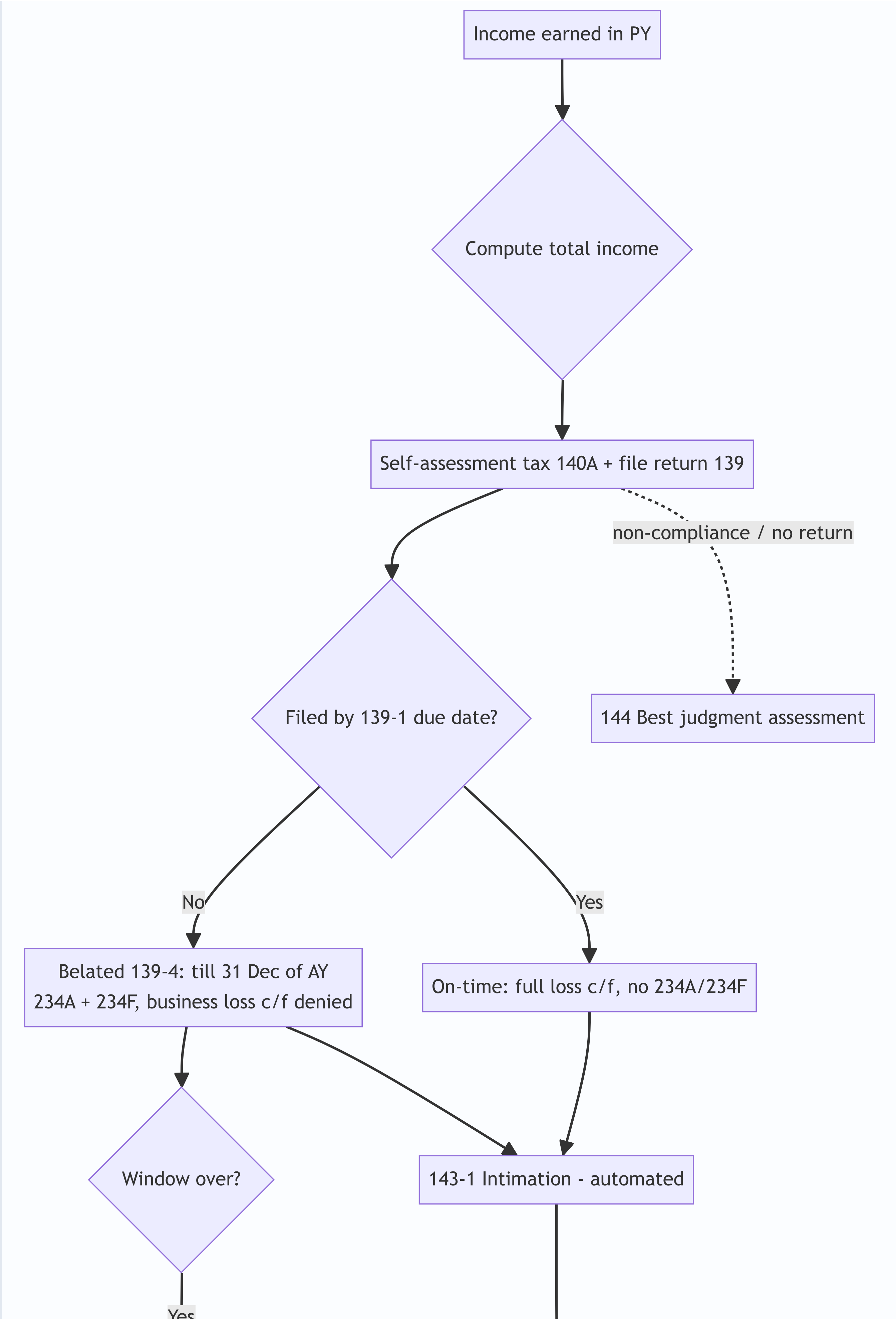
Model Answer. - AO issues a notice specifying the defect; assessee has **15 days** (AO may extend on application) to rectify. - If **cured within time** → return valid from original date of filing. - If **not cured** → return treated as **invalid** — legal position is as if **no return was filed**, exposing the assessee to 139(4) belated consequences, 234A/234F, best-judgment assessment u/s 144, and loss of carry-forward benefits. - If the assessee rectifies after 15 days but before assessment is completed, the AO **may** condone the delay and treat it as valid.

C4. "Explain the assessment ladder and how each stage escalates."

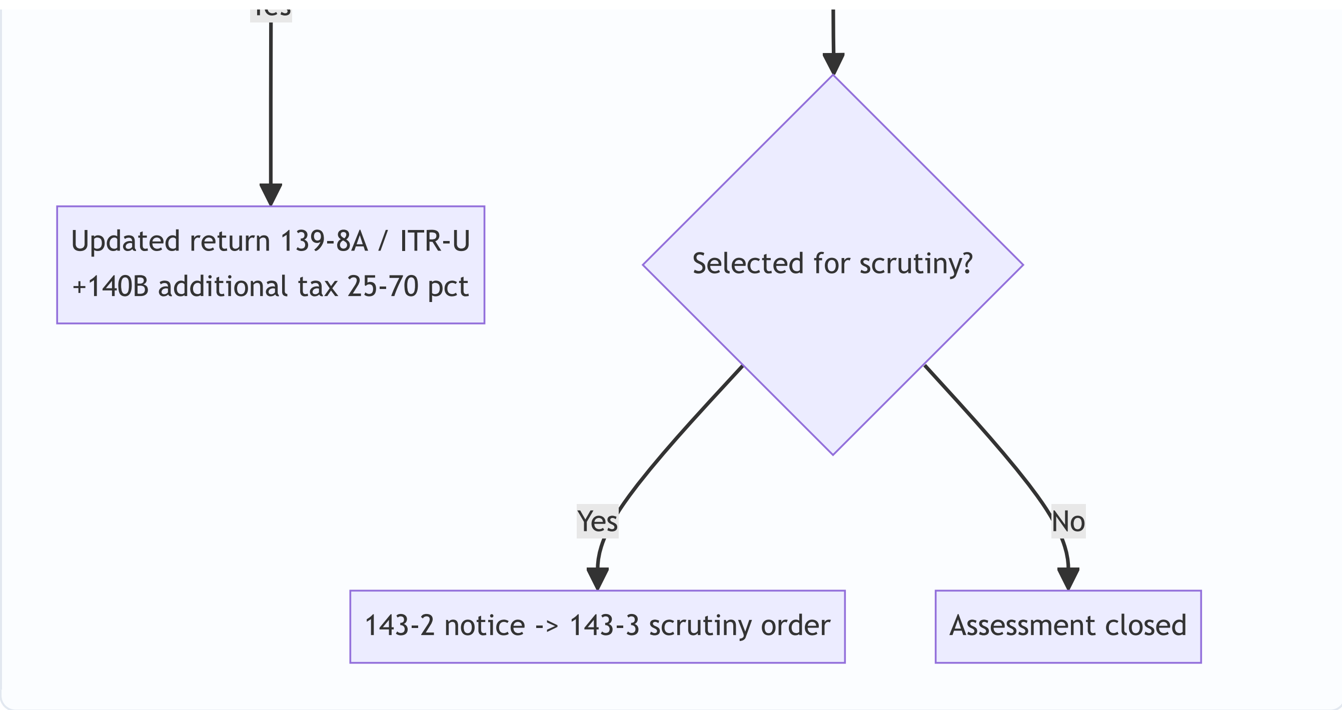
Model Answer. - **140A Self-assessment:** assessee pays tax + interest + fee before filing; foundation of self-declaration. - **143(1) Intimation:** automated; only apparent adjustments (arithmetical errors, internally inconsistent/incorrect claims); refund/demand computed. No hearing. - **143(3) Scrutiny:** requires **143(2)**

notice served within the prescribed period; AO examines evidence, hears assessee, passes reasoned order. - **144 Best judgment:** invoked on non-compliance/non-filing; AO estimates income *fairly* after giving a show-cause opportunity; can't be arbitrary. - Escalation logic: cheap/automated verification first, human scrutiny only for flagged cases, coercive estimation only when the taxpayer breaks the bargain.

Assessment / Return Flow (Mermaid)



Income earned in PY
Compute total income
Self-assessment tax 140A + file return 139
non-compliance / no return
144 Best judgment assessment
Filed by 139-1 due date?
No
Yes
Belated 139-4: till 31 Dec of AY
234A + 234F, business loss c/f denied
On-time: full loss c/f, no 234A/234F
Window over?
143-1 Intimation - automated



SECTION D — MCQs & Case Scenarios

D1. The due date u/s 139(1) for a company (not requiring transfer-pricing report) for AY 2025-26 is: ⚠ (a) 31 Jul (b) **31 Oct** (c) 30 Nov (d) 31 Dec **Answer: (b).** Companies (and any assessee requiring audit) → 31 Oct; TP cases (92E report) → 30 Nov.

D2. A belated return u/s 139(4) for AY 2025-26 can be filed latest by: ⚠ (a) 31 Mar 2026 (b) **31 Dec 2025** (c) 31 Jul 2025 (d) 30 Sep 2026 **Answer: (b).** 31 Dec of the AY, or before assessment, whichever earlier.

D3. Which loss can be carried forward even if the return is belated? (a) Business loss (b) Speculation loss (c) **Unabsorbed depreciation** (d) Capital loss **Answer: (c).** Sec 32(2) is outside the 80/139(3) timely-filing bar.

D4. Maximum 234F fee where total income exceeds ₹5,00,000: ⚠ (a) ₹1,000 (b) **₹5,000** (c) ₹10,000 (d) ₹200/day **Answer: (b).** ₹5,000; reduced to ₹1,000 if total income ≤ ₹5 lakh.

D5. An updated return u/s 139(8A) **cannot** be filed if it: (a) increases income (b) **results in a refund or reduces total income** (c) pays additional tax (d) discloses a new source **Answer: (b).** ITR-U only for *additional* income/tax; no loss, no refund, no reduction.

D6. Sec 143(1) intimation permits the AO to: (a) examine books (b) **make arithmetical corrections/disallow apparent incorrect claims** (c) estimate income (d) impose penalty for concealment **Answer: (b).** 143(1) is automated; no judgment or hearing.

D7 (Case). Ms. E's PAN is not linked with Aadhaar. She files a return. Consequence? **Answer:** Under **139AA**, PAN becomes **inoperative** — return not processed, refunds withheld, and **higher TDS/TCS** rates apply until linkage. She must link (with fee) to make PAN operative.

D8 (Case). Mr. F, non-resident, earns only ₹1,80,000 Indian income (below limit) but wants to carry forward a capital loss of ₹2,00,000. Must he file, and by when? **Answer:** To carry forward the capital loss (Sec 74 read with **139(3)**), the return **must be filed within the 139(1) due date**. Though income is below the exemption limit, he must file **on time** to preserve the loss; a belated return forfeits carry-forward. Residential status affects scope of income but not this timing rule.

D9. 234B interest is charged when advance tax paid is less than: (a) 100% (b) **90%** (c) 75% (d) 45% of assessed tax **Answer: (b).** < 90% of assessed tax attracts 234B (1% p.m. from 1 Apr of AY).

D10 (Case). A firm files its return showing a business loss on 5 Nov 2025 (due date 31 Oct 2025). AO issues a 143(2) notice and later a 144 order. Identify the errors in the firm's position. **Answer:** (i) Filing on 5 Nov is **belated** → business loss carry-forward **denied** (Sec 80). (ii) 234A + 234F apply. (iii) A 143(2)/143(3) route needs cooperation; failure invites **144 best judgment**. The firm should have filed by 31 Oct to protect the loss and avoid escalation.

Quick-Revision Trap List (examiner favourites)

1. Exemption-limit test is on income **before** Chapter VI-A.
2. Companies/firms file **even at nil/loss**.
3. **Depreciation & HP loss** carry forward on belated return; **other losses don't**.
4. Revised return **replaces** original; belated return **can** be revised.
5. **139(8A)** never for refund/loss/reduced income.
6. 234F: ₹5,000 (>₹5L) vs ₹1,000 (≤₹5L).
7. 234A from **day after due date**; 234B from **1 Apr of AY**.
8. 140B additional tax counts months from **end of AY**, on **tax + interest** (not fee).
9. Defective return uncured = **invalid = never filed**.
10. Inoperative PAN (Aadhaar not linked) → return not processed + higher TDS.

> First-principles recap: **declare honestly (140A), file on time (139(1)) to keep your rights (losses, no fees), and the State verifies proportionately (143(1)→143(3)→144).** Every penalty (234A/B/C/F) prices a specific breach of that bargain.

Chapter 12 — Computation of Total Income & Tax Liability

> **Rates / limits / regime flag:** Slab rates, the default status of the new regime (Sec 115BAC), the rebate ceiling under Sec 87A, surcharge thresholds and caps, and even the LTCG rate under Sec 112A have all been repeatedly amended by recent Finance Acts. This chapter fixes the **sequence and the logic** — which never changes — and treats the numbers as *plug-in values*. **Always verify the exact slab rates, the 87A rebate limit, surcharge slabs and the applicable Assessment Year against current ICAI study material for your attempt.** Figures used here reflect the widely examined **AY 2025-26** position; confirm before your sitting.

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1. The Problem — Five separate streams, one taxpayer, one tax

Every earlier chapter taught you to compute income under *one* head in isolation. A salaried consultant might simultaneously draw a salary, rent out a flat, trade in shares, run a small proprietary side-business, and earn bank interest. By the time you finish Chapters 3 to 6 you can compute each of these five figures perfectly — but the Income-tax Act does **not** tax a person head-by-head. It taxes a *person* on a *single* number called **Total Income**.

So a real problem appears the moment you have more than one source:

Problem 1 — Heads must be combined, but not naively. You cannot simply add five positive numbers. What if the house property shows a *loss* (interest on housing loan exceeds rent)? What if the business made a loss? Losses in one head may or may not be allowed to reduce income of another head, and the rules differ by head. A wrong set-off produces the wrong Total Income and the wrong tax.

Problem 2 — Some income isn't really the taxpayer's — it was diverted. A person can try to shrink his own income by parking assets in a spouse's or minor child's name. The law must *claw that income back* (clubbing) **before** it lets losses and deductions apply, or the whole edifice can be gamed.

Problem 3 — Not all income is taxed at the same rate. Long-term capital gains, short-term gains on listed shares, and lottery winnings each carry their **own** special rate. If you dumped them into the slab system, you would either over-tax or under-tax them. So Total Income must be *split* into "special-rate income" and "normal-rate income" before tax is applied.

Problem 4 — Deductions, rebates, surcharge and cess each attach at a different stage. Chapter VI-A deductions come off *before* Total Income; the 87A rebate comes off the *tax*; surcharge is a percentage *of tax*; cess sits *on top of tax-plus-surcharge*. Apply them in the wrong order and every downstream figure is wrong.

Problem 5 — The taxpayer gets to choose the rulebook. Since AY 2024-25 the new regime (Sec 115BAC) is the *default*, but the assessee may opt out. The regime does not merely change slab rates — it switches *entire deductions and exemptions on and off*. This means Problems 1 to 4 must sometimes be solved **twice**, once under each regime, and the answer to "what is the tax?" is "which regime, computed in full?" Assembly is therefore not a single pass but potentially a *pair* of parallel passes whose totals are then compared.

The single skill this chapter builds is **assembly** — taking five verified head-figures and driving them through a **fixed pipeline** to arrive at tax payable. In the exam this is the "full computation" question, and it is where marks are won or lost not on knowing a section, but on **doing the steps in the right order**.

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2. The Core Idea

> **Total Income is built bottom-up in a strict, non-negotiable order — aggregate the five heads, claw back clubbed income, apply inter-head set-off and carry-forward, arrive at Gross Total Income, subtract Chapter VI-A deductions to get Total Income, then split it into special-rate and slab-rate portions, apply the chosen regime's rates, and finally layer rebate → surcharge → cess → relief to reach the tax actually payable.**

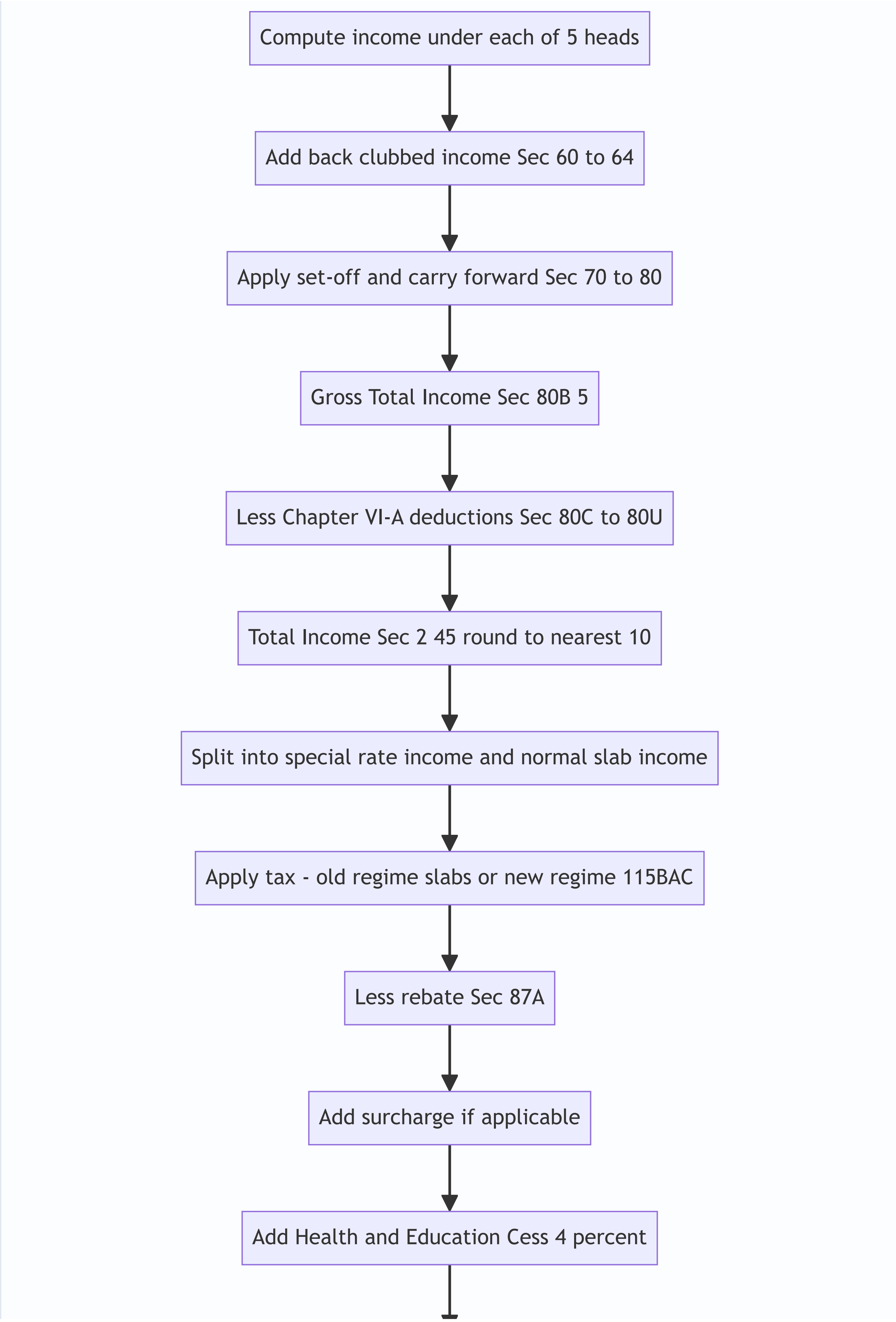
The order is not a convention — it is *logically forced*. Each step consumes the output of the previous one and cannot run before it:

1. You cannot set off a loss until you know each head's figure (so **aggregation** precedes **set-off**).
2. You cannot set off *your* losses against income that was never truly yours (so **clubbing** precedes **set-off**).
3. Chapter VI-A deductions are capped at Gross Total Income and cannot be claimed against most special-rate incomes (so **GTI** must exist first, and **special incomes** must be identified).
4. A rebate is a discount *on tax*, so **tax** must be computed before **rebate**; surcharge is a levy on high **tax**, so it follows; cess funds education and health *on the whole tax bill*, so it sits last but one; relief for double-taxed or bunched income is the final adjustment.

Memorise the pipeline as a chant: **Heads → Club → Set-off → GTI → VI-A → TI → Rate → Rebate → Surcharge → Cess → Relief → Tax Payable → less prepaid taxes.** Everything else in this chapter is that chant, expanded.

Why the order cannot be resequenced — a stress test. Ask "what breaks if I swap two adjacent steps?" and you will see the ordering is not arbitrary but *load-bearing*: - Swap VI-A **before** set-off, and a person could claim ₹1,50,000 of 80C against a head that is about to be wiped out by a loss — double benefit. - Swap surcharge **before** rebate, and the rich would compute surcharge on a tax figure that has not yet been reduced (a minor case) but, more damagingly, a small taxpayer would face surcharge maths before the rebate zeroed his tax. - Swap cess **before** surcharge, and the 4 percent would sit on a smaller base, understating cess for high earners. - Swap the special-income carve-out **after** VI-A, and deductions would wrongly shelter LTCG.

Each swap produces a *specific, predictable* wrong number. That is the surest proof the sequence is logic, not ritual — and it is why examiners can set a trap at any single rung and know exactly which candidates skipped it.


Compute income under each of 5 heads
Add back clubbed income Sec 60 to 64
Apply set-off and carry forward Sec 70 to 80
Gross Total Income Sec 80B 5
Less Chapter VI-A deductions Sec 80C to 80U
Total Income Sec 2 45 round to nearest 10
Split into special rate income and normal slab income
Apply tax - old regime slabs or new regime 115BAC
Less rebate Sec 87A
Add surcharge if applicable
Add Health and Education Cess 4 percent

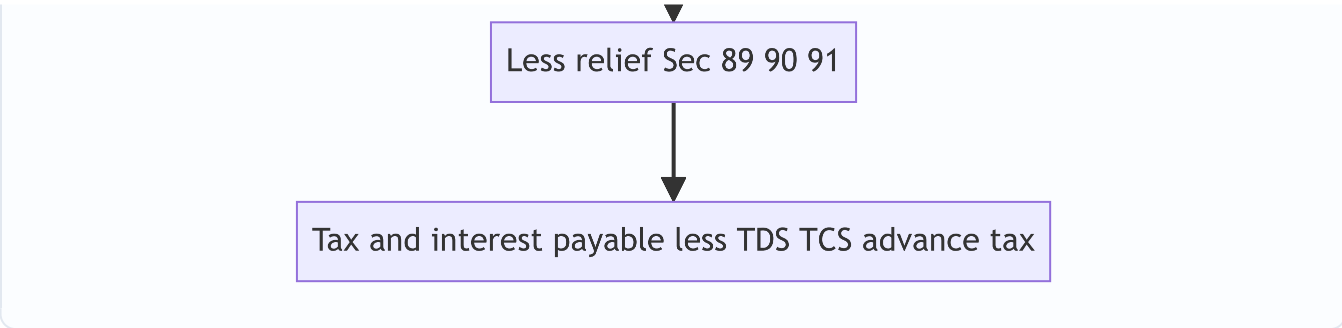


Figure 1 — The master computation pipeline. Every full-computation question is a walk down this single ladder.

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3. Why It's Built This Way — the design logic behind each stage

Before the sections, understand *why* each rung exists. Every rule below is one of these design choices in disguise.

Stage	The problem it solves	How the Act implements it
Five separate heads (Sec 14)	Different incomes need different rules	Salary, House Property, PGBP, Capital Gains, Other Sources
Clubbing (Sec 60-64)	Income-splitting within a family	Deemed inclusion in transferor's income
Set-off (Sec 70-71)	Loss in one activity is a real economic loss	Intra-head then inter-head adjustment
Carry-forward (Sec 72-74A)	A loss too big for this year is still real	Carried to future years with head restrictions
GTI cap on VI-A (Sec 80A)	You cannot deduct more than you earned	VI-A deductions ≤ GTI, cannot create a loss
Special rates (111A, 112, 112A, 115BB)	Some income is not "ordinary"	Taxed at flat rates, outside the slab
Rebate 87A	Small taxpayers should pay nothing	Rebate wipes out tax below a threshold
Surcharge	The very rich should pay proportionately more	Percentage add-on above income thresholds
Cess	Earmarked funding for health and education	4 percent on tax + surcharge
Relief 89 / 90 / 91	Bunching of arrears and double taxation are unjust	Spread-back and foreign-tax credit

The elegance is that **the pipeline is a filter that gets progressively narrower and more precise.** Early stages decide *how much* is income; middle stages decide *how much is taxable*; late stages decide *how much tax*; the last stage decides *how much cash to send the government*. Each stage answers exactly one question, and answers it completely, before handing off.

A deeper reading — three "currencies" flow through the pipeline. Notice that the ladder does not deal in one quantity but three, and the boundary between them is exactly where students slip: 1. **Income rupees**

(Stages 1–6): everything up to Total Income is measured in *income*. Set-off, clubbing and VI-A all act on income. 2. **Tax rupees** (Stages 7–10): from the moment rates are applied, we manipulate *tax*. Rebate, surcharge and cess are all in the tax currency. 3. **Cash rupees** (Stage 12): prepaid taxes and interest convert the tax liability into an actual *payable/refund*.

The three notorious errors — deducting 80C from *tax*, adding surcharge to *income*, or netting TDS against *income* — are all **currency-confusion errors**: applying a Stage-7-to-10 (tax) operation in the income zone, or vice-versa. If you always ask "am I in income rupees or tax rupees right now?", these mistakes become impossible.

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4. Full Technical Content

4.1 Stage 1 — Aggregate the five heads (Sec 14)

Section 14 classifies **all** income into five heads. You compute each head's net figure using its own chapter's rules, then list them:

Head	Governing sections	Note
Salaries	15-17	After standard deduction
Income from House Property	22-27	After 30 percent standard deduction and interest
Profits & Gains of Business or Profession	28-44	After all allowances / disallowances
Capital Gains	45-55A	Split into STCG and LTCG, some at special rates
Income from Other Sources	56-59	The residuary head

At this stage a head can be **negative** (a loss) — except that certain heads (e.g., salary) cannot be negative, and long-term capital *gain* cannot be reduced by a short-term loss beyond the set-off rules. Keep each head's figure separate; do not net across heads yet.

Finer distinctions the exam tests at Stage 1: - **Salary can never be negative.** There is no such thing as a "salary loss." If professional tax plus standard deduction exceed a tiny salary, the head is floored at nil, not carried negative. Examiners plant a large deduction against a small salary to see if you carry a negative figure — you must not. - **Capital Gains is *internally* split before it even enters the pipeline.** STCG-111A, STCG-other, LTCG-112, LTCG-112A are *four different animals* with different rates and different set-off treatment. Do not collapse them into a single "Capital Gains" line; carry each sub-figure separately from the very start, because they diverge at Stages 5 and 7. - **Income from Other Sources is the "catch-all".** Anything that is income but fits no other head lands here (Sec 56). Casual income (lottery, 115BB) sits inside Other Sources but is ring-fenced: no deduction, no set-off against it, no basic-exemption absorption. - **Deemed incomes** — unexplained cash credits (68), unexplained investments (69), etc. — are taxed under Sec 115BBE at a **flat 60 percent + 25 percent surcharge + cess** (an effective ~78 percent), with *no* deduction and *no* set-off of any loss. These masquerade as Other Sources but carry their own punitive rate; flag them separately if the problem hints at unexplained money.

4.2 Stage 2 — Clubbing of income (Sec 60-64)

Why first: If a taxpayer transfers *income* without transferring the *asset*, or diverts income to a spouse / minor / son's wife, the Act treats that income as still belonging to the transferor. This must happen **before** set-off, because otherwise a taxpayer could shed income to a relative and then set his own losses against a now-artificially-low income.

Key provisions (each detailed in the clubbing chapter): - **Sec 60** — transfer of income without transfer of asset → clubbed. - **Sec 64(1)(ii)/(iv)/(vi)/(vii)** — income to spouse / son's wife from transferred assets → clubbed. - **Sec 64(1A)** — minor child's income clubbed with the parent whose income is higher, with an exemption of **₹1,500 per child** (Sec 10(32)). - **Sec 64(2)** — income of HUF from converted individual property.

The clubbed amount is added to the *relevant head* of the transferor (e.g., clubbed interest goes under Other Sources).

Finer distinctions the exam tests at Stage 2: - **A clubbed *loss* is also clubbed.** Clubbing is not one-directional. If the transferred asset produces a loss (e.g., a let-out flat gifted to spouse runs a house-property loss), that loss is clubbed in the transferor's hands and can be set off by *him* — a favourite twist because students assume clubbing only adds income. - **The clubbed income keeps its character.** Clubbed business income stays PGBP, clubbed rent stays House Property, clubbed interest stays Other Sources. This matters because set-off at Stage 3 is *head-sensitive* — you cannot set a business loss against clubbed salary. - **Minor's exemption is per child, capped at the income.** The ₹1,500 (Sec 10(32)) is per child and *cannot exceed* that child's clubbed income — a child earning ₹1,000 gives only ₹1,000 exemption, not ₹1,500. It is unavailable in the **new regime**. - **Cross-generation "layering" is caught.** Income from assets transferred to a minor, then reinvested, is still traced back; and accretion-on-accretion is generally *not* clubbed (only the first-level income is). Know where the chain stops.

4.3 Stage 3 — Set-off and carry-forward (Sec 70-80)

This is the most error-prone stage. Two levels:

Intra-head set-off (Sec 70): A loss under a head is first set off against income under the *same* head. Exceptions that examiners love: - **Speculation business loss** — only against speculation profit. - **Long-term capital loss (LTCL)** — only against **long-term** capital gain (never STCG). - **Short-term capital loss (STCL)** — against STCG **or** LTCG. - **Loss from owning/maintaining race horses** — only against same.

Inter-head set-off (Sec 71): A loss remaining under one head is set off against income under *another* head, **with restrictions**: - **House property loss** — set off against any head but **capped at ₹2,00,000** per year against other heads (Sec 71(3A)); the balance is carried forward. - **Capital gains loss** — *cannot* be set off against any other head at all. - **Business loss** — cannot be set off against **salary**. - **Casual income (lottery etc.)** — no loss can be set off against it, and it cannot be reduced by any deduction.

Carry-forward (Sec 72-74A): What survives set-off is carried forward, each with its own life and its own restriction on *what it can later be set off against*:

Loss type	Section	Carry-forward period	Can be set off in future only against
House property loss	71B	8 years	House property income
Non-speculation business loss	72	8 years	Business income (any business)
Speculation loss	73	4 years	Speculation income
Specified business (35AD) loss	73A	Indefinite	Specified business income
Short-term capital loss	74	8 years	STCG or LTCG
Long-term capital loss	74	8 years	LTCG only
Race-horse loss	74A	4 years	Race-horse income
Unabsorbed depreciation	32(2)	Indefinite	Any income except salary

> **Memory hook:** "*Business and capital losses need the return filed on time (Sec 139(1)) to be carried forward; house property loss and unabsorbed depreciation do not.*" This is Sec 80's condition — file late and you forfeit carry-forward of business/capital/speculation/race-horse losses.

The output of this stage — each head's figure after all legitimate set-offs — sums to **Gross Total Income**.

The order-of-set-off is itself an optimisation problem. Sec 70/71 do not *force* which income a loss is set off against — the assessee chooses so as to minimise tax. The intelligent order is: 1. Set a loss off first against **normal (slab-rate) income**, preserving special-rate incomes for their lower rates and the basic-exemption absorption. 2. Within carried-forward losses, exhaust the loss with the **shortest remaining life** first (speculation/race-horse: 4 years) before longer-lived losses, so nothing lapses unused. 3. **Current-year losses are set off before brought-forward losses**; and within a year the ordering (as per settled practice) is current depreciation → brought-forward business loss → unabsorbed depreciation, because business loss has a finite 8-year life whereas unabsorbed depreciation is immortal. Burn the perishable first.

Sequencing traps to watch: - **Unabsorbed depreciation (Sec 32(2)) is *not* a Chapter VI-B loss** — it merges into the next year's depreciation and can be set off against *any* head except salary, indefinitely, and needs no timely return. Do not lump it with business loss. - **The ₹2,00,000 house-property cap is only on *inter-head* set-off.** *Intra-head*, a house-property loss can be set off against house-property income without any cap. The cap bites only when the loss spills into other heads. - **Losses cannot be set off against casual income (115BB) or against deemed income (115BBE).** These are ring-fenced at both ends — no deduction in, no loss set-off against.

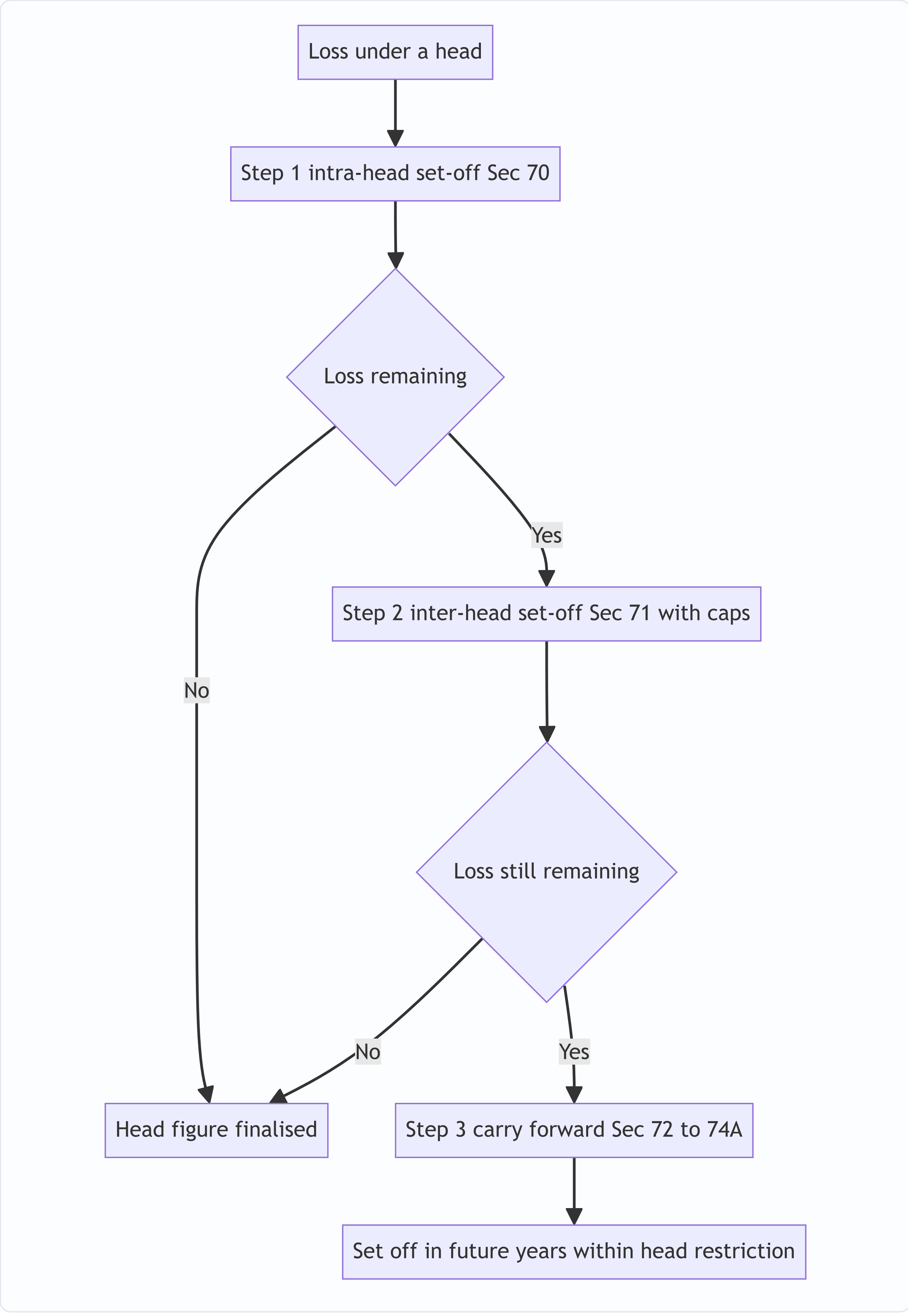
Loss under a head
Step 1 intra-head set-off Sec 70
Loss remaining
No
Yes
Step 2 inter-head set-off Sec 71 with caps
Loss still remaining
No
Yes
Head figure finalised
Step 3 carry forward Sec 72 to 74A
Set off in future years within head restriction

Figure 2 — The three-step waterfall for any loss: same head first, other heads next subject to caps, then carry forward.

4.4 Stage 4 — Gross Total Income (Sec 80B(5))

GTI = sum of the five heads after clubbing and set-off, before Chapter VI-A deductions. This definition matters because Chapter VI-A caps most deductions at GTI — you cannot deduct your way into a loss.

A subtle exam point: GTI is the figure *after* current-year and brought-forward set-offs but *before* VI-A. Several deductions (80G, 80GG, 80GGC) are computed as a percentage of "**adjusted GTI**", which is GTI *minus* the special-rate incomes (111A/112/112A), *minus* other VI-A deductions already claimed, and *minus* certain items. Confusing GTI with adjusted GTI silently overstates 80G. Whenever a deduction says "10 percent of adjusted total income", recompute the base — do not reuse plain GTI.

4.5 Stage 5 — Chapter VI-A deductions (Sec 80C to 80U)

Why after GTI, not within a head: These deductions are *policy incentives* (save, insure, donate, repay education loans) granted to the *person*, not features of any income stream. So they sit after all heads are combined.

Two golden restrictions (Sec 80A): 1. Total Chapter VI-A deductions **cannot exceed GTI** — they can reduce Total Income to nil but never below. 2. Deductions under this Chapter are **not allowed against**: LTCG (112/112A), STCG on listed shares (111A), and casual income (115BB). So you must **first remove these special-rate incomes from GTI** and grant VI-A deductions only against the *balance*.

The most examined deductions (verify limits for your AY):

Section	For	Ceiling / rule
80C	LIC, PPF, ELSS, principal on housing loan, tuition fees, 5-yr FD	₹1,50,000 (combined with 80CCC & 80CCD(1))
80CCD(1B)	Additional NPS self-contribution	₹50,000 (over and above 80C)
80CCD(2)	Employer's NPS contribution	10 percent of salary (14 percent for govt / new regime)
80D	Health insurance premium	₹25,000 self/family; ₹50,000 if senior; +₹50,000 for senior parents
80DD / 80DDB / 80U	Disabled dependant / medical treatment / self-disability	Fixed amounts
80E	Interest on education loan	No cap, 8 years
80EEA	Interest on affordable housing loan	₹1,50,000 (subject to conditions)
80G	Donations	50 percent or 100 percent, some with 10 percent-of-adjusted-GTI cap
80GG	Rent paid (no HRA)	Least of ₹5,000 p.m. / 25 percent of AGTI / rent minus 10 percent AGTI
80TTA / 80TTB	Savings interest / senior citizen interest	₹10,000 / ₹50,000

The 80C aggregate ceiling is a single bucket. Sec 80CCE fuses 80C + 80CCC + 80CCD(1) into **one** ₹1,50,000 ceiling. A candidate who claims ₹1,50,000 of 80C *and* ₹1,50,000 of 80CCC has double-counted — the combined cap is ₹1,50,000. Only **80CCD(1B)** (₹50,000 NPS) and **80CCD(2)** (employer NPS) sit *outside* this bucket. This is one of the most-set traps in the whole syllabus.

80TTA and 80TTB are mutually exclusive. A senior citizen claims 80TTB (₹50,000, covers savings *and* fixed-deposit interest); a non-senior claims 80TTA (₹10,000, savings interest *only*, not FD interest). Never both, and never 80TTA for a senior. A common trick is to give a 61-year-old and expect 80TTB on total interest.

> **Critical trap:** Under the **default new regime (Sec 115BAC)**, almost all Chapter VI-A deductions are **not available** — the only survivors are **80CCD(2)** (employer NPS) and **80CCH** (Agniveer). Standard deduction from salary and family pension deduction *are* allowed. So the regime choice at Stage 6 actually decides how much of Stage 5 you may claim. In practice you compute Stage 5 conditionally on the regime.

80G donations paid in cash above ₹2,000 get nothing. Any donation exceeding ₹2,000 must be by non-cash mode to qualify. And 80G is *never* the first deduction you compute — the "10 percent of adjusted GTI" ceiling for qualifying donations requires you to finish all *other* VI-A deductions first, then compute adjusted GTI, then apply the 10 percent cap, then apply the 50/100 percent rate. Order within Stage 5 matters.

4.6 Stage 6 — Total Income (Sec 2(45)) and rounding (Sec 288A)

Total Income = GTI − Chapter VI-A deductions. Round off to the nearest **₹10** (Sec 288A). This is the figure on which tax is charged.

Rounding mechanics (Sec 288A): ignore paise, then any part of ₹10 — if the last digit is ₹5 or more round up, else down. ₹6,32,004 → ₹6,32,000; ₹6,32,006 → ₹6,32,010. Round **once**, at Total Income, not at every head.

4.7 Stage 7 — Split Total Income and apply rates

Total Income is now split: - **Special-rate income** — taxed at flat rates regardless of slab. - **Normal income (balance)** — taxed at slab / regime rates.

Special rates (verify for AY):

Income	Section	Rate
STCG on listed equity (STT paid)	111A	15 percent (20 percent for transfers on/after 23-Jul-2024)
LTCG on listed equity above threshold	112A	10 percent above ₹1,00,000 (12.5 percent above ₹1,25,000 for transfers on/after 23-Jul-2024)
Other LTCG	112	20 percent with indexation / 12.5 percent without (post-23-Jul-2024)
Winnings — lottery, betting, games	115BB / 115BBJ	30 percent flat, no deduction, no basic-exemption benefit

> **Basic-exemption absorption:** A **resident individual/HUF** may use the *unexhausted* basic exemption limit against **111A and 112/112A** income (but never against 115BB casual income). Non-residents cannot.

The absorption *order* is itself tax-optimising. When basic exemption is left unused after normal income, absorb it against the **higher-rate special income first**. Under pre-23-Jul-2024 rates, 111A is 15 percent and 112A is 10 percent, so you shield 111A first. Under post-23-Jul-2024 rates, 111A becomes 20 percent and 112A 12.5 percent — still shield 111A first. The principle ("kill the costliest gain with the free exemption") is stable even as the numbers move; state it, then apply the current rate.

Normal income can absorb basic exemption too, and does so *automatically* through the slab. The absorption rule only matters for the *leftover* exemption. If normal income already exceeds the basic-exemption limit, there is nothing to absorb and the special incomes are taxed in full at their flat rates.

Slab rates on the balance. The taxpayer chooses (or defaults into) one of two regimes.

New regime (Sec 115BAC) — the DEFAULT since AY 2024-25. To *opt out* into the old regime, a person with business income must file **Form 10-IEA**; a salaried person without business income may simply choose each year in the return.

The opt-out is not symmetric — this is heavily tested. A person **with business/profession income** who opts *out* into the old regime may switch back to the new regime **only once**, and having done so can *never* return to the old regime while the business continues. A person **without** business income (e.g., pure salaried) faces no such lock-in and may choose afresh *every* year in the return. Form 10-IEA must be filed **on or before the Sec 139(1) due date** to opt out — miss the deadline and the default new regime applies for that year.

New regime slabs (AY 2025-26 — verify):

Total Income slab	Rate
Up to ₹3,00,000	Nil
₹3,00,001 – ₹7,00,000	5 percent
₹7,00,001 – ₹10,00,000	10 percent
₹10,00,001 – ₹12,00,000	15 percent
₹12,00,001 – ₹15,00,000	20 percent
Above ₹15,00,000	30 percent

Old regime slabs (individual < 60 yrs):

Total Income slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5 percent
₹5,00,001 – ₹10,00,000	20 percent
Above ₹10,00,000	30 percent

Basic exemption is **₹3,00,000** for resident seniors (60-80) and **₹5,00,000** for super-seniors (80+) under the *old* regime only; the new regime gives everyone the same ₹3,00,000.

4.8 Stage 8 — Rebate under Sec 87A

Why: A relief so that small taxpayers pay **zero**. It is a rebate *on tax*, available only to a **resident individual**.

Regime	Total Income ceiling	Maximum rebate
Old	₹5,00,000	₹12,500
New (115BAC)	₹7,00,000	₹25,000

Marginal relief (new regime): Just above ₹7,00,000, the tax must not exceed the income in excess of ₹7,00,000 — so a person earning ₹7,10,000 does not pay ₹25,500 tax on ₹10,000 of extra income. Rebate is **not** available against tax on **112A LTCG** (and, under some readings, other special incomes) — verify current position.

How marginal relief is actually computed (worked micro-example). New regime, Total Income ₹7,10,000 (all normal income): - Tax on slabs = ₹20,000 (on 3–7L) + ₹1,000 (10 percent of the ₹10,000 above ₹7L) = **₹21,000**. - 87A rebate? TI > ₹7L, so no full rebate. But marginal relief caps tax at the *excess income over ₹7L* = ₹10,000. - Since ₹21,000 > ₹10,000, tax is limited to **₹10,000** (before cess). The relief given is ₹21,000 − ₹10,000 = ₹11,000. - This holds until the point where slab-tax equals the excess; beyond that (around ₹7,78,000) marginal relief tapers to nil and ordinary tax resumes. Know that marginal relief is a *cap*, not a cliff.

The eligibility base is Total Income, and it *includes* special incomes in the count. A person with normal income ₹6,90,000 and STCG ₹50,000 has Total Income ₹7,40,000 (new regime) — over the ₹7L ceiling — so 87A is lost entirely, even though most of the income is "small". Examiners add a tiny capital gain precisely to tip a taxpayer over the rebate cliff.

4.9 Stage 9 — Surcharge

Why: Progressivity beyond the top slab — the very rich pay an extra percentage *of their tax*.

Surcharge rates (verify):

Total Income	Surcharge (old regime)	Surcharge (new regime)
₹50 lakh – ₹1 crore	10 percent	10 percent
₹1 crore – ₹2 crore	15 percent	15 percent
₹2 crore – ₹5 crore	25 percent	25 percent
Above ₹5 crore	37 percent	**25 percent (capped)**

Two crucial caps: 1. Surcharge on tax attributable to **111A, 112, 112A and dividend** income is **capped at 15 percent**, even if total income exceeds ₹2 crore. 2. **Marginal relief** applies at every threshold: the increase in (tax + surcharge) cannot exceed the increase in income above the threshold.

Worked micro-example of surcharge marginal relief. Old regime, Total Income exactly ₹51,00,000 (all normal). Crossing ₹50 lakh triggers 10 percent surcharge: - Tax on ₹51,00,000 ≈ ₹13,42,500; surcharge @10 percent ≈ ₹1,34,250 → tax+surcharge ≈ ₹14,76,750. - Tax on ₹50,00,000 (no surcharge) ≈ ₹13,12,500. - The *increase in tax+surcharge* (₹1,64,250) must not exceed the *increase in income* (₹1,00,000). It does, so surcharge is cut so that tax+surcharge = ₹13,12,500 + ₹1,00,000 = ₹14,12,500. Marginal relief ≈ ₹64,250. The principle: **at every threshold, the extra rupee of income can never cost more than a rupee of extra tax-plus-surcharge.** Compute tax *at* the threshold and *just above*, and cap the jump.

The 15 percent cap changes the *base* of marginal relief too. When both slab income and capped special income exist above ₹2 crore, split the tax: surcharge at the slab rate on the normal-income tax, and 15 percent on the special-income tax. Do not apply 25/37 percent to the whole tax bill — that over-surcharges the capital gains.

4.10 Stage 10 — Health & Education Cess

Flat 4 percent on (tax after rebate + surcharge). It funds health and education and is **not** subject to any exemption.

Two precise points: cess is computed on tax *after* rebate (so a fully-rebated small taxpayer pays zero cess) and *after* surcharge and its marginal relief (so cess sits on the highest correct base). There is no marginal relief *on cess itself* — it is a clean 4 percent of the settled tax-plus-surcharge figure.

4.11 Stage 11 — Relief (Sec 89, 90, 91) and AMT

- **Sec 89(1)** — relief for **salary arrears / advance** received in a lump sum, spreading the bunched amount back over the years it related to (Form 10E must be filed). This directly cures the "bunching" injustice.
- **Sec 90 / 90A** — foreign tax credit where a **DTAA** exists.
- **Sec 91** — unilateral relief where no DTAA exists.
- **AMT (Sec 115JC)** — Alternate Minimum Tax at 18.5 percent (plus surcharge/cess) of *adjusted total income* applies to non-corporate taxpayers claiming certain deductions; the higher of normal tax and AMT is payable, with AMT credit carried forward. (Largely irrelevant if the new regime is chosen.)

Sec 89 mechanics in one line: compute tax of both years *with* and *without* the arrears; the relief is the *difference of differences*. If spreading the arrears back does not lower tax (e.g., the earlier years were also in the top slab), the relief is nil — Form 10E does not guarantee a benefit, only tests for one.

AMT credit is a timing device, not a permanent extra tax. When AMT exceeds normal tax, the excess is paid now but *credited* against future years' normal tax (for up to 15 years) when normal tax exceeds AMT. It is the non-corporate mirror of MAT. Crucially, AMT does **not** apply if the assessee's adjusted total income does not exceed ₹20 lakh (for individuals/HUF/AOP), nor generally where the new regime is opted — a frequent "does AMT even apply?" gate.

4.12 Stage 12 — Tax payable and rounding (Sec 288B)

From tax-plus-cess-minus-relief, subtract **prepaid taxes**: TDS, TCS, advance tax and self-assessment tax. Add **interest under Sec 234A/B/C** for defaults. The final tax payable (or refund) is **rounded to the nearest ₹10** (Sec 288B).

The three interests do different jobs, and stack: 234A for *late filing* of the return (1 percent p.m. on unpaid tax from due date to filing), 234B for *shortfall* in advance tax (paid < 90 percent), 234C for *deferment* — missing the quarterly advance-tax instalments. All are simple interest at 1 percent per month, computed on defined bases. A full-computation question that mentions "return filed late" or "no advance tax paid" is signalling a 234-series add-back at Stage 12; do not stop at cess.

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5. Worked Examples

Example 1 — The clean single-regime computation (easy)

Mr. A, resident, age 40, AY 2025-26, opts for the OLD regime. Salary income ₹8,00,000 (after standard deduction). Bank savings interest ₹12,000. He invested ₹1,50,000 in PPF (80C) and paid ₹20,000 health insurance (80D).

Step	₹
Salaries	8,00,000
Income from Other Sources (interest)	12,000
Gross Total Income	**8,12,000**
Less 80C (PPF)	(1,50,000)
Less 80D	(20,000)
Less 80TTA (savings interest, max ₹10,000)	(10,000)
Total Income	**6,32,000**

Tax (old slabs): 0–2.5L nil; 2.5–5L @5% = ₹12,500; 5L–6.32L @20% = ₹26,400. **Tax = ₹38,900.** 87A? Total income > ₹5L → no rebate. Cess @4% = ₹1,556. **Tax payable = ₹40,456 → ₹40,460 (rounded).**

Reconciliation: 12,500 + 26,400 = 38,900; + 1,556 cess = 40,456; rounded to 40,460. ✓

Example 2 — Set-off, special-rate income, and the VI-A cap (medium)

Ms. B, resident, age 45, AY 2025-26, OLD regime. Business income ₹6,00,000. House property LOSS ₹2,80,000. LTCG on sale of land (Sec 112, indexed) ₹3,00,000. STCG on listed shares (111A) ₹1,00,000. She paid ₹1,50,000 into ELSS (80C).

Stage 3 — set-off: House property loss ₹2,80,000. Inter-head set-off against other heads is **capped at ₹2,00,000** (Sec 71(3A)). Set off ₹2,00,000 against business income → business income becomes ₹4,00,000. Balance HP loss ₹80,000 is **carried forward** (Sec 71B).

Can HP loss be set against LTCG/STCG? The ₹2,00,000 cap is the overall inter-head limit; here we absorbed it against business income. We will **not** touch the special-rate incomes (better to preserve them for their own rates and the basic-exemption absorption). GTI is built as follows:

Head	₹
Business income (after ₹2L HP set-off)	4,00,000
LTCG (Sec 112)	3,00,000
STCG (Sec 111A)	1,00,000
Gross Total Income	**8,00,000**

Stage 5 — VI-A: 80C ELSS ₹1,50,000. But it **cannot** be claimed against LTCG (112) or STCG (111A). So 80C is set only against the **normal income** of ₹4,00,000 → normal income becomes ₹2,50,000.

	₹
Normal income after 80C	2,50,000
LTCG (112)	3,00,000
STCG (111A)	1,00,000
Total Income	**6,50,000**

Stage 7 — tax with basic-exemption absorption (resident): - Normal income ₹2,50,000 falls exactly at the ₹2,50,000 exemption limit → tax nil, and the basic exemption is **fully used up** by normal income, so **nothing is left** to shelter the special incomes. - STCG 111A: ₹1,00,000 @ 15% = ₹15,000. - LTCG 112: ₹3,00,000 @ 20% = ₹60,000. - **Tax before rebate = ₹75,000.**

Stage 8 — 87A: Total income ₹6,50,000 > ₹5,00,000 (old regime) → no rebate. **Cess @4%** on ₹75,000 = ₹3,000. **Tax payable = ₹78,000.**

Reconciliation: 15,000 + 60,000 = 75,000; cess 3,000; total 78,000. Carried-forward HP loss ₹80,000 noted for future. ✓

Teaching point: Had the normal income been *below* ₹2,50,000, the unused exemption would have been absorbed **against the STCG first** (higher-rate benefit is preserved for LTCG), reducing tax further. This is the classic examiner variation.

Example 2A — The examiner's tweak: normal income below the exemption (medium)

Same as Example 2, but Ms. B's business income is only ₹3,50,000 (not ₹6,00,000). Everything else unchanged.

Stage 3: HP loss ₹2,80,000; inter-head cap ₹2,00,000 set off against business income ₹3,50,000 → business income ₹1,50,000. Balance HP loss ₹80,000 carried forward.

Stage 5: 80C ₹1,50,000 can only hit normal income ₹1,50,000 → normal income becomes **nil**. (VI-A cannot create a loss, and cannot touch 111A/112.) Note ₹0 of the ₹1,50,000 80C is "wasted" here in the sense that it fully absorbed the normal income; the special incomes remain.

	₹
Normal income after 80C	0
LTCG (112)	3,00,000
STCG (111A)	1,00,000
Total Income	**4,00,000**

Stage 7 — basic-exemption absorption now bites. Normal income is nil, so the *entire* ₹2,50,000 basic exemption is unused and available to shelter special incomes (resident). Absorb against the **higher-rate STCG 111A first**: - STCG 111A ₹1,00,000 — fully absorbed by exemption → tax nil. Exemption left: ₹2,50,000 − ₹1,00,000 = ₹1,50,000. - LTCG 112 ₹3,00,000 — absorb remaining ₹1,50,000 → taxable LTCG ₹1,50,000 @ 20% = **₹30,000**. - Tax before rebate = **₹30,000**.

Stage 8 — 87A: Total Income ₹4,00,000 ≤ ₹5,00,000 (old regime) and Ms. B is resident → rebate available. But **rebate does not apply to 112A**; here the tax is on **112** (other LTCG) — verify the current ICAI stance on whether 87A shelters 112 LTCG. Under the mainstream reading, 87A rebate *is* available against 112 tax (the express carve-out is for 112A). Rebate = lower of ₹12,500 or tax ₹30,000 = **₹12,500**. - Tax after rebate = ₹30,000 − ₹12,500 = ₹17,500. - Cess @4% = ₹700. **Tax payable = ₹18,200.**

Reconciliation: exemption ₹2,50,000 = ₹1,00,000 (STCG) + ₹1,50,000 (LTCG); LTCG taxed ₹1,50,000 @20% = ₹30,000; less rebate ₹12,500 = ₹17,500; + cess ₹700 = ₹18,200. ✓

Teaching point: Two levers moved versus Example 2 — the *absorption order* (STCG first) and *87A eligibility* (TI now under ₹5L). Both are pure sequence discipline; the numbers followed automatically once the order was right. **Flag the 87A-vs-112A/112 distinction as "verify current ICAI material"** — it is a live, frequently-clarified point.

Example 3 — Full multi-head computation, both regimes compared (exam-hard)

Mr. C, resident, age 52, AY 2025-26. Compute Total Income and tax under BOTH regimes and advise.

- Salary: Basic + DA ₹12,00,000; HRA received ₹2,40,000 (exempt u/s 10(13A) = ₹1,80,000 under old regime); professional tax ₹2,500.
- House property (self-occupied): interest on housing loan ₹2,10,000.
- Business income: ₹3,00,000.
- LTCG on listed shares (112A, STT paid), transfer in June 2024: ₹1,60,000.
- Interest on savings account: ₹18,000; interest on FD: ₹40,000.
- Investments: 80C ₹1,50,000; 80D ₹25,000; 80CCD(1B) NPS ₹50,000; employer NPS contribution 80CCD(2) ₹1,20,000 (10% of salary).

Step A — Salary figure.

	Old regime ₹	New regime ₹
Basic + DA	12,00,000	12,00,000
HRA received	2,40,000	2,40,000
Less HRA exemption 10(13A)	(1,80,000)	(0) — not available
Gross salary	12,60,000	14,40,000
Less standard deduction	(50,000)	(75,000)
Less professional tax	(2,500)	(0) — not available
Salary income	**12,07,500**	**13,65,000**

(New regime: standard deduction ₹75,000 for AY 2025-26; HRA exemption and professional tax not allowed. Verify figures.)

Step B — House property (self-occupied). Interest deduction capped at ₹2,00,000 (old regime). Under new regime, self-occupied interest is **not** allowed. - Old: House property loss = **(₹2,00,000)**. - New: **Nil**.

Step C — assemble GTI.

Head	Old ₹	New ₹
Salary	12,07,500	13,65,000
House property	(2,00,000)	0
Business	3,00,000	3,00,000
LTCG 112A	1,60,000	1,60,000
Other sources (18,000 + 40,000)	58,000	58,000
Gross Total Income	**15,25,500**	**18,83,000**

(HP loss of ₹2,00,000 is within the ₹2,00,000 inter-head cap, so fully set off in the old regime.)

Step D — Chapter VI-A. Deductions cannot be set against LTCG (112A). Separate the LTCG.

Old regime: | | ₹ | |---|---| | Income other than LTCG (15,25,500 − 1,60,000) | 13,65,500 | | Less 80C | (1,50,000) | | Less 80CCD(1B) | (50,000) | | Less 80D | (25,000) | | Less 80CCD(2) employer NPS | (1,20,000) | | Less 80TTA (savings, max 10,000) | (10,000) | | Net normal income | 10,10,500 | | Add LTCG 112A | 1,60,000 | | **Total Income** | **11,70,500** |

New regime: only **80CCD(2)** survives. | | ₹ | |---|---| | Income other than LTCG (18,83,000 − 1,60,000) | 17,23,000 | | Less 80CCD(2) | (1,20,000) | | Net normal income | 16,03,000 | | Add LTCG 112A | 1,60,000 | | **Total Income** | **17,63,000** |

Step E — tax on Total Income.

Old regime: Normal income ₹10,10,500. - 0–2.5L: nil - 2.5–5L @5% = 12,500 - 5–10L @20% = 1,00,000 - 10,00,000–10,10,500 @30% = 3,150 - Tax on normal = **1,15,650** - LTCG 112A: gain ₹1,60,000; first ₹1,00,000 exempt; balance ₹60,000 @10% = **6,000** (transfer before 23-Jul-2024, so 10% and ₹1,00,000 threshold — verify). - Tax before rebate = 1,21,650. 87A? TI > ₹5L → no. - Surcharge? TI < ₹50L → none. - Cess @4% = 4,866. **Old-regime tax = ₹1,26,516 → ₹1,26,520.**

New regime: Normal income ₹16,03,000. - 0–3L: nil - 3–7L @5% = 20,000 - 7–10L @10% = 30,000 - 10–12L @15% = 30,000 - 12–15L @20% = 60,000 - 15,00,000–16,03,000 @30% = 30,900 - Tax on normal = **1,70,900** - LTCG 112A: ₹60,000 @10% = **6,000**. - Tax before rebate = 1,76,900. 87A? TI > ₹7L → no. Surcharge? none. - Cess @4% = 7,076. **New-regime tax = ₹1,83,976 → ₹1,83,980.**

Step F — advise. Old regime tax ₹1,26,520 vs new regime ₹1,83,980. **The old regime saves ₹57,460**, driven by the large HRA exemption, self-occupied interest, and ₹2,00,000+ of Chapter VI-A deductions. Mr. C should **opt out into the old regime** (file the return accordingly, Form 10-IEA by the due date since he has business income).

Reconciliation check (old): 12,500 + 1,00,000 + 3,150 = 1,15,650 normal tax; + 6,000 LTCG = 1,21,650; + cess 4,866 = 1,26,516 → 1,26,520. ✓

Teaching point: The regime decision is *not* a slab comparison — it is a comparison of **entire computations**, because the regime changes which deductions and exemptions exist. Always compute both fully.

Example 4 — Surcharge, its 15% cap, and marginal relief (exam-hard)

Mr. D, resident, age 48, AY 2025-26, OLD regime. Normal (slab) income after all deductions ₹1,90,00,000. LTCG under Sec 112A (post-23-Jul-2024 transfer) ₹40,00,000. Total Income ₹2,30,00,000. Compute tax.

Step 1 — split the tax. - Tax on normal income ₹1,90,00,000 (old slabs): up to ₹10L → ₹1,12,500; balance ₹1,80,00,000 @30% → ₹54,00,000. Tax on normal = **₹55,12,500**. - LTCG 112A: gain ₹40,00,000 less exemption ₹1,25,000 = ₹38,75,000 @12.5% = **₹4,84,375**. - Total income-tax before surcharge = ₹55,12,500 + ₹4,84,375 = **₹59,96,875**.

Step 2 — surcharge, respecting the 15% cap on 112A. Total Income ₹2.30 crore falls in the ">₹2 crore–₹5 crore = 25%" band. But surcharge on the **112A** tax is **capped at 15%**. - Surcharge on normal-income tax: ₹55,12,500 @25% = **₹13,78,125**. - Surcharge on LTCG-112A tax: ₹4,84,375 @15% (capped) = **₹72,656** (rounded). - Total surcharge = ₹14,50,781.

Step 3 — marginal relief at the ₹2 crore threshold. Compare with tax at exactly ₹2 crore. (Illustrative — in an exam you would compute the tax at ₹2,00,00,000 and cap the jump in tax+surcharge to the ₹30,00,000 income increase.) Here the income increase over ₹2 crore (₹30 lakh) far exceeds the surcharge jump, so **no marginal relief applies** in this instance; state the check explicitly to earn the method mark.

Step 4 — cess. - Tax + surcharge = ₹59,96,875 + ₹14,50,781 = ₹74,47,656. - Cess @4% = ₹2,97,906. - **Tax payable ≈ ₹77,45,562 → ₹77,45,560 (rounded).**

Reconciliation: normal tax ₹55,12,500 + LTCG tax ₹4,84,375 = ₹59,96,875; surcharge ₹13,78,125 + ₹72,656 = ₹14,50,781; sum ₹74,47,656; cess ₹2,97,906; total ₹77,45,562. ✓

Teaching point: The whole difficulty is **not applying 25% to the LTCG tax**. Splitting the tax into "normal" and "capped-special" buckets, surcharging each at its own rate, is the examinable skill. The 15% cap protects capital-gains investors from the top surcharge rates. (All 112A figures use post-23-Jul-2024 rates — verify against current ICAI material.)

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6. Computation Format (the master template)

Reproduce this skeleton in every full-computation answer — examiners award method marks for the structure itself.

```
COMPUTATION OF TOTAL INCOME OF <Name> FOR AY <____>          Regime: Old / New

I.   Income from Salaries                                             xxx
II.  Income from House Property                                       xxx
III. Profits & Gains of Business or Profession                       xxx
IV.  Capital Gains  (show STCG-111A, LTCG-112A, LTCG-112 separately) xxx
V.   Income from Other Sources                                       xxx
     _________________________________________________________________
     Add: Income clubbed u/s 60-64                                   xxx
     Less/Adjust: Inter-head set-off u/s 71  (HP loss cap 2,00,000)  xxx
     _________________________________________________________________
     GROSS TOTAL INCOME (Sec 80B(5))                                 xxx
     Less: Deductions under Chapter VI-A (Sec 80C-80U)              (xxx)
           [not against 111A/112/112A/115BB incomes]
     _________________________________________________________________
     TOTAL INCOME (Sec 2(45))  [round off to nearest ₹10, Sec 288A]  xxx
     =================================================================


COMPUTATION OF TAX LIABILITY
     Tax on special-rate income (111A @15/20%; 112A; 112; 115BB @30%) xxx
     Tax on balance at slab / regime rates                           xxx
     [resident: absorb unused basic exemption vs 111A then 112/112A]
     _________________________________________________________________
     Tax before rebate                                               xxx
     Less: Rebate u/s 87A                                           (xxx)
     Add:  Surcharge (with 15% cap on 111A/112/112A; marginal relief) xxx
     _________________________________________________________________
     Add:  Health & Education Cess @ 4%                              xxx
     Less: Relief u/s 89 / 90 / 91                                  (xxx)
     _________________________________________________________________
     TAX AND INTEREST PAYABLE                                        xxx
     Less: TDS / TCS / Advance tax / Self-assessment tax            (xxx)
     Add:  Interest u/s 234A / 234B / 234C                           xxx
     _________________________________________________________________
     NET TAX PAYABLE / (REFUND) [round off to nearest ₹10, Sec 288B] xxx
     =================================================================
```

Presentation marks are real marks. In ICAI answers, showing the *working* of each figure (HRA exemption computation, LTCG threshold, 80G adjusted-GTI cap) in a note *below* the statement, and drawing the double underline at Total Income and at Net Tax Payable, is itself rewarded. A correct number with no visible working can lose method marks; a wrong number with correct working keeps most of them. Always **label the regime at the top** — an unlabelled computation invites the examiner to assume the default (new) and mark your old-regime deductions wrong.

7. Connections

- **All head chapters (3-6, 11):** their output figures are the *inputs* to Stage 1. This chapter is where they converge.
- **Clubbing chapter (Sec 60-64):** feeds Stage 2; a clubbing error propagates through the entire pipeline.
- **Set-off & carry-forward chapter (Sec 70-80):** is Stage 3; the return-filing deadline (Sec 139(1)) links to carry-forward via Sec 80.
- **Deductions chapter (Chapter VI-A):** is Stage 5; the regime choice (Sec 115BAC) toggles it on/off.
- **Basic Concepts (Chapter 1):** residential status decides basic-exemption absorption and 87A eligibility; the definition of "person" and "assessment year" frame the whole exercise.
- **Advance tax / TDS / Return filing (later chapters):** Stage 12's prepaid-tax subtraction and Sec 234 interest connect forward.
- **Capital Gains (Chapter 6):** supplies the special-rate incomes (111A/112/112A) that must be carved out at Stages 5 and 7.

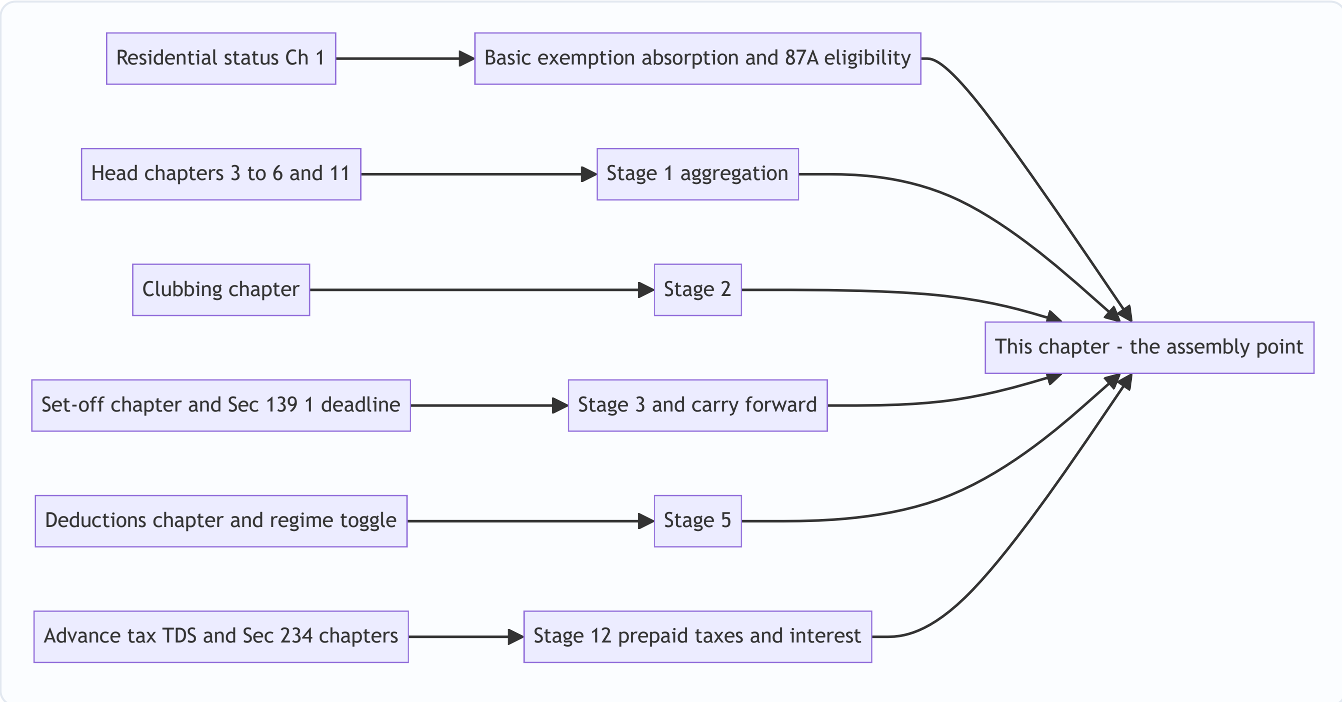

Figure 3 — This chapter is the convergence node where every other Taxation chapter feeds in and the tax number flows out.

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8. Traps & Examiner Tricks

1. **Netting heads before set-off.** Students add a house-property loss straight into salary without the **₹2,00,000 cap** (Sec 71(3A)). Always apply intra-head first, then capped inter-head, then carry forward.
2. **Claiming VI-A against special incomes.** 80C etc. **cannot** reduce LTCG (112/112A), STCG (111A) or casual income (115BB). Carve these out *before* deductions.
3. **Forgetting basic-exemption absorption order.** For residents, unused exemption is used against **higher-rate STCG 111A first**, then LTCG — never against casual income. Non-residents get **no** absorption.

4. **Applying 87A rebate on LTCG tax.** Rebate does not shelter 112A LTCG tax (verify current stance). Also, 87A is only for **residents**.
5. **Wrong regime deductions.** Under the **default new regime**, HRA, LTA, self-occupied interest, professional tax and almost all VI-A deductions vanish; only 80CCD(2)/80CCH and standard deduction survive. Do not carry old-regime deductions into a new-regime computation.
6. **Ignoring surcharge caps and marginal relief.** The 15 percent cap on 111A/112/112A surcharge and marginal relief at every threshold are favourite adjustments.
7. **Cess base error.** Cess is 4 percent of **(tax after rebate + surcharge)** — not on tax before surcharge.
8. **Rounding at the wrong place.** Round **Total Income** (288A) and **net tax payable** (288B) to the nearest ₹10 — not every intermediate figure.
9. **Carry-forward without timely return.** Business, speculation, capital and race-horse losses need the return filed by the Sec 139(1) due date (Sec 80); HP loss and unabsorbed depreciation do not.
10. **Salary can never be negative,** and **business loss cannot be set off against salary** (Sec 71(2A)).
11. **Double-counting inside the 80C bucket.** 80C + 80CCC + 80CCD(1) share **one** ₹1,50,000 ceiling (Sec 80CCE); only 80CCD(1B) and 80CCD(2) sit outside it. Adding them as separate ₹1.5L deductions is a classic over-claim.
12. **80TTA/80TTB confusion.** Seniors get 80TTB (₹50,000, incl. FD interest); non-seniors get 80TTA (₹10,000, savings only). Never both; never 80TTA on FD interest.
13. **Using plain GTI where "adjusted GTI" is required.** 80G, 80GG and 80GGC caps run on *adjusted* GTI (GTI minus special incomes and other VI-A), computed *after* the other deductions — not on raw GTI.
14. **Ignoring the regime opt-out lock-in and Form 10-IEA deadline.** Business-income assessees can flip back to the new regime only once and must file Form 10-IEA by the Sec 139(1) date to opt out at all.
15. **Missing the 234-series interest at Stage 12.** "Return filed late" (234A) or "no advance tax" (234B/C) means an add-back after cess — the computation does not end at cess.
16. **Taxing a clubbed loss as income, or forgetting a clubbed loss can be set off.** Clubbing runs both ways; a clubbed house-property loss is set off in the transferor's hands.

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9. First-Principles Recap

Strip away the sections and this is the whole chapter in five sentences:

1. A person is taxed on **one number**, so five head-figures must be **assembled**, not just listed.
2. Income that was **diverted** to family is clawed back first (clubbing), so that losses and deductions apply to the taxpayer's *true* income.
3. A **loss** is a real economic fact, so the law lets it offset income — but only within rules that stop abuse, then carries the rest forward.
4. Because some income is **not ordinary** (long gains, listed-share gains, windfalls), it is carved out and taxed at its **own rate**, outside the slab and outside most deductions.
5. Tax itself is then **discounted** (rebate), **surcharged** (for the rich), **cessed** (for health/education) and **relieved** (for bunching and double taxation) — in that fixed order — before prepaid taxes are subtracted to reach the cheque you write.

If you can re-derive the pipeline from these five ideas, you never need to memorise the order — it *is* the logic.

One more first-principle — always ask "which currency am I in?" Income rupees (Stages 1–6), tax rupees (Stages 7–10), cash rupees (Stage 12). Every catastrophic mistake in this chapter is a rupee applied in the wrong currency: a deduction against tax, a surcharge against income, a TDS against income. Keep the three zones separate and the pipeline runs itself.

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10. Quick-Revision Sheet

The pipeline (chant it): Heads → Club → Set-off → **GTI** → VI-A → **TI** → Split rates → Rebate → Surcharge → Cess → Relief → **Tax payable** → less prepaid.

Stage	Section	One-line rule
5 heads	14	Compute each head net
Clubbing	60-64	Add diverted income back; minor exemption ₹1,500 (Sec 10(32))
Set-off	70-71	Intra-head → inter-head; HP loss inter-head cap ₹2,00,000
Carry-forward	72-74A	Each loss has its own life & restriction; needs timely return (Sec 80)
GTI	80B(5)	Sum of heads after set-off
VI-A	80C-80U	≤ GTI; not against 111A/112/112A/115BB
Total Income	2(45), 288A	GTI − VI-A; round to ₹10

Special rates (verify AY): 111A STCG 15%/20% · 112A LTCG 10% over ₹1L (12.5% over ₹1.25L post-23-Jul-24) · 112 LTCG 20% indexed / 12.5% · 115BB casual 30% · 115BBE deemed income 60%+.

Slabs (AY 2025-26 — verify): - *New (default):* 0–3L nil; 3–7L 5%; 7–10L 10%; 10–12L 15%; 12–15L 20%; >15L 30%. - *Old:* 0–2.5L nil; 2.5–5L 5%; 5–10L 20%; >10L 30%. (Seniors 3L; super-seniors 5L.)

Deduction bucket traps: 80C+80CCC+80CCD(1) = one ₹1,50,000 cap (80CCE); 80CCD(1B) +₹50,000 and 80CCD(2) employer NPS sit outside. 80TTA ₹10,000 (non-senior, savings only) vs 80TTB ₹50,000 (senior, incl. FD) — never both. 80G/80GG run on *adjusted* GTI.

87A rebate: Old — TI ≤ ₹5L → up to ₹12,500. New — TI ≤ ₹7L → up to ₹25,000 (+ marginal relief). Residents only; not on 112A (verify).

Surcharge: 10% (>50L) · 15% (>1cr) · 25% (>2cr) · 37% (>5cr, but new regime caps at 25%). Cap 15% on 111A/112/112A/dividend. Marginal relief everywhere.

Cess: 4% on (tax after rebate + surcharge).

Regime opt-out: New regime is default. Business income → Form 10-IEA by Sec 139(1) due date to opt out; can revert to new only once, then locked. No-business (salaried) → free choice every year.

Relief: 89 (arrears, Form 10E) · 90/90A (DTAA) · 91 (no DTAA). **AMT** 115JC @18.5% for certain deduction-claimers; not if adjusted TI ≤ ₹20L or new regime opted; credit c/f 15 years.

Prepaid & interest: less TDS/TCS/advance/self-assessment; add 234A (late filing) / 234B (advance-tax shortfall) / 234C (deferment); round net to ₹10 (288B).

Final flag: Every rate, ceiling, surcharge slab and the 87A limit here is a *plug-in value* subject to Finance Act changes. The **sequence** is permanent; the **numbers** are not. Confirm both against current ICAI material for your Assessment Year.

Q&A — Computation of Total Income & Tax Liability

> **AY / regime flag:** Slab rates, the default new regime (**Sec 115BAC**), the **Sec 87A** rebate ceilings, surcharge slabs and the special rates (111A/112/112A) have all been repeatedly amended. The figures used below reflect the widely examined **AY 2025-26** position (including the post-23-July-2024 capital-gains changes). **The *pipeline* is permanent; the *numbers* are plug-in values — always re-verify the exact slab, rebate limit, surcharge slab and special rate against the current ICAI Study Material / Finance Act for your attempt.** All section references are to the **Income-tax Act, 1961**.

Section A — Concept Check (short Q&A with section citation)

A1. In what order must Total Income be built, and why is the order non-negotiable? The chant is **Heads → Club → Set-off → GTI → VI-A → TI → Split rates → Rebate → Surcharge → Cess → Relief → Tax payable → less prepaid taxes.** Each step consumes the previous step's output: you cannot set off a loss before each head is computed (Sec 14), cannot set off *your* loss against income that was never yours (so clubbing Sec 60-64 comes first), Chapter VI-A is capped at GTI (Sec 80A), and rebate/surcharge/cess act *on tax* so tax must exist first.

A2. Define Gross Total Income and its statutory source. GTI [Sec 80B(5)] = the aggregate of income under the five heads (Sec 14) **after** clubbing (Sec 60-64) and after set-off/carry-forward (Sec 70-80), but **before** Chapter VI-A deductions. It is the ceiling for VI-A deductions.

A3. What are the "two golden restrictions" on Chapter VI-A deductions (Sec 80A)? (i) Total VI-A deductions **cannot exceed GTI** — they can reduce Total Income to nil but never create a loss; (ii) they **cannot be set against** LTCG (Sec 112/112A), STCG on listed shares (Sec 111A) or casual income (Sec 115BB). So these special incomes are carved out of GTI first.

A4. State the inter-head set-off cap for house property loss and its section. House property loss set off against *other heads* is **capped at ₹2,00,000** per year under **Sec 71(3A)**; the unabsorbed balance is carried forward for **8 years** against house property income only (**Sec 71B**).

A5. Which losses require a return filed by the Sec 139(1) due date to be carried forward? Business (Sec 72), speculation (Sec 73), specified-business (Sec 73A), capital (Sec 74) and race-horse (Sec 74A) losses need a **timely return (Sec 80)**. **House property loss (71B)** and **unabsorbed depreciation (32(2))** may be carried forward even with a belated return.

A6. What is "basic-exemption absorption" and who gets it? A **resident** individual/HUF whose normal (slab) income is below the basic exemption limit may set the *unused* exemption against special-rate income — **STCG 111A first, then LTCG 112/112A** — but **never against casual income (115BB)**. **Non-residents get no absorption.**

A7. Contrast the Sec 87A rebate under the two regimes. Rebate is available only to a **resident individual**. Old regime: Total Income ≤ ₹5,00,000 → rebate up to **₹12,500**. New regime (115BAC): Total Income ≤ ₹7,00,000 → rebate up to **₹25,000**, with **marginal relief** just above ₹7,00,000. Rebate does **not** shelter tax on 112A LTCG (verify current stance).

A8. On what base is Health & Education Cess computed, and at what rate? 4% on **(income-tax after Sec 87A rebate + surcharge)** — not on tax before surcharge. There is no exemption from cess.

A9. Which deductions/exemptions survive under the default new regime (Sec 115BAC)? Almost all VI-A deductions vanish; the survivors are **80CCD(2)** (employer NPS) and **80CCH** (Agniveer). The salary **standard deduction** (₹75,000 for AY 25-26) and family-pension deduction are allowed; **HRA, LTA, self-occupied interest, professional tax and 80C** are **not**.

A10. Name the reliefs at the tail of the pipeline and their sections. Sec 89(1) — relief for salary arrears/advance bunched into one year (Form 10E). **Sec 90/90A** — foreign tax credit under a DTAA. **Sec 91** — unilateral relief where no DTAA exists. **AMT (Sec 115JC)** at 18.5% of adjusted total income may override for certain deduction-claimers.

A11. Two mandatory rounding rules and their sections. Round **Total Income** to the nearest **₹10** under **Sec 288A**, and round **net tax payable/refund** to the nearest **₹10** under **Sec 288B**. Intermediate figures are *not* rounded.

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — GTI to Total Income, single regime

Mr. P (resident, age 40, AY 2025-26, **old regime**): Salary ₹7,50,000 (after standard deduction); savings-bank interest ₹9,000; 80C (PPF) ₹1,20,000; 80D ₹18,000. Compute Total Income.

Answer. - Salaries = 7,50,000; Other Sources (interest) = 9,000 → **GTI = 7,59,000** [Sec 80B(5)] - Less 80C = 1,20,000; less 80D = 18,000; less **80TTA** savings interest (max ₹10,000, here ₹9,000) = 9,000 - Total VI-A = 1,47,000 - **Total Income = 7,59,000 − 1,47,000 = ₹6,12,000** [Sec 2(45); round Sec 288A]. *Check: 1,20,000+18,000+9,000 = 1,47,000; 7,59,000−1,47,000 = 6,12,000.* ✓

B2 (Easy-Moderate) — Slab tax + 87A under the new regime

Ms. Q (resident, AY 2025-26, **new regime**), Total Income = ₹6,80,000 (all normal income). Compute net tax.

Answer. New-regime slabs: 0–3L nil; 3–7L @5%. - Tax = (6,80,000 − 3,00,000) × 5% = 3,80,000 × 5% = **₹19,000** - **Sec 87A:** TI ₹6,80,000 ≤ ₹7,00,000 → rebate = min(19,000, 25,000) = **₹19,000** - Tax after rebate = **Nil** → cess Nil. **Net tax payable = ₹0.** *Check: rebate fully wipes the ₹19,000.* ✓

B3 (Moderate) — House property loss set-off with the ₹2,00,000 cap

Mr. R (resident, old regime, AY 2025-26): Business income ₹5,00,000; self-occupied house interest ₹2,60,000 (HP loss); savings interest ₹6,000; 80C ₹80,000. Compute Total Income and note carry-forward.

Answer. - HP loss = ₹2,60,000. Inter-head set-off against other heads **capped at ₹2,00,000** [Sec 71(3A)] → set ₹2,00,000 against business income → business = 3,00,000. **Balance HP loss ₹60,000 carried forward (Sec 71B, 8 yrs).** - GTI = Business 3,00,000 + Other Sources 6,000 = 3,06,000 - Less 80C 80,000; less 80TTA 6,000 = 86,000 - **Total Income = 3,06,000 − 86,000 = ₹2,20,000.** Carry-forward HP loss = **₹60,000**. *Check: 2,60,000−2,00,000 = 60,000; 3,06,000−86,000 = 2,20,000.* ✓

B4 (Moderate-Hard) — Special-rate income + basic-exemption absorption

Mr. S (resident, age 45, old regime, AY 2025-26): Normal income (after VI-A) ₹2,10,000; STCG on listed shares 111A ₹90,000; LTCG on land 112 (no indexation, post-23-Jul-24) ₹3,00,000. Compute tax.

Answer. Basic exemption (old) = ₹2,50,000. Normal income ₹2,10,000 uses ₹2,10,000 → **unused exemption ₹40,000** absorbed against **111A first** [resident benefit]. - Normal income ₹2,10,000 → within slab exemption → tax **Nil**. - STCG 111A: 90,000 − 40,000 (unused exemption) = 50,000 @ **20%** (post-23-Jul-24) = **₹10,000** - LTCG 112: 3,00,000 @ **12.5%** (post-23-Jul-24, no indexation) = **₹37,500** - Tax before rebate = 47,500. 87A? Total Income = 2,10,000+90,000+3,00,000 = ₹6,00,000 > ₹5L → **no rebate**. - Cess @4% on 47,500 = 1,900. **Tax payable = ₹49,400.** *Check: 10,000+37,500 = 47,500; ×1.04 = 49,400.* ✓

B5 (Exam-Hard) — Full pipeline, one regime, with surcharge and its cap

Mr. T (resident, age 50, old regime, AY 2025-26): - Salary income (after standard deduction) ₹58,00,000 - LTCG on listed shares 112A (STT paid, transfer March 2025) ₹6,25,000 - 80C ₹1,50,000; 80D ₹25,000 Compute Total Income and total tax liability (with surcharge and cess).

Answer. Stage — GTI & VI-A. VI-A cannot touch 112A LTCG, so apply against salary only. - Salary 58,00,000 − 80C 1,50,000 − 80D 25,000 = **normal income 56,25,000** - LTCG 112A = 6,25,000 → **Total Income = ₹62,50,000**

Tax on normal income ₹56,25,000 (old slabs): - 2.5–5L @5% = 12,500 - 5–10L @20% = 1,00,000 - 10L–56,25,000 @30% = 46,25,000 × 30% = 13,87,500 - Normal tax = **14,99,999… = 15,00,000** (12,500+1,00,000+13,87,500 = **15,00,000**)

Tax on LTCG 112A: gain 6,25,000; first ₹1,25,000 exempt; balance 5,00,000 @ **12.5%** = **₹62,500**. - **Tax before surcharge = 15,00,000 + 62,500 = 15,62,500**

Surcharge. Total Income ₹62,50,000 is in the ₹50L–₹1cr band → **10%**. But surcharge on **112A** tax is **capped at 15%** (not relevant here since band rate 10% < 15%, so 10% applies to it too). - Surcharge = 10% × 15,62,500 = **₹1,56,250** - Tax + surcharge = 17,18,750

Cess @4% = 68,750. **Total tax liability = ₹17,87,500.** *Check: 15,00,000+62,500 = 15,62,500; ×1.10 = 17,18,750; ×1.04 = 17,87,500.* ✓ (Marginal relief not triggered — income comfortably above ₹50L.)

Section C — Past-Paper-Style Full Questions

C1. Full computation, both regimes compared (advise the client)

Mr. C (resident, age 52, AY 2025-26): - Salary: Basic+DA ₹12,00,000; HRA received ₹2,40,000 (10(13A) exemption ₹1,80,000 — old regime); professional tax ₹2,500 - Self-occupied house: loan interest ₹2,10,000 - Business income ₹3,00,000 - LTCG on listed shares 112A (transfer June 2024) ₹1,60,000 - Interest: savings ₹18,000; FD ₹40,000 - 80C ₹1,50,000; 80D ₹25,000; 80CCD(1B) ₹50,000; employer NPS 80CCD(2) ₹1,20,000

Model answer.

Salary: | | Old ₹ | New ₹ | |---|---|---| | Basic+DA + HRA | 14,40,000 | 14,40,000 | | Less HRA 10(13A) | (1,80,000) | – | | Less standard deduction | (50,000) | (75,000) | | Less professional tax | (2,500) | – | | **Salary income** | **12,07,500** | **13,65,000** |

House property (self-occupied): Old — interest capped at ₹2,00,000 → **loss (2,00,000)**; New — self-occupied interest **not allowed** → Nil.

GTI: | Head | Old ₹ | New ₹ | |---|---|---| | Salary | 12,07,500 | 13,65,000 | | House property | (2,00,000) | 0 | | Business | 3,00,000 | 3,00,000 | | LTCG 112A | 1,60,000 | 1,60,000 | | Other sources (58,000) | 58,000 | 58,000 | | **GTI** | **15,25,500** | **18,83,000** |

VI-A (carve out LTCG first — deductions can't touch 112A): - **Old:** income other than LTCG = 13,65,500; less 80C 1,50,000 + 80CCD(1B) 50,000 + 80D 25,000 + 80CCD(2) 1,20,000 + 80TTA 10,000 = 3,55,000 → 10,10,500; + LTCG 1,60,000 → **TI = 11,70,500**. - **New:** only 80CCD(2) survives. 17,23,000 − 1,20,000 = 16,03,000; + LTCG 1,60,000 → **TI = 17,63,000**.

Tax — old regime (normal ₹10,10,500): 12,500 + 1,00,000 + (10,500 @30% = 3,150) = **1,15,650**; LTCG 112A (June-24 transfer → 10% over ₹1L): (1,60,000−1,00,000) ×10% = **6,000**; tax before rebate 1,21,650; no 87A (TI>5L); no surcharge; cess 4,866 → **₹1,26,516 ≈ ₹1,26,520**.

Tax — new regime (normal ₹16,03,000): 20,000 + 30,000 + 30,000 + 60,000 + (1,03,000 @30% = 30,900) = **1,70,900**; LTCG 6,000; before rebate 1,76,900; cess 7,076 → **₹1,83,976 ≈ ₹1,83,980**.

Advice: Old regime tax ₹1,26,520 vs new ₹1,83,980 → **old regime saves ₹57,460** (driven by HRA, self-occupied interest, and ₹3,55,000 of deductions). Mr. C should **opt out into the old regime**. *Check (old): 12,500+1,00,000+3,150 = 1,15,650; +6,000 = 1,21,650; ×1.04 = 1,26,516.* ✓

C2. Set-off interplay with special rates

Mr. B (resident, AY 2025-26): non-speculation business loss ₹1,50,000; salary ₹9,00,000; STCG 111A ₹2,00,000; LTCL ₹1,20,000; LTCG 112 ₹3,00,000. Show set-off and the GTI.

Model answer. - **Business loss cannot be set against salary** [Sec 71(2A)]. It can be set against other heads except salary → set ₹1,50,000 against STCG 111A (Sec 71 permits business loss vs capital gains) → STCG = 50,000. - **LTCL only against LTCG** [Sec 74] → LTCG 3,00,000 − 1,20,000 = 1,80,000. - GTI: Salary 9,00,000 + STCG(111A) 50,000 + LTCG(112) 1,80,000 = **₹11,30,000**. *Check: business loss fully absorbed 1,50,000; LTCL fully absorbed 1,20,000.* ✓ (Salary stays intact because business loss cannot reduce it.)

C3. Marginal relief under the new-regime 87A boundary

Ms. M (resident, new regime, AY 2025-26), Total Income ₹7,10,000 (all normal). Compute tax with marginal relief.

Model answer. - Tax before rebate: 3–7L @5% = 20,000; 7L–7,10,000 @10% = 1,000 → **21,000**. - 87A? TI ₹7,10,000 > ₹7,00,000 → **no full rebate**, but **marginal relief** applies: tax cannot exceed income above ₹7,00,000 = **₹10,000**. - So tax is limited to **₹10,000** (relief = 21,000 − 10,000 = 11,000). Cess @4% = 400. **Tax payable = ₹10,400.** *Check: income excess 7,10,000−7,00,000 = 10,000 = capped tax; ×1.04 = 10,400.* ✓

Section D — MCQs / Case Scenarios

D1. Chapter VI-A deductions are capped at: (a) Total Income (b) Gross Total Income (c) Salary income (d) ₹1,50,000 **Ans: (b).** Sec 80A — VI-A deductions cannot exceed GTI or create a loss.

D2. House property loss set off against other heads in a year is capped at: (a) ₹1,50,000 (b) ₹2,00,000 (c) ₹2,50,000 (d) no cap **Ans: (b).** Sec 71(3A); balance carried forward under Sec 71B for 8 years.

D3. Health & Education Cess is charged at 4% on: (a) tax before rebate (b) tax after rebate only (c) tax after rebate + surcharge (d) Total Income **Ans: (c).** Cess base = income-tax after 87A rebate plus surcharge.

D4. The maximum Sec 87A rebate under the new regime (AY 2025-26) is: (a) ₹12,500 (b) ₹25,000 (c) ₹50,000 (d) Nil **Ans: (b).** Resident individual, Total Income ≤ ₹7,00,000, up to ₹25,000 (with marginal relief above).

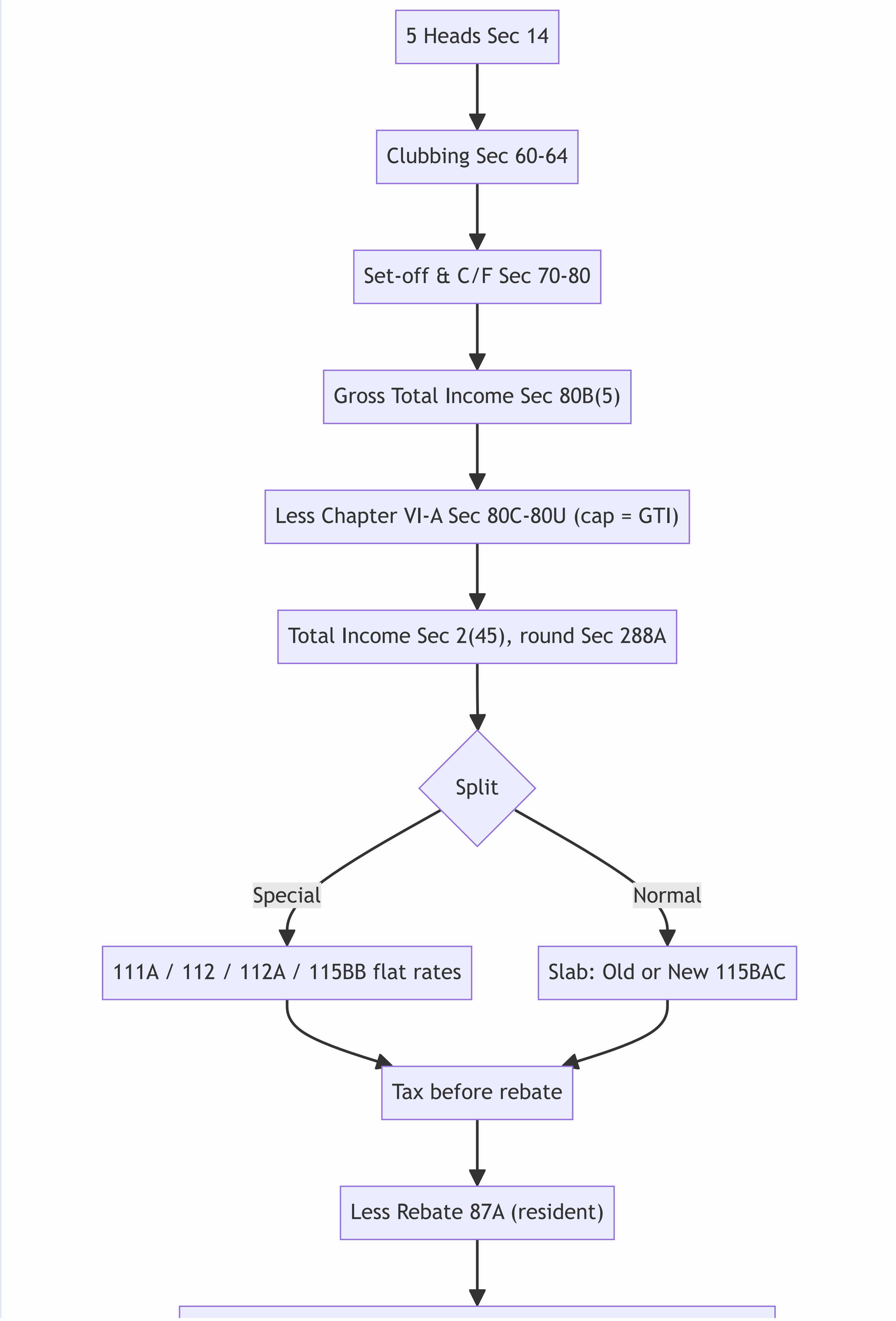
D5. Total Income and net tax payable are rounded to the nearest: (a) ₹1 (b) ₹10 (c) ₹100 (d) ₹1,000 **Ans: (b).** Sec 288A (Total Income) and Sec 288B (net tax payable).

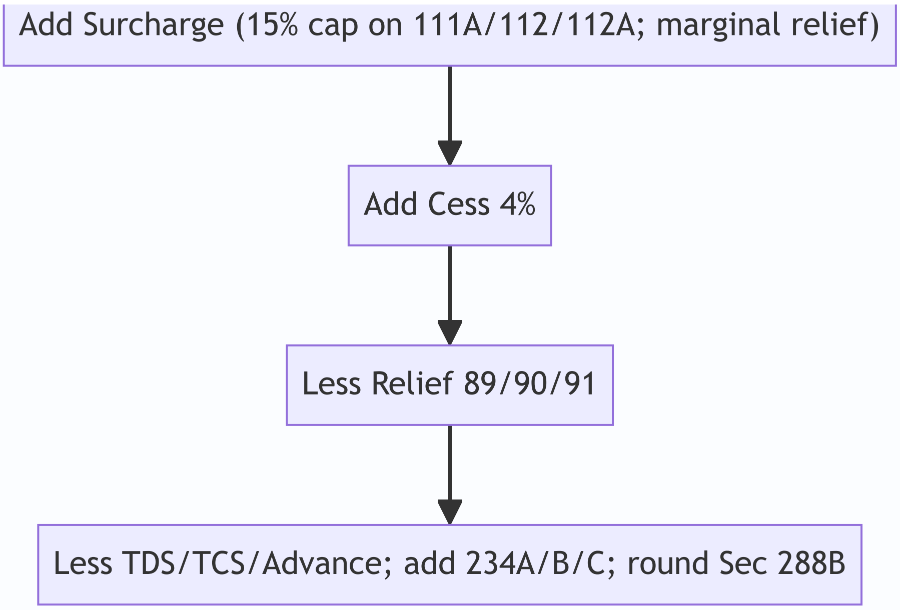
D6 (Scenario). A resident's normal income is ₹1,80,000 and he has LTCG 112 of ₹4,00,000 (post-23-Jul-24). His unused basic exemption is absorbed: (a) against LTCG 112 (b) against 115BB casual income (c) it lapses for non-residents' rules (d) it cannot be absorbed at all **Ans: (a).** Sec 111A/112 absorption for residents — with no 111A income here, unused exemption (₹2,50,000 − ₹1,80,000 = ₹70,000) reduces the LTCG 112 base.

D7 (Scenario). Under the default new regime (Sec 115BAC), which survives? (a) 80C (b) HRA exemption (c) 80CCD(2) employer NPS (d) self-occupied interest **Ans: (c).** Only 80CCD(2)/80CCH and standard deduction survive; the rest are switched off.

D8 (Scenario). Surcharge on tax attributable to 111A/112/112A income is capped at: (a) 10% (b) 15% (c) 25% (d) 37% **Ans: (b).** Even if total income exceeds ₹2 crore, surcharge on these gains (and dividend) is capped at 15%.

Master Pipeline (one-glance)


5 Heads Sec 14
Clubbing Sec 60-64
Set-off & C/F Sec 70-80
Gross Total Income Sec 80B(5)
Less Chapter VI-A Sec 80C-80U (cap = GTI)
Total Income Sec 2(45), round Sec 288A
Split
Special
Normal
111A / 112 / 112A / 115BB flat rates
Slab: Old or New 115BAC
Tax before rebate
Less Rebate 87A (resident)



Quick-Revision Trigger Sheet

Item	Section	Key rule (AY 25-26)
Five heads	14	Compute each net
Clubbing	60-64	Add diverted income; minor exemption ₹1,500 (10(32))
Intra→inter set-off	70-71	HP loss inter-head cap ₹2,00,000 (71(3A))
Business loss vs salary	71(2A)	Not allowed
Carry-forward + timely return	72-74A, 80	Business/spec/capital/race-horse need 139(1) return
GTI	80B(5)	Sum of heads after set-off
VI-A restrictions	80A	≤ GTI; not vs 111A/112/112A/115BB
Total Income + rounding	2(45), 288A	GTI − VI-A; round ₹10
Special rates	111A/112/112A/115BB	20% / 12.5% / 12.5% over ₹1.25L / 30%
Basic-exemption absorption	—	Residents: 111A then 112/112A; never 115BB
Rebate	87A	Old ≤5L→₹12,500; New ≤7L→₹25,000 (+ marginal relief)
Surcharge	—	10/15/25/37% (new caps 25%); 15% cap on 111A/112/112A
Cess	—	4% on (tax after rebate + surcharge)
Relief / AMT	89/90/91, 115JC	Arrears (Form 10E); DTAA; AMT 18.5%
Net tax rounding	288B	Round ₹10

First-principles recap: A person is taxed on **one number**, so heads are *assembled* not listed; diverted income is *clawed back* (clubbing) before losses/deductions bite; a *loss* offsets income within anti-abuse rules then carries forward; *non-ordinary* income is carved to its own rate; and tax is then discounted (rebate), surcharged (rich), cessed (health/education) and relieved (bunching/double-tax) in that fixed order before prepaid taxes are subtracted. Re-derive the pipeline from these five ideas and you never memorise the order.

> **Final flag:** Every rate, ceiling, surcharge slab and 87A limit above is a *plug-in value* subject to Finance Act change. The **sequence is permanent; the numbers are not.** Confirm both against the current ICAI Study Material and the Finance Act for your Assessment Year.

Chapter 13 — GST: Concept & Framework

> "Verify current rates, thresholds and the latest amendments in the ICAI Study Material and RTP for your specific attempt. This chapter teaches the permanent logic; the numbers move."

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1. The Problem — Why the Old System Had to Die

Before 1 July 2017, India did not have "an" indirect tax. It had a *web* of them, and the web had three structural diseases. To understand GST you must first *feel* the pain it cures — because every single rule in the GST law is a scar tissue over one of these three wounds.

Disease 1 — Cascading (tax on tax)

Under the old regime, taxes were charged on a base that already *included* an earlier tax. The classic villain was Central Excise + VAT.

Excise duty was levied by the Centre on **manufacture**. VAT was levied by the State on **sale**. But VAT was charged on the value *inclusive of excise* — so the State taxed the Centre's tax. Then at the next stage of the supply chain, the trader paid tax again on a value that embedded both. There was no mechanism to take **credit of Central Excise against State VAT** — they were levied by different governments under different laws, and credit never crossed that boundary.

Let us make it bite with numbers. Take a good with a factory value of ₹1,000. Suppose Excise is 12.5% and VAT is 14.5%, and the manufacturer sells to a wholesaler, who adds ₹200 margin and sells to a retailer.

Stage	Base	Excise 12.5%	VAT 14.5% (on base + excise)	Invoice price
Manufacturer	1,000	125	163.13 (on 1,125)	1,288.13
Wholesaler (adds ₹200)	1,488.13 + 200 = wait	—	14.5% on full price again	—

Notice the trap already: VAT of ₹163.13 was charged on ₹1,125, i.e. **VAT was charged on the ₹125 of excise**. That ₹18.13 is pure tax-on-tax. At the wholesaler stage, VAT credit of the earlier VAT was available (within a State), but the **excise embedded in the price was never creditable to the trader** — it sat in the cost and got re-taxed by VAT at every subsequent sale. Multiply this across a five-stage chain and the effective tax rate on the consumer balloons far above the nominal rates. The consumer pays tax on tax on tax.

Why couldn't the old law just allow the credit? Because credit is only possible when the *same authority* levies both the input tax and the output tax under the *same statute*. Excise was a Union List entry (Entry 84); VAT/sales tax was a State List entry (Entry 54). A State legislature had no constitutional power to grant a rebate of a *Central* tax, and Parliament had no power to force States to do so. The cascade was therefore not a drafting oversight — it was a **structural consequence of divided taxing power**. That is precisely why curing the cascade required a *constitutional* amendment (Section 3), not merely a better VAT law.

> **Memory hook — "Cascade = waterfall of taxes, each pool taxing the pool above it."**

Disease 2 — Fragmented, non-fungible credit (credit silos)

Even where credit *existed*, it lived in sealed silos:

- **CENVAT credit** (excise + service tax) — one pool, run by the Centre.
- **VAT credit** — a separate pool in each State, and it did not travel across State borders.
- Service tax could not be set off against VAT, and vice versa. A manufacturer who paid service tax on, say, an audit fee could not use it against his VAT liability on the goods he sold.

So a business accumulated **stranded credits** — genuine taxes paid that could never be used because the output tax belonged to a different silo or a different government. Stranded credit is a cost. Cost enters price. Price gets taxed again. The disease compounds Disease 1.

A finer distinction the exam tests — the goods/services divide within CENVAT. Even inside the single CENVAT pool, the pre-GST rules restricted how far a manufacturer could use service-tax credit and how far a service provider could use excise credit (definitions of "input", "input service" and "capital goods" were litigated endlessly). GST's answer is radical: it collapses the *goods vs services* distinction for **credit** purposes almost entirely — tax paid on *any* business input (goods or services) feeds one common electronic credit ledger. Remembering that GST unified credit across **both** the government divide *and* the goods/services divide is the deeper insight examiners reward over the shallow "GST removed cascading."

Disease 3 — The inter-State barrier (CST and check-posts)

When goods moved *between* States, a special tax — **Central Sales Tax (CST)** — was levied by the origin State. CST was **non-creditable**: the buyer in the destination State could not claim credit of the CST paid. It was a pure, sticking cost on inter-State trade.

The consequence was economically absurd: it was cheaper to buy *within* your State than across a border, even if the out-of-State supplier was more efficient. India — a single political nation — was **not a single economic market**. Add the physical friction of State check-posts (trucks queuing for hours for entry-tax and octroi verification), and inter-State commerce carried a permanent tax-and-time penalty.

The hidden distortion — warehouse geography. Because CST stuck but a *stock transfer* to one's own branch (against Form F) did not attract CST, large companies built a warehouse in **every** State purely to convert inter-State sales into intra-State sales and dodge CST. Supply chains were designed around *tax lines*, not *logistics efficiency*. GST's e-way bill + IGST credit made this obsolete: a firm can now serve the country from one optimally located warehouse. When an examiner asks "how did GST improve ease of doing business", the *warehouse-consolidation* point scores higher than a generic "removed barriers."

> **The one-line indictment:** the old system taxed *production and sales* in silos, punished credit from crossing government boundaries, and put a tariff wall around every State. It raised prices, distorted where businesses located, and broke the national market.

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2. The Core Idea — One Value-Added Tax on Consumption

GST is the cure, and the cure is a single sentence:

> **GST is a single, destination-based tax on the *value added* at each stage of supply, where tax paid on inputs is fully creditable against tax on outputs — so that the tax finally sticks only on the value consumed, and only in the State of consumption.**

Unpack the three load-bearing words.

"Value added." Each supplier pays tax on his full output, but *subtracts* (as Input Tax Credit) the tax already paid on his inputs. Net, he only funds the tax on the value *he* added. The tax does not pile on itself — the cascade is broken by design.

"Destination-based / consumption tax." GST is not a tax on manufacture (like excise) or on the origin sale (like CST). It is a tax that accrues to the jurisdiction where the goods or services are **finally consumed**. Production States do not hoard the revenue; consuming States earn it. This is why GST is called a *destination-based consumption tax*, and it is the reason IGST is engineered the way it is (Section 3 below).

"Full seamless credit." Credit must flow across the entire chain and — critically — across the goods/services divide and across the Centre/State divide, subject to the law's ordering rules. One fungible pool replaces the old silos.

Here is the anti-cascade mechanic on the same ₹1,000 good, now under GST at (say) 18%:

Stage	Value added	Output GST 18%	ITC available	Net GST paid to govt
Manufacturer	1,000	180	0	180
Wholesaler (+200)	200	216 (on 1,200)	180	36
Retailer (+300)	300	270 (on 1,500)	216	54
Total to govt				**270**
Consumer pays	1,500 × 18% = **270**			

Reconcile: net collections 180 + 36 + 54 = **270**, exactly 18% of the final consumer value ₹1,500. **No tax-on-tax.** The government's total take equals the single rate applied once to the final consumption value. That is the whole game. Everything else in the GST law is plumbing to make this identity hold true in messy real-world situations.

> **Memory hook — "GST take = rate × final consumption. If your answer isn't that, credit leaked somewhere."**

Why "value-added" and "consumption" are the *same* number — the deeper identity

Students often treat "tax on value added" and "tax on final consumption" as two different ideas that happen to agree. They are not two ideas; they are two *views* of one identity. The sum of value additions along any chain **is** the final selling price:

> ₹1,000 (Mfr) + ₹200 (WS) + ₹300 (Ret) = ₹1,500 = final consumer price.

Because tax is charged on each increment and each increment sums to the whole, taxing the increments (value-added view) must collect the same total as taxing the whole once (consumption view). This is why

VAT-type taxes are called *equivalent* to a single-stage retail sales tax — but they are **collected in instalments** along the chain. The instalment design is deliberate: it makes the tax **self-policing**, because every buyer wants a proper tax invoice to claim ITC, and that demand for invoices pulls the previous seller into the tax net. A single-point retail tax has no such enforcement ally and leaks massively at the final stage.

> **First-principles takeaway:** GST fights *evasion* not just cascading — the ITC mechanism turns every buyer into an unpaid tax inspector of his supplier.

Where the identity legitimately breaks (preview)

The "rate × final consumption" identity holds **only when credit flows unbroken**. It legitimately breaks in four situations you must recognise on sight:

1. **A composition dealer** sits in the chain — he pays a low flat rate but passes on **no** ITC, so the cascade partially returns at that link.
2. **A blocked credit under Section 17(5)** — e.g. inputs used for an exempt output, or a blocked item — the tax sticks as cost.
3. **An exempt supply** somewhere in the chain — no output tax, so upstream ITC is denied (Section 17(2)), and that denied tax re-enters cost.
4. **An unregistered supplier** below the threshold — he charges no GST but also cannot pass credit; his own input tax sticks.

When a problem's reconciliation does *not* equal rate × final value, do not assume you erred — first scan the facts for one of these four leaks. This is a favourite examiner "twist."

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3. Why It's Built This Way — The Dual Structure and IGST

Here is the question that shapes the *entire* architecture of Indian GST: **who gets to levy it — the Centre or the States?**

The constitutional knot

Pre-GST, the Constitution split taxing powers: the Centre could tax manufacture and services; States could tax the sale of goods. Neither could tax the other's domain. A *single* national GST would have required one government to surrender its taxing power to the other — politically impossible and constitutionally fraught in a federation.

The **Constitution (101st Amendment) Act, 2016** solved it by inserting **Article 246A**, which gives **both** the Union and the States a *concurrent* power to levy GST on the same supply. It also inserted **Article 269A** (the Centre levies and collects IGST on inter-State supply, then apportions it) and created the **GST Council** under **Article 279A**. This is why India could not adopt a single unified GST like some countries: our federal structure demanded that both tiers of government keep a hand on the tax.

The finer constitutional points examiners probe:

- **Article 246A is a *special* power** that overrides the usual Article 246 (Union/State/Concurrent List) scheme *for GST*. It is the source of *both* the CGST Act and every SGST Act.
- **Article 246A itself carves out petroleum** — it expressly says the GST power over the five petroleum products takes effect from a date the **GST Council recommends**. So the exclusion of petro-products is

written into the Constitution, not merely into the CGST Act. That is why it needs a Council decision (not just a Finance Act) to bring them in.

- **Article 279A(5)** separately lists the goods (the five petro-products) on which the Council will decide the levy date. Do not confuse 246A (the power) with 279A(5) (the Council's mandate over petro timing).
- **Article 366(12A)** defines "goods and services tax" as *any tax on supply of goods or services or both, except taxes on the supply of alcoholic liquor for human consumption*. Liquor's exclusion is therefore hard-wired into the very *definition* of GST — no Council vote can bring it in without another constitutional amendment. Contrast this with petroleum, which needs only a Council notification. **This is a razor-sharp distinction:** liquor is out *by definition* (needs amendment); petro is out *by timing* (needs Council decision).

The dual GST — CGST + SGST/UTGST

The answer to "Centre or State?" is **both, simultaneously, on the same transaction.** Every **intra-State** supply attracts two taxes levied in parallel:

- **CGST** (Central GST) — levied by the Centre under the **CGST Act, 2017**.
- **SGST** (State GST) — levied by the State under its **SGST Act** — or **UTGST** (under the **UTGST Act, 2017**) for Union Territories *without* a legislature.

They share the *same* value and are split from a single rate. If the rate on a good is 18%, an intra-State sale carries **9% CGST + 9% SGST**. The taxpayer sees one 18% burden; the revenue is simply divided between the two governments.

> **Why dual and not a single merged tax?** Because Article 246A gives concurrent power. A dual levy lets each government tax the *same base* without either surrendering sovereignty. The rate is harmonised (fixed on GST Council recommendation) so the taxpayer never faces two different tax authorities fighting over the base.

Why the rate splits *evenly* (9 + 9), and can it split unevenly? The CGST and SGST halves are equal in current practice, but nothing in the *concept* forces a 50:50 split — the split is whatever the Council notifies for CGST and SGST rates. For exams, treat an 18% rate as 9% + 9% unless told otherwise, but understand that the *equality is a policy choice, not a mathematical necessity*. The base (value under Section 15) is identical for both halves; only the rate is halved.

Union Territories: UTs *with* a legislature — currently **Delhi, Puducherry, and Jammu & Kashmir** — behave like States and levy **SGST**. UTs *without* a legislature (e.g. Chandigarh, Andaman & Nicobar, Lakshadweep, Ladakh, Dadra & Nagar Haveli and Daman & Diu) levy **UTGST**. *(Verify the current UT list with ICAI for your attempt — the roster has changed over the years.)*

Why does J&K get SGST and not UTGST? Because whether a UT levies SGST or UTGST turns on **one test only: does it have its own legislature?** A legislature can enact a "State" GST Act; a UT without one cannot, so Parliament legislates UTGST *for* it. J&K and Puducherry and Delhi have legislatures → SGST. The test is *legislature*, not *statehood* — this is why "Delhi is a UT but charges SGST" is not a contradiction.

The inter-State problem, and IGST — the masterstroke

Now the hard case. Supplier in Maharashtra sells to a buyer in Gujarat. If we naively charged Maharashtra-SGST, the revenue would sit with the **origin** State — but GST is a **destination** tax; the good is consumed in

Gujarat, so Gujarat must ultimately get the SGST portion. And the Gujarat buyer needs **seamless credit** of whatever tax he paid, so he isn't stuck with a non-creditable cost like the old CST.

The **IGST Act, 2017** solves both at once. On an inter-State supply, the Centre levies a single **Integrated GST = CGST rate + SGST rate** (so IGST ≈ 18% in our example, one combined levy). Mechanically:

1. The Maharashtra supplier charges **IGST** and pays it to the Centre. He can use his input credits (of any type) to discharge it.
2. The Gujarat buyer takes **full ITC of the IGST** — no stranded cost, the CST wound is healed.
3. When the buyer sells onward, the **fund transfers** between the Centre and the destination State settle the accounts, so the SGST component finally lands in the **consuming State's** treasury.

IGST is therefore a **clearing mechanism**, not really a "third tax." It lets credit flow *unbroken across State borders* while ensuring the revenue reaches the destination State. It replaces CST and demolishes the inter-State barrier — India finally becomes one economic market.

The fund-settlement mechanics (Article 269A + the apportionment logic). Trace where the money physically sits and why a settlement is *needed*:

- On the MH→GJ sale, the Centre banks the full IGST. Part of that (the SGST component) morally belongs to Gujarat, but Gujarat hasn't received it yet.
- The Gujarat buyer then uses that IGST credit to pay *his* CGST and SGST on the onward Gujarat sale. When he uses IGST credit to discharge **SGST**, Gujarat's SGST account is being paid from *IGST money held by the Centre*.
- So the Centre must **transfer** the corresponding amount from the IGST pool to Gujarat's SGST account. Symmetrically, when IGST credit is used to pay CGST, the State-held IGST that funded it moves to the Centre's CGST account.
- These cross-transfers are the "apportionment" under **Article 269A** and Section 17 of the IGST Act. Net effect: the SGST revenue **follows the credit to the destination State**, automatically.

> **Deeper why:** IGST is engineered so that the *act of a downstream taxpayer claiming credit* is what triggers the revenue to reach the correct government. No State has to invoice another; the credit chain does the accounting. This is the elegance the examiner wants you to articulate.
>
> **Memory hook — "IGST = CGST + SGST, collected by the Centre, then routed to the destination. It's a plumbing pipe, not a new tax."**

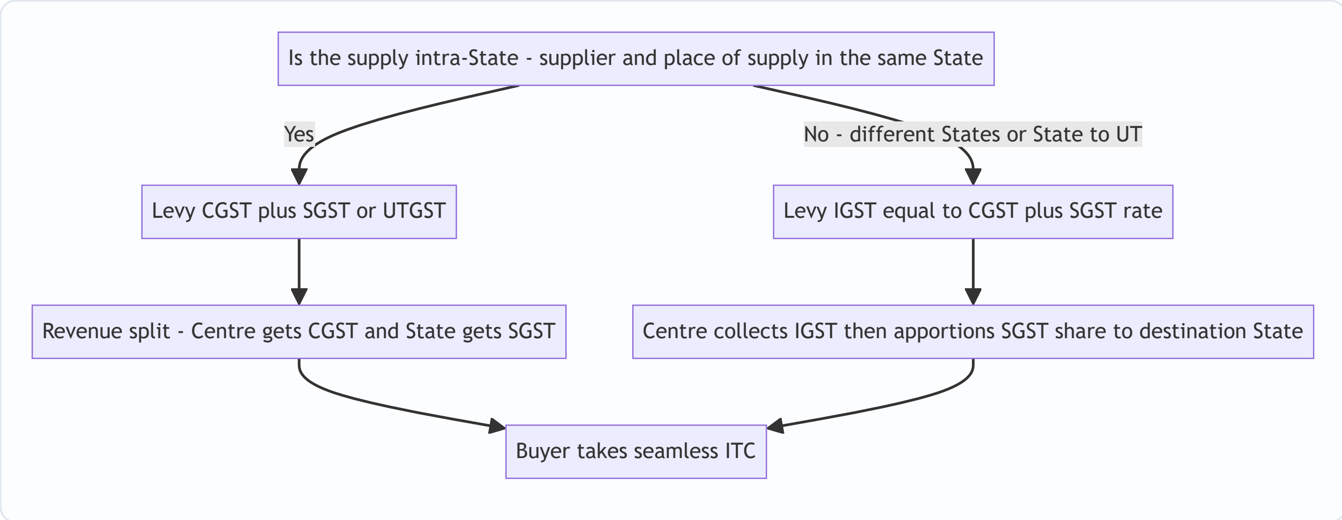

Figure 13.1 — The charge decision: intra-State levies two parallel taxes; inter-State levies one integrated tax that the Centre routes to the consuming State.

The credit fungibility rules (why IGST is the "master pool")

Because IGST is CGST + SGST fused together, the ITC set-off order (Sections 49, 49A, 49B of the CGST Act, with Rule 88A) is built around it:

- **IGST credit** must be used **first**, and can be set off against **IGST, then CGST, then SGST** (in that order, taxpayer's choice between CGST/SGST after IGST).
- **CGST credit** — against IGST then CGST. **CGST can NEVER be set off against SGST.**
- **SGST/UTGST credit** — against IGST then SGST. **SGST can NEVER be set off against CGST.**

The "CGST ↮ SGST cannot cross" rule is not arbitrary: CGST is the Centre's money and SGST is the State's money. Letting them offset each other would mean one government paying the other's dues from its own pocket. IGST, being jointly owned and centrally apportioned, is the bridge that lets credit ultimately reach either side.

A subtlety in Rule 88A that trips students. Rule 88A says IGST credit must be *fully exhausted first*, but *after* exhausting IGST, the taxpayer has **freedom to allocate** the remaining IGST credit between CGST and SGST in **any proportion** he likes. The old Section 49A had briefly forced a rigid "IGST→CGST fully, then IGST→SGST" order that could leave one head with a cash payment while credit lay in another — Rule 88A relaxed this. **Exam-safe rule:** exhaust IGST first (mandatory); then, within IGST, choose the CGST/SGST split to *minimise cash outflow*. A smart student steers leftover IGST toward whichever head would otherwise need cash. *(Verify the exact current wording of Section 49/49A/49B and Rule 88A in your ICAI material — this area was amended.)*

> **Memory hook — "IGST first, then its own kind. Central and State money never touch directly; IGST is the neutral middleman."**

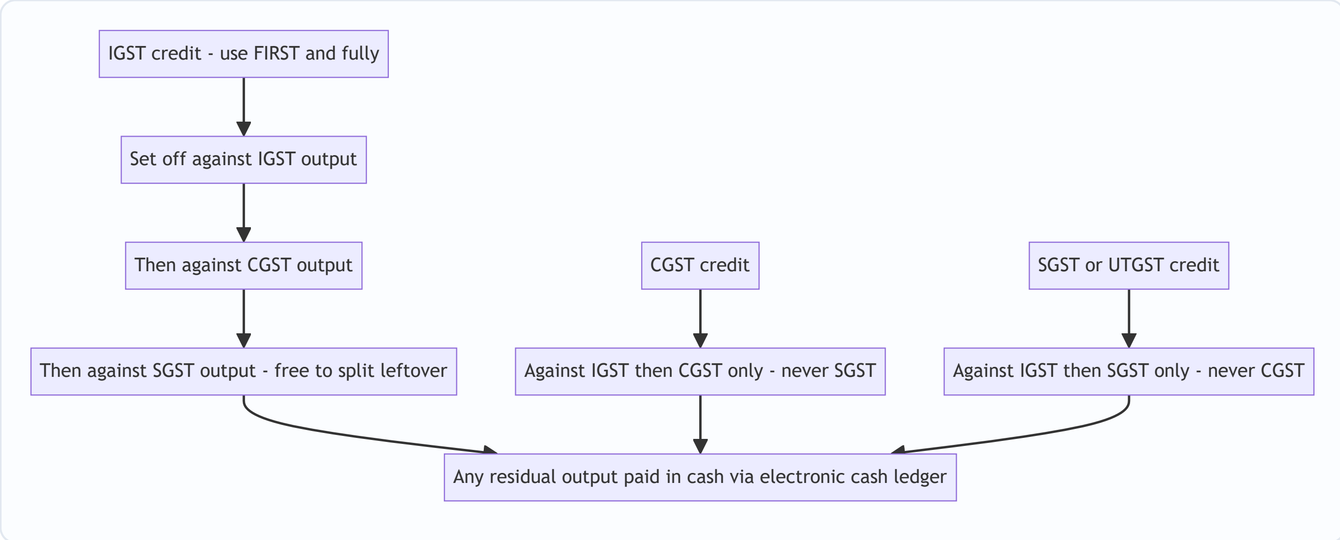

Figure 13.3 — The set-off waterfall: IGST credit drains first across all heads, then each of CGST and SGST credit stays on its own side, and only the un-creditable remainder is paid in cash.

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4. Full Technical Content — Sections, Definitions, Thresholds

4.1 The statutory architecture

Act / Instrument	What it does	Levied/administered by
Constitution (101st Amendment) Act, 2016	Inserted Arts. 246A, 269A, 279A — the enabling power	—
CGST Act, 2017	Levies CGST on intra-State supply; contains most machinery provisions (registration, ITC, returns, assessment) that SGST Acts adopt by reference	Centre
SGST Acts, 2017 (one per State)	Levies SGST on intra-State supply	Each State
UTGST Act, 2017	Levies UTGST in UTs without legislature	Centre (for those UTs)
IGST Act, 2017	Levies IGST on inter-State supply and imports; place-of-supply and apportionment rules	Centre
GST (Compensation to States) Act, 2017	Compensation cess to fund States' revenue shortfall in the transition years	Centre

Why the CGST Act is the "mother statute." Notice that each SGST Act largely *mirrors* the CGST Act and adopts its machinery by reference. This is deliberate: if all 30-plus SGST Acts wrote their own registration, ITC and return rules, you would rebuild the fragmentation GST was meant to kill. Harmonising the machinery through one model (the CGST Act) is what makes GST feel like *one* tax to a business operating in many States. When a question references "Section 16" or "Section 22" without naming an Act, it means the CGST Act — the SGST equivalent is identically numbered.

Charging sections to remember: - **Section 9, CGST Act** — the charging section for CGST (levy on all intra-State supplies of goods/services except alcoholic liquor for human consumption, on value under Section 15, at notified rates; also houses reverse charge and the e-commerce operator provisions). **Section 9(2)** keeps the five petro-products outside the CGST levy until the Council-notified date. **Section 9(3)** is reverse charge on notified supplies; **Section 9(4)** is reverse charge on purchases from unregistered persons (notified categories); **Section 9(5)** shifts liability to the **e-commerce operator** for notified services (e.g. certain passenger transport, accommodation). - **Section 5, IGST Act** — the charging section for IGST (on inter-State supplies and on imports of goods/services). **Section 5(1) proviso** is critical: **IGST on imported goods** is levied and collected under the **Customs Act (Section 3, Customs Tariff Act) at the point of customs clearance**, *not* by the GST machinery — even though it is "IGST." This is a classic exam catch.

4.2 The founding definitions (each wrapped in its reason)

"Supply" — Section 7, CGST Act. The old system needed *manufacture* (excise), *sale* (VAT), and *provision of service* (service tax) as separate taxable events — three events, three taxes, three sets of litigation. GST needs **one** taxable event to run one tax, so it invents the umbrella word **supply**: all forms of supply of goods or services *for consideration in the course or furtherance of business* — sale, transfer, barter, exchange, licence, rental, lease, disposal. Certain activities are treated as supply *even without consideration* (Schedule I), and Schedule II classifies borderline cases as goods vs services, while Schedule III lists activities that are **neither** (e.g. services by an employee to employer, sale of land). *(Supply is the subject of its own chapter; here, grasp only that it is the single unifying trigger.)*

"Goods" — Section 2(52) — every kind of movable property except money and securities (includes actionable claims, growing crops as agreed to be severed). **"Services" — Section 2(102)** — anything other than goods, money and securities (but includes activities relating to use of money for a separate consideration). Note the deliberate design: between them, goods + services cover *everything* except money/securities — no gaps for a transaction to escape through, unlike the old fragmented base.

Why "money" and "securities" are excluded from both. If money itself were "goods," then handing over ₹100 in exchange for ₹100 would be a taxable supply — absurd. Money is the *measure* of consideration, not a supply. Securities (shares, bonds) are excluded because their *trading* is a financial transaction, not consumption — though a *service* rendered in relation to them (brokerage, a separate fee for use of money) is taxable. The design principle: GST taxes **consumption of goods/services**, not the **movement of money or capital**.

"Consideration" — Section 2(31) and **"business" — Section 2(17).** These two words police the *outer boundary* of supply. No consideration + not in Schedule I → generally no supply. Not in course/furtherance of business → no supply (so a private individual selling old furniture is outside GST). Examiners test the boundary by giving facts that *look* commercial but fail one limb (e.g. a genuine gift, or a personal-capacity sale).

"Intra-State supply" — Section 8, IGST Act and **"Inter-State supply" — Section 7, IGST Act.** These are defined by comparing the **location of the supplier** with the **place of supply**: - Same State/UT → **intra-State** → CGST + SGST/UTGST. - Different States/UTs (or one is a UT/State and the other differs), imports, exports, or supply to/from an SEZ → **inter-State** → IGST.

This is why "place of supply" rules (in the IGST Act) are so important — they mechanically decide *which* tax applies and *which State* gets the money. Destination-based taxation lives or dies on the place-of-supply rules.

The SEZ trap — always inter-State. A supply **to or from a Special Economic Zone** developer/unit is treated as **inter-State (IGST)** *even if the SEZ is physically in the same State* as the supplier. The logic: an SEZ is treated as *outside the customs/domestic territory* for tax purposes, so a supply to it is like an export. Do not apply the "same State → CGST+SGST" reflex when an SEZ is in the facts. (Such supplies to SEZ can also be made as **zero-rated** — with or without payment of IGST — but the *nature* is inter-State.)

"Input Tax Credit" — Section 2(63) / eligibility in Section 16. ITC is the operative tool that breaks the cascade. Section 16 sets the four conditions to claim it (possession of tax invoice; receipt of goods/services; tax actually paid to the government by the supplier; and the recipient has furnished the return) plus the requirement that the credit appears in the auto-populated statement. Section 17 restricts ITC where inputs are used for exempt supplies or personal use, and Section 17(5) lists **blocked credits**. *(ITC has its own dedicated chapter — here, understand only that Section 16 is the anti-cascade engine.)*

4.3 Thresholds (the exemption for small suppliers)

The law does not want to crush tiny traders with compliance. **Section 22, CGST Act** sets the registration threshold — a supplier must register once aggregate turnover in a financial year exceeds the limit.

Category	Threshold for goods	Threshold for services
Normal States	₹40 lakh	₹20 lakh
Special category / specified States (e.g. certain North-Eastern and hill States)	₹20 lakh	₹10 lakh

Aggregate turnover (Section 2(6)) = all taxable + exempt + export + inter-State supplies of a person on the same PAN, computed **all-India**, excluding GST itself. **Verify the exact threshold amounts and the current list of special-category States in the ICAI material for your attempt — these are frequently tweaked.**

Three finer points the exam loves:

1. **The ₹40 lakh goods limit is conditional.** It applies only to a supplier engaged **exclusively in supply of goods**. The moment a person supplies *any* service (beyond a small permitted proportion), or supplies notified goods (e.g. ice cream, pan masala, tobacco), or makes inter-State supplies, the ₹40 lakh benefit is lost and the ₹20 lakh limit (or compulsory registration) applies. So a "goods dealer" who also does a bit of service is **not** on ₹40 lakh.
2. **Aggregate turnover is PAN-based and all-India.** A trader with a ₹15 lakh branch in Maharashtra and ₹15 lakh in Karnataka has ₹30 lakh aggregate turnover — he must test the *combined* figure, not each State separately. This catches students who compute State-by-State.
3. **Compulsory registration (Section 24) overrides the threshold entirely.** Certain persons must register *regardless of turnover* — inter-State suppliers of goods, casual taxable persons, persons liable under reverse charge, e-commerce operators and those supplying through them, non-resident taxable persons, agents, input service distributors. So "turnover only ₹5 lakh, therefore no registration" is **wrong** if the person is, say, making inter-State supplies of goods. Always screen for Section 24 first.

Composition scheme — Section 10. For small suppliers below a notified turnover (broadly ₹1.5 crore for goods; a separate lower limit and a 6% scheme for small service providers), GST offers a *simplified* flat-rate levy on turnover with **no ITC** and no tax collection from customers. The trade-off: less compliance, but the cascade returns for that link (no credit). It exists because forcing micro-businesses into full invoice-matching would defeat the "ease" promise. *(Detailed in the registration/levy chapter.)*

The composition rates (verify current figures): broadly **1%** of turnover for traders and manufacturers (0.5% CGST + 0.5% SGST), **5%** for restaurants (2.5% + 2.5%), and a **6%** optional scheme for small service providers/mixed suppliers under Section 10(2A) up to ₹50 lakh turnover. A composition dealer **cannot** make inter-State outward supplies, **cannot** collect tax from customers, **cannot** claim ITC, and issues a **bill of supply** (not a tax invoice). *(Confirm rates/limits with ICAI for your attempt.)*

4.4 Taxes subsumed — what GST swallowed

GST replaced a long list of central and state levies. The subsumption is the physical embodiment of "one nation, one tax."

Central taxes subsumed	State taxes subsumed
Central Excise Duty (incl. Additional Excise Duties)	State VAT / Sales Tax
Service Tax	Central Sales Tax (levied by Centre, collected by States)
Additional Customs Duty (CVD)	Luxury Tax
Special Additional Duty of Customs (SAD)	Entry Tax (all forms) / Octroi
Central Surcharges and Cesses (relating to supply)	Entertainment Tax (except that levied by local bodies)
—	Taxes on advertisements; Purchase Tax
—	Taxes on lotteries, betting and gambling; State cesses/surcharges on supply

Why CVD and SAD (customs duties) got subsumed but Basic Customs Duty did not. CVD and SAD were *countervailing* duties — they existed only to *replicate domestic excise and VAT* on imports so that imports and domestic goods bore equal tax. Once GST (via **IGST on imports**) does that job directly, CVD and SAD are redundant and were folded in. **Basic Customs Duty**, by contrast, is a genuine *tariff/trade-policy* instrument (protects domestic industry, negotiated in trade agreements) — it is not a consumption tax, so it stays outside GST. This "countervailing = subsumed, protective tariff = retained" distinction is a high-value exam point.

What GST did NOT subsume (still taxed separately — memorise the exclusions): - **Basic Customs Duty (BCD)** on imports — a tariff, not a domestic consumption tax (though IGST is charged on imports *in addition*). - **Alcoholic liquor for human consumption** — constitutionally kept out (Article 366(12A) definition); States still levy State Excise + VAT on it. - **Five petroleum products** — petroleum crude, high-speed diesel, motor spirit (petrol), natural gas, aviation turbine fuel — **currently** outside GST (they will be brought in from a date the GST Council notifies; till then excise + VAT continue). - **Electricity** and **stamp duty on immovable property** — outside GST. - **Tobacco** — *inside* GST, but the Centre can *also* levy Central Excise on it (a deliberate double-lever for a demerit good).

The two-tier logic of the exclusions. Group them by *how hard they are to bring in*: - **Out by definition (needs a constitutional amendment):** alcoholic liquor — excluded in Article 366(12A) itself. - **Out by timing (needs only a GST Council notification):** the five petro-products — the power already exists in

Article 246A, only the *date* is pending. - **Never was a GST-type levy (structurally different tax):** Basic Customs Duty (a tariff), stamp duty (a tax on the *instrument/document*), electricity duty (a State entry). These are not "kept out of GST" so much as "not the kind of thing GST covers."

> **Memory hook — the "5 kept-out kings": Liquor, the 5 Petro-products, Electricity, real-estate Stamp duty, and Customs BCD. Everything else GST ate.**

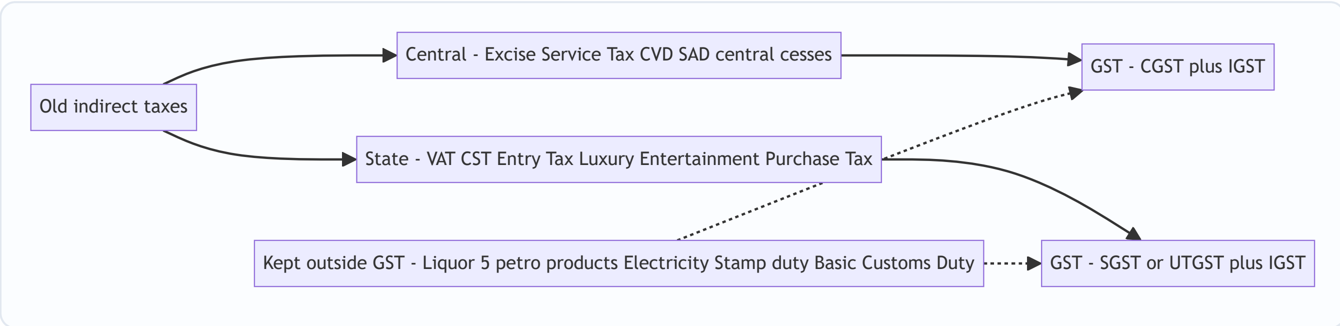

Figure 13.2 — Subsumption map: most central and state indirect taxes folded into the dual GST; a short list of exclusions remains under the old levies.

4.5 The GST Council — Article 279A

If both the Centre and 30-plus States levy GST independently, you get chaos: 30 different rates, 30 definitions of "supply," 30 threshold limits. That would rebuild the fragmentation GST was meant to destroy. The **GST Council** exists precisely to prevent this — it is the institutional guarantor of "one tax."

Constitution & composition (Art. 279A): - **Chairperson:** the **Union Finance Minister**. - **Members:** the **Union Minister of State** for Finance/Revenue, and the **Finance/Taxation Minister (or any nominated minister) of each State**. - **Vice-Chairperson:** chosen from among the State ministers.

Function: it *recommends* to the Union and the States on essentially everything that must stay uniform — the taxes to be subsumed, model laws, rates (including floor rates and bands), threshold limits, exemptions, special provisions for special-category States, and the date to bring petroleum products into GST.

Decision-making (the weighted vote — a favourite exam point): - **Quorum** = one-half of total members. - Every decision needs a **majority of not less than three-fourths of the weighted votes** of members present and voting, where: - the **Centre's vote = one-third** of total votes cast, and - **all States together = two-thirds** of total votes cast.

Why this weighting? It is a **mutual veto** designed for cooperative federalism. The Centre (one-third) cannot force anything through alone; the States (two-thirds) cannot override the Centre alone either — because 3/4 approval requires *both* sides to substantially agree. Neither tier can bulldoze the other. This is the political engine that keeps the tax genuinely national yet federal.

Prove the mutual veto with the arithmetic (exam-favourite). Show *why* neither side can act alone: - To pass, you need **≥ 75%** of the votes cast. - The **Centre alone** holds **33.3%** — far below 75%, so the Centre *cannot* pass anything without substantial State support. Conversely, if the Centre votes *against*, the maximum "yes" from States is 66.6%, which is **below 75%** — so **the Centre effectively has a veto** (nothing passes over the Centre's objection). - The **States together** hold **66.6%**. Even if *every* State agreed, 66.6% < 75%, so **the States cannot pass anything without the Centre either.** And to reach 75%, you need the Centre's 33.3% *plus* States contributing at least 41.7% out of their 66.6% — i.e. roughly **63% of the States' weight**

must also agree. - Therefore the 3/4 bar mathematically forces **Centre + a large majority of States** to align. That is cooperative federalism encoded as a fraction.

The Article 279A(4) list — what the Council recommends on: rates including floor rates with bands; taxes/cesses to be subsumed; goods and services exempt; model GST laws, principles of levy, place of supply; threshold turnover limits; special rates for a specified period to raise resources during a natural calamity; special provisions for the North-Eastern and hill States; and the petroleum levy date. Knowing that this is a **recommendatory mandate over rates + exemptions + laws + thresholds** is enough for most questions.

Note: Council recommendations are **recommendatory**, not binding (as clarified by the Supreme Court in the *Mohit Minerals* line of reasoning) — but in practice they anchor the whole structure because both governments legislate in line with them. The Court's reasoning: since *both* Parliament and State legislatures have *simultaneous* power under Article 246A, the Council's role must be to foster *dialogue*, not to command either legislature — otherwise the concurrent power would be hollow.

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5. Worked Examples

Example 1 — Proving the cascade is dead (multi-stage intra-State chain)

Facts: All parties in Karnataka (intra-State). GST rate 18% (9% CGST + 9% SGST). Chain: Manufacturer → Distributor → Retailer → Consumer. Manufacturer's base value ₹10,000; Distributor adds ₹4,000 margin; Retailer adds ₹6,000 margin.

Step 1 — Manufacturer. Output value 10,000. GST = 1,800 (CGST 900 + SGST 900). ITC = 0. **Net to govt = 1,800.** Invoice to Distributor = 10,000 + 1,800 = 11,800.

Step 2 — Distributor. Sale value 10,000 + 4,000 = 14,000. Output GST = 2,520 (CGST 1,260 + SGST 1,260). ITC = 1,800 (900 CGST + 900 SGST). CGST offset against CGST, SGST against SGST. **Net CGST = 1,260 − 900 = 360; Net SGST = 1,260 − 900 = 360. Net to govt = 720.** Invoice to Retailer = 14,000 + 2,520 = 16,520.

Step 3 — Retailer. Sale value 14,000 + 6,000 = 20,000. Output GST = 3,600 (CGST 1,800 + SGST 1,800). ITC = 2,520 (1,260 + 1,260). **Net CGST = 1,800 − 1,260 = 540; Net SGST = 540. Net to govt = 1,080.** Consumer pays = 20,000 + 3,600 = 23,600.

Step 4 — Reconciliation. Total net GST to government = 1,800 + 720 + 1,080 = **3,600.** Check: final consumption value 20,000 × 18% = **3,600.** ✓ Split: CGST 900 + 360 + 540 = **1,800**; SGST 900 + 360 + 540 = **1,800.** ✓ **Conclusion:** the government collects exactly 18% of ₹20,000, once. Each dealer funded tax only on *his own* value addition (Mfr on 10,000, Dist on 4,000, Ret on 6,000 → 1,800 + 720 + 1,080). The cascade is gone.

Example 2 — Inter-State supply and the IGST credit flow

Facts: Rate 18%. Step A: **Manufacturer in Maharashtra** sells to **Distributor in Gujarat** (inter-State) for ₹1,00,000. Step B: the Gujarat distributor adds ₹20,000 and sells to a **consumer in Gujarat** (intra-State).

Step A — Inter-State (Maharashtra → Gujarat). Because location of supplier (MH) ≠ place of supply (GJ), this is inter-State → **IGST**. IGST = 18% × 1,00,000 = **18,000.** Manufacturer (assume no input credit) pays ₹18,000 IGST **to the Centre.** Invoice = 1,00,000 + 18,000 = 1,18,000. Gujarat distributor takes **full ITC of ₹18,000 IGST** (no CST-style sticking cost).

Step B — Intra-State (within Gujarat). Sale value = 1,00,000 + 20,000 = 1,20,000. Output = CGST 9% (10,800) + SGST 9% (10,800) = 21,600. Now apply the set-off order. **IGST credit ₹18,000 is used first**, against CGST then SGST: - Against CGST 10,800 → use 10,800 of IGST credit. CGST payable in cash = 0. IGST credit left = 7,200. - Against SGST 10,800 → use remaining 7,200 IGST credit. **SGST payable in cash = 10,800 − 7,200 = 3,600.**

Cash paid by distributor in Step B = 0 (CGST) + 3,600 (SGST) = 3,600.

Reconciliation of where the money lands (destination principle): - Centre collected ₹18,000 IGST in Step A. - In Step B, the distributor extinguished ₹10,800 CGST and ₹7,200 SGST using that IGST credit, and paid ₹3,600 SGST in cash. - The consumer ultimately bore 18% of ₹1,20,000 = **₹21,600** (10,800 CGST-equivalent + 10,800 SGST-equivalent). - Through the IGST apportionment machinery, the **SGST share flows to Gujarat — the State of consumption — not Maharashtra**, the origin. ✓

Teaching point: the manufacturer's home State (Maharashtra) collected *nothing* in net SGST terms — correct, because the good was consumed in Gujarat. IGST silently transferred the State's share to the destination. Compare the old world: CST would have stuck ~2% on the ₹1,00,000 as a dead, non-creditable cost sitting with Maharashtra. GST healed it.

Example 3 — The ITC set-off order under Section 49A/Rule 88A

Facts: A registered dealer in Delhi has the following for a tax period. Output liability: IGST ₹10,000; CGST ₹8,000; SGST ₹8,000. Available ITC: IGST ₹12,000; CGST ₹3,000; SGST ₹5,000. Compute cash payable.

Rule: IGST credit must be fully utilised first; then CGST credit (IGST→CGST); then SGST credit (IGST→SGST). CGST credit cannot touch SGST and vice-versa.

Step 1 — Utilise IGST credit ₹12,000 (first, in order IGST→CGST→SGST). - Against IGST output 10,000 → use 10,000. IGST output cleared. IGST credit left = 2,000. - Against CGST output 8,000 → use remaining 2,000 IGST credit. CGST output now 6,000 remaining. IGST credit exhausted.

Step 2 — Utilise CGST credit ₹3,000 (against remaining CGST 6,000). - CGST payable in cash = 6,000 − 3,000 = **3,000.**

Step 3 — Utilise SGST credit ₹5,000 (against SGST output 8,000). - SGST payable in cash = 8,000 − 5,000 = **3,000.**

Step 4 — Reconcile. | Head | Output | Credit used | Cash | |---|---|---|---| | IGST | 10,000 | 10,000 (own IGST) | 0 | | CGST | 8,000 | 2,000 (IGST) + 3,000 (CGST) | 3,000 | | SGST | 8,000 | 5,000 (SGST) | 3,000 | | **Total** | 26,000 | 20,000 | **6,000** |

Total credit ₹20,000 + cash ₹6,000 = ₹26,000 = total output liability. ✓ **Cash payable = CGST ₹3,000 + SGST ₹3,000 = ₹6,000.** Note we could NOT use the leftover SGST against CGST — that is why ₹3,000 CGST had to be paid in cash even though SGST credit was fully consumed only on SGST. This asymmetry is the "Central and State money never cross" rule in action.

Example 4 — The examiner's twist: allocating leftover IGST to minimise cash (Rule 88A freedom)

Facts: Output: IGST ₹0; CGST ₹5,000; SGST ₹5,000. ITC: IGST ₹6,000; CGST ₹0; SGST ₹4,000. Compute the **minimum** cash payable, using the Rule 88A freedom to split leftover IGST.

Why this is a trap. A student who blindly applies "IGST → CGST fully, then IGST → SGST" (the old rigid order) gets a *worse* answer. Watch both routes.

Naive route (IGST to CGST first, fully): - IGST ₹6,000 → CGST ₹5,000 (cleared) → ₹1,000 IGST left → SGST: 1,000 of IGST + 4,000 SGST credit = ₹5,000 (SGST cleared). Cash = **0**.

Here the naive route *also* happens to give zero — so change the numbers to expose the trap.

Revised facts: Output CGST ₹5,000; SGST ₹5,000. ITC: IGST ₹6,000; CGST ₹4,000; SGST ₹0.

Naive route (leftover IGST steered to SGST is what we need, but a careless student steers to CGST): - Careless: IGST ₹6,000 → CGST ₹5,000 (cleared), ₹1,000 IGST left → SGST ₹5,000: use ₹1,000 IGST, SGST cash = ₹4,000. Then CGST credit ₹4,000 sits **unused** (CGST output already cleared). **Cash = ₹4,000.** Bad. - Smart (Rule 88A): use **CGST credit ₹4,000** against CGST output first; then IGST ₹6,000 covers remaining CGST ₹1,000 and SGST ₹5,000 (1,000 + 5,000 = 6,000, exactly). **Cash = ₹0.**

Reconciliation (smart route): | Head | Output | Credit used | Cash | |---|---|---|---| | CGST | 5,000 | 4,000 (CGST) + 1,000 (IGST) | 0 | | SGST | 5,000 | 5,000 (IGST) | 0 | | **Total** | 10,000 | 10,000 | **0** |

Teaching point: IGST must be exhausted first (mandatory), but *which head* the IGST relieves is your choice — steer IGST toward the head that has **no other credit**, and use the head-specific credit (here CGST ₹4,000) on its own head. Always park scarce IGST where it is the *only* available reliever. This single tactic converts a ₹4,000 cash outflow into ₹0.

Example 5 — A leak in the chain: the composition dealer breaks the identity

Facts: Intra-State chain, rate 18%. Manufacturer (regular) base ₹10,000 → sells to a **composition** wholesaler (composition tax 1% of turnover, no ITC, no tax collected from customer) who adds ₹5,000 → sells to a regular retailer who adds ₹5,000 → consumer. Show why "rate × final value" fails.

Stage 1 — Manufacturer (regular). Output 10,000; GST 1,800; ITC 0; **net to govt 1,800**. Invoice to wholesaler = 11,800.

Stage 2 — Composition wholesaler. Cannot claim the ₹1,800 ITC → the ₹1,800 becomes his **cost**. His cost base = 11,800. He adds ₹5,000 margin → sells at 16,800 (he **cannot** show GST separately). He pays composition tax = 1% × 16,800 = **₹168** to govt out of his own pocket. **Net to govt 168.**

Stage 3 — Retailer (regular). He buys at 16,800 with **no ITC** (composition dealer issues a bill of supply, no tax invoice). His cost = 16,800; adds ₹5,000 → value 21,800; output GST 18% = **3,924** (CGST 1,962 + SGST 1,962); ITC = 0. **Net to govt 3,924.** Consumer pays 21,800 + 3,924 = 25,724.

Reconciliation — watch the identity break. - Total net to govt = 1,800 + 168 + 3,924 = **5,892.** - Naive "rate × final value" = 18% × 21,800 = 3,924 — **does not match 5,892.** - The gap = ₹1,968 ≈ the ₹1,800 stranded manufacturer tax **plus** the ₹168 composition tax, both of which got **re-taxed** downstream because they sat inside the cost that the retailer marked up and charged 18% on. The cascade returned at the composition link.

Teaching point: the moment ITC is severed anywhere in the chain (composition, exempt supply, blocked credit, or an unregistered link), tax embedded in cost gets taxed again and the clean "rate × final value" identity **fails**. When a computed reconciliation refuses to tie, do not hunt for an arithmetic slip first — scan the facts for a **broken-credit link**. Recognising *which* link broke and *why* the numbers no longer reconcile is exactly the higher-order skill examiners test.

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6. Format / Summary

The GST identity (memorise this as your sanity check):

> **Net GST to government (whole chain) = Applicable rate × Final consumption value.** If a computation violates this, ITC has leaked (blocked credit, composition dealer in the chain, exempt supply, or an error).

Which tax applies — one-line test:

Location of supplier vs Place of supply	Nature	Tax(es)
Same State/UT	Intra-State (Sec 8 IGST Act)	CGST + SGST / UTGST
Different State/UT, import, export, SEZ	Inter-State (Sec 7 IGST Act)	IGST

ITC set-off order (Sec 49, 49A, 49B; Rule 88A):

Credit of	Can be used against (in order)	Never against
IGST	IGST → CGST → SGST (must exhaust first; free to split leftover)	—
CGST	IGST → CGST	SGST
SGST/UTGST	IGST → SGST	CGST

GST Council vote: Centre = 1/3, States (together) = 2/3; decision needs ≥ **3/4** of weighted votes; quorum = 1/2. Arithmetic: Centre's 1/3 < 3/4 (no unilateral Centre power) and States' 2/3 < 3/4 (no unilateral State power) → mutual veto.

Constitutional anchor of exclusions: liquor out *by definition* (Art. 366(12A) — needs amendment); petro out *by timing* (Art. 246A/279A(5) — needs Council date); BCD/stamp/electricity are structurally different taxes.

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7. Connections

- → **Supply (Ch. on Sec 7 & Schedules):** the single taxable event that replaced manufacture/sale/service. GST's whole reach depends on the width of "supply."
- → **Charge & Composition (Sec 9 CGST, Sec 5 IGST, Sec 10):** the charging sections that turn "supply" into a levy; reverse charge (Sec 9(3)/(4)) and e-commerce operator liability (Sec 9(5)) sit here.
- → **Place of Supply (IGST Act, Sec 10–14):** the rules that decide intra vs inter-State — i.e. the destination principle in operation. Get these wrong and you charge the wrong tax to the wrong State.
- → **Time & Value of Supply (Sec 12–15):** *when* and on *what amount* the tax bites; Section 15 (transaction value) feeds every computation above.
- → **Input Tax Credit (Sec 16–18):** the anti-cascade engine in full; blocked credits (Sec 17(5)) are the main way the "rate × consumption" identity breaks.
- → **Registration (Sec 22–25):** thresholds, compulsory registration (Sec 24), and aggregate turnover flow directly from Section 4.3 here.

- → **Payment of Tax (Sec 49):** the electronic cash/credit ledgers and the set-off order used in Examples 3 and 4.
- → **Customs / Imports:** IGST on imports (Sec 5 IGST Act, collected under the Customs Tariff Act) links GST to the Customs Act; BCD stays outside GST.

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8. Traps & Examiner Tricks

1. **"IGST is a third, separate tax."** No — IGST **= CGST rate + SGST rate**, collected by the Centre and apportioned to the destination State. Treat it as a clearing pipe, not a new burden.
2. **Offsetting CGST against SGST.** A classic wrong answer. **They can never be set off against each other.** Only IGST bridges them. Watch for this in payment problems (as in Example 3, where SGST credit couldn't relieve CGST).
3. **Forgetting IGST must be used first.** Post-Rule 88A, IGST credit must be fully exhausted before CGST/SGST credit is touched. Students who set off "head against same head first" get the cash figure wrong.
4. **Ignoring the Rule 88A freedom.** After exhausting IGST, you may split leftover IGST between CGST and SGST *freely* — steer it to the head lacking other credit to minimise cash (Example 4). A rigid split can needlessly force a cash payment.
5. **Wrong threshold for services.** The ₹40 lakh limit is for **goods only, and only if the supplier deals exclusively in goods**; services stay at **₹20 lakh** (₹10 lakh in special-category States). Examiners love mixing a service (or a bit of service) into a "₹40 lakh" fact pattern to knock out the higher limit.
6. **Forgetting compulsory registration (Sec 24).** "Turnover below threshold → no registration" is wrong if the person makes inter-State supplies of goods, is a casual/non-resident taxable person, is liable under reverse charge, or supplies through an e-commerce operator. Screen Section 24 first.
7. **Origin vs destination confusion.** In inter-State problems, the SGST share goes to the **consuming** State, not the supplier's State. Tag the *place of supply*, not the seller's address.
8. **SEZ treated as intra-State.** A supply to/from an SEZ is **inter-State (IGST)** *even within the same State*. Don't apply the same-State reflex when an SEZ appears.
9. **IGST on imports charged "under GST law."** IGST on imported **goods** is levied and collected at customs under the **Customs Tariff Act**, along with BCD — not through the normal GST charging mechanism. And BCD itself is **not** subsumed.
10. **Assuming petroleum/liquor attract GST.** The five petro-products and alcoholic liquor are **outside** GST *currently*. Liquor is out by the **constitutional definition** (needs amendment to include); petro is out by **timing** (needs a Council date). Basic Customs Duty and electricity are outside too. Tobacco is *inside* GST but can *also* bear central excise.
11. **GST Council vote fractions flipped.** Centre = **1/3** (not 1/4), States = **2/3**, threshold = **3/4**. Easy to invert under pressure. Remember each side alone is below 3/4 → mutual veto.
12. **"Manufacture is the taxable event."** That was excise. Under GST the taxable event is **supply** — there is no tax at the moment of manufacture.
13. **Composition/exempt dealer breaks the identity.** If a composition or exempt supplier sits in the chain, ITC is denied and the "rate × final value" reconciliation *won't* hold — the cascade partially returns (Example 5). Read the facts for "composition," "exempt," or "unregistered."

14. **UTGST vs SGST.** The test is **legislature**, not statehood. Delhi, Puducherry and J&K have legislatures → **SGST**. Chandigarh, A&N, Lakshadweep, Ladakh, DNH&DD → **UTGST**. Don't write "SGST" for Chandigarh.
15. **"Council recommendations are binding."** They are **recommendatory** (Supreme Court, *Mohit Minerals*). Both legislatures have concurrent power; the Council persuades, it does not command.

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9. First-Principles Recap

Start from the wound and rebuild the entire law from memory:

1. **Old India had three diseases** — cascading (tax on tax), silo'd non-fungible credit, and inter-State barriers (CST + check-posts). And the cascade was structural: divided taxing power meant no government *could* grant credit of another's tax. Price rose, the national market fractured, warehouses multiplied to dodge CST.
2. **The cure is one idea:** a single tax on *value added*, that is *destination-based* (accrues where consumed), with *seamless credit* across the whole chain. Value-added view = consumption view, collected in self-policing instalments. Net take = rate × final consumption. Cascade dead — *unless* a credit link breaks.
3. **But India is a federation** — Article 246A gives Centre and States *concurrent* power. So the single idea is delivered as a **dual tax**: CGST + SGST/UTGST on intra-State supply. The SGST/UTGST choice turns on whether a UT has a legislature.
4. **Inter-State trade would break the destination principle and the credit chain** → invent **IGST** (= CGST + SGST), collected by the Centre and routed to the consuming State via Article 269A apportionment; the buyer's act of claiming credit is what pulls the revenue to the destination. CST barrier healed.
5. **Credit is the engine**, so the set-off order protects government ownership: IGST first (then free to split); CGST↮SGST never cross — because that would be one government paying the other's dues.
6. **To keep 30+ governments uniform**, create the **GST Council** with a 1/3–2/3 weighting and a 3/4 pass bar — arithmetic that forces Centre + a large majority of States to agree. Cooperative federalism institutionalised; recommendations persuade, not command.
7. **Sweep the old taxes in** (excise, service tax, VAT, CST, entry, luxury, CVD, SAD…) — countervailing duties folded in because IGST-on-imports now does their job — and keep out the protected few (liquor by definition, 5 petro by timing, electricity/stamp/BCD as structurally different taxes).

Every provision you meet later — supply, place of supply, ITC conditions, returns — is just machinery to make step 2's identity hold in a messy, federal, multi-stage economy.

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10. Quick-Revision Sheet

One-liner: GST = single, destination-based, value-added, consumption tax with seamless credit; delivered as a dual levy because India is a federation.

Constitutional pillars: Art. **246A** (concurrent power; also carves out petro timing), Art. **269A** (IGST levy & apportionment), Art. **279A** (GST Council; 279A(5) petro list), Art. **366(12A)** (defines GST, excludes liquor). Enabled by the **101st Amendment, 2016**.

Charging sections: CGST **Sec 9** (9(3)/(4) RCM, 9(5) e-commerce operator); IGST **Sec 5** (imports via Customs Tariff Act). Taxable event = **supply (Sec 7 CGST)**.

Which tax: same State → **CGST + SGST/UTGST**; different States/import/export/SEZ → **IGST** (= CGST + SGST rate, Centre collects, destination gets SGST share). SEZ = inter-State even within the same State.

Set-off order (Rule 88A): IGST first, fully (IGST→CGST→SGST, leftover split freely); CGST (IGST→CGST, never SGST); SGST (IGST→SGST, never CGST).

Thresholds: goods **₹40 L** (only if *exclusively* goods) / services **₹20 L** (special States ₹20 L / ₹10 L). Aggregate turnover = PAN-based, all-India, excl. GST. Compulsory registration (Sec 24) overrides thresholds. Composition ~₹1.5 cr goods (1%), restaurants 5%, small services 6% up to ₹50 L — **no ITC, bill of supply, no inter-State outward supply.** *Verify current figures with ICAI.*

Taxes subsumed: Central — Excise, Service Tax, CVD, SAD, central cesses. State — VAT, CST, Entry/Octroi, Luxury, Entertainment (non-local), Purchase, betting/lottery. (CVD/SAD in because IGST-on-imports replaces them; BCD out as a tariff.)

Kept OUT: Alcoholic liquor (by definition — needs amendment); 5 petro-products (by timing — needs Council date: crude, HSD, petrol, natural gas, ATF); electricity; stamp duty; Basic Customs Duty. (Tobacco IN + central excise possible.)

GST Council: Chair = Union FM; members = MoS Finance + State FMs; Vice-Chair from States. Vote: Centre **1/3**, States **2/3**, pass at **3/4**; quorum 1/2 → mutual veto. Recommendations persuasive, not binding (*Mohit Minerals*).

Sanity check for any sum: total net GST = **rate × final consumption value**; if not, a credit link leaked (composition / exempt / blocked / unregistered).

> **Reminder:** confirm current rates, thresholds, the UT/special-State lists, section-number amendments (49/49A/49B, Rule 88A) and the latest amendments in the ICAI Study Material and RTP/MTP for your exam attempt.

Q&A — GST — Concept & Framework

> **Amendment / rate-sensitivity flag:** All rates, thresholds and section references below reflect the position generally examined under the **CGST Act, 2017**, **IGST Act, 2017**, **UTGST Act, 2017**, **GST (Compensation to States) Act, 2017** and Article 246A / 279A of the Constitution, as applicable for the current CA-Intermediate attempt. GST is a **notification-driven** law — rate slabs, the ₹40 lakh / ₹20 lakh / ₹10 lakh registration thresholds, the composition turnover limit (₹1.5 cr / ₹75 lakh) and the list of items outside GST (petroleum, alcohol) change frequently. **Re-verify every figure against the latest ICAI Study Material / RTP and CBIC notifications for your attempt.** Unless stated, "Act" means the CGST Act, 2017.

Section A — Concept Check (short Q&A with section/Article citation)

A1. What single defect of the old indirect-tax regime did GST cure? Cascading — "tax on tax." Excise/VAT/service tax ran in silos with no cross-credit, so tax paid at one stage became cost at the next. GST is a **destination-based tax on value addition** with a seamless input-tax-credit (ITC) chain [Sec 16, CGST Act] that lets tax flow forward and collapses only the value added at each stage.

A2. What is the constitutional source of the power to levy GST? Article 246A (inserted by the 101st Amendment) gives **both Parliament and State Legislatures concurrent power** to make GST laws. **Article 269A** assigns levy/collection of **IGST on inter-State supply** to the Union (apportioned with States). This dual authority is why GST needed a Constitutional amendment, not an ordinary statute.

A3. Why is GST called a "dual GST"? On every **intra-State** supply, the same transaction attracts **CGST (Sec 9, CGST Act)** and **SGST/UTGST** simultaneously on the same value. India adopted dual GST to preserve the **fiscal federalism** of a federal Constitution — the Centre and the States each keep a slice of the same base rather than one surrendering to the other.

A4. Distinguish the charge under CGST/SGST from IGST. - **Intra-State** supply → **CGST + SGST/UTGST** [Sec 9, CGST/UTGST Acts]. - **Inter-State** supply (and imports) → **IGST = CGST rate + SGST rate**, levied under **Sec 5, IGST Act**. IGST is a single tax that later gets apportioned between Centre and the destination State, avoiding the need to track two taxes across a State border.

A5. What determines whether a supply is inter-State or intra-State? The **location of supplier vs place of supply** [Sec 7 & 8, IGST Act]. Same State → intra-State (CGST+SGST). Different States (or one is a UT/abroad) → inter-State (IGST). This is why "place of supply" rules are the backbone of GST — they decide *which* State gets the money.

A6. Why is GST "destination-based" and not "origin-based"? Because tax accrues to the State where **goods/services are consumed**, not produced. A destination principle stops manufacturing States from hoarding revenue and matches GST's economic logic — it is a **consumption tax** ultimately borne by the final consumer.

A7. Which taxes were subsumed into GST, and which four items are still outside it? Subsumed: central excise, service tax, CVD/SAD, State VAT, entry tax, luxury/entertainment tax, CST, etc. **Outside GST (for now):** (i) **petroleum crude, HSD, petrol, natural gas, ATF** (GST rate notified as *nil* until the Council decides), (ii)

alcoholic liquor for human consumption (permanently outside — State excise/VAT continues), plus **tobacco** (GST *plus* central excise) and **electricity**.

A8. What is the role of the GST Council? Article 279A creates the GST Council (Union FM as chair, State FMs as members) to **recommend** rates, exemptions, thresholds, model laws and dispute-resolution. It is the **cooperative-federalism engine** of GST; decisions need a **75% weighted majority** (Centre 1/3, States 2/3).

A9. What is the taxable event under GST, and how is it different from the old regime? The taxable event is **"supply"** [Sec 7, CGST Act] — a single, unified trigger. It replaced multiple events: *manufacture* (excise), *sale* (VAT) and *provision of service* (service tax). One event removes classification disputes about whether a transaction was a "sale" or a "service."

A10. How does the input-tax-credit chain prevent cascading? Each registered person pays GST on outward supply but sets off GST already paid on inputs/input services/capital goods [Sec 16 read with Sec 49, CGST Act]. Net tax to government = tax on **value added** only. Tax therefore reaches the consumer without compounding at every stage.

A11. What is the composition scheme in one line, and who is it for? Sec 10, CGST Act — small suppliers with aggregate turnover up to **₹1.5 crore (₹75 lakh for special-category States)** pay a low flat rate on turnover (e.g., 1% traders, 5% restaurants, 6% eligible service providers) **without ITC** and **cannot make inter-State outward supplies or collect tax** from customers. It trades ITC for compliance simplicity.

A12. Why are threshold exemptions (₹40L/₹20L/₹10L) built into GST? To keep **tiny suppliers out of the compliance net** — the administrative cost of taxing them exceeds the revenue. ₹40 lakh applies to goods suppliers in normal States, ₹20 lakh for services (₹10 lakh for special-category States) [Sec 22, CGST Act].

Section B — Graded Computational / Application Problems (full working, self-checked)

B1 (Easy) — Splitting the tax between CGST/SGST vs IGST [Sec 9 CGST; Sec 5 IGST]

A supply of goods has a taxable value of **₹1,00,000** and the GST rate is **18%**. Compute the tax if the supply is (a) intra-State, (b) inter-State.

Answer. - Total GST @18% = 1,00,000 × 18% = **₹18,000**. - **(a) Intra-State:** CGST 9% = ₹9,000 + SGST 9% = ₹9,000 → total **₹18,000**. - **(b) Inter-State:** IGST 18% = **₹18,000** (single levy). - **Check:** both routes yield the identical ₹18,000 — GST is rate-neutral to the transaction; only the *sharing* differs. ✓

B2 (Easy–Moderate) — Cascading vs GST value addition

A product moves Manufacturer → Wholesaler → Retailer. Value added at each stage: Manufacturer **₹1,000**, Wholesaler adds **₹400**, Retailer adds **₹600**. GST rate **10%** (assume intra-State, ignore CGST/SGST split; use total 10%). Compare tax collected under a **no-credit (cascading)** regime vs **GST with ITC**.

Answer. Selling prices (pre-tax): Mfr ₹1,000; WS ₹1,400; Retailer ₹2,000.

No-credit (tax charged on price incl. earlier tax): - Mfr charges 10% on 1,000 = ₹100 → price 1,100. - WS cost 1,100, adds 400 = 1,500, tax 10% = ₹150 → price 1,650. - Retailer cost 1,650, adds 600 = 2,250, tax 10% = ₹225 → price 2,475. - **Total tax collected = 100 + 150 + 225 = ₹475.**

GST with ITC: | Stage | Value added | Output tax | ITC | Net to govt | |---|---|---|---|---| | Manufacturer | 1,000 | 100 | 0 | 100 | | Wholesaler | 400 | 140 | 100 | 40 | | Retailer | 600 | 200 | 140 | 60 | | **Total** | **2,000** | | | **200** |

- **Check:** GST net collection ₹200 = 10% × total value added ₹2,000. Cascading collected ₹475 (tax on tax). GST saves ₹275 and the consumer's final price falls from ₹2,475 to ₹2,200. ✓

B3 (Moderate) — ITC set-off / net cash payable [Sec 49 read with Sec 49A/49B]

For a month, a dealer (intra-State only) has: **Output CGST ₹30,000, Output SGST ₹30,000. ITC available: CGST ₹18,000, SGST ₹22,000.** Compute net cash payable.

Answer. - CGST: output 30,000 − ITC 18,000 = **₹12,000 payable in cash.** - SGST: output 30,000 − ITC 22,000 = **₹8,000 payable in cash.** - CGST credit cannot be used against SGST and vice-versa [Sec 49(5)]; no cross-utilisation between the two. - **Total cash = ₹20,000.** Check: total output 60,000 − total ITC 40,000 = 20,000. ✓

B4 (Moderate–Hard) — IGST credit cross-utilisation order [Sec 49A, Rule 88A]

A dealer has **Output: IGST ₹10,000, CGST ₹10,000, SGST ₹10,000.** ITC: **IGST ₹30,000, CGST ₹2,000, SGST ₹2,000.** Determine tax payable, applying the rule that **IGST credit must be fully exhausted first** and may be used against IGST → then CGST/SGST in any order.

Answer. - **Step 1 — IGST output:** set off with IGST ITC 10,000 → IGST output nil. IGST ITC left = 30,000 − 10,000 = **20,000**. - **Step 2 — remaining IGST ITC (20,000)** applied to CGST 10,000 and SGST 10,000 → both wiped out. IGST ITC left = 0. - **Step 3 — CGST & SGST ITC (2,000 each):** their outputs are already nil, so this credit remains unused and carries forward. - **Cash payable = ₹0.** Balance in credit ledger c/f: CGST ₹2,000 + SGST ₹2,000 = **₹4,000.** - **Check:** total output 30,000 fully covered by IGST ITC of 30,000; unused CGST/SGST credit ₹4,000 carried forward. ✓

B5 (Exam-hard) — Composition scheme eligibility + tax [Sec 10]

Mr. Rao, a trader in Maharashtra (normal State), had **aggregate turnover ₹1.30 crore** last year, all intra-State. In the current year his turnover is **₹90 lakh (goods) + ₹8 lakh (interest on FDs, exempt) + ₹2 lakh (renting of commercial property, a service)**. He wants the composition scheme. (a) Is he eligible? (b) Compute composition tax.

Answer. - **(a) Eligibility:** Last-year aggregate turnover ₹1.30 cr ≤ **₹1.5 cr** → within the limit [Sec 10(1)]. A composition trader may supply services up to **10% of turnover or ₹5 lakh, whichever is higher** [Sec 10(1) proviso]. Here service (renting ₹2 lakh) vs limit = higher of (10% × 1.30 cr = ₹13 lakh) or ₹5 lakh = **₹13 lakh**. ₹2 lakh ≤ ₹13 lakh → **eligible.** All supplies are intra-State (composition bars inter-State outward supply). ✓ - **(b) Tax:** For a **trader**, composition rate = **1% of turnover** (0.5% CGST + 0.5% SGST) on **taxable turnover**. Exempt FD interest is excluded from the tax base for a trader (turnover of taxable supplies). Base = goods ₹90 lakh + renting ₹2 lakh = **₹92 lakh**. - Composition tax = 1% × 92,00,000 = **₹92,000** (CGST ₹46,000 + SGST ₹46,000). - He **cannot collect tax** from customers and **cannot claim ITC** [Sec 10(4)]. Check: rate applied to taxable turnover, inter-State bar satisfied, service cap satisfied. ✓

B6 (Exam-hard) — Registration threshold & aggregate turnover [Sec 22, Sec 2(6)]

Ms. Iyer operates from **Tamil Nadu (normal State)** with: taxable goods supply ₹28 lakh, exempt supply ₹9 lakh, and exports ₹6 lakh. Must she register?

Answer. - **Aggregate turnover** [Sec 2(6)] = taxable + exempt + exports + inter-State — computed **all-India, PAN-based**, excluding GST itself. - ATO = 28 + 9 + 6 = **₹43 lakh**. - Threshold for a **supplier of goods in a normal State = ₹40 lakh** [Sec 22 with Notification No. 10/2019-CT]. - ₹43 lakh > ₹40 lakh → **registration is mandatory.** - **Trap check:** exempt supply and exports **count** toward aggregate turnover even though they bear no/zero tax; ignoring them (28 < 40) would wrongly conclude "no registration." ✓

Section C — Past-Paper-Style Full Questions (model answers)

C1. "Explain the dual GST model adopted in India and the rationale behind it." (5 marks)

Model answer. India follows a **concurrent dual GST**, sourced in **Article 246A**, under which both the Centre and the States levy GST **simultaneously on the same base**: 1. **Intra-State supply** attracts **CGST** (levied by the Centre under Sec 9, CGST Act) **and SGST/UTGST** (levied by the State/UT under the SGST/UTGST Act) on the same taxable value. 2. **Inter-State supply and imports** attract **IGST** (Centre, under Sec 5, IGST Act), where IGST rate = CGST rate + SGST rate.

Rationale: India is a **federal polity**; a single central GST would strip States of fiscal autonomy, while a purely State GST could not tax inter-State trade. The dual model preserves **fiscal federalism** — each government retains a revenue stream — while the **IGST mechanism** ensures a seamless credit chain across State borders and routes revenue to the **destination (consuming) State** via apportionment under **Article 269A**. The **GST Council (Art. 279A)** harmonises rates so the dual structure behaves as one tax to the taxpayer.

C2. "Describe how GST removes the cascading effect of taxes. Illustrate briefly." (6 marks)

Model answer. Under the pre-GST regime, central and State levies operated in **silos with no cross-credit** (e.g., VAT could not be set off against service tax), so each tax was charged on a base that already included earlier taxes — the **cascading / "tax-on-tax"** effect that inflated the final price.

GST removes cascading through **two design features**: - **A single taxable event ("supply")** [Sec 7] replacing manufacture/sale/service, and - **A seamless input-tax-credit chain** [Sec 16 r/w Sec 49] — every registered supplier deducts GST already paid on inputs, input services and capital goods from its output tax, so **only value addition is taxed at each stage**.

Illustration: If value added is ₹1,000 (mfr), ₹400 (WS) and ₹600 (retailer) at 10%, GST collects tax only on the running value added — net ₹100 + ₹40 + ₹60 = **₹200 = 10% of ₹2,000 total value added** — whereas a no-credit regime would collect ₹475 by taxing tax. The consumer bears tax **once**, on final consumption value.

C3. "State which taxes have been subsumed under GST and which supplies remain outside its purview." (5 marks)

Model answer. Subsumed — Central levies: Central Excise Duty, Additional Excise Duties, Service Tax, CVD & Special Additional Duty of Customs, Central Surcharges/Cesses relating to supply. **Subsumed — State levies:** State VAT/Sales Tax, Central Sales Tax, Entry Tax/Octroi, Luxury Tax, Entertainment Tax (except that levied by local bodies), Taxes on lottery/betting, State cesses/surcharges on supply.

Outside GST: - **Alcoholic liquor for human consumption** — permanently outside; State excise & VAT continue. - **Five petroleum products** — petroleum crude, high-speed diesel, petrol, natural gas and ATF — **constitutionally within GST but taxed at nil GST rate** until the **GST Council** notifies a date; meanwhile central excise + State VAT apply. - **Electricity** and **immovable property (stamp duty)** remain under existing State taxes. - **Tobacco** is *within* GST **and** additionally bears central excise duty. - **Basic Customs Duty** on imports continues (IGST is levied *in addition*).

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. GST in India derives its constitutional authority primarily from: (a) Article 246 (b) **Article 246A** (c) Article 265 (d) Article 279 **Ans: (b)** — Art. 246A confers concurrent GST-legislating power on Centre and States.

D2. On an inter-State supply of goods, the tax levied is: (a) CGST + SGST (b) SGST only (c) **IGST** (d) CGST only **Ans: (c)** — Sec 5, IGST Act; inter-State supplies attract a single IGST.

D3. GST is best described as a: (a) Production/origin-based tax (b) **Destination-based consumption tax** (c) Direct tax on income (d) Turnover tax without credit **Ans: (b)** — revenue accrues to the State of consumption via ITC + destination principle.

D4. The GST Council is constituted under: (a) Sec 9 CGST Act (b) Article 269A (c) **Article 279A** (d) Sec 2(6) CGST Act **Ans: (c)** — Art. 279A creates the Council; decisions by 75% weighted vote.

D5. Which of the following is **NOT** subsumed under GST? (a) Service tax (b) State VAT (c) **Alcoholic liquor for human consumption** (d) Entry tax **Ans: (c)** — alcohol for human consumption is constitutionally outside GST.

D6. The taxable event under GST is: (a) Manufacture (b) Sale (c) Provision of service (d) **Supply Ans: (d)** — Sec 7, CGST Act unifies all events into "supply."

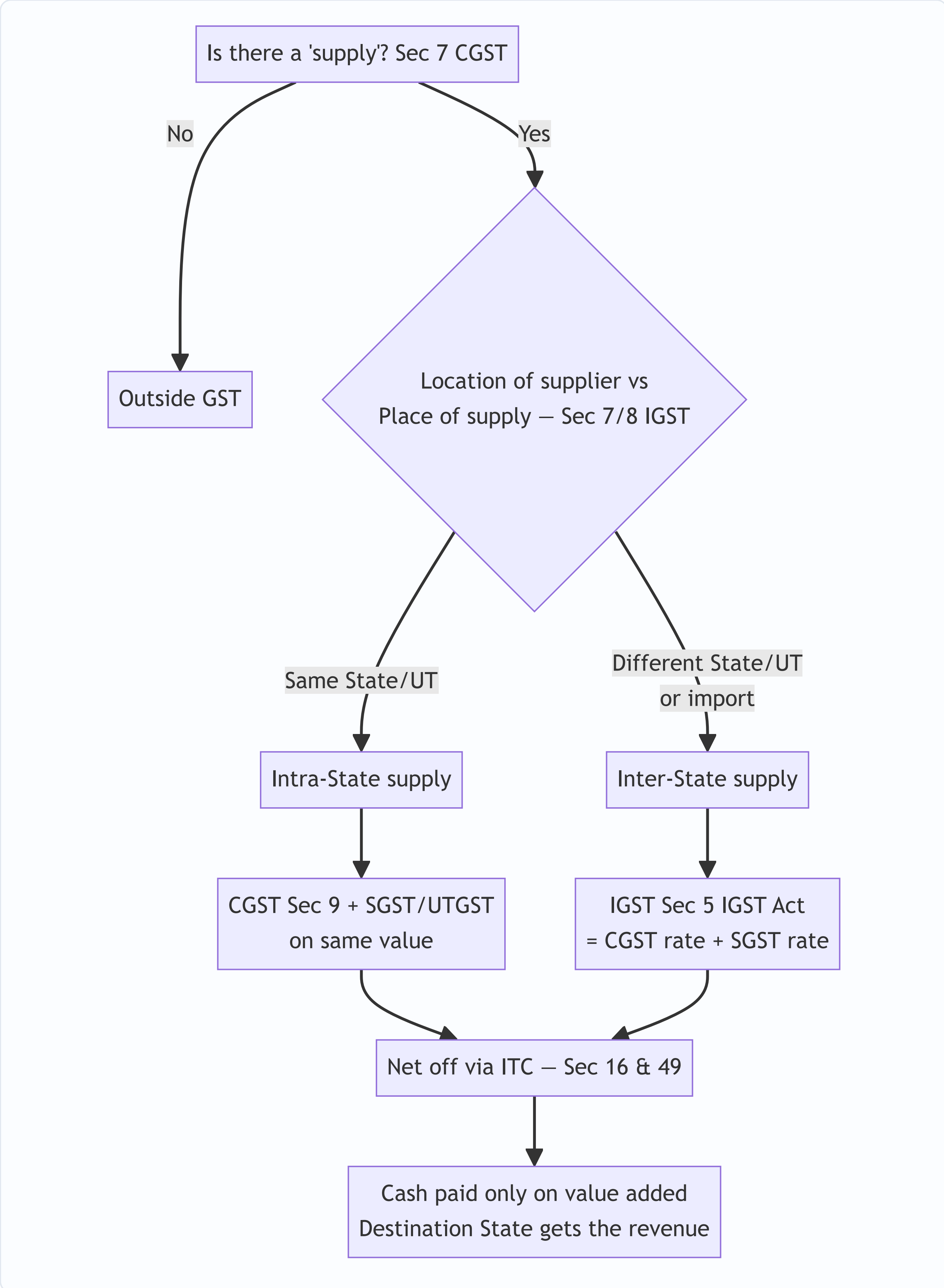
D7. Case scenario. A furniture dealer in Kerala sells goods worth ₹50,000 (18% GST) to a customer in Kerala. The correct tax is: (a) IGST ₹9,000 (b) **CGST ₹4,500 + SGST ₹4,500** (c) CGST ₹9,000 (d) SGST ₹9,000 **Ans: (b)** — intra-State supply → CGST 9% + SGST 9% on ₹50,000.

D8. Case scenario. A composition dealer (trader) has taxable turnover ₹80 lakh. His composition tax is: (a) ₹1,44,000 (b) ₹4,00,000 (c) **₹80,000** (d) Nil **Ans: (c)** — traders pay 1% of turnover under Sec 10 → 1% × ₹80 lakh = ₹80,000 (no ITC, no tax collection).

D9. IGST revenue on inter-State supply is apportioned between the Centre and the destination State under: (a) Article 246A (b) **Article 269A** (c) Sec 9 CGST (d) Sec 10 CGST **Ans: (b)** — Art. 269A governs levy and apportionment of IGST.

D10. The threshold registration limit for a supplier of **goods** in a normal-category State is generally: (a) ₹10 lakh (b) ₹20 lakh (c) **₹40 lakh** (d) ₹1.5 crore **Ans: (c)** — ₹40 lakh for goods (₹20 lakh for services); ₹1.5 cr is the composition limit. *(Rate/threshold-sensitive — verify for your attempt.)*

GST charge-decision flow (Mermaid)



One-line first-principles recap

GST replaces a fragmented, cascading regime with **one taxable event (supply)** taxed **concurrently by Centre + State (dual GST)**, made seamless by an **ITC chain** and routed to the **consuming State (destination principle)** — all anchored in **Article 246A / 279A** and worked through the **CGST, SGST/UTGST and IGST Acts, 2017.**

Chapter 14 — Supply under GST

> **Applicable-law flag:** This chapter teaches the *architecture* of "supply" — Sections 7 and 8 of the CGST Act, 2017 read with Schedules I, II and III. The concepts are structurally stable, but Schedule entries, activity-specific clarifications, and the treatment of a few borderline items (actionable claims, high-sea sales, vouchers, online gaming) have been fine-tuned by amendments and circulars. **Before your attempt, verify the current text of Sec 7, the three Schedules, and the latest ICAI Study Material / RTP amendments for your exam sitting.** If you understand *why* an item lands in a Schedule, memorising the list becomes almost unnecessary.

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1. The Problem — what event should GST tax, and why the old answer was a disaster

Every indirect tax must first answer one question before it can charge a single rupee: **what is the taxable event?** — the precise happening that switches the tax on.

Before 1 July 2017, India answered this question *many times over*, once for each tax, and each answer was different:

- **Central Excise** taxed *manufacture* — the moment goods were *produced* in a factory.
- **VAT / CST** taxed *sale* — the transfer of property in goods for a price.
- **Service tax** taxed *provision of a service* — an activity done for another for consideration.
- **Entry tax, octroi** taxed *entry of goods into a local area*.
- **Luxury tax, entertainment tax** taxed still other events.

Because each tax fixed on a *different* event, three ruinous problems followed:

1. **Classification wars.** Is a restaurant meal a *sale* of food (VAT) or a *service* of serving it (service tax)? Is a software licence *goods* or a *service*? Is a works contract (build-a-building) a sale of materials or a service of construction? Litigation ran for decades because the *tax depended on the label*, and each label carried a different tax at a different rate to a different government.

2. **Cascading (tax-on-tax).** Excise was charged at the factory; then VAT was charged on a value that *included* the excise. Tax piled on tax, because credit could not cross the boundary between a Central tax (excise) and a State tax (VAT). The final price carried hidden layers of tax-upon-tax.

3. **Gaps and overlaps.** Some transactions escaped every tax; others were taxed twice (both VAT and service tax on the same works contract), forcing artificial 70:30 splits.

The root cause of all three was the **multiplicity of taxable events**. Fix that, and the mess dissolves.

> **Why the "taxable event" matters beyond theory.** The taxable event is not just an academic label — it fixes *the moment a liability is born*. Everything the assessee later does (raise the invoice, deposit tax, claim credit) hangs off that moment. Under the old system the same commercial deal could give birth to *three* liabilities at *three* different moments to *three* different treasuries. A single taxable event means a single birth-moment, a single liability, a single credit stream — which is why "supply" had to be defined before any other GST machinery could be written.

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2. The Core Idea

> **GST abolishes "manufacture", "sale" and "provision of service" as separate taxable events and replaces all of them with ONE unifying event: *supply*. Tax is triggered when there is a "supply" of goods or services. Section 9 (the charge) says "there shall be levied a tax... on all *intra-State supplies*"; the entire question of "what is taxable" collapses into "what is a supply".**

Read that again. The whole complicated pre-GST apparatus — three central events, several state events, all with their own case law — is compressed into a single word. If a transaction is a **supply**, GST *can* apply. If it is **not a supply**, GST *cannot* apply, no matter how much money changes hands.

This is why "supply" is the *single most important definition in the entire GST law*. Every later concept — time of supply (when to pay), place of supply (which State/IGST), value of supply (how much), input tax credit (what you can net off) — all of them presuppose that a supply exists. **Supply is the gate; everything else is inside the gate.**

The chapter's job is therefore to answer four sub-questions, and Sections 7–8 are built to answer exactly these:

- **What counts as a supply?** → *Scope of supply*, Sec 7(1).
- **Can something be a supply even with NO money?** → *Schedule I*, Sec 7(1)(c).
- **When we have a supply, is it of GOODS or SERVICES?** (the rate/rules differ) → *Schedule II*, Sec 7(1A).
- **What is carved OUT — declared "neither goods nor services"?** → *Schedule III*, Sec 7(2).
- **When two things are bundled, how do we tax the bundle?** → *Composite vs mixed supply*, Sec 8.

> **The two feeder definitions that quietly decide everything.** "Supply" is a supply *of goods or services*. So two upstream definitions gate the gate: - **Goods [Sec 2(52)]** = *every kind of movable property* other than money and securities, but **including actionable claims, growing crops, grass and things attached to or forming part of the land which are agreed to be severed before supply**. Note the deliberate carve-*in* of actionable claims and the carve-*out* of money and securities. - **Services [Sec 2(102)]** = *anything other than goods, money and securities*, but **including activities relating to the use of money or its conversion by cash or by any other mode, from one form/currency/denomination to another, for which a separate consideration is charged**.
>
> Together they are exhaustive and mutually exclusive: everything that is not money/securities is *either* goods *or* services. **Money and securities are neither** — trading in them is outside GST (the *facilitation fee/commission* for handling them, however, is a service). This is a favourite one-liner trap: buying/selling shares is not a supply, but the *brokerage* is.

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3. Why it's built this way

Why one event instead of many? Because the *label* was the source of every dispute and every cascade. If "sale vs service" no longer changes *whether* you are taxed (both are "supply", both attract GST, and — crucially — credit flows freely across both), the incentive to litigate the label largely vanishes. A restaurant meal, a software licence, a works contract — all are simply *supplies*, all taxed, all creditable. The war ends because the prize is gone.

Why must "supply" be defined so widely (an inclusive, not exhaustive, list)? Because a tax on value added must catch value *wherever* it is created — in a sale, a lease, a licence, a barter, an exchange, a disposal. If the definition were a closed list, taxpayers would engineer transactions to sit *just outside* it. So Sec 7(1)(a) uses "**includes**" and lists *forms* (sale, transfer, barter, exchange, licence, rental, lease, disposal) as illustrations, not boundaries.

Why bring in transactions with NO consideration (Schedule I)? Because the ordinary meaning of supply requires a *price*, and businesses would otherwise avoid tax by *gifting*. If a company could ship goods to its own branch in another state, or a manufacturer could give away stock, tax-free simply by not charging a price, the base would leak badly and input credit already taken would be enjoyed with no output tax. Schedule I plugs this by *deeming* four specific consideration-free transactions to be supplies anyway.

Why classify goods vs services at all if both are taxed? Because *time of supply*, *place of supply* and sometimes the *rate* differ between the two. The tax is unified, but the *machinery* still needs to know which limb to run. Schedule II is the rulebook that settles the classification for the historically-contested cases (works contracts, restaurant supply, leasing, etc.).

Why carve out Schedule III (neither goods nor services)? Because some activities are *not economic supplies at all* in the sense GST intends to tax — an employee working for salary, a court's functions, the sale of a completed building (immovable property, outside GST by design), the sale of land. Rather than argue each one, the law *declares* them out.

Why not simply tax "any transfer of value"? Because GST is a tax on *supply in the course of commerce*, not a wealth or gift tax. If the trigger were "any value transfer", every personal gift, every inheritance, every private sale of a used car between friends would attract GST. The twin ingredients **consideration + business**

(and their deliberate relaxations) draw the boundary between *commercial* value-addition — which GST taxes — and *personal/non-commercial* dealings — which it leaves alone. Schedule I and 7(1)(b) are surgical exceptions that pull back a few non-commercial or price-less transactions *only where the base would otherwise leak*, not a general rule.

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4. Full Technical Content — Sections 7 & 8 with the "why"

4.1 Section 7(1) — Scope of Supply (the four gates)

Section 7(1) says the expression "supply" **includes**:

Clause	What it captures	Key requirement
7(1)(a)	All *forms* of supply of goods or services — sale, transfer, barter, exchange, licence, rental, lease, disposal	(i) made or agreed to be made **for a consideration** AND (ii) **in the course or furtherance of business**
7(1)(b)	**Import of services**	**for a consideration** — whether or not in the course or furtherance of business
7(1)(c)	Activities in **Schedule I**	made **WITHOUT consideration** (the four deemed supplies)
~~7(1)(d)~~	*(originally referred Schedule II — see 7(1A) below)*	—

> **Memory hook — the "C + B" test.** For the *general* limb 7(1)(a): a transaction is a supply if it has **C**onsideration **and** is in the course/furtherance of **B**usiness. Both together. Knock out either one and 7(1)(a) fails — you then fall to check 7(1)(b) (imported service) or 7(1)(c) (Schedule I).

Note the deliberate asymmetries, each with a reason:

- **7(1)(b) — import of services** needs consideration but **NOT** business purpose. *Why?* Cross-border services (e.g., an individual downloading a paid foreign online course) would otherwise escape both the exporting country's tax and India's tax. To protect the base and to level the field with domestic service providers, imported services for a price are taxed even if you consume them personally.
- **7(1)(c) — Schedule I** needs business purpose (implicit) but **NO** consideration. It is the anti-avoidance limb.

> **The four-quadrant map of Sec 7(1).** Every transaction sits in a box defined by two switches — *is there consideration?* and *is it in furtherance of business?* Seeing the whole grid stops you from tunnel-visioning on 7(1)(a).

	Consideration present	Consideration absent
In furtherance of business	Supply under **7(1)(a)** (general rule)	Supply **only if** in **Schedule I** [7(1)(c)]; else NOT a supply
NOT in furtherance of business	Supply **only if** import of service [7(1)(b)]; else NOT a supply	**Never** a supply (e.g., a private individual gifting his own car)

> Read the grid corner-to-corner: the *only* time no analysis is needed is the bottom-right (no price, no business → never a supply) and top-left (price + business → always test 7(1)(a) first). The two off-diagonal corners are where 7(1)(b) and Schedule I do their surgical work — and where examiners set traps.

4.2 The two ingredients of 7(1)(a): Consideration and Business

Consideration [Sec 2(31)] — widely defined. It includes: - any **payment** in money or otherwise, and - the **monetary value of any act or forbearance** (doing something, or refraining),

made by the recipient *or by any other person*, in respect of, in response to, or for the inducement of the supply.

But — a **subsidy given by the Central or State Government is expressly excluded** from consideration. And a **deposit** is not consideration *unless* the supplier applies it as consideration for the supply.

> **Why "or by any other person"?** So that a payment routed through a third party (e.g., a parent paying for a child's service) still counts — you cannot dodge tax by having someone else pay.
>
> **The deposit line, sharpened.** A security/earnest-money deposit is *not* consideration *when taken* — so no supply, no GST at that moment. It converts into consideration (and triggers tax) only *if and when the supplier appropriates it towards the price* (e.g., adjusts it against a bill, or forfeits it against a supply). Timing trap: GST arises on the *appropriation date*, not the receipt date. A refundable caution deposit that is returned in full never becomes consideration at all.
>
> **"Act or forbearance" — value need not be money.** A tenant who agrees *not* to sub-let, a distributor who agrees *not* to sell a rival's product, a landlord paid to *tolerate* early termination — each receives money for a *forbearance* or a *toleration*, which Sec 2(31) treats as consideration and Schedule II para 5(e) classifies as a service ("agreeing to the obligation to refrain / tolerate / do an act"). This pair — 2(31) + Sch II 5(e) — is a frequent two-mark trap.

Business [Sec 2(17)] — also very wide. It includes any trade, commerce, manufacture, profession, vocation, adventure, wager or *any similar activity, whether or not it is for a pecuniary benefit*, and *whether or not there is volume, frequency, continuity or regularity*. It also covers activities incidental/ancillary to the main business, one-off "adventures", and the activities of clubs/associations to their members.

> **Why so wide?** Because "value added" happens in commercial activity of every shape. A one-off "adventure in the nature of trade" adds value just as a regular business does; excluding it would create a loophole. The width of Sec 2(17) is what makes the "furtherance of business" test easy to satisfy for almost anything a firm does.
>
> **The "furtherance of business" nuance most students miss.** The phrase is *course OR furtherance* — so a transaction need not be the firm's *core* activity; it is enough that it *advances* the business. Selling old office furniture, disposing of factory scrap, a bank auctioning a defaulter's pledged goods — none is the firm's main trade, yet each is "in furtherance of business" and hence a supply. Conversely, a truly *personal* act by a businessman (selling his own residential flat, gifting his personal watch) is outside business even though he happens to run a business. The test attaches to the *transaction's purpose*, not the *person's occupation*.

4.3 Section 7(1A) — once it IS a supply, classify it using Schedule II

Section 7(1A): "*where certain activities or transactions constitute a supply in accordance with 7(1), they shall be treated either as a supply of goods or a supply of services as referred to in Schedule II.*"

The 2018 amendment (retrospective from 1 July 2017) is **conceptually crucial**: Schedule II *no longer decides whether something is a supply* — it only decides the *goods-vs-services classification* of things that are **already** supplies under 7(1). First cross the supply gate (7(1)); *then* use Schedule II to label the limb.

> **Why the retrospective 2018 fix was needed.** As originally enacted, 7(1)(d) said "the activities to be treated as supply of goods or services *as referred to in Schedule II*" — sloppy drafting that read as if an entry in Schedule II could *itself make* something a supply, bypassing the consideration/business tests. That would have taxed, e.g., a *free* transfer of business assets merely because Schedule II mentions "transfer of business assets". The amendment deleted 7(1)(d), inserted 7(1A), and made Schedule II a pure *classifier*, not a *gate*. Post-amendment logic is strictly two-step: **(1) is it a supply at all under 7(1)? → (2) if yes, goods or services under Sch II?** Never let Schedule II answer step (1).

4.4 Section 7(2) — what is NOT a supply (Schedule III + notified govt activities)

Section 7(2): notwithstanding anything in 7(1), the following shall be treated as **neither a supply of goods nor a supply of services**: - (a) activities/transactions in **Schedule III**; - (b) activities of the Central/State Government or local authority as *public authorities*, as may be notified.

Section 7(3) empowers the Government, on GST Council recommendation, to notify that a transaction is to be treated as a supply of goods (not services) or vice-versa.

> **The "notwithstanding" is the whole point.** Sec 7(2) opens with a *non-obstante* clause — it overrides 7(1). So even if an activity would sail through all four gates of 7(1) (has consideration, is in business), if it is listed in Schedule III it is *still* not a supply. **Schedule III is the master switch that wins over everything in 7(1).** In the decision flow you therefore test Schedule III *first*, before wasting effort on consideration/business.

4.5 Schedule I — Supply WITHOUT consideration (the four deemed supplies)

These are treated as supply **even though no consideration is charged**. There are exactly **four** entries. Learn them by their *reason*, not the words.

#	Deemed supply	The reason (why the law refuses to let it be free)
1	**Permanent transfer / disposal of business assets** where **input tax credit has been availed** on those assets	You took credit when you bought the asset (reduced your tax). If you then give it away tax-free, the credit is a pure leakage. Tax on disposal reverses the enjoyed credit. **No ITC availed → not covered.**
2	Supply between **related persons** or **distinct persons** [Sec 25], when made **in the course/furtherance of business** — *except* gifts by an **employer to employee up to ₹50,000** in a financial year	Related/branch parties can set an artificial ₹0 price to dodge tax. So inter-branch stock transfers and related-party supplies are taxed at open-market value even without a price.
3	Supply by a **principal to his agent** (agent to supply on principal's behalf) **or** by an **agent to his principal** (agent to receive on principal's behalf)	Goods moving to/from an agent who will supply them are commercially "in the pipeline"; taxing the transfer keeps the credit chain intact.
4	**Import of *services*** by a person from a **related person** or from his **own establishment outside India**, in the course/furtherance of business	An Indian arm receiving services free from its foreign parent would otherwise import untaxed value. Deeming it a supply protects the base (mirrors 7(1)(b) for the free-of-charge, related case).

> **Distinct persons [Sec 25(4)/(5)]:** the *same* legal entity registered in two States (or two registrations in one State) are treated as *distinct persons*. This is the engine that makes **branch/stock transfers between States taxable** — the anti-cascade design needs tax (and hence credit) to move with the goods across the State line.
>
> **Related persons [Explanation to Sec 15]** — a *different* concept from distinct persons. Persons are "related" if: one *controls* the other; both are controlled by a third; they are *employer and employee*; one holds ≥25% of the other; one directly/indirectly controls the other; they are members of the *same family*; or they are legally recognised *partners in business* / sole-agent-distributor. **Why it matters here:** Schedule I entry 2 catches supplies between related persons *even for free*, because a controlling relationship lets them rig a ₹0 price. Do not confuse "related persons" (relationship-based, Sec 15) with "distinct persons" (registration-based, Sec 25) — an exam may test either label.
>
> **Entry 3 — the agent trap.** Not every principal→"agent" transfer is caught. The deeming applies where goods are supplied *by the agent in his own invoice/name on behalf of the principal* (a del credere / commission agent who issues invoices in his own name), so that goods flow through the agent's books. A *pure* commission agent who merely arranges a deal but never takes/handles the goods in his own name is **not** covered by entry 3 for the goods — he only supplies an *agency service* (which is a normal 7(1)(a) supply). Test: *does the agent undertake to supply/receive the goods on the principal's behalf under his own invoice?* If yes → Schedule I entry 3.
>
> **The ₹50,000 employee gift line:** gifts *up to* ₹50,000 per employee per year are outside GST; *beyond* ₹50,000 the *whole* amount (per ICAI's view, the value exceeding the exemption logic — verify current ICAI treatment) becomes a supply. Note: perquisites provided by an employer to an employee *in terms of the employment contract* are **not** supplies (Schedule III entry 1 — services by employee to employer). **Two distinct doors:** a *contractual* perquisite → Sch III (out); a *gratuitous gift* above ₹50,000 → Sch I (in). The examiner picks whichever door you did not look through.

4.6 Schedule II — Goods vs Services classification (settling the old wars)

Schedule II tells you, for historically-disputed transactions, whether the (already-established) supply is **goods** or **services**. The organising principle:

> **Transfer of *title/ownership* → goods. Transfer of *right to use* without title, or an *activity/obligation* → services.**

Transaction	Treated as	Why
Transfer of **title** in goods	**Goods**	Ownership passes → classic goods
Transfer of **right in goods / undivided share** without transfer of title	**Services**	You get *use*, not *ownership*
Transfer of title **under an agreement that property passes at a future date** (hire-purchase)	**Goods**	Title *will* pass → goods
Lease, tenancy, licence to occupy land; letting of commercial/residential building	**Services**	Right to *use* immovable property
Treatment or process applied to another's goods (job work)	**Services**	An activity on someone else's goods
Transfer of business assets (assets put to private/non-business use, or ceasing to be a taxable person)	Goods / Services as specified	Anti-leakage on business assets
Renting of immovable property	**Services**	Right to use
Construction of a building/complex intended for sale (except where *entire* consideration received *after* completion certificate)	**Services**	Ongoing activity; but a *completed* building is immovable property → out (Sch III)
Temporary transfer / permitting use of intellectual property (IPR)	**Services**	Right to use, no title transfer
Development, design, programming of IT software	**Services**	Activity/creation
Agreeing to the obligation to refrain / to tolerate an act / to do an act	**Services**	Forbearance = a service
Works contract [Sec 2(119)] (building, construction, fabrication, etc. of immovable property)	**Services**	*Ends the VAT-vs-service-tax war by fiat*
Restaurant supply — food/drink for human consumption as part of a service	**Services**	*Ends the sale-vs-service war for food* — the composite is declared a service
Supply of goods by an **unincorporated association/body** to a member for consideration	**Goods**	—

The two most examined "declared services": (a) **Works contract** and (b) **Restaurant/outdoor catering** are declared **services** by Schedule II. Historically both were taxed under *two* laws (VAT + service tax) with artificial splits. Schedule II abolishes the split by *legislative declaration* — the single most direct example of "one event ends classification war."

Goods-→-services flips to memorise as a set (Sch II). The following *look* like goods transactions but are declared **services**: (i) transfer of *right in goods without title*; (ii) *any lease/tenancy/licence to occupy land or building*; (iii) *job work* (process on another's goods); (iv) *temporary* transfer of IPR; (v) *renting* of immovable property; (vi) *works contract*; (vii) *restaurant/catering* supply of food. The common thread: **no ownership passes, only use or activity.** Conversely, *hire-purchase* is declared **goods** even though possession precedes title, because title *is* agreed to pass eventually.

Transfer of business assets — the three fine cases in Sch II para 4 (often confused with Sch I entry 1). (a) Business assets *transferred/disposed* so as to *no longer form part of the business* → treated as **supply of goods** (this is the goods-vs-services *label*; whether it is a supply *at all* without consideration is decided by Sch I entry 1, which needs ITC to have been availed). (b) Business assets *put to private use* or made available for a *non-business* purpose → **supply of services** (use, not title). (c) On a person *ceasing to be a taxable person*, business assets are *deemed supplied* immediately before, **unless** the business is *transferred as a going concern* or carried on by a successor. Keep Sch II para 4 (the *label*) and Sch I entry 1 (the *is-it-a-supply-without-price* gate) in separate mental boxes.

4.7 Schedule III — Neither goods nor services ("negative list of supply")

These are declared outside the scope of supply entirely (Sec 7(2)(a)). Learn the *logic buckets*:

Entry	Item	Why it is out
1	**Services by an employee to the employer** in the course of employment	Salary is not a commercial supply; taxing it would tax wages
2	Services by any **court or Tribunal**	Sovereign judicial function, not commerce
3	Functions/duties of **MPs, MLAs, constitutional post-holders**; services by a person as **Chairperson/Member/Director in a body established by government** where not an employee	Public/constitutional functions
4	Services of **funeral, burial, crematorium, mortuary** including transportation of the deceased	Not an economic supply the state wishes to tax
5	**Sale of land** and (subject to Sch II para 5(b)) **sale of building** (completed)	Immovable property is outside GST by constitutional/design choice; land has no "value added" in the GST sense
6	**Actionable claims** other than **lottery, betting and gambling**	Ordinary debts/claims are not goods-in-substance
7	Supply of **goods from a place outside India to another place outside India** without entering India (merchant/high-sea trading in transit)	Goods never entered India — no Indian value added
8	(a) **High-sea sales** (supply of warehoused goods before clearance for home consumption); (b) supply of goods before entry for home consumption	Taxed later at import stage; avoids double taxation

> **Memory hook for Schedule III — "ELF-CAG... out": E**mployment services, **L**and & completed buildings, **F**uneral services, **C**ourt/constitutional functions, **A**ctionable claims (non-lottery), **G**oods outside India / high-sea sales. All *declared out*.
>
> **Actionable claim — the hard bit.** An *actionable claim* [Sec 3 of Transfer of Property Act, imported via Sec 2(1)] is a claim to an *unsecured debt* or to a *beneficial interest in movable property not in possession*. Even though Sec 2(52) *includes* actionable claims within "goods", **Schedule III entry 6 pulls most of them back out** — so a normal actionable claim (e.g., an unsecured book debt, a bill discounted) is **not a supply**. The exceptions that ARE supplies: **lottery, betting and gambling** (and note recent amendments extending taxation to specified actionable claims like *online money gaming, casinos, horse racing* — **verify current ICAI position for your attempt**). So the chain is: 2(52) puts actionable claims *into* goods → Sch III takes *ordinary* ones *out* → the lottery/betting/gambling (and notified gaming) subset stays *in*.
>
> **Schedule III entries 7 & 8 — the "in-bond / in-transit" logic.** Entries 7 and 8 were inserted to stop *double taxation and taxation of value never added in India*. Entry 7 = pure third-country-to-third-country sale (goods never touch India). Entry 8(a) = **high-sea sale** — goods sold *while on the high seas / before crossing the customs frontier*, i.e., the buyer, not the original importer, files the bill of entry and pays IGST at import. Entry 8(b) = supply of *warehoused goods to any person before clearance for home consumption* (sale of goods lying in a customs bonded warehouse). The unifying rule: **these are taxed once, later, at the import stage under the Customs Tariff Act; taxing the intermediate transfer too would double-tax.**

4.8 Section 8 — Composite and Mixed Supply (taxing bundles)

Once you know each item is a supply, a practical problem remains: businesses sell *bundles* (a laptop + carry-bag; a hotel room + breakfast; a gift-hamper of chocolates + juice + tie). Each component might carry a *different rate*. How is the bundle taxed?

Two definitions, then one rule each:

Composite supply [Sec 2(30)] — two or more taxable supplies **naturally bundled and supplied in conjunction** in the *ordinary course of business*, one of which is a **principal supply** [Sec 2(90) — the *predominant* element to which the others are ancillary]. The components are *not* sold separately in the normal course.

> **Section 8(a) rule:** a composite supply is taxed at the rate of the **PRINCIPAL supply**. The whole bundle inherits the principal item's rate/character.

Mixed supply [Sec 2(74)] — two or more individual supplies made **together for a single price**, which are **NOT** a composite supply (i.e., they are *not* naturally bundled — each *could* be sold on its own).

Section 8(b) rule: a mixed supply is taxed at the rate of that particular supply which attracts the **HIGHEST** rate of tax.

Why these two opposite rules? The rules are *anti-abuse and pro-natural-commerce* at once. If items are *genuinely, naturally* bundled (you cannot sensibly buy a hotel room without the incidental services), the law respects commercial reality and charges the principal item's rate. But if a seller *artificially* staples together unrelated items under one price — perhaps to drag a high-rate item down to a low-rate item's tax — the law refuses the trick and charges the **highest** rate. Natural bundle → principal rate (fair); artificial bundle → highest rate (deterrent).

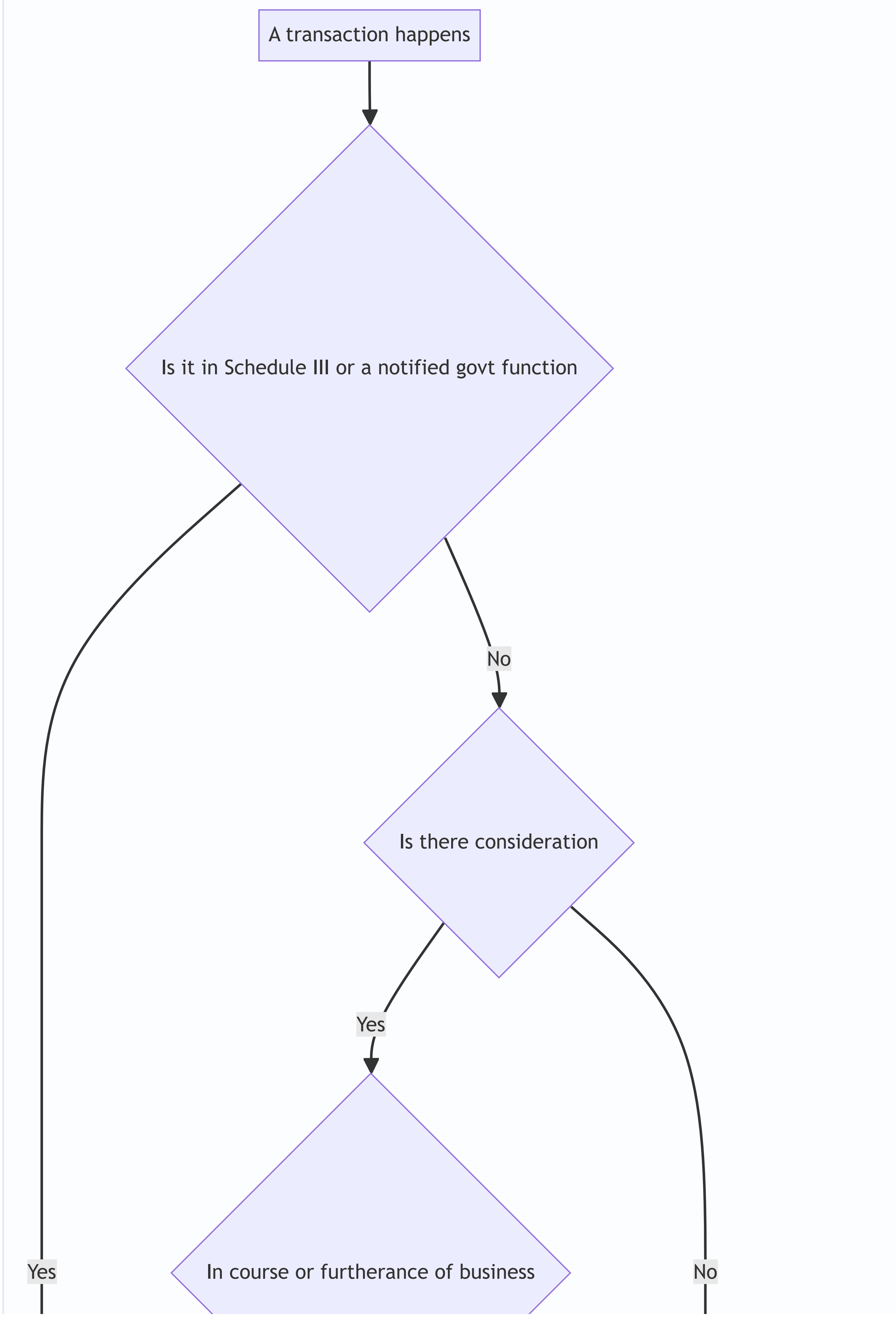
Memory hook: Composite → **Co**re (principal) rate. **Mix**ed → **Max** rate.

The tests, made operational. Two questions separate them, and you must ask them *in order*: 1. **Are the items sold for a single price?** If they are *separately priced and separately invoiced*, it is usually *neither* a composite nor a mixed supply — it is just two independent supplies, each at its own rate. Single price is a *precondition* for both. 2. **If single-priced, are they *naturally bundled*?** *Yes* → composite (tax at principal rate). *No* → mixed (tax at highest rate).

How to judge "naturally bundled" (ICAI indicators): the *perception of the recipient* (do buyers expect them together?); *industry practice* (is it standard to bundle them?); *whether the main element is the reason the buyer buys* and the rest are merely incidental; *whether the elements cannot be supplied separately in the ordinary course*. No single indicator is decisive — weigh them.

Principal supply [Sec 2(90)] — the tie-breaker. In a composite supply, one element is *predominant* and the others are *ancillary means* of enjoying it. In "goods + freight + insurance", the *goods* are why the buyer contracts; freight/insurance merely deliver them → goods are principal. Identifying the principal supply is the *entire* game in Sec 8(a), because the whole bundle borrows the principal's rate *and* its goods/services character (which then drives time-of-supply and place-of-supply too).

4.9 Decision flow — is it a supply, and how is it taxed?


A transaction happens
Is it in Schedule III or a notified govt function
No
Is there consideration
Yes
In course or furtherance of business
Yes
No

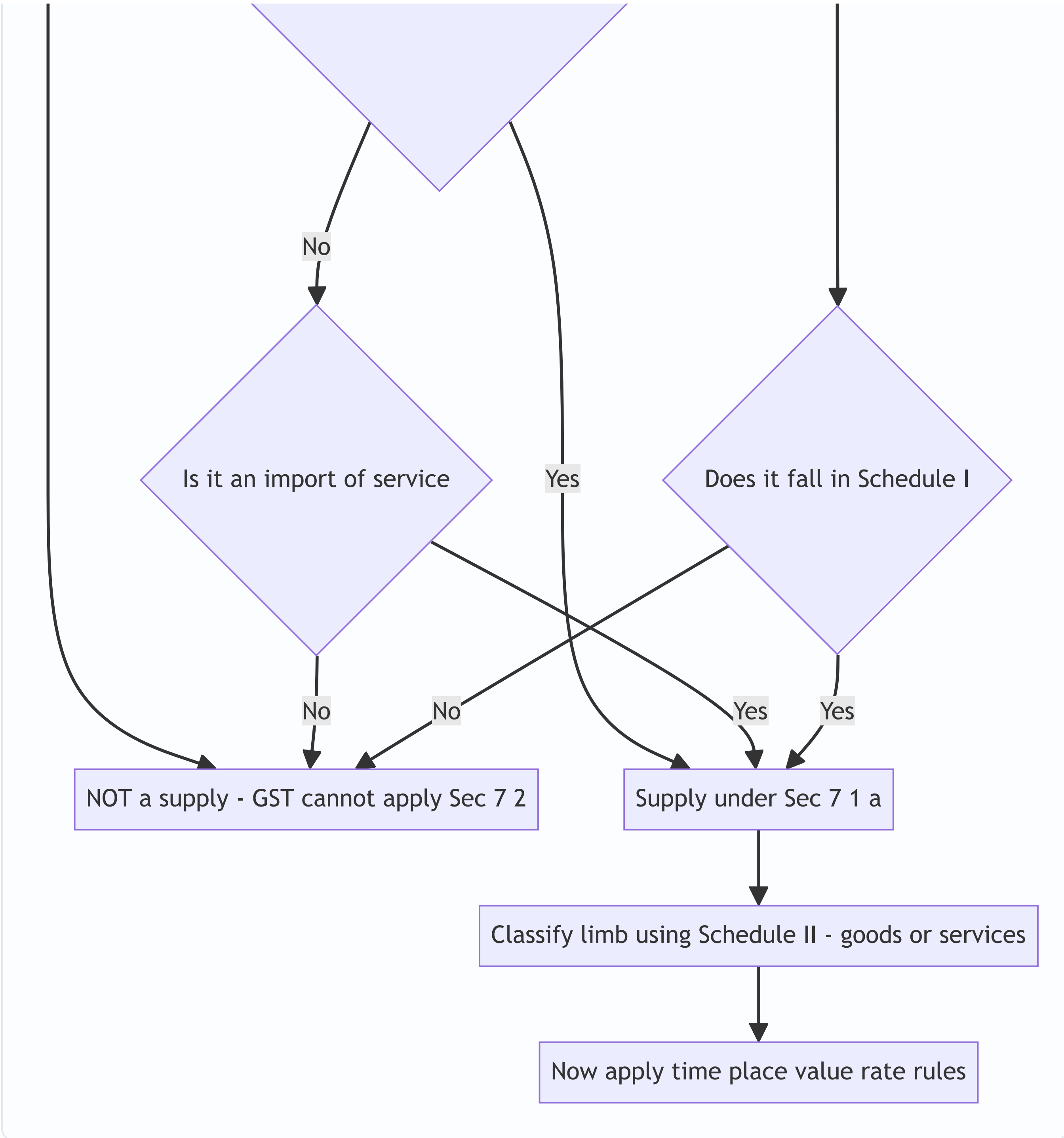


Figure 14.1 — The supply gate. Cross Sec 7 first; classification and the rest of GST live beyond the gate.

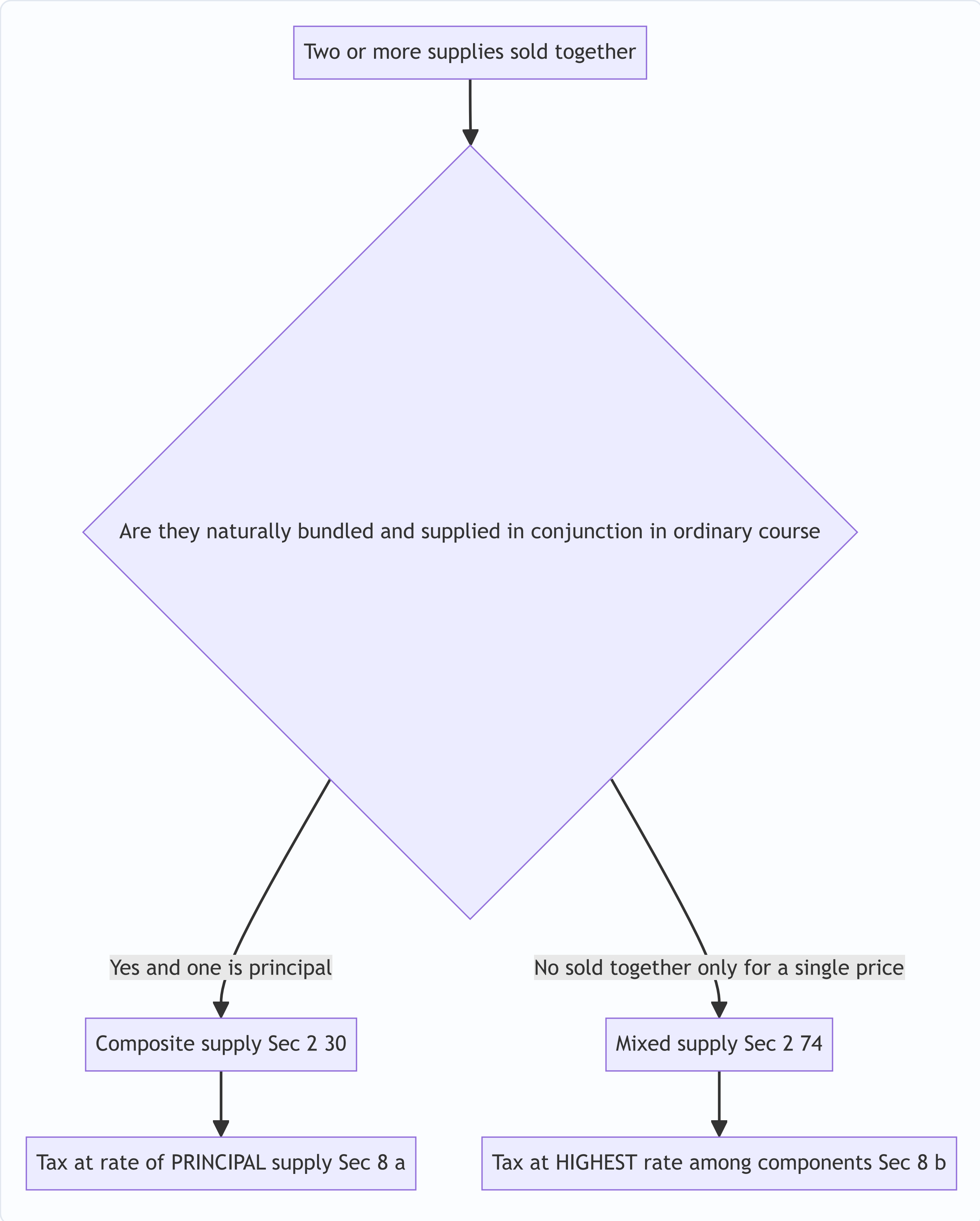


Figure 14.2 — Composite vs mixed: natural bundle takes the core rate, artificial bundle takes the max rate.

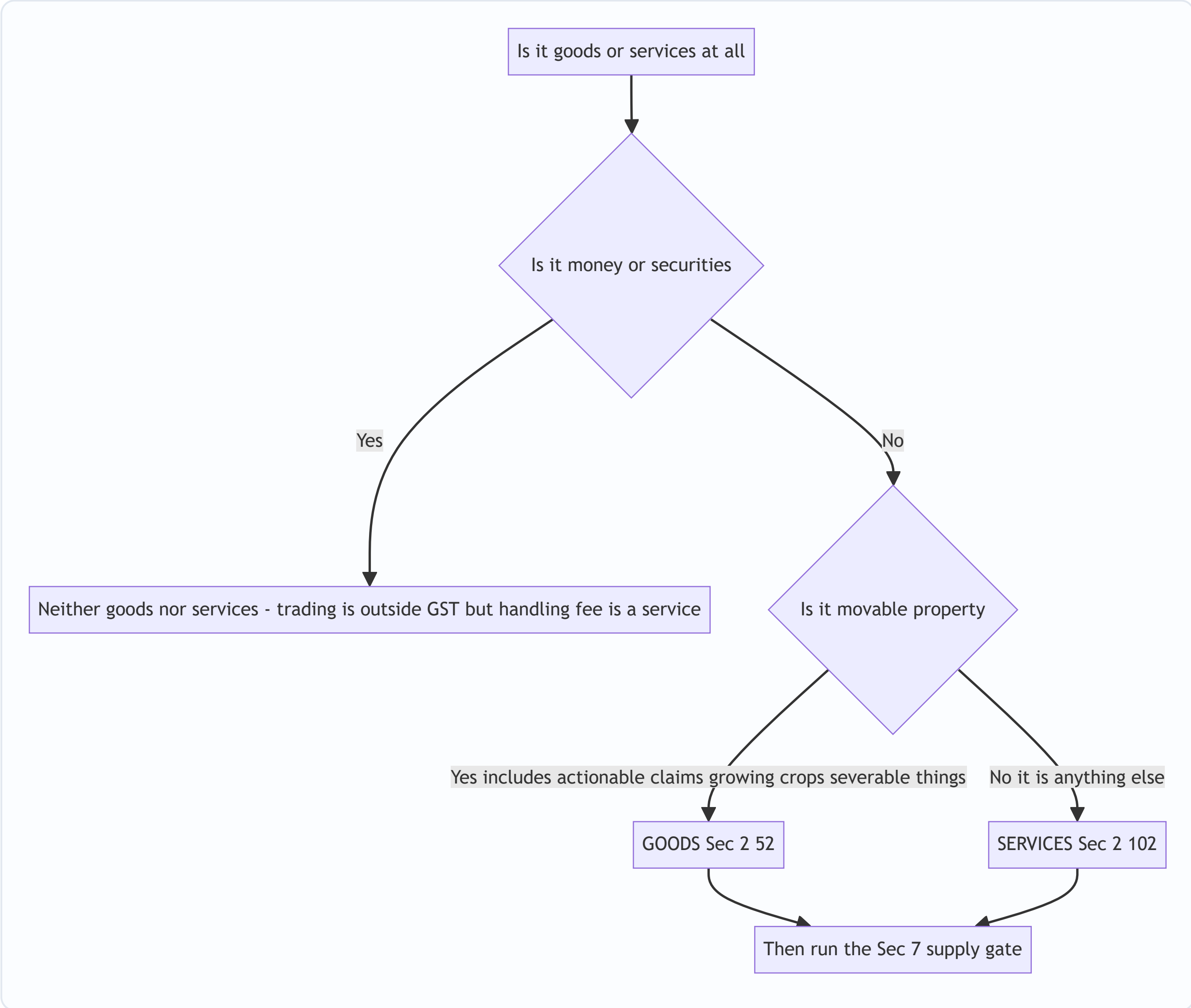


Figure 14.3 — The upstream filter. Before the supply gate even opens the thing must be goods or services and money and securities are neither.

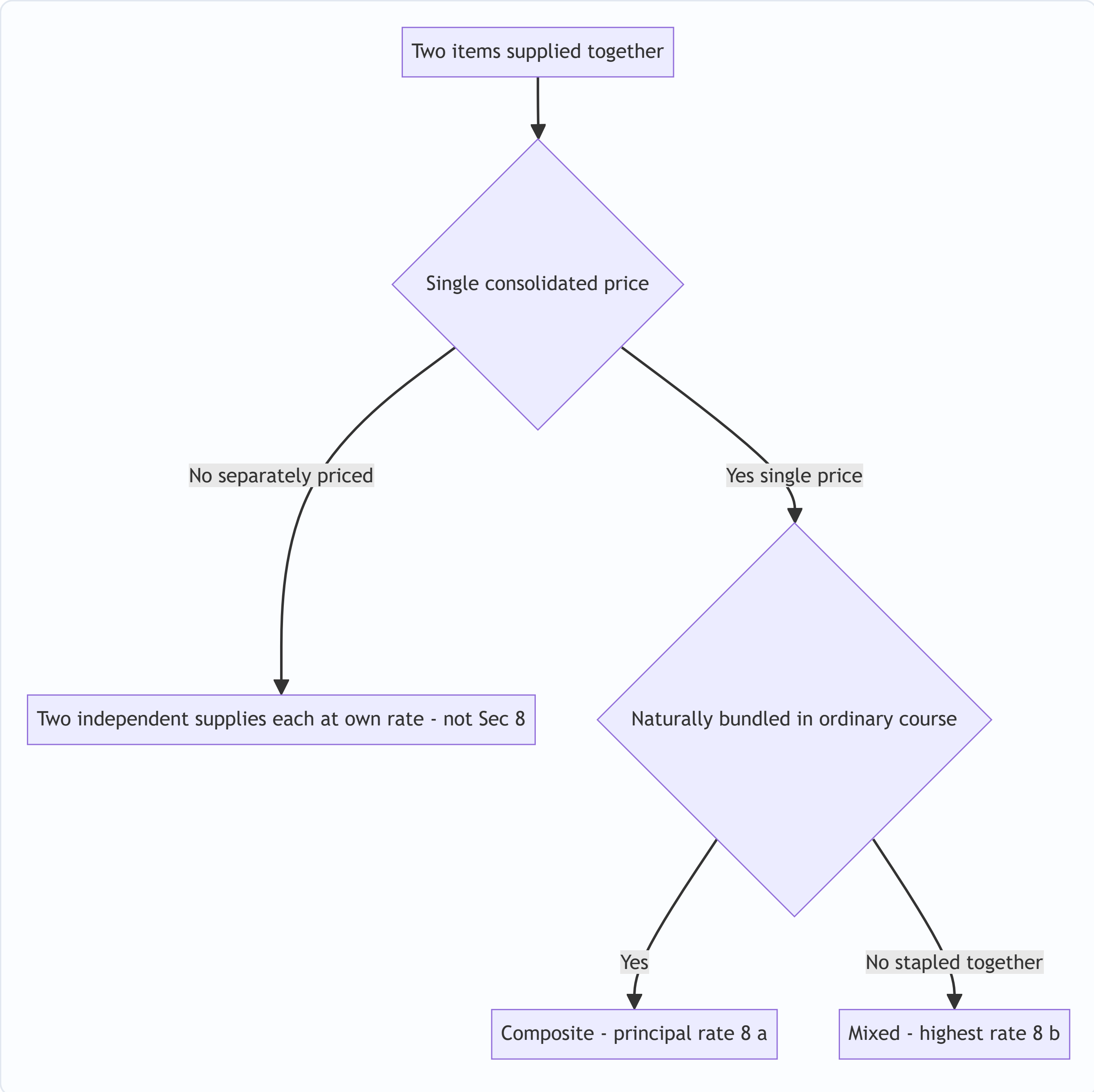


Figure 14.4 — The single-price precondition. Separate pricing exits Sec 8 entirely before the natural-bundle test is even reached.

5. Worked Examples

Example 1 — The four-gate test on ordinary and odd transactions

Classify each as *supply / not supply*, citing the gate.

#	Transaction	C?	B?	Verdict & reason
(a)	A trader sells goods worth ₹1,00,000 to a customer	Yes	Yes	**Supply** — Sec 7(1)(a); both C and B present
(b)	A salaried employee receives ₹80,000 salary	Yes	—	**Not a supply** — Schedule III entry 1 (employee-to-employer service is excluded), Sec 7(2)(a)
(c)	A firm barters 100 chairs for 20 tables with another firm	Yes (barter is consideration in kind)	Yes	**Supply** — 7(1)(a) expressly lists *barter/exchange*; monetary value of goods received is consideration
(d)	An individual (not in business) imports a paid online design course from a US website for personal use, pays ₹15,000	Yes	**No**	**Supply** — Sec **7(1)(b)**: import of service for consideration is a supply *even without business* purpose
(e)	A person sells his ancestral agricultural land for ₹50 lakh	Yes	Maybe	**Not a supply** — Schedule III entry 5 (sale of land), Sec 7(2)(a). Land is out regardless

Reconciliation of the logic: (a) passes C+B → 7(1)(a). (b) and (e) are *declared out* by Schedule III, so we never even test C/B. (c) shows "consideration" need not be money. (d) is the key trap: no business, yet taxable, because 7(1)(b) drops the business requirement for imported services.

Example 2 — Schedule I: the tax-free-looking transactions that are taxed

ABC Ltd is registered in Maharashtra and Gujarat (same PAN, two GSTINs → distinct persons under Sec 25). During the year:

1. It transfers finished goods (open-market value ₹5,00,000) from its Maharashtra unit to its Gujarat unit for internal use — **no invoice value charged.**
2. It donates a delivery van (originally bought for ₹8,00,000 on which it **had availed ITC of ₹1,44,000**) to a charity — free of charge.
3. It gives each of its 3 senior managers a Diwali gift worth ₹70,000.

Required: Which are supplies? On what value?

Solution.

Item 1 — Branch transfer between distinct persons. Schedule I entry 2 deems supplies between *distinct persons* in the course of business to be supplies **even without consideration**. → **Supply.** Value = open-market value = **₹5,00,000** (per Rule 28 valuation for distinct persons). *Why taxed:* the anti-cascade design needs GST (and matching ITC in Gujarat) to travel with goods across the State border; otherwise credit chains break.

Item 2 — Disposal of business asset on which ITC was availed. Schedule I entry 1: permanent transfer/disposal of business assets **where ITC has been availed** is a supply even without consideration. → **Supply.** The company enjoyed ₹1,44,000 credit; giving the van away free would let that credit sit un-reversed. Value = open-market value of the van at disposal. *If no ITC had been availed → NOT a supply.*

Item 3 — Gifts to employees. Schedule I entry 2 proviso: gifts by employer to employee **up to ₹50,000** per employee per FY are **not** a supply; **beyond ₹50,000** it becomes a supply. Each gift is ₹70,000 (> ₹50,000). →

Each is a **supply**. (Verify current ICAI treatment of whether the whole ₹70,000 or only the excess is taxed; ICAI generally treats the gift as a supply once the ₹50,000 threshold is breached.)

Reconciliation: all three *looked* free, yet each is caught — by the exact anti-avoidance reason it was written for: cross-border credit (1), un-reversed ITC (2), disguised remuneration (3).

Example 3 — Composite vs Mixed supply computation

Compute the GST for each bundle. Assume rates: laptop 18%, laptop bag 28% (illustrative — verify current rates); packaged snacks 12%, aerated drinks 28%, chocolates 18%; transport/insurance ancillary.

Bundle A — Laptop supplied with a carry-bag, single price ₹50,000. A laptop is *ordinarily* sold with a bag as a natural accompaniment; the bag is ancillary; the laptop is the **principal supply**. → **Composite supply** (Sec 2(30)). Taxed at the **principal** rate (Sec 8(a)) = laptop @ **18%**. GST = 50,000 × 18% = **₹9,000**.

Bundle B — A gift hamper for ₹2,000 containing packaged snacks (12%), chocolates (18%) and a bottle of aerated drink (28%), single price. These items are *not* naturally bundled — each is independently sellable; they are stapled together for a single price. → **Mixed supply** (Sec 2(74)). Taxed at the **highest** rate among components (Sec 8(b)) = **28%** (aerated drink). GST = 2,000 × 28% = **₹560**.

Bundle C — Goods worth ₹1,00,000 supplied with transportation (₹5,000) and insurance (₹2,000) in transit, one contract. The supply of goods is the principal; transport and insurance are naturally supplied in conjunction to deliver those goods. → **Composite supply**; principal = the goods. Taxed at the **goods' rate** on the whole ₹1,07,000. If the goods are @18%: GST = 1,07,000 × 18% = **₹19,260**.

Reconciliation of the tax logic: In A and C, respecting the natural bundle gives the *fair* (principal) rate — the customer genuinely buys "a laptop" and "delivered goods". In B, the artificial staple triggers the *deterrent* rule: the seller cannot shelter a 28% drink inside a 12%-snack bundle; the whole ₹2,000 bears 28%. Same section (8), opposite outcomes, driven by whether the bundle is natural.

Example 4 — The examiner's tweaks on Example 3 (train the discriminators)

Same rate assumptions. Decide the treatment; each sub-part changes ONE fact.

(i) The laptop and the bag in Bundle A are shown as two separate line items, separately priced (₹47,000 + ₹3,000). Single price is the *precondition* for Sec 8. Here they are *separately priced and invoiced* → **not a bundle at all under Sec 8**. Tax each on its own: laptop ₹47,000 @18% = ₹8,460; bag ₹3,000 @28% = ₹840. **Total GST = ₹9,300.** *Lesson:* separate pricing exits Sec 8 (see Figure 14.4) and can *raise* the tax versus a composite (₹9,300 vs ₹9,000), because the high-rate bag is no longer sheltered by the principal.

(ii) A hotel offers "room + complimentary breakfast" for a single ₹8,000 tariff (room 12%, restaurant service 5% — illustrative, verify). Breakfast is *naturally bundled* with a hotel stay (buyers expect it; industry standard); the **accommodation is the principal supply**. → **Composite supply**; tax the whole ₹8,000 at the **room rate 12%** = **₹960.** *Tweak trap:* students wrongly split it or apply the food rate. The principal (room) governs.

(iii) A distributor sells a carton = 10 identical shampoo bottles for ₹900 single price (shampoo 18%). Only *one type* of supply is involved (all shampoo). Sec 8 needs *two or more different supplies*. → **Neither composite nor mixed**; it is a plain single supply. Tax ₹900 @18% = **₹162.** *Lesson:* "single price" alone does not make a mixed supply — you need *distinct* supplies with *different* characters.

(iv) Bundle B (the ₹2,000 hamper) is instead priced by listing each item's MRP separately on the invoice, though delivered together. Separate pricing again removes it from Sec 8. Each item taxed at its own rate on its own value — the 28% "highest-rate" penalty of Sec 8(b) no longer applies. *Planning insight:* a seller can *lawfully* avoid the mixed-supply penalty by pricing components separately — provided the separate pricing is genuine and not a sham.

Reconciliation: across (i)–(iv), the decisive discriminators are, in order: *are there ≥2 different supplies? → is there a single price? → natural bundle or not?* Miss the first two and you will misclassify.

Example 5 — Import of service and the related-person overlay (7(1)(b) vs Schedule I entry 4)

Indus Ltd, a manufacturer in India, in the course of business during the year: 1. Pays ₹4,00,000 to an *unrelated* US consultancy for market-research services. 2. Receives *free* technical support from its *own parent* company established in Germany (open-market value ₹6,00,000); no charge is raised. 3. Its proprietor personally hires a foreign architect to design his *private residence* and pays ₹2,00,000 from personal funds.

Required: Which are supplies, and under which limb?

Solution.

Item 1 — Import of service for consideration, unrelated party. Consideration present; import of service. → **Supply under Sec 7(1)(b)** (business is present anyway, but not even required). Taxable under **reverse charge** in Indus Ltd's hands (import of service → recipient pays). *Gate used:* 7(1)(b).

Item 2 — Free import of service from own foreign establishment. No consideration, so 7(1)(b) (which needs consideration) *fails*. But **Schedule I entry 4** deems *import of services from a related person / own establishment outside India, in the course of business*, a supply **even without consideration**. → **Supply**; valued at open-market value ₹6,00,000; reverse charge. *Gate used:* 7(1)(c) + Sch I entry 4. *Why the law needs both limbs:* 7(1)(b) catches *paid* imports; Sch I entry 4 plugs the *free, related-party* gap.

Item 3 — Personal import by an individual, not in business. Consideration present; import of service. Business is *not* required for 7(1)(b). → **Supply under Sec 7(1)(b)** even though it is for a private residence. (Contrast: had it been a *free* gift of design from a *related* foreign person to a *non-business* individual, neither 7(1)(b) — no consideration — nor Sch I entry 4 — needs business — would bite, and it would *not* be a supply.)

Reconciliation: the trio maps the exact boundary — *paid* import (1 & 3) → 7(1)(b) regardless of business; *free* import needs *both* a related party *and* business to be caught (2) via Sch I entry 4. Change either fact and the answer flips.

Example 6 — Actionable claims, securities and the "goods or services at all?" filter

State with reasons whether GST applies. (Rates immaterial.)

1. Mr A sells listed equity shares worth ₹10,00,000 through a broker; the broker charges ₹5,000 brokerage.
2. A company sells a lottery ticket scheme; total face value ₹50,00,000.
3. A bank sells a pool of its *unsecured* overdue loan receivables (book debts) to an asset reconstruction company at a discount.
4. A money-changer converts ₹1,00,000 into US dollars and charges a ₹500 fee.

Solution.

Item 1 — Shares. Securities are **excluded** from both "goods" [2(52)] and "services" [2(102)] → the *sale of shares is neither goods nor services*, hence **not a supply**. **But** the **brokerage ₹5,000 is a service** (facilitation), fully taxable. *Split-answer trap:* the principal transaction is out; the intermediary's fee is in.

Item 2 — Lottery. A lottery is an *actionable claim*, and while ordinary actionable claims are carved out by Sch III entry 6, **lottery, betting and gambling are the exception that remains a supply**. → **Supply** (of goods, being an actionable claim within 2(52)); taxable. *(Verify current valuation/rate mechanism for lottery per latest ICAI material.)*

Item 3 — Unsecured book debts. These are *actionable claims* other than lottery/betting/gambling → **Schedule III entry 6 → not a supply.** Selling/assigning ordinary receivables is outside GST.

Item 4 — Currency conversion. Trading in *money* itself is neither goods nor services, **but** Sec 2(102) expressly *includes* "activities relating to the use of money or its conversion... for which a *separate consideration* is charged" within **services**. The ₹500 conversion fee is therefore a **taxable service**; the ₹1,00,000 principal is not a supply. *Same pattern as item 1:* principal out, service fee in.

Reconciliation: items 1, 3, 4 all show the recurring architecture — the *underlying* money/securities/actionable-claim is outside GST, but the *facilitation fee/commission* riding on it is a taxable service. Item 2 is the single actionable-claim category the law deliberately keeps *in*.

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6. Format / Summary Sheet

The one-line skeleton to reproduce in an exam:

> *Supply [Sec 7] = (a) all forms of supply of goods/services for consideration in the course/furtherance of business; (b) import of services for consideration [business not needed]; (c) Schedule I activities without consideration. Classify goods-vs-services by Schedule II [Sec 7(1A)]. Schedule III + notified govt functions are NOT supply [Sec 7(2)]. Bundles: composite → principal rate [Sec 8(a)]; mixed → highest rate [Sec 8(b)].*

Provision	Section	One-line function
Scope of supply	7(1)	The four inclusion gates
Import of service	7(1)(b)	Taxed for consideration, no business needed
Deemed supply w/o consideration	7(1)(c) + Sch I	Anti-avoidance: 4 entries
Goods vs services	7(1A) + Sch II	Classification of an existing supply
Not a supply	7(2) + Sch III	Negative list of supply
Power to reclassify	7(3)	Govt may notify goods↔services
Composite supply	2(30), 8(a)	Natural bundle → principal rate
Mixed supply	2(74), 8(b)	Artificial bundle → highest rate
Principal supply	2(90)	Predominant element of a composite bundle
Consideration	2(31)	Money or value of act/forbearance; excludes govt subsidy & unadjusted deposit
Business	2(17)	Extremely wide; even one-off adventures
Goods	2(52)	Movable property incl. actionable claims; excl. money & securities
Services	2(102)	Anything other than goods, money & securities
Distinct persons	25(4)/(5)	Same PAN, different GSTIN → separate persons
Related persons	Expl. to Sec 15	Control/holding/family/employer-employee etc.

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7. Connections

- → **Charge (Sec 9 CGST / Sec 5 IGST):** the charge attaches to "supply". No supply → no charge. This chapter defines the trigger the next chapter *pulls*.
- → **Time of Supply (Sec 12/13):** *when* to pay presupposes a supply exists; goods-vs-services classification (Sch II) selects which time-of-supply section applies. Composite/mixed classification also decides *which* time-of-supply limb runs on the whole bundle.
- → **Place of Supply (IGST Sec 10–13):** decides intra-State (CGST+SGST) vs inter-State (IGST). *Distinct-persons* branch supplies (Sch I) are typically inter-State → IGST.
- → **Value of Supply (Sec 15) & Rules 27–31:** Schedule I supplies with no price are valued at open-market value (Rule 28 for distinct/related persons). "Consideration" and "related persons" defined here feed directly into valuation.
- → **Input Tax Credit (Sec 16–17):** Schedule I entry 1 exists *because* ITC was availed — supply and ITC are two ends of the same anti-leakage design.
- → **Reverse Charge (Sec 9(3)/9(4), IGST Sec 5):** import of service under 7(1)(b) and Sch I entry 4 is collected from the *recipient* under reverse charge — the supply gate and the collection mechanism meet here.

- → **Composition & Registration:** "aggregate turnover" is built on the value of *supplies*; whether an activity is a supply feeds the registration threshold.

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8. Traps & Examiner Tricks

1. **"No money changed hands, so no GST."** *Wrong* — check Schedule I. Branch transfers, related-party supplies, ITC-availed asset disposals, and free imports from a foreign parent are all supplies *without* consideration.
2. **Import of service for personal use.** Students reflexively apply the "furtherance of business" test and say "not a supply." *Trap:* Sec 7(1)(b) drops the business requirement — a paid imported service is a supply even for a private individual.
3. **Schedule II decides "supply or not."** *Wrong post-2018.* After Sec 7(1A), Schedule II *only* classifies goods-vs-services for something *already* a supply under 7(1). Cross the 7(1) gate first.
4. **Composite treated as mixed (or vice-versa).** Ask: *would these normally be sold separately?* Naturally bundled (laptop+bag, hotel+breakfast) = composite → principal rate. Independently sellable but sold for one price (gift hamper) = mixed → highest rate.
5. **Sale of land / completed building taxed.** *Wrong* — Schedule III entry 5. But an *under-construction* flat (before completion certificate / part payment before completion) is a **service** under Sch II para 5(b) and IS taxed. Watch the completion-certificate line.
6. **Employee perquisites.** Salary and contractual perquisites → Schedule III (not supply). But an employer gift *above ₹50,000* → Schedule I supply. Don't confuse the two.
7. **Actionable claims.** Generally *not* a supply (Sch III entry 6) — *except* lottery, betting and gambling, which ARE supplies. Note recent amendments on online gaming/casinos — verify current ICAI position.
8. **"Distinct persons" only across States?** Two registrations even within the *same* State, and an establishment in another State/country, are distinct persons — Schedule I entry 2 bites there too.
9. **Subsidy in the price.** A *government* subsidy is excluded from consideration (Sec 2(31)); a *non-government* subsidy is included. Examiners flip this.
10. **Composite supply ≠ works contract.** A works contract and restaurant supply are *declared services by Sch II* (not analysed via Sec 8). Don't run the composite/mixed test on them — the statute already labelled them.
11. **Securities/money "sale" taxed.** *Wrong* — both are excluded from goods and services (2(52)/2(102)), so the *trade* is outside GST; only the *brokerage/commission/conversion fee* is a taxable service. Split your answer.
12. **Single price = mixed supply.** *Not automatic.* Single price is only the *precondition*. If the items are naturally bundled it is *composite*; if only one type of supply is involved it is a *plain single supply*. And separate pricing exits Sec 8 altogether.
13. **"Distinct persons" vs "related persons" mixed up.** Distinct persons = *registration*-based (Sec 25, same PAN); related persons = *relationship*-based (Sec 15, control/holding/family). Schedule I entry 2 uses *both* — cite the right one.
14. **Deposit taxed on receipt.** *Wrong* — a deposit is not consideration until the supplier *appropriates* it (Sec 2(31)); tax arises on appropriation/forfeiture, not receipt.
15. **Free perquisite by contract taxed as gift.** A perquisite *provided under the employment contract* is Schedule III (out); only a *gratuitous* gift over ₹50,000 is Schedule I (in). The source (contract vs bounty)

decides the door.

16. **High-sea sale taxed twice.** *Wrong* — Sch III entries 7/8 keep the in-transit/in-bond transfer out; IGST is charged *once*, later, at the import/home-consumption stage.

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9. First-Principles Recap

Start from the disease: **many taxable events → classification wars + cascading + gaps.** The cure is **one taxable event: supply.** From that single move, everything else is forced:

1. If supply is the only trigger, it must be defined *widely* → inclusive list of forms (7(1)(a)), with two ingredients, **consideration + business**.
2. A wide definition invites two escapes — "*no price*" and "*cross-border free*" — so the law adds **Schedule I** (deemed supply without consideration) and **7(1)(b)** (import of service without business).
3. Even under one tax, *timing, place and sometimes rate* differ for goods vs services, so a **classification rulebook (Schedule II)** settles the old disputes by fiat — works contract and restaurant = services, war over.
4. Some activities are simply *not the kind of value-adding commerce GST targets* (employment, land, courts, funerals), so they are **declared out (Schedule III)**.
5. Real businesses sell **bundles**, so **Sec 8** adds a fair rule for natural bundles (principal rate) and a deterrent rule for artificial ones (highest rate).

Two more pressures complete the design:

6. Before the supply gate can even open, the thing must *be* goods or services — so 2(52) and 2(102) draw an exhaustive, mutually-exclusive line and push *money and securities* outside GST (their handling *fee* stays in). This is the upstream filter.
7. The width that closes loopholes also risks over-reach (it could tax debts, in-transit goods, personal gifts) — so the law *pulls back* precisely where no Indian value is added or where double taxation looms (actionable claims, high-sea/in-bond sales), leaving only the value-adding core in the net.

If you can regenerate Sections 7, 8 and the three Schedules from those seven pressures, you have understood "supply" — no list-memorising required.

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10. Quick-Revision Sheet

UPSTREAM FILTER (before Sec 7): everything is *goods* [2(52), movable property incl. actionable claims] **or** *services* [2(102), anything else] — **except money & securities (neither).** Trading in money/securities is out; the *fee/commission/conversion charge* is a service.

THE GATE (Sec 7(1)) — a supply is: - (a) **forms** of supply (sale/transfer/barter/exchange/licence/rental/lease/disposal) — needs **Consideration + Business** ("C+B") - (b) **import of service** for consideration — **no business needed** - (c) **Schedule I** — deemed supply **without consideration**

FOUR-QUADRANT SHORTCUT: price + business → test 7(1)(a); price, no business → only 7(1)(b); no price, business → only Sch I; no price, no business → never a supply.

SCHEDULE I (no-consideration supplies) — 4 entries: 1. Permanent disposal of business asset **where ITC availed** 2. Supply between **related / distinct persons** in business (gift to employee ≤ ₹50,000 exempt) 3. **Principal** ↔ **agent** supplies (agent handles goods under own invoice) 4. **Import of service** from **related person / own foreign establishment** for business

SCHEDULE II (goods vs services) — title passes → **goods** (incl. hire-purchase); right-to-use / activity / forbearance → **services**. Declared **services**: works contract, restaurant supply, renting/lease of immovable property, job work, IPR temporary transfer, IT software development, agreeing to refrain/tolerate/do.

SCHEDULE III (NOT supply) — "ELF-CAG": Employment, **L**and & completed buildings, **F**uneral, **C**ourt/constitutional functions, **A**ctionable claims (except lottery/betting/gambling + notified gaming), **G**oods sold outside India / high-sea / in-bond sales.

BUNDLES (Sec 8): *precondition = single price + ≥2 different supplies.* - **Composite** (natural bundle, has a principal) → **rate of PRINCIPAL supply** [8(a)] — "*Composite = Core rate*" - **Mixed** (single price, not naturally bundled) → **HIGHEST rate** [8(b)] — "*Mixed = Max rate*" - *Separately priced* → not Sec 8 at all (each at own rate); *one type only* → plain single supply.

KEY DEFINITIONS: Consideration 2(31) (money/act/forbearance; govt subsidy & unadjusted deposit excluded). Business 2(17) (very wide, includes one-off adventures). Distinct persons 25(4)/(5) (same PAN, different GSTIN). Related persons Expl. to Sec 15 (control/holding/family). Principal supply 2(90).

GOLDEN LINE: "*No supply, no GST*" — everything downstream (time, place, value, ITC) lives beyond the Sec 7 gate.

> **Exam reminder:** verify current Schedule entries, the ₹50,000 gift treatment, actionable-claim/online-gaming amendments, lottery valuation, and illustrative rates against the latest ICAI Study Material / RTP for your attempt.

Q&A — Supply under GST

Statute basis: **Section 7, Section 8, Schedule I, Schedule II, Schedule III of the CGST Act, 2017** (mirrored in SGST/UTGST/IGST Acts). GST is a tax on **supply** (Art. 246A + Sec 9 CGST/Sec 5 IGST). "Taxable event" = supply, so nothing is taxable unless it first clears the Sec 7 gate. **Amendment flag:** Sec 7(1)(d) [Schedule II as a *charging* clause] was **omitted retrospectively w.e.f. 01.07.2017** and Sec 7(1A) inserted (CGST Amendment Act, 2018). Schedule II now only *classifies* (goods vs services) an activity that is *already* a supply — it does NOT decide *whether* it is a supply. Examiners test this constantly.

Section A — Concept Check (short Q&A)

A1. What is the "taxable event" under GST, and why did the law choose a single event? Answer: The taxable event is **supply** [Sec 7, CGST Act]. Pre-GST had multiple events — manufacture (excise), sale (VAT), provision of service (service tax) — causing overlap and cascading. GST replaces all with one unified trigger: *supply*. If there is no supply, there is no charge under Sec 9.

A2. State the four positive limbs of "supply" under Sec 7(1). Answer: (a) **Sec 7(1)(a)** — all forms of supply of goods/services (sale, transfer, barter, exchange, licence, rental, lease, disposal) *made or agreed to be made for a consideration in the course or furtherance of business*; (b) **Sec 7(1)(b)** — **import of services for a consideration** whether or not in course/furtherance of business; (c) **Sec 7(1)(c)** — activities in **Schedule I**, made *without consideration*; (d) **Sec 7(1A)** — once an activity is a supply, Schedule II decides goods vs services.

A3. Why is Sec 7(1)(b) special compared with 7(1)(a)? Answer: 7(1)(a) needs BOTH consideration AND business. 7(1)(b) (import of service) needs consideration but **drops the business test** — even a personal import of a service for consideration is a supply. (If imported *without* consideration, it is generally not supply, unless from a related person / establishment abroad in course of business — Schedule I para 4.)

A4. Give the general rule for consideration and the two big exceptions. Answer: General rule — no consideration, no supply. Exceptions: (i) **Schedule I** activities are supply even *without* consideration [Sec 7(1)(c)]; (ii) import of service from a **related person/distinct establishment** in course of business [Sched I para 4] even without consideration.

A5. What is a "deemed distinct person" and why does the concept exist? Answer: Under **Sec 25(4)/(5)**, each GST registration (each State registration, or separate business verticals) of the same PAN is a **distinct person**. It exists because GST is destination/State-based — value must be captured where it is consumed, so an inter-branch transfer between two registrations is taxed even though it is the same legal entity.

A6. What does Schedule III do? Answer: Schedule III lists activities **treated as neither supply of goods nor supply of services** ("negative list") — e.g., services by an employee to employer in the course of employment, functions of MPs/judges/constitutional posts, sale of land, sale of *completed* building, actionable claims (other than specified actionable claims like lottery/betting/gambling — amendment sensitive), services by a court/tribunal.

A7. Distinguish Schedule I, II and III in one line each. Answer: **Sched I** = supply *even without* consideration (WHEN). **Sched II** = classification goods vs services of things already supply (WHAT KIND).

Sched III = not a supply at all (OUT).

A8. Is a gift by an employer to an employee a supply? Answer: Gifts by employer to employee are **not** a supply *if* value ≤ ₹50,000 in a financial year (per employee). Gifts **exceeding ₹50,000** in aggregate in the FY are a supply [Sched I para 2, proviso]. (Employment service itself is out under Sched III para 1.)

A9. Composite vs mixed supply — one-line test [Sec 8]. Answer: **Composite** = naturally bundled, one principal supply → taxed at rate of the **principal supply** [Sec 8(a)]. **Mixed** = two or more independent supplies bundled for a single price, not naturally bundled → taxed at the **highest rate** among them [Sec 8(b)].

A10. Amendment check — why is Sec 7(1)(d) not cited any more? Answer: It was **omitted retrospectively from 01.07.2017**. Schedule II can no longer *make* something a supply; it only classifies. Always cite **Sec 7(1A)** for the goods-vs-service classification role.

Section B — Graded Computational / Application Problems

B1 (Easy) — Consideration + business test

Mr. A, a practising lawyer, sells his old personal car to a friend for ₹3,00,000. Is it a supply? **Solution (step-by-step):** 1. Sec 7(1)(a) needs: (i) consideration — yes, ₹3,00,000; (ii) *in the course or furtherance of business* — NO. The car is a personal asset, not a business asset of his legal practice. 2. Not covered by Sched I (no such deemed entry for personal-asset disposal by an individual). **Conclusion:** Not a supply. No GST. *(Contrast: if it were a business asset on which ITC had been claimed, disposal even without consideration would be supply under Sched I para 1.)*

B2 (Easy–Medium) — Schedule I para 1 (business assets)

XYZ Ltd purchased machinery for ₹10,00,000 and claimed ITC of ₹1,80,000. It later **donates** the machinery (nil consideration) to a trust. Is it a supply? **Solution:** 1. No consideration → 7(1)(a) fails on its face. 2. Check Sched I para 1: "**permanent transfer or disposal of business assets where input tax credit has been availed**" is a supply *even without consideration*. 3. ITC was availed (₹1,80,000). Condition met. **Conclusion:** It is a supply [Sec 7(1)(c) + Sched I para 1]. GST payable on **open market value** [Rule 27/28 valuation].

B3 (Medium) — Employer gift threshold

During FY 2025-26, ABC Ltd gives one employee: Diwali gift voucher ₹35,000 + a watch worth ₹40,000. Taxable? **Solution:** 1. Aggregate gifts in the FY to this employee = 35,000 + 40,000 = **₹75,000**. 2. Sched I para 2 proviso: gifts up to ₹50,000 per employee per FY are **not** supply; **excess is a supply**. 3. Since ₹75,000 > ₹50,000, the gifts are a supply. (In practice the whole amount treated as supply once threshold crossed; per ICAI, the amount exceeding ₹50,000 i.e. ₹25,000 is the taxable portion — follow the exceeds-₹50,000 rule.) **Conclusion:** Supply arises because aggregate exceeds ₹50,000 [Sched I para 2].

B4 (Medium) — Distinct persons (stock transfer)

Head office of DEF Ltd (registered in Maharashtra) transfers goods worth ₹5,00,000 to its branch (registered in Karnataka), same PAN, no invoice value charged. Supply? **Solution:** 1. Maharashtra and Karnataka registrations = **distinct persons** [Sec 25(4)]. 2. Sched I para 2: "supply of goods/services between distinct persons as specified in Sec 25, when made **in the course or furtherance of business**" is a supply *even* *without consideration*. 3. Inter-branch stock transfer for business = covered. **Conclusion:** Supply [Sec 7(1)(c) + Sched I para 2]. **IGST** payable (inter-State). Value per Rule 28 (open market value / or invoice value acceptable if recipient eligible for full ITC).

B5 (Medium–Hard) — Composite supply [Sec 8(a)]

A customer buys an air-conditioner for ₹40,000. The price includes **free delivery + 1-year warranty/installation**. AC @ 18%. Compute treatment. **Solution:** 1. Are these naturally bundled? Yes — you don't buy AC delivery/installation separately in the ordinary course; they are ancillary to the AC. 2. Therefore **composite supply**; principal supply = the AC (goods). 3. Sec 8(a): tax whole ₹40,000 at the **rate of the principal supply = 18%**. **GST = 40,000 × 18% = ₹7,200.** (No splitting of delivery/installation at other rates.)

B6 (Hard) — Mixed supply [Sec 8(b)]

A shop sells a **festive hamper** for a single price of ₹5,000: canned foods (12%), chocolates (18%), aerated drinks (28%), fruit juice (12%). Not naturally bundled; can be sold separately. Compute. **Solution:** 1. Sold together for one price, each item sellable independently → **mixed supply**. 2. Sec 8(b): mixed supply taxed at the **highest rate** applicable to any component. Highest = aerated drinks @ **28%**. 3. GST = 5,000 × 28% = **₹1,400**. **Note (rate-sensitive):** exact rates change by notification/GST Council; method (highest rate) is the examinable principle.

B7 (Exam-Hard) — Multi-part reconciliation

GHI Ltd (registered, Delhi) reports the following for a tax period. Identify which are supplies and why. Assume all business context unless stated. | # | Transaction | Amount (₹) | |---|-------------|-----------| | 1 | Sale of goods to customer | 8,00,000 | | 2 | Free samples to dealers (ITC availed on inputs) | 50,000 | | 3 | Stock transfer to branch in Haryana (distinct person) | 2,00,000 | | 4 | Gift to an employee (single, whole FY) | 45,000 | | 5 | Import of consultancy service from parent company abroad, no consideration, for business | 1,20,000 | | 6 | Sale of land held as investment | 30,00,000 |

Solution (item-by-item): 1. **Supply** — 7(1)(a): consideration + business. Taxable ₹8,00,000. 2. **Not a supply** — free samples given *without* consideration are not covered by Sched I (no distinct-person/related-person link, not a permanent disposal to a person against ITC-avail entry the way para 1 is worded for disposals). But **ITC on those inputs must be reversed** [Sec 17(5)(h) — goods disposed by way of gift/free samples]. So: not an outward supply, but ITC blocked. 3. **Supply** — Sched I para 2, distinct persons in course of business, even without consideration. IGST on ₹2,00,000 (Delhi→Haryana, inter-State). 4. **Not a supply** — ₹45,000 ≤ ₹50,000 gift threshold [Sched I para 2 proviso]. 5. **Supply** — Sched I para 4: import of service by a person from a **related person / establishment outside India** in the course of business is supply *even without consideration*. Taxable ₹1,20,000 under **reverse charge** (IGST). 6. **Not a supply** — Sched III para 5: **sale of land** is neither supply of goods nor services.

Reconciliation: Taxable supplies to charge GST on = ₹8,00,000 (1) + ₹2,00,000 (3) + ₹1,20,000 (5, RCM) = **₹11,20,000** of value entering the GST net; ₹50,000 samples trigger **ITC reversal** not output tax; ₹45,000 gift and ₹30,00,000 land are fully outside.

Section C — Past-Paper-Style Full Questions

C1. "Explain the scope of supply under Section 7 of the CGST Act, 2017." (5 marks)

Model answer: Section 7 defines the **scope of supply** — the taxable event for GST. - **Sec 7(1)(a):** All forms of supply of goods or services — sale, transfer, barter, exchange, licence, rental, lease or disposal — **made or agreed to be made for a consideration** by a person **in the course or furtherance of business**. Two cumulative tests: consideration + business. - **Sec 7(1)(b): Import of services for a consideration**, whether or not in the course or furtherance of business (business test dropped). - **Sec 7(1)(c):** Activities specified in **Schedule I**, made or agreed to be made **without a consideration** (permanent transfer of business assets with ITC; supplies between related/distinct persons in course of business; principal-agent supplies; import of service from related person abroad). - **Sec 7(1A):** Where an activity is a supply per 7(1), **Schedule II** determines whether it is a supply of **goods or of services**. - **Sec 7(2):** Notwithstanding 7(1), activities in **Schedule III**, and notified activities of government as public authority, are **neither** supply of goods nor services. Thus Sec 7 is a gate: an activity must clear it before Sec 9 charge applies.

C2. "Distinguish between composite supply and mixed supply with one example each, and state the tax treatment." (5 marks)

Model answer: | Basis | Composite supply [Sec 2(30)] | Mixed supply [Sec 2(74)] | |-------|-----------------------------|--------------------------| | Bundling | **Naturally** bundled, supplied together in ordinary course | Bundled **artificially** for a single price; can be sold separately | | Components | One **principal** + ancillary | Two or more independent supplies | | Tax rate [Sec 8] | Rate of the **principal supply** — Sec 8(a) | **Highest** rate among components — Sec 8(b) | | Example | Goods + transit insurance + freight sold together | Diwali hamper of sweets, chocolates, drinks for one price | Treatment: composite is taxed as the principal supply throughout; mixed is taxed wholly at the highest component rate.

C3. "State any four activities specified in Schedule III that are treated as no supply." (4 marks)

Model answer (Sched III): 1. Services by an **employee to employer** in the course of/in relation to employment [para 1]. 2. Services by **any court or Tribunal**; functions of **MPs, MLAs, members of local authorities, and holders of constitutional posts** [paras 2–3]. 3. **Sale of land** and, subject to Sched II para 5(b), **sale of building after completion certificate / first occupation** [para 5]. 4. **Actionable claims**, other than specified actionable claims (lottery, betting, gambling — *amendment sensitive; specified actionable claims are now taxable*) [para 6]. (Also: funeral/burial services; supply of warehoused goods before clearance; high-seas sales.)

C4. "MNO Ltd, registered in Tamil Nadu, sends goods to its own godown registered in Kerala without charging any amount. The CFO argues no GST since it is the same company and no sale occurs. Advise." (6 marks)

Model answer: The CFO is **incorrect**. 1. Under **Sec 25(4)**, the Tamil Nadu and Kerala registrations of the same PAN are **distinct persons**. 2. **Schedule I para 2** deems a supply of goods between distinct persons, made **in the course or furtherance of business**, to be a supply **even without consideration** [read with Sec 7(1)(c)]. 3. Absence of a sale or of consideration is therefore irrelevant; the deeming provision applies. 4. Being inter-State (TN→Kerala), it attracts **IGST** [Sec 7 IGST Act]. 5. Value is determined under **Rule 28** (open market value; the invoice value may be accepted where the recipient is eligible for full ITC). **Advice:** MNO Ltd must raise a tax invoice and pay IGST on the stock transfer.

Section D — MCQs / Case Scenarios

D1. Import of service **without consideration** from an unrelated foreign party for personal use is: a) Supply under 7(1)(b) b) Supply under Sched I c) **Not a supply** d) Mixed supply **Answer: (c)** — 7(1)(b) needs consideration; Sched I para 4 needs a *related* person. Neither is met.

D2. An activity that is a supply is classified as goods or services by: a) Sched I b) **Sched II [via Sec 7(1A)]** c) Sched III d) Sec 8 **Answer: (b)** — Schedule II classifies; it no longer decides *whether* something is a supply (7(1)(d) omitted).

D3. Renting of an immovable commercial property is, under Schedule II: a) Supply of goods b) **Supply of services** c) No supply d) Composite supply **Answer: (b)** — Sched II para 2(b): any lease/tenancy/licence to occupy land is a **service**.

D4. Gifts by employer to an employee are supply when aggregate FY value exceeds: a) ₹5,000 b) ₹20,000 c) **₹50,000** d) ₹1,00,000 **Answer: (c)** — Sched I para 2 proviso.

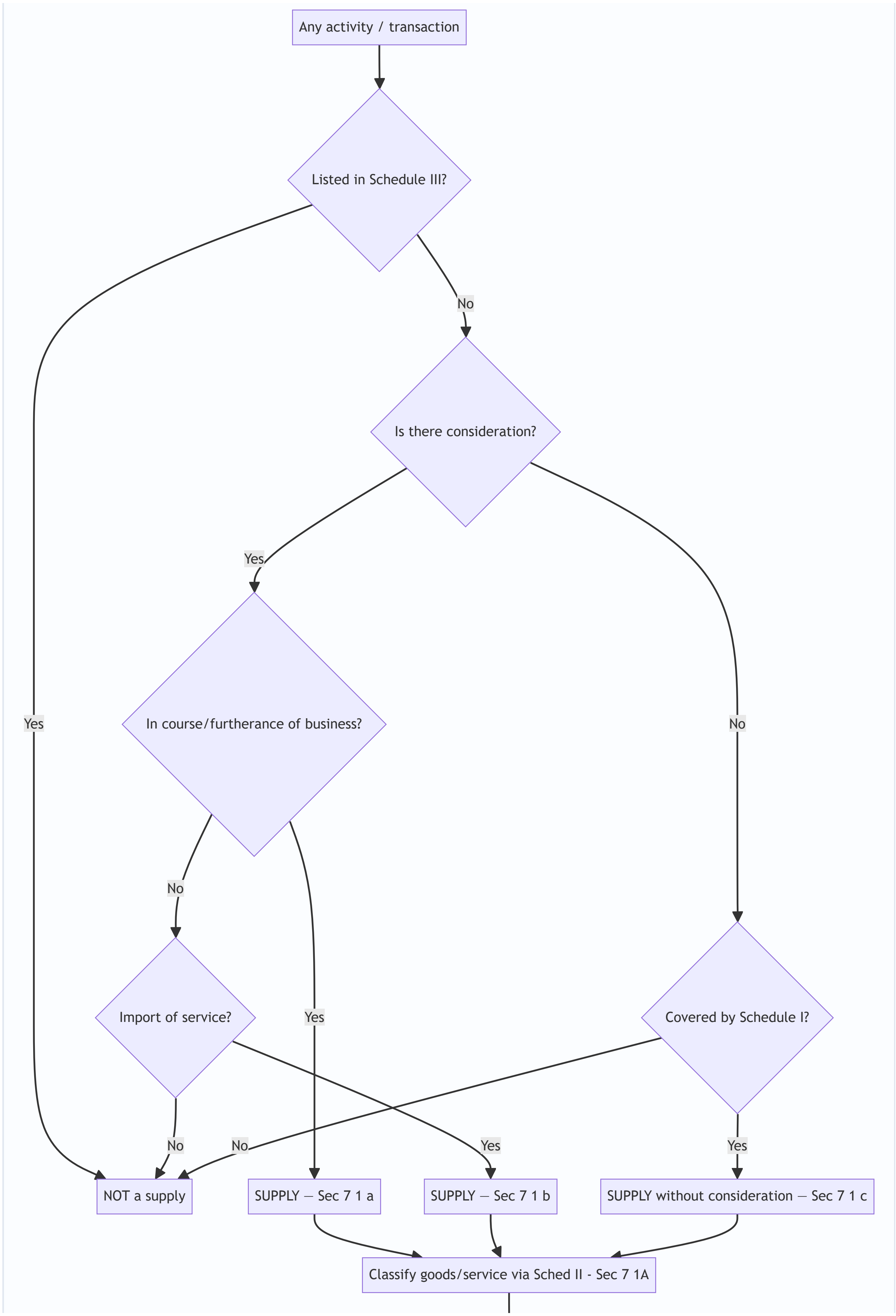
D5. A works contract for construction of a building is treated under Schedule II as supply of: a) Goods b) **Services** c) Both d) Neither **Answer: (b)** — Sched II para 6(a): works contract is a **supply of services**.

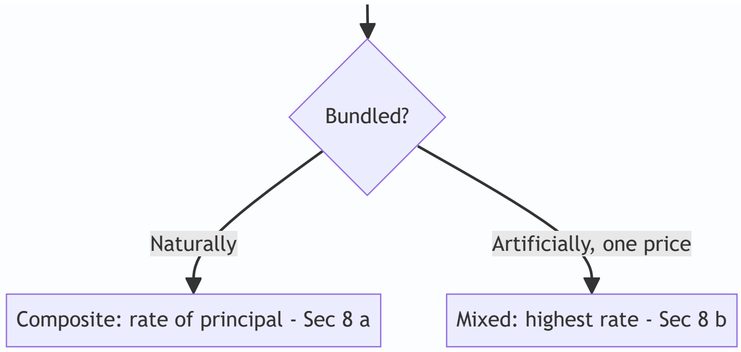
D6. Sale of a fully-constructed flat *after* issue of completion certificate is: a) Supply of goods b) Supply of services c) **No supply (Sched III)** d) Composite supply **Answer: (c)** — Sched III para 5(b): no supply once completed. (Sale *before* completion = service under Sched II.)

D7 (Case). A caterer supplies food + service of serving at a wedding for a lump-sum ₹2,00,000. This is a: a) Mixed supply, highest rate b) **Composite supply, principal = restaurant/catering service** c) Two separate supplies d) No supply **Answer: (b)** — naturally bundled; taxed as the catering (service) at its rate [Sec 8(a)].

D8 (Case). Buy-1-get-1 toothpaste at a single MRP is best treated as: a) Two supplies b) **Not two supplies for consideration — single price supply (treat as per the item; effectively one taxable supply, ITC not to be reversed)** c) Mixed supply at highest rate d) Free sample, no supply **Answer: (b)** — per CBIC circular, "free" item is supplied for the single consideration; it is not a gift, so ITC on it is **not** reversed. (Distinguish from genuine free samples where ITC is reversed under Sec 17(5)(h).)

Mermaid — The Supply Decision Flow


Any activity / transaction
Listed in Schedule III?
Yes
No
Is there consideration?
Yes
No
In course/furtherance of business?
No
Yes
Import of service?
Covered by Schedule I?
No
No
Yes
Yes
NOT a supply
SUPPLY — Sec 7 1 a
SUPPLY — Sec 7 1 b
SUPPLY without consideration — Sec 7 1 c
Classify goods/service via Sched II - Sec 7 1A



First-Principles Recap

- GST taxes **supply**, nothing else. So every question begins: *is this a supply?* → run the Sec 7 gate.
- Two default tests (consideration + business) can each be waived: business is waived for **import of service** [7(1)(b)]; consideration is waived for **Schedule I** items [7(1)(c)].
- Schedule II answers only *goods or service*; Schedule III kicks activities out entirely.
- Once in, **Sec 8** handles bundling: principal-rate (composite) vs highest-rate (mixed).

Quick-Revision Sheet

Provision	Role	Trigger memory hook
Sec 7(1)(a)	General supply	Consideration **+** Business
Sec 7(1)(b)	Import of service	Consideration, **no** business needed
Sec 7(1)(c) + Sched I	No-consideration supply	Business assets w/ ITC; distinct/related persons; agent; import from related party
Sec 7(1A) + Sched II	Goods vs Service	Classify only
Sec 7(2) + Sched III	No supply	Employment, land, completed building, actionable claims, court/MP functions
Sec 8(a)	Composite	Principal supply rate
Sec 8(b)	Mixed	Highest rate
Sec 25(4)/(5)	Distinct persons	Each registration = separate person

Amendment / rate flags: (1) Sec 7(1)(d) omitted retrospectively 01.07.2017 — never cite it. (2) "Specified actionable claims" (lottery/betting/gambling/online money gaming) are **taxable** — carve-out from Sched III para 6; watch current-year Finance Act updates. (3) Gift threshold ₹50,000/employee/FY. (4) All GST *rates* (18%, 28% etc.) are notification-driven and Council-revised — reproduce the *method*, verify the *number* against the current rate schedule.

Chapter 15 — Charge of GST (Levy & Reverse Charge)

> *Flag: All rates, thresholds, notified RCM lists and composition ceilings below reflect the CGST Act 2017 and IGST Act 2017 as commonly examined. Rates and notifications (especially RCM notifications 4/2017-CT(R), 13/2017-CT(R), 7/2019-CT(R) and the composition rates in Sec 10) are amended frequently. Always re-verify the exact figures, the notified lists, and the applicable date against current ICAI study material for your attempt.*

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1. The Problem

You now know (from the earlier chapters) *what* a supply is, *where* it is taxable, and *when* it is taxable. But knowing that a transaction is a taxable supply is useless until the law answers three brutally practical questions:

1. **On what authority is the tax even charged?** A tax on citizens cannot exist by administrative wish. Article 265 of the Constitution says plainly: "*No tax shall be levied or collected except by authority of law.*" So somewhere there must be a single **charging section** — the legal switch that turns "this is a supply" into "therefore ₹X of tax is payable." Without it, the entire GST apparatus is unconstitutional.
2. **Who actually hands the money to the government?** The natural answer is "the seller collects GST from the buyer and deposits it." That works beautifully — *when the seller is a registered, traceable, well-behaved business*. But GST's tax base deliberately reaches into corners where the supplier is a small unregistered farmer, an individual advocate, a goods-transport operator with one truck, or a company sitting *outside India* altogether. If the law insisted "only the supplier pays," those supplies would either escape tax entirely or be impossible to enforce. The department would be chasing thousands of tiny, invisible, or foreign suppliers. **How do you tax a supply when the supplier is unregistered, hard to trace, or beyond your jurisdiction?**
3. **What about the corner shop?** GST's compliance machinery — invoice-level returns, input tax credit matching, monthly filings — is built for organised business. Impose that full machinery on a ₹40-lakh-turnover kirana store or a small dhaba and you crush it under paperwork it cannot handle, while collecting a trivial amount of tax. **How do you keep small dealers inside the tax net without destroying them with compliance?**

This chapter is the answer to all three. The charging section (Sec 9 / Sec 5) answers the first. The **reverse charge mechanism** answers the second. The **composition levy** answers the third. Every rule below is a solution — read it as one.

A fourth, quieter question hides inside the first: **when the same supply crosses a State line, whose treasury gets the money — and how do we keep the *total* tax identical so trade isn't distorted?** GST answers this by splitting the levy between two mirror-image charging sections (Sec 9 CGST and Sec 5 IGST) engineered to sum to the same figure whichever direction the goods travel. Keep that neutrality goal in view; half the exam traps in this chapter are the examiner testing whether you understand that the *total* never changes — only its *composition* (CGST+SGST vs IGST) and its *collector* (supplier vs recipient vs platform).

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2. The Core Idea

Strip away the detail and GST's charge stands on three pillars:

> **One levy, collected in whichever way is easiest to enforce, with a simplified lane for the small.**

- **The levy itself** is a single tax on the *value of supply*, at the notified rate. That is Sec 9 of the CGST Act (for intra-State supply) and Sec 5 of the IGST Act (for inter-State supply). This is the constitutional switch.
- **The default collection route is Forward Charge**: the *supplier* collects GST from the recipient and pays it to the government. This is how ~95% of GST flows.
- **Where forward charge would fail, the law flips the burden — Reverse Charge**: the *recipient* pays the GST directly to the government, on the supplier's behalf. Same tax, same rate — only the *person liable to pay* changes. It is not a new tax; it is a change of collection agent, chosen precisely because the recipient (a large, registered, traceable business) is far easier to hold accountable than the supplier.
- **For small dealers, the law offers Composition Levy (Sec 10)**: pay a tiny flat percentage of turnover, file quarterly, forget invoice-level tax and input credit. It trades away ITC and inter-State sales in exchange for near-zero compliance.

Hold this one sentence: **the tax never changes; only *who pays* and *how much paperwork* changes, and each variation is chosen to make collection actually work.**

Three axes, one supply. It helps to see that any single supply is classified along three independent axes, and the charge chapter is nothing more than reading those three dials:

1. **Territory dial** — intra-State (→ CGST + SGST, Sec 9) vs inter-State/import (→ IGST, Sec 5). Set by *Place of Supply*.
2. **Collector dial** — forward charge (supplier) vs reverse charge (recipient) vs Sec 9(5) (e-commerce operator). Set by the *notified lists*.
3. **Regime dial** — normal taxpayer (value × rate, with ITC) vs composition dealer (turnover × flat rate, no ITC). Set by *Sec 10 eligibility*.

Every worked example in Part 5 is just a specific setting of these three dials. When an examiner "tweaks" a problem, they are almost always flipping exactly one dial — spot which, and the answer follows.

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3. Why It's Built This Way

Why a separate charging section at all? Because a modern tax statute separates *definitional* provisions (what is a supply, what is value, what is the rate) from the *operative* provision that says "tax **shall be levied**." The word "levy" is the legal trigger. Courts read the charging section strictly: if a transaction does not fall squarely inside it, no tax can be demanded, however much the department wishes otherwise. So GST needed one clean sentence to charge the tax — and it lives in Sec 9(1)/5(1).

Levy vs collection — a distinction the examiner loves. "Levy" and "collection" are two different legal events. *Levy* is the imposition of the charge (the liability arises the instant a taxable supply happens); *collection* is the machinery by which the government actually gets the money (returns, cash ledger, ITC set-off). Sec 9(1) itself distinguishes them — "there shall be *levied* ... and *collected* in such manner as may be prescribed." This is why forward charge, reverse charge and Sec 9(5) can all coexist under *one* levy: the tax is levied once; only the *manner and person of collection* differ. If a student says "RCM is a separate tax," they have confused collection with levy — it is the *same* levy collected from a different person.

Why split CGST and IGST? India is a federation. The Constitution (101st Amendment, Article 246A + Article 269A) lets *both* the Centre and the States tax the same supply — but neither may tax across the country. So: - An **intra-State** supply (within one State) is taxed *twice over the same base*: **CGST** to the Centre + **SGST** to the State, each at half the rate. Sec 9 of the CGST Act charges the CGST half; a parallel SGST Act charges the other. - An **inter-State** supply is taxed by a single **IGST** (Centre collects, then apportions the State's share). Sec 5 of the IGST Act charges it. IGST rate = CGST + SGST rate, so the total is identical whichever way the goods move — that neutrality is the whole point of "one nation, one tax."

Why does IGST exist as a *third* tax rather than just letting the destination State charge SGST? Because when goods move from Maharashtra to Gujarat, Maharashtra has no constitutional power to charge Gujarat's SGST, and Gujarat cannot easily reach a Maharashtra seller. IGST solves this with a single Central levy that *travels with the supply*: the Centre collects the full IGST, the exporting State transfers the credit, and the Centre settles the destination State's share through the IGST settlement mechanism. IGST is thus a **clearing-house tax** — its real job is to move ITC seamlessly across State borders so the credit chain never breaks. This is also why *imports* bear IGST (not CGST+SGST): an import has no originating Indian State, so only the Centre's IGST can apply, with the destination State compensated on settlement.

Why reverse charge? Follow the anti-cascade logic. GST wants to tax value addition *everywhere*, including services bought from people outside the organised net. But you cannot register and audit every roadside transporter or every foreign software vendor. So the law makes the *recipient* — who is registered, keeps books, and files returns — pay the tax and (usually) claim it back as ITC. The government's money is secured from a party it can actually reach. Reverse charge is enforcement pragmatism, not extra taxation.

Why is RCM tax paid in *cash* and not by ITC — if it's ITC-neutral anyway? Because allowing ITC to *discharge* the RCM liability would let the recipient conjure the tax and the credit in the same breath, giving the treasury nothing at the moment of supply. By forcing cash first, the government secures real revenue on the notified (hard-to-trace) supply *now*, and returns it as credit *later* only if the input is genuinely used for taxable business. The cash-first rule is the anti-abuse spine of RCM — it is not an accident, and the examiner tests it relentlessly.

Why composition? The genius of GST — invoice matching and seamless ITC — is also its burden. A tiny dealer selling to final consumers gains almost nothing from ITC (his customers can't use it either) but would drown in monthly returns. Composition says: give up ITC and inter-State ambitions, pay a token flat rate on turnover, file once a quarter. The State loses little revenue (these are small players) and gains compliance from businesses that would otherwise stay informal. It is a deliberate, rational trade.

Why does composition forbid ITC *and* forbid tax collection together? Because the two are a matched pair. A composition dealer's flat rate (say 1%) is far below the normal rate (say 18%) precisely *because* he cannot pass on ITC to his buyer. If he were allowed to *collect* 18% from customers while paying only 1% to the government, he would pocket a 17% windfall and destroy the revenue logic. So the law bundles the two: no ITC in, no tax out. The flat rate is his *entire* GST cost, borne out of margin — which is exactly why it only makes sense for a dealer selling to final consumers who could not have used ITC anyway.

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4. Full Technical Content

4.1 The Charging Section — Sec 9 CGST Act / Sec 5 IGST Act

Sec 9(1), CGST Act — the core levy:

> *"There shall be levied a tax called the central goods and services tax on all intra-State supplies of goods or services or both, except on the supply of alcoholic liquor for human consumption, on the value determined under section 15 and at such rates, not exceeding 20%, as may be notified by the Government on the recommendations of the Council, and collected in such manner as may be prescribed, and shall be paid by the taxable person."*

Unpack every clause — each is load-bearing:

Clause	What it means	Why it matters
"shall be levied a tax called CGST"	The constitutional switch is thrown	Without this, no CGST can be demanded
"on all intra-State supplies of goods or services or both"	Scope = supplies within a State	Inter-State supplies go to Sec 5 IGST instead
"except alcoholic liquor for human consumption"	Alcohol is *constitutionally* outside GST	States still levy State Excise/VAT on it
"on the value determined under section 15"	Base = transaction value (Sec 15)	Links charge to valuation rules
"rates not exceeding 20%"	Statutory ceiling per Act	So CGST + SGST caps at 40%; actual rates (0/5/12/18/28) are *notified*, not in the Act
"shall be paid by the taxable person"	Default liability = supplier	This is **forward charge**

A finer point on "alcoholic liquor for human consumption." The exclusion is narrow and literal. Alcohol used for *industrial* purposes (denatured/industrial alcohol, extra-neutral alcohol supplied for manufacturing) is **not** "for human consumption" and can therefore fall inside GST. So "is alcohol taxed under GST?" is a trap question — the correct answer is: *alcoholic liquor for human consumption* is outside; other alcohols are not automatically excluded. Similarly, the phrase covers the *supply of the liquor itself* — a restaurant that serves food alongside liquor is still taxable under GST on the *food and service*; only the liquor component sits outside GST (and attracts State VAT).

Why "not exceeding 20%" and not the actual rate? The statute fixes only a *ceiling*; the operative rates (currently 0%, 5%, 12%, 18%, 28%, plus compensation cess on demerit goods) live in *rate notifications* the Council can revise without amending the Act. This is deliberate — Parliament sets an outer limit (democratic control over the maximum tax burden) while leaving rate-fine-tuning to the nimbler notification route. Exam consequence: never quote a rate as "in the Act" — rates are *notified*; only the 20%/40% ceilings are statutory.

The five special sub-sections of Sec 9 (these are examiner favourites):

- **Sec 9(1) proviso — Petroleum products:** GST on petroleum crude, high-speed diesel, petrol (motor spirit), natural gas and aviation turbine fuel shall be levied **with effect from a date notified** by the

Government on the Council's recommendation. Translation: these five are *within* GST constitutionally but **not yet notified**, so currently they bear the old regime (Central Excise + State VAT). Alcohol (above) is *permanently* out; petroleum is *temporarily* out.

- **Sec 9(2):** covers the petroleum-product deferral mechanism (levy from notified date).
- **Sec 9(3) — Reverse charge on notified supplies:** the Government may notify categories of goods/services where **tax is paid by the recipient** on reverse charge. (See 4.3.)
- **Sec 9(4) — Reverse charge on supplies from unregistered persons:** where a *registered* person receives supplies from an *unregistered* supplier, tax may be paid by the recipient on reverse charge, for **notified classes of registered persons** and notified supplies. (Currently narrow — see 4.3.)
- **Sec 9(5) — Electronic Commerce Operator (ECO):** for **notified services** (e.g. passenger transport by cab aggregators, accommodation by unregistered hotels, restaurant services through the ECO), the **e-commerce operator** (Ola, Uber, Zomato, etc.) is made liable to pay GST *as if it were the supplier*. Rationale: the platform is the single traceable choke-point; taxing thousands of individual drivers/restaurants is impractical.

Mnemonic for the five sub-sections — "3-4-5 = who else can pay": 9(**3**) notified supplies → recipient; 9(**4**) unregistered supplier → registered recipient; 9(**5**) e-commerce → the operator. The lower two (9(1), 9(2)) fix the *levy*; the upper three (9(3)–9(5)) redirect the *payer*.

Sec 5, IGST Act mirrors Sec 9 word-for-word for **inter-State** supplies and **imports**, with two extra points: the rate ceiling is **40%** (since IGST = CGST + SGST), and IGST is also the tax on **import of goods** (collected as a customs duty under the Customs Tariff Act) and **import of services**.

One structural asymmetry between Sec 9 and Sec 5 worth memorising: Sec 9(4) (RCM on unregistered-supplier purchases) has a direct twin in Sec 5(4) IGST, but the **Sec 9(5) ECO mechanism** and the **composition scheme (Sec 10)** are creatures of the *CGST* framework applied intra-State — composition, in particular, is unavailable to a person making inter-State outward supplies precisely because it is built on the CGST/SGST (intra-State) machinery, not IGST. This is the deep reason (not just a rule) behind "one inter-State outward supply kills composition."

4.2 Forward Charge (the default)

Under forward charge the **supplier**: 1. adds GST to the invoice value, 2. **collects** it from the recipient, 3. **deposits** it with the government (after netting his own input tax credit), and 4. files returns reporting it.

The recipient simply pays the tax-inclusive invoice and claims the GST as ITC (if eligible). This is the ordinary flow for almost all registered-supplier transactions.

The GTA "option to forward charge" — the one place a supplier can *choose* his lane. A Goods Transport Agency is, by default, a Sec 9(3) reverse-charge service (recipient pays 5%, no ITC to the GTA on that route). But the GTA may *opt* to pay under **forward charge at 12% (with full ITC)** by filing the prescribed declaration (Annexure V) for the financial year. Once opted, the *recipient does not pay RCM* — the GTA charges 12% on the invoice and collects it. This single toggle is the source of dozens of exam variations: the *same* freight is RCM-at-5% or forward-charge-at-12% depending purely on whether the GTA exercised the option. Always read the facts for "GTA has/has not opted for 12% forward charge."

4.3 Reverse Charge Mechanism (RCM) — Sec 2(98), Sec 9(3)/(4)/(5)

Definition — Sec 2(98): "*reverse charge*" means the liability to pay tax by the **recipient** of supply of goods or services (or both) instead of the supplier, under Sec 9(3)/(4) of CGST or Sec 5(3)/(4) of IGST.

Key operating rules of RCM — memorise the logic, not a list:

1. **The recipient pays in cash, not from ITC.** RCM liability must be discharged through the **electronic cash ledger**; you cannot use input tax credit to *pay* an RCM liability. (You first pay it in cash; *then* you may claim that same amount back as ITC if the inward supply is used for business — subject to eligibility.) Reason: the government wants the actual cash secured.
2. **Compulsory registration — Sec 24(iii).** A person *required to pay tax under reverse charge* must register **regardless of turnover** — the ₹20 lakh/₹40 lakh threshold does *not* protect him. Reason: RCM only works if the recipient is in the tax net.
3. **Self-invoicing — Sec 31(3)(f).** When a registered recipient buys from an *unregistered* supplier under RCM, the **recipient must issue an invoice to himself** (and a payment voucher). Reason: the unregistered supplier issues no tax invoice, so a document must exist to support the tax and the ITC.
4. **Composition dealers are hit hard by RCM.** A composition dealer pays his flat composition rate on outward supplies *and* must additionally pay RCM (at the *normal* rate) on notified inward supplies — with **no ITC** available to him. RCM is one of the real costs of being in composition.
5. **Time of supply is different under RCM** (covered in the Time of Supply chapter): for goods, the *earliest* of date of receipt of goods / date of payment / 30 days from invoice; for services, earliest of date of payment / 60 days from invoice.
6. **A pure RCM-only recipient is *not* automatically forced to file as a supplier of nothing — but the ITC is conditional.** The RCM tax becomes creditable only after it is *actually paid in cash* and the self-invoice/payment-voucher exists. If the recipient is a person making *only exempt* outward supplies, the RCM cash still has to be paid but the ITC is *blocked* (no taxable output to use it against) — so for such a person RCM is a *real, non-recoverable cost*, not a wash. This is the sharp edge students miss: "RCM is ITC-neutral" is true only when the recipient has taxable outputs.

Sec 9(3) — Notified goods under RCM (illustrative, verify current list):

Supply of goods	Supplier	Recipient who pays RCM
Cashew nuts (not shelled/peeled)	Agriculturist	Any registered person
Tobacco leaves	Agriculturist	Any registered person
Silk yarn	Manufacturer of silk yarn from cocoons	Any registered person
Raw cotton	Agriculturist	Any registered person
Lottery	State Govt / UT / local authority	Lottery distributor/selling agent

Sec 9(3) — Notified services under RCM (the exam heavyweight — Notification 13/2017; illustrative):

Service	Supplier	Recipient liable under RCM
Goods Transport Agency (GTA) consignment (where GTA has *not* opted 12% forward charge)	GTA	Specified recipients — factory, registered society, co-op, **any registered person**, body corporate, partnership firm, casual taxable person
Legal services by advocate / firm of advocates	Individual advocate / senior advocate / firm	**Any business entity** located in taxable territory
Services by an **arbitral tribunal**	Arbitral tribunal	Any business entity
Sponsorship services	Any person	Body corporate or partnership firm
Services by **Government / local authority** (excluding some, e.g. renting of immovable property to unregistered person, postal, aircraft/vessel, transport of goods/passengers)	Central/State Govt, local authority	Any business entity
Services by a **director** of a company to the company (in personal, not employee, capacity)	Director	The company / body corporate
Services by an **insurance agent**	Insurance agent	Insurance company
Services by a **recovery agent**	Recovery agent	Bank / NBFC / financial institution
Renting of a motor vehicle (passenger, where fuel cost included, to a body corporate, supplier not charging 12%)	Any person other than body corporate	Body corporate
Import of service	Person located outside India	Recipient (importer) in India

Memory hook — think "the recipient is always the bigger, traceable, registered party." GTA → the business shipping goods; advocate → the business client; director → the company; import → the Indian importer. The State collects from the party it can actually audit.

The two "sub-conditions" the examiner hides inside these rows:

- **Legal / sponsorship / Government services turn on the recipient being a "business entity."** If the recipient is *not* a business entity (e.g. an individual taking legal advice for a personal dispute), there is **no RCM** — and typically the service is *exempt* anyway (legal services to an individual/non-business). Also, legal/Government-service RCM commonly carries a **turnover carve-out**: a business entity whose turnover is *below the registration threshold* in the preceding year is often exempt from RCM on such services. *Verify the exact carve-out for your attempt.*
- **Director's services — "personal capacity" is the pivot.** A director's *remuneration as an employee* (salary, under a contract of employment, treated as Schedule III "services by employee to employer") is **outside GST entirely** — no RCM. Only fees paid to a director in his *independent/non-employee* capacity (sitting fees, commission to a non-executive director) attract RCM in the company's hands. So the same person generates *no GST* on his salary and *RCM* on his sitting fees. A classic bifurcation question.

Sec 9(4) — Supplies from unregistered suppliers: Originally sweeping (any purchase from an unregistered person triggered RCM), it was suspended and then **restricted to notified classes** to avoid crushing every business. Currently the principal live case is the **real-estate promoter**: a builder must pay RCM on shortfall purchases of inputs/input services from unregistered suppliers below the 80% procurement threshold, and on cement bought from unregistered persons. *Verify the current notified list for your attempt.*

Why 9(4) was gutted — the first-principles story. The original Sec 9(4) forced *every* registered person to self-invoice and pay RCM on *every* rupee bought from *any* unregistered supplier (a chai vendor, a stationery shop). The compliance cost was catastrophic and swamped the ITC-neutral benefit, so it was first given a tiny daily de-minimis, then suspended, then re-enacted (2019) in a *narrowed* form aimed only at *notified classes* (chiefly real-estate promoters). The lesson the examiner wants: 9(4) is **not** a general "buy-from-unregistered = RCM" rule anymore; it bites only where *notified*.

Sec 9(5) — E-Commerce Operator liability: For notified services the **ECO pays GST as if it were the supplier**: (i) passenger transport by radio-taxi/motor-cab/motorcycle/omnibus (Ola, Uber), (ii) accommodation in hotels/clubs where the *actual supplier is unregistered* (via Oyo, etc.), (iii) house-keeping (plumbing, carpentry) where actual supplier is unregistered, (iv) **restaurant service** supplied through the platform (Zomato, Swiggy) other than by restaurants in specified premises. If the ECO has no physical presence in the taxable territory, its **representative** (or an appointed person) is liable.

Sec 9(5) vs Sec 52 (TCS) — the distinction that decides marks. Do not confuse the *two entirely different* things an e-commerce operator does: - Under **Sec 9(5)**, for the four notified services, the ECO is the **deemed supplier** — it pays the *whole* GST on the supply itself, files it in its own returns, and the actual driver/restaurant reports nothing on that supply. - Under **Sec 52 (TCS)**, for *all other* e-commerce supplies (e.g. a registered seller selling a phone through Amazon), the ECO is *not* the supplier; it merely **collects tax at source (currently 0.5% CGST + 0.5% SGST = 1%, verify)** on the net value and deposits it, while the *actual seller* charges and pays the GST.

So the acid test: *Is the supply one of the four Sec 9(5) notified services?* If yes → ECO pays full GST as supplier. If no → the seller pays GST and the ECO merely does TCS under Sec 52.

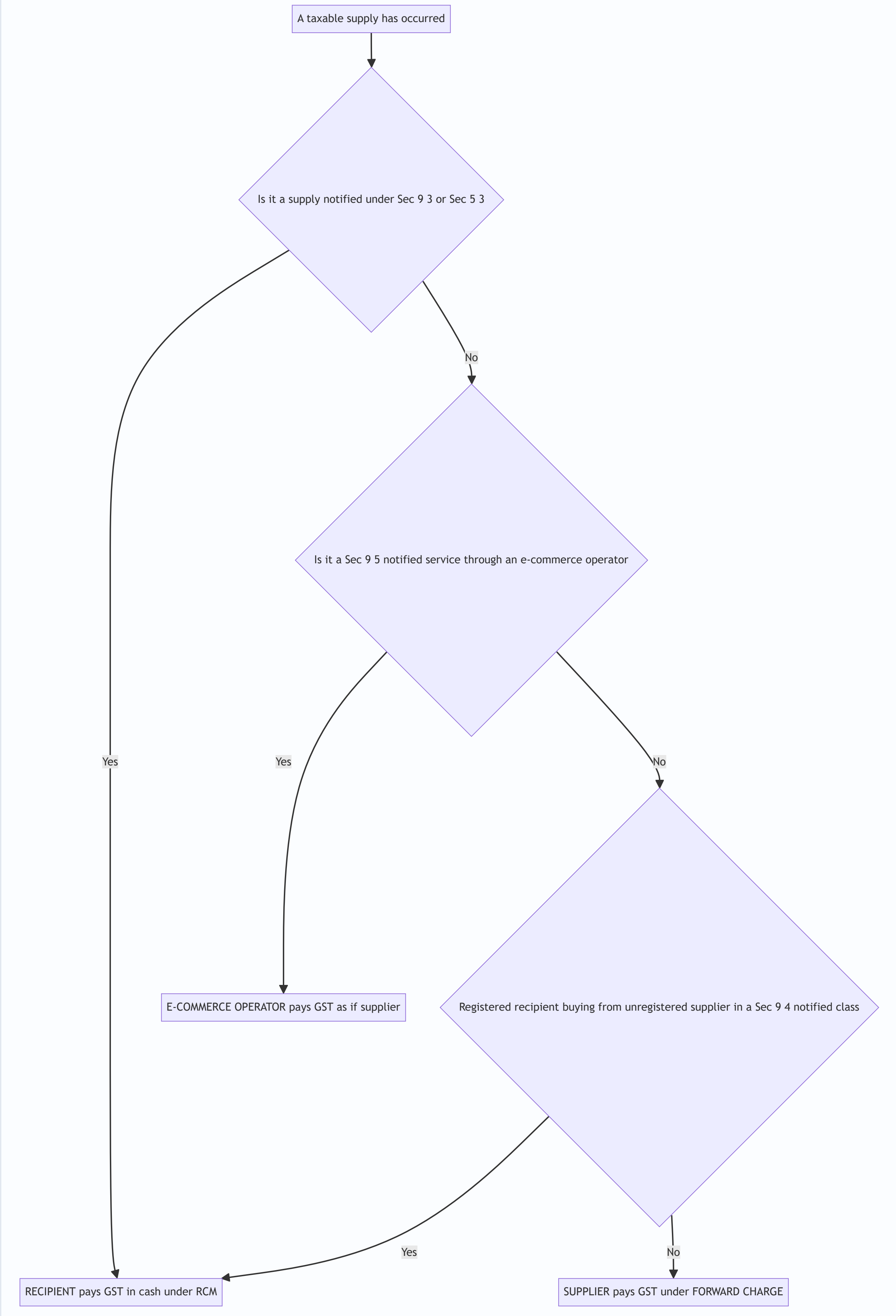

A taxable supply has occurred
Is it a supply notified under Sec 9 3 or Sec 5 3
Yes
No
Is it a Sec 9 5 notified service through an e-commerce operator
Yes
No
E-COMMERCE OPERATOR pays GST as if supplier
Registered recipient buying from unregistered supplier in a Sec 9 4 notified class
Yes
No
RECIPIENT pays GST in cash under RCM
SUPPLIER pays GST under FORWARD CHARGE

Figure 15.1 — The charge decision tree: who is liable to pay the GST on a given supply.

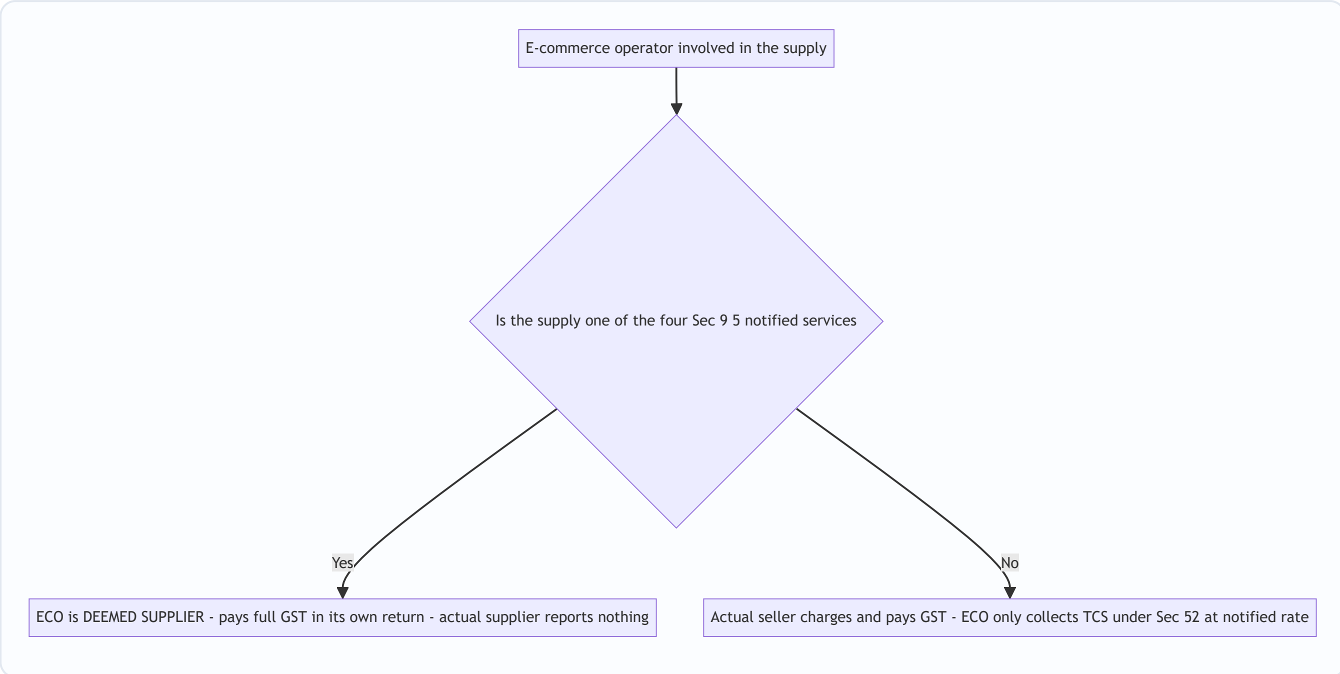


Figure 15.2 — E-commerce operator: Sec 9(5) deemed-supplier liability vs Sec 52 tax collected at source.

4.4 Composition Levy — Sec 10, CGST Act

What it is: an *optional* scheme letting a small registered person pay tax at a **flat low percentage of turnover** instead of the normal rate on value, with **no input tax credit** and drastically reduced compliance (quarterly payment via **CMP-08**, annual return **GSTR-4**).

Sec 10(1)/(2) — Composition for goods (and restaurant service):

- **Eligibility threshold:** aggregate turnover in the **preceding** financial year up to **₹1.5 crore** (₹75 lakh for specified **Special Category States** — e.g. the North-Eastern States, Himachal, etc.). *Verify the current figure and State list.*
- **Rates (of turnover in State/UT):**

Category of registered person	CGST	SGST	Total
Manufacturers (other than notified goods e.g. ice-cream, pan masala, tobacco, aerated water)	0.5%	0.5%	**1%**
Traders / other suppliers of goods	0.5%	0.5%	**1%** (of turnover of *taxable* supplies)
Restaurants (supply of food/drink, not serving alcohol)	2.5%	2.5%	**5%**

Note: for a trader, the 1% is on turnover of taxable supplies of goods and services in the State; for a manufacturer/restaurant it is on total turnover in the State.

"Aggregate turnover" vs "turnover in State" — two different measuring sticks in the same section. This is one of the most-tested subtleties: - **Eligibility** (the ₹1.5 cr / ₹50 L test) is measured on **aggregate turnover** — an *all-India, same-PAN* figure that *includes exempt supplies, exports and inter-State supplies*, but *excludes* taxes and inward RCM value. - **The tax base** (what you multiply the 1%/5%/6% by) is **turnover in the State/UT**, and for a *trader* it is further narrowed to **taxable** turnover only.

So exempt supplies **count for eligibility** (they can push you over ₹1.5 cr) but are **excluded from a trader's tax base**. Examiners deliberately give exempt sales and dare you to either (a) forget them in the eligibility test, or (b) wrongly tax them in a trader's base. Read every turnover figure twice: "*is this line testing eligibility or the tax base?*"

Sec 10(2A) — Composition for service providers (and mixed suppliers): - A **separate scheme** for suppliers of *services* (or mixed goods+services) who could not use 10(1) because they supply services beyond the small permitted limit. - **Threshold:** aggregate turnover in the preceding FY up to **₹50 lakh**. - **Rate: 6%** (3% CGST + 3% SGST) of turnover.

The permitted-services sweetener in 10(1): a *goods* composition dealer may *also* supply services up to the higher of **₹5 lakh** or **10% of turnover** in the preceding year, without losing 10(1) eligibility. Reason: a small trader who also does a little repair/installation work shouldn't be thrown out of the scheme.

10(1) permitted-services limit vs 10(2A) — don't cross the wires. These two provisions solve *opposite* problems: - **10(1) with the 10%/₹5 L sweetener** is for a *goods* dealer who does a *little* service on the side — he stays at **1%/5%**. - **10(2A)** is for a *service* provider (or someone whose services *exceed* that sweetener) — he pays **6%** and is capped at **₹50 L**, not ₹1.5 cr. Trap: a manufacturer with ₹1.3 cr goods turnover who also earns ₹20 L of service income has service > higher of (₹5 L, 10% of ₹1.3 cr = ₹13 L), so he *breaches 10(1)*; but his aggregate turnover (₹1.5 cr) *exceeds* the ₹50 L 10(2A) ceiling too — so he is **out of composition altogether** and must pay normal GST. The two schemes do not stack.

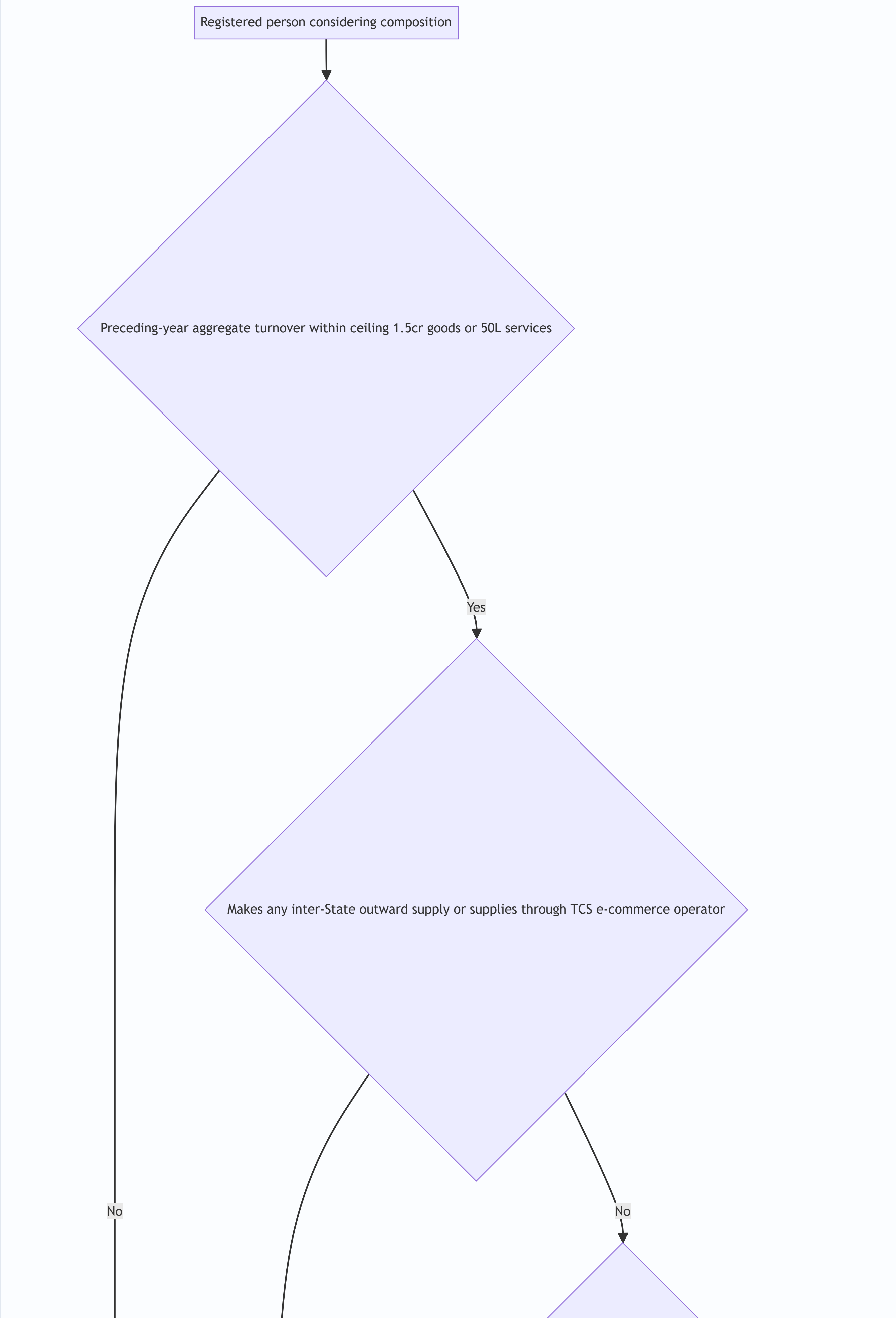
Sec 10(2) — Conditions (WHO can opt) — every one is a design choice:

Condition	Why it exists
No inter-State outward supplies	Composition is intra-State by design; inter-State means IGST + full compliance
No supply through an e-commerce operator that collects TCS	ECO sales imply organised, often inter-State trade — inconsistent with the simple scheme
Not a supplier of goods/services *not leviable* to GST (e.g. alcohol dealer)	Can't compound tax on things outside GST
Not a manufacturer of notified goods (ice-cream, pan masala, tobacco, aerated water, fly-ash bricks etc.)	High-value/sin goods excluded to protect revenue
Not a casual taxable person or non-resident taxable person	These are transient — the scheme assumes an ongoing small business
All registrations under the same PAN must opt together	Prevents splitting a big business into "small" pieces to abuse the scheme
Cannot collect tax from customers and **cannot claim ITC**	It's a *turnover* tax, not a value-added tax — this is the core trade-off
Must pay RCM at normal rates on notified inward supplies	The RCM logic (4.3) overrides the composition simplicity
Must issue a *Bill of Supply*, not a tax invoice, stating "*composition taxable person, not eligible to collect tax on supplies*"	Warns the buyer that no ITC flows from this purchase
Must display "composition taxable person" on notice boards and signboards	Transparency to customers and department

Two conditions students routinely misstate: - **"No inter-State supply" is about *outward* supply only.** A composition dealer may freely *buy* from other States (inter-State *inward* purchase is fine); what he cannot do is *sell* inter-State. The reason: his outward liability rides on the intra-State CGST/SGST machinery; an inter-State sale would require IGST, which the flat scheme cannot handle. - **The e-commerce bar is about supplying *through* an ECO that must collect TCS.** Selling your own goods from your own website is fine; it is routing sales through a *marketplace* (Amazon/Flipkart) — with its TCS and typically inter-State reach — that is barred.

Sec 10(3)/(5) — Exit and penalty: the option **lapses automatically** the day turnover crosses the ceiling during the year (from then he becomes a normal taxpayer). If a person opts wrongly (was ineligible) or breaches conditions, he pays **tax at normal rates** on the tainted supplies plus a **penalty** (Sec 10(5) → treated like Sec 73/74 demand).

The exit mechanics the examiner probes: - On crossing the ceiling, the dealer files **CMP-04** (intimation of withdrawal) and becomes a normal taxpayer *from that day forward* — the transition is **prospective**, not retrospective. Turnover earned *before* the breach stays taxed at the composition rate; only turnover *after* the breach is at normal rates. - On becoming a normal taxpayer, he becomes eligible to claim **ITC on his opening stock** (inputs, inputs in semi-finished/finished goods) held on the date of transition, by filing **ITC-01** within the prescribed window — a small mercy that softens the switch. *Verify current form references and timelines.*


Registered person considering composition
Preceding-year aggregate turnover within ceiling 1.5cr goods or 50L services
Yes
No
Makes any inter-State outward supply or supplies through TCS e-commerce operator
No

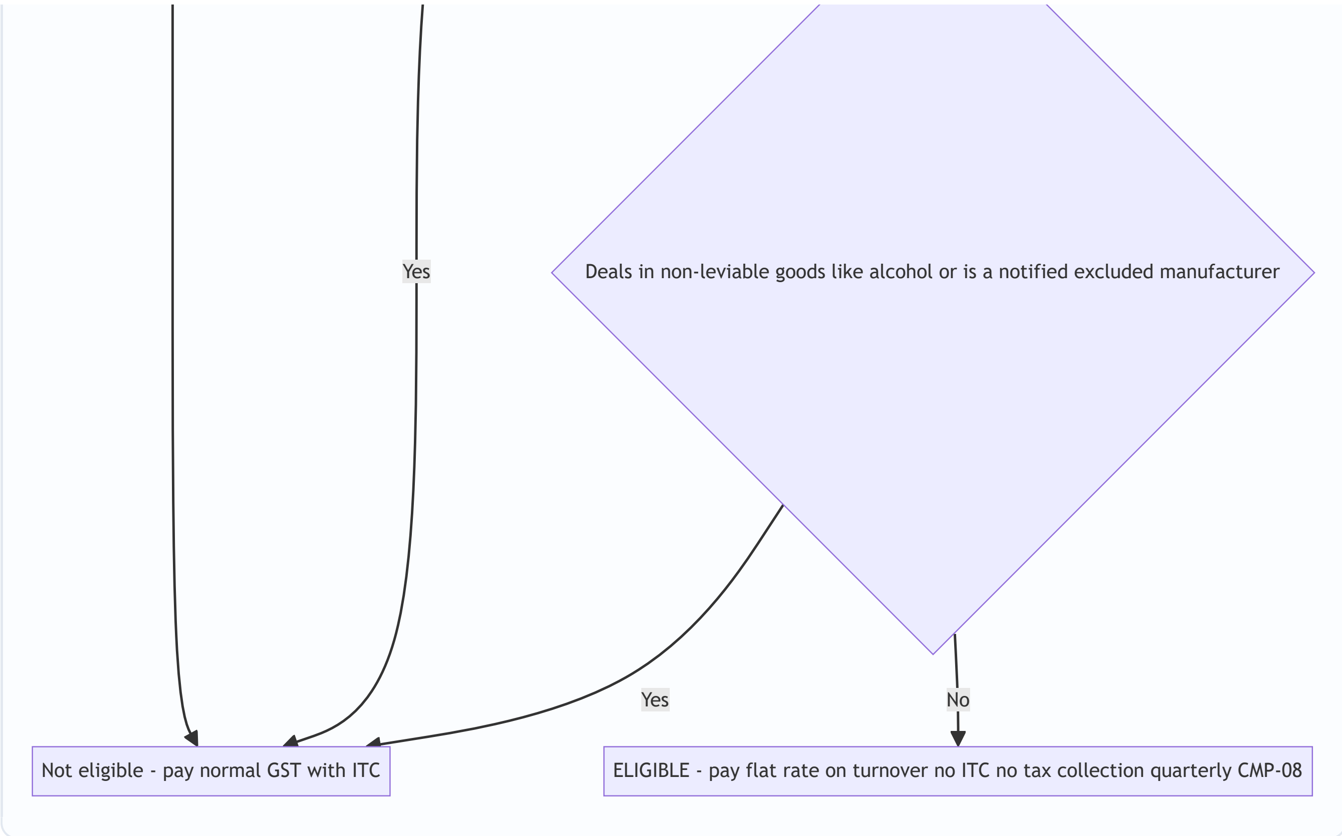


Figure 15.3 — Composition eligibility gate under Sec 10: turnover, then the disqualifiers.

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5. Worked Examples

Example 1 — Forward charge vs the value base (Sec 9 + Sec 15)

Facts: Radhika Traders (Maharashtra, registered) sells goods to a customer in Maharashtra for a taxable value of ₹1,00,000. Applicable GST rate = 18%.

Solution: - This is an **intra-State** supply → CGST (Sec 9) + SGST apply, each at half of 18% = **9%**. - CGST = 9% × ₹1,00,000 = **₹9,000** - SGST = 9% × ₹1,00,000 = **₹9,000** - Invoice value = ₹1,00,000 + ₹9,000 + ₹9,000 = **₹1,18,000** - Radhika (the supplier) **collects ₹18,000** from the customer and deposits it (net of her own ITC). This is forward charge — the default under Sec 9(1).

Reconciliation: If instead the customer were in Gujarat (inter-State), the same 18% would be a single **IGST of ₹18,000** under Sec 5 IGST — identical total, only the split changes. Tax neutrality across State lines. Verified.

Example 2 — Reverse charge on legal + GTA services

Facts: Vega Industries Pvt Ltd (registered, Karnataka) incurs the following in a month: - (a) Legal fees of ₹2,00,000 to an individual advocate (intra-State). GST rate 18%. - (b) Freight of ₹50,000 to a Goods Transport Agency that has **not** opted for 12% forward charge (intra-State). RCM rate on GTA = 5%. - (c) Purchase of stationery ₹40,000 from a *registered* dealer, GST 18% (forward charge).

Which supplies are RCM, and what does Vega pay?

Solution:

Item	Charge type	Reason	GST computation	Who pays
(a) Legal fees	**RCM**	Sec 9(3) — advocate to business entity	18% × ₹2,00,000 = ₹36,000 → CGST ₹18,000 + SGST ₹18,000	**Vega**, in cash
(b) GTA freight	**RCM**	Sec 9(3) — GTA not on 12% forward charge, recipient is registered	5% × ₹50,000 = ₹2,500 → CGST ₹1,250 + SGST ₹1,250	**Vega**, in cash
(c) Stationery	Forward charge	Registered supplier, no notification	18% × ₹40,000 = ₹7,200	The dealer collects it

RCM cash liability for Vega = ₹36,000 + ₹2,500 = ₹38,500 (CGST ₹19,250 + SGST ₹19,250), paid through the **electronic cash ledger** — *not* set off against ITC.

Then Vega may claim **₹38,500 as input tax credit** (both are business inputs and eligible), so the *net* economic cost of RCM is nil — but the **cash must move first**. For the stationery, Vega pays the dealer ₹47,200 and claims ₹7,200 ITC normally.

Reconciliation: Note the advocate and the small GTA never touch the tax — the government secured ₹38,500 from Vega, a large auditable company, exactly as RCM intends. Also note: even if Vega were below the registration threshold, receiving these RCM supplies would force registration under Sec 24(iii). Verified.

Examiner tweak — what if the GTA had opted for 12% forward charge? Then item (b) flips out of RCM entirely: the GTA charges 12% × ₹50,000 = ₹6,000 *on its own invoice* and collects it from Vega. Vega's RCM cash liability drops to ₹36,000 (only the legal fees), and it claims the ₹6,000 GTA GST as ordinary forward-charge ITC. One toggle in the facts moves ₹2,500 from "Vega pays in cash under RCM" to "GTA collects ₹6,000 under forward charge" — different rate, different payer, different ledger. This is the single most common GTA trap.

Example 3 — Composition levy, trader (Sec 10(1))

Facts: Kirti Stores, a **trader** in Rajasthan (not a special-category State), opted for composition. Turnover for the year: - Taxable supplies of goods within Rajasthan: ₹80,00,000 - Exempt supplies of goods: ₹10,00,000 - Interest earned on a fixed deposit: ₹5,00,000 - Also received GTA freight service under RCM: freight ₹1,00,000 (RCM rate 5%)

Preceding-year turnover was ₹1.2 crore (within ₹1.5 crore). Compute total GST payable.

Solution:

Step 1 — Composition tax on outward supplies. For a **trader**, the rate is **1% of the turnover of *taxable* supplies of goods** in the State (exempt supplies are **excluded** for a trader; interest on FD is an *exempt service*, also excluded). - Taxable turnover = ₹80,00,000 - Composition tax = 1% × ₹80,00,000 = **₹80,000** → CGST ₹40,000 + SGST ₹40,000

Step 2 — RCM on inward GTA (Sec 9(3) overrides composition simplicity). Composition dealers still pay RCM at **normal** rates. - RCM = 5% × ₹1,00,000 = **₹5,000** → CGST ₹2,500 + SGST ₹2,500, paid in **cash**, **no ITC** available to a composition dealer.

Step 3 — Total GST payable by Kirti Stores = ₹80,000 (composition) + ₹5,000 (RCM) = **₹85,000**.

Reconciliation: Kirti collects **no** tax from customers (issues a Bill of Supply), claims **no** ITC, and the FD interest and exempt goods correctly drop out of a *trader's* 1% base. If Kirti had been a **manufacturer**, the 1% would apply to **total** turnover in the State (₹90,00,000 of goods, still excluding pure exempt-service interest), i.e. ₹90,000 — illustrating why "trader vs manufacturer" changes the base. Verified.

Example 4 — Composition for a service provider (Sec 10(2A)) + turnover breach

Facts: Nitin runs a small event-management **service** business in Kerala. Preceding-year turnover ₹42 lakh, so he opted for the **6% service composition** (Sec 10(2A)) on 1 April. During the year his turnover reaches ₹50,00,000 on 15 December and rises to ₹58,00,000 by 31 March.

Solution: - Nitin is eligible on 1 April (₹42 lakh < ₹50 lakh preceding-year ceiling). - On the **turnover of ₹50,00,000** earned *up to the day he crosses the ceiling*, composition applies at **6%** → 6% × ₹50,00,000 = **₹3,00,000** (CGST ₹1,50,000 + SGST ₹1,50,000). - **Sec 10(3):** the moment turnover **exceeds ₹50 lakh** (on 15 December), the composition option **lapses**. From that point Nitin becomes a **normal taxpayer**: on the further ₹8,00,000 he charges GST at the **normal rate** (say 18%) *and* can claim ITC on inputs from that date. Normal-rate GST = 18% × ₹8,00,000 = **₹1,44,000** (before ITC).

Reconciliation: The scheme protected him only while genuinely small; growth automatically ejected him — no revenue leakage. He must also file the intimation of withdrawal and shift to normal returns. Verified.

Example 5 — E-commerce operator: Sec 9(5) vs Sec 52 TCS (the split-bill problem)

Facts: "QuickPlate", an e-commerce operator, processes the following in a day (all intra-State, Delhi): - (a) Restaurant meals worth ₹4,00,000 supplied *through* QuickPlate by various small restaurants (not in specified premises). Restaurant GST rate 5%. - (b) Sale of packaged kitchenware worth ₹2,00,000 by a *registered* seller "PanMart" through QuickPlate. GST rate 18%.

Who pays what?

Solution:

Item (a) — restaurant service through the platform = a Sec 9(5) notified service. QuickPlate is the **deemed supplier** and pays the *whole* GST itself: - GST = 5% × ₹4,00,000 = **₹20,000** (CGST ₹10,000 + SGST ₹10,000), paid by **QuickPlate** in its own return. The restaurants report **nothing** on these supplies. (Note: no ITC on inputs of the restaurant service flows to QuickPlate — the 5% restaurant rate is a no-ITC rate.)

Item (b) — kitchenware by a registered seller = NOT a Sec 9(5) service, so ordinary e-commerce. PanMart is the real supplier: - **PanMart** charges and pays GST = 18% × ₹2,00,000 = **₹36,000**. - **QuickPlate** merely collects **TCS under Sec 52** on the net value = 1% × ₹2,00,000 = **₹2,000** (0.5% CGST + 0.5% SGST, *verify rate*), which PanMart later claims back in its electronic cash ledger.

Reconciliation: Two supplies, two totally different roles for the *same* operator. On the restaurant meals QuickPlate is a taxpayer for ₹20,000; on the kitchenware it is a mere tax-collector for ₹2,000 while PanMart bears the ₹36,000 GST. The acid test — "is it one of the four Sec 9(5) services?" — cleanly separated them. Verified.

Example 6 — Composition eligibility trap: exempt supply pushes over the ceiling

Facts: Meghna Handlooms (Gujarat trader) had preceding-year figures: taxable intra-State goods ₹1,40,00,000 + exempt (nil-rated fabric) goods ₹18,00,000. She wants composition this year and assumes "my taxable turnover is only ₹1.4 cr, under ₹1.5 cr, so I qualify." Is she right? If she wrongly opts, what is the consequence?

Solution: - **Eligibility is tested on *aggregate turnover*, which *includes* exempt supplies.** Aggregate turnover = ₹1,40,00,000 + ₹18,00,000 = **₹1,58,00,000**, which **exceeds ₹1.5 crore.** Meghna is therefore **NOT eligible** for composition — her mistake was applying the ceiling to *taxable* turnover (that narrowing applies to the *tax base* for a trader, **not** to the eligibility test). - **Consequence of wrong opt-in (Sec 10(5)):** she is treated as a normal taxpayer for the year, must pay tax at **normal rates** on her taxable supplies (with ITC now allowed), and is liable to a **penalty** under Sec 10(5) read with Sec 73/74. Any Bills of Supply she issued are invalid tax documents.

Reconciliation: This is the exact mirror of Example 3 — there, exempt supplies were correctly *excluded from a trader's tax base*; here, exempt supplies are correctly *included in the eligibility test*. Same exempt figure, opposite treatment, because *eligibility* and *tax base* are measured differently. Verified.

Example 7 — Director's remuneration bifurcation (Schedule III vs Sec 9(3) RCM)

Facts: Orion Ltd pays, in a month, to Mr. Rao (a **whole-time executive director**, i.e. an employee) a salary of ₹5,00,000; and to Ms. Iyer (a **non-executive/independent director**, not an employee) sitting fees of ₹1,20,000. GST rate 18%. What GST, if any, does Orion pay?

Solution: - **Mr. Rao's ₹5,00,000 salary** is consideration for *services by an employee to the employer in the course of employment* → **Schedule III** (neither supply of goods nor services) → **outside GST**. No GST, no RCM. Nil. - **Ms. Iyer's ₹1,20,000 sitting fees** are for services by a director in her *independent (non-employee) capacity* → **Sec 9(3) RCM** in the company's hands: - GST = 18% × ₹1,20,000 = **₹21,600** (CGST ₹10,800 + SGST ₹10,800 if intra-State), paid by **Orion in cash**, then claimable as ITC (subject to eligibility).

Reconciliation: The identical label "director's payment" splits into a *zero-GST* line (employment → Schedule III) and an *RCM* line (independent capacity → Sec 9(3)). The pivot is the *capacity* in which the service is rendered, evidenced by whether it is under a contract of employment. Verified.

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6. Format / Summary

Charge-of-GST reference card:

Question	Provision	Answer
Legal authority to charge	Sec 9(1) CGST / Sec 5(1) IGST	Levy on value (Sec 15) at notified rate
Intra-State supply	Sec 9 CGST + SGST Act	CGST + SGST, half rate each
Inter-State supply / imports	Sec 5 IGST	Single IGST = CGST + SGST rate
Outside GST permanently	—	Alcoholic liquor for human consumption
Outside GST till notified	Sec 9(2) proviso	5 petroleum products
Default payer	Sec 9(1)	Supplier (forward charge)
Recipient pays	Sec 9(3)/(4), 5(3)/(4)	Notified goods/services; unregistered supplier (notified)
Platform pays	Sec 9(5)	E-commerce operator on notified services
Small-dealer scheme	Sec 10(1) / 10(2A)	1% / 5% / 6% flat on turnover, no ITC

Levy vs collection (one line): *One levy (Sec 9(1)) is imposed the instant a taxable supply happens; forward charge, RCM and Sec 9(5) are merely three manners of collecting that same levy from three different persons.*

RCM discharge rule (one line): *Pay in cash first (no ITC to pay it), self-invoice if supplier unregistered, register compulsorily under Sec 24 — then claim ITC if eligible.*

Composition trade-off (one line): *Give up ITC, tax-collection, and inter-State sales; gain a flat low rate and quarterly filing.*

Two-measuring-sticks rule (one line): *Composition eligibility is tested on all-India aggregate turnover including exempt supplies; the composition tax base is turnover in the State, narrowed to taxable turnover for a trader.*

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7. Connections

- **Supply (Sec 7) & Schedule I/II/III:** the charge only bites on a "supply." No supply → no levy, however the money moves. Schedule III (employee-to-employer, etc.) is the reason a director's *salary* escapes even RCM.
- **Value of Supply (Sec 15):** the charging section pins the tax to the Sec 15 value — the two are read together.
- **Place of Supply (IGST Act):** decides intra vs inter-State, i.e. *which* charging section (Sec 9 vs Sec 5) fires — the "territory dial."
- **Time of Supply (Sec 12/13):** RCM has its **own** time-of-supply rules — the "pay in cash" duty crystallises there.
- **Registration (Sec 22–24):** Sec 24(iii) forces RCM recipients to register with no threshold; composition needs registration under Sec 10; Sec 24 also compulsorily registers ECOs and inter-State suppliers.
- **Input Tax Credit (Sec 16–17):** forward charge feeds the ITC chain; RCM tax is claimable as ITC; composition dealers get **zero** ITC — the scheme's price; a dealer *exiting* composition claims opening-

stock ITC via ITC-01.

- **TCS by e-commerce (Sec 52):** the counterpart to Sec 9(5) — the ECO collects TCS on supplies where it is *not* the deemed supplier.
- **Exemptions:** an exempt supply is *within* the charging section but relieved by notification; distinguish from alcohol/petroleum which are *outside* the charge; note exempt supplies still count for composition *eligibility*.

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8. Traps & Examiner Tricks

1. **"RCM can be paid using ITC."** *False.* RCM must be paid in **cash** via the electronic cash ledger; ITC can be *claimed afterwards* but never *used to pay* the RCM itself.
2. **Threshold exemption saves an RCM recipient.** *No.* Sec 24(iii): anyone liable under RCM must register **regardless of turnover**.
3. **Alcohol vs petroleum confusion.** Alcohol for human consumption is **permanently outside** GST (constitutionally); the five petroleum products are **inside but not yet notified**. Don't swap them. And *industrial* alcohol is not automatically outside GST.
4. **Composition dealer collects GST / issues a tax invoice.** *Never.* He issues a **Bill of Supply**, collects **no** tax, and shows the "composition taxable person" declaration.
5. **Applying 1% to a trader's total (incl. exempt) turnover.** For a **trader**, the 1% is on **taxable** supplies only; for a **manufacturer/restaurant** it's on **total** turnover in the State. Examiners plant exempt supplies and FD interest to test this.
6. **Composition ceiling mix-up.** ₹1.5 crore (goods, Sec 10(1)) vs ₹50 lakh (services, Sec 10(2A)) vs ₹75 lakh (special-category States). And the *permitted extra services* limit in 10(1) is higher of ₹5 lakh or 10% of turnover.
7. **Composition + inter-State sale.** A single inter-State **outward** supply disqualifies composition. (Inter-State *inward* purchases are fine.)
8. **Forgetting RCM on a composition dealer.** He still pays RCM at **normal** rates on notified inward supplies, with no ITC — a common missed line in computations.
9. **GTA trap.** RCM applies only where the GTA has **not** opted for the 12% forward-charge rate. If the GTA charges 12% forward, the recipient does **not** pay RCM.
10. **Sec 9(5) ECO vs Sec 9(3).** Under 9(5) the ECO pays as *deemed supplier* (e.g. Uber, Zomato); don't confuse with ordinary TCS by e-commerce operators under Sec 52.
11. **Eligibility vs tax base for composition.** Eligibility (₹1.5 cr/₹50 L) uses **aggregate turnover including exempt supplies**; the tax base uses **State turnover, taxable-only for traders**. The same exempt figure is *counted* for eligibility but *excluded* from a trader's base (Examples 3 and 6).
12. **Director's salary treated as RCM.** *Wrong.* An executive/employee director's salary is **Schedule III → outside GST**; only fees to a director in his *independent* capacity attract Sec 9(3) RCM.
13. **"Levy" and "collection" treated as the same event.** RCM/9(5) are *collection* mechanisms under *one* levy — not separate taxes. Answers that call RCM "a different levy" lose the conceptual mark.
14. **Legal-service RCM applied where recipient is not a business entity / is below threshold.** No RCM if the recipient is not a business entity; and note the turnover carve-out for small business-entity recipients on legal/Government services (*verify*).

15. **Composition transition treated as retrospective.** On crossing the ceiling the switch to normal tax is **prospective** from the day of breach; pre-breach turnover stays at the composition rate.

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9. First-Principles Recap

Start from Article 265: no tax without law. GST therefore needs a single sentence that *levies* the tax — Sec 9 (CGST, intra-State) and Sec 5 (IGST, inter-State), each charging tax on the Sec 15 value at a notified rate, capped by statute. Because India is a federation, an intra-State supply is split into CGST + SGST while an inter-State supply bears one IGST — engineered so the total is identical either way (one nation, one tax). Remember the levy/collection split: the tax is *levied* once the instant a taxable supply occurs; everything else in this chapter is about the *manner and person of collection*.

The **default** is that the supplier collects and pays (forward charge). But the tax base deliberately includes suppliers the department cannot easily reach — the unregistered, the tiny, the foreign, the platform-based. For those, forcing the supplier to pay would mean the tax escapes. So the law **flips the collection agent to the recipient** (reverse charge) — always choosing the larger, registered, auditable party — securing the cash first and letting ITC neutralise the cost. Where even the recipient is diffuse (thousands of drivers or restaurants), the law reaches for the single choke-point instead and taxes the **e-commerce operator** as deemed supplier (Sec 9(5)). Same tax, smarter collection point in every case.

Finally, GST's own compliance machinery would crush the smallest dealers. So the law offers them a **flat turnover tax with almost no paperwork** (composition), on the honest condition that they surrender ITC, tax collection, and inter-State reach. The flat rate is low *because* no ITC is passed on — that is why "no ITC" and "no tax collection" are bundled. Grow past the ceiling and you graduate automatically (and prospectively) to the normal regime.

Every rule in this chapter is one of three answers: *how is the tax authorised* (the charge), *how do we actually collect it* (forward vs reverse vs ECO), and *how do we keep the small alive* (composition). Read any problem by setting three dials — territory, collector, regime — and the answer falls out.

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10. Quick-Revision Sheet

Charge - Sec 9(1) CGST: levy on intra-State supply, value u/s 15, rate ≤ 20%, paid by taxable person (forward charge). - Sec 5 IGST: inter-State supply + imports, single IGST (= CGST+SGST), ceiling 40%. - Out of GST: alcohol for human consumption (permanent); petroleum ×5 (till notified — Sec 9(2)). Industrial alcohol not auto-excluded. - Levy ≠ collection: one levy, three collection routes (FC / RCM / ECO). - Special sub-sections: 9(3) RCM notified supplies · 9(4) RCM from unregistered (notified classes) · 9(5) ECO deemed supplier.

Reverse Charge (Sec 2(98), 9(3)/(4)/(5)) - Recipient pays; **cash only** (no ITC to pay it); claim ITC after (blocked if only exempt outputs). - **Compulsory registration** — Sec 24(iii), no threshold. - **Self-invoice** — Sec 31(3)(f) — when supplier unregistered. - Key 9(3) services: **GTA** (unless 12% FC), **advocate/legal** (recipient = business entity; threshold carve-out), arbitral tribunal, **sponsorship**, Govt services, **director** to company (independent capacity only; salary = Schedule III, out), insurance agent, recovery agent, motor-vehicle renting to body corporate, **import of service**. - 9(4): narrowed to notified classes (chiefly real-estate promoter — 80% procurement, cement). - 9(5) ECO deemed supplier: cab aggregators, restaurant via platform (Zomato/Swiggy), unregistered-hotel accommodation, house-keeping. Contrast Sec 52 TCS for all other e-commerce.

Composition (Sec 10) - 10(1) goods: preceding-year **aggregate turnover ≤ ₹1.5 cr** (₹75 L special States) — *includes exempt supplies*. - Manufacturer **1%** (total State turnover) · Trader **1%** (taxable State turnover) · Restaurant **5%** (total). - May supply services up to higher of ₹5 L or 10% of turnover. - 10(2A) service providers: aggregate turnover ≤ **₹50 L**, rate **6%**. Does not stack with the 10(1) sweetener. - Conditions: no inter-State **outward** supply (inward OK) · no supply via TCS e-commerce operator · not dealing in non-leviable goods · not a notified excluded manufacturer (ice-cream, pan masala, tobacco, aerated water) · not CTP/NRTP · all same-PAN registrations opt together. - **No ITC · no tax collection · Bill of Supply · quarterly CMP-08 · annual GSTR-4 · pay RCM at normal rates.** - Eligibility = aggregate turnover (incl. exempt); tax base = State turnover (taxable-only for trader) — *two measuring sticks*. - Sec 10(3): option lapses the day turnover crosses the ceiling (prospective; file CMP-04; claim opening-stock ITC via ITC-01) · Sec 10(5): wrong opt-in → normal tax + penalty.

Flag once more: confirm all rates, thresholds and notified RCM/ECO/composition lists against the latest ICAI material and notifications for your exam attempt.

Q&A — Charge of GST (Levy & Reverse Charge)

> Scope: Charging sections — **Sec 9, CGST Act, 2017** (intra-State) and **Sec 5, IGST Act, 2017** (inter-State); forward charge; reverse charge under **Sec 9(3)/9(4)/9(5) CGST** (and mirror **Sec 5(3)/5(4)/5(5) IGST**); composition levy under **Sec 10, CGST Act**. **Amendment/rate sensitivity flag:** RCM notified lists (Notif. 13/2017-CT(R) for services; 4/2017-CT(R) for goods) and composition turnover threshold (₹1.5 crore / ₹75 lakh special-category) are **notification-driven** and change frequently. Always verify against the rates/notifications in force for your attempt. Rates used here are illustrative for method, not for memorisation.

SECTION A — Concept Check (short answer)

A1. On what does GST get levied, and what is expressly kept outside the levy under Sec 9(1)? Ans. GST is levied on the **supply** of goods or services or both (Sec 9(1), CGST). It is levied on value determined under Sec 15, at notified rates (max 20% CGST), collected in the prescribed manner, and paid by the **taxable person**. Expressly excluded: supply of **alcoholic liquor for human consumption**. Further, GST on **petroleum crude, high-speed diesel, motor spirit, natural gas and ATF** is deferred to a date to be notified by GST Council (Sec 9(2)).

A2. Distinguish forward charge and reverse charge in one line each. Ans. *Forward charge* — the **supplier** collects tax from the recipient and remits it to Government (default rule, Sec 9(1)). *Reverse charge* — the **recipient** of goods/services is liable to pay tax directly to Government (Sec 2(98); charged under Sec 9(3)/9(4)).

A3. What is the difference between Sec 9(3) and Sec 9(4) RCM? Ans. Sec 9(3) — RCM on **notified categories** of goods/services (e.g., GTA, legal services from advocate, sponsorship), applies regardless of supplier's registration. **Sec 9(4)** — RCM on supplies by an **unregistered supplier to a notified registered recipient** (currently narrow, e.g., promoter/real-estate shortfall purchases). 9(3) is category-based; 9(4) is status-of-supplier-based.

A4. Can a person paying tax under RCM claim ITC of that tax? Can he use ITC to pay the RCM liability? Ans. ITC of RCM tax **is available** (subject to normal Sec 16/17 conditions) once tax is paid. But the **RCM liability itself must be discharged in cash** — Sec 49(4) bars using ITC to pay tax payable under reverse charge. (Common trap.)

A5. Under Sec 9(5), who pays and give examples of notified services. Ans. For specified services supplied *through* an **e-commerce operator (ECO)**, the **ECO is deemed the supplier** and is liable to pay GST as if it were the supplier. Notified services: (i) passenger transport by radio-taxi/motor cab (Ola/Uber), (ii) accommodation in hotels where the actual supplier is unregistered, (iii) housekeeping (plumber/carpenter) where actual supplier unregistered, (iv) restaurant service supplied through ECO (e.g., Swiggy/Zomato).

A6. Is a composition dealer allowed to charge tax to customers or claim ITC? Ans. No. Under Sec 10, a composition taxpayer pays tax at a small % of turnover **out of his own pocket**, **cannot collect tax** from customers (issues bill of supply, not tax invoice), and **cannot claim ITC**.

SECTION B — Graded Computational / Application Problems

B1 (Easy) — Basic forward-charge output tax

Mr. A, a registered dealer in Telangana, makes an intra-State supply of goods worth **₹1,00,000** taxable at **18%**. Compute his tax.

Step 1 — Nature: Intra-State ⇒ CGST + SGST under **Sec 9(1) CGST / State GST**, split equally. **Step 2 — Rate split:** 18% = 9% CGST + 9% SGST. **Step 3 — Tax:** CGST = ₹1,00,000 × 9% = **₹9,000**; SGST = **₹9,000**. **Step 4 — Who pays:** Supplier (forward charge) collects ₹18,000 from buyer, remits to Govt. **Answer:** CGST ₹9,000 + SGST ₹9,000 = **₹18,000**.

Self-check: 9,000 + 9,000 = 18,000 = 18% of 1,00,000. ✓

B2 (Easy–Moderate) — Inter-State vs intra-State

Same ₹1,00,000 @18%, but A (Telangana) supplies to a buyer in Maharashtra.

Step 1 — Nature: Inter-State ⇒ **IGST under Sec 5(1) IGST Act**. **Step 2 — Rate:** IGST = CGST + SGST rate = 18% (single levy). **Step 3 — Tax:** IGST = ₹1,00,000 × 18% = **₹18,000**. **Answer:** IGST **₹18,000** (no CGST/SGST). Total tax burden is identical to B1; only the head differs.

Self-check: IGST 18,000 = CGST 9,000 + SGST 9,000 of B1. ✓

B3 (Moderate) — Goods Transport Agency under RCM [Sec 9(3)]

XYZ Ltd (registered, Telangana) pays freight of **₹50,000** to a GTA for intra-State transport. GTA has **not** opted for forward charge; applicable rate **5%**. Who pays and how much?

Step 1 — Trigger: GTA service to a body corporate is a **Sec 9(3)** notified service (Notif. 13/2017). Where GTA has not opted for 12% forward charge, **recipient pays under RCM @5%**. **Step 2 — Liability:** XYZ Ltd (recipient) is liable, not the GTA. **Step 3 — Compute:** Intra-State ⇒ CGST 2.5% + SGST 2.5%. CGST = ₹50,000 × 2.5% = **₹1,250**; SGST = **₹1,250**. **Step 4 — Payment mode:** Discharge **in cash** (Sec 49(4) bars ITC for RCM). ITC of ₹2,500 available thereafter (subject to Sec 16). **Answer:** RCM tax = **₹2,500** (₹1,250 + ₹1,250), paid in cash by XYZ Ltd.

Self-check: 1,250 + 1,250 = 2,500 = 5% of 50,000. ✓

B4 (Moderate) — Mixed transactions, net RCM cash outflow

Bright Co. (registered, Karnataka) has in a month: - (a) Legal fees to an advocate: **₹80,000** (intra-State, 18%) - (b) Sponsorship of an event received from a firm: **₹1,00,000** (intra-State, 18%) - (c) Rent paid to an unregistered individual landlord for office building: **₹40,000** - (d) Purchase of stationery from unregistered small trader: **₹10,000**

Determine RCM liability.

Step 1 — Test each against notified lists (Sec 9(3)/9(4)): - (a) Legal services by an advocate to a business entity ⇒ **Sec 9(3) RCM**. Taxable. - (b) Sponsorship service to a body corporate/partnership firm ⇒ **Sec 9(3) RCM**. Taxable. - (c) Renting of *commercial* immovable property by an **unregistered** person to a **registered** recipient ⇒ notified under **RCM** (Notif. 13/2017 as amended, entry inserted w.e.f. 10-10-2024). Taxable.

(Amendment-sensitive — verify entry for your attempt.) - (d) Ordinary purchase of goods from an unregistered trader ⇒ Sec 9(4) applies **only to notified recipients** (not general). **Not taxable** under RCM here.

Step 2 — Compute (all intra-State, 18% = 9%+9%):

Item	Value	CGST 9%	SGST 9%	RCM tax
(a) Legal	80,000	7,200	7,200	14,400
(b) Sponsorship	1,00,000	9,000	9,000	18,000
(c) Comm. rent	40,000	3,600	3,600	7,200
(d) Stationery	10,000	—	—	0
Total		**19,800**	**19,800**	**39,600**

Step 3 — Cash payment: RCM total **₹39,600 payable in cash** (Sec 49(4)); ITC of ₹39,600 then available (Sec 16) if used for business. **Answer:** RCM liability = **₹39,600** (CGST ₹19,800 + SGST ₹19,800).

Self-check: 14,400 + 18,000 + 7,200 = 39,600; and 19,800 + 19,800 = 39,600. ✓

B5 (Exam-hard) — Composition eligibility, tax, and consequence of crossing threshold

Sunrise Traders (Telangana), a goods trader, had aggregate turnover of **₹1.20 crore** last FY and validly opted for composition. In the **current FY**, quarter-wise turnover of taxable goods is: Q1 ₹35 lakh, Q2 ₹40 lakh, Q3 ₹45 lakh, Q4 ₹40 lakh. Composition rate for a **trader = 1%** (0.5% CGST + 0.5% SGST) on turnover in State. Determine (i) composition tax each quarter, (ii) the point at which he must exit composition, and (iii) treatment thereafter.

Step 1 — Eligibility (Sec 10(1)): Threshold for goods trader = **₹1.5 crore** aggregate turnover (₹75 lakh for special-category States). Prior year ₹1.20 cr < ₹1.5 cr ⇒ eligible to opt. ✓ **Step 2 — Rate (Sec 10(1) r/w Rule 7):** Trader = **1% of turnover of taxable supplies in the State**. **Step 3 — Quarterly tax (paid by dealer, not collected):**

Qtr	Turnover	Tax @1%	Cumulative TO
Q1	35,00,000	35,000	35,00,000
Q2	40,00,000	40,000	75,00,000
Q3	45,00,000	45,000	1,20,00,000
Q4	40,00,000	see below	1,60,00,000

Step 4 — Crossing the limit: Composition option **lapses the moment aggregate turnover exceeds ₹1.5 crore** (Sec 10(3)). Cumulative reaches ₹1.5 cr during Q4 (at ₹1.20 cr + ₹30 lakh). From that point he becomes a **regular taxpayer**: must issue **tax invoices**, charge GST at normal rates (say 18% = 9%+9%), and can claim ITC prospectively. **Step 5 — Q4 tax:** ₹30 lakh of Q4 at composition 1% = **₹30,000**; balance ₹10 lakh as **regular @18% = ₹1,80,000** (CGST ₹90,000 + SGST ₹90,000), with ITC now allowed. **Answer:** Composition tax = Q1 ₹35,000 + Q2 ₹40,000 + Q3 ₹45,000 + part-Q4 ₹30,000 = **₹1,50,000**; thereafter regular tax on ₹10 lakh = **₹1,80,000**. He exits composition on breaching ₹1.5 cr in Q4.

Self-check: Composition portion 1% × ₹1.5 cr = ₹1,50,000. ✓ Regular portion 18% × ₹10 lakh = ₹1,80,000. ✓

> **Rate/threshold flag:** ₹1.5 cr / ₹75 lakh and the 1%/2.5%/6% composition rates are notification-driven — confirm the figures notified for your exam year.

SECTION C — Past-Paper-Style Full Questions

C1. (Levy + why alcohol/petroleum excluded)

"Explain the charging provision of the CGST Act. Why are alcoholic liquor and five petroleum products treated differently?" (5 marks)

Model answer. Under **Sec 9(1), CGST Act, 2017**, CGST is levied on all **intra-State supplies** of goods or services (except alcoholic liquor for human consumption) on the **value under Sec 15**, at rates notified (not exceeding 20%), collected in the prescribed manner and paid by the taxable person. The **inter-State** counterpart is **Sec 5, IGST Act**. Two carve-outs: 1. **Alcoholic liquor for human consumption** is *constitutionally* outside GST — the States retained exclusive power to tax it (Entry 54, State List) as a revenue-protection measure; it remains under State VAT/excise. It is a **permanent** exclusion. 2. **Five petroleum products** (crude, HSD, motor spirit, natural gas, ATF) are *within* GST's constitutional ambit but the levy is **deferred** under **Sec 9(2)** until the GST Council recommends a date. Until then, Central Excise + State VAT continue. This is a **temporary** (revenue-cushion) suspension, not a permanent exclusion. The distinction matters because supplies of these items are **non-taxable/exempt for ITC purposes**, affecting apportionment under Sec 17.

C2. (RCM identification — application)

"*For the following, state who is liable to pay GST and under which provision: (i) A firm of advocates provides legal advice to ABC Ltd; (ii) Import of consultancy service from a US firm by an Indian company; (iii) Ola collects fare for a cab ride; (iv) A registered manufacturer buys raw material from a registered supplier.*" (4 marks)

Model answer. | # | Transaction | Liable person | Provision | |---|-------------|---------------|-----------| | i | Legal service by advocate to business entity | **Recipient (ABC Ltd)** — RCM | Sec 9(3) CGST, Notif. 13/2017 | | ii | Import of service | **Recipient (Indian co.)** — RCM | Sec 5(3) IGST (import of service is inter-State) | | iii | Radio-taxi passenger transport via ECO | **ECO (Ola)** deemed supplier | Sec 9(5) CGST | | iv | Registered-to-registered normal supply | **Supplier** — forward charge | Sec 9(1) CGST |

Note (i) and (ii): tax discharged in **cash**; ITC available thereafter. (iii): ECO pays; the driver does not.

C3. (Composition — full treatment)

"*State the persons NOT eligible for composition levy under Sec 10, and the conditions/restrictions a composition dealer must follow.*" (5 marks)

Model answer. Ineligible persons (Sec 10(2)): (a) supplier of services other than restaurant service — *except* the marginal service allowance [up to 10% of turnover or ₹5 lakh, whichever higher]; (b) supplier of **non-taxable goods** (e.g., alcohol); (c) person making **inter-State outward supplies**; (d) person supplying **through an e-commerce operator** required to collect TCS; (e) manufacturer of notified goods (e.g., ice cream, pan masala, tobacco, aerated water); (f) casual taxable person / non-resident taxable person. **Conditions/restrictions (Sec 10(3)–(5)):** - Cannot **collect tax** from customers; cannot **claim ITC**. - Must issue **Bill of Supply** with words "composition taxable person, not eligible to collect tax". - Must display "composition taxable person" on notices/signboard. - Pays tax at: **1%** (trader/manufacturer, split 0.5+0.5), **5%** (restaurant, 2.5+2.5), **6%** (service provider under Sec 10(2A), 3+3) of turnover. - Option **lapses** when aggregate turnover exceeds ₹1.5 cr (₹75 lakh special-category); tax then payable under normal provisions.

SECTION D — MCQs / Case Scenarios

D1. GST under Sec 9(1) CGST is **NOT** leviable on: (a) tobacco (b) natural gas — permanently (c) **alcoholic liquor for human consumption** (d) diesel — permanently **Ans: (c).** Alcohol is permanently outside GST; petroleum products (b, d) are only *deferred*, tobacco (a) is taxable.

D2. Tax paid under reverse charge: (a) can be paid using ITC (b) **must be paid in cash; ITC available afterwards** (c) is never creditable (d) is optional **Ans: (b).** Sec 49(4) bars ITC for RCM discharge; credit is available post-payment under Sec 16.

D3. For restaurant service supplied through Zomato, GST is payable by: (a) the restaurant (b) the customer under RCM (c) **the e-commerce operator (Zomato)** (d) nobody **Ans: (c).** Notified under **Sec 9(5)** — ECO is deemed supplier.

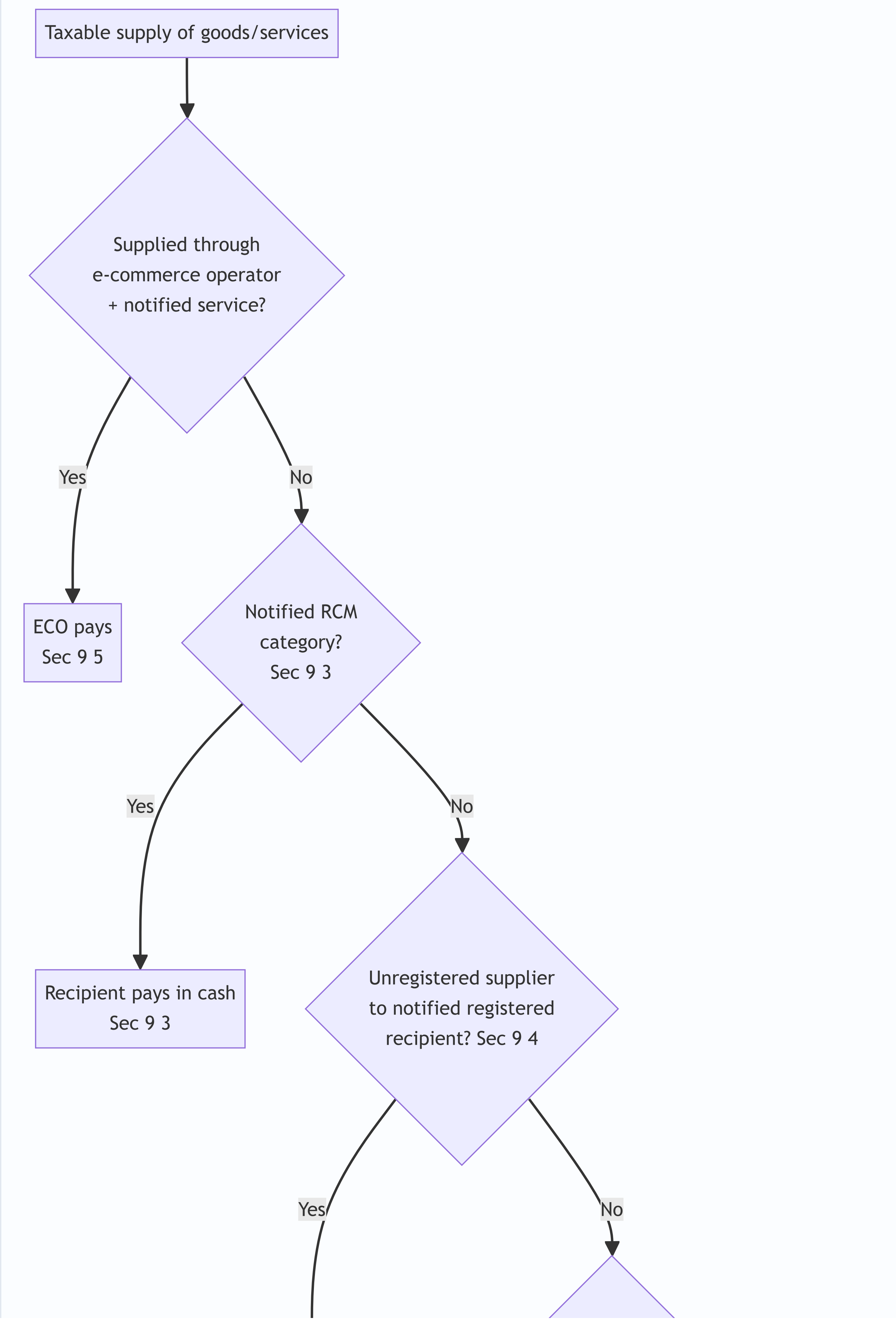
D4. A composition dealer (trader) with turnover ₹80 lakh pays composition tax of: (a) 5% (b) 6% (c) **1% (0.5% CGST + 0.5% SGST)** (d) 18% **Ans: (c).** Traders/manufacturers pay 1%; restaurants 5%; other service providers 6%.

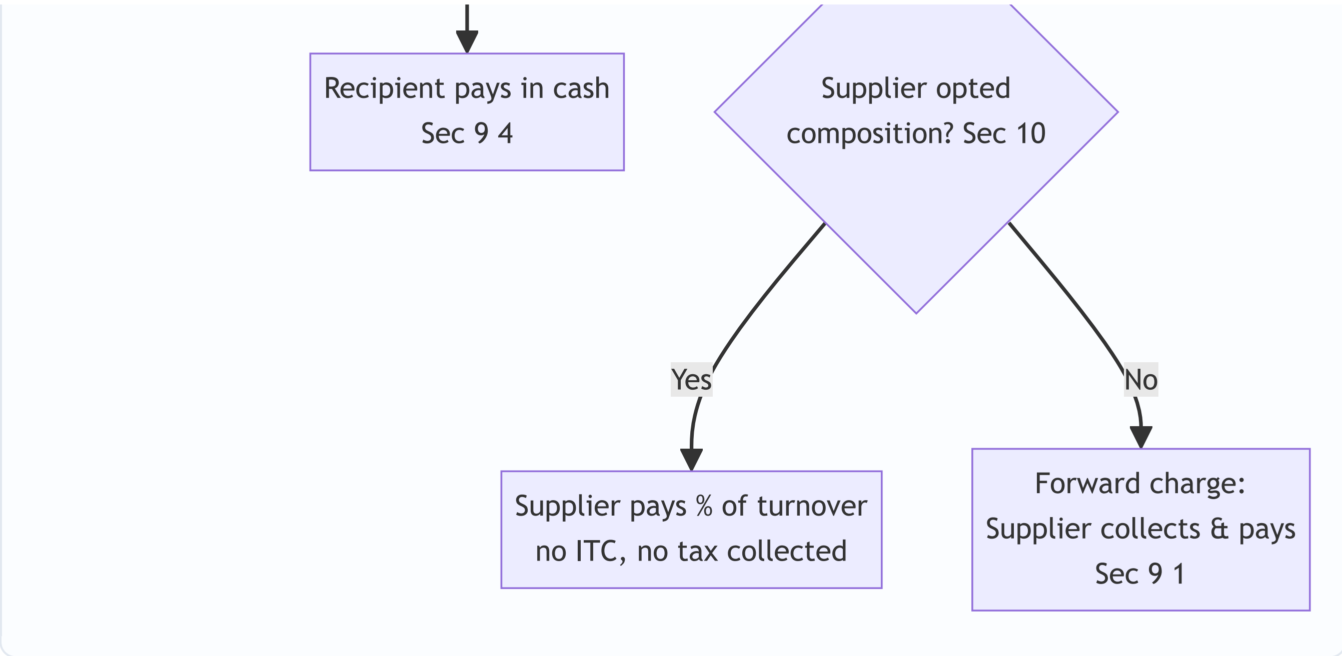
D5. (Case) Mr. P, registered in Kerala, pays ₹1,00,000 sponsorship to a partnership firm and ₹60,000 legal fees to an advocate, both intra-State @18%. His RCM cash liability is: (a) ₹18,000 (b) ₹10,800 (c) **₹28,800** (d) ₹0 **Ans: (c).** Both are Sec 9(3) services. (1,00,000+60,000)×18% = ₹28,800 (CGST ₹14,400 + SGST ₹14,400), paid in cash.

D6. (Case) ABC Ltd opted for composition but made an inter-State outward supply worth ₹2 lakh. Consequence: (a) allowed, pay 1% (b) **ineligible — inter-State outward supply violates Sec 10(2)(c); becomes regular taxpayer** (c) pay IGST at 1% (d) exempt **Ans: (b).** Composition prohibits inter-State outward supplies.

D7. RCM under **Sec 9(4)** currently applies: (a) to all purchases from unregistered dealers (b) **only to notified classes of registered recipients (e.g., promoters in real estate)** (c) never (d) only to imports **Ans: (b).** The blanket 9(4) was suspended; it now applies only to notified recipients.

Decision Flow — Who Pays the GST?


Taxable supply of goods/services
Supplied through e-commerce operator + notified service?
Yes
No
ECO pays Sec 9 5
Notified RCM category? Sec 9 3
Yes
No
Recipient pays in cash Sec 9 3
Unregistered supplier to notified registered recipient? Sec 9 4
Yes
No



Exam Trap Checklist

1. **RCM ≠ ITC to pay** — always cash (Sec 49(4)); credit only *after*.
2. **9(3) vs 9(4)** — category-based vs unregistered-supplier-to-notified-recipient.
3. **Petroleum/natural gas = deferred**, not exempt; **alcohol = permanently outside**.
4. **Composition dealer** — bill of supply, no tax collection, no ITC; **no inter-State outward** supply.
5. **Sec 9(5) ECO** — operator pays *as if* supplier; the underlying driver/restaurant does not.
6. Threshold/rate figures are **notification-driven** — verify for the exam year.

Chapter 16 — Exemptions from GST

> *Verify current rates, thresholds, notification numbers and the latest amendments in the ICAI Study Material and RTP/MTP for your specific attempt. GST exemption entries are amended almost every Council meeting; this chapter teaches the logic and structure so you can slot in whatever the current entry says.*

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1. The Problem — A Tax That Taxes Everything Taxes the Poor Hardest

GST is, by design, a tax on **consumption**. Whoever finally consumes a good or service bears the tax. That is elegant and neutral — until you remember *what* people consume.

A billionaire and a daily-wage labourer both consume rice, both fall sick and need a doctor, both send children to school, both take a bus. If GST sat on every one of those transactions at, say, 18%, the labourer — who spends nearly 100% of income on such essentials — would hand over a far larger *share* of income in tax than the billionaire, who spends only a sliver of income on food and saves the rest. A flat consumption tax is inherently **regressive**: it bites hardest at the bottom.

Put a number on it. A household earning ₹10,000/month that spends every rupee on food, medicine and bus fares taxed at 18% would surrender ₹1,800 — **18% of income** — as tax. A household earning ₹10,00,000/month that spends only ₹2,00,000 on the same essentials and saves the rest pays ₹36,000 — just **3.6% of income**. Same rate, radically different burden *as a fraction of income*. This "burden falls as income rises" pattern is the technical definition of regressivity, and it is the single fact that forces exemptions to exist. Exempt those essentials and the poor household's effective rate collapses toward zero while the rich household — which spends most of its money on taxed discretionary goods — is barely relieved. Exemption is therefore a **crude but self-targeting redistribution tool**: it channels relief to whoever spends the largest income-share on the exempt item, which is precisely the poor.

Three concrete problems flow from this:

1. **Equity / regressivity.** Taxing bread, medicine, schooling and public transport transfers the tax burden onto exactly the people least able to pay.
2. **Merit goods get under-consumed.** Health and education produce benefits for society beyond the individual buyer (a healthier, better-educated population). Tax them and people buy *less* of them than society wants — the opposite of what good policy intends. Economists call this a *positive externality*: the buyer captures only part of the benefit, so left to the market the good is under-purchased; a tax makes the under-consumption worse, an exemption partially corrects it.
3. **Administrative dead-weight.** Bringing a tiny farmer selling unbranded grain, or a single auto-rickshaw driver, into the full GST net — returns, invoices, ITC chains — costs the government more to administer than it collects, and crushes the small player.

A pure "tax everything" GST would be politically impossible and socially cruel. The tax has to have a **release valve**. That valve is the **exemption**.

> **Exemption vs threshold vs composition — three different release valves, don't confuse them.** GST actually has *three* pressure valves and the exam loves to blur them. **Exemption** removes a *supply* from tax regardless of who makes it (rice is exempt whether sold by a giant or a hawker). The **registration threshold** (Sec 22 — ₹20/10 lakh services, ₹40/20 lakh goods; *verify current*) removes a *small person* from the net regardless of what they sell. **Composition** (Sec 10) keeps a small person *inside* the net but at a flat concessional rate with no ITC. Exemption is supply-based; threshold and composition are person-based. Knowing which valve a question is really about is half the marks.

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2. The Core Idea — Carve Essentials and Merit Goods Out of the Charge

The core idea is disarmingly simple:

> **Levy GST broadly on almost everything, so the base is wide and rates can stay low — but surgically carve out a defined list of essential goods, merit services and small suppliers, on which no tax is charged.**

Two things make this the *right* tool:

- **Wide base, low rate.** Because so few things are exempt, the taxable base stays large, which lets the average rate stay low. A narrow-base/high-rate tax would just push more consumption into the exempt zone and distort behaviour. Exemptions are meant to be the *exception*, deliberately kept short.
- **Targeted relief.** Instead of a blanket low rate on everything, the government exempts *specifically* the things poor households and society most need — food staples, health, education, public transport, agriculture — leaving discretionary and luxury consumption fully taxed.

But — and this is the subtle sting that half the exam questions live on — **an exemption is not an unambiguous "gift."** When output is exempt, the supplier **cannot claim input tax credit (ITC)** on the GST it paid on its own purchases. That blocked ITC becomes a hidden cost baked into the price. So exemption *helps* a supplier at the very end of the chain (final consumer of an exempt service) but can *hurt* a supplier in the middle. Understanding *when exemption helps and when it hurts* is the conceptual heart of this chapter.

Exemption is not the only way to get "no tax" — and the alternatives behave differently. Keep these four legal devices distinct in your head, because they are drafted by different sections and carry different ITC consequences:

Device	Mechanism	ITC on inputs	Typical use
Exclusion (Schedule III)	The activity is deemed *neither goods nor services* — it is outside "supply" itself	No ITC (not a supply)	Salary to employee, sale of land/building, court fees, funeral services
Non-levy (out of Sec 9 charge)	GST simply not leviable on the item	Blocked	Alcohol, current petro products
Exemption (Sec 11/6)	Leviable, but switched off by notification	Blocked	Health, education, agriculture
Zero-rating (Sec 16 IGST)	Leviable, rated at zero *with credit*	**Preserved / refundable**	Exports, SEZ supplies

The exam trap: a **Schedule III** entry (e.g., sale of land, actionable claims other than lottery/betting/gambling, services by an employee to employer) is *not* an exempt supply at all — it is *not a supply*, so it does **not** even enter the exempt-supply definition and (per a clarification) is **not** included in the "value of exempt supply" for Rule 42 reversal *except* where the law specifically deems it so (e.g., sale of land/building and certain securities are treated as exempt-supply value only for apportionment). Treat "outside supply" and "exempt supply" as different postcodes.

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3. Why It's Built This Way — The Anti-Cascade Logic Turned Inside Out

Recall the one-line thesis of the whole GST system: **GST kills cascading (tax-on-tax) by letting every business claim credit for the tax embedded in its inputs.** Tax flows down the chain and is finally borne only by the consumer.

Exemption deliberately **breaks that chain** — and understanding *why breaking it has consequences* explains every downstream rule.

Picture the credit chain as a relay race passing a baton (ITC) from runner to runner. Each business collects tax on its output, subtracts the tax it paid on inputs, and remits only the difference. The baton keeps moving until the consumer, who has no one to pass it to, absorbs it.

Now **exempt one runner in the middle.** That runner: - charges **no** output tax (good for its customer), **but** - **cannot pass on the baton** — its own input tax has nowhere to go, so it **must absorb that input tax as a cost** and quietly bury it in the price.

The next runner down the chain, if taxable, now pays tax on a price that *already contains* buried, un-credited tax — **cascading sneaks back in.** This is exactly the evil GST was built to destroy, reappearing at the boundary of an exemption.

The counter-intuitive result — "exemption in the middle can raise the total tax." Because the exempt runner buries un-credited input tax in its price, and the *next* runner taxes that inflated price, the government can actually collect *more* total tax on a chain with a mid-stream exemption than on a fully taxable chain. A mid-chain exemption is thus sometimes worse for the final consumer than no exemption at all. This is why the theory of exemptions holds that **exemptions are only unambiguously beneficial when granted at the final (consumer-facing) stage.** Exam questions that ask "does exempting the intermediate service help the final consumer?" are testing exactly this: often the honest answer is *no*.

That single fact drives the design choices:

Design choice	Reason rooted in the chain logic
Exemptions are kept **short and mostly at the end of the chain** (final consumer services like health, education, public transport)	If you exempt an *intermediate* supply, blocked ITC cascades into later taxable supplies. Exempting *final* supplies avoids that — there is no next runner.
ITC is blocked on exempt output (Sec 17(2), CGST Act)	You cannot claim credit for tax on inputs used to make a supply on which you collected no tax. Allowing it would be a refund of tax never collected — a subsidy, not credit relief.
Zero-rating (exports/SEZ) is treated *completely differently* from exemption	Exports must leave India *tax-free* to compete globally, so the government must *refund* embedded input tax rather than block it. Same "0% on output" but opposite ITC treatment — see §4.6.
Government retains a **power to grant exemption by notification** (Sec 11 CGST / Sec 6 IGST) rather than writing it into the Act	Essentials change; the Council must be able to add/remove entries fast without amending the statute.

So exemptions are not an afterthought — they are the pressure-release valve, and their design is dictated by the need to *not* reintroduce the cascading the whole system exists to prevent.

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4. Full Technical Content

4.1 The Power to Exempt — Section 11 CGST Act / Section 6 IGST Act

Exemption is not automatic; it flows from a statutory **power delegated to the Government** (on the GST Council's recommendation). Learn the structure, because the exam tests the *type* of exemption.

Section 11(1) — General exemption by notification. The Government may, if satisfied it is in the *public interest*, on the Council's recommendation, by **notification**, exempt goods or services **wholly or partly** from tax, either **absolutely** or **subject to conditions**.

- *Wholly* = 100% exemption (nil). *Partly* = concessional rate.
- *Absolutely* = the exemption is compulsory; the supplier **has no choice** and **must not** charge tax.
- *Conditionally* = exemption available only if stated conditions are met.

Section 11(2) — Special order (ad-hoc) exemption. Under *exceptional circumstances* specified in the order, the Government may exempt any goods/services by **special order** (not a general notification) — used for one-off situations (e.g., relief supplies after a disaster).

Section 11(3) — Explanatory clarification. The Government may insert an explanation in a notification within **one year** of issue to clarify scope, and it takes effect **retrospectively**.

The identical structure appears in **Section 6 of the IGST Act** for inter-State supplies, and Section 8(1) of the UTGST Act. A supply is typically exempted under *both* CGST and IGST notifications so that intra-State and inter-State versions are treated alike.

Two finer points the exam probes:

- **"Public interest" and "on the recommendation of the Council" are both preconditions.** The Government cannot exempt on its own whim; the twin gate is (i) Council recommendation and (ii) satisfaction that it is in the public interest. A question that says "the Central Government unilaterally exempted X without the Council" is flagging an invalid exemption.

- **A notification generally takes effect from the date stated in it** (prospective unless the notification itself provides otherwise); only the **11(3) explanation** is expressly retrospective within the one-year window. Do not assume every exemption is backdated.
- **Effective date of a notification (Sec 11(4)-type mechanics):** unless a later date is specified, a rate/exemption notification comes into force on the date of its issue/publication. Watch for questions dating a supply *just before* an exemption's commencement — it stays taxable.

> **Memory hook — "11 = eleven-th-hour relief."** Section **11** is where the Government pulls goods/services *out* of the charge. Sub-sections: **(1) notification** (the normal route), **(2) special order** (emergency), **(3) explanation** (retrospective clarity, 1-year window).

4.2 Definition of "Exempt Supply" — Section 2(47) CGST Act

This definition is load-bearing; almost every ITC and registration question turns on it.

> **"Exempt supply"** means supply of any goods or services or both which **(a)** attracts a **nil rate** of tax, **or (b)** is **wholly exempt** from tax under Section 11 (CGST) or Section 6 (IGST), **and includes non-taxable supply.**

Unpack the three buckets folded into this one definition:

1. **Nil-rated** — the tariff schedule fixes the rate itself at 0% (nil).
2. **Wholly exempt** — a positive rate exists in the schedule, but a Sec 11/6 notification switches it off.
3. **Non-taxable supply — Sec 2(78):** a supply on which GST is **not leviable at all** under the Act (e.g., **alcoholic liquor for human consumption**; and the *currently* out-of-GST petroleum items — petrol, diesel, ATF, natural gas, crude — which remain under VAT/excise). These are outside GST's charging section entirely.

Why lump all three together? Because for the two consequences that matter most — **(i) blocked ITC** and **(ii) counting toward aggregate turnover for registration** — the law treats them identically. Whether output is nil-rated, notified-exempt, or non-taxable, the supplier gets **no ITC** on related inputs, and the value **still counts in aggregate turnover** (Sec 2(6)). Grouping them under one definition saves the Act from writing the same consequence three times.

A subtle drafting point — "wholly" is doing real work. Sec 2(47)(b) says *wholly* exempt. A **partly** exempt supply (concessional-rate) is deliberately **not** an exempt supply — it is a *taxable supply at a lower rate*, so ITC is **fully available** on it. This one word is why §4.4's "partly exempt = ITC allowed" rule holds. Students who read "exempt" loosely reverse ITC they were entitled to keep.

And "supply" is a precondition. If a transaction is not a "supply" at all (Schedule III — e.g., employee services, sale of land), it never reaches Sec 2(47). It is therefore *not* an exempt supply, though — as noted in §2 — the *value* of certain Schedule-III/exempt-adjacent items (sale of land, sale of building after completion, certain securities) is separately deemed to be exempt-supply value **only for Rule 42/43 apportionment** by an explanation to those rules. Keep "is it a supply?" and "is it exempt?" as two sequential gates.

4.3 The Exemption Notification Structure — Goods vs Services

Exemptions live in **notifications**, not in the Act's body. Know the two flagship pairs (numbers as originally issued — always confirm current amended text for your attempt):

Subject	Rate notification (positive/nil rates)	Exemption notification (wholly exempt)
Goods	Notification No. **1/2017-CT(Rate)** — the rate schedules (0%, 5%, 12%, 18%, 28%)	Notification No. **2/2017-CT(Rate)** — list of exempt goods
Services	Notification No. **11/2017-CT(Rate)** — service rates	Notification No. **12/2017-CT(Rate)** — list of exempt services

Parallel IGST versions exist (e.g., 9/2017-IT(Rate) for exempt services). **Notification 12/2017-CT(Rate)** is the single most exam-relevant document in this chapter — it is a numbered list of service **entries**, each with: - a **description** of the exempt service, - often a **condition** (making it a conditional exemption), and - sometimes an **explanation / definition** of terms used.

The exam pattern: give you a service, ask whether a *specific entry* covers it, and whether *conditions* are met.

How to actually read an entry (the four-part test). Every 12/2017 entry can be dissected into: **(1) the supplier** — does the exemption require a specific kind of provider (e.g., "by a clinical establishment", "by an educational institution", "by an individual advocate")? **(2) the recipient** — is it restricted by who receives it (e.g., "to an educational institution", "to a business entity with turnover up to ₹X")? **(3) the service description** — does the activity fit the exact words? **(4) the condition/limit** — is any threshold, tariff cap, or registration requirement satisfied? A supply is exempt only if **all four** align. Examiners break exactly one of these four to make an otherwise-exempt-looking supply taxable — train yourself to check all four in order.

4.4 Absolute vs Conditional Exemption — and the Consequence

This distinction is a favourite trap.

- **Absolute exemption**: no conditions. The supplier **cannot opt to pay tax**; charging tax on an absolutely-exempt supply is *wrong* and the recipient cannot claim ITC on it. Example: services by way of **transmission or distribution of electricity by an electricity utility**; RBI services; services to the public by way of **public conveniences** (toilets).
- **Conditional exemption**: available only if the stated condition is satisfied. Miss the condition → the supply is **taxable**. Examples: **hotel accommodation** exemption applies only up to a specified declared tariff per unit per day; **transport of goods by GTA** exemption depends on the type of goods/consignment value; **charitable activities** exemption applies only to entities registered under **Section 12AA/12AB of the Income-tax Act** *and* only for the defined "charitable activities."

Contrast with the concept of "waiver." Under Sec 11, an *absolute* exemption is **mandatory** — this echoes the old settled principle (*CCE v. Indian Petro Chemicals*) that where an exemption is unconditional, the assessee has no liberty to forgo it. Conditional exemptions, by contrast, apply only when you *qualify*.

Why the law forces absolute exemptions to be mandatory. If suppliers could *choose* to pay tax on an absolutely-exempt supply, they would charge tax whenever it let them unlock ITC — turning the exemption into a back-door credit refund and distorting prices. Making it mandatory slams that door: no tax, no ITC, no games. A conditional exemption doesn't need this rule because failing the condition already re-opens the taxable route legitimately.

Where conditional exemption meets ITC timing. If you are unsure at the time of supply whether a condition will be met (e.g., a threshold measured over the year), you may end up having treated a supply as exempt that later turns taxable, or vice-versa — triggering credit re-computation. The safe exam approach: test the condition on the **facts as given for that transaction/period** and do not assume future events.

> **Memory hook — "Absolute = No choice, no ITC, don't you dare charge tax."** If you *see* tax charged on an absolutely-exempt supply, the ITC on it is *ineligible* — a classic wrong-answer bait in ITC sums.

4.5 Key Exempt Supplies — Organised by the WHY

Do not memorise the list as random trivia. Each cluster maps onto one of the three problems from §1: **equity (essentials), merit goods, or small-supplier relief.** Group them and the list almost writes itself.

(a) Health care — *merit good + equity*

- Services by a **clinical establishment, an authorised medical practitioner, or para-medics** by way of **health care services** (diagnosis, treatment or care for illness, injury, deformity, abnormality or pregnancy) — **exempt**.
- Services by way of **transportation of a patient in an ambulance** — exempt.
- Services by way of **giving on rent to a clinical establishment**, and **services by a veterinary clinic** in relation to health care of animals/birds — exempt (verify exact wording).
- **Not exempt (taxable):** purely **cosmetic/plastic surgery** (unless to restore anatomy/functions affected by trauma/congenital defect); hair transplant; **room rent above the notified threshold** in a hospital (a specified daily room charge above the limit — commonly cited as above ₹5,000 per day per patient excluding ICU/CCU/ICCU/NICU, taxed at the notified rate; verify current status/rate). Renting of premises to a doctor by the hospital may be taxable.
- **Composite supply nuance:** a hospital's **package** (room + medicine + doctor + food) supplied to an in-patient is treated as a *composite supply of health care services*, the principal supply, and rides on the exemption — food supplied to *in-patients* as advised by the doctor is part of exempt health care, but food to attendants/visitors from the canteen is taxable.

(b) Education — *merit good + equity*

- Services provided by an **educational institution to its students, faculty and staff** — exempt. An "educational institution" = pre-school up to higher secondary; institution providing education as part of a curriculum for a **recognised qualification**; approved vocational education courses.
- Services **to** an educational institution (up to higher secondary) by way of **transportation of students/faculty, catering (incl. mid-day meals), security, cleaning, house-keeping, and admission/examination services** — exempt (note the *up to higher secondary* limitation for most input services).
- Services provided **by** an educational institution by way of conduct of **entrance examination** against a fee — exempt.
- **Not exempt:** coaching/tuition by private coaching centres (no recognised qualification); services *to* higher-education institutions other than admission/exam services; **placement/campus-recruitment** services; sale of **uniforms, books, stationery** by third parties.

(c) Agriculture — *essentials* + *small-supplier relief*

- Services relating to **cultivation of plants and rearing of animals** (agriculture) — including **cultivation, harvesting, threshing, plant protection, supply of farm labour, warehousing of agricultural produce, loading/unloading, packing, renting of agro-machinery, and services by a commission agent for sale/purchase of agricultural produce** — exempt.
- Many **unprocessed agricultural food items** are exempt *goods* (fresh fruit and vegetables, unbranded food grains, milk, etc. under Notification 2/2017).
- **Sharp line — "agricultural produce" is defined narrowly.** It means produce out of cultivation of plants / rearing of animals on which **no further processing is done, or only such processing as a cultivator/producer does which does not alter its essential characteristics but makes it marketable for the primary market.** So **loading, warehousing of *processed* produce** (e.g., tea, coffee, jaggery, pulses that are milled/polished, sugar) is **taxable** — the processing pushed it past the "primary market" line. This "primary produce vs processed" cut is a repeat exam question.
- **Why:** taxing the farmer at the base of the food chain would cascade into every food price and hammer the poor — plus millions of tiny farmers are impossible to bring into the ITC net.

(d) Transport & essential public services — *equity*

- **Public transport of passengers:** transport by **non-air-conditioned stage/contract carriage**, **metro/monorail**, **public transport in a vessel**, and **metered auto/e-rickshaw/non-AC radio taxi** (verify current entries) — exempt, because the poor depend on it. **Contrast:** AC contract carriage, radio taxi, and app-based cab aggregators are **taxable** (comfort/discretionary).
- **Transport of goods:** by **road (except GTA and courier)** and by **inland waterways** — exempt. Transport of *specified goods* (e.g., agricultural produce, milk, salt, food grains, organic manure, newspapers/magazines, relief materials, defence equipment) by a **GTA or by rail** — exempt.
- **GTA also has a value-based exemption** for a single carriage/consignment below notified limits (e.g., where consideration for a single consignee's goods in a carriage is up to ₹750, or all goods in a single carriage up to ₹1,500 — *verify current figures*).
- **Electricity** transmission/distribution by a utility — exempt (absolute).
- **Toll charges** for access to a road or bridge — exempt.

(e) Others frequently tested

- **Charitable activities** by an entity registered u/s 12AA/12AB of the Income-tax Act (defined narrowly: public health care for the terminally ill/HIV/addiction, advancement of religion/spirituality/yoga, education/skill to abandoned/orphaned/homeless children, prisoners, persons over 65 in rural areas). *Note:* only "charitable activities" as **defined** are exempt — a charitable trust running an unrelated commercial activity (renting a hall, selling goods) is **taxable** on that.
- **Religious/ specified services** — conduct of religious ceremonies; renting of religious precincts owned by a registered charitable/religious trust, *below notified rent thresholds* (commonly cited: rooms up to ₹1,000/day, halls/community open space up to ₹10,000/day, shops up to ₹10,000/month — *verify current limits*).

- **Financial:** services by way of **extending deposits/loans where consideration is interest or discount** (interest itself is exempt) — but processing fees are taxable. Also exempt: **inter-se sale/purchase of foreign currency among banks**, and various services rendered *between* banks/financial institutions (verify).
- **Government services**, most services **by** Government to business below a threshold, and various **RBI / SEBI / IRDA** functions. Pure services (excluding works contract/goods) provided **to** Government/local authority in relation to functions under Articles 243G/243W — exempt.
- **Legal services** by an individual advocate/firm of advocates to a business up to a turnover threshold, and to non-business persons — exempt (business recipients above threshold pay under **reverse charge**, which is a *separate* mechanism, not exemption).
- **Renting of residential dwelling for use as residence** — exempt when let to an **unregistered person**; where the recipient is a **registered person**, the position is under **reverse charge** (recipient pays), and where a registered person takes it in a *personal* capacity for own residence a carve-back applies — *verify current wording*.
- **Services by way of admission to** specified events (recognised sporting events, and cultural/religious/circus/theatre etc. where the admission charge is below a notified per-person limit) — exempt.

4.6 The Big Four — Nil-Rated vs Exempt vs Non-Taxable vs Zero-Rated

This is the conceptual crown jewel of the chapter and the highest-yield exam topic. Three of these terms *look* alike (all mean "0% on output") but their **ITC treatment differs**, and that difference is the whole point.

The single question that separates them: **"Was output tax actually leviable, and is the input tax credit preserved or lost?"**

Concept	Governing idea	Output tax charged	Is it "leviable" under the Act?	ITC on inputs	In aggregate turnover?
Nil-rated	Schedule fixes rate at 0%	None (0%)	Yes — leviable, rate happens to be nil	**Blocked**	Yes
Exempt (Sec 11/6)	Positive rate switched off by notification	None	Yes — leviable, then exempted	**Blocked**	Yes
Non-taxable (Sec 2(78))	Outside the charging section altogether (e.g., alcohol, current petro items)	None	**No** — GST not leviable at all	**Blocked**	Yes (it is an exempt supply per 2(47))
Zero-rated (Sec 16 IGST)	Export / supply to SEZ — must leave India tax-free	None (net)	Yes — but rated at zero *with credit preserved*	**ALLOWED / refundable**	Yes

The crucial contrast — and WHY it matters:

- Nil-rated, exempt and non-taxable all share the **same painful consequence: ITC is blocked** (Sec 17(2): where goods/services are used partly for exempt supplies, credit is restricted to the taxable portion). The embedded input tax becomes a cost. Grouping them under "exempt supply" [2(47)] is precisely so this single ITC-blocking rule catches all three.

- **Zero-rated is the deliberate opposite.** Sec 16 of the IGST Act says exports and supplies to SEZ units/developers are "zero-rated," and Sec 16(2)/17(2) *expressly preserve the ITC* even though the output bears no tax. The exporter can either (i) export under a **LUT/bond without paying IGST and claim refund of unutilised ITC**, or (ii) **pay IGST and claim refund of the tax paid.**

Why the difference? Policy intent is night-and-day. - *Exemption* says: "This is an essential; don't burden the domestic consumer — and we accept a little cascading as the price." Blocking ITC is acceptable because the supply stays within India and the relief is at the consumer end. - *Zero-rating* says: "**Do not export our taxes.**" A core principle of international trade is that goods should be taxed in the country of *consumption*, not production (the "destination principle"). If India exported goods carrying embedded Indian GST, our exports would be uncompetitive abroad. So the law must **strip out every rupee of embedded tax** — which means *refunding* input tax, not blocking it. Merely exempting exports would leave embedded input tax in the price; zero-rating with refund makes them truly tax-free.

One more twist — an exempt/nil supply that is *exported* becomes zero-rated. Sec 16(1) IGST applies to exports **irrespective of whether the goods/services are otherwise exempt**. A recent amendment further clarified that **for exempt/nil-rated exported goods, refund is available only via the "with-payment" route in limited cases or the LUT-refund route** — the practical upshot is that even exempt goods, when exported, can carry ITC refund because zero-rating overrides the domestic exemption's ITC block. This "export of an exempt good" is a favourite RTP twist: the domestic sale blocks ITC, the export unlocks it.

> **Memory hook — "Exempt = tax dies AND credit dies. Zero-rated = tax dies BUT credit lives."** Or: *Exempt is a dead-end for ITC; zero-rated is a green corridor for ITC.* Nil-rated and non-taxable are just two other flavours of "credit dies."

A second-order trap: if a registered person makes an exempt supply, they **cannot issue a tax invoice** — they issue a **bill of supply** (Sec 31(3)(c)). And they cannot collect any amount "as tax" on it (Sec 32).

4.7 Exemption and Registration — the Turnover Interplay

Because exempt supplies **count in aggregate turnover** (Sec 2(6) — the all-India, same-PAN sum of taxable + exempt + exports + inter-State supplies, excluding GST and inward RCM), exemption and registration interlock in ways the exam repeatedly tests:

- **Only exempt supplies → not liable to register (Sec 23(1)(a)).** A person *exclusively* engaged in supplying wholly-exempt/nil/non-taxable goods or services is **not required to register**, however large the turnover. A farmer selling only exempt produce, or a person supplying only exempt health care, stays out.
- **But mixed supplies → all turnover counts.** The instant a person makes *one* taxable supply and crosses the threshold, **aggregate turnover includes the exempt supplies too** for deciding registration liability. So exempt turnover can *push a person over* the threshold even though the exempt part owes no tax.
- **Reverse-charge liability overrides Sec 23.** Note Sec 24 mandatory-registration categories: a person otherwise exempt-only but liable to pay tax **under reverse charge** must still register — Sec 23's shelter does not cover them (this interplay was amended; *verify current Sec 23 vs Sec 24 override wording*).

- **Aggregate turnover excludes** the value of inward supplies on which you pay RCM, and excludes CGST/SGST/IGST/cess — but **includes** exempt outward supplies. A very common numerical: compute aggregate turnover for a person with taxable + exempt + export + RCM-inward figures.

4.8 Withdrawal and Amendment of Exemptions

Exemption entries are **dynamic**. The Council adds and deletes entries frequently (health room-rent, hotel tariffs, and job-work entries are perennially amended). Two consequences:

- **Rate/exemption change mid-transaction → apply the "time of supply" rules (Sec 14).** When an exemption is *withdrawn* (supply becomes taxable) or *granted* (becomes exempt) between the date of supply, invoice and payment, Sec 14 fixes which regime applies. Do not guess by invoice date alone.
- **Transition of ITC on withdrawal/grant.** If a previously-exempt supply becomes **taxable**, the supplier can now claim ITC — including, under Sec 18(1), credit on inputs/inputs-in-stock/capital goods (reduced for use) held on the day before it became taxable. Conversely, if a taxable supply becomes **exempt**, Sec 18(4) requires **reversal** of ITC on inputs in stock and capital goods (reduced) relatable to that supply. This is where the exemption chapter feeds directly into ITC Sec 18 — a high-value cross-topic.

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5. Worked Examples

> Each example reconciles every rupee. Rates used are illustrative — confirm current rates for your attempt.

Example 1 — Exempt output blocks ITC (the hidden cost of exemption)

Facts. *Wellness Clinic Pvt Ltd* provides **health care services** (exempt). During a month it incurs: - Medical consumables purchased: ₹10,00,000 + GST @ 12% = ₹1,20,000 - Rent of premises: ₹2,00,000 + GST @ 18% = ₹36,000 - It charges patients ₹25,00,000 for treatment.

Required. GST payable, ITC available, and the economic effect.

Solution.

Item	Amount (₹)
Output — health care (exempt supply)	25,00,000
Output GST (exempt → nil)	**0**
Input GST paid (1,20,000 + 36,000)	1,56,000
ITC available (Sec 17(2): inputs used for exempt supply)	**0 — fully blocked**
Net GST payable to Government	0
Un-creditable input tax absorbed as cost	**1,56,000**

Reconciliation & lesson. The clinic pays *no* GST on output (patients are spared) but *swallows* ₹1,56,000 of input GST it can never recover. That ₹1,56,000 is a real cost — it will be recovered by pricing treatment higher. **Exemption at the consumer end helps the consumer directly but leaves buried input tax.** This is the "exemption is not a pure gift" point in numbers.

Example 2 — Common inputs used for BOTH taxable and exempt supplies (Rule 42 apportionment)

Facts. *EduServe LLP* runs (i) a **recognised higher-secondary school** (exempt output ₹40,00,000) and (ii) a **commercial coaching centre** (taxable output ₹60,00,000, GST @ 18%). Common input services (shared admin, IT, audit) bore input GST of **₹2,00,000** during the month. There is no exclusively-exempt or exclusively-taxable common credit for this part — treat the ₹2,00,000 as **common credit** to be apportioned.

Required. ITC allowable on the common credit and the reversal.

Solution (Rule 42 logic). Common credit is split in the ratio of **exempt turnover to total turnover**; the exempt portion must be reversed.

Step	Amount (₹)
Total turnover (40,00,000 + 60,00,000)	1,00,00,000
Exempt turnover (school)	40,00,000
Exempt ratio = 40,00,000 / 1,00,00,000	0.40 (40%)
Common ITC (C2)	2,00,000
ITC to reverse (D1 = 40% × 2,00,000)	**80,000**
ITC allowed (2,00,000 − 80,000)	**1,20,000**

Now the output side (coaching):

Item	Amount (₹)
Taxable output — coaching	60,00,000
Output GST @ 18%	10,80,000
Less: eligible common ITC	(1,20,000)
Net GST payable (this credit block only)	**9,60,000**

Reconciliation & lesson. Of ₹2,00,000 common input tax, exactly 40% (the exempt share) is *reversed* and becomes cost; 60% is usable. **Making even one exempt supply forces you to reverse the proportionate ITC on common inputs** — Sec 17(2) read with Rule 42. Reconciles: 80,000 reversed + 1,20,000 allowed = 2,00,000.

Example 3 — Zero-rated vs Exempt: the ITC treatment flips

Facts. *TexPort Ltd* has two divisions with identical cost structures. Each buys inputs of ₹50,00,000 + IGST @ 18% = ₹9,00,000. - **Division A** exports garments (turnover ₹80,00,000) — **zero-rated**, under **LUT without payment of tax.** - **Division B** supplies **exempt goods** domestically (turnover ₹80,00,000).

Required. Compare ITC outcome and cash effect.

Solution.

	Division A (Zero-rated export)	Division B (Exempt supply)
Output tax	0 (zero-rated)	0 (exempt)
Input IGST paid	9,00,000	9,00,000
ITC status	**Preserved — Sec 16 IGST**	**Blocked — Sec 17(2)**
Refund of unutilised ITC (under LUT)	**9,00,000 refundable**	**Nil**
Input tax that becomes a cost	**0**	**9,00,000**

Reconciliation & lesson. Same 0% output, opposite result. The exporter recovers **every rupee** of the ₹9,00,000 (refund) → export truly tax-free. The exempt supplier **loses all ₹9,00,000** to cost. This is precisely *why the distinction between "exempt" and "zero-rated" matters* — never conflate them.

Example 4 — Conditional exemption: miss the condition, lose the exemption

Facts. *StayEasy* operates a lodge. Assume the exemption for hotel accommodation applies only where the **value of supply of a unit is ≤ ₹1,000 per day** (illustrative threshold — verify current limit; the ₹1,000/day residential-unit exemption has itself been amended, confirm for your attempt). In a day it lets: - 20 rooms at ₹900/day - 10 rooms at ₹1,500/day GST rate on taxable rooms = 12%.

Required. Value of exempt vs taxable supply and GST payable.

Solution.

Category	Rooms	Rate/day (₹)	Value (₹)	Treatment	GST (₹)
≤ ₹1,000 unit	20	900	18,000	**Exempt** (condition met)	0
> ₹1,000 unit	10	1,500	15,000	**Taxable** (condition failed) @12%	1,800
Total	30	—	33,000	—	**1,800**

Reconciliation & lesson. The *same service* is exempt for the cheap rooms and taxable for the pricier ones — the **condition (price per unit)** decides. Conditional exemptions require you to test the condition line by line. GST payable = ₹1,800; exempt value = ₹18,000.

Example 5 — Aggregate turnover: exempt supplies drag you toward registration

Facts. *Mr. Rao*, a proprietor in Telangana (a "normal" State, threshold for goods ₹40 lakh — *verify current*), during FY has: - Taxable supply of goods (intra-State): ₹28,00,000 - Exempt supply of goods (unbranded pulses): ₹9,00,000 - Supply of **alcoholic liquor for human consumption** (non-taxable supply): ₹6,00,000 - Inward supply on which he pays GST under **reverse charge**: ₹3,00,000

Required. Is Mr. Rao liable to register?

Solution.

Component	Include in aggregate turnover?	Amount (₹)
Taxable goods	Yes	28,00,000
Exempt goods (pulses)	Yes (exempt supply)	9,00,000
Alcoholic liquor (non-taxable)	Yes — 2(47) *includes* non-taxable supply	6,00,000
Inward RCM supplies	**No** — value of inward RCM is excluded	—
Aggregate turnover		**43,00,000**

Conclusion & reconciliation. Aggregate turnover = ₹43,00,000 **> ₹40,00,000** → **Mr. Rao is liable to register.** Note the sting: on the taxable ₹28 lakh alone he'd be *under* the ₹40 lakh limit, but the **exempt pulses and non-taxable liquor push him over** — even though he owes no GST on either. This is the "exempt supplies count in turnover" trap in numbers. (If he made *only* the exempt + non-taxable supplies and no taxable supply, Sec 23 would exempt him from registration entirely — the taxable ₹28 lakh is what activates the whole-turnover test.)

Example 6 — Interest is exempt, but fees are taxable: split the composite bill

Facts. *TrustBank* sanctions a loan to a business customer and, in a month, bills: - Interest on the loan: ₹4,00,000 - Loan **processing fee**: ₹50,000 - **Documentation/inspection charges**: ₹20,000 GST rate on taxable banking services = 18%.

Required. Value of exempt vs taxable supply and GST payable.

Solution.

Item	Nature	Value (₹)	GST @18% (₹)
Interest on loan	**Exempt** (consideration is interest — Notn 12/2017)	4,00,000	0
Processing fee	**Taxable** (a fee, not interest)	50,000	9,000
Documentation/inspection	**Taxable**	20,000	3,600
Total		4,70,000	**12,600**

Reconciliation & lesson. Only the **interest/discount** component rides the exemption; every **fee/charge** is taxable. GST payable = ₹12,600 on ₹70,000 of taxable fees. Examiners lump everything into one "loan servicing" figure hoping you'll exempt the whole thing — always *carve out the interest* and tax the rest. (Same logic: on a credit-card outstanding, the *interest* is exempt but **not** where a separate charge/EMI-conversion fee is levied — verify current EMI/credit-card carve-outs.)

Example 7 — Absolute exemption wrongly charged: the recipient's ITC is dead

Facts. *PowerGrid Utility* (an electricity transmission utility) supplies **transmission of electricity** (an **absolute** exemption) to *FactoryCo*, and — mistakenly — raises an invoice charging GST of ₹90,000 on a ₹5,00,000 charge. FactoryCo makes fully taxable outputs and wants to claim that ₹90,000 as ITC. In the same period FactoryCo has legitimate ITC of ₹2,00,000 and output tax of ₹3,50,000.

Required. Can FactoryCo claim the ₹90,000? Compute net tax.

Solution.

Item	Amount (₹)	Treatment
Output tax (FactoryCo)	3,50,000	Payable
Legitimate ITC	2,00,000	Allowed
ITC on PowerGrid's ₹90,000	90,000	**Ineligible** — tax wrongly charged on an absolutely-exempt supply is not a valid tax; no ITC (Sec 16 requires tax to be *actually payable*/leviable)
Net tax payable		**3,50,000 − 2,00,000 = 1,50,000**

Reconciliation & lesson. Because transmission of electricity is **absolutely exempt**, the supplier **must not** charge GST; the ₹90,000 is not legally "tax." FactoryCo **cannot** claim it as ITC and must pay ₹1,50,000 from the eligible credit only. FactoryCo's remedy is to recover the ₹90,000 *from PowerGrid* (who should not have collected it), not to offset it. **Absolute exemption = no choice to tax, and any tax charged is a dead credit for the recipient** — the exact bait flagged in §4.4.

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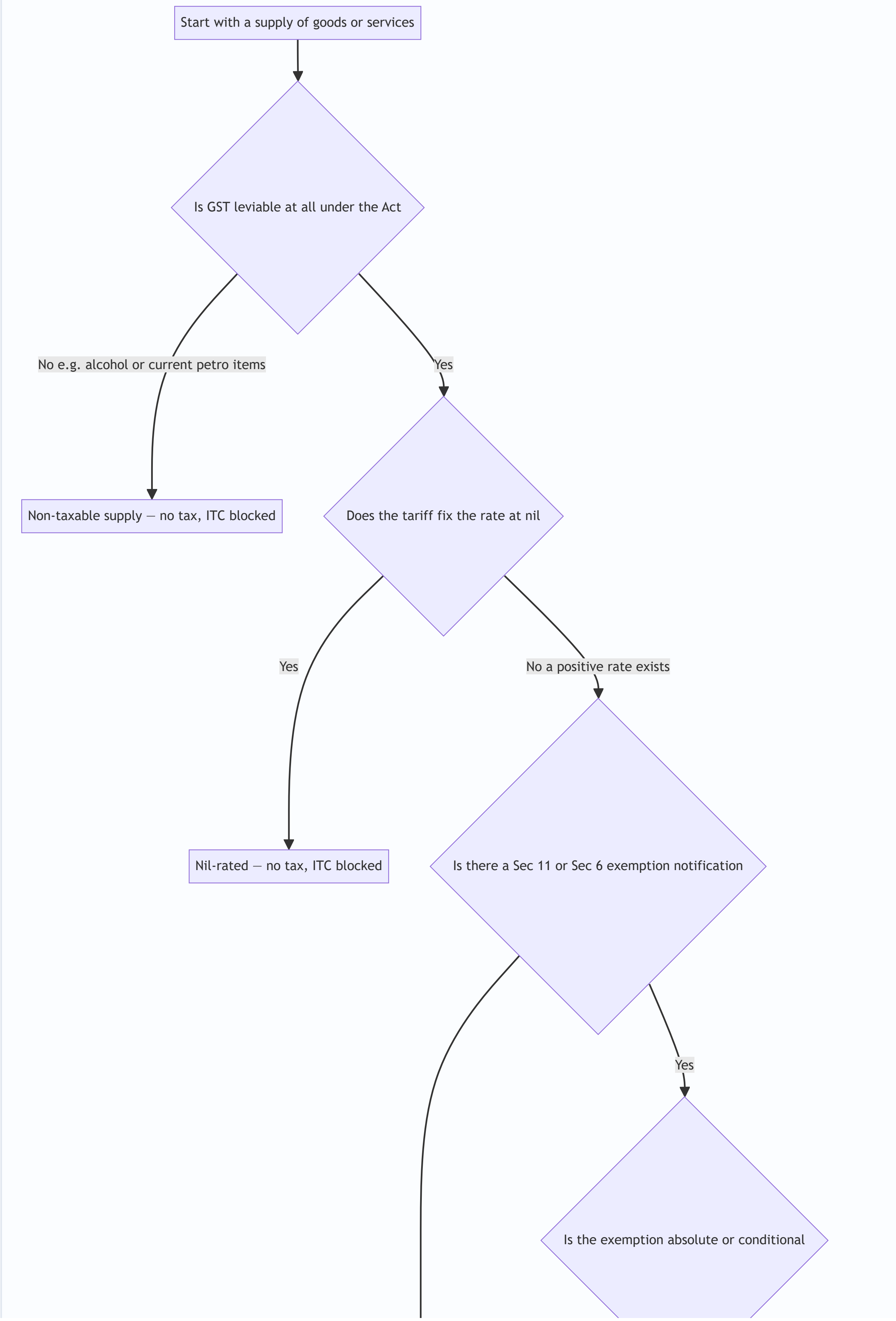
6. Formats & Summary

Decision format — "Is this supply exempt?"



Start with a supply of goods or services
Is GST leviable at all under the Act
No e.g. alcohol or current petro items
Yes
Non-taxable supply — no tax, ITC blocked
Does the tariff fix the rate at nil
Yes
No a positive rate exists
Nil-rated — no tax, ITC blocked
Is there a Sec 11 or Sec 6 exemption notification
Yes
Is the exemption absolute or conditional

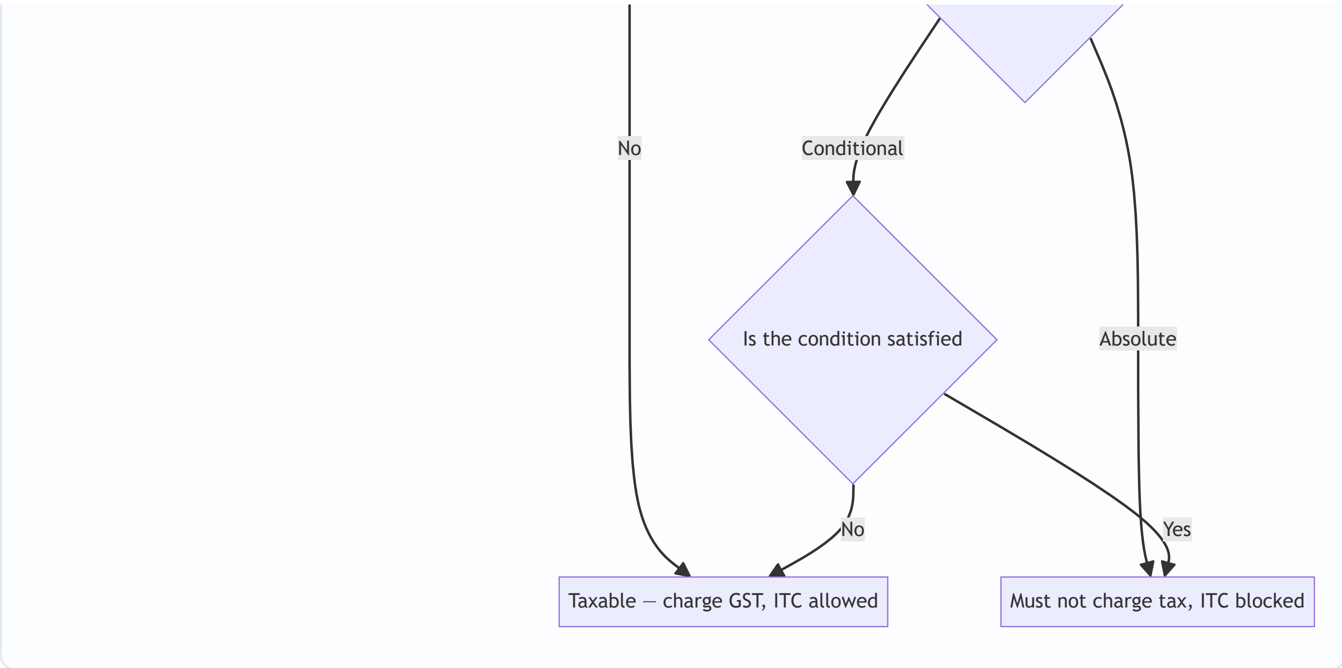


Figure 16.1 — The exemption decision tree; note every 0%-output branch except taxable ends in blocked ITC.

ITC treatment map — the Big Four

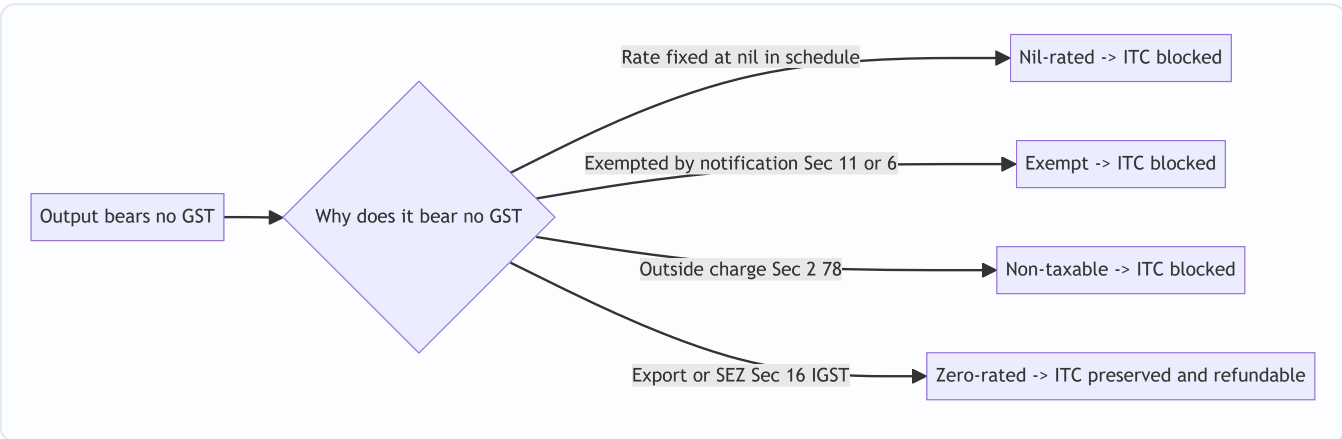
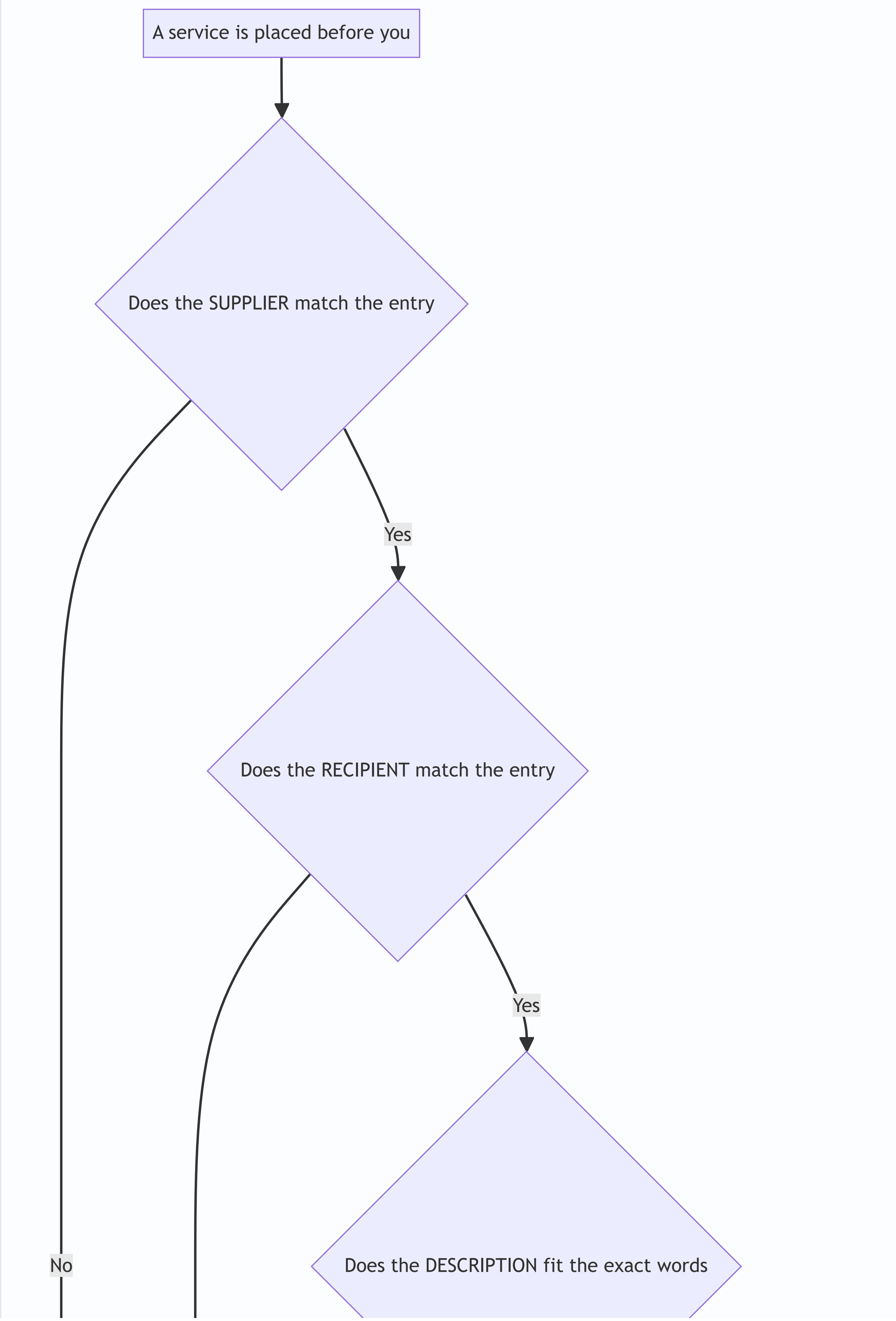


Figure 16.2 — Same zero output tax, four routes; only zero-rating keeps the credit alive.

Reading a 12/2017 service entry — the four-part test


A service is placed before you
Does the SUPPLIER match the entry
Yes
No
Does the RECIPIENT match the entry
Yes
Does the DESCRIPTION fit the exact words

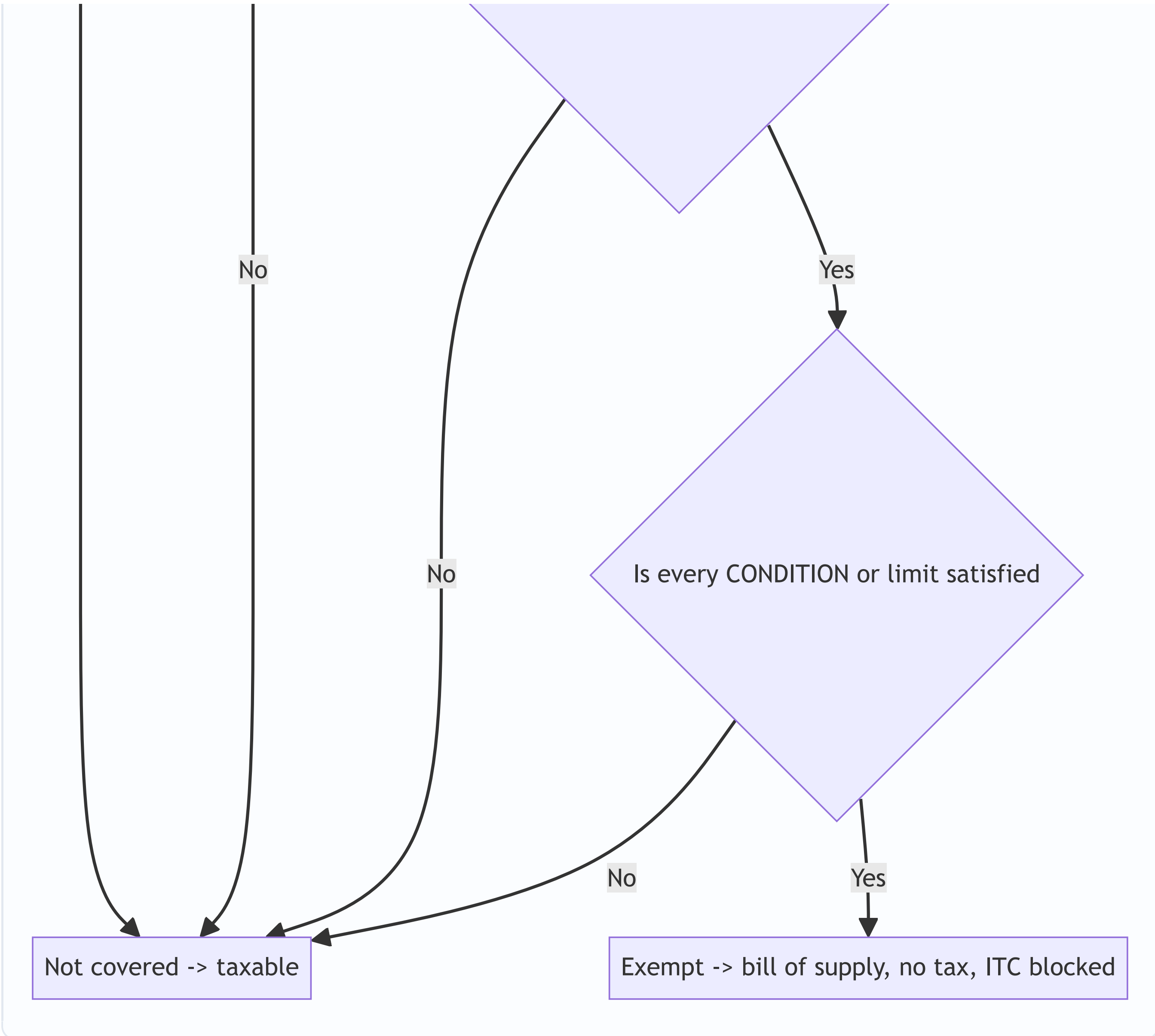
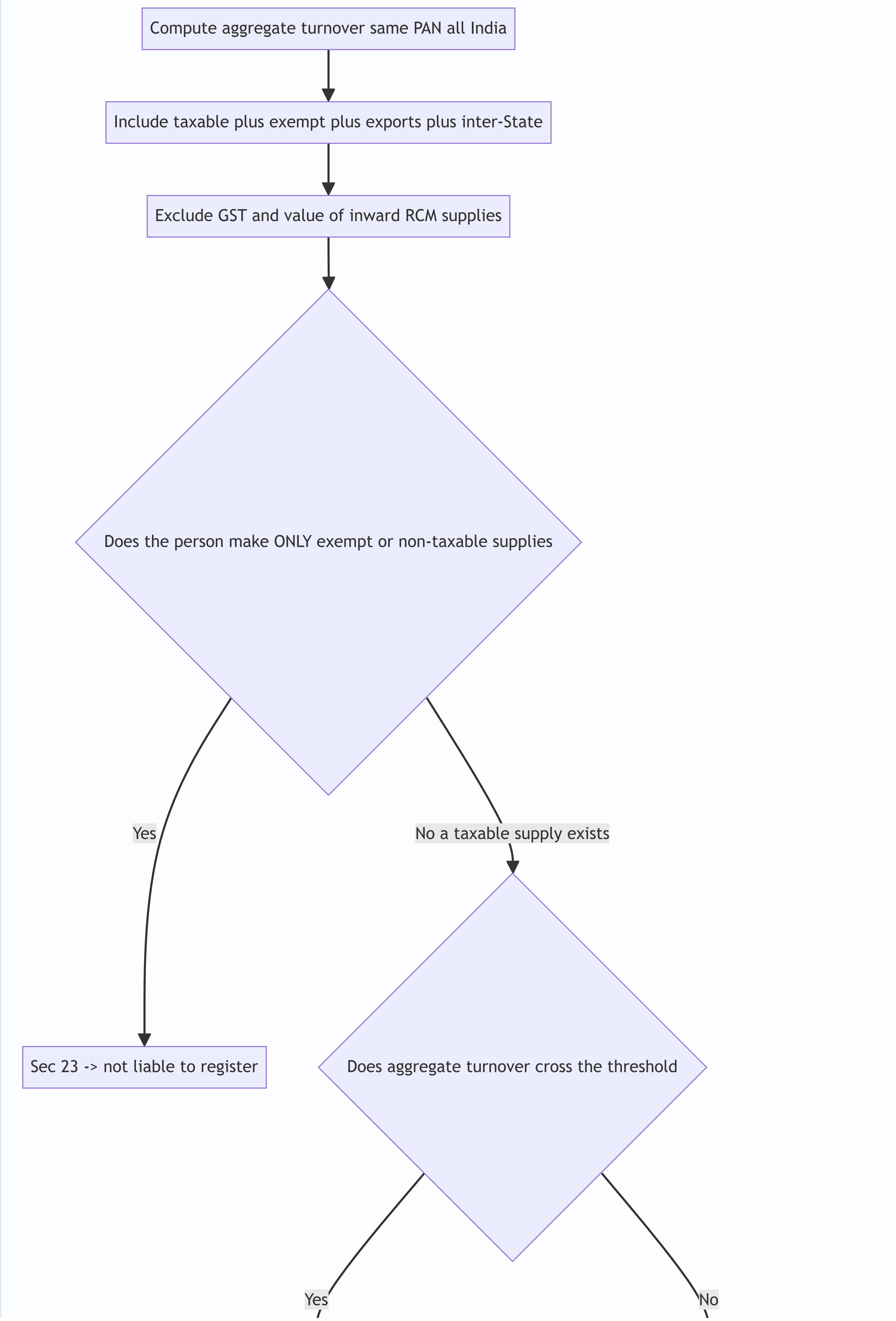


Figure 16.3 — Examiners break exactly one of the four gates supplier recipient description condition to flip an exempt-looking supply to taxable.

Turnover and registration interplay


Compute aggregate turnover same PAN all India
Include taxable plus exempt plus exports plus inter-State
Exclude GST and value of inward RCM supplies
Does the person make ONLY exempt or non-taxable supplies
Yes
No a taxable supply exists
Sec 23 -> not liable to register
Does aggregate turnover cross the threshold
Yes
No

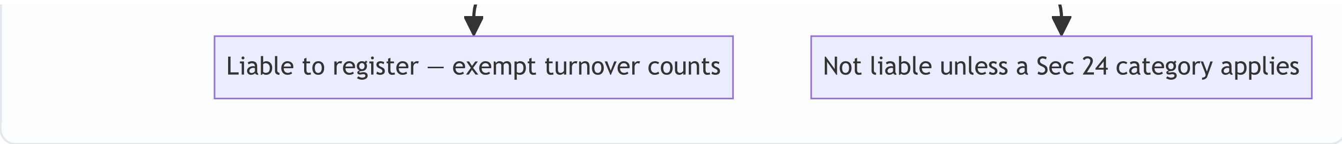


Figure 16.4 — Exempt turnover is invisible for tax but fully visible for the registration threshold.

Master comparison table

Feature	Nil-rated	Exempt (Sec 11/6)	Non-taxable (2(78))	Zero-rated (Sec 16 IGST)
Output GST	0%	Nil	Not leviable	0% (with credit)
Legal source	Rate schedule	Exemption notification	Outside charging section	IGST Sec 16
Is it "exempt supply" per 2(47)?	Yes	Yes	Yes (included)	**No**
ITC on inputs	Blocked	Blocked	Blocked	**Allowed/Refundable**
Document issued	Bill of supply	Bill of supply	Bill of supply	Tax invoice (export)
Counts in aggregate turnover	Yes	Yes	Yes	Yes
Typical example	Certain grains	Health, education	Alcohol, petrol	Exports, SEZ

Sec 11 quick-structure

Provision	What it does	Key tag
11(1)	General exemption by **notification** — wholly/partly, absolute/conditional	Normal route
11(2)	**Special order** exemption under exceptional circumstances	Emergency
11(3)	Retrospective **explanation** within 1 year	Clarity

Four "no-tax" devices at a glance

Device	Is it a "supply"?	Is it "exempt supply"?	ITC
Schedule III (e.g., salary, sale of land)	**No**	No	No (not a supply)
Non-taxable (alcohol, petro)	Yes	Yes (included)	Blocked
Exempt / nil (Sec 11 / schedule)	Yes	Yes	Blocked
Zero-rated (export / SEZ)	Yes	**No**	Preserved / refundable

7. Connections

- **Chapter on Charge of GST (Sec 9 CGST / 5 IGST):** exemption is the mirror image of the charging section — Sec 11 *removes* what Sec 9 *imposes*. No charge, no exemption question.
- **Chapter on Supply / Schedule III:** the *first* gate is "is it a supply at all?" Schedule III items are outside supply and never reach the exemption question — don't mislabel them "exempt."
- **Chapter on Input Tax Credit (Sec 16, 17, 18, Rules 42/43):** this is where exemption bites hardest. **Sec 17(2)** blocks ITC on exempt supplies; **Rules 42/43** do the proportionate reversal (Example 2); **Sec 18(1)/(4)** handle credit when a supply moves between exempt and taxable (§4.8). You cannot understand ITC reversal without exemptions.
- **Chapter on Registration (Sec 22, 23, 24; aggregate turnover 2(6)):** exempt supplies **count toward aggregate turnover**, so they can *drag you into* registration even though you owe no tax on them (Example 5). A person making **only exempt supplies** is **not liable to register** (Sec 23) — but the moment one taxable supply appears, all turnover counts, and a Sec 24 RCM liability can override the shelter.
- **Chapter on Composition (Sec 10):** composition is a *person-based* concessional route, distinct from *supply-based* exemption — a composition dealer still pays a flat tax and gets no ITC, whereas an exempt supply bears no tax at all.
- **Chapter on Time of Supply (Sec 14):** when an exemption is granted or withdrawn mid-transaction, Sec 14 fixes which regime applies.
- **Chapter on Zero-rated supplies & Refunds (Sec 16 IGST; Sec 54 CGST):** the natural contrast partner — exports get refund of ITC precisely because they are *not* merely exempt.
- **Chapter on Tax Invoice (Sec 31, 32):** exempt supply → **bill of supply**, and you must **not collect tax** on it.
- **Reverse Charge (Sec 9(3)/(4)):** don't confuse "recipient pays under RCM" (still taxable, ITC generally available) with "exempt" (no tax, no ITC). Legal services and residential renting to registered persons are RCM, *not* exemption.

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8. Traps & Examiner Tricks

1. **"Exempt = good for everyone" — FALSE.** For a mid-chain supplier, exemption *blocks ITC* and can raise costs (and can even raise total tax on the chain — §3). Watch for questions asking whether a business *benefits* from exemption.
2. **Nil-rated ≠ Zero-rated.** The single most common confusion. Nil-rated = 0% in the schedule, **ITC blocked**. Zero-rated = exports/SEZ, **ITC preserved/refundable**. If the sum says "exporter," think *refund*, never *reversal*.
3. **Non-taxable supply is still an "exempt supply."** Sec 2(47) *includes* non-taxable supply. So alcohol turnover **counts in aggregate turnover** and **blocks ITC** — students who exclude it get registration and Rule 42 sums wrong (Example 5).
4. **Absolute exemption is mandatory.** You cannot "opt to pay tax" on an absolutely-exempt supply; and if someone wrongly charges tax on it, the **recipient's ITC is ineligible** (Example 7).
5. **Conditional exemption — test the condition per unit/limit.** The hotel/room-rent, GTA value limit, charitable-trust, religious-precinct-rent and event-admission entries are exempt *only* within limits. Examiners set values just over the threshold (Example 4).

6. **Coaching vs education.** A private coaching/tuition centre is **taxable** — it does not lead to a *recognised* qualification. Only "educational institutions" as defined are exempt.
7. **Interest is exempt, fees are not.** On a loan, the *interest/discount* is exempt but **processing/documentation charges are taxable.** Split them (Example 6).
8. **Bill of supply, not tax invoice**, and **no tax to be collected** (Sec 32) on exempt supplies — a compliance-format trap.
9. **Rule 42 reversal is compulsory the moment there is any exempt output** — students forget that exempt turnover forces reversal of *common* ITC even when most output is taxable (Example 2).
10. **"Wholly" vs "partly" exempt.** Partly exempt = concessional rate = *still taxable* at the lower rate, so ITC is **not** blocked (it's a taxable supply). Only *wholly* exempt blocks ITC.
11. **Schedule III ≠ exempt.** Salary, sale of land, and services by an employee to employer are *not supplies at all*; they don't enter Sec 2(47). Don't count them as "exempt supplies" for turnover/Rule 42 unless the law specifically deems their value in (sale of land/building for apportionment).
12. **"Agricultural produce" is narrow.** Warehousing/loading of *processed* produce (tea, coffee, milled pulses, sugar) is **taxable** — only primary-market produce qualifies. Examiners slip a processed item into an "agriculture" list.
13. **Composite supply of health care.** In-patient package (room+meds+food per doctor's advice) is exempt as health care; canteen food to attendants/visitors is taxable — don't exempt the whole hospital bill.
14. **Export of an exempt good is zero-rated.** The domestic exemption blocks ITC, but exporting the same good unlocks refund via zero-rating (§4.6) — a reversal-of-outcome trap.
15. **Sec 23 shelter is lost if a Sec 24 (RCM) liability arises.** "Only exempt supplies, no registration" is true *until* an RCM liability drags the person into mandatory registration.

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9. First-Principles Recap

Reason it out from scratch, and you never need to memorise a list:

1. **GST is a consumption tax → it is regressive → taxing essentials and merit goods is unfair and socially harmful.** Therefore the law needs a carve-out. → **Exemption.**
2. **A carve-out must be flexible** (essentials change) → so it is done by **notification under Sec 11 / Sec 6**, not hard-coded in the Act.
3. **The credit chain only works if tax flows through.** Break it with an exemption and the broken runner **cannot pass ITC** → so **Sec 17(2) blocks ITC** on exempt output, and to avoid re-introducing cascading, exemptions are kept **short and near the consumer end**.
4. **Because "no output tax" can arise four ways** (nil in schedule / notified exempt / outside charge / zero-rated), the law must decide *which ones keep credit*. **Only zero-rating keeps credit** — because its purpose is to make **exports tax-free** (destination principle), and taxing exports is economically self-defeating. The other three block credit because their purpose is domestic relief, and the buried input tax is an accepted cost.
5. **Since blocked-credit supplies still consume resources, they must still count in turnover** (registration) and must be **documented by a bill of supply** with **no tax collected.**

Everything in this chapter is a consequence of those five sentences.

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10. Quick-Revision Sheet

Power to exempt - **Sec 11 CGST / Sec 6 IGST.** 11(1) notification (wholly/partly; absolute/conditional; needs Council recommendation + public interest); 11(2) special order (emergency); 11(3) explanation retrospective within 1 year.

Definitions - **Exempt supply — 2(47):** nil-rated **+** wholly exempt (Sec 11/6) **+** *includes* non-taxable supply. - **Non-taxable supply — 2(78):** GST not leviable at all (alcohol; current petro items). - **Aggregate turnover — 2(6):** taxable + exempt + exports + inter-State (same PAN, all-India); **excludes** GST and inward RCM value.

Key notifications (verify current text): Goods rates **1/2017-CT(R)**, exempt goods **2/2017-CT(R)**; Service rates **11/2017-CT(R)**, **exempt services 12/2017-CT(R)**.

The Big Four — one-line each - **Nil-rated:** 0% in schedule → ITC **blocked**. - **Exempt:** rate switched off by notification → ITC **blocked**. - **Non-taxable:** outside charge → ITC **blocked** (still an exempt supply). - **Zero-rated (Sec 16 IGST):** exports/SEZ → ITC **preserved/refundable** (LUT-no-tax + refund, or pay-tax + refund).

Golden line: *Exempt = tax dies and credit dies; Zero-rated = tax dies but credit lives.*

Four no-tax devices: Schedule III (*not a supply*) / Non-taxable / Exempt-nil / Zero-rated — only zero-rated keeps ITC; only Schedule III is outside "supply."

Key exempt clusters (why → what) - Merit/equity → **Health care** (not cosmetic; room rent above limit taxable; in-patient package exempt) & **Education** (institution to students; specified input services to schools *up to higher secondary*; coaching taxable). - Essentials/small-supplier → **Agriculture** (cultivation, harvesting, warehousing of *primary* produce, commission agent; unbranded grains/fresh produce — *processed produce taxable*). - Equity → **Transport** (non-AC public passenger transport; goods by road except GTA/courier; specified goods by GTA/rail; GTA value limits; electricity; tolls). - Others → **Charitable (12AA/12AB, defined activities only)**, religious ceremonies & precinct-rent within limits, **interest on loans/deposits** (fees taxable), residential dwelling as residence (RCM if registered recipient), specified Government/RBI services, event-admission below limit.

Consequences of exemption - ITC blocked (Sec 17(2)); **common ITC reversed** proportionately (Rule 42/43); switching taxable⇄exempt triggers Sec 18(1)/(4) credit claim/reversal. - Exempt turnover **counts in aggregate turnover** (2(6)); person making **only** exempt supplies **need not register** (Sec 23) — unless a Sec 24/RCM liability arises. - Issue **bill of supply** (Sec 31(3)(c)); **do not collect tax** (Sec 32). - **Absolute** exemption = mandatory (can't opt to pay; wrong tax = no ITC to recipient). **Conditional** = test the condition. **Partly** exempt = concessional rate = still taxable = ITC allowed.

Top traps: nil-rated ≠ zero-rated; non-taxable is still "exempt"; Schedule III is *not* a supply; interest exempt but fees taxable; coaching ≠ education; processed produce ≠ agricultural produce; conditional limits (hotel/GTA/charity/events); any exempt output → Rule 42 reversal; export of exempt good → zero-rated refund.

> *Final reminder: exemption entries, thresholds and rates are amended frequently. Lock in the exact current entries, room-rent limits, hotel-tariff slabs, GTA value limits, and RCM boundaries from the latest ICAI Study Material and amendments applicable to your examination attempt.*

Q&A — Exemptions from GST

> CGST Act, 2017 and IGST Act, 2017. **Every exemption entry, room-rent limit, hotel-tariff slab, threshold and rate below is amendment-sensitive — GST exemptions change almost every Council meeting. Rates used in sums are illustrative; lock in the exact current entries and limits from the ICAI Study Material/RTP for your attempt.** The logic and section structure are amendment-agnostic.

SECTION A — Concept-Check (Short Q&A)

A1. From which section does the power to exempt flow, and why is exemption done by notification rather than written into the Act? Sec 11 CGST / Sec 6 IGST (and Sec 8 UTGST). The Government, on the GST Council's recommendation and if satisfied it is in the *public interest*, may exempt by **notification**. It is delegated legislation rather than statute because essentials change frequently and the Council must add/remove entries fast without amending the Act. Sub-sections: **11(1)** general notification (wholly/partly; absolute/conditional), **11(2)** special order for exceptional circumstances (emergency), **11(3)** explanation with **retrospective** effect issued within **one year**.

A2. Define "exempt supply" and state why three different things are folded into one definition. Sec 2(47) — supply that (a) attracts a **nil rate**, or (b) is **wholly exempt** under Sec 11/6, **and includes non-taxable supply.** All three (nil-rated, notified-exempt, non-taxable) are grouped together because they share the same two consequences: **ITC is blocked** (Sec 17(2)) and the value **still counts in aggregate turnover** (Sec 2(6)). One definition saves the Act from writing the same consequence three times.

A3. What is a "non-taxable supply" and give examples? Sec 2(78) — a supply on which GST is **not leviable at all** under the Act, i.e. outside the charging section. Examples: **alcoholic liquor for human consumption**, and the currently out-of-GST petroleum items (petrol, diesel, ATF, natural gas, crude) which remain under VAT/excise. Note: it is *included* in "exempt supply" per 2(47), so it blocks ITC and counts in turnover.

A4. Distinguish absolute from conditional exemption, and state the consequence of each. Absolute = no conditions attached; the exemption is **mandatory** — the supplier **cannot opt to pay tax**. If tax is wrongly charged, the recipient's **ITC is ineligible**. Example: transmission/distribution of electricity by a utility. **Conditional** = available only if a stated condition is met; miss the condition and the supply becomes **taxable**. Example: hotel accommodation exemption up to a specified value per unit per day.

A5. Name the four flagship exemption/rate notifications. Goods: rates **1/2017-CT(R)**; exempt goods **2/2017-CT(R)**. Services: rates **11/2017-CT(R)**; **exempt services 12/2017-CT(R)** (the single most exam-relevant document — a numbered list of service entries, each with description, condition, and sometimes definitions). Parallel IGST versions exist (e.g. 9/2017-IT(R)).

A6. The Big Four all show 0% output tax — which one keeps ITC, and why? Only **zero-rated** (exports / SEZ supplies, **Sec 16 IGST**) preserves ITC. Nil-rated, exempt and non-taxable all **block ITC** (Sec 17(2)). Reason: zero-rating exists so India does **not export its taxes** — goods must be taxed in the country of *consumption*, so embedded input tax is **refunded**, not buried. The other three are domestic-relief measures where the buried input tax is an accepted cost. *Golden line: exempt = tax dies and credit dies; zero-rated = tax dies but credit lives.*

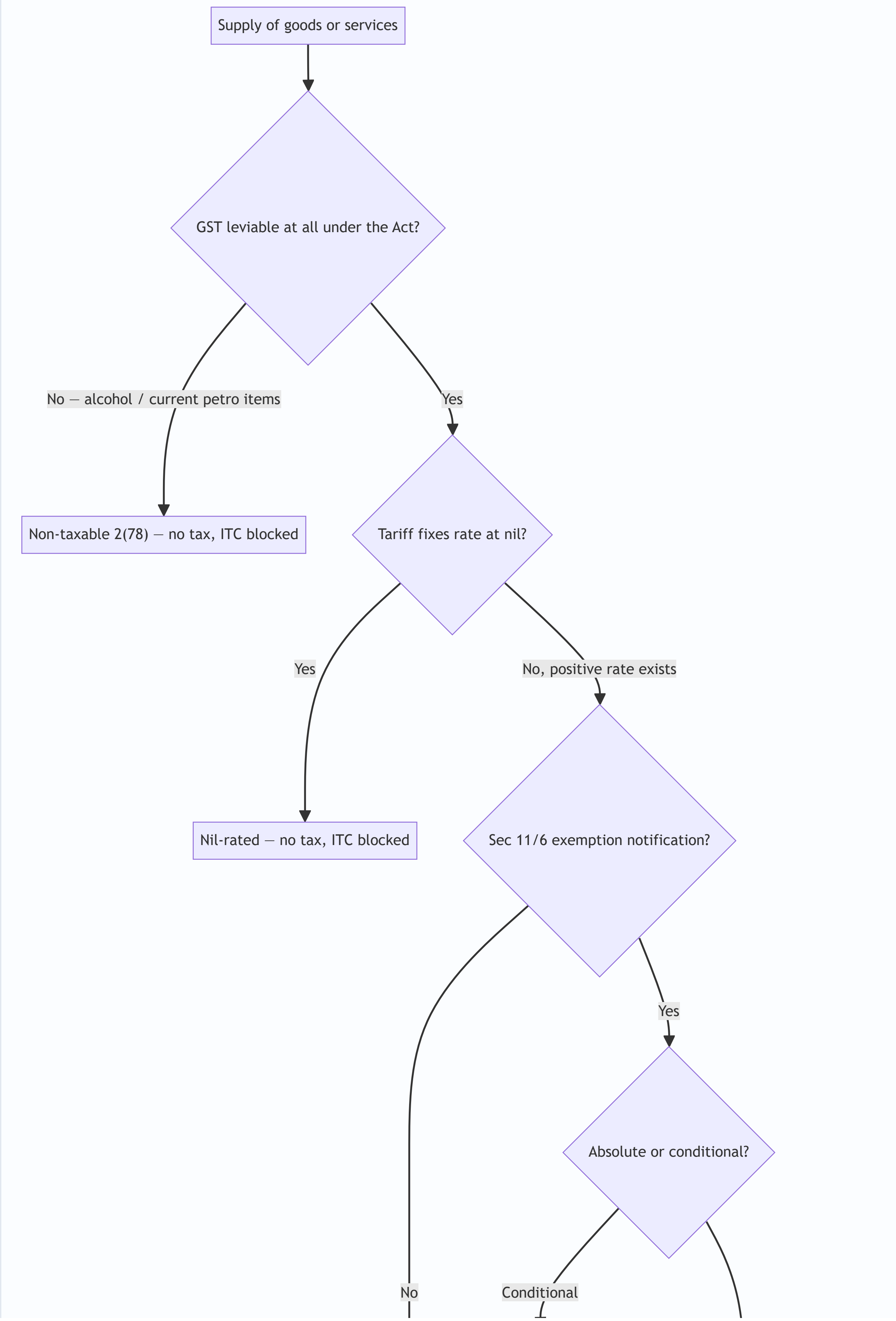
A7. Does making an exempt supply require registration? A person making **only exempt supplies** is **not liable to register** (Sec 23). But exempt turnover **counts in aggregate turnover** (Sec 2(6)), so the moment one taxable supply appears, all turnover — exempt included — is aggregated for the Sec 22 threshold test.

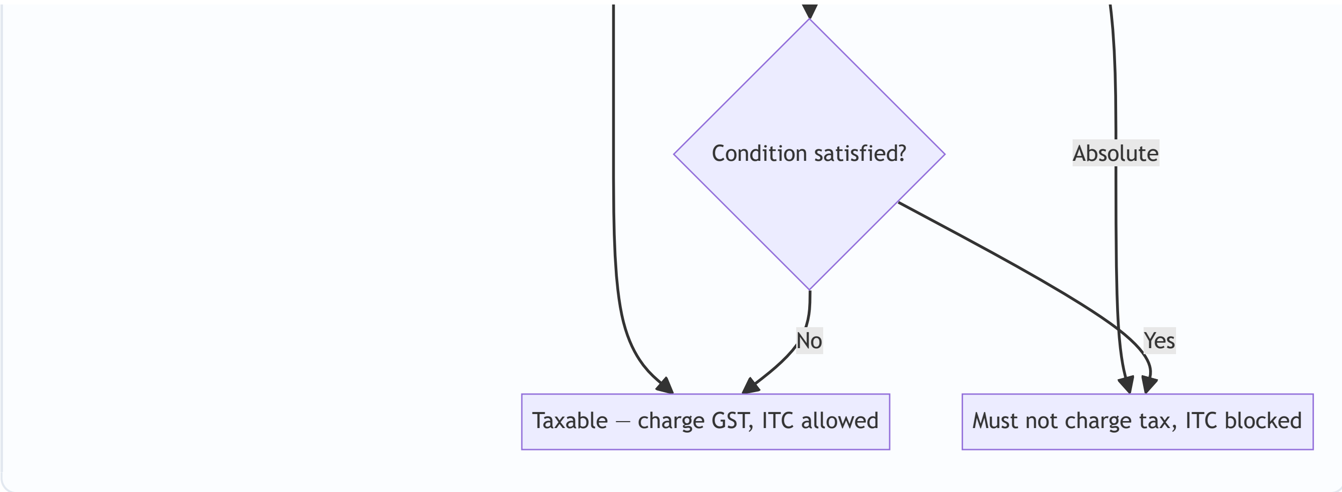
A8. What document is issued for an exempt supply, and can tax be collected on it? A **bill of supply**, not a tax invoice (**Sec 31(3)(c)**). The registered person **must not collect any amount as tax** on an exempt supply (**Sec 32**).

A9. Is a private coaching centre exempt like a school? No. Only an **"educational institution"** (pre-school to higher secondary; institution providing education for a **recognised qualification**; approved vocational courses) is exempt for services to its students/faculty/staff. A private coaching/tuition centre leads to **no recognised qualification** and is therefore **taxable**.

A10. On a bank loan, what is exempt and what is taxable? Services by way of extending deposits/loans **where the consideration is by way of interest or discount** are **exempt** — so the *interest* is exempt. But **processing/documentation charges** are a separate taxable consideration. Split them: interest exempt, fees taxable.

Exemption decision map


Supply of goods or services
GST leviable at all under the Act?
No — alcohol / current petro items
Yes
Non-taxable 2(78) — no tax, ITC blocked
Tariff fixes rate at nil?
Yes
No, positive rate exists
Nil-rated — no tax, ITC blocked
Sec 11/6 exemption notification?
Yes
Absolute or conditional?
No
Conditional



SECTION B — Graded Computational Problems

B1 (Easy) — Exempt output blocks ITC

Wellness Clinic Pvt Ltd provides **health care services** (exempt). In a month it buys consumables ₹10,00,000 + GST @12% and pays premises rent ₹2,00,000 + GST @18%; it bills patients ₹25,00,000. Compute output GST, ITC available and the economic effect.

Solution.

Item	Amount (₹)
Output — health care (exempt supply)	25,00,000
Output GST (exempt → nil)	**0**
Input GST paid (1,20,000 + 36,000)	1,56,000
ITC available — Sec 17(2), inputs used for exempt supply	**0 (fully blocked)**
Net GST payable	0
Un-creditable input tax absorbed as cost	**1,56,000**

Patients pay no GST, but the clinic swallows ₹1,56,000 of input tax it can never recover and recoups it through higher prices. **Exemption at the consumer end helps the consumer but leaves buried input tax** — the "exemption is not a pure gift" point in numbers.

B2 (Moderate) — Conditional exemption tested per unit

StayEasy lodge lets rooms in a day: 20 rooms @ ₹900/day and 10 rooms @ ₹1,500/day. Assume the accommodation exemption applies where value per unit **≤ ₹1,000/day** (illustrative — verify current limit); taxable rooms bear GST @12%. Compute exempt value, taxable value and GST.

Solution.

Category	Rooms	Rate/day (₹)	Value (₹)	Treatment	GST (₹)
≤ ₹1,000 unit	20	900	18,000	**Exempt** (condition met)	0
> ₹1,000 unit	10	1,500	15,000	**Taxable** @12% (condition failed)	1,800
Total	30	—	33,000	—	**1,800**

The *same service* is exempt for cheap rooms and taxable for pricier ones — the **condition (price per unit)** decides. Exempt value ₹18,000; GST payable ₹1,800. Conditional exemptions must be tested **line by line**.

B3 (Hard) — Rule 42 apportionment of common ITC

EduServe LLP runs (i) a recognised higher-secondary school (**exempt** output ₹40,00,000) and (ii) a commercial coaching centre (**taxable** output ₹60,00,000, GST @18%). Common input services (admin, IT, audit) bore input GST of ₹2,00,000, treated wholly as common credit. Compute the ITC reversal and net GST payable.

Solution — Rule 42 (Sec 17(2)). Common credit is apportioned in the ratio of exempt turnover to total turnover; the exempt portion is reversed.

Step	Amount (₹)
Total turnover (40,00,000 + 60,00,000)	1,00,00,000
Exempt turnover (school)	40,00,000
Exempt ratio = 40 / 100	0.40 (40%)
Common ITC (C2)	2,00,000
ITC to reverse (D1 = 40% × 2,00,000)	**80,000**
ITC allowed (2,00,000 − 80,000)	**1,20,000**

Output side (coaching):

Item	Amount (₹)
Output GST @18% on 60,00,000	10,80,000
Less: eligible common ITC	(1,20,000)
Net GST payable	**9,60,000**

Reconciles: 80,000 reversed + 1,20,000 allowed = 2,00,000. **Any exempt output forces proportionate reversal of common ITC** — even when most output is taxable.

B4 (Exam-hard) — Zero-rated vs Exempt: ITC treatment flips

TexPort Ltd has two divisions, each buying inputs ₹50,00,000 + IGST @18% = ₹9,00,000. **Division A** exports garments (₹80,00,000) — **zero-rated** under **LUT without payment of tax**. **Division B** makes **exempt** domestic supplies (₹80,00,000). Compare ITC outcome and cash effect.

Solution.

	Division A (Zero-rated export)	Division B (Exempt supply)
Output tax	0 (zero-rated)	0 (exempt)
Input IGST paid	9,00,000	9,00,000
ITC status	**Preserved — Sec 16 IGST**	**Blocked — Sec 17(2)**
Refund of unutilised ITC (under LUT)	**9,00,000 refundable**	Nil
Input tax becoming a cost	**0**	**9,00,000**

Same 0% output, opposite result. The exporter recovers **every rupee** (refund) → export truly tax-free; the exempt supplier **loses all ₹9,00,000** to cost. **Never conflate "exempt" with "zero-rated."**

B5 (Exam-hard) — Aggregate turnover, registration and the split-supply trap

Mr. Bose (single State) supplies in a year: fresh vegetables (exempt) ₹28,00,000; interest on loans given (exempt) ₹3,00,000; and taxable stationery ₹6,00,000. Assume registration threshold ₹20,00,000 (verify). Is he liable to register, and on what does he pay tax?

Solution. Aggregate turnover (Sec 2(6)) = exempt + taxable = 28,00,000 + 3,00,000 + 6,00,000 = **₹37,00,000**, which **exceeds ₹20,00,000 → registration required (Sec 22).** Had he made *only* the exempt supplies, Sec 23 would exempt him from registration; but the ₹6,00,000 taxable supply drags **all** turnover into the threshold test. He pays GST **only on the ₹6,00,000 taxable stationery**; the vegetables (exempt goods) and interest (exempt service) bear no tax, are billed on a **bill of supply** (Sec 31(3)(c)), and block ITC on their related inputs. **Exempt turnover can force registration even though no tax is owed on it.**

SECTION C — Past-Paper-Style Full Questions

C1. "State with reasons whether GST is payable" (8 marks)

Determine taxability, citing the governing idea: (a) Transportation of a patient by ambulance; (b) Hair transplant / cosmetic surgery; (c) Services by a private IIT-JEE coaching centre; (d) Loading, unloading and warehousing of agricultural produce; (e) Transmission of electricity by a distribution utility; (f) Interest on a term loan sanctioned by a bank; (g) Processing fee charged on that loan; (h) Renting of a residential dwelling for use as residence to an unregistered person.

Model answer. (a) **Exempt** — health-care-related transport of a patient in an ambulance (Notif. 12/2017 entry). (b) **Taxable** — cosmetic/plastic surgery and hair transplant are outside "health care services" unless done to restore anatomy affected by trauma/congenital defect. (c) **Taxable** — a private coaching centre is not an "educational institution" (no recognised qualification). (d) **Exempt** — services relating to cultivation/rearing include warehousing, loading/unloading and packing of agricultural produce. (e) **Exempt (absolute)** — transmission/distribution of electricity by an electricity utility. (f) **Exempt** — extending a loan where consideration is interest/discount. (g) **Taxable** — processing fee is a distinct consideration, not interest. (h) **Exempt** — renting of a residential dwelling for use as a residence to an unregistered person (position for registered recipients is under **RCM**, not exemption — verify current wording).

C2. Distinguish and explain (6 marks)

"An exemption and a zero-rated supply both result in nil output tax, yet they are opposites." Explain, citing sections, with a one-line numeric illustration.

Model answer. Both charge **0% on output**, but the **ITC treatment is opposite**. Under **exemption (Sec 11/6, blocked by Sec 17(2))**, input tax cannot be recovered and becomes a **cost buried in the price** — the purpose is domestic relief on essentials, where a little cascading is accepted. Under **zero-rating (Sec 16 IGST)** for exports/SEZ, the ITC is **expressly preserved and refundable** (either LUT-without-tax + refund of unutilised ITC, or pay-IGST + refund) — the purpose is to *not export India's taxes* so exports stay globally competitive. *Illustration:* on ₹9,00,000 input tax with nil output, an exempt supplier loses ₹9,00,000 to cost; an exporter gets ₹9,00,000 refunded. Same output, opposite cash effect.

C3. Structure question (5 marks)

Explain the structure of **Section 11 of the CGST Act** and the meaning of "wholly/partly" and "absolutely/conditionally."

Model answer. 11(1) — general exemption by **notification**, on Council recommendation, in public interest; may be **wholly** (100%, nil) or **partly** (concessional rate), and **absolutely** (mandatory, no option to pay tax) or **conditionally** (only if conditions met). **11(2)** — exemption by **special order** under exceptional circumstances (emergency, e.g. disaster relief). **11(3)** — the Government may add an **explanation** to a notification within **one year**, effective **retrospectively**. Key nuance: **partly exempt = still taxable at the lower rate → ITC is NOT blocked**; only **wholly** exempt blocks ITC.

SECTION D — MCQs / Case Scenarios

D1. Which supply is *not* an "exempt supply" under Sec 2(47)? A) Nil-rated grain B) Health care exempt by notification C) Export of goods (zero-rated) D) Alcoholic liquor for human consumption **Answer: C.** Zero-rated supplies keep ITC and are governed by Sec 16 IGST — they are excluded from the 2(47) definition; the other three are included.

D2. A registered person makes a wholly exempt supply. He must issue — A) Tax invoice B) Bill of supply C) Debit note D) Receipt voucher **Answer: B.** Sec 31(3)(c) — a bill of supply is issued for exempt supplies, and no tax may be collected (Sec 32).

D3. Common input tax of ₹1,00,000; exempt turnover ₹30 lakh, taxable ₹70 lakh. ITC to be reversed under Rule 42 is — A) ₹30,000 B) ₹70,000 C) ₹1,00,000 D) Nil **Answer: A.** Reversal = (30/100) × 1,00,000 = ₹30,000 (exempt-turnover ratio).

D4. Tax is wrongly charged on an **absolutely** exempt supply. The recipient's ITC on it is — A) Fully available B) Ineligible C) Available at 50% D) Refundable **Answer: B.** Absolute exemption is mandatory; ITC on tax that ought not to have been charged is ineligible.

D5. A person makes *only* exempt supplies of ₹50 lakh. He is — A) Compulsorily registered B) Not liable to register (Sec 23) C) Liable under RCM D) A casual taxable person **Answer: B.** Sec 23 — a person exclusively making exempt supplies need not register, even above the threshold.

D6. Which is **taxable**? A) Interest on a loan B) Loan processing fee C) Metered auto-rickshaw ride D) Toll charges for a bridge **Answer: B.** Interest, public transport and tolls are exempt; the processing fee is a distinct taxable consideration.

D7. *Case:* A hospital rents shop space to a doctor for a clinic. This renting is — A) Exempt as health care B) Taxable (renting of premises, not health care) C) Zero-rated D) Non-taxable **Answer: B.** Health-care exemption covers treatment of patients, not commercial renting of premises.

D8. "Partly exempt" supply means — A) 0% and ITC blocked B) Concessional rate, still taxable, ITC allowed C) Outside GST D) Zero-rated with refund **Answer: B.** Partly exempt = a lower positive rate = still a taxable supply, so ITC is not blocked.

Top traps recap

Nil-rated ≠ zero-rated (only zero-rated keeps ITC); non-taxable supply is *still* an "exempt supply" (counts in turnover, blocks ITC); interest exempt but fees taxable; coaching ≠ education; conditional limits (hotel/GTA/charity/religious rent) must be tested per unit; **any** exempt output triggers Rule 42 reversal; absolute exemption is mandatory and its wrongly-charged tax gives no ITC.

> *Final reminder: exemption entries, room-rent limits, hotel-tariff slabs, thresholds and RCM boundaries are amended frequently. Confirm the exact current text from the latest ICAI Study Material and amendments for your attempt.*

Chapter 17 — Time of Supply

> **Rates / thresholds / amendments flag:** Time-of-supply *provisions* (Secs 12–14 of the CGST Act, 2017) are structurally stable, but the surrounding machinery moves — the removal of the 30-day supplementary-invoice window, the abolition of the earlier "goods on payment" trigger, tweaks to reverse-charge lists, and e-invoicing timelines have all been amended. This chapter teaches the **logic that fixes the taxable moment** so the mechanism is permanent. **Always verify the exact triggers, the current reverse-charge list, and the applicable amendments against current ICAI study material for your attempt.**

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1. The Problem — GST is a tax on an *event*, but events are stretched out in time

GST is charged on the *supply* of goods or services (Sec 9, CGST Act). Good. But a "supply" is not a single instant — it is a **process** smeared across days, weeks, sometimes months. Consider one perfectly ordinary transaction:

- **1 June** — a customer places an order and pays a 20% advance.
- **10 June** — you dispatch the goods.
- **12 June** — the goods reach the customer.
- **15 June** — you raise the tax invoice.
- **20 July** — the customer pays the balance.

The transaction touches *five* different dates. But the tax law needs a **single, unambiguous date** — one moment it can point to and say *"tax became payable here."* Without that single moment, three things collapse:

Problem 1 — You cannot fix the *rate*. Suppose GST on this item is 12% until 30 June and rises to 18% from 1 July. Which rate applies — the June rate or the July rate? The answer depends entirely on *which* of those five dates the law treats as decisive. The rate is frozen at the "time of supply"; get the time wrong and every rupee of tax is wrong.

Problem 2 — You cannot fix the *return period*. GST is paid month by month. Does this supply belong in the June return (GSTR-3B for June, paid ~20 July) or the July return? If you report it late, you owe **interest under Sec 50** and possibly a late fee. If you report it early, you have parked the government's money before you needed to. The month is decided by the time of supply.

Problem 3 — You cannot enforce *anything* consistently. Two honest taxpayers doing the identical deal could pick different dates and pay different tax in different months. A tax that lets each person choose their own moment is unadministrable. The law must **legislate the moment** so it is the same for everyone.

So the "time of supply" (TOS) is not a bookkeeping nicety. It is the **coordinate on the time axis** at which the charge under Sec 9 crystallises. Sec 9 tells you *whether* and *how much*; **time of supply tells you *when*, and through "when," it silently also fixes *which rate*.**

Why the framers separated "time" from "value" and "place." GST needs three coordinates to raise a single rupee of tax: *time of supply* (when — Secs 12–14), *place of supply* (where, and hence which tax — IGST

Act Secs 10–13), and *value of supply* (how much — Sec 15). These are deliberately three *independent* determinations because each answers a different question and each can move without the others moving. A worked TOS problem answers only one of the three; do not let it bleed into value or place questions. The exam sometimes bundles all three into one problem precisely to see whether you keep them separate.

A fourth, quieter consequence — input tax credit timing. The recipient's right to ITC (Sec 16) is not governed by the supplier's TOS directly, but the two are linked in practice: the supplier must have *paid* the tax (which flows from his TOS landing in a return period) before the recipient's credit is safe. So a supplier who mis-times his TOS does not only expose himself to interest — he can jeopardise his customer's credit. TOS is therefore a *systemic* date, not a private one.

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2. The Core Idea

> **The time of supply is the *earliest* of a small set of legally-fixed trigger events — normally issue of invoice, receipt of payment, or (for goods under reverse charge) receipt of the goods. The law picks the *earliest* trigger because it wants the tax in its hands at the first sign that value has changed hands — but it also caps *how late* the invoice trigger can be, so a supplier cannot delay tax simply by delaying his own paperwork.**

Two design instincts run through every rule in this chapter, and if you hold them firmly you can *derive* almost every provision instead of memorising it:

1. **"Earliest of" — the revenue-protection instinct.** The moment *any* recognised marker of the supply appears (money in, or invoice out), tax is due. The government does not wait for the transaction to fully complete. Cash flow to the exchequer is front-loaded.
2. **"Don't let the taxpayer control the clock" — the anti-manipulation instinct.** The invoice is issued *by the supplier*. If TOS depended purely on when he chose to invoice, he could postpone tax indefinitely. So the law imposes a **statutory last date for the invoice** (Sec 31), and if the invoice is late, TOS falls back to an event the taxpayer *cannot* game.

Everything else — the goods-vs-services split, the reverse-charge rules, vouchers, the residual rule, the rate-change rules — is these two instincts applied to different fact patterns.

A third, subtler instinct — "use the most reliable witness available." Every trigger the Act picks is an event that leaves an *independent record*: an invoice is a serially-numbered document, a bank credit is a third-party record, a goods-receipt is physically observable. Where one party's record is untrustworthy (the supplier under reverse charge), the law switches the anchor to the *other* party's records. Read every rule as the legislature asking "whose record can we least easily fake, and does that record already exist by this date?" This single question explains why forward charge leans on the supplier's invoice, reverse charge leans on the recipient's receipt/payment, and the residual rule leans on the return-filing deadline (a record the tax system itself owns).

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3. Why It's Built This Way — the design logic before the sections

Before touching a single sub-section, understand the choices the legislature made. Each rule below is one of these choices in disguise.

Design choice	The problem it solves	How the Act implements it
A single legislated moment	Supply is stretched across many dates	Secs 12/13 define ONE "time of supply"
"Earliest of" triggers	Front-load revenue; catch value the moment it moves	TOS = earliest of invoice / payment / (goods receipt)
Statutory last date for invoice	Supplier could delay tax by delaying invoice	Link TOS to Sec 31 due date, not actual invoice date
Goods vs services treated differently	Goods = a physical event you can see; services = often continuous, invisible	Sec 12 (goods) vs Sec 13 (services)
Reverse charge has its own clock	Recipient pays; supplier's invoice is not a reliable marker	Sec 12(3)/13(3): use goods-receipt / payment / date-of-payment-to-supplier
Residual rule	Some cases fit no trigger	Fall back to due date of return or date of tax payment
Change-in-rate rule (Sec 14)	Straddling supplies span the rate change	Special "2-of-3" rule *overrides* Secs 12/13

3.1 Why the advance is (mostly) not taxed for goods any more

Historically GST taxed *advances on goods* at receipt — the "payment" trigger fired even before dispatch. This was an administrative nightmare for small dealers (tax on money before you have even shipped, then reconcile later). By a 2017 notification the government **removed the "receipt of payment" trigger for supply of goods** for all registered persons. So today, for **goods under forward charge, an advance does NOT create a time of supply** — only the invoice (or its due date) matters. **Advances on *services*, however, remain fully taxable at receipt.** Keep this asymmetry burning in your mind; it is the single most examined trap in this chapter.

> **Verify for your attempt:** the notification excluding advances-on-goods from TOS is a rate-notification and could be amended. ICAI has consistently examined the current position (advances on goods not taxed; advances on services taxed). Confirm before your sitting.

3.2 Why the advance-on-goods relief does NOT rescue you from paperwork

A subtle exam point: the notification removes the *tax-timing* consequence of an advance on goods, but the supplier must still, on receiving an advance for goods, issue a **receipt voucher** (Sec 31(3)(d)). And if the deal later falls through, a **refund voucher** (Sec 31(3)(e)). So "advance on goods is not taxed" does **not** mean "advance on goods is invisible" — the documentation obligation survives even though no tax is due yet. Examiners test this by asking "what document must the supplier issue on receiving the advance?" — the answer is *receipt voucher*, and the *tax* is still nil until the invoice/removal.

3.3 Why "goods" and "services" split the chapter down the middle

The deepest reason for two separate sections is **observability**. A supply of goods has a physical, datable pivot — the goods *move* or are *made available*. That pivot is external, hard to fake, and already captured by the Sec 31 invoice deadline (removal/delivery). A service frequently has **no such pivot**: when exactly is "advisory services" supplied? When the advice is given, drafted, delivered, or acted upon? Because services resist a clean physical pivot, the law keeps the *payment* trigger alive for services (money is at least a datable event) and uses the 30/45-day window as its anti-delay cap. Read Secs 12 and 13 as *the same idea forced to compromise differently* because goods are observable and services often are not.

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4. Full Technical Content — with the "why" welded to each provision

4.1 The building-block dates you must define first

Two phrases recur; nail them once.

"Date of receipt of payment" (per the CGST Rules / Sec 12–13 explanation) = the **earlier** of: - (a) the date the payment is **entered in the books** of the supplier, or - (b) the date the payment is **credited to his bank account**.

Why the earlier? Same revenue-protection instinct — whichever proof of payment appears first fixes the moment.

"Date of issue of invoice" = the actual date on the invoice — *but* the law constantly compares it to the **due date of issuing the invoice under Sec 31**, because the due date is the anti-manipulation backstop.

A precision point on "receipt of payment." The two limbs (book entry / bank credit) exist because either can come first depending on how the business runs. A firm that records a cheque on receipt but banks it days later is fixed by the *book entry*; a firm whose accountant posts entries weekly but whose bank shows an instant NEFT credit is fixed by the *bank credit*. The rule is not "whichever the taxpayer prefers" — it is mechanically **the earlier of the two actual dates**. Examiners give you both dates precisely to see whether you pick the earlier one rather than defaulting to bank credit.

4.2 Sec 31 — the invoice due dates (the backstop you cannot skip)

Time of supply for goods/services under forward charge leans on Sec 31, so learn these first.

Supply	Sec 31 due date for the invoice
Goods — movement involved	On or **before removal** of goods for supply
Goods — no movement	On or before **delivery** / making available to recipient
Continuous supply of goods	On or before each **statement/payment** is issued/received
Goods sent on approval (sale or return)	Earlier of — when supply is *confirmed*, or **6 months** from removal
Services (general)	Within **30 days** of supply of service
Services by banks/NBFCs/insurers	Within **45 days** of supply of service

Why a deadline at all? Because the invoice is the supplier's own document. Sec 31 says "you must invoice by this date," and Sec 12/13 then says "if you invoice late, we tax you as if you had invoiced on time." The two sections lock together to defeat delay.

The "sale or return" (approval) subtlety. Goods sent on approval are not yet a supply — the recipient may return them. But the supplier cannot hold them out indefinitely to defer tax. So Sec 31 caps the invoice at the **earlier of confirmation of supply or 6 months from removal**. If neither happens, at 6 months the law *deems* a supply and the invoice falls due, fixing TOS. This is the anti-manipulation instinct applied to a genuinely uncertain supply: uncertainty is tolerated for six months, then forcibly resolved.

4.3 Time of supply of GOODS — forward charge (Sec 12(2))

> **TOS of goods = the EARLIER of: (a) date of issue of invoice, OR the last date on which the invoice *should* have been issued under Sec 31; and (b) — [the "date of receipt of payment" limb, which has been *removed by notification* for registered suppliers of goods].**

Because limb (b) is switched off for goods, in practice:

> **TOS of goods (forward charge) = date of invoice, OR if the invoice is late/not issued, the Sec 31 due date (i.e. removal for movement cases; delivery otherwise) — whichever of the two applies. The advance is ignored.**

Worked micro-logic. Goods removed 10 June, invoice raised 15 June. Sec 31 due date = removal = 10 June. TOS = *earlier* of actual invoice (15 June) and due date (10 June) = **10 June**. The late invoice bought the supplier nothing — exactly the anti-manipulation design at work.

The mirror case — an *early* invoice. Goods to be removed 20 June, but invoice raised (with the supplier's choice) on 8 June. Sec 31 due date = removal = 20 June; actual invoice = 8 June. TOS = earlier of (8 June, 20 June) = **8 June**. Here the *invoice* date wins because the supplier issued it *before* the deadline. So the rule is symmetric: an early invoice *accelerates* TOS (it is a genuine trigger), a late invoice does *not defer* it (the deadline catches him). The invoice can only ever pull TOS *earlier* than the Sec 31 date, never later.

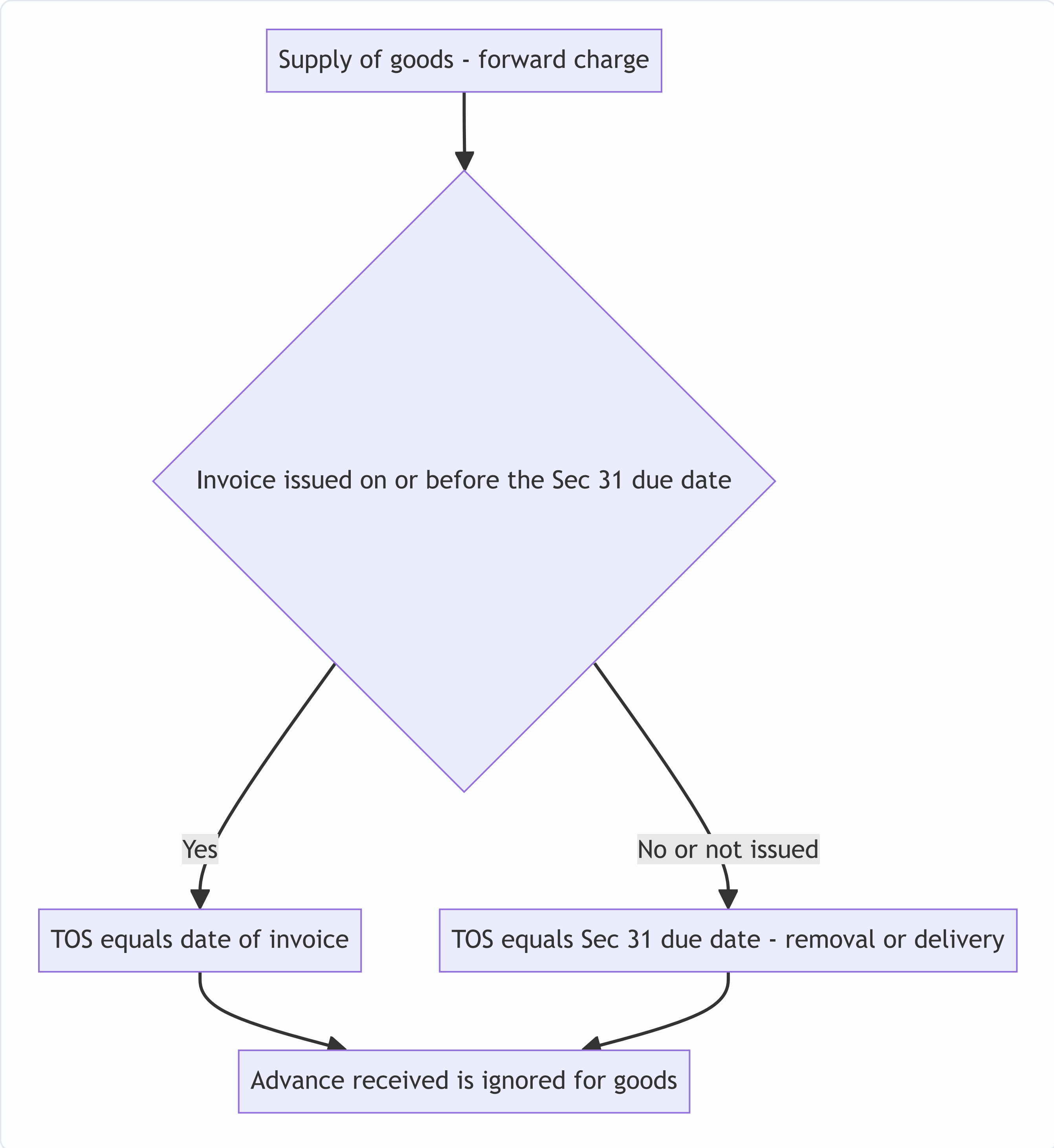

Figure 17.1 — Time of supply of goods under forward charge. The payment trigger is switched off, so only invoice timing (capped by the Sec 31 due date) matters.

4.4 Time of supply of SERVICES — forward charge (Sec 13(2))

Services are different in kind. A service is often **invisible and continuous** — consulting, a subscription, a running contract. There is no "removal" you can photograph. So the law keeps the **payment trigger alive** and uses the **30/45-day invoice window** as the anti-manipulation cap.

> **TOS of services = the EARLIEST of: (a) if invoice issued *within* the Sec 31 window (30/45 days): the EARLIER of (i) date of invoice or (ii) date of receipt of payment; OR (b) if invoice NOT issued within the window: the EARLIER of (i) date of *provision* of service or (ii) date of receipt of payment; OR (c) if neither (a) nor (b) applies: the date the recipient shows receipt of the service in his books.**

Decoded into a decision the way you would actually apply it:

1. Was the invoice issued within 30 days (45 for banks etc.)?
2. **Yes** → TOS = earlier of *invoice date* and *payment date*.
3. **No** → TOS = earlier of *date service was provided* and *payment date*.

Notice the elegant symmetry with goods: a **timely** invoice lets you use the invoice date; a **late** invoice throws you back onto an event you cannot manipulate (the actual provision of service). Same instinct, adapted to a continuous supply.

Advances on services ARE taxed. Because the payment limb is live, if a client pays you an advance on 1 June for a service invoiced 15 July, the *advance* fixes TOS at 1 June for that portion. This is the asymmetry against goods.

The "small advance" relief for services — a real exam wrinkle. The proviso to Sec 13(2) (read with the invoice rules) gives a narrow relief: where the supplier receives an amount **up to ₹1,000 in excess** of the invoice value, he may, *at his option*, treat the TOS of that small excess as the **date of the invoice** for that excess, rather than the date the excess money was received. This spares businesses from raising a fresh tax entry for trivial over-payments (e.g. a customer who rounds ₹4,970 up to ₹5,000). It is optional, capped at ₹1,000 of *excess*, and applies to *services*. Examiners drop a small over-receipt into a services problem to see whether you know the excess need not create a separate earlier TOS. **Verify the ₹1,000 figure against current ICAI material.**

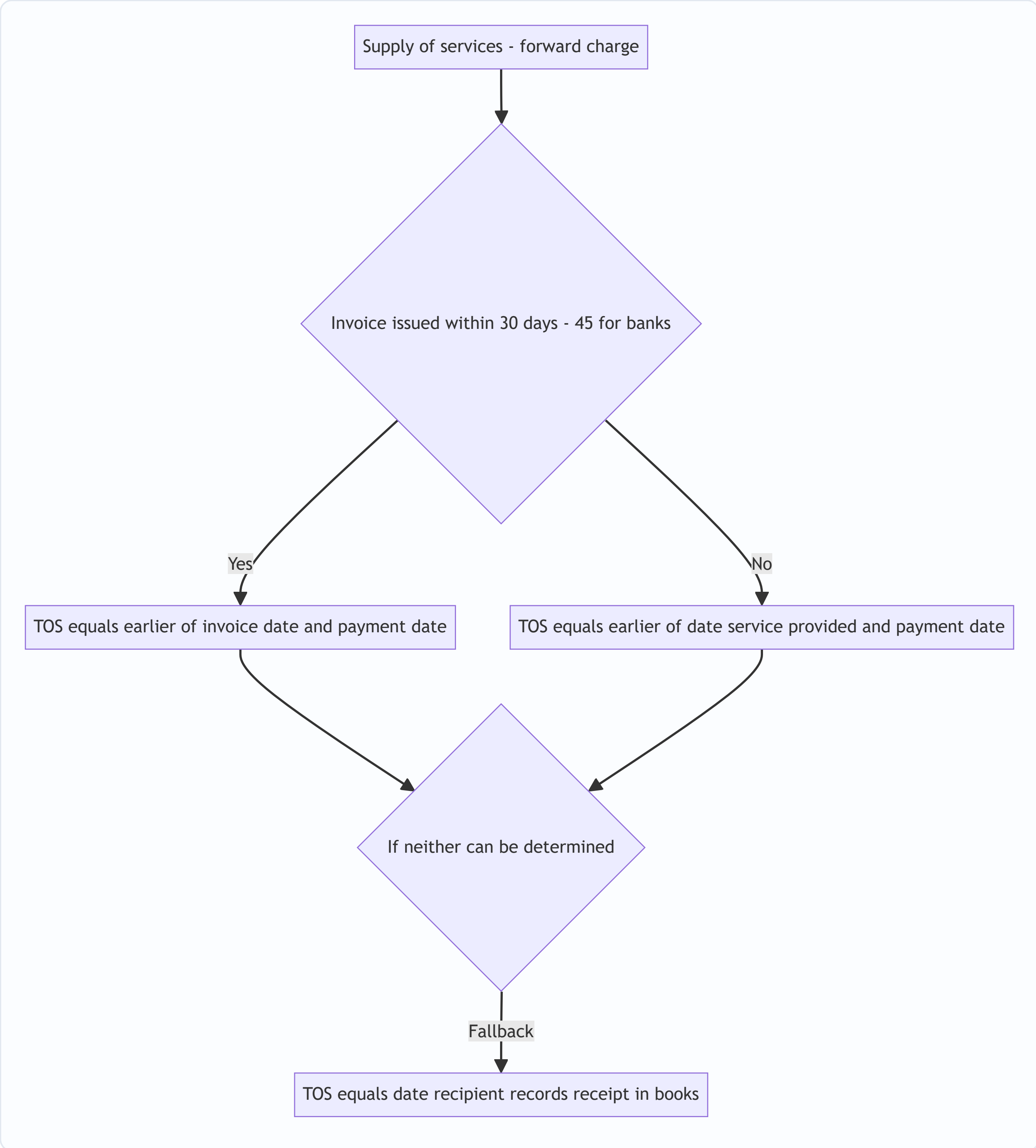

Figure 17.2 — Time of supply of services under forward charge. The payment trigger stays live, so advances are taxable; the 30/45-day window is the anti-delay cap.

4.5 Reverse charge — why the clock is completely different (Secs 12(3) & 13(3))

Under **reverse charge (RCM)**, the *recipient* pays the tax, not the supplier. Now think about the design instinct: the trigger events for forward charge (invoice, payment received) are all **the supplier's actions**. But under RCM the supplier may be an unregistered person, a farmer, a foreign entity — someone who may not issue a GST invoice at all and certainly is not the one paying tax. **Using the supplier's invoice as the anchor would be unreliable and unenforceable against the person who actually owes the tax.**

So RCM anchors TOS to events **within the recipient's own control and records** — when *he* got the goods, when *he* paid the supplier — plus a hard backstop.

Reverse charge on GOODS — TOS = EARLIEST of (Sec 12(3)): 1. date of **receipt of the goods**; 2. date of **payment** (as entered in recipient's books or debited from bank, whichever earlier); 3. the day **immediately after 30 days** from the date of the supplier's invoice.

> If none can be determined → date of **entry in the recipient's books of account**.

Reverse charge on SERVICES — TOS = EARLIEST of (Sec 13(3)): 1. date of **payment**; 2. the day **immediately after 60 days** from the date of the supplier's invoice.

> If neither → date of **entry in the recipient's books**. **Special case — associated enterprises where the supplier is *outside India***: TOS = **earlier of** date of entry in recipient's books **or** date of payment. (Cross-border related-party services have no reliable invoice, so the law leans entirely on the recipient's books/payment.)

Why 30 days for goods but **60 days** for services? Services take longer to complete and invoice, so the recipient is given a longer runway before the "invoice + N days" backstop bites — the same 30-vs-45/60 leniency logic that services get everywhere in GST.

Note the *asymmetry between forward and reverse* charge on the payment side. Under forward charge, "payment" means what the *supplier receives*. Under reverse charge, "payment" means what the *recipient pays to the supplier* — the money flows the same direction, but the *anchoring party* is now the recipient, because he is the one whose records the tax officer will audit. Never carry the forward-charge definition of "receipt of payment" mechanically into an RCM problem without asking *whose* payment event the section names.

Why RCM on goods keeps a "receipt of goods" trigger but forward charge dropped its payment trigger. These are not contradictory. Forward charge dropped the *supplier's payment* trigger for goods to spare small dealers from taxing advances. RCM keeps a *goods-receipt* trigger because the recipient physically taking delivery is the clearest, earliest, least-fakeable evidence that value has moved to the person who must now pay the tax. Different party, different most-reliable witness.

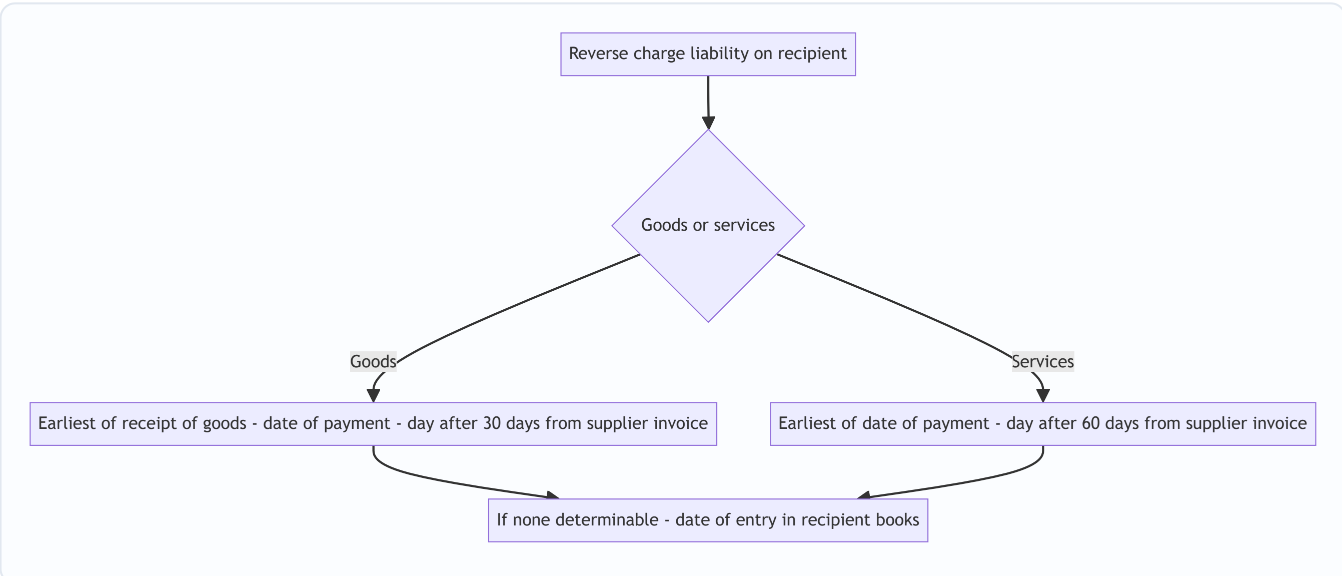

Figure 17.3 — Reverse charge time of supply. Anchored to the recipient's own events because the supplier's invoice is not a reliable marker when the recipient pays the tax.

4.6 Vouchers (Sec 12(4) for goods / 13(4) for services)

A voucher is a **prepaid instrument** — a gift card, a meal coupon. The problem: has a "supply" happened when the voucher is *sold*, or only when it is *redeemed* for actual goods/services? The answer turns on whether we already know *what* will be bought (and hence its tax rate).

> **Rule: TOS of a voucher =** - **If the supply is *identifiable* at the time the voucher is issued → date of *issue* of the voucher.** - **If the supply is NOT identifiable at issue → date of *redemption* of the voucher.**

Why? GST needs to know the rate. A single-purpose voucher (e.g. a coupon redeemable only for a specific 18% product) already tells us the rate, so tax it at issue. A general "₹1,000 gift card" usable across a store of mixed-rate goods gives us no rate yet, so we must **wait until redemption** to know what was actually supplied. **Rate-certainty drives the timing** — the same logic as Sec 9 needing a rate.

The vocabulary examiners hide behind. "Single-purpose voucher" (redeemable for one known type of goods/service at a known rate) maps to *TOS = issue*. "Multi-purpose voucher" or a general gift card maps to *TOS = redemption*. The test is not the *value* on the voucher nor whether it is physical or digital — it is purely **"was the specific supply, and therefore the rate, knowable at issue?"** A ₹500 coupon for "any book" (books being a single rate) can still be identifiable; a ₹500 coupon for "anything in the store" (mixed rates) is not. Read the coupon's *scope*, not its price.

Edge case — expired/unredeemed vouchers (breakage). If a general voucher is never redeemed and lapses, no supply of the underlying goods/services ever occurs, so the redemption-based TOS never triggers. The GST treatment of such lapsed value is unsettled and beyond the core Sec 12(4)/13(4) rule — **do not invent a TOS for unredeemed general vouchers in the exam; confine your answer to the issue-vs-redemption test.**

4.7 Residual rule (Sec 12(5) / 13(5))

Some cases fit none of the above (records missing, unusual facts). The law needs a guaranteed fallback so a supply can never escape a TOS.

> **Residual TOS =** - **where a periodical return must be filed → the date on which that return is *due* to be filed; OR** - **in any other case → the date on which the *tax is paid*.**

This is pure gap-filling. It ties TOS to the next hard administrative deadline (the return due date), so there is always a determinable moment.

When does the residual rule actually bite? Almost never in a well-documented transaction — and that is the point. It is a *safety net*, not a primary rule. You reach it only after every specific trigger in 12(2)-(4) or 13(2)-(4) has failed to yield a date (e.g. no invoice, no ascertainable payment date, no book entry). In the exam, invoke the residual rule **only** when you can affirmatively show the specific limbs are all indeterminable; reaching for it prematurely is a marked error, because the examiner planted enough facts to solve it under the specific rule.

4.8 Time of supply for interest, late fee, penalty for delayed payment (Sec 12(6) / 13(6))

If a supplier charges **interest / late fee / penalty for delayed payment** of consideration, the TOS of *that extra amount* is the **date the supplier *receives* it**. Reason: this add-on is contingent and only becomes real when actually collected, so taxing it on receipt matches its nature.

Why "receipt" and not the usual earliest-of. For the *principal* supply, the law front-loads tax (earliest of triggers) because the value is certain. But interest for late payment is *inherently uncertain* — you do not know if, when, or how much you will collect until it arrives. Taxing an uncertain, contingent amount on an "earliest of invoice/payment" basis would tax phantom income. So the Act sensibly waits for **actual receipt**. This is a rare instance where the law deliberately chooses a *later* trigger — because certainty, not just speed, is a competing value. Note this add-on's *value* is part of the value of supply under Sec 15, but its *timing* is governed here.

4.9 Change in rate of tax — Sec 14 (overrides Secs 12 & 13)

This is the section examiners love, and it exists for one reason: some supplies **straddle** the moment the rate changes. Three events matter — **(1) supply of goods/service, (2) issue of invoice, (3) receipt of payment** — and the rate change sits somewhere in the middle. Sec 14 gives a clean **"2-out-of-3" majority rule**: look at whether invoice and payment happened *before* or *after* the rate change; whichever period holds the majority (2 of the 3 events) decides the rate.

> **Sec 14 logic (applies where supply is *before* OR *after* the rate change):**

Case A — Supply *completed BEFORE* the rate change:

Invoice	Payment	Time of supply	Rate
After change	After change	earlier of invoice/payment	**NEW**
Before change	After change	date of invoice	**OLD**
After change	Before change	date of payment	**OLD**

Case B — Supply *provided AFTER* the rate change:

Invoice	Payment	Time of supply	Rate
Before change	After change	date of payment	**NEW**
Before change	Before change	earlier of invoice/payment	**OLD**
After change	Before change	date of invoice	**NEW**

The shortcut that makes this memoryless — the "2 of 3" test. Take the three events {supply, invoice, payment}. If **two or more** fall on the *same side* of the rate-change date, that side wins: - Supply before + (any two of the three before) → **old rate**; majority after → **new rate**. - Equivalently: when **supply and one other event** are on the same side, that side's rate applies; when supply is alone, the **invoice-and-payment pair** decides.

You never need the two tables above if you internalise: **the majority of the three events wins, and the "time of supply" is the date of whichever event(s) sit on the winning side.**

Reading the tables against the shortcut so you trust it. Take Case A row 2: supply before, invoice before, payment after → two events (supply + invoice) before → old rate, and TOS = date of invoice (the "before-side" event that is a trigger). Case B row 1: supply after, invoice before, payment after → two events (supply + payment) after → new rate, TOS = date of payment. Every row is just "count the majority, then read off the winning-side trigger date." Where supply is *alone* on its side (Case A rows 2 and 3 are *not* this; look at Case A row 1 vs the structure), the invoice+payment pair are together and they decide both the rate and, being the two triggers, the TOS via *earlier of the two*. The tables and the shortcut are the same machine.

> **Payment-date relief under Sec 14:** for the purpose of Sec 14, if payment is credited to the bank account **more than 4 working days after** the rate change, the date of receipt of payment is taken as the **date of bank credit** (not book entry). This narrow proviso stops manipulation of the "book entry" date around a rate change.

Why Sec 14 *overrides* Secs 12 and 13, not the other way round. Secs 12/13 assume a *stable* rate — they only tell you *when*, and *when* silently picks the rate because the rate is constant across the relevant window. But when the rate itself moves mid-transaction, "when" is no longer enough — two supplies with identical TOS under Sec 12 could deserve different rates depending on where the *supply* sat relative to the change. Sec 14 therefore re-computes both the rate *and* the TOS using the three-event majority, and expressly says "notwithstanding sections 12 and 13." The moment a rate-change date appears in a problem straddled by the supply, **stop applying 12/13 and switch to Sec 14** — mixing the two is the single most common way students lose these marks.

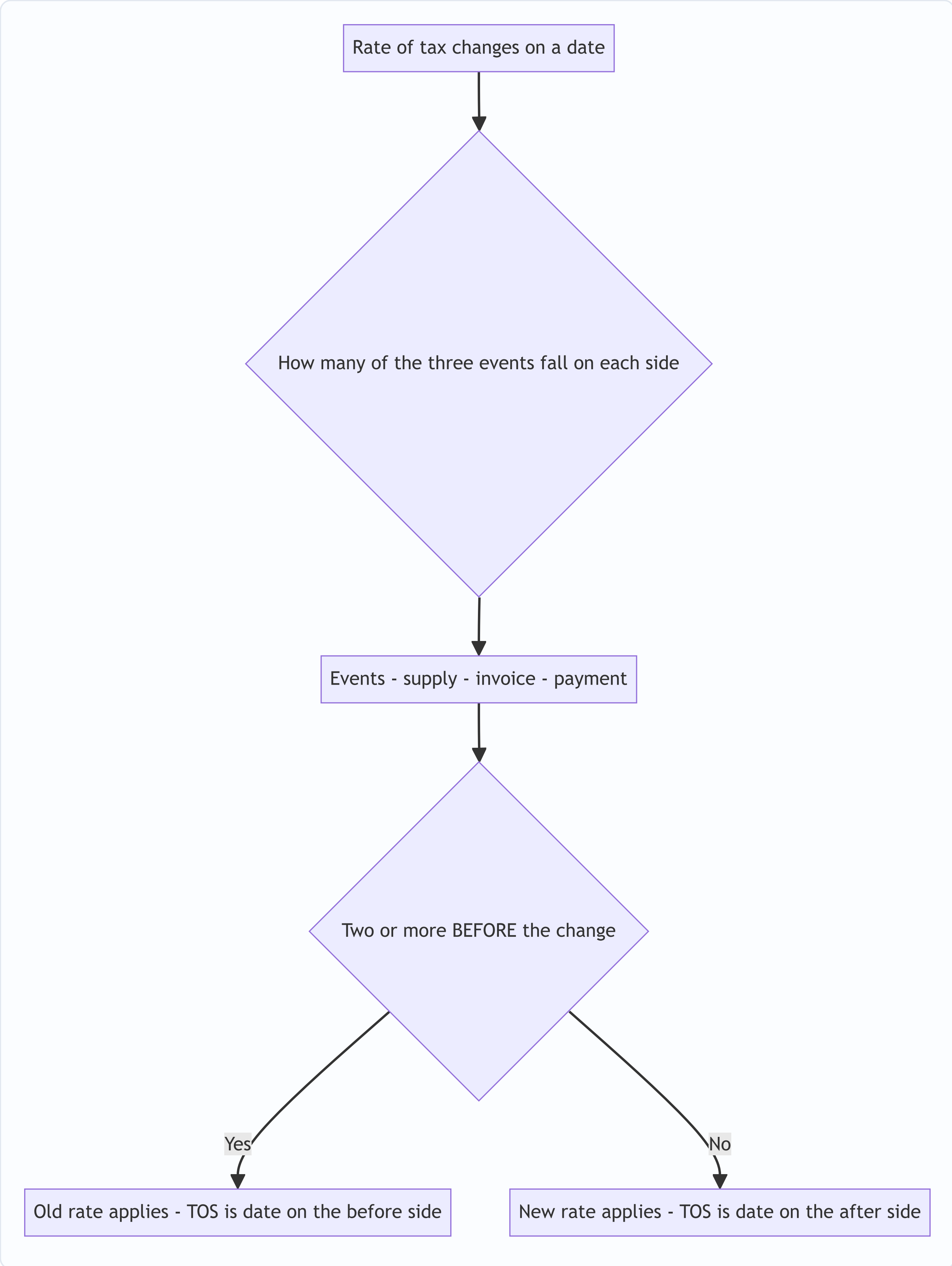

Figure 17.4 — Change in rate of tax under Sec 14. The majority of the three events (supply, invoice, payment) decides the rate and the time of supply.

4.10 The master decision flow — choosing the right rule first

Most wrong answers come not from mis-applying a rule but from applying the *wrong* rule. Before any computation, run this triage: is a rate change straddling the supply (→ Sec 14, stop)? If not, is it forward or reverse charge? Then goods or services? Only then apply the specific limb.

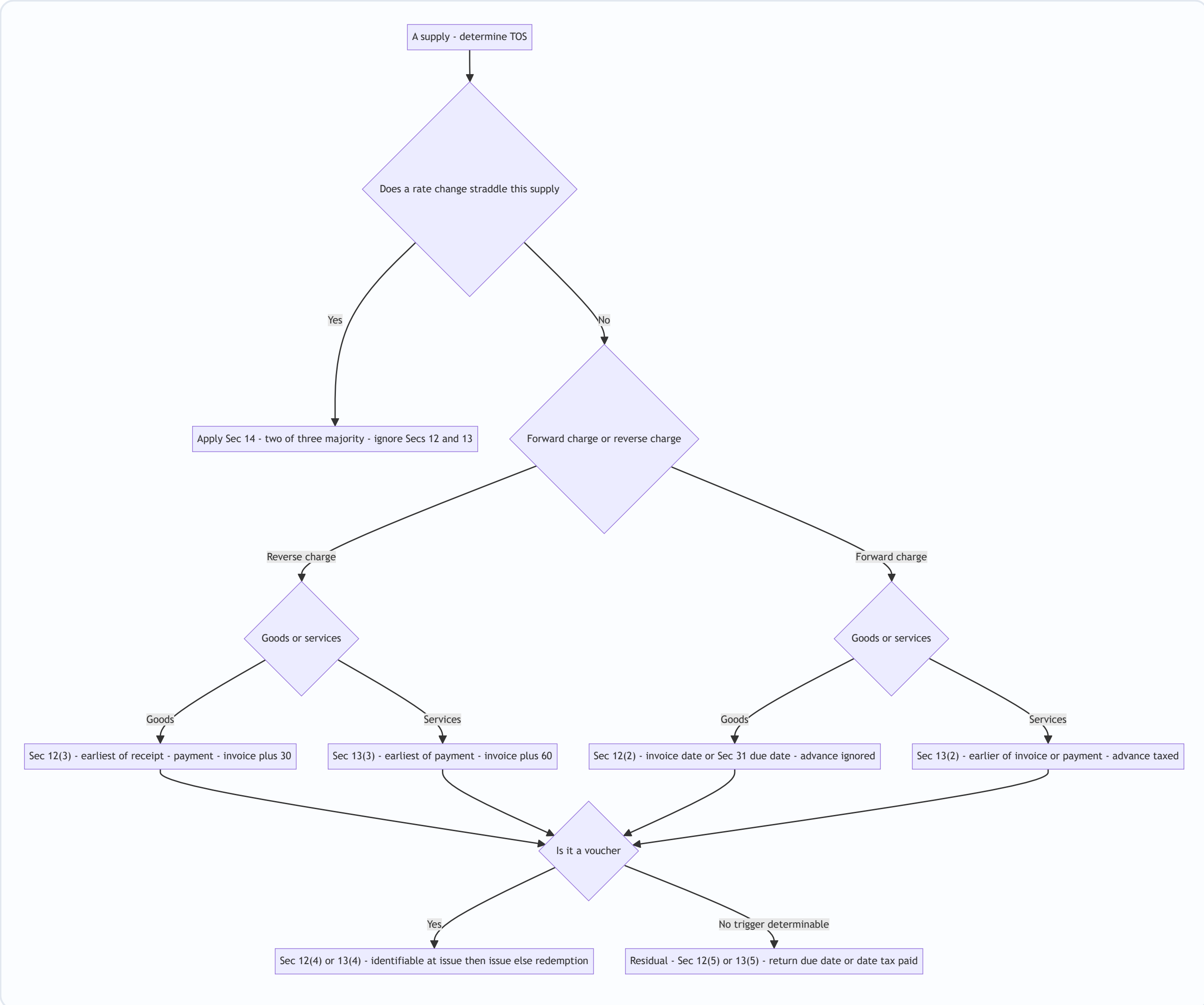

Figure 17.5 — Master triage. Pick the correct rule before computing; Sec 14 pre-empts everything when a rate change straddles the supply.

5. Worked Examples — full, reconciling determinations

Example 1 — Goods, forward charge, late invoice, with an advance

Facts. Rex Ltd manufactures fans (registered, forward charge). For an order: - 5 August — customer pays 30% advance (₹30,000 of ₹1,00,000). - 12 August — goods **removed** from factory for delivery. - 18 August — tax **invoice** issued. - 2 September — balance ₹70,000 received.

Determine the time of supply.

Step 1 — Which rule? Goods, forward charge → **Sec 12(2)**. **Step 2 — Payment trigger?** For goods, the receipt-of-payment trigger is **removed**. So the 5 August advance and the 2 September balance are **both irrelevant** to TOS. **Step 3 — Invoice vs Sec 31 due date.** Movement is involved → invoice due **on/before removal = 12 August**. Actual invoice = 18 August (late). **Step 4 — TOS = earlier of actual invoice (18 Aug) and due date (12 Aug) = 12 August.**

Reconciliation. The whole ₹1,00,000 is taxed with TOS 12 August (August return). The late invoice did not defer tax; the advance did not accelerate it. Both design instincts visible in one example.

Example 2 — Services, forward charge, advance received, invoice within window

Facts. Vega Consultants (registered) render advisory services. - 10 June — client pays ₹40,000 advance. - 28 June — service **completed**. - 5 July — **invoice** for full ₹1,50,000 issued. - 20 July — balance ₹1,10,000 received.

Determine the time(s) of supply.

Step 1 — Rule. Services, forward charge → **Sec 13(2)**. Payment trigger is **live**. **Step 2 — Invoice within window?** Service completed 28 June; invoice 5 July → **7 days**, well within 30 days. So use: TOS = **earlier of invoice date and payment date**, applied to each receipt. **Step 3 — The advance (₹40,000).** Earlier of payment (10 June) and invoice (5 July) = **10 June**. So ₹40,000 has **TOS 10 June** (June return). **Step 4 — The balance (₹1,10,000).** Earlier of payment (20 July) and invoice (5 July) = **5 July**. So ₹1,10,000 has **TOS 5 July** (July return).

Reconciliation. Total consideration ₹1,50,000 = ₹40,000 (taxed June) + ₹1,10,000 (taxed July). The advance-on-service was taxed at receipt — the exact opposite of goods in Example 1. Split TOS is normal for services with advances.

Example 3 — Reverse charge on goods

Facts. Orion Ltd buys goods from an unregistered dealer; the supply is under **RCM**. - Supplier's invoice dated 1 October. - Goods **received** by Orion 6 October. - Orion **pays** the supplier 25 October.

Determine the time of supply.

Rule — Sec 12(3): earliest of - receipt of goods = **6 October**; - date of payment = **25 October**; - day after 30 days from invoice = 1 Oct + 30 = 31 Oct → **1 November**.

TOS = earliest = 6 October. Orion accounts for RCM tax in its **October** return. Note TOS is anchored to *Orion's* events (its receipt of goods), not the supplier's invoice date — because Orion is the one paying the tax.

Example 4 — Reverse charge on services, invoice-plus-60-days backstop bites

Facts. Orion Ltd receives legal services (RCM) from an advocate. - Advocate's invoice dated 1 October. - Orion **pays** on 20 December.

Rule — Sec 13(3): earliest of - date of payment = **20 December**; - day after 60 days from invoice = 1 Oct + 60 = 30 Nov → **1 December**.

TOS = earliest = 1 December. Because Orion delayed payment past the 60-day backstop, the "*invoice + 60 days*" limb fires first. Orion cannot defer RCM tax to December simply by paying late — the backstop pulls TOS into the **December return** period (1 Dec), and interest would run if reported later. Anti-manipulation instinct again.

Example 5 — Change in rate of tax (Sec 14)

Facts. GST rate on a service rises from **12% to 18% on 1 September**. For one engagement: - Service **provided**: 20 August (**before** change). - **Invoice** issued: 3 September (**after** change). - **Payment** received: 28 August (**before** change).

Determine TOS and the applicable rate.

Step 1 — Supply is before the change → Case A. Step 2 — 2-of-3 test. Events: supply (20 Aug, before), invoice (3 Sep, after), payment (28 Aug, before). **Two events (supply + payment) are before** the change → **old side wins → OLD rate 12%. Step 3 — TOS is the date on the winning (before) side that the table specifies.** Invoice after + payment before → TOS = **date of payment = 28 August**, rate **12%**.

Reconciliation with the table. Case A, "invoice after / payment before" → TOS = payment date, OLD rate. Matches. Had the payment *also* been on 3 September (after), then supply alone would be before, invoice+payment both after → majority after → **18%**, TOS = earlier of invoice/payment = 3 September. The single moving fact (payment side) flips the rate — exactly what Sec 14 is designed to resolve cleanly.

Example 6 — Voucher

Facts. A retail chain sells (a) a coupon redeemable only against a specific 18% branded appliance, issued 10 May, redeemed 2 July; and (b) a generic ₹5,000 store gift card usable on any product, issued 10 May, redeemed 2 July.

- **(a) Single-purpose (supply identifiable at issue):** TOS = **date of issue = 10 May** (rate is already known — 18%).
- **(b) General gift card (supply not identifiable at issue):** TOS = **date of redemption = 2 July** (only then is it known what was bought and at what rate).

Reconciliation. Same two dates, opposite TOS — driven purely by whether the rate was knowable at issue. That is the whole of Sec 12(4)/13(4).

Example 7 — Goods, forward charge, "no movement" supply (delivery, not removal)

Facts. Nimbus Ltd sells a large fabrication rig that is **installed at the buyer's site and never physically "removed"** in the ordinary sense — it is *made available* to the buyer on 14 November. Invoice is raised 9 November. An advance of ₹2,00,000 was received on 1 November.

Determine the time of supply.

Step 1 — Rule. Goods, forward charge → **Sec 12(2)**; payment trigger removed, so the 1 November advance is **ignored**. **Step 2 — Which Sec 31 limb?** No movement is involved → invoice due **on/before delivery / when goods are made available = 14 November**. **Step 3 — Invoice 9 November is *before* the due date (14 Nov).** So the invoice is timely and is itself the earlier trigger. **Step 4 — TOS = earliest of invoice (9 Nov) and due date (14 Nov) = 9 November.**

Reconciliation. This is the *early-invoice* mirror of Example 1: because the invoice preceded the Sec 31 deadline, the invoice date governs. The examiner's trap here is twofold — (i) using the "removal" limb when the correct limb is "delivery/made available" for a no-movement supply, and (ii) taxing the 1 November advance, which for goods must be ignored. TOS falls in the **November** return regardless, but for the *right* reasons.

Example 8 — Services, forward charge, invoice issued LATE (window breached)

Facts. Zephyr LLP (registered, general services — 30-day window) completes a service on **5 January**. It issues the invoice only on **20 February** (46 days later — outside 30 days). The client pays on **28 February**. No advance.

Determine the time of supply.

Step 1 — Rule. Services, forward charge → **Sec 13(2)**. **Step 2 — Was the invoice within the 30-day window?** Service provided 5 Jan; 30 days ends 4 Feb. Invoice 20 Feb is **late**. So we drop to limb (b): **TOS = earlier of (date of provision of service) or (date of payment). Step 3 — Compute.** Date of provision = **5 January**; date of payment = 28 February. Earlier = **5 January**. **Step 4 — TOS = 5 January** (January return).

Reconciliation. Because Zephyr blew the 30-day window, the law refused to let the *invoice date* (20 Feb) govern and threw TOS back to the un-manipulable *date of provision* (5 Jan). Zephyr therefore owes tax in the **January** return and interest under Sec 50 for every day it under-reported — a punitive outcome engineered by the anti-delay cap. Contrast Example 2, where a *timely* invoice let the invoice date govern. The single variable that flips the whole answer is *whether the 30-day window was met*.

Example 9 — Change in rate (Sec 14), supply AFTER the change, with the 4-day payment proviso

Facts. GST on a service **falls from 18% to 12% on 1 October**. For one engagement: - Service **provided**: 8 October (**after** change). - **Invoice** issued: 24 September (**before** change). - **Payment**: entered in the supplier's books 27 September (**before**), but actually **credited to the bank on 9 October** — i.e. more than 4 working days after the 1 October change.

Determine TOS and rate.

Step 1 — Supply is *after* the change → Case B. Step 2 — Apply the payment proviso first. Because bank credit (9 Oct) is **more than 4 working days after** the rate-change date (1 Oct), the date of receipt of payment is deemed to be the **date of bank credit = 9 October** (not the 27 September book entry). So *payment counts as AFTER* the change. **Step 3 — 2-of-3 test.** Events: supply (8 Oct, after), invoice (24 Sep, before), payment (9 Oct, after). Two events (supply + payment) after → **new side wins → NEW rate 12%. Step 4 — TOS.** Case B, "invoice before / payment after" → TOS = **date of payment = 9 October**, rate **12%.**

Reconciliation. Without the proviso, a taxpayer could backdate the *book entry* to 27 September to drag payment onto the "before" side and claim the 18%/12% treatment he preferred. The proviso closes that door: once bank credit lands beyond 4 working days of the change, the *bank* date (an independent third-party record) governs. Had the bank credited within 4 working days, the 27 September book entry would have stood and payment would count as *before*, giving supply-after but invoice+payment-before → majority before → **old 18%**, TOS = earlier of invoice/payment. One proviso, opposite result — a favourite examiner pivot.

Example 10 — Reverse charge on services, associated enterprise with a supplier outside India

Facts. Helios Ltd (India) receives management services under RCM from its **parent company located outside India** (an associated enterprise). The parent raises an invoice on 5 March. Helios records the service in its books on **20 February** (accrued earlier) and pays on **15 April**.

Determine the time of supply.

Step 1 — Rule. RCM services → Sec 13(3), *but* this is the **special case**: supplier is an *associated enterprise located outside India*. TOS = **earlier of** (date of entry in the recipient's books) or (date of payment). **Step 2 — Compare.** Book entry = **20 February**; payment = 15 April. Earlier = **20 February**. **Step 3 — TOS = 20 February** (February return).

Reconciliation. Note the ordinary Sec 13(3) triggers (payment, or invoice+60 days) would have pointed at 15 April or ~4 May — *later*. The special associated-enterprise rule deliberately anchors TOS to the *earlier* of book entry or payment, precisely because cross-border related parties can arrange invoices and payments at will, so the law leans on the recipient's *accrual entry* (20 Feb) to catch the value the moment Helios recognised it. The trap is applying the plain "payment or invoice + 60 days" limb and missing that the associated-enterprise-abroad override pulls TOS all the way back to the book entry.

6. Format / Summary Table

Scenario	Section	Time of supply =
Goods — forward charge	12(2)	Date of invoice, or if late/none, **Sec 31 due date** (removal/delivery). *Advance ignored.*
Services — forward charge	13(2)	Invoice in 30/45 days → **earlier of invoice or payment**; else **earlier of provision or payment**; else recipient's book entry. *Advance taxed.*
Goods — reverse charge	12(3)	**Earliest** of: receipt of goods / payment / (invoice + 30 days + 1). Else book entry.
Services — reverse charge	13(3)	**Earliest** of: payment / (invoice + 60 days + 1). Else book entry. Assoc. enterprise (foreign supplier) → earlier of book entry or payment.
Voucher	12(4)/13(4)	Identifiable at issue → **issue date**; else **redemption date**.
Residual	12(5)/13(5)	Return due date; else date tax is paid.
Interest/late fee/penalty	12(6)/13(6)	**Date of receipt** of that amount.
Change in rate	14	**2-of-3** of {supply, invoice, payment} on same side → that side's rate; TOS = date on winning side.

One-line spine: *Forward charge on goods watches the invoice; forward charge on services watches invoice-or-payment; reverse charge watches the recipient's own goods-receipt/payment plus an invoice-plus-N-days backstop; rate changes are decided by majority of three events.*

7. Connections

- **Sec 9 (Charge) → Sec 12–14 (Time):** Sec 9 says *whether* and *how much*; TOS says *when*, and *when* silently fixes *which rate* (Sec 14).
- **Sec 31 (Tax invoice):** TOS of forward-charge supplies is bolted to the Sec 31 invoice due dates. You cannot solve a TOS problem without knowing Sec 31 — study them together. Sec 31(3) documents (receipt voucher, refund voucher, payment voucher for RCM) also surface in TOS problems.
- **Sec 13 of IGST Act / place of supply:** *Time* and *place* of supply together decide *which* tax (CGST+SGST vs IGST) applies *when*. TOS fixes the tax period; place of supply fixes the tax's identity.
- **Sec 50 (Interest):** get TOS wrong → wrong return period → interest for delayed payment. TOS errors are expensive.
- **Reverse charge (Sec 9(3)/9(4)):** TOS under RCM (12(3)/13(3)) only matters once you have determined a supply *is* under RCM — link to the RCM chapter. Under RCM the recipient also issues a **payment voucher** (Sec 31(3)(g)) and, if the supplier is unregistered, a **self-invoice** (Sec 31(3)(f)).
- **Value of supply (Sec 15):** advances on services are taxed at TOS but the *value* on which tax is computed comes from Sec 15; interest/late fee for delayed payment is *valued* under Sec 15 but *timed* under 12(6)/13(6).
- **Input tax credit (Sec 16):** the supplier's TOS drives when he pays tax, which conditions the recipient's ability to safely claim ITC — TOS is a systemic, not private, date.

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8. Traps & Examiner Tricks

1. **Advance on GOODS is NOT taxed; advance on SERVICES IS.** The single most tested distinction. If the question gives an advance on goods, ignore it for TOS; on services, it fixes a TOS.
2. **Late invoice does not defer tax on goods.** TOS drops to the Sec 31 due date (removal/delivery), not the actual invoice date. Students wrongly use the late invoice date.
3. **RCM services backstop is 60 days, goods is 30 days.** Swapping them is a classic error. Also: the trigger is the day *immediately after* the 30/60 days, i.e. invoice date + N + 1.
4. **RCM anchors to the recipient's events, not the supplier's invoice date** (except via the +30/+60 backstop). Do not use "date of invoice" as a standalone RCM trigger.
5. **Sec 14 overrides Secs 12/13.** The instant a question mentions a rate change straddling the supply, abandon the normal rules and run the 2-of-3 test.
6. **"Receipt of payment" = earlier of book entry or bank credit.** Not just bank credit (except the Sec 14 >4-working-days proviso).
7. **Voucher timing is about rate-certainty, not about when cash was taken.** Single-purpose = issue; general = redemption.
8. **Splitting the invoice value across two TOS.** For services with an advance, the advance and the balance can have *different* TOS in *different* months — you must split (Example 2).
9. **Continuous supply** has its own Sec 31 invoice dates (tied to statements/payments); do not apply the plain 30-day rule.
10. **"No movement" goods use the *delivery* limb, not removal.** For goods made available on site (no physical removal), the Sec 31 due date is *delivery/made available*, not removal (Example 7).

11. **Missing the 30/45-day window flips services onto the *date of provision*.** If the invoice is late for a service, do not fall back to the invoice date — fall back to the *date the service was provided* (Example 8). This is the mirror of trap 2 for services.
12. **The associated-enterprise-abroad override for RCM services.** When the RCM supplier is a foreign associated enterprise, TOS is the *earlier of book entry or payment* — often far earlier than the ordinary "payment / invoice + 60" limb (Example 10).
13. **The Sec 14 4-working-days payment proviso.** If bank credit lands more than 4 working days after the rate change, use the *bank-credit* date, not the book entry — this can flip payment to the "after" side and change the rate (Example 9).
14. **Receipt voucher survives the advance-on-goods relief.** No tax on the advance, but a *receipt voucher* is still mandatory. Questions on "what document is issued" trip students who think "not taxed = nothing to do."
15. **Do not reach the residual rule prematurely.** It applies only when every specific trigger is genuinely indeterminable; the examiner usually plants enough facts to solve under the specific limb.

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9. First-Principles Recap

Start from nothing and rebuild the chapter:

1. GST taxes a *supply*, but a supply is smeared across many dates. The tax needs **one** date. → *Time of supply exists.*
2. The exchequer wants money early and cannot let taxpayers stall. → **Earliest-of triggers**, capped by a **statutory invoice deadline (Sec 31)**.
3. **Goods** are a visible physical event; the invoice (capped at removal/delivery) is a reliable marker, and taxing advances on goods was a nuisance, so the payment trigger was switched off. → *Goods TOS watches the invoice only.*
4. **Services** are often continuous and invisible; there is no "removal," so the **payment trigger stays live** and a **30/45-day invoice window** is the anti-delay cap. → *Services TOS = earlier of invoice/payment (or provision/payment if invoice is late); advances taxed.*
5. Under **reverse charge** the recipient pays, so the supplier's invoice is not a trustworthy anchor. → *Anchor to the recipient's goods-receipt/payment, with an invoice+30/60-day backstop; foreign associated enterprise → earlier of book entry or payment.*
6. **Vouchers** need a known rate; if the supply is identifiable at issue, tax at issue, else at redemption.
7. Any gap → **residual rule** (return due date / date tax paid) — a safety net, reached only when specific triggers fail.
8. When the **rate changes** mid-transaction, whichever period holds **2 of the 3 events** (supply, invoice, payment) wins the rate, and TOS is the date on that winning side (Sec 14, overriding 12/13); a payment credited >4 working days after the change is dated by bank credit.
9. Contingent add-ons (interest/late fee for delayed payment) are uncertain, so — uniquely — they are taxed on **actual receipt**, not earliest-of.

Every provision in the chapter is one of these nine sentences. You did not memorise; you *derived*.

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10. Quick-Revision Sheet

Core moment: TOS = earliest legally-fixed trigger; invoice trigger capped by Sec 31 due date. **Triage first:** rate change straddling? → Sec 14. Else forward/reverse → goods/services.

Goods — forward (Sec 12(2)): invoice date, else Sec 31 due date (removal for movement / delivery for no-movement). **Advance IGNORED** (but issue a receipt voucher).

Services — forward (Sec 13(2)): - Invoice within 30 days (45 = banks/NBFC/insurer) → **earlier of invoice or payment**. - Invoice late → **earlier of provision or payment**. - Else → recipient's book entry. **Advance TAXED.** Excess ≤ ₹1,000 → optionally TOS = invoice date (verify figure).

Goods — RCM (Sec 12(3)): earliest of — receipt of goods / payment / (invoice **+30** days +1). Else book entry.

Services — RCM (Sec 13(3)): earliest of — payment / (invoice **+60** days +1). Else book entry. Foreign associated enterprise → **earlier of book entry or payment**.

Voucher (12(4)/13(4)): identifiable at issue → **issue**; else → **redemption**. (Test = was the rate knowable at issue.)

Residual (12(5)/13(5)): return due date; else date tax paid. (Only when specific limbs all fail.)

Interest/late fee/penalty (12(6)/13(6)): date of **receipt** (contingent → wait for the cash).

Receipt of payment = earlier of book entry or bank credit.

Change in rate (Sec 14) — 2-of-3 rule (overrides 12/13): - Supply **before** change: both invoice+payment after → NEW (earlier of the two); one before → OLD (that date). - Supply **after** change: both invoice+payment before → OLD (earlier of the two); one after → NEW (that date). - Shortcut: majority of {supply, invoice, payment} on one side → that side's rate; TOS = date on winning side. Payment >4 working days after change → use bank-credit date.

Golden asymmetries to never forget: advance on goods = ignored / advance on services = taxed; RCM goods +30 / RCM services +60; single-purpose voucher = issue / general = redemption; late invoice on goods → Sec 31 due date / late invoice on services → date of provision; contingent charges → taxed on receipt.

> **Flag:** verify the advance-on-goods exclusion, the ₹1,000 services-excess relief figure, the current RCM list, and any Sec 14 / e-invoicing amendments in the latest ICAI material for your attempt.

Q&A — Time of Supply

> **Law flag:** All section references are to the **CGST Act, 2017** unless stated; the same rules apply mutatis mutandis to the IGST Act, 2017 via **Sec 20 IGST**. Time of Supply (TOS) fixes the **rate, and the tax-period/return** in which the liability crops up. **Amendment sensitivity:** for **goods under forward charge, Notification 66/2017-CT (dated 15-11-2017) removed GST on advances** — so despite the literal words of Sec 12(2), a normal supplier of goods pays tax on the **invoice/removal date only**, not on advances. Advances **for services remain fully taxable** (Sec 13). Composition dealers are outside 66/2017. Re-verify every figure against the ICAI Study Material / RTP for your attempt. Rate-change questions turn on **Sec 14**.

Section A — Concept Check (short Q&A with section citation)

A1. Why does GST need a "time of supply" at all? GST is a **transaction tax charged period-by-period**. The charging section (Sec 9 CGST / 5 IGST) says tax "shall be levied" but is silent on *when* the liability arises. TOS (**Sec 12 for goods, Sec 13 for services, Sec 14 for rate change**) supplies that missing date — it fixes the **tax period** for GSTR-3B and the **rate** to apply.

A2. State the general TOS for goods under forward charge [Sec 12(2)]. Earlier of (a) **date of issue of invoice** or the **last date on which invoice was required u/s 31(1)**, or (b) **date of receipt of payment**. **But** by **Notification 66/2017-CT**, clause (b) is switched off for goods — so effectively TOS = **date of invoice / last date to issue it**.

A3. When must an invoice for goods be issued [Sec 31(1)]? Where supply **involves movement** — **before or at the time of removal**. Where there is **no movement** — **before or at delivery / making available** to the recipient. This "last date" is what plugs into Sec 12(2)(a).

A4. State the general TOS for services under forward charge [Sec 13(2)]. - If invoice issued **within** the Sec 31(2) period (normally **30 days**, **45 days** for banks/NBFC/insurers): earlier of **invoice date** or **payment date**. - If invoice **not** issued in time: earlier of **date of provision of service** or **payment date**. - If neither works: **date recipient shows receipt in his books**. Note advances for services **are** taxable (no 66/2017 relief).

A5. What is the "date of receipt of payment"? Earlier of **(i) date the payment is entered in the supplier's books** or **(ii) date it is credited to his bank account** [Explanation to Sec 12/13].

A6. Give the reverse-charge TOS for goods [Sec 12(3)]. Earliest of (a) **date of receipt of goods**, (b) **date of payment** (per books or bank debit, earlier), or (c) **date immediately following 30 days from the invoice date**. If none is determinable → **date of entry in the recipient's books**.

A7. Give the reverse-charge TOS for services [Sec 13(3)]. Earlier of (a) **date of payment**, or (b) **date immediately following 60 days from invoice date**. If not determinable → **date of entry in recipient's books**. For an **associated enterprise** where the supplier is **outside India** → earlier of **date of entry in recipient's books** or **date of payment**. (Note **60 days for services vs 30 days for goods**, and receipt-of-goods has **no service equivalent**.)

A8. How is TOS of vouchers determined [Sec 12(4)/13(4)]? If the **supply is identifiable at the time of issue** of the voucher → **date of issue**. Otherwise → **date of redemption**.

A9. What is the residual TOS [Sec 12(5)/13(5)]? Where TOS cannot be fixed by the above: if a **periodical return** is to be filed → **due date of that return**; in any other case → **date of payment of tax**.

A10. TOS for interest, late fee or penalty for delayed payment of consideration [Sec 12(6)/13(6)]? The **date on which the supplier receives** such addition to value. (Only that extra amount, not the whole invoice, is re-timed.)

A11. Under Sec 14, which events decide the rate on a change of tax rate? Three events — **(1) supply, (2) invoice, (3) receipt of payment**. The **rate is fixed by whichever two of the three fall on the same side** of the rate-change date; TOS is then the earlier of the two "new-side" events (or the single relevant event).

A12. Sec 14 proviso on payment date near a rate change? "Date of receipt of payment" is the **date of credit in the bank account** if such credit is **after four working days** from the date of change in rate of tax (else the normal earlier-of-books/bank rule).

Section B — Graded Computational Problems (full working, self-checked)

B1 (Easy) — Goods, forward charge, advance received [Sec 12(2) + Notn 66/2017]

Supplier removes goods and issues invoice on **10 Aug**. It had received an **advance of ₹50,000 on 2 Aug**; balance paid **20 Aug**. Find TOS.

Answer. For goods under forward charge, **Notification 66/2017-CT** switches off the "receipt of payment" limb. So the advance of 2 Aug is **ignored**. TOS = **date of invoice = 10 Aug** [Sec 12(2)(a)]. *Trap check:* students who apply the literal "earlier of invoice/payment" would wrongly say 2 Aug for the ₹50,000. ✓

B2 (Easy) — Services, forward charge, advance received [Sec 13(2)]

A consultant provides service and issues invoice **12 Sep** (within 30 days of completion **5 Sep**). He received an **advance ₹20,000 on 1 Sep**; balance ₹80,000 on **15 Sep**. Find TOS.

Answer. Services have **no 66/2017 relief**, so advances are taxable. - On ₹20,000 advance: earlier of invoice (12 Sep) or payment (1 Sep) → **1 Sep** [Sec 13(2)(a)]. - On ₹80,000 balance: earlier of invoice (12 Sep) or payment (15 Sep) → **12 Sep**. TOS: **₹20,000 → 1 Sep; ₹80,000 → 12 Sep.** ✓

B3 (Moderate) — Services, invoice issued late [Sec 13(2)(b)]

Service completed **5 June**; invoice issued **20 July** (i.e. **beyond 30 days**). Full payment received **25 July**. Find TOS.

Answer. Since invoice was **not issued within 30 days**, limb (a) fails and limb (b) applies: earlier of **date of provision of service (5 June)** or **payment (25 July)** → **5 June** [Sec 13(2)(b)]. *Reason:* late invoicing cannot be rewarded with a later TOS. ✓

B4 (Moderate) — Reverse charge on goods [Sec 12(3)]

Registered recipient buys goods under RCM. Invoice by supplier **1 Oct**; goods received **20 Oct**; payment made **5 Nov**. Find TOS.

Answer. Earliest of: - (a) receipt of goods = **20 Oct** - (b) payment = **5 Nov** - (c) 30 days after invoice = 1 Oct + 30 = **31 Oct** Earliest = **20 Oct** [Sec 12(3)]. ✓

B5 (Moderate) — Reverse charge on goods, all dates late [Sec 12(3)(c)]

Under RCM for goods: invoice **1 Oct**; goods received **15 Nov**; payment **10 Dec**. Find TOS.

Answer. (a) 15 Nov; (b) 10 Dec; (c) 31 Oct (30 days after 1 Oct). Earliest = **31 Oct** — the **"30-days" limb bites** because the recipient sat on the goods and payment. [Sec 12(3)(c)] ✓

B6 (Moderate) — Reverse charge on services [Sec 13(3)]

RCM service: supplier's invoice **1 Aug**; payment **20 Sep**. Find TOS.

Answer. Earlier of: - (a) payment = **20 Sep** - (b) 60 days after invoice = 1 Aug + 60 = **30 Sep** Earlier = **20 Sep** [Sec 13(3)]. If payment had instead been on 5 Oct, TOS would be **30 Sep** (the 60-day limb). ✓

B7 (Moderate) — Import of service from associated enterprise [Sec 13(3) proviso]

Indian Co. receives service from its **foreign associated enterprise**. Entry in recipient's books **10 May**; payment **25 August**. Find TOS.

Answer. For associated enterprise with supplier **outside India**, TOS = earlier of **date of entry in books (10 May)** or **payment (25 Aug)** → **10 May**. The 60-day rule does **not** apply to associated enterprises. ✓

B8 (Moderate) — Vouchers [Sec 12(4)/13(4)]

(i) A retailer issues a **₹1,000 gift voucher redeemable only against a specific TV model** on **1 Jan**, redeemed **10 Feb**. (ii) A departmental store issues a **₹1,000 general voucher** on **1 Jan** usable against anything, redeemed **10 Feb**. Find TOS in each.

Answer. - (i) Supply **identifiable at issue** (specific TV) → TOS = **date of issue = 1 Jan**. - (ii) Supply **not identifiable at issue** → TOS = **date of redemption = 10 Feb**. [Sec 12(4)/13(4)] ✓

B9 (Moderate) — Interest for delayed payment [Sec 13(6)]

Invoice value ₹1,00,000 (TOS already fixed at 5 April). Customer pays **60 days late** and, per contract, pays **₹2,000 interest**, received on **20 July**. What is the TOS of the ₹2,000?

Answer. TOS of the interest = **date the supplier receives it = 20 July** [Sec 13(6)]. Only the ₹2,000 addition is re-timed; the ₹1,00,000 keeps its 5 April TOS. ✓

B10 (Exam-Hard) — Change in rate of tax, full Sec 14 grid

Rate changed from **18% to 12% w.e.f. 1 October**. Examine the following independent cases (payment credited to bank within 4 working days each). State the applicable rate and TOS.

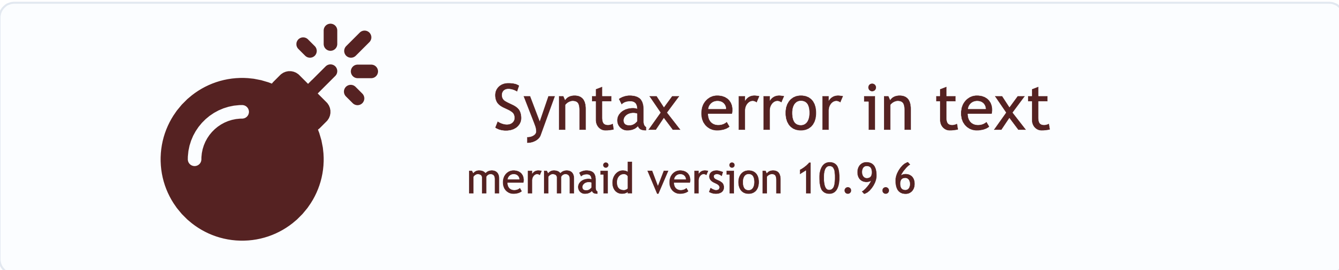
Case	Supply	Invoice	Payment
(a)	25 Sep (before)	5 Oct (after)	8 Oct (after)
(b)	25 Sep (before)	28 Sep (before)	8 Oct (after)
(c)	25 Sep (before)	5 Oct (after)	28 Sep (before)
(d)	5 Oct (after)	28 Sep (before)	25 Sep (before)
(e)	5 Oct (after)	28 Sep (before)	8 Oct (after)
(f)	5 Oct (after)	5 Oct (after)	28 Sep (before)

Answer — rule: the two events on the **same side** as each other decide the rate; TOS = **earlier of the two events falling *after* the rate change** (Sec 14).

Case	Two events deciding	Rate	TOS
(a) supply before; invoice & payment after	invoice + payment (both after)	**12% (new)**	earlier of 5 Oct & 8 Oct = **5 Oct**
(b) supply before; invoice before; payment after	supply + invoice before	**18% (old)**	**28 Sep** (invoice)
(c) supply before; payment before; invoice after	supply + payment before	**18% (old)**	**28 Sep** (payment)
(d) supply after; invoice & payment before	invoice + payment before	**18% (old)**	earlier of 28 Sep & 25 Sep = **25 Sep**
(e) supply after; invoice before; payment after	supply + payment after	**12% (new)**	**8 Oct** (payment)
(f) supply after; payment before; invoice after	supply + invoice after	**12% (new)**	**5 Oct** (invoice)

Self-check: whenever **two of {supply, invoice, payment} lie before 1 Oct → old 18%**; whenever two lie after → **new 12%**. TOS is always the earlier of the post-change events (or the single decisive one). ✓ [Sec 14]

Decision flow — which TOS rule applies



Section C — Past-paper-style full questions with model answers

C1. Determine the time of supply in each independent case, citing the section. (ICAI-style, 5 marks)

1. Goods supplied under forward charge; removal **3 May**, invoice **3 May**, advance ₹10,000 received **28 Apr**, balance **10 May**.
2. Service (forward charge); completed **1 Jun**, invoice **2 Jun**, payment **15 Jun**.
3. Goods under RCM; invoice **4 Jul**, goods received **9 Jul**, payment **1 Sep**.
4. Service under RCM; invoice **1 Aug**, payment **20 Nov**.
5. Voucher for a specified spa package, issued **1 Jan**, redeemed **1 Mar**.

Model answer. 1. Forward-charge goods → **Sec 12(2)** with **Notn 66/2017**: advance ignored, TOS = **invoice/removal = 3 May**. 2. Forward-charge service, invoice within 30 days → **Sec 13(2)(a)**: earlier of invoice (2 Jun) or payment (15 Jun) = **2 Jun**. 3. RCM goods → **Sec 12(3)**: earliest of receipt (9 Jul), payment (1 Sep), 30 days after invoice (3 Aug) = **9 Jul**. 4. RCM service → **Sec 13(3)**: earlier of payment (20 Nov) or 60 days after invoice (30 Sep) = **30 Sep**. 5. Voucher, supply identifiable at issue → **Sec 13(4)** = **date of issue = 1 Jan**.

C2. (a) Explain the time-of-supply provisions on **change in rate of tax** and (b) apply to the given facts. (7 marks)

Rate rises **12% → 18% w.e.f. 1 Sept**. A works-contract **service** was **provided on 28 Aug** (before). Invoice issued **10 Sept**; payment received **5 Sept**. State rate, TOS and reasoning. (Payment credited within 4 working days.)

Model answer. (a) Sec 14 governs supplies straddling a rate change. Where the **supply is *before*** the change: (i) invoice & payment both after → new rate, TOS = earlier of the two; (ii) invoice before, payment after → old rate (TOS = invoice); (iii) payment before, invoice after → old rate (TOS = payment). Where the **supply is *after***: mirror the above with the new rate applying whenever two events fall after. The date of receipt of payment shifts to the bank-credit date only if credited beyond **4 working days** of the change (proviso).

(b) Supply (28 Aug) is **before** 1 Sept; both **invoice (10 Sept) and payment (5 Sept) are after**. Therefore case (i): **new rate 18%** applies, and TOS = **earlier of 10 Sept and 5 Sept = 5 Sept** [Sec 14(a)(i)]. ✓

C3. State, with reasons, the last date for issuing a tax invoice and its impact on TOS. (4 marks)

A goods supplier removes goods on **12 March** but issues the invoice only on **20 March**. No advance. What is the TOS?

Model answer. Under **Sec 31(1)(a)**, for a supply involving movement the invoice must be issued **before or at removal — i.e., by 12 March**. Under **Sec 12(2)(a)** TOS is the earlier of the invoice date or the **last date it *ought* to have been issued**. Since the invoice ought to have been issued by 12 March, TOS = **12 March**, not the delayed 20 March. Late invoicing does not defer the tax. ✓

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. For goods under forward charge, an advance of ₹1 lakh received before invoice is: (a) taxed on receipt (b) taxed on invoice date (c) exempt (d) taxed on delivery **Answer: (b)** — Notn 66/2017 shifts TOS to the invoice date; advance is not separately taxed. [Sec 12(2)]

D2. RCM on services: invoice 1 Jan, payment 10 May, no other data. TOS is: (a) 1 Jan (b) 10 May (c) 2 Mar (61st day) (d) 31 Dec **Answer: (c) 2 Mar** — earlier of payment (10 May) and **60 days after invoice (2 Mar)** = 2 Mar. [Sec 13(3)]

D3. The "date of receipt of payment" means: (a) bank credit date only (b) books entry date only (c) **earlier of books entry or bank credit** (d) invoice date **Answer: (c)** — Explanation to Sec 12/13. (Sec 14 proviso overrides this near a rate change.)

D4. A general-purpose gift card usable at any store, issued 1 Feb, redeemed 20 Feb. TOS: (a) 1 Feb (b) **20 Feb** (c) either (d) exempt **Answer: (b)** — supply not identifiable at issue → date of redemption. [Sec 13(4)]

D5. RCM on goods: invoice 5 Apr, received 25 Apr, payment 30 Apr. TOS: (a) **5 May** (b) 25 Apr (c) 30 Apr (d) 5 Apr **Answer: (a) 5 May** — earliest of receipt (25 Apr), payment (30 Apr), **31st day after invoice (5 May)**? Recompute: 5 Apr + 30 days = 5 May; earliest is **25 Apr**. Correct answer is **(b) 25 Apr**. *(Trap: the 30-day limb 5 May is later than actual receipt; always pick the earliest.)* [Sec 12(3)]

D6. Rate changes 18%→28% on 1 July. Supply 20 June, invoice 20 June, payment 5 July. Applicable rate: (a) 28% (b) **18%** (c) average (d) nil **Answer: (b) 18%** — supply and invoice both before 1 July (two of three) → old rate, TOS = 20 June. [Sec 14]

D7. Interest received for delayed payment of consideration is taxed at TOS = (a) original invoice date (b) **date supplier receives the interest** (c) year-end (d) due date of return **Answer: (b)** — Sec 12(6)/13(6).

D8. Residual TOS where a periodical return must be filed is: (a) date of payment of tax (b) **due date of that return** (c) date of supply (d) 30 days from invoice **Answer: (b)** — Sec 12(5)(a)/13(5)(a).

Exam pointers / traps recap

- **Goods vs services split:** advances taxable for **services**, not for **goods** (Notn 66/2017) — the single most-tested trap.
- **RCM limbs:** goods use **receipt of goods + 30 days**; services use **60 days** with **no receipt-of-goods** limb.
- **Sec 12(2)(a) "last date u/s 31"** means late invoicing never pushes TOS forward.
- **Sec 14:** always identify the **two events on the same side** first; TOS is the earlier post-change event.
- **Associated enterprise (foreign supplier):** 60-day rule disabled — earlier of books-entry or payment.
- Cite the **CGST Act** section; note IGST supplies borrow these via **Sec 20 IGST**.

Chapter 18 — Value of Supply

> **Rates / thresholds / amendments flag:** This chapter teaches the *logic and mechanism* of valuation under Section 15 of the CGST Act, 2017 and the Chapter IV Valuation Rules (Rules 27–35 of the CGST Rules). The *rules* here are extremely stable, but the specific rates used inside the examples, the notified TCS rate, and any fresh amendments to the Rules must be **verified against current ICAI study material for your attempt.** The framework below is permanent knowledge.

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1. The Problem — Why GST cannot just say "tax the price"

GST is an **ad valorem** tax: it is a *percentage of value*, not a flat rupee amount per unit. CGST + SGST at 18% on a ₹1,000 sale is ₹180; the whole revenue of the nation hangs on that word **value**. So the single most dangerous question in the entire GST law is deceptively simple:

> **Value of *what*, exactly?**

If the law naively answered "the price on the invoice," four separate leaks would open up immediately — and each one is a genuine revenue hole, not a technicality:

Problem 1 — Parties can simply write a smaller number. A seller and buyer who are friends, relatives, or two arms of the same company can agree to show ₹100 on the invoice for something worth ₹1,000, settle the real ₹900 in cash or as a "loan," and starve the exchequer. Price is whatever two people *say* it is; the tax base cannot be left to their honesty.

Problem 2 — The "price" is often not the whole consideration. Suppose I sell you a machine for ₹1,00,000 but I also make you pay the ₹5,000 freight, ₹2,000 installation, and a ₹3,000 municipal levy separately. Economically you paid ₹1,10,000 to *get that machine working*. If tax only hit the ₹1,00,000 "price," every seller would unbundle charges into a dozen side-invoices and shrink the taxable base to nothing.

Problem 3 — Sometimes there is no price at all. I give goods to my sister-concern for free (stock transfer to another State), or I barter a designing service for a laptop, or I pay partly in old-gold exchange. There is a *supply* — GST is due — but no clean money price exists to tax. The law still needs a number.

Problem 4 — Subsidies and discounts distort the raw price in opposite directions. A government subsidy can make the sticker price *artificially low* (the supplier's true realisation is higher). A trade discount can make the invoice *artificially high* relative to what the buyer really pays. Tax should follow economic reality, not the raw figure.

The **cascade-killing promise of GST** — tax only on the *value added* at each stage — only works if "value" at each stage is measured honestly and consistently. A wrong value poisons the whole chain, because the buyer's input tax credit (ITC) equals the tax the seller charged on that value. **Get value wrong and you either under-tax the nation or over-credit the buyer.** That is why an entire, carefully lawyered mechanism — Section 15 plus a ladder of fallback Rules — exists purely to pin down one number.

A fifth, quieter problem the design also anticipates — the *currency* and *timing* of value. Even when there *is* a clean price, it may be denominated in dollars (imports), or bundled with tax (MRP-style retail), or realised over months in a credit sale where "late-payment interest" trickles in later. A robust valuation regime must therefore also fix *the rate of exchange* (Rule 34), *how to strip embedded tax* (Rule 35), and *when* a delayed-payment charge enters value (Sec 15(2)(d) read with time of supply). Value is not only "how much" but "how much, in what currency, net of what, as at what moment." Hold this wider frame — the exam loves to hide a Rule 34/35 twist inside an otherwise ordinary Sec 15 sum.

2. The Core Idea

> **The default value of a supply is the *transaction value* — the actual price paid or payable — but ONLY when (a) the two parties are unrelated and (b) the price is the *sole* consideration. The law then surgically adds back things sellers try to strip out of the price (Sec 15(2)) and subtracts things that were never really part of it (Sec 15(3)). If, and only if, the transaction value cannot be trusted or does not exist, the law climbs a fallback ladder of Valuation Rules to *construct* a value.**

Three load-bearing ideas fall out of this and organise the whole chapter:

1. **Trust the price by default.** In an arm's-length cash deal, the price two independent parties struck *is* the fairest measure of value. The law is not paternalistic; it accepts the market. This is the "transaction value" of **Sec 15(1)**.
2. **But police the price.** Because sellers game the raw figure, Sec 15(2) forces certain amounts *in* (inclusions) and Sec 15(3) allows certain amounts *out* (discounts) — each adjustment is a direct answer to Problems 2 and 4 above.
3. **Replace the price only as a last resort.** When trust breaks (related parties — Problem 1) or the price is missing (barter, free supply — Problem 3), Sec 15(4)/(5) hands over to the Valuation Rules, which reconstruct value from open-market prices, cost, or a residual best-judgement method — always the *closest available proxy* for a real arm's-length price.

Everything else is detail hanging off these three hooks.

One sharpening most students miss — "transaction value" is a *legal term of art*, not "the invoice figure." The transaction value under Sec 15(1) is the price *after* the surgery of 15(2) and 15(3). So when an exam says "transaction value is ₹X," it usually means the *raw price* — you must still run the inclusions and exclusions to reach the *value of supply*. Read "transaction value" as "the starting price that is then adjusted," never as "the final answer." This one habit prevents a large family of silly mistakes.

3. Why It's Built This Way — the design logic behind each lever

Before a single sub-section, understand the *design choices*, because every rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
Accept the actual price by default	Don't second-guess honest markets; keep compliance simple	Transaction value, Sec 15(1)
Two conditions on that default	Price is only trustworthy if arm's-length and cash	"Not related" + "price is sole consideration", Sec 15(1)
Force incidental charges back in	Sellers unbundle to shrink the base (Problem 2)	Inclusions, Sec 15(2)
Add non-GST taxes/levies to value	Otherwise base excludes real cost borne	Sec 15(2)(a)
Add third-party payments the buyer owed the supplier	Consideration routed around the invoice	Sec 15(2)(b)
Add interest, late fee, penalty for delayed payment	These are part of the real price of credit	Sec 15(2)(d)
Add non-refundable subsidies	Subsidy props up a low sticker price (Problem 4)	Sec 15(2)(e)
Allow only *disclosed* discounts out	Discounts are real, but fake post-hoc discounts hide value (Problem 4)	Sec 15(3) — pre-supply vs post-supply conditions
Fallback Valuation Rules	No price, or untrustworthy price (Problems 1 & 3)	Sec 15(4)/(5) → Rules 27–35

The elegance to internalise: **Section 15 is a filter, not a formula.** It starts from the invoice price and makes *minimal, targeted* corrections. It never rebuilds value from scratch unless the price itself is disqualified. This "least intervention" philosophy is why GST valuation is far simpler than the old Central Excise valuation regime — and why the exam rewards you for knowing *which lever applies*, not for memorising a mega-formula.

One more foundational note on scope: **GST value under Sec 15 is exclusive of the GST itself.** You compute value first, then apply the rate. CGST, SGST/UTGST, IGST and the Compensation Cess are *not* part of the value (Sec 15(2)(a) deliberately carves them out — see below). Tax is not levied on tax.

Why a *ladder* of Rules and not a single formula — the deeper reason. A single formula (say, "always use cost + 10%") would be either too crude (it ignores a perfectly good market price sitting right there) or too manipulable (cost figures can be dressed). By ranking methods — market price first, comparable price next, cost only when no market exists, best-judgement only when even cost fails — the law guarantees that value is always the *most reliable evidence available in that fact pattern*. The ladder is an *evidence hierarchy*, exactly like the "best evidence" idea in auditing: prefer external, objective, market-tested numbers; fall back to internal, constructed numbers only under compulsion. Recognising the ladder as an evidence hierarchy tells you *why* you can never skip a rung upward: you would be choosing weaker evidence over stronger.

Why two gatekeeper conditions and not one. "Unrelated" polices *who* the parties are; "sole consideration" polices *what* changed hands. They fail independently: two unrelated strangers can still barter (money-only fails though they are unrelated), and a parent–subsidiary can still transact in pure cash at a rigged number (relatedness fails though it is money-only). Because the failure modes are orthogonal, the law needs both switches — and the exam routinely trips only *one* of them to test whether you check both.

4. Full Technical Content — Section 15 and the Valuation Rules, with the "why"

4.1 The charging link — why Sec 15 even exists

Sec 15 does not levy tax; the charging sections (Sec 9 of CGST, Sec 5 of IGST) do. Sec 9(1) says CGST is levied "on the value of supply *determined under Section 15*." So **Sec 15 is the plug that feeds a number into the charging section.** No value, no charge. This is the mechanical reason the whole chapter matters.

A subtle consequence worth stating: because Sec 15 is *common* to CGST, SGST/UTGST and IGST (IGST Sec 5 also borrows Sec 15 via the IGST Act), **there is exactly one "value of supply" for a transaction**, whether it turns out to be intra-State (CGST+SGST) or inter-State (IGST). The place of supply decides *which* tax and *how many* heads; Sec 15 decides *the base*. Never compute two different values for the two heads — split the *tax*, not the *value*.

4.2 Sec 15(1) — Transaction value: the default, and its two gatekeeper conditions

> **Sec 15(1): "The value of a supply of goods or services or both shall be the *transaction value*, which is the *price actually paid or payable* for the said supply of goods or services or both where — (i) the supplier and the recipient of the supply are *not related*, and (ii) the *price is the sole consideration* for the supply."**

Unpack the four key phrases:

- **"Price actually paid or payable"** — actual, not notional; and *payable* means an amount owed but not yet paid still counts. You cannot escape value by delaying payment.
- **"Not related"** — because related parties can rig the price (Problem 1). "Related persons" is defined in the **Explanation to Sec 15**: persons are related if they are officers/directors of one another's business, legally recognised partners, employer–employee, one holds ≥25% of shares in both / in the other, one controls the other, both are controlled by a third, together they control a third, they are members of the same family, or they are sole agent/distributor of each other. *Persons associated in business where one is the sole agent, sole distributor, or sole concessionaire of the other are deemed related.*
- **"Sole consideration"** — because if the buyer also gives something *other than money* (a barter, an exchange, a free mould), the money price alone understates value (Problem 3 in mild form). If there is additional non-monetary consideration, transaction value under 15(1) may still be used *after adding the money value of that extra consideration* — but if it cannot be so quantified cleanly, you fall to the Rules.

Memory hook — "R.S." disqualifies the price: Related, or not Sole consideration. If either is true, Sec 15(1) is off the table and you go to the Rules (via 15(4)).

Finer distinction 1 — "related" is a *status* test, not a *price* test. Note what Sec 15(1) does *not* say: it does not say "value = price unless the price looks too low." Relatedness disqualifies the price *automatically*, even if the related-party price happens to be perfectly fair. That is why the escape hatch lives in the *Rules* (especially Rule 28's full-ITC proviso and the OMV route), not in a "reasonableness" test inside 15(1). Conversely, an *unrelated* deal at a suspiciously low price is **still governed by 15(1)** — the department cannot substitute value merely because it thinks unrelated strangers underpriced. Low price between strangers is their business; the law trusts arm's-length bargaining.

Finer distinction 2 — the family/HUF edge of the Explanation. "Members of the same family" pulls in spouse, children, and *dependent* parents/grandparents/siblings (per the definition of "family" in the Act) — but a married, financially independent sibling is generally *not* "family" for this purpose. Examiners test whether you know that not every relative is a "related person." Flag any borderline relationship and reason from the statutory list rather than intuition. *(Verify the exact "family" definition wording in current ICAI material.)*

Finer distinction 3 — the ₹25% cross-holding trigger. One person holding ≥25% of the voting shares *in both* enterprises makes them related. A 24% holding does not. This is a bright-line the examiner can dial just under or over the threshold — read the percentage carefully.

4.3 Sec 15(2) — Inclusions: what must be ADDED to the transaction value

These are the "add-backs" — amounts sellers try to keep off the taxable price. **Every clause answers "the seller shifted real cost off the invoice; drag it back."** There are five clauses, (a) through (e).

Clause	What is included	The WHY	Watch-out
15(2) (a)	Any taxes, duties, cesses, fees, charges levied under *any law other than* CGST/SGST/UTGST/IGST/GST-Compensation-Cess Acts, **if charged separately by the supplier**	These are real amounts the recipient pays to *get* the supply; only GST itself is excluded (no tax on tax)	Examples included: municipal taxes, TCS under Income-tax Act *(see trap 8.6)*, entertainment tax by local body. **GST itself is NOT included.**
15(2) (b)	Amount the *supplier* is liable to pay but which the *recipient* has paid, and which is **not** already in the price	Consideration routed around the invoice — the buyer discharged the seller's obligation, so it is part of the real price	e.g. buyer pays a fee the supplier legally owed
15(2) (c)	**Incidental expenses** — commission, packing, and any amount charged for anything done by the supplier *at the time of, or before, delivery*	These are costs of *making the supply delivery-ready*; unbundling them into side-charges would shrink the base (Problem 2)	Packing, weighing, loading, inspection, testing, design charges before supply
15(2) (d)	**Interest, late fee, or penalty for delayed payment** of any consideration	The price of credit is part of the price; a buyer who pays late effectively bought on more expensive terms	Time of supply of this interest is *when the supplier receives it* (Sec 12/13) — it is taxed when actually received, not accrued
15(2) (e)	**Subsidies directly linked to the price**, EXCLUDING subsidies given by the Central/State Government	A price-linked subsidy from a *non-government* party props up an artificially low sticker price; the supplier's true realisation includes it	**Government subsidies are NOT included** — deliberately excluded to avoid taxing public support. Subsidy is added in the hands of the *supplier who receives it.*

Memory hook for inclusions — "T-P-I-I-S": Taxes (other than GST), **P**ayments made by recipient on supplier's behalf, **I**ncidental expenses, **I**nterest/late fee/penalty, **S**ubsidy (non-government, price-linked).

Two of these repay careful thought:

- **15(2)(a) and the "no tax on tax" principle.** The clause *includes* every other levy but *excludes* GST. This is the statutory expression of the anti-cascade promise: GST is charged on a value that is itself free of GST, but not free of, say, a municipal levy the buyer genuinely paid.
- **15(2)(e) subsidies — direction of the flow matters.** A subsidy is included in the value only if it is (i) *directly linked to the price* and (ii) *not from the government*. A lump-sum or non-price-linked grant is out. A government subsidy is out. The reason: value should reflect what the *supply* is worth to the market; a private party paying part of the price on the buyer's behalf is really topping up the price.

Now the finer distinctions the exam mines out of these five clauses:

- **"Charged separately" is the trigger for 15(2)(a), not for the whole of 15(2).** Clause (a) only bites when the *other* tax is shown as a separate line. If a municipal levy is already *baked into* the basic price, you do not add it again — it is already in. Watch for double counting: an examiner may list "basic price ₹5,00,000 (inclusive of local cess)" and then also list "local cess ₹20,000" as a distractor.
- **15(2)(b) — the "on behalf of the supplier" test.** The buyer paying *its own* obligation is *not* an add-back. Only when the buyer discharges a liability that *the supplier* was legally bound to pay does it come back in. Classic fact pattern: freight. If the *supplier* was contractually liable for freight but the *buyer* paid the transporter directly, add it. If the *buyer* was always liable for its own inward freight (FOR-buyer terms), it is not the supplier's cost and there is nothing to add under (b). Read *whose obligation it was*.
- **15(2)(c) — the "before or at the time of delivery" cut-off.** Only charges for things the supplier does *up to and including delivery* are incidental expenses that must be included. A charge for something done *after* delivery — e.g. an *optional*, separately-contracted post-delivery maintenance visit — is a *separate supply*, valued on its own, not glued into the goods' value. The word "delivery" is the hinge: pre-delivery loading/packing/inspection = include; a genuinely post-delivery, independent service = value separately. (Do not confuse this with a *composite supply* where a bundled ancillary is naturally tied to the principal supply — there you tax the whole bundle at the principal rate.)
- **15(2)(d) — interest is on *delayed payment*, and it is taxed on *receipt*.** Two traps in one clause. First, the interest, late fee or penalty must relate to *delayed payment of the consideration* — a *penalty for breach of some other contractual term* (say, damages for defective quality) may be a different animal (possibly a separate "tolerating an act" service or not a supply at all) — read what the charge is *for*. Second, even genuine delayed-payment interest enters value only *when received* (Sec 12(6)/13(6)), so an accrued-but-unpaid interest is not yet valued. Many students add accrued interest — wrong.
- **15(2)(e) — "directly linked to the price" is doing heavy lifting.** A subsidy that reduces the *per-unit* or *per-transaction* price is price-linked and (if non-government) included. A capital subsidy, a research grant, or a lump-sum viability-gap payment not tied to unit price is *not* price-linked and stays out even from a private party. And regardless of linkage, a **Central/State Government** subsidy is always out. Ask two questions in order: (1) *price-linked?* — if no, out; (2) *from government?* — if yes, out.

4.4 Sec 15(3) — Exclusions: discounts that come OUT of value

> **A discount is a genuine reduction in the real price — so it should reduce value. But a fake, undisclosed, after-the-fact "discount" is just a way to hide value (Problem 4). So the law splits discounts by *timing* and imposes conditions on the risky kind.**

Discount type	Condition to be deducted (Sec 15(3))	The WHY
Before/at the time of supply — 15(3)(a)	Must be **recorded in the invoice**	If it's on the face of the invoice, it's transparent and real; no manipulation risk
After the supply — 15(3)(b)	Allowed ONLY if **(i)** it is established in terms of an *agreement entered into at or before the time of supply* AND *linked to relevant invoices*, AND **(ii)** the **ITC attributable to the discount has been reversed by the recipient**	Post-supply discounts are the classic dodge. Both conditions plug it: the deal must pre-exist (not invented later), and the buyer must give back the credit he took on the discounted portion (else the chain over-credits)

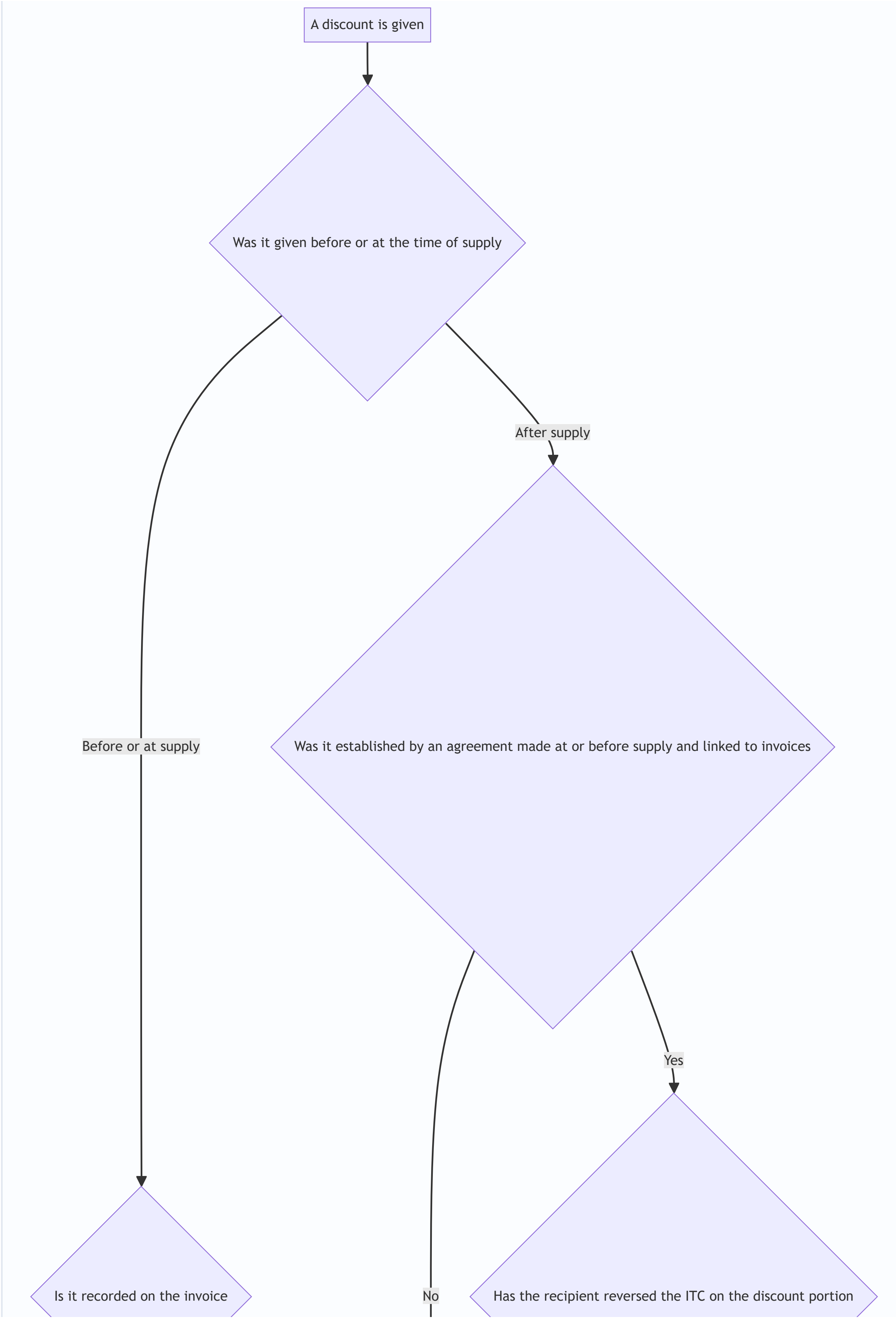
Why the ITC-reversal condition is non-negotiable. Recall GST's chain: the buyer claimed ITC equal to the tax the seller charged. If the seller later reduces value via a discount (and reduces his output tax by a credit note), but the buyer keeps the *full* ITC, the buyer now holds more credit than tax that exists in the system — a leak. So the law says: you may reduce value post-supply only if the buyer *reverses* the matching ITC. This is a beautiful, self-consistent anti-cascade safeguard.

Trap to bank now: a post-supply discount decided *after* the supply with **no pre-existing agreement** (e.g. a year-end volume bonus dreamt up in March) is **NOT deductible** — value stays gross. Only *pre-agreed* post-supply discounts qualify.

Finer distinction — the four cumulative locks on a post-supply discount. To deduct a post-supply discount you need *all four*: (1) an agreement existing *at or before* the time of supply; (2) the discount *linked to specific relevant invoices*; (3) a *credit note* issued by the supplier (to reduce his output tax); and (4) *ITC reversal* by the recipient. Miss any one and the discount stays in value. Examiners love to give three of the four and withhold the fourth (usually the ITC reversal, or the pre-existing agreement). Treat the four as a checklist.

Finer distinction — "linked to relevant invoices" defeats the blanket year-end rebate. Even a *pre-agreed* discount fails if it cannot be tied back to particular invoices. A flat "2% turnover rebate" that cannot be mapped to the underlying supplies struggles the linkage test. So a discount can be pre-agreed yet still non-deductible for want of invoice-linkage — a two-step trap.

Edge — free samples and "buy-one-get-one". A genuine *free sample* given without consideration to an unrelated party is not a "discount" at all — it is a separate question of whether it is even a supply (and of ITC on the samples). Do not force it into 15(3). BOGO ("buy one get one free") is really *two units supplied for one price* — value the whole consideration for both units; it is a price structure, not a Sec 15(3) discount. Classify the arrangement *before* reaching for the discount clause.



A discount is given
Was it given before or at the time of supply
After supply
Before or at supply
Was it established by an agreement made at or before supply and linked to invoices
Yes
Is it recorded on the invoice
No
Has the recipient reversed the ITC on the discount portion

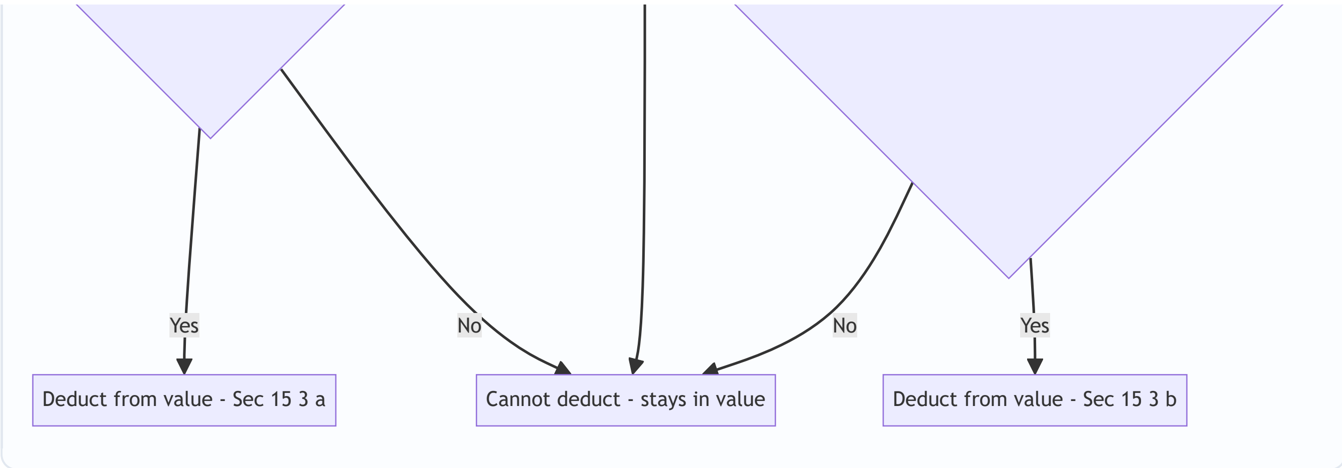


Figure 2 — Discount gate: pre-supply discounts pass if disclosed on the invoice; post-supply discounts pass only through both locks (pre-agreement AND ITC reversal).

4.5 Sec 15(4) & 15(5) — the handover to Rules

> **Sec 15(4):** Where value *cannot be determined* under 15(1) — i.e. parties are related, or price is not the sole consideration — value "shall be determined in such manner as may be prescribed" → the **Valuation Rules (Rules 27–31)**.
>
> **Sec 15(5):** Notwithstanding 15(1)/(4), the value of *notified* supplies shall be determined as prescribed → special Rules (32–35), covering specific sectors (foreign exchange, air travel agents, life insurance, second-hand goods, tokens/vouchers, pure agents, rate of exchange).

Note the force of "notwithstanding" in 15(5). For the *notified* supplies (forex, air-agent, insurance, second-hand goods, etc.), the special Rule *overrides* even a perfectly good transaction value. You do **not** first try 15(1) and only then reach Rule 32 — for those sectors the special Rule is the *primary* method. This is the opposite hierarchy from 15(4)'s Rules, which are strictly *fallbacks*. Getting this direction wrong (e.g. computing an air agent's value on the full fare "because there was a price") is a conceptual error, not a small slip.

4.6 The Valuation Rules ladder (Rules 27–31) — how value is *constructed* when the price fails

The Rules are a **sequential ladder**: you use Rule 27, and only if it can't apply do you drop to 28, then 29, 30, 31. **The philosophy throughout: find the closest available proxy to a real arm's-length price.**

Rule	Applies when	How value is built	The WHY
Rule 27	Consideration is **not wholly in money** (barter, exchange)	(a) **Open market value (OMV)**; if not available → (b) money consideration **+ money-equivalent of the non-money part**; if not → (c) value of **like kind and quality** supply; if not → (d) Rule 30 or 31	Problem 3: no clean price. Start from what the same thing sells for in the open market
Rule 28	Supply between **related / distinct persons** (not through agent)	(a) **OMV**; else (b) value of **like kind and quality**; else (c) Rule 30/31. **Proviso 1:** where recipient is eligible for **full ITC**, the value declared on the invoice is **deemed to be the OMV**	Problem 1: price is rigged. But if the buyer gets full ITC, any value is revenue-neutral (tax paid = credit taken), so the law pragmatically accepts the invoice
Rule 29	Supply made **through an agent**	(a) **OMV**, OR at supplier's option **90% of the price** charged by the recipient-agent to *his* unrelated customer (for like goods); else (b) Rule 30/31	Agent situations have a natural downstream price to anchor to — the 90% option gives a clean proxy
Rule 30	Value not determinable by 27–29	**110% of cost** of production / acquisition / provision (cost-plus)	When no market anchor exists, build up from cost + a standard 10% margin
Rule 31	Value not determinable even by 30	**Residual / best-judgement** — reasonable means consistent with the principles of Sec 15	The final safety net; for *services*, the supplier may skip Rule 30 and use Rule 31 directly

Memory hook — the ladder "OMV → Like → Cost+10% → Best judgement." OMV is always the first choice in every rule, because it is the truest proxy for an arm's-length price. Cost-plus (Rule 30, 110%) and best-judgement (Rule 31) are only for when no market comparison exists.

Define the anchors precisely — the exam quietly rewards exact definitions:

- **Open Market Value (OMV):** the *full money value* (excluding GST) that a person would pay at the *same time* the supply is made, in a transaction where supplier and recipient are *unrelated* and price is the *sole consideration*. Note the built-in constraints: *same time* and *arm's-length* — an OMV from a different period or a related deal does not qualify.
- **"Like kind and quality":** a supply *closely or substantially resembling* the one being valued in respect of characteristics, quality, quantity, functional components, materials, and reputation. It is the comparable-uncontrolled-price idea: near-identical goods/services, not a loose analogue.

Rule 28 second proviso — the *goods for further supply as such* option. Beyond the full-ITC proviso, Rule 28 has a second proviso: where the recipient intends to supply the goods *as such* (i.e. onward, unchanged, like a distributor), the supplier *may* declare, as OMV, an amount equal to **90% of the price charged by the recipient to his unrelated customer** — mirroring the agent logic of Rule 29. Know that this optional 90% route exists for related-party *distributors*, not only for agents. *(Verify current wording in ICAI material.)*

Rule 29 finer point — the 90% option is the *supplier's* choice and needs a downstream unrelated price. It only works if the agent onward-sells *like goods to an unrelated customer* and that price is known. If the agent's onward customer is himself related, the 90% anchor collapses and you are back to OMV / Rule 30–31.

Rule 30 finer point — "cost" means cost as per the ordinary principles (for goods, generally cost of acquisition/production; the ICAI material aligns this with cost-accounting/CAS notions), then +10%. The 10% is a *fixed statutory margin*, not a negotiable markup. Do not "adjust" it.

Rule 31 finer point — the services shortcut. Ordinarily the ladder is strict (30 before 31). But the *proviso to Rule 31* lets a *supplier of services* **skip Rule 30 and go straight to Rule 31** (best judgement). Rationale: a service often has no meaningful "cost of production" to mark up, so forcing cost-plus is artificial. Goods enjoy no such shortcut.

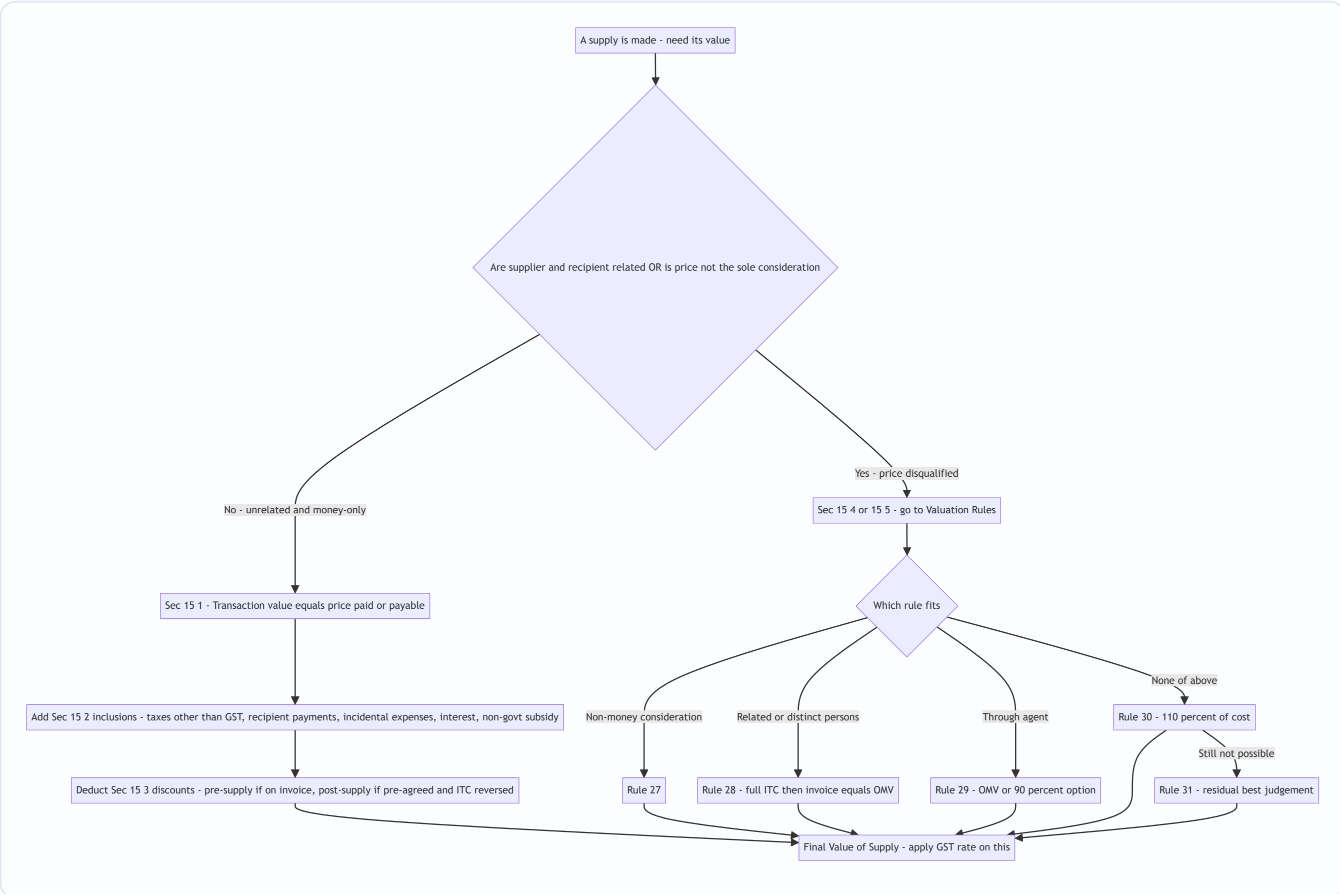


Figure 1 — The valuation decision spine: trust the price (Sec 15) unless it is disqualified, then climb the Rules ladder. Read left path first; the right path is the exception.

4.7 Selected special valuation Rules (Rule 32) — because some sectors have no ordinary "value"

Rule 32 lets certain notified suppliers use a *simplified* value. Know the four exam-favourite ones:

- **Rule 32(2) — Foreign exchange / money changing.** Value = difference between the buying/selling rate and the RBI reference rate × units; or a slab method if no reference rate. *Why: a money-changer's "value added" is the spread, not the face value of currency moved.*
- **Rule 32(3) — Air travel agent.** Value = **5% of basic fare** for domestic, **10%** for international. *Why: the agent's supply is the booking service, proxied as a fixed slice of fare.*
- **Rule 32(4) — Life insurance.** Value = gross premium less the portion allocated to investment/savings (if intimated); or 25% of first-year premium and 12.5% thereafter (for other than pure-risk policies). *Why: only the risk-cover portion is a "service"; the savings portion is not consumption.*

- **Rule 32(5) — Second-hand goods (margin scheme).** Value = **selling price minus purchase price** (the margin), where no ITC was taken on purchase; if negative, ignored. *Why: taxing the full resale price of used goods would double-tax value already taxed when new — the margin scheme taxes only the fresh value the dealer added.*
- **Rule 33 — Pure agent.** Expenses incurred by a supplier as a **pure agent** of the recipient (separately shown) are **excluded** from value. *Why: a pure agent merely passes through third-party costs; those are not his own supply's value.*

Deeper on Rule 32(2) — the two methods for forex. Method 1 (rate-difference): value = |transaction rate − RBI reference rate| × units of currency; if no RBI reference rate is available (e.g. an exotic currency), value = 1% of the gross rupee amount. Method 2 (optional slab, exercised for the whole financial year): **1% of gross amount up to ₹1,00,000 (min ₹250); ₹1,000 + 0.5% on the slab above ₹1,00,000 up to ₹10,00,000; ₹5,500 + 0.1% above ₹10,00,000 (capped at ₹60,000).** The point is conceptual — the money-changer is taxed on the *spread/service*, never on the face value of currency exchanged. *(Verify slab figures against current ICAI material.)*

Deeper on Rule 33 — the *pure agent* is a strict five-limb test, not a loose "reimbursement." To exclude a payment as pure-agent expenditure, *all* the conditions must hold: the supplier (i) acts as *pure agent* on *authorisation* of the recipient when making the payment to the third party; (ii) the payment is *separately indicated* in the invoice; (iii) the supplies procured as pure agent are *in addition to* the services he supplies on his own account. The recipient must be *liable* to make the third-party payment, and the supplier merely fronts it, recovering the *actual* amount without markup. Contrast: if the supplier marks up the reimbursement, or was himself liable, it is *not* pure-agent — it becomes part of his value. Classic example: a customs broker paying statutory port fees on the importer's behalf (excluded) versus the broker's own agency fee (included).

Deeper on Rule 32(5) margin scheme — the "no ITC availed" gate and the depreciation variant. The margin scheme is available only where *no ITC was availed on the purchase* (typically because bought from an unregistered person or an individual). Where the goods are *repossessed* from a defaulting borrower who was unregistered, the purchase value is deemed to be reduced by a fixed percentage for every quarter (or part) between the date of purchase and the date of disposal — a depreciation-style haircut. And a *negative margin is ignored* (value nil, no negative tax). *(Verify the repossession percentage and quarter mechanics against current ICAI material.)*

4.8 Rule 34 & 35

- **Rule 34 — Rate of exchange** for imports/exports: the notified rate on the date of time of supply.
- **Rule 35 — Value inclusive of tax:** when the price *already includes* GST, extract value by back-calculation: **Value = Tax-inclusive amount × 100 ÷ (100 + GST rate)**. *The single most common computational sub-step in the exam — commit it.*

Rule 34 finer point — goods vs services use different rate sources. For the value of *taxable goods*, the applicable rate of exchange is the rate *notified by the CBIC (Customs) under section 14 of the Customs Act* as on the date of time of supply. For *services*, it is the rate as per *generally accepted accounting principles* on the date of time of supply. Same idea (fix the currency at the moment value crystallises) but two different rate sources — a fine distinction the examiner can test in one line. *(Verify against current ICAI material.)*

Rule 35 finer point — the divisor when the supply is split across CGST + SGST. The divisor uses the *total* GST rate. For an intra-State supply at 18% (9%+9%), you still divide by 1.18, then split the extracted tax equally into 9% CGST and 9% SGST — you do *not* divide twice by 1.09. The extracted tax is one 18% figure, then halved.

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5. Worked Examples — every rupee reconciled

> All rates below are illustrative; **verify the applicable GST rate for the goods/service in the exam.** I use CGST 9% + SGST 9% (intra-State, 18% total) or IGST 18% (inter-State) unless stated.

Example 1 — The classic "inclusions and discount" build-up (Sec 15(1)+(2)+(3))

Facts. Ashok Ltd. (Maharashtra) supplies a machine to an *unrelated* buyer in Maharashtra. Details:

Particular	Amount (₹)
Basic price of machine	5,00,000
Municipal tax charged separately by supplier	20,000
Packing and forwarding charged separately	15,000
Installation charges (done before delivery)	25,000
Late-payment interest actually received later	8,000
Subsidy received from a private trade body (price-linked)	30,000
Trade discount shown on the invoice	40,000
Weight-based cash discount for early payment, per pre-supply agreement, given after supply (buyer reverses matching ITC)	10,000

GST rate 18% (CGST 9% + SGST 9%). **Compute the value of supply and the tax.**

Reasoning first — apply each lever: - Parties unrelated, price is money → **Sec 15(1) applies**; start at basic price ₹5,00,000. - Municipal tax (non-GST levy, charged separately) → **include, 15(2)(a)** → +20,000. - Packing/forwarding → incidental expense **15(2)(c)** → +15,000. - Installation before delivery → incidental expense **15(2)(c)** → +25,000. - Late-payment interest → **15(2)(d)**, included when received → +8,000. - Private (non-government) price-linked subsidy → **15(2)(e)** → +30,000. - Invoice trade discount → pre-supply, on invoice → **deduct 15(3)(a)** → −40,000. - Post-supply discount, pre-agreed + ITC reversed → **deduct 15(3)(b)** → −10,000.

Computation:

Step	₹
Basic price	5,00,000
Add: Municipal tax 15(2)(a)	20,000
Add: Packing & forwarding 15(2)(c)	15,000
Add: Installation 15(2)(c)	25,000
Add: Late-payment interest 15(2)(d)	8,000
Add: Non-govt price-linked subsidy 15(2)(e)	30,000
Sub-total	**5,98,000**
Less: Invoice trade discount 15(3)(a)	(40,000)
Less: Pre-agreed post-supply discount 15(3)(b)	(10,000)
Value of Supply	**5,48,000**
CGST @ 9%	49,320
SGST @ 9%	49,320
Total invoice value	**6,46,640**

Reconciliation check: 5,98,000 − 50,000 = 5,48,000. Tax = 5,48,000 × 18% = 98,640, split 49,320 + 49,320. Total = 5,48,000 + 98,640 = 6,46,640. ✓

Note if the facts had said the subsidy was from the State Government: it would be excluded (15(2)(e)), dropping value to 5,18,000.

Example 2 — Price includes GST (Rule 35 back-calculation)

Facts. A retailer sells goods for a *single all-inclusive* price of ₹1,18,000, and the GST rate is 18%. The invoice does not separately show tax. **Find the value of supply and the tax.**

Reasoning. The price already embeds GST, so we must strip it out using **Rule 35**: Value = Tax-inclusive ÷ (1 + rate).

Computation: - Value = 1,18,000 × 100 ÷ (100 + 18) = 1,18,000 ÷ 1.18 = **₹1,00,000** - GST = 1,18,000 − 1,00,000 = **₹18,000** (CGST 9,000 + SGST 9,000)

Reconciliation: 1,00,000 + 18,000 = 1,18,000. ✓ *Common error: applying 18%* on *1,18,000 (giving 21,240) — that double-counts tax. The divisor method is mandatory when price is tax-inclusive.*

Example 3 — Related-party / distinct-person supply (Sec 15(4) → Rule 28)

Facts. Surya Ltd. (Gujarat) transfers goods to its own branch in Rajasthan (a *distinct person* under Sec 25). The goods are also sold to independent customers at an **open market value of ₹2,00,000**. Surya declares ₹1,50,000 on the stock-transfer invoice. Consider two scenarios; GST (IGST) 18%.

Scenario A — the Rajasthan branch is NOT eligible for full ITC (it makes some exempt supplies). - Parties are distinct persons → Sec 15(1) fails → **Rule 28**. - Rule 28(a): use **OMV = ₹2,00,000**. - **Value = ₹2,00,000; IGST @18% = ₹36,000.**

Scenario B — the Rajasthan branch IS eligible for FULL ITC. - Rule 28 **first proviso**: where the recipient is eligible for full ITC, the **value declared in the invoice is deemed to be the OMV.** - So the ₹1,50,000 declared value is *accepted*. - **Value = ₹1,50,000; IGST @18% = ₹27,000.**

Why the difference is *not* a loophole. In Scenario B, whatever IGST Surya charges, the branch takes back as ITC — the transaction is **revenue-neutral** to the exchequer. So the law does not waste effort policing the value; it accepts the invoice. In Scenario A, the branch *cannot* fully credit the tax, so an understated value would permanently under-tax the chain — hence OMV is forced. **The ITC position drives the answer.** This is the single most tested nuance in related-party valuation.

Reconciliation: Scenario A: 2,00,000 × 18% = 36,000. ✓ Scenario B: 1,50,000 × 18% = 27,000. ✓

Example 4 — Non-monetary consideration / exchange (Rule 27)

Facts. Mr. Rao supplies a new laptop and, as part payment, takes the customer's *old* laptop valued (money-equivalent) at ₹8,000 plus ₹40,000 cash. The **open market value** of the new laptop (its normal cash selling price) is ₹52,000. GST 18%.

Reasoning. Consideration is *not wholly in money* (part is the old laptop) → Sec 15(1) "sole consideration" condition fails → **Rule 27**. - Rule 27(a): **OMV first** = ₹52,000 (available). - (We do *not* need to fall to (b) money + money-equivalent = 40,000 + 8,000 = 48,000, because OMV exists and takes priority.) - **Value = ₹52,000; GST @18% = ₹9,360.**

Reconciliation & teaching point: Had the OMV *not* been available, Rule 27(b) would give 40,000 + 8,000 = ₹48,000. The two answers differ (52,000 vs 48,000) precisely because the ladder is **sequential** — you must justify *why* you are on a given rung. Using 48,000 when OMV is available is a marking error. ✓

Example 5 — Second-hand goods margin scheme (Rule 32(5))

Facts. A used-car dealer buys a second-hand car from an individual for ₹3,00,000 (no GST charged, no ITC taken), spends nothing on it, and resells for ₹3,50,000. GST 18% (assume, for illustration).

Reasoning. Margin scheme applies (no ITC on purchase) → value = **selling − purchase margin** = 3,50,000 − 3,00,000 = **₹50,000.** - **GST @18% on ₹50,000 = ₹9,000.**

Why: the car's value was already taxed when new; taxing the full ₹3,50,000 resale would double-tax. GST hits only the ₹50,000 the dealer added. On a resale at a *loss*, the negative margin is **ignored** — value is nil, no tax. ✓

Example 6 — The "distractor-heavy" inclusion sum (traps embedded)

Facts. Meghna Traders (Karnataka) supplies goods intra-State to an *unrelated* customer. GST 18%.

Particular	₹
List price of goods (before taxes and discounts)	8,00,000
Tax levied by Municipal Authority on the sale, charged separately	25,000
CGST and SGST charged separately on the supply	1,53,000
Packing charges (before delivery)	12,000
Subsidy received from the Central Government (price-linked)	50,000
Subsidy received from an NGO (price-linked)	40,000
Inspection charges before dispatch, charged to buyer	8,000
Discount of 2% on list price, shown on the invoice	(16,000)
Discount of 1% on list price given as a year-end incentive, decided *after* supply with **no prior agreement**	(8,000)
Freight paid by the *buyer* who was itself contractually liable (FOR-factory terms)	20,000

Compute the value of supply.

Reasoning — trap by trap: - List price ₹8,00,000 → **base** (Sec 15(1); parties unrelated, money only). - Municipal tax charged separately → non-GST levy → **include 15(2)(a)** → +25,000. - **CGST + SGST ₹1,53,000 → EXCLUDE.** GST is never part of value (15(2)(a) carve-out). *Trap: this is a distractor to tempt an add-back.* → +0. - Packing before delivery → **15(2)(c)** → +12,000. - **Central Government subsidy → EXCLUDE** (15(2)(e) excludes government subsidies), even though price-linked. → +0. - NGO (non-government) price-linked subsidy → **include 15(2)(e)** → +40,000. - Inspection before dispatch → incidental expense **15(2)(c)** → +8,000. - 2% invoice discount, pre-supply, on invoice → **deduct 15(3)(a)** → −16,000. - 1% year-end incentive, post-supply, **no prior agreement → NOT deductible** (fails 15(3)(b)); value stays gross → −0. - Freight paid by the buyer who was *itself* liable → **not** the supplier's obligation, so *nothing* to add under 15(2)(b); and it was never in the supplier's price → +0.

Computation:

Step	₹
List price	8,00,000
Add: Municipal tax 15(2)(a)	25,000
Add: Packing 15(2)(c)	12,000
Add: Inspection 15(2)(c)	8,000
Add: NGO price-linked subsidy 15(2)(e)	40,000
Sub-total	**8,85,000**
Less: Invoice discount 15(3)(a)	(16,000)
Value of Supply	**8,69,000**
CGST @ 9%	78,210
SGST @ 9%	78,210
Total invoice value	**10,25,420**

Reconciliation: 8,85,000 − 16,000 = 8,69,000. Tax = 8,69,000 × 18% = 1,56,420 (78,210 + 78,210). Total = 8,69,000 + 1,56,420 = 10,25,420. ✓ *Four traps neutralised: GST not added, government subsidy excluded, no-agreement post-supply discount denied, buyer-liable freight ignored.*

Example 7 — Air travel agent (Rule 32(3)) with a twist on "basic fare"

Facts. Yatra Agents books a domestic air ticket. Total fare collected from the passenger: ₹18,000, comprising **basic fare ₹10,000**, airline fuel surcharge and other charges ₹6,000, and airline's own taxes ₹2,000. Agent's GST rate 18%. **Compute the value of the agent's supply and GST.**

Reasoning. Under Rule 32(3), the air travel agent's *value of supply of services* is a **fixed 5% of the basic fare** for domestic (10% for international) — **not** 5% of the total fare. "Basic fare" means that part of the fare on which commission is normally paid by the airline; surcharges and taxes are excluded from it. - Value = 5% × **₹10,000** (basic fare only) = **₹500.** - GST @18% on ₹500 = **₹90.**

Reconciliation & trap: A careless student uses 5% × 18,000 = ₹900 (value) — wrong, because the ₹6,000 charges and ₹2,000 airline taxes are *not* basic fare. Value = ₹500; GST = ₹90. ✓ *This is a two-layer question: know the rule (5% domestic) AND the definition of "basic fare."* Note this is Rule 32(3) as the *primary* method under Sec 15(5) — it overrides transaction value; you never tax the agent on the full ₹18,000. Separately, the agent may *also* charge the passenger a service/convenience fee — that is a *different* supply valued on its own transaction value, not under Rule 32(3).

Example 8 — Pure agent exclusion (Rule 33)

Facts. Lex Consultants, a firm of company secretaries, incorporates a company for a client. Its invoice shows: **professional fee ₹40,000**; **ROC registration/filing fees paid to the Ministry ₹15,000** (statutory fee the *client* is liable to pay, paid by Lex on the client's authorisation and recovered at actuals, shown separately); **out-of-pocket courier and printing borne by Lex ₹3,000**. GST 18%. **Compute the value of supply.**

Reasoning. - Professional fee ₹40,000 → the firm's own service → **include.** - ROC statutory fee ₹15,000 → the *client* is liable to the ROC; Lex merely fronts it on authorisation, recovers actuals, shows it separately →

satisfies the **pure-agent** conditions → **exclude (Rule 33).** - Courier & printing ₹3,000 → these are Lex's *own* input costs of rendering its service (Lex was not acting as the client's agent to a third party for them) → **include** as part of value (they are incidental to Lex's own supply).

Computation:

Step	₹
Professional fee	40,000
Add: Own out-of-pocket (courier, printing)	3,000
Less: ROC statutory fee — pure agent (Rule 33)	Excluded
Value of Supply	**43,000**
CGST @ 9%	3,870
SGST @ 9%	3,870
Total (excl. the ₹15,000 recovered)	**50,740**

Reconciliation & teaching point: Value = 43,000; GST = 7,740; the ₹15,000 ROC fee is recovered *outside* the value. *Trap: students either exclude the ₹3,000 (wrong — it is Lex's own cost, not a pure-agent pass-through) or include the ₹15,000 (wrong — it is a genuine pure-agent disbursement). The test is always "whose liability was it, and did the supplier merely pass through actuals on authorisation?"* ✓

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6. Format / Summary — the one-page valuation worksheet

Use this exact skeleton in the exam for any Sec 15 build-up problem:

Line	Particular	₹
1	Price actually paid or payable (Sec 15(1))	XXX
2	**Add** — Non-GST taxes, duties, cesses, fees charged separately (15(2)(a))	XXX
3	**Add** — Amounts supplier liable to pay, but paid by recipient (15(2)(b))	XXX
4	**Add** — Incidental expenses: commission, packing, pre-delivery charges (15(2)(c))	XXX
5	**Add** — Interest / late fee / penalty for delayed payment (15(2)(d))	XXX
6	**Add** — Subsidies price-linked, **non-government** (15(2)(e))	XXX
7	**Less** — Discount on invoice, pre/at supply (15(3)(a))	(XXX)
8	**Less** — Post-supply discount, pre-agreed + ITC reversed (15(3)(b))	(XXX)
9	**= VALUE OF SUPPLY**	**XXX**
10	CGST + SGST (intra-State) OR IGST (inter-State) on line 9	XXX
11	**Invoice value** = line 9 + line 10	**XXX**

Decision cheat-sheet — which valuation route?

Situation	Route
Unrelated + money only	Sec 15(1) transaction value
Non-monetary / part-exchange	Rule 27 (OMV → money+equivalent → like → 30/31)
Related / distinct persons	Rule 28 (OMV; invoice=OMV if full ITC)
Through agent	Rule 29 (OMV or 90% option)
No anchor available	Rule 30 (110% of cost)
Nothing works	Rule 31 (best judgement)
Price includes GST	Rule 35 divisor: × 100 ÷ (100 + rate)
Notified sector (forex/air/insurance/2nd-hand)	Rule 32 — **overrides** transaction value (Sec 15(5))
Pure-agent disbursement	Rule 33 — exclude from value

"Include or exclude?" quick table — the reflex answers examiners test:

Item	In value?	Basis
GST (CGST/SGST/IGST/Cess) itself	**No**	15(2)(a) carve-out
Any *other* tax/levy charged separately	**Yes**	15(2)(a)
Government subsidy (price-linked)	**No**	15(2)(e)
Non-government subsidy (price-linked)	**Yes**	15(2)(e)
Non-price-linked grant (any source)	**No**	not "directly linked to price"
Packing / inspection / loading before delivery	**Yes**	15(2)(c)
Delayed-payment interest (on receipt)	**Yes**	15(2)(d)
Accrued but unreceived interest	**Not yet**	timed to receipt
Invoice discount (pre-supply)	**Deduct**	15(3)(a)
Post-supply discount, all four conditions met	**Deduct**	15(3)(b)
Post-supply discount, no prior agreement	**No deduction**	fails 15(3)(b)
TCS under Income-tax Act	**No**	CBIC clarification *(verify)*
Pure-agent statutory disbursement (actuals)	**No**	Rule 33
Supplier's own out-of-pocket costs	**Yes**	own supply cost

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7. Connections — where valuation plugs into the rest of GST

- → **Charge of tax (Sec 9 CGST / Sec 5 IGST):** value is the *base* those charging sections multiply by the rate. Valuation feeds the charge.
- → **Time of supply (Chapter 17):** valuation answers *how much*; time of supply answers *when*. Note the crossover: interest/late-fee under 15(2)(d) is valued *and* timed to **receipt** (Sec 12(6)/13(6)). Rule 34 also

borrows the *date of time of supply* to fix the exchange rate — so you sometimes must settle time of supply *before* you can value.

- → **Input Tax Credit:** the recipient's ITC equals the tax on *this* value. This is why Rule 28's "full ITC → invoice = OMV" concession works, and why post-supply discounts (15(3)(b)) demand ITC reversal. Valuation and ITC are two ends of the same rupee.
- → **Registration / distinct persons (Sec 25):** branches in different States are *distinct persons*, so inter-branch stock transfers are supplies needing valuation under Rule 28 — a favourite exam link.
- → **Schedule I (supply without consideration):** stock transfers between distinct persons and certain related-party transactions are *deemed supplies even without price* — Schedule I creates the supply, Rule 27/28 then *values* it. Schedule I and valuation are a matched pair: one says "this is a supply," the other says "here is its value."
- → **Composite & mixed supply (Chapter on Supply):** valuation applies to the *single* value of a composite supply taxed at the principal-supply rate; you value the bundle, not the parts. Contrast a *mixed* supply, valued as one bundle but taxed at the *highest* rate.
- → **Import valuation (Customs):** IGST on imports is levied on **assessable value + Basic Customs Duty** (a Customs-law valuation), *not* Sec 15 — a deliberate carve-out worth flagging.
- → **Reverse charge:** even where the *recipient* pays tax under RCM, the *value* on which he pays is still determined under Sec 15 — the valuation logic does not change with who is liable.

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8. Traps & Examiner Tricks

8.1 GST is never part of value. Sec 15(2)(a) includes *other* taxes but explicitly excludes CGST/SGST/UTGST/IGST/Compensation Cess. Students wrongly add back GST. Value is always GST-exclusive; tax sits *on top*.

8.2 Government subsidy vs private subsidy. Only **non-government** price-linked subsidies are included (15(2)(e)). A Central/State Government subsidy is **excluded**. Examiners plant a "subsidy from State Government" precisely to catch the reflex "add all subsidies." And note the *second* gate: even a *private* subsidy must be **price-linked** — a non-price-linked private grant stays out.

8.3 Post-supply discount without a prior agreement. A discount decided *after* supply with **no pre-existing agreement** is **NOT deductible** (fails 15(3)(b)). Only pre-agreed, invoice-linked, ITC-reversed post-supply discounts come out. Value stays gross otherwise.

8.4 Rule 28 full-ITC proviso. When the related/distinct recipient gets **full ITC**, the *invoice value is accepted as OMV*. Weak students force OMV even here and over-value the supply. The ITC eligibility of the *recipient* is the switch.

8.5 The valuation ladder is sequential, not a menu. You cannot pick Rule 30 (cost+10%) if OMV under Rule 27/28 is available. Always justify *why the higher rung failed* before descending. (See Example 4.)

8.6 TCS under the Income-tax Act. Per CBIC clarification, TCS collected under the Income-tax Act is a *tax on income* not on the goods, and is **not** included in the value of supply — do not treat it like an excise-type levy under 15(2)(a). *(Verify the current clarification position in ICAI material.)*

8.7 Tax-inclusive price. If the price "includes GST," you **must** back-calculate with Rule 35 (× 100 ÷ (100+rate)). Applying the rate *on* the inclusive figure double-taxes. (See Example 2.)

8.8 Interest under 15(2)(d) is taxed on receipt. Do not add accrued-but-unreceived delayed-payment interest to value; its time of supply is the date of *receipt*.

8.9 "Free of cost" supplies between unrelated parties. A genuinely free supply to an *unrelated* party (no consideration at all) is generally **not a supply** (outside Schedule I) — no valuation question arises. But the *same* free transfer between *related/distinct persons* **is** a supply (Schedule I) and **must** be valued under Rule 28. Test *relatedness* before valuing.

8.10 Related persons definition. Employer–employee are related — but *gifts up to ₹50,000 per year* by employer to employee are not treated as supply (Schedule I proviso). Also, sole agent/distributor/concessionaire relationships are *deemed* related. Examiners test the edges of the Explanation to Sec 15.

8.11 "Basic fare" in Rule 32(3), not "total fare." The air agent's 5%/10% is on *basic fare* — surcharges, airline fuel charges, and airline taxes are excluded from the base. (See Example 7.) The most common wrong answer applies the percentage to the total ticket price.

8.12 Pure agent vs own cost. Only a *third-party* liability of the *recipient*, fronted by the supplier at *actuals on authorisation and shown separately*, is excluded under Rule 33. The supplier's *own* out-of-pocket costs (his courier, his travel) are part of *his* value and must be included. Students over-apply the pure-agent exclusion. (See Example 8.)

8.13 Whose obligation was it? (15(2)(b) freight trap). Add a buyer-paid amount only if it discharged the *supplier's* liability. Freight the *buyer* was itself liable for (FOR-factory / ex-works terms) adds nothing. Read the delivery terms.

8.14 Sec 15(5) notified supplies override transaction value. For forex, air-agent, insurance, second-hand goods etc., you do *not* first compute a transaction value — the special Rule is *primary*. Applying 15(1) to these sectors is a conceptual error, not a rounding slip.

8.15 Negative margin in Rule 32(5) is ignored, not carried. A loss-making resale of second-hand goods gives *nil* value for that supply — you cannot set the negative margin off against other supplies.

8.16 One value, split tax. Compute a single value of supply, then apportion into CGST+SGST (intra-State) or charge IGST (inter-State). Never compute two separate values for the two heads.

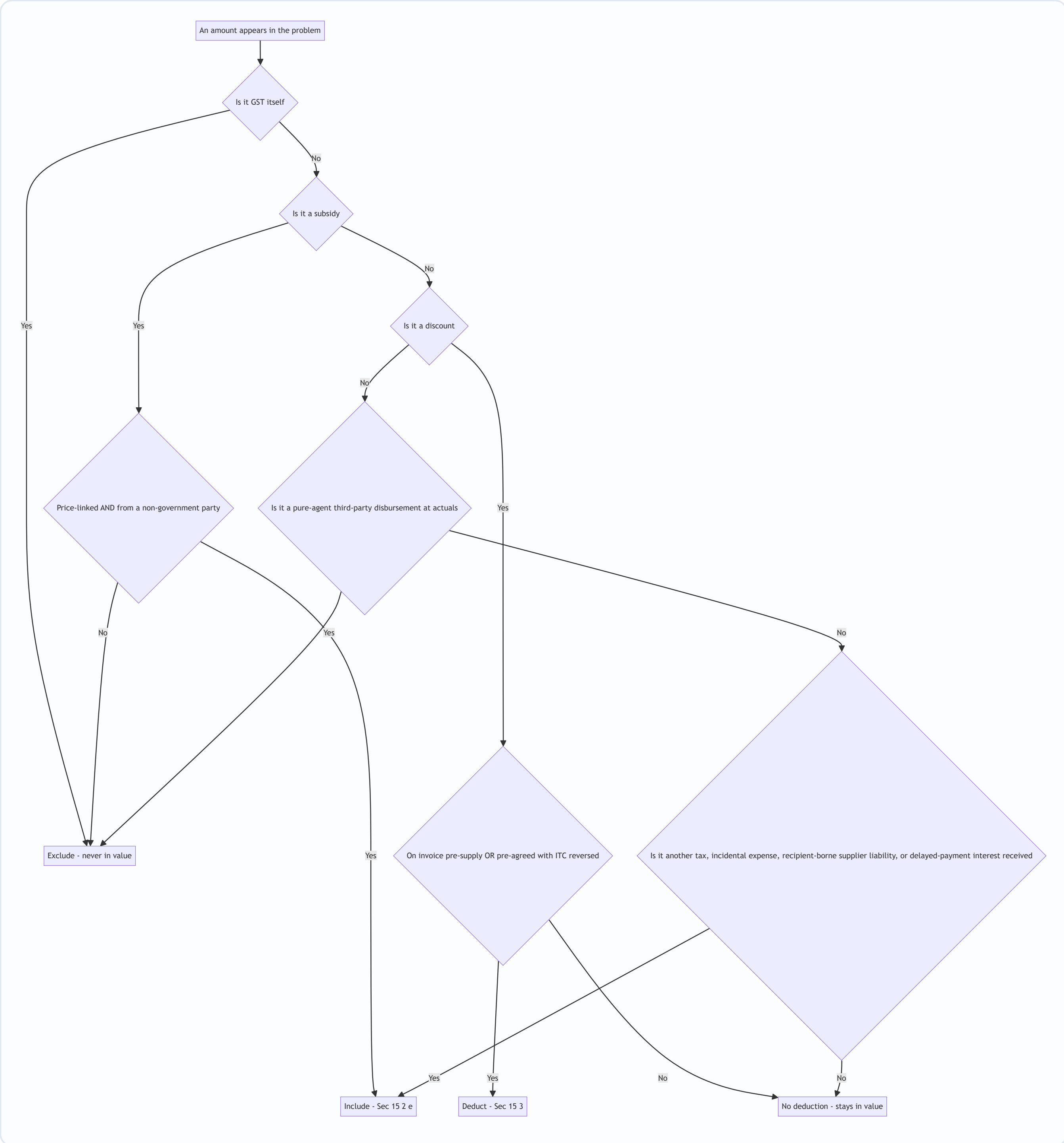

Figure 3 — The line-item classifier: for each rupee in the problem, ask this chain to decide include, exclude, or deduct.

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9. First-Principles Recap — rebuild the chapter from one sentence

Start from: **"GST is a percentage of value, so the law must pin down one trustworthy number."**

1. The fairest number is the **price two independent parties actually agreed** → transaction value, **Sec 15(1)**.
2. That price is only trustworthy if the parties are **unrelated** and the price is the **sole consideration** — the two gatekeeper conditions.

3. Because sellers **strip real cost off the invoice**, the law drags it back → **inclusions, Sec 15(2)**: other taxes, recipient-borne payments, incidental expenses, delayed-payment interest, non-government price-linked subsidy.
4. Because **genuine discounts** are real reductions but **fake post-hoc discounts** hide value, the law lets pre-supply invoice discounts out freely and post-supply discounts out only if **pre-agreed and ITC-reversed → exclusions, Sec 15(3)**.
5. When the price is **disqualified** (related parties) or **missing** (barter, free supply), the law **constructs** value via a sequential ladder — **Rules 27–31** — always chasing the closest proxy to an arm's-length price: **OMV → like-kind → cost+10% → best judgement**.
6. Special sectors with no ordinary "value" (forex, air agents, insurance, second-hand goods, pure agents) get **simplified Rules 32–33**; a tax-inclusive price is unwound by **Rule 35**, and a foreign-currency supply is fixed at the **Rule 34** rate.

Everything in the chapter is one of these six moves. If you can regenerate the six, you never need to memorise the sections — they fall out of the logic.

The single deepest through-line: every rule is chasing *one* thing — **what an unrelated buyer, paying only money, would really part with to get this exact supply at this exact moment.** Inclusions push a shrunk invoice *up* toward that number; disallowed discounts stop a padded invoice from being pulled *below* it; the Rules *reconstruct* it when the invoice is untrustworthy or absent; and the full-ITC and pure-agent concessions relax the effort only where getting it "wrong" costs the exchequer nothing. Hold that sentence and you can defend any answer.

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10. Quick-Revision Sheet

Default (Sec 15(1)): Value = transaction value = price paid/payable, **IF** (i) unrelated **AND** (ii) price = sole consideration. Fail either → Rules.

Inclusions — "T-P-I-I-S" (Sec 15(2)): - **T** — taxes/duties/cesses/fees *other than* GST, charged separately (a) - **P** — supplier's liability paid by recipient (b) - **I** — incidental expenses: commission, packing, pre-delivery charges (c) - **I** — interest/late fee/penalty for delayed payment; taxed on **receipt** (d) - **S** — **non-government** price-linked subsidy (e)

Exclusions — discounts (Sec 15(3)): - Pre/at supply → deduct if **on invoice** (a) - Post supply → deduct only if **pre-agreed + invoice-linked + credit note + recipient reverses ITC** (b) — all four

Never in value: GST itself; government subsidies; non-price-linked grants; TCS (Income-tax Act); pure-agent pass-through (Rule 33); supplier's *own* out-of-pocket recovered — **that one is IN** (careful).

Valuation Rules ladder: | Rule | Trigger | Method | |---|---|---| | 27 | Non-money consideration | OMV → money+equiv → like → 30/31 | | 28 | Related/distinct persons | OMV; **full ITC ⇒ invoice = OMV**; distributor ⇒ optional 90% | | 29 | Through agent | OMV or **90%** of agent's onward price | | 30 | No anchor | **110% of cost** | | 31 | Nothing else | Best judgement (services may use directly, skipping 30) |

Definitions to quote: OMV = full money value (ex-GST) at *same time*, *unrelated*, *sole consideration*. "Like kind and quality" = substantially resembling in characteristics, quality, quantity, function, reputation.

Special (Rule 32, primary under Sec 15(5) — override transaction value): - 32(2) forex — spread/reference-rate method or annual slab - 32(3) air agent — **5% domestic / 10% international of *basic fare*** - 32(4) life insurance — gross premium less investment portion; or 25%/12.5% - 32(5) second-hand

margin scheme — SP − PP; no ITC availed; **negative ignored** - 33 pure agent — actuals, authorised, separate, third-party liability of recipient → **excluded** - 34 rate of exchange — Customs Sec 14 rate (goods) / GAAP rate (services), at time of supply - **35 tax-inclusive: × 100 ÷ (100 + rate)**

Master switches to check first, every time: 1. Related or distinct persons? → Rule 28 (mind the full-ITC proviso). 2. Consideration not wholly money? → Rule 27. 3. Notified sector (forex/air/insurance/2nd-hand)? → Rule 32 overrides — do NOT start at 15(1). 4. Price already includes GST? → Rule 35 divisor. 5. Any subsidy/discount? → test *government?* / *price-linked?* and *pre-agreed* + *ITC-reversed?* 6. Any pure-agent disbursement vs supplier's own cost? → Rule 33 excludes only the former.

> **Reminder:** verify current GST rates, the notified TCS position, the Rule 32 slab figures, the Rule 32(5) repossession percentages, and any fresh amendments to Rules 27–35 against **current ICAI study material for your attempt.**

Q&A — Value of Supply

> CGST Act, 2017 (Sec 15) read with CGST Rules, 2017 (Rules 27–35); mirrored in the IGST Act via Sec 20 IGST (Sec 15 applies to IGST). **Rates (18% used throughout), the air-travel percentages (5%/10%), the forex slabs and any monetary limits are amendment/rate-sensitive — confirm the current figures from the ICAI Study Material/RTP for your attempt.** The *structure* (transaction value → inclusions → exclusions → rules) is stable and is what the exam tests.

SECTION A — Concept-Check (Short Q&A)

A1. What is the default measure of value, and what two conditions must hold for it to apply? Sec 15(1) — value is the **transaction value**, i.e. the **price actually paid or payable** for the supply. It applies only when **(i) the supplier and recipient are not related**, and **(ii) the price is the sole consideration**. Fail either test and you drop to the **valuation rules** (Sec 15(4)/(5)).

A2. Why does GST start from "price actually paid or payable" instead of a fixed government price? Because GST is a tax on the *commercial* value of a transaction. A market price set by two independent parties dealing at arm's length is the truest measure of what the supply is worth. The rules exist only as a **fallback** for when that market signal is distorted (relatives, barter, agents, notified sectors).

A3. Is "related person" only about family? No. **Explanation to Sec 15** defines it widely: officers/directors of each other's business, legally recognised partners, employer–employee, a person holding **≥25%** of shares in both, one controlling the other, both controlled by a third, together controlling a third, members of the same family, and **sole agents/distributors**. Persons "**associated in business** such that one is the sole distributor of the other" are deemed related.

A4. List the five inclusions under Sec 15(2) in one line each. (a) **Taxes/duties/cesses** other than CGST/SGST/IGST/Cess, if charged separately; (b) amounts the **supplier is liable to pay but the recipient has incurred** and which are not in the price; (c) **incidental expenses** (packing, commission) and anything done by the supplier **at or before delivery**; (d) **interest, late fee or penalty** for delayed payment of consideration; (e) **subsidies directly linked to the price** — **excluding** Central/State Government subsidies.

A5. Why are Government subsidies excluded from value but private subsidies included? A subsidy directly linked to price is really part of the consideration — someone is paying it *for* the supply — so a private/third-party subsidy is added. A **Government** subsidy is a welfare transfer, not commercial consideration, and taxing it would mean taxing public money; hence carved out of 15(2)(e).

A6. What are the two discount limbs under Sec 15(3)? (a) Discount given **before or at the time of supply** and **recorded in the invoice** — always deductible. (b) **Post-supply discount** — deductible only if it was **established in an agreement entered into at or before the time of supply**, is **linked to relevant invoices**, and the **recipient reverses the ITC** attributable to it. Miss any of the three and the post-supply discount is **not** deductible.

A7. Why the harsh conditions on post-supply discounts? To stop value being shaved *after* the tax has been charged and credit taken. Without the "pre-agreed + ITC reversal" gate, a supplier could cut value later while the buyer keeps full ITC — breaking the credit chain. The conditions keep output tax and input credit symmetrical.

A8. When do the valuation Rules 27–35 apply? Two gateways: **Sec 15(4)** — value cannot be determined under 15(1) (no monetary price / related parties / price not sole consideration); and **Sec 15(5)** — **notified supplies** whose value is *always* determined by rules regardless of transaction value.

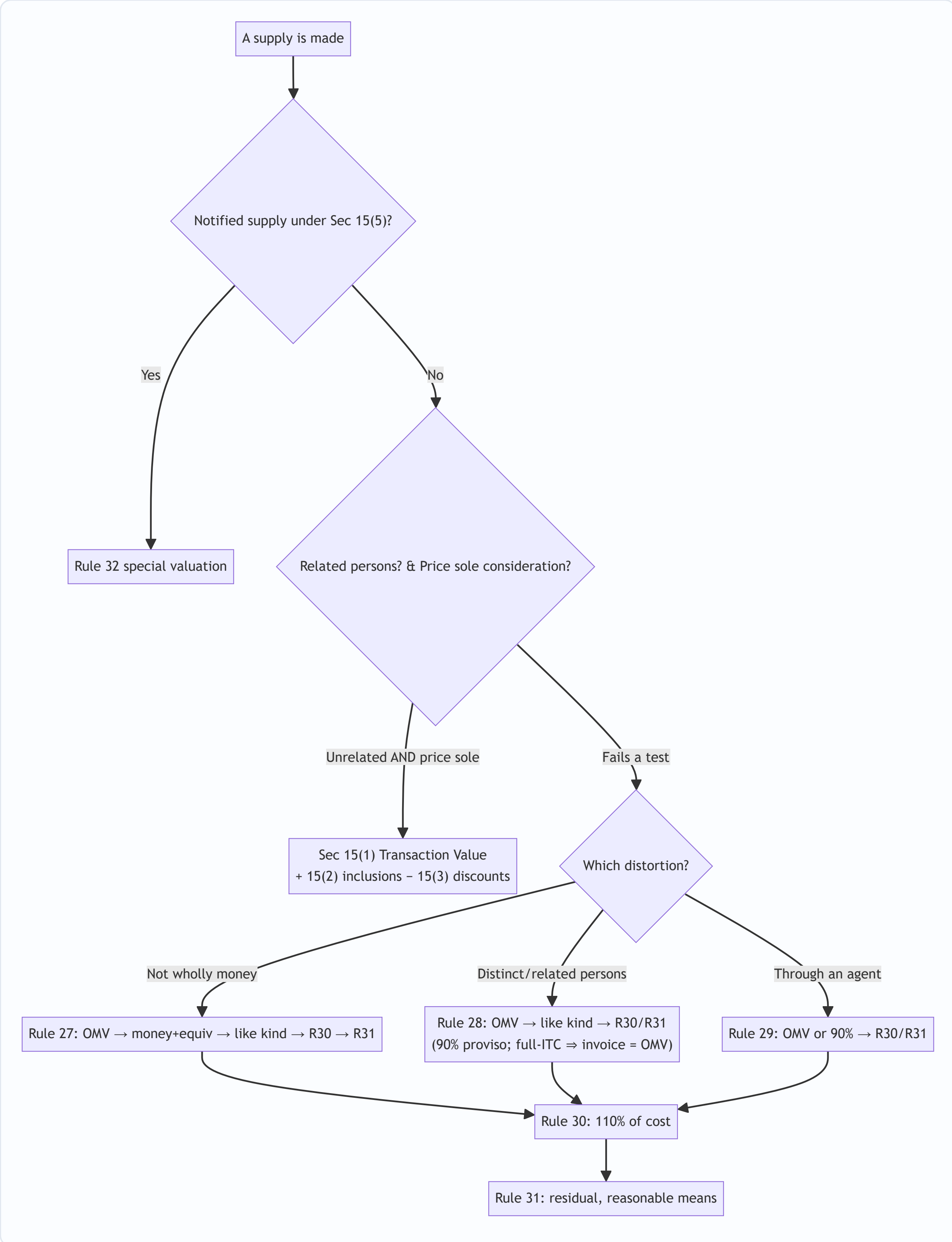
A9. State the rule ladder for "consideration not wholly in money" (Rule 27). In order: (a) **Open Market Value (OMV)**; (b) money + **money-equivalent of the non-monetary consideration**; (c) value of **like kind and quality**; (d) **Rule 30** (110% of cost); (e) **Rule 31** (reasonable means). You descend only when the higher step is unavailable.

A10. What is a "pure agent" and why does Rule 33 matter? A **pure agent** (Rule 33) incurs expenditure on the recipient's behalf, is separately reimbursed at **actual cost**, and holds no title/interest in what is procured. Such reimbursements are **excluded** from value — otherwise you would tax a mere pass-through (e.g. a customs broker paying statutory port fees for the client).

A11. Second-proviso to Rule 28 — the exam's favourite escape hatch. On supplies between **distinct/related persons**, if the **recipient is eligible for full ITC**, the **value declared in the invoice is deemed to be the OMV**. Logic: the tax is fully creditable, so it is revenue-neutral — no incentive to under-value, so no need to police it.

A12. Rule 35 — value when the price already includes GST. Tax = **(value inclusive of tax × tax rate) ÷ (100 + tax rate)**. It back-calculates the tax out of a tax-inclusive figure (e.g. MRP-based / B2C).

Valuation decision map



SECTION B — Graded Computational Problems

B1 (Easy) — Building the transaction value from Sec 15(2)

X Ltd sells a machine. List price **₹1,00,000**; packing **₹2,000**; installation done before delivery **₹3,000**; municipal cess charged separately **₹1,000**; discount shown on the invoice **₹6,000**. All parties unrelated. Compute value and GST @ 18%.

Item	Sec ref	₹
List price	15(1)	1,00,000
Packing (incidental)	15(2)(c)	+2,000
Installation before delivery	15(2)(c)	+3,000
Municipal cess (not GST)	15(2)(a)	+1,000
Discount on invoice	15(3)(a)	−6,000
Taxable value		**1,00,000**
CGST 9% + SGST 9%		9,000 + 9,000
Invoice total		**1,18,000**

Check: 1,00,000 + 2,000 + 3,000 + 1,000 − 6,000 = 1,00,000. GST 18% = 18,000. ✓

B2 (Easy) — Recipient discharges the supplier's liability

Value agreed **₹50,000**. The supplier is legally liable to pay a freight of **₹4,000**, but the **recipient pays it** and it is **not** included in the ₹50,000. GST @ 18%.

- Sec **15(2)(b)** adds any amount the **supplier was liable** to pay but the **recipient incurred**, if not already in the price.
- Value = 50,000 + 4,000 = **₹54,000**; GST = 54,000 × 18% = **₹9,720**. **Check:** the ₹4,000 was the supplier's obligation, so it belongs in his consideration. ✓

B3 (Moderate) — Interest for delayed payment + subsidy

Invoice value **₹2,00,000** (unrelated buyer, GST 18%). Buyer pays 40 days late and is charged **₹5,000 interest**. A **private trade body** pays the seller a **₹10,000 subsidy directly linked to the price**; a **State Government subsidy of ₹15,000** is also received.

Item	Sec ref	₹
Base value	15(1)	2,00,000
Interest for delay	15(2)(d)	+5,000
Private subsidy linked to price	15(2)(e)	+10,000
State Govt subsidy	15(2)(e) proviso	**excluded**
Taxable value		**2,15,000**

GST 18% = **₹38,700**. **Check:** 2,00,000 + 5,000 + 10,000 = 2,15,000; Govt ₹15,000 ignored. ✓ *Note (rate-sensitive treatment):* the interest of ₹5,000 is itself consideration; strictly it can be treated as inclusive of GST and grossed down under Rule 35 — the ICAI SM commonly adds it to value as above unless the question says "inclusive."

B4 (Moderate) — Post-supply discount: the three-gate test

A Ltd supplied goods for **₹5,00,000** (GST 18%). It later grants a **5% turnover discount (₹25,000)**. Two scenarios: - **(i)** The discount was **agreed in writing before supply**, is linked to the specific invoices, and the buyer **reverses the ITC** on ₹25,000 (via credit note). - **(ii)** The discount was a **surprise year-end gesture**, not pre-agreed.

(i) All three conditions of **Sec 15(3)(b)** met → discount **deductible**. Revised value = 5,00,000 − 25,000 = **₹4,75,000**; GST = **₹85,500**. Supplier issues a credit note; buyer reverses ITC of ₹4,500. **(ii)** Not established at/before supply → **not deductible**. Value stays **₹5,00,000**; GST **₹90,000**. Any discount is commercial, given post-tax, with **no tax adjustment**. **Check:** difference in GST = 90,000 − 85,500 = ₹4,500 = 18% of ₹25,000 — exactly the credit the buyer must reverse in (i). ✓

B5 (Moderate) — Consideration not wholly in money (Rule 27)

A dealer sells a new phone. **OMV of the new phone = ₹20,000.** The customer gives an old phone in exchange (valued ₹5,000) **plus ₹16,000 cash**.

- Price is **not the sole consideration** (part is the old phone) → **Sec 15(4)** → **Rule 27**.
- **Step (a): OMV is available = ₹20,000** → value = **₹20,000**. GST 18% = **₹3,600**.
- Do **not** use the ₹16,000 cash, nor ₹16,000 + ₹5,000 = ₹21,000 (that path is only used when OMV is *not* available). **Check:** OMV exists, so we stop at step (a). Value ₹20,000. ✓

B6 (Exam-hard) — Rule 28 with the two provisos

Head Office (Mumbai) transfers goods to its **branch (Pune) — a distinct person** under Sec 25(4). Cost of the goods **₹1,00,000**; **OMV ₹1,20,000**. The Pune branch will **sell them as such** to unrelated customers at **₹1,50,000**.

- Distinct persons → **Sec 15(4)** → **Rule 28**. Default = **OMV ₹1,20,000**.
- **First proviso (option to supplier):** where goods are for **further supply as such**, value may be taken at **90% of the price charged by the recipient** to its unrelated customer = 90% × 1,50,000 = **₹1,35,000** — *at the supplier's option.*
- **Second proviso (overrides):** if the **recipient branch is eligible for full ITC**, the **value declared in the invoice is deemed the OMV.** So HO may invoice at **any value, say ₹1,00,000, and that is accepted.**

Ranked answer: if full ITC available → invoice value (₹1,00,000) is fine (2nd proviso, revenue-neutral). If not, default OMV ₹1,20,000, or elect 90% = ₹1,35,000. **Check:** three legitimate figures — 1,00,000 (2nd proviso), 1,20,000 (OMV), 1,35,000 (90% option) — each traceable to a limb of Rule 28. ✓

B7 (Exam-hard) — Rule 32(3) Air travel agent + Rule 35 gross-down

An air-travel agent books tickets: **domestic basic fare ₹50,000**, **international basic fare ₹1,00,000**. Also, a separate B2C service is billed **₹11,800 inclusive of 18% GST**.

- **Rule 32(3)** (at option): value = **5% of basic fare (domestic)** + **10% (international)**.

- Domestic: 5% × 50,000 = **₹2,500**
- International: 10% × 1,00,000 = **₹10,000**
- Deemed value = ₹12,500; GST 18% = **₹2,250**.
- **Rule 35** for the inclusive bill: tax = 11,800 × 18 ÷ 118 = **₹1,800**; value = **₹10,000**. **Check:** 11,800 = 10,000 + 1,800. ✓ Air-travel value uses **basic fare only** (excludes airport taxes/other charges).

B8 (Exam-hard) — Rule 32(5) Margin scheme (second-hand goods)

A registered dealer in used cars buys a car from an unregistered person for **₹4,00,000**, spends **₹20,000** on minor refurbishing (no change in nature), and sells it for **₹4,50,000**. No ITC was taken on purchase.

- **Rule 32(5)** margin scheme: value = **selling price − purchase price** (only where no ITC availed).
- Margin = 4,50,000 − 4,00,000 = **₹50,000** (repair cost is **not** deducted). GST 18% = **₹9,000**.
- If margin were negative, it is **ignored** (value taken as nil, no GST). **Check:** the ₹20,000 refurbishing is *not* subtracted — only purchase price is. Margin ₹50,000. ✓

B9 (Exam-hard) — Rule 33 Pure agent exclusion

A Company Secretary firm raises a bill: **professional fee ₹40,000**; **ROC filing fee paid to MCA on client's behalf ₹5,000** (reimbursed at actual, separately shown, firm holds no interest); **out-of-pocket courier ₹2,000** (part of its own service).

Item	Treatment	₹
Professional fee	value	40,000
ROC fee (pure agent, Rule 33)	**excluded**	0
Courier (own expense)	value 15(2)(c)	2,000
Taxable value		**42,000**

GST 18% = **₹7,560** (plus the ₹5,000 statutory fee reimbursed separately, no GST). **Check:** the ROC fee satisfies all pure-agent conditions → out; courier is the firm's own incidental cost → in. Value ₹42,000. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "Compute the taxable value" (typical 5-mark)

Q. Superb Motors Ltd (unrelated B2B sale) gives you: ex-factory price **₹6,00,000**; installation charges **₹25,000**; packing **₹15,000**; extended warranty (optional, billed separately) **₹20,000**; trade discount shown on invoice **₹30,000**; TCS under Income-tax Act **₹4,700**; freight (supplier's liability) borne by buyer and not in price **₹10,000**. Determine the value and total GST @ 18%.

Model answer. | Item | Sec | ₹ | |---|---|---| | Ex-factory price | 15(1) | 6,00,000 | | Installation | 15(2)(c) | +25,000 | | Packing | 15(2)(c) | +15,000 | | Extended warranty (separate consideration, part of supply value) | 15(2)(c) | +20,000 | | Freight (supplier liable, buyer paid) | 15(2)(b) | +10,000 | | TCS under Income-tax Act | not a value component | 0 | | Trade discount on invoice | 15(3)(a) | −30,000 | | **Taxable value** | | **6,40,000** |

GST 18% = **₹1,15,200** (CGST 57,600 + SGST 57,600). **Reasoning notes:** TCS collected under the Income-tax Act is not consideration for the supply and, per CBIC clarification, is **excluded** from value. Warranty billed separately is still consideration flowing for the composite supply → included. **Check:** 6,00,000 + 25,000 + 15,000 + 20,000 + 10,000 − 30,000 = 6,40,000. ✓

C2. "Which rule and why" (theory + application, 4-mark)

Q. State, with the governing rule, how value is determined for: (i) supply of goods through a commission agent; (ii) a free-of-cost sample to an unrelated dealer; (iii) forex conversion by a money-changer.

Model answer. (i) **Rule 29** (supply through agent): OMV, **or at the principal's option 90%** of the price charged by the agent to unrelated customers, failing which Rule 30/31. (ii) A **free sample** has **no consideration** — if to an unrelated person it is **not a supply at all** (Schedule I excepted) and the question of value does not arise; if it were a deemed supply (distinct/related), value = **Rule 28 (OMV)**. Note ITC on the inputs would be blocked under Sec 17(5)(h) for gifts/free samples. (iii) **Rule 32(2)** forex: value = **difference between the rate charged and the RBI reference rate × units**; if the RBI rate is unavailable, **1% of the gross INR** exchanged; option 2 offers a slab method (0.25%/etc.). It is a **Sec 15(5) notified** service.

C3. Full valuation with rule ladder (7-mark)

Q. Cost of manufacture of a specialised part = **₹80,000**. It is supplied to a **related party**; there is **no OMV** and **no like-kind supply**; the related recipient is **not eligible for full ITC** (exempt output). Determine value; then state how your answer changes if full ITC were available.

Model answer. - Related persons → **Sec 15(4)** → **Rule 28**. OMV unavailable; like-kind unavailable → descend to **Rule 30**. - **Rule 30:** value = **110% of cost of production** = 110% × 80,000 = **₹88,000**. GST 18% = **₹15,840**. - Rule 31 (residual) is not reached because Rule 30 gives a workable figure. - **If full ITC were available: second proviso to Rule 28** applies — the **invoice value is deemed OMV**, so whatever HO/related supplier declares (e.g. ₹80,000) is accepted; no need for Rule 30. **Check:** 80,000 × 1.10 = 88,000. ✓ The full-ITC route makes valuation revenue-neutral, so the law stops policing it.

SECTION D — MCQs / Case Scenarios

D1. Value is the transaction value under Sec 15(1) only when — (a) parties unrelated; (b) price is sole consideration; (c) both; (d) neither. → **(c).** Both conditions in Sec 15(1) must hold simultaneously.

D2. A Central Government subsidy of ₹20,000 directly linked to the price of a supply is — (a) added to value; (b) excluded from value; (c) added at 50%; (d) added only if taxable. → **(b).** Sec 15(2)(e) proviso excludes Government subsidies; only non-Government subsidies are added.

D3. A post-supply discount is deductible from value only if — (a) it is generous; (b) recorded in the invoice; (c) pre-agreed, invoice-linked, and ITC reversed by recipient; (d) approved by GST officer. → **(c).** The three cumulative gates of Sec 15(3)(b); "recorded in invoice" (option b) is the *pre-supply* limb (a).

D4. Goods exchanged partly for an old article; OMV of the new goods is known. Value is — (a) cash received; (b) cash + value of old article; (c) OMV; (d) 110% of cost. → **(c).** Rule 27 step (a) — where OMV is available it is used first, before the money-plus-equivalent method.

D5. On a stock transfer to a branch (distinct person) that is **eligible for full ITC**, the value is — (a) OMV only; (b) 110% of cost; (c) the value declared in the invoice; (d) 90% of onward sale. → **(c).** Second proviso to Rule 28 — full-ITC recipient makes the invoice value the deemed OMV (revenue-neutral).

D6. Air-travel agent's deemed value on **domestic** bookings under Rule 32(3) is — (a) 5% of basic fare; (b) 10% of basic fare; (c) 5% of total fare incl. taxes; (d) 18% of commission. → **(a).** 5% of **basic fare** (domestic); 10% for international. (Percentages are rate-sensitive — verify.)

D7. A used-goods dealer buys at ₹40,000, sells at ₹38,000, took no ITC. Taxable value under Rule 32(5) is — (a) ₹38,000; (b) ₹2,000; (c) Nil (negative margin ignored); (d) ₹40,000. → **(c).** Margin is negative (−₹2,000); a negative margin is ignored, so value/GST is nil.

D8. Price of a supply is **₹1,18,000 inclusive of 18% GST**. The tax component under Rule 35 is — (a) ₹21,240; (b) ₹18,000; (c) ₹1,00,000; (d) ₹18,900. → **(b).** 1,18,000 × 18 ÷ 118 = ₹18,000 (value ₹1,00,000).

D9. Reimbursement of statutory fees paid by a customs broker on the importer's behalf, at actual cost, is — (a) always taxable; (b) excluded as pure-agent expense under Rule 33; (c) added under 15(2)(c); (d) added under 15(2)(b). → **(b).** Meets the pure-agent conditions of Rule 33 — a pass-through, excluded from value.

D10. Case scenario. HO (Delhi) sends goods to its Chennai branch (distinct person, **not** eligible for full ITC). Cost ₹2,00,000; OMV ₹2,40,000; branch will sell as-such at ₹3,00,000. The **lowest legally permissible** value HO can adopt is — (a) ₹2,00,000; (b) ₹2,40,000; (c) ₹2,70,000; (d) ₹3,00,000. → **(c) ₹2,70,000.** Full-ITC escape (2nd proviso) is unavailable. Options are OMV ₹2,40,000 or 90% of onward price = ₹2,70,000; between the two *available* figures the question's framing (goods for further supply as such, supplier electing the 90% proviso) gives ₹2,70,000. *(If the exam asks simply for the default, it is OMV ₹2,40,000 — read the proviso wording carefully.)*

D11. Interest charged for delayed payment of consideration is — (a) excluded from value; (b) included under Sec 15(2)(d); (c) exempt; (d) taxed at 12% flat. → **(b).** Sec 15(2)(d) expressly includes interest, late fee or penalty for delayed payment.

D12. The valuation rules (27–35) are triggered by — (a) Sec 15(1); (b) Sec 15(2); (c) Sec 15(3); (d) Sec 15(4) and 15(5). → **(d).** 15(4) (value not determinable under 15(1)) and 15(5) (notified supplies).

One-line traps to carry into the hall

- **OMV first** in Rules 27–29 — don't jump to cost or 90% when OMV exists.
- **Government subsidy out, private subsidy in** (15(2)(e)).
- **Post-supply discount** needs *pre-agreement* + *invoice link* + *ITC reversal* — all three.
- **Full ITC ⇒ invoice value = OMV** (2nd proviso, Rule 28) — the biggest time-saver.
- **Margin scheme (32(5))**: subtract only **purchase price**, ignore repairs; negative margin ⇒ nil.
- **Air-travel value = % of basic fare only**, not total fare.
- **TCS (Income-tax) is not** part of GST value; **non-GST taxes/cesses are** (15(2)(a)).
- **Rule 35 gross-down** whenever a figure is stated "inclusive of GST."

Chapter 19 — Input Tax Credit (ITC)

Rates / thresholds / amendments flag: This chapter teaches the *logic and machinery* of Input Tax Credit under Sections 16–21 of the CGST Act, 2017 and Rules 36–45 of the CGST Rules, 2017. ITC is the single most litigated and most amended area of GST — the invoice-matching mechanism (Sec 16(2)(aa), Rule 36(4)), the utilisation order (Sec 49, Rule 88A), and the reversal formulae (Rules 42/43) have all been tightened repeatedly. Internalise the *mechanism* here; then **verify the exact current wording, the latest time-limit for a financial year, the common-credit percentages, and any fresh amendments against ICAI study material for your attempt.** The design logic below is permanent.

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1. The Problem — Why a tax on a tax destroys an economy

Imagine a simple three-stage chain with a flat 10% tax **charged on the full sale price at every stage**, and no credit for tax already suffered:

Stage	Buys at	Adds value	Sells (pre-tax)	Tax @10%	Price to next buyer
Manufacturer	—	100	100	10	110
Wholesaler	110	40	150	15	165
Retailer	165	35	200	20	220

The consumer pays ₹220. But the *real* value added across the whole chain was only 100 + 40 + 35 = **₹175**. A clean 10% tax on that should have collected **₹17.50**. Instead the exchequer collected 10 + 15 + 20 = **₹45**.

Where did the extra ₹27.50 come from? The wholesaler paid tax on ₹150 — but ₹110 of that ₹150 *already had ₹10 of tax baked into it*. He is being taxed on the manufacturer's tax. The retailer is taxed on both earlier taxes. **Tax is compounding on tax at every handover.** This is **cascading**, or the "tax-on-tax" effect, and it is economically toxic for four reasons:

1. **It punishes specialisation.** The more hands a product passes through, the more layers of tax-on-tax it accumulates. So a firm is pushed to do everything in-house (**vertical integration**) purely to dodge tax layers — a distortion that has nothing to do with efficiency.
2. **It is invisible and regressive.** Nobody can tell how much tax is embedded in the final ₹220. The effective rate is 25.7%, not the advertised 10%.
3. **It kills exports.** You cannot cleanly refund embedded tax you cannot even measure, so domestic taxes get exported inside the price, making Indian goods uncompetitive abroad.
4. **It rewards evasion.** Because each stage's tax is a dead cost to the next buyer, everyone has an incentive to deal off-the-books.

The old Indian indirect-tax system had *exactly* this disease across the Excise–VAT–Service-Tax–CST silos: credit could not flow across the boundaries between them (Central taxes vs State taxes; goods vs services). A manufacturer's excise duty could not be set off against a State's VAT; a service provider's service tax could not offset the VAT on goods he bought. Every silo boundary was a place where tax got trapped inside the cost and cascaded downstream. GST's entire reason for existing is to cure cascading. And the instrument that does the curing is **Input Tax Credit**.

Quantifying the distortion. Notice the arithmetic sharpens the argument: the *excess* collection of ₹27.50 is precisely the sum of "tax charged on earlier tax." The wholesaler's ₹15 tax includes 10% of the ₹10 he inherited = ₹1; the retailer's ₹20 includes 10% of the ₹25 of tax embedded in his ₹165 cost = ₹2.50; plus the deeper second-order layers. This compounding is *geometric* in the number of stages — which is exactly why a long, specialised supply chain (the hallmark of a modern economy) is punished hardest. ITC breaks the geometry: it makes tax *additive on value only*, never multiplicative on prior tax.

> **The problem ITC solves, in one line:** *make sure that at every stage a business pays tax only on the value IT adds — never again on value (and tax) that earlier stages already bore.*

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2. The Core Idea

> **Input Tax Credit means: the GST a registered person pays on his purchases (inputs, input services, capital goods) is not a cost — it is a *deposit* he can set off against the GST he collects on his sales. He deposits tax to the government on his sales (output tax), takes credit for tax already deposited by his suppliers on his purchases (input tax), and pays the government only the difference — which is exactly the tax on the value HE added.**

Re-run the chain above, now *with* full ITC at 10%:

Stage	Output tax on sale	Less: ITC on purchases	Net cash to govt
Manufacturer	100 × 10% = 10	0	**10**
Wholesaler	150 × 10% = 15	10	**5**
Retailer	200 × 10% = 20	15	**5**
Total			**20**

Total collected = ₹20 = exactly 10% of the final ₹200 value. The consumer bears ₹20 and *only* ₹20. Each business remitted tax purely on its own value-add (100→₹10, 40→₹5, 35→₹3.50... note the ₹5 and ₹5 net figures equal 10% of 40 and 35 respectively once you strip rounding). **Cascading is gone.** The tax has become a pure Value Added Tax by the mechanism of credit.

The three vocabularies of the same rupee. One subtlety worth locking in early: the *same* ₹10 of tax on the manufacturer's sale wears three hats depending on whose books you read it in. To the manufacturer it is **output tax** (a liability). To the wholesaler it is **input tax** (an asset — his ITC). To the government it is **revenue collected**. The entire system's integrity rests on those three views reconciling: the wholesaler may treat ₹10 as an asset *only if* the manufacturer treated it as a liability *and paid it*. When those views diverge — the buyer claims credit the seller never remitted — the treasury is out of pocket. Every condition in Sec 16(2) exists to force the three views back into agreement.

Three consequences fall out of this and organise the whole chapter:

1. **ITC makes GST a "credit-invoice" tax.** The invoice is the currency of credit. My purchase invoice is my *claim* on the treasury; my sale invoice is the *source* of my customer's claim. The whole system is a chain of matched invoices.

2. **The chain must be unbroken to work.** If any link fails to actually pay the tax he collected, the government would be crediting money it never received. So ITC is granted *conditionally* — the buyer only gets credit once the seller has genuinely paid. This is the self-policing heart of GST.
3. **Credit is not universal — it follows the tax.** You get credit only for tax on things used *in the course of business to make taxable supplies*. Personal use, exempt supplies, and specifically-blocked items break the "value-add-to-taxable-output" logic, so their credit is denied or apportioned.

Everything in Sections 16–21 is one of these three ideas made precise.

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3. Why It's Built This Way — the design logic behind every rule

Before a single sub-section, lock in the design choices. Every technical rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
Credit only what was used for *business* & *taxable* output	Personal use / exempt output added no taxable value — crediting it is a giveaway	Sec 16(1) purpose test; Sec 17(1)/(2) apportionment
Credit only when a *genuine tax-paid* transaction exists	Fake invoices with no real tax paid would drain the treasury	Sec 16(2): invoice + receipt + tax actually paid + return filed
Buyer's credit hinges on the *supplier's* compliance	Makes every buyer police his own suppliers — self-enforcing	Sec 16(2)(aa) invoice must appear in GSTR-2B; Sec 16(2)(c) tax actually paid
A hard deadline to claim	Books must close; the government cannot leave credit open forever	Sec 16(4) time limit
Pay the supplier within 180 days or reverse	Credit is for tax on a *real* purchase, not an unpaid paper entry	Sec 16(2) 2nd proviso + Rule 37
Spread capital-goods credit correctly	A machine yields output over years, not instantly	Sec 16 + Rule 43 (and depreciation bar u/s 16(3))
Block credit on items prone to personal use / no clear business nexus	Motor cars, food, club fees etc. blur business vs consumption	Sec 17(5) blocked credits
Reverse credit tied to exempt / non-business use	Restore the "taxable-output-only" principle proportionately	Sec 17(1)/(2) + Rules 42 & 43
Fixed order of credit utilisation	Stop taxpayers hoarding one head's cash while another runs dry	Sec 49(5), Sec 49A/49B, Rule 88A
Curb fake-credit rings & pure-credit-run businesses	Fraudsters set off 100% liability with fake ITC and never pay a rupee in cash	Rule 86A (block ledger), Rule 86B (1% cash rule)

The elegance to internalise: **ITC is a privilege granted against proof, not a right.** The default is *no credit*; you earn it by satisfying conditions that each guarantee the government isn't refunding tax it never got, or crediting consumption it shouldn't subsidise. Read every rule as "*which leak is this plugging?*" and the section numbers stop being arbitrary.

The two failure modes the whole architecture guards against. Every anti-abuse rule in this chapter is defending one of two flanks. Flank 1 — **the treasury credits tax it never received** (fake invoices, defaulting suppliers, unpaid purchases): guarded by 16(2)(aa)/(c), Rule 36(4), Rule 37, Rule 37A, Rule 86A. Flank 2 — **the taxpayer credits consumption the tax was never meant to subsidise** (personal use, exempt output, end-consumption items): guarded by 16(1), 17(1)/(2), 17(5), Rules 42/43. When you see a rule you have half-forgotten, first ask "*which flank?*" — it will usually tell you what the rule must be doing.

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4. Full Technical Content

4.1 The gateway: Section 16(1) — the *eligibility* / purpose test

> "Every registered person shall... be entitled to take credit of input tax charged on any supply of goods or services... which are **used or intended to be used in the course or furtherance of his business**..."

Three gatekeepers hide in this single sentence:

- **Registered person.** An unregistered person or a composition dealer (Sec 10) gets *no* ITC — composition is a flat-rate scheme that trades away credit for simplicity. Credit is a benefit of the regular regime only.
- **Input tax.** Defined in Sec 2(62): the CGST, SGST/UTGST, IGST *charged on any supply to him*, plus IGST on imports and tax paid under reverse charge (RCM). It does **not** include tax paid under composition, nor any tax paid as penalty.
- **Course or furtherance of business + taxable output.** This is the load-bearing nexus. The purchase must feed the making of *taxable* (including zero-rated) supplies. This test is what powers the apportionment of Sec 17 (below).

The three species of "input" — a distinction the examiner loves. "Input tax" attaches to three different kinds of procurement, each with its own definition and treatment: - **Inputs [Sec 2(59)]** — goods *other than* capital goods (raw materials, consumables, packing). Credit is instant and full. - **Input services [Sec 2(60)]** — any service used in business (audit, freight, rent). Credit is instant and full. - **Capital goods [Sec 2(19)]** — goods *capitalised in the books* and used in business (plant, machinery, equipment). Credit is also instant and full **upfront** — *unless* Rule 43 apportionment applies (common use) — but is subject to the depreciation bar (Sec 16(3)) and the claw-back on later sale (Sec 18(6)).

The dividing line between "input" and "capital good" is *whether the item is capitalised in the books*, not its physical durability. The same fan can be an input (charged to P&L) for one firm and a capital good (capitalised) for another — and that accounting choice changes which rules bite.

"Intended to be used" — credit before consumption. Note the section allows credit on goods *intended* to be used in business, so credit is not deferred until actual consumption in production — you may take it on receipt of raw material sitting in the store. This is why the reversal machinery (180-day rule, Sec 17, Sec 17(5)(h) for later loss) exists: credit is granted early on *intention*, then reversed if intention is falsified by events.

Memory hook — "R-I-B": Registered person, Input tax, Business (taxable) use. Fail any one and Sec 16(1) shuts the gate before you even reach the conditions.

4.2 The four conditions: Section 16(2) — the *entitlement* test (non-obstante, overriding)

Sec 16(2) opens with "*Notwithstanding anything contained in this section*" — meaning **even if 16(1) is satisfied, NO credit is available unless ALL of the following are met.** These are cumulative, not alternatives.

Condition 1 — Possession of a tax-paying document [Sec 16(2)(a)]. You must hold a valid **tax invoice**, debit note, bill of entry (imports), or ISD invoice. *Why:* the invoice is the primary evidence that tax was charged; no document, no claim. It must contain the prescribed particulars (Rule 36) — at minimum GSTIN of supplier and recipient, invoice number/date, description, value, tax rate and amount. *Fine point:* credit on a **debit note** is now delinked from the date of the original invoice — for the Sec 16(4) time limit, a debit note stands on its *own* financial year, not the invoice's.

Condition 1A — Invoice communicated / appears in GSTR-2B [Sec 16(2)(aa)]. The invoice details must have been **furnished by the supplier in his GSTR-1** and **communicated to the recipient** (i.e. it must show up in the auto-generated **GSTR-2B**). *Why:* this is the self-policing masterstroke. Your credit is now mechanically tied to your supplier actually declaring the sale. If he hides the sale, no 2B entry, no credit for you — so *you* will chase him. Rule 36(4) reinforces this: **no credit on any invoice not reflected in GSTR-2B.**

> **GSTR-2A vs GSTR-2B — a favourite trap.** GSTR-2A is a *dynamic, live* auto-populated statement that keeps changing as suppliers file late. GSTR-2B is a *static snapshot* generated once for each month (on/around the 14th), frozen for that return period. Sec 16(2)(aa) and Rule 36(4) are keyed to **2B**, not 2A — because credit must rest on a fixed, auditable cut-off, not a figure that shifts every day. Historically Rule 36(4) permitted a small provisional buffer (an extra 20%, then 10%, then 5% over the reflected amount) for invoices not yet uploaded; that buffer has since been **removed** — today credit is limited *strictly* to what appears in 2B. Verify the current wording, but the direction of travel is one-way: ever tighter.

Condition 2 — Receipt of the goods or services [Sec 16(2)(b)]. You must have actually **received** the goods/services. *Why:* credit is for a *real* supply consumed in business, not a paper transaction. - "*Bill-to-ship-to*" *deeming fiction:* if goods are delivered to a third party on the buyer's instruction, the buyer is *deemed* to have received them (so the buyer still gets credit). This mirrors the identical fiction in place-of-supply rules. - Where goods are received in lots/instalments against a single invoice, credit is allowed only on receipt of the **last lot**.

Condition 3 — Tax actually paid to the government [Sec 16(2)(c)]. The tax charged on your invoice must have been **actually paid** to the government by the supplier (in cash or through his own valid ITC). *Why:* this is the ultimate anti-fraud clamp — the government will not credit you money it never received. This condition is what makes buyers vulnerable to defaulting suppliers, and is the single biggest ITC litigation battleground.

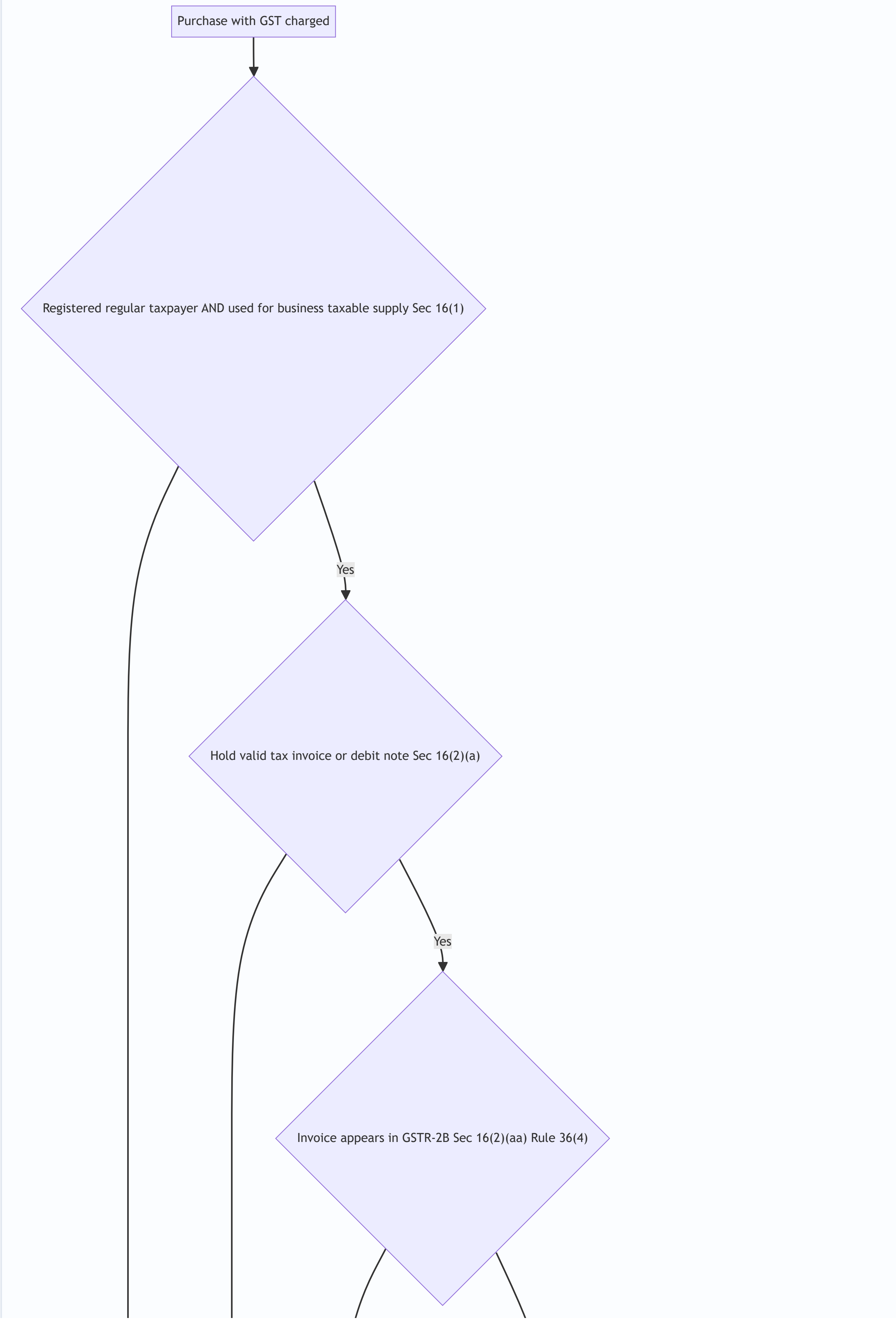
> **Rule 37A — the operational teeth behind 16(2)(c).** Because a buyer cannot possibly *know* whether his supplier paid, the mechanism works through timing: if a supplier files his **GSTR-1** (so the invoice shows in your 2B and you take credit) but then **fails to file the GSTR-3B** that actually pays the tax by **30th September** following the financial year, the **recipient must reverse** that ITC by **30th November** of that year. If the supplier later files the 3B, the recipient may **re-avail**. This closes the gap between "invoice declared" (GSTR-1) and "tax paid" (GSTR-3B) — the exact seam fraudsters exploit. *Verify the current dates against ICAI material.*

Condition 4 — Return furnished [Sec 16(2)(d)]. The recipient must have **filed his return under Sec 39** (GSTR-3B). *Why:* credit is claimed *through* the return; it is not a standalone right you bank unilaterally.

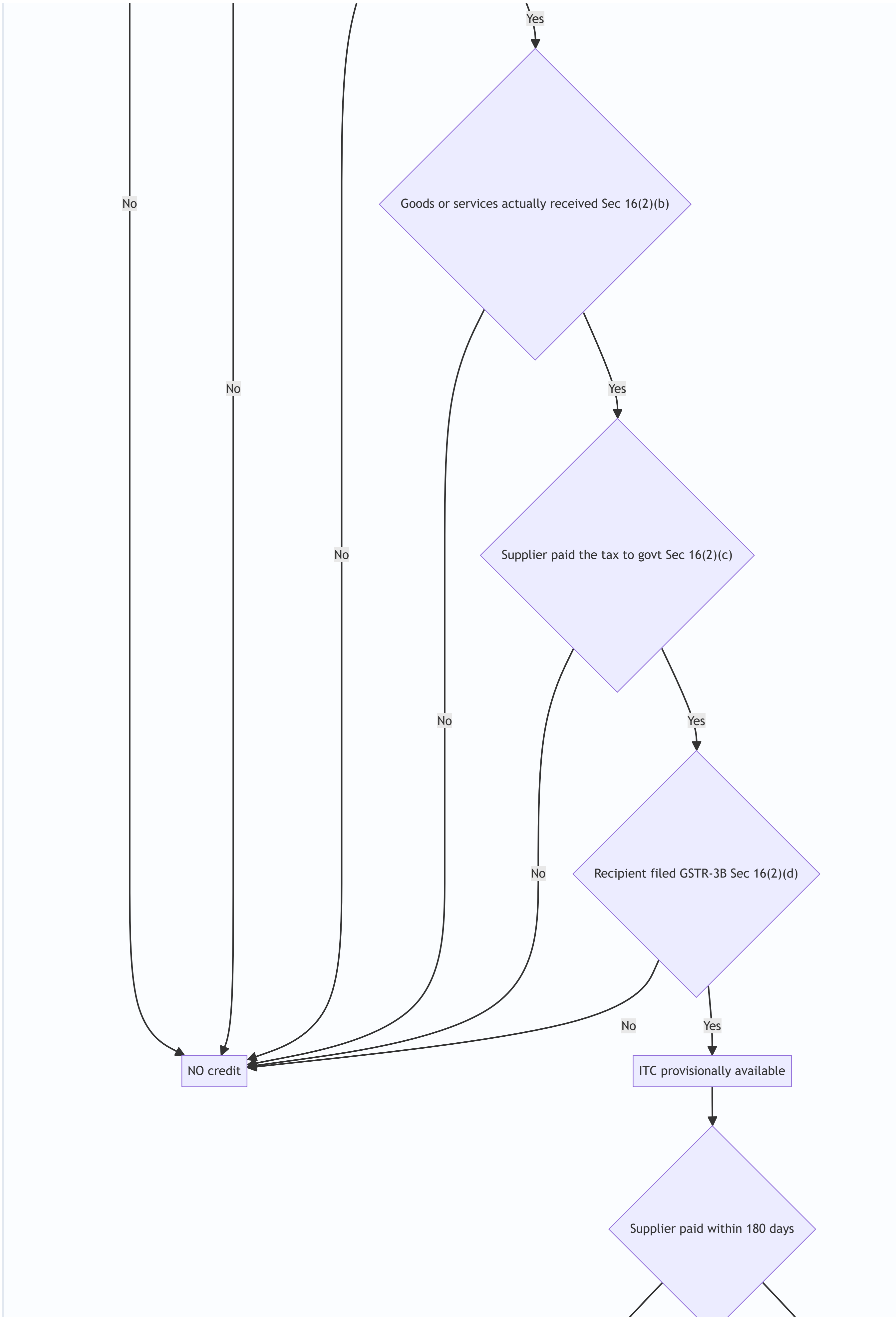
Fifth, cross-cutting condition — pay the supplier within 180 days [2nd proviso to Sec 16(2)] + Rule 37. If the recipient does not pay the **supplier** the value + tax within **180 days** from the invoice date, the credit already taken must be **added back to output tax liability with interest**. Once payment is eventually made, credit can be **re-availed** (with no time bar under Sec 16(4) for the re-availment). *Why:* ITC is credit for tax on a *genuine, paid-for* purchase. An unpaid invoice is just a bookkeeping entry; letting it fund credit would let related parties raise invoices they never intend to settle. *(This does not apply to supplies taxed under RCM, or where value is deemed supplied without consideration under Schedule I.) Partial-payment nuance:* if only part of the invoice is paid within 180 days, the reversal is **proportionate** to the unpaid portion.

Section 41 — self-assessed credit, and its mirror-image reversal. The substituted Sec 41 completes the loop: a registered person may take the ITC *self-assessed in his return* by crediting it to his electronic credit ledger — but if the tax on that supply has **not been paid** by the supplier, the credit must be **reversed** (with interest), and **re-availed** once the supplier pays. Read together, 16(2)(c) + Rule 37A + Sec 41 mean: *your credit is only ever as good as your supplier's payment; the law simply defers the reckoning, it does not waive it.*

Memory hook — the "PRTR + 180" ladder: Possession of invoice → **R**eceipt of goods/services → **T**ax paid to govt (and in 2B) → **R**eturn filed → then keep it by **paying within 180 days**.



Purchase with GST charged
Registered regular taxpayer AND used for business taxable supply Sec 16(1)
Yes
Hold valid tax invoice or debit note Sec 16(2)(a)
Yes
Invoice appears in GSTR-2B Sec 16(2)(aa) Rule 36(4)



Yes
No
Goods or services actually received Sec 16(2)(b)
No
Yes
No
Supplier paid the tax to govt Sec 16(2)(c)
No
Yes
No
Recipient filed GSTR-3B Sec 16(2)(d)
No
Yes
NO credit
ITC provisionally available
Supplier paid within 180 days

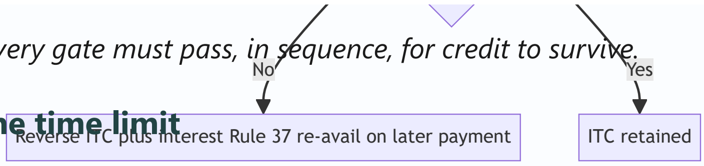


Figure 19.1 — The Section 16 eligibility gauntlet: every gate must pass, in sequence, for credit to survive.

4.3 The hard deadline: Section 16(4) — the time limit

ITC on an invoice/debit note for a financial year **cannot be claimed after the earlier of:**

- **30th November** following the end of that financial year, **or**
- the date of filing the **annual return** for that year.

Why: the government's accounts for a year must eventually close. An open-ended claim would make reconciliation impossible and invite backdated fraud. *(The date was liberalised from the old "due date of September return" to 30th November — always confirm the current cut-off for your exam year.)* Note the deadline is keyed to the *invoice's* financial year, not when you happened to receive it.

Four carve-outs from Sec 16(4) worth memorising (situations where the normal cut-off does *not* apply): 1. **Re-availment** of credit earlier reversed under the 180-day rule (Rule 37) — the door reopens on payment, no fresh time bar. 2. **Re-availment** under Rule 37A / Sec 41 once the supplier finally pays. 3. Credit on **debit notes** — now keyed to the debit note's *own* year (post-amendment), not the original invoice's year, which can extend the effective window. 4. Special-situation credit under **Sec 18(1)** — governed instead by the separate **one-year-from-invoice** bar (para 4.10), not Sec 16(4).

Memory hook: "*By 30-Nov-next or annual return, whichever is earlier — after that, the door is bolted.*"

4.4 Apportionment & the "taxable-output-only" principle: Section 17(1) & (2)

Sec 16 says credit is for *business + taxable* use. Section 17 handles the messy real world where a purchase is used **partly** outside that pure zone:

- **Sec 17(1):** goods/services used *partly for business and partly for other (non-business/personal) purposes* → credit restricted to the **business portion**.
- **Sec 17(2):** goods/services used *partly for taxable (incl. zero-rated) supplies and partly for exempt supplies* → credit restricted to the portion attributable to **taxable supplies**.

Why: exempt output and personal use never carried output tax against which input tax could set off. Granting full credit there would refund tax with nothing to net it against — a straight subsidy. So credit is *apportioned*.

"Exempt supply" for Section 17 is deliberately over-inclusive [Sec 17(3)]. For apportionment purposes the term is stretched beyond ordinary exemptions to also drag in: - supplies taxed under **RCM in the recipient's hands** (from the supplier's angle these carry no output tax he pays, so his related common credit must be reversed); - **sale of land** and **sale of a completed building** (Schedule III — outside GST entirely); - **transactions in securities** (value taken at 1% of sale value for the E/F ratio).

But two things are expressly EXCLUDED from "exempt turnover" so they do **not** trigger reversal: the value of **zero-rated supplies** (exports/SEZ — these are *meant* to carry full credit), and certain specified items (e.g. interest/deposit-type income for non-banking businesses, and duty-credit scrips). The examiner's favourite here is to slip **export turnover** into the "exempt" column of a Rule 42 problem — it does *not* belong there.

Banking/NBFC option [Sec 17(4)]: a bank or NBFC (and financial institutions) may, instead of the item-wise apportionment, opt to **claim a flat 50%** of eligible ITC each month and forgo the rest — a compliance-simplifying trade-off. *Fine points:* the 50% option, once chosen, is **irrevocable for the financial year**; and the

50% restriction does **not** apply to credit on supplies made by one registration of the bank to *another* registration of the same bank (intra-entity).

4.5 The mechanical apportionment formulae: Rules 42 & 43

When inputs are *common* to taxable and exempt supplies and cannot be directly attributed, the reversal is computed by formula.

Rule 42 — inputs & input services (monthly). The logic: 1. **T** = total input tax on all inputs/input services in the month. 2. Strip out **T1** (used exclusively for non-business), **T2** (used exclusively for exempt), **T3** (blocked u/s 17(5)) — these get *no* credit, ever. 3. **T4** = credit *exclusively* for taxable/zero-rated supplies → fully allowed. 4. **Common credit C2 = T − (T1+T2+T3) − T4.** 5. Reverse the exempt-attributable slice: **D1 = C2 × (E ÷ F)**, where **E** = exempt turnover, **F** = total turnover. 6. Reverse the non-business slice **D2 = 5% of C2** (a standardised assumption — used *only* when the registered person also uses common inputs partly for non-business ends; if there is no non-business use, D2 is nil). 7. **Eligible common credit C3 = C2 − (D1 + D2).** D1 and D2 are added back to output liability.

The annual true-up [Rule 42(2)] — the step students forget. The monthly D1/D2 are provisional, computed on *monthly* turnover ratios which swing month to month. After year-end, recompute D1 and D2 using the **whole year's** E and F. Then: - If **annual reversal > sum of monthly reversals**, pay the shortfall (add to output liability) **with interest**, by **30th November** of the next year. - If **annual reversal < sum of monthly reversals**, claim the excess back as credit (no interest to you) by the same date.

Rule 43 — capital goods (monthly, spread over 60 months). *Why a separate rule:* a machine delivers its usefulness over *years*, so its credit is spread rather than reversed all at once. The mechanics: - Capital goods used **exclusively for exempt/non-business** → **no** credit (kept out of common pool). - Capital goods used **exclusively for taxable/zero-rated** → **full** credit. - Capital goods used **commonly** → the credit **A** enters a common pool; the useful life is taken as **5 years = 60 months**, so the monthly common credit is **Tm = A ÷ 60**. The **exempt-attributable reversal each month = Te = Tm × (E ÷ F).** This runs for 60 months from the date of the invoice. - If a capital good that was earlier *exclusive* (taxable or exempt/non-business) *later* becomes common, its value **A** is first **reduced by 5% per quarter (or part)** already elapsed, before entering the common pool.

Memory hook: *Rule 42 = inputs, reverse now, 5% non-business fudge, annual true-up. Rule 43 = capital goods, spread over 60 months, reverse E/F each month.*

4.6 Blocked credits: Section 17(5) — the "no credit even if used in business" list

This is the most exam-tested memory list. The unifying *why*: each item is either (a) prone to **personal consumption** masquerading as business, or (b) an end-consumption item where the chain is meant to *stop* (the business is the final consumer). Group them by logic rather than rote:

Clause	Blocked item	The "why"	Key exceptions (credit ALLOWED)
(a), (aa), (ab)	**Motor vehicles** for passenger transport (seating ≤ 13 incl. driver); vessels & aircraft; their insurance/repairs/maintenance	Cars blur business vs personal use	If used for: (i) further supply of such vehicles (dealer), (ii) passenger transport (taxi/bus operator), (iii) driving/flying/navigation training, or goods transport vehicles
(b)	**Food & beverages, outdoor catering, health services, cosmetic/plastic surgery, club/fitness membership, beauty treatment, health & life insurance, rent-a-cab, travel benefits to employees on leave (LTC/home travel)**	Classic personal-consumption items	If **inward = same category as outward** (e.g. a restaurant buying food, an outdoor caterer sub-contracting catering) OR provision is **obligatory for the employer under any law in force** (single proviso covers whole clause post-2019 amendment)
(c),(d)	**Works contract services & goods/services for construction of immovable property** (on own account, to the extent capitalised)	The building is final consumption; chain stops	If it's **plant & machinery**, or the works-contract is an input to *further* works-contract supply
(e)	Goods/services on which **composition tax** paid (Sec 10)	Composition dealer charged no creditable tax	—
(f)	Goods/services received by a **non-resident taxable person** (except goods imported by him)	Outside the domestic credit chain	—
(fa)	Goods/services used for **CSR activities** (Sec 135 Companies Act)	Statutory obligation, not "in the course of business" for credit	—
(g)	Goods/services for **personal consumption**	Directly fails the business nexus	—
(h)	Goods **lost, stolen, destroyed, written off**, or given as **gifts/free samples**	No taxable output ever resulted	—
(i)	Tax paid after **fraud/detention/confiscation** (Secs 74, 129, 130)	Won't reward evasion with credit	—

"Plant & machinery" — the precise carve-out [Explanation to Sec 17]. For clauses (c)/(d), "plant and machinery" means apparatus, equipment and machinery **fixed to earth by foundation or structural support** used for making outward supply — *but expressly EXCLUDES* **land, buildings or other civil structures, telecommunication towers, and pipelines laid outside factory premises.** So credit on a machine's foundation is fine; credit on the factory building housing it is blocked. This boundary is a recurring MCQ.

"Plant *and machinery*" vs "plant *or machinery*" — a subtle statutory-language trap. The definitional Explanation restricts "plant **and** machinery." Note that clause (d) as drafted uses "plant **or** machinery" — a distinction that has been the subject of litigation (the *Safari Retreats* line of cases on ITC for constructed commercial buildings let out on rent). For the exam, apply the statutory Explanation as ICAI states it; flag any recent judicial/legislative change and **verify against current ICAI material**.

Memory hook — "The consumer's basket." Ask: *would a normal individual enjoy this personally, or does the value chain end here?* Cars, food, gym, cosmetics, a building, gifts, personal goods — all things a *consumer* enjoys. That's why the credit stops. The exceptions all restore a genuine *business-to-business, chain-continuing* purpose.

4.7 ITC on capital goods — the two special rules

Capital goods (Sec 2(19): goods capitalised in the books, used in business) get **full ITC upfront in the month of receipt** (subject to Sec 16 conditions) — GST does *not* make you spread the credit over the asset's life the way old CENVAT did, *except* under Rule 43 apportionment when the asset is common to taxable + exempt output.

Two capital-goods-specific rules matter:

- **Sec 16(3) — the depreciation bar.** If you claim **depreciation under the Income-tax Act on the *tax component*** of a capital good's cost, you **cannot** also take ITC on that tax. *Why:* that would be a double benefit — deducting the tax as cost *and* crediting it. Choose one. (Practically: capitalise the asset *net* of GST and claim ITC; do not include GST in the depreciable cost.)
- **Sec 18(6) + Rule 44 — supply of used capital goods.** If you sell/transfer capital goods on which ITC was taken, you must pay the **higher of**: (i) ITC taken *reduced by 5% per quarter (or part)* of use, or (ii) tax on the transaction value. *Why:* claw back the unused portion of credit on an asset leaving the taxable chain, so the remaining life isn't credit-subsidised. *Exception:* for **refractory bricks, moulds & dies, jigs & fixtures** supplied as **scrap**, the person may simply pay tax on the **transaction value** (no higher-of comparison).

4.8 The credit-utilisation order: Section 49, 49A, 49B & Rule 88A

You hold three separate credit ledgers — **IGST, CGST, SGST/UTGST** — and three output liabilities in the same heads. The law dictates a **strict order** for setting credit against liability. *Why an order at all:* CGST is Centre's revenue, SGST is the State's; IGST is shared. Uncontrolled utilisation would let a taxpayer drain the head that suits his cash flow, distorting the Centre–State settlement. The order protects the revenue-sharing arithmetic.

The rules, in force order:

1. **IGST credit must be exhausted FIRST** (Sec 49A) — before any CGST or SGST credit can be used at all.
2. **IGST credit** is set off against **IGST → then CGST → then SGST/UTGST**, in that order (Rule 88A allows IGST to be used against CGST/SGST in **any order and in any proportion** *once IGST output is cleared*, but IGST itself must be used before CGST/SGST credit).
3. **CGST credit** → against **CGST first, then IGST**. **CGST can NEVER be used for SGST.**
4. **SGST/UTGST credit** → against **SGST first, then IGST** — *and SGST can be used against IGST only after the CGST credit has been fully used for IGST.* **SGST can NEVER be used for CGST.**

Why Rule 88A's flexibility matters strategically. Once IGST output is cleared, you may steer the *remaining* IGST credit toward CGST or SGST in whatever split you like. A shrewd taxpayer directs it to whichever head would otherwise force a *cash* payment — minimising cash outflow while the CGST↔SGST wall stays intact. The examiner sometimes rewards the split that leaves the *least* cash payable; the answer is always "point leftover IGST credit at the head with the bigger shortfall."

Rule 86B — the 1% cash rule (anti-fake-credit). A registered person whose **taxable turnover in a month exceeds ₹50 lakh** must discharge **at least 1% of that month's output tax liability in cash** (i.e. cannot use ITC for the *entire* liability). *Why:* a pure fake-credit fraud runs 100% of its liability off bogus ITC and never pays a rupee — the 1% floor forces some skin in the game. *Exceptions:* the rule is relaxed where the proprietor/partners/directors have paid large income-tax, or where the person has received a refund above a threshold, etc. **Rule 86A** separately lets officers **block** a credit ledger on reason-to-believe of fraudulent/ineligible credit — a temporary freeze, not a reversal. *Verify current thresholds against ICAI material.*

Memory hook — "IGST is the universal donor; CGST and SGST never touch each other." IGST credit can pay any head (like O-negative blood). But the CGST↔SGST wall is absolute — one can never pay the other's liability, because that would silently transfer money between the Centre and a State.

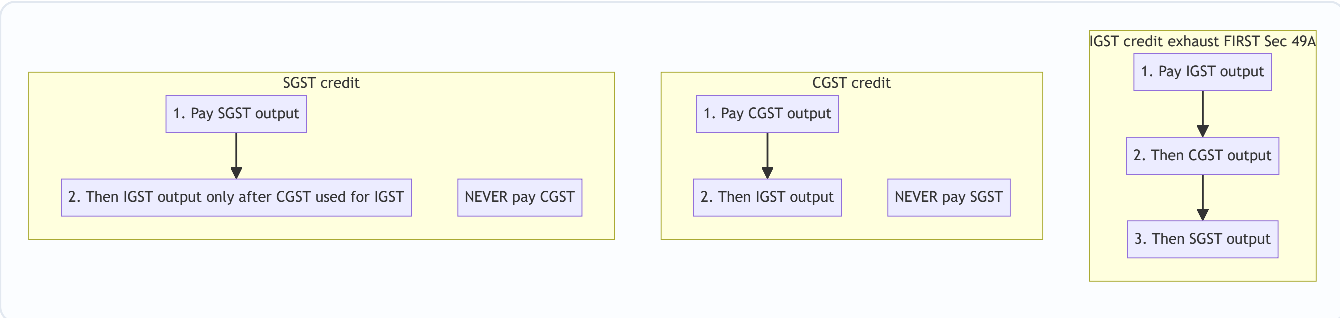


Figure 19.2 — Credit utilisation order: IGST is used up first and can pay anything; CGST and SGST guard the Centre–State wall and can never cross-pay each other.

4.9 Reversal situations — a consolidated map

Credit, once taken, must be **reversed** (added back to output liability, usually with interest) whenever the "tax-on-genuine-taxable-business-use" premise breaks:

Trigger	Provision	Reversal
Non-payment to supplier within 180 days	2nd proviso Sec 16(2) + Rule 37	Full (or proportionate) ITC + interest; re-avail on payment
Supplier filed GSTR-1 but not GSTR-3B (tax unpaid) by 30 Sep	Sec 16(2)(c) + Rule 37A	Reverse by 30 Nov; re-avail when supplier pays
Self-assessed credit where supplier hasn't paid	Sec 41	Reverse + interest; re-avail on payment
Common inputs used for exempt/non-business	Sec 17(1)/(2) + Rule 42	Proportionate (E/F) + 5%; annual true-up
Common capital goods for exempt/non-business	Rule 43	Proportionate, spread over 60 months
Inputs/CG in stock when switching to composition or when output becomes wholly exempt	Sec 18(4) + Rule 44	Reverse ITC on stock/CG (CG reduced 5% per quarter)
Goods lost, stolen, destroyed, written off, gifted, free samples	Sec 17(5)(h)	Full reversal
Sale/transfer of capital goods on which ITC taken	Sec 18(6) + Rule 44	Higher of (ITC − 5%/quarter) or tax on transaction value
Registration cancelled	Sec 29(5) + Rule 44	Reverse ITC on stock & CG held (CG higher-of rule)

Interest on reversal — the sting in the tail [Sec 50(3) + Rule 88B]. Interest at **18% p.a.** applies to ITC that was **wrongly availed AND utilised** (mere availment that sits unused in the ledger, later reversed, no longer attracts interest under the amended Rule 88B). "Utilised" is tested against the ledger balance: credit is deemed utilised only to the extent the ledger balance falls below the wrongly-availed amount. This distinction (availed-only vs availed-and-utilised) is an increasingly popular MCQ.

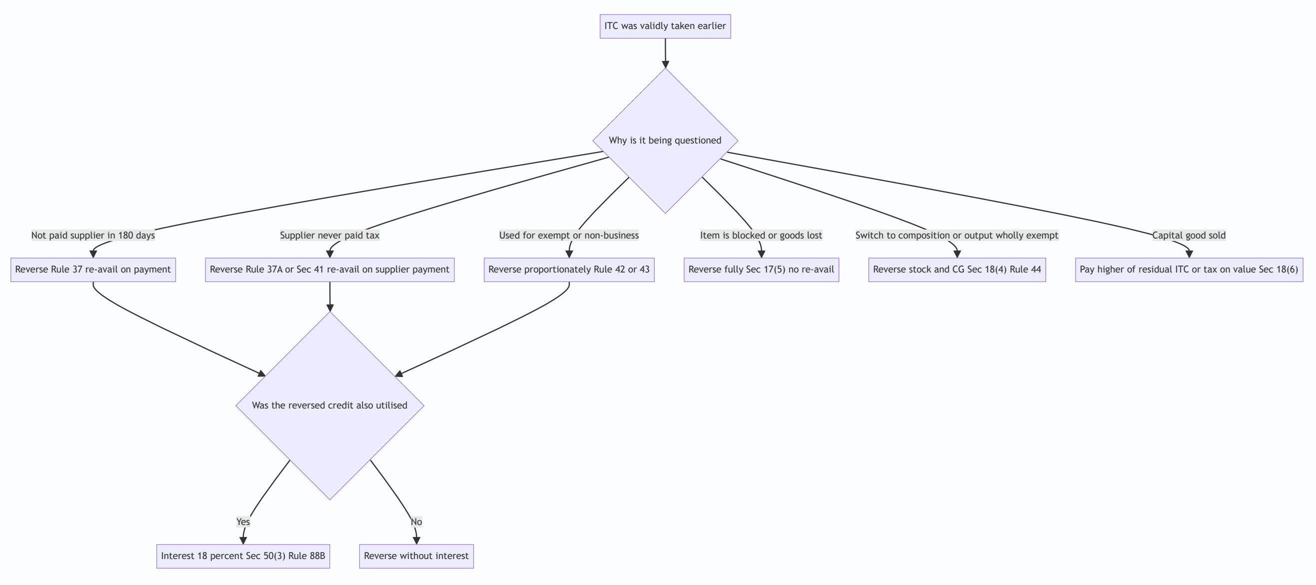


Figure 19.3 — The reversal decision tree: identify the broken premise first, then the provision and whether interest bites follow automatically.

4.10 Special-situation credit: Section 18 (entitlement on transitions)

Sec 18 answers "*what happens to credit when a taxpayer's status changes?*" — symmetrical logic in both directions:

- **Sec 18(1)(a):** person becomes liable to register & registers within 30 days → ITC on **inputs in stock** (and in semi-finished/finished goods) on the day *before* registration liability.
- **Sec 18(1)(b):** voluntary registration → ITC on inputs in stock on day before registration.
- **Sec 18(1)(c):** composition dealer switches to regular scheme → ITC on inputs in stock **and capital goods** (CG reduced by 5% per quarter of prior use).
- **Sec 18(1)(d):** exempt supply becomes taxable → ITC on inputs in stock and CG relatable to that supply.
- **Sec 18(4):** reverse direction — regular → composition, or supplies become wholly exempt → **reverse** ITC on stock & CG.
- **Sec 18(3):** on **sale/merger/transfer of business**, unutilised ITC transfers to the new entity (Form ITC-02). *Why:* credit belongs to the business, not the legal shell; it should follow the going concern.

Two asymmetries the examiner probes: 1. On the way **IN** (18(1)(a)/(b) — new/voluntary registration), credit is allowed **only on inputs in stock**, *not on capital goods*. On the way IN via **18(1)(c)/(d)** (composition-to-regular, or exempt-to-taxable), credit is allowed on **inputs in stock AND capital goods**. So "do I get CG credit on transition-in?" depends entirely on *which* sub-clause. 2. On the way **OUT** (18(4)), *both* stock and capital goods credit are reversed — no asymmetry there.

All Sec 18(1) claims require filing **Form ITC-01** within 30 days (of becoming eligible) and carry a **one-year time bar** from the tax-invoice date (credit on stock older than a year is stale). A **chartered accountant/cost accountant certificate** is required where the aggregate credit claimed on the declaration exceeds **₹2 lakh**.

4.11 Input Service Distributor & job-work (brief, for completeness)

- **ISD (Sec 20):** a head office that receives *common input-service* invoices (e.g. audit fee, software licence for the whole group) distributes that ITC to its branches (having the same PAN) in proportion to turnover, via an **ISD invoice**. *Why:* the credit belongs where the service is *used*, not where the invoice happens to land. *Recent direction:* ISD registration and distribution of credit for common input services has been moving from *optional* to **mandatory** — verify the current position for your attempt. Note the ISD mechanism distributes credit on **input services only**, not on goods/capital goods (those move through cross-charge instead).
- **Job-work (Sec 19):** a principal sending inputs/CG to a job-worker retains ITC even though the goods left his premises, provided they return within **1 year (inputs) / 3 years (capital goods)**; else it is deemed a supply as of the date they were sent out, and tax applies. *(Moulds, dies, jigs, fixtures and tools sent to a job-worker are outside this time-limit.) Why:* physical movement to a processor isn't consumption — the business nexus continues.

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5. Worked Examples

Example 1 — Basic net-liability computation with the utilisation order

Facts. Mehta Traders (regular dealer, Maharashtra) for a month has: - Output tax payable: IGST ₹40,000; CGST ₹30,000; SGST ₹30,000. - ITC available (all conditions of Sec 16 met, invoices in GSTR-2B): IGST ₹50,000;

CGST ₹20,000; SGST ₹18,000.

Required. Net GST payable in cash.

Step 1 — Use IGST credit first (Sec 49A). IGST credit = ₹50,000. - Against IGST output ₹40,000 → uses ₹40,000. IGST output now nil. IGST credit left = ₹10,000. - Remaining IGST credit ₹10,000 against CGST output ₹30,000 → uses ₹10,000. CGST output now ₹20,000. IGST credit exhausted.

Step 2 — CGST credit ₹20,000 against remaining CGST output ₹20,000 → uses ₹20,000. CGST output now **nil**. CGST credit exhausted.

Step 3 — SGST credit ₹18,000 against SGST output ₹30,000 → uses ₹18,000. SGST output left = ₹12,000. SGST credit exhausted.

Step 4 — Cash payable.

Head	Output	Credit set off	Cash payable
IGST	40,000	40,000 (IGST)	0
CGST	30,000	10,000 (IGST) + 20,000 (CGST)	0
SGST	30,000	18,000 (SGST)	**12,000**
Total	1,00,000	88,000	**12,000**

Reconciliation: Total credit ₹88,000 + cash ₹12,000 = ₹1,00,000 = total output tax. ✓ **Net cash = ₹12,000 (SGST).** Note CGST credit could *not* rescue the SGST shortfall — the wall held.

"What if the examiner tweaks it?" Suppose IGST credit were ₹70,000 (not ₹50,000). After paying IGST output ₹40,000, ₹30,000 IGST credit remains — and by Rule 88A you may split it across CGST and SGST *in any proportion*. To minimise cash, point it at whichever head would otherwise pay cash. Here you would apply ₹30,000 IGST credit — say ₹12,000 to SGST (killing the shortfall found above) and ₹18,000 to CGST — so that after own-head CGST/SGST credit, **no cash is payable at all**. The flexibility of Rule 88A is precisely what lets you drive cash to zero.

Example 2 — Eligible-ITC determination with blocked credits (Sec 17(5))

Facts. Surya Manufacturing Ltd (regular, taxable output only) received these inward supplies in a month. Determine **eligible ITC**. (All invoices are in GSTR-2B, tax paid, returns filed.)

#	Inward supply	GST (₹)	Eligible?	Reason
1	Raw material for production	1,80,000	**Yes** 1,80,000	Direct input, taxable output
2	Machinery (capital goods) for the factory	90,000	**Yes** 90,000	Capital goods, full upfront credit
3	Car (seating 5) for the MD's use	60,000	**No**	Sec 17(5)(a) — passenger motor vehicle
4	Outdoor catering for staff annual party	24,000	**No**	Sec 17(5)(b) — food/catering, not obligatory
5	Works contract for constructing a new office building	1,50,000	**No**	Sec 17(5)(c)/(d) — construction of immovable property
6	GST on installation of the machinery (contractor)	15,000	**Yes** 15,000	Installation of plant & machinery — not blocked
7	Audit & consultancy fees	45,000	**Yes** 45,000	Input service for business
8	Goods destroyed in a minor fire	12,000	**No**	Sec 17(5)(h) — goods destroyed

Eligible ITC = 1,80,000 + 90,000 + 15,000 + 45,000 = ₹3,30,000. Blocked/ineligible = 60,000 + 24,000 + 1,50,000 + 12,000 = ₹2,46,000.

Reconciliation: total input tax on the eight supplies = ₹5,76,000; eligible ₹3,30,000 + blocked ₹2,46,000 = ₹5,76,000. ✓ *Teaching point:* item 6 is a deliberate trap — installation of **plant & machinery** is carved OUT of the construction block, so its credit survives even though item 5 (building works contract) does not.

"What if the examiner tweaks it?" Change item 3 to "*a bus (seating 30) bought by the company to ferry factory workers*" and item 4 to "*canteen food which the Factories Act obliges the company to provide.*" Now both flip to **eligible**: the bus seats >13 (outside the 17(5)(a) block on passenger vehicles seating ≤13), and obligatory-under-law canteen provision is rescued by the proviso to 17(5)(b). Change item 3 instead to "*a car bought by a driving school*" — eligible, because driving-training is an express exception. The *nature of the buyer's business* and the *seating/obligation facts* are where the marks hide.

Example 3 — Rule 42 apportionment of common credit (taxable + exempt output)

Facts. Ganga Enterprises makes both taxable and exempt supplies. For the month: - Total ITC on inputs & input services **T = ₹5,00,000**. - Of this: **T1** (exclusively non-business/personal) = ₹20,000; **T2** (exclusively for exempt supplies) = ₹50,000; **T3** (blocked u/s 17(5)) = ₹30,000. - **T4** (exclusively for taxable/zero-rated supplies) = ₹2,50,000. - Turnover in the month: taxable ₹60,00,000; exempt ₹20,00,000; **total F = ₹80,00,000**; exempt **E = ₹20,00,000**.

Required. Eligible common credit and the reversal.

Step 1 — Common credit C2. C2 = T − (T1 + T2 + T3) − T4 C2 = 5,00,000 − (20,000 + 50,000 + 30,000) − 2,50,000 C2 = 5,00,000 − 1,00,000 − 2,50,000 = **₹1,50,000.**

Step 2 — Exempt-attributable reversal D1. D1 = C2 × (E ÷ F) = 1,50,000 × (20,00,000 ÷ 80,00,000) = 1,50,000 × 0.25 = **₹37,500.**

Step 3 — Non-business standardised reversal D2. D2 = 5% of C2 = 5% × 1,50,000 = **₹7,500.**

Step 4 — Eligible common credit C3. C3 = C2 − (D1 + D2) = 1,50,000 − (37,500 + 7,500) = **₹1,05,000.**

Step 5 — Total ITC the assessee may finally take this month. = T4 (exclusive taxable) + C3 (eligible common) = 2,50,000 + 1,05,000 = **₹3,55,000. Reversed / ineligible** = T1 + T2 + T3 + D1 + D2 = 20,000 + 50,000 + 30,000 + 37,500 + 7,500 = **₹1,45,000.**

Reconciliation: eligible ₹3,55,000 + ineligible ₹1,45,000 = ₹5,00,000 = T. ✓ *(D1 and D2 are added to output liability for the month; an annual true-up follows by 30 November of the next FY, with interest if the yearly ratio makes the reversal larger.)*

"What if the examiner tweaks it?" Suppose ₹8,00,000 of the taxable turnover was actually **export (zero-rated)**. It stays in **F** but is **excluded from E** — exports are meant to carry full credit, so they never enlarge the exempt slice. Here E was already only the ₹20,00,000 exempt figure, so nothing changes; but if a careless student had lumped exports into E (making E = 28,00,000), D1 would balloon wrongly to 1,50,000 × 28/80 = ₹52,500 — a ₹15,000 over-reversal. The trap is *always* whether a "zero-rated"/"export" line has been mis-slotted into exempt turnover.

Example 4 — The 180-day reversal (Sec 16(2) proviso + Rule 37)

Facts. On 10 April, Nova Ltd received goods worth ₹1,00,000 + IGST ₹18,000 and took ITC of ₹18,000 in April's GSTR-3B. By the 180th day (≈ 7 October) it had **not paid the supplier**. Payment was finally made on 20 December.

Consequences. - **On crossing 180 days:** the ₹18,000 ITC must be **added back to output tax liability**, plus **interest** from the date of availing to the date of reversal. Nova's October return therefore shows ₹18,000 extra liability + interest. - **On payment (20 December):** Nova may **re-avail** the ₹18,000. Crucially, this re-availment is **not subject to the Sec 16(4) time bar** — the door reopens once the genuine payment is made.

Teaching point: credit is for tax on a *paid-for* purchase. An unpaid invoice cannot fund credit indefinitely; the 180-day rule enforces that economic reality.

"What if the examiner tweaks it?" (a) If Nova had paid **₹70,000 of the ₹1,18,000** within 180 days, only the credit on the **unpaid ₹48,000** is reversed — reversal is *proportionate*, so roughly ₹18,000 × (48,000 ÷ 1,18,000) ≈ **₹7,322** reverses, the rest stays. (b) If the supply were under **RCM**, the 180-day rule **does not apply at all** — Nova itself paid the tax to the government, so supplier non-payment is irrelevant. (c) If the invoice fell under a **Schedule I** deemed supply (e.g. between related persons *without* consideration), again no 180-day reversal — there is no "value payable to a supplier."

Example 5 — Capital-goods credit vs the depreciation bar (Sec 16(3))

Facts. Tejas Ltd buys a machine: base ₹10,00,000 + CGST ₹90,000 + SGST ₹90,000 (total tax ₹1,80,000). It wants the best treatment.

Option A — take ITC. Capitalise the machine at ₹10,00,000 (net of GST). Claim full ITC of ₹1,80,000 upfront (Sec 16). Depreciation under Income-tax Act is computed on ₹10,00,000 — the tax component is *not* in the depreciable base.

Option B — capitalise gross & claim depreciation on tax. Capitalise at ₹11,80,000 and claim income-tax depreciation on the whole amount. Then, under **Sec 16(3), NO ITC of ₹1,80,000 is allowed** — you cannot double-dip.

Which wins? ITC is a **rupee-for-rupee** set-off against GST liability (worth the full ₹1,80,000 now). Depreciation only gives a *tax-rate* benefit on the ₹1,80,000, spread over years (e.g. at 15% WDV and a ~30% income-tax rate, a fraction of ₹1,80,000 recovered slowly). **Option A (take ITC) is almost always superior.** *This is a favourite exam/interview point: the correct choice is claim ITC, capitalise net of tax.*

Example 6 — Rule 43 capital-goods apportionment (spread over 60 months)

Facts. Yamuna Textiles installs a machine on 1 April costing ₹30,00,000 + IGST ₹5,40,000. The machine is used **commonly** for taxable and exempt output. In April, monthly turnover is: taxable ₹90,00,000, exempt ₹30,00,000 (total ₹1,20,00,000). Compute the ITC treatment for April.

Step 1 — Common capital-goods credit A. A = ₹5,40,000 (full credit first enters the common pool; there is no upfront disallowance under Rule 43, only a monthly reversal).

Step 2 — Monthly credit spread, Tm. Useful life = 60 months. Tm = A ÷ 60 = 5,40,000 ÷ 60 = **₹9,000 per month.**

Step 3 — Exempt-attributable reversal for April, Te. E ÷ F = 30,00,000 ÷ 1,20,00,000 = 0.25. Te = Tm × (E ÷ F) = 9,000 × 0.25 = **₹2,250** reversed (added to output liability) in April.

Step 4 — Net credit effectively retained this month from this machine = Tm − Te = 9,000 − 2,250 = **₹6,750** (attributable to taxable use). The remaining ₹5,40,000 − 9,000 = ₹5,31,000 stays credited to the ledger and rides the next 59 months' computations.

Reconciliation over life (if the 25% ratio held every month): total reversal = ₹2,250 × 60 = ₹1,35,000 = 25% of ₹5,40,000. ✓ Exactly the exempt share of the full credit, spread across the asset's assumed 5-year life instead of clawed back at once. *Teaching point:* unlike Rule 42 (reverse-now on inputs), Rule 43 reverses a *sliver each month*, matching the asset's slow consumption.

Example 7 — Sale of used capital goods (Sec 18(6) + Rule 44, the "higher of" test)

Facts. Kaveri Ltd had bought a machine on which it took ITC of ₹1,80,000. After using it for **3 years 2 months**, it sells the machine for **₹4,00,000** (GST rate 18%). Compute the amount payable on the sale.

Step 1 — Count quarters of use (part-quarter = full quarter). 3 years 2 months = 12 + 1 part-quarter... precisely: 3 years = 12 quarters; the extra 2 months is a *part* of a quarter = counts as 1 quarter. **Total = 13 quarters.**

Step 2 — Residual ITC = ITC less 5% per quarter of use. Reduction = 5% × 13 = 65%. Residual ITC = 1,80,000 × (100% − 65%) = 1,80,000 × 35% = **₹63,000.**

Step 3 — Tax on transaction value. = 4,00,000 × 18% = **₹72,000.**

Step 4 — Pay the HIGHER of the two. Higher of ₹63,000 and ₹72,000 = **₹72,000 payable.**

Teaching point: the "higher of" design ensures the government recovers at least the *un-consumed* credit **and** at least the tax the market says the asset is still worth — the taxpayer can never engineer the lower figure. **"What if the examiner tweaks it?"** If the machine were instead sold as *scrap* after 5 years for just ₹40,000: residual ITC = 1,80,000 × (100% − 5%×20) = 1,80,000 × 0% = ₹0 (fully consumed); tax on value = 40,000 × 18% = ₹7,200; higher = **₹7,200**. And for **moulds/dies/jigs/fixtures/refractory bricks sold as scrap**, you *skip the higher-of test entirely* and simply pay tax on the transaction value.

Example 8 — Transition-in credit on composition-to-regular switch (Sec 18(1)(c))

Facts. Godavari Foods was a **composition dealer**; from 1 October it crosses the threshold and becomes a **regular** taxpayer. On 30 September it holds: - Inputs in stock (raw material) on which GST originally paid = ₹40,000; **all invoices dated within the last 12 months.** - One machine (capital good) bought **15 months** earlier, original ITC that *would* have been ₹1,00,000, used for 5 quarters as a composition dealer. - Another input lot with GST ₹9,000 whose invoice is **14 months old**.

Compute the ITC available on transition.

Inputs in stock: the ₹40,000 lot qualifies (invoices within 1 year) → **₹40,000 allowed.** The ₹9,000 lot is on a **14-month-old invoice → time-barred (1-year rule) → NIL.**

Capital good: allowed but **reduced by 5% per quarter of prior use.** 5 quarters × 5% = 25%. Allowed = 1,00,000 × (100% − 25%) = **₹75,000.**

(For 18(1)(c), the 1-year invoice bar restricts the inputs; the capital-goods figure is instead trimmed by the 5%-per-quarter formula for the period it was used under composition.)

Total transition-in ITC = 40,000 + 75,000 = ₹1,15,000, claimed via **Form ITC-01 within 30 days** (with a CA/CMA certificate since the claim exceeds ₹2 lakh? — here it is ₹1.15 lakh, *below* ₹2 lakh, so **no certificate needed**).

Reconciliation / teaching point: Note the two *different* haircuts in one problem — a **hard 1-year cut-off** on input invoices (all-or-nothing) versus a **graduated 5%-per-quarter** trim on the capital good. The examiner sets both in one question precisely to see whether you apply the right rule to the right item. **"What if the examiner tweaks it?"** If instead this were **18(1)(a)/(b)** (fresh or voluntary registration), the machine would get **no credit at all** — CG credit is available on transition-in *only* for 18(1)(c)/(d), never for 18(1)(a)/(b).

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6. Format / Summary Sheet

Net-liability computation format (per return period):

```
                                IGST      CGST      SGST/UTGST
(A) Output tax payable           xxx       xxx         xxx
(B) Less: ITC utilised
     - IGST credit (first)       (xx)      (xx)        (xx)
     - CGST credit                –        (xx)         –
     - SGST/UTGST credit          –         –          (xx)
(C) Tax payable in cash =A−B     xxx       xxx         xxx
Add: RCM liability (cash only)   xxx       xxx         xxx
Add: interest / late fee (cash)  xxx       xxx         xxx
= Total to be paid in cash       XXX       XXX         XXX
```

Rules: IGST credit exhausted first; leftover IGST credit split freely across CGST/SGST (Rule 88A) to minimise cash; CGST never pays SGST and vice-versa; RCM is always paid in cash, then credit of it taken separately; if monthly taxable turnover > ₹50 lakh, at least 1% of liability in cash (Rule 86B).

Rule 42 skeleton: `C2 = T − (T1+T2+T3) − T4 ; D1 = C2 × E/F ; D2 = 5% C2 ; Eligible = T4 + (C2 − D1 − D2)` — then **annual true-up on yearly E/F by 30 Nov, interest if short**.

Rule 43 skeleton (common capital goods): `Tm = A ÷ 60 ; Te = Tm × E/F reversed each month for 60 months.`

Sec 18(6) sale of CG: `Pay HIGHER of [ITC − 5% per quarter of use] OR [tax on transaction value]` (scrap moulds/dies/jigs/fixtures → tax on value only).

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7. Connections

- **Ch 13 (Concept & Framework):** ITC is the *reason* GST is a "value-added" tax and the reason for dual-GST + IGST — the IGST mechanism exists precisely so credit flows seamlessly across State borders.
- **Ch 14 (Supply) & Ch 16 (Exemptions):** whether output is a *taxable* supply decides whether the related ITC is fully available (taxable/zero-rated), blocked, or apportioned (exempt). Exemption is a double-edged sword — it breaks the credit chain (Sec 17(2)).
- **Ch 15 (Charge & RCM):** RCM-paid tax is *itself* input tax (Sec 2(62)) — you pay it in cash, then claim ITC of it, subject to Sec 16; and the 180-day rule never touches RCM supplies.
- **Ch 18 (Value of Supply):** the buyer's ITC = the tax the seller charged on the *value*. A wrong value poisons the downstream credit. Value and ITC are two ends of the same invoice.
- **Ch 17 (Time of Supply):** determines *when* output tax arises; Sec 16(2)/(4) determine *when* the matching credit can be taken.
- **Refunds (later chapter):** unutilised ITC is refundable only in two situations — **zero-rated supplies** and **inverted duty structure** (Sec 54, Rule 89); otherwise credit can only be *utilised*, never encashed. This is why the exempt-vs-zero-rated distinction in Sec 17 matters so much.
- **Returns (later chapter):** GSTR-1 → GSTR-2B → GSTR-3B is the machinery that operationalises Sec 16(2)(aa), Rule 36(4) and Rule 37A.

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8. Traps & Examiner Tricks

1. **CGST cannot pay SGST (and vice-versa) — ever.** The commonest computation blunder is netting a CGST credit surplus against an SGST shortfall. Cash still has to be paid.
2. **IGST credit MUST be used before CGST/SGST credit (Sec 49A).** Students often set off CGST/SGST first and leave IGST credit lying — wrong order, wrong answer. And *leftover* IGST credit can be split freely (Rule 88A) — steer it to minimise cash.
3. **Installation of "plant & machinery" is NOT blocked** even though "construction of a building" is. But P&M *excludes* land, buildings, civil structures, telecom towers and outside-factory pipelines — credit on *those* is blocked.
4. **Motor-vehicle block is only for passenger vehicles seating ≤ 13.** Goods-carriage trucks, dumpers, buses seating >13, and vehicles used for taxable transport/dealer/driving-school are fully eligible.
5. **Depreciation on the tax component blocks ITC (Sec 16(3)) — not depreciation on the asset.** You may depreciate the base cost *and* claim ITC; you just can't depreciate the *tax* and claim ITC on it.
6. **Composition dealers get NO ITC**, and buyers get no ITC on a composition dealer's supply (he charges no creditable tax — Sec 17(5)(e)).
7. **The 180-day reversal applies to the value + tax owed to the supplier, not to the government.** It is *proportionate* on part-payment, and does *not* apply to RCM or Schedule I (no-consideration) supplies.

8. **Sec 16(4) deadline is keyed to the invoice's financial year**, not the year of receipt or of claim — a late-received old invoice can be time-barred. But debit-note credit now runs on the *debit note*'s own year, and re-availed credit has no fresh bar.
9. **"Received" includes bill-to-ship-to deeming** — don't deny the buyer credit merely because goods went to a third-party site on his instruction. For lots against one invoice, credit only on the **last lot**.
10. **Exempt supply for Sec 17 is wider than you think** — it drags in RCM-outward supplies, sale of land/completed building, and securities. But it **excludes zero-rated/export turnover** — never park exports in the "exempt" column of a Rule 42 sum.
11. **Blocked-credit list is exhaustive but its exceptions are the exam** — always check whether the "same-category inward = outward" or "obligatory under law" exception rescues the credit (e.g. a restaurant's food purchases, a cab operator's cars, statutory canteen food).
12. **Goods lost/stolen/destroyed/gifted/free-samples → reverse (Sec 17(5)(h)).** A classic sneak-in line inside an otherwise-eligible list.
13. **CG credit on transition-in only for 18(1)(c)/(d), never 18(1)(a)/(b).** Fresh/voluntary registration gets stock-input credit only.
14. **Sale of used capital goods = HIGHER of residual-ITC or tax-on-value** — students often compute only one leg. Scrap moulds/dies/jigs/fixtures are the exception (tax on value only).
15. **GSTR-2B, not 2A, governs 16(2)(aa)/Rule 36(4).** 2B is the frozen snapshot; 2A is the moving figure.
16. **Interest on reversal only when the credit was availed AND utilised (Rule 88B, 18%).** Mere unused availment later reversed no longer attracts interest.
17. **Rule 86B forces ≥1% cash** when monthly taxable turnover exceeds ₹50 lakh — a taxpayer with *ample* ITC can still owe cash. A subtle full-credit-but-cash-still-payable trap.

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9. First-Principles Recap

Start from the disease, rebuild the cure:

1. **Cascading** (tax-on-tax) inflates prices invisibly, punishes specialisation, and cripples exports. *(Section 1.)*
2. The cure is to tax **only value added at each stage** — achieved by letting each business **credit the tax on its purchases against the tax on its sales**. That credit is **ITC**. *(Section 2.)*
3. But credit is money out of the treasury, so it is a **conditional privilege, not a right**: you must be a registered regular taxpayer using the input for **business + taxable output** (Sec 16(1)); hold an **invoice** that **appears in GSTR-2B**; have **received** the goods; the **supplier must have paid** the tax (16(2)(c), backed by Rule 37A / Sec 41); you must have **filed your return** (Sec 16(2)); within the **time limit** (Sec 16(4)); and you must **pay the supplier within 180 days** or reverse.
4. Where use is mixed (personal/exempt), the "taxable-output-only" logic forces **apportionment** (Sec 17(1)/(2), Rules 42/43). Where the item is really **end-consumption** (cars, food, buildings, gifts), credit is **blocked** (Sec 17(5)).
5. To protect the **Centre–State revenue split**, credit is utilised in a **fixed order**: IGST first and universal; **CGST and SGST never cross-pay** (Sec 49/49A, Rule 88A); and anti-fraud floors (Rule 86A/86B) keep some cash in the system.
6. When the "genuine-taxable-business-use" premise later breaks, credit is **reversed** (Sec 16 proviso, Sec 17, Sec 18(4), Sec 18(6)) — with **18% interest** if it was availed *and* utilised.

Every section number is just one of these six ideas made precise.

10. Quick-Revision Sheet

Topic	Provision	One-line rule
Eligibility gate	Sec 16(1)	Registered + input tax + business/taxable use
Four conditions	Sec 16(2)(a)-(d)	Invoice · in GSTR-2B (aa) · received · tax paid by supplier · return filed
Match with GSTR-2B	Sec 16(2)(aa), Rule 36(4)	No 2B entry = no credit (2B, not 2A)
Supplier didn't pay 3B	Rule 37A / Sec 41	Reverse by 30 Nov; re-avail when supplier pays
180-day rule	2nd proviso 16(2) + Rule 37	Pay supplier ≤180 days else reverse + interest (proportionate on part-pay); re-avail on payment
Time limit	Sec 16(4)	Earlier of 30 Nov of next FY or annual return
Depreciation bar	Sec 16(3)	No ITC if depreciation claimed on tax component
Apportionment (business vs other)	Sec 17(1)	Credit only business portion
Apportionment (taxable vs exempt)	Sec 17(2), Rule 42	C2=T−(T1+T2+T3)−T4; D1=C2·E/F; D2=5%C2; annual true-up
Exempt-supply width	Sec 17(3)	Includes RCM-out, land, completed building, securities; excludes zero-rated
Capital-goods common credit	Rule 43	Tm=A/60; Te=Tm·E/F each month, 60 months
Bank/NBFC option	Sec 17(4)	Flat 50% of eligible ITC, irrevocable for the year
Blocked credits	Sec 17(5)	Cars/food/gym/construction/gifts/lost goods/CSR etc.
P&M exception	Sec 17(5)(c)/(d) + Explanation	Plant & machinery NOT blocked; but land/building/tower/outside pipeline are
Utilisation order	Sec 49, 49A, Rule 88A	IGST first & universal; leftover IGST split freely; CGST↔SGST never cross
Cash floor / ledger block	Rule 86B / 86A	≥1% cash if monthly taxable T/O > ₹50 lakh; officer may block ledger
Interest on reversal	Sec 50(3), Rule 88B	18% only if availed AND utilised
Sale of used CG	Sec 18(6), Rule 44	Higher of (ITC − 5%/qtr) or tax on transaction value
Transition-in credit	Sec 18(1), Form ITC-01	Stock (+CG only for 18(1)(c)/(d)); 1-yr invoice bar; CA cert if >₹2 lakh
Transition-out reversal	Sec 18(4)	Reverse stock/CG credit on going composition/exempt
Transfer of business	Sec 18(3), Form ITC-02	Unutilised ITC follows the going concern

Topic	Provision	One-line rule
ISD	Sec 20	Distribute common input-service credit by turnover (moving to mandatory)
Job-work	Sec 19	Retain ITC if goods return in 1 yr (inputs)/3 yrs (CG)

One-breath summary: *ITC turns purchase-tax into a set-off so each business is taxed only on its own value-add. Earn it by satisfying Sec 16's PRTR conditions within time; keep the input for taxable business use or face Sec 17 apportionment / blocking; utilise it IGST-first (leftover IGST split to save cash) without ever crossing the CGST–SGST wall; and reverse it — with 18% interest if utilised — whenever the genuine-taxable-use premise breaks.*

> **Final reminder:** confirm the current Sec 16(4) cut-off date, Rule 36(4) matching wording, Rule 37A dates, the Sec 49 utilisation nuances (Rule 88A/88B), Rule 86B thresholds, ISD mandatory-status, and the exact Sec 17(5) list and exceptions against the latest ICAI material for your attempt — these are amended more often than any other GST topic.

Q&A — Input Tax Credit (ITC)

> Acts: **CGST Act, 2017** and **IGST Act, 2017** (sections cited as "Sec"). Rules = CGST Rules, 2017. **Amendment-sensitive** items are flagged with ⚠ — verify against the current Finance Act / notifications before the exam.

SECTION A — Concept-Check (short answers)

A1. What "disease" does ITC cure, in one line? Ans. *Cascading* — tax charged on a value that already includes tax at an earlier stage. ITC lets each supplier pay tax only on the **value he adds**, by setting off tax already paid on inward supplies (the "deposit / set-off" logic of **Sec 16(1)**).

A2. Is ITC a right or a concession? Ans. A **conditional statutory entitlement** — available only if every gate in **Sec 16** and every rule (17, 18, Rules 36/37/42/43) is satisfied. Courts treat it as a concession, so conditions are construed strictly.

A3. List the four cumulative conditions of Sec 16(2). Ans. (a) possession of a **tax invoice / debit note**; **(aa)** the supplier has **furnished the invoice in GSTR-1** and it is **communicated in GSTR-2B**; (b) **receipt** of goods/services (incl. "bill-to-ship-to" deemed receipt); (c) **tax actually paid** to Government by supplier; (d) recipient has **furnished the return u/s 39**. ⚠ Clause **(ba)** (Finance Act 2022) adds that the credit must **not be restricted** in GSTR-2B u/s 38.

A4. State the 180-day rule and its consequence. Ans. 2nd proviso to Sec 16(2) r/w Rule 37: if the recipient does not pay the **supplier** the *value + tax* within **180 days** of invoice date, the ITC availed is **added to output tax liability with interest @18% (Sec 50)**. On later payment it can be **re-availed** (no time bar). Note: this bites only where **consideration is unpaid** — not where only the ITC condition timing lapses.

A5. State the Sec 16(4) time limit. ⚠ Ans. ITC on an invoice/debit note of a financial year must be availed by the **earlier of** (i) **30th November** following the end of that FY, or (ii) date of furnishing the **annual return**. ⚠ Special relaxation: **Sec 16(5)/16(6)** (Finance (No.2) Act 2024) allow ITC for FY 2017-18 to 2020-21 up to **30.11.2021** and for revoked cancellations.

A6. Difference between Sec 17(1) and Sec 17(2)? Ans. 17(1) apportions credit when inputs are used partly for **business and partly for non-business/personal** use. **17(2)** apportions when used partly for **taxable + zero-rated** and partly for **exempt** supplies. Only the **business + taxable** portion survives; the rest is reversed via **Rule 42 (inputs/input services)** or **Rule 43 (capital goods)**.

A7. Can ITC be taken on capital goods if depreciation is claimed? (Sec 16(3)) Ans. If depreciation under the **Income-tax Act** is claimed on the **tax component** of a capital good, **ITC on that tax is barred**. Assessee chooses **one** benefit — ITC *or* depreciation on the GST portion, not both.

A8. State the utilisation order under Sec 49/49A/49B r/w Rule 88A. Ans. IGST credit must be exhausted first — first against IGST output, then against CGST/SGST **in any order/amount**. Only after IGST credit is nil may **CGST credit** be used (CGST output → then IGST) and **SGST/UTGST credit** be used (SGST output → then IGST). **CGST and SGST credits can never cross-utilise.**

SECTION B — Graded Computational Problems (full working)

B1 (Easy) — Basic eligibility filter

A trader's inward invoices in a month carry ITC: raw material ₹40,000; office **staff car** (seating 5) repairs ₹6,000; **food** for staff party ₹3,000; courier ₹2,000. How much ITC is eligible? **Working & Ans.** | Item | ITC | Eligible? | Reason | |---|---|---|---| | Raw material | 40,000 | ✓ | Sec 16(1) — business use | | Motor car (≤13 seats) | 6,000 | ✗ | **Sec 17(5)(a)** — blocked | | Food & beverages | 3,000 | ✗ | **Sec 17(5)(b)** | | Courier | 2,000 | ✓ | 16(1) | **Eligible ITC = ₹42,000.** Blocked = ₹9,000.

B2 (Moderate) — Set-off / utilisation order ⭐ (exam favourite)

Output tax: **IGST ₹1,000 · CGST ₹1,000 · SGST ₹1,000**. Credit available: **IGST ₹1,600 · CGST ₹700 · SGST ₹700**. Utilise optimally (Rule 88A) and find cash payable.

Step-by-step (IGST-first mandate):

Step	Credit used	Against	Amount
1	IGST	IGST output (must use IGST for IGST first)	1,000
2	IGST (bal. 600)	CGST output	300
3	IGST (bal. 300)	SGST output	300 → IGST credit now **0**
4	CGST	CGST output (1,000 − 300)	700 → CGST credit **0**
5	SGST	SGST output (1,000 − 300)	700 → SGST credit **0**

Reconciliation: IGST credit 1,000+300+300 = **1,600 ✓**; CGST out 300+700 = **1,000 ✓**; SGST out 300+700 = **1,000 ✓**. **Cash payable = ₹0.** *Trap:* had we naively pushed all leftover IGST into CGST only, SGST would fall short and force cash even though total credit = total liability. **The order of pushing IGST across CGST/SGST is a taxpayer choice — use it to zero out cash.**

B3 (Moderate) — 180-day reversal (Rule 37)

Invoice dated **10-Apr**, value ₹1,00,000 + GST ₹18,000 (CGST ₹9,000 + SGST ₹9,000); full ITC ₹18,000 availed in April. Consideration remains **unpaid** on the 181st day. Payment finally made on **20-Feb** next year. **Working & Ans.** - Non-payment within 180 days → **reverse ₹18,000** (add to output liability) + **interest @18% u/s 50** from date of availing to date of reversal (2nd proviso to Sec 16(2), Rule 37). - On **20-Feb** payment → **re-avail ₹18,000**. Re-availment is **not subject to Sec 16(4)** time limit. - Note: reversal is only of the **ITC**, not the invoice value; interest runs only on the ITC amount reversed.

B4 (Hard) — Rule 42 apportionment (common inputs) ⭐

In a tax period a manufacturer has **total input & input-service tax T = ₹1,50,000**, comprising: - T1 (exclusively **non-business**) = ₹10,000 - T2 (exclusively **exempt** supplies) = ₹20,000 - T3 (**blocked** u/s 17(5)) = ₹5,000 - T4 (exclusively **taxable + zero-rated**) = ₹75,000 Exempt turnover **E = ₹8,00,000**; total turnover **F = ₹40,00,000**.

Step 1 — credit to Electronic Credit Ledger: C1 = T − (T1+T2+T3) = 1,50,000 − 35,000 = **₹1,15,000 Step 2 — common credit:** C2 = C1 − T4 = 1,15,000 − 75,000 = **₹40,000 Step 3 — exempt attribution:** D1 = (E ÷ F) × C2 = (8,00,000 ÷ 40,00,000) × 40,000 = 0.20 × 40,000 = **₹8,000 Step 4 — deemed non-business (5% of C2):** D2 = 5% × 40,000 = **₹2,000 Step 5 — eligible common credit:** C3 = C2 − (D1+D2) = 40,000 − 10,000 = **₹30,000**

Reversal (added to output liability) = D1 + D2 = ₹10,000. Total eligible ITC = T4 + C3 = 75,000 + 30,000 = ₹1,05,000. Check: eligible 1,05,000 + reversed 10,000 + already-excluded (T1+T2+T3) 35,000 = **₹1,50,000 = T ✓**. *Note:* Rule 42 is computed monthly on estimates and **re-computed annually** by 30-Nov; shortfall → interest, excess → re-credit.

B5 (Hard) — Depreciation vs ITC choice (Sec 16(3))

A ₹10,00,000 machine attracts GST ₹1,80,000 (total invoice ₹11,80,000). Firm is in the **28% tax slab**, machine depreciation rate **15%**. **Option analysis:** - **Option A — take ITC ₹1,80,000, capitalise cost at ₹10,00,000.** Immediate credit of **₹1,80,000** usable against output tax (cash-equivalent now). Depreciation is on ₹10,00,000 only. - **Option B — no ITC, capitalise at ₹11,80,000.** Extra depreciation base ₹1,80,000 → year-1 tax saving = 1,80,000 × 15% × 28% = **₹7,560** (and declining thereafter over the asset life). **Decision:** Option A gives ₹1,80,000 upfront vs Option B's slow ~₹7,560/yr income-tax shield. **Take ITC** (Sec 16(3) bars claiming both). Rule 43 spreads capital-goods common credit over **60 months** if the asset is used partly for exempt supplies.

SECTION C — Past-Paper-Style Full Questions

C1. "*Discuss the eligibility of ITC in the following independent cases with reference to Sec 17(5):*" 1. Works contract service for **construction of an office building** (capitalised). 2. **Health insurance** of employees where it is **obligatory** under a law. 3. Goods **stolen** from the warehouse. 4. **Motor vehicle** (seating 40) bought by a **passenger-transport** operator. 5. Goods distributed as **free samples**.

Model Answer: 1. **Blocked** — Sec 17(5)(c)/(d): works contract & goods/services for construction of immovable property on own account (except plant & machinery) → ITC **not** available. 2. **Allowed** — proviso to Sec 17(5)(b): where provision of such service is **obligatory** for an employer under any law, ITC is available. 3. **Blocked** — Sec 17(5)(h): goods **lost, stolen, destroyed, written off** → no ITC. 4. **Allowed** — Sec 17(5)(a) exception: seating capacity **>13** and/or used for **transportation of passengers** as a taxable output service. 5. **Blocked** — Sec 17(5)(h): **free samples / gifts** → ITC to be reversed.

C2. "*State the conditions for taking ITC on capital goods and explain treatment when a capital good on which ITC was taken is later sold.*" **Model Answer:** - ITC on capital goods is allowed in **one shot** on receipt (subject to Sec 16(2) conditions), **unless** depreciation is claimed on the tax portion (**Sec 16(3)** — then barred). - If used commonly for taxable & exempt/personal use → credit is **spread over 60 months** and monthly exempt-portion reversed under **Rule 43**. - **On sale/disposal (Sec 18(6) r/w Rule 40(2)/44):** pay the **higher of** — (i) ITC taken **reduced by 5% per quarter** (or part) from date of invoice, or (ii) **tax on transaction value** of the capital good. If it is **refractory bricks/moulds/dies/jigs/fixtures** sold as scrap, tax on transaction value applies.

C3. "*Sec 18 — Explain availability of ITC in special circumstances.*" **Model Answer (Sec 18(1)):** | Trigger | Entitlement | Timing | |---|---|---| | (a) Person becomes **liable** & applies within 30 days | ITC on **inputs in stock / semi-finished / finished** on day before liability | File **Form ITC-01** within 30 days | | (b) **Voluntary** registration | ITC on stocks on day before grant | ITC-01 | | (c) **Composition → regular** | ITC on stocks **+ capital goods** (reduced 5%/quarter) | ITC-01 | | (d) **Exempt → taxable** | ITC on stocks + capital goods relatable to taxable supply | ITC-01 | Invoices for such stock must be **≤ 1 year** old (Sec 18(2)). Reverse case (regular→composition / taxable→exempt): **reverse** ITC on stock & capital goods (Sec 18(4), Form ITC-03).

SECTION D — MCQs & Case Scenarios

D1. ITC on an invoice pertaining to FY 2023-24 can be availed latest by: A) 31-Mar-24 B) 30-Sep-24 C) **30-Nov-24 ✓** D) 31-Dec-24 *Reason:* Sec 16(4) — earlier of 30-Nov following FY or annual return. ⚠

D2. Under Rule 88A, which credit must be **fully utilised first**? A) CGST B) SGST C) **IGST ✓** D) Any *Reason:* Sec 49A — IGST credit exhausted before CGST/SGST is touched.

D3. ITC of ₹9,000 was availed; supplier not paid within 180 days. Consequence: A) Lapses permanently B) **Reversed with interest, re-availed on payment ✓** C) No effect D) 50% reversed *Reason:* 2nd proviso to Sec 16(2), Rule 37 — reverse + interest @18%, re-avail later.

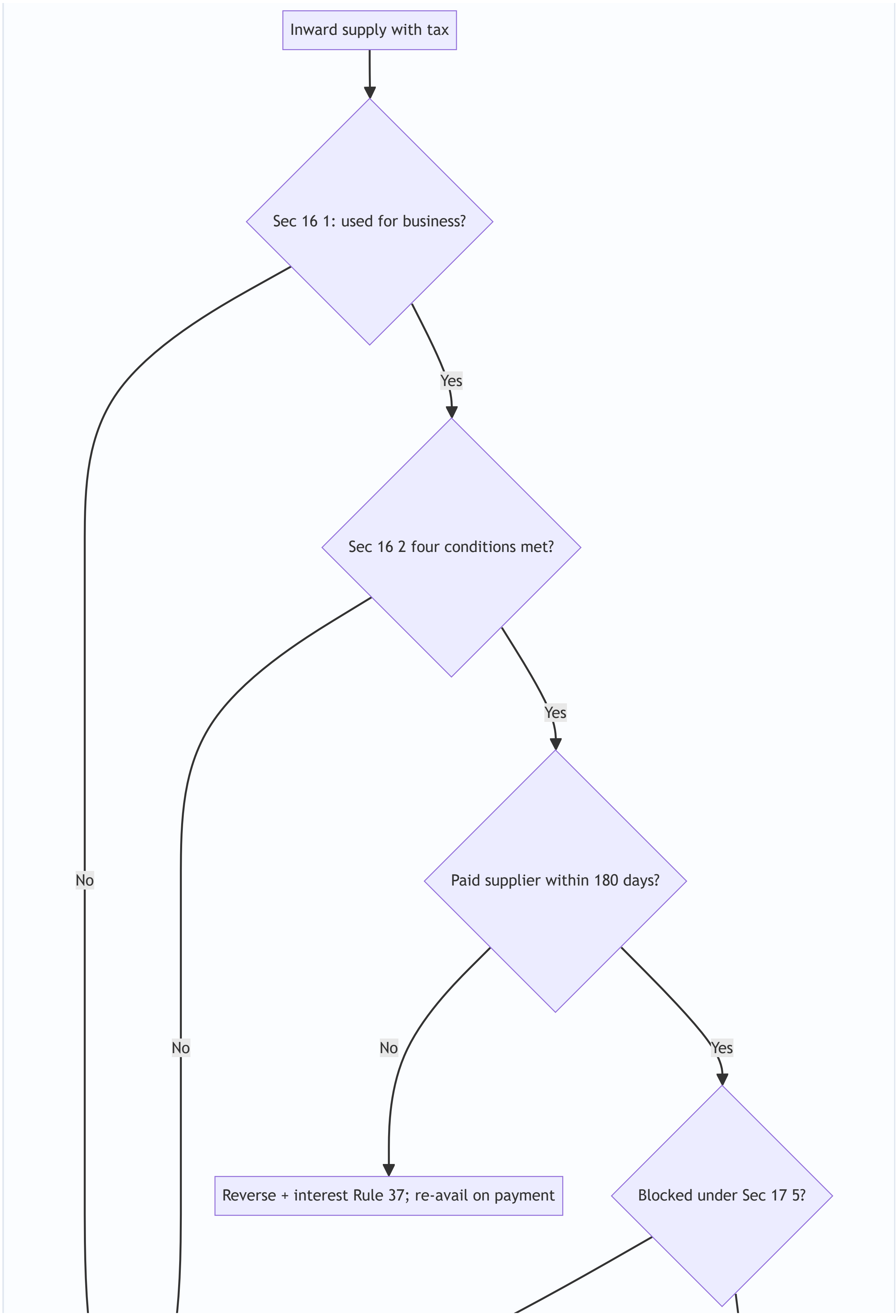
D4. Which is **NOT** a blocked credit under Sec 17(5)? A) Club membership B) **Raw material inputs ✓** C) Rent-a-cab (non-obligatory) D) Free samples *Reason:* raw materials used in business are the core eligible credit under 16(1).

D5. Case: Mr. X (regular dealer) buys a car (5-seater) for ₹20L + GST ₹5.6L for **personal + business** use, and inputs ₹1L + GST ₹18,000 for taxable supplies. Eligible ITC? **Ans.** Car → **fully blocked** (Sec 17(5)(a), ≤13 seats). Inputs → **₹18,000 eligible**. **Total eligible = ₹18,000.**

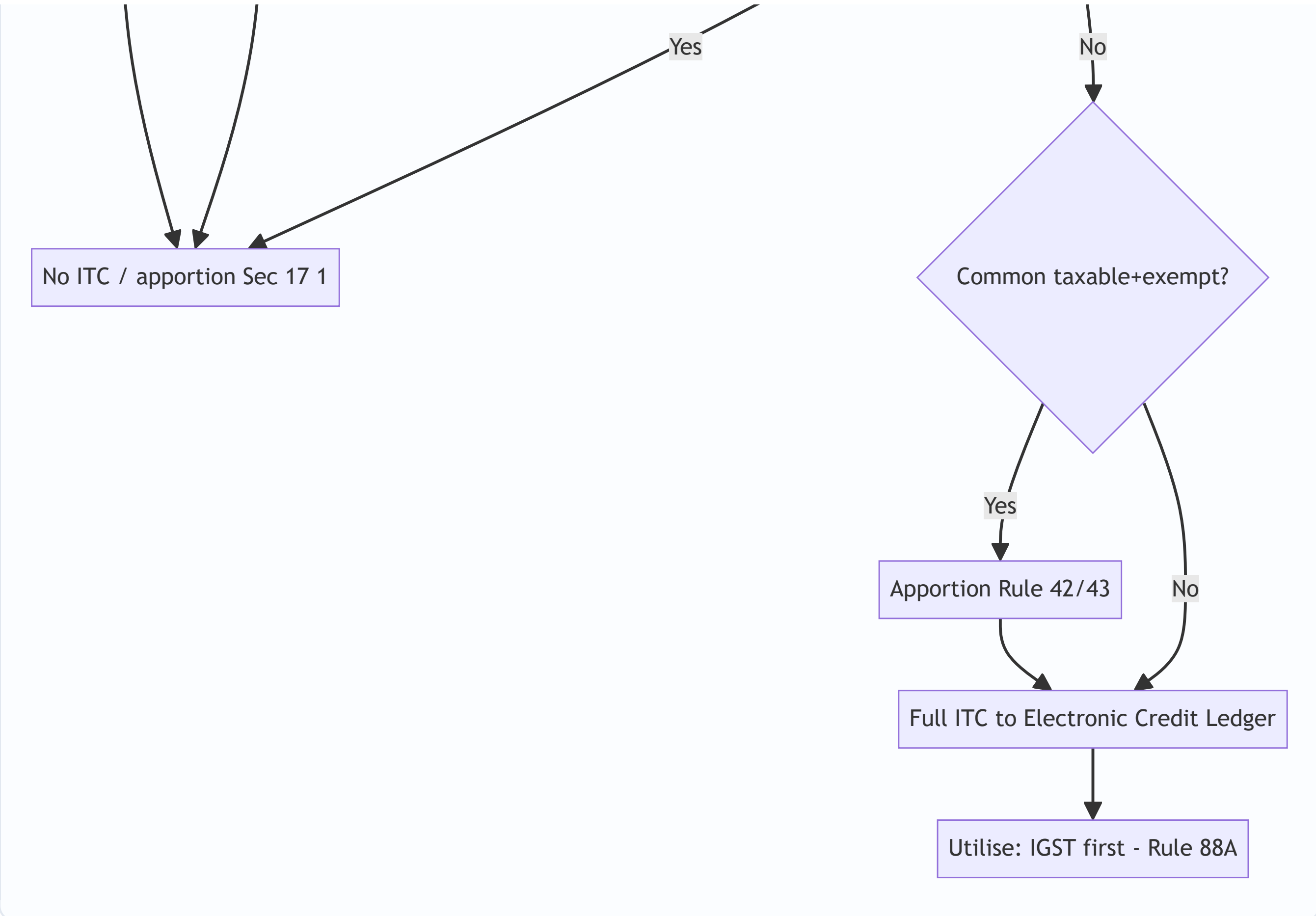
D6. CGST credit can be utilised for payment of: A) SGST B) **CGST then IGST ✓** C) Only IGST D) SGST then IGST *Reason:* Sec 49(5) — CGST credit for CGST, balance for IGST; **never SGST**.

D7. Case (ISD): Head office receives a common input-service invoice with **IGST ₹90,000** to be distributed to 3 branches (turnover ratio 2:1:1). Distribution? **Ans.** Under **Sec 20 / Rule 39**, ISD distributes pro-rata to turnover: Branch A = 45,000; B = 22,500; C = 22,500. IGST credit is distributed as **IGST** (or as CGST+SGST if recipient is in same State). ⚠ ISD distribution became **mandatory** (Finance Act 2024, w.e.f. 01-04-2025).

Mermaid — The Sec 16/17 ITC Gate



Inward supply with tax
Sec 16 1: used for business?
Yes
No
Sec 16 2 four conditions met?
Yes
No
Paid supplier within 180 days?
No
Yes
Reverse + interest Rule 37; re-avail on payment
Blocked under Sec 17 5?



Traps & Examiner Tricks (quick list)

1. **≤13-seat** motor vehicle blocked — but **>13 seats** or passenger-transport business is **allowed**. Count the driver.
2. **Obligatory** insurance/canteen (by law) is **allowed** despite 17(5)(b).
3. **Plant & machinery** is *excluded* from the construction bar — pipelines & telecom towers are *excluded from* P&M (so blocked). ⚠
4. 180-day rule triggers on **non-payment of value**, not on the ITC-timing condition.
5. Sec 16(4) limit is **30-Nov** — not 30-Sep (old law). ⚠
6. Depreciation on tax component ⇒ **no ITC** (Sec 16(3)) — you cannot double-dip.
7. **CGST↔SGST cross-utilisation is impossible** — a classic set-off trap.
8. IGST credit **must** clear before CGST/SGST — but its spread across CGST vs SGST is a **choice** (use it to avoid cash).
9. Rule 42 **D2 = flat 5%** of C2 (deemed non-business), independent of D1.
10. **Free samples/gifts/stolen/written-off** goods → reverse ITC (17(5)(h)).
11. **CSR expenditure** ITC **blocked** — Sec 17(5)(fa). ⚠ (Finance Act 2023, w.e.f. 01-10-2023.)
12. Blocked-credit list is **exhaustive** — if not listed in 17(5) and business-used, it is **eligible**.

First-Principles Recap

Tax should fall only on **value added**. ITC is the ledger mechanism that refunds tax-on-tax by letting each link **deposit** tax paid on inputs and **set it off** against tax collected on outputs — provided the chain is **verifiable** (invoice + supplier compliance + payment). Every restriction (17, 18, blocked credits, apportionment) exists to stop credit leaking into **non-business, exempt, or personal** consumption where no further taxable value is added.

Quick-Revision Sheet

- **Gate:** Sec 16(1) business use → 16(2) 4 conditions (invoice, GSTR-2B, receipt, tax paid, return) → 180-day payment → 16(4) 30-Nov limit ⚠.
- **Apportion:** 17(1) business/non-business; 17(2) taxable/exempt → **Rule 42** (inputs) / **Rule 43** (capital, 60 months).
- **Blocked (17(5)):** motor vehicles ≤13 seats, F&B, club, works contract & construction on own account, personal, lost/stolen/gifts/free samples, CSR ⚠.
- **Capital goods:** one-shot ITC or Rule 43 spread; Sec 16(3) depreciation bar; Sec 18(6) on sale = higher of (ITC − 5%/qtr) or tax on TV.
- **Utilisation (Sec 49/49A, Rule 88A):** IGST → (IGST, then CGST/SGST any order); CGST → (CGST, IGST); SGST → (SGST, IGST); **no CGST↔SGST**.
- **Transitions (Sec 18):** ITC-01 to claim on becoming taxable; ITC-03 to reverse on becoming exempt/composition.
- **ISD (Sec 20/Rule 39)** mandatory 01-04-2025 ⚠; **Job-work (Sec 19):** inputs back in **1 yr**, capital goods **3 yrs**, else deemed supply.

Chapter 20 — Registration

> **Currency flag:** GST thresholds, State categorisation, and procedural timelines are amended frequently by notification. Every number in this chapter (₹40 lakh / ₹20 lakh / ₹10 lakh, the special-category State list, the 30-day and 7-working-day timelines) is stated as the settled position but **verify current thresholds, the special-category State list, and the latest amendments in the ICAI Study Material / RTP for your exam attempt** before relying on them.

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1. The Problem — Who is even *allowed* into the credit chain?

GST is built on one beautiful, fragile idea: **tax is collected at every stage, but each stage gets credit for the tax paid on its inputs, so the tax sticks only on the value *it* added.** That is what kills cascading (tax-on-tax). We have spent earlier chapters admiring this seamless-credit machine.

But a machine that lets everyone freely collect tax from customers and freely claim credit from the government has an obvious hole: **how does the government even know you exist?**

Think about what the credit chain actually requires to function:

- When a buyer claims Input Tax Credit (ITC), the government must be able to check that the **seller actually deposited** that tax. That match is impossible if the seller is an anonymous person with no identity in the system.
- When a seller collects tax "on behalf of the government," the government must have a **handle** — a legal identity — through which it can demand that money, audit it, and penalise its non-payment.
- The whole system is **self-policing**: my purchase invoice is your sales invoice. For that mirror to work, both of us must be **identifiable by a common key**.

Without a gatekeeping mechanism, you would have two failures at once. Fraudsters could collect "GST" from customers and vanish (the government has nobody to chase). And genuine buyers could not claim credit, because there is no verified seller-identity to match their invoice against. The credit chain would snap.

So before any of the credit rules can operate, the law needs a register of participants. That register — and the identity it issues — is *registration*. It is the turnstile at the entrance of the GST stadium. This chapter is about who must pass through it, why, when, and how.

A subtler point — why registration is *State-wise*, not entity-wise. India's GST is a **dual GST**: on every intra-State supply, the Centre levies CGST *and* the State levies SGST on the same base. For a State to be sure its SGST is being collected and deposited inside *its own* fisc, it needs a person the State itself can identify and audit. A single all-India registration would let a Delhi-headquartered company's Tamil Nadu SGST be administered from Delhi — Tamil Nadu would lose visibility over its own tax. So the Constitution's fiscal federalism *forces* the register to be sliced State-by-State. Registration is therefore the point where **federal design and the credit chain meet**: PAN gives the Centre national traceability; the State code gives each State sovereignty over its slice.

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2. The Core Idea — Registration is the licence to *participate*

Registration under GST does exactly two things, and they are the two things the entire tax rests on:

> **Only a registered person can (a) legally collect GST from customers, and (b) claim Input Tax Credit.**

That single sentence explains almost every rule that follows. Registration is not a bureaucratic formality — it is the **legal status that switches on your rights and duties inside the credit chain.**

The identity issued is the **GSTIN — Goods and Services Tax Identification Number** — a **15-character, State-wise, PAN-based** number. Decode it and you see the design intent baked in:

Digits	Meaning	Why it is designed this way
1–2	State code (as per Census)	GST registration is **State-wise** — a person operating in 3 States needs 3 GSTINs
3–12	PAN (10 chars)	Ties GST identity to the **income-tax PAN** — one national key links direct and indirect tax, defeating identity-splitting
13	Entity code	Number of registrations of that PAN within the State
14	"Z" (default)	Reserved/blank check character
15	Checksum	Machine-verifiable — a typo'd GSTIN fails instantly, protecting the invoice-match

Memory hook — "PAN is the spine." GST identity is *stapled to PAN*. No PAN, no normal registration (the lone exception is the non-resident and the TDS/TCS deductor, who can use other identity documents). This is why registration is **PAN-based and State-wise**: PAN gives national traceability; the State code gives fiscal federalism (each State's SGST must be trackable to that State).

Two conceptual distinctions the examiner probes here:

- **"Registered person" [Sec 2(94)] vs "taxable person" [Sec 2(107)].** A *taxable person* is one who **is registered or is *liable* to be registered**. So a person who has crossed the threshold but not yet applied is *already* a taxable person and *already* liable to tax — registration does not create the liability, it merely gives the person the machinery (GSTIN, ability to collect, ability to claim ITC) to discharge a liability that already exists. This is the doctrinal root of Example 3's asymmetry: the tax follows *liability*, the credit follows *registration*.
- **GSTIN is per-registration, not per-person.** One legal person (one PAN) can hold many GSTINs — one per State, and even several within a State (Sec 25(2)). Each GSTIN is treated as a **distinct person** for the Act. So "how many registrations" and "how many persons for GST purposes" are the same count, and can far exceed the one legal entity you started with.

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3. Why It's Built This Way — Four design forces

Everything in Chapter 20 falls out of four forces. Hold these and you can *derive* the rules instead of memorising them.

Force 1 — Enable the credit chain (inclusion). The system *wants* real businesses inside, because credit only flows between registered persons. Registration is therefore made **easy, online, and largely deemed-approved** — the State does not want to block genuine participants.

Force 2 — Protect small persons (a threshold). Forcing a ₹15-lakh-turnover kirana store to file monthly returns and maintain the compliance apparatus would crush it and clog the system for no revenue gain. So the law grants an **exemption below a turnover threshold**. Compliance cost must be proportionate to revenue at stake.

Force 3 — Plug leakage where the threshold would be abused (compulsory registration). Some activities are *so leakage-prone* that letting a small-turnover person stay outside the net would break the system regardless of size. Example: an e-commerce operator, or a person making inter-State supplies, or someone liable under reverse charge. Here **Section 24 overrides the threshold** — register from Rupee One.

Force 4 — Keep the register truthful (amendment / cancellation / revocation). A register is only useful if it reflects reality. Businesses change address, add partners, stop trading, or turn fraudulent. So the law needs live maintenance: **amendment** (edit the record), **cancellation** (remove a person who should no longer be in), and **revocation** (a safety valve to reverse a wrongful/repaired cancellation). Without this, the register rots and the invoice-match degrades.

How the four forces *interact* — the tension you must feel. Force 1 (frictionless entry) and Force 4 (truthful register) pull against each other: the easier you make entry, the more fake registrations slip in, and the harder the register is to keep clean. The **entire history of GST registration amendments** is the see-saw between these two — deemed approval and OTP-based entry (Force 1) were later tightened with **Aadhaar authentication, biometric verification, and physical verification** (Force 4) precisely because frictionless entry was being exploited by "bill-trading" fraudsters who registered fake firms to pass on ITC without any real supply. If you understand this see-saw, every procedural amendment the ICAI adds each year will make sense to you on sight.

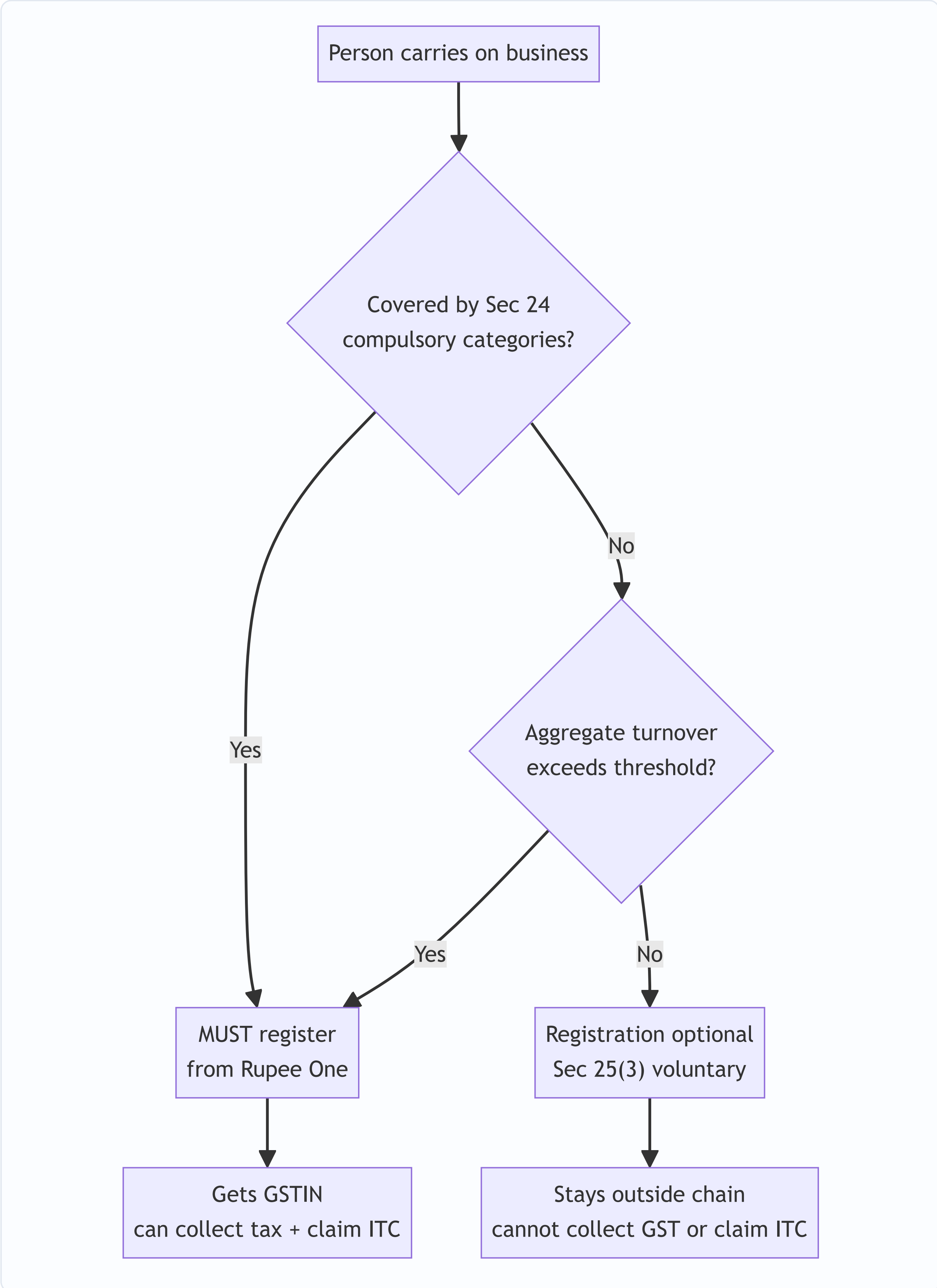

Figure 20.1 — The registration decision at the highest level: compulsory categories are tested BEFORE the threshold, because Section 24 overrides turnover.

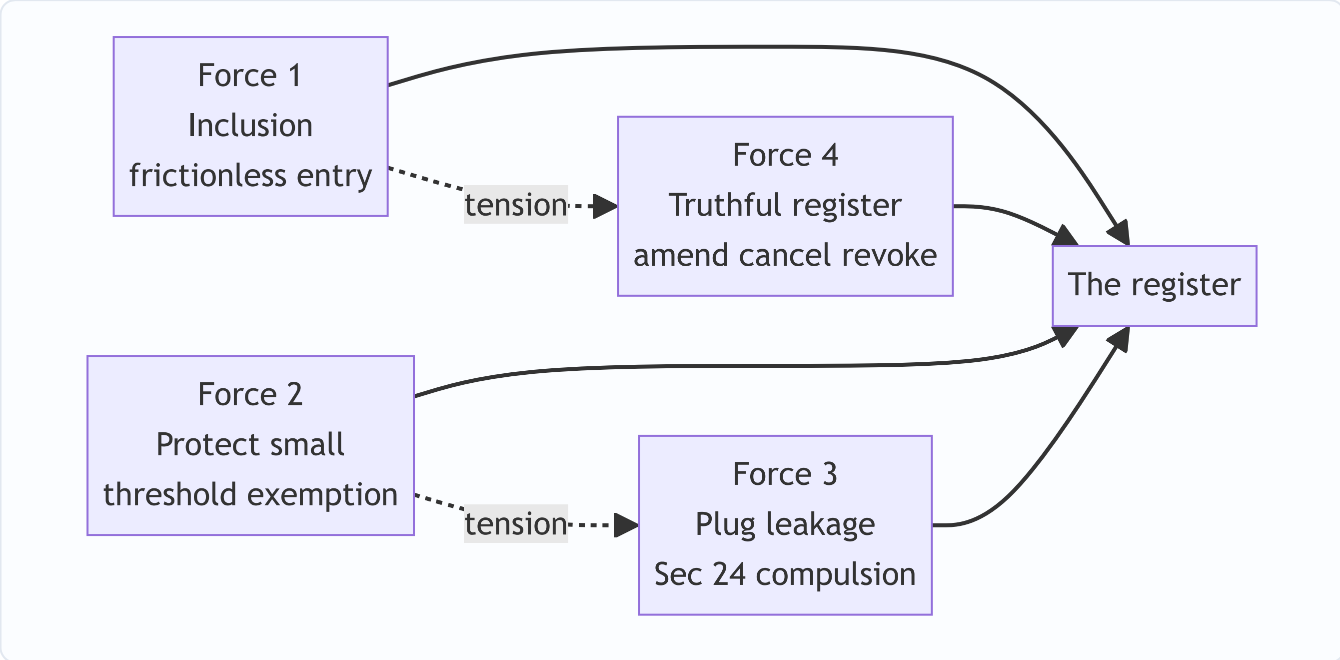

Figure 20.5 — The four forces and the two built-in tensions. Inclusion fights truthfulness (easy entry invites fraud) and the small-person threshold fights leakage-plugging (Sec 24 exists exactly where the threshold would be abused).

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4. Full Technical Content — Every provision, wrapped in its reason

4.1 The pivotal concept: "Aggregate Turnover" [Sec 2(6)]

The threshold is measured on **aggregate turnover**, not on the turnover of one branch or one product. *Why aggregate?* Because if the test were per-branch, a person could split a ₹1-crore business into ten ₹10-lakh "shops" and each stay below the limit. Aggregation defeats fragmentation.

Aggregate Turnover = Taxable supplies + Exempt supplies + Exports + Inter-State supplies of persons having the **same PAN, computed on an all-India basis.**

What is **included** and what is **excluded** — and the "why":

Component	In / Out	Reason
Taxable supplies	**Include**	Core business turnover
Exempt supplies (incl. nil-rated, non-taxable)	**Include**	Threshold is about *scale of business*, not tax collected — a large exempt trader is still "large"
Exports / zero-rated	**Include**	Still economic activity of scale
Inter-State supplies	**Include**	Counts toward scale
CGST, SGST, IGST, UTGST, Cess	**Exclude**	Tax is not your turnover — it is collected *for* the government
Inward supplies taxed under reverse charge	**Exclude**	RCM is tax you *pay as recipient*; it is not *your* outward supply
Value of supplies as a **pure agent** (job-work goods for the principal, etc.)	Excluded on all-India same-PAN basis but computed together	Prevents double counting across the same PAN

Memory hook — "Everything you *sell* counts (even exempt); nothing you *pay as tax or as recipient* counts."

> **Exam trap alert:** aggregate turnover **includes exempt supplies** for the *threshold* test, even though exempt supplies give no ITC. Students routinely drop exempt turnover here and get the registration answer wrong.

Finer distinctions the exam tests inside "aggregate turnover":

- **"Aggregate turnover" vs "turnover in a State."** Aggregate turnover is the **all-India, same-PAN** figure and is used for the **threshold** and for **composition eligibility**. "Turnover in State/UT" [Sec 2(112)] is the single-State slice and is used for computing the **composition levy** and certain State-level calculations. Do not use one where the other is intended: the *threshold* test is always the all-India aggregate.
- **Exempt supply is a wide bucket [Sec 2(47)]** — it includes nil-rated, wholly exempt, *and* non-taxable supplies (e.g. alcoholic liquor for human consumption, the five petroleum products currently outside GST). All of these still count toward aggregate turnover. This is why a petrol-pump dealer or a liquor vendor can be forced to look at the threshold even though their core product is outside GST.
- **Interest / discount on deposits, loans, advances.** By explanatory clarification, the *value of exempt services by way of extending deposits/loans/advances where consideration is interest or discount* is **not** counted for the special-category composition/threshold context in the manner prescribed — but for the general aggregate-turnover threshold, interest income being an exempt supply is generally includible. **This carve-out is nuanced and periodically clarified — verify the exact treatment in current ICAI material** before applying it in a numerical.
- **Same PAN, all establishments.** If Mr X owns a proprietorship *and* is a partner drawing a share of profit, only supplies made **on the same PAN** aggregate. A partner's profit share is not a supply and does not aggregate; but two proprietary businesses of Mr X under his one PAN **do** aggregate — even if in different States and different trades.

4.2 The threshold limits — and WHY they differ [Sec 22]

Section 22: a supplier must register in a State/UT if aggregate turnover in a financial year **exceeds** the threshold.

The threshold is **not one number** — and the differences are deliberate:

Category of person	Threshold (aggregate turnover p.a.)	Design reason
Supplier of GOODS (exclusively), normal States	**₹40 lakh**	Goods traders are numerous and low-margin; a higher floor keeps small shopkeepers out of the net
Supplier of SERVICES (or goods + services), normal States	**₹20 lakh**	Services are harder to track (no physical stock trail), so the net is cast wider — lower floor
Special-category States — services / mixed	**₹10 lakh**	These States are smaller economies; ₹10L is "large" locally, and the revenue base needs protection
Special-category States — goods (specified States)	**₹20 lakh**	A middle floor reflecting their smaller economies

Why goods (₹40L) get a higher floor than services (₹20L): Goods leave a **physical trail** — stock, e-way bills, transport records — so a small unregistered goods trader is comparatively low-risk and easy to catch later if needed. Services leave **no such trail**; an unregistered service provider is nearly invisible. The law therefore pulls services into the net at half the turnover.

Why special-category States get a lower floor (₹10L): These are the constitutionally recognised smaller/hilly/border States (the "special category" list). Their economies are smaller, so what looks tiny nationally is significant locally; a lower threshold protects their SGST base. **The special-category list is periodically re-notified — verify the exact list for your attempt** (historically it has moved between the full 11 north-eastern/hill States and a reduced set, with some States opting up to ₹20L or ₹40L).

The three-tier reality of the special-category list (why students get this wrong). For the *registration* threshold, the States are effectively in three baskets, and you must know which basket a State is in for your attempt:

1. States at **₹10 lakh** (services/mixed) — the smallest economies (historically Manipur, Mizoram, Nagaland, Tripura).
2. States that **opted up to ₹20 lakh** even though special-category (historically Arunachal Pradesh, Meghalaya, Sikkim, Uttarakhand, Puducherry, Telangana at various times).
3. States that are treated as **normal ₹20L / goods-₹40L** despite being "special category" for other constitutional purposes (e.g. Jammu & Kashmir, Assam, Himachal, Ladakh have at points opted into the ₹40L goods limit).

The lesson: **"special category State" for Article 279A purposes is NOT the same list as "special category for the registration threshold."** The registration list is a *notified sub-set that States themselves opted into*. Never map them one-to-one — **verify the current basket for the named State in your attempt's ICAI material.**

The ₹40 lakh goods enhancement carries fine print (all must hold, else fall back to ₹20L): - Supplier is engaged **exclusively in supply of goods** (any service supply, even small, drops you to ₹20L); - Not making

inter-State supplies; - Not a compulsory-registration person under Sec 24; - Not supplying specified goods (e.g. ice cream, pan masala, tobacco, fly ash bricks and similar notified items); - Not registered voluntarily.

One statutory relief that saves the ₹40L limit — the interest carve-out. A person who is otherwise "exclusively goods" but who *also* earns **interest/discount on deposits, loans or advances** is **still treated as exclusively supplying goods** for the ₹40L limit (interest, though an exempt *service*, is ignored for this exclusivity test). This is a favourite examiner tweak: "a goods trader who also has ₹2L bank interest income — does the interest drop him to ₹20L?" **No** — interest is disregarded for the exclusivity test, so the ₹40L limit survives (verify wording in current material).

Memory hook — "40-20-10, and *services always sit at 20*." If services are anywhere in the picture (normal State), the number is ₹20L. Goods-only-and-clean gets you the ₹40L upgrade.

"Exceeds" is strict, and the timing subtlety. The section says turnover must **exceed** the limit — so turnover of *exactly* ₹40,00,000 (goods) does **not** trigger registration; ₹40,00,001 does. Also, liability arises **during the financial year at the moment turnover crosses the limit** — you do not wait for year-end. The 30-day clock (Sec 25(1)) starts from that crossing date, which is why mid-year threshold crossings (Example 3) are so heavily tested.

4.3 Persons NOT liable to register [Sec 23]

The law also *names people it does not want to burden*, because forcing them in adds compliance with no revenue or tracking benefit:

- A person supplying **exclusively exempt / nil-rated / non-taxable** goods or services (there is no output tax to collect, so why register?);
- An **agriculturist**, to the extent of supply of produce out of cultivation of land;
- Persons making supplies **wholly under reverse charge** (the *recipient* pays the tax, so the supplier collects nothing — nothing to police at the supplier).

Why Sec 23 overrides even Sec 22: if your entire output is exempt, hitting the ₹40L threshold is irrelevant — there is literally no tax to collect. **Sec 23 (not liable) is checked to relieve; Sec 24 (compulsory) is checked to compel.** When both a "not liable" and a "compulsory" character could apply, note the interplay carefully (e.g., a person supplying exclusively exempt goods is genuinely outside — but the moment any taxable or Sec-24 element appears, the analysis changes).

The Sec 23 vs Sec 24 hierarchy — a genuine drafting question the ICAI has flagged. Section 23 opens with its own overriding language, and the amended Sec 23(2) gives the Government power to exempt specified categories from registration **notwithstanding Sec 22 or Sec 24**. The practical exam position taught in ICAI material: a person supplying **wholly RCM-based** supplies is relieved under Sec 23 *even though* "reverse charge recipient" is a Sec 24 category — because as a *supplier* he collects nothing. Contrast: a person who is *liable to pay under RCM as recipient* is squarely inside Sec 24. So the same three letters "RCM" land you in Sec 23 (as a wholly-RCM *supplier*) or Sec 24 (as an RCM-*recipient*) depending on **which side of the transaction you are on**. This is one of the sharpest traps in the chapter.

The agriculturist carve-out is narrow. "Agriculturist" [Sec 2(7)] means an **individual or HUF** who cultivates land **personally, or by own labour / family labour / servants on wages / hired labour under personal supervision**. A company or a partnership firm doing agriculture is **not** an agriculturist and gets no Sec 23 relief on that ground. And the relief covers only **produce out of cultivation of land** — a farmer who *also* trades in purchased grain is supplying beyond his own produce and must test the threshold on that trading turnover.

4.4 Compulsory registration [Sec 24] — threshold IRRELEVANT

Section 24 begins "**notwithstanding** anything in Sec 22(1)" — meaning **turnover does not matter; these persons register from the first rupee.** Learn the *reason category*, not the list:

Compulsory category (Sec 24)	The leakage it plugs
Persons making **inter-State taxable supply** (of goods)	Cross-border trade must be tracked at both ends; can't be invisible
Casual taxable person (occasional supply, no fixed place e.g. exhibition stall)	Would otherwise supply and vanish — pin them down with advance-deposit registration
Persons liable under **reverse charge** (as recipient)	Recipient becomes the tax-payer — must be registered to deposit and be audited
Persons liable to pay tax under **Sec 9(5)** (e-commerce specified services)	The ECO pays; must be registered
Non-resident taxable person	No Indian PAN/place — needs a controlled, time-bound registration
Persons required to deduct **TDS (Sec 51)**	They withhold government money — must be identifiable
E-commerce operators required to collect **TCS (Sec 52)**	They sit on others' money and data — the biggest tracking node in the system
Persons supplying **through an ECO** (who are liable to collect TCS)	Each seller on the platform must be matchable
Input Service Distributor (ISD)	Distributes credit — must be registered to do so validly
Persons supplying **on behalf of another** (agents)	The agent's supplies must tie back
Person supplying **OIDAR** services from outside India to an unregistered Indian recipient	Otherwise wholly untaxed cross-border digital services

Two important carve-outs (relief within Sec 24): Persons making **inter-State supply of *services*** up to ₹20L are exempted from compulsory registration (notification), because forcing every small freelancer serving another State to register was disproportionate. Similarly, small suppliers **through an ECO of *services*** got threshold relief. *Why the split?* Same Force-2 logic: services are lower-value-per-supply and the compliance burden on tiny service providers outweighed the leakage — so the compulsory hammer was softened *for services only*.

A third, newer carve-out to know — inter-State supply of *specified handicraft / notified goods*. Persons making inter-State supplies of **notified handicraft goods** (and certain notified products made by craftsmen) are **exempted from compulsory registration up to the ₹20L (₹10L special-category) threshold**, provided they have a PAN and generate e-way bills. *Why?* Artisans selling across State lines at melas are exactly the small, low-margin persons Force 2 protects — the blanket "inter-State goods = register" rule would have crushed them. **Verify the current notified list and conditions for your attempt.**

Memory hook — "Sec 24 = people who touch *someone else's* tax or cross a *border*." Inter-State, reverse charge, TDS/TCS, ECO, agents, ISD, non-residents — in every case the person is handling tax that isn't purely their own domestic small-scale output. That is why turnover is irrelevant: the risk is structural, not scale-based.

The Sec 9(5) / e-commerce distinction the examiner loves. Three different persons can all be "e-commerce" and each has a *different* registration consequence:

- The **ECO liable to pay tax under Sec 9(5)** (e.g. platform for passenger transport, restaurant service, certain accommodation) — the *platform itself* pays GST as if it were the supplier → compulsorily registered.
- The **ECO liable to collect TCS under Sec 52** (e.g. a marketplace for goods) — the platform *collects tax at source* on behalf of its sellers → compulsorily registered.
- The **supplier selling *through* an ECO** — compulsorily registered **only if** the ECO is one required to collect TCS; but a supplier of **services** (other than Sec 9(5) services) selling through an ECO gets **threshold relief up to ₹20L**. A supplier of **goods** through a TCS-ECO must register from Rupee One.

So "I sell through Amazon/Zomato" is not one answer — it depends on **goods vs services** and **which sub-category of ECO** the platform is. This is a classic multi-part MCQ.

4.5 Special persons

- **Casual Taxable Person (CTP)** and **Non-Resident Taxable Person (NRTP):** Since they have no permanent stake, they must **deposit estimated tax in advance** and get registration valid for **90 days (extendable by 90 more)**. *Why advance deposit?* They could otherwise supply at an exhibition and disappear owing tax — the deposit is the government's security.
- **Voluntary registration [Sec 25(3)]:** A below-threshold person *may* register to enter the credit chain (e.g., a small supplier whose B2B customers demand ITC). Once registered, **all provisions apply as to any registered person** — you can't enjoy ITC benefits and skip return-filing duties.
- **Single vs multiple registrations [Sec 25(2)]:** One registration per State/UT is the default, but a person with **multiple places of business in a State may obtain separate registrations for each** (each then treated as a distinct person, and supplies between them are taxable). *Why allow it?* Different verticals may want independent compliance/credit pools.
- **Distinct persons [Sec 25(4)/(5)]:** Establishments of the same PAN in **different States** are **distinct persons** — a stock transfer between them is a *supply* and attracts GST. *Why?* Each State's SGST base must be independently preserved; without "distinct persons," inter-State stock movement inside one company would escape the State-wise design.

Finer points on CTP vs NRTP (they are *not* the same person):

Feature	Casual Taxable Person (CTP)	Non-Resident Taxable Person (NRTP)
Who	Has a business/PAN in India but supplies *occasionally* in a State where he has **no fixed place**	Has **no fixed place of business or residence in India** at all
PAN	Uses his existing **PAN**	Usually **no PAN** — registers on the strength of other ID (e.g. passport / tax ID of home country) via Form **REG-09**
Application form	REG-01	**REG-09** (separate form)
Advance deposit	Estimated **net** tax liability	Estimated tax liability
ITC	Can claim ITC (normal rules)	**Cannot claim ITC** except on goods imported by him — a major restriction
Validity	90 days (+90)	90 days (+90)

Why NRTP is denied ITC: he has no ongoing Indian presence to audit and the credit chain would be hard to police across borders — so the law lets him pay tax but broadly denies input credit (except on his own imports). Examiners test the CTP/NRTP swap by giving a foreign entity a temporary Indian stall and asking whether it can net off input credit — the answer turns on whether it is an NRTP (no PAN, no ITC) or merely a CTP.

The advance-deposit mechanics (numerically testable). The CTP/NRTP deposits an amount equal to the **estimated tax liability for the period of registration sought**. This deposit is credited to the **electronic cash ledger** and is used to discharge the actual liability shown in returns. If the estimate exceeded actuals, the **excess is refundable** — but only **after all returns for the registration period are filed**. On extension of the 90-day period, a **further advance deposit** for the extended period must accompany the extension application (Form REG-11). So the deposit is a rolling security, not a one-time fee.

Voluntary registration — the trade the small person is really making. By registering voluntarily under Sec 25(3), a below-threshold person *buys* the right to pass on ITC to B2B customers (making itself an attractive vendor) but *pays* with the full compliance load — monthly/quarterly returns, e-invoicing where applicable, and the **Sec 29 cancellation risk if it does not commence business within 6 months** or stops filing. The exam framing: "should a ₹12L B2B component-maker register voluntarily?" — the answer is a reasoned *yes if its customers demand ITC-bearing invoices, no if its customers are unregistered/final consumers* (to whom ITC is worthless and who only see a higher price).

4.6 Procedure & Timelines [Sec 25, Rules 8–11]

The design goal (Force 1) is **frictionless entry**, so the process is online and default-approved.

When to apply [Sec 25(1)]: within **30 days** from the date the person **becomes liable** to register. (A CTP/NRTP must apply **at least 5 days prior** to commencing business.)

Step-by-step:

1. **PART A of Form GST REG-01** — declare PAN, mobile, email. PAN is validated on the portal; mobile and email are **OTP-verified**. You receive a **TRN (Temporary Reference Number).**

2. **PART B of REG-01** — using the TRN, submit business details, place(s) of business, bank details, authorised signatory, and upload documents. Verify via **DSC / e-signature / EVC**.
3. **Acknowledgement in REG-02** is issued.
4. **Aadhaar authentication (Rule 8)** — if the applicant opts and succeeds, processing is faster. *Why Aadhaar?* It is an anti-fraud tightening — fake registrations exploded, so biometric/Aadhaar authentication (and physical verification where flagged) was added.
5. **Officer's scrutiny:** - If in order (and Aadhaar authenticated): **approve within 7 working days**. - If Aadhaar **not** authenticated / flagged for risk: **physical verification of premises** may be done and the window extends (commonly **30 days**). - If deficiency: **notice in REG-03** within the period; applicant replies in **REG-04 within 7 working days**; officer may reject via **REG-05**.
6. **Deemed approval:** if the officer takes **no action within the prescribed period**, registration is **deemed granted.** *Why deemed approval?* Force 1 again — the State should not be able to strangle genuine entry by inaction.
7. **Certificate in Form GST REG-06** is issued with the GSTIN.
8. **Effective date of registration:** - If applied **within 30 days** of becoming liable → effective from the **date of liability** (so no gap; supplies from day one are covered). - If applied **late** → effective from the **date of grant** (the gap period's tax exposure sits on you, but ITC of that gap is lost — the penalty for delay).

The three timelines inside "deemed approval" — know which clock applies. The prescribed period for the officer to act depends on the anti-fraud track:

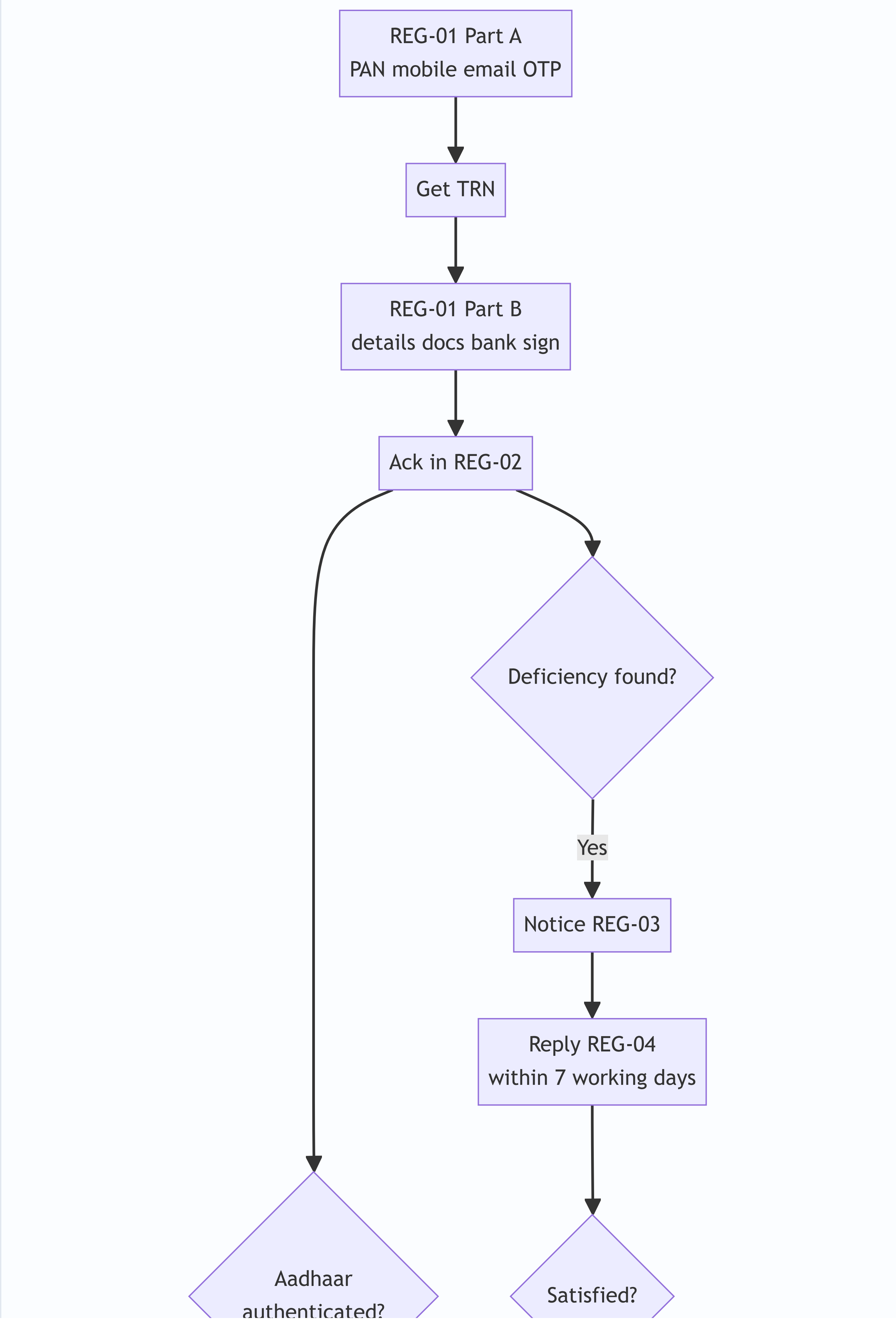
Situation	Officer's window before deemed approval
Aadhaar authenticated, no risk flag	**7 working days**
Aadhaar **not** opted / authentication **failed**	**30 days** (physical verification / deeper scrutiny may be done)
Applicant flagged as **high-risk** on biometric/data analytics	Extended per rules — physical verification of premises before grant

So "the officer did nothing — is registration deemed granted after 7 days?" is a *trick* unless you first ask **was Aadhaar authenticated?** If not, the deemed-approval clock is **30 days**, not 7.

Rule 9 / Rule 25 physical verification. Where Aadhaar is not done, or the officer deems it fit even after Aadhaar, the premises may be **physically verified**; the verification report with photographs is uploaded in **Form REG-30** within the prescribed period. This is the Force-4 tightening layered onto the Force-1 fast lane.

Suo-motu / temporary registration by the department [Rule 16]. If, during a survey/inspection, the officer finds an *unregistered* person who was liable, the officer can **grant registration on a temporary basis** and issue an order in **REG-12**. The person must then either apply properly within 90 days or, if he appeals and wins, be treated accordingly. *Why?* So a caught evader cannot escape the net merely by never having applied — the department can drag him in.

Physical location matters — "place of business" documentation. The applicant must prove the principal place of business (ownership deed / rent agreement + consent letter + a utility bill). A frequent real-world (and MCQ) failure: a **virtual office / co-working desk** without a valid address proof is a top reason for REG-03 deficiency notices and rejection under the anti-fraud tightening.


REG-01 Part A
PAN mobile email OTP
Get TRN
REG-01 Part B
details docs bank sign
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Aadhaar
authenticated?
Satisfied?

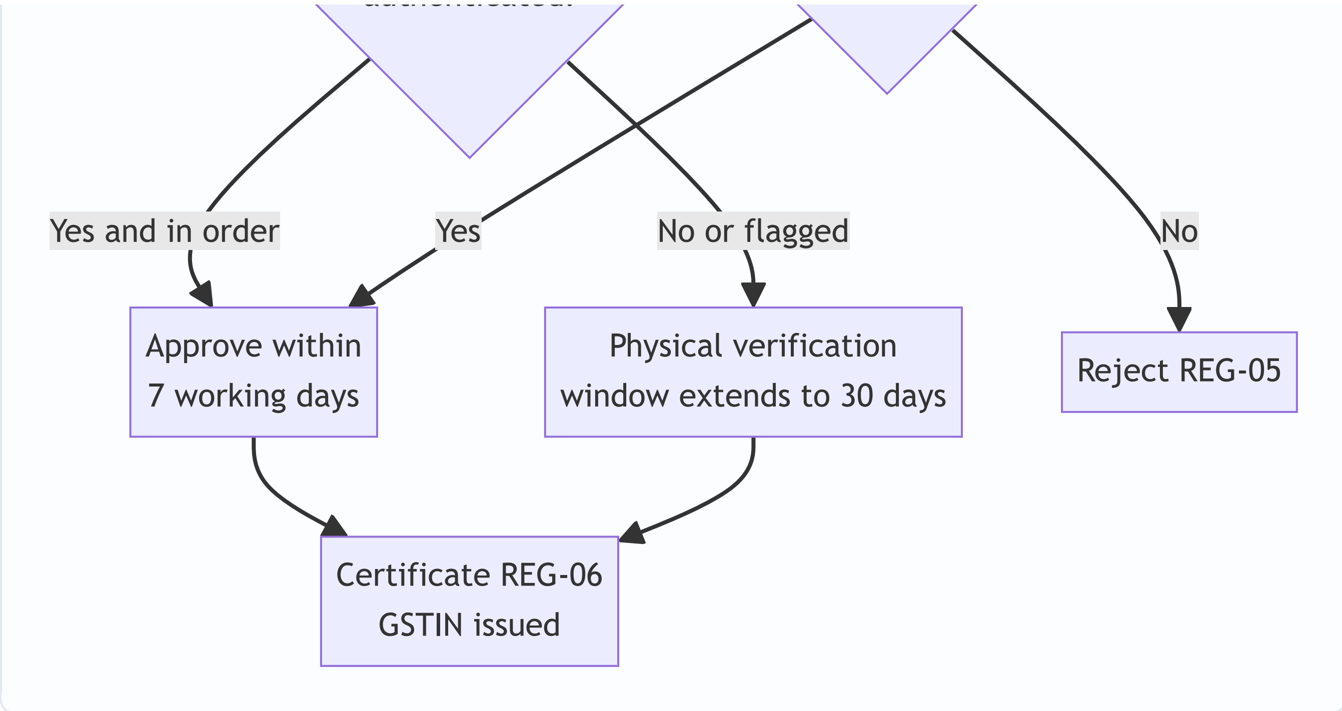

Figure 20.3 — Registration procedure and the two speed-lanes (Aadhaar-authenticated fast track vs physical-verification slow track), plus deemed approval on official inaction.

4.7 Amendment of registration [Sec 28, Rule 19]

Why amendment exists (Force 4): the register must mirror reality. Change something → tell the department in **REG-14 within 15 days** of the change.

Type of change	Officer approval needed?	Reason
Core fields — legal name (no PAN change), principal/additional place of business, addition/deletion of partners/directors/karta	**Yes** — officer must approve (order in REG-15); acts within 15 working days	These affect *who and where* — high fraud value, must be vetted
Non-core fields — most other details (e.g. contact, minor particulars)	**No** — auto-amended on portal	Low risk, so no friction
Change requiring **fresh PAN** (change of constitution altering PAN, e.g. proprietorship → company)	Cannot be amended — **fresh registration**	GSTIN is PAN-based; a new PAN is a new legal person

The three-bucket rule, and the deemed-amendment trap. Amendments fall into three buckets: **core (officer approval)**, **non-core (auto)**, and **PAN-changing (fresh registration, not amendment at all)**. Two exam points:

- For **core** amendments, if the officer **fails to act within 15 working days** on the REG-14, the amendment is **deemed approved** — the same Force-1 anti-inaction logic as fresh registration.
- **Change of the principal place of business or of the constitution *not* changing PAN** is *core*, but a change of business **from one State to another** is not an "amendment" — it is a **new registration in the new State plus cancellation of the old** (State-wise design again).
- **Change of mobile/email of the authorised signatory** is done through OTP verification, treated as a non-core/portal change — not a core amendment.

4.8 Cancellation of registration [Sec 29, Rule 20–22]

Why cancellation (Force 4): remove those who should no longer be in the net, or eject fraud.

By the registered person (voluntary) or legal heirs, e.g. business discontinued, transferred, amalgamated, constitution changed, or turnover fell and person no longer liable.

By the proper officer (suo motu), for cause — the leakage-plugging teeth: - Contravention of specified provisions; - A composition dealer not filing returns for **specified tax periods**; - Any other registered person **not filing returns for a continuous period** (as prescribed); - **Voluntary registrant not commencing business** within 6 months; - Registration obtained by **fraud, wilful misstatement or suppression**; - Not conducting business from the declared place / issuing invoices without supply (bill-trading).

Process: show-cause **REG-17** → reply **REG-18** → order **REG-19**. The officer cannot cancel without opportunity of being heard (natural justice).

The sting — Reversal on cancellation [Sec 29(5)]: on cancellation, the person must **pay back**, by way of debit to the electronic credit/cash ledger, an amount equal to the **ITC on inputs held in stock, inputs in semi-finished/finished goods, and on capital goods** (reduced as prescribed) — **or the output tax on such goods, whichever is higher.** *Why?* You claimed credit as a chain participant; on exit you leave with tax-free stock in hand unless you disgorge that credit. This closes the exit-leak. **Final Return in GSTR-10** must be filed within 3 months.

Finer distinctions on cancellation:

- **Capital goods clawback is computed differently from inputs.** For **inputs** (in stock or embedded in finished/semi-finished goods) you reverse the **actual ITC** relatable to that stock. For **capital goods** you reverse the **ITC taken reduced by the prescribed percentage per quarter of use (5% per quarter or part thereof), OR the tax on the transaction value of such capital goods, whichever is higher** (Rule 44 / 40). So capital goods used for a long time may carry a *smaller* reversal — the credit is treated as "consumed" over its life. This is a genuinely numerical sub-topic.
- **"Whichever is higher" protects revenue on both sides.** If you sell the exit stock (output tax) for more than the embedded credit, you pay the output tax; if the credit exceeds a distressed sale price, you still disgorge the full credit. You cannot game the exit by dumping stock cheap.
- **Cancellation date can be retrospective.** The officer may cancel **from a back-date** (e.g. from the date the fraud started or from the date business ceased) — with consequences for the ITC others claimed against your invoices in the interim. **A recipient's ITC can be denied if the supplier's registration is cancelled retrospectively** — a real risk the examiner may weave into an ITC problem.
- **Cancellation does not extinguish past dues [Sec 29(3)].** Cancelling the registration does **not** wipe out tax, interest or penalty already due for periods *before* cancellation — the liability survives the registration. Students wrongly assume cancellation is a clean exit.
- **Suspension pending cancellation [Rule 21A].** Once a person applies for cancellation, or once the officer initiates suo-motu cancellation, the registration may be **suspended** during the proceedings — the person **cannot make taxable supplies or issue tax invoices** while suspended, and need not file returns for the suspension period. This prevents a doomed registration from continuing to pass on ITC while its cancellation is pending — a direct Force-4 plug.

4.9 Revocation of cancellation [Sec 30, Rule 23]

Why revocation (Force 4 — the safety valve): cancellation by the officer can be wrong, or the defaulter can cure the default (file the missing returns, pay dues). The system should let a *repaired* or *wrongly-ejected* person back in rather than force a costly fresh registration and loss of history.

- Applies **only where the officer cancelled suo motu** (you cannot "revoke" your own voluntary cancellation).
- Apply in **REG-21 within 30 days** of the cancellation order (this period is extendable by the proper officer / Commissioner up to a further specified period — **verify the current extension window**).
- **Precondition:** all pending returns must be furnished and all dues (tax, interest, penalty) paid before/along with the application — you must *cure the default first*.
- Officer's order in **REG-22** (revoke) or rejects after notice (REG-23) and reply (REG-24).

The extension ladder (know the current numbers, but the *structure* is stable). The base window is **30 days** from service of the cancellation order; this can be extended by the **proper officer** by a further period, and beyond that by the **Commissioner** by a further period (historically 30 + 30 + 30). Where cancellation was for **non-filing of returns**, a special condition applies: the person must first **file all pending returns and pay all dues** — and only then is the revocation application even entertained. **Verify the exact extension windows for your attempt** as these have been amended repeatedly.

Revocation vs fresh registration — why one is far better. A revoked registration **keeps the same GSTIN and the entire transaction/ITC history intact**; a fresh registration starts a **new GSTIN**, breaks the audit trail, and can strand the ITC on stock accumulated under the old number. So a wrongly-cancelled genuine business *always* prefers revocation. This is why Sec 30 exists as a distinct route rather than telling everyone to "just re-apply."

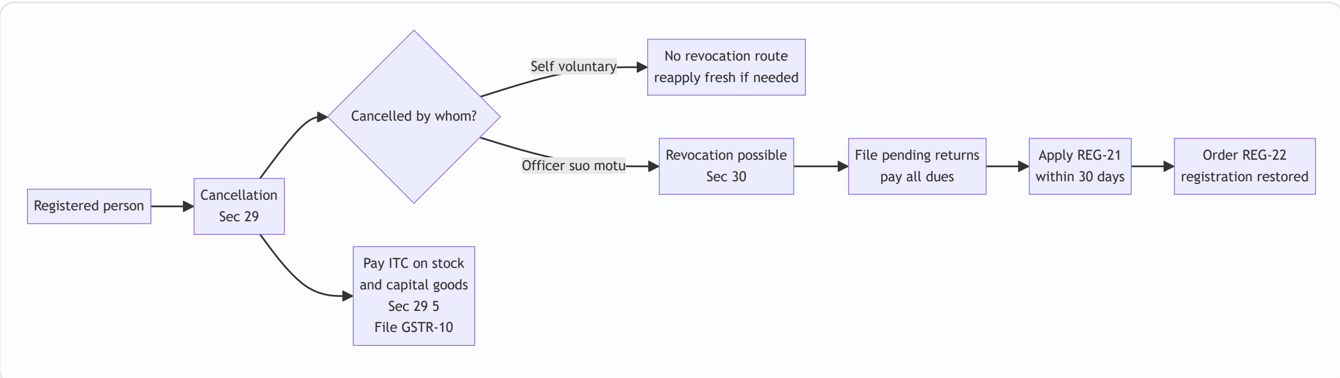

Figure 20.4 — Cancellation vs revocation. Revocation is available ONLY against officer-initiated cancellation, and only after the default is cured.

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5. Worked Examples

Example 1 — The exempt-turnover trap (threshold computation)

Facts: *Mehta Traders*, operating **only in Maharashtra** (a normal State), supplies **exclusively goods**. During FY, its supplies are: - Taxable goods: ₹28,00,000 - Exempt goods: ₹9,00,000 - Nil-rated goods: ₹4,00,000 It also paid ₹1,50,000 GST under **reverse charge** on inward legal services. No inter-State supply, no Sec-24 category, no specified goods.

Is registration required?

Step 1 — pick the threshold. Goods-only, normal State, clean of all disqualifiers → the enhanced **₹40 lakh** threshold applies.

Step 2 — compute aggregate turnover. Include *all outward supplies* (taxable + exempt + nil-rated); **exclude** the reverse-charge inward supply. = 28,00,000 + 9,00,000 + 4,00,000 = **₹41,00,000.**

Step 3 — compare. ₹41,00,000 **> ₹40,00,000 → registration is required.**

Reconciliation / the lesson: Had we (wrongly) dropped the exempt + nil-rated ₹13,00,000, we'd have got ₹28,00,000 and concluded "no registration." **Aggregate turnover includes exempt supplies for the threshold test** — that ₹13L is exactly what pushes Mehta over. The RCM ₹1.5L is correctly excluded (it's inward, not Mehta's outward supply). *Answer: liable to register.*

Example 2 — Services drag the threshold down, and Sec 24 overrides both

Facts: *Rao Consultancy* in Telangana (normal State) has aggregate turnover of **₹19,00,000**, entirely from **consultancy services** (intra-State). Separately, it made a **single inter-State supply of goods** worth ₹50,000 (sale of an old design mock-up to a Karnataka client).

Is registration required?

Step 1 — threshold if we only looked at turnover. Services → threshold is **₹20 lakh**, not ₹40L. ₹19,00,000 < ₹20,00,000 → *would* be below threshold.

Step 2 — but check Sec 24 FIRST (per Figure 20.2 order). Rao made an **inter-State taxable supply of goods** (₹50,000). Inter-State supply of *goods* is a **Sec 24 compulsory category — threshold irrelevant.**

> Note the services carve-out does *not* rescue Rao: the exemption from compulsory registration for small inter-State suppliers applies to inter-State supply of **services** up to ₹20L. Rao's inter-State supply was of **goods**, so the carve-out doesn't apply.

Step 3 — conclusion. Despite turnover below ₹20L, **Rao must register compulsorily** because of the inter-State supply of goods.

Reconciliation / the lesson: This is the classic "Sec 24 beats Sec 22" trap. A single ₹50,000 inter-State *goods* supply forces full registration on a ₹19L service firm. Had the ₹50,000 inter-State supply been of **services**, the carve-out would have kept Rao out (below ₹20L). *Answer: liable to register (compulsorily under Sec 24).*

Example 3 — Effective date, and the cost of applying late

Facts: *Nair Foods* (goods-only, Kerala) crossed ₹40,00,000 aggregate turnover on **10 August**. It applied for registration on **25 September** and was granted registration on **1 October.** Between 10 August and 25 September it made taxable supplies of ₹6,00,000 and bought inputs bearing ₹90,000 GST.

(a) From what date is registration effective? (b) What is the consequence?

Step 1 — was the 30-day window met? Liability arose 10 August. 30 days ends **9 September**. Nair applied on **25 September** — **late by 16 days.**

Step 2 — effective date rule. Because the application was **not within 30 days**, registration is effective from the **date of grant = 1 October**, *not* from 10 August.

Step 3 — consequences of the gap (10 Aug – 30 Sep). - Nair was **liable** to pay tax from 10 August (liability arises on crossing the threshold, independent of when registration is granted) — so tax on the ₹6,00,000 of supplies in the gap is still owed, plus interest/penalty for the delay. - But because registration is effective only from 1 October, Nair **cannot claim the ₹90,000 ITC** on inputs bought during the gap under the normal transition rule for a timely applicant. (A timely applicant — applying within 30 days — gets registration from the date of liability and can claim ITC on inputs in stock as on that date. Late application forfeits that transition benefit.)

Reconciliation / the lesson: The 30-day rule is not cosmetic. **Apply within 30 days → effective from date of liability → no lost ITC on opening stock. Apply late → effective from grant date → you still owe output tax for the gap but lose the gap-period input credit.** The asymmetry (tax owed, credit lost) is the deliberate penalty that enforces timely registration. *Answer: effective 1 October; ₹6L supplies still taxable with interest; ₹90,000 gap-ITC lost.*

Example 4 — Casual taxable person at a trade fair

Facts: *Bengal Handlooms* (registered in West Bengal) wants a **20-day stall at a Delhi trade fair**, expecting ₹8,00,000 of supplies there. It has no fixed place in Delhi.

What must it do?

Step 1 — identify the character. Occasional supply in a State where it has no fixed place of business = **Casual Taxable Person (CTP)** in Delhi. CTP is a **Sec 24 compulsory** category — threshold irrelevant.

Step 2 — timing & deposit. Apply for registration **at least 5 days before** commencing business at the fair. Deposit **advance tax** equal to the estimated tax liability (roughly the GST on the expected ₹8,00,000).

Step 3 — validity. Registration is valid for **90 days** (or the period requested), extendable once by **90 more days.**

Reconciliation / the lesson: The advance deposit is the government's security against a supplier who will pack up and leave. *Answer: register as CTP in Delhi ≥5 days ahead, deposit estimated tax, registration valid up to 90+90 days.*

Example 5 — The exclusivity break: one small service kills the ₹40L limit

Facts: *Verma Hardware* (Uttar Pradesh, a normal State) has aggregate turnover of **₹38,00,000**, of which **₹37,60,000 is sale of hardware goods** (intra-State) and **₹40,000 is a repair/installation *service*** it performs at customers' sites. No inter-State supply, no Sec-24 category, no specified goods.

Is registration required?

Step 1 — does the ₹40L limit apply? The ₹40L enhanced limit is for a supplier engaged **exclusively in supply of goods.** Verma also supplies a **service** (₹40,000 of repair). It is therefore **not exclusively goods** → the enhanced limit is **lost**; the applicable threshold falls to **₹20 lakh.**

Step 2 — compare. Aggregate turnover ₹38,00,000 **> ₹20,00,000 → registration is required.**

Reconciliation / the lesson: A tiny ₹40,000 of service — barely 1% of turnover — knocks Verma out of the ₹40L club and down to ₹20L, flipping the answer from "not liable" (had ₹40L applied to ₹38L) to "liable." Contrast this with the **interest carve-out**: had the extra ₹40,000 been *bank interest* rather than a supplied service, the exclusivity test *ignores* interest and the ₹40L limit would have survived (₹38L < ₹40L → not liable). *Answer: liable to register — the service breaks exclusivity and drops the limit to ₹20L.* **Examiner tweak to**

watch: swap the ₹40,000 between "installation service" (breaks exclusivity → liable) and "interest on fixed deposit" (ignored → not liable) — the answer reverses.

Example 6 — Cancellation clawback on inputs and capital goods

Facts: *Sethi Textiles* applies to cancel its registration (business discontinued) effective 31 March. On that date it holds: - Raw material (inputs) in stock on which ITC of **₹1,20,000** was taken; - Finished goods whose embedded inputs carried ITC of **₹80,000**; - A machine (capital goods) bought **13 months ago** on which ITC of **₹3,00,000** was originally taken; its current transaction (sale) value would bear GST of **₹1,90,000.**

What must Sethi pay back under Sec 29(5)?

Step 1 — inputs (raw material + embedded in finished goods). Reverse the ITC relatable to inputs held in stock and in finished/semi-finished goods = 1,20,000 + 80,000 = **₹2,00,000.**

Step 2 — capital goods. Two candidate amounts: - (a) **ITC reduced by 5% per quarter of use.** 13 months = **5 quarters (part of a quarter counts as a full quarter)**. Reduction = 5 × 5% = 25%. Remaining = ₹3,00,000 × (100% − 25%) = ₹3,00,000 × 75% = **₹2,25,000.** - (b) **Output tax on transaction value** = **₹1,90,000.** - Sec 29(5) / Rule 44 take the **higher** = **₹2,25,000.**

Step 3 — total payable on cancellation = inputs ₹2,00,000 + capital goods ₹2,25,000 = **₹4,25,000**, debited to the electronic credit/cash ledger. **File GSTR-10 within 3 months.**

Reconciliation / the lesson: Capital-goods reversal is *time-sensitive* — had the machine been used for, say, 4 years (16 quarters), the reduction would be capped at the point where remaining credit falls below the transaction-value tax, and then the **₹1,90,000 output-tax figure would win** as the higher amount. The "5% per quarter, part = full quarter" rule and the "whichever is higher" gate are exactly what the examiner checks. *Answer: ₹4,25,000 (₹2,00,000 on inputs + ₹2,25,000 on capital goods).* **Verify the current Rule 44/40 percentages for your attempt.**

Example 7 — Aadhaar not done: which deemed-approval clock?

Facts: *Khan Enterprises* submits a complete, in-order REG-01 on 1 June but **does not opt for Aadhaar authentication.** The proper officer issues **no notice and takes no action.** Khan claims registration is "deemed granted" after 7 working days and starts issuing tax invoices from 12 June.

Is Khan right?

Step 1 — which track? Because Aadhaar was **not** authenticated, Khan is **not** on the 7-working-day fast lane. The officer's window (and the possibility of **physical verification**) extends the deemed-approval period to **30 days.**

Step 2 — consequence. Registration is **not** deemed granted on the 7th working day. Invoices Khan issued from 12 June, before the registration is actually/deemed granted, are issued by an **unregistered person** — he cannot lawfully collect GST or issue a *tax* invoice yet, and premature collection attracts penalty.

Reconciliation / the lesson: The deemed-approval clock is **conditional on Aadhaar.** No Aadhaar (or failed authentication) → **30-day** window with possible physical verification, not 7 days. *Answer: Khan is wrong — deemed approval is 30 days here; he registered/collected prematurely.* **Examiner tweak:** flip "did not opt for Aadhaar" to "Aadhaar authenticated successfully" and the 7-working-day deemed approval *does* apply — the answer reverses.

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6. Format / Summary — the forms and the numbers at a glance

Key forms (learn the REG family as a story: apply → clarify → grant → amend → cancel → revoke):

Form	Purpose
REG-01	Application (Part A: PAN/OTP → TRN; Part B: details)
REG-02	Acknowledgement
REG-03	Notice for clarification / deficiency
REG-04	Applicant's clarification (within 7 working days)
REG-05	Order of rejection
REG-06	**Registration Certificate (carries the GSTIN)**
REG-09	Application by a **Non-Resident Taxable Person**
REG-10	Application by a person supplying **OIDAR** from outside India
REG-11	Application for **extension** of CTP / NRTP registration period
REG-12	Order of **suo-motu / temporary** registration by officer
REG-14	Application for amendment
REG-15	Order approving amendment
REG-16	Application for **cancellation** by the registered person
REG-17	Show-cause notice for cancellation (by officer)
REG-18	Reply to SCN
REG-19	Order of cancellation
REG-20	Order **dropping** cancellation proceedings (defaults cured)
REG-21	Application for **revocation**
REG-22	Order revoking cancellation
REG-23 / REG-24	Notice rejecting revocation / applicant's reply
REG-30	Physical verification report (with photographs)
GSTR-10	**Final Return** (within 3 months of cancellation)

The critical timelines:

Event	Time limit
Apply after becoming liable	**30 days**
CTP / NRTP apply before business	**5 days prior**
Approval (Aadhaar authenticated, in order)	**7 working days**
Approval where Aadhaar not done / physical verification needed	**~30 days**
Reply to deficiency notice (REG-04)	**7 working days**
Intimate amendment (REG-14)	**15 days** of change
Officer to act on core amendment (else deemed)	**15 working days**
Apply for revocation (REG-21)	**30 days** of cancellation order (extendable, verify)
File Final Return GSTR-10	**3 months** of cancellation/order
CTP / NRTP validity	**90 days (+90)**
Voluntary registrant — commence business	**6 months** (else cancellable)
Suo-motu temporary registrant to apply properly	**90 days**

Thresholds: Goods-only clean = **₹40L**; Services / mixed = **₹20L**; Special-category = **₹10L** (services/mixed) / **₹20L** (goods). *Verify list & numbers for your attempt.*

Capital-goods reversal on cancellation (Sec 29(5) / Rule 44): higher of *[ITC less 5% per quarter (part = full) of use]* **or** *[output tax on transaction value]*. Inputs: reverse ITC relatable to stock + finished/semi-finished goods.

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7. Connections — where registration plugs into the rest of GST

- → **Chapter on Supply & Levy:** you only need registration once you cross the threshold *on aggregate turnover* of *supplies* — so the definition of "supply" feeds directly into whether you're liable.
- → **Input Tax Credit:** ITC is available **only to a registered person** and (broadly) **only from the effective date of registration** — this is why the effective-date rule (Example 3) is worth real marks. On the exit side, the **Sec 29(5) clawback** (Example 6) is pure ITC-reversal arithmetic.
- → **Returns:** registration switches on return-filing duties (GSTR-1, GSTR-3B). Persistent non-filing is itself a *ground for cancellation* (Sec 29) — the loop closes. **GSTR-10** (final return) is the exit document.
- → **Reverse Charge & E-commerce:** Sec 24 pulls RCM recipients, ECOs, and TCS/TDS deductors in irrespective of turnover — registration is the enabler of those special collection mechanisms. Note the *wholly-RCM supplier* sits in **Sec 23** (relieved), not Sec 24.
- → **Composition Scheme:** a composition dealer is still a *registered* person; the scheme is a *manner of paying tax after* registration, not an alternative to it. Composition eligibility uses **aggregate turnover** too, and a composition dealer's persistent non-filing is a *specified* cancellation ground.
- → **Place of Supply / IGST:** "distinct persons" (Sec 25(4)) makes inter-State branch transfers taxable — a direct consequence of State-wise registration.

- → **Tax Invoice & E-way Bill:** only a registered person issues a *tax invoice* (with GSTIN); the artisan/handicraft carve-out from compulsory registration is conditioned on **PAN + e-way bill** — showing how registration, invoicing and movement documents interlock.

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8. Traps & Examiner Tricks

1. **Dropping exempt turnover from aggregate turnover.** Exempt + nil-rated supplies **count** for the threshold (Example 1). This is the single most common error.
2. **Including RCM inward supplies in aggregate turnover.** They are **excluded** — RCM is tax you pay as *recipient*, not your outward supply. (But note: being *liable under RCM* triggers **compulsory** registration under Sec 24, a separate point.)
3. **Applying ₹40L to a service provider.** ₹40L is **goods-only-and-clean.** Any service element in a normal State → **₹20L.** Special-category → ₹10L. Examiners love a firm that supplies "goods and a little installation service" (Example 5).
4. **Forgetting Sec 24 overrides the threshold.** A ₹5-lakh firm making one inter-State *goods* supply, or liable under RCM, or an ECO — **must register from Rupee One** (Example 2).
5. **Confusing the two inter-State carve-outs.** Small inter-State supply of **services** (≤₹20L) escapes compulsory registration; inter-State supply of **goods** does **not** (except the notified **handicraft/craftsmen** goods carve-out).
6. **Effective-date / late-application ITC loss.** Late application → registration from date of grant → gap-period ITC lost but gap-period output tax still due (Example 3).
7. **Cancellation reversal (Sec 29(5)).** Students forget you must **pay back ITC on stock AND capital goods (whichever-higher test on capital goods)** on cancellation, and file **GSTR-10.** (Example 6.)
8. **Revocation scope.** Revocation (Sec 30) applies **only to officer-initiated (suo motu) cancellation**, and **only after all returns are filed and dues paid.** You cannot "revoke" your own voluntary cancellation.
9. **Core vs non-core amendment.** Change of place of business / partners = **core** (needs approval); PAN-changing constitution change = **fresh registration**, not amendment. Officer inaction on a core amendment for 15 working days = **deemed approved.**
10. **Special-category State list / thresholds are dynamic.** Never quote from memory in the exam without the caveat — the list and numbers have been amended repeatedly, and the *registration* special-category list is **not** the Article 279A list.
11. **Deemed-approval clock is conditional on Aadhaar.** No Aadhaar / failed authentication → **30-day** window (with possible physical verification), **not** 7 working days (Example 7).
12. **CTP vs NRTP swap.** NRTP registers via **REG-09**, usually has **no PAN**, and **cannot claim ITC** (except on own imports); CTP uses its PAN and claims ITC normally. Both deposit advance tax and are valid 90 (+90) days.
13. **Interest income and the exclusivity test.** Bank interest is an exempt *service* but is **ignored** when testing "exclusively goods" for the ₹40L limit — so a goods trader with FD interest keeps ₹40L (contrast a real supplied service, which breaks it).
14. **Cancellation ≠ clean exit.** Sec 29(3): past dues survive cancellation. And a **retrospective** cancellation of a supplier can strip a recipient's ITC.
15. **"Exceeds" vs "reaches."** Turnover of *exactly* ₹40,00,000 does **not** trigger registration — only turnover **exceeding** the limit does.

9. First-Principles Recap

Start from the machine, and every rule reappears on its own:

1. GST works only if participants are **identifiable and matchable** → we need a register → **registration** issues a PAN-based, State-wise **GSTIN**. State-wise because **dual GST** needs each State to police its own SGST slice.
2. Only registered persons should **collect tax and claim ITC** → registration is the *licence to participate*. But a person *liable* to register is already a **taxable person** — liability precedes the certificate, which is why late applicants owe tax but lose credit.
3. Crushing tiny businesses helps no one → grant a **threshold exemption** (₹40L/₹20L/₹10L), **higher for goods** (physical trail, low risk) and **lower for services / small States** (invisible / smaller base).
4. Some activities leak *regardless of size* → **Sec 24** forces registration from Rupee One for anyone touching **someone else's tax or a border** (inter-State, RCM, TDS/TCS, ECO, ISD, agents, non-residents) — softened only for small **service** and **handicraft** cases.
5. Some persons should be **relieved** entirely → **Sec 23** (wholly exempt / agriculturist / wholly-RCM *suppliers*) — note the RCM *supplier* (relieved) vs RCM *recipient* (compelled) split.
6. Entry must be **frictionless** → online process, Aadhaar fast-track, and **deemed approval** on official inaction; but frictionless entry invites fraud, so it is layered with **Aadhaar / biometric / physical verification** (the Force-1 vs Force-4 see-saw). Delay is punished via the **effective-date rule**.
7. A register must stay **truthful** → **amendment** (edit, with core/non-core/PAN buckets), **cancellation** (exit, with the ITC-on-stock-and-capital-goods clawback under Sec 29(5), plus suspension pending cancellation), and **revocation** (Sec 30 safety valve, only against officer cancellation and only after curing default).

If you can retell those seven sentences, you can rebuild the entire chapter — sections, thresholds, forms, and timelines — from reasoning alone.

10. Quick-Revision Sheet

Identity: GSTIN = 15 chars — State code (2) + PAN (10) + entity (1) + Z + checksum. **PAN-based, State-wise.** One PAN can hold many GSTINs; each GSTIN = a **distinct person.**

Taxable person [2(107)]: one who is registered **or liable to be registered** — liability precedes the certificate.

Aggregate turnover [2(6)]: all outward supplies (taxable + **exempt** + nil + exports + inter-State), all-India same PAN. **Exclude** taxes and **RCM inward** supplies. (Distinguish "turnover in State" [2(112)] used for composition levy.)

Thresholds [22]: Goods-only clean **₹40L** | Services/mixed **₹20L** | Special-category **₹10L** (svc/mixed) / **₹20L** (goods). "**Exceeds**" (exactly at limit ≠ liable). Interest income ignored for the "exclusively goods" test. *Verify list & basket for attempt.*

Not liable [23]: wholly exempt/nil/non-taxable, agriculturist (individual/HUF, own-cultivation produce only), wholly-RCM **suppliers.**

Compulsory [24] — threshold irrelevant: inter-State (goods), CTP, RCM **recipient**, Sec 9(5) ECO, NRTP, TDS (51), TCS/ECO (52), sellers via TCS-ECO, ISD, agents, OIDAR from abroad. *Carve-outs: small inter-State supply of services ≤₹20L exempted; small services via ECO ≤₹20L; notified handicraft goods ≤₹20L (PAN + e-way bill).*

Special persons: CTP → PAN + REG-01 + advance tax, ITC normal. NRTP → **REG-09**, usually no PAN, **no ITC** (except own imports). Both valid **90 (+90) days**, apply **5 days prior**, extend via **REG-11** with fresh deposit. Voluntary [25(3)] → all provisions apply; cancel if no business in 6 months. Same PAN different States = **distinct persons** [25(4)].

Procedure [25, R8-11]: REG-01 Part A (PAN/OTP→TRN) → Part B (docs, DSC/EVC) → REG-02 ack → Aadhaar auth → approve **7 working days** if Aadhaar done (else **30 days** + physical verification, report **REG-30**) → deficiency REG-03/reply REG-04 (**7 wd**)/reject REG-05 → **deemed approval** on inaction (clock = 7 wd *only if Aadhaar authenticated*, else 30 days) → **REG-06** with GSTIN. **Apply within 30 days** of liability. Officer suo-motu temp registration = **REG-12** (apply properly in 90 days).

Effective date: applied ≤30 days → **from date of liability** (ITC on opening stock allowed); applied late → **from date of grant** (gap ITC lost, gap tax still due).

Amendment [28, R19]: intimate **REG-14 within 15 days.** Core (name/place/partners) → officer approves **REG-15** (15 wd; else deemed). Non-core → auto. PAN change → **fresh registration.**

Cancellation [29, R20-22]: voluntary (**REG-16**) or suo motu (fraud, non-filing, no business, bill-trading). SCN **REG-17** → reply **REG-18** → order **REG-19** (or drop via **REG-20**). **Suspension [R21A]** pending cancellation — no taxable supply/invoice. **Sec 29(5):** pay back **ITC on inputs (stock + finished) + capital goods** — capital goods = higher of [ITC less 5%/quarter of use] or [output tax on transaction value]. Past dues survive [29(3)]; back-dated cancellation can strip recipient's ITC. File **GSTR-10 within 3 months.**

Revocation [30, R23]: only vs **officer** cancellation; file all returns + pay dues first; apply **REG-21 within 30 days** (extendable by officer then Commissioner — verify) → order **REG-22** (or reject REG-23/reply REG-24). Keeps **same GSTIN + history** — better than fresh registration.

Golden order: Relief (23) → Compulsion (24) → Threshold (22) → Voluntary (25(3)).

Two-line mantra: *Registration is the turnstile of the credit chain — only inside can you collect tax or claim ITC. Threshold protects the small; Section 24 overrides it wherever someone touches another's tax or crosses a border.*

End of Chapter 20. Cross-check the special-category State list, exact thresholds, Rule 44/40 reversal percentages, and any latest procedural amendments (Aadhaar authentication, biometric verification, revocation extension windows) against the current ICAI Study Material / RTP / MTP for your examination attempt.

Q&A — Registration

CGST Act, 2017 — **Sec 2(6)** (aggregate turnover), **Sec 22** (liability threshold), **Sec 23** (not liable), **Sec 24** (compulsory), **Sec 25** (procedure/distinct persons), **Sec 27** (CTP/NRTP), **Sec 28** (amendment), **Sec 29** (cancellation), **Sec 30** (revocation); CGST Rules 8–23; IGST Act inter-State supply is what pulls Sec 24 in. **Every monetary threshold (₹40L / ₹20L / ₹10L), the special-category State list, and procedural timelines (30 days, 7 working days, 90+90, revocation extension) are amendment-sensitive — confirm current figures from the ICAI Study Material / RTP for your attempt.** The *structure* (relief → compulsion → threshold → voluntary) is stable and is what the exam tests.

SECTION A — Concept-Check (Short Q&A)

A1. What two rights does registration switch on, and why is it the "turnstile" of GST? Under **Sec 25**, only a *registered person* may (a) **legally collect GST** from customers and (b) **claim Input Tax Credit (ITC)**. Registration is the legal identity (GSTIN) through which the government can match invoices, demand tax, and audit — without it the self-policing credit chain (my purchase = your sale) cannot function.

A2. Decode the GSTIN. Why PAN-based and State-wise? 15 characters: **State code (2) + PAN (10) + entity code (1) + "Z" + checksum (1)**. PAN gives national traceability (defeats identity-splitting; links direct and indirect tax); the State code enforces fiscal federalism (each State's SGST is trackable). Hence a person in 3 States needs 3 GSTINs.

A3. Define aggregate turnover [Sec 2(6)]. What is in and what is out? = **Taxable + Exempt (incl. nil-rated/non-taxable) + Exports/zero-rated + Inter-State supplies**, of the **same PAN, all-India basis**. **Exclude**: CGST/SGST/IGST/UTGST/Cess, and **inward supplies taxed under reverse charge**. Trap: exempt supplies are **included** for the threshold test though they carry no ITC.

A4. State the thresholds under Sec 22 and the design reason for the split. Goods-only-and-clean (normal State) **₹40L**; Services or mixed (normal State) **₹20L**; special-category States **₹10L** (services/mixed) / **₹20L** (goods). Goods leave a physical trail (e-way bills, stock) so a higher floor is safe; services are invisible so the net is cast wider; small States get a lower floor to protect their SGST base. *(Numbers amendment-sensitive.)*

A5. Who is NOT liable to register [Sec 23], and why does it override Sec 22? Persons supplying **exclusively exempt/nil-rated/non-taxable** supplies; an **agriculturist** (produce out of cultivation); persons making supplies **wholly under reverse charge**. If your entire output carries no output tax, crossing ₹40L is irrelevant — there is nothing to collect.

A6. What is the logic of Sec 24 (compulsory registration)? It opens "**notwithstanding** Sec 22(1)" — **threshold irrelevant, register from Rupee One**. The unifying reason: these persons **touch someone else's tax or cross a border** — inter-State (goods), casual taxable person, RCM recipient, Sec 9(5) ECO, NRTP, TDS deductor (Sec 51), TCS/ECO (Sec 52), sellers via ECO, ISD, agents, OIDAR from abroad. The risk is *structural, not scale-based*.

A7. The two inter-State carve-outs — what escapes Sec 24? Small inter-State supply of **services** up to ₹20L is **exempted** from compulsory registration (notification); so is small supply of **services through an**

ECO. But inter-State supply of **goods** gets **no** such relief. Force-2 logic: tiny service providers were disproportionately burdened.

A8. CTP vs NRTP [Sec 27] — common features? Both must **deposit estimated tax in advance**, apply **at least 5 days prior** to commencing business, and get a registration valid for **90 days (extendable by 90 more)**. The advance deposit is the government's security against a supplier who supplies and vanishes.

A9. Effective date of registration — the 30-day pivot [Sec 25(1), Rule 10]. Apply **within 30 days** of becoming liable → effective from the **date of liability** (ITC on opening stock allowed, no gap). Apply **late** → effective from the **date of grant** (gap-period output tax still owed with interest, but gap-period ITC is lost).

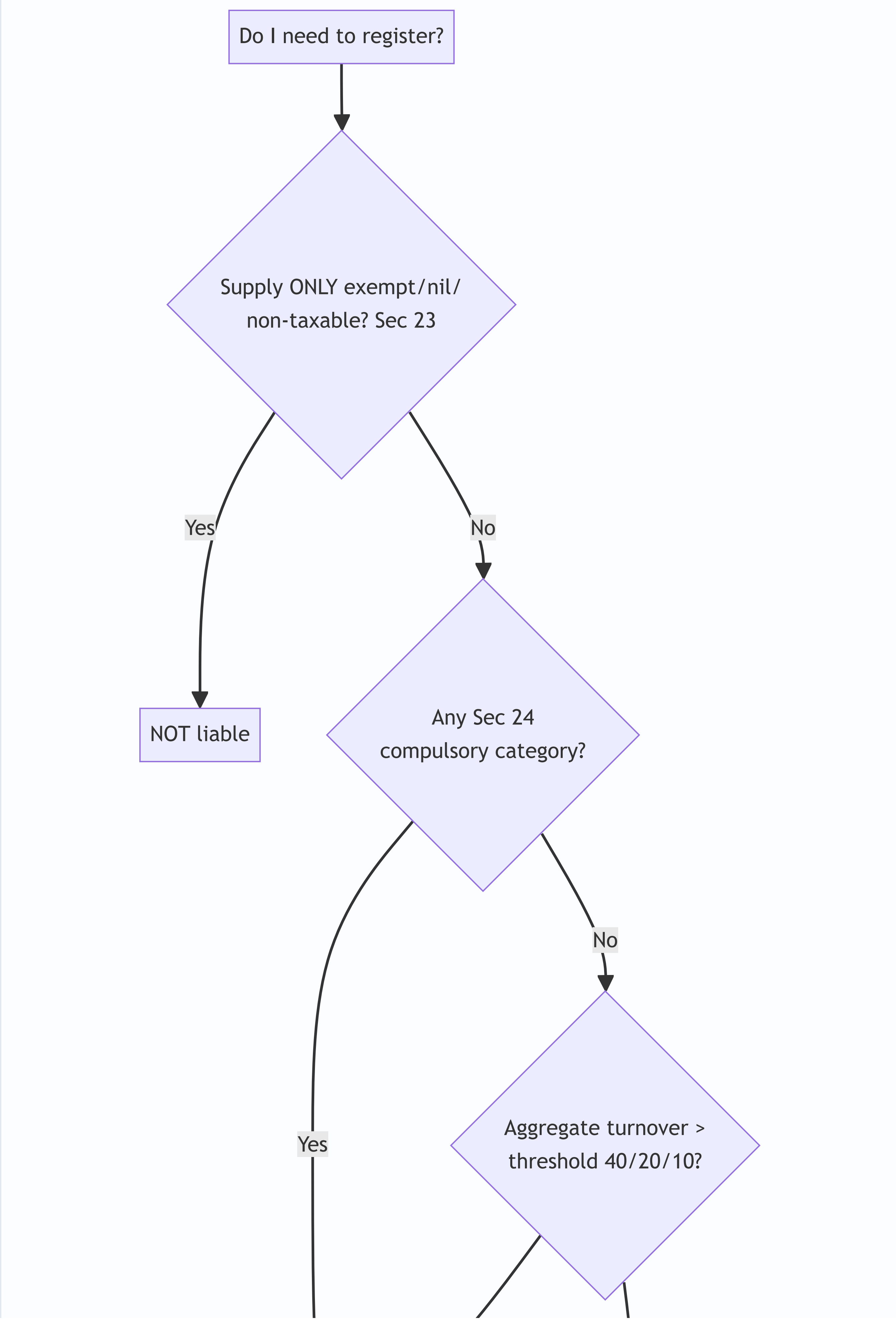
A10. What is the "deemed approval" rule and why does it exist? If the officer takes no action within the prescribed period (broadly 7 working days where Aadhaar-authenticated, else the extended window), registration is **deemed granted**. Rationale: the State should not be able to strangle genuine entry by inaction (frictionless-entry design force).

A11. Distinct persons [Sec 25(4)/(5)] — why do branch transfers get taxed? Establishments of the **same PAN in different States** (or separately-registered verticals in one State) are **distinct persons**; a stock transfer between them is a **supply** attracting GST. Reason: each State's SGST base must be independently preserved.

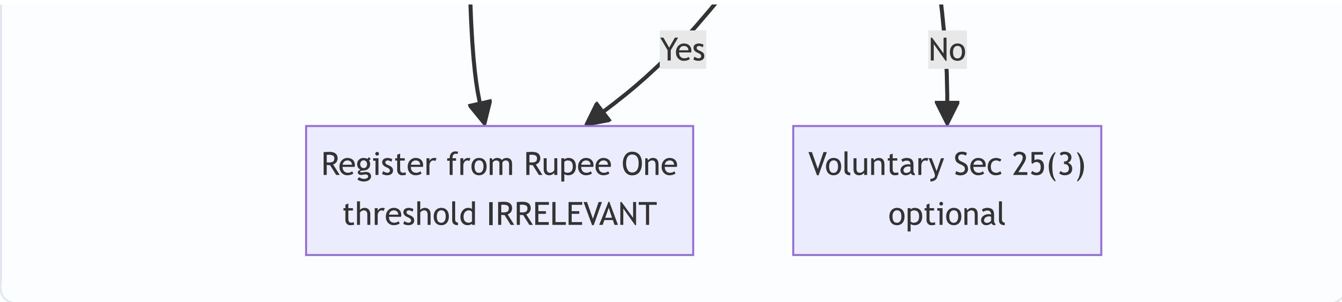
A12. Sec 29(5) — the sting on cancellation. On cancellation the person must pay, by debit to the electronic credit/cash ledger, an amount = **ITC on inputs in stock, inputs in semi-/finished goods, and on capital goods (reduced as prescribed) OR the output tax on such goods, whichever is HIGHER**. This disgorges credit so nobody exits with tax-free stock. **Final Return GSTR-10 within 3 months.**

A13. Revocation [Sec 30] — scope and precondition. Available **only against officer-initiated (suo motu) cancellation**, not your own voluntary cancellation. Precondition: **file all pending returns and pay all dues first**. Apply in **REG-21 within 30 days** of the order (extendable — verify window).

Decision order (memorise the sequence)



Do I need to register?
Supply ONLY exempt/nil/non-taxable? Sec 23
Yes
No
NOT liable
Any Sec 24 compulsory category?
No
Yes
Aggregate turnover > threshold 40/20/10?



Order matters in exam problems: Relief (23) → Compulsion (24) → Threshold (22) → Voluntary (25(3)).

SECTION B — Graded Computational Problems

B1 (Easy) — Aggregate turnover, the exempt trap [Sec 2(6), 22]

Mehta Traders (Maharashtra, normal State, goods only, no inter-State, no Sec-24 item): taxable goods ₹28,00,000; exempt goods ₹9,00,000; nil-rated goods ₹4,00,000; GST paid under RCM on inward legal services ₹1,50,000. Is registration required?

Component	Sec	In/Out	₹
Taxable goods	2(6)	In	28,00,000
Exempt goods	2(6)	In	9,00,000
Nil-rated goods	2(6)	In	4,00,000
RCM inward (legal)	2(6)	**Out**	—
Aggregate turnover			**41,00,000**

Threshold = **₹40L** (goods-only-and-clean). ₹41,00,000 **> ₹40,00,000** → **liable to register. Check:** drop the exempt+nil ₹13L wrongly and you get ₹28L ("not liable") — the exempt supplies are exactly what tip Mehta over. RCM inward correctly excluded. ✓

B2 (Easy) — Services drag the threshold to ₹20L [Sec 22]

Rao & Co (Telangana): consultancy (services) ₹18,00,000 + trading of goods ₹15,00,000, all intra-State, no Sec-24 category. Liable?

- Any **service element** in a normal State kills the ₹40L upgrade → threshold = **₹20L**.
- Aggregate turnover = 18,00,000 + 15,00,000 = **₹33,00,000 > ₹20,00,000** → **liable. Check:** had it been goods-only ₹33L it would still be liable (>₹40L? no — ₹33L<₹40L → NOT liable). The service element is what forces registration here. ✓

B3 (Moderate) — Sec 24 overrides a sub-threshold firm [Sec 24]

Rao Consultancy (Telangana): consultancy ₹19,00,000 (intra-State) + a single **inter-State supply of goods** ₹50,000 to Karnataka. Liable?

- **Step 1 (threshold view):** services → ₹20L; ₹19,00,000 < ₹20,00,000 → *appears* below threshold.
- **Step 2 (Sec 24 checked first):** inter-State supply of **goods** = compulsory category, **threshold irrelevant**.

- The services carve-out (inter-State **services** ≤₹20L) does **not** rescue a *goods* supply.
- **Conclusion: liable compulsorily under Sec 24. Check:** had the ₹50,000 been inter-State *services*, the carve-out keeps Rao out (turnover < ₹20L). One ₹50,000 goods supply = full registration. ✓

B4 (Moderate) — Effective date and lost ITC [Sec 25(1), Rule 10]

Nair Foods (Kerala, goods-only) crossed ₹40L on **10 August**; applied **25 September**; granted **1 October**. In the gap it made taxable supplies of ₹6,00,000 (GST @18% = ₹1,08,000) and bought inputs bearing ₹90,000 GST.

- 30-day window from 10 Aug ends **9 September**; applied 25 Sept → **late by 16 days**.
- Late ⇒ registration effective from **date of grant = 1 October**.
- Gap output tax **still owed**: ₹1,08,000 + interest/penalty (liability arose 10 Aug, independent of grant).
- Gap-period **ITC of ₹90,000 is LOST** (timely applicant would have got registration from 10 Aug and claimed ITC on stock; late application forfeits this). **Check:** timely path → net cost = 1,08,000 − 90,000 = ₹18,000; late path → ₹1,08,000 out, ₹90,000 credit gone. The ₹90,000 asymmetry is the deliberate penalty for delay. ✓

B5 (Moderate) — Casual taxable person advance tax [Sec 24, 27]

Bengal Handlooms (registered in WB) takes a 20-day Delhi trade-fair stall; expected supplies ₹8,00,000 @ 18% GST (intra-Delhi). What must it do?

- Occasional supply, no fixed place in Delhi = **CTP** → **Sec 24 compulsory**, threshold irrelevant.
- Apply **≥5 days before** commencing; deposit **advance tax = estimated liability** = 18% × 8,00,000 = **₹1,44,000** (CGST ₹72,000 + SGST ₹72,000, credited to electronic cash ledger).
- Registration valid **90 days**, extendable by **90 more**. **Check:** advance deposit ≈ estimated output tax; it is the security against pack-up-and-leave. ✓

B6 (Exam-hard) — Sec 29(5) reversal on cancellation

Surya Ltd's registration is cancelled. On the effective date it holds: inputs in stock with ITC availed ₹60,000; inputs contained in finished goods with ITC ₹25,000; capital goods bought 30 months earlier, ITC originally availed ₹1,80,000 (useful life taken as 60 months; ₹3,000 p.m.). Output tax if the stock/goods were supplied today = ₹70,000. Compute the reversal.

Item	Basis	₹
ITC on inputs in stock	full	60,000
ITC on inputs in finished goods	full	25,000
Capital goods: ITC reduced for used life	1,80,000 × (remaining 30/60)	90,000
(A) ITC-based amount		**1,75,000**
(B) Output tax on such goods	given	**70,000**
Payable = higher of (A),(B)	Sec 29(5)	**1,75,000**

- Capital-goods ITC is reduced by 5 percentage points per quarter (~pro-rata for months used): used 30 of 60 months → reverse the **remaining** 30 months = ₹90,000.

- File **GSTR-10 within 3 months**. **Check:** ₹1,75,000 (ITC-based) > ₹70,000 (output-tax) → higher figure ₹1,75,000 disgorged; nobody exits with credited-but-untaxed stock. ✓ *(Prescribed reduction method is rule-sensitive — verify.)*

B7 (Exam-hard) — Sec 23 vs Sec 24 interplay

Kisan Agro: sale of own farm produce ₹50,00,000 (agriculturist); plus it is **liable to pay tax under RCM** on ₹2,00,000 of inward goods-transport (GTA) services. Is it liable to register?

- Agriculturist's produce → **Sec 23 not liable** for that activity, and turnover of exempt-type produce would not by itself force registration.
- **BUT** being **liable under reverse charge** is an independent **Sec 24 compulsory** trigger — threshold irrelevant.
- **Conclusion: must register** (to deposit the RCM tax and be auditable), even though its outward produce alone would keep it out. **Check:** Sec 23 relieves the *produce*; Sec 24 compels because Kisan now *pays someone else's-type tax as recipient*. Compulsion beats relief here. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "Is registration required + from what date" (typical 6-mark)

Q. Mr. Bose supplies goods only, in Assam (special-category, ₹20L for goods) and West Bengal (normal). All-India same-PAN turnover: Assam taxable ₹12,00,000; WB taxable ₹15,00,000; WB exempt ₹6,00,000. He crossed the limit on 5 July, applied 20 July, granted 28 July. (a) Liable? (b) In which States? (c) Effective date?

Model answer. - **Aggregate turnover [Sec 2(6)]** is computed **all-India, same PAN** = 12,00,000 + 15,00,000 + 6,00,000 (exempt included) = **₹33,00,000**. - The **relevant threshold** for a *goods-only* supplier is ₹40L (normal) / ₹20L (special-category goods). Aggregate ₹33L exceeds the **₹20L special-category limit → liable**. - Registration under **Sec 22** is **State-wise**: once aggregate turnover crosses the limit, he must register **in every State from which he makes taxable supplies** — i.e. **both Assam and West Bengal** (each needs its own GSTIN). - Applied on **20 July**, within **30 days** of 5 July → effective from the **date of liability, 5 July** [Rule 10]; ITC on inputs held in stock as on 4 July is available under Sec 18(1)(a). **Check:** threshold tested on all-India aggregate but registration taken State-wise; timely application preserves the liability-date effective date. ✓

C2. "Explain the procedure and timelines" (theory, 5-mark)

Q. Outline the registration procedure under Sec 25 read with Rules 8–11, including forms and the deemed-approval concept.

Model answer. 1. **REG-01 Part A** — PAN (portal-validated), mobile & email (**OTP-verified**) → **TRN** issued. 2. **REG-01 Part B** — business details, place(s) of business, bank, authorised signatory, documents; verify via **DSC / e-sign / EVC**. 3. **REG-02** acknowledgement issued. 4. **Aadhaar authentication (Rule 8)** — success = fast-track; failure/risk-flag = **physical verification of premises**. 5. Officer scrutiny: if in order & Aadhaar-authenticated, **approve within 7 working days**; if physical verification, window extends (~30 days); if deficient, **notice REG-03** → applicant replies **REG-04 within 7 working days** → officer may reject **REG-05**. 6. **Deemed approval** if the officer does not act within the prescribed period — protects genuine entrants from bureaucratic inaction. 7. **Certificate REG-06** carrying the **GSTIN** is issued. Apply **within 30 days** of becoming liable (CTP/NRTP: **5 days prior**). *(Timelines amendment-sensitive.)*

C3. Cancellation and revocation (application, 7-mark)

Q. M/s Ravi Enterprises did not file returns for a continuous prescribed period; the proper officer cancelled its registration suo motu on 1 April. It holds stock on which ITC of ₹40,000 was availed and capital goods (remaining-life ITC ₹60,000); output tax on such goods = ₹55,000. It now wants back in. Advise on (a) the reversal on cancellation, (b) whether and how it can be revived.

Model answer. - **(a) Sec 29(5) reversal:** pay higher of — ITC-based ₹40,000 + ₹60,000 = **₹1,00,000**, or output tax **₹55,000 → ₹1,00,000** payable by debit to the ledgers. File **Final Return GSTR-10 within 3 months** of the cancellation order. - **(b) Revocation [Sec 30, Rule 23]:** because cancellation was **officer-initiated (suo motu)**, revocation is available (it would **not** be, had cancellation been voluntary). **Precondition:** furnish **all pending returns** and **pay all dues** (tax, interest, late fee, penalty) *first*. Then apply in **REG-21 within 30 days** of the order (extendable by the proper officer/Commissioner — verify window). Officer restores via **REG-22**; may reject after notice (REG-23) and reply (REG-24). **Check:** revocation cures a defaulter who repairs the default; it is not a route to escape the Sec 29(5) clawback. ✓

SECTION D — MCQs / Case Scenarios

D1. Aggregate turnover under Sec 2(6) **includes** — (a) CGST/SGST; (b) exempt supplies; (c) RCM inward supplies; (d) none. → **(b).** Exempt supplies count for the threshold; taxes and RCM inward are excluded.

D2. The ₹40 lakh threshold applies to — (a) any supplier; (b) service providers; (c) exclusive goods suppliers who are clean of disqualifiers; (d) special-category States. → **(c).** Goods-only, no inter-State, no Sec-24, no specified goods, not voluntarily registered. *(Amount amendment-sensitive.)*

D3. A firm with ₹8L turnover makes one inter-State supply of **goods**. It — (a) need not register; (b) must register (Sec 24); (c) registers only if >₹20L; (d) is exempt as agriculturist. → **(b).** Inter-State supply of goods is compulsory registration, threshold irrelevant.

D4. Inter-State supply of **services** up to ₹20L — (a) forces registration; (b) is exempt from **compulsory** registration by notification; (c) attracts ₹40L limit; (d) is prohibited. → **(b).** The services-only carve-out from Sec 24; goods get no such relief.

D5. A person supplying **wholly exempt** goods with ₹60L turnover — (a) must register (>₹40L); (b) not liable (Sec 23); (c) CTP; (d) must take voluntary registration. → **(b).** Sec 23 relieves wholly-exempt suppliers; crossing ₹40L is irrelevant with no output tax.

D6. A CTP must apply for registration — (a) within 30 days; (b) at least 5 days before commencing business; (c) within 90 days; (d) never. → **(b).** Sec 27; also deposits advance tax; validity 90 (+90) days.

D7. Applying for registration **after** 30 days of becoming liable makes it effective from — (a) date of liability; (b) date of grant; (c) 1 April; (d) date of first supply. → **(b).** Rule 10 — late application forfeits the liability-date effect and the gap-period ITC.

D8. On cancellation, the amount payable under Sec 29(5) is — (a) ITC on stock only; (b) output tax only; (c) higher of ITC on stock+capital goods OR output tax on such goods; (d) nil. → **(c).** Whichever is higher; then file GSTR-10 within 3 months.

D9. Revocation of cancellation (Sec 30) is available — (a) for any cancellation; (b) only for voluntary cancellation; (c) only for officer-initiated cancellation after curing default; (d) automatically. → **(c).** REG-21 within 30 days, after filing all returns and paying dues.

D10. Change of **principal place of business** is — (a) a non-core auto-amendment; (b) a core-field amendment needing officer approval (REG-14/REG-15); (c) requires fresh registration; (d) not intimated. → **(b).** Core field — intimate REG-14 within 15 days; officer approves REG-15.

D11. Case scenario. X (Delhi) has consultancy turnover ₹17L and is **liable under RCM** on inward legal services. X — (a) need not register (below ₹20L); (b) must register (Sec 24 — RCM recipient); (c) is not liable (Sec 23); (d) registers only above ₹40L. → **(b).** RCM liability is a Sec 24 compulsory trigger; the ₹20L threshold is irrelevant.

D12. Case scenario. Same PAN, two branches — Gujarat and Rajasthan. A stock transfer between them is — (a) not a supply (same company); (b) a supply between distinct persons, taxable (Sec 25(4)); (c) exempt; (d) an amendment. → **(b).** Different-State establishments of one PAN are distinct persons; the transfer is a taxable supply.

D13. A proprietorship converts to a company (PAN changes). It should — (a) file REG-14 amendment; (b) take **fresh registration**; (c) revoke and reapply; (d) do nothing. → **(b).** GSTIN is PAN-based; a new PAN is a new legal person → fresh registration, not amendment.

One-line traps to carry into the hall

- **Exempt/nil supplies COUNT** in aggregate turnover for the threshold (Sec 2(6)) — the #1 error.
- **RCM inward is OUT** of turnover, but being **RCM-liable is a Sec 24 compulsory trigger** — two different points.
- **₹40L = goods-only-and-clean**; any service element (normal State) → **₹20L**; special-category → **₹10L**.
- **Sec 24 beats the threshold** — inter-State *goods*, CTP, RCM, ECO, TDS/TCS, NRTP, ISD, agents register from Rupee One.
- **Inter-State *services* ≤₹20L escape** Sec 24; inter-State *goods* do not.
- **Timely (≤30 days) → effective from liability date & ITC on stock**; late → grant date, gap ITC lost, gap tax still due.
- **Sec 29(5): higher of ITC-on-stock-and-capital-goods OR output tax**; then **GSTR-10 in 3 months**.
- **Revocation only against officer cancellation, only after curing default** (REG-21, 30 days).
- **Core amendment (name/place/partners) needs approval; PAN-changing constitution change = fresh registration.**
- Thresholds, special-category list and timelines are **amendment-sensitive** — never quote from memory without the caveat.

Chapter 21 — Tax Invoice, Credit & Debit Notes

Rates / thresholds / amendments flag: This chapter teaches the *logic and mechanism* of documentation under Sections 31–34 of the CGST Act, 2017 read with Rules 46–55A of the CGST Rules, 2017. The framework is permanent. But the **e-invoicing turnover threshold (currently ₹5 crore aggregate turnover), the QR-code rules, the HSN-digit requirements, and the exact time limits** are amended frequently by notification. **Verify current thresholds and any latest amendments in ICAI material for your attempt.** The *why* below does not change.

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1. The Problem — Why a tax law obsesses over a piece of paper

Step back and ask a strange question: why does GST — a law about *money* — spend an entire chapter, four sections, and a dozen rules on *documents*? Excise and VAT never made this much fuss. The answer is the single most important structural fact about GST, and if you grasp it, this chapter writes itself.

GST is a self-policing, credit-based tax that runs on a chain of documents, not on a chain of trust.

Recall the promise of GST from the very first GST chapter: tax only on *value added*, achieved through **seamless input tax credit (ITC)**. Your output tax minus the tax you already paid on inputs equals what you deposit. But this creates an immediate, dangerous asymmetry:

Problem 1 — The recipient's credit is the supplier's liability, and they are two different people. When A sells to B and charges ₹18,000 GST, B wants to claim ₹18,000 as ITC. B's *credit* is only legitimate if A *actually charged and (eventually) paid* that ₹18,000 to the government. If B could claim credit on nothing but B's own word, the treasury would haemorrhage — every buyer would invent purchases. So the law needs a **single, standardised, tamper-resistant token** that simultaneously (a) records A's liability and (b) authorises B's credit. That token is the **tax invoice**. It is the *pivot* of the entire GST machine: one document, two tax consequences, opposite directions.

Problem 2 — The government cannot watch every transaction, so it must audit backwards. With crores of transactions, no officer can observe supply happening. The only way to reconstruct "did tax actually flow?" is a **paper (now digital) trail** that can be matched: A's outward invoice against B's inward claim. If the documents don't have a fixed format, mandatory contents, and a unique serial number, matching is impossible and fraud is invisible. The invoice is therefore the **audit trail's fundamental unit**.

Problem 3 — Not every business event is a "sale with tax." A dealer in exempt goods charges no tax. A registered person receiving a small cash advance hasn't supplied anything yet. A composition dealer isn't allowed to charge GST at all. If every such event were forced onto a "tax invoice," the invoice would falsely assert a tax that isn't due — and a buyer might wrongly claim credit off it. So the law needs a **family of documents**, each shaped to its situation: bill of supply, receipt voucher, refund voucher, payment voucher, delivery challan.

Problem 4 — The original invoice is often *wrong after the fact*. Goods come back. A discount is agreed later. The rate was mis-charged. The quantity was over-billed. Once B has already taken credit on the original invoice, you cannot simply tear it up — B's books and the government's records already reference it. You need a *linked correcting document* that adjusts the numbers **without erasing the audit trail**, and that forces a symmetrical reversal: if the supplier reduces output tax, the recipient must reduce ITC. That is the entire reason **credit notes and debit notes** exist under GST, and it is why a GST credit note is a very different animal from a commercial "credit note."

Problem 5 — Paper invoices can be faked, back-dated, and double-used. The rise of *fake-invoice rackets* (invoices with no underlying supply, used to pass on bogus ITC) is the biggest fraud in GST history. The structural fix is **e-invoicing** — reporting the invoice to a government portal *before* it is used, getting it authenticated with a unique number, so a fake can't enter the credit chain undetected.

Problem 6 — Someone must always accompany goods on the road. Even a perfectly legitimate movement of goods can be a fraud vector: goods can be moved, sold off the books, and the same invoice re-used for a second consignment. So the law insists that *whenever goods physically move*, a document travels with them — an invoice, a bill of supply, or a delivery challan — and above a value threshold, an **e-way bill** ties that document to the specific vehicle and route. Documentation is not just about credit; it is about making physical movement *observable*.

So the whole chapter is one idea in **six** costumes: **the credit chain (and the goods chain) is only as trustworthy as the documents that feed it.** Every rule below is protecting that chain.

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2. The Core Idea

> **The tax invoice is the load-bearing document of GST: it is simultaneously the *evidence of the supplier's output-tax liability* and the *sole legitimate basis for the recipient's input tax credit*. Everything else in this chapter is either (a) a *substitute* document for situations where a tax invoice would lie (bill of supply, vouchers, delivery challan), or (b) a *correcting* document that adjusts an already-issued invoice while preserving the audit trail (credit/debit notes), or (c) an *authentication* layer that stops fake invoices from entering the chain (e-invoicing).**

Three load-bearing ideas organise the chapter:

1. **One document, two mirror-image consequences.** The tax invoice is the hinge. On the supplier's side it fixes *when* and *how much* output tax is due; on the recipient's side it is condition-number-one for ITC under Section 16. This is why its *contents* and *timing* are legislated in detail — a vague invoice breaks both sides.
2. **Match the document to the truth of the event.** If there's a taxable supply → tax invoice. If the supply is exempt or the supplier is a composition dealer → **bill of supply** (no tax shown). If money is received but nothing is yet supplied → **receipt voucher**. If that advance is later refunded → **refund voucher**. If you pay tax under reverse charge to an unregistered supplier → **self-invoice + payment voucher**. If goods move without a supply → **delivery challan**. The document *is a factual claim* about the event; issuing the wrong one is issuing a false claim.
3. **Never erase — always link and reverse.** Post-supply corrections flow through credit/debit notes that carry the *original invoice reference*, so the trail stays intact and the tax adjustment is symmetric on both sides.

Everything else is detail hanging off these three hooks.

A fourth, quieter idea worth naming: *the document is not the tax — but it fixes the tax.* GST liability arises from the **time of supply** (Chapter 17), which is a legal event, not a piece of paper. Yet because the *earliest* of the time-of-supply triggers is very often "date of invoice," the document you issue (and *when*) usually *becomes* the tax point. This is why a documentation chapter secretly controls *timing* — and why examiners fuse invoice-timing questions with time-of-supply questions. Keep this seam in mind throughout.

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3. Why It's Built This Way — the design logic behind each lever

Before a single section, internalise the design choices. Every rule below is one of these in disguise:

Design choice	The problem it solves	How the Act implements it
A mandatory, standard-format invoice	Credit needs a tamper-resistant, matchable token (Problems 1 & 2)	Sec 31 + Rule 46 (16 prescribed particulars, consecutive serial)
Legislated *time limits* to issue it	Late/no invoice hides supply and delays the tax point	Sec 31(1)/(2) — different rules for goods vs services
A no-tax document for non-taxable supplies	A tax invoice would falsely assert tax and enable wrong ITC (Problem 3)	Bill of supply, Sec 31(3)(c) + Rule 49
Vouchers for advances and refunds	Money moved but supply hasn't (or was undone)	Receipt/refund voucher, Sec 31(3)(d)/(e)
Self-invoice under RCM	Unregistered supplier issues nothing; recipient owes the tax	Sec 31(3)(f) + payment voucher 31(3)(g)
Delivery challan for movement without supply	Goods move (job-work, transfer) but no supply/invoice yet	Rule 55
Credit note reduces output tax	Over-billing / returns / discounts must be undone without deleting the invoice (Problem 4)	Sec 34(1)/(2) — supplier-issued, with reversal condition
Debit note increases output tax	Under-billing must be topped up, linked to the original	Sec 34(3)/(4) — supplier-issued
E-invoice pre-authentication (IRN + QR)	Fake invoices poison the credit chain (Problem 5)	Rule 48(4) + notified threshold
Consecutive serial + unique-per-FY numbering	Duplicate/re-used invoices must be detectable	Rule 46(b) — ≤16 chars, alphanumerics/"-"/"/" only

Two elegant points to carry through the chapter:

- **The invoice is issued by the *supplier*, always — including credit and debit notes.** A recipient never issues a GST credit/debit note that adjusts tax. This surprises accountants used to commercial practice, and examiners love it (see Traps). The **only** exception where the *recipient* issues an invoice is the **self-invoice under RCM from an unregistered supplier** (Sec 31(3)(f)) — and even there the recipient is standing in the supplier's shoes because the real supplier legally *cannot* issue one.
- **GST separates the *tax point* from the *document*, but ties them tightly.** The *time of supply* (Chapter 17) often *is* the invoice date — so getting the invoice timing wrong shifts the whole tax liability into the wrong month. Documentation is not paperwork bureaucracy; it *is* the timing mechanism.

A first-principles test you can apply to any new situation the examiner invents: ask three questions in order — (1) *Is there a supply at all, or just money/movement?* (decides invoice vs voucher vs challan); (2) *Is that supply taxable in this supplier's hands?* (decides tax invoice vs bill of supply); (3) *Who is legally obliged to charge — the supplier or, under RCM, the recipient?* (decides forward invoice vs self-invoice). Nearly every "which document?" question collapses once you run this three-question filter.

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4. Full Technical Content — Sections 31–34 with the "why"

4.1 The tax invoice — Section 31 + Rule 46

Who and when — the charging link. Section 31 obliges a **registered person** making a **taxable supply** to issue a tax invoice. The *timing* differs for goods and services because their economics differ — goods have a physical movement you can pin a date to; services are continuous and intangible.

Time limit — GOODS — Sec 31(1): invoice must be issued **before or at the time of** - **removal** of goods, where supply involves *movement*; or - **delivery / making available** to the recipient, where there is *no movement*.

Why: goods have a clean physical trigger (removal). Pinning the invoice to removal means the invoice date and the movement date coincide, so the e-way bill, the transporter's documents, and the tax point all line up and can be cross-matched. "Removal" is defined (Sec 2(96)) as dispatch by the supplier *or* collection by the recipient — so if the buyer's truck collects ex-works, the invoice must be ready *then*, not when goods reach the buyer.

Time limit — SERVICES — Sec 31(2) + Rule 47: invoice must be issued **within 30 days** of the *supply of service* (**45 days** for banking companies, insurers, and NBFCs).

Why: services have no "removal" moment. The law gives a reasonable window after the service is rendered, but caps it so the tax point can't be pushed indefinitely. The longer 45-day window for financial-sector entities reflects their high transaction volumes and billing cycles.

Continuous supply of goods (Sec 31(4)): invoice on or before each *statement of account / payment*. **Continuous supply of services (Sec 31(5)):** invoice by the *due date of payment* if ascertainable from the contract; else *before/at receipt of payment*; if payment is linked to completion of an event, *on or before that event*.

Why: a 12-month AMC or an electricity connection has no single "supply" moment — the trigger is the contractual billing/payment milestone, so the invoice tracks the milestone. Note the precise definition of **continuous supply** (Sec 2(32)/(33)): supply provided *continuously or on recurrent basis under a contract* for a period **exceeding 3 months** with **periodic payment obligations**. A one-off 2-month contract is *not* continuous supply — examiners test the 3-month gate.

Cessation of a continuous supply of service before completion (Sec 31(6)): where the supply *stops* under a contract *before* it is completed, the invoice must be issued **at the time the supply ceases**, and only to the extent of the supply made before cessation. *Why:* the contract's milestone schedule has been aborted; the tax point must crystallise at the break-point so the value already supplied is captured and not lost.

Goods sent on approval / sale-or-return (Sec 31(7)): invoice **before or at the time of supply**, or **within 6 months** of removal, whichever is earlier. *Why:* the "supply" only crystallises when the recipient approves; the 6-month outer cap stops indefinite deferral. If the recipient neither approves nor returns within 6 months, the law *deems* a supply on the day the 6 months expire, and the invoice becomes due then even without approval.

Contents — Rule 46 (the 16 particulars). A tax invoice must contain (learn these as *what a matcher and an auditor need*, not as a list):

#	Particular	Why it's mandatory
1	Name, address, **GSTIN of supplier**	Identifies who owes the output tax
2	**Consecutive serial number** (≤16 chars, unique for a FY)	Makes invoices countable and un-duplicable — the anti-fraud backbone
3	Date of issue	Fixes the tax point / time limit
4	Recipient name, address, **GSTIN/UIN** (if registered)	Links the credit to a real registered claimant
5	For unregistered recipient & value **> ₹50,000** — name, address, delivery address, State & code	Tracks high-value B2C for inter-State place-of-supply
6	**HSN code** of goods / SAC of services	Enables rate verification and analytics
7	Description of goods/services	Proves a real supply exists
8	Quantity (with unit)	Ties to physical movement
9	Total value of supply	—
10	**Taxable value** (after discounts under Sec 15)	The base the recipient claims credit against
11	**Rate of tax** (CGST/SGST/IGST/cess separately)	—
12	**Amount of tax** charged (each head separately)	The exact ITC the recipient may claim
13	Place of supply + State (for inter-State)	Decides CGST+SGST vs IGST
14	Delivery address if different from place of supply	Place-of-supply integrity
15	Whether tax is on **reverse charge** basis	Warns recipient *they* must pay, and must NOT claim on this invoice as forward charge
16	**Signature / digital signature** of supplier	Authenticates the document

Memory hook — "WHO, WHAT, HOW-MUCH, WHERE, SIGNED": *Who* (supplier + recipient GSTIN), *What* (HSN + description + quantity), *How-much* (taxable value + rate + tax), *Where* (place of supply), *Signed*. Every particular falls under one of these five — because a matcher needs exactly these to reconcile A's outward with B's inward.

Two more particulars often forgotten (post-2020 amendments): where e-invoicing applies, the invoice must additionally carry the **QR code embedding the IRN**; and an invoice must state whether tax is payable on reverse charge. For exports/SEZ supplies, the invoice must carry the endorsement **"SUPPLY MEANT FOR EXPORT/SEZ ON PAYMENT OF IGST"** or **"...UNDER BOND/LUT WITHOUT PAYMENT OF IGST"** as applicable (Rule 46). *Why:* the endorsement tells the department which refund route (IGST-paid vs LUT) the exporter has chosen, so the refund can be matched.

Manner of issue — Rule 48: - **Goods → triplicate:** Original for **Recipient**, Duplicate for **Transporter**, Triplicate for **Supplier**. - **Services → duplicate:** Original for **Recipient**, Duplicate for **Supplier**. *Why the extra* *copy for goods?* The transporter must carry proof during physical movement (Problem 2 again — the trail must be visible on the road).

HSN digit requirement (Rule 46 read with notification): turnover-linked — broadly, aggregate turnover **up to ₹5 crore → 4 digits**, **above ₹5 crore → 6 digits** for B2B (B2C relaxations exist). *Verify current slabs for your attempt.*

Relaxations — small value (Rule 46 proviso): for supplies **< ₹200** to an unregistered recipient who doesn't need an invoice, the supplier may issue a **consolidated tax invoice** at day-end. *Why:* a tea-stall can't invoice every ₹10 cup; there's no ITC at stake so the audit-trail value is negligible. Note the two cumulative conditions — recipient is **unregistered** *and* **does not require** the invoice; if either fails, a full invoice is due.

Revised invoice (Sec 31(3)(a) + Rule 53): between the *effective date of registration* and the *date the certificate is granted*, a newly-registered person may issue **revised invoices** for supplies already made. *Why:* registration takes effect from an earlier date than the certificate arrives; the person supplied *before* they had a GSTIN to print, so the law lets them regularise those supplies (and pass on ITC). A **consolidated revised invoice** may be issued for all such supplies to *unregistered* recipients (State-wise), but a *separate* revised invoice is needed for each *registered* recipient (they each need their own document for ITC). The revised invoice must carry the words **"Revised Invoice"** and cross-reference the original.

Documents that need NOT be issued in some cases: a registered person **need not issue a tax invoice if the value is < ₹200** (subject to the two conditions above); and specific classes (e.g., a passenger transport supplier, or a supplier of admission to a multiplex) may issue a **ticket** in lieu of an invoice, and an insurer / bank / financial institution may issue a **consolidated statement** and need not serially number invoices. *Why:* these sectors deal in mass, low-ITC, retail transactions where strict invoicing adds cost without protecting the chain.

4.2 Bill of Supply — Sec 31(3)(c) + Rule 49

Issued **instead of** a tax invoice by: - a **composition** taxpayer (they pay a flat rate and cannot collect GST); and - a supplier of **exempt** goods/services (no tax to charge).

It shows NO tax and carries the legend accordingly (a composition dealer must state "*composition taxable person, not eligible to collect tax on supplies*"). *Why:* if it showed tax, the recipient might wrongly claim ITC on tax that was never legitimately charged — corrupting the chain (Problem 3). Same 16-ish particulars minus rate/amount of tax. Small-value relaxation (< ₹200) also applies.

> A registered person supplying **both taxable and exempt** goods may issue a single **"invoice-cum-bill of supply"** to an unregistered recipient (Rule 46A).

Edge case — a supplier who is *partly* under composition: the composition legend and the bill of supply apply to *all* the supplies of a composition dealer, because a composition dealer cannot collect tax on *any* outward supply. Contrast a *normal* dealer who happens to sell some exempt goods — for that dealer only the *exempt* line uses a bill of supply (or the combined invoice-cum-bill of supply of Rule 46A), while taxable lines still need a tax invoice.

4.3 Receipt, Refund, and Payment Vouchers — Sec 31(3)(d)–(g)

These plug the gap between *money* and *supply*.

- **Receipt voucher — Sec 31(3)(d) + Rule 50:** issued when a registered person **receives an advance** for a supply. *Why:* for *services*, receipt of advance is a time-of-supply trigger, so tax may be due before the invoice — the receipt voucher documents that advance and its tax. (For *goods*, advance no longer triggers tax for most suppliers, but the voucher framework remains.) If the rate/place isn't known when the advance is received, treat rate as **18%** and supply as **inter-State** — sensible fallbacks so tax is still collected.
- **Refund voucher — Sec 31(3)(e) + Rule 51:** if the advance was received (receipt voucher issued) but **no supply happens and no invoice is issued**, and the money is refunded, issue a refund voucher. *Why:* it closes the loop and supports the refund of the tax paid on the advance. Crucial sequencing point: a refund voucher is correct **only when no invoice was ever issued**. If the supply *had* been invoiced and is *later* cancelled/returned, the instrument is a **credit note**, not a refund voucher — because a credit note reverses an invoice, while a refund voucher reverses a receipt voucher.
- **Payment voucher — Sec 31(3)(g) + Rule 52:** a recipient liable under **reverse charge (RCM)** issues this **when making payment** to the supplier. *Why:* documents the RCM payment leg. Note this is issued for RCM *whether or not* the supplier is registered — the payment voucher records the recipient's payment to the supplier, distinct from the self-invoice (which is needed only when the supplier is *unregistered*).
- **Self-invoice — Sec 31(3)(f):** where a registered person receives goods/services from an **unregistered supplier under RCM**, the *recipient* issues an invoice **to himself** (the supplier can't, having no GSTIN). *Why:* the recipient owes the tax and needs a document to (a) discharge it and (b) later claim ITC on it — no self-invoice, no proof. A **consolidated self-invoice** may be issued at month-end for RCM supplies received from unregistered persons during the month (a compliance relief), except that for certain notified categories a per-transaction invoice may be required — *verify current position*.

The RCM documentation matrix — the point students blur:

Supplier's status	Self-invoice (31(3)(f))?	Payment voucher (31(3)(g))?
Unregistered, RCM applies	**Yes** — recipient issues	**Yes**
Registered, RCM applies	**No** — supplier's own invoice exists	**Yes**

Why: the self-invoice fills a *documentary vacuum* (no supplier invoice exists), whereas the payment voucher documents the *payment leg* and is always needed under RCM.

4.4 Delivery Challan — Rule 55

Used when goods move but there is **no supply / invoice yet**: - supply quantity unknown at removal (e.g., liquid gas); - goods sent for **job work**; - **inter-branch / stock transfer** not amounting to supply; - other notified cases (e.g., goods for exhibition, semi-knocked-down consignments).

Issued in **triplicate** (Original-consignee, Duplicate-transporter, Triplicate-consignor). *Why it exists:* the e-way-bill/matching system assumes documents accompany moving goods (Problem 2). When there's genuinely no invoice to issue, the challan is the stand-in so movement stays documented and legal.

Two exam-relevant sub-cases under Rule 55: - Transportation in semi-knocked-down (SKD/CKD) form or in batches (Rule 55(5)): where goods move in *lots* (e.g., a large machine dispatched over several trucks), the supplier issues the **complete invoice before the first consignment**, a **delivery challan for each subsequent consignment** (referencing the invoice), and each vehicle carries a copy of the challan plus a *certified copy* of the invoice; the **original invoice** travels with the **last** consignment. *Why:* one supply, many vehicles — the invoice fixes the tax once, the challans keep each truck legal. - **Movement for reasons *other than* supply where value is known:** the challan carries the same content as an invoice minus the tax, and if the movement later becomes a supply, a tax invoice is issued at that point (e.g., approval goods that get approved).

4.5 Credit Notes and Debit Notes — Section 34 (the correction engine)

This is the heavily-examined heart of the chapter. Anchor on the **direction of the error**.

Credit Note — Sec 34(1)/(2) — issued by the SUPPLIER when the original invoice OVER-stated the tax. Triggers: 1. **taxable value or tax charged was more** than actual (over-billing / wrong higher rate); 2. **goods returned** by the recipient; 3. goods/services found **deficient**; 4. **post-supply discount** meeting Sec 15(3)(b) conditions.

Effect: it *reduces* the supplier's **output tax liability** — but **only if the reduction is passed correctly**.

> **The crucial condition (Sec 34(2)):** the supplier may reduce output tax **only if the recipient has correspondingly reduced his ITC.** *Why:* this is the symmetry rule that protects the treasury. If A reduces output tax by ₹1,800 but B keeps the ₹1,800 credit, the government loses ₹1,800. So the reduction is only allowed when the mirror reversal happens on B's side. This is enforced through the return system (the credit note is declared in GSTR-1, flows to B's GSTR-2B, and B must reverse).

A subtler layer — when the tax burden has been passed on to a person who cannot reverse ITC: if the recipient is an *unregistered* consumer, or a person who *cannot* take ITC (e.g., an exempt-supply-only business), the supplier can still reduce output tax on a genuine return/deficiency **provided the incidence of tax has not been passed on to any other person** — i.e., the supplier proves *unjust enrichment* does not arise. This is the same anti-windfall principle that governs refunds: you cannot get money back for a tax you have already recovered from your customer.

Time limit to *declare* a credit note (Sec 34(2)): by the **30th November** following the end of the financial year of the supply, **or** the date of filing the relevant **annual return**, **whichever is earlier**. *Why:* after this date the year is effectively closed for adjustments; allowing later reductions would let suppliers reopen settled tax periods. **Careful reading:** this deadline governs the *reduction of output tax*. A supplier can still *issue* a credit note commercially after the deadline — it simply carries **no GST reduction**. The date "30 November" attaches to the FY of the **original supply**, not the FY of the return/discount event.

Debit Note — Sec 34(3)/(4) — issued by the SUPPLIER when the original invoice UNDER-stated the tax. Triggers: taxable value or tax charged was **less** than actual (under-billing / wrong lower rate / extra supply).

Effect: it *increases* output tax liability. **No time limit** to issue a debit note (you can always pay *more* tax — the treasury never objects to extra collection). *Note for ITC:* the recipient's time limit to claim ITC on a debit note runs from the **debit note's own date/financial year** (per the Sec 16(4) amendment w.e.f. 01.01.2021), not the original invoice's — a favourable, tested point.

A definitional trap worth its own line: under GST a **"debit note" includes a supplementary invoice** (Sec 34 explanation). So if the examiner says "the supplier raised a *supplementary invoice* for the shortfall," that is legally a **debit note** and carries the debit-note consequences — do not treat it as a fresh original invoice.

Two structural rules students miss: - **Both notes are always issued by the supplier.** A "credit note" the buyer sends back is a commercial document with *no GST effect*. (Trap.) - **A GST credit/debit note need not**

be one-per-invoice. Since 2019, a supplier may issue **one consolidated credit/debit note against multiple invoices** in a financial year — no need to link to a single original invoice number. *Why:* eases compliance for volume discounts spanning many invoices. - **Financial / commercial credit notes (no GST):** if a *post-supply discount* does **not** meet Sec 15(3)(b) (e.g., it wasn't agreed before supply, or ITC wasn't reversed), the supplier can still issue a **commercial credit note** — but **cannot reduce output tax**, and the recipient need not reverse ITC. Only the *taxable-value* leg is settled commercially. (Heavily tested — see Example 3.)

Contents (Rule 53): a credit/debit note must show the supplier's details, a consecutive serial number, date, the **corresponding tax-invoice number(s)** (or the reason if consolidated), the taxable value, and the tax adjusted. It must carry the words **"Credit Note"** or **"Debit Note"** clearly — a document that merely adjusts value without this legend and without the tax leg is a *commercial* note, not a Sec 34 note.

4.6 E-invoicing — Rule 48(4) (the anti-fraud authentication layer)

What it is (and isn't): e-invoicing does **not** mean generating an invoice on a government website. The supplier generates the invoice in his own accounting system in a **standard schema (INV-01/JSON)**, then **uploads it to the Invoice Registration Portal (IRP)**, which validates it and returns: - a unique **Invoice Reference Number (IRN)** — a 64-character hash; and - a **signed QR code**. Only then is it a **legally valid tax invoice**. An invoice required to be e-invoiced but **not** carrying an IRN is **not a valid document** — and the recipient **cannot claim ITC** on it (ties back to Sec 16). *Why this design:* pre-clearance. Because the invoice is registered with the government *before* it enters the supply chain, a fake invoice (no real supply) can be traced and blocked — directly attacking the fake-ITC racket (Problem 5). Data also auto-populates GSTR-1 and the e-way bill, killing duplicate entry.

Who must: registered persons whose **aggregate turnover exceeds the notified threshold (currently ₹5 crore)** in any preceding FY from 2017-18 onward, for **B2B supplies, exports, and credit/debit notes.** *Verify the current threshold for your attempt.*

Exempt from e-invoicing regardless of turnover: SEZ *units* (not developers), insurers, banks/NBFCs, GTAs, passenger-transport suppliers, suppliers of admission to cinema/multiplex, and government departments/local authorities. **B2C invoices are outside e-invoicing** (but large taxpayers must display a **dynamic QR code** on B2C invoices).

Finer points the exam is beginning to test: - The threshold looks at **aggregate turnover in *any* preceding financial year** from 2017-18 onward — so a business that once crossed ₹5 crore and has since shrunk *still* must e-invoice; the obligation, once triggered by a past year, does not switch off just because current turnover fell. - E-invoicing applies to **credit and debit notes** too, not just invoices — the correction documents must also be authenticated so they can't be forged to inflate ITC reversals or fake extra credit. - The **dynamic QR code on B2C** is a *different* requirement from e-invoicing: it lets the *customer* pay digitally and lets the department verify, but it does **not** generate an IRN. Do not conflate "e-invoice QR (contains IRN, B2B)" with "dynamic QR (B2C payment)."

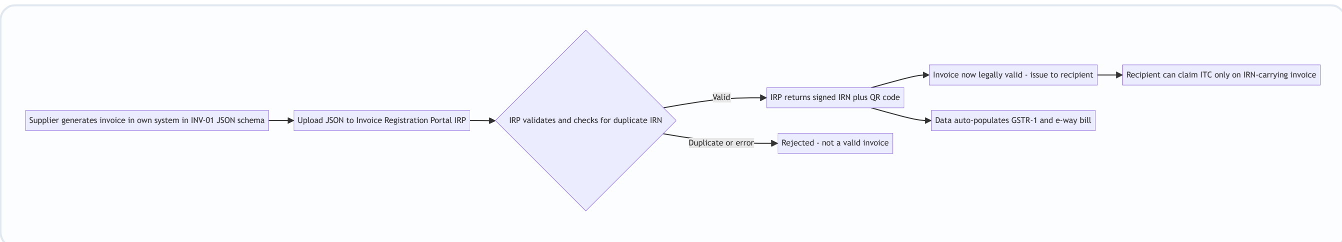

Figure 1 — the e-invoicing flow: authentication happens BEFORE the invoice enters the credit chain, so fakes are blocked at the door.

4.7 Where the document meets the road — the invoice–time-of-supply–e-way-bill triangle

The three systems are designed to *cross-check* each other, and understanding the triangle prevents most "which date?" errors.

- **Invoice fixes the tax point.** Because "date of invoice" is usually the *earliest* time-of-supply trigger for goods (Sec 12) and services (Sec 13), issuing the invoice *fixes the month* in which output tax falls due.
- **E-way bill fixes the movement.** For goods movement above the value threshold, an e-way bill links the invoice/challan to a specific vehicle and validity window. A mismatch between invoice value and e-way bill value is a red flag on the road.
- **The transporter's copy closes the loop.** The triplicate/challan copy that travels with the goods is what an officer physically inspects — it must reconcile with both the invoice on the portal and the e-way bill.

The design intent: an officer at a check-post, a matcher at the GSTN server, and an auditor months later must all be able to reconstruct the *same* transaction from independent copies. The moment the three stop reconciling, fraud becomes visible. This is why the *timing* rules (Sec 31) are not clerical — they keep the three clocks synchronised.

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5. Worked Examples

Example 1 — Invoice timing: goods vs services

Facts. (a) Alpha Ltd removes machinery from its factory to customer B on **10 July**; goods reach B on **14 July**. (b) Alpha also renders a consultancy service to C, completed on **10 July**.

Solve. - **Goods (movement involved):** invoice must be issued **on or before removal = 10 July** (Sec 31(1)(a)). Delivery date (14 July) is irrelevant to invoicing. So the tax point sits in July. - **Service:** invoice must be issued **within 30 days of supply**, i.e., on or before **9 August** (Sec 31(2) + Rule 47). If Alpha were a bank/NBFC/insurer, the window would be **45 days** (till 24 August).

Reconcile. Goods → invoice *coincides with* physical removal (10 Jul); service → up to 30 days grace (till 9 Aug). Same completion date, different documentation deadlines — because the underlying economics differ.

Example 2 — Credit note for sales return, with the symmetry condition

Facts. On **5 May 2025**, Supplier S sells goods to Registered buyer R: taxable value **₹1,00,000**, IGST @18% = **₹18,000** (inter-State). R claims ₹18,000 ITC. On **20 June 2025**, R returns goods worth **₹40,000** (taxable value) as defective.

Solve. 1. S issues a **credit note** (Sec 34(1)) for taxable value ₹40,000 + IGST ₹7,200. 2. S may **reduce output tax by ₹7,200 — but only because** R will reverse ₹7,200 of ITC (Sec 34(2) symmetry condition). Net position:

Party	Original	After credit note	Effect
Supplier S output tax	₹18,000	₹18,000 − ₹7,200 = **₹10,800**	pays ₹7,200 less
Buyer R ITC	₹18,000	₹18,000 − ₹7,200 = **₹10,800**	reverses ₹7,200

3. **Time-limit check:** the supply is in FY 2025-26. S must **declare** the credit note by **30 November 2026** or the date of filing the annual return for FY 2025-26, whichever is earlier. 20 June 2025 is well within limits.

Reconcile. Treasury is neutral: ₹7,200 less collected from S, ₹7,200 less credited to R. The symmetry rule made the reduction safe.

Examiner tweak — what if the return happens on 15 December 2026? The supply is still FY 2025-26, so the deadline (30 Nov 2026 / annual return date) has **passed**. S can still *physically* take back the goods and issue a **commercial credit note** for ₹40,000, but S **cannot reduce output tax by ₹7,200** — that ₹7,200 is now a cost S bears. R, correspondingly, is **not** compelled to reverse ITC via the return system. Same facts, one date changed, opposite tax outcome — the classic "which side of 30 November?" trap.

Example 3 — Post-supply discount: GST credit note vs commercial credit note

Facts. Supplier P sold goods across the year to dealer D on many invoices (total taxable value ₹50,00,000, GST ₹9,00,000, all credited by D). In March, P grants a **year-end volume discount of ₹2,00,000** (plus GST ₹36,000 on it).

Case A — discount was agreed *in the contract before* the supplies (Sec 15(3)(b) satisfied) and is linked to invoices, and D reverses ITC. - P issues a **GST credit note** (may be a *single consolidated* note against all the year's invoices). - P **reduces output tax by ₹36,000**; D **reverses ₹36,000 ITC**. Both taxable value and tax adjust.

Case B — discount was decided *after* supply / not pre-agreed, OR D will not reverse ITC. - Sec 15(3)(b) is **not** met, so P **cannot** reduce output tax. - P issues a **commercial (financial) credit note** for ₹2,00,000 only. **No GST adjustment**; D keeps full ₹9,00,000 ITC and does not reverse. - P has effectively borne the ₹36,000 GST on the discount.

Reconcile. The document's *label* is the same ("credit note"), but the *tax effect* is governed entirely by whether Sec 15(3)(b) conditions are met — the classic examiner trap.

Example 4 — Debit note for under-billing

Facts. On 12 August, Q invoices a supply at taxable value ₹80,000, CGST+SGST @18% = ₹14,400. In September Q realises the correct value was ₹90,000.

Solve. Q issues a **debit note** (Sec 34(3)) for the shortfall: taxable value ₹10,000 + tax ₹1,800. Q's output tax **increases by ₹1,800** in the month the debit note is issued. There is **no time limit** to issue it (extra tax is always welcome). Recipient may claim the additional ₹1,800 ITC, and his Sec 16(4) time limit runs from the **debit note's** financial year.

Reconcile. Original ₹14,400 + ₹1,800 = ₹16,200 = 18% of ₹90,000. Correct.

Example 5 — Which document? A rapid classification drill

Situation	Correct document	Section
Taxable inter-State sale of goods	Tax invoice (before removal)	31(1)
Composition dealer sells goods	Bill of supply	31(3)(c)
Trader sells only exempt fruit	Bill of supply	31(3)(c)
₹50,000 advance received for a service	Receipt voucher	31(3)(d)
That advance later refunded (no supply)	Refund voucher	31(3)(e)
Registered person pays lawyer (unregistered) under RCM	Self-invoice + payment voucher	31(3)(f)/(g)
Goods sent to job-worker	Delivery challan	Rule 55
Buyer returns goods	Credit note (by supplier)	34(1)
Supplier under-charged tax	Debit note (by supplier)	34(3)

Example 6 — Advance for a service, then partial supply, then cancellation (voucher chain)

Facts. On **3 April**, consultancy firm F receives an advance of **₹1,18,000** (₹1,00,000 + ₹18,000 GST @18%) from client K for a project. F issues a receipt voucher and pays GST on the advance in April's return. In **May**, F completes and invoices **half** the project (₹50,000 + ₹9,000). In **June**, the rest of the project is **cancelled** and F **refunds ₹59,000** (₹50,000 + ₹9,000) to K.

Solve — document by document. 1. **April — advance received:** issue **Receipt voucher** (Sec 31(3)(d)); GST of ₹18,000 is payable on the advance (receipt of advance is a time-of-supply trigger for services). 2. **May — half supplied and invoiced:** issue **Tax invoice** for ₹50,000 + ₹9,000. The ₹9,000 GST here is *adjusted against* the ₹18,000 already paid on the advance (the advance is now being consumed). Net April-tax carried against future supply = ₹9,000. 3. **June — balance cancelled, no invoice for it:** the balance ₹50,000 was **advanced but never invoiced**, so the correct instrument is a **Refund voucher** (Sec 31(3)(e)) for ₹59,000, and F reclaims/adjusts the ₹9,000 GST paid on that portion of the advance.

Reconcile. GST accounted for = ₹9,000 (on the half actually supplied) — matches 18% of ₹50,000 supplied. The other ₹9,000 was paid on advance then reversed via the refund voucher route. **Trap avoided:** the June leg is a *refund voucher*, **not** a credit note, because that portion was **never invoiced**. Had F invoiced the whole ₹1,00,000 in May and then cancelled half, the June instrument would instead be a **credit note**.

Example 7 — Sale-or-return goods crossing the 6-month cap

Facts. On **1 January 2025**, dealer M sends goods worth ₹5,00,000 to prospective buyer N on **approval basis (sale-or-return)** under a delivery challan. N is silent — neither approving nor returning.

Solve. - Under Sec 31(7), the invoice is due at the **earlier of** (a) time N approves the supply, or (b) **6 months from removal = 1 July 2025**. - N never approves, so on **1 July 2025** a supply is **deemed**; M must issue a **tax invoice** dated on/before 1 July 2025 and pay GST, even though N hasn't formally accepted. - During the interim movement (1 Jan), the goods travelled on a **delivery challan** (no supply yet), which is exactly why 4.4 lists approval-basis movement.

Reconcile. The challan documented movement without supply; the 6-month cap forced crystallisation so the tax point could not be deferred indefinitely. If N had approved on, say, 10 March 2025, the invoice would have been due **on/before 10 March** (approval < 6 months, so the earlier event governs).

Example 8 — SKD despatch of one machine over three trucks

Facts. Supplier T sells a single fabrication machine (taxable value ₹30,00,000 + IGST ₹5,40,000) to buyer U. Because of size, it is dismantled and moved in **three truck-loads** on 4, 5 and 6 September.

Solve (Rule 55(5)). - **Before the first truck (4 Sep):** T issues the **complete tax invoice** for ₹30,00,000 + ₹5,40,000. The tax point and the full value are fixed *once*. - **Trucks 1 and 2:** each carries a **delivery challan** (referencing the invoice) plus a **certified copy** of the invoice. - **Truck 3 (last consignment):** carries the **original tax invoice** along with its delivery challan.

Reconcile. One supply → one tax charge → one invoice; three movements → three challans keeping each truck legal. **Trap avoided:** students wrongly issue three separate invoices (tripling the apparent value) — Rule 55(5) exists precisely to prevent that.

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6. Format / Summary

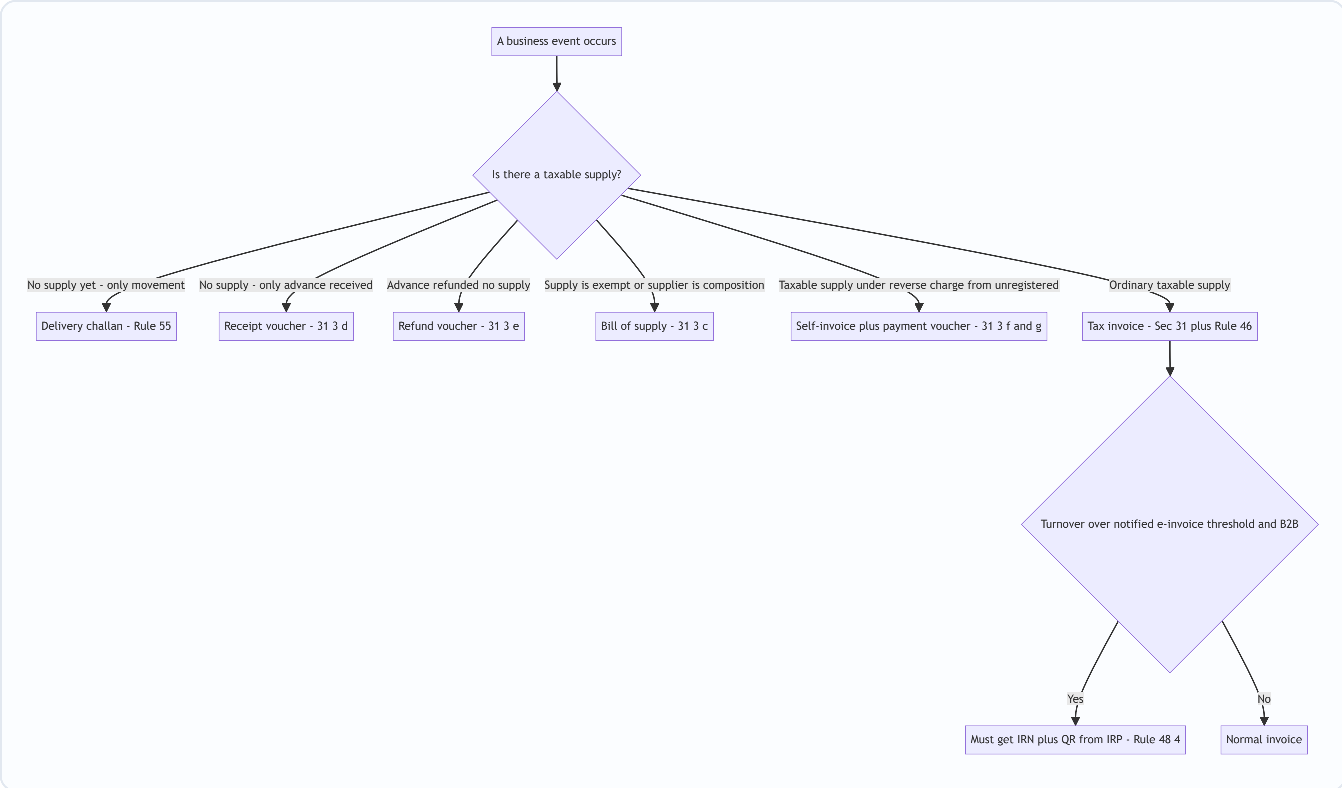

Figure 2 — the master decision tree: every GST document answers "what kind of event is this?"

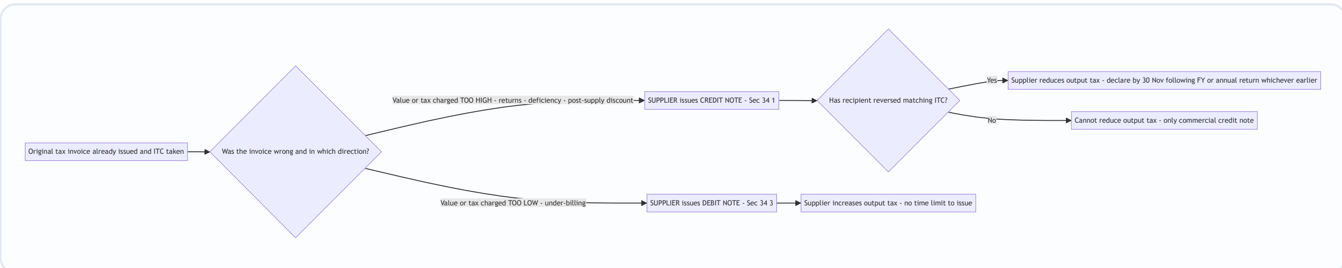

Figure 3 — the correction engine: direction of error picks the note; the symmetry condition and time limit gate the credit note.

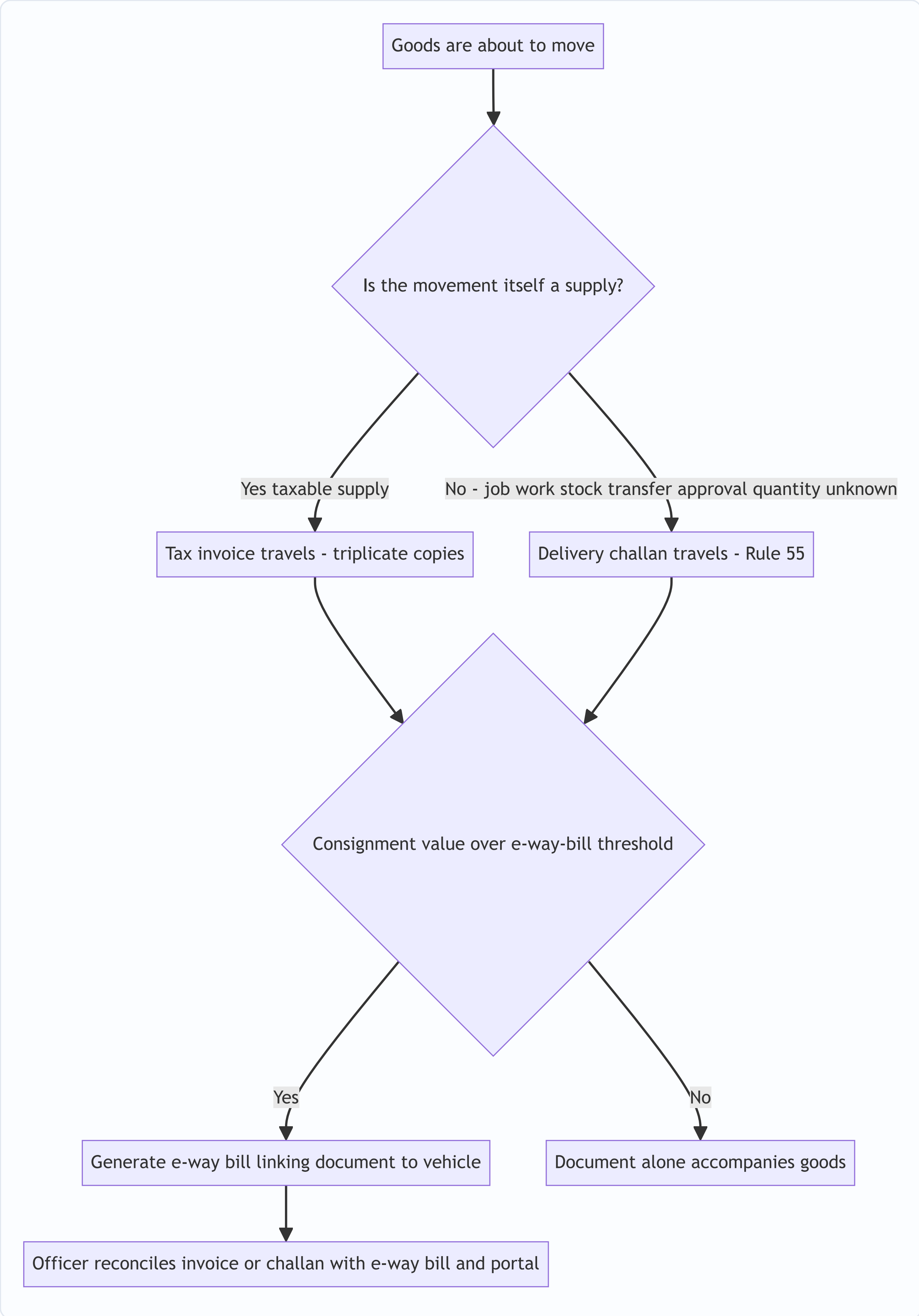
Goods are about to move
Is the movement itself a supply?
Yes taxable supply
No - job work stock transfer approval quantity unknown
Tax invoice travels - triplicate copies
Delivery challan travels - Rule 55
Consignment value over e-way-bill threshold
Yes
No
Generate e-way bill linking document to vehicle
Document alone accompanies goods
Officer reconciles invoice or challan with e-way bill and portal

Figure 4 — the goods-on-the-road view: whatever the document, something must travel with moving goods so the movement stays observable.

One-line summaries table:

Document	Issued by	When	Shows tax?	Section
Tax invoice	Supplier	Goods: ≤ removal; Services: ≤ 30 (45) days	Yes	31(1)/(2)
Bill of supply	Composition / exempt supplier	With supply	No	31(3)(c)
Receipt voucher	Supplier	On receiving advance	Yes (on advance)	31(3)(d)
Refund voucher	Supplier	On refunding advance	Adjusts	31(3)(e)
Self-invoice	Recipient	RCM from unregistered	Yes	31(3)(f)
Payment voucher	Recipient	On paying RCM supplier	—	31(3)(g)
Delivery challan	Consignor	Movement w/o supply	No	Rule 55
Credit note	Supplier	Over-billed / return / discount	Reduces	34(1)
Debit note	Supplier	Under-billed	Increases	34(3)
Revised invoice	Newly-registered supplier	Pre-registration supplies, after RC granted	Yes	31(3)(a) + Rule 53

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7. Connections

- ← **Chapter 17 (Time of Supply):** the invoice date is usually *the* time-of-supply trigger. Wrong invoice timing → wrong tax month. This chapter *implements* the timing rules you learned there.
- ← **Chapter 18 (Value of Supply):** the "taxable value" printed on the invoice is the Sec 15 value; the Sec 15(3)(b) discount conditions decide whether a credit note can reduce tax (Example 3).
- → **Chapter on ITC (Sec 16):** condition #1 for ITC is *possession of a tax invoice / debit note*. A missing, defective, or non-IRN invoice = **no ITC**. This chapter is the *precondition* for that one. The debit-note ITC clock (Sec 16(4), from the debit note's own FY) also lives here.
- → **Returns (GSTR-1 / GSTR-3B / GSTR-2B):** invoices and credit/debit notes are *declared* in GSTR-1, flow to the recipient's GSTR-2B, and drive the matching that enforces Sec 34(2) symmetry.
- → **E-way bill:** the invoice/challan value and the transporter's copy feed the e-way-bill system for goods in movement (Figure 4).
- ↔ **Reverse charge (Chapter 15):** self-invoice and payment voucher are the documentary machinery of RCM; the self-invoice/payment-voucher matrix in 4.3 keys off the supplier's registration status.
- ↔ **Refunds / unjust enrichment:** a credit-note reduction for supplies to non-ITC recipients is gated by the same "tax not passed on" test that governs refund claims.

8. Traps & Examiner Tricks

1. **"The buyer issued a credit note."** *No.* Under GST, **only the supplier** issues credit/debit notes that adjust tax. A buyer's document has no GST effect.
2. **Credit note = automatic tax reduction.** *No.* Output tax reduces **only if** the recipient reverses matching ITC (Sec 34(2)) **and** it's declared by the 30 Nov / annual-return deadline. Miss either → no reduction (commercial credit note only).
3. **Debit note has a time limit.** *No issue-limit* — you can always pay more tax. (But the *recipient's ITC* time limit under Sec 16(4) now runs from the **debit note's** date, not the original invoice's — favourable, and tested.)
4. **Invoice date = delivery date for goods.** *No.* It's **removal** date (or making-available if no movement), not delivery. And "removal" includes *collection by the recipient* — an ex-works buyer's truck triggers the invoice.
5. **Confusing 30 vs 45 days for services.** 30 days generally; **45 days** only for banking companies, insurers, NBFCs.
6. **Composition/exempt dealer issues a tax invoice.** *No* — **bill of supply**, showing no tax; composition dealer adds the "not eligible to collect tax" legend.
7. **Post-supply discount always reduces GST.** *Only if* pre-agreed and linked to invoices per Sec 15(3)(b) *and* ITC reversed. Otherwise it's a commercial credit note — supplier eats the GST.
8. **E-invoicing means generating the invoice on the GST portal.** *No* — you generate it in your own system and get it *authenticated* (IRN + QR) from the IRP. And an e-invoice-required invoice **without IRN is not valid → recipient loses ITC.**
9. **A single credit note must map to a single invoice.** *No* — since 2019, one **consolidated** credit/debit note can cover many invoices.
10. **Triplicate vs duplicate mix-up.** Goods → **triplicate** (extra copy for the transporter); services → **duplicate**.
11. **Small-value ₹200 relaxation only if** recipient is unregistered *and* doesn't demand an invoice; then a *consolidated* invoice at day-end is allowed.
12. **Refund voucher vs credit note.** If the amount was received as an **advance and never invoiced**, cancellation → **refund voucher**. If it was **invoiced** and then reversed → **credit note**. (Example 6.)
13. **Self-invoice for *every* RCM.** *No* — self-invoice only when the supplier is **unregistered**; a payment voucher is needed for **all** RCM. (Matrix in 4.3.)
14. **"Supplementary invoice" is a fresh invoice.** *No* — a supplementary invoice for a shortfall **is** a **debit note** in GST law and carries debit-note consequences.
15. **E-invoice turnover switches off when turnover falls.** *No* — once **any** past FY from 2017-18 crossed the threshold, the obligation stays; and the **dynamic B2C QR** is a separate requirement that does *not* create an IRN.
16. **Multiple trucks = multiple invoices (SKD).** *No* — one invoice before the first consignment, delivery challans for the rest, original invoice with the last truck (Rule 55(5), Example 8).

9. First-Principles Recap

Start from the one fact and rebuild the chapter without memorising:

1. GST runs on **seamless ITC**; a recipient's credit is only as real as the supplier's documented, matchable liability. → the **tax invoice** must exist, in a standard format, with a unique serial, issued by the supplier.
2. The invoice's *contents* are just "everything a matcher and an auditor need to reconcile A's outward with B's inward" → the 16 particulars.
3. The invoice's *timing* tracks the underlying trigger: goods have physical **removal** (invoice by then); services are continuous, so a **30/45-day** window.
4. When the event **isn't** a taxable supply, forcing a tax invoice would assert a false tax → a **family of substitute documents** (bill of supply, vouchers, self-invoice, delivery challan), each matched to its truth. Run the three-question filter — *supply or not? / taxable or not? / who charges?* — and the right document falls out.
5. When the invoice turns out **wrong after the fact**, you can't erase it (both sides already reference it) → a **linked correcting note** issued by the supplier: **credit note** (over-charged, reduce) or **debit note** (under-charged, increase). Reduction is gated by **symmetry** (recipient reverses ITC), a **deadline** (30 Nov / annual return), and **no unjust enrichment**, because those protect the treasury.
6. Because fake invoices can poison the whole chain, high-turnover B2B invoices are **pre-authenticated** (IRN + QR) before they can be used → **e-invoicing**.
7. Because moving goods are a fraud vector, *something* must always travel with them → invoice/bill of supply/delivery challan, and above a value threshold an **e-way bill** binding document to vehicle.

Everything is downstream of "protect the credit chain — and the goods chain."

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10. Quick-Revision Sheet

THE PIVOT: Tax invoice = supplier's output-tax evidence **AND** recipient's sole ITC basis. (Sec 31 + Rule 46)

TIME LIMITS (issue): - Goods: **before/at removal** (or making-available). Sec 31(1) - Services: **within 30 days** (banks/NBFC/insurer **45**). Sec 31(2) + Rule 47 - Continuous supply goods: on/before each statement/payment (31(4)); services: due date of payment / receipt / event (31(5)); cessation: at cessation (31(6)). - Sale-or-return: earlier of supply or **6 months** from removal. 31(7)

COPIES: Goods → **triplicate** (Recipient/Transporter/Supplier). Services → **duplicate** (Recipient/Supplier).

16 PARTICULARS hook: WHO (both GSTINs) · WHAT (HSN + desc + qty) · HOW-MUCH (taxable value + rate + tax, each head) · WHERE (place of supply) · SIGNED. Plus serial no. + date + RCM flag. Export/SEZ → endorsement; e-invoice → QR with IRN.

DOCUMENT PICKER (three-question filter — supply? taxable? who charges?): - Taxable supply → **Tax invoice** - Composition / exempt → **Bill of supply** (no tax) - Advance received → **Receipt voucher**; refunded (never invoiced) → **Refund voucher** - RCM: always **Payment voucher**; **+ Self-invoice** only if supplier **unregistered** - Movement w/o supply (job-work, transfer, approval) → **Delivery challan** (Rule 55) - SKD/lots → invoice before 1st consignment + challans for rest (Rule 55(5))

CREDIT NOTE (Sec 34(1)/(2)) — by SUPPLIER, invoice was TOO HIGH (return / deficiency / over-billing / Sec 15(3)(b) discount): - Reduces output tax **only if recipient reverses ITC** and no unjust enrichment. - Declare by **30 Nov** following FY **or** annual return date, **whichever earlier**.

DEBIT NOTE (Sec 34(3)) — by SUPPLIER, invoice was TOO LOW: increases output tax; **no time limit** to issue. Includes **supplementary invoice**. Recipient's ITC clock runs from the **debit note's** FY.

COMMERCIAL credit note: if Sec 15(3)(b) not met or deadline passed → no GST reduction, no ITC reversal.

E-INVOICING (Rule 48(4)): turnover > **₹5 cr** (verify) in **any** FY from 2017-18, B2B + exports + credit/debit notes. Own-system JSON → IRP → **IRN + QR**. No IRN where required → **not a valid invoice** → **no ITC**. B2C excluded (but dynamic QR for large taxpayers — no IRN). Exempt: banks, NBFCs, insurers, GTAs, passenger transport, cinema, SEZ *units*, govt.

GOLDEN RULE: Supplier issues everything (including credit/debit notes; sole exception = RCM self-invoice from unregistered supplier). Never erase — always **link and reverse symmetrically**.

> **Reminder:** confirm the **e-invoicing threshold, HSN-digit slabs, service invoice window, and any 2025-26 amendments** against current ICAI study material for your exam attempt.

Q&A — Tax Invoice, Credit & Debit Notes

> CGST Act, 2017 (**Sec 31–34**) read with CGST Rules, 2017 (**Rules 46–55A**); the IGST Act adopts these via **Sec 20 IGST**. **The e-invoicing turnover threshold (currently ₹5 crore aggregate turnover), HSN-digit slabs, the service-invoice window, small-value limits and the credit-note deadline (30 November) are amendment-sensitive — confirm the current figures from the ICAI Study Material/RTP for your attempt.** The *structure* — one pivotal document + substitute documents + correcting notes + e-authentication — is stable and is what the exam tests. GST rate of 18% is used throughout unless stated.

SECTION A — Concept-Check (Short Q&A)

A1. Why does GST need a *mandatory, standard-format* tax invoice at all? Because GST runs on **seamless ITC**, and the recipient's credit is only as real as the supplier's *documented, matchable* liability. **Sec 31 + Rule 46** make the invoice the single token that simultaneously records the supplier's output tax and authorises the recipient's ITC under **Sec 16**. One document, two mirror-image consequences.

A2. What is the time limit to issue a tax invoice for goods vs services? Goods — Sec 31(1): before or at the time of **removal** (where movement is involved) or **delivery/making available** (no movement). **Services — Sec 31(2) + Rule 47:** within **30 days** of supply of service (**45 days** for banking companies, insurers and NBFCs). *Why the difference:* goods have a clean physical trigger (removal); services are intangible/continuous, so the law gives a capped window.

A3. When is a *Bill of Supply* issued instead of a tax invoice, and what does it NOT show? Sec 31(3)(c) + Rule 49 — issued by a **composition** taxpayer and by a supplier of **exempt** goods/services. It shows **NO tax**. A composition dealer must carry the legend *"composition taxable person, not eligible to collect tax on supplies." Why:* showing tax would let the recipient wrongly claim ITC on tax never legitimately charged.

A4. Name the four "money-but-no-supply / no-invoice" documents and their sections. (a) **Receipt voucher** — Sec 31(3)(d) + Rule 50, on receiving an advance; (b) **Refund voucher** — Sec 31(3)(e) + Rule 51, when that advance is refunded with no supply; (c) **Payment voucher** — Sec 31(3)(g) + Rule 52, by an RCM recipient on paying the supplier; (d) **Delivery challan** — Rule 55, when goods move without a supply (job-work, stock transfer).

A5. Who issues a *self-invoice* and why? Sec 31(3)(f) — the **recipient** issues an invoice to himself when he receives goods/services from an **unregistered supplier under reverse charge**. The unregistered supplier has no GSTIN and can issue nothing; the recipient owes the tax and needs a document to (a) discharge it and (b) later claim ITC.

A6. A credit note reduces output tax — is that automatic? No (Sec 34(2)). The supplier may reduce output tax **only if the recipient has correspondingly reversed his ITC.** This symmetry rule protects the treasury: if the supplier reduces tax but the recipient keeps credit, the government loses. It is enforced through the return system (credit note in GSTR-1 → recipient's GSTR-2B → reversal).

A7. State the time limit to *declare* a credit note. Sec 34(2): by the **30th November** following the end of the financial year of the original supply, **or** the date of filing the relevant **annual return**, **whichever is earlier**. After this the year is effectively closed for downward adjustments.

A8. Does a debit note have a time limit to issue? No. A debit note (**Sec 34(3)**) *increases* output tax — the treasury never objects to more tax, so there is no issue deadline. Note the favourable twist: the **recipient's** ITC time limit under **Sec 16(4)** runs from the **debit note's own financial year**, not the original invoice's.

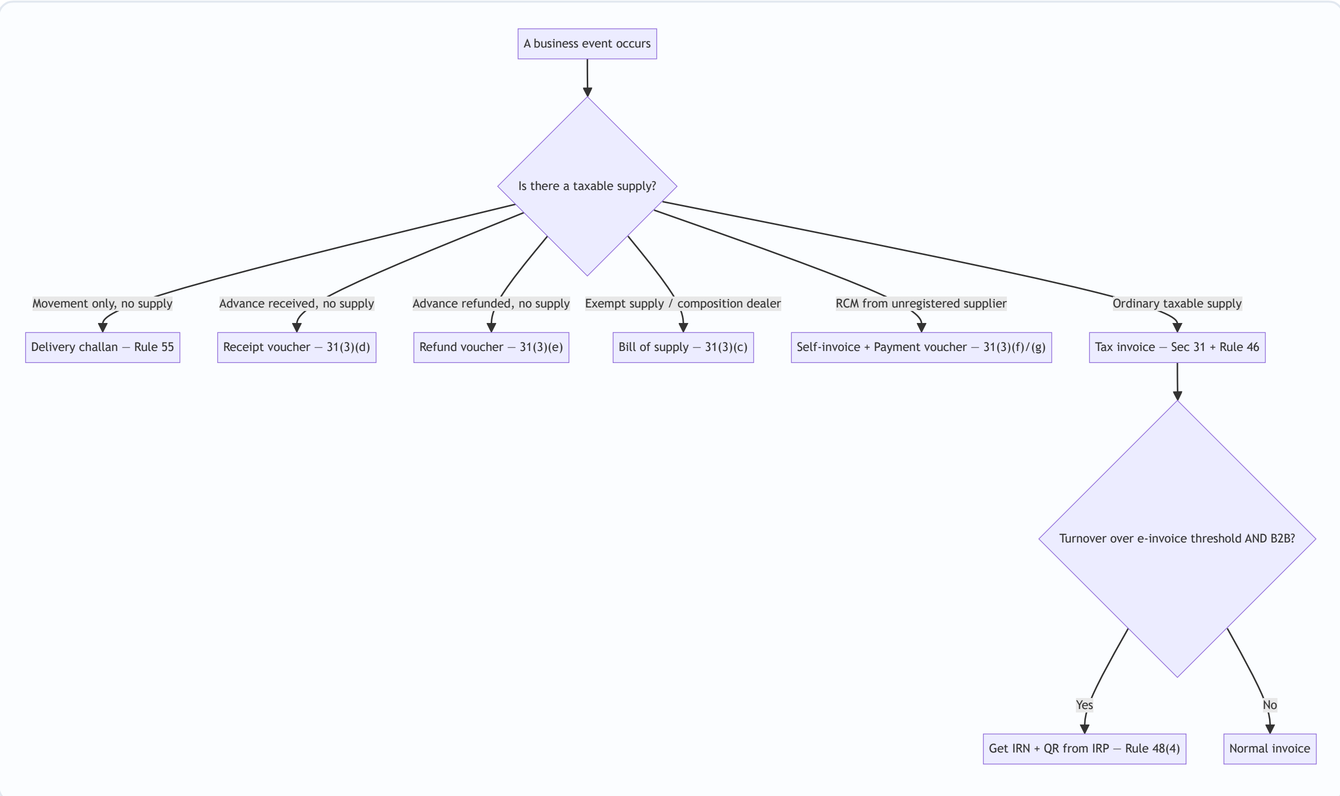
A9. Who issues credit and debit notes under GST? Always the SUPPLIER (Sec 34). A "credit note" a *buyer* sends back is a commercial document with **no GST effect**. This surprises accountants used to commercial practice and is a favourite examiner trap.

A10. GST credit note vs *commercial/financial* credit note — the distinction? If a post-supply discount meets **Sec 15(3)(b)** (pre-agreed, invoice-linked, ITC reversed), the supplier issues a **GST credit note** and reduces output tax. If those conditions fail, the supplier may issue only a **commercial credit note** — the taxable-value leg is settled, but **output tax is NOT reduced** and the recipient need not reverse ITC. Same label, opposite tax effect.

A11. What is e-invoicing, and what happens if a required IRN is missing? Rule 48(4): the supplier generates the invoice in his own system in the **INV-01 JSON schema**, uploads it to the **Invoice Registration Portal (IRP)**, and receives an **IRN + signed QR code**. An invoice required to be e-invoiced but **without an IRN is NOT a valid document → the recipient cannot claim ITC.** It is a *pre-authentication* layer that blocks fake invoices before they enter the credit chain.

A12. Copies of an invoice — goods vs services? Rule 48: goods → **triplicate** (Original-Recipient, Duplicate-Transporter, Triplicate-Supplier); services → **duplicate** (Original-Recipient, Duplicate-Supplier). The extra copy for goods lets the transporter carry proof during physical movement.

Document-picker decision map



SECTION B — Graded Computational Problems

B1 (Easy) — Invoice timing, goods vs services

Alpha Ltd **removes** machinery to customer B on **10 July**; goods **reach** B on **14 July**. Alpha also completes a consultancy service to C on **10 July**. State the last date to issue each invoice.

- **Goods (movement) — Sec 31(1)(a):** invoice on or before **removal = 10 July**. Delivery (14 July) is irrelevant.
- **Service — Sec 31(2) + Rule 47:** within **30 days** of supply → on or before **9 August**. If Alpha were a bank/NBFC/insurer → **45 days** → **24 August**.

Check: same completion date (10 Jul), different deadlines — because goods have a physical trigger, services get a capped grace window. ✓

B2 (Easy) — Credit note for a sales return (with the symmetry condition)

On **5 May 2025**, Supplier S sells goods to registered buyer R: taxable value **₹1,00,000**, IGST @18% = **₹18,000** (inter-State). R claims ₹18,000 ITC. On **20 June 2025**, R returns defective goods of taxable value **₹40,000**.

Party	Original	Credit note (₹40,000 + IGST ₹7,200)	After
S output tax	₹18,000	−₹7,200	**₹10,800**
R ITC	₹18,000	reverses ₹7,200	**₹10,800**

- S issues a **credit note (Sec 34(1))** for value ₹40,000 + IGST ₹7,200.
- S reduces output tax by ₹7,200 **only because** R reverses ₹7,200 ITC (**Sec 34(2)** symmetry).
- **Time-limit check:** supply is FY 2025-26 → declare by **30 Nov 2026** or annual-return date, whichever earlier. 20 Jun 2025 is well within limits.

Check: treasury neutral — ₹7,200 less collected from S, ₹7,200 less credited to R. 18% × ₹40,000 = ₹7,200. ✓

B3 (Moderate) — Debit note for under-billing

On **12 August**, Q invoices a supply at taxable value **₹80,000**, CGST+SGST @18% = **₹14,400**. In **September** Q finds the correct value was **₹90,000**.

- Q issues a **debit note (Sec 34(3))** for the shortfall: taxable value **₹10,000** + tax **₹1,800**.
- Q's output tax **increases by ₹1,800** in the month the debit note is issued. **No time limit** to issue.
- R may claim the extra ₹1,800 ITC; R's Sec 16(4) clock runs from the **debit note's** FY.

Check: ₹14,400 + ₹1,800 = ₹16,200 = 18% × ₹90,000. ✓

B4 (Moderate) — Advance for a service + receipt/refund vouchers

On **3 March 2026**, ConsultCo (registered) receives an advance of **₹1,18,000 (inclusive of 18% GST)** for a service, rate and place known. The client cancels on **10 April 2026** and the money is refunded; no invoice was issued.

- **Advance received:** issue **receipt voucher (Sec 31(3)(d))**. For *services*, receipt of advance is a **time-of-supply** trigger → tax is due on the advance.

- Value = 1,18,000 × 100/118 = **₹1,00,000**; GST = 1,18,000 × 18/118 = **₹18,000** payable for March.
- **Refund with no supply:** issue **refund voucher (Sec 31(3)(e))**; ConsultCo adjusts/claims back the ₹18,000 tax paid on the advance.

Check: 1,00,000 + 18,000 = 1,18,000; the receipt voucher tax reverses exactly on refund. ✓

B5 (Moderate) — Post-supply discount: GST credit note vs commercial credit note

Supplier P sold across the year to dealer D on many invoices: total taxable value **₹50,00,000**, GST **₹9,00,000** (all credited by D). In March, P grants a **year-end volume discount of ₹2,00,000** (GST thereon = ₹36,000).

Case A — pre-agreed in the contract, invoice-linked, and D reverses ITC (Sec 15(3)(b) met): - P issues a **GST credit note** — may be a **single consolidated note** against all the year's invoices (allowed since 2019). - P reduces output tax by **₹36,000**; D reverses **₹36,000** ITC. Both value and tax adjust.

Case B — surprise discount, not pre-agreed / D will not reverse (Sec 15(3)(b) NOT met): - P issues a **commercial credit note** for ₹2,00,000 only. **No GST adjustment**; D keeps full ₹9,00,000 ITC. - P effectively bears the ₹36,000 GST.

Check: GST difference between cases = ₹36,000 = 18% × ₹2,00,000, exactly the ITC D must reverse in Case A. ✓

B6 (Exam-hard) — Full ITC set-off with a mid-year credit note

Beta Ltd (regular taxpayer) has the following for a tax period, all intra-State @18% (CGST 9% + SGST 9%):

Particular	Taxable value	CGST	SGST
Outward supplies	20,00,000	1,80,000	1,80,000
Less: credit note issued for goods returned (pre-agreed, buyer reverses ITC)	(2,00,000)	(18,000)	(18,000)
Inward supplies (eligible ITC)	12,00,000	1,08,000	1,08,000
Add: debit note received from a vendor (under-billing)	1,00,000	9,000	9,000

Compute net GST payable in cash.

Step 1 — Output tax after the credit note (Sec 34): - CGST = 1,80,000 − 18,000 = **₹1,62,000**; SGST = 1,80,000 − 18,000 = **₹1,62,000**.

Step 2 — Eligible ITC (invoice + debit note; Sec 16): - CGST ITC = 1,08,000 + 9,000 = **₹1,17,000**; SGST ITC = 1,08,000 + 9,000 = **₹1,17,000**. - The vendor's **debit note** is a valid ITC document; the buyer's ITC clock runs from the debit note's FY.

Step 3 — Set-off (CGST ITC only against CGST/IGST; SGST ITC only against SGST/IGST — no cross between CGST and SGST): - CGST payable = 1,62,000 − 1,17,000 = **₹45,000** cash. - SGST payable = 1,62,000 − 1,17,000 = **₹45,000** cash.

Total cash = ₹90,000.

Check: Net value added = (20,00,000 − 2,00,000) − (12,00,000 + 1,00,000) = 18,00,000 − 13,00,000 = ₹5,00,000. GST on value added = 18% × 5,00,000 = ₹90,000 = ₹45,000 CGST + ₹45,000 SGST. ✓ (The correcting notes flowed straight into the set-off, and the tax equals tax on true value added.)

B7 (Exam-hard) — Which document + timing across a mixed scenario

Gamma Ltd, a regular registered taxpayer in Maharashtra, records these events. State the correct document, issuer, and section/rule for each.

#	Event	Document	Issuer	Provision
1	Inter-State taxable sale of goods, dispatched by truck	Tax invoice (before removal) + e-way bill	Supplier	31(1)(a)
2	Sends inputs to a job-worker in the same State	Delivery challan	Consignor	Rule 55
3	Receives legal service from an unregistered advocate (RCM)	Self-invoice + payment voucher	Recipient (Gamma)	31(3)(f)/(g)
4	Newly registered; supplied before certificate but after effective date	Revised invoice	Supplier	31(3)(a) + Rule 53
5	Sells goods to a walk-in customer for ₹150, customer doesn't want a bill	Consolidated tax invoice at day-end	Supplier	Rule 46 proviso
6	Sale of goods on sale-or-return basis; approval pending	Invoice by earlier of supply or 6 months from removal	Supplier	31(7)

Check: every row answers "what is the *truth* of the event?" — supply vs mere movement vs advance vs no-invoice-yet. ✓

B8 (Exam-hard) — e-invoicing eligibility and ITC consequence

Delta Ltd had aggregate turnover of **₹7 crore** in FY 2023-24. In FY 2025-26 it makes: (i) a B2B supply to a registered buyer, invoice **without IRN**; (ii) a B2C supply; (iii) issues a credit note to a B2B customer without IRN. Advise.

- Turnover **> ₹5 crore** (notified threshold) → Delta **must** e-invoice its **B2B supplies, exports and credit/debit notes** (Rule 48(4)). *(Verify the current threshold for your attempt.)*
- **(i)** B2B invoice without IRN = **not a valid tax invoice** → the buyer **cannot claim ITC** (ties to Sec 16). Delta must generate the IRN.
- **(ii) B2C is outside e-invoicing**; no IRN needed (but large taxpayers must show a **dynamic QR code**).
- **(iii)** Credit/debit notes **also require IRN** — the note without IRN is invalid.

Check: e-invoicing covers B2B + exports + credit/debit notes above threshold; B2C excluded. ✓

SECTION C — Past-Paper-Style Full Questions

C1. "State the time limits for issue of tax invoice" (5-mark theory)

Q. Explain, with sections, the time limit for issuing a tax invoice in the case of (i) supply of goods involving movement; (ii) supply of goods not involving movement; (iii) supply of services; (iv) continuous supply of services; (v) goods sent on sale-or-return.

Model answer. (i) **Goods with movement — Sec 31(1)(a):** before or at the time of **removal** of goods for supply. (ii) **Goods without movement — Sec 31(1)(b):** before or at the time of **delivery / making available** to the recipient. (iii) **Services — Sec 31(2) + Rule 47:** within **30 days** of supply of service (**45 days** for banking companies, insurers, NBFCs). (iv) **Continuous supply of services — Sec 31(5):** if the due date of payment is ascertainable from the contract → on or before the **due date**; if not → before/at **receipt of payment**; if payment is linked to completion of an event → on or before that **event**. (v) **Sale-or-return / approval — Sec 31(7):** before or at the time of supply, **or 6 months from removal, whichever is earlier.**

C2. "Credit note or debit note — decide and compute" (6-mark application)

Q. On 4 June 2025, Ramesh & Co (registered, Karnataka) supplied goods to a registered buyer: taxable value ₹5,00,000, CGST 9% + SGST 9%. Later: (a) the buyer returned goods of taxable value ₹80,000 on 15 July 2025; (b) it was found that ₹20,000 of taxable value had been *under-charged* on the original invoice. State the documents, the party who issues them, the tax adjustment, and the time limits.

Model answer. - **(a) Sales return → CREDIT NOTE (Sec 34(1)), issued by Ramesh & Co (supplier).** Value ₹80,000; CGST ₹7,200 + SGST ₹7,200. Ramesh may **reduce output tax by ₹14,400** *only if* the buyer **reverses ₹14,400 ITC (Sec 34(2))**. **Declare by 30 Nov 2026** or the annual-return date for FY 2025-26, whichever earlier. - **(b) Under-billing → DEBIT NOTE (Sec 34(3)), issued by Ramesh & Co (supplier).** Value ₹20,000; CGST ₹1,800 + SGST ₹1,800 → output tax **increases by ₹3,600**. **No time limit** to issue; the buyer's ITC clock on it runs from the debit note's FY. - **Key point:** *both* notes are issued by the **supplier** — the buyer never issues a GST credit/debit note.

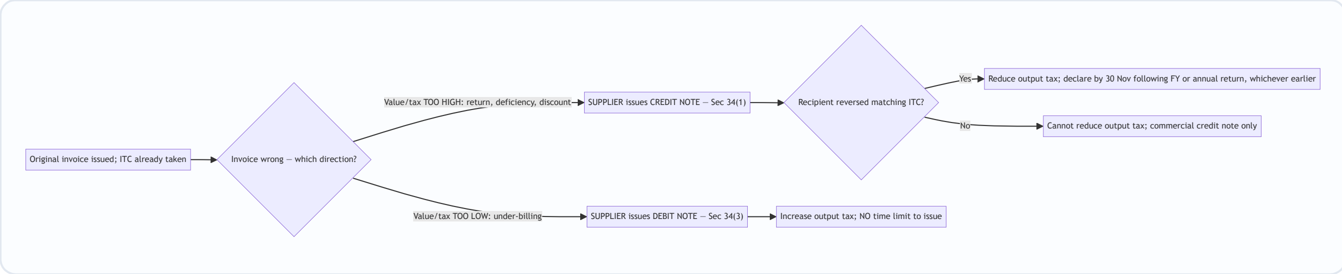
Check: credit note reverses tax on ₹80,000 (₹14,400); debit note adds tax on ₹20,000 (₹3,600). ✓

C3. "Explain e-invoicing and its interaction with ITC" (5-mark)

Q. What is e-invoicing under Rule 48(4)? Who is required to comply, who is exempt, and what is the consequence of issuing a B2B invoice without an IRN?

Model answer. - **Mechanism:** the supplier prepares the invoice in his own system in the standard **INV-01 (JSON) schema**, uploads it to the **Invoice Registration Portal (IRP)**, which validates it and returns a unique **IRN (64-char hash) + signed QR code**. Only then is it a legally valid tax invoice. Data auto-populates GSTR-1 and the e-way bill. - **Who must:** registered persons whose **aggregate turnover exceeded the notified threshold (currently ₹5 crore)** in *any* FY from 2017-18 onward, for **B2B supplies, exports, and credit/debit notes**. *(Verify current threshold.)* - **Exempt (regardless of turnover):** SEZ **units** (not developers), insurers, banks/NBFCs, GTAs, passenger-transport suppliers, cinema/multiplex admission suppliers, and government departments/local authorities. **B2C is outside** e-invoicing (large taxpayers display a dynamic QR code). - **Consequence:** a B2B invoice that *should* carry an IRN but does not is **not a valid document** → the **recipient loses ITC** (Sec 16). *Rationale:* pre-clearance blocks fake invoices before they poison the credit chain.

Correction-engine flow



SECTION D — MCQs / Case Scenarios

D1. A tax invoice for supply of goods involving movement must be issued — (a) within 30 days of removal; (b) before or at the time of removal; (c) on delivery; (d) within 6 months. → **(b).** Sec 31(1)(a) ties the invoice to removal, not delivery.

D2. A composition dealer supplying goods must issue — (a) a tax invoice; (b) a bill of supply; (c) a receipt voucher; (d) a debit note. → **(b).** Sec 31(3)(c) + Rule 49 — composition dealers cannot collect GST, so they issue a bill of supply showing no tax.

D3. Under GST, a credit note that adjusts tax is issued by — (a) the recipient; (b) the transporter; (c) the supplier; (d) either party. → **(c).** Sec 34(1) — only the supplier issues it; a buyer's "credit note" has no GST effect.

D4. A supplier can reduce his output tax through a credit note only if — (a) the goods are physically returned; (b) the recipient reverses the corresponding ITC; (c) a GST officer approves; (d) it is issued within 30 days. → **(b).** Sec 34(2) — the symmetry condition protects the treasury.

D5. The last date to *declare* a credit note for a supply made in FY 2024-25 is — (a) 31 March 2025; (b) 30 September 2025; (c) 30 November 2025 or annual-return date, whichever earlier; (d) no limit. → **(c).** Sec 34(2). (Amendment-sensitive — verify the 30 Nov date.)

D6. The time limit to *issue* a debit note under Sec 34(3) is — (a) 30 November following the FY; (b) 6 months; (c) there is no time limit; (d) 30 days. → **(c).** A debit note increases tax; the law imposes no issue deadline (extra tax is always welcome).

D7. Goods sent to a job-worker (no supply) must be accompanied by — (a) a tax invoice; (b) a bill of supply; (c) a delivery challan; (d) a payment voucher. → **(c).** Rule 55 — movement without supply is documented by a delivery challan (in triplicate).

D8. A registered person receiving services from an unregistered supplier under RCM must issue — (a) a bill of supply; (b) a self-invoice; (c) a refund voucher; (d) nothing. → **(b).** Sec 31(3)(f) — the recipient self-invoices because the unregistered supplier cannot.

D9. For supply of **goods**, a tax invoice is prepared in — (a) duplicate; (b) triplicate; (c) quadruplicate; (d) a single copy. → **(b).** Rule 48 — triplicate (Recipient/Transporter/Supplier); services are in duplicate.

D10. An invoice that is required to be e-invoiced but is issued **without an IRN** — (a) is valid but attracts a penalty; (b) is not a valid document and ITC is denied to the recipient; (c) can be regularised later with no consequence; (d) is valid for B2C only. → **(b).** Rule 48(4) read with Sec 16 — no IRN where required → invalid invoice → recipient loses ITC.

D11. Case scenario. Neptune Ltd (turnover ₹9 crore) supplies goods to a registered dealer and, separately, to walk-in retail customers. Which of its supplies require an IRN? (a) both; (b) only the B2B supply; (c) only the B2C supply; (d) neither. → **(b).** Turnover exceeds the notified threshold, but e-invoicing covers only B2B/exports/credit-debit notes; **B2C is excluded** (dynamic QR only).

D12. Case scenario. On 2 May 2025, S sells goods to R (taxable value ₹1,00,000, IGST ₹18,000). On 1 August 2025 R returns 25% of the goods (pre-agreed, R will reverse ITC). By how much can S reduce output tax, and by when must the credit note be declared? (a) ₹18,000; by 31 Mar 2026; (b) ₹4,500; by 30 Nov 2025; (c) ₹4,500; by 30 Nov 2026 or annual-return date, whichever earlier; (d) nil; commercial note only. → **(c).** 25% × ₹18,000 = ₹4,500 (Sec 34); supply is FY 2025-26, so the deadline is 30 Nov 2026 / annual-return date, whichever earlier.

One-line traps to carry into the hall

- **Only the SUPPLIER** issues credit/debit notes — a buyer's note has no GST effect.
- **Credit note ≠ automatic tax reduction** — needs recipient's ITC reversal (Sec 34(2)) *and* declaration by 30 Nov / annual return.
- **Debit note has NO issue time limit**; the recipient's ITC clock on it runs from the debit note's FY (Sec 16(4)).
- **Invoice date for goods = removal date**, not delivery.
- **Services: 30 days generally, 45 days** only for banks/NBFC/insurers.
- **Composition/exempt → bill of supply** (no tax), not a tax invoice.
- **Post-supply discount reduces GST only if Sec 15(3)(b) is met** — else commercial credit note, supplier eats the GST.
- **E-invoicing = authenticate in your own system (IRN+QR)**, not "generate on the portal"; no IRN where required → no ITC.
- **Goods → triplicate, services → duplicate**; delivery challan for movement without supply (Rule 55).
- **CGST ITC never sets off against SGST** and vice-versa (B6) — a classic set-off slip.

Chapter 22 — Payment of Tax

Rates / thresholds / amendments flag: This chapter teaches the *machinery* of paying GST — Sections 49, 49A, 49B, 50, 51, 52 of the CGST Act, 2017 read with Rules 85–88B and the PMT-series forms. The *mechanism* is stable and permanent knowledge. But the **TDS threshold (₹2,50,000), the TDS rate (2%), the TCS rate (currently 0.5% CGST + 0.5% SGST), the Rule 86B turnover trigger (₹50 lakh/month), and the interest rates (18% / 24%)** must be **verified against current ICAI study material and the latest notifications for your attempt.** The logic below does not change; the numbers occasionally do.

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1. The Problem — Why paying a self-assessed tax is harder than it sounds

Under GST there is **no assessing officer standing at your gate** each month totting up what you owe. GST is a *self-assessment* regime: the taxpayer computes his own liability, claims his own credit, and pays the balance — millions of taxpayers, crores of transactions, every month. This design is efficient, but it opens four dangerous gaps that a payment system must close *before* it can be trusted:

Problem 1 — Money and credit are not the same thing, yet both discharge tax. A taxpayer can pay GST in two utterly different currencies: **actual cash** deposited with the government, and **input tax credit (ITC)** — tax someone else already paid upstream. Cash is real revenue to the exchequer; ITC is merely a *bookkeeping offset* of tax already collected earlier in the chain. If the system mixed them into one undifferentiated pool, nobody — not the taxpayer, not the department — could ever answer "how much *real money* did this person contribute?" The two must be tracked in **separate, visible accounts.**

Problem 2 — Credit is not fungible across tax heads. GST is not one tax; it is **three parallel taxes** (CGST to the Centre, SGST to the State, IGST shared) sitting on the same invoice. A rupee of SGST credit belongs, ultimately, to a *State*. Letting a Maharashtra taxpayer use Maharashtra-SGST credit to pay CGST (the Centre's money) or, worse, another State's tax would silently transfer revenue between governments. The payment engine must enforce **which credit can pay which tax** — this is the whole reason the utilisation order (Sec 49(5), 49A, Rule 88A) exists.

Problem 3 — A taxpayer with dues from three months and a fresh liability will pay the "convenient" one first. Left to choose, a person facing an old demand, a current self-assessed tax, and interest will pay whatever stops the least painful clock — usually the current return — and let old dues rot. The law needs a **mandatory order of discharge** (Sec 49(8)) so that money lands on the *oldest, hardest* liability first.

Problem 4 — Some payers sit *outside* the normal supplier chain and would otherwise escape. A government department buying goods, or an e-commerce platform through which thousands of small unregistered sellers transact, are choke-points where tax can leak. The system plants **collection agents** here — TDS (Sec 51) and TCS (Sec 52) — who skim a small slice at source and deposit it against the real supplier's account, creating a paper trail that self-polices the chain.

Problem 5 — Fake-invoice fraud can pay 100% of tax with 0% real money. If credit could discharge the *entire* liability, an operator running a fake-invoice racket would generate bogus ITC upstream and use it to "pay" tax he never actually owed on genuine value added — the exchequer receives *nothing in cash* while the paper trail looks perfectly settled. The system needs a **cash floor** (Rule 86B) and a **credit-freeze switch**

(Rule 86A) to break this loop. This is why the payment chapter is not purely mechanical: two anti-abuse valves are bolted onto the plumbing.

The cascade-killing promise of GST — *seamless credit, tax only on value added* — collapses if payment is opaque. So the law builds a **glass-walled accounting system**: three electronic ledgers where every rupee of cash, every rupee of credit, and every rupee of liability is visible, dated, and rule-bound.

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2. The Core Idea

> **Every registered person maintains three electronic ledgers on the common portal. The *Electronic Liability Register* (PMT-01) is what you OWE. The *Electronic Cash Ledger* (PMT-05) is real money you have DEPOSITED. The *Electronic Credit Ledger* (PMT-02) is the ITC you have EARNED. To pay tax, you DEBIT the liability register and it is discharged by debiting either cash or credit — but credit can only pay OUTPUT TAX and only in a legally fixed order, while cash can pay ANYTHING.**

Four load-bearing ideas organise the entire chapter:

1. **Separation of money from credit.** Cash and credit live in different ledgers precisely because they mean different things to the exchequer (Problem 1). Section 49(3) says the **cash ledger may be used for any payment — tax, interest, penalty, fee, any other amount.** Section 49(4) says the **credit ledger may be used ONLY for payment of *output tax*** — never for interest, penalty, or late fee.
2. **Credit flows along legal channels only.** ITC of one head cannot freely pay another. IGST credit is the universal solvent (pays anything); CGST and SGST credit are ring-fenced and can *never* cross into each other (Problem 2). This is the utilisation order.
3. **Oldest debts first.** The order of discharge (Sec 49(8)) forces money onto prior-period dues before current, and self-assessed tax before demands (Problem 3).
4. **Collect at the choke-points.** TDS and TCS are not new taxes — they are **advance collections** deposited into the *supplier's* cash ledger, plugging leakage where the normal chain is weak (Problem 4).

A fifth, quieter idea — anti-abuse floors. Rule 86A (block) and Rule 86B (1% cash floor) exist *only* because credit is otherwise almost frictionless. They do not change what tax is due; they change *how much of it must be real money* and *whether a suspect ledger can be touched at all* (Problem 5).

Everything technical below hangs off these hooks.

One distinction to nail before you go further — "output tax" is a defined term (Sec 2(82)). Output tax means tax chargeable on *taxable supplies you make*, but it **specifically excludes tax payable under reverse charge.** This one exclusion is why RCM must be paid in cash — the credit ledger, restricted to "output tax," legally cannot reach an RCM liability. Examiners lean on this constantly, so treat "output tax ≠ RCM tax" as a first-class fact, not a footnote.

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3. Why It's Built This Way — the design logic behind each lever

Design choice	The problem it solves	How the Act implements it
Three separate ledgers	Keep money, credit and liability distinct and visible (Problem 1)	Sec 49(1),(2),(7); Rules 85–87
Cash pays anything; credit pays only output tax	Interest/penalty are the taxpayer's *own* cost — cannot be met from someone else's tax (ITC)	Sec 49(3) vs 49(4)
IGST credit used first and fully	IGST is the shared pool; draining it first keeps Centre–State settlement clean	Sec 49A + Rule 88A
CGST and SGST credit never cross	Protects each government's revenue (Problem 2)	Sec 49(5)(e),(f)
Mandatory order of discharge	Stops cherry-picking of easy dues (Problem 3)	Sec 49(8)
Interest on *net cash* for late returns	You should not pay interest on tax you had already parked as credit	Proviso to Sec 50(1) + Rule 88B(1)
Higher 24% interest for wrong ITC	Wrongly *used* credit is worse than merely late cash	Sec 50(3) + Rule 88B(3)
TDS by government buyers	Government spends are large and traceable — collect at source (Problem 4)	Sec 51
TCS by e-commerce operators	Aggregates thousands of small sellers — one choke-point (Problem 4)	Sec 52
Rule 86B — pay 1% in cash	Stops fraudsters discharging 100% liability with fake ITC (Problem 5)	Rule 86B
Rule 86A — block the ledger	Freezes suspected fake credit *before* it is spent (Problem 5)	Rule 86A
Unified Ledger / single cash ledger per registration	One pool of money, sub-divided by head and minor-head, so nothing is stranded	Sec 49(10),(11); Rule 87; PMT-09

The elegance to internalise: the payment system is a *plumbing diagram*, not a rulebook. Liability is the tank that must be emptied; cash and credit are two supply pipes; the valves between them open only in legally permitted directions. Learn the plumbing and every rule becomes obvious.

A deeper "why" on the ledger separation — think of the exchequer's balance sheet. When you pay by *cash*, the government's bank balance rises: fresh revenue enters. When you pay by *credit*, no new money moves — you are simply telling the government "the tax on this value was already collected from my supplier; net it off." If both were one pool, a refund claim (which returns *real money*) could accidentally be paid out against *credit* balances that were never cash to begin with — the exchequer would be handing out money it never received. The two-ledger wall is therefore not bureaucratic tidiness; it is the guard-rail that keeps refunds honest and Centre–State settlement arithmetically closed.

4. Full Technical Content — the ledgers, the order, the interest, the collectors

4.1 The three electronic ledgers (Section 49 read with Rules 85–87)

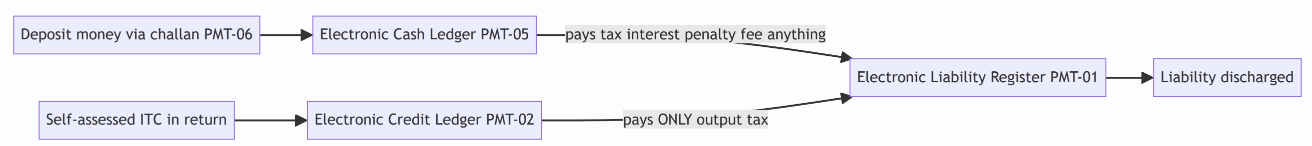

Figure 22.1 — The two supply pipes cash and credit both empty into the liability tank but the credit pipe has a narrower mouth output tax only.

(a) Electronic Cash Ledger — Sec 49(1), Rule 87 — Form GST PMT-05. This is your **deposited money.** You generate a challan in **Form GST PMT-06** (valid for **15 days**) and pay by internet banking, credit/debit card, NEFT/RTGS, or **over-the-counter (OTC) up to ₹10,000 per challan per tax period.** On successful payment a **Challan Identification Number (CIN)** is generated and the amount is credited to the cash ledger under the relevant **major head** (IGST / CGST / SGST-UTGST / Cess) and **minor head** (tax / interest / penalty / fee / others). *Why it matters:* Sec 49(3) — the balance here can be used for **any** payment: tax, interest, penalty, fee, or any other amount. It is real money, so it has no legal restriction on purpose.

Structure to remember: the cash ledger is **not one number** — it is a 4 × 5 grid (four major heads × five minor heads). This granularity is exactly why money can get "stuck" in the wrong cell and why PMT-09 exists to move it (below). A common conceptual MCQ hides here: cash sitting under "CGST-penalty" cannot pay a "CGST-tax" liability until it is transferred; the ledger will not silently reshuffle it.

Date-of-deposit nuance (Explanation to Sec 49): the date of **credit to the government account** is the date of deposit into the cash ledger. For NEFT/RTGS this is the date the amount is credited, which can lag the challan date — an interest-relevant subtlety when a payment is cut close to the due date.

(b) Electronic Credit Ledger — Sec 49(2), Rule 86 — Form GST PMT-02. This holds **ITC self-assessed in the return.** Sec 49(4): it can be used **only for payment of output tax** (CGST, SGST/UTGST or IGST). It can **never** discharge interest, penalty, late fee or the **reverse-charge liability** (RCM must be paid in cash, because RCM tax is not "output tax" and, more intuitively, you cannot use credit to pay a tax you are yourself the "supplier-substitute" for). The credit ledger is credited when a valid return is filed and debited when credit is utilised; a rejected refund of ITC is **re-credited via PMT-03** (order) back to this ledger.

(c) Electronic Liability Register — Sec 49(7), Rule 85 — Form GST PMT-01. This is the running record of **everything you owe** — tax, interest, penalty, fee. It is debited as liabilities arise (self-assessed in the return, or determined in an order) and reduced as they are discharged from the cash/credit ledgers. **Part I** records return-related and other liabilities; **Part II** records demands under proceedings. Any reduction (e.g. on appeal) is recorded here too.

> **Transfer between heads — Sec 49(10), Form GST PMT-09.** Money wrongly deposited under one head/minor-head (say IGST-interest) can be transferred within the cash ledger to another head/minor-head. Sec 49(11) makes clear this is **not treated as a refund.** This fixed the old nightmare of stranded cash. Note the *direction* of Sec 49(10): a registered person may transfer *any amount of tax, interest, penalty, fee or other amount* available in the cash ledger to the **cash ledger under any head** — it stays *within cash,* never touching the credit ledger.

Other forms to recognise: **PMT-03** (re-credit of rejected refund to the credit ledger), **PMT-04** (report discrepancy in a ledger), **PMT-07** (complaint where money debited by the bank but CIN not generated), **PMT-06** (the deposit challan).

4.2 The order of utilisation of ITC — Sec 49(5), 49A, 49B, Rule 88A

This is the **single most examined computation in the chapter.** Read it as a set of valves.

Base rule — Sec 49(5): - **IGST credit** → pay IGST **first**, then CGST, then SGST/UTGST (any order after IGST). - **CGST credit** → pay CGST, then IGST. **Never SGST/UTGST** (Sec 49(5)(e)). - **SGST/UTGST credit** → pay SGST/UTGST, then IGST. **Never CGST** (Sec 49(5)(f)). *Additional condition:* SGST/UTGST credit may be used towards IGST **only when the balance of CGST credit is not available** for paying IGST — a fine point in Sec 49(5)(c) that rarely bites in problems but can appear in a theory MCQ.

Section 49A (the "IGST-first" override): notwithstanding the above, the CGST/SGST credit can be used **only after the IGST credit has been fully exhausted.** IGST is the shared inter-governmental pool, so it must be drained first.

Rule 88A (the flexibility valve): IGST credit is first used for IGST; the **balance may then be applied to CGST and SGST/UTGST in *any order and any proportion*.** This one word — *proportion* — is where cash can be saved or wasted (see Worked Example 2).

Section 49B / Rule 88A read together — the settled sequence the portal now enforces: 1. IGST credit → IGST liability (fully). 2. IGST credit balance → CGST and/or SGST in any order and proportion. 3. Only after IGST credit hits zero: CGST credit → CGST, then IGST. 4. Only after IGST credit hits zero: SGST credit → SGST, then IGST.

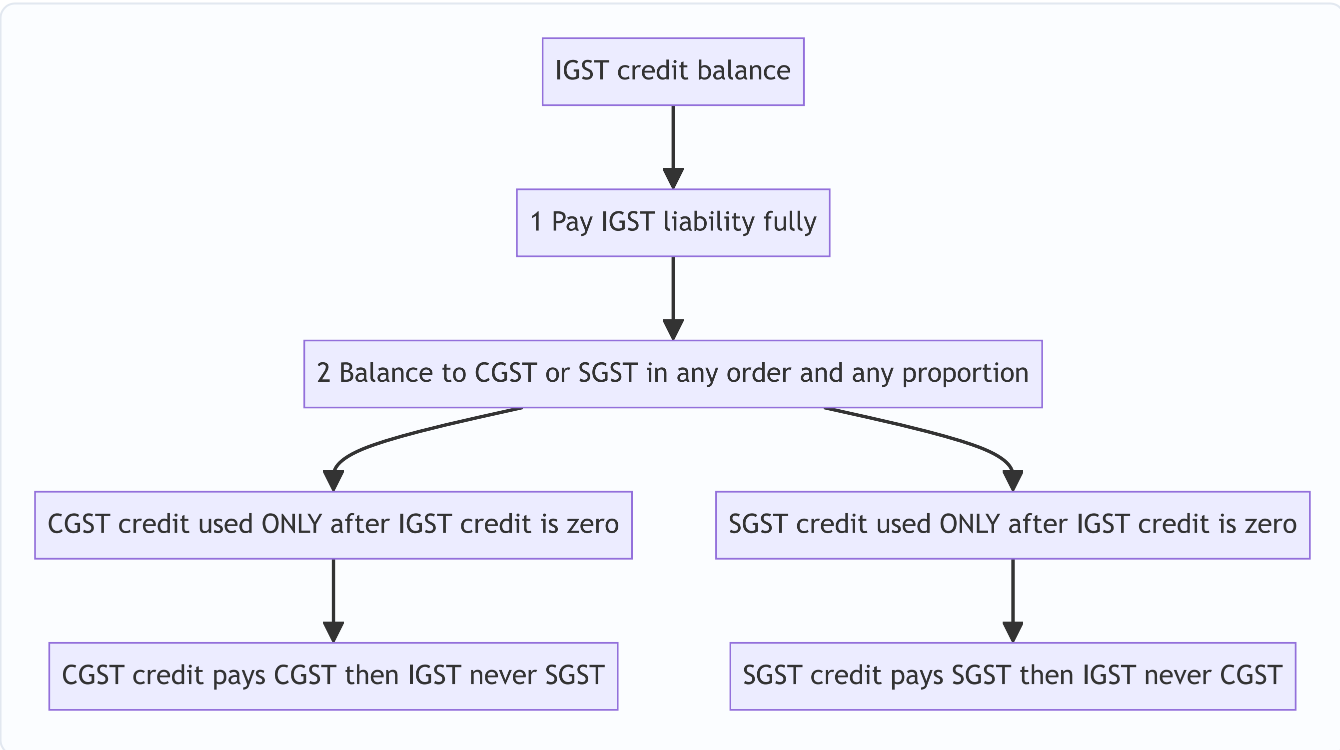

Figure 22.2 — The utilisation waterfall. IGST credit is spent first and completely CGST and SGST credit are ring-fenced and can never touch each other.

Rule 86A — blocking of credit. The Commissioner (or an officer authorised, not below Assistant Commissioner) may, on *reasons to believe* recorded in writing that credit is fraudulently availed or ineligible (e.g. supplier non-existent, tax not actually paid, no receipt of goods/services), **disallow use of the credit ledger** up to the suspect amount. It is a **restraint, not a rate**, is temporary (lapses after **one year**), and does not extinguish the credit — it merely freezes access while enquiry proceeds. *Trap:* Rule 86A can block *more than the present balance* in the sense of restraining future use up to the blocked amount, but recent judicial view restricts negative-blocking beyond available balance — treat the exam answer as "blocks use of the ledger up to the ineligible amount."

Rule 86B — the 1%-in-cash rule. Where the **value of taxable supply (other than exempt and zero-rated supply) in a month exceeds ₹50 lakh**, the registered person must discharge **at least 1% of the output tax liability of that month in CASH** — i.e. credit can cover at most 99%. Rationale: a fraudster manufacturing fake ITC could otherwise pay tax entirely with fake credit and never touch cash (Problem 5). **Exceptions** (Rule 86B does *not* apply) include: - the proprietor / karta / MD / any two partners / whole-time directors etc. have **paid income tax > ₹1 lakh** in each of the **last two financial years**; - the registered person has **received a refund > ₹1 lakh** on account of unutilised ITC (zero-rated without payment) or inverted duty structure in the preceding FY; - the registered person has **already discharged > 1% of cumulative output tax in cash** cumulatively up to that month in the current FY; - the registered person is a **government department, PSU, local authority or statutory body.** *Verify the exception list and the ₹50 lakh trigger against current ICAI material for your attempt.*

4.3 Order of discharge of liability — Sec 49(8)

Whatever cash/credit you have is applied in this **mandatory sequence**:

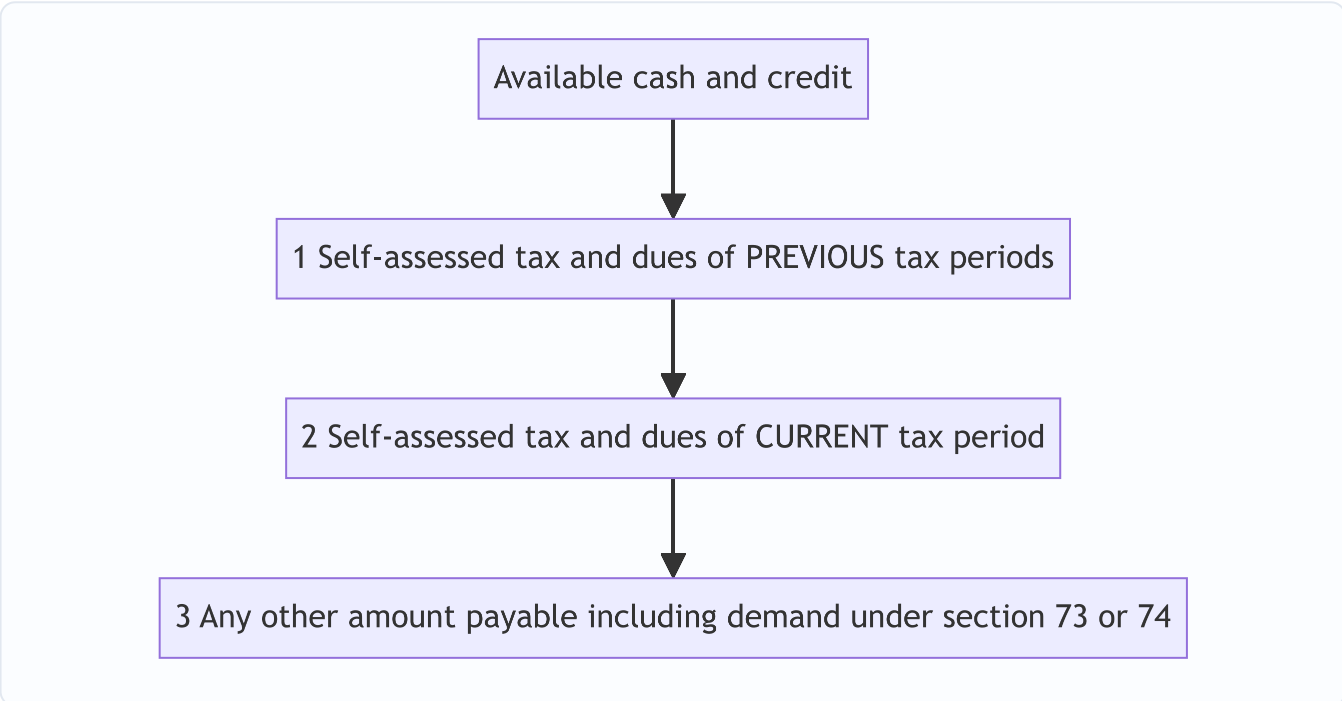

Figure 22.3 — Oldest first. You cannot pay this month return while last month return sits unpaid.

Within each level, tax, interest, penalty and fee are all "dues." The principle: **the government's oldest, most-at-risk claim is satisfied before you get to touch the comfortable current-period tax.** Note the interaction with Sec 49(4): within any level, the *credit* ledger can only clear the *tax* component — the interest/penalty/fee slices must still come from cash. So the discharge order fixes *which period*, while the cash-vs-credit rule fixes *which instrument*.

4.4 Interest on delayed payment — Section 50 read with Rule 88B

Interest is **compensatory, not penal** — it is the time-value of money the government was deprived of. Two rates, three bases:

Situation	Section	Rate	Base for interest (Rule 88B)
Delayed payment of tax — return filed late, tax declared in it	50(1) proviso	**18% p.a.**	**Net cash liability only** — the portion paid by debiting the cash ledger, from due date to actual payment date (Rule 88B(1))
Tax otherwise short-paid / not paid (not via a delayed return — e.g. determined in proceedings, or return filed after Sec 73/74 begins)	50(1)	**18% p.a.**	On the **gross tax** amount (Rule 88B(2))
ITC **wrongly availed AND utilised**	50(3)	**24% p.a.**	On the wrongly-utilised ITC, from date of utilisation to date of reversal/payment (Rule 88B(3))

The crucial concession — proviso to Sec 50(1): where a person files the return (GSTR-3B) *late*, interest is charged **only on that part of the tax paid in cash**, not on the portion set off by ITC. *Why?* Because the ITC was **already lying in the exchequer's hands** (someone paid it upstream) — the government was never actually short of that money, so charging interest on it would be double-counting. **Exception:** if the return is filed *after commencement of proceedings under Sec 73/74*, interest runs on the **gross** amount. This proviso was made **retrospective from 1 July 2017.**

Sec 50(3) — the "availed AND utilised" refinement (Finance Act 2022, retrospective from 1.7.2017): interest at 24% bites only when wrongful credit is **both availed and *utilised*.** Merely availing (parking) wrong credit and reversing it before use attracts **no interest** — because unused credit did the exchequer no harm.

What "utilised" means — Rule 88B(3) explanation. Wrongly-availed credit is treated as *utilised* only to the extent that the **balance in the credit ledger falls below the wrongly-availed amount.** In other words, if you availed ₹1,00,000 of wrong credit but your ledger never dips below ₹1,00,000 (because you had ample genuine credit sitting on top), the wrong credit is deemed *not utilised* and no 24% interest arises until the balance drops. This is a favourite examiner subtlety: the *order* in which credit is spent, and how much genuine credit cushions the wrong credit, decides the interest. *Verify the exact wording of the Rule 88B(3) explanation for your attempt.*

Day-count convention: problems in the ICAI material typically use **365-day year and count from the day *after* the due date up to the date of payment** (or as directed in the question). Always state your convention; the marks are for method, not the second decimal.

4.5 TDS under GST — Section 51 read with Rule 66

Who deducts (deductors): a department/establishment of the Central or State Government, local authority, governmental agencies, and **notified persons** — e.g. an authority/board/body set up by Parliament/State legislature or by a government with **≥51% government participation** (equity or control), a society established by the Central/State Government or a local authority under the Societies Registration Act, and public sector undertakings.

When and how much: deduct **2%** (as **1% CGST + 1% SGST**, or **2% IGST**) from the payment made/credited to the supplier where **the total value of taxable supply under a *contract* exceeds ₹2,50,000.** The ₹2,50,000 is computed **excluding** CGST/SGST/IGST/cess indicated in the invoice.

When NO TDS (key exclusions): - where the **location of supplier and the place of supply are in a State/UT *different* from the State/UT of registration of the recipient (deductor)** — because in that mismatch the deductor could not get credit of the deduction, so the law simply exempts it; - on the **tax component** itself (deduction is on taxable value, not on tax); - where the supply is of **exempt goods/services** or is **not a taxable supply;** - to an **unregistered supplier** in situations the law carves out — *verify the exact exclusion list;* - where the **contract value ≤ ₹2,50,000** (threshold is *exceeds*).

Compliance: deposit by the **10th of the next month;** file return in **Form GSTR-7** by the 10th; issue **TDS certificate in Form GSTR-7A.** The deducted amount is **auto-populated into the supplier's Electronic *Cash* Ledger**, which the supplier then uses to pay his own tax. **Late deposit attracts 18% interest;** late filing of GSTR-7 attracts **late fee** (verify current amount), and failure to issue the certificate historically attracted a late fee capped per the Act — *verify current position, as the certificate late fee was rationalised.*

4.6 TCS under GST — Section 52 read with Rule 67

Who collects: an **Electronic Commerce Operator (ECO)** (a marketplace) who **collects the *consideration*** on behalf of suppliers supplying goods/services through its platform. TCS does **not** apply where the ECO is itself made liable to pay tax on the supply under **Sec 9(5)** (e.g. notified services like passenger transport, certain accommodation, restaurant service through ECO) — there the ECO pays *as the supplier*, so there is nothing to collect at source.

How much: up to 1% (0.5% CGST + 0.5% SGST, or 1% IGST) of the **net value of taxable supplies** made through it by other suppliers where consideration is collected by the ECO. **Net value of taxable supplies = aggregate taxable supplies of goods/services (other than Sec 9(5) services) made through the ECO by all registered suppliers − taxable supplies *returned* to the suppliers**, in the month. (Exempt supplies are excluded from the base.)

Compliance: collect and deposit by the **10th of the next month;** file **Form GSTR-8** by the 10th; and file an **annual statement** by the prescribed date. The collected TCS is credited to the **supplier's Electronic *Cash* Ledger.** A **matching mechanism** reconciles the ECO's reported supplies against each supplier's declared outward supplies; a discrepancy is communicated to both and, if unresolved, added to the supplier's liability. A supplier making supplies through an ECO liable to collect TCS is **compulsorily registrable** (with limited exceptions) — a cross-link to the Registration chapter.

> **TDS vs TCS in one line:** TDS = the *buyer* (government) skims 2% on large contracts; TCS = the *platform* skims ~1% on the sellers' net sales. Both land in the **real supplier's cash ledger** as pre-paid tax.

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5. Worked Examples

Worked Example 1 — Straight set-off applying Rule 88A / Sec 49A

Given (for a month, intra-state + inter-state mix):

Head	Output tax liability	ITC available
IGST	₹1,00,000	₹1,30,000
CGST	₹80,000	₹50,000
SGST	₹80,000	₹40,000
Total	**₹2,60,000**	**₹2,20,000**

Step 1 — IGST credit first (Sec 49A). IGST credit ₹1,30,000 pays IGST liability ₹1,00,000. **Balance IGST credit = ₹30,000.**

Step 2 — Apply balance IGST credit to CGST/SGST (Rule 88A, any order). Apply the ₹30,000 to CGST. CGST now needs ₹80,000 − ₹30,000 = ₹50,000 more. IGST credit exhausted → now CGST/SGST credit may be used.

Step 3 — Own-head credit. CGST credit ₹50,000 pays remaining CGST ₹50,000 → **CGST fully discharged, CGST credit exhausted.** SGST credit ₹40,000 pays part of SGST ₹80,000 → remaining SGST ₹40,000.

Step 4 — Cash. Remaining SGST ₹40,000 paid from the cash ledger.

Head	Liability	Paid by IGST credit	Paid by own credit	Paid in CASH
IGST	1,00,000	1,00,000	—	0
CGST	80,000	30,000	50,000	0
SGST	80,000	—	40,000	40,000
Total	**2,60,000**	**1,30,000**	**90,000**	**40,000**

Reconciliation: credit used 1,30,000 + 90,000 = ₹2,20,000 = total ITC (fully used, nothing stranded). Cash ₹40,000. 2,20,000 + 40,000 = **₹2,60,000 = total liability.** ✓

Worked Example 2 — Why "any proportion" (Rule 88A) decides your cash outflow

Given: Output — CGST ₹1,00,000, SGST ₹1,00,000, IGST **nil.** ITC — IGST ₹1,00,000, CGST ₹20,000, SGST ₹90,000.

There is no IGST liability, so the entire ₹1,00,000 IGST credit must be spread over CGST and SGST. **How you split it changes the cash you pay.**

Suboptimal split — dump all IGST credit into CGST: - CGST 1,00,000 = IGST credit 1,00,000 → CGST fully paid, but **CGST own-credit ₹20,000 is now stranded** (it can only pay CGST/IGST, both nil). - SGST 1,00,000 = SGST credit 90,000 + **cash ₹10,000.** - **Cash paid = ₹10,000; ₹20,000 CGST credit carried forward unused.**

Optimal split — send IGST credit to the head with the *weaker* own-credit (CGST): - CGST 1,00,000 = own CGST credit 20,000 + **IGST credit 80,000** → fully paid, no cash. - SGST 1,00,000 = own SGST credit 90,000 + **IGST credit 10,000** → fully paid, no cash. - IGST credit used = 80,000 + 10,000 = 90,000; **balance IGST credit ₹10,000 carried forward.** - **Cash paid = ₹0.**

Reconciliation: total liability ₹2,00,000; total ITC ₹2,10,000. Optimal answer: credit used ₹2,00,000, cash ₹0, ₹10,000 IGST credit c/f. **The examiner's trap:** mechanical "IGST → CGST first" costs ₹10,000 cash and strands

₹20,000 credit. Rule 88A's *any proportion* lets you avoid it — always route IGST balance to the head whose own-head credit is short.

Worked Example 3 — Interest on delayed return (net-cash basis, Sec 50(1) proviso + Rule 88B(1))

Given: GSTR-3B for a month is due **20th**, filed **40 days late.** Output — IGST ₹30,000, CGST ₹50,000, SGST ₹50,000. ITC — IGST ₹40,000, CGST ₹20,000, SGST ₹20,000.

Step 1 — set off (as in Ex 1). - IGST credit 40,000: pays IGST 30,000; balance 10,000 → apply to CGST. - CGST 50,000 = IGST 10,000 + CGST credit 20,000 = 30,000 → cash **₹20,000.** - SGST 50,000 = SGST credit 20,000 → cash **₹30,000.**

Step 2 — net cash liability = ₹20,000 (CGST) + ₹30,000 (SGST) = ₹50,000. Interest under the proviso to Sec 50(1) runs **only on this ₹50,000**, not on the ₹80,000 discharged by ITC.

Step 3 — interest @18% for 40 days: - CGST: 20,000 × 18% × 40/365 = 3,600 × 40/365 = **₹394.52** - SGST: 30,000 × 18% × 40/365 = 5,400 × 40/365 = **₹591.78** - **Total interest = ₹986.30** (≈ ₹986)

Cross-check on the aggregate: 50,000 × 18% × 40/365 = 9,000 × 40/365 = **₹986.30. ✓ Contrast:** had interest been (wrongly) charged on gross tax ₹1,30,000 → 1,30,000 × 18% × 40/365 = ₹2,564.38. The proviso saves the taxpayer ₹1,578 by not taxing time-value on credit already in the exchequer's hands.

Worked Example 4 — TDS under Section 51

Given: A State Government department contracts for taxable works of **₹5,00,000** (value excluding GST), GST @18% intra-state (CGST 9% + SGST 9%). Supplier and place of supply both in the department's State.

- Contract taxable value ₹5,00,000 **> ₹2,50,000 → TDS applies.**
- GST on invoice = ₹90,000 (CGST 45,000 + SGST 45,000); invoice total ₹5,90,000.
- **TDS = 2% of ₹5,00,000 = ₹10,000**, i.e. **CGST 1% = ₹5,000 + SGST 1% = ₹5,000.** (TDS is on value *excluding* tax.)
- Department pays supplier ₹5,90,000 − ₹10,000 = **₹5,80,000**, and deposits **₹10,000** by the **10th of next month** via **GSTR-7**, issuing **GSTR-7A.**
- The supplier's **Electronic Cash Ledger is credited with ₹10,000**, usable against his own liability.

Trap check: had the value been ₹2,50,000 exactly, no TDS (threshold is *exceeds* ₹2,50,000). Had supplier/PoS been in a different State from the recipient's registration → **no TDS** even above threshold.

Worked Example 5 — TCS under Section 52

Given: In a month, sellers make taxable supplies of **₹10,00,000** through an e-commerce operator; goods worth **₹1,00,000** are returned. All intra-state.

- **Net value of taxable supplies = ₹10,00,000 − ₹1,00,000 = ₹9,00,000.**
- **TCS @1% = ₹9,000**, collected as **CGST 0.5% = ₹4,500 + SGST 0.5% = ₹4,500.**
- The ECO deposits ₹9,000 by the **10th of next month** via **GSTR-8**; the amount is credited to the **suppliers' Electronic Cash Ledgers** in proportion to their supplies.

Reconciliation: TCS is on the *net* figure — returns are netted first, so the platform never over-collects on goods that came back.

Worked Example 6 — Rule 86B (the 1% cash floor) and its exception

Given: For the month, **taxable turnover (other than exempt/zero-rated) = ₹80,00,000** (> ₹50 lakh, so Rule 86B is in scope). Output tax liability = **₹14,40,000** (₹7,20,000 CGST + ₹7,20,000 SGST). ITC available is more than enough to cover the whole liability. Consider two fact-patterns.

Case A — no exception applies. - Rule 86B caps credit at 99% → **minimum cash = 1% of ₹14,40,000 = ₹14,400.** - So even though ITC could cover 100%, the taxpayer must pay **at least ₹14,400 in cash** (split across CGST/SGST as the liability sits), discharging the remaining ₹14,25,600 by credit. - *Why:* the 1% floor guarantees a sliver of real money touches the exchequer, defeating an all-fake-credit discharge.

Case B — the managing director paid income tax > ₹1 lakh in each of the last two FYs. - The exception in Rule 86B applies → **Rule 86B does not bite.** - The taxpayer may discharge the **entire ₹14,40,000 by ITC**, cash payable = **₹0** (assuming no interest/RCM/penalty, which would still need cash).

Reconciliation / trap: Rule 86B is computed on **output tax liability, not on turnover** — the ₹50 lakh turnover is only the *trigger*, the 1% is applied to *tax.* A very common error is taking 1% of ₹80,00,000. Also note the floor is **1% of the *month*'s liability**, evaluated month by month, and RCM/interest/penalty always sit outside the credit ledger regardless of Rule 86B.

Worked Example 7 — "Availed vs availed-and-utilised": when 24% interest actually starts (Sec 50(3), Rule 88B(3))

Given: In April a taxpayer wrongly avails **₹1,00,000** of ineligible ITC. His credit ledger movements are: - Opening genuine credit **₹1,50,000**; plus the wrong ₹1,00,000 → total ₹2,50,000. - April utilisation for output tax = ₹80,000 → balance ₹1,70,000. - May utilisation = ₹1,10,000 → balance ₹60,000. - In June the department flags it and the taxpayer reverses ₹1,00,000.

Analysis (Rule 88B(3) — wrong credit is "utilised" only when the ledger balance falls below the wrongly-availed ₹1,00,000): - End of April balance ₹1,70,000 ≥ ₹1,00,000 → wrong credit **not yet utilised** → **no interest for April.** - End of May balance ₹60,000 < ₹1,00,000 → shortfall ₹40,000 is deemed *utilisation of wrong credit.* So **₹40,000 is treated as wrongly utilised** from the date the balance dipped below ₹1,00,000. - **24% interest runs only on the ₹40,000**, from the date of that dip to the date of reversal in June — **not on the full ₹1,00,000**, and **nothing** for the period the balance stayed above ₹1,00,000.

Reconciliation / why: unused wrong credit harms no one, so interest tracks only the amount that actually *left* the exchequer's control. If the taxpayer had reversed the ₹1,00,000 in April while the balance was still ₹1,70,000, interest would be **nil.** *This is the single most misread interest rule in the chapter — verify the precise Rule 88B(3) explanation wording for your attempt, as the "falls below" mechanics are examiner gold.*

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6. Format / Summary Tables

The three ledgers at a glance:

Ledger	Form	Section	What it holds	Can pay
Cash	PMT-05	49(1),(3)	Money deposited via PMT-06 challan	**Anything** — tax, interest, penalty, fee, other
Credit	PMT-02	49(2),(4)	Self-assessed ITC	**Output tax ONLY**
Liability	PMT-01	49(7)	All amounts owed	(register of dues)

PMT form family (recognise on sight):

Form	Purpose
PMT-01	Electronic Liability Register
PMT-02	Electronic Credit Ledger
PMT-03	Re-credit of rejected refund to credit ledger
PMT-04	Report a discrepancy in any ledger
PMT-05	Electronic Cash Ledger
PMT-06	Deposit challan (valid 15 days; OTC ≤ ₹10,000)
PMT-07	Complaint — amount debited by bank but no CIN
PMT-09	Transfer of amount within cash ledger (Sec 49(10))

Credit utilisation matrix (can head-X credit pay head-Y tax?):

Credit ↓ / Tax →	IGST	CGST	SGST/UTGST
IGST	1st	Yes (after IGST)	Yes (after IGST)
CGST	Yes (after IGST credit gone)	1st	**NEVER**
SGST/UTGST	Yes (after IGST credit gone)	**NEVER**	1st

Interest & collection quick-map:

Item	Rate	Return	Due date	Lands in
Delayed tax (late return)	18% on net cash	—	with GSTR-3B	—
Tax short/not paid (proceedings)	18% on gross	—	—	—
Wrong ITC availed & utilised	24%	—	—	—
TDS (Sec 51)	2% (1%+1%)	GSTR-7	10th next month	Supplier cash ledger
TCS (Sec 52)	~1% (0.5%+0.5%) on net value	GSTR-8	10th next month	Supplier cash ledger

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7. Connections — how this chapter wires into the rest of GST

- **Input Tax Credit chapter:** the credit ledger is *fed* by eligible ITC (Sec 16–18). Payment is where that credit is finally *spent*. The utilisation order here is the downstream half of the ITC story; Rule 86A/86B are the anti-abuse gates that sit between "availed" and "utilised."
- **Returns chapter:** GSTR-3B is the document that *simultaneously* declares liability (debits PMT-01), reports ITC (credits PMT-02) and effects payment. The Sec 50(1) proviso (interest on net cash) is triggered by *late GSTR-3B*. GSTR-7/GSTR-8 are the TDS/TCS returns.

- **Time & Value of Supply:** they fix *how much* liability arises and *when* — this chapter is *how that liability is extinguished.*
- **Registration chapter:** ECO suppliers are compulsorily registrable (Sec 24); deductors/collectors take a **separate TDS/TCS registration.**
- **Refunds chapter:** excess balance in the cash ledger is refundable, and wrongly-rejected refunds re-credited via PMT-03 connect back here. The two-ledger wall keeps refunds honest.
- **Demands & Recovery (Sec 73/74):** the "any other amount / demand" tier of the discharge order (Sec 49(8)(c)), the *gross-interest* exception, and Rule 86A blocking all point forward to that chapter.
- **Income-tax TDS/TCS (Direct Tax portion of this guide):** same *philosophy* — collect at source at a choke-point — but GST TDS/TCS credit goes to the **cash ledger**, not against income tax, and the rates/thresholds differ entirely. Do not confuse the two regimes.

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8. Traps & Examiner Tricks

1. **Credit for interest/penalty — the classic wrong answer.** The credit ledger can pay *output tax only* (Sec 49(4)). Interest, penalty, late fee, and **RCM tax must be paid in CASH.** Any exam set-off that discharges interest from ITC is wrong. Remember *why*: "output tax" (Sec 2(82)) **excludes RCM tax.**
2. **Interest base = net cash, not gross.** For a *late-filed return*, interest under the Sec 50(1) proviso is on the **cash portion only** (see Ex 3). Charging 18% on the ITC-set-off portion is the most common trap. But note the exception: **gross** basis if the return is filed *after* Sec 73/74 proceedings begin.
3. **"Availed" vs "availed and utilised" (24%).** Sec 50(3) interest bites only if wrong ITC is *utilised.* And per Rule 88B(3), "utilised" is measured by the ledger balance falling **below** the wrong amount — interest can be on a *part* only (see Ex 7). Wrong credit reversed before the balance dips → **no interest.**
4. **IGST credit must be fully exhausted first (Sec 49A).** You cannot start using CGST/SGST credit while IGST credit remains. But *within* the leftover IGST credit, Rule 88A gives **free choice of order and proportion** — use it to avoid stranding own-head credit (Ex 2).
5. **CGST ⇄ SGST cross-utilisation is NEVER allowed** (Sec 49(5)(e),(f)). A tempting but fatal shortcut.
6. **TDS threshold is *per contract*, on value *excluding* GST, and *exceeds* ₹2,50,000** — exactly ₹2,50,000 = no TDS. And **no TDS on the supplier/PoS-different-State-from-recipient mismatch.**
7. **TCS is on *net* value (after returns), at ~1%, not 2%** — don't borrow the TDS rate. And TCS does **not** apply where the ECO itself pays under Sec 9(5).
8. **Order of discharge is mandatory (Sec 49(8)).** You cannot pay the current period while a previous-period due is open — a favourite conceptual MCQ.
9. **Rule 86B (1% cash) is 1% of *output tax liability, triggered by taxable turnover > ₹50 lakh per month*** — not 1% of turnover, not annual, and subject to exceptions (Ex 6).
10. **PMT-09 transfers cash between heads (Sec 49(10))** — it is *not* a refund and *not* a credit-ledger transaction; it moves money *within* the cash ledger only.
11. **OTC deposit cap ₹10,000 per challan per tax period**, and challan (PMT-06) is valid only **15 days.** Cash ledger is credited on the date the amount reaches the government account (matters for NEFT/RTGS timing).
12. **Rule 86A is temporary and a *restraint*, not a levy** — it blocks *use* of the credit (max one year), it does not cancel the credit or charge any rate. Do not confuse it with Rule 86B.

13. **TDS/TCS credit lands in the *cash* ledger, not the credit ledger** — even though it feels like "credit," it is prepaid *money*. A subtle wording trap.

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9. First-Principles Recap

Start from the single sentence that generates the whole chapter: **GST is self-assessed, so payment must be a glass-walled, rule-bound accounting act, not an officer's demand.**

- Because **money ≠ credit** in what they mean to the exchequer, they live in **two ledgers**, and the harmless one (credit) is restricted to output tax while the real one (cash) can pay anything.
- Because **credit belongs to specific governments**, it flows only along legal channels: **IGST first and fully, then ring-fenced CGST and SGST that never cross.**
- Because taxpayers would pay the **easy due first**, the law fixes **oldest-first discharge.**
- Because interest is **compensatory**, it is charged only on money the exchequer was *actually* deprived of — hence **net cash** for late returns, and 24% only when wrong credit was **actually used** (and only on the part that dipped the balance).
- Because the normal chain is **weak at government buyers and platforms**, collectors (TDS/TCS) skim a slice at source into the **supplier's cash ledger.**
- Because credit is otherwise **frictionless enough to be forged**, two anti-abuse gates guard it: **Rule 86A** freezes a suspect ledger, **Rule 86B** forces at least 1% real cash.

If you can rebuild the ledgers, the utilisation waterfall, the discharge order, the two interest bases, and the two anti-abuse gates from these "becauses," you never need to memorise a single sub-section — you can *derive* them.

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10. Quick-Revision Sheet

Ledgers (Sec 49): Cash (PMT-05, pays *anything*) · Credit (PMT-02, *output tax only*, never RCM/interest/penalty) · Liability (PMT-01). Challan PMT-06 (valid 15 days, OTC ≤ ₹10,000). Transfer between cash heads = PMT-09 (Sec 49(10), not a refund). Cash ledger = 4 major heads × 5 minor heads grid.

Utilisation (Sec 49(5), 49A, 49B, Rule 88A): IGST credit → IGST first → then CGST/SGST *any order & proportion*. CGST/SGST credit only *after IGST credit is zero*. CGST↔SGST **never** cross. **Rule 86A:** Commissioner may block a suspect credit ledger (temporary, ≤1 year). **Rule 86B:** taxable turnover > ₹50L/month → ≥1% of *output tax liability* in **cash** (subject to exceptions).

Order of discharge (Sec 49(8)): (1) previous-period dues → (2) current-period dues → (3) other amounts / Sec 73–74 demand. Within each level, credit clears only the *tax* slice; interest/penalty/fee = cash.

Interest (Sec 50, Rule 88B): 18% on **net cash** for late return (proviso; retrospective 1.7.2017) — **gross** if after 73/74 proceedings. 24% on ITC **availed *and* utilised** (Sec 50(3)); "utilised" = balance falls below the wrong amount; no interest if reversed before the dip. Formula: **Amount × rate × days ÷ 365.**

TDS (Sec 51): deductor = govt/local authority/notified body ≥51% govt; **2%** (1%+1%) where contract taxable value **> ₹2,50,000** (excl. GST); no TDS on supplier/PoS-vs-recipient State mismatch; **GSTR-7** by 10th, certificate **GSTR-7A** → supplier **cash ledger;** late deposit 18% interest.

TCS (Sec 52): e-commerce operator; **~1%** (0.5%+0.5%) on **net value** (supplies − returns); not for Sec 9(5) supplies; **GSTR-8** by 10th + annual statement → supplier **cash ledger;** matching mechanism reconciles.

Golden reconciliation check on every set-off sum: *ITC used + Cash paid = Total output liability*, and *no head-credit should be stranded if it could legally have been applied.*

> **Reminder:** re-verify the ₹2,50,000 TDS threshold, 2%/1% rates, ₹50L Rule 86B trigger, its exception list, and the 18%/24% interest rates against current ICAI material and notifications for your exam attempt — the mechanism is permanent, the figures are not.

Q&A — Payment of Tax

> CGST Act, 2017 — **Sections 49, 49A, 49B, 50, 51, 52** read with **Rules 85–88B** and the PMT-series forms; IGST paid under the IGST Act but discharged through the same machinery (Sec 20 IGST applies Sec 49 etc.). **The *mechanism* (three ledgers, utilisation waterfall, discharge order, two interest bases, TDS/TCS as source collections) is permanent. The *numbers* — TDS threshold ₹2,50,000, TDS 2%, TCS 0.5%+0.5%, Rule 86B ₹50 lakh/month trigger, interest 18%/24% — are amendment/notification-sensitive. Confirm the current figures from the ICAI Study Material/RTP for your attempt.**

SECTION A — Concept-Check (Short Q&A)

A1. Name the three electronic ledgers, their forms, and what each holds. Sec 49. *Electronic Cash Ledger* (**PMT-05**, Sec 49(1)) — real money deposited via challan PMT-06. *Electronic Credit Ledger* (**PMT-02**, Sec 49(2)) — ITC self-assessed in the return. *Electronic Liability Register* (**PMT-01**, Sec 49(7)) — the running record of all amounts owed (tax, interest, penalty, fee).

A2. Why are cash and credit kept in two separate ledgers instead of one pool? Because they mean different things to the exchequer. **Cash** is fresh revenue; **credit** is merely a bookkeeping offset of tax already collected upstream. Separating them (Sec 49(1) vs 49(2)) lets everyone see how much *real money* a taxpayer contributed — and lets the law restrict the harmless one (credit → output tax only, **Sec 49(4)**) while leaving cash free for any payment (**Sec 49(3)**).

A3. What can the cash ledger pay, and what can the credit ledger pay? Sec 49(3) — cash ledger pays **anything**: tax, interest, penalty, fee, or any other amount. **Sec 49(4)** — credit ledger pays **output tax only**; never interest, penalty, late fee, or reverse-charge (RCM) tax.

A4. State the base utilisation rule of Sec 49(5). IGST credit → IGST first, then CGST/SGST in any order. CGST credit → CGST, then IGST, **never SGST** (Sec 49(5)(e)). SGST/UTGST credit → SGST, then IGST, **never CGST** (Sec 49(5)(f)).

A5. What does Section 49A add on top of 49(5), and what does Rule 88A relax? Sec 49A — CGST/SGST credit may be used *only after IGST credit is fully exhausted* (IGST-first override). **Rule 88A** — after IGST credit pays IGST, its balance may go to CGST and SGST in **any order and any proportion** — the flexibility that lets you avoid stranding own-head credit.

A6. Why must IGST credit be exhausted first? IGST is the **shared inter-governmental pool** (Centre–State settlement). Draining it first keeps the settlement accounts clean and avoids leaving IGST credit stranded while cash is paid.

A7. State the mandatory order of discharge under Sec 49(8). (1) Self-assessed tax and dues of **previous** tax periods → (2) self-assessed tax and dues of the **current** tax period → (3) **any other amount** payable, including a demand under Sec 73/74. Oldest, most-at-risk claim first; you cannot pay the current return while a previous-period due is open.

A8. On what amount is interest charged for a *late-filed return*, and why? Proviso to Sec 50(1) + Rule 88B(1) — interest @18% runs on the **net cash portion only**, not on the ITC set-off portion. Reason: the ITC was already in the exchequer's hands (paid upstream), so the government was never short of that money. **Exception:** if the return is filed *after* Sec 73/74 proceedings commence, interest runs on the **gross** tax.

A9. When does the higher 24% interest apply? Sec 50(3) + Rule 88B(3) — only where ITC is **both availed AND utilised** wrongly. Merely availing (parking) wrong credit and reversing it before use attracts **no interest**, because unused credit did the exchequer no harm.

A10. What is Rule 86B and Rule 86A? Rule 86B — where **taxable turnover (excl. exempt/zero-rated) in a month exceeds ₹50 lakh**, at least **1% of output tax must be paid in cash** (credit covers at most 99%); stops discharge with 100% fake ITC. **Rule 86A** — the Commissioner may **block** use of the credit ledger on reasonable belief of fraudulent/ineligible ITC (a restraint, not a rate).

A11. TDS under Sec 51 — who, how much, threshold, and where it lands? Deductors = government departments, local authorities, notified persons (e.g. PSUs). Deduct **2% (1% CGST + 1% SGST, or 2% IGST)** where the taxable value **under a contract exceeds ₹2,50,000** (excluding GST). No TDS where supplier location + place of supply are in a State different from the recipient's registration State. Return **GSTR-7** by 10th, certificate **GSTR-7A**; amount lands in the **supplier's cash ledger**.

A12. TCS under Sec 52 — who, how much, on what base? An **Electronic Commerce Operator** collects **up to 1% (0.5% CGST + 0.5% SGST, or 1% IGST)** on the **net value of taxable supplies** (supplies − returns) made through it by other sellers. Not applicable where the ECO itself pays under **Sec 9(5)**. Return **GSTR-8** by 10th; amount lands in the **supplier's cash ledger**.

A13. What is Form PMT-09 for? Sec 49(10) — transfer of an amount **within the cash ledger** from one tax head/minor-head to another (e.g. IGST-interest → CGST-tax). **Sec 49(11)** confirms it is *not* treated as a refund. It fixes stranded/wrongly-deposited cash; it never touches the credit ledger.

SECTION B — Graded Computational Problems

B1 (Easy) — Straight set-off with IGST credit balance

Given (one month):

Head	Output liability	ITC available
IGST	60,000	90,000
CGST	70,000	40,000
SGST	70,000	30,000
Total	**2,00,000**	**1,60,000**

Step 1 — IGST credit first (Sec 49A). IGST credit 90,000 pays IGST 60,000. Balance IGST credit = **30,000**. **Step 2 — Balance IGST credit to CGST (Rule 88A).** Apply 30,000 to CGST → CGST still needs 70,000 − 30,000 = 40,000. IGST credit now zero. **Step 3 — Own-head credit.** CGST credit 40,000 pays remaining CGST 40,000 → CGST discharged, CGST credit zero. SGST credit 30,000 pays part of SGST → remaining SGST = 70,000 − 30,000 = 40,000. **Step 4 — Cash.** SGST 40,000 from cash ledger.

Head	Liability	IGST credit	Own credit	Cash
IGST	60,000	60,000	—	0
CGST	70,000	30,000	40,000	0
SGST	70,000	—	30,000	40,000
Total	**2,00,000**	**90,000**	**70,000**	**40,000**

Reconciliation: credit used 90,000 + 70,000 = 1,60,000 = total ITC; cash 40,000; 1,60,000 + 40,000 = **2,00,000 = total liability.** ✓ Nothing stranded.

B2 (Moderate) — "Any proportion" (Rule 88A) decides cash outflow

Given: Output — CGST 1,20,000, SGST 1,20,000, IGST **nil**. ITC — IGST 1,20,000, CGST 30,000, SGST 1,00,000.

There is no IGST liability, so the full ₹1,20,000 IGST credit must be spread over CGST and SGST — and *how* you split it changes the cash.

Suboptimal (dump IGST credit into CGST first): - CGST 1,20,000 = IGST credit 1,20,000 → paid, but **CGST own-credit 30,000 stranded** (can only pay CGST/IGST, both now nil). - SGST 1,20,000 = SGST credit 1,00,000 + **cash 20,000**. - **Cash = 20,000; 30,000 CGST credit carried forward unused.**

Optimal (route IGST credit to the head with weaker own-credit = CGST): - CGST 1,20,000 = own CGST credit 30,000 + **IGST credit 90,000** → paid, no cash. - SGST 1,20,000 = own SGST credit 1,00,000 + **IGST credit 20,000** → paid, no cash. - IGST credit used = 90,000 + 20,000 = 1,10,000; **balance IGST credit 10,000 c/f.** - **Cash = 0.**

Reconciliation: liability 2,40,000; ITC 2,50,000. Optimal: credit used 2,40,000, cash 0, 10,000 IGST credit c/f. ✓ The mechanical split wastes ₹20,000 cash and strands ₹30,000 credit; Rule 88A's *any proportion* avoids it — always send the IGST balance to the head whose own-head credit is short.

B3 (Moderate) — Interest on a delayed return (net-cash basis)

Given: GSTR-3B due **20th**, filed **50 days late**. Output — IGST 40,000, CGST 60,000, SGST 60,000. ITC — IGST 50,000, CGST 25,000, SGST 25,000. (Assume a 365-day year.)

Step 1 — set-off. - IGST credit 50,000: pays IGST 40,000; balance 10,000 → apply to CGST. - CGST 60,000 = IGST 10,000 + CGST credit 25,000 = 35,000 → cash **25,000**. - SGST 60,000 = SGST credit 25,000 → cash **35,000**.

Step 2 — net cash liability = 25,000 + 35,000 = ₹60,000. Interest (proviso to Sec 50(1) + Rule 88B(1)) runs only on this ₹60,000, not on the ₹1,00,000 met by ITC.

Step 3 — interest @18% for 50 days: - CGST: 25,000 × 18% × 50/365 = 4,500 × 50/365 = **₹616.44** - SGST: 35,000 × 18% × 50/365 = 6,300 × 50/365 = **₹863.01** - **Total = ₹1,479.45 (≈ ₹1,479).**

Cross-check: 60,000 × 18% × 50/365 = 10,800 × 50/365 = **₹1,479.45.** ✓ **Contrast:** on gross tax ₹1,60,000 → 1,60,000 × 18% × 50/365 = **₹3,945.21** — the proviso saves ₹2,466 by not taxing time-value on credit already with the exchequer.

B4 (Moderate) — Interest at 24% on wrongly utilised ITC

Given: A taxpayer wrongly availed IGST credit of ₹80,000. Of this, ₹50,000 was **utilised** to pay output tax; the remaining ₹30,000 sat unused and was reversed on discovery. Days of default on the utilised portion = 90.

Answer (Sec 50(3) + Rule 88B(3)): Interest @**24%** applies **only on the ₹50,000 actually utilised**, from date of utilisation to date of reversal/payment. The ₹30,000 merely availed but reversed before use attracts **no interest**. Interest = 50,000 × 24% × 90/365 = 12,000 × 90/365 = **₹2,958.90 (≈ ₹2,959).** *Trap:* charging 24% on the full ₹80,000 is wrong — "availed" alone is not enough; it must be "availed **and** utilised."

B5 (Exam-hard) — Combined set-off + Rule 86B + net-cash interest

Given (one month): Output — IGST 1,00,000, CGST 3,00,000, SGST 3,00,000 (total **7,00,000**). ITC — IGST 1,50,000, CGST 2,80,000, SGST 2,90,000. Monthly **taxable turnover = ₹80 lakh** (so Rule 86B applies). Return filed **30 days late**; assume 365 days.

Step 1 — set-off (optimise via Rule 88A). - IGST credit 1,50,000 pays IGST 1,00,000 → balance 50,000. Send it to CGST (the head we will test for cash). - CGST 3,00,000 = own CGST credit 2,80,000 + IGST credit 20,000 = 3,00,000 → **CGST fully by credit** (IGST credit balance now 50,000 − 20,000 = 30,000). - SGST 3,00,000 = own SGST credit 2,90,000 + IGST credit 30,000 = 3,20,000 available, need 3,00,000 → covered; IGST credit fully used, SGST own-credit 10,000 unused → **SGST fully by credit**.

Pure set-off would give **cash = 0**. But **Rule 86B** overrides: at least **1% of output tax must be paid in cash**.

Step 2 — Rule 86B floor. 1% of total output tax 7,00,000 = **₹7,000 minimum cash**, regardless of available credit. So ₹7,000 must be discharged in cash (credit may cover the other 99% = ₹6,93,000). The taxpayer therefore pays ₹7,000 cash and carries the corresponding unused credit forward.

Step 3 — interest on late return. Net cash liability here is the Rule 86B-mandated **₹7,000** (the only cash actually payable this month). Interest @18% for 30 days = 7,000 × 18% × 30/365 = 1,260 × 30/365 = **₹103.56 (≈ ₹104).**

Reconciliation: liability 7,00,000 = credit used 6,93,000 + cash 7,000. ✓ Rule 86B converts what looked like a zero-cash month into a ₹7,000 minimum cash outflow, on which the late-filing interest then runs. *Note:* Rule 86B has exceptions (e.g. large income-tax paid in prior years, refunds > ₹1 lakh, government bodies) — verify the current list for your attempt.

B6 (Exam-hard) — TDS with threshold and inter-state mismatch

Given: (i) A State Govt department contracts intra-state works of **₹6,00,000** (excl. GST) @18%; supplier and place of supply in the department's own State. (ii) A second contract of **₹2,50,000** (excl. GST). (iii) A third contract of **₹4,00,000** where the supplier's location + place of supply are in **State X** but the recipient department is registered in **State Y**.

Contract (i): Value 6,00,000 **> 2,50,000** → **TDS applies**. TDS = 2% of 6,00,000 = **₹12,000 (CGST 6,000 + SGST 6,000)**. GST on invoice = 1,08,000 (54,000 + 54,000); invoice total 7,08,000. Department pays supplier 7,08,000 − 12,000 = **₹6,96,000** and deposits ₹12,000 via **GSTR-7** by the 10th; supplier's **cash ledger** credited ₹12,000. **Contract (ii):** Value **exactly 2,50,000** — threshold is *exceeds* ₹2,50,000 → **NO TDS**. **Contract (iii):** Supplier/PoS State ≠ recipient's registration State → **NO TDS** (the mismatch exemption, Sec 51), even though 4,00,000 > threshold.

B7 (Exam-hard) — TCS on net value through an ECO

Given: In a month, sellers make taxable supplies of **₹25,00,000** through an e-commerce operator; **₹3,00,000** of goods are returned. Separately, ₹5,00,000 of supplies are those on which the **ECO itself is liable under Sec 9(5)**. All intra-state.

Step 1 — exclude Sec 9(5) supplies. TCS is only on supplies by *other sellers*: 25,00,000 − 5,00,000 = ₹20,00,000. **Step 2 — net value.** 20,00,000 − 3,00,000 (returns) = **₹17,00,000**. **Step 3 — TCS @1%.** = **₹17,000 (CGST 8,500 + SGST 8,500)**, deposited via **GSTR-8** by the 10th; credited to the **sellers' cash ledgers**. *Trap:* returns are netted *before* applying the rate, and Sec 9(5) supplies never enter the base.

SECTION C — Past-Paper-Style Full Questions

C1. "M/s Alpha Ltd (registered in Delhi) has, for the month, output tax of IGST ₹90,000, CGST ₹1,50,000, SGST ₹1,50,000, and ITC of IGST ₹1,20,000, CGST ₹1,00,000, SGST ₹80,000. Compute the minimum cash payable under each head, utilising ITC in the most beneficial manner. State the provisions."

Provisions: Sec 49(5), 49A and Rule 88A. IGST credit first (fully), then CGST/SGST credit; balance IGST credit spread in the best proportion.

- **IGST liability 90,000** = IGST credit 90,000 → balance IGST credit 30,000.
- Route the ₹30,000 IGST balance to **SGST** (SGST own-credit 80,000 is weaker than CGST 1,00,000).
- **CGST 1,50,000** = CGST credit 1,00,000 + cash **50,000**.
- **SGST 1,50,000** = SGST credit 80,000 + IGST credit 30,000 = 1,10,000 → cash **40,000**.

Head	Liability	IGST credit	Own credit	Cash
IGST	90,000	90,000	—	0
CGST	1,50,000	—	1,00,000	50,000
SGST	1,50,000	30,000	80,000	40,000
Total	**3,90,000**	**1,20,000**	**1,80,000**	**90,000**

Reconciliation: credit 1,20,000 + 1,80,000 = 3,00,000; cash 90,000; total = **3,90,000.** ✓ Minimum cash = **CGST 50,000 + SGST 40,000 = ₹90,000**; IGST cash nil. *(Routing the IGST balance to CGST instead would still give total cash ₹90,000 here since both heads have surplus liability over own-credit — but the habit of feeding the weaker head is what protects you when one head's own-credit would otherwise be stranded.)*

C2. "Explain, with the statutory basis, why interest on a belatedly filed GSTR-3B is computed only on the net cash liability, and state the one situation where it is instead computed on the gross tax."

Model answer: Under the **proviso to Sec 50(1)**, read with **Rule 88B(1)**, where a return is filed after the due date, interest @18% p.a. is levied only on the tax paid by **debiting the electronic cash ledger** (the net cash component). The rationale: the ITC portion of the liability was already deposited with the government upstream by the earlier supplier, so the exchequer was never actually deprived of that money — charging interest on it would be double counting. **Exception:** where the return is furnished **after commencement of proceedings under Sec 73 or 74**, interest is charged on the **gross** tax liability (Rule 88B(2) basis), because the concession is meant for honest late filers, not for those regularised only after detection. This proviso was given **retrospective effect from 1 July 2017**.

C3. "Distinguish TDS (Sec 51) from TCS (Sec 52) under GST on: who deducts/collects, rate, base, threshold, return, and where the amount is credited."

Feature	TDS — Sec 51	TCS — Sec 52
Who	Govt dept / local authority / notified persons (buyer side)	Electronic Commerce Operator (platform)
Rate	**2%** (1% CGST + 1% SGST / 2% IGST)	**up to 1%** (0.5% + 0.5% / 1% IGST)
Base	Taxable value under a contract (excl. GST)	Net value of taxable supplies (supplies − returns)
Threshold	Contract value **> ₹2,50,000**	No threshold
Not applicable	Supplier/PoS State ≠ recipient's reg. State	Supplies where ECO pays under Sec 9(5)
Return / cert.	**GSTR-7** by 10th; cert. **GSTR-7A**	**GSTR-8** by 10th; annual statement
Credited to	**Supplier's electronic cash ledger**	**Supplier's electronic cash ledger**

Both are **collections at source** at choke-points (Problem 4 of the design), not fresh taxes; both feed the real supplier's cash ledger as pre-paid tax.

SECTION D — MCQs / Case Scenarios

D1. The electronic credit ledger can be used to pay — (a) tax, interest and penalty (b) output tax only (c) any liability including late fee (d) RCM tax **Ans: (b).** Sec 49(4) restricts the credit ledger to output tax; interest/penalty/fee/RCM are cash only.

D2. After IGST credit pays IGST liability, its balance can be applied to CGST and SGST — (a) equally only (b) CGST first, then SGST (c) in any order and any proportion (d) SGST first, then CGST **Ans: (c).** Rule 88A gives free choice of order and proportion once IGST is paid.

D3. CGST credit can be used to pay — (a) CGST then SGST (b) CGST then IGST (c) any head (d) SGST then IGST **Ans: (b).** Sec 49(5)(e) — CGST then IGST; never SGST.

D4. Interest @24% under Sec 50(3) applies when ITC is — (a) merely availed (b) availed and utilised (c) reversed before use (d) carried forward **Ans: (b).** Rule 88B(3) — the credit must be both availed and utilised.

D5. A government department awards a taxable contract of ₹2,50,000 (excl. GST). TDS to be deducted — (a) ₹5,000 (b) ₹2,500 (c) Nil (d) ₹10,000 **Ans: (c).** Sec 51 triggers only where value *exceeds* ₹2,50,000; exactly ₹2,50,000 = no TDS.

D6. Under Sec 49(8), which is discharged first? (a) current-period self-assessed tax (b) previous-period dues (c) Sec 73/74 demand (d) interest of current period **Ans: (b).** Order of discharge: previous-period dues → current-period dues → other amounts/demands.

D7. Rule 86B (1% cash) is triggered when monthly **taxable** turnover exceeds — (a) ₹50 lakh (b) ₹1 crore (c) ₹20 lakh (d) ₹1.5 crore **Ans: (a).** Per month, on taxable turnover (excl. exempt/zero-rated); at least 1% of output tax in cash.

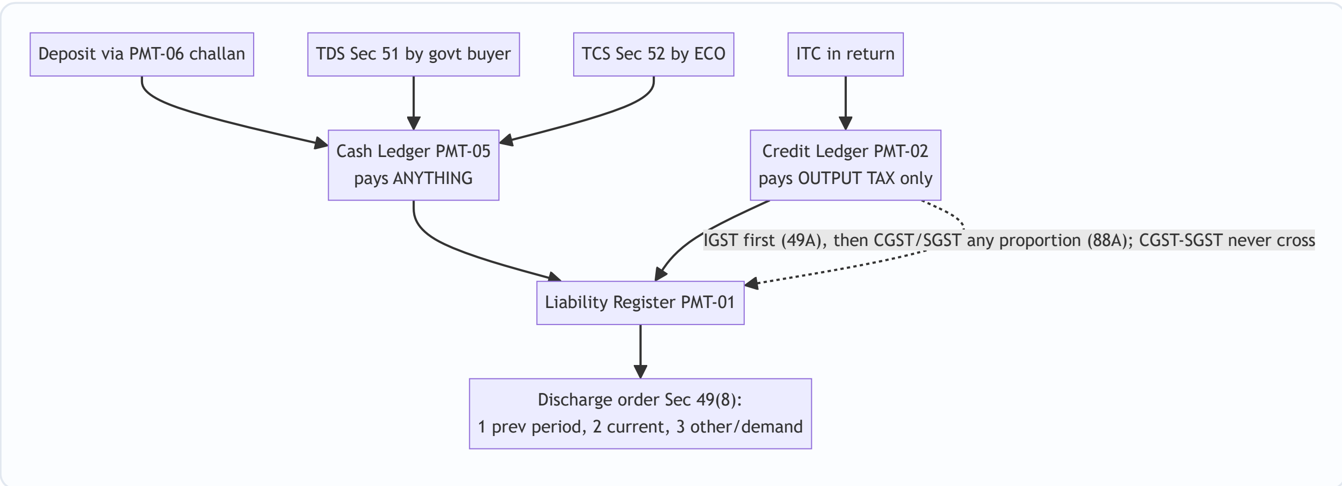
D8. Transfer of wrongly-deposited amount between heads of the cash ledger is done through — (a) PMT-03 (b) PMT-06 (c) PMT-09 (d) GSTR-7 **Ans: (c).** Sec 49(10), Form PMT-09; treated as not a refund (Sec 49(11)).

D9. An ECO's TCS is computed on — (a) gross supplies (b) net value = supplies − returns (c) supplies + tax (d) Sec 9(5) supplies **Ans: (b).** Sec 52 — net value; Sec 9(5) supplies are excluded (ECO pays as supplier there).

D10 (Case). X Ltd files GSTR-3B 20 days late. Output tax ₹2,00,000, of which ₹1,50,000 was set off by ITC and ₹50,000 paid in cash. Interest @18% (365-day year) is — (a) on ₹2,00,000 (b) on ₹50,000 (c) nil (d) on ₹1,50,000 **Ans: (b).** Proviso to Sec 50(1) — net cash only. Amount = 50,000 × 18% × 20/365 = **₹493.15**.

D11 (Case). A deposits ₹10,000 as IGST-tax but should have paid it as CGST-tax. To correct without claiming a refund he should — (a) file a refund claim (b) use PMT-09 to transfer within the cash ledger (c) reverse credit ledger (d) file GSTR-7 **Ans: (b).** Sec 49(10)/PMT-09 moves cash between heads; Sec 49(11) says it is not a refund.

Ledger-and-payment flow (revision map)



Golden reconciliation check for every set-off sum: *ITC used + Cash paid = Total output liability*, and no head-credit should be stranded if it could legally have been applied. Re-verify all rates and thresholds (TDS ₹2,50,000/2%, TCS 0.5%+0.5%, Rule 86B ₹50L/month, interest 18%/24%) against current ICAI material and notifications for your attempt — the mechanism is permanent, the figures are not.

Chapter 23 — Returns

> **Rates / thresholds / amendments flag:** This chapter teaches the *architecture and logic* of the GST return system under Sections 37–48 of the CGST Act, 2017 read with Rules 59–68 of the CGST Rules. The **return structure is the single most amendment-prone corner of GST** — GSTR-2 and GSTR-3 were suspended and never operationalised, the QRMP scheme was bolted on, GSTR-2B replaced reliance on GSTR-2A, sequential-filing and three-year time-bars were inserted, and due dates get extended by notification almost every year. Treat the *design logic* below as permanent, but **verify every due date, the current turnover thresholds for QRMP, the late-fee caps, and the latest interest rates against current ICAI study material for your attempt.** The *why* is stable; the *numbers* move.

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1. The Problem — Why a self-assessed tax needs periodic returns at all

Go back to the founding bargain of GST (Chapter 13). GST is a **self-assessed** tax: nobody sits at your gate stamping every invoice. You decide what you sold, you decide what tax you owe, you decide what input tax credit (ITC) you are entitled to, and you pay the net. The State does not pre-verify any of this. That is fast and cheap — but it hands the taxpayer a loaded pen. Two things can now go wrong, and both are fatal to the exchequer:

Problem 1 — Nobody knows what you did unless you tell them. If tax is self-assessed, the government has *no independent record* of your transactions. It cannot collect, cannot audit, cannot even know a registered person exists as an economic actor, unless the taxpayer *periodically declares* what happened. A tax without a declaration mechanism is a tax on the honour system with no ledger. The return **is** that ledger — the structured, periodic, machine-readable confession of "here is what I supplied, here is what I paid, here is the credit I claim, here is my net cash."

Problem 2 — The credit chain is only as honest as its weakest link. This is the deeper problem, and it is unique to a value-added tax. Recall the seamless-credit promise: the buyer claims ITC equal to the tax the seller charged. But that credit is a *claim by the buyer* — the buyer simply asserts "I paid ₹18,000 GST on my purchases, give me credit." How does the government know the seller ever *deposited* that ₹18,000? If it never checks, a buyer can fabricate invoices, claim credit on tax that was never paid into the treasury, and the government refunds real money against fake tax. This is the single largest fraud vector in every VAT/GST system on earth — **fake ITC on bogus invoices.**

So the return system must do far more than collect declarations. It must **cross-verify one taxpayer's claim against another taxpayer's declaration.** The buyer's credit must be *matched* to the seller's disclosed liability. My purchase is your sale. If your sales return does not show my invoice, my credit is suspect. **The return system is the machinery that makes the credit chain self-policing** — it turns millions of taxpayers into witnesses against each other, because the buyer *needs* the seller to file, and the seller *needs* to file to let the buyer claim.

That is the whole game. Periodic returns exist to (a) capture self-assessed liability in a ledger the State can act on, and (b) **weld each buyer's credit to a specific seller's declaration**, so that no rupee of ITC can exist that some seller did not first declare. Everything below — every form, every due date, every auto-population — is an implementation detail of those two goals.

A third, quieter problem the return system also solves — timing and finality. A self-assessed tax with no clock never closes. If a taxpayer could file (or refile, or amend) any period at any time, the treasury could never treat a year as *settled*, refunds could never be safely paid, and audit trails would shift under the auditor's feet. So the return machinery also carries a *temporal spine*: fixed due dates, a mandatory *order* of filing, and hard *outer limits* (the three-year bars) after which a period is frozen. Keep this third goal in view — several of the most-tested rules (sequential filing, the 3-year bar, the annual truth-up) are not about *what* you declare but about *when* and *in what order*, and they exist to give a self-assessed system the finality a pre-assessed one gets for free.

Why not just verify at the invoice level once, up front? The original 2017 design (GSTR-1 → GSTR-2 → GSTR-3, with the *buyer* accepting/rejecting each invoice) tried exactly that — perfect two-sided matching before any credit flowed. It collapsed: hundreds of crores of invoices, buyers and sellers disagreeing, a "reject" by one paralysing the other's return. The lesson baked into the *current* design is that **matching must be automatic and one-directional** — the system builds the buyer's credit *from* the seller's declaration without asking the buyer to reconcile invoice-by-invoice. That single engineering retreat (from two-sided matching to one-sided auto-population) explains the entire shape of the working system. Knowing *why* GSTR-2/3 died is itself an examiner favourite.

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2. The Core Idea

> **Each registered person files an outward-supply statement (GSTR-1) declaring every invoice they issued. The system reads all sellers' GSTR-1s and automatically hands each buyer a statement of the credit available to them (GSTR-2B). The buyer then files a summary return (GSTR-3B) declaring net liability and paying tax in cash, taking credit only up to what the system says is available. Once a year, an annual return (GSTR-9) reconciles the twelve monthly filings against the audited books.**

Three load-bearing ideas organise the entire chapter:

1. **The outward statement of the seller is the raw material of the buyer's credit.** GSTR-1 is not just the seller's declaration of *his* tax — it is the *source data* from which the buyer's GSTR-2B is built. One taxpayer's return literally feeds another taxpayer's credit. This coupling is the anti-fraud engine.
2. **Credit is no longer self-declared — it is system-communicated.** The old dream (GSTR-2/GSTR-3 with buyer-side invoice matching) collapsed under complexity. The working system instead *pushes* an auto-drafted credit statement (GSTR-2B) to the buyer, and the law (Sec 16(2)(aa)) now says: **you cannot claim ITC that does not appear there.** Credit went from "assert and hope" to "claim what the system shows."
3. **The summary return is where money and credit meet.** GSTR-3B is the monthly settlement: output tax minus available ITC equals net payable in cash. It is the return that actually *moves money*.

Everything else — QRMP, IFF, late fees, sequential filing, the annual reconciliation — hangs off these three hooks.

The one sentence that unlocks every rule: *the return system is a directed pipeline with a mandatory input order.* Data flows one way — seller declares (GSTR-1) → system builds buyer's credit (GSTR-2B) → buyer settles (GSTR-3B) → annual truth-up (GSTR-9). Almost every "surprising" rule in this chapter is just the law protecting either the *direction* of that flow (Sec 16(2)(aa) blocks credit that never entered the pipe) or its *order* (sequential filing stops a taxpayer settling before he declares). When a problem confuses you, ask: *which part of the pipeline is this protecting — the direction, or the order?* That reframe answers most questions before you touch the numbers.

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3. Why It's Built This Way — the design logic behind each form

Before a single section, understand the *design choices*, because every rule is one of these in disguise.

Design choice	The problem it solves	How the Act implements it
A dedicated outward-supply statement	The State needs an invoice-level record to build the credit chain	GSTR-1, Sec 37
Auto-generate the buyer's credit statement from all sellers' GSTR-1	Match credit to declared liability without asking the buyer to reconcile manually	GSTR-2B (static, Rule 60), Sec 38
Bar credit not appearing in the auto-statement	Kill fake ITC on invoices no seller declared	Sec 16(2)(aa) — the credit "gate"
A summary return that computes and pays net tax	Actually collect the money each month	GSTR-3B, Sec 39, Rule 61
Force GSTR-1 to be filed *before* GSTR-3B	Ensure the seller's data exists before he pays, so buyers' credit is populated	Sec 39(10) — sequential filing
Force this month's filing only after last month's is done	Prevent gaps and stale, out-of-order ledgers	Sec 37(4) / 39(10) — no leapfrogging
A quarterly option for small taxpayers	Compliance cost is regressive; monthly filing crushes small firms	QRMP scheme (turnover ≤ threshold)
A once-a-year reconciliation with the books	Monthly returns are summaries; annual truth-up catches drift	GSTR-9 / GSTR-9C, Sec 44
Late fee per day + interest on late tax	Make delay costlier than compliance; self-enforcing deadlines	Sec 47 (late fee), Sec 50 (interest)
A hard time-bar on filing old returns	Stop indefinite reopening; force finality	Sec 37(5), 39(11), 44 — 3-year bar
Lock a filed GSTR-1/3B; corrections only *prospectively* by amendment	Preserve the integrity of data already fed to buyers	Amendment tables in the *next* period's GSTR-1
Auto-populate GSTR-3B liability from GSTR-1	Reduce mismatch between what the seller declared and what he pays	Sec 37 → 39 linkage; Rule 61 auto-draft

The elegance to internalise: **the return system is a directed pipeline, not a set of independent forms.** Data flows one way — seller's GSTR-1 → system → buyer's GSTR-2B → buyer's GSTR-3B — and the sequencing rules exist purely to keep that pipeline from running dry or out of order. Once you see it as *one machine with a mandatory input order*, the due dates and the sequential-filing rules stop being arbitrary.

Why corrections are prospective, not retrospective — a design point the exam probes. Once GSTR-1 is filed, its invoices have already flowed into buyers' GSTR-2B. If the seller could *rewrite* a filed GSTR-1, he would silently change credit that buyers may already have claimed — the pipeline would develop backeddies. So the law never lets you edit a filed return; you correct only through an **amendment table in a later period's GSTR-1** (B2B amendments, credit/debit notes, amended B2C). The correction therefore lands in the buyer's *later* GSTR-2B, keeping the flow strictly forward. This is why "revised returns" do not exist in GST the way they do in income tax — a favourite trap for candidates crossing over from direct tax.

The two-speed design — invoice-level for credit, summary-level for cash. Notice the system deliberately runs at two granularities. GSTR-1 is *invoice-level* because credit must be routed to a specific buyer; GSTR-3B is *summary-level* because paying money needs only totals. Composition dealers, who sit outside the credit chain, get an even coarser, *annual* form (GSTR-4). **Granularity is calibrated to the actor's role in the credit chain** — the deeper you are in the chain, the finer the detail the law demands. Reading any form's design as "how much does this actor's data feed someone else's credit?" predicts its frequency and detail every time.

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4. Full Technical Content — the forms, sections, due dates and conditions, with the "why"

4.1 The overall map (Sec 37–48)

Section	What it governs
Sec 37	Furnishing details of *outward* supplies (GSTR-1)
Sec 38	Communication of *inward* supplies and ITC (auto-drafted GSTR-2B)
Sec 39	Furnishing of returns (GSTR-3B and other periodic returns)
Sec 40	First return
Sec 44	Annual return (GSTR-9 / GSTR-9C)
Sec 45	Final return (GSTR-10, on cancellation)
Sec 46	Notice to return defaulters (GSTR-3A)
Sec 47	Levy of late fee
Sec 48	Goods and Services Tax Practitioners
Sec 50	Interest on delayed payment / excess ITC

(Sec 41 governs the availment of self-assessed ITC — now shorn of the old provisional-credit language; Sec 42, 43 and 43A, which built the abandoned invoice-matching / mismatch-reversal machinery of the GSTR-2/3 era, have been omitted. If a question cites Sec 42/43 matching, it is testing whether you know that architecture was scrapped — verify the current omission status for your attempt.)

4.2 GSTR-1 — the outward-supply statement (Sec 37, Rule 59)

> **What it is:** An *invoice-level* declaration of every outward supply (sale) made in the tax period — B2B invoices individually, B2C above a threshold individually, small B2C in consolidated summaries, exports, credit/debit notes, and amendments. This is the **most granular** return; the whole credit chain is built from it.

Why invoice-level and not just a total? Because the buyer's credit is invoice-specific. If GSTR-1 only carried a lump-sum "total sales ₹50 lakh," the system could never tell *which buyer* is entitled to *which slice* of credit. Invoice-level detail is what lets the system split the seller's declaration and route each invoice's tax to the correct buyer's GSTR-2B. **Granularity in GSTR-1 = precision in the credit chain.**

What actually goes in which table (the finer distinctions the exam tests): - **B2B supplies** (to registered persons) — reported invoice-by-invoice, always, regardless of value, because each feeds a specific buyer's GSTR-2B. - **B2C Large** (inter-State supply to an *unregistered* person where invoice value exceeds the notified limit — historically **₹2,50,000**, *verify current limit*) — reported **invoice-wise**, because place-of-supply/State apportionment needs the detail even though no buyer claims credit. - **B2C Small** (all intra-State B2C, and inter-State B2C at or below the limit) — reported **consolidated, rate-wise, State-wise** — no buyer is claiming credit, so invoice detail is wasted effort. - **Zero-rated / exports / SEZ supplies** — separate tables, because they drive refund claims. - **Credit notes / debit notes (Sec 34)** — reported so the buyer's credit is correspondingly *reduced/increased* in his GSTR-2B. - **Amendments** — separate amendment tables (B2B, B2C large, CDN) to correct *earlier* periods prospectively. - **Nil-rated, exempt and non-GST outward supplies** — declared for completeness of turnover, though they carry no tax.

Due date: - **Monthly filers:** 11th of the month following the tax period. - **QRMP filers (quarterly):** 13th of the month following the quarter, with an optional **Invoice Furnishing Facility (IFF)** to upload B2B invoices for the first two months of the quarter by the 13th of the next month — so their buyers don't wait a whole quarter for credit.

Why IFF exists: A quarterly GSTR-1 would starve the small filer's *buyers* of credit for up to three months — the buyer's GSTR-2B would be empty. IFF lets the quarterly seller push B2B invoices monthly so the credit pipeline keeps flowing, without forcing a full monthly return. It is a patch that reconciles "small-seller relief" with "don't break the buyer's credit."

Sequential filing (Sec 37(4)): A registered person **cannot furnish GSTR-1 for a period if GSTR-1 for any previous period has not been furnished.** No leapfrogging — the pipeline must fill in order.

Time-bar (Sec 37(5)): GSTR-1 **cannot be filed after three years** from its due date. *(Inserted to force finality; verify effective date/notification for your attempt.)*

GSTR-1A — the fine distinction reintroduced. A facility to *amend/add* records of the current period *before* filing GSTR-3B of the same period has been made available as **GSTR-1A** (optional). It lets a seller correct GSTR-1 within the same cycle so the corrected liability flows into his own GSTR-3B — but note it is **not** the abandoned buyer-side GSTR-2. Do not confuse the old GSTR-1A (buyer's amendments, now defunct) with any current same-period seller amendment facility; *verify its exact current form and scope for your attempt.*

4.3 GSTR-2B — the auto-drafted ITC statement (Sec 38, Rule 60)

> **What it is:** A **static, auto-generated** statement of the ITC *available* to a recipient for a tax period, built by the system from all the recipient's suppliers' GSTR-1s (plus IFF, GSTR-5 of non-residents, GSTR-6 of ISD, and import data from ICEGATE). It is generated on the **14th** of the month, and once generated it does **not change** for that period.

GSTR-2A vs GSTR-2B — the distinction the examiner loves:

Feature	GSTR-2A	GSTR-2B
Nature	**Dynamic** — keeps updating as suppliers file/amend	**Static** — frozen once generated on the 14th
Purpose	A live view/reference	The **authoritative basis for claiming ITC**
Basis for ITC	No	**Yes** — Sec 16(2)(aa) ties credit to it
When a late-filed supplier invoice shows	In 2A of the *original* period (retro-updates)	In 2B of the *period in which the supplier actually filed*

Why static? Because ITC must be claimed against a *fixed* number for a period. If the basis kept moving, you could never reconcile "credit claimed" to "credit available" — every recalculation would shift the goalposts. GSTR-2B freezes the picture on the 14th so the buyer has one stable figure to carry into GSTR-3B.

The single most-tested consequence of "static": a supplier invoice for April, filed *late* by the supplier in July, appears in the buyer's **July GSTR-2B — not April's**. In GSTR-2A it would retro-populate April; in the static 2B it lands in the month the supplier actually filed. So the *timing of the buyer's eligible credit follows the seller's filing date*, and the buyer claims that credit in July's 3B (still subject to the Sec 16(4) outer limit). Examiners deliberately give a "supplier filed late" fact to see whether you place the credit in the right month.

GSTR-2B also flags eligibility, not just presence. Beyond listing invoices, 2B marks credit as eligible/ineligible (e.g. invoices where the supply is a blocked credit under Sec 17(5), or where the recipient's registration/place-of-supply makes it non-creditable) and separates ITC reversible/re-claimable. Presence in 2B is *necessary* but not *sufficient* — the invoice must also survive the substantive ITC conditions of Sec 16 and 17. A trap: "invoice is in 2B, therefore fully creditable" is false if it is a Sec 17(5) blocked credit.

The credit gate — Sec 16(2)(aa): ITC on an invoice/debit note is available **only if** the details have been furnished by the supplier in *his* GSTR-1 **and communicated to the recipient** (i.e. it appears in GSTR-2B). *(Read with Sec 38 and Rule 36(4), which historically capped provisional credit; that cap has now hardened into a near-total bar — verify the current form of Rule 36(4) for your attempt.)*

Sec 38's second lever — restricting even communicated credit (the newer layer). Amended Sec 38 lets the system *communicate* ITC in two buckets: available and **restricted**. Credit can be flagged restricted (i.e. auto-blocked) where the supplier is newly registered, has defaulted in paying tax beyond a threshold, has declared more output in GSTR-1 than paid in GSTR-3B, has availed excess ITC, or is otherwise a risk. This pushes the gate *further*: not every invoice in 2B is claimable — the system can pre-flag high-risk suppliers' credit as ineligible. *(This is a maturing provision; verify how far it is operational for your attempt, but know the direction of travel — the gate is tightening from "did the supplier file?" toward "is the supplier trustworthy?")*

This is the anti-fraud lock clicking shut. Before this, a buyer could claim credit on any invoice he held. Now, if the seller did not declare the invoice in GSTR-1, it never reaches the buyer's GSTR-2B, and the buyer *cannot* claim it. **The buyer's credit is now a hostage to the seller's filing** — which is exactly the leverage the system wants, because it makes every buyer a compliance enforcer of his own suppliers.

4.4 GSTR-3B — the summary return and payment (Sec 39, Rule 61)

> **What it is:** A **summary** (not invoice-level) monthly/quarterly return declaring, in consolidated figures: total outward tax liability, eligible ITC, tax payable, and tax paid. **This is the return that discharges liability** — the payment happens here.

The computation inside GSTR-3B (the heart of it):

```
Output tax on outward supplies (from your records / GSTR-1)
LESS: Eligible ITC (capped at what GSTR-2B communicates)
= Net tax payable
   → discharged first from Electronic Credit Ledger (ITC), then Electronic Cash Ledger
```

Filing ≠ merely submitting — the return is "furnished" only when tax is paid. GSTR-3B is treated as validly furnished only when the tax shown is *actually discharged*; you cannot "file a 3B" and owe the money later. This is why the return itself is the payment event, and why non-payment is non-filing that then attracts late fee and blocks the *next* period's sequential filing.

Due date: - **Monthly filers:** 20th of the following month. - **QRMP filers:** staggered — **22nd or 24th** of the month following the quarter, depending on the State/UT of the principal place of business (a two-day stagger to spread server load across the country).

QRMP monthly payment (PMT-06): A quarterly-return filer still pays *tax* monthly for the first two months via a challan (PMT-06), using either a **fixed sum method** (35% of last period's cash) or **self-assessment**. *Return* is quarterly; *payment* stays roughly monthly — because the government will not lend the taxpayer three months of interest-free float.

The two PMT-06 methods, made precise: - **Fixed Sum Method (FSM) / "35% challan":** if the previous quarter was under QRMP, pay **35%** of the net cash paid in that quarter, for *each* of months 1 and 2; if the taxpayer filed monthly in the previous quarter, pay **100%** of the last month's net cash. Its beauty: no computation, and **no interest** is charged if the fixed sum is paid on time, even if actual liability turns out higher — the shortfall is squared up interest-free in the quarterly 3B (provided that quarterly 3B is filed on time). This is a genuine safe harbour, and a common exam sweet-spot. - **Self-Assessment Method (SAM):** compute actual liability for the month (output minus available ITC) and pay it. Used when actual liability is *lower* than the fixed sum (so FSM would overpay).

Nil monthly liability under QRMP: if a QRMP taxpayer has no tax to pay for a month (e.g. ITC covers it), **no PMT-06 challan is required** — you don't file a nil challan.

Sequential filing (Sec 39(10)): GSTR-3B for a period **cannot be filed unless GSTR-1 for the same period has been filed.** Order is forced: **declare (GSTR-1) before you settle (GSTR-3B).** The reason is the pipeline — the seller's invoices must be in the system *before* he pays, so buyers' GSTR-2B is populated and the whole month's credit chain is consistent. You also cannot file this period's 3B if a previous 3B is pending.

Time-bar (Sec 39(11)): GSTR-3B cannot be filed after **three years** from its due date. *(Verify effective date.)*

4.5 The QRMP scheme — small-taxpayer relief

Who: Registered persons with aggregate turnover **up to ₹5 crore** in the preceding FY *(verify threshold)* may opt for **Q**uarterly **R**eturn filing with **M**onthly **P**ayment.

Why it exists: Compliance cost is *regressive* — filing twelve GSTR-1s and twelve GSTR-3Bs a year is trivial overhead for a large firm and a crushing burden for a tiny one. QRMP cuts filing frequency (returns become quarterly) while **preserving monthly cash flow to the treasury** (payment via PMT-06) and **preserving buyers' credit** (via IFF). It is the classic three-way reconciliation: relieve the small taxpayer, don't starve the exchequer, don't break the buyer.

The mechanics candidates miss: - **Opt-in is GSTIN-wise, not PAN-wise** — different registrations of the same PAN can independently choose QRMP or monthly. - **The option is continuous** — once chosen, it carries forward quarter to quarter until changed; you don't re-elect every quarter. - **A window to opt in/out** exists (broadly, from the first day of the second month of the preceding quarter to the last day of the first month of the quarter — *verify exact window*). - **Crossing ₹5 crore *during* the year** disqualifies you from the *next* quarter — you must move to monthly from the quarter succeeding the one in which turnover crossed the limit. - **IFF cap:** historically IFF carried a value ceiling per month (₹50 lakh) — *verify current ceiling*.

The subtle trade-off: QRMP eases *your* filing but can *delay your buyers' credit* if you skip IFF — so a QRMP seller with big B2B buyers is often pushed by those buyers to use IFF anyway. The scheme relieves compliance frequency but cannot escape the pipeline's demand that buyers get their credit monthly.

4.6 The other periodic and special returns

Form	Who files it	Frequency / due date	Why it exists
CMP-08	Composition dealers	Quarterly, 18th of month after quarter	Composition pays a flat rate; this is the *payment* statement
GSTR-4	Composition dealers	**Annual**, 30th June of next FY *(verify)*	Annual return for composition — they don't touch the ITC chain, so no monthly detail needed
GSTR-5	Non-resident taxable persons	Monthly (13th)	Feeds recipients' GSTR-2B for imports of services
GSTR-5A	OIDAR service providers (to unregistered Indian recipients)	Monthly	Reports online-services tax where no Indian recipient can be a collection agent
GSTR-6	Input Service Distributor (ISD)	Monthly, 13th	Distributes common-input credit to branches; feeds their GSTR-2B
GSTR-7	Persons deducting **TDS** (Sec 51)	Monthly, 10th	Reports tax deducted; deductee gets credit in cash ledger
GSTR-8	E-commerce operators collecting **TCS** (Sec 52)	Monthly, 10th	Reports tax collected at source on supplies through the platform
GSTR-9	Regular taxpayers	**Annual**, 31st December of next FY	Reconciles the year's monthly returns (see 4.7)
GSTR-9A	Composition (annual)	Annual *(currently waived — verify)*	Composition equivalent of GSTR-9
GSTR-9C	Taxpayers above turnover limit	With GSTR-9, 31st December	Self-certified reconciliation of returns vs audited financials
GSTR-10	Person whose registration is cancelled	**Final return**, within 3 months of cancellation (Sec 45)	Closes the account — declares stock/liability on exit
GSTR-11	Persons with a UIN (embassies etc.)	For claiming refunds	Not a liability return; refund enabler

Why so many forms? Each answers a *different actor's* relationship to the credit chain. A composition dealer sits *outside* the chain (no ITC), so his return is thin and annual. An ISD's whole job is *routing* credit, so his return is a distribution statement. A TDS/TCS deductor injects money into someone else's *cash* ledger, so his return credits a third party. **The form follows the actor's role in the pipeline.**

TDS vs TCS — the pairing examiners test together. GSTR-7 (TDS, Sec 51) is filed by specified deductors (government bodies etc.) who deduct tax from *payments to suppliers*; GSTR-8 (TCS, Sec 52) is filed by e-commerce operators who collect tax on the *net value of supplies made through them*. Both are **monthly, due the 10th**, and both *credit a third party's cash ledger* — the deductee/supplier claims it as a cash-ledger credit (not as ITC). The distinction: TDS is a *deduction from a payment*; TCS is a *collection on a sale through a platform*. A question that hands you an e-commerce operator and asks for the "deductor's return" is baiting the TDS/TCS swap.

First return vs final return — do not swap them. GSTR-10 (Sec 45) is the **final** return on *cancellation* (closing the account); the **first return** (Sec 40) is not a separate form at all — it is the *first GSTR-3B/GSTR-1* filed after registration, covering the pre-registration gap. Candidates invent a "GSTR-1 first return form" — there is none.

4.7 The annual return — GSTR-9 and GSTR-9C (Sec 44)

> **What it is:** A consolidated annual statement reconciling the twelve monthly/quarterly returns with the taxpayer's books. **GSTR-9** is the annual return; **GSTR-9C** is a *reconciliation statement* (now self-certified) required for taxpayers whose turnover exceeds a notified limit, reconciling the annual return with the **audited financial statements**.

Why an annual return when you already filed monthly? Because monthly GSTR-3B is a *summary* filed under time pressure — errors, omissions and timing mismatches accumulate. The annual return is the **truth-up**: it forces the taxpayer to reconcile what he *declared and paid* across the year against what his *books* actually say, and to pay any shortfall. It is the periodic close that catches the drift monthly summaries inevitably create.

The thresholds and exemptions (finer distinctions): - **GSTR-9 optional/exempt** for taxpayers with aggregate turnover **up to ₹2 crore** *(verify)* — small taxpayers are spared the annual return entirely. - **GSTR-9C** required only above a higher turnover limit — historically **₹5 crore** *(verify)*. - **9C moved from CA-audit to self-certification.** Earlier the reconciliation had to be *certified by a Chartered Accountant / Cost Accountant*; the law was amended so the registered person **self-certifies** 9C. If a question says "GST audit by a CA is mandatory above ₹2 crore," it is testing whether you know the **mandatory GST audit (old Sec 35(5)) was omitted** — verify the current position for your attempt. - **Composition** dealers file **GSTR-9A** (annual), *currently waived for several years — verify*. - **GSTR-9 is largely non-editable and additive:** it consolidates the year but does *not* let you *reduce* tax already paid; additional liability found is paid via **DRC-03**, and ITC not claimed in returns generally **cannot** be claimed for the first time through GSTR-9.

Due date: 31st December following the end of the financial year *(verify)*. **Time-bar (Sec 44):** cannot be furnished after **three years** from the due date.

4.8 First return (Sec 40) and Notice to defaulters (Sec 46)

- **First return (Sec 40):** A newly registered person declares, in his first return, outward supplies made **between the date he became liable to register and the date registration was granted** — so the gap period is not lost. *(Deeper why: a person becomes liable the day he crosses the threshold, but registration is granted days/weeks later. Supplies in that gap were validly taxable — Sec 40 gives them a home in the first return so the interregnum is not a tax-free window.)*
- **Notice to defaulters (Sec 46):** If a return is not filed, the officer issues **GSTR-3A** requiring filing within **15 days**. Ignore it and the officer may proceed to **best-judgement assessment (Sec 62)** — the State assesses your tax *for* you, on its own estimate. This is the stick behind the deadline: fail to self-assess and you lose control of the assessment entirely.
- **The escape hatch from Sec 62:** a best-judgement assessment order under Sec 62 is **withdrawn** if the defaulter files the missing valid return within **30 days** of service of the order (paying the associated late fee and interest). So the stick is designed to *coerce filing*, not to punish for its own sake — file within the

window and the estimated assessment evaporates (though late fee and interest survive). This 30-day withdrawal window is a precise, testable number.

The two headline diagrams

Figure 1 — How one taxpayer's return feeds another taxpayer's credit: the seller's GSTR-1 is the raw material of the buyer's GSTR-2B, and Sec 16(2)(aa) is the gate.

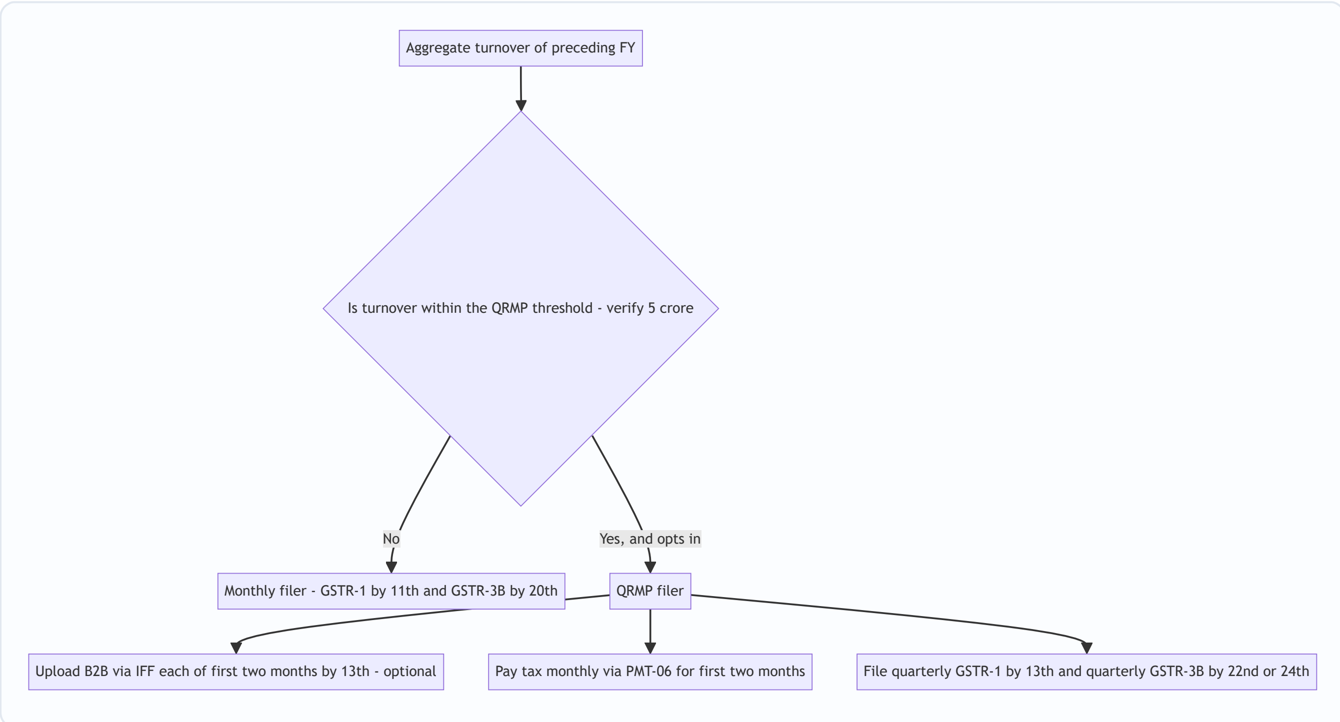

Figure 2 — Choosing the filing frequency: QRMP relieves the small taxpayer on returns while preserving monthly payment and buyer credit.

4.9 Late fee (Sec 47) and interest (Sec 50) — the self-enforcing deadlines

Late fee (Sec 47): A per-day charge for filing GSTR-1/GSTR-3B/annual return late — **₹100 per day under CGST + ₹100 under SGST = ₹200/day**, subject to a maximum; **nil returns** carry a reduced fee (e.g. ₹10 + ₹10 = ₹20/day). *(Caps are turnover-slabbed and revised by notification — verify current caps and nil-return fee for your attempt.)*

The turnover-slabbed caps (know the *structure*, verify the *figures*): the maximum late fee is graded so it does not crush small taxpayers — broadly, a lower cap for nil filers, a middle cap for taxpayers up to a turnover threshold, and a higher cap above it. The principle: **the ceiling scales with capacity to pay.** For the annual return, the late fee is a per-day charge subject to a percentage-of-turnover cap. *(All specific caps are notification-driven — verify current slabs for your attempt; the exam rewards knowing the graded* structure *even when it does not test the exact rupee cap.)*

Why a per-day fee and not a flat penalty? Because the harm of a late return *grows with delay* — every extra day the seller's GSTR-1 is missing is another day his buyers cannot claim credit and the State cannot see the transaction. A per-day charge makes the cost track the harm and makes *prompt* filing rational even after you've already missed the date.

Interest (Sec 50): - **Sec 50(1) — late payment of tax: 18% p.a.** on the net tax paid late. Crucially, interest is on the amount paid *through the cash ledger* (i.e. the net liability), not on the portion set off by ITC that was already lying in the credit ledger — because that credit was already tax *in the system*. - **Sec 50(3) — wrongly availed and utilised ITC: 24% p.a.** The higher rate punishes credit that was not merely late but *wrong* and *used*.

The Sec 50(1) proviso — the "net cash" principle, made precise. The proviso to Sec 50(1) confines interest to tax paid by *debiting the cash ledger* **provided the return is filed** (i.e. the delay is one of *filing/payment*, not of a return never filed). The logic: ITC lying unused in the credit ledger is money *already collected by the exchequer somewhere up the chain* — charging the taxpayer interest on tax the treasury already holds would be double-counting the time-value. So interest bites only on the *incremental cash* the treasury was actually deprived of.

The refined Sec 50(3) — "availed AND utilised." The amended Sec 50(3) charges interest only where wrong ITC is both **availed and utilised** — merely *availing* (recording) wrong credit but *reversing it before use* attracts **no interest**. The reason: if you never *used* the wrong credit to pay tax, the treasury lost nothing — no time-value was extracted. This "availed and utilised" refinement is a precise exam point; older material charging interest on mere wrong availment is outdated. *(Verify the current rate and the exact utilisation rule — Rule 88B defines when credit is treated as utilised.)*

Why interest is separate from late fee: the *late fee* prices the delayed *declaration* (the missing ledger entry); *interest* prices the delayed *money* (the treasury lost the time-value of tax it should have held). Two different harms, two different charges. And critically — **both are paid only from the cash ledger; ITC can never pay interest or late fee.**

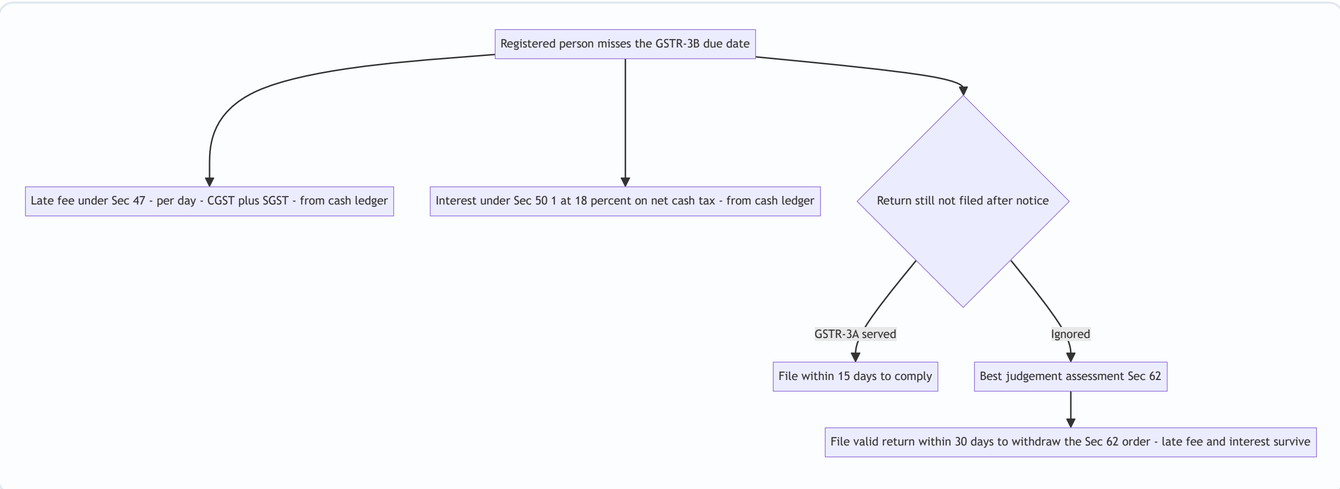

Figure 4 — The escalating cost of delay: money charges first, then a defaulter notice, then a best-judgement assessment that a late filing can still unwind.

5. Worked Examples

Example 1 — The credit chain in motion (why GSTR-1 timing decides GSTR-2B)

Facts. Alpha Ltd (monthly filer) sells goods to Beta Ltd in **April 2026**, invoice value ₹10,00,000 + IGST @ 18% = ₹1,80,000. Beta also buys from Gamma Ltd in April: ₹4,00,000 + IGST ₹72,000. Alpha files its April GSTR-1 on **10 May** (on time). Gamma is a QRMP filer and does **not** use IFF, so Gamma's April invoices reach the system only when Gamma files its quarterly GSTR-1 on **13 July**.

Question. What ITC can Beta claim in its **April GSTR-3B** (filed 20 May)?

Step 1 — Build Beta's April GSTR-2B (generated 14 May). It contains only invoices from suppliers whose GSTR-1/IFF was filed by then. - Alpha's ₹1,80,000 — filed 10 May → **appears** in Beta's 2B. - Gamma's ₹72,000 — not filed until 13 July, no IFF → **does not appear** in April 2B.

Step 2 — Apply the Sec 16(2)(aa) gate. ITC claimable = only what is in GSTR-2B. - Alpha ₹1,80,000 → **eligible**. - Gamma ₹72,000 → **blocked in April**; it will appear in Beta's **July** GSTR-2B and be claimable then (subject to the Sec 16(4) annual time limit).

Step 3 — Beta's April ITC = ₹1,80,000.

Reconciliation / lesson. Beta paid ₹72,000 of real tax to Gamma but *cannot use it yet* — purely because Gamma delayed disclosure. **This is the design working as intended:** the buyer's credit is welded to the seller's filing. Beta now has every incentive to pressure Gamma to file (or use IFF). The chain polices itself.

What if the examiner tweaks it — Gamma uses IFF. If Gamma had uploaded the April B2B invoice via **IFF by 13 May**, it *would* appear in Beta's April GSTR-2B (generated 14 May), and Beta's April ITC would be ₹1,80,000 + ₹72,000 = **₹2,52,000**. The single fact that flips the answer is *whether the small seller pushed the invoice into the pipeline before the 14th* — that is the whole point IFF exists.

Example 2 — Computing net tax and interest in GSTR-3B

Facts (monthly filer, May 2026). - Output IGST on outward supplies: ₹3,00,000. - Eligible ITC per GSTR-2B: IGST ₹1,10,000. - Opening balance in Electronic Credit Ledger: ₹0. Cash ledger: ₹0. - The taxpayer files and pays on **28 June** instead of the due date **20 June** — 8 days late.

Step 1 — Net tax payable.

Item	₹
Output tax (IGST)	3,00,000
Less: ITC available (IGST)	(1,10,000)
Net tax payable in cash	**1,90,000**

Step 2 — Interest under Sec 50(1) @ 18% p.a. on the net cash tax paid late. Interest = ₹1,90,000 × 18% × (8 / 365) = ₹1,90,000 × 0.18 × 0.021918 = **₹749.6 ≈ ₹750.**

Note: interest runs on ₹1,90,000 (the cash portion), **not** on ₹3,00,000 — the ₹1,10,000 met from ITC was already tax within the system.

Step 3 — Late fee under Sec 47. 8 days × ₹200/day (₹100 CGST + ₹100 SGST) = **₹1,600** *(assuming a non-nil return and within the cap — verify current cap).*

Step 4 — Total outflow on 28 June.

Item	₹
Net tax	1,90,000
Interest (Sec 50(1))	750
Late fee (Sec 47)	1,600
Total paid via cash ledger	**1,92,350**

Reconciliation. Tax, interest and late fee are three distinct heads and are paid under distinct minor heads in the cash ledger; ITC (credit ledger) can pay *tax* but **never** interest, late fee or penalty — those must come from cash. That last point is a favourite trap.

What if the examiner tweaks it — the taxpayer had a ₹1,10,000 credit-ledger balance sitting from April. Suppose instead the ITC was already in the *credit ledger* (opening balance ₹1,10,000) rather than this month's 2B. The *net cash* tax is still ₹1,90,000, interest is still on ₹1,90,000 — because interest under Sec 50(1) tracks the **cash** actually paid late, and the credit-ledger money (whenever it arrived) is not cash. The answer does not change. This tests whether you understand that "net cash tax" means *cash*, full stop — not "output minus this month's 2B."

Example 3 — The annual reconciliation (GSTR-9 truth-up)

Facts. During FY 2025-26, Delta Ltd's **books** show total outward taxable turnover of ₹2,05,00,000 and output tax of ₹36,90,000. But the **sum of its twelve GSTR-3Bs** reported turnover ₹2,00,00,000 and output tax ₹36,00,000 — a March invoice of ₹5,00,000 (tax ₹90,000) was omitted and never corrected in a later 3B.

Question. What does GSTR-9 do, and what must Delta pay?

Step 1 — Reconcile books vs returns.

	Books	GSTR-3B (sum)	Difference
Turnover	2,05,00,000	2,00,00,000	5,00,000
Output tax	36,90,000	36,00,000	90,000

Step 2 — GSTR-9 discloses the additional liability. The annual return surfaces the ₹90,000 that was declared in books but never paid through the monthly returns. Delta must pay the ₹90,000 **plus interest under Sec 50(1)** from the original due date of the March 3B up to the date of payment (via DRC-03), because the tax was short-paid for that period.

Step 3 — Why this could not hide. Had there been no annual reconciliation, the ₹90,000 gap between books and returns might have surfaced only in a much later audit, with heavier consequences. **GSTR-9 is the mechanism that forces the taxpayer to find and fix his own drift** — and GSTR-9C, where applicable, makes a reconciliation with *audited* financials mandatory, closing the loop between the tax return universe and the accounting universe.

Example 4 — QRMP fixed-sum method and the interest safe harbour

Facts. Epsilon Ltd (QRMP, turnover ₹3 crore) was under QRMP last quarter and paid **net cash of ₹6,00,000** in that quarter. For the current quarter (Apr–Jun), it uses the **Fixed Sum Method** for the first two monthly challans. Its *actual* liabilities turn out to be: April ₹2,50,000, May ₹1,90,000, June ₹3,00,000 (all net of ITC). It pays each PMT-06 on time and files the quarterly GSTR-3B by the due date (say 22 July).

Question. What does Epsilon pay in April and May via PMT-06, what is squared up in the quarterly 3B, and is any interest payable?

Step 1 — Fixed sum for each of the first two months = 35% of last quarter's net cash. 35% × ₹6,00,000 = **₹2,10,000** for April, and **₹2,10,000** for May, paid via PMT-06.

Step 2 — Quarterly GSTR-3B (Apr–Jun) squares up the whole quarter.

	₹
Total actual liability (2,50,000 + 1,90,000 + 3,00,000)	7,40,000
Less: paid via PMT-06 (April)	(2,10,000)
Less: paid via PMT-06 (May)	(2,10,000)
Balance payable with quarterly 3B (for June + true-up)	**3,20,000**

Step 3 — Interest? Under the FSM safe harbour, **no interest** is charged on the first two months even though April's actual liability (₹2,50,000) exceeded the fixed sum paid (₹2,10,000) — provided the fixed sum was paid on time *and* the quarterly 3B is filed by its due date. The ₹3,20,000 balance paid with the on-time quarterly 3B carries no interest either.

Reconciliation / lesson. Total paid = 2,10,000 + 2,10,000 + 3,20,000 = **₹7,40,000 = actual liability.** The FSM converted a fiddly monthly computation into two fixed challans and a quarterly clean-up, **interest-free** — the reward the scheme offers for using the fixed sum and filing the quarter on time.

What if the examiner tweaks it — the quarterly 3B is filed *late*. Then the safe harbour for the first two months is jeopardised and interest can be attracted on the shortfalls from their respective due dates. The safe harbour is *conditional on timely quarterly filing* — remove that condition and the FSM relief unwinds. This "condition attached to the concession" is exactly where examiners set the trap.

Example 5 — Wrong ITC: availed vs availed-and-utilised (Sec 50(3))

Facts. Zeta Ltd wrongly recorded ITC of ₹1,00,000 in its books for July (an ineligible Sec 17(5) credit). Consider two scenarios: - **(a)** Zeta *availed* the ₹1,00,000 in its credit ledger but its July output tax was fully covered by *other* eligible ITC; it **reversed** the ₹1,00,000 in August **before** using it to pay any tax. - **(b)** Zeta *availed and utilised* the ₹1,00,000 to discharge July output tax, and the error is detected in October — 90 days of utilisation.

Question. Interest consequences under Sec 50(3)?

Scenario (a): Wrong credit was availed but **never utilised** (reversed before use). Under the amended Sec 50(3), interest applies only to ITC **wrongly availed *and* utilised** — so **no interest** is payable; Zeta simply reverses the entry. The treasury lost no money because the fake credit never paid any tax.

Scenario (b): Wrong credit was **utilised** — the treasury was short by ₹1,00,000 for the period of utilisation. Interest @ **24% p.a.** (Sec 50(3), *verify rate*) runs on ₹1,00,000 from the date of utilisation to the date of reversal/payment. Interest ≈ ₹1,00,000 × 24% × (90 / 365) = ₹1,00,000 × 0.24 × 0.24658 = **₹5,918 ≈ ₹5,918.**

Reconciliation / lesson. The identical ₹1,00,000 error costs **nothing** if caught before use and **~₹5,918** if it actually paid tax — because interest prices the *time-value the treasury lost*, and if the wrong credit never moved money, no time-value was lost. This "availed vs utilised" fork is the single most important refinement in current Sec 50 and a favourite exam distinction. *(Verify the current Sec 50(3) rate and Rule 88B's definition of "utilised" for your attempt.)*

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6. Format / Summary — the return calendar at a glance

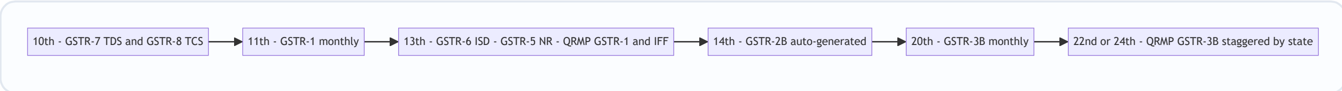

Figure 3 — The monthly rhythm: outward statements early, credit statement mid-month, settlement late.

Return	Who	Frequency	Due date *(verify)*	Section
GSTR-1	Regular (outward)	Monthly / Quarterly	11th / 13th	37
GSTR-2B	Auto-drafted ITC	Monthly	Generated 14th	38
GSTR-3B	Regular (summary + pay)	Monthly / Quarterly	20th / 22nd or 24th	39
CMP-08	Composition (payment)	Quarterly	18th	39
GSTR-4	Composition (annual)	Annual	30th June	39
GSTR-5	Non-resident	Monthly	13th	39
GSTR-5A	OIDAR	Monthly	20th *(verify)*	39
GSTR-6	ISD	Monthly	13th	39
GSTR-7	TDS deductor	Monthly	10th	39 / 51
GSTR-8	TCS (e-commerce)	Monthly	10th	52
GSTR-9 / 9C	Regular (annual)	Annual	31st December	44
GSTR-10	On cancellation	Once	Within 3 months	45
GSTR-11	UIN holder (refund)	As needed	—	—

The one-glance rule of thumb: *outward and third-party returns cluster early (10th–13th), the credit statement crystallises on the 14th, and settlement happens late (20th–24th).* The month is deliberately front-loaded with *declaration* and back-loaded with *payment* — because the system must know what everyone sold before anyone computes what they owe.

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7. Connections — where this chapter plugs into the rest of GST

- ← **Input Tax Credit (Sec 16):** This chapter *operationalises* ITC. Sec 16(2)(aa) (invoice in GSTR-2B) and Sec 16(4) (time limit to claim) are *enforced through the return system*. Returns are where the ITC conditions actually bite.
- ← **Value of Supply (Sec 15) & Time of Supply:** GSTR-1 reports supplies at the *value* (Ch. 18) and in the *period* (Ch. 17) those chapters determine. Get time of supply wrong and the supply lands in the wrong return.

- ← **Payment of Tax (Electronic ledgers):** GSTR-3B is where the Electronic Credit Ledger and Cash Ledger are debited. The utilisation order (IGST credit first, then CGST/SGST rules under Sec 49, 49A, 49B and Rule 88A) is applied *inside* GSTR-3B.
- ← **Composition (Sec 10):** The thin CMP-08 + annual GSTR-4 exist *because* composition dealers sit outside the ITC chain — Chapter linkage explains their light-touch return regime.
- → **Assessment (Sec 59–64):** Self-assessment (Sec 59) *is* the act of filing these returns. Fail, and Sec 46 → Sec 62 best-judgement assessment takes over (withdrawable if you file within 30 days).
- → **Refunds:** A refund claim (e.g. of accumulated ITC under inverted duty structure or exports) is computed off figures declared in these returns; a mismatch between GSTR-1 and GSTR-3B can hold up a refund.
- → **Demands & Recovery (Sec 73/74):** Additional liability surfaced by GSTR-9/9C or by a GSTR-1 vs 3B mismatch is paid via **DRC-03**, or else pursued through a show-cause notice.
- → **Registration:** Only a registered person files these returns; cancellation triggers the GSTR-10 final return (Sec 45), and continuous non-filing is itself a *ground for cancellation* of registration.

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8. Traps & Examiner Tricks

1. **GSTR-2A ≠ GSTR-2B.** 2A is *dynamic* (keeps changing); 2B is *static* (frozen on the 14th) and is the **basis for ITC**. Questions that give you a "GSTR-2A figure updated later" are testing whether you know ITC is claimed off the *static 2B* for the period.
2. **ITC (credit ledger) can pay tax only — never interest, late fee or penalty.** Those three must come from the **cash ledger**. A computation that nets interest against ITC is wrong.
3. **Interest under Sec 50(1) runs on the *net cash* tax, not gross output tax.** Do not charge 18% on the whole output liability when part was met from ITC already in the system.
4. **Sequential filing.** You cannot file GSTR-3B for a period unless GSTR-1 for the same period is filed (Sec 39(10)); and you cannot skip a prior period. Watch for questions where a taxpayer "files April 3B while March is pending" — not allowed.
5. **QRMP: quarterly *return*, monthly *payment*.** The scheme does **not** defer tax by a quarter — PMT-06 keeps payment monthly. A question implying "QRMP means paying tax once a quarter" is a trap.
6. **IFF is optional and only for the first two months of a quarter, B2B only, up to the 13th.** It does not replace the quarterly GSTR-1, and it historically carries a value ceiling — *verify*.
7. **Nil return still needs filing.** A nil return is not "no return" — non-filing attracts late fee (at the reduced nil-return rate) and blocks sequential filing.
8. **The three-year time-bar (Sec 37(5)/39(11)/44).** Old returns cannot be filed after three years from the due date. Distinguish this *filing* bar from the Sec 16(4) *ITC-claim* time limit — different provisions, different triggers.
9. **Late fee is CGST + SGST both.** ₹100/day is *per Act*; total is ₹200/day. Candidates routinely halve it.
10. **First return (Sec 40) covers the pre-registration gap** — supplies between liability date and grant of registration. Do not treat the first return as starting only from the registration date; and note the first return is *not a separate form* — it is the first GSTR-1/3B.

11. **A late-filed supplier invoice lands in the *later* month's 2B.** A supplier's April invoice filed by him in July appears in the buyer's **July** GSTR-2B (static), not April's. Placing it back in April (GSTR-2A thinking) is wrong.
12. **Sec 50(3) interest needs "availed *and* utilised."** Wrong credit reversed *before* use carries **no interest**. Charging 24% on merely-availed-but-reversed credit is outdated.
13. **GSTR-7 (TDS) vs GSTR-8 (TCS).** Same 10th due date, but TDS is by government-type deductors on *payments to suppliers*; TCS is by e-commerce operators on *supplies through the platform*. Both credit the *cash* ledger of a third party, not ITC.
14. **9C is now self-certified, and the old mandatory GST audit is gone.** Do not write "CA audit mandatory above ₹2 crore" — that provision (old Sec 35(5)) was omitted; 9C is self-certified above the higher threshold. *Verify.*
15. **You cannot claim missed ITC for the first time in GSTR-9.** The annual return consolidates and lets you pay *more* tax; it does not resurrect ITC you failed to claim within the Sec 16(4) window.
16. **GSTR-3B is "furnished" only on payment.** Submitting the figures without paying the tax is not a filed return — it will attract late fee and block the next period.
17. **QRMP opt-in is GSTIN-wise and continuous.** It is not PAN-wide, and it does not need re-election each quarter. Crossing ₹5 crore mid-year pushes you to monthly from the *next* quarter.

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9. First-Principles Recap

Start from the one fact that generates everything: **GST is self-assessed, and its credit is a claim.** A self-assessed tax needs a *declaration* — so returns exist. A credit that is merely *claimed* invites fraud — so the declaration of the seller (GSTR-1) is turned into the *source* of the buyer's credit (GSTR-2B), and the law bars any credit the system did not communicate (Sec 16(2)(aa)), and is now even beginning to bar credit from *untrustworthy* suppliers (amended Sec 38). To make the money actually move, a summary return (GSTR-3B) nets output tax against communicated credit and collects the balance in cash — and is treated as filed only when that cash is actually paid. To keep the pipeline flowing in order, filing is *sequenced* (declare before you settle; no leapfrogging) and corrections run strictly *forward* (amendment tables, never a rewrite of a filed return). To relieve the small taxpayer without breaking the treasury or the buyer, QRMP splits *quarterly returns* from *monthly payment* (PMT-06, with an interest-free fixed-sum safe harbour) and adds IFF so buyers still get monthly credit. To catch the drift that monthly summaries create, an *annual reconciliation* (GSTR-9/9C) trues everything up against the books. And to make every deadline self-enforcing, delay costs a *per-day late fee* (for the missing declaration) and *interest* (for the delayed money) — interest calibrated so it bites only on the *cash* the treasury actually lost and only on wrong credit that was actually *used*. Every form, every date, every rule is one of these ideas wearing a number.

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10. Quick-Revision Sheet

THE PIPELINE (memorise the direction): Seller GSTR-1 → System → Buyer GSTR-2B (static, 14th) → Buyer GSTR-3B (claim + pay) → GSTR-9 (annual truth-up). *One taxpayer's return feeds another's credit; data flows forward only.*

KEY FORMS & DATES (verify each attempt): - GSTR-1 (outward, invoice-level): 11th monthly / 13th quarterly — Sec 37 - GSTR-2B (auto ITC, static): generated 14th — Sec 38 - GSTR-3B (summary + payment): 20th monthly / 22nd–24th QRMP — Sec 39 - GSTR-9 / 9C (annual + recon): 31st December — Sec 44 - GSTR-10 (final, on cancellation): within 3 months — Sec 45 - GSTR-7/8 (TDS/TCS): 10th — Sec 51 / 52 - CMP-08 (composition pay): 18th quarterly; GSTR-4 (composition annual): 30th June

THE CREDIT GATE: Sec 16(2)(aa) — ITC only if the invoice appears in your GSTR-2B (seller must have filed GSTR-1). Presence in 2B is *necessary not sufficient* — Sec 17(5) blocked credits stay blocked. Amended Sec 38 can pre-flag risky suppliers' credit as restricted.

SEQUENCING & FINALITY: GSTR-1 before GSTR-3B (Sec 39(10)); no skipping prior periods (Sec 37(4)); 3-year filing bar (Sec 37(5)/39(11)/44); corrections only *prospectively* via amendment tables — **no revised returns in GST**.

QRMP (turnover ≤ ₹5 cr, verify): Quarterly return, MONTHLY payment (PMT-06 — Fixed Sum 35% or self-assessment), optional IFF (B2B, first two months, by 13th). GSTIN-wise, continuous option. FSM = interest-free safe harbour if quarterly 3B filed on time.

MONEY RULES: - Net tax = Output tax − Eligible ITC (capped at GSTR-2B). - Credit ledger pays **tax only**; interest/late fee/penalty from **cash ledger**. - Interest Sec 50(1) = **18%** on net *cash* tax paid late; Sec 50(3) = **24%** on wrongly availed **and utilised** ITC (reversed-before-use = no interest). - Late fee Sec 47 = **₹100 CGST + ₹100 SGST/day** (nil return reduced), subject to turnover-slabbed cap.

ANNUAL: GSTR-9 optional ≤ ₹2 cr; GSTR-9C (self-certified recon vs audited accounts) above ~₹5 cr; old mandatory CA/GST audit **omitted**; cannot claim fresh ITC through GSTR-9.

DEFAULT → STICK: Non-filing → GSTR-3A notice (Sec 46, 15 days) → best-judgement assessment (Sec 62) → withdrawn if valid return filed within **30 days** (late fee + interest survive).

ONE-LINE WHY: Returns exist to turn a self-assessed tax into a *self-policing* one — by welding every buyer's credit to a specific seller's declaration.

> **Final flag:** Return structure, QRMP thresholds, due dates, late-fee caps and the interest/time-bar provisions are the *most frequently amended* part of GST. Confirm every figure and the current status of GSTR-2/GSTR-3, Sec 38 restriction rules, Rule 36(4), Rule 88B and the three-year bars against the latest ICAI material for your exam attempt.

Q&A — Returns

> CGST Act, 2017 **Sec 37–48** (returns) read with **Sec 16(2)(aa)** (ITC gate), **Sec 50** (interest) and **CGST Rules 59–68**; the IGST Act applies these via **Sec 20 IGST**. **The return system is the single most amendment-prone corner of GST.** Every due date, the QRMP turnover threshold (₹5 crore), the late-fee caps/slabs, the nil-return fee, and the current form of Rule 36(4) are **notification-driven — verify the live figures against the ICAI Study Material/RTP for your attempt.** The *architecture* (GSTR-1 → GSTR-2B → GSTR-3B, sequential filing, annual truth-up) is stable and is what the exam actually tests.

SECTION A — Concept-Check (Short Q&A)

A1. Why does a self-assessed tax like GST *need* periodic returns at all? Two reasons. (i) Under self-assessment the State has **no independent record** of a taxpayer's transactions — the return is the periodic, machine-readable ledger of "what I supplied, what I owe, what credit I claim." (ii) A value-added tax must **cross-verify** the buyer's ITC claim against the seller's declared liability, or fake ITC on bogus invoices drains the treasury. Returns weld each buyer's credit to a specific seller's declaration.

A2. What does GSTR-1 declare, and why must it be invoice-level (Sec 37)? GSTR-1 is the **outward-supply statement** — every sale invoice, B2C summaries, exports, credit/debit notes, amendments. It must be invoice-level because **the buyer's credit is invoice-specific**: only granular data lets the system split the seller's declaration and route each invoice's tax to the correct buyer's GSTR-2B. Granularity in GSTR-1 = precision in the credit chain.

A3. Distinguish GSTR-2A from GSTR-2B — the examiner's favourite. Both are auto-drafted inward-supply views. **GSTR-2A is dynamic** — it keeps updating as suppliers file/amend. **GSTR-2B (Sec 38, Rule 60) is static** — frozen once generated on the 14th, and it is the **authoritative basis for claiming ITC** under Sec 16(2)(aa). ITC must sit on a *fixed* number for a period; a moving basis could never be reconciled.

A4. What exactly is the "credit gate" in Sec 16(2)(aa)? ITC on an invoice/debit note is available **only if** the supplier furnished it in *his* GSTR-1 **and** it has been communicated to the recipient (i.e. it appears in GSTR-2B). If the seller never declared the invoice, it never reaches the buyer's 2B and the buyer **cannot claim it** — the buyer's credit becomes hostage to the seller's filing.

A5. What does GSTR-3B do, and how is it different from GSTR-1 (Sec 39)? GSTR-3B is the **summary return that pays the tax**: consolidated output tax − eligible ITC = net payable, discharged from the credit ledger then the cash ledger. GSTR-1 is invoice-level *declaration*; GSTR-3B is summary *settlement*. GSTR-1 moves data; GSTR-3B moves money.

A6. State the two sequential-filing rules and their single purpose. (i) **Sec 37(4):** cannot file GSTR-1 if any earlier GSTR-1 is pending. (ii) **Sec 39(10):** cannot file GSTR-3B for a period unless GSTR-1 for the **same period** is filed (and cannot leapfrog a pending earlier 3B). Purpose: keep the pipeline **filled and in order** — the seller's invoices must exist before he pays, so buyers' 2B is populated.

A7. What is QRMP, who is eligible, and what stays monthly? Quarterly **R**eturn, **M**onthly **P**ayment — for registered persons with aggregate turnover **up to ₹5 crore** (*verify*) in the preceding FY. **Returns become quarterly** (GSTR-1 by 13th, GSTR-3B by 22nd/24th) but **tax stays monthly** via PMT-06 for the first two months. It relieves the small taxpayer without starving the treasury of monthly cash.

A8. What is the IFF and why was it bolted on? The **Invoice Furnishing Facility** lets a QRMP filer upload B2B invoices for the first two months of a quarter (by the 13th). Without it, a purely quarterly GSTR-1 would leave the small seller's *buyers* with an empty GSTR-2B for up to three months. IFF keeps the buyer's credit pipeline flowing.

A9. Why file an annual return (GSTR-9) when you already filed twelve GSTR-3Bs (Sec 44)? Monthly 3B is a summary filed under time pressure; errors and timing mismatches drift. **GSTR-9 is the truth-up** — it reconciles what was declared/paid across the year against the books and forces payment of any shortfall. **GSTR-9C** (self-certified) reconciles the annual return with **audited financials** above a turnover limit.

A10. Late fee (Sec 47) vs interest (Sec 50) — why two separate charges? The **late fee** prices the delayed *declaration* (the missing ledger entry) — a per-day charge because the harm grows daily. **Interest** prices the delayed *money* (the treasury's lost time-value of tax). Different harms, different heads.

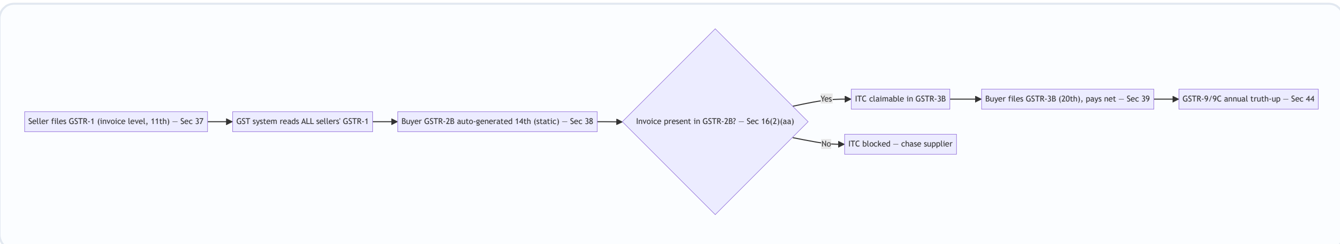
A11. Interest rates under Sec 50 — the two limbs. Sec 50(1): 18% p.a. on tax paid late, computed on the **net cash** portion (not the part met from ITC already sitting in the credit ledger). **Sec 50(3): 24% p.a.** on ITC **wrongly availed AND utilised** — the higher rate punishes credit that was both wrong and used.

A12. Can the Electronic Credit Ledger (ITC) pay interest and late fee? No. ITC can discharge only **tax**. Interest, late fee and penalty must be paid from the **Electronic Cash Ledger**. A classic trap.

A13. What are the first return (Sec 40) and the notice to defaulters (Sec 46)? Sec 40: a newly registered person declares in his first return the outward supplies made **between the date he became liable to register and the date registration was granted** — the gap is not lost. **Sec 46:** on non-filing, the officer issues **GSTR-3A** giving 15 days; ignore it and **best-judgement assessment (Sec 62)** follows.

A14. Flag the amendment-sensitive numbers in this chapter. All due dates; the ₹5 crore QRMP threshold; the ₹100+₹100/day late fee and its turnover-slabbed caps; the nil-return fee (₹10+₹10); the 3-year time-bars (Sec 37(5)/39(11)/44); and the current form of Rule 36(4). Verify each before the exam.

Return pipeline (one machine, mandatory input order)



SECTION B — Graded Computational Problems (full step-by-step)

B1 (Easy) — Net cash payable in GSTR-3B

Monthly filer, intra-State supplies only, May 2026. Output: CGST ₹90,000, SGST ₹90,000. Eligible ITC per GSTR-2B: CGST ₹50,000, SGST ₹50,000. Opening ledgers nil. Compute net cash.

Head	Output	Less ITC	Net cash
CGST	90,000	(50,000)	40,000
SGST	90,000	(50,000)	40,000
Total	1,80,000	(1,00,000)	**80,000**

Answer: Net tax **₹80,000** (₹40,000 CGST + ₹40,000 SGST) paid from the cash ledger; the ₹1,00,000 ITC discharges the rest from the credit ledger. *Data reconciles: 80,000 + 1,00,000 = 1,80,000 output.* (Sec 39)

B2 (Easy–Moderate) — Interest and late fee on delayed GSTR-3B (Sec 50(1), Sec 47)

Facts: net tax payable ₹1,90,000 (cash), due 20 June, filed & paid **28 June** (8 days late). Non-nil return, within cap.

Step 1 — Interest, Sec 50(1) @ 18% p.a. on the net cash tax: = 1,90,000 × 18% × 8/365 = 1,90,000 × 0.18 × 0.021918 = **₹750** (rounded). *Interest runs on ₹1,90,000, NOT on gross output — the ITC portion was already tax in the system.*

Step 2 — Late fee, Sec 47: 8 days × ₹200/day (₹100 CGST + ₹100 SGST) = **₹1,600**.

Step 3 — Total cash outflow on 28 June:

Head	₹
Net tax	1,90,000
Interest (Sec 50(1))	750
Late fee (Sec 47)	1,600
Total (all from cash ledger)	**1,92,350**

Trap: interest and late fee can NEVER be paid from ITC.

B3 (Moderate) — The full ITC set-off order (Sec 49, Rule 88A) inside GSTR-3B

Facts (monthly filer, June 2026). Output tax: **IGST ₹1,00,000, CGST ₹80,000, SGST ₹80,000**. ITC available per GSTR-2B: **IGST ₹1,50,000, CGST ₹30,000, SGST ₹30,000**. Set off using the mandated order: **IGST credit first (against IGST, then CGST/SGST in any order), then CGST credit against CGST/IGST, then SGST credit against SGST/IGST. CGST↔SGST cross-utilisation is barred.**

Step 1 — Utilise IGST credit ₹1,50,000 (must be exhausted first, Sec 49(5)(a)/Sec 49A): - vs IGST output ₹1,00,000 → uses 1,00,000; IGST output nil. IGST credit left ₹50,000. - Remaining ₹50,000 IGST credit → apply to CGST output ₹80,000 → uses 50,000; CGST output left ₹30,000. IGST credit now nil.

Step 2 — Utilise CGST credit ₹30,000 (vs CGST, then IGST — no IGST left): - vs CGST output ₹30,000 → uses 30,000; CGST output nil. CGST credit nil.

Step 3 — Utilise SGST credit ₹30,000 (vs SGST, then IGST — no IGST left): - vs SGST output ₹80,000 → uses 30,000; SGST output left ₹50,000. SGST credit nil.

Step 4 — Cash payable (whatever output remains):

Head	Output	Set off by	Cash
IGST	1,00,000	IGST 1,00,000	0
CGST	80,000	IGST 50,000 + CGST 30,000	0
SGST	80,000	SGST 30,000	50,000
Total	**2,60,000**	**2,10,000 (ITC)**	**50,000**

Answer: Net cash = **₹50,000 SGST only. Reconciliation:** Total ITC used = 1,00,000 + 50,000 + 30,000 + 30,000 = **₹2,10,000** = total ITC available (1,50,000+30,000+30,000). Output 2,60,000 − ITC 2,10,000 = cash 50,000. ✓ *Note the trap: SGST is left short and CGST credit cannot cross over to pay it.*

B4 (Moderate–Hard) — GSTR-1 timing decides GSTR-2B (Sec 37 → Sec 38 → Sec 16(2)(aa))

Beta Ltd (monthly) makes April 2026 purchases: from **Alpha** ₹10,00,000 + IGST ₹1,80,000 (Alpha files GSTR-1 on 10 May); from **Gamma** (QRMP, **no IFF**) ₹4,00,000 + IGST ₹72,000 (reaches system only on quarterly GSTR-1, 13 July). Beta's output IGST for April = ₹2,50,000. What ITC and net cash in Beta's **April GSTR-3B**?

Step 1 — Beta's April GSTR-2B (generated 14 May): contains only Alpha's ₹1,80,000 (filed 10 May). Gamma's ₹72,000 is absent (no IFF, quarterly GSTR-1 not yet filed).

Step 2 — Sec 16(2)(aa) gate: claimable ITC = ₹1,80,000. Gamma's ₹72,000 is **blocked in April**; it appears in Beta's **July** 2B and is claimable then (subject to the Sec 16(4) annual limit).

Step 3 — Net cash: Output IGST 2,50,000 − ITC 1,80,000 = **₹70,000** cash.

Lesson: Beta paid ₹72,000 of *real* tax to Gamma but cannot use it yet — solely because Gamma delayed disclosure. The design is working: the chain polices itself, and Beta will pressure Gamma to use IFF.

B5 (Exam-Hard) — Annual reconciliation truth-up (Sec 44) with interest

Delta Ltd, FY 2025-26. **Books:** outward taxable turnover ₹2,05,00,000, output tax ₹36,90,000. **Sum of twelve GSTR-3Bs:** turnover ₹2,00,00,000, output tax ₹36,00,000. A March invoice of ₹5,00,000 (tax ₹90,000, intra-State → CGST ₹45,000 + SGST ₹45,000) was omitted and never corrected. The shortfall is paid via **DRC-03 on 30 Sept 2026**; March 3B due date was **20 April 2026** (163 days delay). No ITC available to offset (it is short-*paid output*).

Step 1 — Reconcile:

	Books	GSTR-3B (sum)	Difference
Turnover	2,05,00,000	2,00,00,000	5,00,000
Output tax	36,90,000	36,00,000	**90,000**

Step 2 — GSTR-9 surfaces the ₹90,000 declared in books but never paid. Delta pays it in cash via DRC-03 (CGST 45,000 + SGST 45,000).

Step 3 — Interest, Sec 50(1) @ 18% p.a., from original due date (20 Apr) to payment (30 Sep) = 163 days: = 90,000 × 18% × 163/365 = 90,000 × 0.18 × 0.446575 = **₹7,235** (rounded).

Step 4 — Total on 30 Sept: tax ₹90,000 + interest ₹7,235 = **₹97,235** (all cash).

Reconciliation / lesson: After payment, returns now match books (36,90,000). GSTR-9 is the mechanism that forces the taxpayer to find and fix his own drift before an audit does it for him; GSTR-9C would additionally tie the return universe to *audited* financials.

SECTION C — Past-Paper-Style Full Questions

C1. "Explain the concept of GSTR-2B and its role in claiming input tax credit. How does it differ from GSTR-2A?" (5 marks) Model answer. GSTR-2B (Sec 38, Rule 60) is a **static, auto-generated statement of the ITC available** to a recipient for a tax period, compiled by the system on the **14th** of the month from all suppliers' GSTR-1/IFF, GSTR-5 (non-resident), GSTR-6 (ISD) and ICEGATE import data. Once generated it does **not change** for that period. Its role: under **Sec 16(2)(aa)** a recipient may claim ITC **only if** the invoice appears in GSTR-2B — it is the authoritative, single, fixed figure carried into GSTR-3B. **Difference from GSTR-2A:** GSTR-2A is **dynamic** (updates continuously as suppliers file/amend) and serves as a live reference only, whereas GSTR-2B is **static/frozen** and is the *basis* for ITC. The static nature exists so ITC can be reconciled against a fixed number rather than a moving target. *(This is the anti-fraud lock: no seller declaration → no buyer credit.)*

C2. "Discuss the QRMP scheme — eligibility, the returns and payments involved, and the purpose of the Invoice Furnishing Facility." (6 marks) Model answer. Eligibility: registered persons with aggregate turnover **up to ₹5 crore** (*verify*) in the preceding FY may opt for **Quarterly Return, Monthly Payment**. **Returns:** GSTR-1 quarterly (by 13th of month after the quarter) and GSTR-3B quarterly (by **22nd or 24th**, staggered by State/UT to spread server load). **Payment:** tax is still paid **monthly** for the first two months via challan **PMT-06**, using either the **fixed-sum method** (35% of the preceding period's cash paid) or **self-assessment**. **Purpose of IFF:** a purely quarterly GSTR-1 would leave the small seller's buyers with an **empty GSTR-2B** for up to three months; the **IFF** lets the seller upload B2B invoices for the first two months (by 13th) so the buyer's credit pipeline keeps flowing. The scheme balances three interests: relieve the small taxpayer (quarterly returns), don't starve the exchequer (monthly PMT-06), don't break the buyer's credit (IFF).

C3. "State the provisions relating to late fee (Sec 47) and interest (Sec 50) on returns, and explain why they are separate levies." (5 marks) Model answer. Late fee (Sec 47): a **per-day** charge for late filing of GSTR-1/GSTR-3B/annual return — **₹100 CGST + ₹100 SGST = ₹200/day**, subject to a turnover-slabbed **maximum**; **nil returns** attract a reduced fee (₹10 + ₹10 = ₹20/day). **Interest (Sec 50): 50(1) — 18% p.a.** on tax paid late, on the **net cash** portion (not the ITC-funded portion); **50(3) — 24% p.a.** on ITC **wrongly availed and utilised**. **Why separate:** the late fee prices the delayed *declaration* — the missing ledger entry, whose harm grows daily, hence per-day; interest prices the delayed *money* — the treasury's lost time-value of tax. Neither can be discharged from the ITC/credit ledger; both are payable from the **cash ledger**. *(Caps, slabs and rates are notification-sensitive — verify.)*

C4. "A newly registered person and a person whose registration is cancelled each have a special return. Identify and explain them." (4 marks) Model answer. First return — Sec 40: the newly registered person declares, in his first return, the **outward supplies made between the date he became liable to register and the date registration was actually granted**, so no supply in the gap period escapes. **Final return — GSTR-10, Sec 45:** a person whose registration is **cancelled** must file GSTR-10 **within three months** of the date of cancellation (or order), declaring closing stock and any liability — it closes the account on exit. *(Contrast with the annual GSTR-9, which is a going-concern reconciliation, not an exit return.)*

SECTION D — MCQs / Case Scenarios

D1. GSTR-1 for a monthly filer is due on the — (a) 10th (b) **11th** (c) 13th (d) 20th **Answer: (b) 11th** — outward statement is filed early so the system can build buyers' 2B by the 14th. (Sec 37, Rule 59)

D2. ITC can be claimed only if the invoice appears in GSTR-2B. This condition is in — (a) Sec 16(1) (b) Sec 16(4) (c) **Sec 16(2)(aa)** (d) Sec 17(5) **Answer: (c)** — the credit gate tying ITC to the supplier's GSTR-1 communication. *(Sec 16(4) is the separate time-limit to claim.)*

D3. Which ledger can be used to pay a late fee under Sec 47? (a) Electronic Credit Ledger (b) **Electronic Cash Ledger** (c) Either (d) ITC of IGST only **Answer: (b)** — ITC pays only tax; interest/late fee/penalty are cash-only.

D4. A QRMP taxpayer pays tax for the first two months of a quarter through — (a) GSTR-3B (b) CMP-08 (c) **Challan PMT-06** (d) DRC-03 **Answer: (c)** — monthly payment via PMT-06 (fixed-sum or self-assessment); the *return* is quarterly.

D5. GSTR-2B is generated on the ___ and is ___ . (a) 14th; dynamic (b) **14th; static** (c) 20th; static (d) 11th; dynamic **Answer: (b)** — frozen on the 14th so ITC rests on a fixed number. (Sec 38, Rule 60)

D6. Case scenario. Sun Ltd omits its March GSTR-1 but tries to file April's GSTR-1. The portal blocks it. Why? (a) April 3B is pending (b) **Sec 37(4) — cannot file GSTR-1 while an earlier GSTR-1 is unfiled** (c) GSTR-2B not generated (d) Turnover exceeded QRMP limit **Answer: (b)** — sequential filing forbids leapfrogging; the pipeline must fill in order.

D7. Case scenario. A composition dealer asks which returns he files. Correct pair — (a) GSTR-1 + GSTR-3B (b) GSTR-5 + GSTR-9 (c) **CMP-08 (quarterly payment) + GSTR-4 (annual)** (d) GSTR-6 + GSTR-9C **Answer: (c)** — composition sits *outside* the ITC chain, so its returns are thin: quarterly payment statement (CMP-08) and an annual return (GSTR-4).

D8. Case scenario. X Ltd wrongly availed and utilised ITC of ₹2,00,000. The interest rate is — (a) 18% (b) nil (c) **24% p.a. (Sec 50(3))** (d) 12% **Answer: (c)** — the higher rate applies because the credit was both **wrong and used**; 18% (Sec 50(1)) applies to merely late tax.

D9. GSTR-3B for a monthly filer cannot be filed unless — (a) GSTR-9 is filed (b) **GSTR-1 for the same period is filed (Sec 39(10))** (c) GSTR-2B is downloaded (d) late fee is paid **Answer: (b)** — declare (GSTR-1) before you settle (GSTR-3B).

D10. The self-certified reconciliation of the annual return with audited financials is — (a) GSTR-9 (b) **GSTR-9C** (c) GSTR-10 (d) GSTR-4 **Answer: (b)** — GSTR-9C reconciles GSTR-9 with audited accounts above the turnover limit (Sec 44).

First-principles recap

The return system is **one directed pipeline, not a set of forms**: seller's GSTR-1 → system → buyer's GSTR-2B → buyer's GSTR-3B → annual GSTR-9 truth-up. Every rule is either (i) *filling* the pipeline (invoice-level GSTR-1, IFF), (ii) *ordering* it (sequential filing, Sec 37(4)/39(10)), (iii) *gating* credit to it (Sec 16(2)(aa), static 2B), or (iv) *enforcing* it (late fee Sec 47, interest Sec 50, defaulter notice Sec 46). Master the pipeline and the numbers — all amendment-sensitive — hang off it logically.

Taxation (Income Tax & GST) — Exam Strategy, Answer Templates & Examiner Traps

> CA Intermediate, Paper 3 — 100 marks, 3 hours. Section A: Income Tax (50). Section B: GST (50). Division A = MCQs (30 marks, includes case-scenario MCQs), Division B = descriptive (70 marks). Division A carries **0.25 negative marking** per wrong answer; no negative marking in Division B. This is a **calculation-heavy, application paper** — not a theory paper. Marks are earned by *steps shown*, not just the final number.

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1. Paper Strategy — How to Use the 3 Hours

1.1 The 15-minute reading time is a planning tool, not a warm-up

You get 15 minutes of reading time before the 3 hours start. Do NOT read passively. In that window:

- **Tag every question** by comfort: `A` = confident, `B` = doable with effort, `C` = shaky.
- Scan Division B for the two big computation questions (usually Q1 Income Tax "Total Income of an individual" and the first GST question "compute GST liability / net tax payable"). These are your anchors — high marks, predictable format.
- Identify any question with a **theory/provision** part you have cold (e.g., "conditions for a charitable trust", "composition scheme conditions"). Those are fast, full-mark grabs.
- Note which questions have sub-parts you can partly do — you will still attempt them for partial marks.

1.2 Attempt order — anchor first, then harvest

Recommended sequence (adjust to your `A/B/C` tags):

1. **Division A MCQs first, but time-boxed to 35–40 minutes.** Reason: fresh mind = fewer silly errors on the negatively-marked section, and MCQs seed your memory (rate slabs, due dates, section numbers) that you reuse in Division B. Do NOT overrun — if an MCQ resists after ~90 seconds, park it and move on.
2. **Your strongest big computation** (usually the compulsory Income Tax total-income question or the GST net-liability question). Bank the certain marks while sharp.
3. **Theory / provision-based parts** (TDS/TCS provisions, residential status conditions, GST registration/composition, returns & due dates). Fast, full marks, no arithmetic risk.
4. **Second big computation** (whichever of IT / GST you did not do first).
5. **Remaining B/C questions**, hardest last.
6. **Reserve the final 10 minutes** to return to parked MCQs and to write a one-line note anywhere you left a blank.

1.3 Time budget (per mark discipline)

The paper pays roughly **1.8 minutes per mark**. Hard rules:

- Division A (30 marks): **≤ 40 min**.
- Division B (70 marks): **~125 min** → ~1.8 min/mark.

- **Never let one question eat another's time.** When a question hits its time budget, draw a line, leave 4–5 blank lines, and move on. Come back only if time remains. An unattempted 5-mark theory part is a far bigger loss than an unfinished 8-mark computation.
- Split the paper mentally into **Income Tax half and GST half of ~62 min each** in Division B — students routinely blow the whole time on Income Tax and hand in a thin GST section. Guard the GST time with a hard clock.

1.4 Division A MCQs — the 0.25 negative-marking calculus

Each MCQ is typically 1 or 2 marks; a wrong answer costs **0.25 × marks**. Decision rules:

Situation	Action	Why
You know the answer	**Answer.**	Free marks.
You can eliminate to **2 options**	**Guess.**	EV positive: 50% × (+1) − 50% × (−0.25) = **+0.375**. Always worth it.
You can eliminate to **3 of 4** (one gone)	**Guess.**	EV = 33% × 1 − 67% × 0.25 ≈ **+0.17**. Still positive.
Zero elimination, pure blind guess (1 of 4)	**Borderline** — EV = 25%×1 − 75%×0.25 ≈ **+0.06**. Marginally positive, but blind guessing burns time and risk. Skip unless you have spare time and no better use for the risk.	
Case-scenario MCQ where you already did the computation	**Answer** — you effectively *know* it.	These reward the work you did.

- **Rule of thumb:** if you can knock out even one option, guess. If you cannot eliminate anything, skip and revisit only if time allows.
- **Case-scenario MCQ sets (a common story feeding 4–5 MCQs):** do the underlying computation once on the rough sheet, then answer all its MCQs from that single working. Do not re-solve per question.
- **Do not leave MCQ elimination to the end** and then panic-fill blindly — that is exactly when negative marking bleeds you. Decide guess/skip *at the question*.

1.5 Maximising step / partial marks in Division B

This is where most recoverable marks are won and lost.

- **Show the working for every figure.** ICAI awards marks head-by-head and step-by-step. A correct final total with no workings can score *less* than a wrong total with all correct steps.
- **Carry-forward principle:** if you make one arithmetic error early, later steps are marked on *your* (wrong) figure — you are not penalised twice. So **never abandon a computation** because one number feels off; complete it.
- **Notes are marks.** Every assumption, every "why included/excluded", every exemption limit cited as a note earns marks. Aim for a **Working Notes** and **Notes** block under each computation.

- **State the section** for treatments that hinge on one (deductions, exemptions, TDS rates, GST time-of-supply). A correct treatment *with* the section reference scores the full sub-mark; without it you often lose the citation mark.
- **Attempt every sub-part**, even one line. A 2-mark theory sub-part left blank is a guaranteed zero; two relevant sentences often bag 1–1.5.
- **Round to the nearest rupee** (Income Tax) and present GST to the rupee; state your rounding once.
- If stuck mid-computation, **write the treatment as a note** ("Interest on housing loan restricted to Rs 2,00,000 u/s 24(b) — self-occupied") even if you cannot finish the arithmetic. The treatment carries marks independently.

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2. Answer-Writing Templates (Subject-Specific)

2.1 Universal openers (write these first, every time)

- **State the Assessment Year** at the top of every computation: e.g., "*Computation of Total Income of Mr X for A.Y. 2026-27 (P.Y. 2025-26)*". Getting the PY/AY right frames the whole answer and is itself a mark; using the wrong year can cascade into wrong slabs/rates.
- **State the assessee's status and residential status** where relevant (Individual/Firm/Company; ROR/RNOR/NR) — it governs what is taxable.
- **State whether default (new) regime u/s 115BAC or old regime** is being used, and why (question's instruction, or "regime giving lower tax computed below"). If the question is silent, **compute under the default new regime and note the assumption** — 115BAC is now the default.

2.2 Income Tax — head-by-head computation format

Use a **three-column vertical layout: Particulars | Rs | Rs**. Sub-total each head, then aggregate. Skeleton:

```
Computation of Total Income of Mr X for A.Y. 2026-27 (P.Y. 2025-26)
Status: Resident and Ordinarily Resident | Regime: Default u/s 115BAC

Particulars                                             Rs             Rs
1. Income from Salary
   Basic salary                                      x,xx,xxx
   Add: Taxable allowances / perquisites (Note 1)    xx,xxx
   Less: Standard deduction u/s 16(ia)              (75,000)
   Gross Salary / Income under head Salary                      x,xx,xxx
2. Income from House Property
   Gross Annual Value (Note 2)                       xx,xxx
   Less: Municipal taxes paid                        (x,xxx)
   Net Annual Value                                  xx,xxx
   Less: Deduction u/s 24(a) @30%                    (x,xxx)
   Less: Interest on borrowed capital u/s 24(b)      (x,xxx)
   Income from House Property                                     xx,xxx
3. Profits & Gains of Business/Profession                       x,xx,xxx
4. Capital Gains (specify STCG/LTCG, section, rate)               xx,xxx
5. Income from Other Sources                                      xx,xxx
   Gross Total Income                                          xx,xx,xxx
   Less: Deductions under Chapter VI-A (Note 3)                  (xx,xxx)
   Total Income                                               xx,xx,xxx
   Total Income (rounded off u/s 288A)                        xx,xx,xx0
```

Then a **separate Tax computation block**:

```
Computation of Tax Liability
Tax on Total Income (as per slab / special rates)             xx,xxx
Add: Surcharge (if applicable)                                  x,xxx
Less: Rebate u/s 87A (if eligible)                            (xx,xxx)
Tax after rebate                                               xx,xxx
Add: Health & Education Cess @4%                                x,xxx
Total Tax Liability                                           xx,xxx
Less: TDS / Advance tax                                       (xx,xxx)
Tax Payable / (Refund) (rounded u/s 288B)                     xx,xxx
```

Close with **Working Notes** (each numbered, tied to the reference above) and **Notes** explaining every inclusion/exclusion with its section.

Non-negotiables: - Special-rate incomes (LTCG u/s 112/112A, STCG u/s 111A, casual income u/s 115BB) are **taxed at their own rates and are excluded from slab income** — segregate them, and remember the basic-exemption-limit adjustment for residents. - Show **each Chapter VI-A deduction with its section and ceiling** (80C ≤ 1,50,000; 80D limits; 80CCD(1B) ≤ 50,000; 80TTA/80TTB). Under the default 115BAC regime, most Chapter VI-A deductions are **not available** — say so explicitly if applying it. - Set-off and carry-forward of losses: show as an explicit step with the head and section.

2.3 GST — "identify first, then compute"

GST answers fail when students jump to numbers. Always answer in **two stages**:

Stage 1 — Identify (write it out): 1. **Is it a supply?** (Sec 7 — supply for consideration in course/furtherance of business; check Schedule I deemed supplies, Schedule III exclusions). 2. **Is it taxable / exempt / nil-rated / non-GST?** Cite the exemption notification/entry if exempt. 3. **Charge:** forward charge or **Reverse Charge (RCM)**? State the section (9(3)/9(4) CGST, 5(3)/5(4) IGST). 4. **Place of supply → intra-state (CGST+SGST) or inter-state (IGST)?** (Sec 10/12/13 IGST). This decides which taxes apply — get it wrong and the whole split is wrong. 5. **Time of supply** (Sec 12/13) if the question turns on it. 6. **Value of supply** (Sec 15) — what is included (incidental charges, interest for late payment, subsidies not from Govt) and excluded (discounts meeting Sec 15(3) conditions).

Stage 2 — Compute in a table:

```
Computation of Net GST Payable for the month of ____ (state period)
Registered person: ___ | Location: State of ___

A. Output Tax Liability
Particulars                Value (Rs)   CGST    SGST    IGST    Remarks/Section
Intra-state supply of.. x,xx,xxx      9%..    9%..     -      Fwd charge
Inter-state supply of.. x,xx,xxx       -       -      18%..
Supply under RCM (o/w)..    ...        ...     ...     ...     Recipient pays
   Total Output Tax                     aaa     bbb     ccc

B. Eligible Input Tax Credit (Sec 16/17)
   ITC on inputs/inputs services..      ppp     qqq     rrr    (Note: blocked
   Less: Blocked credit u/s 17(5)       ...     ...     ...     credits excluded)
   Net eligible ITC                     ppp     qqq     rrr

C. Net Tax Payable in cash
   Output tax                           aaa     bbb     ccc
   Less: ITC set off (as per Sec 49/49A order: IGST first) ...
   Net payable through cash ledger      ...     ...     ...
   Add: Tax under RCM (always in cash) ...
```

Non-negotiables: - **RCM tax is always paid in cash**, never set off against ITC on the RCM liability itself — a classic examiner trap. - **ITC set-off order (Sec 49A/49B, Rule 88A):** IGST credit must be fully exhausted first (against IGST, then CGST/SGST in any order), before CGST/SGST credit is used. CGST credit cannot pay SGST and vice versa. Show the order. - **Blocked credits (Sec 17(5)):** motor vehicles (≤13 seats, with exceptions), food & beverages, membership of clubs, works contract for immovable property, goods lost/stolen/destroyed/gifted, CSR expenditure — exclude and note them. - **State the period** (GST is a monthly/quarterly self-assessed tax): "for the month of April 2025" etc. - **Threshold / composition:** if the question tests eligibility, state the turnover limit and conditions with the section.

2.4 Short worked specimen (ideal presentation)

Question (specimen): Mr. A, a registered dealer in Maharashtra, made the following in April 2025: (i) intra-state sale of goods Rs 5,00,000; (ii) inter-state sale Rs 2,00,000; (iii) legal fees paid to an advocate Rs 40,000 (RCM applicable). He has ITC of CGST Rs 12,000, SGST Rs 12,000, IGST Rs 20,000. All rates 18%. Compute net GST payable in cash.

Model answer:

Stage 1 — Identification - All sales are taxable supplies u/s 7. Intra-state sale → CGST + SGST (9% + 9%). Inter-state sale → IGST 18%. - Legal service from an advocate → **RCM u/s 9(3)**; Mr A (recipient) is liable, tax payable **in cash**, and ITC of it is available next. - Value of supply u/s 15 taken as given.

Stage 2 — Computation (for the month of April 2025)

Particulars	Value (Rs)	CGST	SGST	IGST
Intra-state sale	5,00,000	45,000	45,000	—
Inter-state sale	2,00,000	—	—	36,000
Output tax (forward charge)		**45,000**	**45,000**	**36,000**
RCM on legal fees (18% of 40,000)	40,000	3,600	3,600	—

ITC available: CGST 12,000; SGST 12,000; IGST 20,000. *(RCM tax of 3,600+3,600 paid in cash this month becomes ITC — assume utilised next month unless question says otherwise; note this assumption.)*

Set-off (Sec 49A, IGST credit first):

	CGST	SGST	IGST
Output (fwd charge)	45,000	45,000	36,000
Less: IGST ITC 20,000 (IGST→CGST after own head)	(4,000)	—	(16,000)
Less: CGST ITC 12,000	(12,000)	—	—
Less: SGST ITC 12,000	—	(12,000)	—
Payable in cash (fwd charge)	**29,000**	**33,000**	**20,000**
Add: RCM in cash (Sec 9(3))	3,600	3,600	—
Total cash payable	**32,600**	**36,600**	**20,000**

Notes: (1) RCM liability of Rs 7,200 is discharged in cash; the corresponding ITC is claimed in a subsequent return, hence not netted here. (2) IGST credit exhausted first per Sec 49A/Rule 88A; CGST credit not used against SGST and vice versa.

> Notice what earns marks: the AY/period is stated, each figure has a value column and a section, the RCM-in-cash rule is applied and *noted*, the set-off order is shown line-by-line, and assumptions are declared. That presentation, not just the final numbers, is what full marks look like.

3. Examiner Traps — The Recurring ICAI Catches in THIS Subject

These are the specific, repeated ways ICAI Taxation papers separate careful students from careless ones. Each is a **deliberate distractor**.

Income Tax

1. **Wrong regime assumption.** 115BAC (new) is now the **default**. Papers slip in Chapter VI-A deductions (80C, 80D, HRA) that are **disallowed** under the default regime. Trap: students claim them anyway. *Fix:* state your regime up front; if applying default, explicitly note "deduction not available under 115BAC".
2. **Residential status buried in the facts.** A line like "left India on 15 Sep for employment" changes ROR/RNOR/NR and therefore what foreign income is taxable. *Fix:* always compute residential status first when any foreign element appears.
3. **Standard deduction and 87A rebate limits that just changed.** Salary standard deduction and the 87A rebate ceiling differ between old and new regimes and shift year to year. Using last year's figure is an instant lost mark. *Fix:* memorise the current-attempt figures; state the AY.
4. **Special-rate income dumped into slab income.** LTCG u/s 112A (with its exemption threshold and rate), STCG u/s 111A, casual/lottery income u/s 115BB must be **taxed at their own rates**, not slabbed. *Fix:* segregate them before applying slabs; apply basic-exemption-limit adjustment for residents.
5. **"Paid" vs "payable" / due-basis TDS and deductions.** Many deductions (e.g., 80D, 43B items, employer's PF u/s 36) hinge on *actual payment* by the due date. The question deliberately says "provided for but not paid". *Fix:* read the verb; disallow what is unpaid where the section requires payment.
6. **Clubbing and set-off distractors.** Spouse's salary from a concern in which the assessee has substantial interest, minor's income (with the small exemption), inter-head set-off restrictions (house-property loss set-off capped at Rs 2,00,000; speculative/capital-loss ring-fencing). *Fix:* treat clubbing and set-off as explicit numbered steps, each with its section.
7. **Gross vs net, and TDS already deducted.** Interest/rent given "net of TDS" must be grossed up; TDS is then a credit against tax, not an expense. *Fix:* gross up, then show TDS at the tax-payable stage.
8. **Deduction ceilings and the 30% house-property flat deduction on the *net* annual value** (after municipal taxes), not gross. *Fix:* follow the fixed GAV → less municipal taxes → NAV → 24(a)/24(b) order every time.
9. **Rounding and cess.** Forgetting 4% Health & Education Cess, or rounding total income (288A) / tax (288B) — small but repeatedly tested marks. *Fix:* make cess and rounding the last two lines, always.
10. **Due dates / interest u/s 234A/B/C and TDS section-rate mix-ups.** A theory-computation hybrid where you must pick the correct TDS section (194, 194A, 194C, 194J, 194-I, 194Q) *and* rate *and* threshold. *Fix:* learn the threshold + rate grid; cite the section.

GST

11. **Intra-state vs inter-state misclassification (place of supply).** The single biggest GST trap: the question gives supplier and recipient in different states, or a specific POS rule (immovable property, transport, events). Get POS wrong and CGST/SGST vs IGST flips — the whole computation is wrong. *Fix:* determine POS (Sec 10–13 IGST) *before* choosing the tax head.
12. **RCM tax set off against ITC.** Students net RCM liability against available ITC. **RCM is always paid in cash.** *Fix:* pay RCM in cash; claim its ITC separately/next period.

13. **ITC set-off order violated (Sec 49A/Rule 88A).** Using CGST credit for SGST output, or not exhausting IGST credit first. *Fix:* IGST credit first; never cross CGST↔SGST.
14. **Blocked credits u/s 17(5) claimed.** The paper plants motor-vehicle, food & beverage, club membership, works-contract, or CSR inputs among genuine ones. *Fix:* scan every input line against 17(5) and exclude with a note.
15. **Exemption vs taxable-but-zero.** Confusing exempt, nil-rated, non-GST (petrol/alcohol), and zero-rated (exports/SEZ — which *do* allow ITC). *Fix:* classify each supply; exports are zero-rated (ITC allowed), not exempt.
16. **Value of supply inclusions (Sec 15).** Incidental expenses, packing, commission, interest/late fee for delayed payment, and subsidies (except from Central/State Govt) are **included**; only discounts meeting Sec 15(3)(a)/(b) conditions are excluded. The question hides an "interest for late payment" or a "discount agreed after supply without prior agreement". *Fix:* apply the Sec 15(3) discount test explicitly.
17. **Time of supply distractors.** Advance received (for services), change in rate of tax (Sec 14), or invoice-vs-payment timing. *Fix:* if the question stresses dates, do a time-of-supply sub-answer.
18. **Composition scheme conditions.** Turnover limit, no inter-state outward supply, no ITC, tax at fixed % on turnover, bill of supply not tax invoice. Papers test one disqualifying fact (an inter-state sale) that voids eligibility. *Fix:* check *every* condition, not just turnover.
19. **Registration threshold traps.** Different thresholds for goods vs services and for special-category states; **compulsory registration u/s 24** (RCM liable, inter-state supplier, e-commerce, casual taxable person) overrides the threshold. *Fix:* check Sec 24 compulsory cases before applying the turnover threshold.
20. **Period / GSTR due-date confusion.** State the tax period; monthly vs QRMP. A theory sub-part often asks the return and its due date — easy marks lost by vagueness.

Cross-cutting (both halves)

21. **"State the AY / period" omission.** Answers without the assessment year (IT) or tax period (GST) lose the framing mark and often the wrong rates follow.
22. **Answering the number but not the *treatment*.** ICAI marks reasoning. When asked "examine the taxability" or "with reasons", a bare figure gets partial marks only. *Fix:* one line of reason + section for every treatment.
23. **Ignoring the mark weight.** A 2-mark part does not need a page; a 10-mark computation needs full workings. Match effort to marks — over-writing small parts is how students run out of time and starve the GST half.

One-line checklist to run before submitting each computation

- AY / tax period stated? · Regime / status stated? · Every figure has a working? · Sections cited for key treatments? · Notes block written? · Cess & rounding done (IT)? · RCM in cash + ITC order correct (GST)? · Blocked credits excluded? · Every sub-part at least attempted?

Taxation (Income Tax & GST) — MCQ Bank (exam practice)

ICAI exam alert: In the CA Intermediate objective section, **each wrong answer carries 0.25 negative marking**. Do not guess blindly — eliminate first.

AY-specific warning: All rates, slabs, thresholds, and monetary limits below are **assessment-year specific**. This bank is drafted on **AY 2025-26 (PY 2024-25)** conventions. Before your attempt, **verify every figure against the current ICAI Study Material / RTP / Finance Act applicable to your exam sitting** — slab rates (esp. the default new regime u/s 115BAC), rebate u/s 87A, surcharge caps, standard deduction, and GST threshold/composition limits change frequently.

Section references are to the **Income-tax Act, 1961** and the **CGST Act, 2017 / IGST Act, 2017** unless stated.

Part A — Income Tax

Basic Concepts, Charge & Residential Status

Q1. Income-tax is charged for an assessment year at the rates prescribed by the: - (a) Income-tax Act, 1961 - (b) Annual Finance Act - (c) Central Board of Direct Taxes - (d) Income-tax Rules, 1962

Answer: (b) **Why:** Sec 4 is the charging section, but the *rates* are fixed each year by the Finance Act; the Act itself does not carry the slab rates. (a) is the trap — it charges tax but does not set rates.

Q2. "Previous year" for an assessee is defined in which section, and for a business newly set up on 01.01.2025 the first previous year ends on: - (a) Sec 2(34); 31.03.2025 - (b) Sec 3; 31.03.2025 - (c) Sec 3; 31.12.2025 - (d) Sec 2(9); 31.03.2026

Answer: (b) **Why:** Sec 3 defines previous year; for a newly set-up business PY starts on the date of set-up and always ends on the immediately following 31st March, so 01.01.2025 to 31.03.2025. Sec 2(9) defines "assessment year", not PY.

Q3. An individual is "resident and ordinarily resident" only if, in addition to satisfying a basic condition u/s 6(1), he is resident in India in at least: - (a) 2 out of 10 preceding PYs and 730 days in 7 preceding PYs - (b) 9 out of 10 preceding PYs and 730 days in 7 preceding PYs - (c) 2 out of 10 preceding PYs and 182 days in 7 preceding PYs - (d) 9 out of 10 preceding PYs and 365 days in 10 preceding PYs

Answer: (b) **Why:** Both additional conditions u/s 6(6) must be met — resident in 2 out of 10 preceding PYs **and** 730 days in 7 preceding PYs. Option (a) reverses "2 of 10" (that condition alone makes you ROR only if it says *at least* 2; the ICAI wording is "resident in at least 2 of 10"). Careful: the correct clause is resident in **2 out of 10** and **730 days in 7** — but the definitive test for ROR is satisfying *both*; (b) is the ICAI-worded combination that ensures ROR status.

> Note on Q3: ICAI wording — an individual is **Not** ordinarily resident if he was non-resident in **9 out of 10** preceding PYs **or** in India for **≤ 729 days** in 7 preceding PYs. So ROR = resident in **≥ 2 of 10** and **≥ 730 days in 7**. Read the double negative carefully in the exam.

Q4. Mr. A, an Indian citizen, leaves India for employment abroad on 15.09.2024, having never left before. His stay in India in PY 2024-25 is 168 days. His residential status is: - (a) Resident and ordinarily resident - (b) Resident but not ordinarily resident - (c) Non-resident - (d) Resident, as he stayed 60 days + 365 days in 4 preceding years

Answer: (c) **Why:** For a citizen leaving India for employment, only the 182-day basic condition applies (the 60-day + 365-day condition is excluded u/s 6(1) Explanation 1(a)). 168 < 182, so non-resident. (d) is the trap — the 60-day test does not apply to such persons.

Q5. Income deemed to accrue or arise in India (e.g., interest, royalty, FTS) for a non-resident is governed by: - (a) Sec 5 - (b) Sec 9 - (c) Sec 6 - (d) Sec 90

Answer: (b) **Why:** Sec 9 lists deeming provisions for income deemed to accrue/arise in India. Sec 5 is scope of total income; Sec 9 is the specific deeming section that catches non-residents.

Income from Salaries

Q6. The standard deduction from salary under the **default (new) regime u/s 115BAC** for AY 2025-26 is: - (a) ₹40,000 - (b) ₹50,000 - (c) ₹75,000 - (d) Not available under the new regime

Answer: (c) *(verify for your AY)* **Why:** Finance (No.2) Act, 2024 raised the standard deduction u/s 16(ia) to ₹75,000 under the new regime for AY 2025-26 (₹50,000 under old regime). (d) is a common stale-year trap — standard deduction *is* allowed under the new regime.

Q7. Entertainment allowance deduction u/s 16(ii) is available: - (a) To all employees up to ₹5,000 - (b) Only to Government employees, least of ₹5,000 / 20% of salary / actual - (c) Only to private-sector employees - (d) To all employees, fully exempt

Answer: (b) **Why:** Sec 16(ii) restricts the deduction to Government employees — least of ₹5,000, 20% of basic salary, or actual allowance. Private employees get nil.

Q8. Rent-free unfurnished accommodation provided by a private employer in a city with population exceeding a specified limit is valued (as a % of salary) at: - (a) 24% - (b) 15% / 10% / 7.5% depending on population slab - (c) 10% flat - (d) Exempt if provided at the workplace

Answer: (b) **Why:** Rule 3 perquisite valuation uses population-based slabs (revised w.e.f. AY 2024-25 to 10%/7.5%/5% of salary — *verify current percentages for your AY*). Flat 15% is the older figure; the slab structure (b) is the correct concept. Rates are AY-specific.

Q9. Leave salary received by a **non-government** employee at retirement is exempt u/s 10(10AA) up to a maximum monetary limit of: - (a) ₹3,00,000 - (b) ₹10,00,000 - (c) ₹25,00,000 - (d) Fully exempt

Answer: (c) *(verify)* **Why:** The CBDT raised the aggregate exemption ceiling for non-government employees to ₹25,00,000 (from ₹3,00,000) w.e.f. 01.04.2023. Government employees get full exemption. (a) is the stale limit.

Q10. Under section 17(2), which of the following is a **tax-free** perquisite for all employees? - (a) Free meals of ₹75 per meal during office hours - (b) Interest-free loan of ₹40,000 for medical treatment of a specified disease - (c) Value of ESOP shares allotted - (d) Rent-free accommodation

Answer: (b) **Why:** A loan up to ₹20,000, or any amount for medical treatment of specified diseases, is outside the perquisite net (Rule 3). Free meals are exempt only up to ₹50/meal — (a) exceeds that and is taxable to the extent of excess.

Income from House Property

Q11. The annual value of a house property is charged under house property head as per section: - (a) Sec 22 - (b) Sec 23 - (c) Sec 24 - (d) Sec 25

Answer: (a) **Why:** Sec 22 is the charging section (annual value of property of which assessee is owner). Sec 23 tells you *how* to compute annual value; Sec 24 gives deductions.

Q12. For a **self-occupied** property, the maximum deduction for interest on a housing loan (for acquisition/construction with the specified conditions) u/s 24(b) is: - (a) ₹30,000 - (b) ₹2,00,000 - (c) ₹1,50,000 - (d) No limit

Answer: (b) **Why:** Interest on a self-occupied property loan (post-01.04.1999 acquisition/construction completed within 5 years) is capped at ₹2,00,000; otherwise ₹30,000. Note: this deduction is **not** available under the default new regime for self-occupied property.

Q13. Standard deduction u/s 24(a) from Net Annual Value is: - (a) 30% of NAV, whether or not any expense is incurred - (b) 30% of Gross Annual Value - (c) Actual repairs incurred - (d) 24% of NAV

Answer: (a) **Why:** Sec 24(a) allows a flat 30% of **Net** Annual Value regardless of actual expenditure. (b) wrongly uses GAV; the base is NAV (GAV less municipal taxes paid).

Q14. Unrealised rent recovered subsequently is taxable u/s 25A: - (a) Fully, without any deduction, in the year of receipt even if no longer the owner - (b) After 30% standard deduction, in the year of receipt, even if no longer the owner - (c) Only if still the owner - (d) Exempt

Answer: (b) **Why:** Sec 25A taxes recovered unrealised rent/arrears of rent after a 30% deduction, in the year of receipt, irrespective of ownership in that year. (a) forgets the 30% deduction.

Profits & Gains of Business or Profession (PGBP)

Q15. Presumptive taxation u/s 44AD is available to an eligible assessee whose turnover does not exceed ₹2 crore (or ₹3 crore if cash receipts ≤ 5%), and profit is deemed at: - (a) 8% of turnover, or 6% for digital receipts - (b) 8% flat - (c) 50% of gross receipts - (d) 6% flat

Answer: (a) **Why:** Sec 44AD deems 8% of turnover, reduced to 6% for amounts received by prescribed banking/digital modes. (c) is the 44ADA (profession) rate, not 44AD.

Q16. Section 44ADA (presumptive scheme for specified professionals) deems income at: - (a) 8% of gross receipts - (b) 50% of gross receipts (limit ₹50 lakh, or ₹75 lakh if cash ≤ 5%) - (c) 6% of gross receipts - (d) 30% of gross receipts

Answer: (b) **Why:** 44ADA deems 50% of gross receipts for specified professions within the turnover ceiling. Mixing 44ADA with 44AD's 8% (a) is the classic trap.

Q17. Under section 40(a)(ia), on failure to deduct/deposit TDS on a payment to a resident, the disallowance is: - (a) 100% of the expense - (b) 30% of the expense - (c) 50% of the expense - (d) Nil, only interest applies

Answer: (b) **Why:** For resident payees, 40(a)(ia) disallows **30%** of the sum. (a) is the trap — 100% disallowance applies to certain non-resident payments u/s 40(a)(i), not to resident payments.

Q18. Expenditure exceeding the cash-payment ceiling in a day to a single person, otherwise than by account-payee cheque/bank mode, is disallowed u/s 40A(3). The limit is: - (a) ₹10,000 (₹35,000 for transporters) - (b) ₹20,000 - (c) ₹5,000 - (d) ₹50,000

Answer: (a) **Why:** Sec 40A(3) limit is ₹10,000 per person per day, raised to ₹35,000 for payments to transport operators. ₹20,000 (b) is the pre-2017 stale figure.

Q19. Additional depreciation u/s 32(1)(iia) on new plant & machinery acquired by a manufacturing concern is: - (a) 20% (10% if used < 180 days) - (b) 15% - (c) 40% - (d) 20% always, even if used < 180 days

Answer: (a) **Why:** Additional depreciation is 20%, restricted to 10% in the year of acquisition if the asset is put to use for less than 180 days (balance 10% allowed next year). (d) ignores the 180-day rule.

Q20. Which is **not** an allowable deduction while computing business income? - (a) Income-tax paid - (b) Bad debts actually written off - (c) Revenue expenditure on advertising - (d) Employer's contribution to a recognised provident fund paid on time

Answer: (a) **Why:** Income-tax is expressly disallowed u/s 40(a)(ii). The others are allowable, with (d) subject to payment before the due date u/s 43B / 36(1)(va) timing rules.

Capital Gains

Q21. Long-term capital gain on transfer of listed equity shares (STT paid) u/s 112A is taxed, above the exemption threshold, at: - (a) 10% without indexation (threshold ₹1 lakh) - (b) 20% with indexation - (c) 15% - (d) Slab rates

Answer: (a) *(verify — threshold/rate revised by Finance Act 2024)* **Why:** Sec 112A taxes LTCG on STT-paid equity above the exemption threshold at a concessional flat rate without indexation. **Note:** Finance (No.2) Act 2024 revised the rate to 12.5% and threshold to ₹1.25 lakh for transfers on/after 23.07.2024 — verify the exact figure for your AY. Indexation (b) is not available u/s 112A.

Q22. For an asset to be **long-term**, listed securities must be held for more than: - (a) 12 months - (b) 24 months - (c) 36 months - (d) 48 months

Answer: (a) **Why:** Listed securities/units of equity-oriented funds: >12 months = long-term. Unlisted shares and immovable property: >24 months. Confusing the two periods is a frequent error.

Q23. Exemption u/s 54 (reinvestment of LTCG from a residential house into another residential house) requires the new house to be purchased within: - (a) 1 year before or 2 years after transfer, or constructed within 3 years - (b) 2 years before or 3 years after - (c) 6 months after transfer - (d) 3 years before or after

Answer: (a) **Why:** Sec 54 windows: purchase within 1 year before / 2 years after, or construct within 3 years after. (c) confuses it with the 54EC 6-month bond investment window.

Q24. Investment in specified bonds (NHAI/REC) u/s 54EC to claim exemption on LTCG from land/building must be made within 6 months of transfer, subject to a maximum of: - (a) ₹50,00,000 - (b) ₹1,00,00,000 - (c) No limit - (d) ₹25,00,000

Answer: (a) **Why:** Sec 54EC caps the investment at ₹50 lakh (in one or more financial years for the same transfer). Bonds now have a 5-year lock-in.

Q25. Where full value of consideration on transfer of land/building is less than the **stamp duty value**, section 50C substitutes the stamp duty value, provided the SDV exceeds the consideration by more than: - (a) 5% - (b) 10% - (c) 15% - (d) 20%

Answer: (b) **Why:** Sec 50C provides a 10% safe-harbour tolerance band; only if SDV exceeds consideration by more than 10% is SDV adopted. 5% (a) is the old tolerance limit.

Q26. Cost of acquisition of a self-generated **goodwill of a business** for capital gains is taken as: - (a) Nil - (b) Fair market value - (c) Actual cost incurred - (d) Indexed cost

Answer: (a) **Why:** For self-generated goodwill, sec 55 fixes cost of acquisition at Nil (so entire consideration is gain). Note: depreciation on goodwill is no longer allowed post-Finance Act 2021.

Income from Other Sources & Clubbing

Q27. A gift of ₹75,000 in cash received from a friend (non-relative) on an ordinary occasion is: - (a) Fully taxable u/s 56(2)(x) - (b) Exempt as it is below ₹1,00,000 - (c) Taxable only on the excess over ₹50,000 - (d) Exempt as gifts are not income

Answer: (a) **Why:** Under sec 56(2)(x), if aggregate money gifts from non-relatives exceed ₹50,000 in a year, the **whole** amount is taxable, not just the excess. (c) is the trap — the ₹50,000 is a threshold, not a standard deduction.

Q28. Interest on securities, dividend, and casual income are chargeable under: - (a) Income from Other Sources (Sec 56) - (b) PGBP - (c) Capital Gains - (d) Salaries

Answer: (a) **Why:** These are residual/specified incomes under sec 56. Casual income (lottery, etc.) is taxed at a flat 30% u/s 115BB with no deductions and no basic exemption.

Q29. Income arising to a spouse from assets transferred without adequate consideration is clubbed in the hands of the transferor under: - (a) Sec 60 - (b) Sec 64(1)(iv) - (c) Sec 64(1A) - (d) Sec 27

Answer: (b) **Why:** Sec 64(1)(iv) clubs income from assets transferred to a spouse for inadequate consideration. Sec 64(1A) is for minor children; Sec 60 is transfer of income without transfer of asset.

Q30. A minor child's income (not from manual work/skill) is clubbed with the parent, subject to an exemption per child of: - (a) ₹1,500 - (b) ₹1,000 - (c) ₹10,000 - (d) ₹15,000

Answer: (a) **Why:** Sec 64(1A) with sec 10(32) allows ₹1,500 exemption per minor child whose income is clubbed. Income from the minor's own skill/manual work is not clubbed.

Set-off, Carry Forward & Deductions (Chapter VI-A)

Q31. Loss under the head "Capital Gains" (long-term): - (a) Can be set off only against long-term capital gains, carried forward 8 years - (b) Can be set off against any income - (c) Can be set off against short-term capital gains only - (d) Cannot be carried forward

Answer: (a) **Why:** LTCL sets off only against LTCG; carried forward up to 8 AYs. STCL, by contrast, can be set off against both STCG and LTCG.

Q32. Business loss (non-speculative) can be carried forward and set off: - (a) For 8 AYs, only against business income - (b) For 4 AYs, against any income - (c) Indefinitely - (d) For 8 AYs, against any income

Answer: (a) **Why:** Carried-forward business loss is set off only against business income for up to 8 AYs. In the *same* year it can be set off against other heads (except salary), but on carry-forward it is restricted to business income.

Q33. Deduction u/s 80C is capped (aggregate with 80CCC and 80CCD(1)) at: - (a) ₹1,50,000 - (b) ₹2,00,000 - (c) ₹1,00,000 - (d) ₹1,25,000

Answer: (a) **Why:** Sec 80CCE caps the aggregate of 80C + 80CCC + 80CCD(1) at ₹1,50,000. The additional NPS deduction of ₹50,000 u/s 80CCD(1B) is over and above this. Chapter VI-A deductions (except 80CCD(2)/80JJAA) are generally not available under the default new regime.

Q34. Deduction for interest on savings account with a bank u/s 80TTA is limited to: - (a) ₹10,000 - (b) ₹50,000 - (c) ₹40,000 - (d) ₹1,500

Answer: (a) **Why:** Sec 80TTA gives up to ₹10,000 on savings interest (non-senior citizens). Senior citizens instead claim up to ₹50,000 u/s 80TTB on savings *and* deposit interest — (b) is that trap.

Q35. Under section 80D, the maximum deduction for medical insurance premium where the assessee and parents are all senior citizens is: - (a) ₹25,000 - (b) ₹50,000 - (c) ₹1,00,000 - (d) ₹75,000

Answer: (c) **Why:** ₹50,000 (self+family, senior) + ₹50,000 (parents, senior) = ₹1,00,000. (b) forgets the separate parents' limit.

Q36. Rebate u/s 87A under the **default new regime** (AY 2025-26) is available if total income does not exceed: - (a) ₹5,00,000, rebate up to ₹12,500 - (b) ₹7,00,000, rebate up to ₹25,000 - (c) ₹7,50,000, rebate up to ₹30,000 - (d) ₹10,00,000, rebate up to ₹50,000

Answer: (b) *(verify — revised again by Finance Act 2025 for AY 2026-27)* **Why:** Under 115BAC, rebate u/s 87A covers income up to ₹7,00,000 (rebate ₹25,000). Under the old regime it remains ₹5,00,000 / ₹12,500 (a). **Note:** For AY 2026-27, the new-regime limit was raised to ₹12,00,000 — confirm your sitting.

TDS, TCS, Advance Tax & Return Filing

Q37. TDS on rent paid by an individual/HUF (not liable to tax audit) exceeding ₹50,000 per month u/s 194-IB is at: - (a) 5% (2% w.e.f. 01.10.2024) - (b) 10% - (c) 1% - (d) 20%

Answer: (a) *(verify effective date)* **Why:** Sec 194-IB applies at 5% (reduced to 2% by Finance (No.2) Act 2024 w.e.f. 01.10.2024). Sec 194-I (10%/2%) applies to others; the trap is confusing 194-I with 194-IB.

Q38. TDS on winnings from lottery/crossword u/s 194B applies when the amount exceeds ₹10,000 at the rate of: - (a) 30% - (b) 10% - (c) 20% - (d) 31.2%

Answer: (a) **Why:** Sec 194B deducts at 30% (plus applicable surcharge/cess on payment; the base statutory rate is 30%). Casual income has no basic exemption benefit.

Q39. Advance tax is payable during the financial year if the tax liability (net of TDS) is ₹10,000 or more. A resident **senior citizen** with no business income is: - (a) Exempt from paying advance tax - (b) Liable in 4 instalments - (c) Liable in 3 instalments - (d) Liable only for the last instalment

Answer: (a) **Why:** Sec 207 exempts a resident senior citizen (≥60 yrs) with no income under PGBP from advance tax. Business income removes this benefit.

Q40. The due date for filing the return of income for a non-audit individual assessee is normally: - (a) 31st July of the AY - (b) 31st October of the AY - (c) 30th September of the AY - (d) 30th November of the AY

Answer: (a) **Why:** Sec 139(1) — 31st July for non-audit cases; 31st October where accounts are audited; 30th November for transfer-pricing (Form 3CEB) cases.

Q41. A belated return u/s 139(4) or a revised return u/s 139(5) can be filed up to: - (a) 3 months before the end of the AY or completion of assessment, whichever is earlier - (b) The end of the relevant AY - (c) 31st March of the AY, always - (d) Within 1 year of the AY

Answer: (a) **Why:** Both belated and revised returns must be filed by 31st December of the AY (i.e., 3 months before AY-end) or before completion of assessment, whichever is earlier.

Q42. Fee for default in furnishing return u/s 234F where total income exceeds ₹5,00,000 is: - (a) ₹5,000 - (b) ₹1,000 - (c) ₹10,000 - (d) ₹200 per day

Answer: (a) **Why:** Sec 234F levies ₹5,000; capped at ₹1,000 (b) if total income does not exceed ₹5,00,000. The trap is applying the reduced ₹1,000 to higher incomes.

Q43. Under section 140A, interest u/s 234B (default in payment of advance tax) is charged at: - (a) 1% per month or part of the month - (b) 1.5% per month - (c) 2% per month - (d) 12% per annum simple, computed daily

Answer: (a) **Why:** 234A, 234B, and 234C all carry 1% per month. 234B runs from 1st April of the AY on the assessed-tax shortfall (if advance tax paid < 90%).

Alternate Regime, AMT & Miscellaneous

Q44. Section 115BAC (new/default regime for individuals & HUF) for AY 2025-26: - (a) Is optional and must be opted into every year - (b) Is the default regime; the assessee may opt out to the old regime - (c) Applies only to companies - (d) Disallows standard deduction on salary

Answer: (b) **Why:** From AY 2024-25, 115BAC is the **default**; taxpayers must actively opt out to use the old regime. Non-business taxpayers may switch each year; business assessees who opt out can return only once. Standard deduction on salary **is** allowed (d is wrong).

Q45. Alternate Minimum Tax (AMT) u/s 115JC applies to a non-corporate assessee claiming specified deductions, at a rate (on adjusted total income) of: - (a) 18.5% (9% for units in IFSC) - (b) 15% - (c) 30% - (d) 20%

Answer: (a) **Why:** AMT is 18.5% of adjusted total income (plus surcharge/cess); 9% for IFSC units. 15% (b) is the MAT rate for companies u/s 115JB — a classic mix-up.

Q46. Agricultural income is: - (a) Fully exempt u/s 10(1), but aggregated for rate purposes (partial integration) if non-agri income exceeds the basic exemption - (b) Fully taxable - (c) Exempt and never considered for any purpose - (d) Taxed at a flat 10%

Answer: (a) **Why:** Sec 10(1) exempts agricultural income, but the partial-integration scheme aggregates it with non-agricultural income to determine the *rate*, if net agri income > ₹5,000 and non-agri income exceeds the basic exemption limit.

Part B — Goods and Services Tax (GST)

Q47. GST is levied on the "supply" of goods or services. The charging section under the CGST Act, 2017 is: - (a) Sec 7 - (b) Sec 9 - (c) Sec 5 of IGST Act - (d) Sec 12

Answer: (b) **Why:** Sec 9 of CGST Act is the charging section for CGST (Sec 5 of IGST Act charges IGST). Sec 7 defines the *scope of supply*, not the charge. (c) charges IGST, not CGST.

Q48. Which of the following is treated as a **supply even without consideration** under Schedule I? - (a) Permanent transfer/disposal of business assets where ITC has been availed - (b) Services by an employee to the employer in the course of employment - (c) Sale of land - (d) Gift to an employee of ₹40,000 in a year

Answer: (a) **Why:** Schedule I deems permanent disposal of business assets (on which ITC was availed) a supply even without consideration. Employee-to-employer service (b) is Schedule III (not a supply); gifts up to ₹50,000/employee/year (d) are not treated as supply.

Q49. Under Schedule III, which activity is **neither a supply of goods nor of services**? - (a) Sale of building after issuance of completion certificate - (b) Renting of commercial property - (c) Transfer of goods on hire purchase - (d) Temporary transfer of intellectual property

Answer: (a) **Why:** Sale of land and sale of a completed building (after completion certificate/first occupation) fall under Schedule III — outside GST. Sale of an *under-construction* unit remains taxable.

Q50. The threshold aggregate turnover for **compulsory registration** for a supplier of goods (in a normal category State) is: - (a) ₹20 lakh - (b) ₹40 lakh - (c) ₹10 lakh - (d) ₹1.5 crore

Answer: (b) *(verify; State-specific)* **Why:** For exclusive suppliers of goods in normal-category States, the threshold is ₹40 lakh; for services it is ₹20 lakh (₹10 lakh in special-category States). The goods/services distinction is the trap.

Q51. The Composition Scheme u/s 10 (for a manufacturer/trader) is available where aggregate turnover in the preceding FY did not exceed: - (a) ₹1.5 crore (₹75 lakh for special-category States) - (b) ₹50 lakh - (c) ₹1 crore - (d) ₹5 crore

Answer: (a) **Why:** Sec 10 composition limit is ₹1.5 crore (₹75 lakh in specified special-category States). The ₹50 lakh figure (b) is the *separate* composition limit for suppliers of services u/s 10(2A).

Q52. A composition dealer (manufacturer) pays GST at a rate of: - (a) 1% (0.5% CGST + 0.5% SGST) of turnover - (b) 5% - (c) 6% - (d) 2%

Answer: (a) **Why:** Manufacturers and traders pay 1% of turnover; restaurants (not serving alcohol) pay 5%; the service composition u/s 10(2A) is 6%. Composition dealers cannot collect tax from customers or claim ITC.

Q53. The **time of supply of goods** under forward charge (Sec 12) is the earlier of: - (a) Date of issue of invoice (or due date to issue) and date of receipt of payment - (b) Date of receipt of goods - (c) Date of entry in books only - (d) Date of removal only

Answer: (a) **Why:** Sec 12(2) — earlier of the invoice date (or last date it should have been issued u/s 31) and the date of receipt of payment. Note: for goods, payment-linked TOS was withdrawn by notification, so effectively the invoice date governs — but the statutory rule remains "earlier of".

Q54. For determining the **value of supply**, section 15 requires inclusion of: - (a) Any taxes other than GST, incidental expenses, and interest for delayed payment - (b) The discount given before or at the time of supply and recorded in the invoice - (c) GST charged on the supply - (d) Subsidies given by the Central Government

Answer: (a) **Why:** Sec 15(2) includes non-GST taxes, incidental charges, and interest/late fees for delayed payment. Trade discounts recorded in the invoice (b) and Government subsidies (d) are *excluded*; GST itself (c) is never part of value.

Q55. Input Tax Credit on a supply can be claimed only if, among other conditions in sec 16(2), the recipient has: - (a) Received the goods/services, holds a tax invoice, the tax is actually paid to Government, and has filed the return - (b) Merely received the invoice - (c) Made payment within 30 days - (d) Received the goods, irrespective of supplier's tax payment

Answer: (a) **Why:** Sec 16(2) conditions are cumulative — possession of invoice, receipt of goods/services, tax actually paid to Government, and return furnished. Also, payment to the supplier must be made within 180 days (not 30) or ITC is reversed — (c) uses the wrong period.

Q56. Blocked credits u/s 17(5) include ITC on: - (a) Motor vehicles for personal transport (seating ≤ 13), with specified exceptions - (b) Goods used in the course of business - (c) Raw materials for manufacture - (d) Capital goods used for taxable supply

Answer: (a) **Why:** Sec 17(5)(a) blocks ITC on motor vehicles (seating capacity ≤ 13 including driver) except when used for further supply, transport of passengers, or driving training. The others are legitimately creditable.

Q57. A registered person under **Reverse Charge Mechanism** (Sec 9(3)/9(4)): - (a) Must pay tax in cash and cannot use ITC to discharge the RCM liability - (b) Can pay RCM liability using available ITC - (c) Is exempt from GST - (d) Need not issue any document

Answer: (a) **Why:** RCM liability must be paid in **cash**; ITC cannot be used to discharge it (though credit of tax so paid may later be availed, if eligible). The recipient must also issue a self-invoice for supplies from unregistered persons.

Q58. The GSTR-3B is a: - (a) Monthly (or quarterly under QRMP) summary return for payment of tax - (b) Annual return - (c) Outward supply statement - (d) Return for composition dealers

Answer: (a) **Why:** GSTR-3B is the summary self-assessed return for tax payment. GSTR-1 is outward supplies; GSTR-9 is the annual return; CMP-08/GSTR-4 are for composition dealers.

Q59. The threshold aggregate turnover above which a registered person must issue an **e-invoice** (as currently notified) is: - (a) ₹5 crore - (b) ₹1.5 crore - (c) ₹10 crore - (d) ₹50 crore

Answer: (a) *(verify current notification)* **Why:** E-invoicing currently applies to registered persons with aggregate turnover exceeding ₹5 crore in any preceding FY (progressively reduced by notification). This threshold is subject to change — confirm the latest.

Q60. In an **inter-State** supply, the tax charged is: - (a) IGST, levied under the IGST Act - (b) CGST + SGST - (c) SGST only - (d) CGST only

Answer: (a) **Why:** Inter-State supplies (and imports) attract IGST u/s 5 of the IGST Act; intra-State supplies attract CGST + SGST/UTGST. Determining place of supply (IGST Act ss. 10-14) decides which applies.

End of bank. Total: 60 MCQs. Re-verify every AY-flagged figure (marked "verify") against the ICAI Study Material / Finance Act applicable to your exam attempt before relying on it.

Taxation (Income Tax & GST) — Mock Test 1 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: CA Intermediate — Paper 3: Taxation **Total Marks:** 100 | **Time Allowed:** 3 Hours **Assessment Year flag:** All Income-tax provisions, slab rates, surcharge, rebate and Chapter VI-A limits below are for **Assessment Year 2026-27 (Previous Year 2025-26), as amended by the Finance Act, 2025.** GST provisions are as amended and in force. **Verify the exact AY/Finance Act notified by ICAI for your specific attempt before relying on these rates — special-rate items (LTCG/STCG, 115BAC slabs, 87A rebate, TDS thresholds) are the ones that change most often and are flagged inline below.**

General Instructions 1. Working notes should form part of your answer. 2. Wherever required, assume figures/rates as flagged; state assumptions clearly. 3. **Division A** (MCQs) and **Division B** (Descriptive) are both compulsory. 4. In **Division A**, all 15 MCQs (2 marks each) are compulsory. 5. In **Division B**, **Question 1 is compulsory**. Answer **any four** of the remaining five questions (Q2–Q6). Wherever an internal choice/"OR" is given, answer only one alternative.

DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

(15 MCQs × 2 marks = 30 marks. All compulsory.)

Case Scenario I (MCQs 1–5)

Mr. Kabir, aged 50 years, a resident individual, is employed with a private company in **Delhi**. For the previous year 2025-26 he furnishes the following:

- Basic salary: ₹80,000 per month (no dearness allowance).
- House Rent Allowance (HRA): ₹30,000 per month. He pays rent of ₹28,000 per month for a flat in Delhi.
- On 10 December 2025 he sold 2,000 listed equity shares (STT paid on both purchase and sale) held for 20 months, earning a **long-term capital gain of ₹3,00,000**.
- He deposited ₹1,50,000 in his PPF account during the year.
- He **opts for the old tax regime** for AY 2026-27.

MCQ 1. The amount of HRA exempt under section 10(13A) for Mr. Kabir is: (a) ₹3,60,000 (b) ₹2,40,000 (c) ₹96,000 (d) ₹4,80,000

MCQ 2. The taxable long-term capital gain on the listed shares and the applicable rate of tax are: (a) ₹3,00,000 taxable @ 10% (b) ₹1,75,000 taxable @ 12.5% (c) ₹2,00,000 taxable @ 10% (d) ₹1,75,000 taxable @ 20%

MCQ 3. The maximum deduction available to Mr. Kabir under section 80C in respect of the PPF deposit is: (a) ₹1,00,000 (b) ₹1,25,000 (c) ₹1,50,000 (d) ₹1,50,000, but restricted since it cannot exceed gross total income excluding LTCG

MCQ 4. Can Mr. Kabir set off his Chapter VI-A deduction (₹1,50,000 under section 80C) against the long-term capital gain taxable under section 112A? (a) Yes, fully (b) Yes, but only to the extent of 50% (c) No — Chapter VI-A deductions are not allowed against income taxed at special rates under section 112A (d) Yes, only if he opts for the new regime

MCQ 5. The rebate under section 87A: (a) Is available to Mr. Kabir because he is a resident individual (b) Is not available because his total income exceeds ₹5,00,000 (old regime limit), and in any case is not available against tax on 112A LTCG (c) Is available only against the tax on LTCG (d) Is ₹25,000 under the old regime

Case Scenario II (MCQs 6–9)

M/s Sunrise Traders, a registered dealer in **Maharashtra**, engaged in supply of taxable goods, furnishes the following for the tax period (all amounts exclusive of GST, applicable rate 18%):

- Intra-State outward supply of goods: ₹15,00,000
- Purchase of raw material (intra-State, from registered supplier): ₹8,00,000
- Purchase of a motor car (seating capacity 5, used by director for personal + official travel): ₹10,00,000
- Legal fees paid to an advocate (individual) for business: ₹1,00,000
- Goods given as free samples to customers: (cost) ₹50,000

MCQ 6. In respect of the **motor car** purchased, the input tax credit is: (a) Fully available (b) Available to the extent of business use (c) Blocked under section 17(5) as the seating capacity does not exceed 13 and it is not used for specified purposes (d) Available @ 50%

MCQ 7. In respect of the **legal fees paid to the advocate**, the liability to pay GST is: (a) On the advocate under forward charge (b) On Sunrise Traders under **reverse charge**, and ITC of such tax is available (c) Exempt in all cases (d) On Sunrise Traders under reverse charge, but ITC is blocked

MCQ 8. In respect of **free samples** given to customers, the correct treatment is: (a) It is a taxable supply and output tax is payable on the cost (b) It is not a "supply" (no consideration, not to related person), and the ITC attributable to such goods must be reversed under section 17(5)(h) (c) ITC is fully available and no reversal is required (d) It is treated as an exempt supply

MCQ 9. The ITC available on the raw material purchase of ₹8,00,000 (@18%) is: (a) ₹1,44,000 (CGST ₹72,000 + SGST ₹72,000) (b) ₹1,44,000 as IGST (c) Nil, as it is an intra-State purchase (d) ₹72,000

Independent MCQs (MCQs 10–15)

MCQ 10. Mr. Rohit, an Indian citizen, leaves India for the first time on 15 September 2025 for employment abroad. During PY 2025-26 he was in India for 168 days. His residential status for AY 2026-27 is: (a) Resident and ordinarily resident (b) Resident but not ordinarily resident (c) Non-resident (the 60-day period is extended to 182 days as he left for employment) (d) Deemed resident under section 6(1A)

MCQ 11. Under the **default new tax regime u/s 115BAC** for AY 2026-27, the rebate under section 87A is available (with marginal relief) where total income does not exceed: (a) ₹5,00,000, maximum rebate ₹12,500 (b) ₹7,00,000, maximum rebate ₹25,000 (c) ₹12,00,000, maximum rebate ₹60,000 (d) ₹10,00,000, maximum rebate ₹50,000 *(Flag: this is the FA 2025 limit for AY 2026-27; earlier years used ₹7,00,000.)*

MCQ 12. The standard deduction available to a salaried employee under the **new regime u/s 115BAC** for AY 2026-27 is: (a) ₹50,000 (b) ₹40,000 (c) ₹75,000 (d) Not available under the new regime

MCQ 13. The threshold aggregate turnover for **compulsory registration** under GST for a supplier engaged **exclusively in supply of goods** in a normal (non-special-category) State, where the person is not otherwise covered by section 24, is: (a) ₹10 lakh (b) ₹20 lakh (c) ₹40 lakh (d) ₹1.5 crore

MCQ 14. For a works contract service supplied for construction of an immovable property (other than plant and machinery), the input tax credit is: (a) Available fully (b) Blocked under section 17(5), except where it is an input service for further supply of works contract service (c) Available @ 50% (d) Available on reverse charge basis only

MCQ 15. Mr. Suresh, a resident senior citizen (age 68), earns interest of ₹90,000 on fixed deposits with a bank during PY 2025-26. The bank is required to deduct tax at source under section 194A because the interest exceeds the threshold of: (a) ₹5,000 (b) ₹10,000 (c) ₹40,000 (d) ₹1,00,000 for senior citizens (FA 2025 revised limit) — hence TDS @ 10% is deducted only if it is exceeded *(Flag: senior-citizen bank-interest threshold u/s 194A was revised to ₹1,00,000 w.e.f. 01.04.2025; confirm the limit notified for your attempt.)*

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

(Question 1 is compulsory. Answer any four of Q2–Q6.)

Question 1 (Compulsory) — 14 Marks

(a) [8 Marks] Mr. Aditya, aged 45 years, a resident individual, furnishes the following particulars for the previous year 2025-26:

Salary income (from a company in Mumbai): - Basic salary: ₹60,000 per month - Dearness allowance (forming part of retirement benefits): ₹20,000 per month - House Rent Allowance: ₹24,000 per month; rent paid for a flat in Mumbai: ₹25,000 per month - Professional tax paid: ₹2,500

House property (let-out): - Rent received: ₹30,000 per month - Municipal taxes paid by Mr. Aditya: ₹20,000 - Interest on housing loan for this property: ₹1,50,000

Income from other sources: - Interest on savings bank account: ₹12,000 - Interest on fixed deposit: ₹40,000

Investments / payments (eligible for deduction): - Life insurance premium: ₹40,000; PPF: ₹60,000; repayment of housing loan principal: ₹70,000 - Mediclaim premium (self and spouse, paid by cheque): ₹25,000

Compute the total income and tax liability of Mr. Aditya for AY 2026-27 **under both the old regime and the default new regime (section 115BAC)**, and advise which regime is beneficial.

(b) [6 Marks] M/s Vishal Manufacturers, a registered person in **Maharashtra**, furnishes the following for a tax period (all amounts exclusive of GST; CGST 9% + SGST 9%; IGST 18% wherever applicable):

Outward supplies: - Intra-State supply of goods: ₹20,00,000 - Inter-State supply of goods: ₹10,00,000

Inward supplies (all from registered persons): - Intra-State purchase of raw material: ₹12,00,000 - Inter-State purchase of raw material: ₹5,00,000 - Office rent (intra-State): ₹2,00,000 - Motor car (seating capacity 5, for use of a director): ₹8,00,000 - Food and beverages for a staff annual-day event (not obligatory under any law): ₹50,000

Compute the net GST payable in cash (CGST, SGST and IGST separately), after utilisation of input tax credit in the manner prescribed. Show the order of set-off.

Question 2 — 14 Marks

(a) [7 Marks] Mr. Rohit, an Indian citizen, had been in India throughout his life until he left India **for the first time on 15 September 2025** to take up employment in Dubai. He furnishes the following incomes for PY 2025-26: - Salary earned and received in Dubai for services rendered there (Sept 2025 – March 2026): ₹18,00,000 - Salary for the period in India (April – 15 Sept 2025), received in India: ₹6,00,000 - Interest on a savings bank account in Mumbai: ₹25,000 - Rent from a house property situated in London, received in London: ₹4,00,000 - Dividend from a foreign company, received in Dubai: ₹1,00,000

(i) Determine his residential status for AY 2026-27 with reasons and day-count. (ii) Compute the income chargeable to tax in India under the head-wise scope of total income.

(b) [7 Marks] With reference to the CGST Act, 2017: (i) State the threshold limits of aggregate turnover for obtaining registration for (1) a supplier of goods, (2) a supplier of services, and (3) a person in a special-category State. (ii) List any **four** categories of persons who are required to obtain **compulsory registration** under section 24 irrespective of turnover.

Question 3 — 14 Marks

(a) [8 Marks] The Profit & Loss Account of M/s Raj Enterprises (a proprietorship of Mr. Raj) for the year ended 31 March 2026 shows a **net profit of ₹8,00,000** after debiting/crediting the following items:

Debited to P&L: - Depreciation as per books: ₹1,20,000 - Income tax paid: ₹50,000 - Donation to a political party: ₹20,000 - Provision for bad and doubtful debts: ₹15,000 - Penalty for violation of the GST law: ₹10,000 - A single cash payment to a supplier for purchase of goods: ₹25,000 - Contribution to an **unapproved** gratuity fund: ₹12,000

Credited to P&L: - Dividend from an Indian company: ₹8,000 - Interest on income-tax refund: ₹3,000 - Rent received from a let-out house property: ₹60,000

Depreciation allowable as per the Income-tax Act is ₹1,50,000. Compute the income under the head "Profits and gains of business or profession" for AY 2026-27, giving reasons for each adjustment.

(b) [6 Marks] Compute the **value of taxable supply** and the GST payable (CGST 9% + SGST 9%) from the following particulars of an intra-State supply of goods by a registered person: - List price of goods: ₹1,50,000 - Packing charges (not included above): ₹8,000 - Commission charged separately to the buyer: ₹5,000 - Subsidy directly linked to the price, received from a private trust (an NGO): ₹12,000 - Interest charged for delayed payment of consideration (received during the period): ₹4,000 - Subsidy received from the Central Government: ₹20,000 - Trade discount indicated on the invoice: ₹3,000

OR

(b) [6 Marks] Explain the provisions regarding **time of supply of goods** under section 12 of the CGST Act, 2017 in the case of (i) forward charge and (ii) reverse charge. When is tax to be paid where an advance is received for a supply of goods?

Question 4 — 14 Marks

(a) [8 Marks] Mr. Karan, a resident individual, furnishes the following transactions during PY 2025-26:

1. Sold 1,000 listed equity shares (STT paid on purchase and sale) on 12 January 2026 for ₹8,00,000. These were purchased on 5 June 2024 for ₹3,00,000.
2. Sold 500 listed equity shares (STT paid) on 10 August 2025 for ₹2,00,000. These were purchased on 1 March 2025 for ₹1,50,000.
3. Sold a **residential house** on 1 November 2025 for ₹50,00,000 (acquired in FY 2015-16 for ₹20,00,000). He invested ₹10,00,000 in purchasing another residential house on 1 March 2026 and claims exemption under section 54.

Compute the capital gains taxable in the hands of Mr. Karan and the tax thereon (special rates only). *Assume CII: FY 2015-16 = 254; FY 2025-26 = 376 (as given)*. Mr. Karan wishes to pay the **least tax legally possible** on the house-property gain.

(Flag: transfers on/after 23 July 2024 — LTCG on listed shares u/s 112A: exemption ₹1,25,000, rate 12.5%; STCG u/s 111A: 20%; LTCG on land/building: 12.5% without indexation, with a "lower of" option (12.5% without indexation OR 20% with indexation) available for resident individuals for assets acquired before 23 July 2024. Confirm for your attempt.)

(b) [6 Marks] State whether input tax credit is available (with a brief reason) in each of the following independent cases under section 16/17 of the CGST Act, 2017: (i) GST paid on goods lost/stolen/destroyed. (ii) GST paid on health insurance for employees, where providing it is obligatory under a law in force. (iii) GST on inputs where the recipient has received the goods but the supplier has not paid the tax to the Government. (iv) GST paid on goods used partly for business and partly for personal purposes.

Question 5 — 14 Marks

(a) [8 Marks] Mr. Vivek (opting for the **old tax regime**) furnishes the following for PY 2025-26. Compute his gross total income after set-off of losses, and state the amount and nature of losses to be carried forward: - Income from salary: ₹5,00,000 - Loss from a self-occupied house property (interest on loan): ₹2,00,000 - Loss from a let-out house property: ₹1,00,000 - Loss from a non-speculative business: ₹1,50,000 - Loss from a speculative business: ₹40,000 - Short-term capital gain (on shares, not 111A): ₹60,000 - Long-term capital gain (on listed shares u/s 112A): ₹80,000 - Loss from the activity of owning and maintaining race horses: ₹20,000 - Income from other sources (interest): ₹90,000

(b) [6 Marks] Explain the eligibility, tax rates and **any four conditions/restrictions** applicable to a registered person opting for the **composition levy** under section 10 of the CGST Act, 2017. State the turnover limits for a manufacturer/trader and for a supplier of services.

OR

(b) [6 Marks] Write a short note on the **e-way bill** under the GST law: when is it required, who is required to generate it, and what is its validity period?

Question 6 — 14 Marks

(a) [8 Marks] Examine the requirement of deduction of tax at source and compute the amount of TDS in each of the following independent cases for FY 2025-26 (deductor is a company/firm as applicable). State the relevant section, rate and threshold, flagging any FA 2025-revised threshold you rely on: (i) Rent of ₹8,00,000 paid for a building to a resident landlord. (ii) Professional fees of ₹1,00,000 paid to a resident chartered accountant. (iii) Payment of ₹5,00,000 to a resident contractor (a partnership firm) under a single contract for civil work. (iv) Interest of ₹90,000 on a fixed deposit paid by a bank to a resident individual (not a senior citizen).

(b) [6 Marks] State, with reasons, whether GST is payable and by whom (forward charge / reverse charge) in the following independent cases; also state whether the supply is exempt where relevant: (i) Services provided by a Goods Transport Agency (GTA, not opting to pay under forward charge) to a registered company for transport of goods by road. (ii) Services provided by an individual advocate to a business entity. (iii) Services by way of transportation of passengers by a metered auto-rickshaw. (iv) Rental of a residential dwelling to a registered person for use as a residence.

OR

(b) [6 Marks] List any **six** categories of supplies notified under section 9(3) of the CGST Act, 2017 / section 5(3) of the IGST Act, 2017 on which tax is payable on **reverse charge** basis by the recipient.

ANSWER KEY & MODEL SOLUTIONS

> **Note on rates used:** AY 2026-27 (PY 2025-26), Finance Act 2025. New regime u/s 115BAC is the **default**; old regime is optional. Slab rates used are set out in the model answers. GST rate assumed 18% (CGST 9% + SGST 9%) unless stated. Round tax to nearest ₹10 per section 288B where shown.

Division A — MCQ Answer Key (with one-line reasons)

MCQ	Ans	Reason
1	**(b) ₹2,40,000**	Least of: actual HRA ₹3,60,000; rent − 10% salary = 3,36,000 − 96,000 = ₹2,40,000; 50% of salary (metro) = ₹4,80,000. Least = ₹2,40,000.
2	**(b) ₹1,75,000 @ 12.5%**	Sec 112A: LTCG 3,00,000 − exemption 1,25,000 = 1,75,000, taxed @12.5% (transfer after 23.07.2024).
3	**(c) ₹1,50,000**	Sec 80C ceiling (with 80CCC/80CCD(1)) is ₹1,50,000; PPF of ₹1,50,000 fully qualifies.
4	**(c) No**	Chapter VI-A deductions cannot be set off against income taxed at special rates u/s 112A.
5	**(b) Not available**	Old-regime 87A limit is total income ≤ ₹5,00,000; his income exceeds it, and 87A is not available against 112A LTCG.
6	**(c) Blocked u/s 17(5)**	Motor vehicle with seating capacity ≤13, not used for specified purposes → ITC blocked.
7	**(b) RCM, ITC available**	Legal services by an advocate to a business entity → recipient pays under RCM; ITC of that tax is available (used in business).
8	**(b) Not a supply; reverse ITC**	Free samples (no consideration, unrelated party) are not a supply; ITC attributable must be reversed u/s 17(5)(h).
9	**(a) ₹1,44,000 (CGST 72,000 + SGST 72,000)**	Intra-State purchase 8,00,000 @18% split into CGST 9% + SGST 9%.
10	**(c) Non-resident**	Left for employment → 60-day test extended to 182 days; 168 < 182, and <60/<182 in India → NR.
11	**(c) ₹12,00,000; max ₹60,000**	FA 2025 new-regime 87A: rebate up to total income ₹12,00,000, maximum ₹60,000, with marginal relief.
12	**(c) ₹75,000**	Standard deduction under new regime is ₹75,000 (FA 2024/2025).
13	**(c) ₹40 lakh**	Exclusive supplier of goods, normal State → ₹40 lakh threshold.
14	**(b) Blocked, except for further works-contract supply**	Sec 17(5)(c) blocks works-contract ITC for immovable property, unless input for further works-contract supply.
15	**(d) ₹1,00,000 (senior citizen, FA 2025)**	Sec 194A senior-citizen bank-interest threshold revised to ₹1,00,000 w.e.f. 01.04.2025; ₹90,000 < ₹1,00,000 → in fact **no TDS**. See flag.

Clarifying note on MCQ 15: With the FA 2025 senior-citizen threshold of ₹1,00,000, interest of ₹90,000 does **not** cross the limit, so no TDS is deducted. Option (d) correctly states the applicable threshold; the trap is to apply the old ₹50,000 limit. If your attempt still applies the old ₹50,000 threshold, TDS @10% = ₹9,000 would apply — hence the AY-flag.

Division B — Model Solutions

Question 1(a) — Total income & tax, both regimes (AY 2026-27)

Step 1 — HRA exemption (relevant only for old regime): Salary for HRA = Basic + DA (part of retirement benefits) = (60,000 + 20,000) × 12 = ₹9,60,000. - Actual HRA received = 24,000 × 12 = ₹2,88,000 - Rent paid − 10% of salary = 3,00,000 − 96,000 = ₹2,04,000 - 50% of salary (Mumbai = metro) = ₹4,80,000 - **Least = ₹2,04,000 exempt.** Taxable HRA = 2,88,000 − 2,04,000 = **₹84,000**.

Step 2 — Income under each head:

Particulars	Old Regime (₹)	New Regime (₹)
Salary		
Basic (60,000×12)	7,20,000	7,20,000
DA (20,000×12)	2,40,000	2,40,000
HRA (taxable)	84,000	2,88,000 (no exemption)
Gross salary	10,44,000	12,48,000
Less: Standard deduction	(50,000)	(75,000)
Less: Professional tax u/s 16(iii)	(2,500)	Nil (not allowed)
Income from Salary	**9,91,500**	**11,73,000**
House Property (let-out)		
GAV (30,000×12)	3,60,000	3,60,000
Less: Municipal taxes paid	(20,000)	(20,000)
Net Annual Value	3,40,000	3,40,000
Less: 30% standard deduction	(1,02,000)	(1,02,000)
Less: Interest on loan	(1,50,000)	(1,50,000)
Income from House Property	**88,000**	**88,000**
Other Sources (SB 12,000 + FD 40,000)	52,000	52,000
Gross Total Income	**11,31,500**	**13,13,000**

(Note: interest on let-out property is allowed under both regimes; the new-regime restriction applies only to interest on a self-occupied house. Loss set-off is not an issue here as HP shows income.)

Step 3 — Deductions under Chapter VI-A (old regime only): - 80C: LIC 40,000 + PPF 60,000 + housing-loan principal 70,000 = 1,70,000 → restricted to **₹1,50,000** - 80D: Mediclaim (self & spouse, < 60 yrs) = **₹25,000** - 80TTA: SB interest, max **₹10,000** - Total = **₹1,85,000**. (No Chapter VI-A deductions under new regime except 80CCD(2)/80CCH, not applicable here.)

Step 4 — Total Income: - Old regime: 11,31,500 − 1,85,000 = **₹9,46,500** - New regime: **₹13,13,000**

Step 5 — Tax liability:

Old regime (normal slabs, resident < 60): | Slab | Tax (₹) | |---|---| | 0 – 2,50,000 | Nil | | 2,50,001 – 5,00,000 @5% | 12,500 | | 5,00,001 – 9,46,500 @20% (on 4,46,500) | 89,300 | | **Tax** | **1,01,800** | | Rebate 87A (income > 5,00,000) | Nil | | Add: HEC @4% | 4,072 | | **Total tax (old regime)** | **₹1,05,872 ≈ ₹1,05,870** |

New regime (115BAC slabs, FA 2025 — AY 2026-27): 0–4L Nil; 4–8L @5% = 20,000; 8–12L @10% = 40,000; 12–13,13,000 @15% (on 1,13,000) = 16,950. | | ₹ | |---|---| | Tax | 76,950 | | Rebate 87A (income > 12,00,000) | Nil | | Add: HEC @4% | 3,078 | | **Total tax (new regime)** | **₹80,028 ≈ ₹80,030** |

Conclusion / Advice: Tax under the new regime (₹80,030) is lower than under the old regime (₹1,05,870) by **₹25,840**. As the new regime is also the default, **Mr. Aditya should continue with the new regime u/s 115BAC.**

Question 1(b) — Net GST payable (Vishal Manufacturers)

Step 1 — Output tax: | Supply | Value | CGST 9% | SGST 9% | IGST 18% | |---|---|---|---|---| | Intra-State ₹20,00,000 | | 1,80,000 | 1,80,000 | — | | Inter-State ₹10,00,000 | | — | — | 1,80,000 | | **Total output** | | **1,80,000** | **1,80,000** | **1,80,000** |

Step 2 — Eligible ITC: | Inward supply | CGST | SGST | IGST | Remark | |---|---|---|---|---| | Raw material intra ₹12,00,000 | 1,08,000 | 1,08,000 | — | Eligible | | Raw material inter ₹5,00,000 | — | — | 90,000 | Eligible | | Office rent intra ₹2,00,000 | 18,000 | 18,000 | — | Eligible | | Motor car ₹8,00,000 | Nil | Nil | — | **Blocked u/s 17(5)** (seating ≤13) | | Food & beverages ₹50,000 | Nil | Nil | — | **Blocked u/s 17(5)** (not obligatory) | | **Eligible ITC** | **1,26,000** | **1,26,000** | **90,000** | |

Step 3 — Utilisation (IGST credit first fully; then CGST against CGST, SGST against SGST): | Head | Output | ITC used | Cash payable | |---|---|---|---| | IGST | 1,80,000 | 90,000 (IGST) | **90,000** | | CGST | 1,80,000 | 1,26,000 (CGST) | **54,000** | | SGST | 1,80,000 | 1,26,000 (SGST) | **54,000** |

(IGST credit ₹90,000 is fully set off against IGST output; no IGST credit remains to spill over to CGST/SGST. CGST credit is used only against CGST, and SGST credit only against SGST — cross-utilisation of CGST and SGST is not permitted.)

Net GST payable in cash = IGST ₹90,000 + CGST ₹54,000 + SGST ₹54,000 = ₹1,98,000.

Question 2(a) — Residential status & scope of income (Mr. Rohit)

(i) Residential status: Days in India in PY 2025-26 = 1 April to 15 September 2025 = 30 (Apr) + 31 (May) + 30 (Jun) + 31 (Jul) + 31 (Aug) + 15 (Sep) = **168 days.** As he left India **for the purpose of employment** abroad, the second basic condition (60 days + 365 days in preceding 4 years) is **not** applied; the 60-day limit is substituted by **182 days**. He must therefore have stayed ≥ 182 days in the PY. He stayed only 168 days (< 182) and also does not satisfy the 182-day first condition. **He satisfies no basic condition → Mr. Rohit is a NON-RESIDENT for AY 2026-27.**

(ii) Scope of total income (a non-resident is taxed only on income received in India or accruing/arising in India): | Income | Taxable? | Amount (₹) | Reason | |---|---|---|---| | Salary earned & received in Dubai | No | — | Accrues & received outside India (services rendered outside India) | | Salary for India period, received in India | Yes | 6,00,000 | Received in India / services rendered in India | | SB interest — Mumbai bank | Yes | 25,000 | Accrues/arises in India | | Rent from London house, received in London | No | — | Accrues & received outside India | | Dividend from foreign company, received in Dubai | No | — | Foreign source, received outside India | | **Income chargeable in India (before deductions)** | | **6,25,000** | |

(Salary for services rendered in India is deemed to accrue in India u/s 9(1)(ii); standard deduction/Chapter VI-A available if the new/old regime and conditions are examined further — not asked here.)

Question 2(b) — Registration under GST

(i) Threshold limits (aggregate turnover in a financial year): - Supplier engaged **exclusively in supply of goods** (normal State): **₹40 lakh.** - Supplier of **services** (or mixed goods + services) in a normal State: **₹20 lakh.** - Persons in **special-category States** (as notified — e.g., Manipur, Mizoram, Nagaland, Tripura): **₹10 lakh** (goods and/or services); for some special-category States the ₹20 lakh limit applies. (State the ₹10 lakh limit for the notified special-category States.)

(ii) Persons requiring compulsory registration u/s 24 (any four): 1. Persons making any **inter-State taxable supply** (of goods; services have a threshold relief). 2. **Casual taxable persons** making taxable supply. 3. Persons required to pay tax under **reverse charge**. 4. **Non-resident taxable persons.** 5. Persons required to **deduct TDS** u/s 51 / collect TCS (e-commerce operators) u/s 52. 6. **Input Service Distributors.** 7. Persons who supply goods/services through an **e-commerce operator** required to collect TCS; agents supplying on behalf of others.

Question 3(a) — Income under head PGBP (M/s Raj Enterprises)

Particulars	₹	₹
Net profit as per P&L		8,00,000
Add: Items debited but disallowed/to be added back		
Depreciation as per books (separately allowed per IT Act)	1,20,000	
Income tax paid (disallowed u/s 40(a)(ii))	50,000	
Donation to political party (not a business expense; deductible u/s 80GGC only)	20,000	
Provision for bad & doubtful debts (not actual write-off — disallowed)	15,000	
Penalty for violation of GST law (infraction of law — disallowed)	10,000	
Cash payment of ₹25,000 to a supplier (> ₹10,000 in cash — disallowed u/s 40A(3))	25,000	
Contribution to **unapproved** gratuity fund (disallowed u/s 40A(9)/36)	12,000	2,52,000
		10,52,000
Less: Items credited but not taxable under PGBP / separately allowed		
Depreciation as per Income-tax Act	1,50,000	
Dividend from Indian company (taxable under Other Sources)	8,000	
Interest on income-tax refund (taxable under Other Sources)	3,000	
Rent from house property (taxable under House Property)	60,000	2,21,000
Income from Business or Profession		**₹8,31,000**

Notes: Interest on **late payment of GST** (if any) is compensatory and allowable — no adjustment; only **penalties** for infraction are disallowed. Dividend/interest-on-refund/HP rent are removed here as they are taxable under other heads.

Question 3(b) — Value of taxable supply

Particulars	₹	Treatment
List price of goods	1,50,000	Base
Add: Packing charges	8,000	Incidental expense — includible u/s 15(2)(c)
Add: Commission charged to buyer	5,000	Includible u/s 15(2)(c)
Add: Subsidy from private trust (NGO), linked to price	12,000	Includible — only **Govt** subsidies are excluded u/s 15(2)(e)
Add: Interest for delayed payment	4,000	Includible u/s 15(2)(d)
Less: Trade discount on invoice	(3,000)	Excludible u/s 15(3)(a)
Subsidy from Central Government	—	**Excluded** (not added) u/s 15(2)(e)
Value of taxable supply	**1,76,000**	
CGST @9%	15,840	
SGST @9%	15,840	
Total GST	**₹31,680**	

(Note: interest of ₹4,000 is strictly deemed inclusive of tax and could be back-calculated; per common exam practice it is added to value unless stated otherwise — state your assumption.)

OR — Question 3(b) (Time of supply of goods, sec 12): - **Forward charge:** ToS = **earlier of** (a) date of issue of invoice (or the last date on which invoice is required to be issued u/s 31), or (b) date of receipt of payment. *(By Notification, for goods the general position is the date of the invoice / last date for issuing it; advances for goods are not taxed — see below.)* - **Reverse charge:** ToS = **earliest of** (a) date of receipt of goods, (b) date of payment, or (c) the date immediately following **30 days** from the date of the supplier's invoice. If not determinable, the date of entry in the recipient's books. - **Advance received for goods:** By notification, a registered person supplying **goods** is **not** required to pay tax on advances; tax is payable at the time of issue of invoice/supply. (For services, tax is payable on advances.)

Question 4(a) — Capital gains (Mr. Karan)

(1) LTCG on 1,000 listed shares (held 5 June 2024 → 12 Jan 2026, > 12 months → long-term; STT paid → sec 112A): Sale 8,00,000 − Cost 3,00,000 = **LTCG ₹5,00,000.**

(2) STCG on 500 listed shares (held 1 Mar 2025 → 10 Aug 2025, < 12 months → short-term; STT paid → sec 111A): Sale 2,00,000 − Cost 1,50,000 = **STCG ₹50,000** (taxed @20%).

(3) LTCG on residential house (acquired FY 2015-16, sold 1 Nov 2025 → long-term): Since acquired **before 23 July 2024**, a resident individual may choose the **lower tax** of: - *Option A — 12.5% without* *indexation:* Gain = 50,00,000 − 20,00,000 = 30,00,000. Less sec 54 exemption (invested ₹10,00,000 in a new house) = 30,00,000 − 10,00,000 = **20,00,000 @12.5% = ₹2,50,000.** - *Option B — 20% with indexation:* Indexed cost = 20,00,000 × 376/254 = ₹29,60,630. Gain = 50,00,000 − 29,60,630 = 20,39,370. Less sec 54 = 20,39,370 − 10,00,000 = 10,39,370 @20% = **₹2,07,874.**

Least tax = **Option B (₹2,07,874)** — Mr. Karan should opt for **20% with indexation** on the house. Taxable LTCG on house = **₹10,39,370.**

Summary of capital gains & tax (special rates): | Head | Taxable gain (₹) | Rate | Tax (₹) | |---|---|---|---| | LTCG shares (112A): 5,00,000 − 1,25,000 exemption | 3,75,000 | 12.5% | 46,875 | | STCG shares (111A) | 50,000 | 20% | 10,000 | | LTCG house (with indexation, after sec 54) | 10,39,370 | 20% | 2,07,874 | | **Total tax on capital gains (before cess)** | | | **₹2,64,749** |

(Add HEC @4% and consider other income/basic-exemption adjustment if this were a full computation; only special-rate tax is asked. The ₹1,25,000 112A exemption is applied only to the 112A LTCG.)

Question 4(b) — ITC availability

Case	ITC?	Reason
(i) Goods lost/stolen/destroyed	**Not available**	Blocked u/s 17(5)(h)
(ii) Health insurance obligatory under law	**Available**	Proviso to 17(5)(b) — allowed where obligatory under any law in force
(iii) Goods received but supplier hasn't paid tax to Govt	**Not available (until paid)**	Condition u/s 16(2)(c) — tax must actually be paid to Government
(iv) Goods used partly business, partly personal	**Available proportionately**	Sec 17(1) — credit restricted to business-use portion; personal portion reversed

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Question 5(a) — Set-off & carry forward (Mr. Vivek, old regime)

Step 1 — Intra-head aggregation of House Property: SOP loss 2,00,000 + LOP loss 1,00,000 = **HP loss ₹3,00,000.** Inter-head set-off of HP loss against other heads is capped at **₹2,00,000** per year; balance ₹1,00,000 carried forward.

Step 2 — Set-off order (preserving concessionally-taxed LTCG): | Head | Amount (₹) | |---|---| | Salary | 5,00,000 | | Less: HP loss (max 2,00,000, allowed against salary) | (2,00,000) | | Salary after set-off | 3,00,000 | | STCG | 60,000 | | IOS (interest) | 90,000 | | Less: Non-speculative business loss 1,50,000 (against STCG 60,000 + IOS 90,000; not against salary) | (1,50,000) → STCG 0, IOS 0 | | LTCG u/s 112A (preserved) | 80,000 | | **Gross Total Income** | **3,80,000** (Salary 3,00,000 + LTCG 80,000) |

Step 3 — Losses carried forward: | Loss | Amount (₹) | C/F period | Set-off allowed against | |---|---|---|---| | House property loss | 1,00,000 | 8 years | Income from house property | | Speculative business loss | 40,000 | 4 years | Speculative business income only | | Loss from owning/maintaining race horses | 20,000 | 4 years | Same activity income only |

(Non-speculative business loss fully absorbed this year; had it not been, it would carry forward 8 years against any business income.)

Question 5(b) — Composition levy (section 10)

Eligibility & turnover limits: - Available to a registered person whose **aggregate turnover in the preceding FY did not exceed ₹1.5 crore** (₹75 lakh for specified special-category States) — for **manufacturers and traders**. - A **supplier of services** (or mixed supplier) may opt under section 10(2A) if aggregate turnover in the preceding FY ≤ **₹50 lakh**.

Tax rates: Manufacturers — **1%** (0.5% CGST + 0.5% SGST) of turnover in State; Traders (goods) — **1%** (0.5% + 0.5%) of taxable turnover; Restaurant/food service — **5%** (2.5% + 2.5%); Other service suppliers u/s 10(2A) — **6%** (3% + 3%).

Any four conditions/restrictions: 1. Cannot make any **inter-State outward supply** of goods. 2. Cannot **collect tax** from customers and **cannot claim input tax credit.** 3. Cannot supply goods/services **through an e-commerce operator** required to collect TCS. 4. Cannot supply **non-taxable/exempt goods** (e.g., alcoholic liquor) or goods not leviable to tax; a manufacturer of notified goods (e.g., ice cream, pan masala, tobacco) is ineligible. 5. Must issue a **bill of supply** (not a tax invoice) and mention "composition taxable person" on it and on notices/signboards. 6. All registered persons having the **same PAN** must opt for composition together.

OR — Question 5(b) (E-way bill): - **When required:** For movement of goods of consignment value **exceeding ₹50,000** (whether in relation to a supply, other than supply, or inward supply from an unregistered person). - **Who generates:** Every **registered person** who causes movement of goods (as consignor or consignee); the transporter may generate it where the supplier has not; an unregistered person/transporter may also generate. - **Form:** Part A (invoice/goods details) and Part B (vehicle/transport details) of **FORM GST EWB-01.** - **Validity: One day for every 200 km** (or part thereof) for other than over-dimensional cargo; longer per km slabs for over-dimensional/multimodal. Validity is counted from the time of generation and may be extended in specified circumstances.

Question 6(a) — TDS computation (FY 2025-26)

Case	Section	Rate	Threshold (flag)	TDS
(i) Rent of building ₹8,00,000 to resident	194-I	10%	₹2,40,000 (or ₹6,00,000 p.a. per FA 2025 — either way exceeded)	₹80,000
(ii) Professional fees ₹1,00,000 to CA	194J	10%	₹30,000 (or ₹50,000 per FA 2025 — exceeded)	₹10,000
(iii) ₹5,00,000 to contractor (firm), single contract	194C	2% (payee is a firm, not individual/HUF)	₹30,000 single / ₹1,00,000 aggregate — exceeded	₹10,000
(iv) FD interest ₹90,000 by bank to individual (non-senior)	194A	10%	₹40,000 (or ₹50,000 per FA 2025 — exceeded)	₹9,000

Total TDS = 80,000 + 10,000 + 10,000 + 9,000 = ₹1,09,000.

Flag: FA 2025 revised several TDS thresholds w.e.f. 01.04.2025 (e.g., 194-I to ₹6,00,000 p.a.; 194J to ₹50,000; 194A non-senior bank interest to ₹50,000). In each case above the payment **exceeds even the revised threshold**, so TDS applies and the amount is unchanged. Confirm the exact thresholds notified for your attempt.

Question 6(b) — GST liability / person liable

Case	GST payable?	By whom	Reason
(i) GTA (not under forward charge) to a registered company	Yes	**Recipient (company) — RCM**	GTA services to specified recipients are under reverse charge where the GTA does not opt to pay under forward charge
(ii) Individual advocate to a business entity	Yes	**Recipient (business entity) — RCM**	Legal services by an advocate to a business entity are under reverse charge
(iii) Passenger transport by metered auto-rickshaw	**Exempt**	—	Transport of passengers by auto-rickshaw/metered cab (non-radio-taxi) is exempt
(iv) Residential dwelling rented to a **registered person** for residence	Yes	**Recipient (registered person) — RCM**	Renting of residential dwelling to a registered person is taxable under reverse charge (exemption applies only when let to an unregistered person / for genuine personal residence per conditions)

OR — Question 6(b) (Any six supplies under RCM, sec 9(3)/5(3)): 1. Goods Transport Agency (GTA) services (where not under forward charge) to specified recipients. 2. Legal services by an advocate/firm of advocates to a business entity. 3. Services by an **arbitral tribunal** to a business entity. 4. **Sponsorship** services provided to a body corporate or partnership firm. 5. Services by the **Central/State Government or local authority** (excluding specified services) to a business entity. 6. Services by a **director** of a company to the company/body corporate. 7. Services by an **insurance agent** to an insurance company. 8. Supply of specified goods such as **cashew nuts (unshelled), tobacco leaves, raw cotton, silk yarn** by an agriculturist/specified supplier.

(Any six of the above are acceptable.)

End of Mock Test 1 — Solutions. All computations reconcile with the question data. Rates flagged are AY 2026-27 / Finance Act 2025 and GST law in force; re-verify against the RTP/Study Material notified for your specific ICAI attempt.

Taxation (Income Tax & GST) — Amendment & Caveat Checklist

Read this before you trust a single number in these notes.

Taxation is the most amendment-sensitive paper in the CA Intermediate course. These concept notes teach you the **structure, the logic, and the "why"** behind each provision — how a slab works, why a surcharge exists, how input tax credit flows. That machinery is stable. The **exact numbers plugged into that machinery — rates, limits, thresholds — change almost every year** through the Finance Act, CBDT/CBIC notifications, and GST Council decisions.

ICAI examines each attempt on the law **as amended up to a specific cut-off date** (usually 31st October for the following May exam, and 30th April for the following November exam — always confirm the exact date printed on your Study Material / RTP). A number that was correct for a past attempt can be **wrong** for yours. Do not memorise a figure from these notes and assume it holds. **Verify every rate and limit below against the ICAI material applicable to YOUR attempt.**

How to use this checklist

For your specific attempt, go through every item below and confirm the current figure against **primary ICAI sources**, in this order of authority:

1. **ICAI Study Material** for the applicable edition/attempt — the base text.
2. **Statutory Update / Judicial Update** issued by the Board of Studies (BoS) for your attempt — this is the single most important document; it lists exactly what changed since the Study Material was printed.
3. **Revision Test Papers (RTP)** for your attempt — the "Applicable Material / Amendments" section at the front restates the finance-act and notification changes that are examinable.
4. **Mock Test Papers (MTP)** and the **Suggested Answers** of the immediately preceding attempt — to see how ICAI is presenting the amended numbers.

Where to find them: **ICAI BoS Knowledge Portal** (boslive / the BoS "Study Material" and "RTP/MTP/Suggested Answers" pages) for the relevant Intermediate group. If the Study Material edition and the RTP disagree, **the later statutory update / RTP wins**.

Golden rule: In the exam, if a rate or limit is not given in the question, you must supply the one that is current **as per the ICAI cut-off for your attempt** — not the one in these notes, and not the one from a coaching PDF of a different year.

SECTION A — Income Tax (HIGH churn — verify every item)

These items are re-set or tweaked by the **Finance Act** almost every year. Treat every number in the Income Tax portion of these notes as *illustrative* until you have reconciled it with your attempt's material.

1. Tax slabs & rates (old regime vs new regime u/s 115BAC)

- **What it is:** The slab-wise rates of tax for individuals/HUF/AOP/BOI, under both the **old (optional) regime** and the **new default regime u/s 115BAC**, plus special-rate categories (senior/super-senior citizens, firms, LLPs, domestic & foreign companies, co-operative societies).
- **Why it changes:** Slab boundaries and rates are re-legislated by the annual Finance Act; the new regime in particular has been re-calibrated repeatedly (default status, revised slabs, changed exemption limits).
- **Confirm at:** Study Material chapter on "Computation of Total Income / Tax Liability" + the **Statutory Update / RTP** for your attempt. Confirm **which regime is the default** and what the **basic exemption limit** is under each.

2. Surcharge rates & thresholds

- **What it is:** Additional charge on income-tax where total income crosses specified thresholds (e.g., the tiers applicable to individuals, and the separate/capped rates for certain incomes and under the new regime), plus **marginal relief**.
- **Why it changes:** Both the **rate slabs** and the **income thresholds** are set by the Finance Act and have been changed (notably the highest surcharge tier under the new regime).
- **Confirm at:** Rate-of-tax section of the Study Material + Statutory Update. Verify the **thresholds, the rates at each tier, the cap on surcharge for specified incomes, and how marginal relief is computed**.

3. Rebate u/s 87A

- **What it is:** Rebate available to a **resident individual** whose total income does not exceed a specified limit, reducing tax liability (with different limits/quantum under old vs new regime).
- **Why it changes:** The **eligibility income limit** and the **maximum rebate amount** are frequently revised (the new-regime limit has been raised more than once), and the interaction with marginal relief has been added.
- **Confirm at:** Study Material + Statutory Update. Verify the **income ceiling and maximum rebate separately for each regime**, and whether **marginal relief on 87A** applies for your attempt.

4. Health & Education Cess

- **What it is:** Cess levied on (income-tax + surcharge).
- **Why it changes:** Rarely — but it *is* a rate, so confirm the percentage and that it is computed on tax **plus** surcharge.
- **Confirm at:** Rate section of the Study Material / Statutory Update.

5. Deduction limits — Chapter VI-A and others

- **What it is:** Monetary ceilings and conditions for deductions: 80C, 80CCC, 80CCD (incl. employer NPS %), 80D (mediclaim, with senior-citizen differentials), 80DD/80DDB/80U, 80E, 80EE/80EEA/80EEB, 80G, 80GG, 80TTA/80TTB, 80JJAA, and the **standard deduction** on salary/family pension, HRA and other exemptions u/s 10.
- **Why it changes:** Limits, sunset dates, and **regime-availability** (many deductions are **not** allowed under the default new regime) are changed by the Finance Act; some deductions lapse or are newly introduced.
- **Confirm at:** "Deductions from Gross Total Income" and "Income from Salaries" chapters + Statutory Update. For each deduction you rely on, verify **(a) the current limit, (b) the conditions, and (c)**

whether it survives under the new regime for your attempt.

6. Capital gains — rates, periods of holding, indexation

- **What it is:** Rates for STCG/LTCG, **holding-period thresholds** for short vs long term across asset classes, indexation availability, and exemption limits (e.g., the LTCG exemption threshold on listed equity/units).
- **Why it changes:** This area saw a **major overhaul** — holding periods rationalised, LTCG/STCG rates changed, and **indexation withdrawn/modified** for certain assets. Highly attempt-specific.
- **Confirm at:** "Capital Gains" chapter + Statutory Update. Verify **each rate, each holding period, the indexation position, and the exemption limits (54-series and the listed-equity LTCG threshold)** for your attempt.

7. Presumptive taxation thresholds (44AD / 44ADA / 44AE)

- **What it is:** Turnover/gross-receipt ceilings and deemed-profit percentages for presumptive schemes; also the **audit turnover limits u/s 44AB** and the enhanced limit tied to digital-receipt conditions.
- **Why it changes:** Turnover ceilings and the cash-vs-digital conditions are periodically raised by the Finance Act.
- **Confirm at:** "Profits and Gains of Business or Profession" chapter + Statutory Update.

8. Other income-tax limits & rates to re-check

- Advance tax / interest **rates u/s 234A/B/C** and instalment percentages (stable, but confirm).
- **Clubbing, set-off & carry-forward** periods (stable structure; confirm any tweaks).
- **Gift taxation u/s 56(2)(x)** monetary threshold and specified-relative rules.
- **Alternate Minimum Tax (AMT)** rate/threshold where in syllabus.
- Any **new section** inserted by the latest Finance Act that the RTP flags as examinable.

SECTION B — TDS / TCS (HIGH churn — rates AND thresholds both move)

9. TDS rates & threshold limits

- **What it is:** Section-wise deduction rates and the **threshold below which no TDS applies** — 192, 192A, 193, 194, 194A, 194C, 194H, 194I, 194J, 194K, 194-IA/IB/IC, 194M, 194N (cash withdrawal), 194O, 194Q, 194R, 194S, 194T, 195, etc.
- **Why it changes:** The Finance Act routinely **rationalises TDS rates, merges sections, raises thresholds, and adds new sections** (recent years added/changed several). It also changes the **higher-rate provisions for non-filers / no-PAN (206AA / 206AB)**.
- **Confirm at:** "Deduction/Collection of Tax at Source" chapter + Statutory Update + RTP. Build/verify your **TDS rate-and-threshold chart** strictly from the material for your attempt — do **not** reuse a chart from a prior year.

10. TCS rates & thresholds

- **What it is:** Section 206C collection rates and thresholds — including **206C(1H)** on sale of goods and **206C(1G)** on LRS remittances / overseas tour packages.

- **Why it changes:** Rates, thresholds, and the **LRS remittance limits** have been changed repeatedly, and the interaction/overlap of 194Q with 206C(1H) is exam-favourite.
- **Confirm at:** Same chapter + Statutory Update. Verify **each threshold and rate, and the LRS slab figures**, for your attempt.

SECTION C — GST (HIGH churn — Council-driven, changes between Finance Acts too)

GST is doubly volatile: it changes both through the annual Finance Act **and** through **GST Council recommendations, CBIC notifications, and circulars issued throughout the year**. The ICAI **Statutory Update for GST is essential** here.

11. Registration threshold limits

- **What it is:** Aggregate-turnover thresholds for compulsory registration — the **separate limits for goods vs services**, the **special-category-State** thresholds, and compulsory-registration cases (irrespective of turnover).
- **Why it changes:** Thresholds and the list of special-category States are set by notification and periodically revised.
- **Confirm at:** "Registration" chapter + Statutory Update. Verify the **goods limit, the services limit, and the special-category figures** separately.

12. Composition scheme limits & rates

- **What it is:** Turnover ceiling to opt for composition, the **separate scheme for service providers u/s 10(2A)**, and the composition **tax rates** (manufacturer/trader/restaurant/service).
- **Why it changes:** The ceiling and rates are revised by notification.
- **Confirm at:** "Composition Levy" section + Statutory Update.

13. GST rates / rate-based computations

- **What it is:** Applicable CGST/SGST/IGST rates used in problems, exempt-supply lists, and RCM (reverse-charge) coverage.
- **Why it changes:** The GST Council re-fixes rates and exemptions frequently. **Note:** ICAI generally **gives the applicable rate in the question** for computation problems — but exemption entries, RCM lists, and rate-linked eligibility can still be tested.
- **Confirm at:** "Charge / Exemptions / RCM" chapters + Statutory Update. Do **not** memorise a rate schedule; rely on the question's given rate and the **current exemption/RCM notifications** for your attempt.

14. Other GST limits & provisions to re-check

- **E-invoicing** turnover threshold.
- **E-way bill** consignment-value threshold and validity rules.
- **Input Tax Credit** conditions — the 180-day rule, restrictions u/s 17(5) (blocked credits), and any newly added restriction/condition (e.g., changes to ITC availment conditions and time limits).
- **GST return** due dates and the QRMP scheme thresholds.

- **Interest / late fee** rates and **TDS/TCS under GST** thresholds where in syllabus.
- Any **notification/circular** flagged in the RTP "GST amendments" section.
- **Confirm at:** Relevant chapter + Statutory Update + RTP.

SECTION D — Cross-cutting: the Finance Act & the applicable-law cut-off

15. Which Finance Act applies to your attempt

- **What it is:** The exam is set on the law as amended by a **specific Finance Act** (and notifications up to the cut-off date). The **assessment year** and **previous year** used in the paper are fixed accordingly.
- **Why it matters:** Using the wrong year's Finance Act means every rate you apply can be wrong.
- **Confirm at:** The **cover / first page of the ICAI Study Material and the RTP** — they state the assessment year and the amendment cut-off in plain words. Confirm the **AY** and the **cut-off date** before you begin revision.

What these notes DO and DO NOT give you

These notes teach (stable — trust the logic): - The *structure* of the tax computation (GTI → deductions → total income → tax → surcharge → cess → rebate → TDS credit). - The *why* behind each provision — the reasoning, the interactions, the exceptions. - *How* to apply a slab, compute marginal relief, run the ITC chain, resolve a 194Q-vs-206C(1H) overlap. - The *method* for solving problems, which does not change with the numbers.

These notes DO NOT guarantee (volatile — verify every time): - Any specific **rate** (slab, surcharge, cess, TDS, TCS, GST, capital gains). - Any specific **limit / threshold / ceiling** (deductions, exemptions, registration, presumptive, audit, e-invoicing, e-way bill). - The **regime defaults**, **rebate figures**, or **which deductions survive** under the new regime. - The **applicable assessment year** and **amendment cut-off** for your attempt.

> **Bottom line:** Learn the machine here. Get the fuel — the exact current numbers — from the **ICAI Study Material + Statutory Update + RTP for your specific attempt**, every single time. If a figure in these notes disagrees with that material, **the ICAI material is right and these notes are out of date.**

Taxation (Income Tax & GST) — Accuracy Review: Corrections & Caveats

Scope of this review. This is a **spot-review, not an exhaustive audit.** I read six of the most computation- and threshold-heavy chapters end-to-end: - 03 — Income under Salaries - 04 — Income from House Property - 06 — Capital Gains - 09 — Deductions under Chapter VI-A - 10 — Advance Tax, TDS & TCS - 19 — GST Input Tax Credit

I checked section/rule numbers, formulae, thresholds, rates, and every worked example's arithmetic. The remaining chapters (Basic Concepts, Residential Status, PGBP, IFOS, Clubbing/Set-off, Computation, and GST 13–18, 20–23) were **NOT** reviewed and should not be assumed correct on the strength of this note.

Headline finding: The reviewed material is **technically strong**. The worked examples all reconcile line-by-line and use correct ICAI methodology. Every chapter also carries its own "verify the current-year numbers" caveat, which is the right posture. The issues below are mostly **amendment-timing** points (rates that changed mid-year or by regime) plus one genuinely **contentious** area and one **typo**. I did not find any fabricated sections or broken formulae.

Confidence legend: **High** = I am confident this needs correction/verification; **Medium** = likely an issue but partly hedged in the text or edition-dependent; **Low** = minor / cosmetic.

Issues found

1. Deductions (Ch 09) → 80CCD(2) employer NPS limit stated as "14% for private-sector employees as well"

- **Claim as written** (§4.1 Family 1 and Quick-Revision): "*80CCD(2)… deductible up to 14% of salary (if employer is Central/State Govt) or 14% of salary for private-sector employees as well (harmonised recently).*" Quick-revision restates it flatly as "*80CCD(2) employer NPS, up to 14% salary.*"
- **Correct position:** The 14% ceiling is **not** universal under the **old regime**. Under the **old regime**, employer NPS contribution is deductible up to **10% of salary** for non-government (private) employees; **14%** applies only to **Central/State Government** employees. The uniform **14% for all employees (including private)** applies **only under the new regime u/s 115BAC(1A)** (raised from 10% by the Finance (No. 2) Act, 2024, w.e.f. AY 2025-26). A student computing an **old-regime** answer with 14% for a private employee will overstate the deduction.
- **Confidence: Medium** (the text hedges with "harmonised recently — verify current % and category split," but the flat "14%" in the quick-revision table is misleading). **Fix:** state "10% (private, old regime) / 14% (Govt, or any employee under new regime)."

2. Advance Tax / TDS (Ch 10) → Section 194O rate shown as 1%

- **Claim as written** (§4B rate table and Quick-Revision): 194O (e-commerce operator to participant) — **rate 1%**, threshold ₹5,00,000.
- **Correct position:** The 194O TDS rate was **reduced from 1% to 0.1%** with effect from **1 October 2024** (Finance (No. 2) Act, 2024). For FY 2024-25 / AY 2025-26 — the very year the chapter says it targets — the

current rate is **0.1%**. The ₹5,00,000 threshold for an individual/HUF participant is correct. (Note the chapter *does* flag the parallel 194H reduction "recently reduced from 5%," so this one appears to be an inconsistency rather than a deliberate choice.)

- **Confidence: Medium-High. Fix:** change 194O to 0.1% (w.e.f. 01-10-2024).

3. Advance Tax / TDS (Ch 10) → mid-year rate cuts for 194H and 194IB not fully signposted

- **Claim as written:** 194H commission = **2%** ("recently reduced from 5%"); 194IB rent (individual/HUF) = **2%**.
- **Correct position (caveat, not a hard error):** Both cuts (5%→2%) took effect **1 October 2024**. So within **FY 2024-25** the correct rate is **5% up to 30-Sep-2024 and 2% from 01-Oct-2024**. For a full-year FY 2024-25 problem, a payment made before October attracts 5%. The chapter's flat "2%" is correct only for the post-October position. Worth a one-line note so students don't apply 2% to an April payment in a dated problem.
- **Confidence: Medium** (edition/date-dependent; the "current" rate is 2%).

4. Capital Gains (Ch 06) → indexation of a gifted/inherited asset uses the *previous owner's* year of acquisition

- **Claim as written** (Example 3, Step 5): For a house gifted by father (bought 2005-06) and sold by son, indexed cost is computed using **CII of 2005-06** (the father's year): `12,00,000 × 348/117`.
- **Correct position (contentious — verify against your ICAI edition):** A literal reading of **Explanation (iii) to Section 48** defines indexation from *"the first year in which the asset was held by the assessee"* — i.e., the **donee's** year (year of gift, 2022-23), even though the **cost** carried over is the father's (Sec 49(1)). The **Bombay High Court in CIT v. Manjula J. Shah** allowed indexation from the previous owner's year (the approach the chapter uses). ICAI study material has, in various editions, followed the **statutory (donee-year)** view in its own illustrations. This is a **known point of divergence**; the numeric answer changes materially depending on which year is used. The chapter *does* flag "subject to case law / current position — verify," which is appropriate.
- **Confidence: Medium.** Not "wrong," but the student must **confirm which method the current ICAI SM adopts** before relying on the 2005-06 indexation in an exam answer. (The holding-period point in the same example — count the previous owner's period → long-term — is unambiguously correct.)

5. Capital Gains (Ch 06) → section-number typo in the §4.7 heading

- **Claim as written:** Heading reads "*Advance money forfeited & other adjustments — Sec 51 / 56(2)(x) interaction.*"
- **Correct position:** Forfeited advance money on a failed transfer is taxed under **Section 56(2)(ix)**, which the **body text of the same section correctly cites**. Section **56(2)(x)** is the *gift/receipt-without-consideration* charging clause — a different provision. This is a heading typo, not a conceptual error.
- **Confidence: High** (clear typo). **Fix:** heading should read 56(2)(ix).

6. Salaries (Ch 03) → standard deduction illustrated at ₹50,000 (regime-dependent)

- **Claim as written** (Example 3 and §4.7): standard deduction assumed **₹50,000**.

- **Correct position (caveat):** ₹50,000 is correct for the **old regime**. Under the **new regime u/s 115BAC** for AY 2025-26, the salary standard deduction is **₹75,000**. The chapter explicitly flags "verify current figure and regime," so this is a caveat for the student rather than an outright error — but note it, because the new regime is now the default.
- **Confidence: High** on the fact; the chapter already hedges, so treated as a caveat.

Chapters that are sound (within this spot-review)

- **House Property (Ch 04):** No errors found. Sections 22–27, the 30%-of-NAV standard deduction, the ₹2,00,000 / ₹30,000 interest ceilings, two-self-occupied-houses rule, pre-construction 5-instalment spread, and the ₹2,00,000 inter-head set-off cap with 8-year carry-forward are all stated correctly. **Example 3 is impressive** — the vacancy + unrealised-rent + standard-rent-cap + owner-vs-tenant municipal tax + pre-construction interest interaction all reconcile correctly (GAV ₹2,88,000; loss ₹1,200). The GAV/vacancy methodology matches the ICAI approach.
- **GST ITC (Ch 19):** No errors found. Sec 16(1)/(2)(a)-(d)/(aa), the 180-day Rule 37 reversal, Sec 16(4) time limit (earlier of 30 Nov of next FY or annual return), Rule 42 formula (`C2 = T−(T1+T2+T3)−T4; D1 = C2·E/F; D2 = 5%C2`), Rule 43 (60-month/5-year spread), Sec 17(5) blocked list with the plant-&-machinery carve-out, the Sec 49/49A/Rule 88A utilisation order (IGST first; CGST↔SGST never cross), and Sec 18 transition rules are all accurate. All five worked examples reconcile.
- **Advance Tax / TDS / TCS (Ch 10):** Structurally sound apart from items 2–3 above. The 15/45/75/100 schedule, ₹10,000 threshold, resident-senior-without-PGBP exemption (Sec 207(2)), 234B (90% / 1% p.m.) and 234C (safe harbours 12%/36% for Jun/Sep; 3-month vs 1-month) are correct, and **both 234C and 201(1A) worked examples reconcile exactly** (₹1,800 and ₹600). Most 194-series thresholds are correct for AY 2025-26 (194A 40k/50k/5k, 194C 30k/1L, 194I 2.4L, 194J 30k, 194IA 50L).
- **Salaries (Ch 03):** Sound apart from the standard-deduction caveat (item 6). Sec 15–17, the HRA least-of-three, the RFA population-slab valuation (10% for >40 lakh under revised Rule 3), the 12%-of-salary RPF employer cap, the 9.5% interest exemption, gratuity/leave-encashment/pension "least-of" formulae, and the ₹25,00,000 leave-encashment ceiling are all correct. **Example 3 (full salary computation) reconciles to ₹16,13,560** with correct treatment of each perquisite and the PF caps.
- **Deductions (Ch 09):** Sound apart from item 1. The 80C/CCC/CCD(1) shared ₹1.5L umbrella (80CCE), the separate ₹50,000 (80CCD(1B)), 80D buckets (25k/50k, max ₹1L), 80DD/80U (75k/1.25L), 80DDB, 80E (interest only, 8 years, no cap), 80TTA/TTB, 80G two-dimension structure with the ₹2,000-cash bar and Adjusted-GTI qualifying limit, and the new-regime survivors (80CCD(2), 80CCH, 80JJAA) are all correct. **Example 3 reconciles** (Adjusted GTI ₹6,22,000 → 80G ₹55,000 → Total Income ₹7,67,000).

Overall reliability — per reviewed chapter

Chapter	Reliability	Note
03 Salaries	**High**	One regime caveat (std deduction ₹75k under new regime). Examples correct.
04 House Property	**Very High**	No errors found. Hardest example fully reconciles.
06 Capital Gains	**High**	One contentious area (gifted-asset indexation year) + one heading typo (56(2)(ix) not (x)). Concepts and arithmetic sound.
09 Deductions Ch VI-A	**High**	Fix the 80CCD(2) 14% claim (private = 10% under old regime). Rest excellent.
10 Advance Tax/TDS/TCS	**High (with rate caveats)**	Correct 194O to 0.1%; flag 194H/194IB mid-year (Oct-2024) split. Interest examples exact.
19 GST ITC	**Very High**	No errors found. All formulae and examples correct.

Bottom line for the student: You can trust the *reasoning, structure, section map, and computation methods* in these six chapters with confidence. The only things to actively fix/verify before the exam are the five flagged points above — all of them are **rate/threshold amendments or a regime-split**, exactly the category every chapter already warns you to reconcile against the current ICAI Study Material for your Assessment Year. Because this was a spot-review of 6 of 24 chapters, apply the same "verify the numbers, trust the logic" discipline to the unreviewed chapters.

Rapid-Recall Flashcards

97 cards for spaced repetition — cover the right column and recall. Also importable into Anki from the DECK.tsv file.

Prompt	Answer
Why does the previous year's income get taxed in the assessment year, not the same year?	Income must first be fully earned and quantified before it can be assessed; you tax a completed period (PY) in the year after (AY) once the total is known.
What is the core difference between "previous year" and "assessment year"?	PY is the year income is earned; AY is the following year in which that income is assessed and tax is paid.
Why does residential status decide scope of taxation before you compute any income?	Because a Resident is taxed on global income while a Non-Resident is taxed only on Indian-sourced income, so status sets the boundary of what even enters the computation.
For an individual, what are the two basic conditions for "Resident" status? (verify AY)	182 days in India in the PY, OR 60 days in PY plus 365 days in the preceding 4 years.
Why does an ROR (Resident & Ordinarily Resident) pay tax on foreign income but an RNOR does not?	ROR has a deep, settled connection to India (long presence), so India claims global income; RNOR is only recently/loosely resident, so foreign income earned abroad is spared.
What are the two additional conditions to be "Ordinarily Resident"? (verify AY)	Resident in 2 of the last 10 years AND 730+ days in India in the preceding 7 years.
Why is agricultural income exempt yet still added for "partial integration"?	It is constitutionally a State subject so the Centre cannot tax it, but it is aggregated to push non-agri income into a higher slab (rate effect only), preserving progressivity.
Why are there five heads of income instead of one lump sum?	Each source behaves differently (salary, property, business, gains, residual), so separate rules for deductions and timing are needed before totalling gross income.
Why is the standard deduction on salary a flat amount rather than actual-expense based? (verify AY)	Employees rarely have quantifiable job expenses, so a flat deduction gives relief without demanding proof, simplifying compliance.
Under which head is a director's sitting fee taxed, and why not "Salary"?	Income from Other Sources, because there is no employer-employee relationship — sitting fees are for attending meetings, not employment.
Why is HRA exemption the LEAST of three amounts? (verify AY)	The law grants relief only for rent actually strained by, so it caps at the smallest of actual HRA, rent minus 10% salary, and the metro/non-metro percentage — never overcompensating.
Why must you deduct municipal taxes on a paid basis to get Net Annual Value?	NAV reflects the owner's real rental capacity; taxes borne and actually paid by the owner reduce that capacity, so only paid taxes are allowed.
Why is the standard deduction under house property a fixed 30% of NAV? (verify AY)	It is a presumptive allowance for repairs/collection costs so owners need not prove actual maintenance spend.
Why is annual value of one self-occupied house taken as NIL?	There is no actual rent and the law grants a benefit for living in your own home, so notional rent is not taxed on self-occupation.
Why is interest on a let-out property loan fully deductible but self-occupied capped? (verify AY)	Let-out earns taxable rent so all cost of earning it is allowed; self-occupied earns nothing, so relief is a bounded concession

	(e.g. 2 lakh cap).
Why is depreciation allowed on the "block of assets" rather than each asset?	It simplifies accounting — assets of same class and rate are pooled, so individual sale/purchase just adjusts the block WDV instead of tracking each item.
Why can't you claim depreciation if a block ceases to exist or WDV becomes nil?	Depreciation needs a surviving block with a positive WDV; if all assets are sold or the block empties, there is nothing left to depreciate.
Why is 50% depreciation charged on an asset used less than 180 days?	The half-rate matches the shorter usage period in the year, aligning the allowance to actual time the asset served the business.
What is Section 40(a)(ia) and why does it disallow expenses?	It disallows 30% of certain expenses where TDS was not deducted/paid, using disallowance as a lever to enforce TDS compliance.
Why does Section 43B allow certain expenses only on actual payment?	For statutory dues (taxes, PF, interest to banks), the law prevents claiming a deduction while withholding the actual cash outflow, so deduction follows payment.
Why does presumptive taxation under 44AD exist for small businesses? (verify AY)	To spare small taxpayers from maintaining detailed books and audits by presuming a fixed profit percentage of turnover.
Under 44AD, why is the presumptive rate lower for digital receipts? (verify AY)	To incentivise cashless transactions — 6% for digital/banking receipts vs 8% for cash — nudging formalisation.
Why is the cost of a capital asset indexed before computing long-term gains?	Indexation strips out inflation so only the real gain (not the paper rise from currency erosion) is taxed.
Why is there no indexation benefit on short-term capital gains?	Short holding leaves little time for inflation to distort value, so the raw gain is taxed without adjustment.
What is the period that separates short-term from long-term for listed equity shares? (verify AY)	12 months — beyond that it is long-term.
Why does Section 54 exempt gains on a house reinvested in another house?	The law encourages continuity of housing; if you roll the gain into a new home, you haven't cashed out, so tax is deferred/exempted.
Why must the reinvestment amount under 54EC be in specified bonds within 6 months? (verify AY)	The exemption channels gains into nation-building infrastructure bonds; the time limit ensures prompt reinvestment, not indefinite deferral.
Why is the Capital Gains Account Scheme needed at all?	If you can't reinvest before the return due date, parking funds in the CGAS preserves the exemption while you complete the purchase/construction in time.
Why is "transfer" defined so broadly for capital gains?	To catch economic substance — exchanges, relinquishment, extinguishment of rights — so gains aren't escaped by disguising a sale as something else.
Why does Section 56(2)(x) tax gifts received without consideration above a threshold? (verify AY)	To plug the gap where untaxed money moves as "gifts"; receipts above 50,000 from non-relatives are taxed as Other Sources.

Why are gifts from relatives or on marriage exempt under 56(2)(x)?	These reflect genuine personal relationships, not income-shifting, so the law carves them out from the anti-abuse provision.
Why is clubbing of income (Sec 60-64) required?	To stop tax avoidance by diverting income to a spouse/minor in a lower slab; the income is clubbed back with the real earner.
Why is a minor child's income clubbed with the higher-earning parent? (verify AY)	A minor can't independently earn most income, so it is attributed to the parent, with a small exemption per child to avoid harshness.
Why can business losses be carried forward but not set off against salary?	To prevent taxpayers from sheltering salary with business losses; the law ring-fences business losses to business income within the carry-forward window.
Why can unabsorbed depreciation be carried forward indefinitely, unlike business loss?	Depreciation is a mandatory statutory allowance, not a discretionary loss, so it is treated more leniently with no time cap and no return-filing condition.
Why must a return be filed on time to carry forward most losses?	Timely filing is the compliance price of the carry-forward benefit; late filers forfeit it (except unabsorbed depreciation and house property loss).
Why does Chapter VI-A cap total deductions at gross total income?	Deductions are reliefs from income, not a source of refund; they cannot create or increase a loss, so they stop at reducing GTI to nil.
Why does 80C reward specified savings/investments? (verify AY)	To channel household savings into long-term instruments (PF, LIC, ELSS, principal repayment) with a combined cap of 1.5 lakh.
Why is 80D (health insurance) separate from 80C? (verify AY)	Health cover is socially prioritised, so it gets its own limit rather than competing with the crowded 80C basket.
Why does 80TTA/80TTB give interest deductions, and who gets which? (verify AY)	To give small relief on bank interest — 80TTA (savings interest) for general taxpayers, 80TTB (broader, higher) for senior citizens.
Why does a rebate under 87A fully eliminate tax for small incomes rather than just reduce the rate? (verify AY)	It targets the lowest earners for full relief up to a threshold, keeping them out of the tax net entirely without changing the slab structure.
Why is surcharge "a tax on tax" levied only above high income thresholds? (verify AY)	It adds progressivity at the top by charging extra on the tax amount of high earners, without disturbing lower slabs.
Why does marginal relief exist for surcharge?	To ensure that crossing a surcharge threshold by a small amount doesn't increase tax by more than the extra income — preventing an unfair cliff.
Why is Health & Education Cess charged on tax plus surcharge? (verify AY)	It is an earmarked levy (currently 4%) funding health and education, applied on the aggregated tax to spread the cost across all taxpayers.

Why does the new tax regime offer lower rates but fewer deductions?	It trades away exemptions for simplicity and lower slabs, letting taxpayers who don't invest heavily pay less with no paperwork.
Why is TDS deducted at source rather than collected at year-end?	To secure revenue early, widen the tax base, and create an audit trail — tax is collected as income arises, reducing evasion and default.
Why does TDS on salary use the average rate over the year?	Salary is spread across months, so the employer estimates annual tax and deducts it evenly, avoiding a lump-sum shock at year-end.
What is the consequence under 234B and 234C, and why two sections?	234B charges interest for not paying 90% advance tax; 234C for missing quarterly instalments — separating the failure to pay from the failure to pay on time.
Why is advance tax paid in instalments during the year? (verify AY)	Income accrues through the year, so tax is matched to it in quarterly instalments (15%/45%/75%/100%), keeping government cash flow steady.
Why is interest under 234A charged for late filing of return?	It compensates the government for delayed self-assessment tax remaining unpaid past the due date until the return is filed.
Why does GST replace multiple indirect taxes with one?	To remove the cascading of tax-on-tax across VAT, excise, and service tax, creating a single seamless value-added tax with full input credit.
Why is GST called a "destination-based consumption tax"?	Tax accrues to the state where goods/services are consumed, not produced, so revenue follows demand rather than manufacturing location.
Why does GST split into CGST + SGST for intra-state and IGST for inter-state?	Intra-state supply is shared between Centre and State (CGST+SGST); inter-state is a single IGST that the Centre later apportions to the consuming state.
Why is "supply" the taxable event in GST rather than sale or manufacture?	Supply is broader — it captures sale, transfer, barter, lease, and disposal — so the trigger covers all commercial dealings under one concept.
Why does Schedule I tax certain supplies even without consideration?	To catch value transfers like related-party supplies and permanent asset disposals with ITC, preventing tax leakage through "free" transactions.
Why is the place of supply critical in GST?	It determines whether a supply is intra- or inter-state, which decides CGST+SGST vs IGST and which state gets the revenue.
Why is time of supply needed in GST?	It fixes the point when tax liability arises (earliest of invoice, payment, or receipt), so returns and payment happen in the right period.
What is the Input Tax Credit mechanism and why does it prevent cascading?	ITC lets a registered person offset tax paid on inputs against tax on outputs, so tax applies only to value added at each stage.

Why are the four conditions for claiming ITC (Sec 16) strict? (verify AY)	Possession of tax invoice, receipt of goods/services, tax actually paid to government, and return filed — ensuring credit only where tax genuinely reached the exchequer.
Why is ITC blocked on items like personal cars and club memberships (Sec 17(5))?	These are prone to personal use, not business value addition, so credit is denied to stop diversion of business credit to consumption.
Why must ITC be reversed if payment to supplier isn't made within 180 days?	ITC presupposes the transaction is real and paid; unpaid invoices suggest the value wasn't actually incurred, so the credit is clawed back.
Why does the Composition Scheme trade lower rates for no ITC? (verify AY)	Small taxpayers get a simple flat rate on turnover and minimal compliance, but forgo input credit and can't collect tax from customers.
Why can't a composition dealer make inter-state outward supplies?	The scheme is meant for small local businesses; inter-state supply implies wider operations that belong under the regular regime.
Why is the GST registration threshold different for goods vs services? (verify AY)	Goods get a higher threshold (e.g. 40 lakh) than services (20 lakh) because service providers add value with lower turnover, warranting earlier registration.
Why is registration mandatory regardless of turnover for inter-state suppliers?	Inter-state trade involves IGST and cross-state revenue apportionment, so the government requires registration to track it from the first rupee.
Why does Reverse Charge Mechanism shift tax liability to the recipient?	For hard-to-track suppliers (unregistered persons, specified services), collecting from the organised recipient is more reliable than from the supplier.
Why can a supply be "composite" vs "mixed", and why does it matter?	Composite = naturally bundled (taxed at principal supply's rate); mixed = artificially bundled (taxed at the highest rate) — classification drives the applicable rate.
Why is a tax invoice mandatory under GST?	It is the primary document evidencing supply and enabling the recipient's ITC; without it, the credit chain breaks.
Why does an e-way bill exist for movement of goods above a threshold? (verify AY)	To track goods in transit, curb evasion, and verify that tax-paid goods match declared supplies during movement.
Why is a Bill of Supply issued instead of a tax invoice by composition/exempt suppliers?	They cannot charge GST, so they issue a Bill of Supply that carries no tax component, signalling no ITC is available.
Why is GSTR-1 (outward) reconciled against GSTR-3B and 2B?	To ensure the tax declared on sales, the summary return, and the recipient's available credit all match — enforcing the self-policing credit chain.
Why is exempt supply different from zero-rated supply in GST?	Exempt supply carries no tax and blocks ITC; zero-rated (exports/SEZ) is taxed at 0% but allows ITC — so exporters get refunds, exempt sellers don't.
Why are exports treated as zero-rated rather than exempt?	To keep Indian goods globally competitive by refunding all embedded taxes, so tax is not exported along with the goods.

Why does GST allow a refund of accumulated ITC in inverted duty structures?	When inputs are taxed higher than outputs, credit piles up unusable; refund releases the blocked working capital.
Why is TDS under GST (Sec 51) applied to certain government contracts? (verify AY)	To ensure tax on large public-sector supplies is captured at source from deductors, improving compliance visibility.
Why does TCS under GST (Sec 52) apply to e-commerce operators?	The operator collects tax on supplies made through its platform, bringing numerous small online sellers into the tax net via a single collector.
Why does the GST law prescribe a formal valuation (Sec 15) based on transaction value?	Tax must be on the real price paid between unrelated parties; transaction value anchors it, with adjustments only where price is influenced or incomplete.
Why are subsidies from the government excluded from GST taxable value?	Government subsidies aren't part of the consideration between supplier and buyer, so they don't represent the price of the supply.
Why is interest on delayed GST payment charged on the net cash liability? (verify AY)	Interest compensates only for tax actually withheld from the government; since ITC was already with the exchequer, interest applies to the net cash shortfall.
Why does a debit/credit note adjust GST rather than reissuing an invoice?	It corrects value or tax post-invoice (returns, discounts, errors) while preserving the original invoice trail for audit.
Why must books of account be maintained even under presumptive taxation if income is declared lower? (verify AY)	Declaring below the presumptive rate rebuts the presumption, so the taxpayer must prove the lower figure with books and audit.
Why is the concept of "aggregate turnover" used for GST thresholds?	It sums all taxable, exempt, export, and inter-state supplies PAN-India, giving a true picture of scale to test registration and composition eligibility.
Why does Section 194 series prescribe different TDS rates for different payments?	Each payment type (rent, contract, professional fees, interest) has a different margin and risk of non-reporting, so rates are calibrated per stream. (verify AY)
Why is a Permanent Account Number (PAN) linked to higher TDS if not furnished? (verify AY)	Without PAN the deductee can't be tracked, so a penal higher rate (e.g. 20%) both compensates risk and pressures PAN compliance.
Why does income deemed to accrue in India (Sec 9) tax non-residents on Indian-source income?	The source rule lets India tax income economically connected to India (business connection, Indian property, salary for services in India) regardless of residence.
Why is a slab-based rate structure used for individuals rather than a flat rate?	Progressive slabs tax higher incomes at higher rates, aligning the burden with ability to pay — a core equity principle.
Why is a firm/company taxed at a flat rate rather than slabs?	Entities don't have "subsistence needs" like individuals, so a single rate applies to their whole profit without a personal exemption threshold. (verify AY)
Why is set-off of losses done intra-head before inter-head?	You first net gains and losses within the same head (same nature), then allow the residual loss to relieve other heads — a structured cascade.

Why can speculative business losses only be set off against speculative profits?	Speculation is high-risk and distinct, so the law quarantines its losses to prevent them from eroding normal business or other income.
Why is capital loss segregated into short-term and long-term for set-off?	LTCL can offset only LTCG (both taxed gently), while STCL can offset either — matching the character and rate of the loss to the gain.
Why does the Income Tax Act tax perquisites in addition to salary?	Non-cash benefits (rent-free housing, cars, ESOPs) are real economic gains from employment, so they're valued and taxed to prevent salary being disguised as perks.
Why is an employer's PF contribution above a limit taxable to the employee? (verify AY)	Beyond the exempt ceiling it becomes a real accretion to the employee's wealth, so the excess loses its retirement-savings shelter and is taxed.
Why does the law distinguish "revenue" from "capital" receipts for taxability?	Revenue receipts (recurring, from operations) are income; capital receipts (one-off, from the profit-earning structure) are generally outside income tax unless specifically charged.
Why is entertainment allowance deductible only for government employees? (verify AY)	It is a legacy concession limited to government service; private employees get no such deduction, reflecting the provision's historical scope.
Why must GST returns be filed even in a nil-activity period?	The self-assessment system needs continuous declarations to keep the credit chain and compliance record intact; a nil return confirms no suppressed activity.
Why does the GST Council, not Parliament alone, decide rates?	GST is a shared Centre-State tax, so a joint federal body (the Council) sets rates to preserve cooperative federalism and uniformity.
Why is the anti-profiteering provision built into GST?	To ensure that rate cuts and ITC benefits are passed to consumers as lower prices, not pocketed by businesses as extra margin.